



Foreign Relations of the United States, 1958–1960

Volume V

American Republics

Microfiche Supplement

Editor Harriet D. Schwar
Editor in Chief John P. Glennon

DEPARTMENT OF STATE PUBLICATION 9896

BUREAU OF PUBLIC AFFAIRS

OFFICE OF THE HISTORIAN

For sale by the Superintendent of Documents
U.S. Government Printing Office
Washington, D.C. 20402

About the Digital Edition

In creating this digital edition, the Office of the Historian focused on maintaining the original structure of the microfiche supplement while aligning with the current standards of the *Foreign Relations* series. Numerous documents are partially or completely illegible; those that were known to have had such problems during the preparation of the microfiche were stamped: “Best copy available” and the editors have indicated gaps in legibility by inserting “[illegible in the original].” All brackets, except those indicating illegible or redacted text, are in the original.

During review, the editors discovered the following problems with images in the microfiche edition and made the following corrections:

Documents in the Nicaragua chapter (NI-1 to NI-26) have received the normalized prefix of “NI-” to the document identifier rather than the mix of “NI-” and “HU-” prefixes that were previously used in the microfiche version.

Documents in the Chile chapter (CH-1 to CH-41) have received the normalized prefix of “CH-” to the document identifier rather than the mix of “CH-” and “CI-” prefixes that were previously used in the microfiche version.

Cross-references to the *Foreign Relations* series have been corrected and expanded throughout the footnotes.

Preface

The publication *Foreign Relations of the United States* constitutes the official record of the foreign policy of the United States. The printed volumes in the series and the accompanying microfiche supplements include, subject to necessary security considerations, all documents needed to give a comprehensive record of the major foreign policy decisions of the United States together with appropriate materials concerning the facts that contributed to the formulation of policies. Records in the files of the Department of State are augmented by documentation from other government agencies involved in the formulation of foreign policy.

The basic documentary diplomatic record presented in the printed volumes of the series and the microfiche supplements is edited by the Office of the Historian, Bureau of Public Affairs, Department of State. The editing is guided by the principles of historical objectivity and in accordance with the following official guidance first promulgated by Secretary of State Frank B. Kellogg on March 26, 1925:

There may be no alteration of the text, no deletions without indicating the place in the text where the deletion is made, and no omission of facts which were of major importance in reaching a decision. Nothing may be omitted for the purpose of concealing or glossing over what might be regarded by some as a defect of policy. However, certain omissions of documents are permissible for the following reasons.

- a. To avoid publication of matters that would tend to impede current diplomatic negotiations or other business.
- b. To condense the record and avoid repetition of needless details.
- c. To preserve the confidence reposed in the Department by individuals and by foreign governments.
- d. To avoid giving needless offense to other nationalities or individuals.
- e. To eliminate personal opinions presented in despatches and not acted upon by the Department. To this consideration there is one qualification: in connection with major decisions it is desirable, when possible, to show the alternative presented to the Department before the decision was made.

Principles of Selection for Foreign Relations, 1958–1960, Volume V

The initial research, compilation, and editing of the printed volume and microfiche supplement took place in 1980 and 1981. Before select-

ing documents, the editors developed a research plan based on the topics to be included and on official records and other documentation in the Department of State and at the Dwight D. Eisenhower Library at Abilene, Kansas.

The documents included in the printed volume and in the microfiche supplement present the record of basic U.S. policies toward South America, Central America, and the Caribbean area, and of the major incidents in U.S. relations with the nations in the region. The documentation on multilateral issues and regional U.S. policies contained in the printed volume focuses on U.S. concern in the years 1958–1960 over economic development problems, political instability, the Castro regime in Cuba, Communist activity, the U.S. role in hemisphere defense, and the role of the Organization of American States in promoting stability and peace in the region. The goodwill trips by President Eisenhower, Vice President Nixon, and Dr. Milton Eisenhower, which reflect this concern, are documented in some detail. U.S. bilateral relations with Argentina, Brazil, and Mexico are also covered. A summary of the print volume is printed on pages 47–53. U.S. relations with Cuba and the U.S. attitude toward the regime of Fidel Castro are extensively documented in volume VI.

This microfiche supplement presents documents on U.S. economic policies toward the region, including technical assistance, and bilateral relations with the nations of Central and South America and the Caribbean area, except Argentina, Brazil, Mexico, and Cuba. Summaries of the compilations included in the microfiche supplement, with references to specific documents, are printed on pages XLIX–LXXXVIII.

This guide to the microfiche supplement contains lists of sources, persons, and abbreviations and a comprehensive index of all the documents, as well as the summaries noted above. The print volume and the microfiche supplement have separate indexes.

Compilations on bilateral relations in this volume and in the microfiche supplement include the texts of telegrams from the Department of State to posts in the region containing instructions and policy guidance, telegrams from posts to the Department of State containing reports, analyses, and recommendations; the texts of policy memoranda and reports, and memoranda of conversation between U.S. and foreign officials.

In selecting documents for the print volume and microfiche supplement, the editors concentrated on National Security Council and Cabinet meetings, NSC and Department of State policy papers and memoranda that set forth policy options. The editors also selected finished intelligence reports (such as National Intelligence Estimates and intelligence briefings to the NSC) on which policy decisions were made, communications with foreign governments and international

organizations, and policy recommendations and analyses sent by U.S. missions abroad to the Department of State.

Because the focus of the print volume and the microfiche supplement is on major diplomatic aspects of U.S. policies toward the region, the editors did not document the U.S. military assistance program, intelligence activities, or detailed aspects of economic and cultural relations. They did not, therefore, seek expanded access to foreign affairs records of agencies outside of the Department of State, the White House, and the National Security Council.

The editors had complete access to the records of the Department of State including all the central indexed decimal files and the various special decentralized files (lot files) relevant to the volume. At the Eisenhower Library, the editors gave particular attention to the Ann Whitman file, with its master collection of National Security Council records, Cabinet papers, and other important Presidential records. The editors reviewed other pertinent records at the Eisenhower Library, including papers of Secretaries of State John Foster Dulles and Christian A. Herter, and records of the President's Special Assistant for National Security Affairs. The editors believe that no documentation at the Eisenhower Library relevant to the subject matter was overlooked or withheld. A complete list of the files consulted in preparing both the print volume and the microfiche supplement is on pages XIII–XIX.

The editors of the volume are confident that the documents included in the print volume and in the microfiche supplement taken together provide a comprehensive and accurate record of U.S. diplomatic policies toward the Caribbean, Central America, and South America region. The declassification review process for the documents originally selected for this volume, outlined in more detail below, resulted in withholding from publication approximately 3 percent of the manuscript of the print volume and 4 percent of the microfiche supplement.

Editorial Methodology

The documents in the microfiche supplement are reproduced directly from copies of the original documents. Headings, footnotes, and editorial notes have been added by the editors in a format similar to that of the printed volume. Documents with excisions due to continued classification appear in the supplement with the excised portions shaded in black. Documents that were denied in the declassification review process have been noted by inserting a page containing the document number, its date, and the repository in which it was found.

The documents are presented chronologically according to Washington time. Incoming telegrams from U.S. missions are placed according to time of receipt in the Department of State or other receiving

agency, rather than the time of transmission; memoranda of conversation are placed according to the time and date of the conversation, rather than the date the memorandum was drafted.

The document's source and original classification are contained in the editorial headings at the beginning of each document. Distribution and drafting information, information on the background of important documents and policies, and indications if the President and/or his major policy advisers read the document are in the first footnote.

Editorial notes and additional annotation summarize pertinent material not included, indicate the location of additional documentary sources, provide references to important related documents printed in other volumes, describe key events, and summarize and provide citations to public statements that supplement and elucidate the documents. Information derived from memoirs and other first-hand accounts has been used when applicable to supplement the official record.

Declassification Review Procedures

Declassification review of the documents selected for publication was conducted by the Division of Historical Documents Review, Bureau of Diplomatic Security, Department of State. The review was made in accordance with the Freedom of Information Act, the Privacy Act, and the criteria established in Executive Order 12356 regarding:

- 1) military plans, weapons, or operations;
- 2) the vulnerabilities or capabilities of systems, installations, projects, or plans relating to the national security;
- 3) foreign government information;
- 4) intelligence activities (including special activities) or intelligence sources or methods,
- 5) foreign relations or foreign activities of the United States;
- 6) scientific, technological, or economic matters relating to national security;
- 7) U.S. Government programs for safeguarding nuclear materials or facilities;
- 8) cryptology; and
- 9) a confidential source.

Declassification decisions entailed concurrence of the appropriate geographic and functional bureaus in the Department of State, other concerned agencies of the U.S. Government, and appropriate foreign governments regarding documents of those governments. The principle guiding declassification review is to release as much information as is consistent with contemporary requirements of national security and sound foreign relations.

N. Stephen Kane supervised the planning and compilation of the chapters that comprise the printed volume and the microfiche supplement, under the direction of Paul Claussen. Editor in Chief John P. Glennon supervised the final preparation of the microfiche supplement for publication. Mr. Kane compiled the sections on regional economic policies and relations with Colombia. Carl N. Raether compiled the sections on U.S. relations with Honduras and Panama. Evans Gerakas prepared compilations on Costa Rica, Ecuador, El Salvador, Guatemala, and Peru. Other compilations were prepared by Edith James (Bolivia, Chile, Paraguay, Uruguay, Venezuela); Aaron D. Miller (Nicaragua); and Nina J. Noring (Dominican Republic, Haiti). W. Taylor Fain III prepared the summary of the printed volume. Summaries of individual compilations in the microfiche supplement were prepared by Mr. Glennon, Edward C. Keefer, David W. Mabon, Charles S. Sampson, Harriet D. Schwar, and Louis H. Smith. Bret D. Bellamy prepared the lists of sources, abbreviations, and names. Rita M. Baker performed the technical editing. Barbara A. Bacon of the Publishing Services Division (Paul M. Washington, Chief (retired)) oversaw production of the volume. Do Mi Stauber prepared the index.

William Z. Slany

The Historian

Bureau of Public Affairs

July 1991

Contents

Preface	V
List of Sources	XIII
List of Abbreviations	XXI
List of Persons	XXIX
Summary of Print Volume	XLIII
Summaries of Compilations	XLIX
United States Regional Economic and Technical Assistance Policy	XLIX
Bolivia	LII
Chile	LV
Colombia	LVII
Costa Rica	LIX
Dominican Republic	LXI
Ecuador	LXIV
El Salvador	LXVI
Guatemala	LXIX
Haiti	LXXI
Honduras	LXXIV
Nicaragua	LXXVI
Panama	LXXVII
Paraguay	LXXX
Peru	LXXXII
Uruguay	LXXXIV
Venezuela	LXXXVI

American Republics	1
United States Regional Economic and Technical Assistance Policy	1
Bolivia	140
Chile	220
Colombia	308
Costa Rica	387
Dominican Republic	461
Ecuador	529
El Salvador	565
Guatemala	645
Haiti	734
Honduras	799
Nicaragua	836
Panama	881
Paraguay	991
Peru	1023
Uruguay	1138
Venezuela	1192
Index	1315

List of Sources

Unpublished Sources

Department of State

1. *Central File*. The major source of documentation for both the printed volume and the microfiche supplement was the indexed central files, or decimal files, of the Department of State.

2. *Lot Files*. Documents from the Central Files have been supplemented by materials from decentralized office files, the lot files of the Department of State. A list of the lot files used or consulted follows:

ARA Files: Lot 62 D 359

Uruguay desk files for the years 1958–1960, as maintained by the Office of East Coast Affairs of the Bureau of Inter-American Affairs.

ARA Files: Lot 66 D 94

Honduras desk files for the years 1960–1964, as maintained by the Office of Central American Affairs of the Bureau of Inter-American Affairs.

ARA Deputy Assistant Secretary Files: Lot 61 D 411

Office files of the Deputy Assistant Secretary of State for Inter-American Affairs (William P. Snow) for the year 1958, as maintained by the Office of the Deputy Assistant Secretary of State for Inter-American Affairs.

ARA Special Assistant Files: Lot 60 D 371

Functional files of the Special Assistant (John C. Hill, Jr.) to the Assistant Secretary of State for Inter-American Affairs for the years 1958 and 1959, as maintained by the Office of Inter-American Regional Economic Affairs.

ARA Special Assistant Files: Lot 60 D 513

Functional files of the Special Assistant (Henry A. Hoyt and John C. Hill, Jr.) to the Assistant Secretary of State for Inter-American Affairs for the year 1958, as maintained by the Office of the Special Assistant in the Bureau of Inter-American Affairs.

ARA Special Assistant Files Lot 62 D 24

Office files of the Special Assistant (Frank J. Devine and Park Wollam) to the Assistant Secretary of State for Inter-American Affairs for the year. 1959–1901, as maintained by the Office of the Special Assistant in the Bureau of Inter-American Affairs.

ARA/ECP Files: Lot 64 D 353

Subject and country files for the years 1957–1962, as maintained by the Office of Regional Economic Policy of the Bureau of Inter-American Affairs.

ARA/EST Files: Lot 60 D 249

Venezuela desk files for the year 1958, as maintained by the Office of East Coast Affairs.

ARA/EST Files: Lot 61 D 319

Venezuela desk files for the years 1958–1959, as maintained by the Office of East Coast Affairs.

XIV List of Sources

ARA/EST Files: Lot 62 D 8

Venezuela desk files for the year 1960, as maintained by the Office of East Coast Affairs.

ARA/EST Files: Lot 62 D 354

Paraguay desk files for the years 1958–1960, as maintained by the Office of East Coast Affairs.

ARA/IAS Files: Lot 65 D 285

Military and security files for the years 1953–1962, as maintained by the Bureau of Inter-American Affairs.

ARA/IAS Files: Lot 67 D 9

Military and training assistance files for the years 1936–1964, as maintained by the Bureau of Inter-American Affairs.

ARA/IPA Files: Lot 66 D 230

Economic files for the years 1947–1963, as maintained by the Bureau of Inter-American Affairs.

ARA/OAP Files: Lot 61 D 110

Chronological and subject files relating to Central America for the years 1957–1958, including correspondence with Ambassador Whiting Willauer, Dr. Milton Eisenhower's trip to Central America in 1958, and activities of the United Fruit Company, retired by the Office of Central American and Panamanian Affairs in the Bureau of Inter-American Affairs.

ARA/OAP Files: Lot 64 D 67

Panama desk files for the year 1959, as maintained by the Office of Central American and Panamanian Affairs.

ARA/PAN Files Lot 65 D 176

Panama desk files for the years 1960–1962, as maintained by the Office of Panamanian Affairs.

ARA/REA Files: Lot 62 D 303

Country, subject, and chronological files for the years 1957–1961, as maintained by the Office of Inter-American Regional Economic Affairs.

ARA/REA Files: Lot 63 D 210

Country, subject, and chronological files for the years 1952–1961, as maintained by the Office of Inter American Regional Economic Affairs.

ARA/REA Files: Lot 63 D 211

Subject and country files for the year 1960, as maintained by the Office of Inter-American Regional Economic Affairs.

ARA/REA Files: Lot 63 D 415

Mutual Security Program and International Cooperation Administration files for the years 1952–1962, as maintained by the Office of Inter-American Regional Economic Affairs.

ARA/WST Files: Lot 61 D 45

Working files of the Officer in Charge of Peruvian Affairs, Sandy M. Pringle, for the years 1957–1958.

ARA/WST Files: Lot 62 D 16

Bolivia desk files for the year 1958, as maintained by the Office of West Coast Affairs of the Bureau of Inter-American Affairs.

ARA/WST Files: Lot 62 D 31

Chile desk files for the year 1959, as maintained by the Office of West Coast Affairs.

ARA/WST Files: Lot 62 D 429

Bolivia desk files for the year 1959, as maintained by the Office of West Coast Affairs.

ARA/WST Files: Lot 63 D 20

Colombia desk files for the years 1959–1960, as maintained by the Office of West Coast Affairs.

ARA/WST Files: Lot 63 D 61

Bolivia desk files for the year 1960, as maintained by the Office of West Coast Affairs.

ARA/WST Files: Lot 63 D 85

Chile desk files for the year 1960, as maintained by the Office of West Coast Affairs.

ARA/WST Files: Lot 64 D 1

Colombia desk files for the year 1960–1961, as maintained by the Office of West Coast Affairs.

Cabinet Meetings: Lot 68 D 350

Memoranda, cabinet agenda, and miscellaneous files on foreign policy subjects taken up at Presidential Cabinet meetings for the years 1953–1965, as maintained by the Executive Secretariat.

Conference Files: Lot 63 D 123

Collection of documentation on official visits by heads of government and foreign ministers to the United States and on major international conferences attended by the Secretary of State for the years 1955–1958, as maintained by the Executive Secretariat.

Conference Files: Lot 64 D 559

Chronological files on visits by various foreign dignitaries to the United States and on various international conferences abroad for the year 1960, as maintained by the Executive Secretariat.

Conference Files: Lot 64 D 560

Collection of documentation on official visits by heads of government and foreign ministers to the United States and on major international conferences attended by the Secretary of State for the years 1958–1959, as maintained by the Executive Secretariat.

Current Economic Developments: Lot 70 D 467

Master set of the Department of State classified internal publication *Current Economic Developments* for the years 1945–1969, as maintained by the Bureau of Economic Affairs.

EST Files: Lot 61 D 172

Office of Brazilian Affairs files for the years 1958–1959, retired by the Officer in Charge of Brazilian Affairs in the Office of East Coast Affairs.

EST Files: Lot 61 D 332

Chronological files for the years 1957–1959 and files of Vice President Nixon's trip to South America in 1958, retired by the Office of East Coast Affairs.

EST Files: Lot 62 D 308

Brazil desk files for the years 1959–1960, retired by the Officer in Charge of Brazilian Affairs in the Office of East Coast Affairs.

XVI List of Sources

INR Files

Files retained by the Bureau of Intelligence and Research.

INR–NIE Files

Files of National Intelligence Estimates, Special Estimates, and Special National Intelligence Estimates, retained by the Directorate for Regional Research in the Bureau of Intelligence and Research.

OAP Files: Lot 60 D 647

Guatemala desk files for the years 1956–1958, retired by the Office of Central American and Panamanian Affairs.

OAP Files: Lot 61 D 7

Costa Rica desk files for the year 1958, retired by the Office of Central American and Panamanian Affairs.

OAP Files: Lot 61 D 473

General subject files for the year 1959, retired by the Office of Central American and Panamanian Affairs.

OAP Files: Lot 63 D 127

General subject files for the year 1960, as maintained by the Office of Central American and Panamanian Affairs.

OAP Files: Lot 63 D 146

Guatemala desk files for the years 1959–1960, as maintained by the Office of Central American and Panamanian Affairs.

OAP Files: Lot 64 D 16

Subject files of the Officer in Charge of El Salvador Affairs for the year 1960, as maintained by the Office of Central American and Panamanian Affairs.

OAP Files: Lot 64 D 17

Subject files on Guatemala for the years 1959–1961, as maintained by the Office of Central American and Panamanian Affairs.

OAP Files: Lot 64 D 66

Costa Rica desk files for the years 1958–1961, retired by the Office of Central American and Panamanian Affairs.

OAS Files Lot 60 D 665

Basic collection of records of meetings of the Organization of American States, other major inter-American governmental organizations, and inter-American conferences together with related subject files for the years 1939–1962, as maintained by the Office of Inter-American Regional Political Affairs.

PPS Files: Lot 67 D 548

Subject, country, and chronological files; documents; drafts; and related correspondence of the Policy Planning Staff for the years 1957–1961.

Presidential Correspondence: Lot 64 D 174

Exchanges of correspondence between President Eisenhower and heads of foreign governments, excluding the United Kingdom, France, Germany, and the Soviet Union, for the years 1953–1960, as maintained by the Executive Secretariat.

Presidential Memoranda of Conversation: Lot 66 D 149

A complete chronological record of cleared memoranda of conversations with foreign visitors for the years 1956–1964, as maintained by the Executive Secretariat.

REA Files: Lot 61 D 248

Chronological country and subject files relating to general economic matters for the years 1955–1959, including sugar and coffee, miscellaneous conference files, and Mutual Security Program estimates, retired by the Office of Inter-American Regional Economic Affairs.

REA Files: Lot 62 D 302

Subject, country, and chronological files relating to economic matters for the years 1960–1961, retired by the Office of Inter-American Regional Economic Affairs.

Rio de Janeiro Embassy Files. Lot 65 F 4

Classified central files of the Embassy in Rio de Janeiro for the years 1956–1958, which form item 4 of FRC 65 A 1076.

Rio de Janeiro Embassy Files: Lot 68 F 77

Classified central files of the Embassy in Rio de Janeiro for the years 1959–1961, which form item 97 of FRC 68 A 5612.

Rubottom Files: Lot 60 D 553

Working files of Assistant Secretary of State for Inter-American Affairs Roy R. Rubottom, Jr., for 1958, as maintained by the Office of the Assistant Secretary of State for Inter-American Affairs.

Rubottom Files: Lot 61 D 279

Working files of Assistant Secretary of State for Inter-American Affairs Roy R. Rubottom, Jr., for the year 1959, as maintained by the Office of the Assistant Secretary of State for Inter-American Affairs.

Rubottom–Mann Files: Lot 62 D 418

Country and subject files of Assistant Secretaries of State for Inter-American Affairs Roy R. Rubottom, Jr., for the year 1960, and Thomas C. Mann, for the years 1960–1961, as maintained by the Office of the Assistant Secretary of State for Inter-American Affairs.

Secretary's Memoranda of Conversation: Lot 64 199

Chronological collection of the Secretary of State's memoranda of conversation and the Under Secretary of State's memoranda of conversation for the years 1953–1960, as maintained by the Executive Secretariat.

Secretary's Staff Meetings Lot 63 D 75

Chronological collection of the minutes of the Secretary of State's Staff Meetings for the years 1952–1960, as maintained by the Executive Secretariat.

S/P–NSC Files Lot 62 D 1

Serial and subject master file of National Security Council documents and correspondence for the years 1948–1961, as maintained by the Policy Planning Staff.

S/PRS Files: Lot 77 D 11

Record set of Daily Press Briefings for the years 1922–1970, as maintained by the Office of Press Relations.

XVIII List of Sources

S/S–NSC Files: Lot 63 D 351

Serial file of National Security Council documents and correspondence for the years 1947–1961, as maintained by the Executive Secretariat.

S/S–NSC (Miscellaneous) Files: Lot 66 D 95

Administrative and miscellaneous National Security Council documentation, including NSC Records of Action, as maintained by the Executive Secretariat.

S/S–OCB Files: Lot 62 D 430

Master file of the Operations Coordinating Board for the years 1953–1960, as maintained by the Executive Secretariat.

USOAS Files: Lot 72 D 291

Master sets of documents of the Council of the Organization of American States for the years 1948–1967.

Dwight D. Eisenhower Library, Abilene, Kansas

Council on Foreign Economic Policy (CFEP) Records

Records of the Council on Foreign Economic Policy for the years 1955–1961

Dulles Papers

Papers of John Foster Dulles for the years 1952–1959.

Herter Papers

Papers of Christian A. Herter for the years 1957–1961.

President's Daily Appointments

Daily appointment books of Dwight D. Eisenhower as President, 1953–1961.

Project "Clean Up" Records

Project "Clean Up" collection. Records of Gordon Gray, Robert Cutler, H. Romer McPhee, and Andrew J. Goodpaster.

Special Assistant for National Security Affairs Records

Records of the Special Assistant for National Security Affairs for the years 1952–1961, including records of Robert Cutler, Dillon Anderson, and Gordon Gray.

Staff Secretary Records

Records of the Office of the Staff Secretary (Paul T. Carroll, Andrew J. Goodpaster, L. Arthur Minnich, and Christopher H. Russell), for the years 1952–1961.

White House Central Files

Records of Dwight D. Eisenhower as President, 1953–1961.

Whitman File

Papers of Dwight D. Eisenhower as President of the United States, 1953–1961, as maintained by his personal secretary, Ann C. Whitman. The Whitman File includes the following elements: the Name Series, the Dulles-Herter Series, Eisenhower (DDE) Diaries, Ann Whitman (ACW) Diaries, National Security Council (NSC) Records, Cabinet Papers, Legislative Meetings, International Meetings, the Administration Series, and the International File.

Published Sources

Documentary Collections and Periodicals

- Organization of American States *Annals of the Organization of American States*, vol. VIII, No. 3, 1956.
- _____. Council of the Organization of American States. *Decisions Taken at the Meetings, January–December 1959*, vol. XII. Washington Pan American Union, 1964.
- _____. Inter-American Commission on Human Rights *Basic Documents*. Rev. ed. Washington: Pan American Union, 1963.
- _____. Inter-American Commission on Human Rights. *Report on the Work Accomplished During Its first Session, October 3 to 28, 1960*, Washington: Pan American Union, 1961.
- U.S. Department of State. *American Foreign Policy: Current Documents, 1958*, Washington: U.S. Government Printing Office, 1962.
- _____. *American Foreign Policy: Current Documents, 1959*, Washington: U.S. Government Printing Office, 1963.
- _____. *American Foreign Policy: Current Documents, 1960*, Washington: U.S. Government Printing Office, 1964.
- _____. Department of State Bulletin, 1958–1960.
- _____. *Inter-American Efforts To Relieve Tensions in the Western Hemisphere, 1959–1960*, Washington: U.S. Government Printing Office, 1962.
- _____. *Tenth Inter-American Conference, Caracas, Venezuela, March 1–28.1954: Report of the Delegation of the United States of America with Related Documents*. Washington: U.S. Government Printing Office, 1955.
- U.S. National Archives and Records Administration. *Public Papers of the Presidents of the United States: Dwight D. Eisenhower, 1958*. Washington: U.S. Government Printing Office, 1959.
- _____. *Public Papers of the Presidents of the United States: Dwight D. Eisenhower, 1959*. Washington: U.S. Government Printing Office, 1960.
- _____. *Public Papers of the Presidents of the United States: Dwight D. Eisenhower. 1960–61*. Washington U.S. Government Printing Office, 1961.

Memoirs, Diaries, Reminiscences

- Note.* The following publications were consulted at the time this volume was prepared in 1980 and 1981. The Department of State takes no responsibility for their accuracy nor endorses their interpretation of the events.
- Eisenhower, Dwight D. *Waging Peace: The White House Years, 1959–1961*. Garden City, NY: Doubleday, 1965.
- Nixon, Richard M. *The Memoirs of Richard Nixon*. New York: Grosset & Dunlap, 1978.
- Ydígoras Fuentes, Miguel, with Mario Rosenthal. *My War With Communism*. Englewood Cliffs, NJ. Prentice-Hall, 1963.

List of Abbreviations

ACSI, Assistant Chief of Staff for Intelligence
AD, *Acción Democrática* (Democratic Action Party), Venezuela
ADU, *Acción Democrática Unitas* (United Democratic Action), Nicaraguan political group
AEC, Atomic Energy Commission
AFCIN, Air Force Intelligence
AFL, American Federation of Labor
AFL-CIO, American Federation of Labor-Congress of Industrial Organizations
AFP (AF&P), American and Foreign Power Company
ALCOA, Aluminum Company of America
ANDE, *Administración Nacional de Electricidad* (National Administration of Electricity), Uruguay
AP, Associated Press
APRA, *Alianza Popular Revolucionaria Americana* (American Popular Revolutionary Alliance), Peruvian political party
ARA, Bureau of Inter-American Affairs, Department of State
ARA/REA, Office of Inter-American Economic Affairs, Bureau of Inter-American Affairs, Department of State
ARMA, Army Attaché
ASW, anti-submarine warfare
AV, Aviation Division, Department of State

BAR, Browning automatic rifle
BMEWS, Ballistic Missile Early Warning System
BNDE, *Banco Nacional de Desenvolvimento Economico* (National Bank for Economic Development), Brazil

C, Counselor of the Department of State
CA, Central America
CA, circular airgram
CAB, Civil Aeronautics Board
CABEI, Central American Bank for Economic Integration
CADE, *Compañía Argentina de Electricidad* (Electric Company of Argentina)
Cahto, series indicator for telegrams from Secretary of State Herter while away from Washington
CAIRC, Caribbean Air Command
CAP, *Corporación Argentina de Productores de Carnes* (Argentine Meat Producers Corporation)
CARE, Cooperative for American Remittances to Everywhere, until July 30, 1958; thereafter Cooperative for American Relief to Everywhere
CCC, Commodity Credit Corporation, Department of Agriculture
CFEP, Council on Foreign Economic Policy
CG, Commanding General; Consulate General
CGS, *Confederación General de Sindicatos* (General Confederation of Trade Unions), El Salvador
CGT, *Confederación General del Trabajo* (General Confederation of Labor), Argentina
CGTS, *Confederación General de Trabajadores Salvadoreños* (General Confederation of Salvadoran Workers)
CIA, Central Intelligence Agency

XXII List of Abbreviations

- CINC**, Commander in Chief
CINCARIB, Commander in Chief, Caribbean
CIO, Congress of Industrial Organizations
cirtel, circular telegram
CIVI, *Corpo Identificación, Vigilancia, y Investigación* (Identification, Vigilance, and Investigation Corps), Peru
CMA, Office of Caribbean-Mexican Affairs, Bureau of Inter-American Affairs, Department of State
COAS, Council of the Organization of American States
COB, *Central Obrera Boliviana* (Bolivian Labor Central, Bolivian Workers Federation)
COCOM, Coordinating Committee of the Paris Consultative Group of Nations working to control export of strategic goods to Communist countries
Codel Nixon, series indicator for telegrams concerning Vice Presidential delegation travel
COMIBOL (CMB), *Corporación Minera de Bolivia* (Bolivian Mining Corporation)
COPEI, *Partido Social Cristiano Copei* (Venezuelan Christian Socialist Party)
CORFO, *Corporación de Fomento de la Producción* (Production Development Corporation), Chile
CORPOSNA, *Corporación de Obras Sanitarias de Asunción* (Sanitary Corporation of Asuncion), Paraguay
CP, Cabinet Paper
CPN, *Coalición Patriótica Nacional* (National Patriotic Coalition), Panama
Cr, *cruzeiro* (Brazil)
CTAL, *Confederación de Trabajadores de America Latina* (Confederation of Latin American Workers)
CTC, *Confederación de Trabajadores de Cuba* (Confederation of Cuban Workers)
CTP, *Confederación de Trabajadores de Peru* (Confederations of Workers of Peru)
- DA**, Department of the Army, Defense Attaché
DCM, Deputy Chief of Mission
DD, destroyer
DE, destroyer escort
Depcirtel, Department of State circular telegram
Deptel, Department of State telegram
DLF, Development Loan Fund
DLM, Dominican Liberation Movement
DLP, Democratic Labor Party, West Indies
DOD, Department of Defense
DPA, Defense Production Act
Dulte, series indicator for telegrams from Secretary of State Dulles while away from Washington
- E**, Assistant Secretary of State for Economic Affairs, Bureau of Economic Affairs, Department of State
ECLA, United Nations Economic Council on Latin America
ECP, Office of Regional Economic Policy, Bureau of Inter-American Affairs, Department of State
ECU, Engineering Construction Unit
ED, Investment and Economic Development Staff, Office of Financial and Development Policy, Bureau of Economic Affairs, Department of State
EDT, Eastern Daylight Time
Emb, Embassy
EmbOff, Embassy officer
Fmbtel, Embassy telegram
EST, Office of East Coast Affairs, Bureau of Inter-American Affairs, Department of State

EST/A, Officer in Charge of Argentine Affairs, Office of East Coast Affairs, Bureau of Inter-American Affairs, Department of State
EST/B, Officer in Charge of Brazilian Affairs, Office of East Coast Affairs, bureau of Inter-American Affairs, Department of State
Exim (Eximbank), Export-Import Bank of Washington

FAO, Food and Agricultural Organization, United Nations
FBI, Federal Bureau of Investigation
FCDA, Federal Civil Defense Administration
FCN, Friendship, Commerce and Navigation (Treaty)
FHA, Federal Housing Administration
FHLB, Federal Home Loan Bank
FLP, Federal Labor Party, West Indies
FM, Assistant Secretary of the Army (Financial Management)
FonOff, Foreign Office
FSB, *Falange Socialista de Bolivia* (Socialist Falange Party of Bolivia)
FSO, Foreign Service officer
FY, Final Year
FYI, for your information

G, gourde (Haiti)
G, Deputy Secretary of State
G-2, Army general staff section dealing with intelligence at the divisional level or higher
GAF, Guatemalan Air Force
GATT, General Agreement on Tariffs and Trade
GCR (GOCR), Government of Costa Rica
GNP, gross national product
GOA, Government of Argentina
GOB, Government of Bolivia; Government of Brazil
GOC, Government of Chile, Government of Colombia; Government of Costa Rica
GODR, Government of the Dominican Republic
GOES, Government of El Salvador
GOG, Government of Guatemala
GOH, Government of Haiti; Government of Honduras
GON, Government of Nicaragua
GOP, Government of Panama; Government of Paraguay; Government of Peru
GOV, Government of Venezuela
GSA, General Services Administration

H, Assistant Secretary of State for Congressional Relations
HEW, Department of Health, Education, and Welfare
HOLC, Home Owners Loan Corporation

IA, Inter-American
IADB, Inter-American Defense Board
IACC, Inter-American Cultural Convention
IA-ECOSOC, Inter-American Economic and Social Council
IAPC, Inter-American Peace Committee
IBRD, International Bank for Reconstruction and Development
ICA, International Cooperation Administration
ICA/W, headquarters of the International Cooperation Administration in Washington
ICAITI, *Instituto Centroamericano de Investigación y Tecnología Industrial* (Central American Research Institute for Industry and Technology)
ICE, *Instituto Costarricense de Electricidad* (Costa Rican Institute of Electricity)

XXIV List of Abbreviations

- ICEM**, Intergovernmental Committee for European Migration
ICFTU, International Confederation of Free Trade Unions
ICJ, International Court of Justice, The Hague
IDA, International Development Association
IFC, International Finance Corporation
IIAA, Institute of Inter-American Affairs
IMF, International Monetary Fund
IND, *Partido Independiente* (Independent Party), Costa Rica
INR, Bureau of Intelligence and Research, Department of State
INS, Immigration and Naturalization Service
IO, Bureau of International Organization Affairs, Department of State
IR, *Integración Republicana* (Republican Integration), Venezuelan political party
IRCA, International Railways of Central America
ISA, Assistant Secretary of Defense for International Security Affairs
ITC, International Tin Council
- JBUSDC**, Joint Brazil-United States Defense Commission
JBUSMC, Joint Brazil United States Military Commission
JCS, Joint Chiefs of Staff
JMUSDC, Joint Mexico-United States Defense Commission
- L**, Legal Adviser, Department of State
LA, Latin America
LAV, *Linea Aeropostal Venezolana* (Venezuelan Airpostal Lines), Venezuelan airline
LORAN, Long-Range Navigational Aid
- M**, Under Secretary of State for Political Affairs
MA, Military Attaché
MAAG, Military Assistance Advisory Group
MAP, Military Assistance Program
MC, Division of Munitions Control, Department of State
MDAP, Mutual Defense Assistance Program
MDN, *Movimiento Democrático Nacionalista* (Nationalist Democratic Movement), Guatemalan political party
MDP, *Movimiento Democrático Peruano* (Peruvian Democratic Movement), Peruvian political party
MFM, Meetings of Foreign Ministers
MID, Office of Middle American Affairs, Bureau of Inter-American Affairs, Department of State
MNR, *Movimiento Nacionalista Revolucionario* (Nationalist Revolutionary Movement), Bolivian political party
MSA, Mutual Security Assistance; Mutual Security Act; Mutual Security Agency
MSF, minesweeper, fleet
MSP, Mutual Security Program
- NAC**, National Advisory Council on International Monetary and Financial Problems
NACOIIA (NACIAA), National Advisory Committee on Inter-American Affairs
NATO, North Atlantic Treaty Organization
NCG, National Council of Government, Uruguay
NCWC, National Catholic Welfare Conference
niact, night action, communications indicator requiring attention by the recipient at any hour of the day or night
NIE, National Intelligence Estimate
NSC, National Security Council

- OAP**, Office of Central American and Panamanian Affairs, Bureau of Inter-American Affairs, Department of State
- OAP/N**, Officer in Charge of Nicaraguan Affairs, Office of Central American and Panamanian Affairs, Bureau of Inter-American Affairs, Department of State
- OAS**, Organization of American States
- OCB**, Operations Coordinating Board
- OCDM**, Office of Civilian and Defense Mobilization
- ODECA**, *Organización de Estados Centroamericanos* (Organization of Central American States)
- OEА**, *Organización de Estados Americanos* (Organization of American States)
- OECD**, Organization for Economic Cooperation and Development
- OFD**, Office of International Financial and Development Affairs, Bureau of Economic Affairs, Department of State
- OIC**, Officer in Charge
- OISP**, Overseas Internal Security Program
- OPA**, Operation Pan America
- OPAR(s)**, Operations Program Approval Request(s) (administrative form(s) used by the international Cooperation Administration to request allocation(s) of local currency resources)
- ORIT**, *Organizacion Regional Interamericana de Trabajadores* (Inter-American Regional Organization of Workers)
- OSA**, Office of South American Affairs, Bureau of Inter-American Affairs, Department of State
- PA**, purchase authorization
- PAO**, Public Affairs officer
- PAR**, *Partido Acción Revolucionaria* (Revolutionary Action Party), Guatemala
- PBOS**, Planning Board for Ocean Shipping (NATO)
- PCA**, *Partido Comunista de Argentina* (Communist Party of Argentina)
- PCB**, *Partido Comunista de Bolivia* (Communist Party of Bolivia)
- PCE**, patrol craft
- PCP**, *Partido Comunista de Paraguay* (Communist Party of Paraguay); *Partido Comunista Peruano* (Communist Party of Peru)
- PCV**, *Partido Comunista Venezolano* (Communist Party of Venezuela)
- PEMEX**, Petroleos Mexicanos, S.A. (Mexican Petroleum Corporation)
- Petrobras**, Petroleo Brasileiro, S.A. (Brazilian Petroleum Corporation)
- PGT**, *Partido Guatemalteco del Trabajo* (Guatemalan Labor Party), Communist Party of Guatemala
- PLN**, *Partido Liberación Nacional* (National Liberation Party), Costa Rica
- PMG**, Postmaster General
- POR**, *Partido Obrero Revolucionario* (Revolutionary Workers Party), a Trotskyite faction of the Bolivian Communist Party
- PR**, *Partido Revolucionario* (Revolutionary Party), Guatemala
- PRAM**, *Partido Revolucionario April y Mayo* (April-May Revolutionary Party), El Salvador
- PRG**, *Partido de la Revolución Guatemalteca* (Party of the Guatemalan Revolution)
- PRUD**, *Partido Revolucionario de Unificación Democrática* (Revolutionary Party of Democratic Unification), El Salvador
- PSD**, *Partido Social Democrático* (Social Democratic Party), Brazil
- PSD/ICA/W**, Public Safety Division, International Cooperation Administration, Washington
- PSP**, *Partido Socialista Popular* (Popular Socialist Party), Cuban Communist Party
- PUN**, *Partido Union Nacional* (National Union Party), Costa Rica
- REA**, Office of Inter-American Regional Economic Affairs, Bureau of Inter-American Affairs, Department of State

XXVI List of Abbreviations

- RPA**, Office of Inter-American Regional Political Affairs, Bureau of Inter-American Affairs, Department of State
- RPA/S**, Office of Inter-American Regional Political Affairs, Security and Military Assistance, Bureau of Inter-American Affairs, Department of State
- S**, Office of the Secretary of State
- S/AE**, Special Assistant to the Secretary of State for Atomic Energy Affairs
- SAMF**, *Sindicato de Acción y Mejoramiento de los Ferrocarrileros* (Railwaymen's Action and Improvement Union), Guatemala
- SCA**, Bureau of Security and Consular Affairs, Department of State
- SCIDA**, *Servicio Cooperativo Interamericano de Agricultura* (Inter-American Cooperative Agricultural Service), United States agricultural cooperation with Guatemala
- SCIPA**, *Servicio Cooperativo Interamericano de Producción de Alimentos* (Inter-American Cooperative Service for Food Production), Peru
- SCISP**, *Servicio Cooperativo Interamericano de Salud Publica* (Inter-American Cooperative Public Health Service)
- SEATO**, Southeast Asia Treaty Organization
- Secto**, series indicator for telegrams to the Department of State from the Secretary of State or his delegation at international conferences
- SHAPE**, Supreme Headquarters, Allied Powers in Europe
- Sitrep**, Situation Report
- SOMISA**, *Sociedad Mixta Siderurgia Argentina* (Mixed Steel Company of Argentina)
- S/P**, Policy Planning Staff, Department of State SS, submarine
- Stat.**, *U.S. Statutes at Large*
- STICA**, *Servicio Tecnico Interamericano Agricola* (Inter-American Technical Service for Agricultural Cooperation)
- SUMOC**, *Superintendencia da Moeda e do Credito* (Superintendency of Money and Credit), Brazil
- TAC**, Trade Agreement Committee (Interdepartmental Committee on Trade Agreements)
- TC**, technical cooperation
- TCA**, Technical Cooperation Administration
- Tedul**, series indicator for telegrams to Secretary of State Dulles while away from Washington
- TIAS**, Treaties and other International Acts Series
- Tomur**, series indicator for telegrams concerning Under Secretary of State for Political Affairs Murphy
- TPC**, Trade Policy Committee
- U**, Office of the Under Secretary of State
- UAR**, United Arab Republic
- UBD**, Uruguayan Political Party
- UCR**, *Union Cívica Radical* (Radical Civic Union), Argentina
- UCRI**, *Union Cívica Radical Intransigente* (Intransigent Radical Civic Union), Argentina
- UCRP**, *Union Cívica Radical del Pueblo* (People's Radical Civic Union), Argentina
- UDN**, *Uniao Democratica Nacional* (National Democratic Union), Brazilian political party
- UFCO**, United Fruit Company
- U/MSc**, Office of the Deputy Coordinator for Mutual Security, Department of State
- UN**, United Nations
- UNEF**, United Nations Emergency Force
- UNESCO**, United Nations Educational, Scientific and Cultural Organization
- UNGA**, United Nations General Assembly
- UNICEF**, United Nations International Children's Fund
- UNO**, Nicaraguan Opposition Union

UNTAA, United Nations Technical Assistance Administration

UP, United Press

UPD, Democratic Patriotic Union, Dominican exile organization

URD, *Union Republicana Democrática* (Republican Democratic Union), Venezuelan political party

USARCARIB, United States Army, Caribbean

USAF, United States Air Force

USC, United States Code

USDel, United States delegation

USIA, United States Information Agency

USIS, United States Information Service

USMA, United States Military Attaché

USMC, United States Marine Corps

USOM, United States Operations Mission

USSR, Union of Soviet Socialist Republics

UST, *United States Treaties and Other International Agreements*

UTE, *Administración General de las Usinas Electrica y los Telefonos del Estado* (General Administration of State Electric Power and Telephone Services), Uruguay

VARIG, Empresa de Viacao Aerea Riograndense, S.A., Brazilian commercial airline

W, Office of the Deputy Under Secretary of State for Economic Affairs until July 30, 1958; thereafter Under Secretary of State for Economic Affairs

W/MSC, Office of the Special Assistant for Mutual Security Co-ordination, Department of State

WFTU, World Federation of Trade Unions

WHO, World Health Organization

WHO/PAHO, Pan American Health Organization, World Health Organization

WST, Office of West Coast Affairs, Bureau of Inter-American Affairs, Department of State

YPF, *Yacimientos Petroliferos Fiscales* (National Petroleum Company), Argentina

YPFB, *Yacimientos Petroliferos Fiscales Boliviano* (Bolivian National Petroleum Corporation)

List of Persons

Editor's Note: The identification of the persons in this list is generally limited to circumstances and positions under reference in this volume. All titles and positions are American unless there is an indication to the contrary. Where no dates are given, the official held the position throughout the period covered by this volume.

- Achilles, Theodore C.**, Ambassador to Peru until January 1960; Counselor of the Department of State from March 1960
- Acly, R. Austin**, Counselor of the Embassy in Panama until August 1959
- Acosta, Eduardo**, Minister and Petroleum Counselor of the Venezuelan Embassy in the United States, April 1958–January 1959
- Adair, Charles W., Jr.**, Chief, Trade Agreements and Treaties Division, Office of International Trade, Department of State until June 1958; Director, Office of International Financial and Development Affairs, June 1958–October 1959; Deputy Assistant Secretary of State for Economic Affairs from November 1959
- Adams, Sherman**, The Assistant to the President until November 1958
- Alejos, Carlos**, Guatemalan Ambassador to the United States from June 1960.
- Alejos, Roberto**, Guatemalan Coordinator of Ministers until March 1959; adviser to President Ydígoras
- Alessandri Rodriguez, Jorge**, President of Chile from November 1958
- Allen, George V.**, Director of the United States Information Agency
- Allende, Salvador**, Chilean Marxist Senator
- Alvarado Puerto, Andres**, Honduran Minister of Natural Resources until 1958; Foreign Minister from 1958
- Anderson, Robert B.**, Secretary of the Treasury
- Andrade, Victor**, Bolivian Ambassador to the United States until October 1958, and again from February 15, 1960; Foreign Minister, October 1958–November 1959
- Antillón Hernandez, Colonel Carlos S.**, Guatemalan Ambassador to the United States, June 1958–June 1959
- Aramburu, Major General Pedro Eugenio**, Provisional President of Argentina until May 1, 1958
- Arcaya Rivero, Ignacio Luis**, Venezuelan Foreign Minister from February 13, 1959
- Arey, Hawthorne**, Director of the Export-Import Bank
- Arias, Ricardo M.**, Panamanian Ambassador to the United States until December 7, 1960
- Arroyo Torres, Ledo**, Member of the National Government Council of Uruguay from March 1, 1959
- Atterberry, Phil R.**, Economic Development Division, Bureau of Economic Affairs, Department of State; Department of State Liaison with Export-Import Bank, National Advisory Council, International Monetary Fund, International Bank for Reconstruction and Development, and the International Finance Commission
- Atwood, Rollin S.**, Regional Director for Latin American Operations, International Cooperation Administration
- Baggett, Samuel G.**, Vice President and General Counsel, United Fruit Company, until 1959
- Baguidy, Joseph**, Haitian Foreign Minister from October 25, 1960
- Baird, Julian B.**, Under Secretary of the Treasury for Monetary Affairs
- Balaguer, Joaquin**, Vice President of the Dominican Republic until August 3, 1960; thereafter President
- Barral, Milton**, Deputy Assistant Secretary of State for Inter-American Affairs after October 3, 1960

- Barfield, John D.**, Second Secretary of the Embassy in the Dominican Republic until August 1960; thereafter Consul
- Barnes, Robert G.**, Special Assistant to the Under Secretary of State for Mutual Security Affairs until March 1958; Special Assistant for Mutual Security Coordination, March 1958–July 1959
- Barrau Pelaez, Manuel**, Bolivian Foreign Minister until October 1958; Ambassador to the United States, October 1958–July 1, 1959
- Bartch, Carl E.**, Office of South American Affairs, Department of State until September 1958; Officer in Charge of Venezuelan Affairs, Office of East Coast Affairs, September 1958–August 1959; thereafter Second Secretary of the Embassy in Peru; also Consul from June 1960
- Battle Berres, Luis**, reporter for Uruguayan newspaper *Acción*; member of the National Council of Government, March 1, 1958–March 1, 1959
- Beale, Wilson T.M., Jr.**, Deputy Assistant Secretary of State for Economic Affairs until February 1960
- Beaulac, Willard L.**, Ambassador to Argentina until August 1960
- Becker, Loftus E.**, Legal Adviser of the Department of State until August 1959
- Bell, John O.**, Regional Director for Near East and South Asia Operations, International Cooperation Administration, until December 1958; thereafter Special Assistant for Mutual Security Coordination to the Under Secretary of State for Economic Affairs
- Belton, William**, Counselor of the Embassy in Chile until August 1958
- Beltran Espantoso, Pedro G.**, director of Peruvian newspaper *La Prensa* until July 20, 1959; thereafter Prime Minister, Minister of Finance, and Minister of Commerce of Peru
- Bendfeldt Jauregui, Manuel**, Guatemalan Minister of Finance and Public. Credit from 1960
- Benson, Ezra Taft**, Secretary of Agriculture
- Berckmeyer, Fernando**, Peruvian Ambassador to the United States
- Berding, Andrew W.**, Assistant Secretary of State for Public Affairs
- Bernau, Phyllis D.**, Personal Assistant to Secretary of State Dulles
- Bernbaum, Maurice M.**, Director, Office of South American Affairs, Department of State, until September 1958, Director, Office of East Coast Affairs, September 1958–April 1959; Counselor of the Embassy in Argentina, April 1959–October 1960; thereafter Ambassador to Ecuador
- Betancourt, Romulo**, President of Venezuela from February 13, 1959
- Black, Eugene R.**, President of the International Bank for Reconstruction and Development
- Blanchard, Louis F.**, Officer in Charge of Mexican Affairs, Bureau of Inter-American Affairs, Department of State, until December 1958; thereafter Counselor for Consular Affairs of the Embassy in Nicaragua
- Blowers, George A.**, Director, Export-Import Bank of Washington
- Boggs, Marion W.**, Director of the National Security Council Secretariat until July 1959; thereafter Deputy Executive Secretary of the National Security Council
- Bonhomme, Ernest**, Haitian Ambassador to the United States from December 8, 1958
- Bonsal Philip W.**, Ambassador to Bolivia until February 1959; Ambassador to Cuba, March 1959–October 1960
- Boonstra, Clarence A.**, Deputy Director, Office of South American Affairs, Department of State, June–September 1958; Deputy Director, Office of East Coast Affairs, September 1958–March 1959; thereafter Director
- Borbon Castro, Jorge**, Costa Rican Minister of Agriculture and Industries, May 8, 1958–March 1, 1960; thereafter Minister of Economy and Finance
- Bramble, Harlan P.**, Counselor for Economic Affairs of the Embassy in Venezuela until October 18, 1959; thereafter Deputy Director, Office of International Resources, Department of State

- Brand, Vance**, Director, Export-Import Bank; also Director, Development Loan Fund from September 2, 1959
- Brewster, Robert C.**, Staff Assistant to the Deputy Under Secretary of State for Economic Affairs, March–April 1958; Staff Assistant to the Under Secretary of State for Economic Affairs, April 1958–April 1959; Special Assistant to the Under Secretary of State for Economic Affairs, April–June 1959; Special Assistant to the Under Secretary of State, June 1959–August 1960
- Briggs, William T.**, Office of South American Affairs, Department of State, until September 1958; Officer in Charge of Brazilian Affairs, Office of East Coast Affairs, September 1958–March 1959; Deputy Director, Office of East Coast Affairs, March 1959–August 1960
- Brucker, Wilber M.**, Secretary of the Army
- Burke, Admiral Arleigh A.**, USN, Chief of Naval Operations
- Burr, Jorge**, Counselor of the Chilean Embassy in the United States until January 1959; thereafter Minister-Counselor
- Burrows, Charles R.**, Minister-Counselor of the Embassy in Venezuela until August 1960; also Consul General, April 1958–August 1960; Ambassador to Honduras from November 1960
- Cabell, Lieutenant General (General from July 11, 1958) Charles P.**, USAF, Deputy Director of Central Intelligence
- Cabot, John M.**, Ambassador to Colombia until July 15, 1959; Ambassador to Brazil from July 22, 1959
- Calhoun, John A.**, Deputy Director, Executive Secretariat, Department of State until September 1958; Director, September 1958–September 1960
- Carrillo Smith, Carlos**, Peruvian Minister of Government and Police, June 10, 1958–May 25, 1960
- Carson, Charles C.**, Consul at Porto Alegre until January 1958; Bureau of Inter-American Affairs, Department of State, January–June 1958; thereafter Officer in Charge of Paraguayan Affairs
- Carter, Albert E.**, First Secretary of the Embassy in Paraguay until September 1958; thereafter Counselor
- Carter, Major General William A.**, USA, Governor of the Panama Canal Zone from 1960
- Castillo, Lieutenant Colonel Miguel Angel**, member of the Salvadoran Junta from October 26, 1960
- Castillo Figueroa, Dr. Fabio**, member of the Salvadoran Junta from October 26, 1960
- Castro, Hector David**, Salvadoran Ambassador to the United States
- Castro León, Colonel Jesus Maria**, Venezuelan Minister of Defence, January 23, 1958–July 22, 1958
- Castro Ruz, Fidel**, Commander in Chief of the Cuban Armed Forces, January 2–February 15, 1959; Premier of Cuba from February 16, 1959
- Chaplin, Maxwell**, Second Secretary of the Embassy in Colombia until December 1959; Officer in Charge of El Salvadoran Affairs, Office of Central American and Panamanian Affairs, Department of State, December 1959–August 1960, thereafter Officer in Charge of Honduran Affairs
- Chiari, Dr. Roberto E.**, President of Panama from October 1, 1960
- Clulow, Carlos A.**, Uruguayan Ambassador to the United States from February 16, 1960
- Coerr, Wymberley D.R.**, Counselor of the Embassy in Bolivia until October 1959; Director, Office of West Coast Affairs, Department of State, October 1959–October 1960; thereafter Deputy Assistant Secretary of State for Inter-American Affairs
- Conover, Harry**, Deputy Director, Office of Inter-American Regional Economic Affairs, Department of State, until May 1959, Counselor for Economic Affairs of the Embassy in Argentina after September 1959
- Copete Lizarralde, Ignacio**, Director of the Bank of Colombia

- Coughran, Thomas B.**, Assistant Secretary of the Treasury for International Affairs until 1958; thereafter Assistant Secretary of the Treasury
- Cruz Salazar, Colonel Jose Luis**, Presidential candidate in the Guatemalan elections of January 19, 1958, Minister of Communications and Public Works from 1960
- Cumming, Hugh S., Jr.**, Director of Intelligence and Research, Department of State
- Cutler, Robert**, Special Assistant to the President for National Security Affairs until January 1960; thereafter United States Executive Director of the Inter-American Development Bank
- Davila, Celeo**, Honduran Ambassador to the United States from March 10, 1958
- De la Guardia, Ernesto, Jr.**, President of Panama until October 1, 1960
- De Moya, Manuel A.**, Dominican Ambassador to the United States until July 1959
- De Sola, Dr. Rene**, Venezuelan Foreign Minister, January 23, 1958–February 13, 1959
- Dennison, W. Ellery**, Financial Economist, Loan Division, Export-Import Bank
- Devine, Frank J.**, Office of South American Affairs, Department of State, until March 1958; Staff Assistant, Bureau of Inter-American Affairs, March 1958–August 1960; thereafter Special Assistant to the Assistant Secretary of State for Inter-American Affairs
- Diez, Julio**, Venezuelan Minister of Mines and Hydrocarbons, November 24, 1958–February 13, 1959
- Dihigo, Ernesto**, Cuban Ambassador to the United States, March 16, 1954–January 18, 1960
- Dillon, C. Douglas**, Deputy Under Secretary of State for Economic Affairs until June 1958; Under Secretary of State for Economic Affairs, July 1958–June 1959; thereafter Under Secretary of State
- Dorr, Robert J.**, First Secretary of the Embassy in Chile until November 1958
- Douglas, James H., Jr.**, Secretary of the Air Force until December 10, 1959; Deputy Secretary of Defense from December 11, 1959
- Downs, Donald P.**, Counselor of the Embassy in El Salvador after June 1959
- Dreier, John C.**, Acting Director, Office of Inter-American Regional Political Affairs, Department of State, until January 1960; Representative, Council of the Organisation of American States until November 1960; Member, Inter-American Peace Committee until August 1960; Chairman, August 1959–August 1960
- Drew, Gerald A.**, Ambassador to Haiti until July 16, 1960
- Dulles, Allen W.**, Director of Central Intelligence
- Dulles, John Foster**, Secretary of State until April 22, 1959
- Duvalier, François**, President of Haiti
- Eaton, Samuel D.**, Second Secretary of the Embassy in Colombia after October 4, 1959
- Echandi Jimenez, Mario**, President of Costa Rica from May 8, 1958
- Echegoyen, Martin R.**, President of Uruguay, March 1, 1959–March 1, 1960, thereafter Member of the National Council of Government
- Eisenhower, Dwight D.**, President of the United States
- Eisenhower, Major (Lieutenant Colonel from May 1960) John S.D.**, USA, Assistant Staff Secretary to the President after October 20, 1958
- Eisenhower, Milton S.**, Personal Representative of the President with rank of Special Ambassador, July 12–August 1, 1958; Member, National Advisory Committee for Inter-American Affairs from November 14, 1959
- Eliot, Theodore L., Jr.**, Staff Assistant to the Under Secretary of State for Economic Affairs, March–July 1959; thereafter Special Assistant to the Under Secretary of State
- Escalante Duran, Manuel G.**, Costa Rican Ambassador to the United States from July 16, 1958
- Escamilla, Colonel Alberto**, Director General of the Salvadoran National Police until December 1959; Minister of Interior from October 26, 1960
- Espy, James**, Counselor of the Embassy in Uruguay until February 22, 1959

- Falcon Briceno, Marcos**, Venezuelan Ambassador to the United States, August 14, 1958–November 11, 1960
- Falla Caceres, Ricardo**, member of the Salvadoran Junta from October 26, 1960
- Farland, Joseph F.**, Ambassador to the Dominican Republic until May 28, 1960; Ambassador to Panama from August 29, 1960
- Farley, Philip J.**, Special Assistant to the Secretary of State for Atomic Energy Affairs until March 1958; thereafter Special Assistant to the Secretary of State for Disarmament and Atomic Energy Affairs
- Figueres Ferrer, José**, President of Costa Rica until May 8, 1958
- Fischer, Carlo L.**, President of Uruguay, March 1, 1958–March 1, 1959
- FitzGerald, Dennis A.**, Deputy Director for Operations, International Cooperation Administration
- Flemming, Arthur S.**, Secretary of Health, Education, and Welfare from August 1, 1958
- Flores Avendano, Guillermo**, Provisional President of Guatemala until March 2, 1958
- Fortin Magana, René**, member of the Salvadoran Junta from October 26, 1960
- Franklin, Albert B., III**, Counselor of the Embassy in Honduras after September 1959
- Frondizi, Arturo**, President of Argentina from May 1, 1958
- Gallo Porras, Luis**, First Vice President of Peru; Prime Minister and Minister of Finance, June 10, 1958–July 19, 1959
- Gaither, General Ridgely**, USA, Commander in Chief, Caribbean Command, Quarry Heights, Panama Canal Zone, from 1958
- Garcia Bauer, Carlos**, Guatemalan Foreign Minister, March–September 1958
- Gates, Thomas S., Jr.**, Secretary of the Navy until June 7, 1959; Deputy Secretary of Defense, June 8–December 1, 1959; thereafter Secretary of Defense
- Gawf, John L.**, Office of Middle American Affairs, Department of State, January–September 1958; Officer in Charge of El Salvadoran Affairs, September 1958–June 1959; Officer in Charge of Honduran Affairs, June 1959–June 1960
- Gerber, Anthony**, Economic Development Division, Department of State until May 29, 1960, thereafter Chief, Development Policy Branch, Economic Development Division
- Gerberich, Albert H.**, Office of South American Affairs, Department of State, until September 1958, thereafter Officer in Charge of Colombian Affairs
- Gleason, S. Everett**, Deputy Executive Secretary of the National Security Council until July 1959
- Godfrey, Richard A.**, Second Secretary and Commercial Attaché of the Embassy in Costa Rica until April 1959; Officer in Charge of Costa Rican Affairs, Office of Central American and Panamanian Affairs, Department of State, April 1959–July 1960; thereafter Officer in Charge of Guatemalan Affairs
- Gonzalez Sigui, Colonel Jose Ruben**, First Sub-Secretary of Defense, Guatemalan Ministry of Defense, March 3–April 22, 1958; Minister of National Defense, April 23, 1958–December 6, 1960
- Goodpaster, Brigadier General Andrew J., Jr.**, USA, White House Staff Secretary
- Gorrell, Juan J.**, First Secretary and Consul of the Embassy in Guatemala until April 1959; also Labor Attaché, April 1958–April 1959; Officer in Charge of Guatemalan Affairs, Office of Central American and Panamanian Affairs, Department of State, April 1959–July 1960; thereafter Bureau of Inter-American Affairs
- Goulart, Joao Belchior Marques**, Vice President of Brazil
- Gray, Gordon**, Director, Office of Defense Mobilization, until July 22, 1958; thereafter Special Assistant to the President for National Security Affairs
- Gray, Robert K.**, Special Assistant at the White House until May 16, 1958; thereafter Secretary to the Cabinet
- Guevara Arze, Walter**, Bolivian Minister of Government, September 1958–November 1959; Minister of Foreign Affairs, November 16, 1959–February 1, 1960

- Guevara Serna, Major Ernesto ("Che")**, head of Industrial Department, Cuban National Institute of Industrial Reform from 1959; President of the National Bank of Cuba from November 26, 1959
- Gutierrez Gomez, José**, Colombian Ambassador to the United States until October 16, 1959
- Haedo, Eduardo Victor**, member of the Uruguayan National Government Council
- Hagerty, James C.**, Press Secretary to the President
- Hammond, Henry S.**, Counselor for Economic Affairs of the Embassy in the Dominican Republic until March 1959; First Secretary–Labor Attaché of the Embassy in Cuba, March 1959–October 1960; thereafter Office of Inter-American Regional Political Affairs, Department of State
- Hanes, John W., Jr.**, Deputy Assistant Secretary of State for International Organization Affairs until January 1959; thereafter Administrator, Bureau of Security and Consular Affairs
- Harley, Charles R.**, Chief of the Latin American Division, Office of International Finance, Department of the Treasury
- Harr, Karl G.**, Deputy Assistant Secretary of Defense for International Security Affairs until March 1958; thereafter Special Assistant to the President and Vice Chairman of the Operations Coordinating Board
- Harrington, Julian F.**, Ambassador to Panama until July 14, 1960, Special Assistant to the Deputy Under Secretary of State for Administration from August 1960
- Harrison, Faustino**, member of the Uruguayan National Government Council
- Hazera, Jorge**, Minister-Counselor of the Costa Rican Embassy in the United States until 1960
- Hemba, Alton W.**, First Secretary of the Embassy in El Salvador until July 1959; Officer in Charge of Brazilian Affairs, Office of East Coast Affairs, Department of State, July 1959–August 1960; thereafter Deputy Director, Office of East Coast Affairs
- Henderson, Horace**, Office of the Deputy Under Secretary of State for Administration, June 1958–January 1959; thereafter Deputy Assistant Secretary of State for International Organization Affairs
- Henderson, Loy**, Deputy Under Secretary of State for Administration
- Hernandez Volio, Alfredo**, Costa Rican Minister of Economy and Finance, May 8, 1958–February 29, 1960
- Herrera, Felipe**, Chilean banker, Governor, International Bank for Reconstruction and Development and the International Monetary Fund, 1958, Executive Director, International Monetary Fund, representing Argentina, Bolivia, Chile, Ecuador, Paraguay, and Uruguay from 1958; President of the Inter-American Development Bank from December 1959
- Herrera Báez, Porfirio**, Dominican Foreign Minister
- Herron, Francis W.**, Counselor and Consul of the Embassy in Argentina until February 1959, thereafter Deputy Director of the Policy Plans and Guidance Staff, Bureau of Public Affairs, Department of State
- Herter, Christian A.**, Under Secretary of State until April 22, 1959, thereafter Secretary of State
- Hidalgo, Carlos F.**, Counselor of the Honduran Embassy in the United States
- Higdon, Charles E.**, Deputy Director, Office of Central American and Panamanian Affairs, November 1959–August 1960; thereafter Acting Director
- Hill, John C., Jr.**, Office in Charge of River Plate Affairs, Office of East Coast Affairs, Department of State, June–July 1958; Special Assistant to the Assistant Secretary of State for Inter-American Affairs, July 1958–August 1960
- Hill, Robert C.**, Ambassador to Mexico until December 1, 1960
- Hilton, Ralph**, Counselor of the Embassy in Paraguay until October 1958, Deputy Director, UNESCO Relations Staff of the Bureau of International Organization Affairs, Department of State, October 1958–January 1959; Director, January–June 1959; thereafter Special Assistant, Bureau of Security and Consular Affairs

- Hoegh, Leo A.**, Administrator, Federal Civil Defense Administration until July 1, 1958, thereafter Director of the Office of Civil and Defense Mobilization
- Hoghlund, John S., II**, Deputy Assistant Secretary of State for Congressional Relations
- Howe, Fisher**, Director of the Executive Secretariat, Department of State, until October 1958
- Howe, Walter**, Ambassador to Chile from June 1, 1958
- Hoyas Osares, Guillermo**, Counselor of the Peruvian Ministry of Foreign Affairs from 1958
- Hoyt, Henry A.**, Special Assistant to the Assistant Secretary of State for Inter-American Affairs until August 1958; Counselor of the Embassy in Uruguay, August 1958–November 1960; thereafter Counselor of the Embassy in Argentina
- Ibáñez del Campo, General Carlos**, President of Chile until November 3, 1958
- Ingersoll, John J.**, Assistant Officer in Charge of Brazilian Affairs and Officer in Charge of Venezuelan Affairs, Office of South American Affairs, Department of State, until September 1958, Assistant Officer in Charge of Brazilian Affairs, Office of East Coast Affairs, September 1958–August 1959; thereafter Officer in Charge of Venezuelan Affairs
- Irwin, John N., II**, Deputy Assistant Secretary of Defense for International Security Affairs until September 1958; thereafter Assistant Secretary of Defense for International Security Affairs
- Jacobsson, Per**, Swedish Managing Director and Chairman of the Executive Board of the International Monetary Fund
- Jamison, Edward A.**, Counselor for Consular Affairs of the Embassy in Costa Rica until February 1959; Counselor for Consular Affairs of the Embassy in Guatemala, February–March 1959; Counselor and Consul General, March 1959–January 1960; thereafter Director of the Office of Inter-American Regional Political Affairs, Department of State
- Johnson, Lyndon B.**, Democratic Senator from Texas; Senate Majority Leader
- Johnson, Robert H.**, member, Special Staff, National Security Council, until 1959; Director, Planning Board Secretariat, National Security Council, from 1959
- Johnston, John W., Jr.**, Director, International Cooperation Administration Mission in Colombia until August 1959, Deputy Regional Director for Latin American Operations, International Cooperation Administration after June 1960
- Kalijarvi, Thorsten V.**, Ambassador to El Salvador until December 18, 1960
- Kendall, David W.**, Counsel to the President from November 5, 1958
- Kerr, Peyton A.**, Director, Office of International Financial and Development Affairs, March–September 1960; thereafter Deputy Assistant Secretary of State for Economic Affairs
- Keyes, Commander Thomas E.**, USN, Chief of the Naval Mission in the Dominican Republic, 1958
- Kimmel, Roy I.**, Counselor for Economic Affairs in the Embassy in Honduras until January 1959, thereafter Counselor and Consul of the Embassy in Costa Rica
- King, Bayard**, Office of Middle American Affairs, Department of State, until September 1958; Officer in Charge of Guatemalan Affairs, Office of Central American and Panamanian Affairs, September 1958–April 1959
- Krebs, Max V.**, Special Assistant to the Under Secretary of State until June 1959; thereafter Special Assistant to the Secretary of State
- Krieg, William L.**, Deputy Director and Officer in Charge of Puerto Rican Affairs, Office of Inter-American Regional Political Affairs, Department of State, until June 1958, Counselor and Consul General of the Embassy in Chile from July 1958
- Kubitschek de Oliveira, Dr. Juscelino**, President of Brazil
- Lacarte, Julio A.**, Uruguayan Ambassador to the United States until February 1960
- Lafer, Horácio**, Brazilian Foreign Minister from August 4, 1959
- Larrazábal, Admiral Wolfgang**, Provisional President of Venezuela, January 23–November 14, 1958

- Leddy, John M.**, Special Assistant, Office of the Deputy Under Secretary of State for Economic Affairs, until June 1958; Special Assistant to the Under Secretary of State for Economic Affairs, June 1958–June 1959; thereafter Special Assistant to the Under Secretary of State
- Leggett, Herbert B.**, Officer in Charge of Central American and Panamanian Affairs, Office of Middle American Affairs, Department of State, until September 1958; Deputy Director, Office of Central American and Panamanian Affairs, September 1958–August 1959
- Lemus, Lieutenant Colonel José Maria**, President of El Salvador until October 26, 1960
- Lightner, Edwin Allan, Jr.**, Deputy Assistant Secretary of State for Public Affairs until June 1959
- Linville, Francis A.**, Counselor for Economic Affairs of the Embassy in Peru until June 1960
- Litsey, Weldon**, Office of Inter-American Regional Economic Affairs, Department of State, until August 1959; thereafter First Secretary and Consul General of the Embassy in Argentina
- Little, Edward S.**, Officer in Charge of Caribbean Affairs, Bureau of Inter-American Affairs, Department of State, until September 1958; Deputy Director, Office of Caribbean and Mexican Affairs, September 1958–September 1959; thereafter Counselor of the Embassy in Ecuador
- Lleras Camargo, Alberto**, President of Colombia from August 7, 1958
- Lleras Restrepo, Carlos**, leader of the Colombian Liberal Party; Vice President of Colombia from November 1960
- Llosa, Rear Admiral Luis Edgardo**, Naval Attaché of the Peruvian Embassy in the United States
- Lodge, Henry Cabot, Jr.**, Representative at the United Nations until September 3, 1960
- Lofton, Harry M.**, Second Secretary–Consul of the Embassy in the Dominican Republic until August 1960; thereafter Consul of the Consultate in the Dominican Republic
- López Henriquez, Brigadier General Jose**, Venezuelan Minister of Defense from July 22, 1958
- López Herrarte, Dr. Marianao**, Guatemalan Minister of Public Health and Social Welfare from March 3, 1958
- López Mateos, Adolfo**, President of Mexico from December 1, 1958
- Luboeansky, Earl H.**, Officer in Charge of Special Political Affairs, Office of Inter-American Regional Political Affairs, Department of State; also member of the Delegation to the Council of the Organization of American States
- Macedo Soares, Jose Carlos de**, Brazilian Minister of Foreign Affairs until July 4, 1958
- Magnani, General Enrique**, Uruguayan Army; Aide to President Eisenhower during his visit to Uruguay, March 1960
- Mallory, Lester D.**, Ambassador to Guatemala, February 27, 1958–November 11, 1959; Deputy Assistant Secretary of State for Inter-American Affairs from November 27, 1959
- Mann, Thomas C.**, Assistant Secretary of State for Economic Affairs until August 28, 1960; thereafter Assistant Secretary of State for Inter-American Affairs
- Mars, Louis**, Haitian Foreign Minister, November 7, 1958–December 21, 1959
- Martin, Edwin M.**, Deputy Assistant Secretary of State for Economic Affairs, January–August 1960; thereafter Assistant Secretary of State for Economic Affairs
- Martinez Montero, Lieutenant Homero**, Uruguayan Foreign Minister from March 1, 1959
- McCone, John A.**, Chairman, Atomic Energy Commission from July 15, 1958
- McElroy, Neil H.**, Secretary of Defense until December 1, 1959
- McIntosh, Dempster**, Manager of the Development Loan Fund, January 3–June 30, 1958; Managing Director, July 1, 1958–June 30, 1959, Ambassador to Colombia from July 30, 1959

- Mejia Salazar, Jorge**, Colombian Minister of Agriculture until August 7, 1958
- Menapace, Robert**, Executive Vice President, Inter-American Development Bank, from December 1959
- Méndez Montenegro, Mario**, Presidential candidate in the Guatemalan election of January 19, 1958
- Merchant, Livingston T.**, Assistant Secretary of State for European Affairs, November 1958–August 1959; Deputy Under Secretary of State for Political Affairs, August–December 1959; Under Secretary of State for Political Affairs from December 1959
- Miller, Colonel Henry W.**, USA (ret.), Director of the United States Operations Mission in El Salvador
- Miller, Rear Admiral William**, USN, Assistant Chief of Naval Operations, Plans and Policy from 1959
- Minnich, L. Arthur, Jr.**, Assistant Staff Secretary to the President until August 6, 1960
- Montiel Arguello, Alejandro**, Nicaraguan Foreign Minister
- Mora, José A.**, Secretary General of the Organization of American States
- Moreno, Miguel J., Jr.**, Panamanian Foreign Minister
- Moreno Cordova, Hugo**, Bolivian Minister of Finance and Economy (Finance and Statistics) until 1959
- Morgan, Gerald D.**, Special Counsel to the President until 1958; Deputy Assistant to the President from 1958
- Morse, True D.**, Under Secretary of Agriculture
- Morse, Wayne**, Democratic Senator from Oregon; Chairman of the Subcommittee on American Republics Affairs, Senate Foreign Relations Committee
- Muccio, John J.**, Ambassador to Guatemala from February 1, 1960
- Mueller, Frederick H.**, Assistant Secretary of Commerce until November 1958; Under Secretary of Commerce, November 1958–August 10, 1959; thereafter Secretary of Commerce
- Müller Hess, Walter**, Chilean Ambassador to the United States from February 13, 1959
- Mulliken, Jean H.**, Officer in Charge of Commodities and Commercial Policy, Office of Inter-American Regional Economic Affairs, Department of State
- Muñoz Marín, Luis**, Governor of Puerto Rico
- Murphy, Robert D.**, Deputy Under Secretary of State for Political Affairs until August 1959; Under Secretary of State for Political Affairs, August–December 1959
- Nardone, Benito**, member of the Uruguayan National Government Council; President from March 1, 1960
- Neal, Jack D.**, Counselor of the Embassy in Peru
- Negrao de Lima, Francisco**, Brazilian Foreign Minister, July 1958–August 1959
- Newbegin, Robert**, Deputy Assistant Secretary of State for Personnel until March 26, 1958, Ambassador to Honduras, April 21, 1958–August 3, 1960, Ambassador to Haiti from November 4, 1960
- Nixon, Richard M.**, Vice President of the United States
- O'Connor, Jeremiah J.**, Deputy Operations Coordinator, Department of State, March–July 1958; thereafter Operations Coordinator
- Ortiz Mancia, Alfredo**, Salvadoran Foreign Minister until October 26, 1960
- Ortúzar Escobar, Enrique**, Chilean Minister of the Interior and Secretary to the Executive, November 3, 1958–January 19, 1959; Acting Foreign Minister during Vergara's absence, 1960; Minister of Justice from September 15, 1960
- Osorio, Lieutenant Colonel Oscar**, former President of El Salvador, September 14, 1950–September 14, 1956
- Owen, Richard B.**, Second Secretary of the Embassy in Bolivia until December 1958; also Consul, February–December 1958; Cuban Desk, Office of Caribbean and Mexican Affairs, Department of State, December 1958–July 1960; Officer in Charge of Dominican Republic Affairs from July 1960

- Paarlberg, Don**, Assistant Secretary of Agriculture until October 1958; thereafter Special Assistant to the President for Economic Affairs
- Paes de Almeida, Sebastiao**, President of the Bank of Brazil until June 1959; Acting Minister of Finance, June–July 1959; thereafter Minister of Finance
- Parada, General Alan**, Salvadoran Minister of Defense until October 26, 1960
- Parker, Roberto A.**, Salvadoran Minister of Public Works until October 26, 1960
- Paz Lstensoro, Victor**, Bolivian Ambassador to the United Kingdom until 1960; President of Bolivia from August 6, 1960
- Peñaloza, Luis**, President of the Central Bank of Bolivia
- Pérez Alfonso, Juan Pablo**, Venezuelan Minister of Mines and Petroleum from February 13, 1959
- Pérez de la Cova, Carlos**, Minister and Petroleum Counselor of the Venezuelan Embassy in the United States until May 22, 1958; Minister of Mines and Hydrocarbons, May 22, 1958–February 1959; thereafter Minister and Petroleum Counselor of the Venezuelan Embassy in the United States; also Chargé d’Affaires ad interim from November 11, 1960
- Pérez Jiménez, General Marcos**, President of Venezuela until January 23, 1958
- Peron, General Juan Domingo**, President of Argentina, June 4, 1946–September 22, 1955
- Perry, Hart**, Deputy Manager, Development Loan Fund, January–September 1958; thereafter Deputy Managing Director for Operations, International Cooperation Administration
- Persons, Major General Wilton K.**, Deputy Assistant to the President until October 7, 1958, thereafter Assistant to the President
- Phillips, Robert M.**, Officer in Charge of Chilean Affairs, Office of West Coast Affairs, Department of State, from September 1958
- Pitts, Henry L., Jr.**, Office of West Coast Affairs, Department of State, until September 1958; Officer in Charge of Bolivian Affairs, September 1958–July 1960
- Plate, Juan**, Paraguayan Ambassador to the United States from July 29, 1958
- Ploeser, Walter C.**, Ambassador to Paraguay until September 12, 1959
- Ponce Enríquez, Camilo**, President of Ecuador until September 1, 1960
- Poole, Richard A.**, Second Secretary of the Embassy in Colombia until July 1959; Officer in Charge of Peruvian Affairs, Office of West Coast Affairs, Department of State, from August 1959
- Porras Barrenechea, Raul**, Peruvian Foreign Minister, April 1958–September 1960
- Post, Albert**, Office of Inter-American Regional Economic Affairs until May 1959; thereafter, Financial Adviser of that Office
- Potter, Major General William F.**, USA, Governor of the Panama Canal Zone
- Powell, Oscar M.**, Director of the International Cooperation Administration Mission in Guatemala until September 1959
- Prado Montano, Julio**, Bolivian Minister of Defense until February 1958; Bolivian Ambassador to Ecuador from February 27, 1958
- Prado y Ugarteche, Mael**, President of Peru
- Price, William E.**, Officer in Charge of Panamanian Affairs, Office of Central American and Panamanian Affairs, Department of State, September 1958–September 1959
- Pringle, Sandy M.**, Office of South American Affairs, Department of State, until September 1958; Officer in Charge of Peruvian Affairs, Office of West Coast Affairs, September 1958–August 1959
- Puga, Mariano**, Chilean Ambassador to the United States until July 1958
- Quadros, Janio da Silva**, Governor of the State of Sao Paulo, Brazil until 1958; member of the Brazilian Chamber of Deputies, 1959–1960; President-elect of Brazil from October 3, 1960
- Ramírez Amaya, Guillermo**, Colombian Minister of Government, August 7, 1958–winter 1960

- Ramírez Pinto, Colonel Arturo**, Guatemalan Ambassador to Mexico, 1958–1959; Ambassador to the United States, July 13, 1959–March 11, 1960
- Randall, Clarence B.**, Special Assistant to the President for Foreign Economic Policy
- Redington, Robert J.**, Officer in Charge of U.S.–OAS Delegation Matters. Office of Inter-American Regional Political Affairs, Department of State
- Rengifo, Brigadier General Pioquinto**, Colombian Minister of Government until August 7, 1958
- Riddleberger, James W.**, Director, International Cooperation Administration, after May 20, 1959
- Roa y García, Raúl**, Cuban Representative to the Organization of American States from January 1959; Foreign Minister from June 12, 1959
- Roderick, George H.**, Assistant Secretary of the Army
- Rodríguez Echazabal, Antonio**, Cuban Ambassador to Guatemala, October 1959–April 1960
- Rogers, William P.**, Attorney General of the United States
- Rosales, Major Ruben Alonso**, member of the Salvadoran Junta from October 26, 1960
- Rosenson, Alexander M.**, Officer in Charge of Economic Development, Commodities, and Commercial Policy, Office of Inter-American Regional Economic Affairs, Department of State, until October 14, 1960, thereafter Deputy Director, Office of Inter-American Regional Economic Affairs
- Ross, Emerson A.**, Chief of the Investment and Development Staff, Bureau of Economic Affairs, Department of State, until January 1959; Acting Special Assistant, Office of International Financial and Development Affairs, January–April 1959; thereafter Special Assistant
- Ross, Robert W.**, Second Secretary of the Embassy in the Dominican Republic until February 1959; Bureau of Inter-American Affairs, Department of State, February–August 1959; thereafter Information Specialist of that bureau
- Rowntree, R. Henry**, Chief of the Economics Division, Export-Import Bank
- Rubottom, Roy R., Jr.**, Assistant Secretary of State for Inter-American Affairs until August 27, 1960; Ambassador to Argentina from October 20, 1960
- Ruiz Cortines, Adolfo**, President of Mexico until November 30, 1958
- Saccio, Leonard J.**, General Counselor, International Cooperation Administration, until August 1958; Deputy Director, August 1958–September 1960; Attaché at the Embassy in Brazil, September–October 1960; thereafter Counselor for Economic Affairs; also Director of the United States Operations Mission in Brazil from September 1960
- Sanders, Terry B., Jr.**, Deputy Director, Office of South American Affairs, Department of State, until August 1958
- Santaella, Hector**, Venezuelan Ambassador to the United States until May 22, 1958
- Sanz de Santamaría, Carlos**, Colombian Foreign Minister until August 7, 1958; Ambassador to the United States from April 1, 1960
- Sapena Pastor, Raúl**, Paraguayan Foreign Minister
- Sauer, Walter C.**, Executive Vice President, Export-Import Bank
- Saulnier, Dr. Raymond J.**, Chairman, President's Council of Economic Advisers
- Sause, Oliver L., Jr.**, Deputy Director of the United States Operations Mission in Chile until November 1958, Chief of the Program Staff, International Cooperation Administration, November 1958–September 1960; thereafter Deputy Regional Director for African and European Operations
- Seaton, Fred A.**, Secretary of the Interior
- Secco Ellauri, Oscar**, Uruguayan Foreign Minister until March 1, 1959
- Sepulveda Contreras, Alberto**, Chilean Foreign Minister until November 3, 1958
- Sevilla-Sacasa, Guillermo**, Nicaraguan Ambassador to the United States
- Shepherd, General Lemuel C., Jr.**, USMC, former Commandant of the Marine Corps; Chairman of the Inter-American Defense Board until September 15, 1959

- Shillock, John C., Jr.**, First Secretary–Consul of the Embassy in Panama, February–July 1959; thereafter Counselor and Consul
- Silberstein, Joseph A.**, Officer in Charge of West Coast Affairs, Office of South American Affairs, Department of State, until September 1958; Deputy Director, Office of West Coast Affairs, September 1958–June 1960
- Siles Zuarzo, Hernan**, President of Bolivia until August 8, 1960
- Sinn, Melvin E.**, Second Secretary and Consul of the Embassy in Uruguay until September 1960; thereafter Office of Inter-American Regional Economic Affairs
- Siracusa, Ernest V.**, Officer in Charge of Brazilian Affairs, Office of South American Affairs, Department of State, until September 1958; Director, Office of West Coast Affairs, September 7 1958–September 1959
- Smith, Dan Throop**, Deputy to the Secretary of the Treasury (in charge of Tax Policy) until 1958
- Smith, Gerard C.**, Assistant Secretary of State for Policy Planning
- Smith, James H., Jr.**, Director, International Cooperation Administration until March 9, 1959
- Smith, Marshall M.**, Deputy Assistant Secretary of Commerce for International Affairs until March 1959
- Snow, William P.**, Deputy Assistant Secretary of State for Inter-American Affairs until November 1959
- Snowdon, Henry T.**, Chief of the Aviation Division, Department of State
- Solís, Galileo**, Panamanian Foreign Minister from October 1, 1960
- Somoza Debayle, General Anastasio**, Director of the Nicaraguan National Guard and Chief of the Air Force
- Somoza Debayle, Luis A.**, President of Nicaragua
- Southard, Frank A., Jr.**, U.S. Executive Director, International Monetary Fund
- Sparks, Edward J.**, Ambassador to Guatemala until February 15, 1958, Ambassador to Venezuela from March 19, 1958
- Spencer, George O.**, First Secretary of the Embassy in Brazil, January 1958; Office of Inter-American Regional Political Affairs, Department of State. January–September 1958, thereafter Officer in Charge of Inter-American Security and Military Assistance Affairs
- Sprague, Mansfield D.**, Assistant Secretary of Defense for International Security Affairs until September 1958
- Staats, Elmer B.**, Executive Officer of the Operations Coordinating Board until 1958, Deputy Director of the Bureau of the Budget from March 16, 1959
- Stambaugh, Lynn U.**, First Vice President and Vice Chairman of the Export-Import Bank
- Stans, Maurice H.**, Director of the Bureau of the Budget from March 16, 1958
- Stewart, C. Allan**, Deputy Director, Office of Middle American Affairs, Department of State, until September 1958; Director, Office of Central American Affairs, September 1958–August 1960; thereafter Counselor of the Embassy in Venezuela
- Stimpson, Harry F., Jr.**, Special Assistant to the Under Secretary of State until July 1959; Special Assistant, Office of the Secretary of State, July–September 1959, Ambassador to Paraguay from October 23, 1959
- Stoessel, Walter J.**, Deputy Director, Executive Secretariat, Department of State, July–September 1960, thereafter Director
- Storm, Gustavo**, President of the Central Bank of Paraguay
- Strauss, Admiral Lewis L.**, Chairman, Atomic Energy Commission, and Special Assistant to the President on Atomic Energy Matters until November 12, 1958; Secretary of Commerce, November 12, 1958–August 10, 1959
- Stroessner, General Alfredo**, President of Paraguay
- Strom, Carl W.**, Ambassador to Bolivia from May 4, 1959
- Sullivan, Charles A.**, Deputy Special Assistant to the Secretary of State for Disarmament and Atomic Energy, February 1959–October 1960; thereafter Special Assistant to the Secretary of State

- Taylor, Henry L.**, Officer in Charge of Costa Rican-Nicaraguan Affairs, Bureau of Inter-American Affairs, Department of State, until April 1959; Officer in Charge of Nicaraguan Affairs, April 1959–October 1960
- Tello Baurraud, Manuel**, Mexican Foreign Minister from December 1, 1958
- Thorndike, Augusto**, Peruvian Minister of Justice until January 8, 1958; Minister of Finance and Commerce, January 8–June 9, 1958
- Tirado Lamb, Rear Admiral Guillermo**, Peruvian Minister of the Navy from June 10, 1958
- Tobar Zaldumbide, Carlos**, Ecuadoran Foreign Minister until September 1, 1960
- Trujillo y Molina, General Hector B.**, President of the Dominican Republic until August 3, 1960
- Trujillo y Molina, Generalissimo Rafael L.**, Commander in Chief of the Dominican Armed Forces
- Turbay Ayala, Julio César**, Colombian Minister of Mines and Petroleum until August 7, 1958; thereafter Minister of Foreign Affairs
- Turkel, Harry R.**, Director, Office of Inter-American Regional Economic Affairs, Department of State, until December 30, 1959; thereafter, Representative with personal rank of Ambassador to the Inter-American Economic and Social Council of the Organization of American States
- Turnage, William V.**, Deputy Director, Office of International Finance and Development, Department of State, until October 1959, Acting Director, October 1959–February 1960; Special Assistant to the Assistant Secretary of State for Economic Affairs after November 1959
- Uda Murillo, Jesus V.**, Guatemalan Foreign Minister from September 11, 1958
- Upton, T. Graydon**, Assistant Secretary of the Treasury from 1958
- Urrutia de Leon, Colonel Luís**, Commander of the Guatemalan Air Force until April 1959
- Valle, Henrique Rodrigues**, Minister-Counselor of the Brazilian Embassy in the United States until September 1959
- Vallon, Edwin E.**, Counselor of the Embassy in El Salvador until October 1959, Deputy Director, Office of Caribbean and Mexican Affairs, Department of State, October 1959–September 1960; Acting Director, September–October 1960; thereafter Director
- Vargas Gené, Joaquin**, Costa Rican Minister of Government, Police, Justice, and Pardons from May 8, 1958
- Vergara, Roberto**, Chilean Minister of Finance, Economy, and Mines, November 3, 1958–September 15, 1960
- Vergara Donoso, German**, Chilean Foreign Minister from November 3, 1958
- Vial Infante, Carlos**, Chilean Minister of Defense from November 3, 1958
- Villeda Morales, Dr. Jose Ramón**, President of Honduras
- Wallich, Henry C.**, Assistant to the Secretary of the Treasury, 1958–1959; member, President's Council of Economic Advisers, 1959–1960
- Wardlaw, Andrew B.**, Officer in Charge of North Coast Affairs, Office of South American Affairs, Department of State, until July 1958; Chief of the Division of Research and Analysis for American Republics, Bureau of Intelligence and Research, July 1958–February 1959
- Warner, Norman E.**, Officer in Charge of Haitian Affairs, Office of Caribbean and Mexican Affairs, Department of State, September 1958–December 1960
- Washburn, Abbott M.**, Deputy Director, United States Information Agency
- Watrous, Livingston D.**, Officer in Charge of River Plate Affairs, Office of South American Affairs, Department of State, until August 1958
- Waugh, Samuel C.**, President and Chairman of the Board of Directors, Export-Import Bank
- Weise, Robert W., Jr.**, International Educational Exchange Service, Bureau of Public Affairs, Department of State, until June 1960, thereafter Officer in Charge of Bolivian Affairs, Office of East Coast Affairs

- Wells, Milton K.**, Counselor of the Embassy in Colombia from January 1958
- Wheaton, Anne W.**, Associate Press Secretary to the President
- Whelan, Thomas E.**, Ambassador to Nicaragua
- White, Paul Lincoln**, Chief of the News Division, Department of State
- White, General Thomas D., USAF**, Chief of Staff of the Air Force
- Whitehouse, Charles S.**, Special Assistant, Office of the Deputy Under Secretary of State for Economic Affairs, until June 1958; Special Assistant to the Under Secretary of State for Economic Affairs, June 1958–March 1959
- Whiteman, Marjorie M.**, Attorney-Adviser, Inter-American Area, Office of the Assistant Legal Adviser for Inter-American Affairs, Department of State, until October 1958; thereafter Assistant Legal Adviser for Inter-American Affairs
- Wieland, William A.**, Director, Office of Middle American Affairs. Department of State, until September 1958; Director, Office of Caribbean and Mexican Affairs, September 1958–October 1960
- Willauer, Whiting**, Ambassador to Honduras until March 24, 1958; Ambassador to Costa Rica from May 5, 1958
- Willis, George H.**, Director, Office of International Finance, Department of the Treasury; also Secretary of the National Advisory Council on International Monetary and Financial Problems
- Wilson, Jackson W.**, Office of South American Affairs, Department of State, until September 1958; Officer in Charge of Nicaraguan Affairs, Office of Central American and Panamanian Affairs, September 1958–August 1960; thereafter Officer in Charge of Brazilian Affairs, Office of East Coast Affairs
- Wilson, Simon N.**, Office of Inter-American Regional Political Affairs, Department of State, until October 1958; thereafter Officer in Charge of Inter-American Organizations and Conferences, Office of Inter-American Regional Political Affairs
- Woodward, Robert F.**, Ambassador to Costa Rica until March 15, 1958; Ambassador to Uruguay from April 21, 1958
- Yanes Urías, Colonel César**, member of the Salvadoran Junta from October 26, 1960
- Ydígoras Fuentes, General Miguel**, President of Guatemala from March 2, 1958
- Young, John P.**, Chief, International Finance Division, Office of International Financial and Development Affairs, Department of State
- Yriat, Juan F.**, Director General, Uruguayan Foreign Office.

Summary of Print Volume

Note: The parenthetical citations are to the numbered documents in the text of the print volume.

The print volume presents documentation on U.S. relations with the nations of Latin America and the Caribbean during the last 3 years of the Eisenhower administration. The volume first focuses upon general U.S. policy toward Latin America during the period and U.S. policy regarding hemispheric defense and military assistance to the American republics. Also included are principal records regarding the visits by Vice President Richard M. Nixon to South America in April and May 1958, Dr. Milton Eisenhower to Central America later that August, and President Eisenhower to South America in February and March 1960. The volume covers the Fifth Meeting of Consultation of the Ministers of Foreign Affairs of the American Republics held in Santiago, Chile in August 1959 as well as U.S. policy in the Caribbean from 1958–1960. Finally the volume presents documents on the main line of the bilateral relations of the United States and Argentina, Brazil, and Mexico. Documentation on U.S. relations with Cuba and U.S. policy toward the Castro regime is presented in Volume VI, Cuba.

By the spring of 1958, the Eisenhower administration had become greatly concerned with the rising tide of social unrest in Latin America due to the political instability and intensified economic difficulties experienced by the region. It also noted with alarm the activities of indigenous communist groups in the area and the attention being given Latin America by the Soviet bloc.

On May 21, the National Security Council considered a "Report on Latin America" prepared by its Operations Coordinating Board (OCB) which outlined these challenges to U.S. policymakers (2). One week later, it adopted an "Operations Plan for Latin America" in which were enumerated a set of principles to which U.S. policymakers should adhere in conducting policies toward the region. These included the principles of non-intervention, provision of individual and collective aid (both economic and security related), and the elimination of Soviet and communist influence in the area (3).

On February 16, 1959, the National Security Council adopted a new "Statement of U.S. Policy Toward Latin America" which incorporated the principles set down in May 1958. The new policy had as its goals the elimination of communism in the Western Hemisphere, improvement of the economic lot of the Latin American peoples, and the cooling of ultranationalist sentiment in the region which threatened U.S. interests (11). This policy remained valid for more than a year.

In January and February 1960, the administration moved to reevaluate its Latin American policy in the wake of the Cuban Revolution and the intensification of Soviet and communist propaganda and political activities in the region. Accordingly, the National Security Council discussed the need to discourage Latin American governments from pursuing relations with the Soviet bloc (13) and to provide them with increased economic support (14).

The nature of U.S. military policy toward Latin America was actively discussed during the period 1958–1960. In July 1958, officials within the Department of State's Bureau of Inter-American Affairs recognized the need to reevaluate and rationalize this relationship (17).

On July 18, 1958, the Congress passed Public Law 85–532 providing for the lease of U.S. naval vessels to certain Latin American nations on the basis of a series of 5-year renewable loans. The receiving nations were to pay the cost of modernizing and activating the ships. The measure, policymakers believed, would promote Latin American participation in hemispheric defense and in training exercises with U.S. naval forces (20). By April 1959, it had become apparent that the financially troubled Latin American nations could not afford the cost of operating the vessels. On April 19, Acting Secretary of State for Inter-American Affairs William P. Snow wrote to Senate Armed Services Committee chairman Richard B. Russell requesting that the loan of the ships be continued on a “non-reimbursable” basis (23). Russell reproached the Department for not having foreseen the inability of the receiving nations to maintain the vessels but agreed to the request (24).

In January 1960, the Department of State turned its attention to the formulation of a “new concept” of U.S.-Latin American military relations according to which the United States was to assume the primary burden for hemispheric and continental defense. The armed forces of the Latin American nations were to be used almost exclusively to maintain their own internal security and intra-hemispheric peace (30).

The Department of Defense rejected the “new concept” stating bluntly that “at this time there is no justification from a military point of view for a major reorientation of U.S. military policy toward Latin America or for a change in the U.S. strategic concept of the Western Hemisphere” (31). Ultimately, the two departments agreed to explore the matter further together (32).

The volume turns next to the trip of Vice President Richard Nixon to South America in April and May 1958. Secretary of State John Foster Dulles raised the possibility of such a trip with the Vice President in a letter dated March 6 of that year (42) suggesting an itinerary which was later expanded considerably.

The trip itself was marked by violent demonstrations in Lima, Peru and Caracas, Venezuela against Nixon's presence and U.S. policies in

the region (46). The violence was attributed by U.S. officials who accompanied the Vice President to be orchestrated by communist agents. The demonstrations prevented Nixon from carrying out many of his scheduled activities in Venezuela.

An analysis of the Vice President's trip made by the Bureau of Inter-American Affairs on May 15, the day of his return to Washington, concluded that the visit had essentially been a success from the United States' standpoint, even in Peru and Venezuela. It argued that the confrontations had been directed primarily by communist-led organizations and that the revulsion that the violence caused among the peoples of the countries visited by the official party would benefit the United States in Latin America (54).

On May 22, the Vice President himself reported on his trip to the National Security Council indicating that the dangers of communism in Latin America were greater than at any time before. He was concerned that few of the democratically-elected political figures with whom he had met properly understood the insidious nature of the threat in their countries. The people themselves, he believed, were more wary of the return of traditional right-wing dictatorships than of the threat of communist-led revolution (56).

In view of the difficulties experienced by the Vice President's official party in May, precautions were taken to ensure the safety of the President's brother, Dr. Milton Eisenhower, during his subsequent goodwill trip to Central America that year. His trip was delayed from June to July 1958 while detailed reports from the Central Intelligence Agency and the appropriate embassies were prepared to assess the likelihood of anti-U.S. demonstrations during the visit (61, 64). The President, the Secretary of State, and the Director of Central Intelligence were all involved in the decision-making process leading to the successful and peaceful trip of July 12–August 1 (66).

In December 1959, Secretary of State Christian Herter and the National Advisory Committee on Inter-American Affairs urged President Eisenhower to visit South America to underscore U.S. interest in the region (68). On January 6, 1960, the White House announced that the President would visit Brazil, Argentina, Chile, and Uruguay between February 23 and March 3. The trip was successful. President Eisenhower was greeted warmly and received favorable treatment in the local media (77).

The volume turns next to the events surrounding the Fifth Meeting of Consultation of Ministers of Foreign Affairs of the American Republics held in August 1959. Tensions in the Caribbean between the new revolutionary government of Cuba and its neighbors had risen in the spring of 1959 and climaxed with the armed incursions into Panama and the Dominican Republic by political dissidents operating from Cuba.

Tensions between Rafael Trujillo's Dominican Republic and Cuba as well as newly-democratic Venezuela were near the boiling point. The U.S. Government, although reluctant to back the autocratic Trujillo against his neighbors, was nevertheless determined to uphold the principles of non-intervention and non-aggression in the hemisphere. It suggested that tensions in the region be reduced through a meeting of the Western Hemisphere's Foreign Ministers (81). The Council of the Organization of American States approved the proposal on July 13 (82).

The meeting opened in Santiago, Chile, on August 12. Secretary Herter addressed its second plenary session the following day and called for a new declaration of principles of the inter-American system, formation of a special temporary committee to study the Caribbean situation, and authorization for a permanent committee, such as the Peace Committee, to make a study of the problems underlying the tensions in the Caribbean (94). Herter cabled the President on August 17 that the meeting had been a success and that the U.S. proposals had been "reduced to concrete, satisfactory resolutions" (98). The conference ended the next day.

The political situation in the Caribbean remained volatile, however, and continued to concern U.S. policymakers. The Eisenhower administration feared that the numerous revolutionary movements in the region, inspired and supported by the Castro regime, were communist influenced and anti-American in character (112). The U.S. Government decided to pursue a policy of opposing foreign-based revolutionary movements (118).

Of particular concern to the United States was the security of its military facilities in the Caribbean and the continuation of its military assistance programs in the region. A Special National Intelligence Estimate of March 10, 1959 concluded that the United States would be able to retain access to its military facilities but would probably be met with local demands to alter the terms of agreements governing them (111). In April 1959, the U.S. Government distributed an Aide-Mémoire to its European Allies which stated that because of unsettled conditions in the region the United States had adopted a practice of examining carefully on a case-by-case basis requests for military assistance to the Caribbean (117).

As British power declined in the Caribbean, U.S. policymakers agreed on the need for the United States to play a larger role in defending its interests in the region traditionally protected by the United Kingdom. The emerging nations of the area, such as those within the nascent West Indies Federation, it was recognized, would present new foreign policy challenges to the United States. On March 21, 1960, the National Security Council adopted a "Statement of U.S. Policy Toward the West Indies" to help define and address these challenges (129). On

June 22, the OCB presented the Council an "Operations Plan for the West Indies" to guide U.S. policy in the region (140).

U.S. relations with Argentina between 1958 and 1960 remained friendly. The Eisenhower administration welcomed the election in February 1958 of Dr. Arturo Frondizi as Argentina's President after a period of military rule (140).

Argentina's economy was a shambles in early 1958, and U.S. policymakers recognized the role that wisely administered economic aid could play in securing the Frondizi government's friendship. Argentina might otherwise be tempted to seek assistance from the Soviet bloc (154, 155).

Frondizi made an official visit to Washington in January 1959 during which President Eisenhower congratulated him on his efforts to restore his country's democracy and rejuvenate its economy (167). Frondizi used the occasion to request more economic aid and to ask for credits with which to purchase U.S. military equipment (168). The question of military credits to Argentina occupied policymakers for much of the first half of 1959. \$10 million in credits was finally approved (177).

President Eisenhower visited Argentina during his four-nation tour of South America in early 1960 (204). He met with President Frondizi in Buenos Aires and the resorts of Mar del Plata and San Carlos Bariloche. They discussed U.S.-Argentine economic and political relations as well as larger global issues.

By August 1960, the Frondizi government had survived two attempted military uprisings and was beset by political pressures from both the left and the right. Argentina's economy was still ailing. On August 9, Frondizi wrote personally to President Eisenhower to request more financial aid (218). The President replied that he would welcome the opportunity for U.S. officials to discuss the matter further with their Argentine counterparts (221).

U.S.-Brazilian relations in the last 3 years of the Eisenhower era were driven largely by Brazil's requests to the United States for help to remedy its terrible domestic economic situation and external debt. The ability of the United States to satisfy these requests only partially, conditioned upon stringent Brazilian austerity measures, strained relations between the two nations. Further tensions resulted from the Brazilian perceptions that U.S. policymakers had become obsessed with Cuba at the expense of its relations with other Latin American nations and that they did not accord Brazil its proper respect on the global stage.

On June 20, 1958, Brazilian President Juscelino Kubitschek proposed "Operation Pan America," an ambitious plan to reaffirm hemispheric solidarity and remedy the chronic underdevelopment which plagued Latin America (247). U.S. policymakers, including Secretary of

State Dulles, viewed the plan as laudible in its intention yet unrealistic and potentially divisive in its reliance on American funding (254, 261).

Despite tensions between the nations, President Eisenhower's visit to Brazil in February 1960 was very successful. Eisenhower's personal popularity with the Brazilian people was credited with having contributed to a more positive tone in U.S.-Brazilian relations, although nothing concrete resulted from his visit (282–286).

As 1960 ended, the Kubitschek government was replaced with that of Janio da Silva Quadros (296). U.S. policymakers were concerned that the Quadros government, though not likely to upset dramatically the course of U.S.-Brazilian relations, would pursue a more willful and neutralistic foreign policy than his predecessor (300).

The Eisenhower administration assigned a high priority to cultivating good relations with Mexico. Eisenhower himself corresponded regularly with Presidents Adolfo Ruíz Cortines and Adolfo López Mateos. He met three times with López Mateos during 1959 and 1960. Numerous contacts at the ministerial level were maintained.

U.S. policymakers welcomed the inauguration of López Mateos on December 1, 1958, believing him to be more realistic in his views on Mexico's domestic economy and economic relations with the United States than Ruíz Cortines. Senate majority leader Lyndon B. Johnson, who had met with López Mateos in November, however, found him to be "reserved and somewhat prejudiced" against the United States, particularly American business interests (320). U.S.-Mexican relations continued to be characterized by an air of outward friendliness coupled with a traditional suspicion, on Mexico's part, of U.S. intentions and power (334).

Economic questions, particularly on trade, dominated the U.S.-Mexican agenda during the late 1950s. U.S. tariffs on Mexican lead and zinc troubled the Mexican Government and Eisenhower administration alike. Discussions of the coffee and cotton trade, of the promotion of tourism, and about territorial waters and fishing rights were pursued in this period.

Politically, the Eisenhower administration tried to impress upon the Mexican Government the dangers posed to the hemisphere by the Cuban revolution and Fidel Castro. The López Mateos government, however, was sympathetic to the aspirations of the Cubans in overthrowing the Batista dictatorship (345).

Summaries of Compilations

United States Regional Economic and Technical Assistance Policy

Note. The parenthetical citations are to the numbered documents in the text.

The concern of U.S. policymakers with political and economic developments in Latin America in 1958–1960 led to some shifts in U.S. economic policies toward the region, foreshadowing the Kennedy administration's Alliance for Progress, although less extensive and dramatic.

Reexamination of U.S. Policies

Early in 1958, the Department of State undertook a reexamination of U.S. policies in the light of economic trends in the area. Secretary of State John Foster Dulles initiated the study. He was concerned by declining Latin American exports to the United States, falling prices of some important commodities produced in Latin America, and efforts by the Soviet Union to expand its trade and influence in the area. Dulles stated in a January 19 memorandum to Under Secretary of State Christian A. Herter and other officials that he thought U.S. economic policies in relation to Latin America were "too negative," that U.S. policy concerning trade between Latin America and the Soviet bloc was too restrictive, and that there should be a reexamination of the U.S. policy of opposing quota arrangements on commodities. He continued: "I doubt that we are in a good position to withstand in that part of the world a Soviet economic offensive at a time when the demand for raw materials is down and prices are very low." (ETA-1)

In response to Dulles' request, an interbureau task force examined a range of problems and possible policy changes. (ETA-4) Assistant Secretary for Economic Affairs Thomas C. Mann and Assistant Secretary for Inter-American Affairs Roy R. Rubottom summarized the task force's conclusions in an April 10 memorandum to Dulles. They called for policy adjustments but no major initiatives. Noting that trade was the cornerstone of U.S. economic relations with Latin America, they urged efforts to prevent restrictions on U.S. imports from the region and recommended U.S. participation in multilateral study groups on coffee and on lead and zinc, leaving open the question of possible price stabilization agreements for these commodities. They did not think Soviet bloc efforts to expand trade with Latin

America posed a major threat, but they recommended continued U.S. warnings against the risks of economic dependence and political penetration. They recommended efforts to respond to Latin American needs for financial assistance through existing institutions, but they also observed that there was strong Latin American sentiment for the creation of an inter-American development bank and recommended U.S. participation in a multilateral study of this possibility. (ETA-6)

Creation of the Inter-American Development Bank

After a visit to Brazil in early August 1958, Secretary Dulles became convinced that it was necessary for political reasons to take a regional approach to the problem of providing financial support for Latin American development. On August 12, Under Secretary of State for Economic Affairs Douglas Dillon announced that the United States was prepared to consider the establishment of an inter-American development institution. (ETA-8) After several months of discussions, a U.S. proposal was put forward for an inter-American bank. To ensure that the bank would be financially sound but at the same time fulfill the function of providing funds for economic development, it was determined that the bank would make both hard and soft loans but keep the two operations entirely separate. (ETA-8 through 15) Formal negotiations began in January 1959. At the outset, the United States proposed total initial resources of \$850 million for the bank, while Brazil called for \$5 billion, but a compromise was reached on \$1 billion with provision for a future increase to \$1.5 billion (ETA-20, 21) An agreement establishing the Inter-American Development Bank was signed on April 8, 1959. (ETA-24)

Special Fund for Inter-American Social Development

By mid-1960, however, before the bank could begin operations, U.S. policymakers were concluding that more must be done to increase the flow of development capital to Latin America. (ETA-31, 32) The leftward trend of Fidel Castro's government in Cuba reinforced this conclusion. At an NSC meeting on June 30, President Eisenhower expressed concern about social unrest and instability in Latin America and urged consideration of possible policy changes. Assistant Secretary of State for Policy Planning Gerard C. Smith responded with a July 5 memorandum to Dillon proposing an initiative to provide funds for social programs in the region in order to support moderate political leaders and lessen adverse reaction "if we are forced to move against Castro." (ETA-33) In a July 11 statement, Eisenhower affirmed U.S. sympathy with Latin American aspirations for social and economic progress and declared his intention to seek funds from Congress to assist the countries of Latin America to develop their nations and achieve better lives. (ETA-38)

In an August 1 memorandum to the President, Dillon urged that the United States should “press forward with a broad program for Latin America.” Adequate funds were available for sound economic development projects, he stated, but there was an immediate need for funds for social development projects, such as land settlement, improved land use, pilot and self-help housing, basic community facilities, and vocational training, and if such programs were not initiated promptly, “unrest with violent political consequences is likely in a number of Latin American countries.” He proposed a Special Fund of \$600 million (including \$100 million in disaster assistance for Chile) to be used exclusively in Latin America to provide grants or loans, primarily through the Inter-American Development Bank (ETA-44)

In spite of some opposition to the proposal within the administration on budgetary grounds, Eisenhower approved it. In an August 8 message to Congress, he requested an authorization of \$600 million, and Congress authorized the money in legislation signed into law on September 8. (ETA-45, 46, 47) Dillon presented a U.S. proposal for a inter-American program for social development at the September meeting in Bogotá of the OAS Special Committee to Study the Formulation of New Measures for Economic Cooperation, or the Committee of 21. The Committee approved the major features of the U.S. proposal with some additions and modifications; it was approved as the Act of Bogotá on September 13, with only Cuba voting against it; the OAS Council approved it on October 11. (ETA-49, 55)

Bolivia

U.S. Relations With Bolivia

Note: The parenthetical citations are to the numbered documents in the text.

The central theme that runs through the story of United States relations with Bolivia during the last 3 years of the Eisenhower administration is the effort made by U.S. officials to encourage the reform of the ailing Bolivian economy while not, at the same time, contributing to the collapse of the Bolivian Government. Except for Haiti, Bolivia was the poorest country in Latin America. The Bolivian economy was inefficient, underdeveloped, imbalanced, and plagued by the vagaries of the international metals market. The Bolivian Government was hampered in its efforts to deal with these problems by its commitments to the workers who had supported and sustained the government since it came to power in 1952. Bolivia was heavily dependent on financial support from the United States to meet a succession of economic crises, but the Bolivian Government had to avoid the stigma of appearing to fall back into the embrace of "Yankee imperialism."

Under the circumstances, the objectives which the United States hoped to achieve in its relations with Bolivia were easier to define than to achieve. A policy paper drafted in the Department of State on November 3, 1958, stipulated that the United States was prepared to support any government in Bolivia which was free from Communist influence, and which had the ability and disposition to carry out an effective stabilization program. Conditions in Bolivia were so difficult, however, that the paper defined the primary objective of U.S. policy as "the maintenance of relative political stability in order to forestall a serious politico-social upheaval." (BL-15)

The Natural Resources Issue

Vice President Nixon visited Bolivia in May 1958 and President Hernán Siles Zuazo took advantage of the opportunity to point up the problems afflicting the Bolivian economy, particularly in light of reduced exports of and prices for tin. He asked for Nixon's support for additional loans from the Development Loan Fund. Nixon promised to support such loan applications, but he stressed the importance of continuing Bolivian efforts to establish an effective financial stabilization program. He also indicated that prospects for Congressional support for financial aid for Bolivia would be enhanced if Bolivia would complete the compensation of U.S. shareholders of the mines which had been nationalized in Bolivia in 1952. (BL-5)

State ownership of Bolivia's natural resources was a central tenet of the governing party, the Nationalist Revolutionary Movement. It was politically difficult for President Siles' government to meet foreign demands for full compensation for expropriated properties, and it was correspondingly difficult for Bolivia to attract new foreign capital to develop such assets as unproven oil reserves while maintaining the principle of public ownership. As a result, the Bolivian Government pressed the United States repeatedly for development loans to the state-run companies which managed the Bolivian mining and oil industries. (BL-8, 26, 33) The U.S. response was to point to the continuing compensation problem in the mining industry, and to defer to private sources of development funds, such as Gulf Oil in the oil industry, and the German Salzgitter firm in the mining industry. (BL-8, 34)

In 1960, however, the Soviet Union offered to build tin mining facilities and to provide oil drilling equipment and technicians in exchange for the establishment of full diplomatic relations between Bolivia and the Soviet Union. (BL-28, 35, 37, 43) Faced with the danger of expanding Soviet influence on the South American mainland, and the possibility that anti-American sentiment and an economic crisis might lead in the direction of another Communist government in Latin America, policymakers in Washington altered their strategy and offered direct loan support for Comibol, the Bolivian state-owned mining company, and for Yacimientos Petroliferos Fiscales Bolivianos, the state-owned oil company. (BL-26, 29, 40, 41)

U.S. Concerns Over Bolivian Political Stability

The Eisenhower administration was, in fact, sensitive throughout the period to the danger that political instability, exacerbated by economic problems, might lead to a more radical, anti-American government in Bolivia. The uncertain prospects for the ruling party were highlighted by an unsuccessful coup attempt in October 1958, and anti-American sentiment was underscored by violent anti-American demonstrations in March 1959. (BL-14, 18) It was in the U.S. interest, therefore, to try to shore up the Siles government, and the successor government of Victor Paz Estenssoro, which took office in August 1960. To that end, the United States provided Bolivia with substantial economic aid, amounting to \$26 million for FY 1959. (BL-12)

Aid and the Stabilization Program

United States relations with Bolivia were colored, however, by the fact that economic assistance was provided with conditions attached. Policymakers in Washington recognized that the Bolivian Government would prefer to receive unqualified assistance for development projects, but the conviction underlying U.S. policy was that assistance to

Bolivia would be wasted unless Bolivia could implement the economic reforms necessary to stabilize the Bolivian currency and to convert the critical mining sector of the economy from a financial drain to a contributing asset. Consequently, the United States repeatedly pressed Bolivia to accept the rather draconian solutions proposed by the International Monetary Fund as a basis for stabilizing the Bolivian economy. (BL-5, 11, 12, 13, 22, 23) These measures included a wage freeze, exchange rate reform to achieve currency devaluation, the dismissal of surplus labor in the mines, and a reduction in social welfare benefits such as government-subsidized prices in the mine commissaries.

The predictable effect of this program of economic reform on the Bolivian work force would have been to produce rising prices, increased unemployment, and further demands for wage increases. Accordingly, the Bolivian Government protested that political pressures prevented more than a half-hearted effort to implement the reforms stipulated by the IMF (BL-11, 14, 43) U.S. officials, however, continued to argue for economic reform in Bolivia, with the result that the substantial economic assistance provided by the United States to Bolivia produced as much resentment as appreciation. (BL-12) Nonetheless, the Eisenhower administration could take some satisfaction, at the end of 1960, that U.S. advice and assistance helped sustain the moderate governments of Presidents Siles and Paz and prevent the Soviet Union from establishing a foothold in South America.

Chile

U.S. Relations With Chile

Note: The parenthetical citations are to the numbered documents in the text.

Although the United States and Chile continued cordial relations during 1958–1960, there was considerable tension between them over copper policy. About one-half of Chile's foreign exchange was derived from this one commodity, and the United States affected Chile's copper market in a variety of ways: as consumer, as homeland of Chile's two principal copper operators (Anaconda and Kennicott Corporations), and as prime mover in the worldwide COCOM effort to keep vital raw materials out of East bloc countries.

At the beginning of 1958, the U.S. Congress was preparing legislation to reinstitute a copper duty to protect domestic production in the face of declining world demand. The Embassy, pointing out that the Chilean perception of the importance of the U.S. market was even more important than the market was in actuality, recommended alternatives such as stockpile purchases or an outright subsidy. The Department fundamentally agreed but observed that some compromise would have to be found. (CI-1) Vigorous public support of the duties by Interior Secretary Fred Seaton led Chilean President Carlos Ibáñez del Campo to cancel a scheduled visit to the United States. (CI-2, 4) In the wake of this setback, the Embassy recommended increased U.S. courtship of Chile, especially including measures of economic aid and cultural exchange which would remind Chileans that the United States did "recognize the difference between a Dominican dictatorship and a Chilean democracy" (CI-5)

In elections held in September 1958, Conservative-Liberal candidate Jorge Alessandri gained a narrow 31 percent to 29 percent plurality over Salvador Allende, the standard-bearer of a broad left-of-center coalition. Increased foreign exchange problems coincided with his victory. (CI-11). The Department and Embassy wanted to help Chile work out a favorable solution with the International Monetary Fund, especially as they perceived Alessandri as "much more business-like" than his predecessor. (CI-12, 13, 16) Along the way, however, the Department grew more skeptical that Alessandri had the will to introduce a thoroughgoing stabilization program. (CI-17) The Department also worked to head off the plans of other agencies to dispose surplus copper stocks. (CI-20, 21) Finally in May 1959, a package was worked out combining U.S. and IMF assistance to Chile. (CI-19)

In the spring of 1960, President Eisenhower visited Chile during his Latin American tour. The two Presidents, in cordial conversations, discussed general disarmament, Chile's own military situation, and economic topics. Alessandri assured Eisenhower of Chile's welcome to foreign capital investment. During a discussion of copper, it appeared that Eisenhower had not been aware of the U.S. import tax on imported copper. Eisenhower did promise Alessandri to make no releases from the copper stockpile except in extreme emergencies, and issued appropriate instructions to carry out this promise. U.S. domestic considerations prevented the administration, however, from taking action on the copper duty. (CI-29, 30, 33, 35)

During the President's visit, Chilean officials told Secretary of State Herter that while they privately sympathized with the U.S. position regarding Cuba, Castro's revolutionary government in Cuba had great popular appeal in Chile and other Latin American countries. It was therefore better to isolate Cuba than to take direct action against it. (CI-32)

In May 1960, Chile was struck by a series of earthquakes, accompanied by tidal waves, avalanches and floods, which wreaked extreme havoc on the country. The closing documents in the compilation detail the considerable efforts of the United States to meet Chile's needs for relief and reconstruction. (CI-37 through 41)

Colombia

U.S. Relations With Colombia

Note: The parenthetical citations to the numbered documents in the text.

During the last 3 years of the Eisenhower administration, the United States maintained cordial relations with Colombia. In 1958, the reopening of Protestant churches in Colombia was the main U.S. concern, while in 1959 and 1960, the United States listened sympathetically to Colombian requests for economic assistance. Throughout the 3-year period, high-level visits by officials of both countries figured prominently in the relationship.

On January 16, 1958, Ambassador Cabot tailed on Colombian Minister of Government Rengifo primarily to discuss the question of the Protestant churches which had been closed. Cabot stressed that he realized this was a delicate matter, but emphasised that every time the Eisenhower administration tried to obtain loans for Colombia, Protestants in the United States raised the question of the churches in Congress, and the aid could not be secured. Rengifo promised to do what he could (CO-1). Assistant Secretary of State Rubottom also raised the question during a visit to Colombia, March 1-4, 1958. In a conversation with the Colombian Foreign Minister, Rubottom said that it was disappointing that only two churches had been reopened. When the Foreign Minister replied that, while it had been dangerous, Colombia had allowed additional churches to open, Ambassador Cabot informed him that this was not the case. (CO-4)

Ambassador Cabot reported in July that the situation had not improved. He suggested that attacking the problem head on would probably not succeed, and the new Colombian government should be allowed to improve its record on the question gradually. (CO-11) By the end of the year this approach seemed to be working. (CO-16)

The Colombian Minister of Foreign Relations had raised the question of economic assistance during a visit to Washington in 1958 (CO-8), but it was not until 1959 that President Lleras Camargo approached Ambassador Cabot. (CO-20) In commenting on the President's proposal for a \$200-million loan to Colombia, the Department of State and the Export-Import Bank both indicated their sympathy for Colombia's economic problems, but stated that the sum was overly ambitious in terms of the resources available in the United States. (CO-21)

The initial 1959 request was supplemented in 1960 by an approach from Colombia for assistance with a major land reform program. In

preparation for Lleras Camargo's visit to the United States in April, the Director of the International Cooperation Administration and the Assistant Secretary of State for Inter-American Affairs sent a joint memorandum to Under Secretary of State Dillon recommending a sympathetic hearing for the program and U.S. involvement with it. (CO-25) While Lleras Camargo discussed a wide variety of topics with President Eisenhower and Secretary of State Herter, the main theme of their conversations was economic assistance. (CO-28 through 33) The trip to Washington was successful and resulted in the announcement of a \$70 million credit from the Development Loan Fund and the Export-Import Bank.

Costa Rica

U.S. Relations With Costa Rica

Note: The parenthetical citations are to the numbered documents in the text.

Relations with Costa Rica during the 3-year period were unmarked by crises and difficult problems. The close of the period, however, saw the emergence of an issue that plagued the United States in Latin America and other parts of the world: the effect of the threat of communism on everyday U.S. relations with friendly and sympathetic governments. The question was whether that threat made the United States neglect its old friends while pursuing the support of more recalcitrant countries.

Early in 1958 the election of Mario Echandi Jiménez to the Presidency of Costa Rica offered a leader whom the United States saw as both friendly and oriented toward the stability of business and investment. (CR-1) During March, President-elect Echandi visited Washington and met with President Eisenhower and officials from the Departments of State and the Treasury. Echandi stressed the need for economic development in his country and also gave assurances of his awareness of the threat of communism in the hemisphere, particularly from infiltration of labor unions. Proud of his country's record for tolerance, he said that Costa Rica would continue to provide safety to political exiles but would not allow them to launch subversive operations from Costa Rican territory. (CR-2, 3, 4, 5)

One of the principal issues during 1958 and 1959 concerned Echandi's desire for a reallocation of tax revenues stemming from the profits of the United Fruit Company's operations so that Costa Rica would receive more than the 50-50 division currently in effect. U.S. officials, particularly in the Department of State, were quite agreeable to an arrangement on a 75-25 basis. In fact, however, legal technicalities uncovered by the Department of the Treasury served to delay a resolution until the end of 1959. At that time, a 60-40 arrangement retroactive to January 1, 1958, was announced, but the smaller than hoped for reallocation and the seemingly endless delays left Costa Rica less than totally satisfied. (CR-6, 7, 8, 15, 16, 17, 18)

Echandi continually stressed his commitment to democratic principles and private enterprise as well as his concern for modest financial assistance and loans which would boost the local economic structure. (CR-5, 9, 10) Lack of immediate response from the United States, however, produced a further feeling of dismay and dissatisfaction in San José. This in turn affected Echandi's attitude toward U.S.

efforts in 1960 to get the Central American nations to break relations with the Cuba of Fidel Castro. (CR-23) Ambassador Whiting Willauer in San Jose reported on the widespread feeling in the country that the United States was very often too slow to aid its old friends like Costa Rica and too responsive to threats from allies or neutrals of unfriendly actions. Willauer wanted quick favorable action on Costa Rica's modest economic requests. He also stated that, while Echandi personally detested Fidelismo, the President was in no position politically to buck public opinion by severing relations with Cuba. (CR-24)

Assistant Secretary of State for Inter-American Affairs Roy Rubottom assured Willauer of U.S. sympathy for Costa Rica's request, but cautioned that lack of overall planning in San José had resulted in indecisiveness and lack of followthrough, which had delayed U.S. action. (CR-25) In November 1960, Rubottom's successor, Thomas Mann, wrote to Echandi promising U.S. support for Costa Rica's applications for loans from the Development Loan Fund and the Export-Import Bank for water projects and development of new farms. (CR-27)

The compilation closes with coverage of Costa Rican actions to control anti-government Nicaraguans operating out of north-west Costa Rica against the Somoza government in Nicaragua. (CR-28, 29) Costa Rica, which had pointedly announced its intention to abolish a standing army (CR-5), nevertheless wanted to demonstrate its ability to maintain peace within its borders and friendly relations with the neighboring states.

Dominican Republic

U.S. Relations With the Dominican Republic

Note: The parenthetical citations are to the numbered documents in the text.

Generalissimo Rafael Trujillo had ruled the Dominican Republic since 1930. While promoting himself as “the Benefactor,” Trujillo’s rule had become increasingly harsh and dictatorial. His attempts to strike at exiled dissidents in the United States had caused serious strain in relations with the United States. The Eisenhower administration faced one overwhelming problem in the Dominican Republic: how to ease Trujillo out of power without allowing pro-Fidel Castro/anti-American elements to take over.

In late January 1958, the Director of the Office of Middle American Affairs surveyed U.S.-Dominican relations and high-lighted the principal U.S. interests in the Dominican Republic: its strategic position in relation to the Panama Canal, a U.S. guided missile tracking station on the northeast coast, and general Dominican support for U.S. policies. The Director recommended that U.S. Ambassador Joseph S. Farland meet with Trujillo in an attempt to normalize relations. Farland was encouraged by his discussion with the Generalissimo in early February to believe that a better relationship was possible. (DR-1) Trujillo, however, proved sensitive to U.S. congressional criticism and supposed slights against his family so that relations did not improve markedly. (DR-2, 3)

On June 14, 1959, a small group of insurgents invaded the Dominican Republic by air. The Dominican army eventually defeated the invasion. (DR-8) Notwithstanding the fact that invasion did not generate popular support, the Department of State became increasingly concerned that the Trujillo regime was about to fall. In January 1960, Department officials raised the issue at the National Security Council. Under Secretary of State for Political Affairs Livingston Merchant told the Council that the U.S. objective was to ensure that a successor regime would be friendly to the United States and not sympathetic to Castro or communism. The problem was, according to Merchant, that Trujillo had so stifled moderate opposition that most dissident groups were either communist or communist-infiltrated. The Department recommended that U.S. policy during the coming months should coalesce non-communist business, professional, and academic groups into an opposition. (DR-10)

In January 1960, Trujillo cracked down on his opponents, charging that they were engaged in a conspiracy to overthrow him. (DR-11)

In March 1960, retired General Edwin S. Clark convinced President Eisenhower to authorize him to make a secret visit to Ciudad Trujillo (Santo Domingo) to convince Trujillo to step down from power. Clark's unofficial scheme contemplated creating a foundation funded by the money amassed by the Trujillo family during its 30 years of rule. To be administered by former Latin American and American presidents, the fund would be used for the benefit of the Dominican Republic. It was designed to prevent confiscation of the Trujillo fortune by a successor government and assure that Trujillo did not take his vast fortune with him into exile. (DR-16, 17)

Trujillo's support in the Dominican Republic was weakening rapidly, according to U.S. intelligence assessments. (DR-18, 20) When the situation was brought to the attention of the National Security Council in April 1960, there was general concern that the U.S. policy of building a moderate potential transition government might be too little and too late. Vice President Nixon worried that it was the "old story" being repeated: the pro-Castro elements with definite objectives were the only minority capable of strong leadership. Nixon recommended that the United States consider intervention if this group threatened to come to power. The Council agreed that the United States must be prepared to take rapid action. (DR-19)

General Clark returned to Washington from conversations with Trujillo in late March 1960 without a promise from the Generalissimo to retire. Meeting with Secretary of State Herter and General Clark on April 25, President Eisenhower discussed the possibility of "a plan for removing Trujillo from control of the country, and to establish in his position a controlling junta which would immediately call for free elections and make an attempt to get the country on a truly democratic basis." (DR-20)

When the National Security Council next considered the question of the Dominican Republic in July 1960, Eisenhower concluded that the Trujillo dictatorship was seriously deflecting attention from the real problem in Latin America, Fidel Castro. (DR-25) It was difficult to brand Castro a dictator and call for sanctions against him as long as Trujillo was in power. The new Assistant Secretary of State for Inter-American Affairs, Thomas Mann, solicited advice from Deputy Chief of Mission Henry Dearborn who was the highest level diplomatic official now that U.S. relations with the Dominican Republic were suspended in conjunction with an OAS decision that the Dominican Republic had attempted to assassinate President Betancourt of Venezuela. Invited to give his "very personal and confidential" appraisal, Dearborn suggested that as long as Trujillo remained in the Dominican Republic—as Governor of Santiago province or "dog-catcher"—he would dominate the country and there would be no chance for a true opposition.

The only solution was removal of Trujillo from the country. Dearborn asserted that Trujillo would probably only do this under threat of death. Dearborn suggested that if he were a Dominican he would favor killing Trujillo. (DR-28)

The Department of State's Bureau of Intelligence and Research suggested that "assassination is an increasing possibility—perhaps even a probability, considering the desperate temper of the opposition." (DR-29) It is clear from this compilation that the Eisenhower administration tried without success to induce Trujillo step down. By the end of 1960, the dictator held grimly to power. Six months later he would be dead from an assassin's bullet. Additional material may be found in *Alleged Assassination Plots Involving Foreign Leaders. An Interim Report of the Select Committee to Study Governmental Operations with Respect to Intelligence Activities*. Report No. 94-465, 94th Congress, 1st Session, U.S. Senate (Washington, November 1975), pages 191-215.

Ecuador

U.S. Relations With Ecuador

Note: The parenthetical citations are to the numbered documents in the text.

Except for a brief period in 1960, U.S. relations with Ecuador during the closing years of the Eisenhower presidency were normal and uncomplicated.

In April 1958, President Eisenhower in a letter to President Camillo Ponce Enriquez described Ecuador as "a nation enjoying political stability, freedom and steady economic development." (EC-3) In the following month, Vice President Richard Nixon's visit to Ecuador was described as an unqualified success, in contrast to his visits in Peru and Venezuela where violent anti-American protest broke out. Nixon said there were no great problems between the two countries. (EC-5) During his conversations with Ponce, the Vice President stressed the need to resolve the area's economic problems as a prerequisite to curing the political problems. Ponce stated that stabilization of the Latin American economies would make all the countries better customers for American products. (EC-4, 5, 6, 7)

The United States did involve itself in loans to improve the Ecuadorean infrastructure and aid economic development, and was also ready to provide military assistance for internal security programs to combat communist subversion and disruption within the country. (EC-8, 11)

In June 1960, José Maria Velasco Ibarra was elected President by what Assistant Secretary of State Roy Rubottom termed a surprisingly large margin. (EC-15) Velasco had held the office on three previous occasions and was believed to be basically friendly to the United States; no insuperable problems were anticipated in dealing with the new administration. The President-elect indicated his willingness to cooperate in fighting communism and opposing Fidel Castro, and Ambassador Christian Ravndal emphasized that the United States would offer technical aid and assist the Ecuadorean economy, particularly with housing for the poor. (EC-16)

At the time of Velasco's inauguration at the end of August 1960, however, evidence began to surface that Ecuador wished to focus attention on its boundary dispute with Peru. The Rio Protocol of 1942, which dealt with that question, noted the new administration, was unfavorable and unfair to Ecuador. Velasco and his Foreign Minister José Ricardo Chiriboga Villagomez said they did not wish to push to a solution at once, but only to reiterate strongly the Ecuadorean position.

The United States, as it consistently had, stressed its desire for a mutually acceptable settlement. (EC-17) At the same time, Ecuador needed help quickly in terms of highway construction, electric power, housing, and medium industries. The United States stressed the need for careful planning, but noted it was anxious to assist. (EC-18)

Shortly thereafter, in September 1960, the Embassy in Quito reported that students, demonstrating over the boundary dispute, stoned the Consulate General in Guayaquil. (EC-19) The Guarantors of the 1942 Rio Protocol, the United States, Argentina, Brazil, and Chile, meeting informally, cautioned against unilateral action by Ecuador to denounce the Protocol, stating that most of the provisions of that agreement had already been implemented and unilateral denunciation was unacceptable. (EC-20, 21)

On October 23, however, Ecuador announced its repudiation of the 1942 Protocol. The United States, responding as a Guarantor on December 7, stated that such unilateral action was not allowable. The Guarantors stood ready to assist in a mutual resolution by Peru and Ecuador of a satisfactory demarcation of the remaining areas of the boundary line still at issue. At the same time, the United States assured Ecuador that aggression by the other party would raise the security guarantees of the inter-American system against any armed attack. (EC-22)

An Intelligence Note to Secretary of State Christian Herter on December 16 informed him that the December 7 statement had provoked attacks resulting in considerable damage to the Embassy and other U.S. buildings in Quito and Guayaquil. (EC-23) Since taking office, Velasco, rather than concentrating on economic problems, had focused on the boundary question. Ecuadorean overtures toward Cuba and the Soviet Union appeared designed to gain support on this issue. Meanwhile, leftist agitation was undoubtedly a factor in the assaults on U.S. property.

Within a few days, however, relations took a turn for the better, according to the Embassy in Quito. (EC-24) Velasco dismissed his Minister of Government, Manuel Araujo, characterized as rabidly leftist and pro-Castro in his views. This dismissal brought to a close an unprecedented period of leftist agitation in the country. Just before the end of the year, Foreign Minister Chiriboga visited Washington. A joint statement issued on the occasion concentrated on economic development and indicated U.S. desire to provide loans for projects such as the establishment of savings and loan institutions, and construction of highways, municipal water systems, and electric power installations. The boundary dispute was not mentioned. (EC-25)

El Salvador

U.S. Relations With El Salvador

Note: The parenthetical citations are to the numbered documents in the text.

U.S. Relations With the Lemus Government

U.S. relations with El Salvador were without serious difficulties during most of the 1958–1960 period. Johns Hopkins University President Milton Eisenhower visited El Salvador in July 1958 during his 3-week trip to several countries in Central America as President Eisenhower's personal representative. He met with President Jose Maria Lemus and other government officials, businessmen, and labor leaders. Lemus called attention to El Salvador's economic problems and expressed interest in increased U.S. assistance but offered no specific proposals (ES-2) Lemus made a State visit to the United States March 9–21, 1959. In a meeting with Eisenhower on March 11, he stressed his interest in Central American economic integration and Eisenhower expressed sympathy with this objective. (ES-5, 6)

During the following year, Lemus political support deteriorated as Salvadoran politics became increasingly polarised. In April 1960, the Embassy reported strains and cleavages within the "oligarchic triarchy (Army, landed gentry and church) which has ruled this country for decades" and growing strength among opposition elements "led by Communists and supported morally and financially from Cuban sources" Lemus was increasingly isolated, the Embassy reported; opposition to him was growing not only on the left but also among the wealthy, who blamed him for failing to take strong action against extremist elements. (ES-13)

Director of the Office of Central American and Panamanian Affairs C. Allan Stewart told Assistant Secretary of State for Inter-American Affairs Roy Rubottom in an April 12 memorandum that "Fidelismo is spreading like wildfire" among the poor but that the Lemus government had done nothing to remedy social conditions. (ES-14) When Stewart visited El Salvador in June, Lemus requested U.S. assistance for the Salvadoran security forces, but when he asked Ambassador Thorsten V. Kalijarvi about the request 2 months later, Kalijarvi told him it was still under consideration in Washington. (ES-16, 17, 18)

Events reached crisis level in August and September with growing demonstrations and disorders. Kalijarvi commented that, after an initially hesitant response, Lemus had antagonised the public by using heavy-handed and indiscriminate force; mean-while he had alienated

his supporters by failing to consult them. Nonetheless, Kalijarvi recommended continuing support of the constitutional government by speeding up action on pending aid requests. (ES-19, 23)

The Recognition Issue

On October 20, 1960, a military-civilian Junta seized power in a bloodless coup. It declared the Constitution still in effect and promised to hold free elections, and the new Foreign Minister assured Kalijarvi that the Junta wished to maintain close and cordial relations with the United States. (ES-25) Kalijarvi reported 3 days later, however, that the coup represented a "decided shift to the left". Although the military members of the Junta were friendly to the United States, they were young and politically inexperienced, while the civilian members included many strong leftists and some "out and out Commies." The leading figure behind the coup was reportedly former President Oscar Osorio, who might think he could keep the leftists under control, but Kalijarvi thought the military clement in the Junta was "no match" for the leftists and that the coup should be regarded as the "first step towards Fidelismo." Arguing that support for the Junta was already cooling and a counter coup might be in the making, he urged the Department of State to "go slow with recognition." (ES-26)

In Washington, the Bureau of Inter-American Affairs took a more benign view of the new regime, considering that the Junta's civilian members were largely leftist but moderate. (ES-27) In a November 1 memorandum to President Eisenhower, Secretary of State Herter noted that the majority of the army and the conservative oligarchy supported the Junta, that Osorio had a long record of cooperation with the United States and opposition to Communism, and that several other countries had already extended recognition. He recommended prompt recognition in order to enable the United States to establish good relations and exert a positive influence on the new regime, and Eisenhower approved. (ES-28)

Meanwhile, the Department's concern about the new regime was increased by new reports from the Embassy, reinforced by Kalijarvi's return to Washington for consultations. Chargé Donald P. Downs was instructed to meet with Osorio and selected army officers and ascertain their views. Downs reported on November 3 that Osorio had replied to questions vaguely and evasively and that he did not think it was necessary to curb Communist activities but intended that all parties should participate in free elections. Downs also met with one of the military members of the Junta, who he thought was friendly but "a complete babe in the woods." (ES-29, 30)

At a National Security Council meeting on November 7, Acting Secretary of State Livingston T. Merchant reported that the United States had not recognized the new government in El Salvador in view of the possibility of a counter coup; the question was whether recognition should be extended in order to strengthen "reasonable elements" in the government or withheld in the hope of encouraging the opposition. Eisenhower remarked that the ease with which a few Communist elements could take over a government was frightening and that the reluctance of OAS members to take action was alarming; he observed that it might be necessary "to go back to greater reliance on power politics". Secretary of Defense Thomas S. Gates, Jr., recommended delaying recognition, but further discussion was inconclusive (ES-32) In a November 10 memorandum to Eisenhower, Herter again recommended recognition. (ES-34) The President again approved, but action was postponed because of continued Department of Defense opposition and concerns expressed by the intelligence community (ES-36, 37)

In an effort to resolve the impasse, the Department of State sent C. Allan Stewart to El Salvador to survey the situation. He reported on November 23 that Osorio was the key figure behind the government, that the civilian members of the Junta seemed anxious to cooperate with the United States, and that the military members, backed by Osorio, provided a check on those of doubtful ideology. (ES-39) After receiving this report, Herter again recommended recognition. (ES-40) In a meeting with the President on December 1, the Department of Defense withdrew its objection, and Eisenhower gave his approval. (ES-42) On December 3, Kalijarvi returned to El Salvador and delivered a note extending recognition to the Junta as the provisional Government of El Salvador. (ES-43)

Guatemala

U.S. Relations With Guatemala

Note: The parenthetical citations are to the numbered documents in the text.

The assassination of the pro-American and anti-Communist President of Guatemala, Carlos Castillo Armas, in July 1957 threatened Guatemala with political uncertainty. In fact, a relatively orderly transition emerged. An interim government arranged a new Presidential election in which Miguel Ydígoras Fuentes won a plurality but not a majority. Through popular pressure and political dealing, Ydígoras won approval of the Guatemalan Congress to which responsibility for naming the President devolved when no Presidential candidate won a majority in the popular election. An upper-class, authoritarian, former professional soldier who represented Guatemala's traditional classes and conservative forces, Ydígoras assumed the Presidency in March 1958 without enjoying firm support in the new Congress where his political supporters made up only 16 of the 66 members. (GT-5)

Ydígoras compensated for his political vulnerability by engaging in a series of high-profile quarrels with his neighbors: with Great Britain over Guatemala's claims to British Honduras and with Mexico over a supposed invasion and, later in 1958, over shrimp fishing. (GT-6, 7, 14) The United States disapproved of this adventurism, but continued to provide Guatemala with economic and military assistance as well as development loans. (GT-8, 9, 10, 13) In early 1959, the Embassy reported that Ydígoras' political situation had deteriorated rapidly and his overthrow was a real possibility. (GT-15) When Ambassador Lester D. Mallory returned to Washington in June 1959 for consultations, the Department of State decided that despite Ydígoras' volatility and his government's apparent swing to the left, he was still worthy of U.S. support. (GT-20) The Department understood that if Ydígoras was to rule Guatemala he would have to, in effect, play to the left. The leftist traditions or Guatemalan politics established during the years of the Arevalo and Arbenz Presidencies of 1944-1954 gave such a posture considerable popular appeal. Unfortunately, Ydígoras did not make the kind of economic decisions and reforms required to place his government on a sound fiscal basis. In July 1960, economic problems, labor unrest, terrorism, and an abortive military coup convinced Ydígoras to declare a "state of siege" which suspended civil liberties and established temporary military control. (GT-29)

Concern about the survivability of the Ydígoras government took on added significance given the threat that Fidel Castro's revolutionary regime in Cuba posed to the rest of Central America. When a group of

dissident military officers attempted to seize power on November 13 in Guatemala City and two provincial capitals, Ydígoras charged that the revolt was Castro-inspired and asked for U.S. support in preventing possible Cuban invasion or intervention. (GT-33, 34, 35) On November 14, President Eisenhower discussed the situation with Secretary of State Christian Herter. Herter noted that the situation looked "very serious" and suggested that "the Cubans have had a hand in this." Eisenhower agreed that the United States should be prepared to get from Guatemala, Nicaragua, and Costa Rica requests for U.S. military surveillance and possible assistance in the event of an overt Cuban intervention or attack. The Department of Defense was alerted to the possibility and it began discreet surveillance. (GT-36)

There was no Cuban aggression nor any proof that the Guatemalan rebels were supported by Castro, but Guatemalan forces loyal to Ydígoras were unable immediately to reestablish control. Guatemala and Nicaragua had requested surveillance, while Costa Rica had not. Herter therefore recommended to Eisenhower that the United States continue naval surveillance of the Guatemalan and Nicaraguan coasts. The only matter still to be decided was whether or not this naval surveillance force should have a U.S. Marine battalion on board. Eisenhower decided that the Marines should remain at the nearest suitable station. (GT-42) By November 16, loyal forces put down the rebellion.

Haiti

U.S. Relations With Haiti

Note: The parenthetical citations are to the numbered documents in the text.

Haiti had the misfortune to be the poorest nation in the Western hemisphere. President François Duvalier was popularly elected in 1957, a break in the usual cycle of presidential succession by military coup, but soon after his election Duvalier proved himself another Haitian dictator. Duvalier ruled through control of the National Police, the Presidential Guard, and the secret police, all chosen for their personal loyalty to him and meant as a counterweight to the Haitian Armed Forces.

Haiti's economy was virtually bankrupt. Graft and administrative ineptitude discouraged international lenders from providing Haiti with additional loans. Because Haiti's economy was dependent on coffee, a wild crop harvested by peasants, its revenues fluctuated wildly. During 1958–1960, U.S. officials responsible for relations with Haiti faced three overriding questions: how closely should the United States become associated with Duvalier, how could the United States use its influence to mitigate Duvalier's dictatorial rule, and how much money should it give Haiti?

As 1958 began, the Department of States was restoring normal relations with Haiti that were broken in late December 1957 when U.S. Ambassador Gerald Drew was recalled to protest the beating death by Haitian police of an American citizen, Shipley Jean Talamas, a political opponent of Duvalier. The Talamas family received compensation, and some official action was taken against his murderers. The Department of State then outlined a program of improved relations: restoration of grant assistance, military assistance, and loans; recreational visits of the U.S. fleet; possible augmentation of U.S. military training missions; and increased U.S. tourism, private investment, and technical assistance. (HA-1)

In June 1958, Ambassador Drew expressed concern about this program. Speaking specifically of a U.S. Marine Training Mission that Duvalier avidly wanted, Drew confided: "I find myself becoming increasingly repelled by the thought of a mission here when the jails are crammed with political prisoners . . . ; when defeated candidates . . . are beaten, tortured and hounded into exile; when a restrained opposition press has been ruthlessly snuffed out of existence; and when masked night riders, . . . operate from their headquarters in the National Palace." Drew suggested that in return for the U.S. Marine

trainers the United States should extract promises of better behavior from Duvalier. (HA-4)

The initiative shifted to Duvalier when his security forces foiled a coup by Haitian, Dominican, and American citizens launched from Miami on July 29, 1958. (HA-5) The United States publicly regretted and deplored the involvement of U.S. citizens. President Eisenhower privately soothed Haitian feelings. (HA-6) Two months later, the U.S. Marine training mission was approved on a temporary basis notwithstanding Drew's concerns. (HA-9)

Haiti's economy suffered in early 1959 from the double blow of the failure of its coffee crop (less than half the previous year's level) and a drop in the price of coffee. Haiti was running a large deficit and needed a massive injection of U.S. assistance to forestall economic paralysis and possible social and political chaos. The United States was prepared to grant Haiti \$6 million in budgetary support from the President's special contingency fund, but the International Cooperation Administration insisted over Department of State objections that the money be given only if Haiti agreed to controls and reforms in its economy. (HA-10)

The economic crisis occasioned serious consideration in Washington and at the Embassy in Port au Prince of the advisability of continuing to shore up the Duvalier regime. In March 1959, Ambassador Drew and the Country Team reluctantly concluded that Duvalier's overthrow would create more chaos and misery than continued Duvalier rule. As Drew concluded, "we cannot afford to let Haiti go through the wringer." (HA-11 through 13) Ironically, in May 1959, Duvalier nearly died but was saved by the dispatch of a U.S. cardiologist and equipment from Guantanamo Bay. (HA-14, 17)

Disturbed conditions in the neighboring Dominican Republic and a small-scale invasion of Haiti from Fidel Castro's revolutionary Cuba gave Duvalier serious pause in late summer 1959. Haiti requested a U.S. patrol of its waters and air space and offered base facilities to the United States. (HA-15, 18) The United States declined both requests, but did authorize extensions of visits and brief additional visits of U.S. Navy ships to Haiti. (HA-16)

When the Caribbean situation quieted, the United States concentrated upon the Haitian economy. This time, however, U.S. aid could be justified on the grounds that Haiti needed economic and military assistance for legitimate self-defense against Cuba and Communism. (HA-21) International Cooperation Administration officials complained that Haiti was not only not trying to help itself economically, but also refusing constructive help designed to bring economic development. ICA argued against budgetary support, but lost to the foreign policy considerations of the threat of Castro. (HA-22)

Duvalier was not particularly grateful and complained publicly about the meagerness of U.S. aid, implying that U.S. parsimony was the real cause of Haiti's poverty. The Central Intelligence Agency concluded that Duvalier was "drifting Leftward" because the ailing dictator had delegated authority to a "clique of leftists." Still, the general consensus in Washington was that Duvalier was reasonably secure and the pro-American Haitian Army would not challenge him. In effect, the United States was reluctant to give up on Duvalier even though his government's graft and mismanagement had crippled the U.S. aid program and notwithstanding his flirtation with the left. Duvalier was a force for stability in a country characterized by political instability. Despite his occasional anti-American tirades, he was a staunch anti-Communist. (HA-24, 26)

The new U.S. Ambassador to Haiti, Robert Newhegin, arrived in Port au Prince in October 1960 with limited objectives and options. He was there to commit U.S. aid money, \$5 million for budgetary support, \$4.5 million for balance-of-payments support and economic development, and \$3 million for additional development projects. He was to stress that this money was to help the Haitian people, but Haiti's past use of aid and development assistance and its inability to repay past debts did not augur well. (HA-27 through 29)

Honduras

U.S. Relations With Honduras

Note: The parenthetical citations are to the numbered documents in the text.

Throughout the 3-year period, U.S.-Honduran relations were cordial and unencumbered by vexing problems. The United States welcomed the administration of President Ramon Villeda Morales as one with which it could do business and one which typified the type of decent, democratic government in Latin America that it liked to see. (HO-1, 2) Unfortunately, although Honduran needs were not great in terms of dollar expenditure, the United States had to be cautious in responding to requests for assistance. (HO-3) Villeda's middle-of-the-road policies inspired grumbling by the Chief of the Armed Forces, but U.S. officials counseled patience and assistance to the civilian authorities. (HO-4) Although by no means a strong-arm leader, Villeda fended off two military coups launched from outside the country in 1959 by the former Honduran Chief of Staff. (HO-5, 9)

In 1960, Villeda made an informal visit to Miami and New Orleans and received a warm letter of support from President Eisenhower who praised the Honduran leader's efforts to strengthen his country's democratic institutions. (HO-13) Villeda was clearly perceived as someone friendly to the United States and aware of the dangers of international Communism. (HO-2) From this perspective, it was not surprising that in the late months of 1960, the Department of State took extraordinary measures to arrange loans for the financially troubled United Fruit Company, since it was felt that collapse of the company would seriously destabilize the Honduran economy, cause loss of jobs, threaten the future of the Villeda administration, provide a seedbed for Communist discontent, and deprive local Honduran communities of numerous public services which United Fruit provided in the absence of the Honduran Government's ability to do so. (HO-15, 16, 20, 21)

Happily for Villeda and Honduran morale, late 1960 also witnessed a great political victory for the country when the International Court of Justice provided a peaceful settlement to a longstanding dispute by awarding to Honduras territory long contested with Nicaragua. (HO-18, 19)

Finally, a month before the end of the Eisenhower Presidency, the Department of State secured approval for the United States in concert with Honduras to refer to the International Court of Justice the question of jurisdiction over the Swan Islands. The islands had been occupied by the United States for a century and Secretary of State Herter felt

that the Honduran claim was definitely a weak one, but he thought it politic to make the move in order to strengthen the Villeda government and offset the criticisms of the Castro government in Cuba which was itself incensed by American radio broadcasts hostile to Castro emanating from the islands. (HO-22)

Nicaragua

U.S. Relations With Nicaragua

Note: The parenthetical citations are to the numbered documents in the text.

U.S. relations with Nicaragua during the final years of the Eisenhower administration were untainted by major differences between the two states. While concern in both countries about invasions of Nicaragua and attempts to overthrow the Somoza government remained a constant, none of the several attempts succeeded or even raised the real possibility of revolution.

The most important event in relations between the United States and Nicaragua took place in 1958 when Milton Eisenhower visited Managua, July 21–24. Coming after Vice President Nixon's stormy visit to Latin America, April 27–May 15, and in the face of concern that the President's brother might encounter protests, the Embassy in Managua reported that it could protect Milton Eisenhower from similar indignities. (NI-7) The visit proved to be highly successful, as Milton Eisenhower discussed various issues with President Somoza and members of his government and met with leaders of the opposition political parties. (NI-8) The Embassy in Managua speculated that part of the reason for this success stemmed from Somoza's genuine concern about accusations that he was merely another dictator. In a followup report in September, Ambassador Whelan concluded that everyone was satisfied with the visit which resulted in "much good" for the United States (NI-9)

By 1959, the U.S. Government had become sufficiently concerned about attempts to overthrow the Somoza government or assassinate its President that it asked the Embassy in Managua for an assessment of the climate for a deal between the President and the "responsible opposition." (NI-15) While the Embassy's response indicated that this was an unlikely prospect, the Department of State continued to urge the Government of Nicaragua to reach an agreement with opposition elements. The Embassy in turn stressed that the only respectable opposition represented only a very small part of the anti-government parties. (NI-17)

At the end of 1960, the Government of Nicaragua began to share the concern of the United States, but its worries were about Communist-backed activities and intervention in its affairs sponsored by Cuba. This led to a request for U.S. assistance. On November 17, James Hagerty, President Eisenhower's press secretary, announced on behalf of the President that air and surface units of the U.S. Navy had assumed positions off the coast of Nicaragua where they could assist the local government against such intervention. (NI-26)

Panama

U.S. Relations With Panama

Note: The parenthetical citations are to the numbered documents in the text

U.S. relations with Panama during the final 3 years of the Eisenhower administration focused mainly on questions arising out of the administration of the Canal Zone, and upon the larger issue posed by the symbolic, but politically sensitive question of whether the Panamanian flag should be allowed to fly alongside the United States flag within the Canal Zone. For the Panamanian Government, the flag issue was one of burning domestic importance. There was no question of challenging U.S. control over the territory and operations of the Canal Zone, but there was a strong Panamanian desire to see recognition of Panamanian sovereignty over the territory of the Canal Zone by flying the Panamanian flag within the Canal Zone. On November 3 and November 28, 1959, popular frustration over the refusal of the United States to allow the Panamanian flag to be flown in the Canal Zone led to anti-American riots in Panama City. Relations between the United States and Panama remained strained until President Eisenhower authorized the Panamanian flag to be flown alongside the U.S. flag in the Canal Zone in September 1960.

President Ernesto de la Guardia initiated a series of high-level exchanges on the flag issue in a conversation with Dr. Milton Eisenhower during the visit of President Eisenhower's brother to Panama in July 1958. (PM-3) In addition to the flag issue, Panamanian officials complained of a number of other irritants relating to the administration of the Panama Canal Zone. In a conversation with Secretary of State Dulles on October 8, 1958, Foreign Minister Miguel J. Moreno argued that the United States was not interpreting the Treaty of Mutual Understanding and Cooperation and the related Memorandum of Understanding, which had been signed on January 25, 1955, in the spirit in which they had been intended. (PM-8; for texts of the treaty and the accompanying memorandum, see Department of State *Bulletin*, February 7, 1955, pp. 238-243)

President de la Guardia made a similar complaint in a letter to President Eisenhower on March 7, 1959 (PM-11) The Panamanian complaints alleged that the United States maintained a dual wage scale in the Canal Zone which discriminated against Panamanian employees, that a number of the best jobs in the Canal Zone were reserved for U.S. citizens under an unnecessarily broad security system, and that Panamanian enterprise suffered from unfair competition from imports of merchandise into the Canal Zone from "third country" source's and

from "luxury items" from abroad sold through Canal Zone sales outlets. In essence, the Panamanian Government felt that the Canal Zone administration discriminated against Panamanians, and that Panama was not profiting from the operations of the canal as it should. The Panamanian Foreign Minister repeated these complaints in July 1959 in rejecting a U.S. aide-memoire responding to the Panamanian complaints. (PM-18) Foreign Minister Moreno brought the dispute into the open with public statements at Santiago, Chile, in August and in New York in September 1959 charging the United States with non-compliance with its treaty agreements. (PM-25) Meanwhile, the Panamanian Government continued to press for the right to fly the Panamanian flag in the Canal Zone. (PM-24)

The Panamanian complaints engendered a good deal of high-level concern and policy debate in Washington. Panama was of critical strategic importance to the United States because of the canal, and concerns about the political stability of the Panamanian Government were magnified in May 1959 when a group of 80 armed revolutionaries, Cuban-led and supported, landed on the north coast of Panama and attempted to overthrow the government. (PM-14) Panamanian concerns and complaints found a sympathetic ear in President Eisenhower, who took a keen and continuing interest in the problems and was inclined throughout the period to accede to most of the Panamanian requests for change. (PM-19, 20, 22, 37) Eisenhower saw little reason to refuse the Panamanian request to have the Panamanian flag fly with the U.S. flag in the Canal Zone. (PM-26, 49)

The President received conflicting advice from his advisers on these questions, however. The Department of State, led by Secretary of State Herter, argued consistently for a more generous interpretation of the terms of the 1955 understandings with Panama, and pointed up the importance of accepting the Panamanian position on the flag issue. (PM-20, 28, 32, 37, 40, 50) Secretary of the Army Wilber M. Brucker, on the other hand, functioned in the capacity of President of the Panama Canal Company and represented the interests of the Canal Zone government. The tenor of his advice to the President was, by and large, to hold the line against the Panamanian demands, most of which the Department of the Army viewed as unwarranted. (PM-20, 29) Brucker was strongly opposed to raising the Panamanian flag in the Canal Zone, which he argued would be viewed as a sign of weakness and a concession in the direction of eventual Panamanian control of the canal. (PM-39, 52) Brucker pointed to the fact that there was strong support in Congress for his position on the flag issue (PM-52)

The tensions involved in relations with Panama, which were highlighted in the policy debate, led the Eisenhower administration to reconsider the possibility of building an alternative sea-level canal in

a different country. (PM-17, 41, 42, 43) That review again pointed up the fact that an alternative canal was an impractical project. (PM-48) The United States would have to continue to deal with Panama concerning the operation of the strategically important canal. In March 1960 Brucker and Herter moved in the direction of improving relations with Panama by agreeing on a 9-point program to meet most of the Panamanian concerns. (PM-36) President Eisenhower approved that program, and he took the final step necessary toward improved relations when he ordered, in September 1960, that the Panamanian flag be raised alongside the U.S. flag in the Canal Zone. (PM-49, 52, 55, 59) The new Panamanian Government of Dr. Roberto Chiari expressed gratification at President Eisenhower's decision, and the United States moved to solidify improved relations by reviewing and increasing the package of economic aid available to Panama. (PM-69, 63)

Paraguay

U.S. Relations With Paraguay

Note: The parenthetical citations are to the numbered documents in the text

During the final years of the Eisenhower administration, U.S. relations with Paraguay experienced no extraordinary departures from normal; indeed, the issues discussed and the policies pursued reflected the same concerns as in the preceding and succeeding periods.

At the outset, Ambassador Walter C. Ploeser set the tone in a letter to Assistant Secretary of State Roy Rubottom. The primary concern of the United States was to avoid the possibility of any disorderly change in the Paraguayan Government, change which might open the door to Communist infiltration of the government. (PA-1) President Stroessner, who had seized power in a coup in 1954, would have to employ all of the political sagacity and astuteness at his command to defeat the threat of unrest stemming from Communist provocations. Ploeser was quick to point to Stroessner's constant support for the United States in the world arena, even at the risk of alienating his own neighbors, yet the Ambassador and his colleagues were skeptical of the President's assurances that he was leading the country in the direction of gradual democratization. Ploeser urged impetus for economic projects that would aid Paraguay, chiefly by improving the infrastructure of the country. He also asserted the constant and continuing theme of the United States in dealing with Stroessner that the U.S. goal was to ensure the stability of Paraguay by supporting the country and its people, but not necessarily the Stroessner government. Support for democracy in Paraguay did not mean showing favors to the current regime there. (PA-3)

In September 1958, Paraguay attempted to exert a little leverage to gain U.S. attention when it registered complaints about U.S. aid to Bolivia at a time when that country was expressing interest in recognition of the Soviet Union. (PA-5, 6) Foreign Minister Raul Sapena Pastor said that lack of U.S. economic assistance might force Paraguay to turn to Soviet bloc countries and commented on the seeming incongruity of aid to Bolivia rather than to Paraguay, even though the latter had no dealings with any Communist states. The Department of State's response was to put forcefully to Paraguayan officials the position that efforts to play East vs. West were inappropriate.

On September 25, 1958, Sapena met with Rubottom in Washington. (PA-7) The atmosphere was cordial. The Foreign Minister stressed Bolivia's support for the United States especially in terms of air bases should the United States desire that. Rubottom emphasized the need

for Paraguay to eliminate the “authoritarian” character of its government and stressed that the American press referred to Paraguay as a dictatorship. For his part, Sapena again complained of U.S. aid to Paraguay’s nemesis, Bolivia, while Paraguay preserved a more staunch anti-Communist posture. Rubottom reassured him that military aid to Bolivia was minute, that the system of inter-American guarantees made unthinkable any aggression by Bolivia, and that economic assistance to that country had to be seen in the light of a larger effort to aid the whole regional economy and shore up the free world.

A year later, Ploeser, close to the end of his tour, could state that the United States had been successful in stabilizing the local economy and nurturing Paraguayan friendship for the United States. (PA-8) He was also able to say that no endorsement had been made of the Stroessner regime, but had to admit that pressures to move the government toward greater political liberalism had not been measurably successful. The United States, he reminded the Department, could only urge strongly; it could not intervene.

In September 1960, Ploeser’s successor, Henry Stimpson came to Washington for talks and met with Assistant Secretary of State for Inter-American Affairs Thomas C. Mann. (PA-12) Stimpson felt that “the troublesome stigma of dictatorship of the Stroessner government notwithstanding, the United States should pursue a policy of working with the [Stroessner] regime.” In addition, the United States should press for free elections and a generally more liberal atmosphere in Asuncion. Leftist infiltration would have to be prevented, he said, but once that threat was curbed, the U.S. Government should urge Paraguay to reduce its armed forces and use the manpower thus liberated for projects such as road building and maintenance. The Paraguayan economy by and large was in dismal shape, said Stimpson, and Mann agreed that the United States would have to continue to help.

Peru

U.S. Relations With Peru

Note: The parenthetical citations are to the numbered documents in the text.

U.S. relations with Peru during the last 3 years of the Eisenhower administration were dominated by Peruvian requests for economic and financial assistance and by Vice President Nixon's visit to Bogotá in 1958 and Prime Minister Beltrán's visit to Washington in 1960. For the most part the relationship was cordial and noncontroversial.

In May 1958, as part of a general trip to Latin America, Vice President Nixon visited Peru. He presented President Prado with a letter from President Eisenhower in which the U.S. President expressed his admiration for Peru's progress in consolidating democracy. (PE-5) Unfortunately, the Vice President's visit did not go smoothly. Crowds of students prevented him from visiting San Marcos University, and he was pelted with stones in the attempt. An unscheduled stop at the Catholic University proved more successful, but his talks with Peruvian leaders on the country's economic difficulties resulted in no definite agreement for U.S. assistance (PE-8, 9) In his analysis of the visit, Ambassador Achilles reported that a weak national government had hoped to strengthen its position by the Vice President's stop at Bogotá, but the seriousness of the anti-American demonstrations had shocked and embarrassed the government. The Ambassador noted further that anti-American sentiment and resentment of the United States were passions that existed just below the surface in Peru, and commented on the ease with which the small number of Peruvian Communists had been able to stage the demonstrations. (PE-10)

Peru's quest for economic assistance, which had begun in the talks with the Vice President, continued in June with an application to the Eximbank for loans (PE-12), but the shaky economic situation in the country was exacerbated in September when President Eisenhower informed President Prado that the United States was imposing quotas on lead and zinc imports, two of the leading Peruvian currency earners. (PE-15) Not surprisingly, this action caused strong resentment in Peru. (PE-16)

By the end of 1958, the situation in Peru had deteriorated further. During his visit to the United States in October, Foreign Minister Barrenchea stressed his need to return to Bogotá with specific evidence of U.S. willingness to assist the country. (PE-18) While Assistant Secretary of State Rubottom expressed his sympathy for Peru's plight, he told the Foreign Minister that he could not give such a commitment

particularly in the form of credits. Peruvian requests for loans, however, were more successful. In 1959, despite an initial cold reception by the Development Loan Fund, Peru was granted a \$4.5 million loan. (PE-23)

At the same time, Prime Minister Beltrán proposed a major series of steps to deal with the country's economic and financial difficulties. The plan, which was discussed with Secretary of State Herter in August (PE-27), received a very sympathetic hearing in the United States. In 1960, the Prime Minister spent nearly a month in the United States lobbying on its behalf. He received an attentive hearing from President Eisenhower on June 9, although the President remarked with some asperity that U.S. assistance was not appreciated in Latin America. (PE-42) A further meeting with Under Secretary of State Dillon on June 21 garnered his support. (PE-43) By the end of 1960, largely because of the impression Beltrán created, the International Bank for Reconstruction and Development, the Export-Import Bank, and the Development Loan Fund had granted loans to Peru totaling over \$80 million (PE-1, 45)

Uruguay

U.S. Relations With Uruguay

Note: The parenthetical citations are to the numbered documents in the text.

U.S. relations with Uruguay during the triennium, while experiencing a surprising downturn at the start of the period, improved greatly after a change of government in Montevideo at the beginning of 1959.

In March 1958, Assistant Secretary of State Rubottom noted: "It is paradoxical but true that with no country in the hemisphere do we have more difficulty in our relations than with Uruguay—traditionally the most stable and democratically-oriented nation in Latin America." (UR-1)

The problems, in considerable measure, stemmed from the increasingly bad state of the Uruguayan economy. The United States felt that Uruguay had to come to grips with its own sad plight for which it was itself almost solely responsible. (UR-2) The United States was concerned and willing to help, but as a first step Uruguay had to restrict imports and balance its budget.

Vice President Nixon's visit in April 1958 was regarded as a distinct success in smoothing ruffled feelings, as he promised that the United States would not intervene in the case of American meatpacking plants recently expropriated by Uruguay. (UR-3) Later, the Uruguayan Ambassador told Secretary of State Dulles that his country bought from the United States $4\frac{1}{2}$ times what it sold there. The severe imbalance of payments forced Uruguay to seek sales of its goods to the Soviet Union which in turn attempted to impose further demands in return for the purchases. U.S. efforts to help by providing loans and removing high duties on wool tops, a key Uruguayan export, proved unsuccessful.

General improvement in relations began with the advent to power at the end of 1958 of a different faction of the ruling Nationalist Party, one which favored agricultural interests. This was perceived as a necessary first step in developing agricultural exports, which would produce the foreign exchange necessary for Uruguay to acquire essential imports. The prospect made the Embassy in Montevideo generally optimistic about the future of relations. (UR-9) Early in 1959, it proved possible for the United States to remove its troublesome countervailing duty on Uruguayan wool tops (UR-10), and an aura of good feeling permeated the bilateral relationship. (UR-13)

By 1960, U.S. preoccupation in the area with the threat of Fidel Castro was more and more evident. Uruguay was sympathetic but

unwilling to concede that Cuba represented a hemispheric problem any more than did the Dominican Republic. (UR-14, 16)

Nevertheless, the U.S.-Uruguayan relationship could only be described as very cooperative, in no small measure due to the change in government in Uruguay. The local economy, although somewhat stagnant, was basically prosperous. (UR-15) In the realm of politics, the United States felt that it could count on Uruguay's support in the world arena. This was a soothing consideration, since that country maintained its longstanding reputation as the best small country in the Western Hemisphere: democratic, enlightened, and progressive. As the period drew to a close, the International Monetary Fund, with U.S. support, agreed to assist the Uruguayan economy by extending a \$30 million loan. (UR-17)

Venezuela

U.S. Relations With Venezuela

Note: The parenthetical citations are to the numbered documents in the text.

The overthrow of Venezuelan dictator Marcos Pérez Jiménez on January 23, 1958, ushered in a more hopeful period in Venezuelan politics. The United States, although it had maintained friendly relations with Venezuela during the Pérez period, swiftly recognized the new interim government on the grounds that it was in full control of the governmental machinery, enjoyed wide popular as well as military support, and had pledged to hold free elections as soon as possible. (VE-1) At the same time, the United States admitted Pérez in accord with its customary practice of receiving exiled Latin American leaders "in the absence of extraordinary circumstances," just as Romulo Betancourt, a Pérez opponent and leader of the *Acción Democrática* party, had been admitted when Pérez took power. (VE-2) In elections held in December 1958, Betancourt won a near majority of the vote and took office as President of Venezuela in February 1959.

The United States fundamentally approved of the Betancourt government. Support deepened as Betancourt gradually emerged as a leader of the anti-Communist left in Latin America, and thus potentially a solid counterweight to the steady leftward march of the Castro government, which took power less than 2 months before Betancourt's inauguration in Venezuela. Nonetheless, there were sharp conflicts between the two nations over several issues, chief among them petroleum and the status of former President Pérez.

One of the last acts of the interim government was to raise taxes on petroleum. This act had worldwide implications because it effectively exceeded the 50-50 split in revenues between a host country and international oil companies which had become the norm since the late 1940s. While the United States vigorously protested, neither the interim government nor Betancourt rescinded the action. (VE-16 through 19)

In March 1959, President Eisenhower, by an Executive order, made mandatory a previously voluntary oil import control program. This action was the result of lowered worldwide demand for oil and was an attempt to protect the interests of U.S. domestic producers (VE-21) Although Venezuela did not like the action, it did not formally protest. (VE-22) Venezuelan patience was further strained when the United States, through a technicality, exempted Canada from the operation of the quotas. (VE-22, 26, 28) It was the U.S. view that this loophole had little actual deleterious effect on Venezuela, since increased shipment

of Canadian oil overland to the United States would help to maintain Canadian waterborne imports of Venezuelan oil. (VE-29) At the end of 1960, President Eisenhower, at the urging of Secretary of the Interior Fred Seaton and over the protests of the Department of State, made a change to the Executive order giving Seaton power to adjust oil imports more closely to domestic consumption, thus posing the possibility of further reduction in Venezuela's sales. (VE-53)

While insisting on U.S. freedom of action with regard to the oil quotas, U.S. officials gave some thought to means of assisting Venezuela economically. With its large revenues from oil, Venezuela was not as starved for foreign exchange as many developing countries. Nonetheless, Venezuelan reserves plummeted in 1958-1959 in response to decreasing worldwide demand for oil—the same consideration which led to the tightening of U.S. import quotas—and Venezuela was forced to declare quantitative restrictions on luxury items, and eventually full exchange controls. The United States supported these moves as well as Venezuela's increased willingness to work with the International Monetary Fund. (VE-38, 39, 47) The Department of State worked to keep technical assistance programs alive, while the Embassy urged toward the end of 1960 that if Venezuela's inexperience in applying for assistance made it impossible for it to meet normal economic criteria, then assistance should be provided on political grounds. (VE-36, 37, 47)

Pérez residence in the United States was deeply resented by Venezuelans, and may have stimulated some of the violence which marred Vice President Nixon's trip to Venezuela in May 1958. In March 1959, the Immigration and Naturalization Service issued an expulsion order against Pérez, who then pursued legal remedies. The Department of State acquiesced in the ruling, but its officials complained that the Department had not been consulted. (VE-24) In August, the Venezuelan Government informed the Department that it would ask for extradition on charges of murder and embezzlement, and late in the month U.S. authorities carried out a preventive arrest. Venezuela filed a formal extradition petition in September, and extradition procedures were completed in August 1963.

One of President Betancourt's overriding objectives was to rally hemisphere opinion against Generalissimo Hector Trujillo Molina of the Dominican Republic, who had harassed him and other democratic leaders in exile and who was probably behind an assassination attempt against Betancourt in June 1960. In August 1960, Venezuela succeeded in obtaining a unanimous vote at the Sixth Meeting of Consultation of the American Ministers, held in San José, Costa Rica, condemning Dominican acts of aggression and intervention. The Foreign Ministers resolved to break diplomatic relations with the Dominican Republic and also to interrupt partially economic relations with it. (VE-43, 46)

The United States, while supporting these initiatives, vigorously urged Betancourt to combine his initiatives against Trujillo with similar actions against Fidel Castro of Cuba. With equal firmness but in a friendly spirit, Betancourt consistently refused these requests. In the words of Ambassador Sparks, "President is convinced Venezuelan people are on his side in this matter and from standpoint his own personal honor he cannot enter into any action against Cuba until Trujillo regime is forced out of power." (VE-41, 49, 51) Betancourt's refusals did not lessen the U.S. tendency to regard him as a natural leader in the developing anti-Castro struggle. According to Sparks: "He stands for what we stand for. He recognizes the dangers of Castroism and can be counted upon to assist in blocking its spread. He has come long way in being able he openly critical in his November 1 [1960] speech [on] what is happening in Cuba." (VE-47) Thus, as the period drew to a close, the two countries had overcome or partially dealt with several hurdles and were considering how ties could be further strengthened.

American Republics

United States Regional Economic and Technical Assistance Policy¹

¹ For previous documentation, see *Foreign Relations*, 1955–1957, vol. VI, American Republics: Multilateral; Mexico; Caribbean, Chapter 3.

ETA-1. Memorandum from the Director of the Executive Secretariat (Howe) to the Assistant Secretary of State for Inter-American Affairs (Rubottom) and the Assistant Secretary of State for Economic Affairs (Mann)¹

Washington, January 24, 1958.

Economic Policies—Latin America

Before he left for the Baghdad Pact Conference,² the Secretary, in a memorandum on a number of different subjects,³ made the following statement.

“I feel that our economic policies in station to Latin America are too negative. I think we should re-examine our opposition to all trade between Latin America and the Soviet bloc, putting the emphasis rather on means to make that trade safe. Also I think we should re-examine our policy of opposing any stabilizing, or quota, arrangements. I doubt that we are in a good position to withstand in that part of the world a Soviet economic defensive at a time when the demand for raw materials is down and prices are very low.”

¹ Source: Department of State, Rubottom Files, Lot 60 D 553, “Task Force (Latin American Economic Policy Review) 1958.” Secret.

² The Baghdad Pact Council held its fourth ministerial session in Ankara, Turkey, January 26–30, 1958. Secretary Dulles headed the U.S. observer delegation. For documentation on this subject, see *Foreign Relations*, 1958–1960, Eastern Europe; Finland; Greece; Turkey, vol. X, part 2, Documents 303–304.

³ Reference is to a memorandum from Secretary Dulles to Under Secretary of State Christian A. Herter and four other principal officers of the Department, dated January 19, 1958. (110.11-DU/2-358)

Governor Herter would like to have a careful study of this problem promptly undertaken so that as soon as possible recommendations can be put before the Secretary.

Action on the aspects of this problem which relate to financial and commodity problems in Latin America are assigned to E; those relating to the trade relations of Latin America are assigned to ARA. Governor Herter however wants to have the closest possible coordination in the review of this matter by ARA and E and also in close cooperation with S/P. Mr. Dillon will be overseeing the preparation of work on this matter.

Governor Herter requests from you by Tuesday, January 28, a brief statement of the manner in which you plan to address this problem and the date on which you believe you would expect to have something for the Secretary after appropriate review by other parts of the Department.⁴

Fisher Howe

⁴ A memorandum from Charles S. Whitehouse, Special Assistant in the Office of the Deputy Under Secretary of State for Economic Affairs, to Assistant Secretaries Rubottom and Mann, dated January 27, reads in part as follows: "I have spoken to Mr. Howe, pointing out that it would be impossible to get a statement to the Under Secretary by Tuesday, January 28, on this subject as Messrs. Mann, Rubottom and Dillon are lunching together on Thursday, the 30th, to discuss this problem. Fisher Howe has agreed, but would appreciate a very brief statement along the lines he requested in the course of Thursday afternoon." (Rubottom Files, Lot 60 D 553, "Task Force (Latin American Economic Policy Review) 1958")

ETA-2. Memorandum from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Acting Secretary of State¹

Washington, January 31, 1958.

SUBJECT

United States Policy Toward Latin America

¹ Source: Department of State, Central Files, 611.20/1–3158. Secret. Drafted by Assistant Secretary Rubottom. Secret.

Problem

To analyze United States policy toward Latin America in the light of present-day economic trends.

Discussion

1. Trade is the cornerstone of our relations with Latin America. When high-level trade is sustained with resulting good prices, most facets of our relations with the area are good. In 1955 and 1956 total trade between the United States and Latin America reached an approximately 7½ billion dollar annual figure, almost balanced in each direction.

2. In the last quarter of 1957 Latin American total exports to the United States began to slump, with prospect of a decline in 1958 of at least seven percent. The problem has been especially critical in lead, zinc, tin and copper. Coffee, the most vital commodity of all, started to decline but this was stopped by the main producers holding coffee off the market; most experts are predicting serious trouble ahead for the coffee market. Although we assisted financially Mexico, Bolivia, Chile and Peru, which were affected by the metals decline, this was offset by the profoundly negative impression created by the Administration-sponsored Bill last year for increased tariffs on lead and zinc.

The one country where we have had a serious trade problem for generations—Argentina—because our products are not complementary, may very likely slip back into its traditionally anti-United States position unless we are able, through large loans and other means, to overcome this fact-of-life situation.

3. While in the past we have opposed vigorously any trade between Latin America and the Soviet bloc in *strategic materials*, we have *not* opposed other trade. Although Latin American trade with the Soviet bloc, about one percent of the area's total trade, decreased about 12 percent in 1957 as compared with 1956, it is inevitable that Latin America will attempt to sell more to the Communists if the present decline in exports to the United States continues. We should not and do not oppose such trade in non-strategic items, except with Red China, although we would expect Latin American Governments to be wary and to avoid political pitfalls. Brazil is now considering whether to resume diplomatic relations with the USSR, undoubtedly as a part of the price for increased commercial relations, with the outcome uncertain. The resumption of relations with the USSR by Brazil would certainly be a political setback for the United States but it may be unavoidable.

4. In addition to trade, our economic policy toward Latin America has been based on private investment and loans, with grant aid only for emergencies. This policy, while never wholly palatable to Latin America, was sound and the results paid off to Latin America's benefit

while times were good. With trade slipping and prices of some commodities sharply down, this policy, while still valid as far as it goes, will require some strengthening in order to improve both its real and its public relations impact. Latin American Governments and peoples tend to judge our policies as much on a *comparative* basis as on an *absolute* basis. Thus, we shall have to be especially vigilant in weighing the impact of decisions in other areas on Latin America.

Recommendations

1. We should administratively earmark a portion, not less than 15%, of the Development Loan Fund² for Latin America.

2. We should take a more positive and flexible position in the Eximbank toward loan applications from Latin America, with emphasis on longer-term loans.

3. We should review our policy of opposing the establishment of an Inner-American Bank. It may be feasible to use the funds for our contribution, say one-third, to such a fund; we would thus have a controlling role in the bank; probably no step by the United States in the financial field would have as much propaganda impact as this one.

4. We should emphasize to Latin America the necessity of avoiding political penetration by the Soviet Bloc as they undertake to expand their commercial dealings with the Communists.

5. The Administration should be prepared to withstand domestic pressures to restrict imports, either by tariffs or quotas, of Latin American products for in so doing it can offset to a degree the bad effects of such measures, if voted by Congress; if the Administration cannot do this, the Department should be prepared to face the consequences of worsening relations with its closest friends and neighbors in Latin America.

² The development Loan Fund (DLF) was originally established within the International Cooperation Administration by the Mutual Security Act of 1957 (71 Stat. 355), and it became an independent corporate agency of the United States under the provisions of the Mutual Security Act of 1958 (72 Stat. 261). The Fund carried out its responsibilities subject to the foreign policy guidance of the Secretary of State. Its functions involved, *inter alia*, provision of investment capital for specific development projects in developing areas through loans or certain types of credits directly to private enterprises or governments. For documentation on the activities of the Fund during the period 1958–1960, see *Foreign Relations, 1958–1960*, vol. IV, Foreign Economic Policy.

ETA-3. Memorandum by the Assistant Secretary of State for Economic Affairs (Mann) to the Acting Secretary of State¹

Washington, January 31, 1958.

SUBJECT

Economic Policies—Latin America

The following comments relate to the portion of the Secretary's statement which was assigned to E in Mr. Howe's memorandum of January 24.²

I. Latin American Exports.

In our economic relations with Latin America, the most important problem facing us is the decline in demand and prices of Latin American exports which directly affect their budgetary and economic development plans. Related to this, is the growing protectionist sentiment in the United States, stimulated in part by the current fall off in our domestic economic activity, which threatens to restrict their access to the United States market. All of this makes it easier for Russia to increase its commercial relations with the area.

This problem can best be attacked on a commodity by commodity, rather than on a general, basis. The most urgent facet of the general problem is what we can do if, as expected, the Tariff Commission recommends soon increased tariffs or quotas on lead and zinc. The Latin American countries most affected would be Mexico and Peru. We shall soon be faced with a similar problem regarding copper which is of great importance to Chile.

My suggestion is that we consider at once the position we take with respect to lead and zinc. It would be best from a foreign relations standpoint if we were not to impose additional tariffs or restrictions on the import of lead and zinc, but it is possible that the President may consider himself committed to tariff action in response to a report by the Tariff Commission. On the assumption that the President will feel so committed, we should develop a program along the following lines:

(1) *Explore the feasibility of our participating in an international lead and zinc study or commodity group* built around a competent secretariat which would make objective studies of trends in supply and demand and recommend measures by exporting countries to keep them in approximate balance. Our participation in such a group would be of great psychological and political advantage to us in the underdeveloped countries.

¹ Source: Department of State, Central Files, 811.0020/1-3158. Confidential. Drafted by Assistant Secretary Mann.

² See Document ETA-1.

We would not expect it to perform miracles in stabilizing prices but we could hope that over a period of years the Secretariat could introduce at some degree order in the situation. The difficulty is opposition within the United States, on doctrinaire grounds, to any commodity arrangement, and probable opposition on similar grounds by Canada and other industrial countries. Nevertheless, it would be of great value in our relations with lead and zinc producing countries to be able to offer this as a means of easing the blow which they will feel they have sustained when we raise the tariff on lead and zinc.

(2) *Avoid by all means the imposition of quotas on the import of lead and zinc.* This is necessary because the marginal producers of lead and zinc in the United States will urge quotas, as probably the only means of salvaging their position. Quotas would be administratively very difficult, and from a policy standpoint extremely injurious.

(3) *Seek to develop effective legislation to take care of industries and communities in the United States* which have been seriously affected by exhaustion of resources which they were exploiting, or which have otherwise suffered economic depression through circumstances beyond their control. Action on this front will demonstrate to other countries that we seek to solve our own problems through domestic action, and not through transferring the burden of adjustment to countries less able to bear it than we. We are making a more detailed study of the possibilities in this field.

(4) *Continue to consider stockpile acquisition through direct purchase or through barter* as a possible means of assisting the lead and zinc industry. We now have a large stockpile, and it may be too large, in public security terms. The special stockpile committee³ has just reported to Gordon Gray that the stockpile should not be used for domestic price support purchases, but we have used it for this purpose rather extensively in the past few years, and we cannot taper it off too quickly. It still has some validity in lead and zinc.

As other commodity problems arise, notably copper, a similar analysis should be undertaken, and a program should be developed which will enable us to avoid the kind of restrictive action which many people consider inevitable in lead and zinc. With respect to commodities which we do not produce, such as coffee, we should change our attitude and be willing to consider, on their merits, proposals for commodity stabilization. This change would be vital in connection with the chief Latin American commodity, coffee.

³ Apparent reference to the Special Stockpile Advisory Committee established in October 1957 to review U.S. stockpile policies. A joint Department of State-United States Information Agency message containing information about the formation of the Committee was cabled to the field in circular telegram 412, October 31, 1957, not printed. (711.6/10-3157)

II. *Financial Assistance.*

As dollars earned by Latin American exports decline, it will be even more important to increase aid through the World and Exim-Banks and through the Development Loan Fund. ARA and E are jointly working on collecting and appraising projects with a view to determining which ones are eligible for DLF financing.⁴

⁴ A note from Rubottom to Howe, dated January 31, attached to the source text, reads as follows: "I concur in substance, but I would like to discuss one or two parts of the paper with Mr. Mann himself."

A handwritten notation from Mann to Howe on Rubottom's note reads as follows: "I think R[ubottom] will want to leave open the possibility of a quota instead of a tariff & other details that can very well be decided until we have the report of the Tariff Commission."

ETA-4. Memorandum from the Director of the Office of Inter-American Regional Economic Affairs (Tukel) to the Assistant Secretary of State for Inter-American Affairs (Rubottom) and the Assistant Secretary of State for Economic Affairs (Mann).¹

Washington, March 26, 1958.

SUBJECT

Transmittal of Task Force² Paper on U.S. Economic Policy Toward Latin America

1. Yesterday the Secretary called for the memorandum on a revised U.S. economic policy toward Latin America. The assignment was made on January 24 just before the Secretary went to the Baghdad Pact Meeting and the delay has been caused by two things: (a) rapidly developing petroleum situation, and (b) frequent absences of key personnel from Washington.

2. The Task Force feels that its work has been completed so far as possible. Supporting papers on lead-zinc (Tab A), copper (Tab B),

¹ Source: Department of State, ARA Files, Lot 62 D 302, "Latin American Task Force." Secret. Drafted and initialed by Tukel.

² On January 31, Assistant Secretaries Rubottom, Mann, and Gerard Smith of the Policy Planning Staff (S/P) agreed to establish a task force to review the entire range of U.S. economic policy toward Latin America. Representatives from the two geographic bureaus and S/P staffed the Task Force, and drafted the report and all supporting papers. Documentation relating to the work of the Task Force is in several Department of State lot files, including ARA Files, Lot 62 D 302, ARA Special Assistant's Files, Lot 60 D 371, and Rubottom Files, Lot 60 D 553.

petroleum loan policy (Tab C), and financial assistance (Tab D) are transmitted herewith. A supporting paper on coffee is being revised and will be ready in two days. It will be Tab E.³

3. Early in March we obtained approval from all geographic bureaus on the draft then submitted. Changes since then have been so minor that I think it need not be resubmitted. The Planning Staff and Ambassador Randall also approved. Ambassador Dreier approved but commented that the changes from existing policy mean little more than a “willingness to study these problems”. He hoped we could gain credit for a positive decision by announcing a new policy.

4. The Task Force does not presume to say how the new policy should be announced if the Secretary approves thereof. It is my hope that there will be no announcements of policy change but that we will forge ahead with action bit by bit until, a few months hence, Latin America will wake up to the realization that a somewhat changed spirit animates our relationship. I should hope that we would then say that we have always had this sense of solidarity: it only seems to be greater now when the worsened economic situation of our neighbors requires greater efforts by the United States to help them.

Attachment

Review of U.S. Economic Policies Toward Latin America⁴

Washington, undated.

Problem

What changes should be made in U.S. economic policies toward Latin America as a result of the decline in commodity prices, the opening of a Soviet economic offensive in this area, and the rise of protectionist sentiment in the U.S.?

Summary

This memorandum deals with financial assistance, commodity and trade problems, and policy toward Latin American trade with the Sino-Soviet Bloc.

With respect to commodity and trade problems, the most significant recommendations are the following, which place increased emphasis on possible commodity study groups or stabilization arrangements: (1) adopt, if possible, measures other than tariff increases to provide

³ None of the supporting papers mentioned here are printed, except Tab C.

⁴ The source text is marked “Final Draft.”

relief for domestic lead-zinc industry aid, if a tariff increase proves unavoidable, limit its scope and duration and indicate our willingness to join a multilateral study of a lead-zinc stabilization agreement; (2) oppose any increase in the currently stipulated tax on imported copper and be prepared to discuss the possibility of establishing a study group looking towards an international copper agreement; (3) study the feasibility of a western hemisphere oil commission to review the oil supply and demand situation; and (4) indicate U.S. willingness to cooperate in a multilateral coffee study group on a world-wide basis.

As to financial assistance, the more important recommendations are: (1) that the Eximbank continue its development loan program in Latin America and be prepared, if necessary, to make assistance available supplementary to IMF assistance, to help meet temporary payments problems; (2) that the reasons for the recently low volume of IBRD loans to the area be investigated and, if indicated, that efforts then be made to increase IBRD operations; (3) that U.S. public loans be made to state petroleum enterprises for certain very limited purposes when U.S. foreign policy objectives thereby can be served; and (4) that we study the desirability of an Inter-American development bank.

In regard to the Sino-Soviet Bloc economic offensive in Latin America, it is recommended that the U.S.: (1) continue its existing policy of not opposing expansion of trade in non-strategic commodities with the European Soviet Bloc; (2) maintain efforts to persuade individual countries, as appropriate, to minimize or eliminate their trade and financial arrangements with Communist China; and (3) alert countries to the political and economic pitfalls associated with certain aspects of trade with the Sino-Soviet Bloc.

I

Commodity Problems

As producers of primary products, the Latin American countries are perhaps more interested in stable and remunerative prices for their commodities than in any other aspect of our economic relations. They feel they are particularly vulnerable because in most of the countries, foreign exchange earnings depend on only one or a few commodities. Generally, raw material prices decline sooner and stay depressed longer than do the prices for finished products. The traditional U.S. position has been strongly opposed to international commodity agreements. Wheat and sugar are exceptions.

Efforts have been made in the recommendations below to ease gradually into a changed position on commodity agreements.

1. The lead-zinc problem is an important one for which there is no easy solution. It seems realistic to assume that the Tariff Commission report will probably recommend maximum increases in duties and possibly even import quotas. Yet if increased protection is granted to

the lead-zinc industry serious injury will be done to U.S. relations with a considerable number of countries in Latin America and elsewhere.

Since the summer of 1957, when the Administration sponsored a bill providing for increased protection for lead and zinc,⁵ there have been important developments affecting the U.S. position of leadership in the world, and it can well be argued that a new situation now exists.

Therefore, a new and exhaustive search has been made in the Department for an acceptable alternative. A program has been devised, consisting of assistance of various kinds for the communities, workers, and companies involved in the lead-zinc industry, and it is being put forward separately for consideration at a high level in the Department. Opinions differ as to whether there is a worthwhile chance of getting it accepted in Congress.

On this basis, it is recommended:

(a) that the United States adopt, if possible, measures other than tariff increases or quotas to provide relief for the domestic lead-zinc industry, and

(b) that if a tariff increase proves to be unavoidable, every effort should be made to limit its scope and duration. When the tariff increase is announced there should be a simultaneous announcement that the U.S. is prepared to participate in an international study group for lead and zinc.

2. *Copper*

(a) Oppose the pending bills which would increase the tax on imported copper, and

(b) in response to requests, if made, indicate to supplying countries a willingness to discuss copper prospects, including possible establishment of a regular study group looking toward an international copper agreement.

3. *Petroleum*

Events in the petroleum field are moving rapidly. By the Voluntary Oil Import Program⁶ the Administration is trying to reduce imports into Districts I–IV to 12 per cent of domestic production, and has also imposed a limitation on imports into District V. This additional import reduction into Districts I–IV, coupled with the problem of trying to get the major oil companies to relinquish portions of their quotas to new

⁵ Apparent reference to H.R. 8257, submitted to the 1st Session of the 35th Congress on June 19, 1957, and companion bill S. 2376, introduced on June 24. These bills went, respectively, to the House Committee on Ways and Means, and the Senate Finance Committee; they were not acted upon during the session.

⁶ In July 1957 a voluntary oil import program was recommended by President Eisenhower's Special Committee to Investigate Crude Oil Imports for the purpose of reducing programmed imports in the last half of 1957 from 970,000 barrels to 756,000 barrels daily (b/d). (*Current Economic Developments*, Issue No. 542, April 1, 1958; *Current Economic Developments*, Lot 70 D 467)

importers, threatens the continuance of the voluntary quota system which to date has been remarkably successful.

Considerable pressure is being exerted on the Administration to convert the voluntary program to a mandatory program. While restive under the voluntary program, Venezuela has indicated that conversion to a mandatory program would be considered a violation of the U.S.–Venezuela trade agreement, and that it was studying the imposition of retaliatory measures in that event.

The seriousness of the problem to our relations with Venezuela and Canada subsequently moved the United States to suggest high level consultation by all three governments. Accordingly, early in March, consultations were held in Venezuela⁷ with high level Canadian observers.⁸

The U.S. delegation sought to obtain acquiescence to the continued imposition of unilateral import quotas by the U.S. under Article 7 of the Trade Agreements Act,⁹ and on a mandatory basis if that should be necessary, on the ground that a serious price decline would be imminent in the absence of such controls. No definite decisions or agreements were reached. Venezuela reserved the position that it objected in principle to restrictive measures on its petroleum exports, and that additional restrictive measures (e.g. mandatory controls) would give grounds for their consideration of retaliatory measures. The advantage of such consultation was affirmed by all parties and the desirability of their continuance as required. Both Venezuela and Canada have indicated their interest in the creation of a more permanent type of inter-Governmental consultative body for a continuing review of petroleum matters of mutual interest.

Recommendation

It is recommended that:

(a) to meet the immediate problem, the type of inter-Governmental consultation undertaken be continued, and

(b) study be undertaken of the feasibility of a western hemisphere oil commission which would keep the western hemisphere supply and demand situation under constant review.

4. Coffee

(a) At the appropriate time in the near future indicate that the United States is prepared to cooperate in a multilateral coffee study group on a world-wide basis, and that

⁷ The referenced consultations were held in Caracas, March 12–14, 1958; the Canadian Ambassador to Venezuela attended as an observer. Documents pertaining to this subject are in several Department of State decimal files, principally 411.006 and 831. 2553.

⁸ At this point, the source text was hand-corrected to read "... observers also present."

⁹ Apparent reference to Section 7 of the Trade Agreements Extension Act of 1955 (Public Law 84–86), approved June 21, 1955, which directed the President to "adjust" the level of imports of any product when he found that increased imports were impairing or threatening to impair the national security. For text of the Act, see 69 Stat, 162.

(b) the United States would be prepared to consult with the Preparatory Group of the International Coffee Convention, signed at Rio de Janeiro on January 27, 1958 (not yet in operation)¹⁰ or in any other forum acceptable to the Latin American and African coffee producers.

II

Financial Assistance

The Latin Americans persistently contend that existing sources of financing are inadequate, in the light of their enormous needs of foreign capital for development, to attain a satisfactory rate of economic development. Many are irritated by our insistence that the major contributions to such development must be made by private enterprise, Latin American as well as foreign. Without changing this cornerstone of our policy on financial assistance, or the hard criteria of the existing banking institutions, there is much which can be done to satisfy the legitimate and reasonable aspiration of these countries.

Our loan policy is already undergoing some changes and the recommendations below, although seemingly novel, will merely maintain or somewhat accelerate the existing trend. For example, our present policy states that we make grants of soft loans in Latin America only when a country finds itself in a temporary emergency which it cannot meet with the resources at its command. The establishment of DLF and PL 480¹¹ have already rendered part of this rule obsolete. The continuance of grants to Bolivia and Haiti for years have strained the term “temporary emergency” and yet nobody would seriously contend that we can withdraw grant aid from these two countries. Guatemala may also be in this category. In essence the rule said, “Regardless of our assistance policies in other areas, in Latin America there is no grant aid except in case of temporary emergency.”

Steps have already been taken to bring our NSC policy statement into accord with the facts and practice. It is expected that the rule will be dropped and decisions made on a case basis as overall U.S. interest require. It is not anticipated that any more money will be spent as a result of dropping this rule.

Recommendations:

1. Continue the recent and satisfactory acceleration of the Export-Import Bank activities in Latin America. (It is assumed that the lending authority of that Bank will be extended as requested).

¹⁰ Reference is to the International Coffee Conference, held at Rio de Janeiro, January 20–27, 1958; for a report on the conference and the coffee convention, see Department of Commerce, *Foreign Commerce Weekly*, February 24, 1958, p. 3.

¹¹ Agricultural Trade Development and Assistance Act of 1954 (Public Law 33–480), approved July 10, 1954; for text, see 68 Stat. 454.

2. If, as seems probable, commodity prices continue to decline and balance of payments problems worsen the U.S. (through the Eximbank or Treasury) should be prepared increasingly to extend temporary balance of payments support, in concert with such support from the IMF (private banks where possible) upon evidence that the countries concerned are taking reasonable self-help measures.

3. Determine the reasons for the relatively low volume of recent IBRD loans to Latin America and, if so indicated, take appropriate steps such as high level representations by the Department to IBRD management to induce an increased volume and broader range of IBRD loans to Latin America (including increased financial and technical assistance to national development financing agencies).

4. Taking into account world-wide requirements, employ DLF credits in Latin America in accordance with the criteria of the DLF.

5. Participate actively in the study called for by Resolution XVIII of the Buenos Aires Conference concerning the desirability for establishment of an Inter-American development bank.¹² Particular attention should be given to the type of operations appropriate to such a bank and capital contributions to it, as well as management and voting rights.

III

Petroleum Development Policy

There has been in force an informal, but nevertheless rigid, prohibition against U.S. financial assistance to foreign government petroleum agencies. It is recommended that the rule be changed as follows:

(a) In the light of developing circumstances, we should work carefully in the direction of limited and selective loan assistance to petroleum projects of foreign governments, subject to the condition that foreign policy objectives will be served, and particularly in the expectation that the attitude toward American private capital will be improved by such loans.

(b) Loan assistance may be granted for surface geological work, transport, storage, refining and marketing. Except for exporter credit facilities, the loan assistance contemplated will not be granted for exploratory or developmental drilling.

IV

U.S. Trade with Latin America

The very cornerstone of our relations with Latin America is trade. When trade is maintained at high levels and commodity prices are

¹² For text of the resolution, see *Economic Conference of the Organization of American States, Buenos Aires, Argentina, August 15–September 4, 1957: Report of the Delegation of the United States of America With Related Documents* (Department of State Publication 6679, Washington, 1958), pp. 48–50.

remunerative, nearly all facets of our relations with Latin America are good.

In the last quarter of 1957 Latin American total exports to the United States began to slump, with prospect of a decline in 1958 of at least seven per cent. The problem has been especially critical in lead, zinc, tin and copper. Coffee, the most vital commodity of all, started to decline but this was stopped by the main producers holding coffee off the market; most experts are predicting serious trouble ahead for the coffee market. Although we extended financial assistance to Mexico, Bolivia, Chile and Peru, which were affected by the metals decline, this was offset by the profoundly negative impression created by the Administration-sponsored bill last year for increased tariffs on lead and zinc.

Recommendations:

It is recommended that:

(a) The Department continue to emphasize to Congress and business leaders the importance of a continuing stable and liberal trade policy as an instrument for attainment of broader U.S. foreign policy objectives. Conversely emphasize damage to U.S. trade, investments and international relations generally which are caused by restrictive actions.

(b) Resist strongly any tendencies within the U.S. Government to yield to protectionist pressure and oppose, so far as possible, any specific restrictive actions, except as clearly justified in the national interest.

(c) Review within the Department the present policy against negotiation of reciprocal trade agreements on a bilateral basis.

(d) Review within the Department the U.S. policy toward Latin American market integration proposals and participate freely in joint study projects on this subject.

V

Soviet Bloc Trade

While making determined efforts to evaluate the precise scale and objectives of Soviet Bloc economic offensive in Latin America:

(a) Maintain the existing policy that the U.S. is not opposed to expansion of trade in non-strategic commodities with the European Soviet Bloc, but encourage individual free-world countries, wherever feasible and desirable from a foreign policy standpoint, to minimize such trade or financial arrangements with Communist China.

(b) Continue to induce Latin American governments to adhere to relevant COCOM security trade controls, as applied to the Sino-Soviet Bloc, and

(c) Try to make countries which engage or contemplate engaging in trade with the Sino-Soviet Bloc aware of political and economic pitfalls associated with certain aspects of such trade with the Soviet Bloc, with particular attention on risks of dependence and political penetration.

If, nevertheless, trade is expanded significantly, or in sensitive items, such as oil well supplies, we shall have to review the problem and consider countermeasures. In the absence of a concrete case, it would be dangerous to attempt specific guidance at this time.

Tab C

Petroleum Development Policy¹³

Washington, March 20, 1958.

1. *Basic Considerations Underlying the Proposed Change in Policy.*

(a) Maximum development of petroleum resources in friendly foreign countries will strengthen their economies, reduce the burden of their foreign exchange earnings, and contribute to the mutual defense strength of the allied and friendly nations.

(b) In certain countries, national policy and legislation limit the extent of foreign private capital participation in the petroleum industry, and reserve certain areas of the industry (e.g., exploration and development) to official petroleum entities. Failure of these official entities to obtain capital in the amount required to carry out operations on a desirable scale has:

(1) Given strength to the propaganda arguments advanced by their nationalistic elements in these countries, although without foundation, that the United States Government and foreign oil companies desire the liquidation of these government petroleum entities, and this has served to mobilize national support to their monopoly position in the industry.

(2) It has, moreover, resulted in national acquiescence to the actions of such petroleum monopolies prejudicial to the operations of the private foreign oil companies in the marketing and distribution phases of the industry to which they have been limited. This has reduced thereby the profitability of the private foreign oil company operations, threatened their capital investment, limited their expansion, and consequently retarded the country's economic development.

(c) It is believed that maximum development of the petroleum industry in any country can only be attained by encouragement of the competitive force of private capital. Therefore, effort should be made to

¹³ Drafted by Nestor C. Ortiz of the Office of Inter-American Regional Economic Affairs on March 20.

encourage countries which reserve a large segment of their petroleum industry to government entities to permit foreign oil company participation on reasonable terms.

2. Favorable Results Anticipated from the Proposed Change in Policy.

(a) Improvement in the political climate of such countries towards a more reasonable attitude for admission of private capital to assist in developing their petroleum resources. This will result from the fact that:

(1) The propaganda argument of the nationalistic elements that the U.S. Government and foreign oil companies desire the liquidation of government petroleum entities will be nullified;

(2) The limited assistance proposed for the U.S. Government by loans to these government petroleum entities or more liberal exporter credits to American firms in selling supplies to them will strengthen the political support behind the responsible business and political elements in these countries desirous of obtaining a legislative change which would permit maximum development of the country's petroleum resources by attracting the foreign oil industry participation needed to carry out the scale of operations required; and

(3) Refusing to risk U.S. public funds in loans assistance to the exploration and development phases of the industry will encourage wide public support to the contention of the reasonable business and political elements in these countries that this phase of the industry is particularly suited to private risk capital, which must be attracted by terms competitive with those existent in other world petroleum producing areas.

(b) By this improved political climate the petroleum monopolies will find it politically possible to encourage collaboration by foreign oil companies in mutually satisfactory working arrangements to carry out such exploration and development as joint ventures, or to release large areas of the country for concessions to foreign petroleum companies on terms similar to those in effect in other petroleum producing countries.

(c) Making such loans contingent upon a reasonable attitude towards foreign private capital presently invested in the petroleum marketing and distribution phases of the industry will strengthen the latter's long-term position in the country and the profitability of their operations.

(d) The extension of long-term exporter credits to American firms and/or U.S. public loan assistance for such petroleum projects will assist in maintaining a Western Hemisphere orientation by these countries, and counteract the penetration efforts of the U.S.S.R. and its satellites into this strategic industry.

(e) The more rapid development which will result for the petroleum industry in these countries will relieve the serious burden which the increasing petroleum demand of these countries is placing on their foreign exchange earnings.

ETA-5. Memorandum from the Deputy Under Secretary of State for Economic Affairs (Dillon) to the Secretary of State.¹

Washington, March 31, 1958.

SUBJECT

Coffee Problem

High coffee prices have stimulated production in Latin America and in other areas, particularly Africa, with the result that coffee production is rapidly outdistancing consumption. The demand for coffee is relatively inelastic and a price reduction will not stimulate consumption enough to prevent a decline in total income.

Recognizing this, the seven principal coffee producing countries of Latin America have been holding supplies off the market in a joint effort to maintain the price in a range of 50 to 60 cents a pound. The Governments of Colombia and Brazil, which produce more than half the world's coffee, and which depend upon it for 60 and 77% respectively of their foreign exchange, are both in balance of payments difficulties which could become critical if there should be a further decline in coffee prices. The price of Colombian coffee has already fallen about 33% and Brazilian about 10% over the past year. Both governments have also shouldered a heavy fiscal burden in undertaking to finance the supplies of coffee withheld from market. African producers are not party to Latin America's efforts to maintain prices. There is danger that the marketing agreement will collapse in the near future, and that coffee prices will decline sharply as each country tries to dispose of its own surplus carryover.

The long-term solution to the problem must be a decline in coffee prices sufficient to curb plantings and bring supply back into equilibrium with requirements. It is in the United States interest as well as that of the producing countries, however, to accomplish this objective gradually rather than through a sharp break in coffee prices which would create serious political, economic and social problems in 7 Latin American countries.

The Latin American producing countries have been urging the negotiation of an international coffee agreement as a means of stabilizing prices for the past three years. Failing to obtain support from the United States for this approach, they have recently established a World Coffee Organization primarily to stimulate consumption through a trade promotion program but also to study economic trends of the

¹ Source: Department of State, Central Files, 820.2333/3-3158. Confidential. Co-drafted by Assistant Secretary Mann and Jean H. Mulliken of the Office of Inter-American Regional Economic Affairs. Assistant Secretary Rubottom and Legal Adviser Loftus E. Becker concurred in the memorandum.

industry and to serve as a forum for discussion of coffee problems. Membership is presently limited to producing countries; however, it is understood that consumer representation would be welcomed, and that provision would be made for the admission of consuming countries on a limited basis, without obligation to finance the trade promotion activities but with full participation in the economic research and informational activities of the organization.

By indicating an interest in participating in an international coffee study group, the United States would obtain the following benefits:

1. It would reassure the coffee producing countries regarding our interest in their welfare and our willingness to discuss with them commodity problems in which we have no interest as a producer.

2. It would give the United States an opportunity to influence the producing countries to develop coffee programs which are consonant with long-term equilibrium between supply and demand.

3. It might strengthen somewhat the current marketing position of the producing countries by indicating that the world's principal consumer is cooperating with them in devising a solution to the problem of surpluses.

It should be recognized, however, that an offer by the United States to participate in multilateral discussions would not solve the immediate problem.

It would not be the intention of the United States in such multilateral discussions to consider participating in or financing any buffer stock or retention plans which might be proposed. Similarly, we do not propose to discuss price with the Latin Americans at this time because to suggest a reduction in current high price levels would be resented especially since price decreases would largely be absorbed by governments rather than producers. On the other hand, if there should be a decline in prices below what we consider to be the danger point, it would probably be necessary for us to impose import controls to maintain prices at a level fair to the producer and consumer. Unless and until there is a price break, our intention is to resist Latin American pressure for United States import controls. In any case the imposition of United States import controls raises certain legal questions concerning the need for legislation which require further study.

Our proposal to participate in the study group raises a policy question in view of a 1955 decision of the Council on Foreign Economic Policy that we should not participate, or make any implied commitments regarding participation in an international commodity agreement "until approved at the inter-agency level within the Executive Branch." (Tab A).² We anticipate opposition to a departure from our present policy in this regard.

² Not printed as an attachment.

A more detailed statement of the coffee problem is attached as Tab B.³

Recommendation

That you authorize the Department to propose to the CFEP United States participation in an international coffee study group, to be composed of important producing and consuming countries, on the basis described above.⁴

Concurrence

ARA—Mr. Rubottom

Approved_____⁵

Disapproved_____

³ Not printed.

⁴ In a memorandum to Clarence B. Randall, Chairman of the Council on Foreign Economic Policy (CFEP), dated May 5, 1958, Douglas Dillon, Deputy Under Secretary of State for Economic Affairs, recommended that the CFEP authorize participation by the United States in an international coffee study group. (820.2333/5-558) At its meeting on May 20, the CFEP adopted action 569, authorizing the Department of State to participate in an international coffee study group, and, as an exception to general policy, to discuss an international coffee agreement, providing that it did not imply U.S. assistance in policing such an agreement. The minutes of the CFEP meeting and record of action are in Eisenhower Library, CFEP Records.

On May 30, 1958, U.S. officials proposed informally to representatives of some of the principal coffee producing states in Latin America the formation of a Study Group on Coffee. Following a series of informal consultations, the Study Group was organized in Washington on June 23, with twenty-two members and one observer (Netherlands). (*Current Economic Developments*, Issue No. 549, July 8, 1958; *Current Economic Developments*, Lot 70 D 467)

⁵ Herter initialed his approval on April 9, 1958.

ETA-6. Memorandum from the Assistant Secretaries of State for Economic Affairs (Mann) and Inter-American Affairs (Rubottom) to the Secretary of State¹

Washington, April 10, 1958.

SUBJECT

Review of Latin American Economic Policy

You have asked for a review of our economic policies toward Latin America, with particular reference to commodity problem and to the

¹ Source: Department of State, Rubottom Files, Lot 60 D 553, "Economic 1958." Confidential. This memorandum was sent through Dillon. It was drafted by Mann and Harry R. Turkel of the Office of Inter-American Regional Economic Affairs. A handwritten notation on the source text indicates that Rubottom signed it and passed it on to the Bureau of Economic Affairs on April 11.

Soviet economic offensive. Following an intensive re-examination we have prepared the following brief summary of the principal current facets of our economic relations with Latin America. We should like the opportunity of reviewing these matters with you as we share your concern at certain aspects of our economic relations with Latin America, and believe that the short review which follows represents the beginnings of some new directions which could ultimately improve these relations substantially.

Commodities and Trade:

The economies of many Latin American countries, and their balance of payments, depend upon the export markets for primary products. Coffee, copper, oil, lead and zinc are important export industries which are in difficulty. Our traditional aversion to international commodity agreements, [illegible in the original] international discussions of commodity problems which might imply a willingness to [illegible in the original] participating in such agreements, has given an impression of lack of sympathy for the economic problems of countries dependent upon primary products. It is important that the U.S. take steps to [illegible in the original] this impression. In the case of coffee, and lead and zinc, recommendations have been made that we seek agreement within the Government for the U.S. to participate in the multilateral examination of [illegible in the original] and demand trends in these commodities. This should have important psychological and political advantages, and might in the long-run promote [illegible in the original] readjustment between supply and demand.

In the case of lead and zinc we are also exploring within the Government various measures for assisting the domestic industry, including [illegible in the original] payments to producers. In the case of coffee, the producing countries have withheld substantial stocks from the market; current prices are still well above producers' break-even points and should probably come down still further so as to reduce the incentive for expanding production. Unless and until there is a [illegible in the original] price break, Latin American pressures for such extreme [illegible in the original] import [illegible in the original] should, we think, be resisted, although we will continue to examine the legal and other questions involved [illegible in the original] to be prepared to set quickly in case of emergency. The long term question of whether commodity stabilization agreements are desirable in the case of these commodities is [illegible in the original] that can be reviewed in the light of future developments and of the results of our participation in the above mentioned international study groups.

Oil and copper present somewhat different problems. As you know, we have successfully resisted the imposition of mandatory controls over oil imports. Our consultations with Venezuela and Canada prior

to the recent strengthening of the voluntary control system increased their understanding of our problem. In the case of copper our current information is that the Department may be able successfully to oppose the pending bills to increase the tax on imported copper. Recently the price of copper has been relatively stable and two of the three largest U.S. producers also produce in foreign countries.

It should be emphasized, however, that if the markets for these commodities deteriorate further we may have to consider additional measures. We shall watch this situation closely and make further recommendations as circumstances warrant.

Since the very cornerstone of our economic relations with Latin America is trade, it is imperative that the U.S. refrain from imposing undue restrictions upon our own imports. The extension of the Trade Agreements Act as requested by the Administration will have very beneficial effects on evidence of our intentions, provided it is not accompanied by increased resort to restrictive measures affecting individual commodities.

Financial Assistance:

Although the needs for development capital in Latin America are enormous, their immediate financial problems are closely related to the commodity problems discussed above. Thus, Brazil, Chile and Colombia are pressing so for what amounts to balance of payments assistance to tide them through periods of depressed commodity prices. It is necessary that we respond to those situations, while [illegible in the original] the same time maintaining pressure, through the International Monetary Fund, for needed internal reforms and endeavor to encourage policies which will help stabilize their economies. The United States is prepared, in principle, to extend financial assistance to these three countries and dimensions are, or soon will be, underway with their representatives regarding specific amounts and related matters.

It should be emphasized that balance of payments assistance to Latin America and other areas is a temporary expedient which results in no additional economic development, and has little lasting effect except as countries take advantage of it to improve their own economic policies. Neither the Export-Import Bank nor the Development Loan Fund are designed to extend this kind of assistance. The International Monetary Fund is equipped to do so although tin resources would have to be enlarged to enable it to become fully effective. We believe the U.S. should consider a further subscription to the end of something like 41 billion which, on the basis of the original subscriptions, would be matched by 2 billion from other countries of which \$500 million would be in gold and dollars. We would like to explore this

within the U.S. Government and perhaps submit a specific recommendation at a later date.

Latin Americans persistently contend that existing sources of public capital are inadequate. Our experience, however, is that there is a dearth of well planned and engineered projects eligible for financing, but no dearth of financial resources. The Export-Import Bank has recently accelerated its activities in Latin America, and with the additional lending authority it is now seeking should be in a position to meet all reasonable requirements. The level of International Bank lending in Latin America has been low, although recently the Bank has been somewhat more active in that area. We will continue our efforts to induce an increased volume and broader range of loans to Latin America—including increased financial and technical assistance to national development financing agencies. An encouraging factor is that the first investments of the International Finance Corporation have been in private enterprises in Latin America.

We now have the Development Loan Fund which can consider projects in Latin America for which other financing is unavailable, and will be in even better position to do so if the additional resources it is now seeking are forthcoming. One problem in Latin America has been that some countries, for a variety of reasons, have tended to exceed their borrowing capacity. In these situations they should have access to the Development Loan Fund within limits imposed by its criteria and world-wide commitments, since the Fund can accept repayment in local currencies.

For some years the Latin American countries have agitated for the establishment of an Inter-American Development Bank. At the Buenos Aires Economic Conference last summer, a resolution was adopted calling for a study of the desirability of establishing such a bank. We feel that the United States should actively participate in this study, without any commitment as regards our ultimate participation in the bank. Although the United States has opposed its establishment, we may wish to reconsider our position as a result of the further study if sentiment develops in favor of an institution which is truly international in character, i.e., on the capital contributing as well as capital receiving aids.

Regional Integration

Various proposals for economic and customs unions in Latin America have been considered from time to time, and the Latin American countries have observed very closely the developments in Europe toward regional economic integration. However, circumstances in Latin America are quite different from those in Western Europe, as Latin American economies are not generally complementary and the volume of trade between them is quite small. Nevertheless, there is

considerable scope for regional groupings which would provide larger markets and would combine the special circumstances, talents and resources of two or more countries.

An example is provided by Salvador and Honduras, where the excess population and capital of Salvador could be useful in developing the resources of Honduras. If a true common market or free trade area between these two countries could be achieved it might serve as an example and stimulant to others. The principal obstacles are Honduras' fear of domination by Salvador and the adjustment that a few, small industries in both countries would have to make. These might be overcome, with some political risk to us, if the U.S. actively supported such an arrangement and helped them devise practicable solutions to specific economic problems; some financial assistance from us might also be necessary. We think the potentialities of such an experiment would justify an effort on our part.

Soviet Bloc Trade

Although Soviet bloc trade missions have been active in Latin America, there have as yet been no Soviet bloc approaches of the magnitude and nature of their approaches in other areas such as Syria, Egypt, Ceylon, India, and Indonesia. We shall, however, continue to watch this situation closely, and endeavor to evaluate the precise scale and objectives of the Soviet bloc economic offensive in Latin America. Meanwhile, the United States should not oppose the expansion of trade in non-strategic commodities with the Soviet bloc. We should, however, try to make countries which engage or contemplate engaging in trade with the Soviet bloc aware of the political and economic pitfalls associated with certain aspects of such trade, with particular attention on the risks of economic dependence and political penetration.

The unsatisfactory condition of certain primary commodity markets has increased the vulnerability of Latin America to Soviet bloc offers to take such commodities. If the Soviet economic offensive in Latin America is expanded significantly, particularly in [illegible in the original] fields such as petroleum development, we may wish to consider other countermeasures. Our policy against financial assistance for petroleum development because private capital is available if allowed to enter, gives the Soviet bloc a field which it may exploit. Failing such exploitation, the present does not appear a propitious time for changes in this policy. Should it be possible to make limited changes in the future without generating reactions in the U.S. which would endanger other important elements of U.S. foreign economic policy, we should be prepared to consider certain types of petroleum loans such as exporter credits and loans for transport, storage, refining and marketing facilities. However, should the Bloc show that it can enter this field in an effective manner or otherwise exploit this situation, we will wish to

review the need for changes in this policy on an emergency basis, as, for example, recommending that the Export-Import Bank extend credits to United States exporters of petroleum equipment, including refineries and pipelines. Only if it later becomes necessary would we wish to reconsider financing petroleum exploration and development by foreign governments.

ETA-7. Letter from the Managing Director of the Development Loan Fund (McIntosh) to Milton S. Eisenhower¹

Washington, August 7, 1958.

Dear Dr. Eisenhower:

In response to your request that those of us who had the honor of accompanying you on your recent mission to the Central American countries² give you a memorandum with our comments regarding U. S. programs and policies in any of the countries visited, I am very glad to submit some comments of mine with the hope that they may be helpful.

It seems unnecessary for me to refer to the present political and economic situations in the various countries, both because you are personally well informed in this connection, and also because you already have rather complete information contained in the reports submitted to you and to the other members of the mission by the various governments and by our Embassies and our ICA Missions. Instead, I am pleased to submit the following suggestions regarding possible courses of action which I feel we should consider in connection with certain of the problems we are facing in the Central American area. Incidentally, for ease of reference in this letter, I am including Panama among the Central American countries.

¹ Source: Department of State, Rubottom Files, Lot 60 D 553, "Development Loan Fund 1958." Copies of this letter were also sent to Under Secretary Dillon, James H. Smith, Jr., Director of the International Cooperation Administration (ICA), Assistant Secretary Rubottom, Rollin S. Atwood, Regional Director for Latin American Operations, ICA, Henry A. Hoyt, Special Assistant in the Bureau of Inter-American Affairs, and Bayard King of the Office of Middle American Affairs. The source text is unsigned.

² Milton Eisenhower visited the countries of Central America between July 12 and August 1, 1958, as the personal representative of the President; for documentation, see Documents ETA-7; CO-1; CR-6-9; ES-2, 5-6; GT-8; HO-3; NI-4, 7-9; PM-3; PA-7.

From the brief survey we were able to make of the Central American area, *I am personally convinced that the countries involved need economic assistance from an external source at this time.* The economies of each of the Central American countries have been adversely affected by the serious drop in the price of coffee and in some cases also by lowered production and declining sales of bananas. I believe that each of the countries is in a position to do more for itself than it has done; more could and should be done by the governments and by the wealthy citizens. Nevertheless, I feel that they are in acute need of economic aid and that it is in the interest of the United States that we extend some economic assistance to the Central American countries at this time.

In my opinion, economic assistance should be given to the Central American countries in the form of loans from three sources, namely:

1. The Export-Import Bank
2. The International Bank for Reconstruction and Development
3. The Development Loan Fund

Although the lending activities of the above named institutions are already coordinated to some extent, particularly through the National Advisory Council, *I feel that a greater and well-coordinated positive effort is desirable.* Conferences should be arranged between executives of the three lending institutions to study the economic problems of the Central American area, to compare notes and opinions, and particularly to consider projects in each country which would most quickly and effectively aid the economy of the country. More particularly, I feel that in the proposed conferences between the three lending institutions, the following factors and conditions should be studied:

1. The present economic and financial condition of each country.
2. Economic projects most urgently needed in each country.
3. Estimated capacity of each country to repay additional loans in dollars and possibly in local currency.
4. Recommended allocation of essential projects to the three lending institutions, or possible participation by DLF and the Export-Import Bank and/or the International Bank wherever this seems advisable.

In my opinion such a joint study would be of considerable value, and it should be possible to reach an agreement among the lending institutions as to the approximate amount of loans to be considered by each institution and the specific projects to be covered by each of such loans.

In addition to the extension of economic assistance by the three lending institutions, I feel that ICA (International Cooperation Administration) should be urged to increase, if possible, the amount of its technical assistance in each of the Central American countries. In my opinion it would be helpful if through ICA some experts could be sent

to the Central American area to give advice to the various countries in connection with the possible diversification of agricultural crops in each country in an effort to broaden the economic base and to lessen the degree of dependence on coffee.

I also feel that the development of a common market in the Central American area is a highly desirable and constructive step. An organization, namely ODECA, has already been created for this purpose, but progress is being made very slowly. The creation of a common market, with the elimination of customs barriers, free movement of labor between countries, the possible establishment of a single common currency, the allocation of industries to specific countries, and other necessary steps can only be brought about by the efforts of the Central American countries themselves, but I feel we should give them all possible encouragement and assistance. Perhaps new loans and technical assistance can be extended in such a manner as to support these regional efforts. Further in this connection, I suggest that the State Department contact the OAS (Organization of American States) and suggest the possibility of the OAS sending one or more qualified persons to Central America to work with and advise the present ODECA staff so that more rapid progress may be made in bringing about a common market in the Central American area.

I trust that the above suggestions may be of some value. Let me take this opportunity to tell you how such I appreciated the honor of accompanying you on your mission to the Central American countries and how much I enjoyed the opportunity of serving under your direction. The trip was both interesting to me and valuable to the Fund, and was an experience which I will always recall with a great deal of pleasure.

Sincerely yours,

Dempster McIntosh
Managing Director

Copies to: Hon. C. Douglas Dillon, Under Secretary, State
Hon. J. H. Smith, Jr., ICA
Hon. Roy R. Rubottom, ARA, State
Mr. Henry Hoyt, ARA, State
Mr. Bayard King, MID, State
Mr. Rollin Atwood, C/LA, ICA

ETA-8. Minutes of the 269th Meeting of the National Advisory Council on International Monetary and Financial Problems¹

Washington, August 26, 1958.

Secretary Robert B. Anderson (Chairman), Treasury Department

Mr. Julian B. Baird
Mr. Elting Arnold
Mr. Philip Schaffner
Mr. Henry J. Bittermaan
Mr. Ralph Hirschtritt
Mr. Ralph V. Korp

Mr. C. Douglas Dillon, State Department

Mr. John Parke Young
Mr. Emerson Ross

Mr. Walter Williams, Commerce Department

Mr. Marshall M. Smith

Governor Wm. McC. Martin, Jr., Board of Governors, Federal Reserve System

Mr. Arthur W. Marget
Mr. Robert S. Sammons

Mr. Lynn U. Stambaugh, Export-Import Bank

Mr. Vance Brand
Mr. Walter C. Sauer
Mr. Harry R. Rowntree

Mr. Walter Schaefer, International Cooperation Administration

Mr. Hale T. Shenefield

Mr. Frank A. Southard, Jr., International Monetary Fund

Mr. William F. Doering, Department of Agriculture, Visitor

Mr. Arthur G. Kevorkian, Department of Agriculture, Visitor
Mr. Maurice Stans, Bureau of the Budget, Visitor
Mr. Bartlett Harvey, Bureau of the Budget, Visitor
Mr. Hal Lary, Council of Economic Advisors, Visitor
Mr. Edmond C. Hutchinson, Development Loan Fund, Visitor

Mr. George H. Willis, Secretary

Mr. C. L. Callander, Assistant Secretary
Mr. Allan J. Fisher, NAC Secretariat

¹Source: Treasury Department Files, NAC Minutes. For National Security Council Use Only. The source text is designated "Draft of Minutes." A table of contents is not printed.

1. *Proposed Inter-American Banking Institution*

The Chairman referred to the draft paper² which had been distributed as the basis of a charter approach to an Inter-American Banking Institution,³ and said that the primary problems appeared to be the kind of institution which would be set up, and the way in which the capital would be provided. He asked the other Council members for comments.

Mr. Dillon said that in view of its political objective the proposed Bank should be organized as an Inter-American Institution with control by the Latin Americans. The United States approach should be as flexible as possible. One unresolved question was whether the Institution should make hard, soft, or mixed loans. While no rigid formula should be adopted at this time, the United States should decide which approach it preferred, subject to any necessary accommodation to Latin American views. He inclined to the view that the Bank should make mostly soft loans, and should not compete with existing institutions making hard loans.

Mr. Dillon continued that the kind of loans would affect the raising of the capital. The Bank would probably be unable to borrow substantial amounts in the private market in the absence of a U.S. Government guarantee. If it made soft loans, such borrowing would be out of the question. If the Bank were a soft loan institution, replenishment of capital, although not the original capital contribution, should come from the Development Loan Fund, which he thought should develop into a central source for soft loan capital. Mr. Dillon thought that the question of U.S. representation was related to the location of the Bank. If it were located in Latin America, it would not be feasible for the U.S. Executive Director of the International Bank to be the U.S. Executive Director of the Inter-American Bank. He also raised the question of whether the management of the Inter-American Institution should be similar to that of the International Bank, or should have a greater flavor of foreign policy, with policy guidance tied in more closely with the Development Loan Fund. He thought the paper provided a good start for consideration of these various problems.

Mr. Stambaugh commented that Latin America was the most valuable and important foreign trade area of the United States. The ability of the Export-Import Bank to provide credits had always been an important factor in retaining markets in Latin America, as well as in other parts of the world, and the United States should avoid setting

² Not found with the source text and not further identified.

³ On August 12, Under Secretary Dillon announced that the United States was prepared to consider the establishment of an inter-American development institution. (*American Foreign Policy: Current Documents, 1958*, pp. 408–409)

up an institution that would in any way handicap American industry in competing with lower-cost foreign industries. Mr. Stambaugh continued that if Latin American economic problems could be solved simply by providing more credits, a new institution would not be needed. The Export-Import Bank believed there was need for a new institution with functions different from those of the existing institutions. The problems of obtaining the local currency for development projects and for budgetary financing, were chronic in Latin America. The new Institution could usefully confine its financing to such internal expenditures, and should also be able to give technical advice and to assist the Latin American countries in planning their development programs.

Mr. Williams inquired as to the need for the proposed Institution, and whether Dr. Milton Eisenhower and Vice President Nixon had been consulted. The Commerce Department had also considered whether the Institution might not more appropriately be a Latin American than an Inter-American Institution with the function of providing local currency for local currency needs.

The Chairman commented that the Latin American feeling of having a special relationship with the United States had been weakened by U.S. participation in regional organizations in other areas, such as NATO and SEATO. On several occasions during the past several years, the Latin American countries had proposed a regional Inter-American Bank, to include the United States. The United States had opposed such a bank on the grounds that resources could not be increased simply by multiplying institutions. The recent determination of the President to offer the support of the United States for an Arab Bank involved for the first time U.S. support of such a regional financial institution.⁴ Accordingly, it was decided to announce support of a new Institution before the announcement concerning an Arab Bank was made in the United Nations. The Chairman then stressed the importance of avoiding failure of the new Institution. It should be thought of as a financial institution subject to a minimum of political influence.

Mr. Martin questioned the need for the proposed Institution, and agreed with Mr. Stambaugh's remarks about existing institutions. He added that a financial institution to be successful should be divorced

⁴ In his address to the third emergency special session of the U.N. General Assembly on August 13, 1958, President Eisenhower proposed, *inter alia*, consultations between the Secretary-General and representatives of the Arab states of the Near East to determine whether they could reach agreement on the establishment of a regional development institution, and he also indicated that the United States would support a "soundly organized" institution. For text of the President's address, see Department of State Bulletin, September 1, 1958, pp. 337-342.

from political influences, but noted that the new institution was being born in a political atmosphere. He agreed with the importance of a flexible approach, and of endeavoring to learn the views of the Latin Americans.

Mr. Schaefer commented that ICA had found difficulty in negotiating in Latin America on a multilateral basis. Mr. Stans inquired as to what initiative the Latin Americans had taken on the matter. The Chairman replied that the creation of an Inter-American Bank had been high on the agenda of recent Inter-American meetings. Dr. Milton Eisenhower had indicated that the Latin Americans felt “shuffled around” from bank to bank, and had suggested that there should be one central place for contacts.

The Chairman continued that many important questions would have to be considered. These included whether financing would be provided for housing; whether it should be a “soft loan” institution, in the sense of lending dollars with repayment in local currency; what would be the source of a constant stream of dollars, and who would put up funds in addition to the United States; whether the Latin American countries would make a single or a yearly contribution; what use would be made of Latin American currencies contributed to the Institution; and whether the Institution should lend for oil development in Latin America, and many other questions. The question of whether a new institution was needed was pertinent, but the demands of the Latin Americans would not be satisfied by increasing the resources of existing institutions. However, the United States could not afford to back an institution which was not soundly conceived and operated to provide a basis for healthy growth. It would be imperative not to impair the functioning of existing institutions, and there should be the closest kind of association with these institutions, including both the International Bank and the Export-Import Bank. The Chairman concluded that it would be unwise to raise any of these issues formally with the Latin American countries at too early a date, although informal bilateral discussions might be useful.

With respect to the time schedule, Mr. Dillon observed that Buenos Aires Conference Resolution XVIII directed the Inter-American ECOSOC to study and report on the needs of Latin America for capital, the possible sources of such capital, and related questions. The report to the 21 governments should be ready about the first of October. Bilateral talks could follow receipt of the report, with details to be negotiated in Inter-American Economic and Social Council, followed by a formal ratification meeting. The Secretary of the Council noted that Resolution XVIII contemplated a meeting of financial representatives. Mr. Dillon said that the representatives should meet only after informal talks had been held. He mentioned that an Inter-American

Conference would be held in Ecuador about January, 1960,⁵ and that the Latin Americans would like to have the Inter-American Bank matter settled well before that meeting. He suggested, therefore, that it would be desirable to have a high-level conference early in 1959.

The Chairman suggested that the Staff prepare a paper that would present various alternatives with respect to the creation and operation of the Institution, together with the problems and issues raised by each, for subsequent consideration by the Council. This was agreed (see Staff Committee Minutes No. 556 and 557, NAC Document No. 2383, and Council Minutes No. 271).⁶

[Here follows discussion of agenda item 2, "Proposed Increase in IBRD and IMF Resources."]

⁵ Reference is to the proposed Eleventh Inter-American Conference, scheduled to convene in Quito. The meeting was postponed several times until March 1961, when it was postponed indefinitely.

⁶ None of the documents cited here are printed; copies are in Treasury Department Files.

ETA-9. Minutes of the 271st Meeting of the National Advisory Council on International Monetary and Financial Problems¹

Washington, September 1958.

[Here follows discussion of agenda items 1 and 2, dealing respectively with proposed Export-Import Bank credits to Turkey and Argentina.]

3. Inter-American Development Banking Institution

The Council then discussed the paper prepared by the Staff Committee outlining alternative approaches to the establishment of an Inter-American Development Banking Institution (NAC Document No. 2383). The Chairman said he expected that the Latin American countries would want to proceed with the planning of the Institution. He suggested that during the absence from Washington of many interested persons for the meetings of the International Monetary Fund

¹ Source: Treasury Department Files, NAC Minutes. For National Advisory Council Use Only. The source text is marked "Draft of Minutes." It is undated and contains no list of participants. A table of contents is not printed.

and the International Bank in New Delhi,² discussions with the Latin Americans on the Bank should be minimized, and work should proceed toward the development of a United States position, with the understanding that the position would not be made final until after October.

The Secretary reported to the Council on the Staff Committee discussions and reviewed briefly the main points raised in NAC Document No. 2383 and Document No. 2383 (Supplement).³

Mr. Waugh stressed the importance of avoiding too early a formalization of the United States position on the Bank, since the pattern might become a precedent for other regional banks. He also emphasized the need to determine the specific purposes of the Institution. He had been impressed by the lack of planning in Latin American development programs, and by the internal financing problems of these countries. He felt that most of the problems that would face the new Institution would arise in countries that were unable to handle their internal financing problems. The Latin American countries wanted low-cost housing, schools, hospitals, hotels, and local currency financing for projects financed by the Export-import Bank and the International Bank. They did not need for their development programs more dollars than were available from existing institutions. He felt it was of the utmost importance to develop clearly the ways in which the new Bank would avoid competition with existing institutions. He believed that in view of the prospective large United States budget deficit the Congress would scrutinize very closely any proposals for new institutions, and felt this was a further reason for developing carefully the way in which a new institution would operate.

Governor Szymczak⁴ said that the basic views of the Federal Reserve Board were reflected in the document and its supplement. He agreed that the Bank should supplement rather than compete with existing institutions. The most vital point was that the Bank would provide an opportunity for Latin American countries to obtain experience in lending money. In response to a question by the Chairman, Governor Szymczak said that the Institution should not accept deposits, in view of the long-term character of its loans. Mr. Southard commented that lending experience by Latin American countries would be a useful by-product of the Bank, and said that experience in the International Monetary Fund indicated that Latin Americans can be critical of the proposals and performance of Latin American countries.

² The referenced meetings took place October 6–10, 1958; pertinent documentation is in Department of State decimal file 398.13.

³ Not printed; a copy is in Treasury Department Files.

⁴ M. S. Szymczak, Member, Board of Governors, Federal Reserve Board.

Mr. Smith⁵ expressed agreement with the views of Mr. Waugh. He felt that a clear idea of the objectives of the Institution, particularly in the field of development, was needed, as well as a view of the extent to which the Bank could make funds available at reasonable interest rates.

Mr. Dillon expressed concurrence with the Chairman's views on the time schedule. He felt that October should be used to develop the United States position, following which talks could begin with the Latin Americans to ascertain what kind of bank they desired. He agreed with the Staff emphasis on technical assistance activity, which really involved improvement of planning, and suggested that these activities be referred to as development planning so as to avoid confusion with existing technical assistance programs. He saw the task as having two parts, first to work out the objectives of the Institution, and second to determine what should be in the articles of association. He recalled that the basic motive was political, to meet the Latin American desire for a special association with the United States, and expressed preference for a flexible approach to the purposes of financing, currency of repayment, and similar matters. He expected it would be difficult to define the idea of supplementing and not competing with the existing institutions. He felt that the form of capitalization would depend to some extent on the kinds of loans to be made, and agreed that the Bank should not accept deposits. He felt the suggestion of limiting the Bank to economic development projects should be sharpened, but that too categorical a view should be avoided. He suggested that the drafts prepared by the Staff include draft policy statements for internal U.S. consideration.

Mr. Schaefer⁶ agreed that the new Institution's activities should supplement those of existing institutions and noted that the paper offered no suggestions for using foreign currencies now available to the United States.

Mr. Reid felt that principles to apply to development banks generally were needed, and hoped that the United States would not go so far in the Latin American case as to prejudice our position in other areas. On the illustrative figures in the paper for the amount of capitalization, he felt it was difficult to determine amounts without a clear idea of the Bank's objectives. He noted that the prospective increase in the resources of the International Bank and International Monetary Fund presumably would affect the needs of Latin America and therefore the capitalization of a new Institution.

The Chairman summarized by saying that the Staff work through October should not be considered binding on any agency with respect

⁵ Marshall M. Smith, Assistant Secretary for International Affairs, Department of Commerce.

⁶ Walter Schaefer, Assistant to the Director for Finance, ICA.

to policy, but that the drafting would help to sharpen up the issues for decision. The pattern for the Bank, he continued, should be considered different from the pattern of other regional banks in that the United States would be a member. The pattern announced for the Arab Bank, that the United States would support it if the Arabs would take the initiative but that the United States should not be a member, would be the pattern for all regional banks except the Latin American. He suggested that the role of the Export-Import Bank and the International Bank be protected.

Referring to the paper, the Chairman thought that the draft of II (Purposes of Financing) should be along the lines of point 5, the flexible approach, and that the draft of III (Currency of Loan Repayment) should follow point 3, the flexible policy. On IV (Capitalization) the drafting should follow B, the partially paid-in approach, with the initial United States contribution not exceeding \$100 million or 1/3 of total paid-in capital. On VI (Voting Rights) he preferred alternative (b) or (c), with policy decisions to be made by the Governors under the requirement of 2/3 of the votes, and other decisions to be made by the Executive Board, possibly with a lesser proportion of votes required. Under VII (Technical Assistance Activities) the draft should be responsive to Dr. Milton Eisenhower's suggestion that the Institution counsel and advise applicants to the Export-Import Bank and the International Bank. The Chairman concluded that the drafting along these lines should take place with a minimum of consultation with foreign governments and with no indication that any decisions had been reached by the United States.

Mr. Waugh suggested that Section VII should be called "Financial and Development Planning," and should be moved to a place earlier in the paper. He also commented that if the Bank did not sell securities, the Latin American countries would have to make contributions annually.

Mr. Dillon agreed that the Inter-American Institution should be considered different from other regional financial institutions. With respect to voting rights and policy decisions, he agreed that policies should be made by the Board of Governors, probably by a two-thirds vote, but he noted that this raised the question of a U.S. weighted vote, which needed careful consideration. In order to avoid the necessity of seeking the support of any Latin American country on any major issue, the United States might seek a 34 percent vote in the Board of Governors. He expressed general agreement with the procedures suggested by the Chairman, but noted that it also might be desirable that the Staff prepare position papers for later negotiations with the Latin American countries.

The Chairman stated that the drafting should deal specifically with such questions as whether loans would be made to wholly-owned

subsidiaries of governments, whether the Bank would lend for housing and other non-productive purposes, and similar questions. He added that any international agreement on a charter for the Bank should be reached outside the forthcoming meeting of foreign ministers in Washington, but within the OAS.⁷ With respect to a suggestion that the OAS ask the Inter-American Economic and Social Council (IAECOSOC) to draft the charter, the Chairman said that the drafting was a task for specially qualified financial experts rather than the usual delegates to IAECOSOC.

Mr. Dillon agreed the drafting of a charter should not be done by the staff of IAECOSOC, although it could be done under the aegis of that organization. The drafting should be done by specially designated representatives of governments, including *ad hoc* financial experts. Ambassador Randall⁸ commented that no difficulty was expected in IAECOSOC, since the United States had already made clear its view that the drafting should be done by a specially qualified group.

⁷ The Foreign Ministers of the American Republics met in Washington, September 23–24, 1958, to confer informally about measures to strengthen economic cooperation, including the establishment of an inter-American development bank. At the meeting, U.S. representatives took the initiative in obtaining agreement that the Inter-American Economic and Social Council (IA-ECOSOC) should convene a specialized committee to draft articles for the new institution. For text of the Communiqué on this subject approved at the meeting, see Department of State *Bulletin*, October 13, 1958, pp. 575–576.

⁸ Harold M. Randall, U.S. Representative to the IA-ECOSOC.

ETA-10. Letter from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to Milton S. Eisenhower¹

Washington, November 19, 1958.

Dear Milton:

Three draft replies to your letter of October 27² have been overtaken by the swift march of events. Moreover, I've had difficulty consulting with some of the officials concerned with economic and

¹ Source: Department of State, Central Files, 398.14/11–1958. Confidential and Personal. Source text is a carbon copy bearing Rubottom's typed name.

² Not found in Department of State files.

financial matters due to their prolonged preoccupation with the IMF-IBRD meeting in New Delhi and other matters like the Colombo Plan Conference.³

Now, however, we are at grips with the Latin American economic problems in the Special Committee of the Council of the OAS⁴ which convened Monday.⁵ Attached is a copy of Doug Dillon's very good speech of yesterday with certain key parts underlined for your convenience.⁶ The fact that we are engaged in our meeting demonstrates again the rapidity with which we are moving in our efforts to find constructive solutions, on a cooperative basis, to Latin America's problems. This is truly an operational phase of our relationship.

You should know that a rather serious problem has arisen with the Treasury Department over the handling of the discussions regarding the Inter-American Development Institution. We are pledged, and have constantly reiterated this pledge as in the case of Dillon's speech, to negotiate and draft the outline for this Institution in the Committee of Experts of the Inter-American Economic and Social Council which will convene on January 8. Treasury, at least the working level officials there, holds that this precludes any discussion prior to that meeting. The Latin Americans are determined, with possibly two exceptions in Mexico and Cuba, to discuss the Institution at least along general lines during this present meeting of the Special Committee of the OAS Council. I do not see how we can avoid listening to their observations, and perhaps expressing a few views ourselves as to its general character and outline without in any way committing our Government. The Treasury Department is against this and even complained about the references to the Institution in Dillon's speech, simply in the form of questions which will have to be faced by us all.

³ Reference is to the 10th ministerial meeting of the Consultative Committee of the Colombo Plan, representing 18 countries and 3 dependent territories in South and Southeast Asia, held in Seattle, Washington, November 10–13, 1958.

⁴ The Special Committee to Study the Formulation of New Measures of Economic Cooperation was established under the auspices of the Council of the Organization of American States pursuant to a recommendation approved at the informal meeting of the 21 Foreign Ministers of the American Republics, held in Washington, September 23–24, 1958. The Special Committee subsequently held its first meeting in Washington, November 17–December 12, 1958. Documents pertaining to the Special Committee are in decimal file 363.

⁵ November 17.

⁶ No attachments were found with the source text. For the text of Under Secretary Dillon's address before the Special Committee on November 18, see Department of State *Bulletin*, December 18, 1958, pp. 918–922.

I want you to know about this matter because we may have to enlist your quiet support if the issue becomes more serious. Tom Mann and I intend to see Secretary Anderson today or tomorrow, if possible. If we are unable to resolve the problem, we shall have to take it up with the Secretary, with Doug Dillon's support, of course.

I am certain that we have nothing to lose, and much to gain, by taking a positive approach on the discussion of this Institution, without committing ourselves to anything, especially bearing in mind that it is only six or seven weeks until the other committee will meet in January. Great resentment will build up against us if we should attempt to hold back discussion of this Institution in this present forum, in fact, I doubt that we would succeed.

I think that the prospect mentioned under point no. 3 of a bifurcated development institution offers real hope. None of the Latin American countries are going to want to put in money to be repaid in some other kind of currency; therefore, most of them want the strictly banking side of the institution to be a hard loan entity. Mexico, Cuba and Venezuela have been very outspoken on this point, as you might expect, in view of their relatively hard money. On the other hand, everybody wants to be able to get soft loans through the institution and we, of course, are the only source of that kind of money. We could lend money from the DLF to the institution and it could make soft loans. After a few years, it would have repayments coming in in the various kinds of currency which could be revolving and our contributions could cease.

With warmest regards,
Very sincerely yours,

R. R. Rubottom, Jr.

Enclosures:

1. Memorandum
2. Mr. Dillon's speech.

ETA-11. Memorandum from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Secretary of State¹

Washington, November 24, 1958.

SUBJECT

Inter-American Development Institution

Problem

To identify the United States with Latin American aspirations for this Institution, within reasonable limits, and to obtain Treasury support in the NAC for the kind of Institution which will attain our objectives.

Discussion

On Tuesday, November 25, the NAC is meeting to adopt the U.S. position to be taken regarding the Inter-American Development Institution. A considerable amount of staff work has already been done by the technicians in State and Treasury, and we have until January 8, at which time the Special Committee of the Inter-American Economic and Social Council will convene to chart the outline of the Institution, to complete our work.

As we were plainly told in advance, the special Committee of the Council of the OAS which began its sessions in Washington last Monday, November 17, has spent about half of its time so far discussing the general outline of the proposed Development Institution, even though we had made clear in advance our inability to make any commitments regarding it and our strong feeling that discussion of the Institution should be in the other forum.

While the delegates last week also stressed intro-regional and international trade, and technical cooperation, their main thrust has been to overcome the shortage of development capital. While the principal countries having convertible currencies state that the new entity should be both sound and permanent and, hence, operate on a basis of repayment of loans in the currency borrowed, all emphasized that the U.S. must be the major contributor. I would think that any contribution less than \$100 million would be out of the question. Eventually, such a hard loan institution might be able to sell bonds in the investment market and grow to substantial proportions as has the World Bank.

¹ Source: Department of State, Rubottom Files, Lot 60 D 553, "Inter-American Regional Development Inst. Confidential. A hand-written notation on the source text, which is on unsigned carbon copy of the original, states that this memorandum was not sent forward. A typed note indicates that the original bore the following hand-written notation, dated November 24, by Under Secretary Dillon, through whom it was routed: "Mentioned orally to Secretary and received guidance."

However, the overwhelming majority of the Latin Americans are thinking of a development institution engaging also in soft loans, including loans for social overhead projects. They are thinking of U.S. help in economic development financing through loans of a combined magnitude not realizable by a bank to which Latin America could contribute even half of the capital. They are thinking in terms of \$300 to \$400 million annually for the next ten years, in addition to maintenance of the current leading activities of the IBRD and the Eximbank. Obviously we will be unable to meet that kind of request but we shall have to deal with the problem of profound disillusionment unless we can devise some means of meeting this aspiration for a soft loan institution.

Messrs. Dillon, Mann and I have discussed that probably the most feasible approach might be to establish an institution with two departments, one to operate along sound banking lines and to make only hard loans, and (2) a completely separate department that would make soft loans and that would be authorized to borrow from the U.S. Development Loan Fund, say, at the rate of \$100 million per year. The latter department would be able to lend funds for certain important overhead projects, like schools, and hospitals, and could also lend money for the local currency costs of projects for which the hard loan department would lend to cover import requirements.

The Department has prepared a position paper which will be made available to the other members of the NAC at its meeting on Tuesday when this subject will be discussed. Attached is a copy.

Recommendation:

That you authorize Mr. Dillon support an institution which would make hard loans but with a department which could also handle soft loans and would be authorized to borrow from the DLF, at the NAC meeting on Tuesday, November 25;

That you also take an early occasion to inform the President of your views that this kind of institution is absolutely necessary to meet both the urgent economic problems in Latin America and the political problems created by their increased expectations of U.S. assistance.

[Attachment]

Paper Prepared in the Department of State²

Washington, November 24, 1958.

In order to permit the institution to make some loans of convertible currencies repayable in local currencies to assist in financing

² No classification marking.

appropriate projects, it should be given authority to borrow for such purposes from the U.S. Development Loan Fund. Funds borrowed from the DLF would be segregated from other resources of the institution and otherwise handled on a distinctive basis in order to preserve the integrity of the Institution's capital and the separate character of its other lending operations. Purposes of financing, terms, conditions and other relevant aspects of transactions involving funds borrowed from the DLF would be subject to determination in specific loan agreements between the institution and the DLF. In this way the United States Government could exercise adequate control over the expenditure of such funds without resort to special provisions in the institution's charter or in the voting rights of members.

ETA-12. Minutes of the 273rd Meeting of the National Advisory Council on International Monetary and Financial Problems¹

Washington, November 25, 1958.

Secretary Robert B. Anderson (Chairman), Treasury Department

Mr. Julian B. Baird
 Mr. Tom B. Coughran
 Mr. Nils A. Lennartson
 Mr. Philip P. Schaffner
 Mr. Elting Arnold
 Mr. Henry J. Bittermann
 Mr. Ralph V. Korp
 Mr. E. Jay Finkel

Mr. C. Douglas Dillon, State Department

Mr. Thomas C. Mann
 Mr. John M. Leddy
 Mr. William V. Turnage
 Mr. John Parke Young
 Mr. Harry R. Turkel
 Mr. Alexander M. Rosenson
 Mr. Phil R. Atterberry

Secretary Lewis Strauss, Commerce Department

Mr. Henry Kearns

¹ Source: Treasury Department Files, NAC Minutes. For National Advisory Council Use Only. The source text is marked "Draft of Minutes." On January 26, 1959, NAC Secretary Willis circulated a memorandum to the members of the NAC containing revisions in the list of participants and in par. 2 of the text of the minutes. (Treasury Department Files, NAC Minutes)

Mr. Marshall M. Smith
Mr. Clarence I. Blau

Governor Wm. McC. Martin, Jr., Board of Governors, Federal Reserve System
Governor M. S. Szymczak
Mr. J. Herbert Furth

Mr. Samuel C. Waugh, Export-Import Bank
Mr. R. H. Rowntree

Mr. Dempster McIntosh, Development Loan Fund
Mr. Robert M. Cabot

Mr. Walter Schaefer, International Cooperation Administration
Mr. Hale T. Shenefield
Mr. Charles Warden
Mr. Thomas P. Doughty

Mr. Frank A. Southard, Jr., International Monetary Fund

Mr. John S. Hooker, International Bank

Mr. Max Myers, Department of Agriculture, Visitor
Mr. William F. Doering, Department of Agriculture, Visitor
Mrs. Katherine Wiley, Department of Agriculture, Visitor
Mr. Larry F. Thomasson, Department of Agriculture, Visitor
Mr. Bartlett Harvey, Bureau of the Budget, Visitor
Mr. Hal B. Lary, Council of Economic Advisers, Visitor

Mr. George H. Willis, Secretary
Mr. C. L. Callander, Assistant Secretary
Mr. Victor A. Mack, NAC Secretariat

1. Inter-American Development Banking Institution

The Council considered the paper submitted by the Staff Committee on policy issues involved in the Inter-American Development Banking Institution (NAC Document No. 2431). The Secretary of the Council reviewed the Staff Committee discussion, pointing out that the basic assumption of the Working Group was that the institution would be a conservative financial institution which would revolve its funds through a banking operation. If this broad principle were altered to emphasize the possibility of soft loans, the paper would have to be modified. The Staff Committee had discussed the question of currency of repayment and agreed this matter required further Council consideration. Another important issue was whether the authorized capital should be \$600 million as outlined in the paper, or \$1 billion as suggested by the State Department in the Staff discussion. The Secretary noted that these questions also involved the question of U.S. voting power in the institution.

The Chairman asked for the views of the Department of State. Mr. Dillon recalled the political motivation of United States support

for the institution, and informed the Council that the Latin American participants in the meeting of the Special Committee of the Council of the Organization of American States (OAS) were insisting on discussing the details of the new institution despite United States efforts to confine the discussion to general matters. The Latin American delegates felt they did not have significant resources to contribute to the institution, and that the main Latin American need was an increase in capital availability from outside Latin America. It appeared that Latin American hard currency contributions would be insufficient to have much effect, and that hard loans by the new institution would tend to reduce the possibility of loans from the Export-Import Bank and the International Bank. Accordingly the State Department felt that the United States must make additional funds available to the new institution for loans involving repayment in local currencies. State felt that the 1/3–2/3 ratio for hard loan contributions was no longer realistic, and that the United States should offer to contribute half the hard loan currency.² Mr. Dillon continued that in his view Latin American countries would be expected to look to the new inter-American institution for soft loans, and the Development Loan Fund would not make loans to Latin American countries except in special circumstances. The new institution would have broad authority to borrow, which would make it possible to borrow from the Development Loan Fund should that be considered appropriate at the time. On a 50/50 basis the initial capitalization might be \$500 million, in addition to the borrowing from the DLF. The institution should also have more freedom in the technical assistance field than the Working Group recommended, particularly in assisting Latin American countries in preparing economic development programs.

Mr. Mann, commenting on the meeting of the OAS Special Committee, said that some Latin American delegates were seeking a United States commitment for a “Marshall Plan” for Latin America involving some 2½ to 3 billion dollars. It was felt important for the United States to present the non-controversial aspects of the Inter-American Bank and if time permitted some of the major points, in order to avoid a formal request for such an aid program and widespread criticism of the United States.

The Chairman commented that the United States had been exporting large sums of dollars in a variety of ways over the preceding 10 years, and that it was necessary to consider the extent to which

² The following two sentences replaced a single sentence in the original draft minutes, which read as follows: “The institution should have the right to borrow in private markets and should also be able to borrow from governments, specifically from the Development Loan Fund, which could make a \$100 million line of credit available for project loans repayable in local currencies.”

continued exportation of U.S. dollars and gold was desirable. The proposal for an Inter-American Bank envisaged a revolving financial institution, but the Latin Americans were saying that the institution could not be established unless the United States put up the money. A division of contributions would need to be worked out, but it was imperative that the Latin Americans have a real and hard sense of contribution. He preferred a $\frac{1}{3}$ - $\frac{2}{3}$ ratio because it was consistent with the idea of an international institution, and agreed that if the contributions were on a 50/50 basis the capitalization should be smaller than if it were $\frac{1}{3}$ and $\frac{2}{3}$. He would be willing to consider soft loan authority for the institution, but would oppose creating a soft loan institution with a commitment of constant replenishment by the United States without participation by the Latin Americans. United States participation must be by direct appropriations from Congress on the basis of a clear understanding of the amount and nature of the capitalization and the dividing line between hard and soft loans, and a clear understanding that further appropriations would be necessary in the future. The Chairman agreed that the institution should have the right to borrow in private markets, and that the emphasis should be on project loans, with the possibility of other types of loans to the extent feasible.

Secretary Strauss commented that he had a number of questions concerning the institution, including the need for it, but that he would in the first instance seek the answers from his staff.

Mr. Waugh expressed surprise at the turn of the discussion of the institution away from the hard loan approach. He questioned the notion of U.S. veto power, recalling that the initial approach involved control by the Latin Americans. He also questioned the proposal that the Development Loan Fund lend to the institution to enable it to make the same type of loans that the DLF could make bilaterally. He did not see that any approach was being made to the main Latin American problem of financing social overhead projects. He outlined the view of the Export-Import Bank's Board of Directors: that the Inter-American Bank would necessarily involve competition with existing institutions; that the competition of a bank which made only hard loans would be preferable to competition of a soft loan institution; and that the charter of the Inter-American institution should require that its loans offer reasonable assurance of repayment in the same currency in which the loans were made. This would permit hard loans in Latin American currencies. Mr. Waugh continued that if the Inter-American Bank made soft loans it would interfere with and perhaps drive out sound loans by private lenders said existing public institutions and would require periodic new appropriations by the United States. Any soft loans of U.S. funds should be made only by agencies controlled by the United States. Mr. Waugh felt that the matter should be discussed with interested Congressional committees

before commitments were made. He concluded that if the United States contributed all or nearly all of the money to this institution it would create troublesome precedents in the case of other regional institutions.

The Chairman said that as a matter of principle a sound bank required sound loans with repayments in the currency lent. However, if the Department of State believed that on this basis it would not be possible for the institution to be established, then the soft loan possibility could not be ruled out. The problem then would be to get the soundest possible institution in such a framework. This would require participation in contributions by all the members. The DLF should deal with borrowers bilaterally rather than through the Inter-American Bank, and any soft loan capital contributed by the United States should be provided by direct appropriation by the Congress.

Mr. Martin expressed agreement with the views of Mr. Waugh. He felt that a 50/50 capital contribution basis was inappropriate for an international institution and that soft loans were really more like grants than loans and that repayment would in effect be made by printing money. He felt that the best long run politics was to make the institution successful, and that the United States should not retreat from the principle that the institution was expected to make its way as an earning institution. He did not insist that loans be solely for projects or rule out social overhead loans, and he felt that if there were to be soft loans, they should be so financed that the capitalization of the institution would not be increased.

Mr. McIntosh expressed a preference for a maximum United States contribution of 1/3 and felt that it would be preferable for the Development Loan Fund to deal directly with Latin American borrowers rather than delegating control over its operations in Latin America. Governor Szymczak commented that the Latin Americans appeared to be talking about two different things, a bank and an aid program.

Mr. Dillon said that the Latin Americans have avoided the word "bank" in talking about the new institution, and he referred to an OAS publication on financing of economic development in Latin America. He thought the Latin Americans would now be satisfied with project loans, including social overhead projects, and loans to local development banks. He agreed that in a financial institution on a hard loan basis the United States share should not exceed 1/3, but he felt this would not satisfy the Latin Americans. Therefore, State felt the United States should go to a 50/50 basis for hard loan capital, plus additional soft loan capital on a loan basis. This would leave the United States in the position of not having more than a majority of the voting power. The Latin Americans might match our soft loan contribution with their own currencies. To the extent that the institution would lend for social overhead projects, it would not compete with the Export-Import Bank,

the International Bank, or private capital. He agreed that the institution should not have the right to additional appropriations every year, and that the matter should be discussed with the interested Congressional committees.

Mr. Hooker suggested that the DLF could cooperate with the Inter-American institution, which could prepare soft loan projects for DLF consideration, but without itself making soft loans. He also wondered whether the Latin American delegates to the OAS Special Committee were the appropriate people to make decisions about the Inter-American Banking Institution.

The Chairman said that the main point was that the Inter-American Banking Institution should be regarded as a financial organization, and that the Latin Americans must realize that the institution would run out of funds unless the Latin Americans contribute more than the United States. If it depended only on United States contributions it would not be a financial institution even though it would be so regarded.

With respect to the meeting of the OAS Special Committee, the Secretary of the Council commented that there were still some apparent differences of opinion among the Latin Americans about the nature of the institution. He also noted that the OAS document on financing Latin American economic development had been produced by its secretariat, and that the attitudes of the Latin Americans toward it were not known.

Mr. Mann asked the advice of the Council with respect to tactics on the drafting group which had been set up by the Special Committee. The Chairman said that it was not possible to make an immediate decision on all the issues in the institution and that the best course appeared to be to tell the Latin Americans that we would try to produce an outline of the new institution by the first of the year, and that this would require bilateral consultation with individual countries and consultations with Congressional committees.

[Here follows discussion of agenda items 2 and 3: "International Monetary Fund and International Bank" and "Other Business."]

ETA-13. Memorandum from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Deputy Under Secretary of State for Economic Affairs (Dillon)¹

Washington, December 19, 1958.

SUBJECT

Priorities for DLF Loans in Latin America.

Mr. Turnage² has invited our attention to the fact that with the scheduled allocation of \$21.75 million for Argentina the remaining free balance of appropriated DLF funds will total \$73 million. He has requested the views of ARA as to the priorities appropriate for processing outstanding Latin American loan applications in relation to this balance as a guide for the DLF staff. I am pleased herewith to respond to this request.

You will recall that last February Mr. Mann and I discussed with you the importance in terms of our relations both with Latin America and with the Congress of assuring adequate consideration for applications from that area in DLF loan approval action. At that time, we suggested the DLF establish an administrative target of 10 to 15% for loans to Latin American applicants. You agreed with this assessment and objective but wisely pointed out the administrative difficulties and potentially inadvisable implications of earmarking any specific percentage of DLF funds for a particular country or region. You emphasized the uncertainties as to the likely volume of meritorious economic development loan applications from Latin America at that time and I fully concurred in your observations. Since then there have been filed with the DLF applications by Latin American countries in volume in excess of our earlier suggested administrative percentage target. These have been recognized by the DLF staff on examination to qualify for DLF financing. This circumstance reflects both the initiative of the Latin Americans and their increased dependency on external financial assistance.

In my memorandum to you of November 14 I reaffirmed my concern for the need to assure an adequate flow of DLF funds to the ARA region,³ particularly in light of increasing Congressional interest in this subject. Discussions in the "Committee of 21", with which you are

¹ Source: Department of State, Central Files, 820.10/12-1958. Limited Official Use. Drafted by Harry Conover, Deputy Director of the Office of Inter-American Regional Economic Affairs.

² William V. Turnage, Deputy Director, Office of International Finance and Development.

³ Not printed; OAS Files, Lot 60 D 665, "Development Loan Fund."

thoroughly conversant, have since that date further underscored the importance of such DLF action in terms of improvement in U.S. relations with the other American Republics.

The DLF Board has so far approved loans to Latin American applicants totaling \$18,940,000. I recommend prompt and favorable action on an additional seven applications in the amount of \$27,840,000 as a minimum. Even including the \$21.75 million for Argentina, which is a very special case, the combined total for Latin America would thus be only \$68,530,000, or less than 10% of the current \$700 million DLF appropriation.

The priorities for Latin American projects in relation to the remaining \$73 million DLF balance are as follows:

1. Uruguay	Telecommunications	\$5,500,000
2. Haiti	Artibonite Valley	5,000,000
3. Guatemala	Industrial credit	5,000,000
4. Bolivia	El Alto Airport	3,000,000
5. Chile	Pudahuel Airport	6,300,000
6. Costa Rica	Agricultural credit	2,500,000
7. Nicaragua	Matagalpa public utilities	540,000
		\$27,840,000

Brief comment on the status and significance of each of these projects is attached hereto as Tab A.⁴ Your attention is invited to the fact that I have not included in the foregoing list a number of other important project applications which are well along in the DLF staff processing and which have both valid political and economic justifications. Should any DLF funds remain after earmarking my recommended total of \$27,840,000 for Latin America, I would urge consideration be given the following additional Latin American projects in the priority sequence listed below. In any event the following priorities are recommended for DLF staff work in connection with now Congressional appropriations:

1. Haiti	Sugar mill	\$3,000,000
2. Bolivia	San Aurelia sugar mill	500,000
3. Paraguay	Telecommunications	1,000,000
4. Panama	Telecommunications	3,050,000
5. Guatemala	Housing finance institution	2,000,000

The foregoing are offered as recommendations for work planning purposes at this time. Developments between now and the availability of new DLF funds very likely will merit modification and review.

⁴ Not printed.

ETA-14. Circular Telegram from the Acting Secretary of State to all Diplomatic Posts in the Other American Republics¹

Washington, December 21, 1958, 6:52 p.m.

793. Section 1 of 2 sections.

Section 2 of this telegram sets forth an outline of preliminary U.S. views, subject further consultations with members of Congress, regarding the structure, capitalization and functions of the proposed inter-American development institution. You requested transmit this outline to government to which you accredited together with statement incorporating points stated below. In course transmittal you should make sure that communication is brought to attention of high-level financial and economic officials of foreign government who will presumably be responsible for determining financial policy issues involved.

Points to be included in U.S. statement follow:

1. Since inauguration Operation Pan America and announcement by Under Secretary Dillon at IA-ECOSOC on August 12, 1958 of U.S. willingness to support inter-American financial institution U.S. Government has been giving intensive study to best means establishing such institution on basis (a) to assure effective support L.A. economic development, (b) to serve as instrument economic cooperation genuinely inter-American in character, and (c) to inspire confidence in long-run technical and economic soundness of institution which essential its future growth.

2. During its study U.S. Government has taken account discussions at Foreign Ministers' meeting in Washington on September 23–24, 1958 and at meeting of Special Committee of 21 during November–December 1958.

3. As result its consideration, U.S. has come to conclusion that in order assure success inter-American development institution should reflect certain basic principles:

A. Primary funds to be administered by institution should be utilized for loans repayable in currency lent (i.e. "hard loans"). Funds to be administered by the institution on basis repayment in currency of borrower or other flexible basis (i.e. "soft loans") should play secondary

¹ Source: Department of State, Central Files, 810.10/12–2158. Confidential; Priority. Sent in two sections; drafted by John M. Leddy, Special Assistant to the Under Secretary of State for Economic Affairs, and signed by Dillon. The telegram was cleared with the Treasury Department, OFD and ARA in the State Department, and the NAC approved its substance.

role and such funds should be segregated so as to avoid any impairment of credit of new institution in capital markets.

B. Contributions to funds for both hard loan operations and soft loan operations should come from all the American states and voting power of any state should be broadly related to size of its capital contribution.

C. United States Government should not repeat not have majority vote in management of funds for hard loan operations. However, with respect funds for soft loan operations U.S. recognizes limited extent to which Latin Americans able to contribute and hence U.S. willing accept majority contribution and majority vote in respect this department of institution's operations.

D. Capitalization of institution should take account limited capacity Latin Americans contribute gold or dollars to paid-in capital. Hence reasonable portion L.A. contributions to funds for both hard and soft lending operations should be acceptable in local currencies.

E. Payment of capital subscriptions should be spread over reasonable period of years. This desirable view (a) fact that institution will require initial period organization before operations can begin; and (b) desirable maximize total capitalization without undue financial strain on governments any particular year.

F. Some portion total capital subscriptions should be in form contingent liability on governments meet obligations of institution. If institution soundly administered, this should enable it in time to raise capital through issuance bonds in private securities market.

4. As indicated Under Secretary Dillon's statement at Committee of 21 on November 18, 1958 U.S. would consider that new development institution should play effective role in assisting member governments in field development planning, including selection development priorities and preparation projects. While U.S. unable elaborate further this suggestion now, anticipate will be able do so at meeting of financial experts in January.

5. U.S. would appreciate consideration by foreign governments of its proposals re inter-American development institution in preparation for January meeting and would hope to receive comments before then if practicable.

6. Understood that U.S. participation in institution to be negotiated of course subject Congressional approval.

You also requested inform appropriate officials that U.S. delegation will be headed by T. Graydon Upton, Assistant Secretary of Treasury, who will be assisted by economic and financial experts. Inform re delegation of govt to which you accredited appreciated soonest.

Outline of Proposed Inter-American Development Banking Institution Capitalization (figures in millions of dollars):

1. “Hard” operations authorized capital 700 of which 400 paid-in and 300 callable only to meet obligation (i.e. constituting guarantee fund for floatation bonds similar to IBRD’s callable capital portion). Paid-in capital (one-third payable immediately, the balance in subsequent installments): U.S., 150; L.A. gold or dollars, 150; L.A. local currency 100. Callable capital: U.S. 150; L.A. 150.

2. “Soft” operations authorized capital 150 as follows (one-half payable immediately, second half commitment to be paid in subsequently): U.S. 100; L.A. gold or dollars 25; L.A. local currency 25.

Total capital 850.

Voting:

On basis above figures, U.S. would have roughly 40% of votes in respect of funds contributed for “hard” loans and roughly 60% in respect of funds contributed for “soft” loans.

Herter
Acting

ETA-15. Memorandum from the Deputy Director for Operations of the International Cooperation Administration (FitzGerald) to the Director of that Agency (Smith)¹

Washington, December 23, 1958.

SUBJECT

Proposed Inter-American Development Banking Institution

Insofar as I understand what is contemplated, the establishment of an Inter-American Development Banking Institution seems to have limited value. Perhaps my doubts as to its usefulness would be reduced or eliminated if I could see how it fitted into the already existing

¹ Source: Department of State, Central Files, 371.814/1-2159. The source text was attached to a memorandum from ICA Director Smith to Under Secretary Dillon, dated January 21, 1959, which reads as follows: “I am attaching a memorandum written to me by Dr. FitzGerald, which sets forth some of the questions which come to mind concerning certain aspects of the proposal.”

institutions now making loans in Latin America, particularly the IBRD, the Export-Import Bank and DLF. It would also help if one had some general idea of the likely loan terms, i.e., interest rate, length of loan, etc. It is possible that the loan conditions contemplated would enable the proposed bank to complement, rather than replace IBRD and Ex-Im on the one hand and DLF on the other, although, as I understand it, DLF would discontinue all direct loaning activities in Latin America and local currency repayable loans would be handled by the special loans department of the proposed bank.

According to the NAC paper, the ordinary loans department, in addition to dollars, would receive and lend local currencies to be repaid in the same currency as lent. This would appear to be of marginal value in Latin America. The only instance I know in which borrowing countries would be able to repay the local currency of another Latin American country easier than dollars would be in the case of Paraguay and possibly Bolivia. These two countries might be able to repay Argentine pesos easier than U.S. dollars.

Unless the loans contemplated by the ordinary loan department involve a much longer repayment period than IBRD and Ex-Im Bank typically provide, I do not see how there could be very much business done over and above that which the IBRD and the Ex-Im Bank are prepared to do. Almost inevitably, it seems to me, the IBRD will reduce the ceiling on the loans it would make to any particular Latin American country to the extent that that country undertakes repayment obligations in dollars or other convertible currency through the proposed Inter-American Banking Institution. The trouble is not that IBRD and Ex-Im Bank do not have authority to make substantially larger loans to Latin America, but, rather, the capacity of Latin American countries to repay these loans. Adding another banking institution would not increase that repayment capacity.

Nor, in general, will the requirement that the Latin American countries contribute part of the capital of the proposed Institution increase the total capital available for borrowing by the Latin American countries. Perhaps any contributions by Venezuela might be a net contribution because of its relatively large foreign exchange reserve, but surely in the case of most other countries—Brazil, or Argentina, or Ecuador—contributions by these countries to the capital fund will inevitably reduce almost pro rata the capital availabilities within the country. Much the same considerations apply to the special loans department. Latin American countries traditionally are chronically short of local currency, so they are likely to be unenthusiastic about contributing local currency to the proposed Institution. I think they would be doubly reluctant to contribute from their already limited

dollar reserves capital for the special loans department that would be repayable in the local currency of the borrowing country. I simply cannot imagine that this proposal will be looked upon with any favor at all by the Latin American countries.

Presumably the argument for the proposed institution is that the necessity for making a capital contribution will instill in Latin American countries a greater sense of financial responsibility and take a great deal of the odium from the United States which we have acquired because of our unwillingness to meet all the requests of the Latin American countries for loans. I am not at all sure that this will be the result. As long as each country gets back in loans no less than the capital it contributed, then any additional borrowings are “gravy” and the pressure to get them will be as great as ever. As soon as the Institution runs out of money, the pressure again will be on the United States to make further capital contributions.

I feel that a great deal more thought needs to be given to the proposed Inter-American Banking Institution than has so far been given it; particularly, its relationship to other lending agencies. I realize that the United States has publicly committed itself to participating in a regional institution, but this does not require us to jump in with our eyes closed.

D. A. FitzGerald

Deputy Director for Operations

ETA-16. Editorial Note

On January 7, 1959, Acting Secretary Dillon approved a request contained in a memorandum from Assistant Secretary Mann, dated January 5, for authority to negotiate and draft an agreement with representatives of the other American Republics for the establishment of an inter-American development institution. A copy of the memorandum, with the Under Secretary’s hand-written authorization is filed under decimal number 810.10/1-559.

ETA-17. Memorandum of Conversation, by the Officer in Charge of Economic Development, Office of Inter-American Regional Economic Affairs (Rosenson)¹

Washington, January 30, 1959.

SUBJECT

Inter-American Bank

PARTICIPANTS

Asst. Sec. Upton
 Mr. Willis
 Mr. Rosenson
 Mr. Mario Mendivil, Argentina (Chairman of Conference)
 Mr. Ignacio Copete, Colombia (Chairman, Subcommittee I)
 Mr. Felipe Herrera, Chile (Chairman, Subcommittee II)
 Mr. Rafael Glower, El Salvador (Chairman, IA/ECOSOC)

This conversation took place at a dinner in Mr. Upton's residence on January 29th. Mr. Upton encouraged his Latin American visitors to give him their views on our proposals regarding the Bank, which they did quite readily. Each one spoke only for himself but there was considerable agreement among them, and they expressed the belief at various times that the majority of the other delegations held views similar to theirs. They of course made an exception for Brazil, which they regarded as a special problem in the current negotiations. They expressed the hope that the U.S. would undertake the task of bringing the Brazilians into line, but received no encouragement on this score.

The conversation revolved almost entirely around the capital structure of the "A", or hard-loan, department (the subject of the "B" department was touched on only at the end). It will be recalled that the U.S. has proposed the following capitalization for the "A" department.

	<u>Paid-In</u>	
U.S.		150
L.A. in dollars	150	
in local currency	<u>100</u>	<u>250</u>
		400
	<u>Callable</u>	
U.S.	150	
L.A.	<u>150</u>	<u>300</u>
Total "A" capital		700

¹ Source: Department of State, Central Files, 820.14/1-3059. Confidential.

The concessions sought by the Latin Americans, according to those present at this conversation, may be summarized as follows:

1. *Increase in U.S. Subscription to Callable Capital*

It was suggested that the U.S. should increase its callable (i.e., guarantee) capital subscription from 150 to 225 or 250. Mr. Upton asked whether, if the U.S. did increase its subscription to this type of capital by some amount, the Latin American countries would be willing to make a similar increase. The answer was in the affirmative, and Mr. Herrera said that they would expect to match our increase in full.

It was clear that of all the points raised by the Latin Americans, they placed the greatest emphasis on this matter of an increase in *callable* capital. They indicated that they had no complaint whatever over the size of the U.S. *cash* subscription.

2. *Reduced Latin American Dollar Subscription*

Mr. Copete proposed that instead of Latin America and the U.S. each putting up one-half of the paid-in dollar subscription to the "A" department, the U.S. should put up 60 percent and Latin America 40 percent. The reduction in the Latin Americans' dollar subscription would be compensated by an increase in their local currency subscription. This would have the effect of lowering the Latin Americans' dollar contribution from 150 to 100 and increasing their local currency contribution from 100 to 150. The U.S. dollar subscription would remain unaffected.

3. *Stretch-out of Payments*

Copete, supported by Mendivil, felt that the Latin American dollar subscription should be stretched out to five or six installments, with the U.S. still required to pay up in three installments. Herrera demurred, saying he thought the installments would be small enough anyway. He thought that (2) and (3) might be considered as alternatives.

4. *Voting Power*

The Latins agreed that there should be a direct relation between size of subscription and voting power, but they felt that a straight proportional relation would give the U.S. too dominant a voice. It was suggested that possibly we could accept 33-1/3 percent or 35 percent of the vote in the "A" department instead of the 42-1/2 percent to which we would be entitled on a proportional basis. This view was defended on grounds of "psychology" and the tradition of juridical equality of countries in the American system. The Latins left the definite impression that they attach much importance to this point.

Mr. Upton, while not committing himself on any part of the foregoing, made clear that we regard our suggestions for the structure of

the “B” department as an integral part of our proposals on the Bank. He accordingly invited the Latins to give him the benefit of their views on this question also. However, because of the lateness of the hour it was agreed to defer this part of the discussion to another early occasion.

ETA-18. Memorandum from the Officer in Charge of Economic Development, Office of Inter-American Regional Economic Affairs (Rosenson) to the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, February 4, 1959.

SUBJECT

Inter-American Bank: Issues

A second informal and “off the record” meeting was held on the evening of February 2 in the home of Mr. Rafael Glower to continue the discussions which took place several nights before at Mr. Upton’s home.²

It will be recalled that at the previous informal meeting the Latins asked for four concessions from the United States proposals. These related to: 1) increase in U.S. subscription to callable capital, 2) reduced Latin American dollar-subscriptions, 3) stretch-out payments, and 4) voting power.

At the meeting of February 2 the discussion narrowed down to essentially two issues, i.e. the nature of the soft-loan department of the institution, and the amount of callable capital in the hard-loan department.

Several of the Latins present thought that the soft operations of the Bank ought to be separated from the hard loans even more sharply than contemplated in the United States proposal which called for two separate departments within a single bank. It was suggested that there should be a special “Fund”, organizationally entirely separate from the Bank but administered by the latter as a trust. This idea had been put forward earlier in a session of Subcommittee I by representatives of Venezuela and

¹ Source: Department of State, Rubottom Files, Lot 61 D 279, “Inter-American Development Bank 1959.” Official Use Only. The source text is an uninitiated carbon copy.

² Apparent reference to the meeting held on January 29; the memorandum of conversation of the meeting is Document ETA-17.

Ecuador. The idea of a "Fund" has also been urged consistently by the Brazilians. Mr. Herrera said that he contemplated a Fund in which the original subscription would be compulsory and more or less in the proportions suggested by us. Thereafter the Fund would depend on voluntary subscriptions.

It seems clear that the notion of a Fund which would receive large repetitive allocations from the United States but only a nominal original subscriptions from the Latin American countries has a double appeal. There are a few countries, notably Brazil, which would hope to receive massive loans from this source on what would be a virtually grant basis. On the other hand, the convertible currency countries (Central America, Mexico, Venezuela, etc.) would be relieved of contributing currencies equivalent to dollars and getting little or nothing in return. The latter point of view was frankly set forth by Mr. Montelegre who said that the Central American countries were already getting their soft loans free the DLF and therefore had no interest in a "B" Department in the Bank and could not afford, with their extremely low standards of living, to lend money for development to the big countries.

Mr. Upton indicated firmly that the United States could not entertain the idea of a Fund constituted on a basis of voluntary contributions. Thereafter the subject was not pursued much further. I gained the impression that only a very few countries are likely to make an all-out effort to obtain our agreement to a Fund. On the other hand, many if not most of the Latin American countries may push for a Fund at least temporarily for tactical reasons.

Mr. Herrera inquired whether we had given any further thought to the question of voting power. Mr. Upton explained our position on weighted voting but hinted that this is an area in which we may have some flexibility.

The Latins then returned to the question of an increase in callable capital. Mr. Upton explained the great difficulties he would encounter, both in the Executive Branch and on the Hill, in any attempt to increase the United States commitment to the Bank over on a contingent basis. However, the Latins seemed to have their hearts set very strongly on this point and refused to take "no" for an answer. They argued that with the small initial paid-in capital it was important to have a substantial guarantee backlog to permit the Bank to grow; they argued that for domestic political reasons in their own countries they cannot go back without some concession from the original United States positions, etc. etc.

Mr. Upton pleaded the impossibility of going beyond the present position of the United States Government. He suggested that the main thing to do at the present time is to keep working on the

articles of agreement and “keep things moving” so that differences could be narrowed down. The Latins tried to get him to say that his position on callable capital was the United States position as of the present moment, but this he refused to do. Nevertheless, I believe he succeeded in leaving the impression with the Latins that if they were reasonable on other parts of our proposal (and in particular as regards the B Department), we would not be absolutely adamant on the matter of the callable capital.

**ETA-19. Memorandum from the President’s Special Assistant
(Paarlberg) to the President’s Personal Secretary
(Whitman)¹**

Washington, March 5, 1959.

At 3:00 p.m. March 5, a group called upon the President regarding the Inter-American Development Banking Institution. The meeting lasted about half an hour.² Secretary Anderson led the group. Others present were Dillon, Stans, Paarlberg, Upton and Willis.

Secretary Anderson outlined plans briefly. He indicated several issues and indicated the positions proposed for the United States:

1. Relatively modest beginnings, and growth after the institution has proved itself.
2. A strong role for top management in judgments regarding individual loans.
3. Procurement, with loaned funds, from the free world.
4. Vote on a weighted basis.

With these points the President agreed.

Secretary Anderson indicated that the matter had the concurrence of Dr. Milton Eisenhower.

Secretary Anderson indicated that embassies of the twenty-one Latin American countries would be notified of our intentions and that ranking members of the appropriate Congressional Committees would likewise be notified.

Don Paarlberg
Special Assistant

¹ Source: Eisenhower Library, Whitman File, DDE Diaries.

² The President’s Daily Appointments Book for March 5, 1959, indicates that this meeting was “Off the Record.”

ETA–20. Memorandum Prepared for the President¹

Washington, March 5, 1959.

FINAL PROPOSAL BY THE UNITED STATES WITH
RESPECT TO THE INTER-AMERICAN DEVELOPMENT
BANKING INSTITUTION

A Specialized Committee of Government Representatives has been negotiating since January 8, 1959 on a U.S. proposal for an Inter-American Development Banking Institution. A large part of the draft charter has been completed, but a number of major issues are outstanding. It is important from the U.S. viewpoint that the negotiation be completed during the next two or three weeks.

The key problem in this situation is the position of Brazil regarding the size of the capital of the new institution.

The original U.S. proposal called for total initial resources of \$850 million, with the U.S. subscribing \$400 million. This consisted of \$700 million for ordinary loans and \$150 million for "soft loans." Three hundred million dollars of the total was not to be paid in but was similar to the callable capital of the International Bank, and would in effect constitute a guarantee fund against which the Bank could borrow in the money market. Provision was made for appropriate installment payments of paid-in capital, and for a moderate part of each paid-in capital subscription to be accepted in the form of national currencies, the rest being payable in gold and dollars.

The Brazilian representative initially proposed a total capital of \$5 billion and later suggested bilaterally to the U.S. an initial capital of \$2 billion for ordinary loans, plus a special fund for "soft" loans, to which contributions in unspecified amounts would be made in national currencies. He has also called for a review of the capital structure at the end of three years to provide for increases to this total.

While most of the other Delegations have been prepared to accept the view that it is important to establish the organization rather than to insist upon a very large initial capital, it is evident that these other Delegations are extremely reluctant to proceed much further until they are satisfied that every effort has been made to reconcile the positions of the U.S. and Brazil, especially with regard to the capital of the institution. At the same time, there is a general feeling among the Delegations, which the U.S. Delegation shares, that a strenuous effort should be

¹ Source: Eisenhower Library, Whitman File, DDE Diaries. Official Use Only. The source text bears the following hand-written notation by President Eisenhower: "Approved in principle, 5 Mar 59."

made to conclude the work of the Specialized Committee in the next few weeks.

In an effort to reach an understanding which the Brazilians as well as the other Delegations might accept, we propose, subject to your approval, to offer a final integrated package proposal which would not be subject to any further concession as a result of Brazilian or other pressure. If you approve, we should like to present this proposal to the other Delegations, with an indication that it has been approved at the highest level. We would like to indicate that if this proposal is not found acceptable, and the drafting of the charter is not completed here in Washington by the end of March, we think it unlikely that we can obtain Congressional approval for any institution at this session of the Congress. In this event, because of budgetary considerations, no funds would become available from the U.S. for the institution under any conditions until the second half of the calendar year 1960.

With respect to capitalization, we would now propose that:

1. The initial capital of the bank should be \$1 billion, to which the U.S. would subscribe \$450 million, \$250 million to be paid in installments and \$200 million in callable capital; and

2. The charter should specify that an additional \$500 million would be added to callable capital after all installments of initial paid-in capital had been paid and provided the increase was approved at that time by a 3/4 majority of the total votes in the Board of Governors, i.e., U.S. would have a veto. This would raise the total capital of the Bank to \$1.5 billion. The U.S. would be morally committed to subscribe an additional amount of approximately \$200 million in callable capital after three to five years, unless at that time we had very strong reasons for rejecting such an increase.

We have been reluctant to make this institution too large because (1) our influence over the use of our money once it has been committed will be limited; (2) we do not wish to have the operations of the new institution impinge too heavily upon the Latin American lending activities of the Export-Import Bank and the International Bank; and (3) we are limited by the Budget statement to providing not more than \$300 million in new obligational authority at the present time and are also required by the Budget to limit our expenditures in fiscal year 1959 to not more than \$100 million and to have no authorization or expenditure in fiscal year 1960.

In putting forward these proposals on capitalization we also propose to take the following positions as parts of a package:

1. Some countries have expressed a desire to eliminate the proposed soft loan operation. We will indicate our willingness to transfer our subscription to the bank's Class A (hard loan) resources, if other countries are willing to do likewise.

2. We feel it is essential to insist upon a reasonably strong role for the management in relation to the Board of Directors and upon weighted voting in the latter.

3. We would insist upon maintaining our long standing principles with respect to avoiding excessive competition with private enterprise.

4. We intend to insist on including a provision which would enable the bank to limit or prohibit expenditure of its funds in communist areas.

5. The U. S. Delegation will continue to insist upon the general use of weighted voting procedures closely related to the value of capital subscriptions by member countries.

A memorandum has been prepared setting forth the elements of this proposed package which might be made available to the other Delegations as a statement of our position.²

² No memorandum matching this description has been found.

ETA-21. Circular Telegram from the Acting Secretary of State to all Diplomatic Posts in the Other American Republics¹

Washington, March 7, 1959.

1024. PERSONAL ATTENTION CHIEF OF MISSION

REF DEPCIRTEL 793 December 21²

Following is summary of statement made Friday March 6 by U.S. to Specialized Committee considering establishment Inter-American Banking Institution:

U.S. has considered carefully all suggestions expressed by other delegations Specialized Committee. In light these views and to conclude successfully deliberations U.S. wishes submit certain important amendments to its original proposal. It is stressed these amendments have been discussed highest level in our government and are presented as integral unit.

¹ Source: Department of State, Central Files, 810.10/3-759. Official Use Only; Priority. Drafted and signed by James A. Lynn, Assistant Chief of the Economic Development Division; cleared with W and ARA in the State Department, and with the Treasury Department.

² See Document ETA-14.

U.S. urges draft charter be completed ASAP permit presentation U.S. Congress. Proposed that final act of conference be signed before end March by representatives all governments at closing session Washington. Alternatively, final act could be initialed in Washington and signed at BA conference Committee 21 convening April 14.³ Latter case final act open for signature at BA but without change or further negotiation. U.S. will wish make immediate legislative preparations basis initialled text. If should prove impossible do this by nearly April U.S. feels would not be possible obtain Congressional approval funds during current session. In such case U.S. subscription to capital could not be expected before second half calendar year 60.

1. Total Capital

U.S. agrees increase initial capital institution from \$850 million to \$1 billion. Additionally charter would indicate intent participating governments increase total capital to \$1.5 billion if Board Governors approves by qualified majority already provided for U.S. draft charter (i.e., three-fourths total voting power) after payment all installments initial subscriptions paid-in capital.

Initial paid-in capital for ordinary loans (Class A) to be subscribed three installments, total \$150 million by U.S., \$250 million by Latin Americans, sixty percent of this in gold or dollars and forty percent in national currency.

Callable capital U.S. \$200 million, Latin America \$250 million.

2. Class B Capital.

U.S. prepared subscribe \$100 million to Class B capital provided Latins subscribe \$50 million. All subscriptions fifty percent gold or dollars and fifty percent national currency. Payment in two installments.

U.S. prepared agree Class B voting to be based on weighted votes under Class A provided two-thirds majority required for decision.

If Latins prefer, U.S. prepared agree to substitute QUOTE Fund UNQUOTE for Class B capital with subscriptions and voting described above.

If Latins prefer, U.S. prepared eliminate special loan operations and transfer corresponding subscriptions both U.S. and Latins to Class A.

FYI We indicated in presentation present proposal thought this matter largely overtaken by events in view Subcommittee 1 report day before favorable to \$150 million QUOTE Fund UNQUOTE. End FYI

3. Deferred Class A Callable Capital

³ Apparent reference to the Second Sessions of the Committee of 21, held in Buenos Aires, April 27-May 8, 1959; for conditional information, see instruction CA-2131, September 2, 1960, Document ETA-55.

As indicated 1. above U.S. prepared add provision in Charter specifying increase in callable Class A capital of \$500 million thus raising total capital resources to \$1.5 billion if approved Board Governors by qualified majority provided in U.S. draft (i.e. three-fourths total voting power) after payment of all installments Class A paid-in capital. Purpose would be indicate clear intention member governments effect such an increase with final decision reserved to time specified. U.S. share would be forty percent or \$200 million and Latins 60 percent or \$300 million.

4. Use of National Currency

Currency any member country held by Bank however acquired would be usable for payments in territory of member without restriction.

5. Weighted Voting

Decisions within Board Governors and Board Directors based on weighted vote proportionate subscriptions with limited adjustment to provide some unit votes each country. These adjustments would reduce U.S. vote to approximately forty percent. Provisions in draft charter requiring special majorities or some questions to be retained.

6. Management and Board of Governors

U.S. believes able strong management essential successful borrowing in capital markets under callable provision. Normally sound practice that applications be reviewed by management and presented to the Directors by management. However recognize Latins wish assurance Board of Directors will be active, and hence U.S. would agree in special circumstances Board of Directors by majority vote might request management bring any pending application to Board for its decision.

7. Relationship to Availability Funds From Private Investment Sources

U.S. feels essential include in Charter provision similar IBRD QUOTE in considering requests for loan or guarantee Bank shall take into account ability borrower obtain loan from private sources on terms which in opinion Bank are reasonable for borrower UNQUOTE. U.S. could accept additional phrase QUOTE bearing in mind all pertinent factors UNQUOTE but could go no further.

8. Limitation on Area of Expenditure of Funds

U.S. could not accept any provision which would prevent Bank from exercising right restrict or prevent expenditure of its funds in areas not considered appropriate in terms their relationship with free world.

FYI Delegations have not had opportunity react officially to fore-going proposal though several informally expressed warm approval.

On the other hand Brazilian indicated some disappointment and stated would have to cable home for instructions End FYI.

Requested Action

You are requested discuss this proposal ASAP at highest appropriate levels host government and urge government to instruct its delegation to Specialized Committee to accept and support this new U.S. proposal in order we may successfully establish and begin operation this institution we all so much desire at earliest practicable moment. You should stress U.S. has made strongest effort meet position Latin American delegations and these very real concessions were very difficult to make in light pending and accomplished increases in IBRD, IMF and Eximbank resources. Reiterate U.S. proposal is an integral one cleared at highest level repeat highest level U.S. Government and early action essential. Treasury Secretary Anderson and Rubottom personally spoke to Latin leaders prior presentation in Specialized Committee. Please report host government reaction soonest.

Herter
Acting

ETA-22. Editorial Note

On March 24, 1959, Acting Secretary Dillon approved a recommendation contained in a memorandum from Wilson T. M. Beale, Jr., Deputy Assistant Secretary of State for Economic Affairs (initialled by Assistant Secretary Mann), to authorize Assistant Secretary of the Treasury Upton to sign the Final Act incorporating the articles of agreement for an Inter-American Economic Development Banking Institution prepared by the Socialized Committee of the Organization of American States. The memorandum reads in part as follows: "Initialling the Final Act of the Specialized Committee will constitute in effect a commitment on the part of the United States not to propose any alteration in the draft charter since we have so proposed to the other countries. Subsequent signing of the Final Act will signify in effect United States agreement to accept or reject the draft charter in toto, without reservations, after customary legislative action." (810.10/1-559)

ETA-23. Memorandum from the Acting Secretary of State to the President¹

Washington, April 8, 1959.

SUBJECT

Suggested Reply to President Betancourt's Request for Support of Caracas as the Site of the Inter-American Development Bank

On April 1, 1959, President Rómulo Betancourt of Venezuela addressed to you a cable urging support of his Government's proposal that Caracas be selected as the site for the Inter-American Development Bank. The original Spanish text of the cable was received at the White House on April 2, the same date the working group meeting in this city decided on Washington as the site for the new institution by a final vote of 18 to 3. A translation of President Betancourt's message was forwarded to the White House on April 4.

I enclose for your consideration a suggested reply to the message from President Betancourt. If you approve, this message will be cabled to our Embassy at Caracas for immediate delivery to President Betancourt. Since the Venezuelan President's message arrived too late to receive adequate consideration and the final decision by the working group was contrary to his desires, recommend that we take no initiative in making public this exchange of messages.

CHRISTIAN A. HERTER

Attachment

Letter from President Eisenhower to President Betancourt²

Washington, April 9, 1959.

Dear Mr. President:

I am most grateful to you for your personal initiative in bringing directly to my attention your proposal to establish the Inter-American Development Bank in Caracas.

¹ Source: Department of State, Central Files, 371.814/4-959. Official Use Only; Presidential Handling. Drafted by Carl E. Bartch, Officer in Charge of Venezuelan Affairs, Office of East Coast Affairs.

² Sent in Department telegram 654 to Caracas, April 9. (371.814/4-959)

Your views and the forthright manner in which you expressed them made a deep impression on me. I truly regret that your telegram did not reach me until after the working group made its decision on Washington as the site for the new institution.

Although this circumstance precluded my consideration of your message before the decision was taken, your Government's views were well known to our representatives, and I assure you that those views were given most careful consideration.

But after study of all factors, the United States Government felt obliged to conclude that the technical and practical advantages of having the institution located in Washington, at least in its initial stages, would greatly facilitate the successful establishment of this important venture in hemispheric cooperation. In reaching that conclusion, we had in mind the desirability of selecting a site that would be near the New York money market and existing banking and financial institutions, including the International Bank for Reconstruction and Development, the International Monetary Fund, and the Export-Import Bank of Washington.³

I know that you share my deep personal interest in supporting measures which contribute to the general welfare of all of the people of this hemisphere. I look forward to the continued association of our two nations in such important projects as the Inter-American Development Bank as a means of achieving the objectives we consider essential to the peace and prosperity of the Americas.

Thank you for making your views known to me in such a friendly fashion; I hope that you will not hesitate to communicate with me in a similar manner in the future.

Sincerely,

Dwight D. Eisenhower

³Department circular telegram 1092 to all diplomatic missions in Latin America, dated March 26, 1959, discussing the location of the Bank, stated that a U.S. site would facilitate the sale of bonds necessary to increase the Bank's resources in the future. (810.10/3-2659)

ETA-24. Editorial Note

The Articles of Agreement establishing the Inter-American Development Bank were formulated and signed on April 8, 1959, by representatives of the United States and the twenty other American

Republics which were members of the Organization of American States (OAS). For text of the Articles, see United States Treaties and Other International Agreements (UST), volume 10 (part 3), page 3029. The United States became a member of the Bank under authority of the Inter-American Development, Bank Act (Public Law 86–147), approved by Congress on August 7, 1959 (73 Stat. 299), and deposited its instrument of acceptance with the General Secretariat of the OAS on October 14, 1959. On the following day, in circular telegram 486, the Secretary of State instructed all missions in Latin America, if they perceived no objection, to approach the Foreign Office in their respective countries “at the highest appropriate level” calling attention to the United States deposit of instruments, to convey the friendly interest of the United States in the successful realization of the project, and to remind them that the deadline for ratification was December 31, 1959. (398.14/11–1859) The Articles of Agreement entered into force for the United States on December 30, 1959. Subsequently, the Bank held its organization meeting in San Salvador, El Salvador, February 3–16, 1960. Documents pertaining to the meeting and the procedural aspects of initiating the Bank’s operations are located in OAS Files, Lot 60 D 665, and Conference Files, Lot 64 D 559, CF 1590–1591.

ETA-25. Memorandum from the Assistant Secretary of State for Economic Affairs (Mann) to the Acting Secretary of State¹

Washington, August 5, 1959.

SUBJECT

U. S. Policy Toward the Proposed Central American Economic Community.

I concur in ARA’s attached memorandum of August 4 subject to these comments:

We have reached agreement with Treasury that the costs of transition and initial development in a Central American common market can be financed by the DLF on a project basis in cooperation with a “community fund” which can do planning and act as a sponsor of development loan applications. I personally think this is not a bad arrangement and in some ways is preferable to setting up a new

¹ Source: Department of State, ARA/REA Files, Lot 63 D 211, “Common Market 1959.” Confidential. Drafted by Mann. The source text is an unsigned carbon copy.

development corporation at this time. The question of whether it may *later* be decided by the Central Americans to set up a separate development institution to borrow money and make loans on its own account is not foreclosed at this time. The only issue is whether we should make a commitment to finance through the DLF, sound projects totaling \$15 million per country or whether we should say orally something like this:

"The DLF does not ear-mark its funds and the availability of its funds is dependent on annual appropriations by the Congress. So official commitment can therefore be made. However the Department will recommend to the DLF Board that sound projects facilitating transition and economic development in a new trading community based upon GATT principles will be approved up to a level of \$15 million per country. This figure should not be considered as a calling if sound projects are presented in excess of that amount. The speaker therefore suggests it would be prudent for Central American planning to take into account this attitude of the Department of State."

If it is possible for the DLF to make a commitment of the kind which Mr. Rubottom suggests, this would be frosting on the cake. If not, I believe I could sell the alternative approach to Salvador, Honduras and Guatemala which currently appear to be the possibilities.

Attachment

Memorandum from the Assistant Secretary of State for Inter-American Affairs (Rubottom) and the Assistant Secretary of State for Economic Affairs (Mann) to the Acting Secretary of State²

Washington, August 4, 1959.

SUBJECT

Central American Common Market

Discussions

In recent months, the United States Government has left the impression throughout Central America that it would like to see the countries in this area form a real common market and that the United

² Confidential. Drafted by Turkel and John L. Gawf, Officer in Charge of El Salvadoran and Honduran Affairs, Office of Central American and Panamanian Affairs.

States is willing to contribute material as well as moral support to this end. Unfortunately, we have not as yet made much progress toward fulfilling these expectations, and our continued failure to offer anything tangible in the way of assistance can be expected to result in a widespread feeling of disillusionment which will adversely affect the whole range of our relationships with the countries concerned. We are already faced with a rising tide of unrest, much of it of economic origin, throughout the entire Caribbean area. It would be most unfortunate indeed if the present political turmoil were to be further intensified by a reaction of disillusionment toward the United States Government over the apparent reversal of a policy which we have so clearly endorsed.

The following chronically outlines the principal policy statements which have created this impression:

1. On *November 18, 1958* you stated before the Committee of 21: "We have also supported a free-trade area in Central America. We have also made it clear that we are prepared, through the Export-Import Bank, to consider the dollar financing required by sound regional industries in Latin America."³

2. On *November 27, 1958* Dr. Milton Eisenhower's report recommended that the United States "participation with the five republics of Central America, and Panama, if possible, in a regional conference, either at the enterprise, and private industrial enterprises, to take a positive approach in helping Central America and Panama to the end that new industries, guaranteed from across to the entire market of the participating countries, would be established."⁴

3. In *February, 1958* Messers. Frank and Turkel visited all the Governments of Central America⁵ and stated that the United States desired to see a real forward-looking, trade-creating common market in Central America and was prepared to lend material as well as support to bring it about rapidly. They urged starting with two or three countries and then expanding it to five or six. The Frank-Turkel mission aroused a tremendous amount of enthusiasm and the United

³ For the full text of Under Secretary Dillon's statement before the Committee of 21, see Department of State *Bulletin*, Doc. 8, 1958, pp. 918–922.

⁴ For the full text of the referenced Report to the President on United States-Latin American Relations, 1953–1958, see *ibid.*, January 19, 1959, pp. 89–105.

⁵ The fact-finding mission conducted by Harry Turkel and Isaiah Frank to survey the feasibility of providing U.S. assistance for the establishment of a Central American common market took place between February 9 and March 4, 1959. They subsequently reported to the Department of State that the time was propitious for a decisive effort to achieve a true Central American common market, starting with perhaps two or three countries.

States was asked to provide the countries with an outline embodying the United States Government's suggestions as to the form this organization might take. We have agreed to provide this outline.

4. At the close of the State Visit of the President of the El Salvador on *March 23, 1959*, a joint statement of President Lemus and President Eisenhower was made that they agreed that a Central American common market "costs make a significant contribution to the stimulation of capital investment in these nations and to the steady improvement of the welfare of the people. This subject will receive continued study by the two Governments with a view to taking approximate action to carry on these sound plans already contemplated."⁶

The discussion between the two Presidents was even more enthusiastic than [illegible in the original] from the press release.⁷

Our immediate difficulty in carrying out the policy thus enunciated is in obtaining Treasury's concurrence in the paper we are preparing for distribution to the five Central American countries, outlining in very general terms to steps that should be taken to form a common market. One of the principal issues with Treasury was whether we would recommend the formation of a new Central American economic development institution. To get a present to have agreed on a "Community Fund" whose job it would be to facilitate the adjustment of the economies of the member states to the new common market conditions. This fund would derive resources from a fraction of the [illegible in the original] revenues of the member states, but these will obviously be inadequate to cope with the need for economic development.

We consider it essential that a [illegible in the original] of basic economic development projects proceed concurrently with the transition to an integrated economy. Moreover, we feel that it will be necessary to give the governments concerned [illegible in the original] definite advance indication that U.S. financial assistance will be available for this purpose; otherwise, the current integration effort will never get off the ground.

Treasury has suggested that we tell our embassies that if any of the governments concerned express disappointment over the absence of

⁶ President Lemus visited the United States, March 10–21, 1959. For the text of his joint statement with President Eisenhower issued at the end of his stay in Washington, see Department of State *Bulletin*, April 6, 1959, pp. 478–479. For additional documentation on his visit, see Documents ES–4–5.

⁷ The referenced conversation took place at the White House on March 11; a memorandum of that conversation, drafted by Assistant Secretary Rubottom is printed as Document ES–6.

any commitment or indication of U.S. financial assistance in the paper we submit to them, the Embassy should say that we contemplate that the DLF will work closely with the Community Fund and would give priority consideration to requests for financing sound development projects including joint projects.

Both ARA and I feel that this line is inadequate to deal with the expectations our policy statements have aroused. In order to effectively carry out policy of supporting Central American Integration, we will need to finance projects accounting to about \$15 million per country with the possibility that this might be exceeded if sound projects totaling more than this sum were submitted. It is not proposed that any new regional Fund be established; however, it is felt that the time has come for us to make concrete commitments to finance sound development projects related to the integration effort from existing appropriations as through existing agencies.

Within the Governments of the Central American countries enthusiasm for economic integration is high. Its need has been felt for a long time. ARA has been active in the area and has taken some steps toward furthering the integration effort although in a manner which we regard as unsatisfactory. Even if we do not take this opportunity to lead and guide this movement, it is very likely that it may find other means of proceeding, but in a way which would be instrumental to United States interests as well as in the long-term interests of the countries themselves.

Recommendations:

That you discuss this matter with the Treasury Department with a view to obtaining, *in line* of a Central American Development Fund, (1) agreement that the U.S. will sympathetically consider the financing of sound development projects relating the integration effort, in the amount of approximately \$15 million per country, and (2) Treasury's concurrence in making this position known in a note of transmittal to the governments concerned when the proposed recommends is sent.

**ETA-26. Memorandum of Conversation, by the Chief of the
Commercial Policy Branch, Office of International Trade
(Fishburne)¹**

Washington, November 18, 1959.

SUBJECT

Economic Integration in Latin America

PARTICIPANTS

Dr. Raul Prebisch, Executive Secretary of ECLA

Dr. Esteban Ilovich, Chief of Commercial Policy Division of ECLA

Mr. Milic Kybal, Director of Washington Office of ECLA

E - Mr. Mann

OT - Mr. Hadraba

CPT - Mr. Fishburne

After a few words of welcome, Mr. Mann asked Dr. Prebisch to indicate what he would like to take up in particular as the topic of discussion during the meeting. Dr. Prebisch said that he wanted to discuss regional economic integration in Latin America and was especially interested in the views of Mr. Mann as to the merits of an over-all approach to economic integration as contrasted with a subregional approach. His own feeling, he said, was that the subregional approach might prove to be detrimental to the formation of an over-all Latin American Common Market. He did, however, make an exception for the Central American countries since they are already fairly closely knit and have a long history of attempting to attain economic integration. He based his objection to the subregional approach on the fact that the market in a subregion is not large enough for the growth of efficient industry, and protection would inevitably grow up on manufactured products, such as automobiles.

Mr. Mann said that experience in Europe so far has been contrary to the idea expressed by Dr. Prebisch. He cited the example of Benelux, which is being integrated successfully into the European Economic Community. He said that if a subregional group started out with the proper concept of the advantages of competition, it would be easy for that group to make the transition into the larger market; on the contrary, if the group started out with protectionist ideas, further integration would be very difficult.

Mr. Mann said that we have given encouragement to the Central American countries to make a start on economic integration even if less than all are ready to make a start. He said that we agree that it would be best for all five countries to act together; but if that is politically

¹ Source: Department of State, Central Files, 820.00/11-1859. Official Use Only.

impossible, then the smaller number could make a start and set up their arrangements by consultation in such a way that the other countries could join later.

Dr. Prebisch said that ECLA had been requested to prepare a list of products on which trade barriers should be reduced in the first step toward Central American economic integration in mid-1960.

Mr. Kybal remarked that some sectors of United States public opinion apparently fear that a Latin American common market might have a trade diverting effect. Mr. Mann agreed that protectionist sentiment exists in the United States and that there is some fear that regional economic integration movements may harm the export trade of the United States. He said that we realize that there will be future trade benefits from regional common markets (e.g., the European Economic Community); there is a feeling, however, that the short-term results may not be beneficial to the United States. It is important that regional arrangements be nondiscriminatory and outward-looking.

Dr. Prebisch said that the Latin American countries will import all the goods they can pay for, so the United States need not fear a reduction of exports to Latin America because of any effects of regional economic integration. He said that, with good fiscal, trade and monetary policies, Latin America in a few years would be able to pay for its own development. He said that if Latin America set up its own automobile industry, over-all purchases from the United States would not decline but the pattern of imports would, of course, change.

Mr. Mann said that it would be wrong to create an artificial or uneconomic industry in automobiles or any other product that could never compete.

In reply to Dr. Prebisch's remark that a subregional group might be too small, Mr. Mann said that we should not be concerned about the size of the initial group—only that it be outward-looking and based on the idea of competition. He said that the division of the world into a number of discriminatory blocs is contrary to the over-all multilateral principles of the GATT which we believe in. He said that in Latin America we are concerned over the population growth and believe that the formation of a true common market in Latin America can help solve the economic problems connected with fast population growth.

Mr. Mann then asked Dr. Prebisch what he thought, of the idea of an inter-American common market as suggested by Senator Mansfield.² Dr. Prebisch said he did not believe public opinion either in Latin America or in the United States was prepared for such integration. He said that, in any such arrangement, Latin America would insist upon

² Senator Mike Mansfield (D-Mont.) prepared the formation of a common market for North and South America in a letter to Secretary Herter which was related to the press on October 31, 1959.

free access to the United States and Canadian markets but would not be prepared to give the United States and Canada anything better than preferential tariff rates. Mr. Mann remarked that this would be contrary to the GATT.

ETA-27. Letter from the Acting Assistant Secretary of State for Congressional Relations (Hogland) to Senator Thomas H. Kuchel.¹

Washington, December 24, 1959.

Dear Senator Kuchel:

I read with interest your letter of December 1, 1959 to Under Secretary Dillon,² regarding stabilization programs in Latin America in which the United States Government participates in cooperation with international institutions and private banking groups.

In general such programs have achieved a substantial degree of success in arresting inflation in Latin America and creating a firm basis for sound economic development. There now exist nine such programs in operation. The countries involved are: Argentina, Bolivia, Chile, Colombia, Haiti, Honduras, Mexico, Paraguay and Peru. Several additional programs are now under active consideration. In your letter you state that Uruguay had decided not to participate in any stabilization program under the International Monetary Fund. Actually, the country in this case was not Uruguay but Brazil.

The information you request on the stabilization programs for Argentina, Bolivia, Colombia and Paraguay is given in some detail in the enclosure. I hope that this information will meet your request. Since the financial affairs of other governments, international organizations and private banks are involved, the material in the enclosure is not intended for public use.

Sincerely yours,

John S. Hogland 2d

Acting Assistant Secretary for Congressional Relations

¹ Source: Department of State, Central Files, 820.10/12-159. This letter and the enclosed statement were drafted by Albert Post, Financial Adviser in the Office of Inter-American Regional Economic Affairs, and cleared with the Bureau of Economic Affairs.

² Not printed. (320.10/12-159)

Enclosure**Statement Prepared in the Office of Inter-American
Regional Economic Affairs***ARGENTINA*

In December 1958, the United States Government, private financial institutions and the International Monetary Fund announced credits of \$329 million to assist Argentina in its efforts to achieve financial stabilization and economic development. This program, according to the Eximbank, was one of the most comprehensive financial operations ever undertaken by the United States in Latin America. The \$329 million of credits were broken down as follows: \$125 million from the Eximbank of which \$100 million was to be used to finance purchases from the United States of equipment for economic development projects, and the remaining \$25 million was to be used to maintain the flow of essential imports from the U.S. during 1959; a \$25 million loan from a consortium of U.S. private commercial banks to meet short term financial requirements; a \$50 million exchange agreement from the United States Treasury through the Exchange Stabilization Fund; a \$25 million loan from the Development Loan Fund; and a \$75 million standby arrangement with the International Monetary Fund. Previously the Argentine government had arranged with the members of the Paris Club (West Germany, Austria, Belgium, Denmark, Italy, Great Britain, France, Norway, Sweden, Switzerland and The Netherlands) for substantial credits in order to deal with its commercial arrearages with those countries. An arrangement was made whereby Argentina funded debts owed to those countries, amounting to about \$450 million, and was permitted to repay them over a period of 10 years; debts to Japan were included in these arrangements.

The \$329 million of loans was made because Argentina agreed to a full stabilization program with the International Monetary Fund. At the time those loans were made the Argentina international payments position was critical with gross foreign exchange reserves down to a historic low of \$129 million compared with \$286 million at the end of 1957, \$382 million at the end of 1956, \$457 million at the end of 1955 and \$524 million at the end of 1954. In addition, because of heavy fiscal deficits and virtually uncontrolled credit expansion, the price level in 1958 rose by 32% while production actually declined. Under the International Monetary Fund stabilization program the Argentine government committed itself to extensive alterations in its financial and economic system and import and exchange controls were almost abolished and a single fluctuating exchange rate was established; the budgetary deficit

was to be substantially reduced by the curtailment of expenditures and the imposition of new taxes and other sources of revenue; commercial bank credit was to be limited and at the same time internal subsidies which had distorted the price structure were to be eliminated. As a consequence of these radical steps which were necessary to eliminate distortions in the economy, there was a sharp upward movement in prices during 1959 because of the depreciation of the exchange rate, the dropping of subsidy payments on basic articles of consumption, and the continued necessity to increase wage rates. As a result the cost of living increased by 75% during the first six months of 1959. However, once the initial adjustments in the price structure were made and the budgetary situation improved, there was a noticeable tendency toward price stability. In July and August 1959 the cost of living increased by 3.5% per month and the October increase was only 6%. The wholesale price index began to decline in September. The government was also able to keep new wage increases to relatively moderate levels. With these a signs of stability, there was an inflow of private capital and the foreign reserves of the Central Bank doubled in the four months July—October. By the end of October 1959 exchange reserves were up to \$344 million gross. During 1959 money supply increased at a lower rate than the previous year despite the increase in foreign reserves and the free rate of exchange fluctuated between 80/85 pesos per dollar. At the same time the Argentine government entered into large scale contracts with foreign petroleum companies for the production of oil in Argentina and it is envisaged that by 1961 Argentina will be about self-sufficient in that product, thereby saving almost \$250 million of import requirements per year.

All indications are that per capita national income in 1959 will be somewhat less than 1958 but exceed the level of 1957. A large part of this decline probably results from losses of production through strikes against government efforts to maintain wage levels in face of rising prices, but these strikes have lately diminished in number and intensity. The national budget of Argentina in 1959 had a deficit of about one half that of 1958; a large part of this reduction came from raising rates for public services, such as, railroad fares, post office services, telephone rates, etc. While there is still a budgetary gap a strong effort will be made to obtain balance in 1960.

The stabilization program for 1960 has now been approved by the International Monetary Fund which on December 2, 1959 made available a standby of \$100 million to Argentina. Since that country had only actually drawn about \$40 million of the previous standby of \$75 million, in effect, this involved making available \$65 million of new funds. Under the International Monetary Fund standby Argentina committed itself to balance the budget of the central government although it was

recognized that there would be a deficit in the overall public sector accounts; that deficit was to be covered by non-inflationary borrowing. Ceilings are set on the level of domestic assets of the Central Bank and a prudent policy was to be maintained with regard to bank credits to the private sector. The existing single fluctuating exchange is to be continued.

In addition to the International Monetary Fund standby fund, Argentina is attempting to secure credits from the other participants of the previous loan package arrangement. The Western European countries probably will make available between \$75/80 million of which about \$50 million will be used to cover debt payments under the Parle Club refunding plans so that the new money will come to about \$25/30 million. Commercial banks in New York City have been approached by the Argentines and they may make available about \$50 million or more. Of this amount some \$41 million would have to be used to repay maturing commercial bank credits during 1960. Also, the Eximbank and the Development Loan Fund may make financial facilities available to Argentina. It is understood that the above loans are in various stages of negotiations.

BOLIVIA

As a result of balance of payments deficits which exhausted Bolivia's foreign exchange reserves and a hyper-inflation which created social unrest and a reduced standard of living, discussions were begun in 1954 looking toward stabilization effort. In December 1956 the International Monetary Fund provided \$7.5 million to support a stabilization program which included a grant of \$10 million from ICA in the form of procurement authorizations and a cash grant subject to the supervision of the United States Operations Mission in Bolivia. In addition, the United States Treasury made available to Bolivia an exchange agreement of \$7.5 million. This joint program required the unification of the exchange rate at a realistic level, an attempt to balance government expenditures and receipts in order to eliminate inflationary financing from the Central Bank, a reduction in bank credit expansion, and the removal of all economic controls and subsidies except for a wage and salary freeze. Prior to the beginning of the stabilization program the United States Government had given emergency grant aid to Bolivia amounting to \$22.6 million in 1955 (of which \$14.6 million was in PL 480 agricultural surpluses) and \$23 million in 1956. Since the stabilization program has begun the United States Government through the ICA has continued its grant program in the amount of \$22.6 million in 1957, \$21.5 million in 1958 and about \$21 million in 1959. The stabilization program has been in continuous

operation since December 1956 and an International Monetary Fund representative is resident in La Paz.

The stabilization program has been carried out with a considerable degree of success considering the magnitude of the problems and recent political history since 1952. The single rate of exchange has been fairly stable at about 12,000 Bolivianos to the dollar; the cost of living which rose by 178% during the year before the stabilization program began, has increased by only about 20% in the past two years; the government has followed an austerity plan in its expenditures and has made some progress in its credit restrictions. However, the financial situation began to deteriorate again in the middle of 1958 when pressures for wage increases resulted in numerous strikes and higher public expenditures; at the same time public sector financial deficits increased. Early in 1959 a revised standby agreement was negotiated with the International Monetary Fund but the Bolivian government has had some difficulty in complying with some of its provisions. The basic difficulty was the government's unwillingness to discontinue price subsidies in commissaries operated by the nationalized mines, which were creating a heavy financial burden. After considerable negotiation in which the United States Government supported the International Monetary Fund's position, the commissary price issue was finally resolved and a new standby agreement concluded in May 1959. This standby is still in force.

Under the stabilization agreement of May 1959, Bolivia was given a further drawing of \$1.5 million by the International Monetary Fund and to date has drawn \$0.2 million of this amount. ICA grant assistance has continued in the amounts indicated above and it is believed that it may be possible to taper off grant aid over the next years. The fundamental problem in Bolivia has been that production of the basic export product, tin, has declined as a result of nationalization of the mines, antiquated equipment, and worker indiscipline, so that foreign exchange earnings have fallen off drastically from a total of \$150 million in 1951 to \$64 million in 1959. At the same time, weak international markets for non-ferrous minerals have aggravated the problem, efforts to diversify the export economy have been not very successful in view of the political unrest, low level of income, large scale illiteracy, great transportation problems, and the limitations of domestic resources.

COLOMBIA

As a result of excessive imports, heavy government expenditures, and a sharp decline in the price of coffee, the new democratic Government of Colombia which took over in 1957 found that it had inherited accumulated commercial arrearages to foreigners of

\$450 million, an inflated budget, and a greatly reduced foreign income. Efforts to renegotiate the commercial arrearages had been made by the previous Rojas Pinilla government but the further decline in coffee income created a burden which the new government believed was too heavy. Therefore, in June 1957 a standby agreement was entered into with the International Monetary Fund which made available Fund drawings of \$25 million. Under this standby agreement the Colombian government committed itself to policies which would limit rediscount facilities to private commercial banks, devalue the Colombian peso to a more realistic level, reduce the budgetary deficit, and set aside funds for the liquidation of the commercial arrearages. In July the Eximbank showed its support for this program by granting a credit for \$60 million and at about the same time commercial banks in New York made available a credit line of \$27 million. Under this program Colombia has been able to liquidate a large part of its commercial arrearages and to reduce its imports from about \$60 million per month in 1954 through 1956 to a level of about \$30 million in 1958.

There have been two renewals of the standby agreement with the International Monetary Fund since the date of the original program. Under these new programs more specific targets on budgetary expenditures, central bank and private bank credit, and other economic indicators have been set. In general Colombia has achieved a considerable degree of success in adhering to its commitments with the International Monetary Fund. The first renewal in May 1958 made available new credits of \$78 million from the Eximbank and \$25 million from private commercial banks in this country. Under the second renewal in November 1959, Colombia obtained drawing rights of \$41 million from the International Monetary Fund and loans of \$25 millions from private United States banks and \$25 million from the Eximbank. Colombia has managed, despite the reduction in export income of between \$580 million to \$657 million annually during the period 1953 through 1956 to only \$460 million in 1958, to repay a large part of its commercial arrearages and to accumulate a modest amount of international reserves. It is estimated that the overall Colombian payments position has improved by about \$300 million since the beginning of the stabilization arrangements. The loans made available by the Eximbank were and are used for export of United States produced equipment to Colombia. In addition, under the authority of Public Law 480, agricultural surpluses valued at \$6.5 million (March 1958) and \$31.6 million (October 1959) are being supplied to Colombia.

PARAGUAY

In March 1956 the Paraguayan government made its first real effort to cope with an inflation which had raised the cost of living nine-fold between 1950 and 1956. The Paraguayan currency unit, the Guarani, was devalued to 60 to the dollar from the multiple rates previously existing and a move was made to reduce internal monetary expansion. This program was not successful and in August 1957 a more complete stabilization program was put into effect in cooperation with the International Monetary Fund which made available a standby of \$5.5 million. Since then this standby has been twice renewed and now expires in August 1960. To date Paraguay has drawn a net amount of \$2.75 million under the International Monetary Fund standby arrangements, making available a total of \$2.75 million which can still be drawn.

Under its agreement with the International Monetary Fund Paraguay devalued the guarani to about 12C to the dollar and set up a unified free exchange system. Internal stabilization measures were put into effect involving a limitation on Central Bank advances to the government and the private sector and the curtailment of credit by the commercial banks. As a result of these stabilization policies the rate of monetary expansion was reduced from an average of about 70% per annum from 1946 through 1955 to about 20% in 1958 and about 3% for the first nine months of 1959. The cost of living only increased by about 3% in 1958. Production and investment have shown moderate increases since 1957 as compared with the stagnation of the pre-stabilization period. Export income has increased and there has been a modest improvement in the foreign exchange position of the country. Gold and dollar reserves which were virtually non-existent in 1956 are now at about \$3 million. In the past few months, however, there has been some deterioration in the internal financial situation owing to an undue expansion of Central Bank credit. An International Monetary Fund Mission is now in Paraguay discussing this matter with Paraguayan officials in an effort to bring that government to closer conformity with the stabilization objectives.

The United States Government has not participated in this program directly on a financial basis although it has made available economic development credits through the Development Loan Fund. Under Public Law 480, Paraguay has received \$2.9 million of agricultural surpluses by an agreement signed in May 1956.

ETA-28. Memorandum from the Director of the Office of Inter-American Regional Economic Affairs (Turkel) to the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, January 7, 1960.

SUBJECT

Our Economic Analyses in a Nutshell.²

Argentina. An intense financial stabilization effort has improved the balance of payments situation but led to large increase in cost of living and fall in industrial production. Outlook for 1960 is for some economic improvement over 1959 with greater price stability and some revival in industrial and agricultural output.

Bolivia. A higher tin quota and prospects for increased output of oil and other minerals (including gold) give grounds for expecting further modest improvement in economic conditions. This is subject, however, to the continuation of a relatively stable political situation. On the assumption of the continuation of present trends it should be possible to make a further gradual reduction in U.S. aid.

Brazil. Although 1939 saw largest inflation since war, balance of payments improved owing to excellent coffee export volume and some curtailment imports. Economic expansion appears to have continued. Expect international payments problem will again become urgent about April–May 1960 as reserves are modest.

Chile. Owing to good copper prices and strikes abroad, has accumulated sizeable dollar reserves. For first time in number of years, 1939 was period of economic growth. Government politics, however, have tended aggravate inflation and failed take advantage of favorable economic climate. As long as copper price is good, Chile will go through 1960 in payments balance but the problem of unbalanced budgets and weak monetary policies will continue inflation.

Colombia. In 1959 economic growth was resumed after declines since 1956. Cautious fiscal and monetary policies and good coffee exports led to payments surplus of \$45 million. For 1960 it is expected that payments situation will not be so bright as imports are increased

¹ Source: Department of State, ARA Files, Lot 62 D 302, "Chron File of Memoranda & Miscellaneous." Official Use Only. Drafted by Post.

² A hand-written notation on the source text by Assistant Secretary Rubottom reads as follows: "Thanks. Very useful."

to continue expansion in production. However, adequate financial reserves are available to meet Colombian external needs.

Costa Rica. Despite weak coffee prices, managed to maintain adequate reserve position because of large coffee crop. Government has conservative financial policies. In 1960 lower export income likely to require continued caution, if payments equilibrium is to be obtained.

Cuba. Deterioration in 1959 was general with between 5 and 10 per cent decline in national income and foreign payments deficit of over \$50 million. For 1960, outlook is unfavorable as Government increases controls over economy and resultant uncertainties. National income is expected to stagnate and by next August—September an external payments crisis may shape up.

Dominican Republic. 1960 was the poorest economic year since the end of the war on top of which Government faced heavy defense burdens. If GCDR follow IMF stabilization program some improvement may be expected since outlook for export crops is better. Heavy foreign debt limits flexibility of Government and public works expenditures cannot be too sharply curtailed.

Ecuador. Overall improvement noticeable in economy in 1959 with production, exports, and foreign reserves up. Important in 1960 for GOE to resist pressures from businessmen for expansionary monetary policies which would threaten steady expansion of economy over past decade.

El Salvador. During 1959 large increases in production compensated for coffee price weakness. The economy is stable and well managed and no problems on that score envisaged for 1960.

Guatemala. Continued lax monetary policies and budgetary deficits with declining exports, led to a \$15 million payments deficit in 1959 and a fall in dollar reserves from \$74 million in 1956 to \$30 million in 1959. The GOG has already imposed import restrictions and limited bank credit so that in 1960 the payments deficit is expected to be reduced to \$5 million. *Continued* effort, however, will be needed to achieve this objective.

Haiti. 1959 was one of the most disastrous years in the economic history of Haiti. A coffee crop of 50 percent of normal and government overspending in face of low tax revenues, led to an intensified stabilization program backed by \$6 million of U.S. special grant aid. For 1960 a great improvement is expected, with a record high coffee crop and Haiti should actually accumulate dollar reserves and have a 5% increase in national income.

Honduras. Economic stagnation, marked by declining banana production, was a basic problem in 1959. An IMF program was worked out which has achieved budgetary balance and stopped the decline

in dollar reserves. However, the picture is gloomy for 1960; further retrenchment may be necessary and the GOH will have to reduce its fiscal budget for the year. New investment for electric power from the IBRD may be helpful.

Mexico. While there was a general economic improvement in 1959 over the bad year of 1958, it has been very limited. Economic growth has been slowed down or even stopped and imports sharply reduced as export markets for cotton and Mexican, non-ferrous metals have been weak. The GOM faces the problem of resuming economic expansion in 1960 in face of failure to increase foreign income. Although foreign exchange reserves have grown, they are inadequate to support a large increase in investment without improvement in demand for Mexican exports.

Nicaragua. With somewhat improved exports and production; balance of payments showed modest improvement in 1959. *Expected that 1960 may be difficult year with cotton export availabilities down so that may have to turn to IMF for financial assistance.* U.S. loan to Central Bank should alleviate situation.

Panama. Economic deterioration and unemployment are important problems. Large fiscal deficits and inadequate taxes have caused some loss in dollar reserves. *Outlook for 1960 is for no significant change with GOP being pressed for funds and structural problems continuing.*

Paraguay. Modest improvement in balance of payments occurred during 1959 but national income not increasing. Government controls still hampering production, stabilization program has achieved financial objectives but without elimination state controls and additional investment, expected that 1960 will see continuation 1959 conditions.

Peru. As result of drastic reduction imports obtained balance of payments surplus of about \$15 million in 1959 compared with deficits for two previous years. Global output probably declined in 1959. Major problem for 1960 will be budgetary equilibrium. *With exports likely to expand owing to new copper production facilities balance of payments situation should continue to improve in 1960.*

Uruguay. A record payments deficit (\$50 million) is expected in 1959 because of lack of export products and unwise state intervention in the economy. Very likely national income shows a sizeable decline in year. *No significant improvement may be anticipated in 1960 as the GOU has not yet shown desire to cope with its difficult economic problems or invite IMF advice.*

Venezuela. Owing to economic and political uncertainties there was a sharp run on the bolivar, and dollar reserves fell by \$400 million in 1959. Official announcements unfriendly to the private oil industry

have dried up capital inflows, while budgetary and monetary policies have had adverse impacts. *The drain on dollar reserves should slow down to manageable proportions in 1960 as long as the GOV follows sound policies and makes a real effort to deal with its internal problems. The outlook, however, is not too good for any revival of economic growth.*

ETA-29. Memorandum from the Director of the Office of Inter-American Regional Economic Affairs (Turkel) to the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, February 5, 1960.

SUBJECT

Discussion at Secretary's Staff Conference—February 5, 1960

I feel that you should be aware of the following points that came up at the Secretary's staff conference on February 5.²

[Here follows discussion of two matters unrelated to U.S. loan activities in Latin America.]

3. I stated that my colleagues on IA-ECOSOC yesterday had referred to the February 4 front page article in the New York Times by Kenworthy³ stating that U.S. aid to India would increase from \$150–170 million per year to \$250–300 million per year but without any increase in the total. They said if this is so, obviously the priorities of other participants must be reduced. Is this our support for Operation Pan America?

I said that I did not know about the alleged [illegible in the original] or the accuracy of the article. My Brazilian colleague said that the Brazilian Ambassador at the Pan American Society had recently stated that Latin America had participated in DLF funds to the extent of only 7-1/2%. He added that if you eliminate the Argentine participation, which [illegible in the original] a stabilization loan, the real participation was around 5%.

¹ Source: Department of State, ARA Files, Lot 62 D 302, "Chron File of Memoranda & Miscellaneous." Official Use Only. Drafted by Turkel.

² The record of the Secretary's staff meeting, held at 9:15 a.m. on February 5, drafted by John A. Calhoun, Director of the Executive Secretariat, contains a brief mention of the subject dealt with in this memorandum. (Secretary's Staff Meetings, Lot 63 D 75)

³ E.W. Kenworthy.

I said to the Secretary that I had looked into the matter and found there were two reasons for the low participation. Latin America had not submitted many worthwhile projects and the second reason was that they got a low priority since there was a general feeling that they were much more creditworthy than other areas and should have applied to the Eximbank. In any case, I stated, it was an unfortunate article to come out on the eve of the President's departure to Latin America.

The Secretary stated that it should not be forgotten that Latin America gets a very high percentage of Eximbank loans. Was that not so?

I responded that normally Latin America does get a high percentage; about 40% of all Eximbank loans. However, the level of loans in 1958 was about \$477 million (because it was a year of many stabilization loans) but had dropped in 1950 to some \$233 million. I added that I thought the outlook was not good since the President's Annual Economic Report shows that it is expected this decline will continue and the justification is that the Inter-American Bank will shortly come into operation. The only trouble with this is that it would actually take quite a long time for the Inter-American Bank to begin making a significant contribution to the economic development of the Hemisphere and thus we were faced with the immediate problem of securing a higher priority for Latin America in the operations of DLF.

**ETA-30. Memorandum of Conversation, by Albert Post of the
Office of Inter-American Regional Economic Affairs¹**

Washington, March 18, 1960.

SUBJECT

Courtesy Call by Mr. Felipe Herrera on the Under Secretary.

PARTICIPANTS

The Under Secretary of State
Mr. Felipe Herrera, President, IADB
Mr. Robert Menapace, Executive Vice President, IADB
General Robert Cutler, U.S. Executive Director, IADB
REA – Mr. Albert Post

Mr. Herrera stated that he had come to pay his respects to the Under Secretary and that he had already made a courtesy call on the Secretary of the Treasury, Mr. Anderson. He indicated that he and his

¹ Source: Department of State, Central Files, 371.314/3-1860. Official Use Only.

associates had already been in contact with bankers in New York, the International Bank for Reconstruction and Development, and other organizations that they believe should be contacted for the future operations of the IADB.

Mr. Dillon said that he hoped that the new bank was going to have close cooperative relations with Mr. Black of the IBRD since Mr. Black was wondering how the two institutions would work in the future with regard to loans for Latin America. Mr. Dillon stated that he had informed Mr. Black that he hoped that the two banks could work jointly on some loans with each one taking up a participation. Mr. Herrera thought this was a very good idea since he believed it would increase the prestige of his institution and make available additional financial resources, since the IADB had relatively limited capital.

Mr. Dillon said that he saw the new bank as filling three basic requirements:

1. As an institution which was directly intended to meet Latin American requirements and therefore close to the Latin American scene;
2. As being able to offer technical assistance in the development of projects and plans which could then facilitate loans to individual countries;
3. And, through its Special Fund, being able to assist countries which have a narrow margin of credit-worthiness and which could later cooperate with the new International Development Association.

There was some discussion on the importance of the IADB maintaining a good record on its regular banking loans. Mr. Dillon declared that there might be some problems on such loans if the IBRD and the new bank maintained different standards, but he was sure that there would be a satisfactory way of working things out.

Mr. Herrera said that they were hoping to obtain the U.S. contribution to the Bank's capital funds shortly and that he had discussed the matter with Mr. Anderson. Mr. Dillon said that he understood that the U.S. would make its capital contribution during the next fiscal year but that if there was an adequate cash balance in the Treasury toward the end of this fiscal year part of the U.S. capital would be paid in at that time. Under the legislation, Mr. Dillon indicated, the Administration could pay in the U.S. capital in either of the two fiscal years. Mr. Herrera said he would like to have the U.S. capital paid in because he expected to take a trip to Latin America shortly to discuss arrangements for payment of capital participations by other member countries.

Mr. Menapace and General Cutler said that they had received excellent cooperation from U.S. Government officials in securing space for their new headquarters. General Cutler said that they expected in time to occupy the top four floors of the building at 801 19th Street and that by May 15 two of those floors would be vacated and available for occupancy.

ETA-31. Memorandum of Conversation, by the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, March 31, 1960.

SUBJECT

Financial Assistance for Latin America

PARTICIPANTS

The Under Secretary
Vance Brand, Managing Director, DLF
Assistant Secretary Rubottom

I asked the Under Secretary if I could give a brief outline of my concept of the problem regarding financial assistance to Latin America without going into specific cases, and, on obtaining his favorable reply, I said:

Latin America did exceptionally well from an economic standpoint during World War II and up until the last half of 1956, due largely to the good prices obtained for the raw materials exported; a decline set in in the last half of 1956 which was not arrested until the last half of 1959, this having come about by virtue of improved world market conditions and our own efforts in the commodity field, witness coffee and lead and zinc; most Latin American leaders still adhere to our own belief that investment and loans should be the main source of development capital, plus, of course, their own savings, but the longer we remain in the grant-aid business elsewhere in the world the more we will have to face the factor of the “invidious comparison” since all our efforts to explain the difference have been unsuccessful if we were to face the truth; unless we step up the tempo of loans to Latin America and increase the priority of the DLF in the area, we are almost certain to have amendments added by the Congress requiring that we do certain things in Latin America and we run the risk that certain countries, notably Guatemala, will successfully appeal directly to the Congress for grant aid.

Neither Mr. Dillon nor Mr. Brand voiced any contrary view to the above line. Both said that they felt that more needed to be done for Latin America. Mr. Dillon referred to the recent letter of Graydon Upton to me urging that we try to develop a “flow of funds” chart for Latin America,² showing repayments as well as loan disbursements in view of his fear that this year and in the near future we may on a net basis be lending little if anything to Latin America and this at a time when they need more than ever before.

¹ Source: Department of State, Secretary's Memoranda of Conversations, Lot 64 D 199. Confidential. Drafted by Rubottom, and initialled for approval by Dillon on April 4.

² The reference letter from Graydon Upton was not found in Department of State files.

Some discussion regarding detailed projects in the list prepared by Mr. Rosenson ensued.³ Mr. Brand said that the Honduran project is the only one ripe for decision. Mr. Brand recalled the earlier favorable attitude, as did Mr. Dillon, of President Black of the IBRD toward coordinated IBRD-DLF loan projects in Latin America, an attitude which seems to have changed to negative recently. Mr. Dillon adduced one reason for Mr. Black's change was probably due to his desire that good economics require that the countries themselves furnish the local currency for any projects for which IBRD furnishes the foreign exchange costs. Mr. Brand recalled that DLF had had lengthy discussions with IBRD on their joint road project in Peru. The issue here was one of permitting the Government of Peru to select the U.S. engineering firm of its choice rather than being forced to accept a European engineering firm favored by IBRD whose qualifications did not appear as strong to DLF. It was agreed that this may have been a factor affecting Mr. Black's current attitude.

Mr. Dillon suggested that the problem was a fundamental one and required an additional meeting possibly with Secretary Anderson to which all the pertinent agency heads would be invited.⁴ Messrs. Dillon and Brand agreed with Mr. Rubottom that a stepped-up consideration of viable loan projects in Latin America by any and all U.S. lending agencies, relative to their resources, was essential to improve our relations in the area. Mr. Brand noted that DLF has a positive and constructive attitude toward Latin American loan applications that meet the test of DLF's statutory requirements.

Mr. Dillon suggested that we undertake to prepare the "flow of funds" chart as a part of our campaign to achieve the above objective.⁵

We all agreed that one problem in our loan policies toward Latin America was that we had taken essentially the commercial bankers approach to the area, waiting for applications to come in, while our good relations with these countries now require that we take some initiative in stimulating worthwhile projects for loans.

³ No "list" matching the description here was found with the source text.

⁴ On April 8, 1960, at the request of Assistant Secretary Rubottom, Rosenson prepared a draft letter from Under Secretary Dillon to Secretary Anderson proposing such a meeting. (ARA/REA Files, Lot 62 D 303, "Latin America, General Development and Investment, Feb 1959-June 1960") There is no information in the Department's files, however, indicating that the draft letter was approved and sent out, nor is there any record of a subsequent meeting with Secretary Anderson matching the description here.

⁵ A memorandum entitled "Flow of Public Loan Capital to Latin America" was subsequently prepared by Rosenson under date of March 3. It showed, as of March 31, all loan applications from Latin American countries pending with the Export-Import Bank, the International Bank for Reconstruction and Development, and the Development Loan Fund, and it also gave the total amount of credits authorized during the three year period 1957-1959 by each of these institutions to each country. A copy of Rosenson's memorandum is attached to a memorandum from Rubottom to Dillon, dated May 5, requesting approval to use it as a basis for discussion at a meeting of the National Advisory Committee on Inter-American Affairs scheduled for May 7. (ARA/REA Files, Lot 63 D 210, "National Advisory Committee on Inter-American Affairs")

ETA-32. Memorandum from the Acting Secretary of State to the President¹

Washington, May 17, 1960.

SUBJECT

Inter-American Development Bank

Regarding your question concerning the desirability of increasing the funds which we supply to the Inter-American Bank, I have been giving thought to this matter for some time.² It seems clear that in one way or another we should increase our flow of capital to Latin America. It also seems probable that the supply, of ordinary hard loans available from the Export-Import Bank and the World Bank is substantially adequate to meet the demand for this type of loan. The problem is to find more funds for use on a flexible basis as is possible through our own Development Loan Fund, or through the Special Fund of the Inter-American Bank. The use of the Development Loan Fund in Latin America has been complicated by the necessity of avoiding any appearance of competition with the Export-Import Bank. For this reason I agree that it would be better to use the Inter-American Bank as a channel for additional funds.

I mentioned this as a possibility at last meeting of the National Advisory Committee on Inter-American Affairs, and the suggestion seemed to root with general favor. Since the Inter-American Bank is only beginning to get organized and will not be fully under way until fiscal year 1962, it is not yet practical to do anything about this. However, it would seem to me to be both appropriate and advisable to request extra funds for this purpose in the next budget. If we make this decision and it should seem advisable to do so we could inform the Latin American countries of our intentions at the meeting of the Committee of Twenty One which is scheduled for August.³

I do not feel that this course of action should result in a reduction in the request for funds for the Development Loan Fund. The Development Loan Fund has used less than 10 percent of its funds for Latin America and the needs of the underdeveloped countries in Asia, and Africa at the very least will require the \$700 million which

¹ Source: Department of State, Central Files, 371.814/5-1060. Official Use Only. Drafted by Dillon.

² A memorandum from President Eisenhower to Under Secretary Dillon, sent through and noted by Secretary of State Herter, dated May 10, 1960, reads as follows: "In view of the importance we attach to the Inter-American Bank and the desirability (I assume) of keeping the Development Loan Fund out of this area, why would it not be a good idea to transfer some of the capital we have been contemplating for the DLF to the Inter-American Bank" (371.814/5-1060)

³ Reference is to the Third Meeting of the Committee of 21, held in Bogotá, Colombia, September 5-13, 1960; for documentation, see Documents ETA-32-34, 38, 42-44, 47-49, 55; GT-31; HA-29; NI-11.

we requested this year. If we do not recommend additional funds for the Inter-American Bank I think our request for the Development Loan Fund should be increased by \$150 to \$200 million for the specific purpose of increasing its efforts in Latin America. In the overall Mutual Security Program this increase would be offset at least to some extent by continued reductions in our front aid programs.

I discussed this briefly with Secretary Anderson some time ago and I will now pursue the subject further with him⁴ and keep you advised.⁵

DOUGLAS DILLON

⁴ Under Secretary Dillon summarized the content of this memorandum in a telephone conversation with Secretary Anderson on May 18, at 10:20 a.m. (Secretary's Memoranda of Conversations. Lot 64 D 199)

⁵ A memorandum from the President's Staff Secretary, Brig. Gen. Goodpaster, to under Secretary Dillon, dated May 24, reads as follows: "The President has received your memorandum of May 17, 1960 on 'Inter-American Development Bank.' He asked me to tell you that he agrees generally that it would be better to use the Inter-American Bank, rather than the Development Loan Fund, for soft loans in Latin America." (Eisenhower Library, Whitman File, Dulles-Herter Series)

ETA-33. Memorandum from the Assistant Secretary of State for Policy Planning (Smith) to the Acting Secretary of State¹

Washington, July 5, 1960.

SUBJECT

Possible New Initiative to Reflect President Eisenhower's Concerns Expressed at the NSC meeting on June 30, 1960.²

There is attached a rough draft describing a possible political initiative which I believe reflects the President's mood as stated in the NSC last week.

¹ Source: Department of State, PPS Files, Lot 67 D 548, "American Republics 1960-1961." Confidential.

² At the 449th meeting of the NSC on June 30, President Eisenhower expressed his concern about conditions causing social unrest and political instability in many Free World nations, including several in Latin America, and the apparent inability of the United States, in spite of its aid programs, to achieve stability throughout the world. The memorandum of discussion of that meeting, prepared by Marion W. Boggs, reads in part as follows: "The President then said he realized that an immediate answer to the problem would not come out of this exchange of views. He felt that some concentrated thinking was called for, however, and that changes in policy should receive serious consideration. He was especially concerned with the situation in Cuba, at our backdoor." (Memorandum of Discussion at the 449th Meeting of the NSC, June 30, 1960, Eisenhower Library, Whitman File, NSC Records)

To my mind, the most important thrust of such a move should be to compensate for moves which may have to be taken against Castro.

I talked with Secretary Herter about this paper last Friday and he said that he had mentioned to the President that we were working on some such program. He felt that the President might like to have a look at our efforts before taking off for Newport. (Tab A)

I mentioned this matter to Livie Merchant and Dick Rubottom last week and I am sending copies of the attachment to them. Copies are also giving to G, C, E and U/MSC.³

If you think this warrants further development, S/P will be glad to participate.

Gerard C. Smith

Attachment - Tab A

**Memorandum by the Assistant Secretary of State for
Policy Planning (Smith)⁴**

Washington, July 5, 1960.

SUBJECT

Proposed New Initiative: "Stability Through Change"

1. *There is need for a dramatic new initiative to refurbish U.S. leadership in the free world.*

Before May we were leading our allies in a major effort to engage the USSR in negotiations. Our purpose was clear, and our leadership was accepted. The collapse of the Summit and of the disarmament negotiations ended that effort and set this purpose to one side.

Since then no new purpose of U.S. leadership has been defined with the same emphasis. As a result, the impression has gained ground that our leadership is lagging, that our policy is in a phase of drift.

To exercise leadership, we must lead *toward* something. That "something" should be to strengthen the free world, by enlarging the rewards and opportunities open to free men everywhere.

³ The source text bears the following hand-written marginal notation by Smith, dated July 7: "I gave copy of attachment to V.P. Nixon with Dillon's OK after NSC mtg." Reference is to the 450th NSC meeting, held on July 7.

⁴ Confidential.

A specific action is needed to define and dramatize that goal - an action which will be significant both in itself and as a symbol of further effort to come; an action which will capture men's imagination and mark the road we intend to travel in the period ahead.

2. The situation in Latin-America creates an occasion for just such action.

This area is passing through rapid social change. Dictatorships and oligarchies which sought to repress this change are falling by the wayside. In their place, two groups are contesting for leadership of the continent:

Moderate groups, which seek to carry out needed reforms through orderly methods.

Extremist groups, led and symbolized by the Castro government, whose policies seem designed ultimately to detach Latin America from the free world.

The most effective way we can intervene in this contest is by helping the moderate groups' programs to succeed. This means extending help for such varied purposes as more schools, better paid teachers, housing, land reform and land clearance projects.

Substantial U.S. help for these purposes will be the more needed if we are forced to move against Castro. Adverse reactions may be lessened if we can then hold out a promising alternative to Castroism.

3. The August session of the Congress provides an opportunity to create that alternative.

It had been intended to request extra funds for the Special Fund of the Inter-American Bank in the next budget and to announce this at the meeting of the Committee of Twenty One in Bogotá.

Why not make the request when the Congress reconvenes—perhaps in a substantially larger amount than presently contemplated? Such a request might well receive the support of both candidates and parties. It would permit us to channel the concerns which Castroism generates in the U.S. in a constructive direction. It would enable us to exploit the coming session for an affirmative foreign policy purpose.

The action could be taken—like the original Congressional contribution to the Inter-American Bank in September 1959 - wholly apart from the Mutual Security Program, it need not interfere with Congressional consideration of that Program.

4. This action could have world-wide impact and implications.

In presenting this request to the Congress, we could emphasize the growing need for "social infrastructure" assistance—not only in Latin America, where we faced a particularly urgent problem, but elsewhere.

We could suggest that future Mutual Security Programs would be geared increasingly to this need.

Our Latin American request could thus symbolize the “nation building” goal that the U.S. set for itself in the period ahead.

This goal might be further dramatized in a major Presidential address to the General Assembly this fall.

The President could recall his trips to Asia and Latin America, and cite the first-hand evidence which moved him to propose increasing aid for such purposes as housing, health, agricultural, and education programs. He could call on all countries—large and small—to take action to this end: bilaterally and through existing multilateral instruments. He could announce that he would recommend enlarged U.S. programs along these lines to his successor.

5. *This course of action could be a triple play.*

(a) It would do much in Latin America to contain the appeal of Castroism and to offset the adverse effects of any U.S. action against Castro.

(b) It would regain the initiative for the free world in this post-Summit lull, by directing free men’s efforts to a new and constructive goal instead of to brooding about Communist pressures and proposals.

(c) It would enhance world-wide respect for U.S. leadership, by dramatizing our support of groups and programs which are designed to improve the lot of the common man and thus to enhance “stability through change”.⁵

[Here follows as outline for a Presidential message to Congress concerning a new initiative for Latin America.]

⁵ In a memorandum to Smith, dated July 6, Rubottom stated in part the following: “I will stand with you 100 percent on this recommendation and I believe the NACIOIAA will do likewise. At an appropriate occasion today I will tell Mr. Dillon something of my supporting views.” He also informed Smith that ARA had set in motion a specific planning effort, and that the two would fully coincide. (PPS Files, Lot 67 D 548, “American Republics 1960–1961”)

ETA-34. Memorandum from Henry C. Ramsey of the Policy Planning Staff to the Assistant Secretary of State for Policy Planning (Smith)¹

Washington, July 6, 1960.

SUBJECT

Latin American Initiative: Mr. Mann's Reaction

I showed Tom Mann the S/P memorandum of July 5 on a new Latin American initiative last evening. After reading it and expressing great enthusiasm, he made four points:

1. It would be "good politics" to ask for \$500 million. Loans should be soft. After a good deal of discussion, he concluded it would be best to channel the loans through the Inter-American Development Bank but, since the Bank has not opened for business, he thinks Congress may demand some DLF veto on loans over a certain amount. We should make clear that the fund would finance social overhead projects and that it would supplement hard loans through the World Bank, Ex-Im Bank and IADB.

2. Psychologically and politically, it is very important that the new fund be earmarked for social overhead projects and be used as leverage to develop sound projects.

3. We must carefully draft a broad statement which would make it crystal clear that the U.S. purpose in making the fund available is to enable countries to finance projects which will lead to a more equitable distribution of the national income. One of the criteria for loans from the fund should be that they advance the well-being of the lower classes. Mann thinks we should use the fund as leverage to accomplish, among other things, more equitable tax structures.

4. It is also highly important that we support land reform but that we not set our sights too high or make it appear that land reform will solve the un- and under-employment problem. Mann thinks land reform will alleviate the employment problem and is vital in view of the population explosion but that we cannot expect new recipients of land to rise above the subsistence level too soon. (His views on this subject coincide with those of Milo Perkins.²)

- - - - -

¹ Source: Department of State, PPS Files, Lot 67 D 543, "American Republics 1960-1961." Confidential. Drafted by Ramsey.

² Milo R. Perkins was a foreign investment consultant who had held various positions in the Department of Agriculture, 1935-1941, and also served as Executive Director, Board of Economic Warfare in 1941.

I think all these points are sound and I passed them on to Achilles³ and Rubottom and Mallory. Rubottom goes along with Mann and believes that the IADB should be the chosen instrument. He thinks the fund might be utilized to spur the Bank into opening sooner. All of us agree that the above points can be woven into the President's special message to Congress and, thereafter, can be amplified by Mr. Dillon at Bogotá.

³ In a memorandum to Smith, dated July 5, Theodore C. Achilles, Counselor of the Department of State, had expressed his "hearty agreement" with the basic idea of the new initiative. We also stated his belief that the program should be described in "human terms of benefit to the individual," that it should serve as a pump-priming operation for local capital and a stimulus to Latin American governments to undertake their own programs, and that it should focus on raising living standards. "In public presentation," he said, "maximum emphasis should be placed on the program being good in itself and absolute minimum on its negative anti-Communist and anti-Castro aspects." (PPS Files, Lot 67 D 548, "American Republics 1960–1961")

ETA-35. Memorandum from the Deputy Coordinator for Mutual Security (Bell) to the Acting Secretary of State¹

Washington, July 6, 1960.

SUBJECT

S/P Memorandum on New Initiatives

At the risk of heresy I want to express opposition to the S/P proposal. I am opposed because I think it exaggerates a need for "refurbishing U.S. leadership", provides an oversimplified and probably inadequate answer to the problems of U.S. policy towards Latin American development, underrates the difficulties of Congressional approval, ignores the danger of failure, and assumes a global effect which would be probably confined in its beneficial aspects to Latin America and would risk adverse repercussions elsewhere.

I do think our policy towards Latin America needs revision. My staff has prepared a study on this subject which was recently transmitted to ARA, S/P and C, and which attempts to address the problem in a somewhat more thoughtful manner.² I have very serious doubt that

¹ Source: Department of State, PPS Files, Lot 67 D 548, "American Republics 1960–1961." Confidential. Drafted by Bell; copies were sent to Smith and Achilles.

² For information on the referenced study, see Document ETA-32.

we would find adding to the capital of the IADB a solution to our problems and the adoption of this course at this time might well make us unable to attempt a more considered program later. If we want to have a new program for Latin America, then I think a task force should be immediately put to the job of developing a proposition which is defensible. I would think the Congress would regard as somewhat hysterical a proposal to add a large dimension of capital to an organization that has yet to spend its first penny and that in all probability could not use any additional capital for a long time.

ETA-36. Notes of Telephone Conversation between the Under Secretary of State (Dillon) and the Assistant Secretary of State for Economic Affairs (Mann)¹

Washington, July 9, 1960, 12:50 p.m.

CDD said he wanted Mann to be sure he was clear in preparing the new program on Latin America. He said he had told Mr. Achilles that he thought Mr. Mann was the fellow who ought to take a hold of it. CDD said he agreed with Mr. Mann that it ought to be big enough, about \$500,000,000, and should include Chilean reconstruction as a separate piece of the package of about \$150,000,000. CDD said he didn't know whether there is any other place that we can use grants - the rest of it is going for loans to the Inter-American Bank. He said it would require a bit of talking with the Bank and that we have had trouble with the Treasury on the size. CDD said that he was going to talk it over with the Secretary and that he would back him up on this thing. He said that because of the strong statement made by the President we have got to come up with something. He told Mann he hoped he could push the thing along. He mentioned that in the Inter-American Bank we have veto power. Mann asked if we are still thinking about the fund being at the U.S. end of this and CDD replied-yes. Mr. Mann commented that then we could use the veto power and don't have to worry about DLF. Mr. Mann said we should stick hard on the soft loan and CDD replied yes. CDD said that Mann would have to take it on and that Jack Bell would help him.

¹ Source: Department of State, Secretary's Memoranda of Conversations, Lot 64 D 199. Limited Official Use. The conversation recorded here took place at 12:50 p.m.

ETA-37. Memorandum from the Counselor of the Department of State (Achilles) to the Assistant Secretary of State for Economic Affairs (Mann)¹

Washington, July 9, 1960.

SUBJECT

New Latin American Program

Not knowing how much opportunity Mr. Dillon had to give you his thinking on preparation of the new program before his departure,² I am putting on paper at the risk of repetition what he told me this noon.

1. He wants you to prepare the program.
2. It is to be ready for presentation when the Senate reconvenes August 8.
3. The figure of \$500 million should be used, of which some \$150 million would be intended for Chilean reconstruction.
4. During the August part of the session we should seek authorizing legislation but not appropriations. He anticipates little difficulty in obtaining authorizing legislation.
5. The "soft window" of the I.A.D.B. should be the primary instrument. Since grants as well as loans will be necessary and the I.A.D.B. should not make grants, some \$50 million of the total should go to I.C.A. for grants for purposes of the program.
6. The program should be presented to Congress neither as "one shot" nor "annual". Future authorizations and appropriations will naturally be required but we should not present it as an annual program.³

¹ Source: Department of State, ARA Files, Lot 62 D 302, "Latin American Program (Prior to Bogotá Conference)." Confidential. Copies of this memorandum were sent to Rubottom and Smith.

² Between July 9 and 24, Undersecretary Dillon made a five-nation tour of Europe. Documentation relating to his trip is in Conference Files, Lot 65 D 559, CF 1715–CF 1725.

³ A task force was established under Assistant Secretary Mann's leadership to prepare the program and to secure interdepartmental agreement. The task force included representatives from the Bureaus of Economic Affairs, Inter-American Affairs, and Congressional Relations, the Policy Planning Staff, the Office of the Coordinator for Mutual Security, ICA, and the DLF. Papers generated by the task force are contained principally in ARA Files, Lot 62 D 302, "Latin American Program (Prior to Bogotá Conference)," and ARA/REA Files, Lot 63 D 210, "Latin American Social Economic Development Program July–Sept 1960."

ETA-38. Editorial Note

On July 11, 1960, during his news conference at Newport, Rhode Island, at which Secretary Herter was present, President Eisenhower commented on the basic ideas that would guide United States participation in the forthcoming meetings of the Committee of 21 at Bogotá, Colombia. He announced, *inter alia*, that the United States was committed to cooperative action aimed at helping Latin American governments to achieve "soundly based" social and economic progress, accelerate the trend already evident toward greater respect for human rights and principles of democratic government, and improve the opportunities of the bulk of the population in Latin America "to share in and contribute to an expanding national product." For the full text of the President's statement, see *Public Papers of the Presidents, Eisenhower*, 1960-61, pp. 568-575.

ETA-39. Memorandum from the Secretary of State to the Assistant Secretary of State for Inter-American Affairs (Rubottom) and the Assistant Secretary of State for Economic Affairs (Mann)¹

Washington, July 20, 1960.

I raised with the President yesterday the question of [illegible in the original] having made a definite commitment to Secretary Anderson that [illegible in the original] new funds would be asked for at the coming session of Congress to implement his new proposals with respect to Latin American development. I pointed out that we were very disturbed that such a firm commitment had been made since this would again open us up to the possible criticism that we had made a vague recommendation but had not followed it up with something specific.

The President assured me that no definite commitment had been made. He said that he had discussed with Secretary Anderson the [illegible in the original] of increasing the Development Loan Fund appropriation, with specific [illegible in the original] for Latin America, as well as [illegible in the original] soft loan component of the Inter-American Bank. [illegible in the original] said that [illegible in the original] raise with Secretary Anderson that another [illegible in the original] should

¹ Source: Department of State, PPS Files, Lot 67 D 543, "American Republics 1960-1961." Secret. Drafted by Herter.

not be set up with a very large sum of money, such as [illegible in the original] million, earmarked for it.

It was [illegible in the original] from this conversation [illegible in the original] we should go ahead with our [illegible in the original] method of handling this matter, with a view to [illegible in the original] recommendations to the President.²

Christian A. Herter

² A hand-written note from Ramsey to Smith, dated July 21, attached to the source text reads as follows: "You will want to see this good news. I've sent copy to Achilles."

ETA-40. Memorandum for the Record, by Henry C. Ramsey of the Policy Planning Staff¹

Washington, July 25, 1960.

SUBJECT

New Latin American Aid Program: Meeting of July 24, 1960, at the Under Secretary's Home²

I was called around 2 o'clock yesterday (Sunday) afternoon by Mr. Mann's staff assistant (subsequently by Ted Eliot³) and invited to attend a 5 o'clock meeting at Mr. Dillon's home. Ted had flown up to Newfoundland on Saturday with the product of the Mann task force,⁴ in order that Mr. Dillon might study the plan en route Washington Sunday morning. Others attending were Mr. Achilles, Mr. Mann,

¹ Source: Department of State, PPS Files, Lot 67 D 548, "American Republics 1960–1961." Confidential; No Distribution Outside S/P.

² On July 23, Assistant Secretary Mann's task force completed preparation of the proposed new Latin American program, and an extensive briefing book for Under Secretary Dillon containing supporting papers. In the covering memorandum to Dillon, dated July 23, Mann stated in part the following: "The book represents our best efforts to reach interdepartmental agreement on the major issues regarding the proposed new Latin American Program. A lot of underbrush has been cleared away but there are major decisions regarding three or four issues that should be taken only after discussion. A discussion of approximately two hours on Sunday [July 24] afternoon with as large or as small a group as you wish would, I think, be helpful. If not, I hope we can meet soon thereafter." ARA Files, Lot 62 D 302, "Latin American Program" (Prior to Bogotá Conference).

³ Theodore L. Eliot, Jr., Special Assistant in the Office of the Under Secretary of State.

⁴ Reference to the briefing book and program proposal cited in footnote 1.

Mr. Bell, Mr. Saccio (ICA), Mr. Hart (DLF), and Dixon Donnelly. No representative of ARA had been invited.

Mr. Dillon had read the rather voluminous briefing book prepared by the Mann task force. He noted that there was no firm agreement as between Mann, ICA and DLF on the administration of the new program. He invited Mann to speak.

Administration of Fund

Mann acknowledged that the task force had not been able to reach agreement on how the new fund should be administered: some preferred DLF, some the Inter-American Development Bank (IDB), some ICA. He would advance a "revolutionary plan"—the reactivation of the Institute of Inter-American Affairs,⁵ the appropriation of funds to the IIAA, and the administration of the new program by the IIAA through use of ICA, DLF, and especially IDB, as executive agencies. Mann stated his belief that we should rely on the IDB to the greatest extent possible.

This proposal held certain advantages. First, the IIAA was popular in Latin America, had done fine and pioneer work in technical assistance under Nelson Rockefeller, was still associated with the Rockefeller name and was a "politically good thing" to reactivate (The IIAA lapsed as of June 30, but the consensus was that it could easily be reactivated by Congress during the August session, or next year). Second, since the Assistant Secretary for ARA chaired the IIAA, putting both the funds and the power to act at his disposal made sense administratively: it would permit ARA to marry political and programmatic considerations and to act quickly and decisively and would restore to ARA the power which had gradually eroded through Departmental reorganizations in the postwar period. Mann emphasized that, if ARA was to have the power to negotiate, it must have the power to administer the funds.

Achilles strongly supported Mann's proposal. (It was obvious that the two had concerted before the meeting, as the IIAA approach has been Ted's since his return from Peru.⁶)

Saccio, Hart and Bell then tried to shoot IIAA down. Their arguments boiled down to three: (1) existing agencies could do the job if given the money and the policy direction, (2) the executive agency concept was spurious since the agencies would be serving two masters

⁵ The Institute of Inter-American Affairs was originally incorporated in 1942 and became a U.S. Government corporation in 1947. It was established to aid governments in the Western Hemisphere by promoting technical programs and projects for health, sanitation and food supply.

⁶ Achilles was Ambassador to Peru, March 29, 1956 to January 27, 1960.

and this would result in downgrading IIAA directives in controversial fields, and (3) Mann's proposal would inevitably lead to a new super-structure of personnel in IIAA. These arguments had some effect on Dillon.

Finally what Dillon decided should be done and which Mann and Saccio agreed to was this:

IIAA should be reactivated and funds appropriated under the new program should be granted to it. This would place firm control in State. ICA in Latin America should be the field-arm of IIAA in Washington. A small (about four to six) staff should be set up in ARA, headed by a Deputy Assistant Secretary for Economic Affairs, to run the IIAA and to marry ARA-ICA (Latin America) to the closest extent possible. (Dillon said he wanted this worked out in the other bureaus and areas also, once ICA and State got together under one roof.) ICA, in turn, would keep its Latin American program more or less separated from its other programs. The purpose would be to compartmentalize Latin America and put the whole special assistance, technical assistance and "social infrastructure" program under the IIAA umbrella. This would be without prejudice to other programs which DLF, Ex-Im Bank or the IRDB or IMF now participate in.

Role of DLF

DLF came off rather badly. Dillon had some rather sharp things to say about its inability to come to the rescue in the past in building roads because of the local costs and "Buy-America" problems.⁷ I gathered that Dillon did not feel that DLF had much of a role to play in the social infrastructure field.

Amount of fund: Authorization or Appropriation

Dillon bought the \$500 million figure (Mann pleaded unsuccessfully for \$1 billion) as a no-year fund exclusive of what might be asked for Chilean reconstruction. He laid down two conditions. It should be explained to Congress that \$500 million would be a starter and that we would come back for more after we had studied the matter further. We would, for instance, know more after Bogotá. We would leave the question of Chilean reconstruction open for the moment (Some thought we should go to Congress on this matter in August, others that we should wait until next year).

⁷ "Buy American" provisions in U.S. legislation required U.S. Government agencies in securing supplies for public use or for construction of public works within the United States to purchase only domestic materials unless they were commercially unavailable, their purchase would be inconsistent with the public interest, or their cost was unreasonable.

Dillon thought we might try to get an ICA increment of \$50 million during August for Latin America and outlined a strategy for obtaining it at the last moment without going to Passman. No definite decision was made.

He was fuzzy on whether to ask that the DLF appropriation be increased from \$550 to \$700.

I concluded that he did not believe we could or should request any appropriation during August, though he blew hot and cold on the subject. I believe he is thinking along these lines: Use the contingency fund to the extent possible during the next six months and, possibly, ask at the last moment for an ICA increment of \$50 million.

Forward Approach

Dillon asked Mann to put this new plan down on paper. Since the President was visiting Denver after his Chicago appearance,⁸ we should plan to approach the President early next week (week of August 1). He said the President would probably “not be firm one way or the other”, would probably say he was all for the plan if Congress had no objection.

Hence it would be necessary to discuss the plan with the Presidential candidates⁹ and Congressional leaders. It was agreed that the plan should be put forward as a non-partisan program. Dillon seemed to feel that Treasury and Budget could be approached after the plan had been outlined to the President.

Dillon laughingly observed that there should be no difficulty in obtaining the Vice President’s concurrence, since “he and Nelson are now for a confederation in the hemisphere and this is certainly a little less than that” (a reference to the Nixon-Rockefeller platform talks of last Friday evening).¹⁰

⁸ President Eisenhower was in Chicago on July 26 and 27 to address the Republican National Convention and to attend the Republican National Committee Breakfast, respectively; on July 28 he visited Denver.

⁹ The respective candidates of the Republican and Democratic Parties were Richard M. Nixon and John F. Kennedy.

¹⁰ Another memorandum of this meeting, without drafting information, listing the conclusions reached by the participants is in ARA Files, Lot 63 D 210, “Latin American Social Economic Development Program July–Sept 1960.”

ETA-41. Memorandum of Conversation, by Rudy V. Fimbres of the Bureau of Inter-American Affairs¹

Washington, July 26, 1960.

SUBJECT

Visit of Felipe Herrera, President, Inter-American Development Bank, to South America

PARTICIPANTS

Felipe Herrera, President, Inter-American Development Bank
Robert Cutler, U.S. Executive Director, Inter-American Development Bank
Douglas Dillon, Under Secretary of State
Roy R. Rubottom, Assistant Secretary of State
Thomas E. Mann, Assistant Secretary of State
Theodore Achilles, Counselor
Henry Ramsey, S/P
Dixon Donnelley, U
Ambassador Harry R. Turkel, REA
Alex Rosenson, REA
Wymberly Coerr, WST
Alton Hemba, EST
Rudy Fimbres, ARA/P

(The meeting was arranged at the request of General Cutler to give Department officers an opportunity to hear Mr. Herrera's impressions of his South American tour.)

Mr. Herrera commenced the discussion by mentioning that the purpose of his trip was to discuss quota payments with member countries of the Bank, and also to recruit technicians for his organization. He said that he had been impressed by the great interest in the Bank, and the emotional attachment which people in South America have for it despite the fact that few know the details concerning its structure and proposed method of operation. Latin Americans fought for it for many years and are particularly gratified that it will be a cooperative and multilateral undertaking from which the United States—which holds 40 percent of the quota—asks no benefit.

He stated that the countries he visited presented a variety of institutions through which the Bank could work. He, however, had emphasized cooperation with private capital. There were complaints everywhere of a shortage of capital, especially for local financing, which some people blamed on IMF stabilization programs. Attacks on the IMF have shifted, however, to national leaders, apparently because they have made IMF policies their own. There was, particularly in Brazil,

¹ Source: Department of State, Central Files, 371.314/7-2660. Limited Official Use.

disappointment that the Bank would not help increase the export of capital goods through export financing.

On a country basis, he reported the following: Venezuela appeared very unstable, the reduced money supply adding to this difficulty. President Betancourt worriedly stressed the bad social conditions in Caracas, the problem of unemployment, inflation, and the danger from the Fidelistas and other leftist elements. There is a dire need for housing and adequate water supply, according to Betancourt.

In reply to Under Secretary Dillon's inquiry as to what Venezuela had done to reduce its debt, Mr. Herrera replied that it had cleared its short-term debt, balanced its budget, and had kept its exports high. Venezuela's problems, he reiterated, remained inflation, unemployment, and pressure from the communists and the Fidelistas.

Peru and Colombia have strong leadership, and there is much sentiment for an agrarian reform and housing program. Everyone is puzzled concerning Ecuador, but agree that agrarian reform and housing are also the two most pressing needs.

In Chile the people are of the opinion that the stabilization policy should be relaxed but, despite this, the government is maintaining a strong anti-inflation stand. There has been a strong emotional response to United States generosity, the recent earthquake disaster relief resulting in great U.S. popularity in the area.

Mr. Herrera then mentioned that 75 percent of the Bank's quotas had been paid, with Bolivia and Paraguay presenting the greatest problems in this respect because of their inability to pay their first instalments on their small subscriptions. Mr. Dillon mentioned that the U.S. should assist these two countries to meet their participation in the Bank.

Mr. Rubottom inquired whether Mr. Herrera was of the opinion that Uruguay would come into accord with the IMF. Mr. Herrera said that that was his impression, despite the slim chamber majority (one vote) held by the Government. He added that the Government had already instituted some reforms.

Mr. Dillon inquired when the Bank would become operative, and Mr. Herrera replied that by October 1 the Bank would be in operation and by the end of the year should commence making loans.

The Undersecretary asked whether the IDB would reasonably be in position to administer monies entrusted to it by the U.S. Government under the Latin American economic cooperation program contemplated by President Eisenhower.

Messrs, Herrera and Cutler replied in effect that by next June or July—presumably after the Congress had its first opportunity in the spring to appropriate funds for the accelerated economic program—the Bank would be in a good position to administer any trust fund

transferred to it by the U.S. Government. They also foresaw that this program would require the administrative cooperation of agencies located in Latin America such as ICA, and the existent national organizations charged with economic planning in the different countries.

Mr. Rubottom asked Sr. Herrera if the new lending agency intended to develop a special relation to one or two countries (he cited Honduras as an example) with the intention of turning them into “show-cases.” The Bank President replied that he was in favor of this approach, and in that regard had in mind Paraguay and Bolivia. He added that the IDB should not be concerned with the political side of the Paraguayan problem, and that \$10 million in Paraguay, because of its purely agricultural structure, could do wonders. Mr. Dillon agreed, commenting that the new institution could ignore political factors whereas the U.S. Government has no similar freedom of action.

Bolivia, said Sr. Herrera, should also receive special attention aimed at diversifying its economy.

Mr. Mann discussed the subject of the pressures being put upon the U.S. Government to finance budget and balance-of-payments deficits. He was of the opinion that any funds transferred to the IDB should be used wisely and that any local government costs financed by the Bank should result in an easing of deficits in other areas. In line with Assistant Secretary Mann’s misgivings on U.S. financing of budget deficits, the Under Secretary said that the Bank should require recipient countries to make the proper commitments to it so that any assistance given them will not encourage continued budget and balance-of-payments deficits.

ETA-42. Editorial Note

The notes of the Secretary’s staff meeting, held on July 28, 1960, at 9:15 a.m., concerning the subject of economic assistance to Latin America, read as follows:

“2. Mr. Dillon thought his meeting with the Latin American Ambassadors yesterday on OECD developments had been useful. Some of their fears that the OECD would prejudice Latin American interests seem to have been allayed. There was more interest in the new program proposed by the President, and it was obvious that the Ambassadors wanted a figure rather than generalities. Mr. Dillon added that the new Latin American program had pretty well taken shape in the Department and now would be discussed with Milton Eisenhower and the interested agencies before being taken up with the President

next week. In answer to a question from the Secretary, Mr. Dillon said that we hope early in the August session of Congress to obtain approval of the framework in which the program will operate so that we will be able to move ahead at the Bogotá meeting." (Secretary's Staff Meetings, Lot 63 D 75)

ETA-43. Memorandum from the Counselor of the Department of State (Achilles) to Acting Secretary of State¹

Washington, July 29, 1960.

The new "common man" program for Latin America should help to fill a major gap in plans and resources for development of the area. It will, however, deal only with one aspect of the larger problem of its accelerated economic and social development. The larger problem is both long-term and urgent and will require very large resources.

I recommend that in formulating and implementing the program, and at the Bogotá meeting, we give it major emphasis but keep it in the broader context. (The Latin Americans certainly will.) While naturally large amounts of straight "aid" will be necessary both for the common man and broader programs, I would hope that we could think and talk less in terms of "aid" than of "accelerated economic and social development." This means endeavoring to mobilize and coordinate all available resources toward such accelerated development - private investment both local and foreign, foreign loans both hard and soft, U.S. grants and technical assistance, U.N. Special Fund and technical assistance, the big foundations, U.S. insurance companies, building and loan associations, etc.

There is plenty of room for everybody and they will all be needed.²

¹ Source: Department of State, Central Files, 371.04/7-2960. Official Use Only. Drafted and initialed by Achilles.

² A hand-written marginal notation on the source text, addressed to the Acting Secretary from his Special Assistant, John M. Leddy, reads as follows: "This is a much larger idea than we can properly present at Bogotá & sounds like massive aid to achieve 'take-off'."

ETA-44. Memorandum from the Acting Secretary of State to the President¹

Washington, August 1, 1960.

SUBJECT

Latin American Program.

To fulfill your announcement in Newport and to meet the need for a positive United States approach at the September 5th meeting in Bogotá, we should now press forward with a broad program for Latin America designed to bring the benefits of economic and social progress to a wider segment of the population.

To insure the success of this program and to enable the United States to speak authoritatively at the Bogotá conference there is need for bipartisan support. I suggest, therefore, that you consider laying the program which is outlined in the following paragraphs before the leadership of both parties at an early date.

The specific elements in the program which should be discussed are the following:

a) *Size of the Program*: Given the magnitude of the need, I believe that it should be couched in terms of a minimum of \$600 million. It should be made clear that this amount would not be expended in any particular fiscal year but is intended to be used over a period of time as sound opportunities for its use arise. It should also be made clear that, depending on the impact of the program and on the performance among recipient countries, this would be the first installment on a long-term program, and that additional amounts would, therefore, be required in the future to meet demonstrated needs.

b) *Use of Funds*: Adequate "hard-loan" funds for sound economic development projects are already available in various national and international lending agencies, such as the Export-Import Bank and the International Bank for Reconstruction and Development. Because of the increasing difficulty most Latin American countries have experienced in servicing "hard" loans, the Development Loan Fund has also been extending "soft" loans for sound economic development projects in certain categories. There is, however, an immediate need which has not heretofore been met for substantially more financing of social development projects such as land settlement, improved land use, pilot and self-help housing, basic community facilities, and vocational training. While existing programs have reasonably met the capital needs of industrial expansion, there has been very little foreign assistance available for social development projects. Although the primary responsibility for social development must rest with the country concerned, the Latin American countries are not in a position to carry the entire burden

¹ Source: Eisenhower Library, Whitman File, Dulles-Herter Series. Confidential.

of programs adequate to meet demonstrated needs. If such programs are not initiated promptly, unrest with violent political consequences is likely in a number of Latin American countries. Substantial United States assistance is required to give reasonable hope of success. Such United States assistance should go primarily to those countries that are willing and able to undertake satisfactory programs of self help. In this way United States assistance can promote the fiscal and tax reform in Latin America which is a necessary prerequisite for successful development.

c) *Administration*: The program should be so administered as directly to facilitate the achievement of our foreign policy objectives in Latin America. The responsibility and authority for directing the program should rest in the Department of State. In determining the amounts and terms of financial assistance under this program the Department of State shall consult with the National Advisory Council on International Monetary and Financial Problems.

The funds should be made available to the President as a Special Fund to be used exclusively in Latin America and under flexible and nonrestrictive provisions. These funds would be available in either grant or loan form and would be used through such agencies as the President may designate including the Inter-American Development Bank.

Loans rather than grants would be made to the maximum extent practicable. It is expected that the principal lending instrument will become the Inter-American Development Bank which has an inter-American character and will be in the best position to encourage recipient countries to increase their own efforts to achieve maximum economic growth and social progress. United States financial and technical assistance to Latin America can only achieve their purpose if they are used to stimulate Latin American governments to mobilize their latent resources and to utilize them to achieve more rapid and balanced economic growth.

d) *Terms*: Repayments of loans would ordinarily be required in the currency of the borrowing country in order to minimize the burden on countries' resources available to service external debt. Aid funds should be available to meet local as well as external costs.

Rehabilitation of Chile

It is planned that of the total package of \$600 million, \$100 million will be used to assist the government and the people of Chile in their present task of rehabilitation. This task is the result of the recent series of disastrous earthquakes which left great destruction over wide areas of the most populous regions of Chile. Homeless people are counted in hundreds of thousands. Total damage has been estimated to be almost \$500 million leaving a massive burden of reconstruction on the Chilean people.

Congressional Action

We would obviously be in the strongest position in Bogotá if Congress were to pass a \$600 million authorization bill when it reconvenes in August. The Latin Americans hope for and expect concrete

evidence of an intention on our part to create a new, special fund to be used exclusively in Latin America; a statement that the funds already authorized for the Development Loan Fund are adequate for the time being would not be well received. I would hope that the leaders of both parties would agree to the authorization procedure. No appropriation would be sought until the next session of Congress in 1961 by which time the results of Bogotá would be available and the Inter-American Development Bank would be in business. In the event agreement could not be obtained I would then recommend that their agreement be sought to obtain a Joint Resolution phrased in the most definitive way possible, again having in mind an adequate basis for the Bogotá meeting. The Bureau of the Budget prefers that we not seek an authorization, but limit ourselves to a joint resolution.

a) *Short term action*: In order to start some projects immediately in Latin America and to meet other emerging needs in the present world situation, it is important that the total Mutual Security Program appropriation request be obtained from the Congress, particularly the full \$700 million requested for the Development Loan Fund. (The House has cut this \$700 million request by \$150 million.) How the final appropriation of the \$700 million for the Development Loan Fund can best be achieved is a matter of legislative tactics that can best be worked out with the legislative leaders, including (a) action by the Senate, either within the Appropriations Committee, on the floor of the Senate or within the Conference Committee to assure a \$700 million appropriation, or (b) an increase by the President in his pending \$700 million request. Such a request could be made under the existing Development Loan Fund authorization.

b) *Presentation to the Congress*: There are differing views regarding the manner in which either an authorization or a joint resolution should be presented to the Congress. The Vice President has informed us that he feels strongly that there should be a special Presidential message on this subject in order to indicate clear administration initiative. On the other hand, the Secretary of the Treasury feels strongly that any presentation should be by the State Department and that there should be no special messages on the subject from the President. From the point of view of the State Department a special message from the President would improve the United States position at the OAS Foreign Ministers Meeting at Costa Rica when the subject of Soviet intervention in Cuba comes up.² However, the major interest of the State Department is in securing the necessary legislation rather than in the method of its presentation.

Douglas Dillon
Acting Secretary

² Apparent reference to the Seventh Meeting of Consultation of Foreign Ministers of the American Republics, which met in San José, Costa Rica, August 21–29, 1960; for documentation, see *Foreign Relations, 1958–1960*, vol. VI, Cuba.

ETA-45. Memorandum of Conference With the President, by His Staff Secretary (Goodpaster)¹

Washington, August 1, 1960.

OTHERS PRESENT

Secretaries Herter, Dillon, Anderson, Dr. Ralph Reid, General Goodpaster

Mr. Herter said he first wished to put before the President a memorandum² concerning the proposed Latin American program setting out specific details more fully. The President read through the memorandum. He then asked why the request was being made for \$600 million. He had thought that the work of the program might, in large measure, be accomplished through use of the IADB, and that funds would go to expand the capital of the IADB. Mr. Dillon said that the other American countries would prefer not to have this program handled out of normal bank capital if it were handled through the bank, but would keep the money in a special fund. If the money is authorized, this is the kind of specific arrangement that would be worked out through the discussions soon to be initiated.

Mr. Reid said that from the standpoint of the Director of the Bureau of the Budget,³ a simple resolution giving the sense and support of the Congress would be preferable to an authorization. He is concerned over the idea of the Administration submitting new proposals at a time when the Congress has taken actions impairing the President's FY-1961 budget surplus. Congress has already added about \$1.6 billion to the budget. Losses of revenues, together with other costs foreseen, amount to an estimated \$2.4 billion, bringing the total to about \$4 billion out of an anticipated \$4.2 billion surplus. He pointed out that the \$600 million figure is no more than a guess, and will be very hard to justify before the Congress, lacking any documentation. He added that the Development Loan Fund has available substantial authorizations for which appropriations have not been sought. Mr. Dillon commented that he is not proposing that the Administration ask for appropriations at this time, but rather limit its request to an authorization.

Secretary Anderson said he would prefer not to have a special Presidential message. He suggested that the State Department try to have this provision tacked on to a pending bill. The President suggested the possibility that he might send a letter to the State

¹ Source: Eisenhower Library, Whitman Files, DDE Diaries. Secret. This memorandum was prepared on August 10.

² See Document ETA-44.

³ Maurice H. Stans.

Department instructing them to seek to do that. He commented that the Vice President, however, has asked the President to send up a message to the Congress on the reconvening of the Senate in order to take effective initiative. Also, by a special message at that time he hopes to do something to hold the Congress to hard essentials as against many loose pending schemes that are being discussed. Mr. Anderson said he thought it very important not to send up new requests to this Congress, but to limit the message to repeating what the Administration has already asked for. Referring to an earlier point, Mr. Herter said that a check had been made to see whether there is pending legislation to which the proposal might be attached, and that there is none.

Mr. Dillon said he would like to consult with the Congress about the proposal, and suggested that the State Department proceed to check with key members. The President indicated no objection. The President then said he thought he would mention the Latin American program in a specific way in his message,⁴ and leave the development of details until after he had met with the bi-partisan group.

[Here follows discussion of issues related to the Congo, Tri-Partite Arrangements, Arms Sales to NATO Allies, and Nigeria.]

⁴ See the editorial note, Document ETA–47.

ETA–46. Memorandum from the President of the Export-Import Bank (Waugh) to the Secretary of the Treasury (Anderson) and the Under Secretary of State (Dillon)¹

Washington, August 4, 1960.

SUBJECT

Prepared new Program for Latin America

The announcement made by President Eisenhower on July 11 for an increased economic program [for] Latin America has been read with interest by the Directors of the Export-Import Bank. The purpose of this memorandum is to consider the manner in which Eximbank may contribute to the success of the program.

¹ Source: Department of State, ARA/REA Files, Lot 63 D 210, "Latin American Social Economic Development Program July–Sept 1960."

Eximbank during the past twenty-six years has authorized in excess of \$4 billion of loans in Latin America and at the present time has outstanding loans and commitments of approximately \$2 billion.

It is assumed that there is no intention to displace Eximbank in its historic activity in Latin America. It is further assumed that it would be advantageous to the realization of the ultimate goals of the new program that uncommitted funds now available to Eximbank be utilized directly in the program in situations in which loans repayable in dollars for United States equipment, materials and services may be justified from an economic and banking point of view.

For the purposes of this memorandum we are assuming that an appropriation for the new program would be made to the President and thereafter allocations would be made in each case to the agency best suited to carry out the particular purpose of the allocation.

It is the suggestion of the Directors of the Export-Import Bank that in those instances in which foreign equipment and services are required for a project in Latin America and a credit to acquire the same can be appropriately authorized out of funds of Eximbank, any monies to be loaned for local costs in connection with the same project be allocated to and administrated by Eximbank. An example of such type of project would be a highway or access road construction where as much as 30 or 40 percent of the cost may be in foreign purchases and where the United States is prepared to make a loan on a soft basis to defray at least a portion of the local cost involved. On the other hand, in the case of a project—such as one for housing or for educational purposes—involving solely soft loan arrangements, the funds would be allocated to an agency normally operating in such a field.

The suggested procedure offers a number of benefits:

1. The lone experience and success of Eximbank in Latin America and particularly its experience in road construction which appears to be an important part of any program for the opening up and settling of new areas. Eximbank has financed road construction in nearly every country of Latin America. It has also financed flood control and irrigation projects and other similar programs requiring substantial amounts of equipment, materials and technical services from abroad.

2. Eximbank has broad powers under its legislative charter.² Furthermore, its record of operations has acquired for it the support of the Congress and, particularly, the Banking and Currency Committees, to the extent that it has been permitted to operate with a minimum of restrictions relative to the establishment and implementation of credits. These facts have enabled Eximbank on many occasions over the years

² Apparent reference to the Export-Import Bank Act (Public Law 173), approved July 31, 1945; for text, see 59 Stat. 526.

to act promptly in situations involving issues important in our foreign political and economic relations. On the other hand, agencies created as a part of our foreign aid programs have become restricted to the extent that in many instances they are not as free as is Eximbank to act promptly and with a flexibility of methods.

Only this week it was necessary to look to Eximbank to obtain promptly a credit which, according to the Department of State, was highly important to meet a serious political situation in Guatemala. Fortunately, Eximbank was able to find reasonable assurance of repayment in dollars and can meet the situation insofar as the dollar portion of the credit is concerned. It appears, however, that procedural problems and others resulting from legislative requirements for documentation may delay the availability from other sources of credits required in connection with the local expenditures for the projects proposed for Guatemala.

Delays and the effort involved in compiling new studies and documents required by other agencies to support the establishment of credits often result in irritations and ill will that are counterproductive in an assistance program. Such problems can be avoided in those cases in which the entire transaction can be handled by Eximbank because it can usually proceed on the basis of its years of experience in Latin America and through the use of procedures which are well established and generally understood. Funds allocated to Eximbank to finance the local costs of projects in which it is involved would make it possible for Eximbank, as an agency of the United States, to operate in the manner contemplated for the IBRD with the establishment of the proposed IDA.

3. It is self-evident that it would be preferable—both from the standpoint of the borrower and the lender—to have a specific project handled by a single agency where feasible so to do. It is recognized that this cannot be accomplished in every situation.

On the basis of the foregoing, it is suggested:

1. That funds appropriated for a program of soft loan assistance in Latin America be allocated to a particular agency—either national or international—after determination is made as to the specific purposes for which the funds will be utilized.

2. That in instances in which credits for local currency expenditures are required in connection with loans which may be made out of uncommitted funds of Eximbank, funds be allocated to Eximbank to enable it to make and administer also the soft loan component.³

Samuel C. Waugh
President

³ According to a covering note from the Executive Secretariat, dated August 9, 1960, the Bureau of Economic Affairs was tasked with the preparation of a memorandum in reply to Waugh's memorandum by August 12, but no copy of the reply was found in Department of State files.

ETA-47. Editorial Note

On August 8, 1960, President Eisenhower sent a Special Message to the 2nd Session of the 86th Congress, which reconvened on that date, commenting on the Administration's legislative program, and indicating that he would present new matters to Congress for the purpose of promoting free world stability. The first new program involved "an authorization in the magnitude of \$600 million to help our Latin American neighbors accelerate their efforts to strengthen the social and economic structure of their nations and improve the status of their individual citizens. This program, which should include further assistance for the rehabilitation of devastated Chile, will promote the dynamism and effectiveness of all our efforts in this Hemisphere. I urgently request enactment of this authorization prior to the Economic Conference of the American Republics, which convenes at Bogotá on September 5, so that discussions leading to the development of detailed plans may be initiated there." For the full text of the President's message, see *Public Papers of the Presidents: Eisenhower*, 1960, pp. 612-619.

ETA-48. Instruction from the Secretary of State to All Diplomatic Posts in Latin America¹

Washington, September 2, 1960.

SUBJECT

Policy Information Statement (ARA-308)

Special Committee of the Council of the Organization of American States to Study the Formulation of New Measures for Economic Cooperation (Committee of 21)

¹ Source: Department of State, Central Files, 611.00/9-260. Confidential. Drafted by Robert Ross of the Bureau of Inter-American Affairs on August 11, 31; cleared with Alexander M. Rosenson, Deputy Director of the Office of Inter-American Regional Economic Affairs; Simon N. Wilson, Officer in Charge of Inter-American Organizations and Conferences; Juan N. Gorrell of the Bureau of Public Affairs; and Frank A. Mau of the Executive Secretariat's Reports and Operations Staff; and approved by Francis M. Herren, Deputy Director of the Bureau of Public Affairs' Policy Plans and Guidance Staff. The instruction was also addressed to the consulate generals at Guayaquil, Maracaibo, Porte Alegre, Puerto la Cruz, Recife, Salvador, and São Paulo.

NO FOREIGN GOVERNMENT DISTRIBUTION

The enclosed Policy Information Statement—forwarded to the Post for use as outlined in Foreign Service Circular No. 49, November 18, 1953²—is also being transmitted to USIA and other interested agencies in Washington for their information and guidance. You are requested to make it available to appropriate officers of USIS and other interested U.S. agencies assigned to your Post.

Instructions regarding USIS treatment of this subject will be issued, as required, by USIA Washington.

HERTER

SPECIAL COMMITTEE OF THE COUNCIL OF THE ORGANIZATION OF AMERICAN STATES TO STUDY THE FORMULATION OF NEW MEASURES FOR ECONOMIC COOPERATION (COMMITTEE OF 21)

SUMMARY

The Special Committee of the Council of the OAS to Study the Formulation of New Measures for Economic Cooperation, popularly known as the Committee of 21, will begin its third meeting in Bogotá, Colombia, September 5, 1960. The Committee's meetings are considered to be of significant importance by American Republics Governments and high-level national representation is anticipated. The United States delegation will be headed by Under Secretary of State Douglas Dillon. General items to be discussed may be placed within the following headings:

1. Financing of Economic Development.
2. Agriculture, Education, Productivity and Technology.
3. Fluctuations in the Prices of Basic Products.

Thus the Committee plans to address itself to primary matters affecting the economic well-being and the stability of the inter-American community. The President of the U.S.³ has said that the economic development of Latin America is of vital importance to the strength and well-being of the Free World and that "we are determined to press forward with the concrete measures necessary to make inter-American cooperation in the economic field as fruitful as it has been in the political field." Our full and sincere participation in the work of the Committee, and the sub-Committee of 9, demonstrate our determination. Further evidence

² In Foreign Service Circular No. 49, November 18, 1953, the Department of State defined its substantive relationships with the United States information Agency and distributed this information to all Foreign Service posts. A copy of this circular is filed in the Records Management and Research Division of the Bureau of Personnel's Office of Management.

³ Dwight D. Eisenhower.

of U.S. willingness to work with the other American Republics may be seen in the recent Executive decision, and Legislative authorization, to go ahead with the President's new concept of cooperative assistance to Latin American social development programs.⁴

I—BACKGROUND

The Committee of 21 had its genesis in an informal Washington meeting of American Foreign Ministers in September, 1958, called in response to a suggestion by Brazil's President Kubitschek in a speech of June 20, 1958.⁵ The Brazilian Chief Executive addressed himself to a number of subjects, including the problems of the Americas. He expressed his belief that underdevelopment was Latin America's outstanding problem. President Kubitschek recommended that the matter be discussed at a high-level continental meeting to seek positive solutions. Among the subjects mentioned were: (1) intensification of pioneer investments in economically underdeveloped areas of the hemisphere; (2) expansion of technical assistance programs; (3) protection of prices of basic commodities from excessive and harmful fluctuations; and (4) increase of resources of international financial agencies and the liberalization of their rules and a view to allowing greater latitude of action.

The Brazilian President also pointed out that his correspondence with President Eisenhower⁶ made it clear that the U.S. Chief Executive shared Brazil's " . . . deep concern over the problems of economic development."

Subsequently, the Brazilian Government transmitted to the U.S. Government an Aide Memoire, dated August 9, 1958,⁷ suggesting that "informal contacts for initial understandings should be carried out in Washington . . . with a view to preliminary study and analysis of the problem of underdevelopment in Latin America . . ." "These understandings," he stated, "might ultimately attain a more coordinated form of expression if there were created a Committee of 21 [nations]

⁴ On August 8, 1960, President Eisenhower requested Congress to authorize the appropriation of \$600 million for the establishment of a new social program in Latin America, \$100 million of which was to be set aside for the rehabilitation of Chile. For portions of the text of the President's message, see the Department of State *Bulletin*, August 29, 1960, p. 314. On August 31, the Congress approved legislation reflecting the President's request, and the bill was enacted into law on September 8. For text of the American Republics Cooperation Act (Public Law 86-175), see 74 Stat. 869.

⁵ On June 20, 1958, the Embassy in Brazil transmitted the text of President Kubitschek's speech to the Department of State. (Telegram 1754 from Rio de Janeiro; 732.11/6-2058)

⁶ For the texts of President Kubitschek's letter of May 28, 1958, to President Eisenhower and President Eisenhower's response of June 5, see the Department of State *Bulletin*, June 30, 1958, p. 1090.

⁷ The text of the Brazilian Aide-Mémoire, which was transmitted to the American Ambassador at Rio de Janeiro on August 14, 1958, is in the OAS files, Lot 60 D 665, "Informal Meeting of American Foreign Ministers, Briefing Book, Background Information."

for the purpose of concerting the bases of agreement to be approved in a final meeting." The U.S. Secretary of State, John Foster Dulles, extended an invitation to the American Foreign Ministers, many of whom were already in New York for a session of the United Nations General Assembly, to meet in Washington on September 23 and 24, 1958.⁸ The Secretary proposed informal meetings to discuss several matters, among them the manner in which Brazil's proposals, called "Operation Pan America," might be carried out. During the meetings the Foreign Minister of Brazil⁹ recommended joint hemispheric action on six principal points:

1. Study and adoption of measures favoring the use of private capital of the industrialized countries in developing nations.

2. Increase in the volume, and easing of the terms, of loans made by international public credit agencies or the creation of inter-American financial agencies organized with the same objectives in mind.¹⁰

3. Study and implementation of other measures to strengthen the domestic economies principally to fight inflation and to encourage savings and local investment.

4. Study and implementation of measures to permit equitable regulation of the market in basic commodities.

5. Study of joint measures to be adopted to meet problems arising from the formation of large European trade blocs such as the European Common Market; studies and measures leading to the establishment of regional markets in the Western Hemisphere.

6. Expansion of technical assistance programs.

Upon the conclusion of the Foreign Ministers' meetings a communiqué was issued which called for Intensification of action to promote the greatest possible economic development of the continent.¹¹ The Ministers indicated gratification at President Eisenhower's pledge of full U.S. cooperation in achieving concrete results in the common effort to promote the economic development of the American Republics because it [the U.S.] considers that peace, prosperity, and security are truly indivisible. The Ministers recommended that during the period before the Eleventh Inter-American Conference [now scheduled for

⁸ Documentation on the meeting in Washington on September 23–24 is in Department of State decimal file 363 as well as in the following Department of State lot files: OAS Files, Lot 60 D 665; Rubottom Files, Lot 60 D 533, and Conference Files, Lot 64 D 559, CF 1117–CF 1121.

⁹Franciso Negrão de Lima.

¹⁰It may be noted that the announcement of the establishment of the Inter-American Development Bank, with U.S. support, had been made in mid-August. [Footnote in original source text.]

¹¹For the text of the communiqué issued on September 24 at the conclusion of the Foreign Ministers' meetings, see the Department of State *Bulletin*, October 13, 1958, p. 575.

March 1961 in Quito] special attention be given to working out additional measures of economic cooperation taking as the point of departure the Brazilian proposals known as 'Operation Pan America' and such others as the American governments might wish to submit in connection with the general subject. The Foreign Ministers were of the opinion that the Council of the OAS should set up a special "commission" of the Council on which 21 republics would be represented. Recommendations of such a group could then be carried out either through OAS organs or by the individual governments. The communiqué also expressed the opinion that practical steps could be taken at once: the establishment of an inter-American economic development institution; intensification of efforts to establish regional markets in Latin America.

On September 24, 1958, the Council of the OAS established the Special Committee for the Formulation of New Measures for Economic Cooperation (Committee of 21). Among the most important matters to be studied were the following: a draft resolution calling for an intensified program of technical training; a proposal for annual meetings of economic experts; a suggestion that the principal coffee consuming countries of the area urgently study the establishment of import quotas; a proposal to study possibilities for the establishment of a system of coffee buffer stocks, retention or export quotas and restrictions on production, a proposal to study ways and means to increase inter-American and international trade; proposals dealing with basic products; and a proposal to study ways and means to assist in increasing the flow of private investment capital to Latin America. The first sessions of the Committee were held in Washington between November 17 and December 12, 1958, and various recommendations and proposals were submitted to the committee.¹² A working group of 14 nations (Argentina, Brazil, Cuba, Chile, Costa Rica, El Salvador, Guatemala, Haiti, Mexico, Paraguay, Peru, U.S., Uruguay, and Venezuela) was established to consider the various items in preparation for the Second Session of the Committee of 21.¹³

¹² Documentation on the meetings held in Washington between November 17 and December 18, 1958, is in Department of State decimal file 363 as well as in the following Department of State lot files: OAS Files, Lot 69 D 665 and ARA/REA Files, Lot 61 D 248.

¹³ The working group met in Washington from January 15, 1959, until March 30, 1959. Documentation on its deliberations is in Department of State lot files 363 and 811.0020 as well as in the following Department of State lot files: ARA Special Assistant's Files, Lot 69 D 371; OAS Files, Lot 60 D 665; Rubottom Files, Lot 61 D 279; and ARA/REA Files, Lot 63 D 415.

The Second Sessions of the Committee of 21 took place in Buenos Aires from April 27 to May 8, 1959.¹⁴ The Committee ultimately settled on thirty-three (33) draft resolutions for approval by the Council of the OAS. While the limitations of space preclude a discussion or even a listing, of all of the resolutions approved by the Council on July 8, 1959, mention of several items will demonstrate the subjects covered and the range of problems under the purview of the Committee of 21:

The Inter-American Economic and Social Council (IAECOSOC) as advisory agency of the OAS on specific economic problems:

Measures to increase the flow of private investments and public capital; Analysis of commodity price-support systems and export subsidy policies; Evaluation, development, coordination of transportation in Latin America; Studies of wool and mineral markets;

Studies on regional industries;

Latin American regional market:

Problems of excessive fluctuation in the markets for basic products;

Liberalization of international trade in basic products:

Coordination of technical cooperation and assistance activities;

Survey and evaluation of natural resources;

Development of the home-building industry and financing of low-cost housing; University training of technicians;

Promotion of economic development through agrarian reform,

In February, 1960, the President of Brazil addressed to President Eisenhower an Aide Memoire¹⁵ suggesting that the delays attendant upon completion of the IAECOSOC's country-by-country economic surveys indicated the desirability of certain limited but immediate steps. The measures set forth by President Kubitschek were as follows:

1. Strengthening of measures for financing Latin-American development, preferably through the Inter-American Development Bank.

2. Technical and financial program for the development of agriculture and of the food industries in conformity with the individual characteristics of each country.

3. Measures to ensure adequate prices and market conditions for raw materials and primary commodities which are basic to the economic and social stability of Latin American countries.

4. Financial and technical assistance to an intensive program for the training of experts in economic development and for the campaign against illiteracy.

¹⁴ Documentation on the Buenos Aires sessions of the Committee of 21 is in Department of State decimal file 363 as well as in the following Department of State lot files: OAS Files, Lot 60 D 665 and Rubottom Files, Lot 61 D 279.

¹⁵ The text of the Brazilian Aide Memoire, which President Kubitschek handed to President Eisenhower on February 23, 1960, is in Department of State file 371.04/2-2360.

5. Financial and technical aid for the establishment of an inter-American organization for technological and productivity research in support of the industrial development of Latin America.

President Kubitschek also called for a meeting of the Subcommittee of 9 immediately after the COAS meeting scheduled for March 30, 1960. The Subcommittee met in Washington during June 6-June 24, 1960, to consider the Brazilian proposals and related matters.¹⁶ Following the work of the 9, the Council of the OAS at an extraordinary meeting on July 1, 1960, set July 1, 1960 as the date of the opening of the Third Period of Sessions for the Committee of 21 and Bogotá, Colombia, as the site for the meetings.

The draft agenda, subject to approval by the Committee, is as follows:

1. Opening of the sessions

2. Approval of the agenda

3. Consideration of the report of the Subcommittee of 9¹⁷ (which includes the five points in Kubitschek's Aide Memoire of February, 1960).

4. Other matters

The secretariat has proposed that the Committee set up four working groups or the sessions:

Group I—Financing of Development

Group II—Agriculture

Group III—Basic Products

Group IV—Education, Productivity, and Technology

It is expected that President Eisenhower's new concept for social development, announced on July 11, 1960,¹⁸ will be a matter of earnest consideration by the delegations at Bogotá. (Reference is made to White House press release, at Newport, of July 11th.) The President, pointed out that the Bogotá meetings would be considering one of the most important components "of our hemispheric future—the problem of social reform and economic growth." He indicated that the basic ideas which will guide the United States' participation at Bogotá are:

¹⁶ Documentation on the meetings of the Subcommittee of 9 in Washington is in Department of State decimal file 371.04 as well as in the following Department of State lot files; OAS Files; Lot 60 D 665; ARA/REA Files, Lot 61 D 248; ARA Files, Lot 62 D 302; and ARA Files, Lot 62 D 230.

¹⁷ The text of the "Report of the Subcommittee of the Special Committee to Study the Formulation of New Measures for Economic Cooperation" was approval by the Subcommittee of 9 on June 24, 1960. The text is in OAS Files, Lot 60 D 665, "Committee of 21-U.S. Delegation Position Papers."

¹⁸ For the text of President Eisenhower's statement of July 11, 1960, see the Department of State *Bulletin*, August 1, 1960, p. 166.

1. Widespread social progress and economic growth benefitting all the people and achieved within a framework of free institutions are the imperatives of our time.

2. Our nation's history and traditions place us in accord with those who seek to fulfill the promise of the future through methods consistent with the dignity of free men. Our interests and sympathies are with them.

3. A new affirmation of purpose is called for in our cooperation with friendly developing countries in their efforts to progress.

In his announcement, President Eisenhower outlined three specific needs which he believes must be met through cooperative action: practical ways in which developing countries can make faster progress in meeting their own needs and ways in which their friends can most effectively cooperate with them (he mentioned better land utilization, low-cost housing, and minimums for decent living); improvement of the opportunities for the bulk of the population to share in and contribute to an expanding national product; and acceleration of the trend toward greater respect for human rights and democratic government based on free elections. The Congress of the United States has indicated its general concurrence in the President's concept. *END UNCLASSIFIED*

BEGIN CONFIDENTIAL

Brazil views President Eisenhower's proposal as an emergency program applying to social infrastructure, to be followed by a program to deal with economic infrastructure. The Brazilians also are insisting on the principle of programming through a joint commission, either the Committee of 21 or some other multilateral committee, wherein funds available under the new program would presumably be allocated to the various countries by this group.

It is very probable that Brazil will lead representations at Bogotá in favor of some variety of massive U.S. assistance to Latin American economic development and in criticism of the level of existing and announced U.S. assistance. The President's new proposals are not likely to satisfy Brazilian desires on the scope and volume of U.S. aid.

II—U.S. POLICY AND OBJECTIVES

The United States believes (a) that the current, continuing revolution in Latin America requires energetic steps by *each nation's government*, in the direction of meeting the peoples' legitimate aspirations and that failure to do so can only lead to repetitions of the kind of destructive social upheaval seen in Castro's Cuba; (b) economic development programs which do not bring relatively quick, though perhaps relatively small, amelioration of dire misery encountered in many areas will not meet the above problem; (c) it is absolutely essential that

Latin American governments and nations make reasonable efforts to help themselves in attacking these problems, and (d) the United States stands ready to lend a hand in cooperation with individual national efforts.

We believe that the approach taken by the Committee of 21 in its work over the past two years has not been fruitful and does not promise real accomplishment for the future. The United States will seek, at Bogotá, to achieve restoration to the regular organs of the OAS of the responsibilities which the Committee has been undertaking, with a view to making greater use of the IAECOSOC for the consideration of economic problems, for the conduct of necessary economic studies, and for appropriate recommendations for solutions. At the same time we will seek acceptance of the approach embodied in President Eisenhower's program.

The U.S. delegation will press for: (a) the establishment of what may be called the Inter-American Fund (or Program) for Social Development, (b) use of the Inter-American Development Bank as the primary mechanism for administration of the fund, (c) acceptance of the principle of self-help, and (d) a strengthened IAECOSOC for Colombo-type discussions on social and economic problems. The action by the meeting will probably take the form of an agreement accepting the above points or whatever part of them may prove acceptable. The text of a draft of such an agreement was given Latin American representatives by Mr. Dillon on September 26, and the text has also been forwarded to each U.S. diplomatic mission in Latin America.¹⁹

III—SPECIAL CONSIDERATIONS (None)

IV—PUBLIC POSITION

Excerpts from the August 23, 1960 testimony before the House Foreign Relations Committee by Under Secretary of State Douglas Dillon (enclosed) may be used as our public position.²⁰

EXCERPTS FROM STATEMENT BY UNDER SECRETARY OF STATE DOUGLAS DILLON BEFORE HOUSE FOREIGN AFFAIRS COMMITTEE—AUGUST 23, 1960

¹⁹ Under Secretary of State Dillon handed the draft text of the "Agreement for the Establishment of an Inter-American Program for Social Development" to Latin American representatives in Washington on August 26, 1960. Documentation concerning the formulation and presentation of this document is in file 371.04.

²⁰ Under Secretary of State Dillon testified before the House Foreign Affairs Committee on August 23, 1960, in support of President Eisenhower's request that the Congress authorize the appropriation of \$600 million for the establishment of a new social program in Latin America.

PROGRAM FOR LATIN AMERICA

The United States and its neighbors in Latin America enjoy a special relationship rooted in unique and enduring ties of history, geography and trade. As neighbors we have worked in close political association through the Organization of American States. We have jointly developed and strengthened our economic and financial relationships. We now propose to join forces to deal with the pressing needs for social progress with which so many of our neighbors are confronted.

Despite notable and substantial economic growth in much of Latin America, despite rapid industrial development in many areas, despite some increases in agricultural production, the great majority of the peoples of these nations have achieved little improvement in their standard of living.

Among the reasons for this situation, several have particular significance. A very high rate of population growth has consumed a large part of increasing production. The general living standard has been so low that large percentage increases have involved only small gains in absolute terms. Productivity has been greatly hampered by the lack of education and training. Finally, outdated economic, legal and social practices and institutions have frequently impeded growth.

Thus, we find masses of people still living in extreme poverty, without adequate prospect of favorable change. At the same time there is wide popular appreciation in Latin America that such conditions need not exist and mounting demands that they be improved. Unless hope for improvement can be given, the prospect is for increasing frustration and unrest which can only lead to violence and destruction.

To provide an adequate response to these pressing needs is a task which will take effort, money and time. It will require initiative, effort and courage on the part of the Latin American governments to adopt and adhere to policies and actions which will assure their peoples a reasonable degree of social progress. We believe that the governments of Latin America recognize this need and that they have the will and the determination to take the necessary actions. This is a primary requirement for success.

While it is the Latin American countries themselves which of necessity must find the ways to solve these problems, few if any of them possess the means to do so alone. They need help—help in developing effective programs and help in the form of outside financing.

To provide such help is the purpose of the new social development program which we are proposing. We would contribute capital resources and technical assistance to support the efforts of those Latin American countries which are prepared to initiate effective institutional improvements and self-help measures in the field of social

development. We would hope to include in the new social development program for Latin America the Federation of the West Indies, which has achieved self-government and which will soon become fully independent—probably next year.

In a short time we shall be meeting with representatives of the governments of Latin America at Bogotá in a hemispheric economic conference. The discussions at Bogotá will look toward the development of plans for a positive and productive attack on the problems of social development. As I have suggested, effective plans will require strong actions by the Latin American governments, particularly in the field of domestic reform. To encourage them to take such actions, and to make plain that assistance to complement their actions can be anticipated, we need a clear and unmistakable expression of Congressional readiness to provide appropriations. It is for this reason that we are requesting an authorization at this time.

Such an authorization would provide a framework within which we and our friends from Latin America can develop new and more effective plans and programs for attacking the problems of social progress.

We envisage that the Conference should agree upon the basic objectives of a program for social development which gives primary attention to needs in three broad areas: (1) Improvement of the conditions of rural living and land use; (2) Improvement of housing and community facilities; and (3) Improvement of educational systems and training facilities. The program we envisage begins with the development of specific policies, plans and programs by each of the governments concerned. We foresee that the Latin American governments will obtain substantial help and advice from the Inter-American Development Bank, and the Inter-American Economic and Social Council in preparing specific projects and programs to expedite social progress, in examining the adequacy of existing tax systems, institutions, laws and policies to promote such progress and in developing more effective systems of mobilizing human and material resources to further these objectives.

We foresee that the funds which the United States would provide to assist in carrying out these plans and programs would be utilized for the most part for loans repayable in local currencies and administered through the Inter-American Development Bank. Nevertheless, we do not preclude the use of other mechanisms or means including grants where appropriate.

It is our idea that the total effort should be periodically reviewed and discussed within the Inter-American Economic and Social Council where the progress in each country could be assessed and plans for further progress could be discussed.

In these ways we believe the American Republics can proceed effectively basis of common effort to meet their most pressing needs.

ETA-49. Editorial Note

Under Secretary of State C. Douglas Dillon, accompanied by Robert Cutler, Executive Director of the Inter-American Development Bank; Thomas C. Mann, Assistant Secretary of State-designate for Inter-American Affairs; T. Graydon Upton, Assistant Secretary of the Treasury; two congressional representative from the Senate Foreign Relations Committee-Senator Bourke Hickenlooper and Senator Wayne Morse; and various advisers drawn from the Departments of State, Treasury, and Agriculture as well as from the International Cooperation Administration, the Export-Import Bank of Washington, and the Development Loan fund arrived in Bogotá, Colombia for the third meeting of the Special Committee of the Council of the Organization of American States to study the formulation of new measures for economic cooperation (Committee of 21) on September 3, 1960, and returned to Washington upon the conclusion of the Committee's deliberations on September 13.

At the third meeting of the Committee of 21, which was attended by representatives of all the Americans except the Dominican Republic, the United States presented for the Committee's consideration a proposed new program for prompting social progress in Latin America to complement existing programs in the field of economic development. Financing for the new program was to come from the appropriation authorized by the United States Congress on August 31.

In a statement to the first plenary session of the committee on September 6, Under Secretary Dillon, the chairman of the United States delegation, presented a draft agreement for an inter-American social development program and said that its purpose was to add to the present expanding programs of basic economic and industrial development a broad new dimension of social development to further social justice in the Western Hemisphere. The program's purpose, he stated, was to bring fresh hope to the less privileged people who constituted such a large proportion of the people of Latin America and to open before them the path to a better life of material well-being, equality, and dignity. The Under Secretary declared that the United States Government was prepared to devote over future years large additional resources to carry forward such a program, which was dedicated to supporting the self-help efforts of Latin-American governments and peoples.

The Latin American delegations welcomed the United States proposal. Their acceptance of the program was formalized in the Act of Bogotá, which was signed on September 13 by the representatives of all countries present except Cuba, whose representative had asserted on September 7 that the United States proposal was an instrument to stifle the awakening hope of the Latin American people in favor of the Cuban revolution, to isolate the Cuban people, to facilitate new aggression against members of the Latin American system, and to distract attention from problems of independent and self-sustained economic development.

For the texts of Under Secretary of State Dillon's statement of September 6 and the Act of Bogotá adopted on September 13, see the Department of State *Bulletin*, October 3, 1960, pp. 533 and 537, respectively. Additional documentation on Under Secretary Dillon's trip to Bogotá is in Department of State decimal files 110.12-DI and 371.04 as well as as in the following Department of State lot files: OAS Files, Lot 60 D 665; ARA/REA Files, Lot 61 D 248; ARA Files, Lot 62 D 302; Conference Files, Lot 64 D 559, CF 1750–CF1752, CF 1755, and CF 1757; and ARA/IPA Files, Lot 66 D 230.

ETA-50. Memorandum of Conversation, by the United States Representative on the Inter-American Economic and Social Council (Turkel)¹

Bogotá, September 5, 1960.

PARTICIPANTS:

<i>United States</i>	<i>Central American Republics</i>
Under Secretary Dillon	Sr. Fernando Eleta, Minister of Finance of Panamá, and spokesman for the Central American Republics
Mr. Mann	Sr. Jorge Bueno Arias, Minister of Economy of Honduras.
Ambassador Turkel	Sr. Juan [illegible in the original], Secretary of National Economic Council of [illegible in the original]
	Sr. Juan José [illegible in the original], Minister of Economy of Nicaragua

¹ Source: Department of State, Secretary's Memoranda of Conversations, Lot 64 D 199. Official Use Only. The conversation recorded here took place in Under Secretary Dillon's suite at the Chancery at 3:30 p.m. Dillon was in Bogotá to head the United States Delegation to the meeting of the Committee of 21. Turkel was also a member of the delegation.

Dr. Pedro Abelardo Belgado, Deputy Minister of Economy of El Salvador
Sr. Mario Dalpente, [illegible in the original] Representatives to IA-ECOSOC
Sr. Julio Prado, Minister of Economy of Guatemala.
Dr. Alberto [illegible in the original], Chief, Office of Integration, Ministry of Commerce of Guatemala.
Sr. Jorge Borbón, Minister of Finance of Costa Rica
Sr. Alfonsa [illegible in the original], Executive Director for Central America in the Inter-American Development Bank

SUBJECT

Views of Central American Delegations on Social and Economic Development

Sr. Eleta began by stating that there was unanimous appreciation of the new U.S. plan. They agreed that it should be channeled through the Inter-American Development Bank. There is no need to have a new organization; the IA-ECOSOC can be strengthened. Any help given by the U.S. must be matched and surpassed by the countries themselves, but this ability to perform depends upon their economic development. The social help should not burden the Central American budgets; hence, there should be no requirement of repayment or else the new effort would simply be limiting the credit worthiness of the countries for other purposes. A study of the basic commodities is a matter of utmost importance to the Central American countries. Finally, he said that the six Delegations were now studying ways of getting together to augment the credit institutions in Central America for economic development. They also want to talk to the President of the new inter-American Bank.² He concluded by saying that he hoped Mr. Dillon would receive them one more afternoon where they could talk on matters of pure economic development.

Mr. Dillon stated that he appreciated their views; these were similar to our own. We had found misunderstandings among other Delegations as to the place of the new program in the over-all development of Latin America. We never intended, by suggesting the need for this program, to suggest any lessening of economic development. We went to make even greater officers in the economic field. Indeed, it is not possible to draw a very sharp line between social and economic development. It is our idea that the fund will be transferred to the new bank, loaned to the countries which will repay in local currencies under terms like those of the special fund of the new bank, and when these local currencies are repaid, they can resolve. Moreover, if the operation moves as we believe it will the U.S. would be willing to put in more money.

² Felipe Herrera.

On the IA-ECOSOC, Mr. Dillon said our views are identical. As to commodities, we believe in effort to prevent violent swings in price. The producers should get together but should do so on a commodity-by-commodity basis. In some cases the same commodity is produced in other parts of the world and this means we must have a world agreement. As to coffee, efforts must be made to strengthen the existing arrangements, and to do it in the coffee study group. There should be some way of working out statistical collaboration between the U.S. and the coffee countries, and thus help the coffee countries police their own agreement. We will have to talk to the Africans, but feel they are getting closer all the time to full collaboration.

Sr. Eleta then proceeded to emphasize the limited credit potential of the Central American countries. If they are going to give priority to borrowings for hospitals, schools, and so on, they will put down on their ability to borrow for productive economic purposes. Even though they don't like grants or endowments, Central America needs them.

Mr. Dillon replied that when he had presented the new plan to Congress he told them the bulk would be distributed through the Inter-American Bank on the basis described, but the U.S. would reserve the right to utilize part of it for schools and other projects of that nature. We would be prepared to look at these through our IGA mechanism. There was no objection to this so long as it was limited to non-productive projects. Education is, indeed, basic. There are tremendous accumulated needs in housing, but unless there are more job opportunities people should not be encouraged, through better housing to move to the cities. In the same way it is not a good idea to build hospitals if there are no doctors to man them and equipment to use. In this social development program we don't intend to push the people to move too rapidly and get out of phase with economic development. The self-help type of housing is best.

Here Mr. Mann interjected that the first priority in housing would go toward fostering building and loan associations, and then mobilize local resources.

Sr. Eleta spoke once more, repeating himself on basis commodities.

Sr. Buess of Honduras then said that all six republics recognized that the main results would depend upon their own efforts. Some of these republics have been trying to inaugurate their own economics. It has required grant sacrifices and they have to be gaining momentum on a Central American common market, thus laying the basis of future development for greater production our greater consumption. Eventually they hope to become one political unit.

Mr. Dillon said the U.S. strongly supports that concept and will help Central America [illegible in the original]. Mr. Dillon will speak to Mr. [illegible in the original] who arrives this afternoon, to see if we can't get

help to launch the Central American Bank. Nevertheless, in every other way the U.S. will sympathetically support the integration movement.

Sr. Eleta then said that the six Delegations expect to hold further meetings and will ask for discussions with [illegible in the original] and with Felipe Herrera.

Sr. Fuentes Mohr of Guatemala then said the six republics fully agreed on the revolutionary new program prepared by the U.S. but hope Mr. Dillon will do something *concrete* to help launch the integration movement in Central America and these republics will sacrifice as much as their economies will permit. In planning, financing of the Central American Bank the U.S. should think of Central America as an economic unit. So far; the movement is proceeding with differing degrees if intensity down there and the movement needs acceleration.

ETA-51. Memorandum of Conversation, by the United States Representative on the Inter-American Economic and Social Council (Turkel)¹

Bogotá, September 12, 1960.

PARTICIPANTS:

United States
Under Secretary Dillion

Mr. Mann
Ambassador Turkel

El Salvador

Sr. Dr. Pedro Abelardo Delgado, Deputy Minister of Economy

Sr. Dr. Luis [illegible in the original] Representative of Central Bank

Guatemala

Sr. Dr. Alberto Fuentes Mohr, Chief, Office of Integration, Ministry of Commerce

Honduras

Sr. Jorge Bueso Arias, Minister of Economy

Sr. Roberto [illegible in the original] President, Central Bank of Honduras

Nicaragua

Sr. Juan Jose Lugo Morenco, Minister of Economy

SUBJECT:

Proposed Central American Development Bank

¹ Source: Department of State, Secretary's Memoranda of Conversations, Lot 64 D 199. Official Use Only. The conversation recorded here took place in the Hotel Tequendama at 5:30 p.m.

Sr. Bueso presented a memorandum² on how the U.S. could help in the integration of Central American economies by the establishment of a Central American development bank. Such a bank could finance roads of common importance, the linking up of electric power networks, industrial loans of a regional character, and loans to enterprises requiring help because of readjustments of tariffs. It would be a mixed bank of government and private capital, reinforced by external loans. Each Central American country would put in \$2 million; there would be a total of \$2 million private capital. They request a ratio of 3 to 1 of external resources to Central American resources. There would be an open door for Costa Rica and Panamá, but since this is an integration movement these two republics would have to be members in the trade area, as well as in the bank.

Mr. Dillon said that we are warm supporters of Central American economic integration and recognize the need for a bank. The U.S. believes that once it has started the situation will rapidly improve. Heretofore, we have had no very definite project for such a bank, but at the time of the Bank/Fund meeting in Washington at the end of September³ we would be ready to work out a draft charter. The Inter-American Bank might serve as a supervisory trustee for U.S. funds. Certainly it would be a good thing to work closely with that Bank.

Mr. Dillon observed that President Herrera said he was very much interested in this bank and would like to give technical help.

Mr. Dillon said that we can't tell how much the U.S. is ready to do until we sit down and discuss it. The figure of \$80 million mentioned in a table at the end of the memorandum is much more than we had hereto discussed. The important thing, however, is to get started. As in the case of DLF experience, we found that some national development banks require successive loans after the initial loan. He also said that where major projects are concerned the parties might consider assistance from organizations other than the proposed bank.

Mr. Mann suggested that, in order to save time, it would be best for the U.S. to do its preparatory work with someone (perhaps Mr. Rochac) between now and the end of the Bank/Fund meeting and we could all meet thereafter, say September 25. Sr. Mohr said that it is true that the important thing is to get started, but in order to have the psychological impact that the Central American common market is here to stay the new

² Not found in Department of State files.

³ Reference is to the annual joint meetings of the Boards of Governors of the IMF, IBRD, and IFC, held in Washington, September 26–30, 1960. For text of a message from President Eisenhower to the representatives at the meetings, and statements by Secretary of the Treasury Anderson, Under Secretary of State Dillon, and Assistant Secretary of the Treasury Upton concerning the problems of a developing world economy, see Department of State *Bulletin*, October 17, pp. 607–617.

bank would need a good push to assure that it would succeed. As of now, the Central American trade amounts to only 4% and it won't be significant until it reaches 25%, and investment is needed to achieve that figure.

Mr. Dillon agreed that it doesn't do much good to take away barriers to trade unless you have investment for production. The Coal and Steel Community in Europe needed a balancing fund but they found out that the problems were not as great as they had feared.

Mr. Dillon asked if there was any reason why the Inter-American Bank can't loan some of its own funds to the Central American bank. The answer was given that President Herrera was well-disposed to the Central American Bank and had offered a secretariat and a meeting place in his bank.

Subsequent discussion brought out the information that while the World Bank has been thinking of a private Central American bank, the World Bank had aimed at \$10 million worth of private Central American capital, and there was general concurrence among the Central Americans present that this was far too much to expect. Moreover, the World Bank was thinking of another private bank operating in five countries.

The conclusion was reached that Mr. Mann would arrange for U.S. technicians to talk to Mr. Rochac to discuss a charter and that a meeting would be held at the close of the Bank/Fund meeting at the end of September.⁴

⁴ Apparent reference to the meeting held on September 30; for the memorandum of conversation at that meeting, see Document ETA-53.

ETA-52. Letter from the Acting Secretary of State to the Secretary of the Treasury (Anderson)¹

Washington, September 16, 1960.

Dear Bob:

I am seriously concerned over the threatened decline in the flow of U.S. private investment to less-developed countries and am certain that you fully share this concern since we just continue to rely heavily

¹ Source: Department of State, Central Files, 820.05111/9-1660. Confidential. Co-drafted by Edwin M. Martin, Assistant Secretary of State for Economic Affairs, and Peyton A. Kerr, Director of the Office of International Financial and Development Affairs, on September 9, and retyped in the Executive Secretariat on September 14.

on American private enterprise in the task of financing economic development in these countries.

I am advised, for example, that recent actions taken by the Cuban government have drastically reduced the willingness of American investors to subscribe to new security issues intended to finance an expansion of activities by U.S. firms in Latin America. It appears inevitable that the rising concern over the safety of existing foreign investment, which has already reached a high level, will seriously restrict new investment outside of Europe. Whereas our foreign policy objectives require an increase in the volume of private foreign investment in less-developed countries, we appear to be threatened with a decline.

We therefore propose to give serious consideration to means of reviving the interest and confidence of U.S. investors in the foreign field, especially Latin America. Perhaps we should seek to make available broader insurance coverage against expropriation and non-convertibility. The requirement of a bilateral Investment Guarantee Agreement as a prerequisite to guarantees administered by ICA should be re-examined. All other possibilities should be identified and explored.

In this context, it would be most helpful if the Treasury Department could undertake a review of present tax legislation to determine the advisability of changes which would reduce the losses taken by U.S. firms when their overseas investments are seized by permitting recovery out of U.S. taxes to an extent and under conditions deemed to be appropriate in view of the basic objective to which I have referred.

I should appreciate your reaction to these suggestions and any other suggestions you may have on this important subject.

With best wishes,

Sincerely,

DOUGLAS DILLON

Acting Secretary

ETA-53. Memorandum of Conversation, by Joseph Carwell of the Office of Central American and Panamanian Affairs¹

Washington, September 30, 1960.

SUBJECT

Meeting on Central American Regional Bank

PARTICIPANTS:

Dr. Lugo Marengo, Minister of Economy (Nicaragua)
Lic. Jorge Bueso Arias, Minister of Economy (Honduras)
Lic. Roberto Ramirez, President, Central Bank of Honduras
Dr. Pedro A. Delgado, Acting Minister of Economy (El Salvador)
Dr. Alberto Fuentes Mohr, Special Representative, Minister of Economy (Guatemala)
Ing. Mario Dalponte, Economic Counselor, Embassy of El Salvador
Dr. Alfonso Rochac, Executive Director, BID
Ing. Alfredo Hernandez, BID
Lic. Manuel Benfeldt, Minister of Finance (Guatemala)
Department of State:
ARA-Assistant Secretary Thomas C. Mann; ARA-Mr. Milton Barall;
REA-Mr. Alex Rosenson; OAP-Mr. Joseph Carwell

Assistant Secretary Mann opened the meeting with the statement that it is his hope that the United States Government will be able to make available to the proposed Bank \$10 million (\$5 million from the Development Loan Fund and \$5 million from the International Cooperation Administration), and that he understood that ICA might be willing to grant \$2 million (non-interest bearing) cash in the present fiscal year, as part of the "capitalization" of the Bank. A Presidential determination for the additional \$3 million for the following year would be required. Mr. Mann underscored the fact he could not speak for the DLF and ICA, even less for the Congress of the United States, and that present plans must be considered to be tentative.

Mr. Mann pointed out that regarding the DLF portion of the finances, there are strong policy grounds for not paying out money in advance of actual need, and that Congress has been critical of DLF for channelling too much money through development banks rather than directly. ICA has more flexibility in this regard. Whether the additional \$3 million financing Aram ICA will be in the form of a loan or grant, is uncertain. However, Mr. Mann stated, he will try to persuade ICA that it be in the form of a grant.

Mr. Delgado raised the question as to whether it was possible for the United States to increase its contribution to the Bank above \$10 million.

¹ Source: Department of State, Central Files, 813.14/9-3060. Confidential. Drafted on October 6.

Both Mr. Barall and Mr. Rosenson replied that if the Bank places its loans wisely and can justify the need for increased funds, there would probably be no difficulty in finding additional funds.

Another question raised by Drs. Rochac and Delgado, in view of the known IBRD interest in forming a regional bank to service small industries, was whether it would be inappropriate for the Bank to engage in this type of lending activity. Mr. Mann replied that this was a matter for the Central American representatives to explore directly with the IBRD.

In conclusion, Mr. Mann stated that he thought that during the next two weeks, this group, as the representatives of the proposed Bank, should (1) meet with State, DLF, and ICA to work out the terms regarding loans and grants; (2) draw up a charter for the Bank, and (3) prepare a press release acceptable to the United States Government announcing the formation of the Bank.

ETA-54. Memorandum from the Assistant Secretary of State for Inter-American Affairs (Mann) to the Under Secretary of State (Dillon)¹

Washington, October 17, 1960.

SUBJECT

Central American Bank for Economic Integration - Request for Contingency Fund Financing

Discussion:

During the past several weeks discussions concerning the establishment of and United States financial assistance to a Central American Bank for Economic Integration have been carried on by United States Government officials and representatives of the Governments of Guatemala, Honduras, Salvador and Nicaragua. This memorandum requests the commitment of \$2 million from the FY 1961 Contingency Fund, as part of United States assistance of \$10 million to the Central American Bank for Economic Integration, as soon as the institution

¹ Source: Department of State, ARA/OAP Files, Lot 64 D 16, "Economic-Central American Integration: El Salvador, 1960." Confidential. Drafted by Carwell on October 11, 12 and 17; concurred in by E, U/MSC, ICA, DLF, and Treasury.

is established. This memorandum also requests your approval for an additional \$3 Billion ICA contribution to the Bank from FY 1962 funds and for a determination that it is in the national interest for DLF, pursuant to Section 202(c) of the Mutual Security Act,² to allocate \$5 million of its funds to the Bank. Each of the four member countries of the Bank—El Salvador, Honduras, Guatemala and Nicaragua—will make an initial contribution equivalent to \$2 million to be paid in three installments over 14 months. The bank will be set up as an international legal entity with its own charter, in accordance with Article XIX of the Treaty of Economic Association, of February 6, 1960, establishing a common market in the region (Tab C).³ The purpose of this Bank is to promote the integration and balanced economic development of the member countries.

The action recommended is in pursuance to your discussion with the Representatives of the Central American countries during the Bogotá Conference, in September 1960,⁴ to the effect that, “we are warm supporters of Central American integration and recognize the need for a Bank.” You further suggested that “at the time of the Bank/Fund meeting in Washington at the end of September . . . that we can’t tell how much the United States is ready to do until we sit down and discuss it. The figure of \$30 million mentioned . . . is much more than we had hereto discussed. The important thing, however, is to get started.” I therefore arranged for United States Government technicians at the close of the Bank/fund meeting to discuss the proposed bank. Participants in meetings included the Ministers of Economy and other high officials of Guatemala, El Salvador, Honduras and Nicaragua.

After consulting with ICA and DLF, I stated at the September 29 meeting with Central American high officials that, our present thinking is to make available funds up to \$10 million to the bank as described above. However, when the \$10 million referred to above is exhausted, United States agencies will be prepared to consider further assistance as appropriate to augment the Bank’s resources, taking into account the degree of progress achieved in the economic integration program and

² Section 202(c) of the Mutual Security Act of 1960 (Public Law 36–472), approved May 14, 1960, required a Presidential determination to permit the DLF to allocate funds in excess of \$50,000 for use in any single country. For text of the Act, see 74 Stat. 134.

³ The attachment designated Tab C is not printed here. For text of the Treaty of Economic Association (with Annexes), signed by El Salvador, Honduras, and Guatemala at Guatemala City, February 6, and entered into force, April 27, 1960, see *United Nations Treaty Series* (UNTS), vol. 383, p. 3. The Embassy in San Salvador transmitted an extensive analysis of the treaty’s provisions to the Department of State in dispatch 337, February 19, 1960, not printed. (371.42/2–1960)

⁴ For the memorandum of conversation containing Under Secretary Dillon’s statements, dated September 12, see Document ETA–51.

the contribution which has been made by the regional Bank to such program, and member Government support for the institution.

The representatives of the four Central American Governments have formally applied to the ICA for the funds to be contributed to the resources of the Central American Bank for Economic Integration.

In order to inform the participating Governments that \$5 million of the \$10 million of assistance would be provided by DLF, we propose an allocation of a credit, under the terms of section 202(e) of the Mutual Security Act (Tab C),⁵ of \$5 million to be extended upon the satisfactory establishment of the Bank. A formal application for such a loan has been filled with the DLF and several discussions have been held with DLF officials, including a nesting with the Managing Director. The draft charter (Tab E)⁶ of the Bank provides for paid-in capital subscriptions, in three installments over a 14 month period, of \$2 million by each member country. These contributions to the capital of the Bank would be available for use on a multilateral basis within the region (with the national currencies subscribed being convertible). It is deemed necessary to allocate \$5 million of DLF funds for the purpose of a loan to the Bank at this time in order to further the establishment of the Bank which requires contributions by the member countries as well as the United States which contribution it is hoped will be authorized by the member countries in the near future.

With respect to the \$3 million from ICA, we believe that it would be possible to meet this part of the \$10 million in a timely manner from FY 1962 ICA funds and thereby make minimum demands on the contingency Fund in 1961. We are therefore preparing papers for a 1550 determination (Tab A).⁷

The draft charter establishing the Bank (Tab E) which was discussed in retail with United States Government techniques, is subject to ratification by each of the national legislative bodies of the member countries before it can become operative. It is contemplated that ratification by the respective national legislatures be completed by January

⁵ Not printed here.

⁶ Not printed.

⁷ Not printed. NSC Action 1550, as approved by the President on May 8, 1956, established a procedure for making commitments to foreign governments on behalf of the United States, subject to the availability of funds. It stipulated that no promises or commitments involving future performance or expenditures of U.S. funds for foreign assistance should be made or implied, except upon specific determination by the Executive Branch covering the following four points: 1) the commitment was in accord with approved policy, 2) the funds had been approved by Congress or there was an Executive decision to request additional appropriations, 3) a judgment had been made indicating that the funds would be used effectively, and 4) the probable time span during which the assistance might have to be granted had been determined. (S/S-NSC (Miscellaneous) Files, Lot 66 D 95, Records of Action)

1961. Under the terms of the Charter, one half of the paid-in capital subscribed by each member country (the equivalent of \$1 million dollars) shall be payable within sixty days from the date this Agreement enters into force. This would indicate that the Bank would begin operations no later than April 1961.

United States Government technicians also discussed the draft press statement (Tab F)⁸ proposal to be issued when the determination recommended herein is approved.

Attached is a historical discussion of the actions taken which led to the formation of the Central American common market and the Central American Bank for Economic Integration (Tab B).⁹

Recommendations:

1. That you sign the attached 1550 determination¹⁰ (Tab A).
2. That you set aside \$2 million from the Contingency fund on a grant basis, upon the establishment of the Bank.

Approved _____¹¹

Disapproved _____

3. That in accordance with the provisions of Section 202(c) of the Mutual Security Act and pursuant to the authority which has been delegated to you by Executive Orders Nos. 10575¹² and 10610¹³ and Department Delegation of Authority No. 85,¹⁴ you confirm that you have determined that it is in the national interest for DLF to use the funds proposed to be lent by it to the Central American Bank for Economic Integration pursuant to multilateral plans being developed for the financing of that institution.

Approved _____¹⁵

Disapproved _____

⁸ Not printed here. The referenced press release was issued as a joint statement by the United States, Guatemala, El Salvador, Honduras, and Nicaragua on November 3; for text, see Department of State *Bulletin*, November 21, 1960, pp. 782–783.

⁹ Not printed.

¹⁰ Not printed. The required 1550 determination regarding the U.S. commitment of funds to the Central American Bank for Economic Integration (CABEI), was signed by Dillon on October 20 and Stans on October 31, 1960. The signed copy is filed separately under decimal number 813.14/10–3160.

¹¹ Dillon initialed approval on October 20, 1960.

¹² Executive Order 10575, November 6, 1954, concerns the administration of the mutual security program; for text, see 19 *Federal Register* 7249.

¹³ Executive Order 10610, May 9, 1955, contains provisions abolishing the Foreign Operations Administration and transferring many of its functions to the new International Cooperation Administration; for text, see 20 *Federal Register* 3179.

¹⁴ The referenced Delegation of Authority, dated June 30, 1955, implements Executive Order 10610; for text, see 20 *Federal Register* 4825.

¹⁵ Dillon initialed approval on October 20, 1960.

**ETA-55. Circular Airgram from the Secretary of State to All
Diplomatic Posts in Latin America¹**

Washington, October 20, 1960, 10:13 p.m.

SUBJECT

Inter-American Social Development Program

REFERENCE

State CA-2131, September 2, 1960

SUMMARY

The U.S. Inter-American Program for Social Development, now incorporated into the Act of Bogotá, constitutes a major evolutionary step in U.S. policy toward Latin America. Country Teams are requested to study means of exploiting it in the light of local conditions.

The instruction cited outlined in some detail the historical background to the recent meeting of the OAS Committee of Twenty-One at Bogotá, and further explained the purposes and objectives of the new U.S. Inter-American Social Development Program to be presented at that meeting.

With Cuba casting a sole dissenting vote, the Committee adopted the "Act of Bogotá" which incorporates major features of the U.S. proposals with some additions by the Latin American countries. This document represents a significant new long range approach by the U.S. Government, in cooperation with the other American Republics, to attack the roots of social unrest in the area. The Council of the OAS has given its formal approval.

On the one hand, the new Act calls upon Latin American countries to institute some badly needed new legal and institutional reforms for the purpose of providing greater economic opportunities to the average citizen and particularly to the lower income groups. On the other hand, it states the intention of the U.S. Government to provide capital resources and technical assistance "to support the efforts of the Latin American countries that are prepared to initiate or expand effective institutional improvements and to adopt measures to employ efficiently their own resources with a view to achieving greater social progress and more balanced economic growth."

Under the first heading the Act of Bogotá calls for measures in the following fields: (a) improvement of conditions in rural living and land use; (b) improvement of housing and community

¹Source: Department of State, Central Files, 820.40/10-2060. Confidential.

facilities; (c) improvement of educational systems and training facilities; (d) improvement of public health; and (e) mobilization of domestic resources. In subscribing to this Act, the Latin American Governments recognized the principle of self-help and pledged themselves to give greater and more urgent attention to the basic social needs of their own people.

Initial financing of the new program will come from the \$500 million authorization voted by the U.S. Congress just prior to the Bogotá meeting. The Executive Branch intends to seek actual appropriation of funds during the next session of the Congress in January. The recently created Inter-American Development Bank will be the primary mechanism for administering the funds.

Our representatives at Bogotá made it clear that the U.S. Government contemplates continuing support for the new social development program. If the funds are used effectively, and if Latin American countries indicate that they are making a genuine self-help effort to improve social conditions, further assistance should be forthcoming after the initial funds are committed. We also made clear that we regard the new program as a supplement to, and not as a substitute for, programs of assistance to basic economic and industrial development. We indicated, in fact, that we would favor further increases in basic development assistance from the U.S. to Latin America on suitable terms.

Similarly, the new program is not expected to interfere with, or substitute for, normal technical assistance programs of the International Cooperation Administration in Latin America.

The U.S. Government views the recently signed Act of Bogotá as a major evolutionary step in U.S. policy toward Latin America, adding to existing programs of economic development a broad new dimension of aid for social development. In the words of Under Secretary Dillon, the American Republics have ushered in a "new era" of inter-American social and economic cooperation.

It is to our interest, therefore, to give widest publicity to U.S. participation in this venture, through all possible channels, setting the U.S. effort into the context of a cooperative drive by the inter-American community to improve the social condition of the individual.

While the new social development program is considered a matter of greatest urgency, some time will unavoidably elapse before Congress appropriates funds to make it fully operational. During this initial phase, and until definitive steps actually are taken, the public should be kept adequately informed, but care should be taken not to overlay the program.

Joint efforts of all members of the Country Team will be required to present the facts to all audiences within your country. While basic

publicity responsibility naturally lies with USIA, other members of the Country Team can assist through word-of-mouth or other approaches to their particular contacts.

It may be well to point out that some provisions of the Act of Bogotá do not lend themselves to official publicity through USIA. The self-help sections are an example. The efforts of other agencies can usefully be directed toward the essential task of building a favorable climate of local opinion toward the concepts of tax reform, land resettlement, and similar self-help measures which the Latin American nations have approved at Bogotá.

The Embassy is requested to study these possibilities in the light of local conditions, and plan special projects and/or approaches through the Country Team. Reports of such activities will be appreciated. Background materials, including texts and speeches, in addition to those already transmitted through USIA, will be forwarded to the Embassy and/or USIA as they become available. (State and ICA are preparing Joint instructions to Embassy and USOM's regarding preparation for \$500 million Social Development Program in Latin America under American Republics Cooperation Act.)

PUBLIC POSITION

The statement of President Eisenhower at Newport last July 11 in announcing this new program, the testimony of Under Secretary Dillon before the House Foreign Relations Committee August 23, and statements by our official delegation both during and immediately following the Bogotá Conference, constitute our public position.

Acting

Bolivia: U.S. Relations with Bolivia¹

¹ For previous documentation, see *Foreign Relations*, 1955–1957, vol. VII, American Republics: Central and South America, Documents 248–294.

BL-1. National Intelligence Estimate¹

Washington, January 7, 1958.

NIE 92–58

THE OUTLOOK FOR BOLIVIA

THE PROBLEM

To estimate the outlook in Bolivia, with special reference to the prospects for domestic stability.

SUMMARY

1. In the last five years Bolivia has undergone political revolution and severe economic decline. U.S. economic assistance, totaling over \$70 million since 1953, has prevented a complete collapse of the economy and during the last year has made possible modest progress under a program of economic stabilization. Bolivia has some potential for development, particularly of petroleum resources, but it faces formidable obstacles—including relative inaccessibility of large areas of the country, the illiteracy of most of its people, and the deterrence which political instability poses to private investment. Consequently, continuation of the presently favorable economic trend will require substantial foreign assistance for a number of years.

2. The recent improvement in the economic situation has depended in large part on the effective leadership of President Siles, the moderate

¹ Source: Department of State, INR Files. Secret. According to a note on the cover sheet, this estimate was submitted by the Director of Central Intelligence, and the following intelligence organizations participated in its preparation: The Central Intelligence Agency and the intelligence organizations of the Department of State, the Army, the Navy, the Air Force, and the Joint Staff. The members of the Intelligence Advisory Committee concurred in the estimate on January 7, 1958, with the exception of the representative of the Atomic Energy Commission and the Director of the Federal Bureau of Investigation, who abstained, “the subject being outside of their jurisdiction.”

leader of the dominant party in Bolivia. Although he enjoys widespread approval, his authority rests heavily on organized labor—a vociferous minority which has been the standard bearer and principal beneficiary of social and political change. Siles has demonstrated considerable skill in consolidating his position by taking advantage of the struggle for control of the labor movement between rival leftist labor leaders Lechin and Sanjines, with the latter providing influential support for Siles. However, Sanjines' checkered and opportunistic background, including past associations with Communism, gives cause for some concern as to the reliability of his support. Further, some of Siles' labor support will almost certainly be lost as he proceeds to apply the austerity measures necessary to his program. Nevertheless, we believe that with continued U.S. aid the chances are somewhat better than even that the present moderate regime will, barring Siles' death or resignation, survive until the expiration of his term in 1960. The chief threat to the regime is the possible loss of Siles' leadership since there is no indication of a strong moderate MNR successor.

3. Either a deterioration in the economic situation or too severe austerity would probably unite the labor movement against Siles. If labor unrest led to riots and violence on a large scale, the government probably could not preserve order. In any case, the resulting political turmoil would greatly improve the prospects for the assumption of control by a leftist labor regime and would enhance the influence of the small but militant Communist groups.

DISCUSSION

BACKGROUND

4. Bolivia has some potential for agricultural development and possesses sizeable petroleum resources which are beginning to be exploited. However, development has been and will continue to be hampered by great social and geographical obstacles. Hence Bolivia is today an exceedingly poor country; its standard of living is the lowest in Latin America, except for Haiti. Mining, principally of tin, is still the backbone of Bolivia's money economy and provides the bulk of foreign exchange. Most of Bolivia's three and one-half million people are Indians. They are largely illiterate and are engaged in subsistence agriculture.²

5. The dominant political force in Bolivia is the government party, the Nationalist Revolutionary Movement (MNR), which came to power in 1952 through a revolution. The new regime under the presidency of Victor Paz Estenssoro stripped the old ruling group of power in favor of labor and middle class groups. The principal tin mines were nationalized and large landholdings expropriated. Civilian militias were organized as a counterbalance to the army, the political role of which was sharply

² Agriculture and cattle raising employ about 64 percent of the population but contribute only slightly over 27 percent of GNP. [Footnote in the source text.]

diminished. The decisive victory of the MNR in the June 1956 elections reflects the extent of its political control and the appeal of its program. The leader of the moderate sector of the MNR and former Vice-President, Hernan Siles Zuazo, was elected President. His principal task has been to deal with the critical economic problems that beset the country.

ECONOMIC SITUATION

6. The ambitious reforms of the Paz regime, including large wage and social benefits, resulted in substantial government deficits. At the same time production declined both in mining and agriculture. In addition, falling world prices for metals reduced foreign exchange earnings. The result was a serious inflation, with the cost-of-living index (1953 = 100) soaring from an average of 50 in 1952 to 2,805 in December 1956; depreciation of the free market exchange rate for the boliviano was almost as great. In the period 1953–1957 the U.S. provided over \$70 million in economic assistance. Nevertheless, in late 1956 economic deterioration reached critical proportions.

7. With U.S. and International Monetary Fund backing, President Siles introduced a comprehensive monetary stabilization program in December 1956. The program aims to encourage private incentive and investment and to balance the government's foreign exchange and national budgets. Backed by a \$25 million stabilization fund,³ the government undertook to reduce monetary circulation and to increase government revenues by tax and banking reforms. Chief among these measures was a one-year wage freeze. Other steps included establishment of a single exchange rate and a reduction of subsidies and foreign trade controls. Direct efforts were intensified to increase production and to improve basic facilities, such as transport and power. In addition, the Siles administration is trying to attract foreign capital and has begun repayments to many foreign bondholders and commercial creditors.

8. In its first year, the stabilization program made some progress in arresting economic decline. Agricultural output increased, black market operations were eliminated, and the real income of farmers improved. At the same time, food prices gradually declined. The cost-of-living index fell from 2,805 in December 1956 to 2,220 in September 1957. Banknote circulation, which rose by 277 percent between 1955 and 1956, increased only 15 percent from 18 December 1956 to 21 September 1957. During the first year of stabilization, the external value of the boliviano depreciated only about 11 percent from the initial value set on 15 December 1956; it was relatively stable during the last half of 1957.

³ This included a one-year IMF standby agreement under which Bolivia could purchase foreign currencies equivalent to U.S. \$7.5 million, a U.S. Treasury exchange agreement providing that Bolivia may request the U.S. Exchange Stabilization Fund to purchase bolivianos amounting to U.S. \$7.5 million, and an additional \$10 million from ICA. Thus far about \$12.5 million from these sources have been used (IMF—\$4 million, and ICA—\$3.5 million). [Footnote in the source text.]

9. Much of this improvement reflected the relative success of measures to balance national and foreign exchange budgets. U.S. aid was still needed to cover a budget deficit estimated at \$13 million in 1957. Nevertheless, the government was able to limit borrowings from the Central Bank to about one percent of the money supply in the first nine months of 1957 as compared to 150 percent the same period of 1956. Bolivia's balance of payments deficit in 1957 is expected to be less than half the level of 1956, and will be covered almost entirely by U.S. aid. Continued deficits through 1958 are expected to require about \$22 million in U.S. aid funds.⁴

10. Despite this progress, serious problems affecting the stabilization goals remain. In the mining industry, although incentives for production were increased, these as yet have had little effect and the problems of obsolete facilities, high costs, and surplus labor remain acute. A serious reduction of export income from the mines accounted for much of the pressure on the exchange rate in 1957, and a further decline in this source of income is expected in 1958. The relatively small manufacturing industry—employing 55,000—is still in a distressed condition. Throughout the economy high wage costs and the inability of employers to dismiss excess workers is a continuing difficulty.

11. The rate of capital investment is not adequate to maintain present per capita consumption levels at current rates of population growth. A program to raise per capita consumption one percent a year in 1958–1967 and to absorb the estimated increase in labor force of 26,000 per annum would probably require an annual investment of \$80 million. Average annual investment in the 1950–1955 period was only \$37 million. Bolivia's ability to obtain foreign loans and investment will continue to be adversely affected as long as the problem of settling claims of former owners of the nationalized mining properties remains open. However, with the curbing of inflation there may be a better use of available resources and U.S. aid will be channeled more directly to development needs than in the past.

12. *Economic Prospects.* Agricultural development depends to a great extent on substantial improvement in farming techniques, on the solution of the difficult problem of relocating labor, and on the development of adequate means of bulk delivery from farm to market. Efforts to relocate a surplus labor force of 10,000 to 18,000—primarily from mining—have only begun. The fertile lowlands of eastern Bolivia are almost unexploited, but resettlement from the highlands is difficult for physiological reasons. However, the long-term potential for increased agricultural production is good.

13. While metal production in the private mines has been expanding, total metal production has been declining, chiefly as a result of difficulties in

⁴ According to present estimates, the U.S. will furnish 34 percent of Bolivia's government budget and 20 percent of its foreign exchange budget in 1958. [Footnote in the source text.]

the nationalized mines which account for about 70 percent of total output.⁵ Efficient operation of the nationalized mines is hampered by the high cost of social benefits and of surplus labor, and it will be politically difficult to eliminate or reduce these problems. Accordingly, the best short-term prospect for increased metal production may be through additional investment in the private mines. However, because of world oversupply, expansion of tin production would not provide any substantial increase in revenues. Export quotas, imposed by the International Tin Council, will limit Bolivia's exports in the first quarter of 1958 to about 5,500 long tons—a drop of almost 20 percent from the average quarterly level of exports in 1956. Further, the threat of increased U.S. tariffs on lead and zinc, combined with falling demand for metals generally, will tend to retard foreign capital investment.

14. The government is placing great hope on the exploitation of petroleum resources as an eventual means of increasing foreign exchange earnings. Petroleum output has gradually risen to over 3 million barrels of crude in 1956 and Bolivia is now a small net exporter. Refinery capacity has increased to about 12,000 barrels per day. The government petroleum agency (YPFB), entirely responsible to date for this development, lacks sufficient capital to increase production substantially. However, the Bolivian government is encouraging foreign private investment under the 1955 petroleum code,⁶ which is considered to be as favorable to private capital as any in Latin America. Foreign oil companies, including Gulf and Shell, are active in exploration YPFB, partly with Gulf financing, is constructing a pipeline through Chile to the Pacific Coast which may be in operation in late 1958. While these developments may contribute greatly to the country's eventual foreign exchange earnings, production on a large scale cannot be expected for perhaps five years. YPFB has so far cooperated fully with foreign private firms, but its future attitude may be conditioned by prospects for maintaining a satisfactory level in its own operations, which will in turn require additional financing.

POLITICAL TRENDS

The Regime and its Support

15. The austerity measures adopted by the government under the stabilization program and the emphasis on a freer economy were opposed by the leftist factions of the MNR and the labor movement, led by Juan Lechin, Executive Secretary of the Bolivian Workers Federation (COB), and by Vice-President Nuflo Chavez. Their challenge was accepted by President Siles, whose reputation for selfless dedication to duty had won for him and his program considerable popular support. The attempt to

⁵ See Annex for Table on Production and Export of Principal Metals. [Footnote is in the source text.]

⁶ Under the terms of the code, Bolivia excludes foreign government enterprises. Because of this provision, Brazil's petroleum monopoly cannot participate in exploitation of a large and promising area in Bolivia now covered by a joint concession under a 1938 agreement between the Bolivian and Brazilian governments. [Footnote is in the source text.]

call a general strike of the COB in mid-1957 failed because of this support and a split in the COB leadership. The emergence of a pro-Siles faction, headed by railroad federation leader Juan Sanjines, subsequently led to the ouster of Lechin from the Senate presidency and to congressional acceptance of the resignation of Vice-President Chavez.

16. Siles has consolidated his position in the party and in the government. Lechin and Chavez have been ousted from the MNR national political committee and replaced by labor leaders who support Siles. Paz, who has been Ambassador to Great Britain since late 1956, has refused periodic appeals primarily from the labor-left for his return. In the 86 member legislative branch, the President commands a large working majority. Labor politicians responsive to Sanjines' leadership, as well as moderate members of the worker-peasant bloc which formerly dominated Congress, have aligned with pro-Siles moderates.⁷ In opposition are nine pro-Lechin labor leaders, several pro-Paz politicians, and a few die-hard leftist supporters of former Vice-President Chavez.

17. Despite these gains, the effectiveness of the Siles regime is still hampered by MNR factionalism. Although the potential of Lechin and Chavez for challenging the regime has been reduced, many of their adherents continue to hold party and government posts in the departments. In Congress, the pro-Lechin minority has lost its battle against the extension of the emergency powers which permit Siles to continue the wage freeze. However, this minority may obtain greater support from other labor groups for wage increases on the basis of claims that workers are bearing the brunt of austerity measures. Other party differences revolve around labor-left demands for increased participation in the government, for strengthening worker and peasant paramilitary forces, and for an acceleration of agrarian reform.

18. A threat to Siles' position and to the effectiveness of his program is his dependence on the support of Juan Sanjines, who represents a somewhat unstable influence. Sanjines presently heads the majority pro-Siles labor segment in the COB. Prior to joining the MNR in October 1954, Sanjines was closely associated with both the pro-Communist Revolutionary Left Party and with the orthodox Bolivian Communist Party. Substantial numbers of orthodox Communists, Trotskyites, and their sympathies belong to the railroad federation he heads. Thus far Sanjines appears to be primarily interested in enhancing his own position and does not seem to be exploiting his now political prominence for Communist ends. We do not know whether he has in fact split with the Communist movement.

19. Labor support for the regime derives from the COB—comprising about 250,000 members in mining, industrial, and white collar unions as

⁷ Federico Alvarez Plata, a trustworthy moderate, is President of the Senate and therefore successor to the presidency. Juan Sanjines, Chamber of Deputies President, is second in line for the presidency. Almost all of the congressional committees are controlled by representatives who appear to support Siles.

well as rural workers—which is split into pro-Lechin and pro-Sanjines factions. The basis of the Lechin support is the 60,000-man Mineworkers Federation and other groups hard hit by austerity measures. The federation, formerly the most powerful COB affiliate, is presently weakened by disunity among the rank and file. The COB faction headed by Sanjines is numerically stronger but contains elements of diverse orientation. For example, the factory and petroleum workers and the urban transport workers have generally responded to moderate MNR leadership, while the construction and particularly the railroad workers have been infiltrated by Communist and pro-Communist elements.

20. Among rural and middle class elements Siles and his stabilization program probably enjoy considerable support. However, these elements of the population are by no means as tightly organized as is labor, and are hence less effective on the national scene. The peasants, moreover, are isolated and tend to distrust national politics.

The Opposition Parties

21. The right wing parties are incapable of offering more than a limited challenge to the MNR. The right-of-center *Bolivian Socialist Falange* failed to consolidate its gains after the 1956 elections when it polled 14 percent of the total vote and obtained five congressional seats. Its position has been weakened by an open split between moderate and extremist elements, despite their agreement on the objectives of limiting state intervention in the economy, reducing labor's political influence, and re-establishing the traditional role of the army. The extreme rightist *Republican Socialist Union Party*—representing the old oligarchy of big business, large landholders, and former top army officers—is totally discredited. Its leaders both at home and in exile have persevered in their efforts to undermine the regime.

22. *Communist Groups*. The capabilities of the Communist parties, though much greater than their numbers indicate, are in general limited. In the 1956 elections, they polled only 14,000 votes (1.5 percent of these cast) and have no representation in Congress. The orthodox *Communist Party* (PCB) has a maximum membership of about 2,000; Trotskyite factions, most important of which is the *Revolutionary Workers' Party* (POR), have a strength of 1,000 to 1,500. While the PCB provides conditional support for the regime, the Trotskyite POR maintains an uncompromising opposition. Despite probable support from the Czech Legation, the Communist movement is handicapped by chronic factional differences and financial difficulties. At the same time, however, the presence in government circles of such individuals as Juan Sanjines and Edwin Moller⁸ provides a potential channel for the extension of Communist influence.

⁸ Edwin Moller, long a Trotskyite, joined the MNR in 1954. Although he was recently ousted from the party by Siles because of his oppositionist activities against stabilization, he still retains his seat in the Chamber of Deputies. [Footnote is in the source text.]

Three other labor leaders recently appointed to the MNR national political committee may still have ties with orthodox Communists.

Role of Military and Para Military Forces

23. The present estimated strength of the army is 6,500, mostly career soldiers. Its usable equipment, largely of European origin, consists primarily of light infantry weapons and miscellaneous light artillery. The air force has 454 men, 87 of them pilots; of its 42 aircraft only two-thirds are operational and most of these are trainers. While top officers and probably the majority of the personnel in the army and air force generally support the present MNR regime, political, personal, and service rivalries increased in early 1957. Substantial reductions in forces as part of the economies under the stabilization program contributed to this development. A recently decreed organization of the armed forces is probably designed to bring them more firmly under the government's control. Siles' recent request for U.S. military assistance was based not only on internal security needs but also on dissatisfaction among the military over the government's inability to finance an increase in the strength and an improvement in the equipment and training of the services.

24. In contrast to the army, the Carabineros—a national police corps of about 6,700 organized along military lines—have maintained their strength, probably as a result of the government's dependence on this force for internal security. The training and morale of the Carabineros are good by Bolivian standards, although their capabilities are limited by poor armament and lack of mobility. In addition, there are: (a) an MNR security force which is directly responsible to the party's National Political Committee and which has about 1,500 members, two-thirds of whom are located in La Paz, (b) a workers' militia roughly estimated to be 10,000 with primary loyalties to local labor unions, and (c) rural police forces which display considerable autonomy. Except for the MNR security force, these units are ill-disciplined and poorly equipped. They have been utilized by the government for demonstrations during national celebrations and periods of political tension. At the same time, however, the government has controlled these forces by failure to provide full equipment and to replace the reduction in numbers through normal attrition.

25. The bulk of the armed forces and Carabineros would probably support the Siles regime in the event of a serious struggle between MNR moderates and leftist elements. These forces could probably defend the government against attack by the workers' militia. However, the security forces probably could not control a situation involving widespread labor unrest and violence, and in any case substantial defection from either the armed forces or the Carabineros would make the survival of the government doubtful. A rightist attempt to overthrow the Siles regime is unlikely; any such attempt would almost certainly be resisted by the workers' militia and by sufficient elements of the armed forces and the Carabineros as virtually to insure the survival of the government.

TRENDS IN INTERNATIONAL RELATIONS

26. Bolivia's foreign policy has traditionally been conditioned by its land-locked position. Under the MNR, policies have been increasingly concerned with the economic needs of the country. Bolivia maintains generally friendly relations with other Latin American states. There is occasional friction with Brazil and Argentina, in part because these countries wish to discourage foreign development of oil deposits in areas of Bolivia near their borders.

27. The trend in recent years toward closer relations with the U.S. has accelerated under Siles. The favorable policy toward the U.S. is primarily a result of the regime's desire for continuing economic support; recognition of the need for this support has tended to inhibit even the labor-left from criticizing the U.S. In the UN and the OAS Bolivia continues to support the U.S. and the West on most important political issues. However, like the rest of Latin America, it often takes positions independent of the U.S. on economic and colonial questions. A major reduction in U.S. aid would almost certainly damage U.S.-Bolivian relations.

28. Except for diplomatic, commercial and cultural ties with Czechoslovakia, which maintains a legation in La Paz, Bolivia has little contact with the Soviet Bloc. So far it has not shown interest in strengthening ties with the Bloc, despite a few overtures from that direction, and has also indicated that it plans to curtail Czech Legation activities. Should the Bolivian government come to believe that the country's economic outlook was worsening and should it be unable to count on effective U.S. assistance, strong pressure would be generated to expand its relations with the Bloc countries.

THE OUTLOOK

29. Bolivia's future stability is greatly dependent on the success of the moderate MNR leadership in dealing with the country's difficult economic problems. The Siles regime will probably retain a margin of support for the stabilization program at least for the next year, if it continues to obtain external assistance. Because of labor dissatisfaction, it is almost certain to encounter serious difficulties in maintaining this margin. However, we believe that the chances are somewhat better than even that Siles will remain in power until the expiration of his term in 1960,⁹ barring his death or resignation. In either event, Senate president Federico Alvarez Plata, an MNR moderate, probably would succeed as provided by law, but would be unable to provide as effective leadership as Siles, with consequent loss of strength by the moderate regime.

30. Siles' ability to proceed with the stabilization program will depend on his success in retaining influential labor support. Some of this support will inevitably evaporate by the mere passage of time, and

⁹ Under the Constitution, Siles is not eligible for re-election in 1960. [Footnote is in the source text.]

Lechin will seek to accelerate the process by calling for wage increases and other concessions. While Lechin will not hesitate to use any opportunities provided by labor discontent to move against Siles, his success will depend on the cooperation of labor groups associated with the rival leadership of Juan Sanjines.

31. We believe that Sanjines probably will continue to support the moderate leadership as long as his position in the labor movement is not threatened thereby. While agreement between him and Lechin does not appear likely, those two leaders might take parallel action against Siles and his program. The likelihood of such action would be increased by a sharp deterioration in the economic situation or even by the government's inability to placate labor demands. Widespread labor unrest and violence threatening to exceed armed forces' capabilities probably would lead to a modification of the stabilization program, and possibly to Siles' resignation.

32. Sanjines appears to be motivated by an ambition to replace Lechin as COB Executive Secretary. If Sanjines gained a clear-cut ascendancy in the labor movement, his continuing support for moderate MNR leadership would be doubtful. Even in present circumstances, his past association with Communist groups may result in further Communist penetration of the party and government.

33. Given continued external assistance at approximately present levels, the short-term outlook is for slow improvement in the economic position of this impoverished country. Some increase in agricultural production is likely, and there may also be a reversal of the present downward trend in metal production. Only a major increase in foreign investment would lead to greater progress in economic development before the end of Siles' term in 1960. Bolivia's capacity to provide the stability necessary to attract foreign private investment will depend for some years upon U.S. assistance.

34. Nationalist and Communist propaganda attacks against U.S. private capital, especially in oil development, are likely to increase, but these attacks by themselves are not likely to affect foreign investment or overall U.S. interests. Over the longer run, development of oil resources may lead to an improved economic condition. However, the modest economic progress we have estimated for the next few years will not necessarily assure the continuation of moderate MNR forces in control after 1960.

35. A serious deterioration in the economic situation would greatly weaken moderate leadership in the MNR. The otherwise poor prospects for the parties in opposition to the MNR, both rightist and Communist, would be enhanced. The resulting political instability would probably bring a leftist MNR regime to power and involve some increase in Communist influence. Such a regime would be weak and disorganized.¹⁰

¹⁰ A map showing the outline of Bolivia's strategic mineral resources is not printed.

[ANNEX]

Table

Washington, undated.

Production and Exports of Principal Metals
1956–1957

A. Production (in thousands of fine metric tons)

	<u>National Mines</u>		<u>Private Mines</u>		<u>Total</u>	
	<u>1956</u>	<u>1957¹</u>	<u>1956</u>	<u>1957¹</u>	<u>1956</u>	<u>1957¹</u>
Tin	23.0	21.1	4.1	4.5	27.1	25.6
Tungsten	1.6	1.1	0.8	0.9	2.4	2.0
Lead	9.0	7.8	12.3	13.0	21.3	20.8
Copper	4.0	3.0	0.6	0.6	4.6	3.6
Zinc	21.1	16.5	0	0	21.1	16.5
Antimony	0	0	5.2	6.2	5.2	6.2
Silver	0.2	0.1	0	0	0.2	0.1
Total	58.9	49.6	23.0	25.2	81.9	74.8
Gold ²	0	0	1.1	0.9	1.1	0.9

B. EXPORTS (millions of U.S. dollars)

Tin	—	—	—	—	59.3	54.6
Tungsten	—	—	—	—	14.4	7.5
Lead	—	—	—	—	7.6	7.8
Copper	—	—	—	—	4.1	2.9
Zinc	—	—	—	—	5.0	8.6
Antimony	—	—	—	—	1.5	2.0
Silver	—	—	—	—	6.7	4.2
Other	—	—	—	—	1.7	0.5
Total	74.5	60.5 ³	26.0	17.2 ³	100.5	77.7 ³

¹ Production and export of individual metals in 1957 based on data for first seven months.

² In thousands of kilograms.

³ Total exports of all metals in 1957 based on data for first nine months.

BL-2. Memorandum from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Deputy Under Secretary of State for Economic Affairs (Dillon)¹

Washington, January 17, 1958.

SUBJECT

Presidential Escort Battalion—Bolivia

Background:

The revolution of 1952 in Bolivia caused far-reaching economic and social dislocations, including the creation of armed workers' militias. At the same time, the country's regular army was demoralized and virtually disbanded. Since 1954, the United States Government has been providing economic assistance to Bolivia, initially in order to prevent a serious economic and political upheaval there which might have led to the formation of a pro-communist or communist government, and subsequently to try to help Bolivia to remedy the serious economic and social dislocations which resulted from the revolution.² The United States had also used its influence in the attempt to strengthen the moderate elements in Bolivia and to weaken correspondingly the left wing extremists. These efforts showed their most significant results in late 1956, when the newly elected Bolivian administration put into effect with U.S. counsel and support an economic stabilization program.

Discussion:

At the end of the first year, the stabilization program has achieved considerable success and the position of the moderate elements in the Bolivian Government has been strengthened at the expense of the extreme left wing. Nevertheless, the lack of effective security forces at the Government's disposal exposes it constantly to the latent threat of the armed irregular militia, which is subject to influence and in some cases control by extremist elements. Both President Siles and his Minister of Defense³ have requested United States military assistance to confront this basic weakness. Consequently, the accompanying Memorandum to President Eisenhower⁴ recommends that the President

¹ Source: Department of State, Central Files, 724.5-MSP/1-1758. Secret. Drafted by William T. Briggs of the Office of South American Affairs.

² Documentation relating to the revolution of 1952 and to U.S. relations with the revolutionary government is printed in *Foreign Relations, 1952-1954*, vol. IV, The American Republics, Documents 134-173.

³ Julio Prado Montano.

⁴ Not printed.

make a determination under Section 401 (a) of the Mutual Security Act of 1954,⁵ as amended, that it is important to the security of the United States that up to \$417,000 of Military Assistance funds, available under Section 103 (a) of the Act, be used for furnishing equipment and training for a Presidential Escort Battalion in Bolivia and the supply of equipment sufficient to establish two Bolivian army training centers without regard to the requirements of Title I of the Act. In a recent revision of the Overseas Internal Security Paper on Bolivia, the OCB Working Group on Latin America has approved this program one of its recommended courses of action.⁶

The enclosed Memorandum to the President explains in greater detail the basic situation and the type and extent of assistance recommended.

Recommendation:

That you sign the memorandum for the President and the copy of the memorandum from the President indicating that the Department has recommended this program.⁷

⁵ P.L. 665 for text, see 68 Stat 832.

⁶ Reference is to the Operations Coordinating Board paper, "Overseas Internal Security Program Annexes to Latin American Operations Plan for: Bolivia, Brazil, Chile and Guatemala," January 17, 1955, which is located in OCB files, Lot 62 D 43, "Latin America 1958."

⁷ On March 6, 1958, the Department authorized the Ambassador in Bolivia, Philip W. Bonsal, to negotiate a military assistance agreement along the lines described here. (724.5-MSP/2-1258) The resulting military assistance agreement was effected by an exchange of notes at La Paz, March 21 and April 22, 1958, and entered into force on April 22. For text of the Agreement, see *United States Treaties and Other International Agreements* (UST), vol. 9, p. 953.

BL-3. Editorial Note

February 1, 1958.

Growing labor unrest and reverses for the Bolivian economy threatened the Bolivian National Stabilization Program. Despite the wage freeze, which had been decreed on January 9 by President Hernan Siles Zuazo, labor groups demanded wage increases, and there was some indication that the Government might relax the decree. A heavy drain on exchange reserves, triggered by the Government's announcement on January 24 of the discovery of a revolutionary plot, and aggravated by unfavorable developments on the international tin market, continued unabated. Documentation concerning these problems is contained in Department of State Decimal File 824.10 and ARA/WST Lot 62 D 16, "Stabilization Program."

BL-4. Telegram from the Chargé in Bolivia (Coerr) to the Secretary of State¹

La Paz, February 19, 1958, 7 p.m.

487. Department telegram 295.²

Today orally conveyed to President Siles substance reference telegram, stressing its highly confidential nature, on basis carefully prepared Spanish *translation*. I felt he took negative possibility increase U.S. aid beyond original 1958 figure, as body blow. His only comment, "What are we going to do now?"

I emphasized that 1958 program now gathering momentum and mentioned Victor Rose³ expected arrival tomorrow, as factors which should help substantially.

President gravely predicted, without specifying, considerable political and labor problems coming up in next few days; as well as

¹ Source: Department of State, Central Files, 824.10/2-1958. Confidential; Priority. While Bonsal was in Washington for consultation, Wymberley DeR. Coerr was Chargé.

² A description of telegram 295, February 12, was not declassified. Telegram 295 is in Department of State, Central Files, 824.10/2-1958.

³ Rose was an economic adviser with the International Cooperation Administration, who was serving as Executive Director of the Bolivian National Stabilization Council.

widespread continuing heavy labor demands for increased compensation. Later, on parting, thanked me for message.

Coerr

BL-5. Telegram from the Ambassador in Bolivia (Bonsal) to the Department of State¹

La Paz, May 6, 1958, 10 p.m.

664. At meeting yesterday with Bolivian President, Vice President² and Ministers Foreign Affairs,³ Finance and Economy,⁴ Vice President Nixon promised his support for DLF loans to help tide Bolivia over difficulties created by reduced tin exports and prices.⁵ He praised Bolivian Government for its responsible policy of self-help through the stabilization program and stated that U.S. would continue its cooperation. He offered no hope on Siles request stockpiling purchases of tin.

Rubottom and Waugh agreed investigate DLF loan prospects for prompt action. Waugh stated would consult with U.S. director regarding attitude by IBRD toward Bolivia.

Rubottom stressed importance of prompt settlement compensation problem to improve atmosphere in U.S. Congress and business circles and stimulate increased investment. Nixon emphasized beneficial effect in Congress.

Barrau and Siles stated Bolivian Government preparing authorization to Andrade initiate negotiations in U.S. with Patino which largest firm and only one of three with U.S. shareholders.⁶ They stated Bolivian Government prepared from time of expropriation to compensate on basis book value of \$21 million. Their good faith demonstrated by this and payment to companies thus far by \$15 millions. They accused companies of acting in bad faith by insisting on different basis of valuation and in utilizing Bolivian Government payments to finance anti-Bolivian propaganda in U.S.

¹ Source: Department of State, Central Files, 724.5-MSP/5-658. Confidential.

² Federico Alvarez Plata.

³ Manuel Barrau Pelaez.

⁴ Hugo Moreno Cordova.

⁵ Vice President Nixon was in Bolivia as part of a good-will tour of eight South American countries, April 27–May 15, 1958. For documentation concerning the trip, see Documents BL-5-9, 12.

⁶ Reference is to three major tin mining corporations, which were nationalized on October 31, 1952: Patino Mines & Enterprises Consolidated, Inc. (a Delaware corporation), Compagnie Aramayo de Mines en Bolivie (a Swiss corporation), and Mauricio Hochschild, Sociedad Anonima Minera e Industrial (a Chilean corporation).

Rubottom recognized existence problems and re-emphasized importance settlement. Siles and Barrau reiterated intention have Andrade proceed without delay on basis definitive instructions.

Rubottom and Waugh request prompt consideration by DLF with cooperation various agencies working on Bolivian stabilization program of assist which can be made available promptly.⁷

Bonsal

⁷ A more detailed account of the meeting is contained in a memorandum of conversation at La Paz, dated May 5, 1958; a copy is in Rubottom Files, Lot 60 D 553, "Bolivia 1958."

BL-6. Memorandum of Conversation of the Executive Counselor of the Embassy in Bolivia (Breux)¹

La Paz, May 6, 1958.

PARTICIPANTS

- Vice President Nixon
- Mr. Rubottom
- Mr. Waugh
- Ambassador Bonsal
- Clarence [illegible in the original], Economic Counselor
- Ing. Eduardo Hinojosa, General Manager, YFPB
- Ing. Enrique [illegible in the original], Production Manager, YFPB
- Dr. Eduardo [illegible in the original], Exploration Manager, YFPB
- Ing. Rafeal [illegible in the original], Refinery and Pipeline Manager, YFPB
- Mr. Luis K. [illegible in the original], Public Relations, YFPB

By [illegible in the original] of a graph² (translated to tabular form)

	Investment (Million \$)	Production (Thousands Barrels per Day)
1952	5.2	-
1953	6.2	1.6
1954	6.0	4.6
1955	11.0	7.3
1956	12.2	8.7
1957	9.3	9.8
1958	6.0 (Estimated)	7.8 (Estimated)

¹ Source: Department of State, ARA/NST Files, Lot 62 D 16, "Economic, 1958, Bolivia, YFPB." Confidential. Sent to the Department under cover of despatch 1012 from La Paz, May 15, 1958. The source text is an unsigned carbon copy.

² Not printed.

Mr. Hinojosa showed that YFPB's production has declined in the past few years because its investment expenditures have decreased for lack of funds, and that if additional funds are not forthcoming Bolivia may soon find itself again in the position of being a petroleum importing country. He asked if a loan might not be obtained from United States institutions.

The Vice President said he understood that YFPB was an efficient organization and he recognized YFPB's needs; however, the U.S. policy was not to lend in fields, such as petroleum, where private capital was willing and able to operate. Mr. Hinojosa explained that YFPB was different from oil monopolies in other countries in that it did not monopolize the industry but allowed private firms to operate also. However, the Vice President said that if an exception could be made, YFPB would indeed appear to deserve such exception, but that unfortunately this was not possible.

In answer to the Vice President's question whether YFPB had tried to obtain capital from private sources, Mr. Hinojosa said that he had tried several times but unsuccessfully.

The Vice President then directed Mr. Rubottom to see in what ways the U.S. could further assist the general Bolivian budget so that the [illegible in the original] could find itself better able to assign funds to YFPB. He also directed Mr. Waugh to see if he could interest private sources in the U.S. to help YFPB (a suggestion advanced by Mr. Waugh.)

BL-7. Letter from the Ambassador in Bolivia (Bonsal) to the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

La Paz, May 12, 1958.

Dear Dick:

The Vice President's visit here was a great success from all points of view, including the Bolivian. President Siles is very happy. He anticipates substantial additional aid in the very near future through the DLF mechanism. This would (a) relieve the pressure on the balance of

¹Source: Department of State, ARA/REA Files, Lot 63 D 210, "DLF Project—Bolivia." Confidential; Official-Informal. The source text is a carbon copy bearing Ambassador Bonsal's typed name.

payments resulting from declining revenues from the export of metals and (b) permit useful development projects to be initiated soon.

I hope that it will be possible to realize the President's expectations, particularly as we may be confronted with a serious dollar crisis at any time in view of the very narrow margin on which we are operating. But what we know here of DLF's terms of reference coupled with the serious problem of preparing bankable projects under conditions prevailing here leads me to confess that I don't see clearly how we are going to make good on what the President believes was promised him by the Vice President, Mr. Waugh and yourself on May 6. I hope you will keep me closely informed so that I can pass any developments on to the President.

I assume from what was said at the time of your visit here that there is no chance, in the immediate future at least, to use DLF credits to YPFB or to COMIBOL as a means to pump dollars into the Central Bank Reserves.

Would it be possible for DLF to advance funds for general development purposes on the following basis: The dollars to be placed in the Central Bank's reserves and the resulting bolivianos to be placed in a special account either in the name of USOM/Bolivia or of the Central Bank to be disbursed as suitable projects are developed and approved? In order to develop such projects, we would, in my judgment, need to furnish special technical assistance to the Bolivian Government. (Our Bolivian friends are thinking along these lines as you will note from the account of the May 7 Stabilization Council meeting being forwarded in this pouch.)²

I am convinced that an immediate and substantial boost to the Central Bank's reserves here would have economic and political consequences of real importance and would do much to maintain the confidence in Bolivia's future which the Vice President's visit did so much to strengthen.

There would, of course, be a definite risk in the procedure indicated above. As development projects were initiated, the Central Bank reserves would be called upon for the dollar component thereof and, of course, the level of reserves might be insufficient particularly if world metal markets continue in their present state. However, if the Vice President's generally optimistic view of the prospects of the American economy is realized, the risk would be minimized. And the risk could be largely eliminated if there were deposited in the Central Bank at this time only the equivalent in dollars of the estimated boliviano

²No account of the May 7 Stabilization Council meeting was found in Department of State files.

component of expenditures under the credits DLF might be disposed to grant. Whether the resulting amount would be sufficient to meet the present situation is not clear to me at this time.

Sincerely,

Philip W. Bonsal

P.S. I am sending you a first draft of the account of the May 7 Stabilization Council meeting since I am advised that the regular pouch copies may be delayed a few days. Please give this very limited distribution and return to me.

PWB

**BL-8. Letter from the President of the Export-Import Bank
(Waugh) to the Vice President¹**

Washington, May 29, 1958.

Dear Mr. Vice President:

Re: *Oil Problems in Bolivia*

Complying with our agreement, I have this morning had an extended talk with Mr. W.K. Whiteford, President of the Gulf Oil Company of Pittsburgh, Pennsylvania, who stopped over in Washington in accordance with my request.

First, I found Mr. Whiteford completely familiar with the problems, both technical and political, that are prevalent in Bolivia. I also found that he had a most constructive attitude and approach.

The question presented to us in Bolivia was the possibility of a loan to Yacimientos Petroliferos Fiscales Bolivianos of from \$8 million to \$10 million for the purpose of furthering their exploration in the restricted area which, according to Mr. Whiteford, is a deep well distillate field (12,000 to 14,000 feet).

The digging of these wells and assuming that they find the oil is but the first stop in an over-all problem of a magnitude approximately ten times the figure that they have given to us.

In other words, the locating of this amount of oil is merely the first step. The country cannot absorb the oil domestically and therefore an

¹ Source: Department of State, ARA/NST Files, Lot 62 D 16, "Economic, 1958, Bolivia, YPFb." Confidential.

export market is an absolute necessity. To transport the amount of oil necessary to make an operation of this size successful would require the building, at a tremendous expense, of an additional and larger pipeline to the seacoast.

The history of this situation is that Mr. Whiteford and Gulf Oil had an open bid for a number of weeks to carry out this program and he has the feeling that he had the complete support of President Siles and also the General Manager of Y.P.F.B., Eduardo Hinojosa, who he says is a Penn State graduate and a first class oil man.

Apparently, as is so often the case, the situation became embroiled in domestic politics and the President of the country and the General Manager of Y.P.F.B., were not able to carry through to a successful conclusion the steps necessary to be taken to consummate the arrangement.

Mr. Whiteford insists that the loan requested at this time of from \$8 million to \$10 million would not aid, but would rather complicate the long-range problem for, as above stated, this would be but the first step in a much larger program that would be necessary to complete the transaction.

Mr. Whiteford makes the constructive suggestion that if the President and the General Manager of Y.P.F.B. could control the situation it probably could still be worked out whereby Gulf or a consortium of companies would go in on a 50-50 basis, not only to develop the field but also to provide the larger financing needed, namely, the building of an additional pipeline, and assuming the responsibility for the basic development of the markets.

There would have to be an agreement reached to the effect that any money paid by the oil companies as a bonus would have to be earmarked so that it could be used for the further development of the producing properties that are already discovered and under the operation of Y.P.F.B.

I have obtained Mr. Whiteford's permission to discuss this problem with Ambassador Victor Andrade, with whom I have been in touch since our return and from whom I have obtained the information with reference to the outstanding oil concessions, etc. In view of what has transpired, I think it would be unwise to even approach any other oil company or oil executive until after we have explored the possibility outlined above.

I will keep you and the State Department informed as to developments, but if you have any suggestions to offer in the meantime, please pass them along.

Very sincerely,

Samuel C. Waugh
President

P.S.—June 2, 1958—

On Friday morning, the holiday, Ambassador Victor Andrade came in and we had an extended conversation, first with reference to our visit in his country, and second regarding my talk with W.K. Whiteford, President of Gulf, which had taken place the day before.

The Ambassador related some of the problems with which the present Government of Bolivia is confronted, speaking now from a political standpoint. He hastened to add, however, that he was not a technical man and was not certain as to whether or not he understood the point of view put forth by President Whiteford of Gulf.

It occurred to me, and I immediately stated, that rather than attempting outline the position of Mr. Whiteford, since neither the Ambassador nor I were technicians in this field it would be far better to get the two men together and therefore he, the Ambassador, could get the story first-hand.

There is one point in the conversation that impressed the Ambassador very much, and that was that the amount of money necessary to develop this oil field which is now under the exclusive control of Y.P.F.B. would be ten or-fifteen times the amount suggested as a present loan, namely \$10 million.

While we all know the difficulty that might be encountered from a political standpoint if the Government of Bolivia made further commitments in the semi-proven territory now being worked by Y.P.F.B., nevertheless it seems to me that if the government officials could attract from \$100 million to \$150 million in outside capital without completely losing the identity of Y.P.F.B., it might be the possible lifesaver for this little country.

In any event, this morning I reached President Whiteford in New York, related my conversation with Ambassador Andrade to him, gave him the Ambassador's address and telephone number, and received the promise that he would get in touch with the Ambassador at the earliest possible date. I think this is as far as anyone in the Export-Import Bank should go, particularly at this juncture.

A copy of this letter and postscript is being sent to the Department of State in order that they may be fully informed.

I explained to Mr. Whiteford over the telephone that these documents carried a confidential classification and therefore could not be distributed outside of government circles. He replied that he understood, that he was certain that the transaction had been reported and recorded as we agreed upon during our first talk.

S.C.W.

BL-9. Telegram from the Ambassador in Bolivia (Bonsal) to the Department of State¹

La Paz, June 12, 1958, 10 a.m.

727. Personal for Rubottom or Snow Embtel 719.²

Most urgent I have reply REFTEL. Am seeing President tomorrow and am aware he will question me closely re urgent further balance of payments assistance which he believes Nixon and Waugh assured him would be forthcoming.³

Bonsal

Note: Mr. Conover (REA) notified 6/12/9:15 p.m. EMB/CWO

¹ Source: Department of State, Central Files, 824.10/6-1258. Confidential; Limit Distribution.

² The referenced telegram from La Paz, June 7, 1958, stated that the Ambassador believed, "Siles and his advisers correctly gained impression from Nixon and Waugh that U.S. was disposed help in balance of payments problem here resulting from world metals situation and that this help would be over and above contemplated FY 1958 and proposed FY 1959 programs." (824.10/6-758)

³ The Department replied in telegram 444, June 15, 1959, that Bonsal might tell Siles that his impression was correct, but instructed the Ambassador to, "make clear also that Bolivia must to maximum extent possible do its share in meeting the problem; such as but not limited to permitting reasonable exchange rate adjustments; improved administration of tax collections, including collection of counterpart; effective limitation on demand for wage increases not compensated for by increases in productivity; improved management of independent government enterprises such as COMIBOL Banco Minero, Caja; passage of legislation permitting release of excess workers. President and his advisors should be clearly informed U.S. not in position to underwrite unlimited demand foreign exchange rate and other deficiencies in Bolivian support of stabilization program." (824.10/6-1558)

BL-10. Letter from the Director of the International Cooperation Administration (Smith) to the Assistant to the President (Adams)¹

Washington, July 23, 1958.

Dear Governor Adams:

You gave me a letter dated July 2² from the President referring to a letter which he had received about our program in Bolivia.³

The program in Bolivia has been a source of considerable concern to us and I am enclosing herewith a copy of my memorandum of June 30 to Under Secretary Dillon⁴ and his reply of July 15.⁵ From this you will note that we are asking the Ambassador and the Acting USOM Director⁶ to come to Washington for a discussion next month.⁷

I am prepared to go into considerable more detail on this subject but feel a historical review is not what the President is interested in at this time. Consequently, I would like respectfully to suggest that I defer a final answer until we have met with the Ambassador and the Acting USOM Director and have a concrete plan of action which can be outlined to the President at that time, if he so wishes.

¹ Source: Eisenhower Library, White House Central Files, Confidential File. Confidential.

² Not printed.

³ The referenced letter was from Willis P. Duruz of the United States Operations Mission in Bolivia and personal friend of the President, June 28, 1958. In the letter, Duruz criticized the U.S. technical assistance program, and stated, *inter alia*, the following:

"Various evaluation committees and groups have been here in Bolivia. They have been given the plush treatment, the bright spots glowingly visited, and the sore spots circumnavigated. So few days have been spent in these investigations, and most of the time at the U.S. Embassy or ICA headquarters, that it has become a standing joke among people who really know the situation in the field. One committee member did report this mission as having: 'Too much, too soon'. He was ridiculed by the bureaucrats, but in my opinion that is a concise explanation [sic] of the situation in this mission." (Eisenhower Library, White House Central Files, Confidential File)

President Eisenhower's preliminary response to Duruz, July 2, 1958, stated that he had sent Duruz's letter to the Director of the ICA, "taking the precaution only to eliminate the heading and the signature from your letter since your communication is unofficial and personal." (Eisenhower Library, White House Central Files, Confidential File)

⁴ The memorandum contained a brief history of the program in Bolivia and a recommendation that Ambassador Bonsal and Ross Moors, Director of the USOM in Bolivia, be asked to come to Washington for full discussions concerning the program with representatives from the Departments of State and Treasury, ICA, and the IMF. (724.5-MSP/6-3058)

⁵ Dillon concurred with Smith. (724.5-MSP/6-3058)

⁶ Warren W. Wiggins.

⁷ The discussions between Bonsal, Wiggins, and various inter-agency representatives were held on August 12–25, 1958. The paper developed from the discussions, dated November 3, 1958, is printed as Document BL-15. Additional documentation concerning the discussions is located in decimal file 724.5-MSP and ARA WST Files, Lot 62 D 16, "Grant Aid."

I would like to express my appreciation of the President's interest in our program and for his thoughtfulness in passing along constructive comments on it.⁸

Sincerely yours,

J. H. Smith, Jr.

Enclosure

⁸ On July 25, President Eisenhower sent another letter to Duruz in which he stated, *inter alia*, that he understood the ICA program in Bolivia "has been of concern to responsible officials of the Administration, and that there is ground for your specific criticisms. However, there is another side to the coin which, without going into details, is largely political in character." He also stated that he wanted Duruz to know that "another look will be taken at the whole situation." (Eisenhower Library, White House Central Files, Confidential File)

BL-11. Telegram from the Ambassador in Bolivia (Bonsal) to the Department of State¹

La Paz, September 3, 1958, 3 p.m.

119. JOINT EMBASSY-USOM

Andrade and IMF mission departed today. IMF mission has made some progress in convincing GOB of necessity for exchange rate action. According to IMF mission Siles however still hopes keep depreciation to figure below that recommended by IMF (20 to 25 percent) and wished handle rate change as part of package deal which would include end wage freeze, freedom hiring and firing, possible new currency and specific wage adjustments and perhaps some price controls. Presentation such package which would presumably include announcement additional outside aid (U.S. program plus IMF) would in President's thinking take place toward end September. This generally confirmed by Andrade.

Andrade has been charged by President with attempting secure loan of approximately \$10 million secured by future oil royalties and designed assist balance of payments and facilitate development

¹ Source: Department of State, Central Files, 398.13/9-353. Confidential; Priority.

projects. Andrade will make high level attempt secure such loan but appears unoptimistic.

Meanwhile dollar drain continues and it is matter of days until dollar resources will be exhausted and presumably Central Bank will have to suspend sales. In conversations with Andrade and Tamayo I have made clear our support of IMF position.

I expect to see President shortly. Please advise to what extent I can discuss magnitude of proposed FY 1959 program with him. Extent to which I can give details and discuss perhaps on highly confidential basis this program as well as possible tin barter deal and our realization YPFB possibilities may have determining effect on President's attitude.

President is confronted with extremely serious domestic political, social and economic problems. In order meet these firmly he needs concrete assurances of increased support from U.S. I would hope I could be authorized soonest at least discuss with him program on which there appeared general agreement last week in Washington.

Bonsal

BL-12. Memorandum of Conversation, by the Counselor of the Embassy in Bolivia (Coerr)¹

La Paz, September 18, 1958.

PARTICIPANTS

Hermán SILES Suazo, President of Bolivia

Walter GUEVARA Arze, Minister of Government and Acting Minister for Foreign Affairs

Philip W. Bonsal

Wymberley DeR. Coerr

Date: September 18, 1958

After consulting with representatives of the International Monetary Fund (IMF)² and the Acting Director of USOM, Ambassador Bonsal called on President Siles at his home at 10:30 a.m., September

¹Source: Department of State, Central Files, 824.10/9-2058. Confidential. Sent to the Department under cover of desp. 231 from La Paz, September 20, 1958.

²Reference is to the resident IMF representative in La Paz, Herbert K. Zassenhaus, who served in this capacity from August 1957 to June 1959. Documentation relating to IMF activities during 1958 is located in ARA/WST Files, Lot 62 D 16, "Grant Aid."

18, to inform him of the levels U.S. economic aid in FY 1959, pursuant to ICATO 156.³ The President was accompanied by Walter Guevara Arze, newly appointed Minister of Government and Acting Minister for Foreign Affairs, and the Ambassador by an Embassy officer. On the previous day, at the suggestion of IMF representatives, the GOB had decided to suspend dollar sales by the Central Bank preparatory to reworking the Stabilization Program.

The Ambassador said he was authorized to state that \$17 million would be available for Special Assistance, plus a reserve of \$6 million as and if required in the opinion of the U.S. Government as a result of "actual implementation" of the agreement to be reached between the GOB and the IMF on terms the continuation of the Stabilization Program. Although the conversation was in Spanish, Minister Guevara repeated "actual implementation" in both language interpolating the comment that this \$6 million was "conditional", and President Siles declared that he understood the phrase clearly. The Ambassador added that he believed Technical Assistance would continue at about the current level above \$3 million. Both the President and Guevara expressed their pleasure at the inclusive total of \$26 million.

The Ambassador said also that DLF would be prepared to consider loan applications within available funds and on the basis of well prepared projects. He noted that although the possibility of DLF loans had been known to the GOB for several months, only two applications, those of Carlos Peña⁴ and the Gasser Brothers,⁵ had been submitted so far. In reply to Guevara's question as to whether the DLF would consider both state and private projects, the Ambassador said that during his recent visit to Washington he had found interest in the possibility of a project to improve La Paz' El Alto Airport, which would be a state undertaking. He again emphasized the advisability of speed and thoroughness in submitting loan applications.

Guevara said that at this point he would like to give the Ambassador his frank opinion, admittedly formed only two days after his return to La Paz, of the Stabilization Program. The Program, he declared, had failed, because it had erroneously concentrated on stabilization instead of production. Instead of conceiving of stabilization as the first step and of production as the second, stabilization and production should have been given parallel emphasis. The great effort and courage with which

³ Not found in Department of State files.

⁴ Reference is to the loan application by the owner of a food processing plant, *Fabrica de Conservas* of Cochabamba, for purposes of expansion and modernization of facilities. (724.5-MSP/6-1458)

⁵ Reference is to the loan application of the owners of a sugar mill, *Compania Azucarera La Belgica* of Santa Cruz, for purposes of modernization and improving efficiency of sugar extraction. (724.5-MSP/6-1458)

President Siles had supported the program had been in vain because of this basic error. Guevara recognized that the Stabilization Program's "failure" had also been caused by other factors, both internal and external, such as inefficiency of Comibol and the drop in the world metals market.

President Siles commented parenthetically that he had received a mildly encouraging note from Foreign Minister Andrade in Washington indicating that some favorable attention was being given to the possibility of purchases of Bolivian tin through Philipp Brothers, Inc., under an agricultural barter agreement with the provision that Bolivia would receive not dollars but pound sterling. It was agreed generally that this would be most beneficial if it could be achieved.

Guevara continued that he had some views to express regarding Latin American and Bolivian attitudes toward the U.S. Citing the Nixon incidents in Lima and Caracas, he thought they had been incited by a few communist organizers but declared that they reflected a basic resentment of U.S. policies, which, as in the Bolivian Stabilization Program, has denied U.S. help in promoting economic production in Latin America. He said he was deeply pleased that, in addition to establishing the DLF, the U.S. had "finally" changed its policy in this respect by supporting the creation of an Inter-American development agency. As for the local scene, Guevara declared that during the short period of his return to Bolivia he had been amazed at the number of complaints he had received against the U.S. Aid Program here. He reflected that it was ironic that U.S. programs designed to help Bolivia should be reaping more resentment than appreciation.

The Ambassador stated that it was probably as difficult, if not more so to give aid as to receive it. He recalled that the IMF and both governments had held considerable hopes for the Stabilization Program as recently as last June 13, as a result of the decisions the GOB had taken on that date, but the GOB's apparent inability to carry out those decisions had contributed heavily to the present dollar crisis and had played into the hands of forces hostile to the present Bolivian Government and to the Aid Program. He stated that during the past few months all the dollar resources of Bolivia, including U.S. and IMF contributions, had gone primarily to permit speculation and capital export because of an unrealistic exchange rate. Bolivia's friends could not be expected to continue to support such a situation. He added that it was not to Bolivia's interest to maintain a rate so low that dollar resources which should be used for such purposes as the progress of YPFB and the Development Corporation were siphoned off by private speculators and people with no confidence in the country's future.

Admitting that some of the causes of the Stabilization Program's present plight had been internal, Guevara said that it was nevertheless a fact that the program had failed and that the people would take the suspension of dollar sales as evidence of this failure. He predicted a reaction of profound concern. The Ambassador, pointing out that all of Bolivia's neighbors had suffered depreciation of their currencies in the past year, and several to a greater degree than Bolivia, admitted to the gravity of the present situation but said he thought it was more a matter of losing a battle, and not the war, on the stabilization front. He saw no reason why it would not be possible to look on the coming operation merely as a retreat to a more defensible position. This observation met an enthusiastic response, with Guevara agreeing heartily and Siles observing that the continuation of the struggle with hope is imperative.

At this point the President received a message that had originated in London bringing news that the International Tin Council (ITC) had just abandoned supporting the price of tin, while maintaining export quotas, and that the London price already had dropped heavily. Recovering from the gloom induced by this news, President Siles observed that it could be announced as the basis of the GOB's action of suspending dollar sales by the Central Bank.

Guevara, anticipating that the break in the tin market, coming on top of the suspension of dollar sales, would cause panic and possibly worse if unaccompanied by some compensating cause for hope, asked if the Ambassador would concur in a release by the Foreign Minister of a statement summarizing for the public the information he had just given the President on the new level of U.S. aid. (While this proposal was under discussion, the President received a telephone call from the Ministry of Finance saying that the Central Bank had in fact stopped dollar sales at 11 o'clock.) The Ambassador agreed with the timeliness and potential value of the proposed release and it was decided that he, accompanied by the Acting Director of USOM, would call shortly after midday at Guevara's office in the Foreign Ministry to see the proposed wording.⁶ (The ensuing communique, as reported in Embtel 155,⁷ appeared in the evening's *Ultima Hora* and Saturday's morning papers.)

Referring to the GOB-IMF discussions on reworking the Stabilization Program, Siles commented that some 70 percent of the nation's workers had received an increase in compensation since stabilization and he had hoped, by finding a formula whereby future increase would be granted only to the remaining 30 percent, that it would be possible to restrict the depreciation of the Boliviano.

⁶ The draft press release, also sent under cover of despatch 231, is not printed.

⁷ The reference telegram from La Paz, September 18, 1958, is not printed. (824.10/9-1858)

He felt strongly that the fall in the Boliviano should be limited as much as possible, in order to limit the resultant social and economic reactions.

The Ambassador said it would appear desirable to him that any publicity issued by the GOB regarding the decision to suspend dollar sales should avoid attributing of this decision in any way to the IMF and should present the decision as one taken by the GOB entirely in its own judgement. To this, Guevara responded heartily, saying that any other course would expose the Government to the charge of being a mere “puppet”.

Throughout the conversation both the President and Guevara showed a consistent determination to attack Bolivia’s critical problems with vigor and courage.

BL-13. Memorandum from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Under Secretary of State for Economic Affairs (Dillon)¹

Washington, October 21, 1958.

[Subject:] Status of Stabilization Program in Bolivia.

The Government of Bolivia and a mission from the IMF reached agreement on a new stabilization program recently with the details contained in a letter dated October 4, 1958 to the Managing Director of the IMF.² This letter was signed by the Finance Minister³ and the President of the Central Bank.⁴ It sets forth the stabilization policies and performance levels the government proposes to implement. It also requests reinstatement of Bolivia’s drawing rights under its stand-by agreement with the Fund.⁵

¹ Source: Department of State, Rubottom Files, Lot 60 D 553, “Bolivia 1958.” Confidential. Drafted by Henry L. Pitts of the Office of West Coast Affairs. The source text is an unsigned carbon copy.

² A copy of the reference letter, addressed to Per Jacobson of the IMF, is attached to despatch 281 from La Paz, October 7, 1958. (398.14/10-758)

³ Eufronio Hinojosa.

⁴ Luis Penaloza.

⁵ With respect to the Bolivian request, despatch 281 read in part as follows: “It is understood that, on the basis of this letter [of October 4], the IMF mission plans to recommend that the Board of the Fund act favorably on the Government’s request.” (398.14/7-1054)

To date, the ICA has advanced \$500,000 to the Bolivia Government out of U.S. special assistance for fiscal 1959. The agreement represented by the October 4 letter would limit U.S. cash grants and drawings from the IMF to \$1 million by the end of October, \$2 million by the end of November and \$3 million by the end of December, 1958, except in "unusual circumstances" and after agreement with the fund. Nevertheless, on October 16 the Foreign Minister made a request to Ambassador Bonsal for \$1.5 million additional to be advanced from fiscal 1959 cash grants, "due to an abnormally high demand for dollars."

The dollar drain has continued heavy in spite of an increase in the exchange rate to 11,600 on October 16. The Bolivian government has allowed the exchange rate to depreciate but apparently not enough thus far to meet the high level of demand of the moment. Ambassador Bonsal and the Acting Director of the USOM in Bolivia are concerned that the request of the Bolivian Government implies a desire to keep the exchange rate from moving in accordance with market forces. The Embassy-USOM and IMF representative also consider the current dollar demand to be abnormal. In their opinion it reflects general belief in Bolivia that there will be a further serious devaluation due to the deterioration of the economic situation, and the belief that the Government will not maintain its stated positions on such matters as credit policy, restriction of budget deficit, and wage control.

The Department, with the concurrence of Treasury, plans to instruct the Embassy to inform the Bolivian Government that the U.S. would consider an additional drawing at this time if the IMF is satisfied with Bolivian performance on the exchange rate and recommends the drawing. We believe the ICA should be prepared to advance \$500,000 now, and as it is understood there have been several heavy non-recurrent exchange requirements during this month, consideration might be given to an advance of another \$500,000 before the end of the month, if Bolivian performance is satisfactory.

There has been some speculation in Bolivia on the possibility of instituting selective exchange controls but the Department is strongly opposing this and has informed Embassy La Paz we do not believe there is any effective alternative for Bolivia to maintenance of a free exchange system. Furthermore, we propose to instruct the Embassy to encourage the Bolivian government to take a firm stand *now* on wage and other stabilization issues, since it appears that a "show down" on issues of inflation is inevitable, and the present moment may be the most propitious for a show down.

BL-14. Memorandum from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to Deputy Under Secretary of State for Political Affairs (Murphy)¹

Washington, October 24, 1958.

SUBJECT

Attempted Rightist Coup in Bolivia

Facts:

On October 21 the rightist Bolivia Socialist Falange Party (FSB) attempted a revolt at La Paz. Armed units attacked public buildings and the homes of some high government officials and leaders of the National Revolutionary Movement (MNR), the Government party. Some Carabinero (police) units apparently were involved in the abortive coup and the chief of the Carabineros is under arrest. Three persons were reported killed and several injured, but no American citizens were hurt. President Siles decreed a nation-wide state of siege, and the Congress authorized its implementation. Since the revolt, MNR civilian militias have been patrolling the streets of La Paz. The Minister of Government subsequently announced that over 100 persons were under arrest, and both students' and teachers' federations are threatening to strike if their members under arrest are not released. There are reports that last minute efforts to postpone the revolt were successful in all but one suburb of La Paz.

The Communists and Lechín, head of the mine workers, claim the Government is responsible for the discontent which the reactionaries tried to utilize. Lechín has organized "emergency committees" for the "defense of the working classes." La Paz and the rest of the country appears to be quiet and censorship imposed on October 21 ended two days later.

Background:

The FSB, the second strongest party in Bolivia, consists of extreme right wing elements and finds some support among the middle class and the military and police forces. It has been plotting to overthrow the Government since the MNR's assumption of power in 1952, and as recently as last May it staged an unsuccessful uprising. Recently, the FSB has become associated with a loose coalition of small opposition

¹ Source: Department of State, Rubottom Files, Lot 60 D 553, "Bolivia 1958." Confidential. Co-drafted by Ernest V. [illegible in the original], Director of the Office of West Coast Affairs, and Henry L. Pitts. The source text is an unsigned carbon copy.

parties. Apparently the FSB considered the moment opportune for a revolt, in view of difficult economic and political conditions facing the Government. A new stabilization agreement between the Bolivian Government and the IMF resulted in devaluation of the currency at the beginning of this month. Prices have gone up, and the Government is plagued by demands for wage increases. The dumping of tin by the USSR and the U.S. quotas on lead and zinc have complicated Bolivia's already difficult foreign exchange picture.

Evaluation:

1. The full force and strength of the plot may not have been revealed due to last minute efforts at postponement. It is, however, generally thought that the FSB, unless it obtains substantial military or police support, has no chance alone of effecting a successful coup.

2. While the attempted coup might normally have been expected to strengthen the Government by promoting MNR unity, it does not in this case appear to have done so, possibly due to the apparent weakness of the attempt.

3. As a result, the leftist-MNR labor leader, Juan Lichín, as well as other minor opposition groups, appear to be endeavoring to capitalize on the situation by sniping at the Government in one way and another.

4. To the extent that the attempted coup gave credence to the Government's claim of persistent plotting and helped identify spots of disloyalty, particularly among the Carabineros, the long-run effects may be helpful to it.

5. The effect on the Government's effort to stabilize the economy cannot yet be judged. Although the immediate result was the termination of a factory workers' strike, accompanied by manifestations of loyalty, evidence of general discontent may weaken the Government's resolve to impose stringent measures.

BL-15. Paper Prepared in the Department of State¹

Washington, November 3, 1958.

CONCLUSIONS AND RECOMMENDATIONS REGARDING
BOLIVIAN PROGRAM

I. General

A. Our primary objective in Bolivia remains the maintenance of relative political stability in order to forestall a serious politico-social upheaval. This will be difficult to achieve unless the Bolivian economy can be stabilized and economic progress can be made. To realize our objective we are prepared to support any Bolivian government which can satisfy two basic criteria:

1. Freedom from Communist influence;
2. Ability and disposition to carry out an effective stabilization program.

In our economic policy toward Bolivia, the primary emphasis must still be on stabilization. There should also be increased support for development.

B. The sharp drop in Bolivian export earnings in the past two years because of the declining world metals market and the need to show economic progress in Bolivia in order to retain popular support for the stabilization program cause a need for United States aid to Bolivia in FY 1959 above the \$17 million already requested of the Congress.

C. A longer-run economic purpose remains the achievement of economic viability and strength which will, in turn, permit the termination of emergency aid to Bolivia.

D. Bolivian performance in the stabilization program has been less satisfactory this year than in 1957. The United States should take a firmer stand on the points discussed in Part II below.

II. Performance in the Stabilization Program

A. If the stabilization program in Bolivia is to be successful, the principle of flexibility of the exchange rate to follow market forces

¹ Source: Department of State, Central Files, 724.5-MSP/11-358. Secret. This paper was prepared by Samuel D. Eaton of the Office of International Finance and Development, and cleared with the Treasury Department, ICA, and the IMF. It was transmitted to the Embassy at La Paz under cover of Department of State Instruction A-66, November 3, 1958.

must be maintained and implemented. The U.S. should be firm in supporting the IMF in insistence on exchange rate flexibility. We should depend upon the IMF to take the lead in judging the specific rate of exchange which is appropriate and in counseling the Bolivian Government on rate policies. We should inform the Bolivian Government that utilization of the FY 1959 balance of payments special assistance will be predicated upon enforcement by it, in accordance with the stand-by agreement with the IMF, of policies necessary to keep open the free dollar market at a rate of exchange requisite to achieve at least an overall balance between demand for and supply of dollars.

B. Acceptable progress on the collection of counterpart should be a condition of use of United States balance of payments assistance in FY 1959.

C. We should attempt to obtain Bolivian agreement to legislation permitting the dismissal of surplus labor. If legislation is found politically impractical, we should continue to explore with the Bolivian Government other means of achieving displacement of surplus labor.

D. We should begin now to recruit a top-grade fiscal expert for the financial mission to Bolivia, to serve as an assistant to the head of the mission (who is also Executive Director of the Stabilization Council) and to replace him during periods of absence.

E. Although petroleum development offers the best long-term prospect for Bolivian economic progress, mining will continue to be the country's principal export producer for the immediate future and must also continue to play a major role in the economy in the long run. Reorganization, rationalization and re-capitalization of this industry are therefore urgently needed. As the government mining corporation, COMIBOL, constitutes by far the major portion of the industry, and as its present inefficient operations are a chief source of Bolivia's deficits we should strongly urge the Bolivian Government to implement the recommendations already made in this regard, including negotiation of a final settlement on compensation for the nationalized properties. The possibility of a management contract for COMIBOL with private mining interests might also be explored.

III. Additional Assistance for Bolivia

A. The full \$17 million FY 1959 special assistance program contemplated in the Congressional presentation should be made available to Bolivia. In view of the decline in Bolivia's export earnings and the commitment to help Bolivia meet its balance-of-payments problem made at

the time of the Vice President's visit, an additional \$6 million from ICA special assistance funds should be provided in FY 1959 on a grant basis, contingent on satisfactory Bolivian performance under the stabilization program.

To assure the greatest flexibility in meeting balance-of-payments emergencies and to make special assistance immediately available, such assistance should be furnished on a cash basis to the extent that PAs are not readily usable.

B. The Bolivian Government should be informed that DLF will give prompt attention to development project loan applications for Bolivia which meet DLF criteria.

C. The Bolivian Government petroleum agency, YPFB, offers the only immediate source of increased Bolivian export production. Moreover, its well-being and progress will help to protect the interests and investments of private U. S. oil companies now in Bolivia. In view of YPFB's acute need of capital, the U. S. Government should attempt to influence U. S. private oil companies to provide this financing on a basis which would be acceptable to YPFB and to the Bolivian Government. Pending further clarification of U. S. policy on the petroleum industry, this Government should defer consideration of financing YPFB from U.S. Government sources.

IV. Administrative Procedures for Extending Aid

Use of the cash grant technique should be continued to meet the needs of the stabilization program. Use of counterpart for projects is subordinate to the objectives of stabilization and continuance of the free exchange system.

V. Other

The internal security program begun in 1957 should be continued as rapidly as political circumstance in Bolivia permit.

BL-16. Letter from the Ambassador in Bolivia (Bonsal) to the Director of the Office of West Coast Affairs, Bureau of Inter-American Affairs (Siracusa)¹

La Paz, January 6, 1959.

Dear Mr. Siracusa:

I have your letter of December 30.² My letter of December 19³ was written on the assumption that Messrs. Dillon, Rubottom, Mann, and others had taken a clear-cut affirmative position on the YPF loan matter, and that Secretary Anderson had decisively vetoed this position. Since neither of these assumptions now appears wholly correct, I will have to leave to you whatever use, if any, you make of my letter of December 19. If the situation reverts to what I thought it was when I wrote the letter, I should certainly want it shown to Messrs. Rubottom, Mann, and Dillon.

There is a lot of dynamite in this whole situation, both as it relates to U.S. relations with Bolivia and, consequently, with the hemisphere as a whole, and also as it relates to the respective leadership positions of the U.S. Government and of certain American oil interests in relations to our foreign policy. But I realize that my view of the situation probably does not take into account all of the factors with which you in Washington are confronted.

It is interesting to note Mr. Whiteford's position to the effect that if YPF were able to increase its oil production, it would probably not be able to market it abroad. On the other hand, Gulf, Chaco, Shell, Andes and others are making extensive investments in Bolivia on the assumptions that if they find oil they will be able to market it abroad, since they certainly will not find a market for it in Bolivia which already produces more than its domestic requirements. If such a position were, in effect, to develop, i.e., YPF unable to sell while the foreign oil companies were marketing their output, the position here of the foreign companies

¹ Source: Department of State, ARA/WST Files, Lot 62 D 429, "Bonsal Letters." Secret. The source text bears Ambassador Bonsal's typed name.

² Not printed; ARA/WST Files, Lot 62 D 429, "Bonsal Letters."

³ The referenced letter, from La Paz, stated that the Ambassador found "most distressing" the information that the \$3-4 million proposed loan to YPF had been cancelled because of a veto by Secretary of Treasury Anderson. Bonsal further stated, "Favorable action on our part would have had an extremely favorable effect politically and economically on the situation here. The prospects over the next few weeks are, as we have reported, very dark indeed. We may well have adopted a position which will insure the failure of our entire enterprise. It is certainly one which may postpone the day when the Bolivian burden on the American taxpayer can be lightened." (ARA/WST Files, Lot 62 D 429, "Bonsal Letters")

would deteriorate rapidly. This is just another phase of the same argument which we are making to secure needed capital for YPFB. I am concerned and depressed at the statesmanship being shown by the oil companies in this matter.

I am not familiar with the marketing problems for Bolivian oil. I know that Williams Brothers⁴ has been helping YPFB to sell gasoline to pay for the pipeline. I also understand that there might be a possibility of some sort of triangular trade whereby Bolivian sales of petroleum products to Chile would be paid for in terms of Argentine foodstuffs to Bolivia. I am looking into this matter and also other aspects of the situation and will let you know whatever I can find out. In addition to the outlet to the Pacific, there is, of course, a possibility of selling considerable quantities of Bolivian oil to Argentina when the Yacuiba-Buenos Aires pipeline is completed in 1960 or 1961. In any case, I do not consider that the no markets bogey should be considered a valid argument against a modest U.S. Government credit for YPFB.

As to the probable effect of a U.S. Government loan to YPFB on Henry Holland's current negotiations with YPFB,⁵ I do not know how far the Department considers that there is a pertinent relationship. I note that the Holland proposition is for exploratory work in the mixed concession area, whereas the U.S. Government credit would presumably be for equipment and supplies for use in YPFB's proven areas, notably Camiri. The effect of both these propositions would be to increase YPFB's total resources available for both exploration and current production.

This whole situation is not going to stand still, and I hope that you can get some favorable action. A favorable decision would, in my judgment, swing the situation here very definitely in our direction. It would also lay a basis for a gradual reduction in our grant aid to Bolivia, which is to me, and I assume also to the Department, a major objective.

Many thanks for your New Year's wishes which I heartily reciprocate.⁶

Sincerely yours,

Philip W. Bonsal

⁴ Williams Brothers Sud Americana, Ltd., an oil company associated with John Williams, which had just completed a pipeline from Sicasica, Bolivia, to Arica, Chile.

⁵ Reference is to the activities of former Assistant Secretary of State for Inter-American Affairs, Henry F. Holland, who was then representing the investment firm of Loeb-Rhoades, which were discussed in Bonsal's letter of December 19, 1958.

⁶ Further documentation concerning the proposed loan is contained in ARA/WST Files, 62 D 16, "Economic-1958-Bolivia-YPFB."

**BL-17. Memorandum from the Operations Coordinator
(O'Connor) to the American Secretary of State for Inter-
American Affairs (Rubottom)¹**

Washington, January 28, 1959.

For your information or action, there is quoted below an excerpt from my preliminary and informal note on the OCB meeting of January 28:

"BOLIVIAN OIL SITUATION

"The Weekly Activity Report, prepared by the OCB staff, stated Ambassador Bonsai's view on the importance of obtaining U.S. public credit to permit YFPB (Bolivian government oil company) to enable it to (1) maintain increased field production, (2) free funds for exploration, and (3) give it greater freedom of action in negotiations with private companies. The Ambassador underlined the important political impact which the granting of such credit would have.

"Mr. Smith (ICA) said an International Monetary Fund team² had made an economic study of Bolivia six months ago and had suggested raising the price of gasoline and use of greater care in granting credit, particularly in the light of the company's unfavorable position in accounts receivable.³ With some caution, Mr. Smith said the U.S. gives advice and when the country doesn't take it 'we help them anyway—this must stop.' Governor Herter said he did not have sufficient knowledge of the factors which support the granting of U.S. credit and would inquire. Under Secretary of Treasury Scribner noted that Argentina, Mexico and Brazil will be considered for aid in the petroleum sector of their economies and suggested the desirability of not discriminating against them in our treatment of the Bolivian state-owned enterprise."

Jeremiah J. O'Connor

¹Source: Department of State, OCB Files, Lot 61 D 385, "Latin America." Confidential.

²Reference is to the IMF mission, headed by David Finch, which visited La Paz, June 10-17, 1958. Documentation concerning the mission is located in ARA/WST Files, Lot 62 D 16, "Grant Aid."

³Another IMF team, consisting of John Clark, Edison Zayas, and G.A. Constanzo, visited Bolivia between January 14 and 24, 1959. The team's objective was to negotiate renewal of an IMF Stand-by Agreement, which provided a cash grant budgetary support program for the Bolivian government, and was scheduled to expire on February 28, 1959. Documentation concerning the visit is in ARA/WST Files, Lot 62 D 429, "Grant Aid."

BL-18. Editorial Note

March 2, 1959.

The Latin American edition of the March 2, 1959, issue of *Time* made reference to a suggestion, which the magazine attributed to an office of the United States Embassy in Bolivia, that the only solution for Bolivian problems was to abolish Bolivia and allow her neighbors to divide the country. Protests followed in the wake of publication. On March 3, a public demonstration was held, in which President Siles and other high government authorities paraded. The Bolivian Government gave orders to the police to protect the U.S. Embassy from mob action, but the demonstration became violent, resulting in damage to the Embassy and other U.S. installations and property in La Paz. The Embassy was evacuated and a number of Embassy families moved temporarily to a suburban area. Bolivian police prevented further damage to U.S. installations in La Paz, but United States Information Service offices in Potosí and Cruro were stoned and those in Cochabamba completely destroyed. Documentation concerning the disturbances is in file 724.00 and ARA/WST Files, Lot 62 D 429, "Bolivia, *Time* Demonstrations."

BL-19. Telegram from the Chargé in Bolivia (Coerr) to the Department of State¹

La Paz, March 2, 1959, 6 p.m.

464-A. PASS USIA

EMBTEL 462²

In view mounting personal hostility toward Americans, demonstrations against Embassy personnel and increasing pressure from press, I handed the following note Foreign Minister 3:30 this afternoon:

QUOTE

I have the honor to refer to our conversation of February 27 and to give Your Excellency the following assurances: immediately following our conversation I instituted investigations concerning a statement attributed to an officer of this Embassy by the current Latin American edition of

¹ Source: Department of State, Central Files, 724.00/3-259. Confidential; Niact.

² The referenced telegram, from La Paz, March 1, 1959, reported that the newsstand edition of *Time*, released by the Government of Bolivia to dealers on February 28, was seized by MNR youth who were planning to burn it, and symbols of the United States, on March 2. (724.00/3-159)

TIME Magazine and I have found absolutely no evidence that such a statement was made by an officer of this Embassy. I have every confidence that no officer of this Embassy did, in fact, make such a statement

The reprehensible suggestion that Bolivia be abolished and divided among its neighbors is obviously completely contrary to the demonstrated attitude and policy of the USG as evidenced by its respect for the independence and integrity of Bolivia and by its close and friendly relations with Bolivia, including cooperative efforts in recent years to assist Bolivia toward a solution of its basic economic problems. The Government of the United States is, and will continue to be, interested in a strong, independent and prosperous Bolivia.

Accept Excellency, et cetera

UNQUOTE

Will confirm and report.³

Coerr

³In telegram 464-B from La Paz, March 2, 1959, Coerr reported that the Government of Bolivia announced, "*con placido*", with pleasure, receipt of the Embassy's note, and repeated its intention to ask the Department to take action against *Time* if the story was inaccurate. Coerr advised, "For *Time* to reaffirm an Embassy source now could seriously aggravate already violent situation with consequent increased danger Americans here." (724.00/3-259)

BL-20. Memorandum from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Under Secretary of State for Economic Affairs (Dillon)¹

Washington, March 13, 1959.

SUBJECT

Bolivia/IMF Standby Agreement

As you know, the former GOB/IMF standby agreement expired on February 28. The recently negotiated new agreement has not been recommended to the Fund Board because of failure of the GOB thus far to live up to the terms offered in its Letter of Intent on the crucial miners wage/commissary price issue.² In the absence of an agreement

¹Source: Department of State, Central Files, 398.13/3-1359. Confidential. Drafted by Siracusa.

²After problems arose between the Bolivian Government and the IMF relating to the provision of the Government's Letter of Intent of October 4, 1958, Bolivia submitted a new Letter of Intent, dated January 26, but actually signed on January 27, 1959. A photo-static copy of the new Letter was transmitted to the Department of State under cover of despatch 644 from La Paz, January 23, 1959, not printed; 398.13/1-2859.

with the Fund, we have been withholding payments to the GOB. The last payment was made on February 4.

It has long been our policy to stand behind the Fund on matters of these kinds so as to avoid placing ourselves in the position of dictating economic terms which have major domestic political implications in foreign countries. We have supported the Fund on this issue because we have felt it crucial to the success of the stabilization program this year. Nevertheless, the situation has changed drastically because of recent developments in Bolivia and as of today, the possibility that the GOB would be able to obtain agreement with the miners on terms satisfactory to the Fund appears remote indeed. The Government is not only facing a miners' strike but the possibility of a general strike in sympathy with the miners. This whole situation is fraught with danger and could very well jeopardize the lives of Americans in Bolivia.

It is my firm belief that the GOB has made a maximum reasonable effort to obtain terms acceptable to the Fund and that we cannot expect it to do more than this. I think, therefore, we should endeavour to induce the Fund to agree to accept the last offer made by the GOB (20% wage increase plus phasing out of commissary subsidies over 120 days), if this is attainable, or the best possible terms on which the GOB can achieve a settlement with the miners. This should reduce the tension in the country and allow us opportunity for a calm evaluation of the effects of such a settlement on the stabilization effort and on the future conduct of our program. Needless to say, it might also allow a breathing space in which we could make personnel adjustments so as to reduce U.S. exposure in the country. I believe, therefore, that it would be highly advisable for you to counsel the Fund to take action along these lines and not to throw in the sponge and withdraw their association with the Bolivian Government.

The withdrawal of IMF participation in the over-all Bolivian program would have repercussions far beyond the boundaries of that country and might, especially if the United States decides that it must continue the aid program, encourage other countries to take a harder line with the IMF (and the United States) every time a financial crisis occurs, hoping to by-pass the IMF and deal with the United States directly.³

³ On March 13, the Bolivian Government promulgated a Supreme Resolution incorporating IMF terms, which called for unfreezing of mineral commissary prices. Renewal of the Stand-by Agreement and U.S. cash grant aid was dependent upon the Government's ability to force the striking miners to accept the Supreme Resolution. By mid-May, the Government was successful; it put the miners back to work and announced the renewal of the Stand-by Agreement. Additional documentation is in files 724.00 and 824.10.

BL-21. Memorandum From the Director of the Office of West Coast Affairs (Siracusa) to the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, March 27, 1959.

¹Source: Department of State, ARA/WST Files: Lot 62 D 429. 3 pages not declassified.

BL-22. Telegram from the Acting Secretary of State to the Embassy in Bolivia¹

Washington, March 31, 1959, 6 p.m.

320. For Coerr Only
EYES ONLY COERR

Nationalized mines must be placed on as sound an economic basis as possible if there is to be any reasonable opportunity for restoration economic stability in Bolivia. One of key issues to be resolved in this connection is that of COMIBOL labor policy. Your recent reports suggest that GOB may be resolved to carry through to a showdown on commissary price issue at this time. GOB success on this issue could have crucial effect on its willingness and ability to take on other COMIBOL operational and management problems. On other hand, failure of GOB to prevail on commissary price issue would seriously jeopardize chances of its being able to continue a stabilization program having reasonable chance to achieve even minimum objectives.

We believe therefore that entire effort of USG to assist Bolivia over last few years may well hang in balance at this time. For these reasons we strongly favor showdown now on commissary price issue on assumption that GOB is willing stand firm on its agreement with IMF and has a reasonable chance to win out. We mindful of course paramount importance safety U.S. citizens but inclined believe that measures you are taking to safehaven dependents and are planning for establishment protected positions if needed for those Americans remaining may place us in best position face showdown that we have had or may be likely to have in future. Therefore consider it important that GOB continue to

¹ Source: Department of State, Central Files, 824.10/3-3159. Secret; Priority; Limit Distribution. Drafted by Siracusa and signed by Murphy.

believe that in absence of renewal IMF standby, cannot count on U.S. balance of payments and budget support.

Nevertheless, if issue comes to showdown which you consider GOB unlikely to win and if you judge further pursuit of issue by GOB would lead to conflict of such scope and character as to place Americans in unreasonable jeopardy, you authorized, at moment you deem tactically best indicated, to inform GOB that if it makes best possible settlement with miners under the circumstances and even if this does not provide basis for renewal IMF standby, USG will nevertheless be prepared to continue aid on a temporary basis pending total reevaluation of situation with a view to ascertaining whether any basis remains for continuation of a program Bolivia embodying balance of payments and budget support. GOB should understand of course that amount and form of aid for remainder this year and certainly in future years must be related to our estimate of GOB's willingness and capability of pursuing sound economic practices.

Dept and ICA fully mindful of heavy burden of decision which this instruction places on you. We believe however that issue is of sufficient importance to adopt policy indicated above and that since timing may be of crucial importance, there is no alternative but to place final decision in your hands. We have full confidence in your being able to exercise the judgment here required and will of course support you in whatever you decide to do.

ICA concurs.

Herter
Acting

BL-23. Memorandum from the Under Secretary of State for Economic Affairs' Special Assistant (Leddy) to the Under Secretary of State for Economic Affairs (Dillon)¹

Washington, May 8, 1959.

SUBJECT

Level of Assistance to Bolivia for 1959

You have asked that the Bolivian aid program be reviewed to determine whether assistance should be continued at the level of \$23 million originally programmed last September for FY 1959, or whether it should be reduced to \$18 million.

¹ Source: Department of State, ARA/WST Files, Lot 63 D 61, "Porter-Hardy Subcommittee." Confidential. Drafted [illegible in the original] by Leddy; concurred in by ARA, W/NSC, ICA, and the Treasury Department.

ICA and USOM Bolivia have continued to believe that an aid level for FY 1959 of \$23 million is excessive in the light of Bolivian performance and needs and that \$18 million is adequate in the circumstances.

ARA and OFD believe that the additional \$5 million which Ambassador Bonsal, on authorization of the Department and ICA, told the Bolivians would be available if we found it was needed and subject to satisfactory performance by the Bolivians on stabilization, should be provided as indicated. They believe the full \$23 million is necessary (a) to support the stabilization program to which we are committed, (b) because of the desirability, both politically and economically, for as much development activity as is practicable to go forward at this time, and (c) because our failure to provide the full support Ambassador Bonsal announced would be difficult for the Bolivian Government and people to understand now, when the Government has just successfully carried through a politically extremely risky operation to achieve an important stabilization objective, i.e., the unfreezing of commissary prices, and also since we will be continuing to condition releases of cash support on performance on the stabilization commitments of the Bolivian Government to the IMF.

The relevant facts, from an examination of USOM and IMF documents as well as conversations with the USOM Director, Mr. Rey Hill, the U.S. Executive Director on the IMF,² the staff of the IMF and Department personnel, appear to be as follows:

1. The United States aid program has two major economic objectives in Bolivia of an *immediate* nature (there are other longer-term goals). These are (a) *monetary stabilization*, which the U.S. and the IMF have in common, and (b) *economic development*, which is a U.S.-supported objective to be achieved separately from but consistently with monetary stabilization.

2. As in other countries, the U.S. relies heavily on the IMF for establishing the Bolivian monetary stabilization program and for influencing the Bolivian government to adhere to that program. The 1959 target of the IMF, agreed upon with the Bolivian government, is to avoid depreciation of the present exchange rate of 12,000 bolivianos to the dollar while maintaining a free exchange system. To achieve this the IMF has reached agreement with the Bolivian government on the controls to be applied to the sources which generate monetary pressure, chiefly the budget, Central Bank credit, the use of aid counterpart, and wage and subsidy policy. A key issue between the Fund and Bolivia—the immediate reduction and early elimination of subsidized prices in the commissaries of the mine workers—has just been settled on a basis which the Fund considers will, together with other commitments, justify a new standby agreement and a further credit to Bolivia of \$1.5 million.

3. The U.S. Director in the Fund and the Fund management, while conceding that the Bolivian stabilization program might well fail,

² Frank Southard, Jr.

consider that the prospects and performance in Bolivia are such that the Fund should not refuse its continued backing at this juncture.

4. The Fund stabilization program for 1959, which will come before the Board in the next week or so, is based upon an assumption of U.S. aid in *calendar 1959* at a level reflecting the \$23 million for *FY 1959* contingently indicated last September. The Fund projection, however, assumes certain developmental expenditures, to be financed from counterpart, which are based on USOM's and Bolivia's developmental plans. *It is this area of developmental expenditure which creates the difference of view as to the need for the additional \$5 million.*

5. To understand the above, a few figures are necessary showing the relationship between dollar aid, the generation of counterpart, and the uses of counterpart:

<i>Origin of Funds</i>	<i>Dollar Aid (\$ Million)</i>	<i>Counterpart (Billions of bolivianos)</i>	<i>Use of Counterpart</i>
Counterpart of FY 1959 aid spent in CY 1958	2.5	25)	
Counterpart from aid prior to FY 1959		)— 35)	Sterilization Agreed ^{1/}
Total counterpart on deposit 1/1/59		60	
Counterpart from FY 1959 aid spent in CY 1959 to date (April 1959)	1.5	18)	
Other counterpart as of end of April, 1959		) 25 7)	Sterilization proposed ^{2/}
Total counterpart on deposit 4/30/59		85	
Counterpart collections in CY 1959 from aid prior to 1958		21)	
Fiscal 1959 aid not yet spent:		)	
Cash	8.0	) 117	Budget
Commodities	6.0	96)	
Contingent (commodities or cash)	5.0	31) ^{3/})	
Counterpart collections in 1959 from 1958 aid funds		60) 117	Development
		) 26)	
	23.0		

^{1/} Sterilization agreed upon by IMF, U.S. and Bolivian Government.

^{2/} Sterilization proposed by IMF to U.S. Government.

^{3/} IMF states that low ratio of counterpart figure to dollar figure arises from certain subsidized procurements (e. g. wheat) and lags in collection.

6. On the basis of the above, the Fund staff asserts that if USOM will sterilize existing counterpart on deposit at the level of 85 billion bolivianos, which the Fund believes should be done to prevent inflationary pressure, then USOM cannot finance 117 billion bolivianos for development out of counterpart without an aid level of \$23 million. In other words, the Fund contends that if aid is reduced by \$5 million, then the equivalent counterpart would not be available for development expenditures, and if such expenditures were financed through other means, severe inflationary pressure would result and the stabilization program would be impaired.

7. ICA is not certain that the above analysis of the Fund with respect to the development sector is correct. Nevertheless it is prepared to agree (a) that counterpart deposits at the existing level of \$83 billion bolivianos should be sterilized (except that the need for sterilization at that level will be re-examined periodically by USOM and IMF representatives), and (b) that the additional \$5 million should be drawn upon to the extent determined to be necessary by USOM to provide counterpart for agreed projects in the development sector, which may or may not reach 117 billion bolivianos. It also recognizes that some or all of the additional \$5 million may have to be provided in the form of a cash grant.

Recommendations:

1. That not more than \$18.0 million be approved for Bolivia from U.S. fiscal year 1959 funds; and that the possible need for up to an additional \$5 million in the form of cash grants or otherwise from FY '60 funds in the last half of calendar 1959 be recognized (a) as determined by the USOM to be necessary to provide counterpart for agreed investment projects and (b) contingent upon satisfactory performance by the Bolivian Government on its commitments to the IMF regarding stabilization.

Approve _____³

Disapprove _____

2. That USOM sterilize counterpart deposits at not less than 85 billion bolivianos.

Approve _____⁴

Disapprove _____

3. That Embassy/USOM La Paz be instructed to accelerate efforts to reach agreement with the Bolivian Government on the development projects for which counterpart expenditure will be required.

Approve _____⁵

Disapprove _____

³ Recommendation 1 initialed "Approved" and stamped May 8, 1959.

⁴ Recommendation 2 initialed "Approved" and stamped May 8, 1959.

⁵ Recommendation 3 initialed "Approved" and stamped May 8, 1959.

BL-24. Special National Intelligence Estimate¹

Washington, May 19, 1959.

CONTINGENT PROSPECTS IN BOLIVIA²**THE ESTIMATE**

This estimate, prepared in response to a request from the Department of State, is designed to answer the following specific questions.

1. What are the prospects for Bolivia if U.S. aid is continued at about the present level?

In this case, moderate MNR³ President Hernan Siles Zuazo will probably be able to remain in office until elections in 1960. U.S. aid will enable him to continue efforts to stabilize the Bolivian economy, though at best progress will continue to be slow. Although by law Siles cannot succeed himself, his successor will almost certainly be a member of the MNR. Because of growing opposition within the party to the U.S.-supported stabilization effort, the electoral period will almost certainly be characterized by an increase in anti-U.S. oratory. However, the next administration, while anxious to avoid antagonizing left-wing labor elements, will probably cooperate with the U.S. to the extent necessary to assure a continuation of aid.

2. If Siles leaves office for reasons other than a withdrawal of U.S. aid, what group, party, or faction in Bolivia would be most likely to succeed to power?

If U.S. aid continues but Siles leaves the presidency before 1960, his most likely immediate successor would be Federico Alvarez Plata, President of the Senate, who is next in the constitutional line of succession. Alvarez Plata's continuation in office would depend on backing from ex-president Victor Paz Estenssoro, long-time party chief and

¹ Source: Department of State, INR Files. Secret. According to a note on the cover sheet, this SNIE was submitted by the Director of Central Intelligence, and the following intelligence organizations participated in its preparation: The Central Intelligence Agency and the intelligence organizations of the Departments of State, the Army, the Navy, the Air Force, and the Joint Staff. The members of the United States Intelligence Board concurred in the special estimate on May 19, 1959, with the exception of the Atomic Energy Commission representative, the Assistant to the Secretary of Defense, Special Operations, the Director of the National Security Agency, and the Assistant Director, Federal Bureau of Investigation, all of whom "abstained, the subject being out of their jurisdiction."

² This estimate supplements NIE 92-58, "The Outlook for Bolivia," 7 January 1958, which remains generally valid. [Footnote in the source text.] For the text of NIE 92-58, see Document BL-1.

³ Movimiento Nacionalista Revolucionario (Nationalist Revolutionary Movement). In 1952 the reformist MNR led a successful revolution against an incumbent military junta. President Siles was constitutionally elected in 1956 for a four-year term. [Footnote in the source text.]

symbol of MNR unity, and on accommodation with Juan Lechin, leader of the leftist wing of the party. Alvarez Plata would almost certainly seek such an accommodation, but would not go so far to the left as to jeopardize the continuation of U.S. aid. Failing such an accommodation among the key leaders, a violent intra-MNR conflict would probably ensue.

3. What is the leaning of the Carabineros and the armed forces?

The Carabineros (national police) and the armed forces are probably loyal to Siles. They, in conjunction with civilian militia units, would probably support the MNR government in sufficient numbers to put down any rightist or leftist attempt to seize power. However, if Siles had left office and a violent intra-MNR conflict were to occur, the action of the Carabineros and the armed forces would be uncertain. The bulk would be likely to support the MNR moderates as they have in the past, if there were a cohesive moderate group to support.

4. What would be the likely effect on the present moderate government of a withdrawal of U.S. aid?

The withdrawal of U.S. aid probably would bring Siles' leadership of Bolivia to an abrupt end. He has become so strongly identified with the policy of co-operation with the U.S. that he would be completely discredited and probably could not remain in office even if he tried to do so. We believe it unlikely that he would try. There would be a strong upsurge of anti-American sentiment and the MNR left wing would become dominant in the party and in the successor government. These circumstances would enable the small orthodox Communist and the Trotskyite groups to increase their influence.

5. What would be the outlook for the successor government?

The tenure of the successor government would depend largely on its ability to cope with Bolivia's economic problems. If U.S. aid had been denied, the successor government would desperately seek aid from any available source, including the Soviet Bloc, as an immediate action necessary to avert internal economic collapse and political chaos.

6. What would be the likely attitude of the successor government toward the U.S. and the possibility of fruitful U.S. cooperation with it?

Denied U.S. support, a successor government would adopt an extremely unfriendly attitude toward the U.S. and would seek to influence other Latin American countries to do the same. Internally, there would be a violent anti-American campaign which would probably involve acts of violence against U.S. property and persons.

7. What would be the effect of a withdrawal of U.S. aid to Bolivia upon U.S. relations in the inter-American community?

In these circumstances, there would be a widespread sympathy for Bolivia in Latin American opinion. It would be contended that Bolivia

had made a reasonable effort to comply with unrealistic U.S. conditions for aid, and that the termination of U.S. aid in such circumstances constituted an intolerable interference in Bolivia's domestic affairs and demonstrated the political folly of basing national policy on an assumption of continuing U.S. cooperation. The consequent anti-American reaction would adversely affect the ability of Latin American governments to cooperate with the U.S., especially in those countries where the adoption of stabilization measures was a condition of U.S. aid. In particular, the political position of Argentine President Frondizi, who is taking determined steps toward economic recovery with a U.S.-backed stabilization program, would almost certainly be adversely affected. In these circumstances, the Latin American countries would become increasingly receptive to offers of aid from the Soviet Bloc, thus presenting the Soviet Union with an excellent situation to exploit.⁴

⁴ An annex containing background information is not printed.

BL-25. Memorandum of Conversation, by the Officer in Charge of Bolivian Affairs (Pitts)¹

Washington, September 28, 1959.

SUBJECT

Recent Development in Bolivia, and U.S.-Bolivian Relations

PARTICIPANTS

Victor Andrade, Foreign Minister of Bolivia
ARA - Mr. Rubottom
Mario Montenegro, Chargé d'Affaires of Bolivia
WST - Mr. Silberstein
WST - Mr. Pitts

COPIES TO:

ARA - Mr. Rubottom (2)	IRC – 8 copies
ICA	WST – Mr. Pitts 3 copies (2 cc's)
E	H
Amembassy La Paz	
L/E – Mr. Duvall	

The Foreign Minister stated that the MNR Party Convention in December would probably nominate Victor Paz, Walter Guevara or

¹ Source: Department of State, Central Files, 724.00/9–2859. Confidential.

himself as the party's candidate for next year's presidential election. At the moment it would appear Victor Paz was the front runner. Whoever was nominated by the MNR party would undoubtedly follow the same general policy of cooperation with the U.S. as the present Government, Andrade stated, and Mr. Rubottom replied that he was glad to hear Bolivia would continue this policy.

Concerning the present economic situation in Bolivia, the Foreign Minister reported that last week he had a long satisfactory talk in New York with the head of the Gulf Oil Company's Latin American section, and that Gulf had confidence regarding its Bolivian operations. The Bolivian Oil Company, according to Andrade, is expected to become productive later this fall or winter in the Madrejonas area, with a possible eventual production there of 10,000 barrels a day. In the Santa Cruz area, agricultural prospects were good, he said, with an improvement in sugar production and cattle raising. He thought that the entire economic picture was slowly improving. There had been impressive gains in manufacturing, and some plants (he specifically mentioned SAID and "a glass factory") were even rehiring workers.

The past year had seen tough tough battles in the social sector, according to the Foreign Minister. The GOB, he said, had resisted the demands of the miners and teachers for higher wages. Andrade stated, however, that something would probably have to be done for white collar workers, such as government and clerical employees, who still earn very low salaries.

Mr. Rubottom mentioned the continuing harassment of our aid program in Bolivia, in which *La Nación* had participated. He said that we understood *La Nación* had been somewhat better in this respect recently. Andrade replied that he had a long talk with Ambassador Strom² concerning *La Nación*. He added that this newspaper must be permitted independence on "little" issues in order for it to support the government's position on larger issues, else it would be discounted as purely a "government mouthpiece".

Personalities were also involved in the minor irritations between citizens of our two countries, Andrade added. Some U.S. citizens just don't understand how things work in Bolivia. There was no doubt, Andrade said, that there were different cultural roots and he said we must all have patience. He confirmed that we were agreed on the fundamentals. He referred to the fact that some Bolivian officials considered certain U.S. officials arrogant, and he then mentioned an incident when an American lady at La Paz who had been drinking told him at a party that she was fed up with Bolivia and wanted to go home. Some

² Carl. W. Strom was appointed Ambassador to Bolivia on April 8, 1959; he presented his credentials to the Bolivian Government on May 4, 1959.

Bolivians present thought that Andrade should have made a scandal, but he simply passed over the insult. Andrade stressed the fact that we could not ignore the human element. Concerning U.S. officials in Bolivia, he said that they must be briefed before going there on the need for understanding the Bolivian people.

Mr. Rubottom commented that we were quite aware of the human factor, and that undoubtedly human failures creep in. He said that we tried to brief officials going to Bolivia, and that patience was certainly needed—on both sides.

Concerning the McClellan Committee hearings,³ Mr. Rubottom said that Under Secretary Dillon deserved considerable credit, as did Senator McClellan, for the quiet way the Committee meetings were conducted. There was a possibility the Committee would issue a report,⁴ and he hoped the Bolivian Government would be prepared to react in a “mature” manner to anything which might appear in the report. Andrade indicated that he intended to make a call on the Senator, and Mr. Rubottom advised him to “let sleeping dogs lie.”

The efforts of the municipality of La Paz to collect a tax from Grace & Co. on the disposal by Grace of commodities under the economic assistance program was mentioned by Mr. Rubottom. The Foreign Minister appeared to be quite familiar with this matter and confirmed that if the tax was paid the GOB would simply have to deposit that amount in the counterpart account. He concluded his remarks on this subject by stating that he would send a cable to La Paz concerning the matter. Mr. Silberstein mentioned that the Mutual Security legislation was involved and that continuation of the commodity program might be affected.

The refusal of Comibol to pay retentions to the Patiño Mines Enterprises on tin barter sales was then brought to the Foreign Minister’s attention by Mr. Rubottom. He said that we could see no difference between tin barter sales and ordinary sales, as far as retention payments were concerned. Andrade said this was a troublesome matter, there was some reason to believe the GOB may have already paid more than the value of the properties, and there was also the feeling in Bolivia that Bolivia had maintained the price of tin on the world market by its “sacrifices”. Mr. Silberstein pointed out the advantage to the GOB of a final settlement of this problem, and the Foreign Minister replied

³ Reference is to the Permanent Subcommittee on Investigations of the Senate Committee on Government Operation. Documentation relating to the subcommittee is in APA/WST Files, Lot 62 D 429, “McClellan Committee.”

⁴ The referenced report was issued on January 20, 1960, as U.S. Senate, Committee on Government Operations, “Administration of United States Foreign Aid Programs in Bolivia,” *Senate Report No. 1030*, 36th Cong., 2d Sess. (Washington, D.C.: Government Printing Office, 1969).

with a smile that this would have to wait for the next administration. Mr. Silberstein also remarked that as long as there was no settlement Comibol would undoubtedly find it difficult to get help from abroad. Andrade agreed that this was a serious problem.

BL-26. Memorandum from the Assistant of State for Economic Affairs (Mann) to the Under Secretary of State for Economic Affairs (Dillon)¹

Washington, October 5, 1959.

SUBJECT

Assistance to YPFB

In my attached memorandum (Tab B),² you were informed that Treasury, ARA and this Bureau had concurred in a new approach to the problem of providing financial assistance to the Bolivian Government's petroleum company, YPFB, which would authorize Embassy La Paz to offer a grant of \$5 million to the Government of Bolivia to be used indirectly for YPFB and which would permit President Siles to make some announcement in connection with this assistance. You were also informed that ICA did not concur and favored a direct loan to YPFB.

Since that time, we have had further discussions and are now all agreed on a new message to Embassy La Paz (Tab A) which is now ready for transmission. You will note that the mechanism proposed is that we would release up to \$5 million in boliviano counterpart to the Government of Bolivia for it to loan to YPFB and we would make \$5 million available in cash grants to the GOB to be available for purchase at the Central Bank by YPFB to finance necessary imports. These funds will only be made available after YPFB has purchased a minimum of \$4 million foreign exchange out of the current Bolivian exchange budget, and will be released to coincide with YPFB requests from time to time for conversion of local currency.

¹ Source: Department of State, Central Files, 824.2553/10-559. Confidential. Drafted by Joseph A. Silberstein, Deputy Director, Office of West Coast Affairs.

² The memorandum attached to the source text, matching the description given here, was not designated as Tab B.

Recommendation:

That you authorize transmission of this message by signifying your approval hereon.

APPROVED: _____³

DISAPPROVED: _____

Concurrences: ARA

ARA:WST:JASilberstein:pge

[Attachment]

**Memorandum from the Assistant Secretary of State for
Economic Affairs (Mann) to the Under Secretary of State for
Economic Affairs (Dillon)⁴**

SUBJECT

Assistance to YPFB

ICATO 81 of August 14, 1959, (Tab B)⁵ instructed Ambassador Strom, if Embassy/USOM concurred, to inform President Siles we are prepared to make available a \$5 million cash grant which would provide indirect assistance to YPFB. Embtel 120 of August 20, 1959, (Tab C)⁶ informed us that neither the Embassy nor USOM concurred, inter alia, because the Government of Bolivia would find it politically impossible to carry out the reforms we deemed necessary (increase in internal gasoline prices to economic levels and settlement of debts owed YPFB by Comibol and other Government entities) if the aid to YPFB was to be indirect and secret.

In considering Embassy/USOM's answer it occurred to us we had three alternatives: a) to drop the matter, b) to override Embassy/USOM and insist on the ICATO 81 proposal, or c) to seek some other means of achieving the objectives sought. We do not believe we can afford to drop the matter in view of the continuing urgency of YPFB's need for financing, and also having in mind the accelerating left-wing

³ Dillon initialed approval.

⁴ Co-drafted by Silberstein and Henry L. Pitts on September 3, and retyped on September 14, 1959; concurred in by Assistant Secretary Rubottom.

⁵ Not attached to the source text, and not found in Department of State files.

⁶ Not attached to the source text: a copy is filed under [illegible in the original]

campaign in Bolivia "in defense of YPFB" which favors acceptance of a Soviet loan and drastic modification of the liberal petroleum code under which several U. S. oil companies are actively engaged in exploration activities.

In recognition of Treasury's opposition, on policy grounds, to a direct open loan to YPFB, we have drafted an answer to Embassy/USOM La Paz (Tab A)⁷ authorizing them to reiterate the ICATO 81 proposal but also authorizing them to inform President Siles that when announcing the over-all FY 1960 aid program and his Government's plans for utilizing our aid, he could state that in view of the stabilization support Bolivia is to receive from the United States his Government has found it possible to channel some of Bolivia's own resources to YPFB. We have pointed out that in connection with such an announcement he could explain the need for the necessary reforms. We believe that in this way Embassy/USOM's main objections to the ICATO 81 proposal can be resolved.

Unfortunately, although Treasury has cleared our message ICA has informed us (Tab D)⁸ that it cannot concur. ICA now holds that it does not agree with the indirect grant approach and favors a direct loan to YPFB. ICA further recommends that a survey team be sent to Bolivia to study YPFB's financial situation and future prospects to provide the basis for determining the amount and conditions of a loan. In view of Treasury's strong objection to a direct loan we cannot accept ICA's proposal. Moreover a survey team would be inconsistent with Treasury's desire to play down the connection between our aid and YPFB's financing. We have no doubt YPFB badly needs at least \$5 million in financial assistance at this time. The details of what our assistance would be used for and procedures for assuring ourselves that our money goes for this purpose can be worked out through our Embassy and USOM.

Recommendation

I recommend that you speak directly with Mr. Saccio⁹ to obtain his concurrence with our proposed telegram. In the present context, our

⁷ Not attached to the source text.

⁸ Not attached to the source. The reference is to a memorandum from ICA to Assistant Secretary Rubottom, dated September 9, 1959.

⁹ Leonard J. Saccio, Deputy Director, International Cooperation Administration.

modified proposal appears to be the only way open to us to provide some assistance to YPFB.¹⁰

¹⁰ A memorandum of conversation between Bolivian Foreign Minister Andrade and Assistant Secretary Rubottom, held in Washington, October 22, 1959, reads in part as follows:

“Mr. Rubottom opened the conversation by stating that we were very pleased to be able to assist YPFB in the manner outlined by our Embassy to President Siles several days ago and to the Foreign Minister through the Bolivian Chargé here. He explained that this additional assistance would become available after YPFB had received some \$3 million in foreign exchange out of this year’s GOB budget and gasoline prices had been raised either to provide YPFB with additional local currency or the GOB with tax revenue. He pointed out that our success in arranging this assistance to YPFB was the result of considerable effort over a long period of time.

“The Foreign Minister expressed appreciation for this assistance and asked regarding the condition that the domestic price of gasoline be raised. Mr. Rubottom said that the gasoline price should be raised in order for our \$5 million in aid to YPFB to be affective. Andrade mentioned that he had voted in the Stabilization Council several months ago to increase the price of gasoline, but that the vote had gone the other way. He added that it might be difficult politically for the GOB to raise the price of gasoline at this time.”

BL-27. Telegram From the Embassy in Bolivia to the Department of State¹

La Paz, January 25, 1960.

¹ Source: Department of State, Central Files. 3 pages not declassified.

BL-28. Telegram from the Ambassador in Bolivia (Strom) to the Department of State¹

La Paz, February 2, 1960, 4 p.m.

402. Reference: Embassy telegram 399.²

In course discussion reference telegram I raised matter of funds in new Foreign Ministry budget for Moscow Embassy, noted increased

¹ Source: Department of State, Central Files, 724.00/2-260. Confidential

² Not printed; 724.00/2-260.

Communist subversive potential which establishment Soviet Embassy here would entail and said such exchange of Missions would certainly raise questions United States Congress re our relations with Bolivia whose outcome I could not predict.

Paz said he had not discussed matter with President Siles. He noted possibility funds might never be used for this purpose saying this common Bolivian budgetary practice. However, he said fact that anti-Communists Siles, Guevara and Moreno³ have taken this action indicative they under great pressure; greatest Communist public opinion gains have come on issue aid to YPFB; happily, "we" have been able calm down campaign against private oil companies and for acceptance Soviet loan (He had talked personally to union leaders Cochabamba refinery who pushing campaign that area, explaining his experience difficulties negotiating with Soviets); nevertheless, fact remains "United States doors appear closed" on possibility loan to state oil enterprise; meanwhile YPFB continues be regarded with pride by all Bolivians who determined not let it fail and Soviets, whether seriously or not, hold out possibility of assistance; YPFB has just received invitation from Soviet Embassy, Buenos Aires, send six engineers to USSR inspect newest Soviet drilling equipment; this is other side of coin which United States must consider.

I said we had considered this aspect problem and are awaiting formal GOB reply own proposal assist YPFB. Urged him use influence obtain such reply promptly.

Comment: Embassy has already transmitted to Department GOB reaction to our YPFB proposal on basis information received informally from GOB officials. I shall continue press for official reply⁴ but in meantime I recommend that State again urge on Treasury necessity of making adequate loan to YPFB in amount determined by study already proposed. I believe adequate loan is crucial for our relations with Bolivia over next five years and our ability protect investment and opportunities of ten American oil companies in Bolivia with which YPFB cooperating fully. Our failure assist YPFB gives Soviets opportunity they can exploit at will. If United States attitude remains unchanged, I believe Bolivia will ultimately accept a serious Soviet aid offer. This will involve establishment Soviet diplomatic mission in La Paz with all the opportunities for subversion that it will entail. Acquisition Soviet machinery and equipment for use YPFB oil fields will most likely bring swarm of Soviet "technicians" with most serious problems for United States.

³ Hugo Moreno Cordova, Minister of Finance and Statistics.

⁴ See despatch 472, printed as Document BL-29.

If we are really serious about resisting Soviet economic penetration in this country, I believe we should make use of the obvious means available to us, especially when we can at same time protect opportunities made available to American companies here.

Strom

BL–29. Despatch from the Ambassador in Bolivia (Strom) to the Department of State¹

La Paz, March 18, 1960.

No. 472

REF

Embtel 428, February 12, 1960

SUBJECT

Formal Reply by Bolivian Government to United States Proposal of Assistance to YPFB

The Embassy has just received the official reply of the GOB, through the Ministry of Foreign Relations, to the United States Government's proposal to grant economic assistance this year to *Yacimientos Petrolíferos Fiscales Bolivianos* (YPFB), the state-owned oil entity.

Aside from the Ministry's covering note of transmittal, the reply consists of memorandum drawn up by YPFB, which appears to be precisely the same as the memorandum received informally by USOM from YPFB last November.² To make the record complete and official, however, the following documents are being transmitted herewith: (1) copies of the original note of the Foreign Ministry along with the

¹ Source: Department of State, Central Files, 824.25553/3–1860. Confidential.

² The earlier memorandum, dated November 29, 1959, contained an informal response to the ICA proposal of October 23, 1959, to give Bolivia special economic assistance in 1960, which involved the release of up to \$5 million in boliviano counterpart funds to the Bolivian Government for loaning to YPFB. In its memorandum, the Bolivian Government stated that YPFB could not utilize \$5 million to increase production from proven oil reserves, because at that time it did not possess such known or proven reserves, and that the principal need was financial support for further exploration.

Spanish text of the YPFB memorandum;³ and (2) an informal translation of the memorandum into English.⁴ Enclosure No. 1 has been photostated to expedite transmittal.

The Embassy cannot account for the inordinate delay in receiving the official reply of the GOB, having obtained unsatisfactory explanations (documents having been lost, misplaced, etc.) from Foreign Office officials. In view of the delay it had been thought that possibly the GOB was redrafting the YPFB memorandum.

By now certain matters treated in the memorandum are outdated and no longer pertinent (this would apply particularly to the condition that YPFB purchase at least \$3,000,000 from the Central Bank in 1959). The long discussion this point, as well as the terms for repayment of the proposed loan, is based both upon a misinterpretation of the conditions set forth the U.S. offer and upon conditions assumed by YPFB but not contained in the U.S. proposal.

Perhaps the principal point made in the whole memorandum is that YPFB cannot utilize \$5,000,000 to increase production from proven oil reserves since at this time it does not have such known or proven reserves. In other words, the entity's main need is to engage in further exploration with a view to discovering and developing other oil deposits. The Embassy, after having made many inquiries concerning this matter, is inclined to agree with YPFB's position on this issue.

For the time being the Embassy has no further comments to add to those already set forth in the telegram under reference with respect to this matter.

This despatch bears a Confidential classification solely because of the reference made to the telegram of February 12.

For the Ambassador:

William F. Gray
Counselor of Embassy For Economic Affairs

³ The referenced memorandum, dated March 7, 1960, was submitted under a covering note from the Bolivian Foreign Ministry, March 17, 1960; neither are printed.

⁴ Not printed.

**BL-30. Memorandum of Conversation by the Officer in Charge
of Bolivian Affairs (Pitts)¹**

Washington, April 28, 1960.

SUBJECT

Possible Settlement between the Patiño Group and the GOB and COMIBOL's
Difficult Situation²

PARTICIPANTS

ARA - Mr. Rubottom
Victor ANDRADE, Ambassador of Bolivia
ARA/WST/B - Mr. Pitts

Ambassador Andrade referred to negotiations that had taken place last month between representatives of the Patiño group and COMIBOL at Montreal on the question of compensation to be paid for Patiño's expropriated mining properties. On that occasion the Bolivians had indicated that they would recommend the GOB pay \$4 million to Patiño in addition to retentions already paid, and the Patiño representatives had proposed \$9-1/2 million. Ambassador Andrade stated that he had received instructions from his government to inform the Patiño group and the Department that \$4 million was all the GOB was prepared to offer, in addition to past retention payments, as a definite and final settlement. He pointed out that making even this offer required a certain amount of political courage as there was a strong feeling in Bolivia the government owed nothing further to Patiño.

Mr. Rubottom said that he was encouraged to hear of the recent negotiations and hoped for a settlement, which he thought would benefit the GOB's public relations abroad. He added that he did not know what we could do to help bring about a settlement between the two sides. Andrade said that feelings had mellowed over the years and that he thought that it was quite possible to reach a settlement of the Patiño problem, just as a settlement was eventually reached with the Standard Oil Company of New Jersey following expropriation of that company's properties in 1937. Mr. Rubottom reiterated that in his opinion a settlement was certainly desirable, and he hoped that some means would be found to bring this about in the near future.

Mr. Rubottom then referred to information just obtained from our Embassy at La Paz indicating a serious government financial crisis caused by continued COMIBOL losses. He said that COMIBOL's

¹ Source: Department of State, ARA Files, Lot 63 D 61, "Bolivia-Memoranda of Conversations." Confidential. The source text is an unsigned carbon copy.

² Further documentation concerning this subject is in ARA/WST Files, Lot 63 D 61, "Bolivia-Comibol."

production had dropped considerably in the first quarter of 1960 and a sizeable deficit was probable this year.³ He said we understood that Mr. Clark⁴ of the IMF had talked to President Siles about this matter.⁵ It appeared that action was needed in order to take those measures, such as the dismissal of a large number of surplus miners and elimination of commissary losses, which were required if a bad inflationary spiral were to be avoided.⁶ Mr. Rubottom hoped that the necessary action would be taken, although he realized it might not be possible to institute some measures until after the elections.

Mr. Rubottom also referred to the attack by a large number of demonstrators on April 26 against the building housing the *Servicios* in Cochabamba. He said that he understood that the police had eventually arrived and provided adequate protection, but he deplored the irresponsible actions of the Confederation of Construction Workers.⁷ Andrade replied that he was not familiar with this incident, but would inquire regarding the circumstances.

Following the discussion in Mr. Rubottom's office the Ambassador and Mr. Pitts continued the discussion along the following lines:

Should an agreement be reached with Patiño, Andrade said the GOB would probably then approach the Department in an effort to obtain assistance in financing such a settlement. The Ambassador pointed out that the Bolivian government simply did not have the required funds with which to pay Patiño and would, therefore, have to look to lending institutions of the United States Government or to the IBRD and commercial banks for help with this matter. Mr. Pitts replied that he could not encourage Andrade regarding possible action by the USG. Andrade commented that he had been assured that once a settlement of Bolivia's outstanding bonded indebtedness had been concluded, the GOB would be able to obtain funds from the IBRD. Although an agreement was reached and payments were being made to the bondholders, the GOB had not obtained assistance from the IBRD as it was unable to finance the studies required before presenting proposals to the IBRD. Andrade added that COMIBOL was badly in need of funds with which to purchase new equipment and improve its activities. He said that should a settlement with Patiño not improve the GOB's credit standing to the

³ Reference is to telegram 619 from La Paz, April 27, 1960, which reported that Comibol's deficit might be predicted at \$12 million for 1960. (824.10/4-2760)

⁴ George J. Clark, resident IMF representative in Bolivia, June 1959-June 1961.

⁵ Telegram 619 reported that Clark informed Siles on April 25 that the Government of Bolivia must take drastic measures to cut Comibol losses or face a serious financial crisis.

⁶ Telegram 619 stated that the situation required dismissal of large numbers of surplus miners, closing marginal mines, elimination of commissary losses, and other drastic measures, but stated that Siles was unlikely to take such action before elections.

⁷ The incident was reported to the Department in telegram 615, from La Paz, April 26, 1960, 724.00/4-2660, and telegram 620, from La Paz, April 27, 1960, 724.00/4-2760.

extent that it could obtain loans for COMIBOL, there would be a feeling in his government that it was not worth while to conclude the agreement. Mr. Pitts said it would not be possible to make any commitment on this matter. He added that while a settlement with COMIBOL would undoubtedly greatly improve the likelihood of COMIBOL's obtaining outside assistance, the GOB's 1960 budget contained only \$2-1/3 million for payment of foreign debts, whereas the amount due in 1960 (including 1959 delinquencies) amounted to some \$20 million. Even if a settlement were reached with Patiño, therefore, the GOB might have some difficulty in obtaining financing for COMIBOL.

Mr. Pitts again referred to COMIBOL's current financial problems and stated that the information just received indicated that drastic measure might be required in order to reduce COMIBOL's operating deficit. The Ambassador agreed that there might be strong political reasons why desirable drastic measures could not be taken, "but still, if the doctor recommended amputation of a leg in order to save the patient's life, the patient would have to make the hard decision".

BL-31. Telegram from the Ambassador in Bolivia (Strom) to the Department of State¹

La Paz, May 14, 1960, 10 a.m.

660. DEPTTEL 329.²

Despite Guevara's opinion, Embassy considers seizure of power by a military junta as immediate consequence of breakdown COMIBOL negotiations only remote possibility. Present military leaders obviously subject constant incitement to such action by right wing opposition. Believe highly unlikely they will respond for following reasons:

(1) Believe top officers genuinely regard themselves as servants legally constituted authority.

(2) Believe top officers doubt military strong enough to seize and hold power.

(3) Believe top military leaders have learned political lesson from 1952, i.e., while they anxious restore order they will do so as agent of

¹ Source: Department of State, Central Files, 724.00/5-1460. Confidential.

² The Department's telegram 349, May 9, 1960, requested an analysis of the statement by MNRA presidential candidate Walter Guevara Arze, reported earlier that day in Embassy despatch 597, that if Comibol negotiations broke down, a rightist military junta would seize control of the Government. (724.00/5-960)

political authority; not assume political responsibility for the bloodshed involved as would be case with military junta. Therefore although right wing coup attempt good possibility prior to or immediately after June 5 elections believe military will support GOB.

Rumors of possible installation of military junta by Siles rife last ten days. Embassy place little credence these reports. Believe rumors have two sources: (1) Effort of both left and right opposition drive wedge between GOB and military and (2) uninformed speculation on recent appointment military officers as prefects bringing total of military prefects to seven out of nine (several these military men extreme leftists who would not join any attempt establish rightist junta).

Should critical COMIBOL situation result in GOB bankruptcy, Embassy believes anarchy and political chaos likely results with extreme leftist holding political initiative. (For report on COMIBOL see EMBTEL 657). In Embassy's opinion effort to establish military junta would only become probability at onus stage. In view likelihood that military and rightist leaders would be among first targets leftist night of long knives consider fruitless speculate on which individuals might lead such effort.

Strom

BL-32. Despatch from the Ambassador in Bolivia (Strom) to the Department of State¹

La Paz, July 14, 1960.

No.20

REF

Embtel No:12²

SUBJECT

Conversation with the President-Elect, Victor PAZ Estenssoro:
Comibol
Political Truce
Cochabamba Valley Civil War
Paz's Visit to Argentina

The Ambassador, accompanied by Mr. Williams and Mr. Thompson,³ called on Victor Paz Estenssoro at his home at 3:30 p.m. on July 12. Much

¹ Source: Department of State, Central Files, 724.00/7-1460. Confidential.

² Not printed; 737.00/7-1260.

³ Herbert B. Thompson, Second Secretary of the Embassy in Bolivia.

of the conversation was devoted to the Cuban problem, and this portion of the discussion was reported in the telegram under reference.

Comibal

The Ambassador inquired concerning the Comibol situation. Dr. Paz said that the commission on Comibol was working "seriously" and that immediately upon his assumption of office he would set into motion measures which would in time, perhaps six to eight months, improve Comibol's financial situation. He realized that reforms would not make their effect felt on Comibol for some time. Dr. Paz said he was concerned by the possibility that Bolivia's treasury would be empty by the time he took office. He said he understood that the Government of Bolivia had requested the "ICA" August cash grant of \$450,000 this month. The Ambassador said that it had been decided that the August grant would not be made in July except with the approval of Dr. Paz. Dr. Paz said that he believed he would be faced with a grave financial crisis soon after August 6 and hinted that he might have to look to the United States for some special emergency assistance at that time. The Ambassador said that while he did not have instructions to say so, he was quite sure that the United States Government would consider any proposals of the Government of Bolivia which were offered if they were consistent with the political realities which the United States Government must take into account in its relations with Bolivia. Thus, for example, it would be politically undesirable for the United States Government to be associated in a financial way with the dismissal of supernumerary miners. On the other hand, there might be a possibility of some assistance to the Government of Bolivia in a program of resettlement of dismissed miners. The President-Elect acknowledged the validity of the Ambassador's comment. Dr. Paz said that he intended to institute certain reforms including, probably, the raising of gasoline prices, the establishment of a rationing system in the mine commissaries, and the re-allocation of miners to redress the present situation in which 65 percent of the miners in Comibol mines work above ground.

The Ambassador said, by way of illustrating one of the things that was wrong with Comibol, that recently an American geologist had talked to him, explaining that he had been hired by Comibol to engage in exploration work. He had said that if the needed exploration was to be accomplished expeditiously, it was desirable that the initial work be done, not on the ground, but from the air. The Bolivian Army's Geography Institute possessed numerous maps and other data which would be most valuable to the work of Comibol's geologists, but Comibol had not been able to obtain these data without paying for them. Dr. Paz added, "And Comibol does not have the money." The Ambassador said that this situation seemed to him to be one which

could easily be straightened out; Dr. Paz said that he would seek to intervene in the situation.

Prospects for Understanding Among Opposition Parties and the MNR

The Ambassador referred to proposals which had been made by Fernando DIEZ DE MEDINA, until recently Ambassador to Rome and the Vatican, that the opposition groups and the MNR mutually agree to a sort of political truce in which they would eschew violence and carry on their activities by purely legal and constitutional means. Dr. Paz [text not declassified] was willing, in his first message to the nation, to express the new administration's desire for domestic peace and reconciliation. The opposition parties would then be at liberty to make similar declarations.

Cochabamba Valley Civil War

The conversation turned to the continued fighting between Roja's⁴ and Veizaga⁵ forces in the Cochabamba Valley. It was pointed out that large number of campesinos who were engaged in this activity were neglecting their farms and sooner or later would be confronted with famine conditions. [text not declassified]

Dr. Paz's visit to Argentina

The Ambassador wished Dr. Paz every success on his visit to Buenos Aires, especially hoping that Dr. Paz would return with a substantial quantity of free dollars as a result of his negotiations regarding the Bolivian-Argentine Bilateral Agreement. Dr. Paz said that he had been preparing for this part of his trip to Argentina by consulting with Mr. Clark of the International Monetary Fund, and he expected that he would be able to convince the Argentine Government to release perhaps as much as \$3,000,000 in free dollars out of the *Convenio* account. The Ambassador pointed it was also essential to terminate the Bilateral Agreement and Dr. Paz replied this was one of his two prime objectives in making his trip. (As long as the Agreement is in force, the dollars YPFB sells to the Central Bank are blocked dollars. The bolivianos which are put into circulation as a result of these sales are eventually returned to the Bank for the purchase of free dollars which places a strong inflationary pressure on the boliviano.)

For the Ambassador:

William L. S. Williams
Counselor of Embassy

⁴ Reference is to the forces of Jose Rojas Guevara, leftist leader.

⁵ Reference is to the forces of Miguel Veizaga, rightist leader.

BL-33. Despatch from the Ambassador in Bolivia (Strom) to the Department of State¹

La Paz, August 16, 1960.

No. 70

SUBJECT

COMIBOL: Dilemma for the United States

It is accepted that basic to any solution of Bolivia's economic malaise is increased production of minerals, principally tin, at lower cost of production. Even should petroleum or natural gas be discovered in commercial quantities, it is the consensus that this development, should it eventuate, will have no perceptible effect on the general economy for five or ten years. The Embassy has transmitted numerous reports concerning the critical condition of Comibol, the State-owned company which manages and operates all the former mines and holdings of PATIÑO, ARAMAYO and HOCHSCHILD, and which currently operates at a net loss of \$500,000 per month. The Department and other interested agencies are informed of the reasons for its losses. In essence, the reasons are: (1) serious de-capitalization; (2) worn out or obsolete machinery and equipment; (3) depletion of existing ore deposits and a lowering of the grade of ore; (4) the lack of an efficient exploration program; (5) an oversupply of workers (estimated at 6,000) who draw pay but produce nothing and an excess of surface workers (65 percent of Comibol employees work above ground); (6) shortage of operating supplies such as dynamite, drill bits, picks, and shovels; (7) the high cost of operating mine commissaries; (8) maladministration, both at the head office and at the individual Comibol mines; (9) the cost to the Corporation of excessive social benefits provided by the labor laws; and, finally, (10) the force of Bolivian politics which has impeded or blocked those reforms which are necessary if Comibol is to become a paying proposition.

I have already reported that Dr. Victor PAZ Estenssoro in his inaugural address on August 6 termed Comibol the major economic problem of Bolivia,² a proposition which should be evident to anyone who cares to know. I think it possible that my many talks with him helped to make him alert to the problem. However that may be, there is no doubt that the Government is fully aware of the Comibol problem and prepared to make some decisions about it. If I did not credit the possibility that Dr. Paz intends seriously to address himself to Comibol

¹ Source: Department of State, Central Files, 824/10/8-1660. Secret.

² Telegram 65 from La Paz, August 7, 1960, reported the highlight of the speech, which was primarily a review of the achievement and difficulties of the previous administration and a defense of the stabilization plan. (964.11/8-460)

and did not believe that he is the only one who can do anything about it, if he has the will, this despatch would not be written. Two changes have occurred in recent weeks: (1) there is widespread apprehension concerning Comibol's drain on the nation's economy, and (2) there is recognition in high quarters of the Government that something must be done about it. There is an added element of great importance: President Paz' recent election gives him and his Government a greater freedom of action than Dr. Siles had in the closing stages of his administration.

I believe that the rehabilitation of Comibol is the key to any early economic improvement in Bolivia. I regard it as highly unlikely that there will be, during the foreseeable future, any serious disposition on the part of Government leaders to return Comibol mines and holdings to private enterprise. Indeed, I suspect that the former owners of Comibol mines themselves have no serious interest in returning to Bolivia. No Bolivian with any political responsibility has even hinted to me that Comibol should be liquidated and that its assets be offered to private investors. President Paz told me that such a step would be "political suicide". The nationalization of the great mining companies was and remains a major tenet of the Bolivian Revolution. Comibol is the chief economic symbol of the Revolution.

Given that Comibol is the key to any improvement in the economy of Bolivia, it would seem that the United States is confronted by a most serious dilemma.

Although no specific position in this regard has been taken at the highest levels of our Government, our policy has been not to consider United States Government aid or to encourage American private assistance to Comibol until the Government of Bolivia has reached a final settlement with the former owners of Comibol's holdings. A considerable percentage of the stock of Patiño Mines is held by American citizens or by persons who are at least resident in the United States. I understand that this is not so in the case of Aramayo and Hochschild. The Government of Bolivia has been paying "retentions" to the former mine owners and, according to the Embassy's information, the sum of retentions already paid has now reached over \$17 million. Recent discussions were held between representatives of the Patiño group and the Government of Bolivia in Montreal, with a view toward a final settlement of the amount to be paid to the Patiño group in accordance with the Government of Bolivia's commitment to compensate the former mine owners. In essence, the Patiño group asked a sum double that which the Government of Bolivia was prepared to give. To the Embassy's knowledge the discussions ended without agreement and no further discussions have been held. The Government of Bolivia considers that it has already paid to the former mine owners sums in the form of retentions approaching the book value of the holdings which were nationalized in 1953. (Mine owners dispute this claim on grounds

“book value” set was erroneous.) The former owners would appear to have little motive, for purely financial reasons, to want to reach a final settlement so long as they continue to receive with each shipment of tin ore to the smelters in England a portion of the value of the smeltered ore. It would seem likely that they would be content to continue indefinitely receiving these retentions.

So long as the problem of Comibol remains unsolved, the United States Government cannot expect that its economic and financial assistance to Bolivia will have any really significant effect in terms of improving the country's economy. Indeed, in a sense, our cash grants are little more than an indirect subvention which serves to make up for Comibol's losses.

It is understood that the Government of Bolivia will shortly announce agreed measures for the reform of Comibol. While the Embassy has no precise advance information concerning the nature of the measures which the Government will propose to take, it seems likely that they will include the dismissal of many Comibol supernumeraries, the closing of some unproductive mines, possibly a rationing system in the mine commissaries to reduce commissary losses, and some personnel changes. Such reforms, in themselves, however, will have little more effect than to cut Comibol losses.

A major difficulty is that even if the Government is determined to carry out these reforms it does not have the funds available to do so. It is estimated, for example, that the dismissal of 4,500 employees would cost around \$2,500,000 in severance pay and other social welfare benefits, and because of the probable need to resettle the workers. This assumes that the Government would not have to pay any benefits in the case of about 1,500 of these workers who, although on Comibol's payroll, have been drawing disability and regular retirement pensions from the social security system.

Furthermore the reforms mentioned, while they should cut Comibol losses considerably and perhaps even enable that entity to show small profits, would not constitute a long-term solution to Comibol's problems. In other words, Comibol would almost surely be operating before very long at a deficit again unless other essential measures are also adopted. In short, Comibol will require new capital to replace worn and outmoded equipment, to carry out intensive exploration for new ore deposits, to install concentration plants to process low-grade ores, and for other improvements. Capital for these investments is not available in Bolivia; it is unlikely that private foreign capital would be forthcoming except on some basis whereby foreign investors have a share in the management of Comibol or of its individual mines, an arrangement which the Embassy believes the Government of Bolivia is loath to accept, given the political symbolism of Comibol, except possibly in the case of idle properties such as

the Matilde Mine. Hence the Government of Bolivia will be looking abroad for public capital.

The Embassy anticipates that approaches will be made to the United States Government for substantial assistance to rationalize Comibol's operations. It seems most probable that overtures will be made at the same time, also, to Iron Curtain countries for assistance and that, therefore, the United States Government will be in a squeeze, threatened with the prospect of important Czech or possibly Soviet Union economic (and political) inroads into this country, if we do not come to Comibol's assistance. [*text not declassified*]

In summary, the problem which Comibol poses for the United States is as follows: Our substantial program of economic and financial assistance is designed to assist Bolivia in improving its economy, a condition, precedent to political stability, the introduction of a reign of law and order in the country, and the consolidation of a purely national revolution which has promise of being a most valuable counterweight to the Castro revolution in Cuba. Yet Comibol constitutes an enormous drain on the resources of the country and, to a large extent, vitiates progress in other sectors of the economy which is being made with our help. Comibol is the key to the economic health of Bolivia, yet our share in economic development here does not touch it. American public funds cannot accomplish all that is desired until a program of reform and recapitalization of Comibol is begun and carried through. The interests of a small number of investors in the United States, the holders of Patiño stock, which dictate that United States public funds not be made available to Comibol, appear, therefore, to conflict with the broader interests of the mass of American taxpayers whose money is not accomplishing, and not likely to accomplish, what is desired here so long as Comibol remains such a heavy drain on the country's economy. I believe that the United States Government's interest lies in assuring that the Bolivian Revolution remain a national one and that it succeed along the general lines which it has now taken.

I am confident that within a short time the Embassy will be asked what will be the nature and extent of United States cooperation with the Government of Bolivia in reorganizing and recapitalizing Comibol. I should, therefore, appreciate receiving promptly guidance from the Department concerning the nature of my response to this question.³

Carl W. Strom

³ Despatched telegram 60, August 29, 1960, stated that there was general reluctance within the U.S. Government to extend loans to nationalized industries, and that the outlook for U.S. credits and grants was negative until Comibol was completely reorganized and made more efficient. The Department agreed, "solution COMIBOL problem an important step to ultimate disengagement of Bolivia from U.S. grant aid and budget support. Desirable therefore that Paz administration without delay move ahead with meaningful and effective measures for reducing COMIBOL operating losses in order demonstrate with action rpt action its intention resolve COMIBOL problem." (824.10/8-1660)

BL-34. Telegram from the Acting Secretary of State to the Embassy in Bolivia¹

Washington, September 15, 1960, 9:11 p.m.

76. EMBTEL 128.²

Department appreciates analysis and recommendations REFTEL and, as interim reply, tends strongly favour German financing and management contract for COMIBOL over American. Department generally interested in encouraging other capital exporting nations to aid under-developed countries. Believes specifically that German governmental sources might be less subject than American to limitations that could affect the ability to supply capital to COMIBOL and that German management personnel attempting herculean task rationalize COMIBOL would be less subject than American to obstructionist tactics by political groups and Communist-influenced miners.

Salzgitter is sales and distribution subsidiary of A. G. fur Berg und Huetten Betriebe capitalized at 400,000,000 DM which is holding company wholly owned by Federal German Government. Department querying Embassy Bonn re Salzgitter intentions and capacity perform satisfactorily.

Dillon

¹ Source: Department of State, Central Files, 824.10/9-1060. Secret. Drafted and signed by Coerr.

² Telegram 128 from La Paz, September 10, 1960, reported a conversation with President Paz who stated that he had received a concrete offer from the German firm, Salzgitter, for the necessary retooling and expansion of Comibol, as well as credit for technical and managerial assistance. Paz stated, however, that the cost would be higher than if the replacement machinery could be obtained from the U.S. and asked the Ambassador to inquire about the prospects for obtaining U.S. credit for this. (824.10/9-1060)

BL-35. Telegram from the Acting Secretary of State to the Embassy in Bolivia¹

Washington, November 7, 1960, 8:45 p.m.

Embtel 216²

DEPT recognizes that GOB may in short time come under irresistible pressure of leftist and Communist groups to open negotiations with USSR on tin smelter, concentration plants, etc. and that Paz, despite orientation to West, may feel compelled to proceed accordingly. (Soviets are understood to have asked that offer be taken up through Bolivian Embassy which they insist should be established Moscow.)³

To relieve pressure on Paz and buy time to implement our immediate and long range plans for assistance to COMIBOL, you should subject to your approval, recommend that Paz consider the following course of action (1) under no circumstances should he permit the establishment of a Soviet diplomatic mission in La Paz since it would be used primarily in an effort to subvert Bolivia and to replace Paz by someone amenable to Soviet direction; (2) if irresistible pressure develops, Bolivia offer to send a mission to Moscow which would be strictly commercial in nature to discuss the Soviet offer; and (3) this mission determine what conditions are attached to the Soviet offer and whether the Soviets are genuinely prepared to provide equipment and convertible currency for loans required to meet attendant Bolivian local currency requirements. Mission could well announce in advance that it wants to determine whether Soviets offer aid without any strings attached as frequently claimed. This play would prevent USSR from exercising pressure within Bolivia and would buy time until U.S. position firm. Bolivians would be able to evaluate full implications Soviet offer and consider pitfalls establishment of Soviet Embassy and presence of Soviet technicians and political agent would pose for Bolivian independence and duration Paz administration.

Dillon
Acting

¹ Source: Department of State, Central Files, 724.00/10-2660. Secret. Drafted by Robert W. Weise, Jr., Officer in Charge of Bolivian Affairs, and signed by Milton Barall, Deputy Assistant Secretary of State for Inter-American Affairs.

² Telegram 216 from La Paz, October 26, 1960, reported that Paz had stated that the Government was in grave difficulties and that he was in need of an immediate loan of \$10 million. (724.00/10-2660)

³ Additional documentation concerning Bolivian-Soviet relations is in decimal files 824.25 and 824.062, and also in ARA/WST Files, Lot 63 D 61, "Bolivia-U.S.S.R."

BL-36. Telegram from the Ambassador in Bolivia (Strom) to the Department of State¹

La Paz, November 7, 1960, 11 a.m.

229. Re my telegrams 224,² 226³ and EMBDES 243,⁴ pouched fourth.

I agreed President Paz analysis political situation (EMBDES 237,⁵ 243). Unable measure what ultimate dimensions crisis will be but after considering all evidence with great care I have concluded Paz government will be in serious danger very soon, considering its near bankruptcy. While foreign exchange reserves of Central Bank are as large as they have been in more than year, they are by no means adequate enable Paz weather crisis. Crisis comes at time when internal and external leftist pressures are steadily increasing in part as direct result Soviet and Czech offers assistance which have been most astutely timed. [*text not declassified*].

We decided in July we should have full-scale Bolivian policy review November or December. This is most urgently required now. I therefore request consultation orders.

I agreed some time ago speak graduation American School Oruro November 12 and planned visit Cochabamba, Tarija afterwards.

Should appreciate Department's decision immediately in case necessary name substitute for Oruro and cancel Cochabamba and Tarija.

If Department agrees, wish leave La Paz November 12.⁶ If I am ordered consultation hope ICA will give Hill orders also.

Strom

¹ Source: Department of State, Central Files, 724.00/11-760. Secret.

² In telegram 224 from La Paz, October 28, 1960, Strom reported that while there was great pressure on the Paz Government, he was not yet prepared to recommend massive, nor indeed any, increase in the U.S. cash grant. (724.00/11-760)

³ Telegram 226 from La Paz, November 2, 1960, reported that Strom was leaving November 11, to speak at the Colegio Anglo-Americano Oruro, which would furnish an excellent occasion to make a statement about how the U.S. intended to aid in the rehabilitation of Comibol. (724.00/11-260)

⁴ Desp. 243 from La Paz, November 4, 1960, reported a conversation with Paz, in which the Ambassador told the President that he was very worried about the current political situation, which Paz had been describing to Strom in conversations during the past two weeks, and which was then reaching a crisis point. (724.11/11-460)

⁵ Desp. 237 from La Paz, October 28, 1960, transmitted Paz's Aide-Memoire of October 27, 1960, concerning the imminence of a political and economic crisis in Bolivia and requesting an immediate credit of \$10 million. (724.00/10-2860)

⁶ The Department responded in telegram 145, November 8, 1960 as follows: "For present, we believe critical situation requires your presence La Paz. Meanwhile we giving urgent attention measures hopefully designed alleviate situation." (724.00/11-760)

BL-37. Memorandum of Conversation by the Officer in Charge of Bolivian Affairs (Weise)¹

Washington, November 9, 1960.

SUBJECT

The Critical Economic and Political Position of Bolivia

PARTICIPANTS

Ambassador Victor Andrade
Under Secretary Dillon
ARA - Mr. Barall MA
WST - Mr. Weise

Ambassador Andrade said that he wished to describe briefly the critical and uncomfortable situation in which the Paz Government was finding itself as the result of the new Soviet drive in Bolivia. During the past month, following Khrushchev's offer of a tin smelter and tin concentration facilities to Bolivia, pressures from Communist and pro-Castro elements have been mounting to the point where these forces are now threatening the political stability and very existence of the Paz Government. Ambassador Andrade emphasized that the Bolivian revolution is a national revolution and that, unlike the Castro revolution of Cuba which has sold out to Khrushchev, the Government of the MNR has resolutely defended itself against Communist domination.

The Soviet offer of a tin smelter, Andrade said, has revived certain popular concepts regarding Bolivia's dependence upon world marketing arrangements for the sale of tin, which although erroneous in some respects, were nevertheless widely spread. Considering that Bolivia is the largest producer of tin in this hemisphere and that the United States is the largest consumer of tin in the world, many Bolivians do not understand why their country must market its tin through Great Britain and be dependent upon British smelters. Many Bolivians also do not understand why the Texas City smelter was not built in or near Bolivia where its operation would have been more economical and advantageous to the Bolivian tin industry. Failure of the United States to give a satisfactory answer to these and other questions relating to the Bolivian tin problem has led many Bolivians to feel that the United States is not interested in helping Bolivia free itself from outside international controls over the world tin market.

Bolivians also remember, Andrade claimed, that when the United States ceased to buy tin for its stockpile, world prices dropped, which

¹ Source: Department of State, Central Files, 724.00/11-960. Confidential.

resulted in substantial losses to the Bolivian mining industry. In regard to the U.S. stockpile purchases of tungsten, Andrade said, Bolivians recall that in 1953, following nationalization of the mines, the United States Government refused to allow GSA contracts signed with the former private mine owners to be subrogated to the Bolivian Government. Andrade said he recognized there may have been legal reasons which prevented GSA from agreeing to subrogate these contracts. However, in the minds of many Bolivians, the requirement that ore sales to the U.S. stockpile be consummated through the former companies meant only that the GOB had to pay to the private owners \$10 out of every \$54 per unit of tungsten shipped, even though these companies no longer operated the mines. Andrade said that most people were not aware of the legal or technical reasons for the U.S. position on these matters and that consequently the Communists had exploited public ignorance by accusing the United States of having failed to give Bolivia a fair return on its sales of tungsten to the U.S. stockpile.

Ambassador Andrade then emphasized that COMIBOL is presently confronted with grave and serious problems which have been aggravated by the mounting threats of Communist-led strikes in the mining sector. Andrade said he felt it necessary to “dramatize” the Bolivian situation in order to impress upon Mr. Dillon Bolivia’s urgent need for U.S. assistance. Andrade pleaded, “I do not wish Bolivia to become a guinea pig of the cold war.” He hoped that his government could avoid sending a mission to Moscow to discuss the Bolivian tin offer in view of the many political risks involved.

Mr. Dillon expressed interest in the Ambassador’s presentation and evaluation of the present Bolivian political crisis. He said that, according to studies of the Bolivian tin industry made by Bolivian and foreign technicians it appeared that a tin smelter was not needed. What these studies did point out was that concentration facilities and a rationalization of the Bolivian mining industry were urgently needed. Mr. Dillon also indicated that the Department was studying the effect a moratorium on retention payments to the former mine owners might have, both from the economic and legal standpoint. He said it was our understanding that the former mine owners had now received approximately \$20 million in compensation through retention payments on ore shipped from nationalized mines. Ambassador Andrade said he felt that the alternatives mentioned by Mr. Dillon would be of interest to the Bolivian Government and would offer an appealing counter-proposal to the Soviet offer of a tin smelter. Mr. Dillon assured Ambassador Andrade that the Department would continue to give careful attention to the problems of Bolivia’s mining industry.

BL-38. Telegram From the Embassy in Bolivia to the Department of State¹

La Paz, November 16, 1960.

¹Source: Department of State, Central Files. 4 pages not declassified.

BL-39. Telegram From the Embassy in Bolivia to the Department of State¹

La Paz, November 20, 1960.

¹Source: Department of State, Central Files. 3 pages not declassified.

BL-40. Telegram from the Secretary of State to the Embassy in Bolivia¹

Washington, November 22, 1960, 9:32 p.m.

170. For Strom from Mann

Department agrees every reasonable effort should be made to support Paz regime and understands that downfall of government may lead to extreme leftwing and possibly communist takeover. (Embtel 247)

¹Source: Department of State, Central Files, 824.10/11-1660. Top Secret; Niact. Drafted by Mann and signed by Barall.

For this reason in addition to special assistance program Dept has endeavored to work out practicable program for putting Comibol operation on sound basis as prerequisite to economic and political viability of any Bolivian Government. We estimate the cost of this program (apart from \$10 million for modern concentration plants and facilities) somewhere in neighborhood of \$10 million. This is in addition to approximately \$4 million which is needed for separation pay for 5000 excess employees and which would be partially met from PL 480 program. Inter-American Bank mission now in Bolivia and there is reason to hope Bank will give favorable consideration to loan possibly in neighborhood of \$5 million and will be in position to negotiate late January or early February. Department encouraging Bank give this first priority. Department has also urged German Government extend exporter credit and conclude private management contract with Comibol.

In addition Department understands Williams Harvey considering \$2 million loan for purchase of machinery and equipment. Department realizes it may be necessary to fill gap if one or more of these plans fall through. We do not consider it prudent, however, given our own balance of payments situation and other problems, to address this aspect of problem in advance of knowledge of outcome of these plans.

Second part of problem is need for concentration plants and attendant facilities (Deptel 165). Dept. intended to help Paz by announcement of willingness to make loan not to exceed \$10 million for this purpose under conditions set out in that telegram.

[text not declassified]

Please telegraph urgently your estimate whether program as outlined above is inadequate and if so specifically what you consider Department should do. Specifically Department wishes to know whether, re concentration plants, offer should be made to Paz. If \$5 million needed for immediate aid in lieu of \$10 million offer for what purposes and projects would \$5 million be used? Also could situation be alleviated by immediate release frozen budget support and counterpart funds?

Your recommendations urgently requested.

Herter

BL-41. Telegram from the Secretary of State to the Embassy in Bolivia¹

Washington, November 23, 1960, 5:15 p.m.

171. JOINT STATE/ICA. Reference: Your 257.² 264.

1. Department accepts Embassy conclusion that aside from offer contribute long-term solution COMIBOL, immediate short-term assistance to Paz, primarily in budget support field, appears necessary.

2. We propose that \$5 million be made available immediately to Central Bank consisting of balance of calendar year 1960 cash grant \$1,850,000 and advance of \$3,150,000 of U.S. fiscal year 1961 funds presently planned for use periodic cash releases in calendar year 1961.

3. EMBTEL 257 proposes grant aid while EMBTEL 264 proposes aid in form of loan. In view of (a) nature financial crisis and limited prospects sufficient recovery in foreseeable future to permit repayment and (b) in view expectation Bolivian Government that budget support funds would be available on cash grant basis, we inclined favor asking \$5 million available to Central Bank as cash grant. However, Embassy if it believes there are significant reasons for doing so may offer make funds available part loan, part grant or all on loan basis at its discretion. You may also require such prior approvals of disbursements by Central Bank as you believe in U.S. interest. (In any event such portion of funds as appears desirable may be advanced by Central Bank on a loan rather than a grant basis. If this arrangement followed repayment would be made to the Central Bank but not RPT NOT to U.S. If there appeared to be advantages to U.S. such repayments could be earmarked for use for purposes mutually agreed). In summary Embassy may make \$5 million available on such basis as it determines most desirable and effective.

4. FYI and for use if question asked, \$3,150,000 advance from calendar year 1961 budget support would be made without prejudice to amount finally provided for this purpose, although we assume that subsequent cash grants for budget support in calendar year 1961 will be smaller than it would otherwise be necessary to make.

¹ Source: Department of State, Central Files, 824.10/11-2060. Top Secret; Niact. Co-drafted by Dennis A. Fitzgerald, Deputy Director for Operations, IGA, and Joseph S. Kyle of the Office of the Deputy Coordinator for Mutual Security; cleared by Mann, and signed by John O. Bell, Deputy Coordinator for Mutual Security.

² Co-drafted by Dennis A. Fitzgerald, Deputy Director for Operations, IGA, and Joseph S. Kyle of the Office of the Deputy Coordinator for Mutual Security; cleared by Mann, and signed by John O. Bell, Deputy Coordinator for Mutual Security.

5. No objection to provision \$5 million on piecemeal basis as indicated EMBTEL 257 and to obtaining such quid pro quos as early increase in gasoline prices (EMBTEL 264) or some or all of actions enumerated EMBTEL 257.

Herter

BL-42. Telegram from the Ambassador in Bolivia (Strom) to the Department of State¹

La Paz, December 24, 1960.

325. Communique from Secretary General Presidency announces 1) government USSR has officially informed GOB its willingness receive in Moscow commission technicians and economists to discuss A) tin smelter offer B) credits up to \$150 million for technical assistance equipment and new installations Comibol and YPFB C) possibility long-term acquisition Bolivian mine production 2) GOB has reaffirmed decision ascend commission under Minister Mines discuss Soviet proposals 3) commission to travel Moscow latter half January.

Strom

¹ Source: Department of State, Central Files, 824.25/12-2460. Unclassified. No dispatch time is recorded on the source text; it was received in the Department on December 27, 8:59 a.m., having been delayed in transmission.

BL-43. Memorandum of Conversation, by the Officer in Charge of Bolivian Affairs (Weise)¹

Washington, December 29, 1960.

SUBJECT

Courtesy Call of Vice President of Bolivia Juan Lechin on Acting Secretary of State
Livingston T. Merchant

PARTICIPANTS

Juan Lechin, Vice President of the Republic of Bolivia
Victor Andrade, Bolivian Andrade Ambassador the United States
Mr. Livingston T. Merchant, Acting Secretary
ARA - Mr. Mann
WST - Robert W. Weise, Jr.

Lechin said that the purpose of his visit was to strengthen relations between Bolivia and the United States. He said he wished to discuss two problems with Mr. Merchant—the first was related to the situation of anarchy which prevailed among labor in the Bolivian mining industry. The reason mineral production has not declined more in the past year, he said, is due solely to the dedication of the individual miner and his desire to maintain output. However, in order to increase production, the miners need food, tools, machinery, and prompt payment of wages, elements which are lacking under present conditions.

Lechin said that many of the difficulties confronting the Bolivian mining industry were created by Patiño and the former mine owners because of their failure to plan long range production and to make provision for an adequate supply of electric power. The principal cause for the decline in minerals production is, however, the lack of capital.

Lechin then said that United States aid to COMIBOL (for modern concentration facilities) was a step in the right direction and that it would help increase production, although it could not be expected that production would reach the 1952 level in the immediate future. He estimated that mineral production could be increased by about 30% within a year after the reorganization of COMIBOL. The shortage of electric power was still a factor which would continue to limit production.

The second problem raised by Lechin concerned the difficulties with which the mine workers themselves were confronted. These difficulties included 1) lack of *pulperia* (commissary supplies); 2) terminal benefits for excess miners; and 3) the inability of COMIBOL to meet payrolls when due. He claimed the workers have had to accept

¹ Source: Department of State, Central Files, 824.25/12-2960. Confidential.

a lower standard of living as the result of the economic stabilization program imposed on Bolivia by the IMF. IMF policy, he said, is too strict and does not allow sufficient flexibility. He then said that, as a labor leader, he was concerned with the permanent condition of strikes in the mines. These strikes occur not because the Bolivian Government is a Communist government (which he denied), but rather because the workers do not have sufficient tools, food and equipment with which to perform their tasks. These negative condition, Lechin said, have created an atmosphere favorable to enemies of the Bolivian Government. He identified these elements which threaten the Government at present as not the "reactionaries or conservatives" but rather the Communists. He said Cuban intervention and the Soviet offer of a tin smelter have contributed much to the deterioration of the situation in Bolivia. He said the Communists were trying to gain control of the rank and file of the labor movement and to displace the MNR which has had leadership of labor for the past sixteen years. He also said the Communist drive for control in Bolivia is directed towards interests and ends akin to those of Bolivia. [*text not declassified*]

He then turned to the United States aid program. While a great deal of money has been spent in Bolivia, he said, the results of this assistance have not been as effective they might have been because not enough emphasis has been placed on industrial and agricultural development projects. The only exception, he noted, is in the Department of Santa Cruz, where the United States aid program has made possible a substantial increase in sugar and rice production in the past year. Santa Cruz is the only province which has not suffered from the current economic crisis. While he said he did not consider that the United States was responsible for the current crisis in Bolivia, he nevertheless urged that our aid program be modified in such a way as to eliminate some of its draw backs. He said that our aid program should be directed toward reestablishing a favorable atmosphere for economic development as existed prior to 1957 when our aid became tied in with the IMF stabilization program.

According to Lechin, the USSR offer of a tin smelter and economic aid has spread a false belief that the Soviets could solve all the problems of Bolivia. This concept is false, he added; help to the mining and petroleum sectors of the economy such as is proposed by the Soviets will not benefit the people for sometime to come. Mr. Lechin then returned to his original premise that the crisis in Bolivia is real and that there is an immediate need for emergency aid to tide the economy over until the middle of 1961 when the benefits of the reorganization of the mining industry will begin to become effective. He emphasized that, in order to restore confidence and re-establish political and economic stability, the

Bolivian Government has an immediate need for loans to cover current budgetary deficits.

Mr. Merchant thanked Mr. Lechin for his statement and said that the Department would consider all elements of his presentation carefully. He said that the United States placed great importance upon the continuance of good relations with Bolivia, which have always existed between the two countries. He said that the United States is not unaware of the problems of Bolivia and that we are keenly aware of the need for economic development throughout Latin America. Mr. Merchant also emphasized that economic development must be built upon stabilization and expressed the hope that the triangular undertaking recently announced by the United States government, Inter-American Development Bank and the German Government will be a beginning in the solution of Bolivia's long-range problems. Mr. Merchant referred to the President's Special Social Development Program for Latin America for which the President has asked Congress for an appropriation of \$500,000,000. He said he hoped that when Congress convened in January it would act upon this program and make the necessary funds available.

Mr. Merchant observed that the United States is now in a period between two administrations, which makes it difficult for us as well as for our friends. He felt certain, however, that the new administration will not be less interested in Bolivia and he again assured Vice President Lechin that his statement will be considered very carefully by the Department of State, including other interested agencies of the United States Government.

Chile: U.S. Relations with Chile

CH-1. Despatch from the Chargé in Chile (Belton) to the Department of State¹

Santiago, March 21, 1958

No. 957.

REF: Embdesp. 864, February 28, 1958;² Embdesp. 874, March 4, 1958;³ Embdesp. 952, March 20, 1958.⁴

SUBJECT

Embassy Views on Problems Resulting from an Increase in U.S. Copper Import Tax

The Embassy already has submitted press criticisms regarding the proposed increase in the United States copper import tax, and a note from the Minister of Foreign Affairs expressing concern about this proposal. The Embassy naturally also is concerned about the proposal and foresees any such import tax causing serious problems in United States-Chilean relations. The following are some of the major problems envisaged.

With copper being Chile's most important single export, and with the production of about 90 percent of that copper being under the control of two very large American companies, the issue of "copper" always is a major factor in United States-Chilean relations. Because the industry is so important to Chile and because it is almost completely foreign-owned, copper problems are extremely susceptible to local political exploitation.

¹ Source: Department of State, Central Files, 411.256/3-2158. Confidential. The U.S. Ambassador in Chile, Cecil B. Lyon, left his post on February 25, 1957; his successor, Walter Howe, who was appointed on April 22, 1958, presented his credentials on June 1, 1958.

² The referenced despatch from Santiago, enclosed a translation of the note from the Chilean Foreign Office, dated February 25, 1958, expressing the Chilean Government's concern with respect to the bill, S. 2998, then before the U.S. Senate, which proposed a copper import tax of 4 cents a pound. (411.254/2-2858)

³ This despatch from Santiago transmitted a summary of local press criticism during January and February of the copper import tax proposal. (411.256/3-458)

⁴ This despatch from Santiago summarized continuing press criticism of the proposed tax. (411.256/3-2058)

Added to these permanent factors is the complication that 1958 is a Presidential election year in Chile. Moreover, 1958 is going to be a very difficult year for Chile because of drastic drops in tax income and foreign exchange receipts from the copper industry as a result of the low international price of copper (see below for a discussion of this point).

Considering the current precarious status of the Chilean economy, the application of *any* import tax by the United States on Chile's leading export will have a deadly psychological effect locally. The imposition and *increasing* of the import tax will be even more serious. The Embassy believes that the United States import tax will become a local political issue which will be exploited to extremes with little regard for economic facts (such as that in 1956 only 34.4 percent of Chile's "great mining" copper actually was sold in the United States, and in 1957 only 14.7 percent). The average Chilean is not acquainted with the latest statistics of the copper trade, and if all he hears and sees is that the United States is impeding the sale of Chilean copper in the United States, that is what he will believe.

There can be no doubt that the important leftist political parties of Chile will be glad to have such an issue handed to them, on a copper platter so to speak, and also that these parties will utilize the issue as widely and loudly as possible. The Presidential campaign thus far has centered primarily on personalities, so that a new issue will be most welcome by those left-wing parties who can make use of it to whip up, and capitalize on, anti-United States sentiment within the country.

The Embassy already has expressed its concern over the possibility of an extreme-left victory in September, particularly if economic conditions worsen here. Therefore, the Embassy believes that the proposed United States copper import tax of 4 cents cannot possibly help in the achievement of United States objectives in Chile but could seriously endanger them if the tax issue were to be instrumental in electing a far-left President.

The second serious problem envisaged by the Embassy is that if the United States increases its protection against copper imports, it will become much more difficult to maintain Chile's cooperation in maintaining embargoes against shipment of strategic materials to the Soviet Bloc. If the United States, by raising import taxes, in effect indicates that Chilean copper is unwelcome within its territory, Chilean cooperation on the embargo policy undoubtedly will be subjected to great pressure and might well be abandoned. Certainly United States moral suasion for maintenance of the cooperation policy would have a hollow ring. There has been a great deal of talk in recent years of "trade, not aid" in United States foreign policy. In the eyes of Chileans, if we cannot grant Chile more aid, the least we can do is let them trade. But, if Chile must seek new markets for copper displaced from the United States market, where can this copper go? It cannot go into the Western European

market. That market already is surfeited and suppliers, including Chile, have cut back production. Where then, is there another market?

The siren song of sales to the Sino-Soviet sphere long has been heard in Chile, despite the obvious lack of practical results from previous attempts to sell large quantities of copper. The Embassy already has reported the increasing amount of local attention being devoted to possible Bloc sales of copper wire (see Embdesp. 845, February 21, 1958⁵), and the press criticisms submitted (Embdesp. 874, March 4, 1958) make frequent reference to free trade in *all* forms of copper. It may well be that the Soviet Bloc really does not need Chilean copper, and would not buy substantial amounts. But if a United States import tax of 4 cents is placed on copper, the already growing pressure in favor of unlimited sales to the Bloc could well become an irresistible avalanche. A more serious possibility is that even if the Soviet Bloc does not urgently need additional copper, it might well decide that 1958 is the key moment for substantially increasing Chilean-Soviet trade relations. This would present obvious political as well as economic problems for the United States. The Bloc might seize this as a golden opportunity to acquire political ties with Chile at a relatively cheap price through purchase of copper even if above its own immediate needs.

The final point which the Embassy feels must be given weight in considering possible repercussions from the increase of the copper import tax to 4 cents is in reference to the two American copper companies doing business here with a combined total investment in the neighborhood of US\$600 million. Because of this “Yanqui” foreign-capital nature of Chile’s copper mining industry, there is a great deal of unfriendliness in Chile towards the companies. Only after laborious efforts, in which this Embassy played a significant role, was a new arrangement arrived at between the Chilean Government and the American companies, in the form of the New Copper Law, No. 11,828 of May 5, 1955. This law established new tax rates for the companies and did away with discriminatory exchange rates, previous treatment accorded the companies having reached near-confiscation levels. The law also returned control of copper sales to the companies. In return for this new deal from the Government, the American companies particularly Anaconda, began large new investment programs aimed at increasing copper production.

The New Copper Law never has been accepted by large sectors of the Chilean public and political body, on the time-worn but still very popular basis that it was a “sell out” of Chile’s natural resources to foreign interests. The Law has come under increasing attack since

⁵ Not printed; 460.259/2–2158.

mid-1957, when copper prices continued their unchecked decline and rumors began circulating about a possible reduction in production. Now, with prices still lower and Government income from the tax levied on the companies' profits down greatly, criticism of the New Law is increasing.

The grim realities of Chile's reduced income from copper sales may be seen in recent statistics. In 1956, Chile received a total of US\$370,100,000 in hard currency exchange. Of this, the large copper industry contributed US\$196,420,000, or 53 percent of the total. Of the total copper payments, US\$128,610,000 was in the form of income tax payments to the Government. In 1957, Chile received a total of US\$313,200,000 in hard currencies, with the copper industry providing \$143,044,000, or 46 percent of the total. Of the total copper payments, only US\$73,602,000 consisted of income tax to the Government. For 1958, the two American companies estimate that their total contribution in foreign exchange to the Chilean economy will be about US\$109 million, of which only US\$31,622,000 will be income tax paid to the Government. The Embassy estimates that the \$109 million will constitute 46.5 percent of hard currency receipts for 1958.

If the imposition of a 4 cent duty by the United States on copper imports aggravates Chile's loss of income (or if people here think it has, which is the same in political effect), the Embassy believes that political pressure will increase for a modification of the New Copper Law in order to get more money for the Government. In fact, the Embassy understands on a very confidential basis that such a proposal already has been made in a paper prepared by the Department of Studies of the Central Bank. Taking into consideration the catastrophic drop which has occurred already in Chile's hard currency receipts, action by the United States which results in cutting, or is interpreted as cutting, Chile's dollar income still further is bound to give rise to widespread anti-American feelings. This would come at a time when the feeling in Chile already is that the United States is not as sympathetic as it should be towards Chile's current financial difficulties and is not helping Chile to the degree which Chile would expect on the basis of the United States' expression of interest in the well-being of the Chilean economy.

Modification of the New Copper Law could result in higher tax rates on copper earnings, discriminatory exchange rates, or both, plus the Government's taking over control of sales of copper, as was the case from 1952 to mid-1955. After all the difficulties encountered in obtaining the present Law and the very serious problems which existed for the United States copper interests in Chile, any change in the Law would be a serious setback to United States objectives in Chile.

The Embassy assumes that there is general agreement that the long-term strategic interests of the United States will be served best

if Chile is developed as a dependable source of large amounts of copper. The American companies' production dropped sharply in the years of unfavorable tax and exchange treatment, and important expansion programs were delayed. The effect of serious changes in the New Copper Law could well be that the companies, particularly Anaconda, might have to re-examine their long-range investment programs in Chile, the result being a decrease in Chile's actual and potential copper production.

In conclusion, the Embassy wishes to add its strong belief that the increase in the United States copper import tax will also raise serious side problems in Chilean-United States relations. It could, for example, seriously affect or preclude passage of certain pending projects, such as the modification of the General Electrical Services Law to permit the American and Foreign Power Company to obtain a higher profit rate and enable it to carry out a large investment program, and the Government bill to permit private and foreign capital to develop Chilean petroleum resources.

The Embassy hopes that consideration can be given to means other than a copper import tax to provide relief to American copper producers, including possibly measures which have been suggested in other quarters, such as an outright subsidy or increased stockpile purchases. Such measures naturally would require the expenditure of United States funds, but at least the expense would *not* include damaging relations of the United States with a country in which we have high political, economic, and strategic stakes.⁶

William Belton
Charge d'Affaires a.i.

⁶ The Department responded in instr. A-210 to Santiago, April 11, 1958, that the Embassy should not undertake a detailed reply to the Foreign Minister's note of February 25 concerning the proposed copper import tax, but rather should state that the observations made had been noted and that the Department would make every effort to assure they were given full consideration as regards any tariff action. The Department further stated that it generally agreed with the Embassy's views regarding the problems that would arise in the event S. 2998 were enacted.

The Department also commented on the bill, S. 3234, to repeal the current suspension of import duties on copper. Without congressional action, the suspension would terminate on June 30, 1958, at which time a duty of 1.7 cents a pound would be reimposed. The Department did not propose to press for continuance of the duty suspension after June 30, since "there is reason to believe such action would be defeated and the strength of its position against the major tariff proposal thereby weakened." (411.256/3-2158)

The bills were not enacted and the suspension was terminated as scheduled.

CH-2. Press Release Prepared in the Office of the Secretary of the Interior (Seaton)¹

Washington, April 11, 1958.

**SECRETARY SEATON URGES REPEAL OF SUSPENSION
ON COPPER-IMPORT TAXES**

Secretary of the Interior Fred A. Seaton today recommended that Congress repeal the suspension on copper-import taxes which has been in effect since 1947.

In recommending passage of S. 3234 which would revoke the suspension of copper-import taxes, Secretary Seaton said: "The import tax was suspended at a time when copper was in short supply the world over. Serious difficulties were being experienced in meeting defense requirements arising from the Korean War. Both the Government and domestic producers wished to remove any obstacles to increasing copper supplies."

"The circumstances on which the original suspension and its subsequent extensions were based no longer exist. In the course of the past year and one-half the extreme shortage of copper has disappeared and there is now an adequate supply," the Secretary said in a letter to the Senate Finance Committee.

Copper-import taxes have been suspended since 1947 with the exception of short periods in 1950 and 1951. The current suspension remains in effect so long as the price of copper is 24 cents per pound or above, or until June 30, 1958, unless sooner repealed by Congress. The suspended import taxes on copper are now two cents per pound when the price drops below 24 cents per pound and 1.8 cents per pound so long as the price is at/or above 24 cents per pound.²

¹ Source: Department of State, ARA/WST Files, Lot 63 D 85, "Copper."

² Ambassador Mariano Puga of Chile and Roy R. Rubottom, Assistant Secretary of State for Inter-American Affairs, discussed Seaton's statement on April 14, 1958. In his memorandum of the conversation, Rubottom stated that he explained that the Department was faced with two problems: "Our foreign relations problem, which involved our desire to avoid any increase in tariffs on copper which would affect Chile adversely, and our domestic problem, which involved the complaints of the industry and their efforts to seek from the Congress protection which they considered necessary." He further stated, "The Department felt it would be hard to oppose stubbornly the industry's pressure for a tariff on copper but if there had to be an increase in copper tariffs, the least damaging would be to permit the old rate to be reinstated upon the expiration of the suspension on June 30." The Ambassador remarked that, "he greatly feared that if this problem could not be resolved promptly, there was a possibility that President Ibáñez might cancel his [proposed] visit." (411.256/4-1458)

**CH-3. Memorandum of Telephone Conversations President
Between Eisenhower and Secretary of State Dulles¹**

Washington, April 16, 1958.

TELEPHONE CALL TO THE PRESIDENT²

The Pres did see Ibanez cancelled his trip. He referred to what Seaton said as being the reason. The Sec said he made a bad statement from the standpoint of Latin American relations. He should not have talked about it without clearance here. The Sec told what he said. The Pres asked if they talked about it and the Sec said no. Our people have but the Sec did not know what to say. The Pres does not know how S can say anything until it is coordinated. The Pres will get Sherm on it.

TELEPHONE CALL FROM THE PRESIDENT³

The Pres said when he talked with the Sec he had no idea that Seaton had made the statement on his own. The Pres called Sherm and told him to call S and tell him by no means is he running foreign affairs of the U.S. and if he is going to make statements he will coordinate them. In case he calls the Sec the Pres wants him to know.

The Sec said we have the text of the Pres' message to him.⁴ He does not in the message allude to anything in particular. Chile is in an excessive furor about it etc. They agreed there is not anything to do - call off the dinners and think about a reply. The Pres said to tell Buchanan to let their social secretary know.

pdb

Buchanan will so do.

¹ Source: Eisenhower Library, Dulles Papers, White House Telephone Conversations.

² Information on the source text indicates that this call was placed at 4:44 p.m.

³ Information on the source text indicates that this call was placed at 5:07 p.m.

⁴ On April 16, 1958, President Ibáñez telegraphed President Eisenhower directly and cancelled his visit, citing domestic developments as the reason for cancellation. (725.11/4-1653)

CH-4. Telegram from the Chargé in Chile (Belton) to the Department of State¹

Santiago, April 17, 1958, 8 p.m.

692. Further analysis Ibanez decision cancel trip underscores conviction immediate cause was irritation resulting from his misunderstanding U.S. position copper import tax and lack inclination or ability take time (Fronidizi here April 14 to 16) to understand it. Ibanez apparently expected Puga obtain clarifying statement from Secretary State or President expressing determination U.S. Government avoid copper tax damaging to Chile. Ibanez also apparently assured that in U.S., as in Chile, Interior is top-ranking member Cabinet and principal spokesman government policies.

Also likely Ibanez foresaw difficulties if copper tax should go into effect shortly after his return and seized on current furor re copper as convenient basis avoid them.

Whatever his true motives (which are subject of much speculation among few who understand that U.S. Government position was not unfavorable to Chile and know these facts were available to Ibanez) his action has gained support among even best friends of U.S. here, who feel this dramatic gesture may bring to our attention the neglect which Chileans feel the U.S. has shown for Latin America as compared with rest of world. The left is particularly enthusiastic and responsible rightist politicians are fearful it may be prelude to a sharp turn to left by Ibanez which would aid Allende presidential campaign.

Ibanez momentarily riding unaccustomed wave popular support as Chileans almost universally applaud his decisive action in upholding national dignity in face allegedly unfriendly act by U.S. Only criticism stems from transparently false reasons cited in message to Eisenhower.²

In considering this whole incident, particularly the illogical aspects of it, we must bear in mind two important factors - Ibanez advisers and his character.

[text not declassified]

Belton

¹ Source: Department of State, Central Files, 725.11/4-1758. Confidential; Priority.

² Telegram 575, April 17, 1958, instructed the Ambassador in Chile to deliver Eisenhower's response, which expressed regrets and further stated, "Your visit would undoubtedly have strengthened even further the close ties that characterize relations between Chile and the United States. I especially regret your not coming because our Governments will be deprived of a signal opportunity to review problems of mutual interest to us. Nevertheless, I can well understand and appreciate the matters of overriding national importance which must perforce occupy the attention of the President of a great democratic nation like Chile and which have necessitated your decision." (725.11/4-1758)

CH-5. Despatch from the Chargé in Chile (Belton) to the Department of State¹

Santiago, May 20, 1958.

No. 1142.

SUBJECT

U. S. Policy Toward Chile

Because Vice President Nixon's South American trip² did not include Chile, the following synthesis of attitudes of friendly Chileans toward U.S.-Latin American policy, combined with the Embassy's analysis and suggestions for possible modifications, may be helpful in the current re-examination of that policy. The Embassy believes Chilean views are of particular interest because the Chilean free press, combined with Chile's traditionally democratic governmental processes and outlook, provide a better basis for local understanding of the U.S. than is available in almost any other country south of the border.

Much criticism of U.S. policy has recently developed here. It gradually rose above what might be called the normal level as the Chilean economic situation deteriorated due to low copper prices. It reached flood stage with the Department of Interior press release of April 11 on copper tariffs, and it overflowed on all sides as evidence of criticism in other South American countries accumulated with the progress of the Vice President's trip.

In considering this problem, the Embassy believes it important to bear in mind that a basically friendly feeling toward the U.S. exists among the majority of Chileans. Much of the criticism, and certainly the most constructive aspect of it, comes from people who recognize, accept, and want a continuation of the U.S. as the predominant foreign influence in this country. It is also highly important to remember that Chileans are adept in seeing the mote in our eye and not the beam in their own, and that the missing elements for which they criticize us are often missing because of our conditioning their supply on Chilean performance, which has been faulty. Nonetheless, if we want Chile to be a

¹Source: Department of State, Central Files, 611.25/5-2058. Confidential. Information on the source text indicated that this despatch was "Written with the advice, counsel and assistance of:" Robert H. S. Eakens, Counselor for Economic Affairs, Donovan Q. Zook, First Secretary-Counselor, and Robert J. Door, First Secretary; Oliver L. Sause, Jr., Deputy Director, USOM, Nicholas A. Luongo, and Harold Robinson of the USOM; George Butler and Hewson A. Ryan of the USIA mission; and Col. Leland R. Drake, Army Attaché.

²Reference is to the Vice President's good-will tour of eight South American countries, April 27-May 15, 1958. For documentation concerning the trip, see Documents BL-5-9, 12; CH-5; CO-9; EC-3-7; NI-4, 7; PA-1; PE-5-6, 8-11; UR-2-3

strong and friendly ally, we may have to accept certain Chilean failings and find ways to pursue our policy in spite of them, rather than slow down or halt our help while waiting for Chileans to change character.

U.S.-Latin American policy, while recognized as basically sound and accepted as helpful by most Chileans, has nevertheless exhausted its overt appeal here. We solved our major hemispheric political problems and supplemented that action with a welcome reciprocal trade program during the Thirties and Forties, thus creating a reservoir of good will which has carried us a long way and still has significant background values, but which is no longer exploitable. Our part in World War II also helped to build our reputation.

With the political problems mostly out of the way, economic difficulties have taken over the stage. In our efforts to help solve these by loans, grants, technical assistance, and arguing the virtues of private enterprise, we have had only limited success. What we have done has been appreciated, but it has been badly overshadowed by the volume of our assistance to the rest of the world, and by the fact that economic problems larger than any we have helped solve keep appearing. The net effect is one of relative neglect. At the same time, unfortunately, our expressions of willingness to help and our largesse throughout the world have created an atmosphere of paternalism which has caused Chile to expect much more from us than we have delivered, and at the same time to fail to recognize its corresponding obligations.

Specific complaints

Major Chilean complaints boil down to the following:

1) U.S. resistance against commodity arrangements to guarantee reasonable copper prices, while keeping presumed Soviet bloc demand ineffective, leaving Chile, so extremely dependent on foreign trade in copper, to shoulder a cold war burden re this strategic commodity far beyond its capacity.

2) U.S. tendency to revert to protectionism at the expense of its friends in the face of what to Chile appear relatively minor domestic economic problems, thus forgetting our position and obligations as the leading world power.

3) Failure of the U.S.—or of international financial agencies which the U.S. could apparently influence heavily—in spite of declared intentions to the contrary, to provide development capital sufficient to enable Chile to progress enough to keep up with growth rates elsewhere and especially in the U.S, not to mention reducing the vast distance between our standards of living.

4) Failure of the U.S. to distinguish within the hemisphere between truly democratic friends such as Chile and dictatorships.

5) Apparent use by U.S. of expediency rather than policy in granting aid throughout the world, waiting until things are in a truly dangerous mess before coming to the rescue. Many Chileans feel that a serious Communist menace close at hand is the best guarantee of U.S. support, irrespective of the virtues of the recipient.

The Embassy would add the following additional factors which it believes have an appreciable effect on attitudes here, even though they have not recently been given special publicity:

6) The U.S., still the world's most liberal and democratic country, has let itself be forced into an appearance of economic and political conservatism. Such a posture has no appeal to the average Latin, who is excited by notions and dramatic examples of idealism. Our greatest triumph here in recent years was our action against France and England re Suez, but it has been overshadowed by too many smaller things with opposite influence.³

7) Our policy toward cultural and non-strategic trade contact between Chileans and the Soviet bloc gives an impression of blind fear which harms us and has had no productive results to our knowledge. In most instances it is more rigid than our policy for U. S. -Soviet contacts, and it does not jibe with our own standards of intellectual freedom and freedom of inquiry and of commerce. We have not lived down the harm McCarthyism did us here and will not until we relax and let the Chileans know we recognize they are as politically sophisticated as we are. When we do, our approaches on problems of strategic trade and other Communist contacts of similar significance will carry far more weight.

8) Chileans are not convinced that the use of force to accomplish our objectives has been completely discarded. They are convinced we intervened in Guatemala, and they view with serious concern the recent sending of paratroopers toward Venezuela. They worry that if they do not get enough development assistance to raise their standard of living appreciably, Communism will get a firm foothold and the U. S., against its will and principles, will have to intervene by force, starting the era *Pax Romana a la U.S.A.*

9) We have failed to convey to Chileans the fact that the battle we are fighting against the USSR is their battle, and that the money we spend in Europe and Asia is not spent because we like Greeks or Iranians better than Chileans, but because those are the places the line is most in danger of breaking. Chileans are essentially isolationist, so

³ For documentation on the subject, see *Foreign Relations, 1955–1957*, vol. VII, American Republics: Central and South America, Chapter 7.

this argument can't be won by talk alone, but only by giving them a sense of participation.

10) Our recent interest in Africa is even harder to explain to Chileans than are our European and Asian expenditures. They see Africa as almost as remote from the Soviet orbit as South America, and any developmental assistance we give there as directly harmful to their own interests because it fosters the African capacity for economic competition against Latin America.

11) We have made it appear that our economic assistance is available only if it is to be applied according to our own ideas of economics. As a result we often seem to be making "free enterprise" or "people's capitalism" the "goal" rather than a possible and preferred "means" toward our major purpose of promoting economic development. Many of our aid and loan programs assist government and semi-government development programs. Since this is often in accordance with local economic theory, we should exploit this *de facto* situation.

12) Chileans, as a people, undoubtedly know us, as a people, better than we know them. Everything, including our world position, movies, press wire services, USIA, make that inevitable. Yet they understand us poorly. That being the case, how can *we* expect to understand *them* well. They have none of our means to bring themselves to our attention. Our ignorance of them is abysmal. Our lack of interest is almost as great. They know this and it offends them.

Review is called for.

The problems above have not created bitterness in Chile toward the U.S., but they have created an atmosphere in which Chileans are clearly satisfied that the Nixon trip brought Latin American-U.S. problems dramatically to the forefront. No one here excuses the excesses of Lima or Caracas, and all are quick to say it "couldn't happen here." They are clearly pleased, though, that one way or another their problems finally reached the front pages of the U.S. press, and they are reasonably sure this would not have happened in any other way.

What to do? If we want to alleviate these problems, if we want to keep peace in "our own patio" and, most of all, if we want to create a strong, friendly neighbor out of Chile, new verve must be added to our policy. Quoting the title of *El Mercurio's* May 16 lead editorial, "The U.S. Has the Floor." But Chileans want to hear some *new* ideas from us, not more explanation of old ones. Nevertheless it would be tragic if we panicked at this stage and started throwing money or anything else around carelessly. Our attitude of requiring performance with our assistance and of helping those who help themselves is fundamentally sound. We need, however, to reassess not only the degree of help they *can*, but *will*, give themselves, taking into consideration the social and

political facts of Chile as well as the economic ones. Likewise, we need to reassess how we can get the best public relations mileage out of what we do. Lack of understanding is the root of much of our trouble, but new systems and techniques are needed, rather than more volume.

Some Suggestions

Following are some broad ideas for U.S. Government action which may be helpful in considering the situation:

1) Take initiatives which will provide reasonable and fair solutions for copper and other commodity problems. If the presently projected subsidy plan for non-ferrous metals is carried out, be certain it works in such a way that it will be helpful and not harmful to the economic life of Chile and other affected countries.

2) Provide a source of financing which will enable Chile to achieve economic development as fast as the remainder of its social and economic structure permits. Demonstrate faith in the economic future of Chile by taking long term developmental risks. If we are willing to loan money for balance of payments in order to keep Chile afloat, we should be willing to loan money to enable her to steam ahead. By doing so, we will contribute appreciably to the country's capacity to pay back the relatively non-productive loans for the former purpose. Let's dust off the Chilean Agricultural and Development Plan and see if we can't really help them get it started.

3) Take advantage of the Chilean and other Latin American ambition to achieve a regional market. Let us come out four-square in favor of it—Chileans feel we are opposed to it for selfish reasons. Our support could make it a success. Besides contributing directly to the solution of a serious economic problem in this area, it could be a vehicle through which we could gradually help in the achievement of many other projects in the economic field.

4) Channel more of our economic development assistance into sectors where it will have a broad social as well as economic impact. In Chile almost all U.S. Government, international, and private financing has gone into activities in remote areas or to private companies, also frequently in remote areas, where the man in the street sees little direct benefit to him. A few newspaper stories is all he knows about it and he soon forgets that. This applies to the nitrate, copper, steel and coal industries, and the Government-owned electric plants. Loans in areas where everybody could see the direct effects, such as those for the railroads and the highways, have been held up by the World Bank.

5) As one means of fulfilling the above recommendation, undertake a serious effort to help remedy the tragic housing situation. We loan money for buildings to house machines, but we have been unwilling to help house that other even more important productive factor—men.

In Chile this is not a matter of providing comforts. It is the difference between life and death for thousands of individuals. Out of Santiago's population of one and one-half million people, more than 200,000 live under tin cans. Another 500,000 are in what we would call slums in the United States. There will be frost on the ground here most mornings for the next four months. The other day we had two inches of rain in eight hours. People living as millions of Chileans live can't stand such conditions and remain healthy and productive. We can't build houses for everyone in Latin America, but we can give appreciable assistance. Technical assistance is being given but it alone is not enough. It must be accompanied by economic assistance utilizing private initiative and private means. To tap private capital and private savings might help establish a system of savings and loan associations such as we have in the United States, offering DLF money for initial capital in much the same way as our Government did in the early days of the Federal Savings and Loan System and as it now does through purchase of mortgages by the Federal National Mortgage Association; and we might extend FHA insurance to include investments in Chilean mortgages by United States private capital.

6) Increase our PL-480⁴ Title III program to the maximum to provide undernourished people the food we can't sell. Create, support, or expand school lunch programs and other effective distributional means. Excellent progress has already been made with Title III in Chile but we would like to see it continue and improve.

7) Demonstrate that we *do* recognize the difference between a Dominican dictatorship and a Chilean democracy. We have already proved that giving the cold shoulder to the dictators is not the ideal way. Continue to treat them courteously and with sufficient cordiality to guarantee their cooperation where this is essential. Reflect the differences we recognize and feel by doing extra things for the true democracies. Wrap up some nice packages, some cultural, some financial, some political, but all of a type providing mutual benefits. Present them to the democracies, letting it be known we are doing so because they are democratic.

8) We must work to get the full benefits of the impact of the helpful things we do here, through better coordinated publicity and more expeditious action. We have often announced sizable loans at times or in ways which gave us practically no propaganda value. Others we have not announced at all. Often we have, without remark, let the Chileans give advance publicity about large sums they were seeking to borrow, so when we loaned less we got criticism instead of congratulations.

⁴ For the text of P.L. 480, the Agriculture Trade Development and Assistance Act of 1954, see 68 stat 454.

After advancing loans, we have red taped the procedures to the extent that we have created disappointment and disillusionment on the part of the recipients, e.g. the Smathers loan to the Council of Rectors here, which was agreed upon a year ago and which is still awaiting legalities in Washington which are alienating the Rectors of all of the universities of the country.

9) We should give life to the Inter-American Defense Board or some other hemispheric organization as a principal instrumentality for our defense policy in Latin America. Through it we could give Chile, and probably each of the Latin American countries, a sense of participation in the world struggle against Communism, which certainly Chile, and probably most of the rest, do not have now. Through it we could also bring home the difference in the types of military expenditures which they make, encouraging them to reduce those which do not have hemispheric defense value.

10) Improve coordination of U.S. government publicity. The U.S. private press wire services are not subject to control, and neither are the local headline writers who work on their stories. Our own government public relations activities are, however. The extremely unfortunate press release of the Department of Interior of April 11 on copper tariff legislation cost us incalculable amounts of good will. We can blame no one but ourselves for this flub.

11) Encourage the Pan American Union to step up its publicity operations within the United States. Until our own people know something about Latin America, it is unreasonable for them to support programs designed to create good relations between us and Latin America, especially if these programs may involve some personal sacrifice on their part.

12) Start again the publication of a Government organ in Latin America to set forth our viewpoints on our policies. We are now doing very well in Chile having much material sponsored by us published in the regular press. This is not a substitute, though, for an authentic source where the definite word of the United States Government is available. We have many understandable and reasonable explanations for things we do. Because of our dependence on third parties to put them forth, they are less well said and lack the ring of authenticity they need.

The Embassy recognizes that the above problems and suggestions are easier to state than they are to solve or put into effect. It recognizes, also, that the major problem of getting the Chileans to do their share remains. It believes, however, that a spirit of enterprise and an urge for fundamental change and improvement exist here. These have been hampered recently by economic problems arising from low copper prices, but they will emerge again with full force if the U.S. is able to do

helpful things and do them in a way to provide hope and encouragement to the vigorous elements within Chile.

William Belton
Chargé d'Affaires ad interim

CH-6. Memorandum from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Deputy Under Secretary of State for Economic Affairs (Dillon)¹

Washington, June 18, 1958.

SUBJECT

Strategic Control On Copper And U. S. Relations With Chile

Problem:

Chileans are unconvinced of the importance of security controls on exports of copper to the Soviet bloc. Many believe they are senseless and harmful to Chile's economic position. This is grist for the communist mill and being exploited by the extreme-left presidential candidate who is coming up strong in the race to be decided by the September 4 elections.

Discussion:

The Communists have long claimed that U.S pressures on Chile to restrict sales of Chilean copper to the bloc have been harmful to Chile. They have implied that all of Chile's economic problem would be solved if the strategic controls were ignored and Chile embarked on a policy of unrestricted trade in copper with the bloc. Although some Chileans realize the spuriousness of this contention, it is widely accepted and is at the root of much Chilean resentment of the United States. At a time when copper prices are falling, when the reimposition of the U.S. excise tax on copper imports is imminent, and when the press is full of reports of strong pressures in the U.S. in favor of hiking up the excise, this feeling becomes particularly strong and the leftist argument in Chile especially appealing.

¹ Source: Department of State, Central Files, 460.259/6-1858. Secret. Drafted by Silberstein; initialed by Rubottom.

Senator Salvador Allende, presidential candidate of the extreme-left, is closely allied to the communists and follows much of their line. He has indicated that, if elected, he would “reject the prohibition which prevents us from placing our products in any country and accepting the best condition of the market”. In a four candidate race, Allende is now running strong second to the right-wing candidate, Jorge Alessandri. It is far from inconceivable that Allende might win the election. Our Embassy reports that Allende’s campaign derives advantage from any exacerbation of issues involving U.S. relations. He obviously benefited from the violent anti-U.S. reaction in Chile to the Department of Interior’s press release on the copper excise tax.²

From the viewpoint of U.S. interests, it would be better if any of the candidates other than Allende won the Chilean elections. Were Allende to win we could be faced with a pro-Soviet, anti-U.S. administration in one of the important countries of the hemisphere. An insight into Allende’s orientation is contained in his recent speech (Text attached—Tab A).³ At the very least, we would have to deal with an Administration opposed to much of what we stand for in the fields of political and economic policy. The position of the \$750 million worth of U.S. investment in Chile would be endangered. Allende has indicated he plans to introduce a bill to change the copper law in ways which have the American companies greatly concerned. Moreover, if Allende carried out his announced intention of dropping strategic controls on trade with the Soviets, we would be faced with the necessity of a Battle Act determination with all that would imply for our relations with the entire hemisphere.

It is speculative, of course, whether anything the U.S. might do at this time could in any way affect the outcome of the Chilean elections. I believe, however, one action we could take, which would dramatically deprive Allende of one of his strongest talking points and would wipe out an issue that has long beclouded our relations with Chile, would be an announcement by the U.S. that it no longer objected to trade in copper in all forms with the bloc.

I understand that the downgrading of international strategic controls on copper is already being urged by several countries in the COCOM meetings now going on and that there is a good possibility that eventually

² The Embassy reported in telegram 714 from Santiago, April 22 (825.2542/4–2258), and in despatch 1117, May 13, 1958 (825.2542/5–1358), that, following Seaton’s press release, Allende announced that he would introduce a project to modify Chile’s new copper law by, *inter alia*, re-establishing a Government monopoly over copper sales. In despatch 1207, June 6, the Embassy reported that at a large rally in Santiago, May 29, Allende spoke vigorously in support of Chile’s right to sell its products to any country in the world depending upon where it could receive the best market terms, and criticized Chile’s domination by the United States on such matters. (725.00(W)/6–658)

³ Not printed.

we will have to acquiesce to such a downgrading. I also understand that the large loophole in existing controls created by the downgrading of copper wire of under 6 *mm* has already resulted in a substantial movement of free-world copper to the bloc in the form of wire and that it is doubtful whether the downgrading of other copper would lead to a significant change in the supply availabilities of the bloc. I further understand that the chances of our obtaining agreement within COCOM to upgrading the controls on less than 6 *mm* copper are negligible.

It is pertinent to recall that for some time the communists in Chile argued that Chile's economy was suffering from U.S. objections to Chilean trade in nitrates with Communist China and that there would be a significant improvement in Chile's balance-of-payments position and in the position of the ailing nitrate industry if Chile could only take advantage of the "tremendous" potential market that existed in communist China for Chilean nitrates. In 1954, the Chilean Government finally consulted with us on this point and was informed that we did not object to Chilean sales of nitrates to Communist China. Since that date, to our knowledge, *not one pound* of Chilean nitrates has been sold to Communist China and an effective communist propaganda argument has been eliminated.

I understand that information available to the departmental officers concerned with strategic controls indicates that continuation of existing international controls on exports of copper to the bloc will not have a significant impact on Soviet military capabilities so long as copper in the form of wire is available to the Block. In these circumstances U.S. initiative in agreeing at this time to the elimination of these controls would remove an issue damaging to our relations with Chile and with other copper-producing and trading countries, could help to forestall the possibility that a pro-Soviet administration might be elected in an important country of the Western Hemisphere, and thereby could make a contribution to U.S. security interests more substantial than maintenance of controls which apparently no longer serve a significant purpose.

Recommendation:

Accordingly, I recommend that the Department:

1. After appropriate consultation with other agencies, agree to remove copper from the embargo list in the forthcoming Consultative Group negotiations.
2. Give prompt notification to Chile of the Consultative Group decision in order to obtain maximum advantage in U.S. Chilean relations.

CH-7. Telegram from the Ambassador in Chile (Howe) to the Department of State¹

Santiago, July 14, 1958, 4 p.m.

15. Foreign Minister² expecting question in House July 15 re Chilean commitment on sale strategic copper question reportedly based on article appearing local press on July 13 from special correspondent at UN pointing out Chile has no UN commitment on sale copper but Chile's only commitment due obligations under Battle Act.³ Foreign Minister stated he would attempt forestall further discussion copper UN forum pending COCOM decision.

He also advised new report from Chilean Ambassador Paris⁴ alleging various governments western Europe not interested removal copper or only interested removal copper in manner favoring African producers. He unable provide details any proposal favor African producers but reiterated his feeling important U.S. take positive stand for removal copper from strategic list in manner equitable all producers.

Howe

¹ Source: Department of State, Central Files, 825.2542/7–1458. Official Use Only.

² Alberto Sepulveda Contreras.

³ Reference is to the Mutual Defense Assistance Control Act of 1951 (P.L. 213), approved October 26, 1951, commonly called the Battle Act after Rep. Laurie C. Battle of Alabama; for text, see 65 Stat. 644. The Battle Act required termination of U.S. aid to any recipient country which shipped arms or atomic energy materials to the Soviet Bloc.

⁴ Juan B. Rossetti.

CH-8. Editorial Note

On September 4, 1958, presidential elections were held in Chile. No candidate received a majority of the popular vote. Jorge Alessandri, representing the Conservative and Liberal Parties received 31 percent, and Salvador Allende, candidate of the Popular Action Front, received 29 percent. According to provisions of the Chilean Constitution, the Chilean Congress met in joint session on October 24 to elect a president from among the two leading candidates. The official count gave Allesandri 147 and Allende 26, with 14 votes cast as blanks. Allesandri took the oath of office on November 3, 1958. Documentation on the election is located in decimal files 725.00(W)/9–1258 and 725.00(W)/10–3158.

CH-9. Memorandum from Robert K. Phillips of the Office of West Coast Affairs in the Bureau of Inter-American Affairs to the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, September 24, 1958.

SUBJECT

Position of Chilean President-elect on Major Issues

In public and private statements both before and after the September 4 Chilean presidential election, the apparent President-elect, Senator *Jorge Alessandri*, has been generally forthright in stating his position on most of the domestic and international issues facing Chile. His views on some of the more important problems:

Presidential Role—Expects to be a strong leader, not under obligation to anyone.

International Affairs—

Relations with U.S. and Free World—Would continue basic Chilean foreign policy as part of Free World. Friendly to U.S. but not subservient. Wants closer relations with neighboring countries and the rest of Latin America.

Relations with Communist bloc—Not stated, but not likely to favor closer relations with the bloc.

Defense—Would prefer to devote funds to economic development but feels he must keep forces at reasonable parity with Argentina and Peru.

Foreign Investment—Favors foreign investment as best means of increasing productive capacity without requiring new sacrifices from the Chilean people.

Foreign Aid—May seek some foreign loans in order to consolidate short-term debts, but hopes to rely primarily on better use of Chile's own resources. Does not expect a "Marshall Plan" for Latin America.

Foreign Trade—import prohibitions should be eliminated, but certain (unspecified) import duties should be raised to protect national interests. Doubts feasibility of Latin American common market. Favors reciprocal trade arrangements.

¹ Source: Department of State, Central Files, 725.11/9-2458. Confidential. Sent through Ernest V. Siracusa, Director of the Office of West Coast Affairs.

Domestic Affairs—

Productivity—Chile's basic problem is increasingly high cost of production. Wages and social security benefits should be related to productivity. Freer competition will encourage productivity. Agricultural production should be stimulated.

Government Finance—Government should decrease expenditures, take smaller share of business profits, and withdraw from fields more suitable to private enterprise. Administrative reform is essential. Tax revision and codification is urgent. When copper prices are high, part of copper tax proceeds should be reserved for periods when prices are low.

Credit Policy—Dislikes credit restriction as the main tool of inflation control since it tends to curb production.

Exchange Rate—Favors realistic exchange rate, but has not committed himself to freeing rate.

Housing—Wants a national housing program with centralized authority.

COMMENT: In summarizing Alessandri's economic objectives, Embassy Santiago suggests that some over-enthusiastic U.S. press reports of his election may lead people to believe that he will follow a policy of austerity and will effect profound and favorable changes in the foreign investment climate. The Embassy believes that Alessandri, in view of his expressed resentment over credit controls, is more likely to loosen rather than tighten monetary controls. The strength of the leftist vote in the presidential election would also indicate that Alessandri may experience considerable difficulty in achieving many of his economic objectives, including the encouragement of foreign investment.

While Alessandri's job will not be an easy one, we are somewhat more optimistic than the Embassy with regard to his chances of success in the fields of monetary policy and foreign investment. The IMF believes, and we concur, that the primary objective in attempting to control Chile's inflation is the reduction of governmental expenditures. If Alessandri can make headway on this, there may be room for more relaxation of credit to the private sector. The restoration of financial stability in Chile, if Alessandri can achieve it (and his record as Finance Minister indicates that he is fully aware of the perils of inflation), would do more than anything else to restore the economy and to improve the climate for foreign private investment. How Alessandri will get along with Congress remains to be seen.²

² A handwritten marginal notation by Siracusa reads: "As far as stability is concerned, assuming he can do what he wants, Alessandri seems almost too good to be true. But I wonder if such a program can win political support and mass popularity."

CH-10. Telegram from the Ambassador in Chile (Howe) to the Department of State¹

Santiago, October 28, 1958, 7 p.m.

169. IMF cabled Central Bank October 22 to effect further drawings under stand-by arrangement contingent upon "adequate action" to bring Chile into compliance with its undertakings.

Mackenna Central Bank advised Embassy that funds decision placed Chile in serious foreign exchange situation. He has obtained executive approval raise Central Bank's selling rate immediately by 20 points to 828 (maximum possible without causing price increases, especially of gasoline). Central Bank is so advising fund and calling their attention compliance on agreed issue limit. Proposed depreciation would narrow spread between bankers and brokers market to around 150 pesos, compared with spread of around 300 pesos in September.

Without scheduled fourth quarter drawings from IMF, private banks, EXIM Bank and ICA totaling 13 million dollars, Central Bank faces estimated exchange deficit of 11.1 million dollars at end of year. Without further drawings bank estimates its foreign exchange reserves (other than gold) will be exhausted by around November 8 due in part necessity meeting 2.5 million dollar payment EXIM Bank October 31.

Timing IMF cut-off most unfortunate. Ibanez administration will take no steps alter situation beyond what Central Bank proposing to IMF. Embassy believes it neither fair nor wise to force new administration within its first days of office to meet critical exchange situation due irresponsibilities old administration.

There is great optimism in Chile over Alessandri government. Believe one of his first acts will be endeavor bring order Chilean finances. Embassy urges Department encourage IMF take account political implications suspension at this time and permit October drawing in order give Alessandri opportunity work out new arrangements with IMF mission early November.

Howe

¹ Source: Department of State, Central Files, 398.13/10-2853. Confidential.

CH-11. Memorandum from the Assistant Secretary for Inter-American Affairs (Rubottom) to the Under Secretary of State for Economic Affairs (Dillon)¹

Washington, November 3, 1958.

SUBJECT

Chilean Financial Situation.

I suggest that you read the attached telegram from Ambassador Howe in Santiago.²

The Department has consistently taken a firm line with regard to Chilean compliance with the undertaking agreed to with the IMF and the Export-Import Bank a few months ago. In fact, our line has been tougher than that taken by the IMF itself, which, when confronted with a decision in New Delhi regarding last month's drawing, overruled the recommendation of its staff and permitted the drawing. We had fully supported the staff recommendation.

Now, however, it seems doubtful political or economic wisdom to deny Chile the funds which it desperately needs just as the new administration is coming in, given the fact that a firmer line was *not* taken against the Ibanez regime. It is our hope that President Alessandri will have a much more business-like administration than his predecessor, and his new Minister of Finance, Roberto Vergara, strengthens our hope. But the new administration should not be put in a financial straight jacket in its first days and weeks in office. Even though the real culprit would be the previous regime and its lack of fiscal discipline, the tendency would be to place the blame on the IMF and the U.S. for denying this drawing.

We hope to have a favorable decision from the IMF today, based on: (1) Chile's formal request for the drawing, and (2) Chile's request that the IMF send an official there immediately to review her situation.

I shall be in touch with you if we encounter difficulties.

¹ Source: Department of State, Central Files, 398.13/11-358. Confidential.

² No telegram was found attached to the source text, but the reference may be to telegram 169 from Santiago, printed as Document CH-10.

CH-12. Telegram from the Secretary of State to the Embassy in Chile¹

Washington, October 31, 1958, 11:27 a.m.

PRIORITY

167. Embtel 169.²

FYI. Department appreciates serious implications if Alessandri forced face crisis immediately on taking office. However, impression here is crisis not so imminent as Mackenna alleges. IMF stand-by and related credits are not rpt not only recourse. In pinch modest amount involved in Oct. drawings could be borrowed from commercial banks or obtained as tax advances copper companies. Even before such measures might become necessary and certainly before heavy December seasonal requirements must be faced, Dept. hopes Alessandri will reach new understanding with IMF which would make Chile eligible utilize all fourth quarter drawings. We understand IMF willing send mission about Nov. 8-10 if requested. Also our impression IMF aware awkward timing drawing cutoff and disposed be reasonable with Alessandri if he indicates willingness move in right direction.

Mackenna's observations on rate movement which suggest GOC planning hold indefinitely to unrealistically appreciated rates and not contemplating free rate responsive market forces arouse considerable concern. Rate depreciation reflecting inflation which has already occurred believed inevitable. Sooner this occurs more obvious will be that action made necessary by policies old administration.

Important discourage Mackenna idea U.S. can be used to pressure IMF or that Eximbank will make releases independently of IMF. End FYI.

Suggest tell Mackenna (1) Dept. understands from U.S. Executive Director that IMF has not rpt not received request for October drawing (2) in order avoid crisis Mackenna fears, strongly urge GOC request IMF mission come soonest discuss circumstances under which drawing eligibility could be restored (3) proposal move bank rate only 20 points

¹ Source: Department of State, Central Files, 398.13/10-2858. Confidential; Priority. Drafted by Phillips on October 3, and signed by Ernest V. Siracusa, Director of the Office of West Coast Affairs. This telegram was cleared in draft with Samuel D. Eaton, CFD/FR; Alexander H. Rosenson, ARA/REA; Frank A. Southard, Jr., U.S. Representative to the IMF; Charles Harley, Treasury Department, and Seymour Pollock of the Export-Import Bank.

² See Document CH-10.

probably unsatisfactory to IMF, particularly in light earlier assurances more rapid depreciation.³

³ In telegram 176 from Santiago, October 31, Ambassador Howe reported his discussion of the day with Chilean Finance Minister Vergara, and Vergara's opposition to the idea that the IMF would continue to support the Ibáñez Government in spite of its violation of commitments and then present the new Government with unfriendly demands. Howe stated that the Embassy recognized possibilities for short-term financing, but "feels it both unfair and unwise force new government resort to makeshift interim measures first two weeks in office," and was "especially reluctant see new government start meeting financial crises through demand advance copper tax payments." He advised that the United States should demonstrate its confidence in the new government, and renewed the Embassy's recommendation that the Department "urge IMF permit Chile make October drawings and send mission Chile for consultations new government." (393.13/10-3158)

The Department responded to Howe in telegram 174 to Santiago, November 3, stating that it appreciated and concurred in the Ambassador's view of the importance of demonstrating confidence in the new government, but could not and did not wish to attempt to dictate IMF decisions. The Department advised Howe that it was "best you limit observations to Vergara and McKenna to stressing importance Chile communicate directly with Fund with view to solving problem." (393.13/11-358)

CH-13. Telegram from the Ambassador in Chile (Howe) to the Department of State¹

Santiago, November 24, 1958, 10 p.m.

199. Discussed financial and other problems facing new government at luncheon meeting today with [illegible in the original], Foreign Relations, Defense, Banco Central [illegible in the original], and others. They view financial problems as time bomb certain explode by March next year unless they obtain substantial outside assistance to enable them meet obligations in both foreign exchange and pesos until measures which they are determined take begin having effect.

Feeling situation urgent GOC was planning send mission Washington next week to lay groundwork for negotiation necessary loan agreements. We have succeeded in dissuading GOC from this premature action but as alternative have agreed recommend that [illegible in the original] mission come here from Washington study situation on the ground. Vergara has promised have statistics and program available study such group within a week. Have continually stressed importance having such program designed cope with difficult situation faced through 1959 and even more importantly to show Chile's real determination do what she can for herself. Vergara and others appreciate this and have repeatedly

¹ Source: Department of State, Central Files, 398.13/11-2458. Confidential.

indicated their determination develop and carry through realistic, austere program.

GOC has reached agreement with IMF mission now in Chile under which drawings will be permitted through end of year (Embassy telegram 189). This includes: 1) adjusting banking exchange rate to realistic basis, which Vergara said and 2) new agreement on credit restrictions and government borrowing from Central Bank would be done promptly. Agreement with IMF mission represents important first step and shows willingness new administration come to grips with certain financial problems. Believe this and any other help which IMF may be able extend most useful. However, scope IMF mission too limited provide comprehensive analysis situation on which United States policy could be based.

Urge United States mission arrive here if possible on December eight. Suggest it have both economic and political representation from Department and that representatives also be included from Treasury, EXIM Bank and possibly DLF. Believe such mission would be extremely helpful because greater accessibility factual information and key Chilean personnel in Santiago will provide opportunity assess financial crisis in relation to over-all politico-economic situation and fiscal program new administration. Would also give chance working with GOC officials while formulation their program in early stages. Realize that such a mission would not be in position to make commitment, but would hope that if facts developed by mission confirm urgent need, Washington would be prepared to act promptly.

I feel prompt despatch to Chile of such a mission is absolute minimum we can do to support and bolster confidence of new government at this stage. I am having lunch with President Alessandri probably on Monday next week and I feel it is important to our position in Chile to be able to tell him at that time that a mission will arrive early in December.²

Howe

² In telegram 199 to Santiago, November 28, the Department stated that it was pleased that the Embassy had been successful in dissuading the Chilean Government from sending a special mission to Washington, and instructed Howe to urge Alessandri to lay through groundwork without publicity through diplomatic channels for early discussion of the issue. The telegram concluded as follows:

"Dept wishes emphasize there full realization here that new Administration faces serious problems. U.S. agencies pleased note GOC has reached agreement with IMF mission and hopeful Chile will fulfill program interim targets. Embassy should continue encourage GOC look to IMF for advice on payments and stabilization problems. U.S. disposed cooperate with a sound, constructive program which holds out the premise of lasting achievement and encouraged believe Alessandri Administration provides basis for such cooperation. At same time Dept concerned that unrealistic expectations may be developing on part GOC and Chilean public as to extent Chile "entitled" to and may expect obtain U.S. financial assistance particularly for balance of payments problems. Believe you should emphasize to GOC desirability avoiding continued reliance on balance of payments assistance (while Chile maintaining highest levels imports in history, in large part for current consumption) in view limitations this likely place on obtaining productive development credits." (398.13/11-258)

CH-14. Telegram from the Acting Secretary of State to the Embassy in Chile¹

Washington, December 10, 1958, 6:21 p.m.

230. Embtel 225.²

Dept disturbed VIAL allegation GOC officials claim U.S. insists on 1100 before willing consider assistance³ and approves your energetic clarification including statement importance we attach to GOC fulfillment commitments to IMF.⁴ Believe you might make similar clarification to officials who may have been source of VIAL's Misinformation if you consider advisable. It is precisely to avoid direct involvement heated political situations such as that now current in Chile that U.S. consistently refrains from advising other governments on specific internal economic stabilization measures including exchange rates and instead urges them consult and reach agreement with competent international agencies.

Would appreciate more details on agreement with Anaconda on exchange rate windfall which sounds like disturbing proposal return to discriminatory rate treatment for Gran Minería which existed prior new deal copper law.⁵

Herter

¹ Source: Department of State, Central Files, 825.00/12–958. Confidential. Drafted and signed by Siracusa.

² The referenced telegram, from Santiago, December 9, 1958, reported that the Embassy was informed that Alessandri's nationwide radio address on December 10 would emphasize the chaotic condition of government finances, the need to seek financial assistance, and the necessity of a realistic exchange rate. (825.00/12–958)

³ Reference is to the statement of Senator Carlos Vial Espantoso, Director of the Central Bank and spearhead of the opposition on the exchange rate program, which was also reported in telegram 225.

⁴ The International Monetary Fund had just completed its fourth mission to Chile that year. The mission, which arrived on November 10 and worked through the week of November 24, inquired into the reasons behind Chile's non-compliance with monetary and exchange commitments made conditional to renewal of the Stand-by Arrangement of April 1958, which called for the establishment of a realistic banking exchange rate by the end of 1958, and suggested measures which the new government might be willing to take to restore Chile's eligibility to draw against the Fund's resources. Documentation relating to the IMF missions is located in decimal files 824.10 and 398.13.

⁵ Telegram 233 from Santiago, December 12, 1958, stated that Howe had conveyed the message to Vial. It also reported on the agreement with Anaconda to forego savings in production costs from peso devaluation, stating that the Finance Minister had assured Anaconda officials that this would not mean a return to discriminatory exchange rate treatment of large mining companies, but was expedient to enable the Government of Chile to show the public that the copper companies were not reaping large windfall profits from exchange devaluation. (825.10/12–1258) A detailed explanation of the windfall profits agreement is contained in a memorandum of conversation between company officials and State Department representatives, transmitted to the Department under cover of despatch 628 from Santiago, December 18, 1958. (825.10/12–1858)

CH-15. Memorandum of a Conversation¹

Santiago, January 20, 1959

SUBJECT

Economic Program of the Alessandri Administration and Problems Which It Faces

PARTICIPANTS

Señor Roberto Vergara, Minister of Finance, Economy and Mines
Señor Eduardo Figueroa, Chief Assistant to the Minister of Finance
Ambassador Walter Muller, the new Ambassador to the United States
Ambassador Howe, U.S. Embassy
Mr. William Krieg, U.S. Embassy
Mr. Raford Herbert, U.S. Embassy
Mr. Robert Eakens, U.S. Embassy

At a luncheon meeting today, various aspects of the Alessandri Administration's economic program and the problems it faces, both with International Monetary Fund and from a domestic political standpoint, were discussed at some length.

Vergara came to the luncheon straight from the Congress where he had been in constant hearings for several days on the Government's recently submitted wage and economic and financial legislation. He was frankly discouraged at being caught on the one hand between the attitude of the Congress, which already had weakened the Administration's program with larger wage adjustments than had been proposed, and on the other by the tighter attitude of the Fund, as reported by Figueroa. Vergara nevertheless felt that in spite of the pressures in Congress the program would go through without being weakened too much, either as a result of restoration by the Senate or use by the President of his veto. At the same time the attitude of Congress made it clear that the program proposed by the Administration was the most that could be hoped for.

Figueroa had gone to Buenos Aires on Friday, January 16, for a discussion with representatives of the International Monetary Fund the following day. Costanzo was tied up and was not available but Figueroa has a 9½ hour discussion with Edgar Jones and Eugenio Bertens. [*text not declassified*]

According to Figueroa, the discussion was very discouraging. Figueroa felt the attitude of the Fund had changed greatly, and had

¹ Source: Department of State, Central Files, 398.13/1-2359. Confidential; Limit Distribution. No drafting information appeared on the source text. The memorandum of conversation was transmitted to the Department of State under cover of despatch 732 from Santiago, January 23, 1959, not printed.

become much harder in what was being demanded of Chile than was the case in the December discussions with Jones in Santiago. Figueroa thought this reflected a greater lack of confidence in the Alessandri Administration and a degree of self-confidence brought on by the Fund's success in reaching agreement with Argentina.

Figueroa took a draft reply to the Fund's letter of December 24 with him to Buenos Aires for the discussion. The December 24 letter of the Fund indicated the conditions which Chile would need to meet in the first quarter of this year to draw the quotas provided for under the current Stand-By Arrangement which expires on April 1.

The one suggestion which Chile made with respect to the ceilings was that instead of a monthly quota of 8 1/3 million dollars from Central Bank exchange sales to importers a total figure for the three months be set of 25 million dollars to allow greater flexibility. Jones indicated that he was in complete agreement with the draft reply except for Chile's position with respect to these exchange sales. Figueroa did not explain why Jones considered a lump sum figure for the first quarter a problem, or how firm Jones seemed to be on this point. Jones indicated that the Fund would like to have the letter signed by someone other than Maschke. Vergara said that legally Maschke was the only one who could sign but he did not say that there was not some other way to meet the Fund's requirements on this point. Although not mentioned in Figueroa's memorandum, Jones indicated that the Banco Central should be completely reorganized, apparently with the objective of eliminating the Congressional members from the Board of Directors and possibly others. Vergara said he was already working with Radical Party leaders to see what could be done about changing the complexion of the Bank. He thought there was a possibility that this might be accomplished and he was going to continue to work on it although there also was the possibility that he might be defeated. He also felt that no change in the law would be possible until after Congress had acted on the Administration's economic proposals. Jones also considered that a change in management was essential, this apparently being aimed at Maschke, especially, but also at Mackenna.

As indicated in the Figueroa memorandum, Jones and Bertens questioned various aspects of the Administration's stabilization program and also indicated certain requirements that Chile would have to meet in reaching agreement with the Fund. They thought the wage increase should be less and that the idea of general and automatic adjustments should be eliminated as soon as conditions permit. They made an especial point that any housing program should be financed exclusively from private savings. They said that the adjustment made in the exchange rate from 835/837 to 989/991 was not adequate and that the establishment of a single exchange rate responsive to market forces

is a *sine qua non* of a new agreement with the Fund. They considered that a cut of 10 percent should be made in the budgeted government expenses, that priority attention should be given to making State enterprises completely self-financing through economies of administration and increases in tariffs, and that the government's investment program should be so limited as to provide only for completion of existing projects, the initiation of new projects which would be financed with foreign loans not being justified in the existing circumstances. They recommended a drastic revision downward in the amount of the *arrastre* to be paid off. Upon completion of the current Stand-By Arrangement on March 31, they did not consider any further credit expansion justified for the next year since prices already had reflected the currently proposed readjustments in wages and any expansion would therefore be inflationary. They recommended that the entire import deposit system be abolished, all goods made freely importable, and several groups of commodities established with tariffs varying according to essentiality and high enough to yield more revenue and to control imports.

Vergara, Figueroa, and Muller made it clear that they were in accord with almost all of the foregoing measures which were advocated by the Fund representatives. They felt, however, that Chile was being likened too much with the case of Argentina, that the situation was quite different in Chile, and that therefore the means of achieving the desired goals would also have to be different. An important difference is the fact that Frondizi's party has control of the Congress and the army is accustomed over the years to be used in the control of Argentina. These things make it easier for Frondizi to take strong action and back it up with military force where required. Chile, on the other hand, is a democratic country split up into numerous political parties, with an army not accustomed to participating in politics or control of the economy, and with the present government having minority support in Congress.

One point that Figueroa stressed was based on two talks which he has had with President Alessandri since his return from Buenos Aires. This was the President's feeling that he has to try to do something about the unemployment situation and that he simply cannot take any measures which would increase unemployment. Figueroa and Vergara believe that the policies advocated by Jones and Bertens would have this effect. Vergara emphasized this point at considerable length, pointing out that he could not see how technicians from the International Monetary Fund could be so wrapped up in their figures and so cold-blooded as to advocate policies which would increase unemployment and starvation.

While stressing his agreement with cost of the measures advocated by the Fund officials, Vergara raised the question several times as to what would be the attitude in Washington of the Eximbank and

the DLF if Chile would achieve two-thirds or even possibly 75 percent of the program which the Fund representatives outlined. He thought it would be possible to go most of the way but left no doubt in his feeling that Chile could not meet all the requirements. Later on, Figueroa indicated that he thought it would be possible to negotiate out the differences with the Fund on all points except two. These relate to housing and to credit. While he and Vergara did not consider the announcement of a flat 10 percent cut in government expenditures practicable, they were sure this objective could be achieved or perhaps even more. Figueroa expressed the view that the desirable way to put part of the people back to work was in a housing program. The Fund representatives apparently left the definite impression that this was one thing to which they could not agree. With respect to credit, Figueroa was not very explicit, except that he felt that holding credit at a fixed level from April 1 onward simply was impossible. According to Figueroa, this was a big change in the position which Jones had taken in his talks with them in December. At that time he agreed that increases in the money supply were justified as physical production expanded and as prices rose for reasons other than the government's fiscal and monetary policy. In Buenos Aires, however, they took a very rigid attitude that there should be no further increases in credit after April 1, for the reasons indicated above, and it was obvious that Figueroa felt hurt that the Fund representatives should thus raise the ante in view of his sincere efforts to meet their requirements.

Vergara expressed particular interest in knowing what the Embassy group thought of their program. The Ambassador indicated that taking account of the political realities in Chile he considered the program sound and that he thought people in Washington were generally sympathetic with respect to helping Chile. He went into considerable detail in emphasizing the importance which the U.S. Government attaches to Chile first coming to an agreement with the Fund on its economic program. This is not because the U.S. wants to hide behind the skirts of an international agency but rather because the Fund is in a better position to deal objectively with this kind of problem. In addition, numerous countries are seeking help from the United States and these requests can be handled on a more effective basis and better programs developed by the countries collaborating with the Fund. Vergara and Figueroa indicated their recognition of the soundness of this position and the reasoning behind it. While he could not say just how much help would be extended or in what form, the Ambassador said he felt confident help would be available once Chile had reached agreement with the International Monetary Fund. Vergara was particularly interested in knowing what the attitude would be of U.S. lending agencies if Chile succeeded in getting a "light-green" signal from the Fund but not a full "green light" endorsement. In reply the Ambassador said that in view

of the importance U.S. agencies attach to a country reaching a prior agreement with the Fund, he could not say what their attitude would be unless there was a full agreement.

As to the Administration's program generally, Eakens indicated it would be helpful if that part concerned with credit were reduced to concrete terms. Mentioning that all measures thus far taken by the Administration for increasing the availability of local credit had been sound and non-inflationary, he said the President had indicated his disagreement with the credit controls which had been in effect during the last two and a half years and that this had given rise to concern in Washington that the Administration's actions in this field were going to be inflationary. He said the same concern was felt over the Administration's housing program. Vergara said that they were taking measures to place the Chilean economy on a dollar basis and to encourage the use of dollars to finance imports and exports and relieve the pressure on existing local credit. While the results had not been as great as he expected, he said this was beginning in a small way to have the desired effects.

CH-16. Letter from President Alessandri to President Eisenhower.¹

Santiago, January 30, 1959.

[4 pages not declassified]

The Government has already embarked on a program to reorganize the public administration and state agencies, for the purpose of reducing national expenditures to limits consistent with the country's economic capacity. To the [illegible in the original] and studies will be completed during 1959 that will permit the introduction of sweeping changes in the systems of social security, customs tariffs, and taxation.

The first steps have already been taken to rationalize foreign trade, by adopting a policy governing rates of exchange that will effectively encourage export activities and reduce the demand for imported products to safe limits. With this purpose in mind, the areas of exchange

¹ Source: Eisenhower Library, Project Clean Up, "Chile." Information on the source text indicates this is an official translation of the original. Walter Muller Hess presented his credentials to President Eisenhower on February 13, 1959.

have been unified in a single rate of exchange, the value of which will be effectively determined by supply and demand on the market.

As a consequence of the mistaken exchange policy adopted in the past, under which the value of the dollar was arbitrarily kept low in relation to the level of domestic prices, the national economy was deprived of the flow of foreign capital and, what is more serious, the flight of Chilean capital was encouraged as it sought more stable investments abroad. Naturally this was reflected in a stagnation of capital investment in productive activities. Furthermore, the long process of inflation which has affected the national economy has largely destroyed the working capital of various enterprises.

In those circumstances production and trade have sought to use domestic credit, this being their only possible source of financing, and this has brought about heavy and constant pressure on the Central Bank to increase the rediscount rate of the commercial banks. This erroneous credit policy has resulted in currency issues that have helped to aggravate the inflationary process.

The exchange measures already adopted will help to solve those problems and, furthermore, will make it possible for the National economy to develop its activities through the use of foreign credit, thus leaving margins of domestic credit available for these activities which by their nature cannot reach out to sources of foreign credit. Along with this, the demand for bank credit will be heavily reduced and it will then be possible to keep the issuance of currency under strict control.

The development of this financial policy requires a climate of public confidence and social tranquility. The Government will achieve its purposes only to the extent that it create new sources of employment that will permit the incorporation into productive activity of a large number of workers who at present do not have even the most elementary resources for their subsistence. To attain this objective without creating inflationary pressures, it is imperative to be able to count, for one time only, upon substantial financial assistance from abroad, which will supplement the country's own resources and which is needed to strengthen the country's economic activities.

Attachment²

²1 page not declassified.

CH-17. Memorandum from the Assistant Secretary of State for Inter-American Affairs (Rubottom) and the Assistant Secretary of State for Economic Affairs (Mann) to the Under Secretary of State for Economic Affairs (Dillon)¹

Washington, February 13, 1959.

SUBJECT

Anticipated Chilean Request for Financial Assistance.²

Problem:

The Alessandri Government, inaugurated in November 1958, claims that the restoration of economic and financial stability based on the private enterprise is its prime objective. However, the economic program it has devised does not give promise of achieving this end. Moreover, the Administration has dragged its feet on working out a satisfactory stabilization arrangement with the IMF, and the Government has announced that about \$100 million of foreign loans will be required for budgetary and balance of payments support. Mr. Figueroa, Special Assistant to the Minister of Finance arrives in Washington February 16 to open discussions on external assistance.

Recommendation:

While it is in our interests politically to support the Alessandri Government, and while its application of a sound economic program will entail certain political risks, we believe that financial support in the absence of an effective stabilization program will serve neither Chilean nor U.S. interests in the long run. Further, it is our tentative view that Chile could go through 1959 without new balance of payments loans from U.S. official sources if a serious effort is made to adhere to an adequate stabilization program. The budgetary deficit is an internal problem not appropriate for external financing. This and other stabilization problems should be worked out in operation with the IMF.

Therefore, it is recommended that the U.S. Government take the initial position that the Chilean Government should first reach agreement

¹ Source: Department of State, Central Files, 825.10/2-1359. Confidential. Co-drafted by Siracusa, Albert Post of the Office of Inter-American Regional Economic Affairs, and Samuel D. Eaton, Financial Adviser, International Finance Division, Bureau of Economic Affairs.

² A covering note from Rubottom to Dillon attached to the source text reads:

"The attached memorandum on Chile's interest in obtaining financial assistance has been prepared for your background information."

"No action on your part is believed necessary at this time."

with the IMF on a stabilization program. We should further indicate our belief that if an adequate stabilization progress is implemented, it should be unnecessary for Chile to add to its heavy foreign debt burden.³ We should add that we are confident that if there is an adequate stabilization program, development credits for Chile will be forthcoming from appropriate financial institutions. To demonstrate our support for the Alessandri Government, we should be prepared to indicate to the Chileans at an appropriate point in the discussions that the Export–Import Bank would be willing to open credit lines⁴ to cover acceptable economic development projects on the condition that Chile reach prior agreement with the IMF on the renewal of the standby expiring next month and show satisfactory performance under its terms. In this connection, we should also be prepared to point out the possibility of DLF loans.

Discussion:

The Alessandri Administration came into office in November 1958 after a campaign in which it advocated a program aimed at correcting the financial disorder—chronic inflation and balance of payments disequilibrium—of the Ibáñez Government. Under the latter, the cost of living had risen by 83 per cent in 1955, 38 per cent in 1956, and 17 per cent in 1957, and then 32 per cent in 1958. Since early 1957 money supply increased by about 70 per cent despite the use of almost \$120 million of balance of payments loans from the IMF, Eximbank, ICA, and private U.S. banks. During part of this period, the Chilean financial problem was aggravated by declining copper prices as the average price fell from 40 cents in 1956, to 27 cents in 1957, and 25 cents in 1958. However, the basic causes of the inflation were the chronic fiscal deficits and the extraordinary expansion of credit. The resultant internal monetary expansion fostered a heavy demand for imports, which despite the sharp decline in export income, rose to historic highs in 1956 and 1957.

During the election campaign, Alessandri attacked the large fiscal deficits, the use of credit for speculation, and reliance on balance of payments loans. He came out for a businessman's Government which would restore the financial health of the country. After taking office, he showed some vacillation in pursuing a coherent economic program and soon appeared to have lost the initiative required to put forth a full stabilization effort. For example, one of the major complaints of the IMF with the Ibáñez Government had been that the latter had maintained the peso at an excessively appreciated rate of exchange thereby

³ The following handwritten notation by Assistant Secretary Mann appears on the source text: "It may be necessary to spread out installments on foreign debt which are bunched up at this time."

⁴ We are thinking of a range of from 330 to 350 million. [Footnote in the source text.]

draining foreign exchange reserves. The new Minister of Finance initially took a strong position for a sizeable devaluation of the peso but he agreed to accept only about half of the depreciation he had requested when the opposition took advantage of the Government's indecisiveness. Since then, the Government has unified the dual exchange market in accordance with IMF recommendations but it is now too early to assess the impact of this measure on the reserve position since there is no assurance that the rate of exchange will be permitted to move with the market.

In a series of radio speeches and in its submission to Congress, the Alessandri Government indicated that it expected to request budgetary and balance of payments loans from abroad and showed little liking for fiscal and credit restraint. The budget now before Congress envisages a global deficit of about 210 billion pesos (\$210 million) of which 60 billion pesos is requested to cover unpaid bills from the previous Administration, 75 billion for public works including housing, and 70 billion for wage increases. The Government expects to finance 100 billion pesos of this total by increased tax revenues and has indicated that it wishes to obtain the remainder through foreign loans. President Alessandri has written a letter to President Eisenhower requesting him to use his influence with U.S. institutions in regard to prospective Chilean loan applications. On February 16, Special Assistant to the Minister of Finance, Figueroa, is expected in Washington to hold discussions with the IMF and with the U. S. Government agencies on these loan possibilities.

The IMF discussions will be necessary since Chile is not now eligible to draw the \$6 million for the first quarter of 1959 remaining in the standby arrangements largely because no agreement was reached on a satisfactory rate of foreign exchange sales by the Central Bank. It is now hoped that a revised one-year extension of the standby agreement expiring in March, can be worked out between Chile and the IMF which would require Chile to maintain budgetary, monetary, and foreign exchange policies aimed at achieving financial stability.

During 1958 the Ibáñez Administration used about \$40 million of balance of payments loans from abroad. For 1959 it is anticipated that the average price of copper will be about 30 cents compared with 25 cents for 1958, which would give Chile an increase of about \$30 million in dollar earnings. In addition, there remains the \$6 million undrawn under the standby for the first quarter of 1959. Then further resources of \$12.5 million may be available from the IMF and the private U.S. banks, if the Chileans reach agreement with the IMF on renewal of the standby. Therefore, Chile will have available in 1959 in additional foreign finances about the equivalent of the balance of payments loans made to the previous Government in 1958. Foreign debt

amortizations, however, will probably require unusually heavy payments this year, perhaps about \$20 million more than last year. About \$25 million of the total payments due are owed to private U.S. banks. The Chilean Government has indicated that it may be able to secure private U.S. bank loans to cover the latter amount especially since the U.S. copper companies have expressed a willingness to assist in obtaining such loans by granting any windfall profits from the recent devaluation of the peso for the service of these loans. In summary, it appears that the Chilean Government will have adequate resources to meet its balance of payments requirements during 1959 and that with a serious effort at stabilization imports can be reduced from their present high levels so that there may actually be no need to borrow from the private U.S. banks on balance of payments grounds. The budgetary deficit is a problem for Chile to resolve in cooperation with the IMF and it certainly cannot be financed by U.S. funds.

Therefore, we take the initial position that no additional balance of payments loans should be made to Chile from U.S. official sources during 1959. It is clearly recognized that the new Administration requires same evidence of support from this Government especially since Alessandri has based his political future on close economic cooperation with the United States. Alessandri is a political independent who commands no real party allegiance and has shaky and heterogeneous congressional support. He was elected over a strong, leftist communist supported candidate by a very narrow margin, and there is real reason to believe that in the event of his failure, a drastic swing to the far left in Chile might occur.

To meet the political and economic requirements of this situation, we propose that the Chileans be informed at an appropriate point in the negotiations that the Eximbank would be willing to open credit lines to cover acceptable economic development projects on condition that Chile reach prior agreement with the IMF on a renewal of the standby and show satisfactory performance under its terms. We believe that a credit of between \$30 and \$50 million would be appropriate, but no indication of the amount should be given to the Chileans until after the agreement with the IMF is signed. The announcement of credits would not need to wait until negotiations for the individual projects are concluded. In addition, the possibility of loans from the DLF can be pointed out to the Chileans. There should be no great difficulty in working out excellent development projects as the Eximbank has on file applications for over \$40 million, including a paper mill and electric power works. The IBRD has been considering for some time large-scale highway and railroad projects on which action has been deferred because of inflation. The DLF has on file applications totaling \$18 million and a recent report by the USOM in Santiago indicates the existence of other projects suitable for DLF consideration to the extent of \$108 million.

CH-18. Letter from President Eisenhower to President Alessandri¹

Washington, February 28, 1959.

Dear Mr. President:

Ambassador Muller has handed me your letter of January thirtieth,² which I have read with great interest and sympathy.

I appreciate the seriousness and extent of the economic and fiscal problems confronting you. It is gratifying to note that in facing up to these problems you attach great importance to a free enterprise system and monetary stability in your plans for Chile's future. Surely these concepts must be the basis of any economic program which holds promise of realizing the better life, in freedom, that we earnestly desire for our peoples. In particular, I am convinced that in Chile, as in many other developing countries, a successful attack on the causes of inflation is essential to steady economic growth.

It is not surprising that the Communists are seeking to create difficulties for your program. Since these men abhor freedom, they will surely endeavor to thwart the efforts of the Chilean people to achieve that full spiritual and material life which can only be realized in a free society.

You are to be congratulated, Mr. President, on the effective steps you have taken to inform the people of Chile of the high purposes of your program. I am confident the Chilean people, whose fine qualities and dedication to democracy are so rightly admired, will support your enlightened and courageous efforts in their behalf.

I am sure that you are fully aware of the economic assistance extended to Chile by the United States in the past. I am taking steps to see that the economic problems you outline in your letter are brought to the attention of the appropriate officials of this government who will be glad to discuss sympathetically with your officials mutual problems of economic and financial interest.

I deeply appreciate the confidence you have demonstrated in providing me with the full and candid exposition of Chile's problems which your letter contains. Please be assured, Mr. President, that I will follow closely your efforts to bring stability and prosperity to Chile, for these objectives are important to the people of the United States.

With expression of my high esteem,

Sincerely,

Dwight D. Eisenhower

¹ Source: Eisenhower Library, Project Clean Up, "Chile."

² See Document CH-16.

CH-19. Memorandum from the Director of the Office of West Coast Affairs, Bureau of Inter-American Affairs (Siracusa) to the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, March 6, 1959.

SUBJECT

Chilean Request for Financial Assistance

Although Sr. Eduardo Figueroa's discussions with the IMF and with the Eximbank-Treasury-State team² are still continuing, we thought you might like to have an interim report. The IMF and U.S. representatives engaged in these discussions seem to be generally in agreement that Figueroa has presented Chile's case in a frank and persuasive manner. He will probably be able to go back with a reasonably attractive package.

We understand that the IMF and Figueroa, with the approval of Finance Minister Vergara, have reached agreement in principle on all points involved in a proposed new stand-by agreement. The agreement has been drafted by the IMF in the form of a letter to IMF Managing Director Jacobsson to be signed by Vergara and Central Bank Chairman Maschke, and the draft letter will be handed to Figueroa today for forwarding to Santiago. Assuming that the agreement is signed (Maschke may find it hard to swallow), it should be possible to develop a stand-by package totaling \$53.8 million. Practically none of this would be new money; \$6 million would come from the still unutilized first-quarter 1959 drawings (DLF, Eximbank/ICA and private banks), \$20 million from Treasury, IMF and private bank credits available but not scheduled for drawing under the stand-by expiring this month, \$2.5 million as the remaining balance of Chile's IMF quota (the only new money), and \$25.3 as a roll-over of previous private bank stand-by credits already utilized and due to be repaid in 1959 (if Figueroa can negotiate this with the banks concerned). Under the proposed stand-by with the IMF, Chile would not make regular monthly drawings as in the past but would draw only as needed by the Central Bank to prevent excessive fluctuations in the exchange rate.

The IMF has informed Figueroa that it sees no objection to the proposed negotiation of a \$50 million loan from the New York banks. The IMF has also informed Figueroa that it would have no objection to Chile's acceptance of additional foreign financial assistance for

¹ Source: Department of State, Central Files, 398.13/3–659. Confidential. Drafted by Phillips.

² The team consisted of Ralph Korp of the Treasury Department; Silberstein, Phillips, Post, and Eaton representing the Department of State; and Pollack, Williams, and R. Henry Rowntree from the Export-Import Bank. Memoranda of their conversations are filed under 825.10/2–2759 and 825.10/3–359.

economic development purposes provided this can be utilized in a non-inflationary manner. This is where the U.S. agencies come in.

The U. S. team has had four three-hour meetings with Figueroa, and at least one more meeting will take place. Besides the \$50 million loan Chile will seek from the New York banks (in addition to the \$25.3 million roll-over for the new stand-by fund), Chile wants \$50 million from us to cover the balance of an anticipated unfinanced budget deficit of \$100 million. We believe that the Chileans have not been entirely realistic in assessing their financial prospects, particularly in respect of their balance of payments position and the inflationary impact the budget deficit would have even if it is financed by borrowing from abroad. We believe, however, that our analysis of the financial situation has been useful to the Chileans and may help to persuade them that a somewhat smaller amount of aid in 1959 will meet their immediate needs and ease the transition to 1960, when they propose to balance their budget without foreign aid.

Nevertheless, both IMF and U.S. representatives recognize the desirability of helping President Alessandri to cope with his delicate internal political situation. We realize that the extension of the aid they are seeking involves the calculated risk that it may not cure the inflationary problem, but this appears to be less than the risk involved in doing nothing for Alessandri.

The U.S. team is awaiting additional data promised by Figueroa which should enable us to determine just how much assistance we might feasibly give and for which purposes. Between the regular and supplementary budgets, we might be able to pick up about \$25–26 million representing proposed imports of capital goods which could be eligible for Eximbank financing. It seems likely that Mr. Waugh's high opinion of Figueroa will be translated into practical terms.

<i>Summary of Possible Package</i> ³	(in \$ millions)
1. Stand-by assistance	\$ 53.8
2. Private bank loan	50.0
3. Eximbank project loans, about	26.0 ⁴
Grand total, about	\$130.0

³ Negotiations on the financial assistance package were completed by May 23, 1959. When the Fund agreed to a renewal of its stand-by arrangement with Chile on March 25, the balance available was increased by \$2.5 million, to \$8.1 million, in support of new policy measures adopted in order to terminate inflation in Chile. This program was also supported by loans of \$28.9 million to be administered by the Export-Import Bank and \$53 million from U.S. commercial banks granted in May 1959. In addition, the U.S. Treasury increased the amount in its exchange agreement with Chile from \$10 million to \$15 million. The Export-Import Bank also stated that it was preparing to complete studies involving prospective credits of about \$25 million to private companies in Chile. International Monetary Fund, *Annual Report of the Executive Directors for the Fiscal Year Ended April 30, 1959* (Washington :1959), p. 21.

⁴ Chile seeking about \$50.0 from U.S. [Footnote in the source text.]

CH-20. Letter from the Officer in Charge of Chilean Affairs (Phillips) to the Ambassador in Chile (Howe)¹

Washington, April 8, 1959.

Dear Mr. Ambassador:

I enclose two self-explanatory memoranda² concerning a recent proposal by the Office of Civilian and Defense Mobilization to sell some 128,000 tons of copper held in the Defense Production Act³ inventory.

I need hardly tell you that we were somewhat alarmed when we first heard of this proposal, particularly since we had gotten the idea that OCDM intended to move quickly and might do so without adequate consultation with other agencies of the U.S. Government, let alone the foreign governments which might be affected by this action. As a result of the meetings described in these memoranda, however, we believe that the situation is under control and that OCDM will not take any precipitous action.

Nevertheless, there is every reason to believe that the Administration will move eventually to get rid of this copper. You may be sure that we will do our best to see that the Chileans are consulted and that the disposal plan will not operate to their disadvantage. In fact, if we do have a big copper strike in the U.S., the DPA copper could probably be sold, after settlement of the strike, without seriously disrupting the market. It is conceivable that such sales might actually benefit Chile if they helped to prevent another price runaway such as occurred in 1955–56 and which the copper producers would like to avoid if at all possible.

I am sending you these memoranda at this time merely to alert you to what is going on here. As you will note the whole matter is highly confidential and must not be discussed with anyone outside the Embassy, nor should any allusion to this letter be made in official communications. As and when OCDM comes up with a decision to sell and the sales procedures to be followed, we will expect to consult the Embassy formally as to the possible economic and political impact of the OCDM proposal on our relations with Chile.

It would be nice, of course, if a copper disposal program, when it comes, could somehow be related to a new suspension of the copper

¹ Source: Department of State, ARA/WST Files, Lot 62 D 31, "Copper." Confidential. The source text is a carbon copy bearing Phillips' typed name.

² The referenced memoranda, dated respectively March 31 and April 2, 1959, recorded conversations between representatives of the Department of State and OCDM officials. They are not printed.

³ For text of the Defense Production Act of 1950, see 64 Stat. 798.

excise tax. Actually, in terms of assuring an adequate supply of copper, this would make a good deal of economic sense, and it undoubtedly would be highly agreeable to the Chileans. Unfortunately, industry opinion in the U.S. (including the brass industry) has not sufficiently jelled in favor of again removing the excise tax, and there is no common sentiment among the various interested U.S. agencies. Also, the interests and responsibilities of the agencies which might wish to see the excise tax removed do not necessarily coincide with those of OCDM, which is concerned primarily with the disposal of surplus stocks *per se*.

We will be in touch with you as soon as anything new develops on this subject. In the meantime, the Embassy might wish to give some thought to the ways in which we might seek to avoid any injury to Chile or any undue strain on our good relations in the event the OCDM proposal materializes.

I enclose some press items on the copper situation⁴ which you might find of interest.

Sincerely,

Robert M. Phillips

⁴Not printed.

CH-21. Memorandum from the Assistant Secretary of State for Economic Affairs (Mann) to the Secretary of State¹

Washington, April 22, 1959.

SUBJECT

Disposal of D.P.A. Inventories of Copper

Recommended Position

It is recommended that in the Cabinet discussion on this subject you take the following position, which is consistent with positions already taken at the working level:

1. The Department fully appreciates the desire of the OCDM to dispose of the copper held in D.P.A. inventories, and will be glad to

¹ Source: Department of State, Cabinet Meetings, Lot 63 D 350, CP-3. Secret. Concurred in by Silberstein; routed through the Executive Secretariat.

cooperate in the development of a sound disposal plan for this purpose at an appropriate time.

2. The present time, however, does not seem to be an appropriate one, and the Department is definitely opposed to undertaking any sales of D.P.A. copper at present.

3. Since rumors have had an unsettling effect on markets, there is need for a public statement to the effect that the Government is not considering the sale of any copper at this time.

4. When the time does come to dispose of the D.P.A. inventories, the plan of disposal should be carefully designed to avoid unnecessary disturbance of the markets, and in particular it should specify a reasonable cutoff price below which sales would not be made.

5. As the time for disposal draws near, but before final decisions are made, it will be necessary for the State Department to hold meaningful consultations (at least a week to ten days in advance) with certain governments having a substantial interest in the matter.

Background

About 136,000 long tons of copper are held in D.P.A. inventories (not to be confused with the strategic stockpile, where the holdings of about 1.0 million tons are close to the maximum stockpile objective). Governor Hoegh² and his Deputy, Mr. Price,³ have been under pressure to dispose of excess Government holdings of various materials, and in the past few weeks they have been pressing hard for disposal of the D.P.A. copper.

Their aim has been to sell 10,000 tons in the course of the coming two months and the balance of 126,000 tons later in the year. Rumors have recently been circulating in the major copper markets to the effect that the OCDM is about to liquidate the entire D.P.A. inventories of copper. The price of copper, which had been strong for several months, has dropped rather sharply in the past two weeks, some quotations by 6–8 percent. The OCDM has made certain public statements which have not been definite enough to reassure the markets.

Some of the domestic copper fabricators and brass manufacturers are in favor of Government disposal of the D.P.A. holdings, but the major producing companies, led by Anaconda, are opposed. The Interior Department is also opposed to the action. A strong group of Senators from the mining states, led by Senators Murray⁴ and Mansfield,⁵ have

² Lee A. Hoegh, Director, Office of Civil and Defense Mobilization

³ J. Roy Price.

⁴ James E. Murray (D-Mont.)

⁵ Mike Mansfield (D-Mont.)

pushed through a resolution saying that the release of any part of any Governmental inventories of copper at this time would cause "incalculable damage" to the security and well-being of the country. The OCDM, and particularly Mr. Price, have been under sharp criticism in the trade press and in the Senate. The Senators have asked for public assurances that the D.P.A. copper would not be sold.

The Labor Department probably has reason to oppose the action at this time, because the copper mining companies are in the early stages of wage negotiations which may lead to extensive strikes. A disposal of Government holdings of copper at any time prior to the final settlement of the wage negotiations and the conclusion of a new wage agreement would probably be regarded by labor as a strike-breaking measure. On the other hand if there should be strikes and if the OCDM should wait until after a new wage agreement had been concluded it might well be possible to dispose of the D.P.A. inventories of copper at favorable prices and without incurring serious objections.

Copper is the mainstay of the Chilean economy, accounting normally for 60 to 70 percent of the country's hard currency earnings. Any move on the part of the United States Government which had the effect of pushing copper prices down seriously would be considered an unfriendly action by the Chilean Government and people. Chilean sensitivity in this regard was dramatically demonstrated last year when President Ibanez cancelled his impending state visit to the United States immediately after it was announced that our Administration favored action by the Congress to advance the date for lifting the suspension of the copper excise tax.

Copper is of importance also, in lesser degrees, to Peru, Mexico, and Canada. These countries, especially Peru, have protested our imposition of import quotas on lead and zinc, and they would undoubtedly protest disposals of copper at this time.

CH-22. Editorial Note

May 20, 1959

On May 20, 1959, representatives of the United States and Chile signed in Washington an agreement providing for the Development Loan Fund to lend \$300,000 to Chile to finance design engineering for a new international jet airport at Pudahuel. Documentation concerning the loan is in ARA/WST Files, Lot 62 D 31, "DLF." For additional information, see Department of State *Bulletin*, June 1, 1959, p. 834.

CH-23. Memorandum of Conversation, by the Ambassador in Chile (Howe)¹

Santiago, August 18, 1959.

SUBJECT

Chilean President's Views on (1) Meeting of American Foreign Ministers, (2) U.S. credits to Chile, (3) IMF-Latin American relations.

PARTICIPANTS

President Jorge Alessandri of Chile
Minister of Finance Roberto Vergara
Secretary Herter
Assistant Secretary Rubottom
Ambassador Howe

At the invitation of the President, Secretary Herter called on him at 5:30 Tuesday, August 18.

The President opened the conversation in French, expressing his satisfaction at the way the Meeting of Foreign Ministers had come out and his great pleasure that it had been possible for Secretary Herter to attend the conference. He continued that he was pleased that the meeting had been held in Santiago as he felt it had given the Foreign Ministers of the other American Republics an opportunity to see at first hand that Chile has both a democratic and responsible government. Secretary Herter replied that he, too, was very pleased with the results of the meeting and that he wished to compliment the President on the way in which Chile, as the host country, had managed all matters relating to the conference in a way which greatly redounded to its credit and made an important contribution to the success of the Meeting. The Secretary especially wished to comment on the statesmanlike and efficient manner in which the Foreign Minister, don German Vergara, had conducted the plenary sessions of the meeting and on the contribution which he had made towards resolving a number of the more difficult situations. The President, in thanking the Secretary, said that, in truth, there had been the possibility of difficult situations created by the Cubans both in the meeting and by the non-authorized arrival of the two planeloads of visitors. He said that he had just received reports on the arrival of the second Cuban plane with Raul Castro and that he and most of those who accompanied him would be admitted to the country although two of his companions, who were armed, were being held at the airfield. The President said, however, that neither he nor the Chilean Government would take any official cognizance of

¹ Source: Department of State, Central Files, 363/8-1859. Confidential.

Castro's arrival, as whatever invitations had been issued to the Cubans had come purely from individuals representing opposition political groups and the Cubans themselves had never even visited the Chilean Embassy in Habana to learn whether the visit would be acceptable to the Government. In sum, the President thought the Cubans had lost a great deal of prestige by the manner in which they had behaved and had only succeeded in making themselves ridiculous. The Secretary again complimented the President on the way in which the Chilean Government had handled this potentially difficult situation, which was strictly in accord with Chilean laws and regulations and to which nobody could have valid objection.

The President then continued that his government was grateful for the financial assistance received from the United States through the series of credits which were recently approved and emphasized that the present administration was a responsible one, seriously concerned with putting Chile's financial house in order and establishing its economy on a firm basis for growth. Here Mr. Rubottom mentioned the general respect in which the present Government of Chile was held in the United States and added that he ventured to feel that Chile was not alone in showing this sense of financial responsibility, mentioning specifically the efforts being made by President Frondizi to improve the situation in Argentina, and the program just now being developed by Sr. Beltrán, the new Prime Minister and Minister of Finance of Peru. The President agreed that these developments were all encouraging and mentioned that Sr. Beltrán had been following closely for the past eight months the development of the program in Chile and had indicated that it would have a strong influence on his own plans for Peru.

The President went on to say that he felt that the International Monetary Fund needed to show more flexibility in dealing with the problems of the underdeveloped countries of Latin America. He emphasized that, while Chile was perfectly satisfied with the treatment it had received, in his opinion it was not necessarily sound policy to apply the same type of rules which might be applicable to the highly developed countries of Western Europe to the nations of Latin America, and that, unfortunately, this alleged rigidity of the IMF often resulted in the United States bearing the brunt of the criticism. The Secretary then pointed out that, as the President knew, the United States did not control the IMF but that we felt it was important to work through and in close consultation with it and the other international lending agencies. The President replied that he of course did realize that the IMF was an international and not a United States agency, but, nevertheless, the fact remained that the United States was often blamed for policies which, in his opinion, were frequently too inflexible. He then went on to say

that even the U.S. lending agencies frequently seemed to demand more of sound responsible governments than they did of irresponsible governments which did not have the courage nor will power to take steps to put their own houses in order. While he didn't mention any specific countries, he implied that both the United States and the international lending agencies should have sufficient confidence in responsible governments, such as his own, so as not to insist on tying them up with strings which were frequently tighter than those applied to more irresponsible governments.

Comment: While the President specifically said that he was not complaining of Chile's treatment by the IMF, information reaching the Embassy from other sources close to the government suggests that in fact the government, or at least some of its high officials, may be chafing somewhat under some of the restrictions placed upon it by the IMF.

The Secretary stated that he was very appreciative of the opportunity to converse with the President and to hear some of his views. The Secretary continued that both during the negotiations for the credits and in the arrangements leading up to the Meeting of Foreign Ministers, Chile's Ambassador in Washington, Mr. Walter Muller, had gained the respect of all the people in the State Department and the other U.S. government agencies and he wished to assure the President that Chile was extremely well represented in Washington and also that the U.S. Ambassador in Chile had his entire confidence. The President replied that he had known and worked with Ambassador Muller for many years and that it was because of his confidence in him and respect for his judgment that he had asked him to undertake the important mission in Washington. In closing, the President asked Secretary Herter to convey his sincerest greeting and best wishes to President Eisenhower and expressed once more his pleasure at having had the opportunity to welcome Secretary Herter to Chile and to talk with him.

CH-24. Memorandum of Conversation, by the Officer in Charge of Chilean Affairs (Phillips)¹

Washington, October 23, 1959.

SUBJECT

Communist Chinese Offer to Buy Copper from Chile

PARTICIPANTS

Assistant Secretary Rubottom, ARA
Chilean Ambassador Walter Muller
Mr. Jorge Burr, Minister-Counselor, Chilean Embassy
Captain Jorge Swett, Naval Attaché, Chilean Embassy
Robert M. Phillips, WST

Mr. Rubottom said we had been greatly concerned to learn from our Embassy in Santiago that Chile had received an offer from the Chinese Communists to buy 50,000 tons of copper wire and sheets and that the Chilean Government was thinking of permitting the sale of as much as 30,000 tons. Although the U.S. Government would not make formal objection to the proposed transaction, we believed Chile should be concerned with the impression likely to be created in the U.S. and other countries by the magnitude of this sale to the Chinese Communists. We were particularly disturbed to see Chile become apparently the primary target of Chinese Communist overtures in Latin America, and we considered that this might have serious political implications for Chile's relations with the U.S. and other countries of the hemisphere.

Ambassador Muller said this was the first he had heard of this development and that he, too, was concerned over it. Nevertheless, he hoped we understood that the Government was facing a difficult internal political situation and could not afford to risk criticism that it was obstructing commercial transactions for political reasons. The Government was very much concerned with developing markets for Chile's exports, and it realized that the presently favorable copper market would not last too long. In fact, in recent conversations with the New York representatives of the copper companies operating in Chile, the Ambassador had been given to understand that world production of copper next year would exceed demand by approximately 10%. It was for this reason that Chile was particularly interested in finding new markets for its copper.

Mr. Phillips said that, following the removal last year of strategic controls on copper, Communist China had been able to get all

¹ Source: Department of State, Central Files, 825.2542/10-2359. Confidential.

the copper it wanted, chiefly from the U.K. and West Germany. The switching of Communist China's purchases to Chile would in no way affect world copper demand. The Chilean Government might ask itself whether there was any commercial reason for Communist China suddenly to offer to switch the bulk of its copper purchases to Chile. We were inclined to believe that this offer was largely or entirely motivated by political considerations. Mr. Rubottom pointed out that the sale of even 30,000 tons would represent in value considerably more than the total of Latin American exports to Communist China in 1958. Since we had made special efforts to assist the new Government of Chile, as one closely identified with our own principles, we would undoubtedly be called on—if this sale went through—to explain why the Chilean Government had apparently become so deeply involved with the Communist Chinese. Not only would this complicate relations between Chile and the U.S. but it would also weaken the opposition of other Latin American countries to the growth of Chinese Communist influence in this hemisphere. When he had been in Santiago in May, Mr. Rubottom had expressed to the Minister of Foreign Affairs, the Minister of Justice and others, our concern over the obvious campaign the Chinese Communists were waging to develop relations of all kinds with Chile.

Ambassador Muller said his Government was aware of the Communist bloc interest in Chile and that it was trying to deal realistically with this situation. He gave a brief resumé of his earlier conversation with Acting Assistant Secretary Snow concerning the Chilean Government's proposal to send a trade commission to the bloc countries (see memcon August 26).² He also mentioned that Communist China had arranged to buy 10,000 tons of nitrate from Chile and that the Chilean Government had not received any indication that we might object to this. If 30,000 tons of copper seemed to us an excessive amount for Chile to sell to Communist China, what would we consider a reasonable amount?

Mr. Rubottom replied that it was not our purpose to try to tell the Chileans just how much copper they might reasonably sell to Communist China. We hoped they would realize that this was a sensitive political situation in which any sale might create a problem for them and for us. The Chilean Government should not be under any illusion that our China policy might be changing. As the Ambassador knew, the U.S. distinguished between Communist China and the European Soviet bloc. Even though the CPR and the USSR shared the same ultimate aim of Communist domination of the world, the CPR has been

² Not found in Department of State files.

unique in its flagrant disregard of the principles of the United Nations, as most recently demonstrated by its actions in Tibet and other places.

A particularly sensitive aspect of the proposed transaction, Mr. Rubottom continued, was that our Export-Import Bank now had under consideration loan applications submitted by two of the three copper fabricating firms in Chile, and we understood that these firms would expect to participate in this sale. We hoped the Chilean Government would understand that it could be extremely embarrassing to all concerned if it became known that an agency of the U.S. Government was considering lending money to a foreign firm which would use U.S. funds to develop facilities for trading with Communist China while U.S. firms are forbidden by law to engage in such trade.³

Mr. Phillips asked the Ambassador whether he had seen a study on copper prepared by W.R. Grace & Co. which was fairly optimistic concerning copper's prospects over the next few years. The Ambassador said he knew of this study and hoped its optimism would prove to be justified, but the Chilean Government was worried primarily by the probability of a weak copper market in the particular year 1960.

(Mr. Burr called Mr. Phillips at home the morning of October 24, saying that he wished to verify one point in yesterday's conversation before reporting by cable to the Chilean Foreign Ministry. The Embassy was particularly interested in knowing just how much copper the U.S. Government thought Chile might reasonably sell to Communist China if it did not sell the proposed 30,000 tons. Mr. Phillips said he thought that no official of the U.S. Government could or should attempt to set a quota for Chile's possible copper sales to Communist China. The Department had no intention of reopening the question of international strategic controls on copper. The issue posed by the Chinese Communist offer we considered to be a political one, and, in this context, we hoped the Chilean Government realized that the less business it did with Communist China the better.)

(At a luncheon on October 26, Ambassador Muller told Mr. Rubottom that the Chilean Embassy had been instructed to inform us that we had nothing to worry about regarding the proposed sale. The Chilean Government intended to find the means of frustrating the proposed sale and was only concerned with doing this in a way which would not involve it in internal political difficulties or make it appear that the Government had acted under U.S. pressure. Mr. Burr also confirmed this in a later conversation with Mr. Phillips.)

³ The Department subsequently informed the Export Import Bank that it saw no objections to approval of the loans to the copper fabricators. (Memorandum from Phillips to Rubottom, October 28, 1959, ARA/WST Files, Lot 62 D 31, "Credits-Eximbank")

CH-25. Memorandum from the Director of the Office of West Coast Affairs (Coerr) to the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, November 18, 1959.

SUBJECT

Alessandri Administration Celebrates First Anniversary

According to Embassy Santiago, probably *the single greatest accomplishment of Alessandri during his first year has been the reestablishment of public confidence in the dignity, seriousness of purpose and honesty of the Government.* This confidence is not only felt in business circles, but even by the average man on the street, even though he may not have voted for Alessandri. *The greatest failure of the Administration has been its inability to control the continuing upward surge in the cost of living.*

Alessandri's first year has been devoted in large part to bringing order to the chaotic financial situation which he inherited from President Carlos IBAÑEZ, and in laying the basis for reorganizing the haphazard structure of the government and planning the specific programs to be carried into effect during the second year of his Administration. The Government has shown itself friendly to, and desirous of cooperating with, the United States both in international affairs, and in matters concerning Chile's internal economy. *If President Alessandri can bring Chile's inflation under control, he gives promise of providing the nation with one of the most effective governments it has seen in decades.* Most of the basic changes envisaged by the Government are being effected under the special powers law which gives the President power to act without Congressional approval.

So far, major Government efforts have been concentrated in the economic field. The Government has sought to: 1) bring order to the public finances (it has set up a revised, single budget system, refinanced the public debt, and claims to have presented the country with a budget for 1960 which for the first time in many years will be balanced); 2) stimulate production (by setting a more realistic exchange rate; lowering import deposits for essential machinery and goods; obtaining foreign loans some of which have been made available to private businesses for purchase of machinery and other essential imports; and reinvigorating the Development Corporation (CORFO), giving it the task of directing the country's overall economic plan); 3) initiate more effective controls over the banking and credit system (limited expansion of the means of payment and instituted stricter controls over banking rediscounts);

¹ Source: Department of State, ARA/WST Files, Lot 62 D 31, "Economic, General." Confidential. Drafted by Phillips; initialed by Coerr. The following notation by Rubottom appears on the source text: "Thanks."

4) liberalize foreign trade (eliminated lists of prohibited imports, maintained a steady exchange rate, increased general confidence in the economic future of the country, and announced plans for the reform of the customs structure); 5) obtain foreign loans and aid (mostly from the United States and the Federal Republic of Germany). The Government has also initiated much needed steps to improve the efficiency of Chile's agriculture, to stimulate the construction of low-cost housing, and has announced plans for development of the country's transportation, electric power and steel industries. Plans are also under way to reorganize many government organizations, including the expensive and often mismanaged social security system.

WST Comment:

The air of confidence which Alessandri has managed to inspire cannot last indefinitely if his administration fails to deal more effectively with the continuing increase in the cost of living (up 36.9% in ten months of 1959 vs. 32.5% in all of 1958). The Government has already publicly abandoned its position that there should not be a new round of compulsory wage and salary increases in 1960, and in all probability this will unbalance the 1960 budget (despite a balance on paper), with further inflationary implications. The magnitude of the Government's problem in attempting to curb inflationary pressures during 1960 will depend on a number of factors which cannot yet be measured, e.g., copper prices, foreign exchange reserves, level of wage increases, etc.

CH-26. Memorandum of Conversation, by the Ambassador in Chile (Howe)¹

Santiago, November 25, 1959.

PARTICIPANTS

President Alessandri
Senator Morse²
Mr. Pat Holt³
Ambassador Howe

After formal introductions the Ambassador explained briefly to the President the purpose of Senator Morse's trip to Chile and

¹ Source: Department of State, ARA/WST Files, Lot 62 D 31, "Congressional Visits to Chile." Official Use Only.

² Wayne Morse (D-Oregon)

³ Consultant to the Senate Committee on Foreign Relations.

other countries of South America, mentioning especially his desire as Chairman of the Sub-committee on Latin America of the Senate Foreign Relations Committee to learn for himself of the situation and problems in the area. The President expressed his pleasure at having Senator Morse in Chile and at having the opportunity to talk with him. Senator Morse then said that he came primarily to observe and to study, that party politics did not enter into the consideration of policy by the Foreign Relations Committee of the Senate, and that he and the rest of his Committee hoped to develop information for an objective appraisal of conditions in Latin America. The President replied that he was glad that the Senator had come to observe but was sure that he did not need to study as he knew how much attention he had already given to Latin America. Senator Morse then said he wished to congratulate President Alessandri on the views expressed in his recent interview for the New York Times on the subject of the burden of armaments.

President Alessandri thanked the Senator and then went on at some length to reiterate his views with relation to this whole question of armaments. To a considerable degree the President repeated what he had said in the press interview but spelled out certain points in more detail. He said that Chile, by restraining its military expenditures and attempting to devote its resources to economic development, was, he felt, following a sound course and setting a good example in the hemisphere, but that unfortunately with certain of the neighboring countries purchasing arms over and beyond those provided under the MAP program, Chile was finding herself in a very difficult situation internationally. He continued that it did not seem fair that a country which attempted to follow a sound policy should thus, in effect, be penalized for such policy. The President suggested that new thought should be given to the MAP program as a whole as it referred to Latin America, to consider whether the same treatment should be given to countries which tied in their own defense expenditures with the MAP program as to those which made additional and often unnecessary purchases outside of the program. Similarly he felt that the lending agencies, both international and U.S., such as the IBRD, the IMF and the Eximbank, should take into account the nations' military policies as well as their economic and fiscal management. He mentioned the demands made by these agencies for sound fiscal management, which he recognized as necessary, but then said that the same nations which directly or indirectly provided the foreign credits through the international or national lending agencies appeared to permit or even encourage receiving nations to undertake military expenditures which in reality could have just as unfavorable effects on both fiscal policy and economic development as unsound financial policies. The President said he hoped very much that Senator Morse, both directly

as Chairman of the Sub-committee on Latin American Affairs and as an influential member of the Senate, would do what he could to press this point of view and to assist in giving leadership to a movement towards a sensible approach to the whole arms question.

Senator Morse replied that as he had already indicated in congratulating the President on his remarks to the press, he shared to a very large extent the views expressed by the President and that he knew also that among his colleagues there were many who were seeking ways to lessen the burden of armaments. Senator Morse then said that he would be very happy to have any views that might be helpful to him and to the Committee relating to economic problems or the economic development of Chile.

The President replied at some length by retracing the pattern of foreign credits over the past forty years. In doing this he emphasized points that he has frequently made in the past, that up until the depression of the early 1930s Chile, along with other Latin American countries, was able to go into the foreign financial market, first in England, later in the United States, and borrow money on long term for public works and other necessary development projects. He said that it was important to remember that in this earlier period such funds had not only been available to defray the cost of imported equipment but had also been available for conversion into local currency which could be applied against local costs of development projects. With the depression this private foreign financing had largely dried up. In its place various forms of financing had arisen, first through such agencies as the Export Import Bank and later the IMF or IBRD. While such agencies had made many useful loans, those credits did not provide the same flexibility, particularly for public works and the development of the economic infrastructure of an underdeveloped country. In certain cases they were limited to covering the foreign currency costs of a project, making no provision for local currency expenses. In other cases they were directed towards or limited to specific objectives, again leaving the recipient governments without the needed degree of flexibility. The President continued that he admitted frankly that in Chile, as well as in certain other countries, what he regarded as faulty domestic policy had also limited the necessary growth of the fundamental economic infrastructure. Specifically he said that the mistaken policy of proceeding governments in going into fields which could better have been left to development of private enterprise and private capital had had a doubly unfortunate effort. First, frequently foreign credits had been obtained for such projects and had been in effect mortgaging an important part of the financial resources of the government. Thus the servicing of these credits had limited the potential foreign credits available for development in other fields; and second, the same policies had forced

the diversion of the government's own revenues towards meeting the local costs of such projects, thus subtracting from the total funds which could have otherwise been available for such fields of development as highways, ports, schools and public health. The President continued that in certain fields such as public power it would be very difficult, if not impossible, to reverse what had already been done, but that his government was determined to limit the use of government funds for projects which should properly be developed by private capital to an absolute minimum, using the government's resources in those fields which could only be developed with public funds. He said therefore he and his government obviously were in favor of the investment of private capital both domestic and foreign, and of giving every possible encouragement to private initiative to do what in reality he felt it could do better than the government in any case. In return he did hope that there could be somewhat more flexibility in credits made available to the government and necessary projects in the public sector, particularly in giving consideration to the needs for the local currency costs of such projects. He closed these remarks by emphasizing that Chile was most grateful for the help given by the United States to his government and that he was not complaining but only pleading for a broad and flexible approach to this old problem of economic development. He mentioned specifically a lack of flexibility in the use of local currency accruing under PL-480.

The Senator replied that he was very grateful for having the President's views, which to a large extent corresponded to his own. Senator Morse continued that the President might think it odd coming from him as a Liberal, but that he had long felt that the most important export the United States could make, particularly to the underdeveloped countries of the world, was its faith and belief in economic freedom. He emphasized his conviction that political freedom of choice could not long exist without economic freedom of choice, and that a strong and vigorous system of private enterprise was the best guarantee of such economic freedom. Hence he was delighted to know at first hand that the President shared his views on the respective roles that should be played by private enterprise and by the government in the economic development of the country. He also was happy to have the President's assurances of his receptivity to foreign investment as an aid in achieving such development. He added that he had long felt that in addition to the direct investment which could be made by foreign capital, further ways should be sought by which the foreign credit agencies, both national and international, could assist through loans in providing the capital to make possible a healthy growth of domestic free enterprise within these countries.

Hence he felt it important that in addition to making credit available directly to the governments, such lending agencies should be sympathetic to the sound needs and requirements of private individuals or companies for assistance.

The President replied immediately that he did, of course, fully agree and actually in the case of Chile there had been just such experience. He mentioned specifically the \$20,000,000 credit provided by the IBRD to his own former company, *Papeles y Catones*, for the construction of a newsprint and cellulose plant. He said that during the preceding administrations there had been much pressure from the government to have this credit granted to CORFO, the government development agency, but that the World Bank had insisted on making the loan directly to the private company. The President added that the Eximbank also had made a number of useful loans to private companies in Chile, both foreign and local.

Senator Morse then said that in his own behalf and in behalf of Mr. Holt he wished to express his gratitude for the time the President had been kind enough to give to this interview; that he felt he had learned much and was happy to find that the President's views coincided to such a marked degree with his own. In closing he said he also wished to tell the President how very helpful the Chilean Embassy in Washington had been to the Senate Foreign Relations Committee, and to assure the President of the high opinion which he and his colleagues on the Committee had of Chile.

The President thanked Senator Morse; that he was glad to have his expression of appreciation for the helpfulness of the Chilean Embassy in Washington which he assured him had the full confidence of the government here. He also expressed his appreciation for the understanding and helpfulness of the United States Embassy in Chile with relation to the problems of his government.

In departing Senator Morse said that, as a former professor, he had been privileged to attend as a student a most useful seminar, and congratulated the President on his helpful presentation of some of the problems facing his government.

CH-27. Despatch from the Ambassador in Chile (Howe) to the Department of State¹

Santiago, January 8, 1960

No. 489.

REF: CA-1486, August 14, 1959²

SUBJECT

Object and Operation Plan for Chile³

Relations between the Governments of the United States and Chile have reached a point of cordiality which is unusual in international relations. For the first time in 20 years, the Chilean Government is sincerely desirous of emphasizing free enterprise in the economy of the country and is making a sincere effort to cope with the economic problems which face the country because fiscal improvidence in years gone by. Chile has given valuable support to the United States position in the United Nations, particularly in such delicate problems as the seating of Communist China. The political philosophy of the Chilean Government is as strongly democratic and as opposed to all forms of totalitarianism as is our own.

The election of Sr. Jorge ALESSANDRI Rodriguez as President of Chile in September 1958 by a very slender margin brought into existence a businessman's government which has utilized some of the best brains in Chile in an attempt improve the country's economy. But a slight change in the vote would have brought into power a government of the extreme left, dedicated to socialistic forms of economic organization, and to collaboration with the communists; that such a government would have posed serious problems for the United States goes without saying.

It must therefore be the primary political objective of our policy in Chile to do everything we properly can to ensure the success of the Alessandri Administration politically and economically. We should

¹ Source: Department of State, Central Files, 611.25/1-860. Secret.

² The referenced Department of State Instruction transmitted the "Regional Operations Plan for Latin America," approved by the Operations Coordinating Board on July, 1, 1959. (611-20/8-145[illegible in the original])

³ The following individuals participated in the preparation of this despatch: Ambassador Howe, William L. Krieg, Counselor of the Embassy, who drafted the document; Donovan Q. Zook, First Secretary of the Embassy; Charles Katsainos, Second Secretary; Norman M. Pearson, Labor Attaché; Victor Algrant, Commercial Attaché; Ralph W. Richardson, Minerals Officer; Capt. Arthur M. Savage, Naval Attaché; Col. Walter P. Goodwin, Army Mission Chief; Hewson A. Ryan, USIA Political Affairs Officer; and L. Paul Oeschli, ICA Deputy Program Officer.

endeavor to enhance its prestige by having President EISENHOWER visit Chile and inviting President Alessandri to visit the United States. We should make it clear that we approve of the constructive steps which the government has taken to cope with Chile's problems.

At the same time, we must recognize that the political pendulum has swung as far to the right in Chile as it is likely to go, and that the return swing is likely to be evidenced in the Congressional elections in 1961 and in the Presidential election of 1964. We must therefore also maintain good working relations with the non-Communist parties of the Chilean center and left and make every effort to clear up the misapprehensions which cloud their understanding of the policy and which cause them to fail to see that the interests of Chile and the United States are basically in harmony, not in conflict.

In the economic field, our course is not difficult to state though it may be difficult to carry out in practice. We must encourage by every legitimate means constructive action by the Alessandri Administration to check inflation and provide a sound foundation for the country's economic growth. At the same time, it would be an error to forget the political requirements of the Administration, and it would be self-defeating to insist on perfection overnight.

Alessandri was elected with less than one-third of the popular vote: his support in the Congress is based upon a delicately-balanced coalition which may disintegrate if the political sensitivities of the various parties are not continuously considered by the Administration in designing its program. These factors cannot be overlooked by the United States when we measure the effectiveness of Alessandri's programs and accomplishments. To stint in our support because of Alessandri's failure to achieve the ideal in his first year in office might lead to even, less satisfactory progress in achieving stability politically; the alternatives would certainly be less attractive from our point of view and less in line with United States interests.

We should therefore lend such aid as we properly can to stabilize the economy, and we should adopt a sympathetic attitude toward requests for financial assistance designed to further the sound economic growth of the country. Our technical cooperation program should be carefully examined to eliminate what is less productive and emphasize its most useful features. For the present, major emphasis should be placed on the expansion of agricultural production and on the stimulation of foreign and local investment in Chilean private enterprise, including the private housing industry. At the same time, it may be desirable to provide limited amounts of special assistance, probably in the form of equipment, where it appears that a small investment will

put greater forces to work. For a more complete treatment of this subject, see Despatch 292 of October 9, 1959.⁴

It has been pointed out above that relations between the Governments of Chile and the United States are excellent. This is not true to the same extent of the sentiments of the Chilean people as a whole toward U.S. government policies. Our enemies are working vigorously and with considerable success to discredit us. Russian successes in their satellite and space rocket program have raised questions in the minds of many Chileans regarding the technical ability of the United States to match Soviet progress; it is unpleasant to learn through a straw poll that the majority of students at the University of Chile feel that the United States is losing the Cold War.

Too many Chileans associate the United States with blind maintenance of the status quo and the USSR with social and economic progress and the increasing welfare of the common people. We must therefore be ceaselessly active in putting our case before the people, and we should concentrate on the intellectual and labor groups. It is here that we are at our weakest. The various programs for the exchange of persons operated by the Department, USIA and ICA, have all been extremely useful in spreading a better knowledge of the United States among key figures in Chilean life. These program should be continued at at least the present level and greater care should be taken in planning then to ensure their success.

The celebration in 1960 of the 150th Anniversary of Chilean independence presents an opportunity for the United States to participate in a commemoration which will be close to the hearts of the Chilean people. In the near future, the Embassy's proposals for U.S. participation in this event will be forwarded to Washington, and it is hoped that they may receive the support of the Department and other agencies of the U.S. government.

Even in a country such as Chile, where the military traditionally respects civilian control, the armed forces still represent a factor which the government cannot ignore in developing its programs. Recent events, especially the purchase of two fairly modern British cruisers by Peru and of U.S. F-86F aircraft by Argentina, have caused the military to bring pressure on the Government to increase the level of Chile's military equipment. Unless the United States can offer, over a period of time, to supply reasonable quantities of surplus U.S. equipment to the Chileans free of charge or on easy terms, there is little doubt that they will eventually feel themselves compelled to squander a portion of their limited resources on the purchase of military equipment elsewhere.

⁴ Not printed; 725.5-MSP/10-959.

In these circumstances, the Embassy is unable to recommend that the MAP Program here be discontinued and, in fact, hopes that forward planning will become more definite so as to give the Chileans reasonable assurance as to what they may expect to receive from us during the next five years. As in the case of the technical cooperation program, a more thorough discussion of the Military Assistance Program may be found in Despatch 292 of October 9, 1959.

The success of the Alessandri Administration in improving the living standards of the Chilean people will have a strong influence in strengthening democracy not only in Chile but in other countries of Latin America as well. Conversely, its failure would be a body blow to the principle of free enterprise and gain for anti-democratic forces. Consequently, there is no room for complacency in the conduct of our relations with Chile. During the next few years we are going to have to be alert to every opportunity to improve our situation and enhance the prestige of the truly democratic elements in Chilean public life.

If the Embassy is to do these things and at the same time keep the Department currently informed regarding developments here, it will be necessary to have the proper tools with which to work. The Embassy must be assured of reasonable stability in its personnel so that painstakingly acquired knowledge of the local psychology and an acquaintance with key individuals may not be wasted. Our primary problem is not more personnel, although there are certain urgent requirements the Department has been unable to fill; what we need most is a reasonable degree of continuity so that our limited staff can be effectively employed. Frequent changes of assignment not only reduce efficiency but lower morale. It is also essential that allowances be adjusted promptly and adequately to reflect changes in living costs if the United States Missions are to maintain an adequate level of morale in the face of the constantly worsening inflationary pressures felt by all members of the government staff here and their families. It is recognized that the Department faces many difficulties in the management of its numerous Foreign Service establishments throughout the world and that special circumstances will necessitate departures from normal standards of personnel administration. However, it must always be borne in mind that the operating efficiency of the U.S. Government in Chile is dependent in large part on the maintenance of a reasonably stable and adequately compensated staff.⁵

⁵ The enclosure, "Specific Objectives, Country Programs and Other Implementing Operations," is not printed.

CH-28. Editorial Note

Between February 29 and March 2, 1960, President Eisenhower, accompanied by Secretary Herter, Assistant Secretary Rubottom, White House Press Secretary Hagerty and others, visited Chile as part of a larger goodwill tour of South America. Documentation concerning the President's visit to Chile is principally in Conference Files, Lot 64 D 559, CF 1595–1596, 1602, and 1604. Additional pertinent materials are in decimal file 725.00(W), PPS Files, Lot 67 D 548, "Chile," and Eisenhower Library, Project Clean Up, "Chile". The Embassy's report on Eisenhower's visit was transmitted to the Department of State under cover of dispatch 629, March 4, 1960, not printed. (725.00(W)/3–460) For documentation on the preparation for the President's trip to South America and its results, see Documents CH-28–30.

While in Chile, President Eisenhower held formal conversations with President Alessandri on February 29, and Secretary Herter met with Germán Vergar Donoso, Chilean Minister of Foreign Affairs, on March 1 at the Santiago Club. These conversations covered a wide range of topics, and separate memoranda were prepared for each subject. All of the memoranda, designated US/MC/11–20, 25–26, are in Conference Files, Lot 64 D 559, CF 1596. Those not printed herein cover the following subjects: "Argentine-Chile Frontier Matters" (US/MC/12); "Peruvian Arms Purchases; the Peru-Ecuador Boundary Dispute" (US/MC/13); "World Disarmament and Limitation of Arms Sales to Latin America" (US/MC/16); "Chilean Diplomatic Approaches to other Countries for Special Consideration by OAS of Arms Limitation in Latin America" (US/MC/17); "The Connally Amendment and the International Court of Justice" (US/MC/18); "The Summit Meeting" (US/MC/19); and "South American Free Trade Zone" (US/MC/20).

CH-29. Memorandum of Conversation, by the Counselor of Embassy in Chile (Krieg)¹

Santiago, February 19, 1960.

US/MC/25

SUBJECT

Disarmament and Rearmament

PARTICIPANTS

<i>United States</i>		<i>Chile</i>
The President	Gen. Goodpaster	President Alessandri
Secretary Herter	Mr. Hagerty	Foreign Minister Vargara
Ambassador Howe	Col. Waltere	Sr. Walter Muller, Chilean
Mr. Rubottom	Mr. Krieg	Ambassador to the U.S.

President Alessandri opened the conversation by stating that all educated men must be grateful for the tremendous efforts and sacrifices being made by the United States on behalf of the entire free world. He said he desired to cooperate fully with the United States and felt it essential to this end that he explain frankly his points of view on various pending problems.

Disarmament—President Alessandri then said that, in contrast with some Latin American countries, Chile was a genuine democracy like the United States, the United Kingdom and other western European countries; Chile was proud of its democratic traditions, but as a consequence was more vulnerable than certain countries to the onslaught of Communism. He said he fully recognized that the principal responsibilities for the welfare and progress of Chile lay with the Chileans themselves; at the same time, he recognized the need for foreign help and capital.

President Alessandri then stated that military expenses were a heavy burden to the nation's economy, holding back the government's efforts to develop the country economically. He intimated that he was less concerned about the present level of expenditures than he was about the possibility of future increases. In some countries, he said, the Government was dependent upon the military for its continuance in office and the civil authorities were therefore forced to yield to the demands of the military for needless armament. For this reason, President Alessandri said, he attached great importance to disarmament

¹Source: Department of State, Conference Files, Lot 64 D 559, CF 1596. Confidential. Information on the source text indicates that this conversation took place between 4:30 and 5:30 p.m., and that the memorandum was approved at the White House on March 22.

and requested President Eisenhower to put the weight of U.S. influence behind the disarmament conference which Chile has called for and to help make the conference a success.²

President Alessandri said he thought that the possibilities for holding a general disarmament conference were good, but he believed it better to have a preliminary meeting which would include all South American countries except Bolivia and Paraguay and with the addition of Mexico and the United States to prepare the way for a larger conference. He said that several countries had already accepted the invitation but that Peru, Venezuela and Colombia had not yet replied to the Chilean initiative. He said that he would like to have U.S. assistance in assuring the success of the conference.

Aggression

President Alessandri said he believed it would be most helpful if the United States would make a public promise to come to the aid of a victim of aggression without waiting for action on the part of the OAS. He said this would help a great deal to halt the armaments race. President Alessandri also suggested that an agreement be worked out among the American States (but not others) for recognition of the compulsory jurisdiction of the International Court of Justice in accordance with Article 36 of the Court's statute. This too, he thought, would be a useful step forward in the direction of the limitation of armaments.

Rearmament

Turning to a new subject, President Alessandri said that he hoped the United States would find it possible to provide credit for the reconditioning of one additional destroyer and one additional submarine for Chile. He confessed that this might appear to be inconsistent with his previous statements regarding disarmament but the reason for the request was that Chile had larger responsibilities for hemisphere defense due to its geographic situation than certain other countries. He said the Chilean forces were small in size and that both Peru and Argentina had been buying more naval vessels. He suggested that the United States military aid program be coordinated so that we would not give assistance to countries which squandered their resources on the purchase of foreign equipment. In other words, he explained, those who don't waste money on unnecessary purchases should get more aid. He felt that these principles were consistent with United States principles and would work to the advantages of all.

President Eisenhower said that he was interested in President Alessandri's remarks and would like to ask two questions. The first was,

² [illegible in the original]

what portion of the Chilean budget was devoted to defense? President Alessandri replied that it was 14% and went on to say that he would suggest to the department conference that the definition of military expense be unified since many other countries currently hid military items in their budgets so as to disguise their expenditures. Chile had not only done this, but he had put an end to this practice when he was Minister of Finance several years ago.

President Eisenhower replied that exclusive of pensions and payments to veterans, the United States spends 56% of its budget on national defense. The President hastened to add that he did not say this in a bragging way but merely to indicate how very sympathetic he was to President Alessandri's objectives.

President Alessandri suggested that the problem of armaments be viewed as a problem of protesting the rear guard of the United States. He also expressed the thought that funds saved from armaments could be used for economic development and that this would help to combat Communism.

President Eisenhower said that he fully agreed and asked what effect the success of the disarmament conference would have on Chile's intention to purchase more naval vessels. President Alessandri replied that Chile's desire to acquire additional vessels was a result of recent purchases by the Peruvians. President Eisenhower repeated his question about the effect of a successful disarmament conference on Chile's desire to purchase naval vessels, and President Alessandri replied that it would have a direct effect.

President Alessandri went on to say that when he came to power he was under great pressure to acquire additional armaments because of incidents with Argentina in disputed areas. President Eisenhower said he would like to take that opportunity to comment on his meetings with the Presidents of Brazil and Argentina. The President said that while they had been less emphatic than Alessandri, he was convinced that both were sincere in their desire for disarmament. Both had stressed their devotion to inter-American friendship, and Frondizi had specifically expressed the hope that the boundary disputes with Chile would soon be settled. While it was true that Frondizi had wanted more modern arms, his purpose in so doing was to reduce his defense expenses in half by having smaller, more efficient forces.

President Eisenhower then said he would like to come to the second of his two questions. He asked President Alessandri whether the latter believed that each nation had a right to decide its own level of defense for internal and basic defensive purposes. President Alessandri replied that each nation did indeed have the right to decide on its basic defensive requirements, but he saw this as no bar to mutual agreements for the limitation of armaments. He stressed that Chile was exceptionally

vulnerable, that Chile would not attack anyone, but that certain elements in Peru and Bolivia harbor revengeful feelings toward Chile as a result of 19th century conflicts.

President Eisenhower said that he had no intention of denying the basic right of self-defense to any nation but pointed out that economic development would be greatly stimulated by an agreement on disarmament. He said he felt it would prevent any tendency to push disputes to an extreme. He concluded this phase of the discussion by saying that he was strongly favorable to the principles set forth by President Alessandri and suggested that the two Foreign Ministers study the problem of the preliminary disarmament conference for ten countries.

CH-30. Memorandum of Conversation, by the Counselor of Embassy in Chile (Krieg)¹

Santiago, February 29, 1960.

US/MC/26

SUBJECT

Economic Problems

PARTICIPANTS

United States

The President
Secretary Herter
Ambassador Howe
Mr. Rubottom

Gen. Goodpaster
Mr. Hagerty
Col. Walters
Mr. Krieg

Chile

President Alessandri
Foreign Minister Vergara
Sr. Walter Muller, Chilean
Ambassador to the U.S.

International Credit

President Alessandri referred to the joint declaration made by Presidents Eisenhower and Kubitschek in Brazil regarding expanded efforts toward economic development and expressed strong approval of this statement, especially of President Kubitschek's suggestion that the Inter-American Bank should enter new fields and not simply duplicate facilities which were available elsewhere.

¹Source: Department of State, Conference Files, Lot 64 D 559, CF 1596. Confidential. Information on the source text indicates that this memorandum was approved at the White House on March 22.

The President said that the United States supported the International Bank for Reconstruction and Development, the Export-Import Bank, and other lending institutions and that he did not think the IADB would replace or duplicate them. His objective was to complement not to replace. President Eisenhower added that he felt the Latin American countries would feel a greater sense of responsibility because of the fact that their own monetary contributions formed part of the bank's capital.

President Alessandri then referred to Communist propaganda to the effect that the United States provided aid to Latin America exclusively for selfish motives and suggested that our aid be coordinated into a basic plan to overcome the charge that the United States neglects Latin America. A little later in the conversation President Alessandri repeated this suggestion and urged that a development plan to be carried out within a certain number of years be drawn up. He felt such coordination would make the plan better known, and recommended that the Department of State should answer charges made against the United States and conduct a vigorous campaign of counter-propaganda. President Eisenhower said that he hoped the Chilean Foreign Office would do the same. President Alessandri said they would but that the Communists poured a great deal of money into Latin America. President Eisenhower said jokingly he assumed that President Alessandri was not suggesting that the United States buy a newspaper in Santiago and turn it into an official U.S. propaganda organ. President Alessandri laughed and said that of course such was not his intention.

Copper

President Alessandri spoke briefly of the importance of copper to Chile as a source of employment and as a source of revenue for the government. He said there are two things connected with the U.S. policy which concerned him: the first was the United States excise tax on imported copper of 1.7 cents per pound, and the second was the possibility that our copper stockpile might be liquidated, thus causing a disastrous break in world copper prices. He said he hoped the tax would be removed and that we would not liquidate the stockpile.

President Eisenhower said he did not know about the copper tax and glanced at Secretary Herter and Mr. Rubottom who confirmed the existence of such a tax. The President said he did not know what the current situation was, that things were generally better and perhaps the tax was no longer needed. In any case, the President said he would have that matter looked into.

On the subject of the stockpile, President Eisenhower assured President Alessandri that it was not the intention of his administration to liquidate the stockpile. He said that it had been brought into existence and could by law only be used to meet emergencies; it would never be used to depress prices. The President went on to say that at one time when a strike had caused a great shortage of copper it had been suggested that copper be released from the stockpile to supply the fabricating industry and prevent unemployment and shortages of manufactured goods; it was his understanding, however, that no copper had actually been released at that time. President Alessandri expressed warm appreciation for President Eisenhower's assurances.

U.S. Investments

President Alessandri referred to U.S. investments in Chile and added that Chile was consequently trying to improve the climate for foreign investors and to give better guarantees. He gave President Eisenhower his personal assurance of the maximum protection for foreign capital and stated that U.S. investment had on the whole been a good thing for Chile.

The Latin American Free Trade Zone

To conclude his remarks President Alessandri said that Chile was not trying to harm trade with the United States through its agreement with other Latin American countries for a free trade zone. What he was seeking was wider markets without detriment to the United States. President Eisenhower expressed his appreciation for this assurance.

Conclusion

As the group prepared to break up, President Eisenhower stressed again his confidence that the Governments of Argentina and Brazil were sincerely desirous of maintaining good relations with Chile and their other neighbors. President Alessandri acknowledged this and in return stated that he desired to give the most absolute assurances of his wish to cooperate fully with the United States.

CH-31. Memorandum of Conversation, by the Deputy Director of the Office of East Coast Affairs (Briggs)¹

Santiago, March 1, 1960.

US/MC/14

PARTICIPANTS

United States
The Secretary
ARA - Mr. R. R. Rubottom
Embassy, Santiago - Mr. Krieg
ARA/EST - Mr. W. T. Briggs

Chile
Germán Vergara Donoso,
Minister of Foreign Affairs,
Carlos Vial Infante,
Minister of Defense

SUBJECT

Chilean Need for Naval Vessels

The Foreign Minister referred to his earlier comments on Peruvian military links with Argentina and the existence to some degree of a spirit of [illegible in the original] in Peru. He said that although he has confidence in the bona fides of President Frondisi of Argentina, the recent negotiations with the GOA on boundary matters have not been heartening and the possibility that former President Odria of Peru may again be a Presidential candidate with a good chance of election is a cause for concern. These factors are leading to some internal pressures in Chile, in the Congress and from the public as well as among the armed forces, for strengthening the Chilean military position.

The Minister noted that the United States Congress has recently released the figures on U.S. military assistance to Latin America. These figures show, he continued, that during the last ten years Brazil received the greatest amount of U.S. military assistance, followed by Peru, with Chile a poor third. He said that President Alessandri had said yesterday to President Eisenhower that the minimum which Chile can ask is to reach an agreement with the U.S. Government which would result in Chile's receiving the two destroyers and two submarines which she had expected to get under existing U.S. legislation. So far only one submarine has been authorized, he said, the availability of the other submarines and of the two destroyers depending on action by the United States Congress. He mentioned Chile's long coastline, with innumerable channels and islands to patrol, and added that Chile has become inferior in naval strength to both Peru and Argentina and is

¹ Source: Department of State, Conference Files, Lot 64 D 559, CF 1596. Confidential. Information on the source text indicates that this conversation took place between 3:00 and 5:30 p.m. at the Union Club, and that the memorandum was approved in the Office of the Secretary of State on March 8.

beginning to feel vulnerable, both on the sea and in the air. He added that during the present century Chile has had naval superiority in tonnage ranging from three to eight times Peruvian strength, but that now the strength of the two countries is just about the same. The acquisition of two cruisers by Peru from Great Britain, one of which has already been delivered, is a matter of serious concern and the armed forces are consequently pressing the Government for arms purchases which it can ill afford. The Minister added that should Chile continue its present line while her neighbors continue to grow militarily, a point may be reached at which the armed forces, public opinion and the Congress will "say something strong".

Referring to the Minister's mention of the Peruvian purchase of cruisers, the Secretary said that we have assumed that this purchase was motivated more by the Peru-Ecuador boundary situation than by any problems Peru may have with Chile. The Minister of Defense rejoined that Ecuador has neither cruisers nor destroyers and, given the manifest weakness of the Ecuadoran Navy, this Peruvian contention is unacceptable.

Mr. Rubottom commented that it would be difficult to find more frustrated people than we of the United States Government in so far as these questions of arms are concerned. He said that the Congress is criticizing the Department of State for making too many arms available to Latin America. He added that Prime Minister Baltran of Peru has asked us to limit arms sales to Peru, at the same time confessing that he cannot prevent Peruvian Government attempts to purchase arms. At the same time, he went on, some of our other Latin American friends feel that they have not been fairly treated, as evidenced by the Foreign Minister's prior remarks. Mr. Rubottom said that we certainly are sympathetic and understand the problem of the Chilean Government and are anxious to be as helpful and constructive as possible. We consider that President Alessandri's initiative in trying to put this arms question into the proper perspective is one of the most heartening things we have seen in recent years and we hope that it will prove feasible to work something out along these lines within the inter-American system. Meanwhile, Mr. Rubottom continued, he thought President Eisenhower's words today made it clear that we regard the Rio Treaty as the shield on which the nations of the Americas can depend for protection against aggression. For this reason, he thought, governments might be enabled to resist patriotic pressures for increased military programs in their own countries.

The Minister of Defense then reverted to the question of the two destroyers which were to be made available to Chile under the 1958

U.S. legislation, saying that with these two destroyers the position of the GOC vis-a-vis its armed forces would be much improved and that, therefore, U.S. assistances in obtaining these two destroyers and the one submarine still lacking is grandly desired.

Mr. Rubottom replied that our whole approach to inter-American military cooperation has been based on our support of hemispheric defense and not on bilateral problems between countries. With respect to the specific items mentioned by the Minister of Defense, the Chilean Ambassador in Washington has made this point well on several occasions, he continued. Nevertheless, Mr. Rubottom added, we have a difficult budgetary problem and also the matter of Congressional interest in and attention to hemispheric military affairs, which seems likely to increase and which at times virtually ties the hands of the Department. Moreover, he went on, the naval legislation of 1958 had originally provided for the recipient nations to pay for the rehabilitation of the naval vessels involved, but the Department, feeling that such rehabilitation costs would be a burden to Latin American countries, had asked the Congress for authorization to assure responsibility for these rehabilitation costs ourselves. This attempt to be generous has, in effect, delayed implementation of the program in Latin America for almost two years.

With respect to the credit to Argentina for military purchases, Mr. Rubottom said, it totaled 12.7 million dollars, of which 6 million was for aircraft, a small amount for the rehabilitation of our submarines, and the balance of 3 or 4 million for army equipment. We have no Military agreement with Argentina, he continued, but we nevertheless felt impelled to grant this credit on a politico-moral basis, considering that the [illegible in the original] of the whole continent is enhanced by the consistency of constitutional government in Argentina. He had hoped that with this minimum military assistance it might be possible to contribute to the continuance of Argentina on the constitutional path, he went on, noting that we do not consider that the GOA has any aggressive intent.

CH-32. Memorandum of Conversation, by the Deputy Director of the Office of East Coast Affairs (Briggs)¹

Santiago, March 1, 1960.

US/MC/14

PARTICIPANTS

United States

Secretary Herter

ARA - Mr. Rubottom

Embassy, Santiago - Mr. Krieg

ARA/EST - Mr. Briggs

Chile

Germán Vergara Donoso, Minister of Foreign Affairs of Chile

Carlos Vial Infante, Minister of Defense of Chile

SUBJECT

Cuban Situation

The Secretary stated that he would very much appreciate the Foreign Minister's views on the situation in Cuba, which is very disturbing to us. When we asked our Ambassador to come home, the Secretary went on, the personal attacks in Cuba on the President, the Vice President, and the Secretary himself had become so inflammatory that we feared that serious danger to American citizens might result were these attacks continued.

Since our Ambassador left Havana, some friends of Castro from other Latin American countries have spoken with him of the danger of this foolish course and he has moderated his tone to some extent. Nevertheless, we note with concern that he is surrounding himself increasingly with people of Communist orientation and that the influence of persons of this type is extending rapidly into the schools, the labor organizations and the army, as well as in the government itself.

We have no quarrel with Cuba on the basic question of land reform, which we fully recognize is a matter of national sovereignty; but tremendous confusion is occurring in the implementation of the Cuban agrarian reform law and this confusion leads to doubt as to the intent or the ability of the Cuban Government to provide the full, adequate and effective compensation that is required for American interests affected by expropriation.

The Cuban Government recently sent us a note, the Secretary continued, requesting that we enter into discussions with them, but containing the proviso that these discussions can only be undertaken provided that the United States agree that neither its Executive Branch

¹Source: Department of State, Conference Files, Lot 64 D 559, CF 1596. Confidential. Information on the source text indicates that this memorandum was approved in the Office of the Secretary of State on March 8.

nor its Congress will take any unilateral action which might affect Cuba's interests. This is manifestly impossible, given the independence of the Legislative Branch under our governmental system. Moreover, our sugar legislation expires this year and even should the Congress renew the sugar legislation in its present form, this would be definable as a unilateral act affecting Cuba's interests.

The Secretary noted that a good deal of opinion is arising in the United States to the effect that some action is needed with respect to Cuba. One suggestion which seems to be gaining ground is that we buy Cuban sugar at the world market price and put the difference between that price and the price paid to Cuba under the quota system in escrow to be used to pay damages for expropriation or other actions of the GOC against United States interests in Cuba.

The problem of the moment, however, the Secretary went on, is the question of whether to send our Ambassador back to Havana or to keep him in Washington. There are pros as well as cons on this question. Those who advocate the Ambassador's return say that he is needed in Havana in order to provide access to Castro and thus to enable us to have official contact with him. On the other hand, however, the Ambassador has often had to wait for three weeks or longer to see Castro and has on occasion had great difficulty in seeing him at all.

The Secretary emphasized that we do not consider the Cuban problem as peculiar to the United States but feel that it is a Latin American problem, inasmuch as the Castro mystique is beginning to appear in other countries. Feeling, therefore, that this is a Latin American problem, we would like to consult thereon in order to insure that in dealing with it we avoid mistakes which might affect the interests of other American countries, the Secretary added. He mentioned parenthetically that the status of the Guantanamo Naval Base has not been raised at any time by the GOC.

The Foreign Minister replied that President Alessandri's sympathy for the United States position in the Cuban situation was shown by his recent statement to Senator Smathers, when the latter asked what the Chilean attitude would be if the United States Congress should take strong action against Cuba. In order to give President Alessandri a moment to collect his thoughts and reply to this unexpected question, the Foreign Minister said, he himself had asked the Senator what such action would be and what economic effects would be anticipated therefrom. Before the Senator could answer, President Alessandri had said: "All of our sympathies and those of most of the officials of the Government of Chile are with the United States Government, because we understand the damage which United States interests and the United States itself have suffered in Cuba; but there is a great mass in this country and that mass is more numerous than we are." The Foreign Minister went on to explain that by this comment the President had

meant that although thinking people realize the full implications of the Cuban situation the masses are inclined to applaud the GOC, in other Latin American countries as well as in Chile.

The Minister went on to say that in his view it would be better to try to isolate Cuba than to act directly against it. He considered that isolation would not necessarily remedy the situation there or materially change that existing in other countries, but that it would be least likely to make things worse. He described the recent visit of Cuban emissary Lechuga to Santiago to obtain Chilean agreement to attend the conference of under-developed countries which the GOC is attempting to promote. The Minister said that Lechuga had received a flat refusal in Chile, but that in Peru the government did not refuse his request due to the influence in the Peruvian Government of the APRA party through Raúl Porras, the Minister of Foreign Affairs. "If you note this situation in Peru, where the Government is conservative," the Minister went on, "you can imagine what it might be in others with less conservative administrations." In this situation, the Minister said, any strong action by the U.S. Congress would be likely to be dangerous. The best solution would probably be for the Congress to grant to the Executive permission to proceed in accordance with the circumstances.

The Secretary said that this authorization has been requested. He then asked whether the Foreign Minister would advise our sending our Ambassador back to Havana. The Foreign Minister replied affirmatively, saying that it would be unfortunate to give the Cubans any opportunity to divert the attention of the public of the hemisphere from matters of substance to matters of form.

**CH-33. Memorandum from the President's Staff Secretary
(Goodpaster) to the President's Assistant (Persons)¹**

Washington, March 7, 1960.

MEMORANDUM FOR GENERAL PERSONS

During the President's visit to Chile, President Alessandri expressed to him very great concern over the impact of our copper stockpile on world copper markets, referring specifically to the fact that it "overhangs" the market, and to recurrent rumors from time to time

¹ Source: Eisenhower Library, Project Clean Up, "Chile."

that large releases from the stockpile are under consideration or about to take place with little or no notice.

The President stated he would like you to make it known within the Administration and specifically to OCDM, that the whole spirit and intent of our stockpile laws is to provide for the use of these materials for emergency purposes only. While an emergency of a severe character in the economic field might occur which would be of the same seriousness as war itself, and thereby justify releases, it is not his intent to release materials from the stockpile with the purpose of influencing the market through the normal, commercial effect of such releases.

A.J. Goodpaster
Brigadier General, USA
Staff Secretary

CH-34. Memorandum from the Officer in Charge of Chilean Affairs (Phillips) to the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, May 2, 1960.

SUBJECT

Balance Sheet on Chile

With reference to the note you attached to our memo of April 19, following is a brief compilation of what the U.S. and Chile want from each other.

Chile wants:

1. Credit to cover cost of rehabilitating vessels earmarked for Chile under ship loan program.
2. Economic development loans for (1) construction of Pudahuel airport, (2) termination of construction of University of Chile Medical School, and (3) survey of natural resources, particularly ground waters.
3. A new PL-480 sales agreement, with local currency loan funds to be earmarked for financing a savings and loan system to stimulate housing construction.

¹ Source: Department of State, ARA/WST Files, Lot 63 D 85, "Briefing Papers." Confidential.

4. A U.S.-Chilean convention for avoidance of double taxation, including a tax-sparing provision.

5. U.S.-Chilean investment guaranty agreement (convertibility only).

6. Additional U.S. support for a joint U.S.-Chilean program of scientific research in Antarctica.

7. Continued U.S. backing for the Alessandri arms limitation proposal.

U.S. wants:

1. Maintenance of political democracy in Chile plus more affective action by Chilean Government to restore financial stability and affect basic improvements in national economy and distribution of income.

2. Adoption of measures by Chilean Government to diversify Chile's economy and encourage production through stimulation of private investment, including foreign investment. (We also want double tax convention and investment guaranty agreement.)

3. Recognition by Chilean Government that its overly tolerant attitude towards international Communist activities is creating problems for Chile and rest of hemisphere.

4. To assist in financing construction of Pudahuel airport, but not the medical school or resources survey.

5. A consular convention with Chile, particularly to facilitate import privileges for non-diplomatic U.S. personnel.

6. Chile to hold to a minimum its acquisition of new arms, particularly naval vessels.

7. To support the Chilean arms limitation initiative in so far as practicable.

CH-35. Instruction from the Acting Secretary of State to the Embassy in Chile¹

Washington, May 13, 1960.

A-185.

SUBJECT

Chilean Proposal for Removal of U.S. Copper Excise Tax

¹ Source: Department of State, Central Files, 411.254/5–1360. Confidential. Drafted by Phillips on May 10, and approved by Rubottom.

In the course of President Eisenhower's February 29, 1960 conversation with President Alessandri, the latter expressed the hope that the United States copper excise tax would be removed. President Eisenhower said he would have the matter looked into. Following careful examination of this problem by interested agencies of the United States Government, the Embassy is requested to inform the Chilean Government that removal of the tax does not appear to be practicable at this time, for the reasons set forth below.

Suspension or removal of the copper tax could be effected only through legislation. Legislation was passed suspending the tax continually from April 1947 through June 1958, with the exception of a brief interval in 1950-51. These prior suspensions of the tax were enacted at times when copper was in short supply, a situation which does not now prevail. The present tax is 1.7 cents per pound so long as the United States price remains at or above 24 cents per pound. At prices below 24 cents, the so-called "snap back" point, the tax becomes 2 cents.

The current United States market price for copper is 33 cents per pound, making the ad valorem equivalent of the existing tax only about 5 percent. It is felt that this tax has little restrictive effect at present and that the Chileans have virtually full access to the United States market. Indeed, a substantial part of total copper imports from Chile is reexported after processing, and is therefore not subject to the tax.

The present copper market is thin and it seems probable that the price will fall in the months just ahead. Removal of the tax might accentuate the downward pressure on the United States copper price and thus possibly cancel out any benefit which Chile might expect to derive from suspension or removal.

The present session of Congress might be an especially inappropriate occasion to seek suspension or removal of the copper tax. It will probably be a short session and the calendar is unusually crowded with items which would take precedence over copper legislation.

There is sentiment in certain segments of the domestic copper producing industry in favor of raising the level of the present tax on copper or the "snap back" price or both. This sentiment is reflected in the attitudes of some members of Congress. If repeal or suspension were recommended to Congress it is possible that Congressional action, if any, would bring about a situation less satisfactory than the present one.

The copper situation is, of course, being closely and continuously studied by all interested agencies of the United States Government, and, should future circumstances appear to favor a removal of the copper excise tax, the Administration would be prepared to consider supporting an appropriate measure for this purpose.

The United States Government wishes to reiterate its willingness to discuss with the Chilean Government any problem which might affect a commodity of such importance to Chile as copper.

As soon as the above information is given to the Chilean Government, please confirm by telegram the fact of delivery so that the Department may give the same information promptly to the Chilean Embassy. If the information is conveyed orally to the Chilean Government, the Embassy is requested to submit (in reproducible form) a memorandum of conversation. If it is conveyed by note, the Embassy is requested to transmit to the Department a (reproducible) copy of the note and of any communication received in reply.

Dillon, Acting

CH-36. Memorandum of Conversation, by the Ambassador in Chile (Howe)¹

Santiago, May 17, 1960.

PARTICIPANTS

President Alessandri
Minister of Foreign Affairs, Enrique Ortúzar
Ambassador Howe

I called on President Alessandri this morning in order to transmit personally to him the message from President Eisenhower included in DepCirTel 1419 of May 10, 1960.² President Alessandri had not been able to give me an appointment prior to this time because he has been devoting himself fully to the completion of the address which he will make to the Chilean Congress on May 21, which had to go to press yesterday evening. I had last week advised the Foreign Minister of the content of the message from President Eisenhower so that President Alessandri was, in general, informed. While Ortúzar was present throughout the conversation, he took no active part in it. Even though the events of the past few days made the message somewhat anticlimactical I repeated the contents of President Eisenhower's message and President Alessandri expressed his deep appreciation and asked

¹ Source: Department of State, Central Files, 725.11/5–1860. Confidential. Sent to the Department of State under cover of despatch 848, May 18, 1960, not printed.

² The referenced circular telegram instructed the Embassy to convey to President Alessandri a description of the objectives President Eisenhower wanted to achieve at the Meeting of Chiefs of State and Heads of Government, held in Paris, May 16–17, 1960. (700.11/5–1060) Documentation concerning the meeting is in *Foreign Relations, 1958–1960*, vol. IX, Berlin Crisis, 1959–1960; Germany, Austria, Documents 63–240.

that I convey his assurance of sympathetic support for President Eisenhower in the difficult situation which he confronted at the Paris meetings.

The President went on to say that while the world situation was grave and the attitude of Khrushchev at Paris a cause for concern, he personally was not surprised, as Khrushchev's attitude was just such as might be expected from one of his background, which Alessandri compared to the background and attitude of many members of the local opposition to his government here in Chile, with the common traits of irresponsibility and demagoguery. He emphasized the increasing danger of Communism in Latin America and said that no doubt the Communists would exploit the current increase of world tensions to serve their own ends here and in this continent.

Using these objectives and tactics of the opposition as a transition from world affairs to his own problems in Chile, the President mentioned the current situation relating to the wage and salary readjustment and his determination to explain it in the bluntest terms to the Congress in the course of his address this week. He blamed these difficulties primarily on petty political maneuvering within and among the various political parties, pointing out that with the congressional elections coming early next year many, if not all of the parties, were focusing their attention more on those elections than on the needs and welfare of the country. *[text not declassified]* He said that his failure to present to the Congress an administration-sponsored project for wage readjustment during the early months of the year was due entirely to the fact that at no time had he been able to get sufficiently clear assurance of support from the Radicals to provide such a project with a reasonable guarantee of congressional approval. He said further that in recent weeks the attitude of the Radical Party had further deteriorated. Its official leadership continued to recognize the basic validity of the government's position and to be in general accord with its stability program. Due to the approach of congressional elections, the leadership was under more and more pressure from elements within its own party and less willing or able to offer the administration the support which it requires.

I remarked that I supposed that the Radicals, along with other parties, would have their own proposals relating to wage readjustments to introduce into the next Congress, after the 21st; the President replied, of course, there would be many, but stated with great vehemence that as long as he had the support of one-third of the membership of either Chamber he would veto and continue to veto any wage proposal that would endanger the government's stabilization program.

I remarked that while this was undoubtedly a difficult and critical period which the administration was going through, that it had probably been inevitable from the beginning and that I had been pleased at the generally favorable findings of the Mission from the International Monetary Fund which was here last week. I said that members of this Mission had been quite laudatory in their assessment of what the Government had done in the past year and that actually the major danger they saw ahead was the problem of the budget. The President himself took this up and agreed wholeheartedly that the budget was the country's number one problem and one that was going to be extremely difficult to solve. He emphasized the very great need of not only continuing the present but expanding the whole public works program, and said that it was simply impossible to finance such a program from current income. This gave the President an opportunity to return to the theme which he has often developed, namely, the urgent need for reopening foreign sources of credits and financing comparable to those which existed prior to 1932. As he has said many times in the past, he repeated that in order to meet the real needs of Chile and other Latin American nations for economic growth, it was not sufficient for foreign credits to be made available by the international lending agencies or those of the United States to cover dollar costs of various projects, leaving the usually much greater costs in local currency to be met out of current operating budgets. He emphasized that he did not mean that such credits had to come from official government financed sources but rather that countries such as Chile should have access to the private lending market in the United States under such controls as might be necessary to avoid the mistakes and abuses which he quite readily admitted had existed during the 1920s. In the course of his remarks on this subject he recalled with some bitterness that many of Chile's current troubles went back to the projects initiated by CORFO in the years after 1939, observing that many of these projects were in themselves highly useful to the country but that in initiating them with foreign credits for foreign costs CORFO had left the large balance of local cost to be met by the government out of current income, all of which had led to unbalanced budgets, deficit financing, and the consequent evils of inflation. He remembered that among the current leaders of the larger South American countries, mentioning especially Frondizi, Kubitschek, and Lleras, he was the only one who had continuity of practical experience which went back to the days of the late 1920s and '30s. He repeated what he has also said before: namely, the apparent lack of understanding of the capable, theoretical economists and technicians connected with the international lending agencies and U.S. credit institutions, of both the pressing needs and practical realities of the growth situation in South

America. He emphasized again that there was a critical need for more capital from abroad that could be converted into local currency for public works, both to finance the urgently needed public works themselves and to take up slack in the employment without which it would be increasingly difficult to hold the Communists in check and for governments such as his to succeed in their program. He mentioned also that such foreign credits, that could be converted into local currency, would also be of great assistance to the United States in making available more dollars to Chile and, by implication, her neighbors, which could be used for imports from the United States, and thus help to relieve our own current export problem.

When the President ended his comments on this topic I remarked that from recent conversations with Pablo Pérez, Minister of Public Works, and Roberto Vergara, Minister of Finance, I understood that the government was currently working on a program of public works, particularly in the fields of roads and irrigation. I said that I had expressed to both Ministers the hope that when they had their programs sufficiently developed they would make them available to us so that both the Embassy and our technical assistance people would have an opportunity to study them prior to any actual application being made to one of the international or U.S. lending agencies.

The President then returned to the international situation, repeating that he felt that the current crisis would be fully exploited by Communists in Latin America as well as other parts of the world. He expressed the view that Khrushchev's belligerent attitude was determined at least in part by growing differences between Russia and Communist China. Indicating that as between the two he felt that Russia constituted the greater threat to the free world, he expressed the wish that the United States could find it possible to follow a more flexible policy with relation to Communist China, both in order to relax tension with Communist China and with the idea of increasing the tension between Russia and China. He said that information coming to him from non-Communist visitors to China suggested that Chinese Communism was different from Russian Communism in that many Communist enterprises were apparently conducted through a mixed form of public and private ownership. (Comment: While the sources of President Alessandri on this subject are not fully known, it is quite possible that he may have been influenced by conversations with recent non-Communist Chilean visitors to China, including Liberal Deputy Jorge Errázuriz, Juan Gómez Millas, Director of the University of Chile, Francis Walker Linares, Director of Cultural Exchange activities.) I expressed some surprise at this, saying that while I certainly did not claim to be a student of that area, my understanding was that, if anything, Russia showed some signs of emerging from the primitive

and absolute form of Communism, while China was still more closely tied to doctrinaire Marxist and Leninist teachings. I also remarked that whatever adjustments might at some time be possible in U.S. policy, that a relaxation of tension required a willingness on both sides and that from all the information that had come to my attention there was no indication whatsoever that Communist China was seeking either a relaxation of tension with the United States or a less dominant role throughout Asia.

The conversation closed with the President once more expressing his appreciation for the message from President Eisenhower and saying that while he could add no suggestions that could be helpful as to the current difficulties with Russia, he fully shared the hopes and objectives of President Eisenhower.

CH-37. Memorandum from the Under Secretary of State (Dillon) to the President¹

Washington, June 2, 1960.

MEMORANDUM FOR THE PRESIDENT

SUBJECT

Disaster Assistance to Chile²

With your encouragement, the United States Government has undertaken a major foreign disaster relief operation in Chile. We have airlifted from the U.S. two Army field hospitals, each with 400 beds and 210 Army personnel. We have also airlifted ten helicopters to operate

¹ Source: Eisenhower Library, Whitman File, Dulles-Herter Series.

² Commencing May 21, Chile was struck by a series of earthquakes accompanied by tidal waves, avalanches, and floods, which caused more than 5,000 deaths and property damage estimated between \$350 and \$400 million.

On May 24, President Eisenhower sent a message to President Alessandri, transmitted in Department telegram 869 to Santiago, which read as follows:

“Dear Mr. President:

“The news of the disasters in southern Chile has come as a personal shock to me. Through you, I convey to the Chilean people the profound sympathy of the United States Government and people.

“With assurance of my continuing regard.

Sincerely,
(signed) Dwight D. Eisenhower”

(Eisenhower Library, Project Clean Up, “Chile”)

in conjunction with the hospitals and to carry supplies to otherwise inaccessible areas. From the Canal Zone and the U.S., we have airlifted communications equipment and technicians, as well as large quantities of tents, blankets, cots, field rations, and medicines. Those expenses of emergency relief operations chargeable to the ICA contingency fund are expected to amount to approximately \$2.5 million. This represents the cost of supplies and transportation but does not include the pay and allowances of personnel involved.

Of course, your own direct appeal to the American people to help Chile has had a dramatic impact both here and in Chile.³ U.S. voluntary private agencies, as well as firms and individuals, are making generous contributions in cash and kind to Chilean disaster relief. The American National Red Cross is organizing a major campaign which should raise millions of dollars. *Taking into account the sum total of foreign contributions and the efforts of the Chileans themselves, there appears to be no need for any substantial new emergency assistance from the U.S. Government.*

Even before the emergency relief operation is completed, we expect to devote urgent attention to Chile's reconstruction requirements. Our Embassy in Santiago will soon be sending us a communication outlining the Chilean Government's general policy and tentative action plan for reconstruction. On the basis of this communication, we hope soon to be able to make specific recommendations for courses of action by the U.S. Government. In the meantime, the Export-Import Bank has made available a \$10 million dollar reconstruction credit.⁴

Douglas Dillon

³ For text of President Eisenhower's statement, see Eisenhower, *Public Papers of the Presidents*, 1960, pp. 467–468.

⁴ For additional information concerning U.S. emergency assistance to Chile, see Department of State press release [illegible in the original]83, dated May 26, printed in Department of State *Bulletin*, June 13, 1960, pp. 967.

CH-38. Memorandum of Conversation, by the Director of the Office of West Coast Affairs, Bureau of Inter-American Affairs (Coerr)¹

Washington, June 16, 1960.

SUBJECT

United States Assistance to Chile.

PARTICIPANTS

President Eisenhower
Mr. Robert Merriam, The White House
Ambassador Muller of Chile
Mr. Jorge Schneider, Special Representative, Chilean Government
Mr. Wymberley Coerr, Department of State

Responding to the President's inquiry as to the present situation in Chile's disaster area, the Ambassador described the plight of Valdivia. He said it lay along the San Pedro River which normally drained Lake Riñihue but had been blocked by an accidental dam that could burst at any moment. He described the Chilean Army's efforts to build temporary dams above the lake while simultaneously trying to dig channels through the San Pedro River blockage so as to drain the lake's excess water without flooding Valdivia. In response to the President's question, the Ambassador confirmed that the United States Government has sent an engineer who is an expert in flood control to assist the Chilean Army in this job.

The Ambassador went on to express his hearty thanks for the wonderfully prompt and efficient American aid that he said had had a terrific impact on the Chilean people. He read aloud resolutions of appreciation that had just been passed by the Chilean House of Deputies and Senate. Observing that these resolutions had been passed unanimously, he consented that Chile was a very democratic country, that such unanimity was exceedingly rare and therefore evidenced widespread gratitude.

Thanking the Ambassador for having read these resolutions, the President declared he was glad to know the United States' aid had been useful. He said that, although he himself was wary of the danger of over-publicizing United States aid, some private citizens had been talking to him urging that something spectacular be done to dramatize United States sympathy for Chile. For example, it had been suggested to him that Chile had a tremendous need for doctors and nurses

¹ Source: Eisenhower Library, Project Clean Up, "Chile." Official Use Only.

which the United States might supply and that the United States might also send Naval ships whose generating plants could supply power to coastal towns whose plants had had been damaged. The Ambassador did not indicate any need for the ships' power plants, and said that, with the availability of the two American field hospitals for the immediate emergency, Chile had no serious shortage of doctors and nurses.

The President said he had been thinking that it might be useful for the two Governments to form a group to study the problem of Chilean reconstruction. He said that possibly Ambassador Donnelly or Dr. Milton Eisenhower might work with two or three Chilean representatives. The Ambassador did not respond to this suggestion when made, but after leaving the White House told an officer of the Department he would be very much in favor of implementing the President's suggestion. He said he would recommend that his Government, after the President had returned from his Far Eastern Trip,² ask the President to send a personal representative to Chile to assist in studying the reconstruction problem.

In response to the President's question the Ambassador said his Government estimated the total reconstruction costs at about \$500 million, equivalent to more than 50% of the Government's budget. He said that of Chile's 7.5 million population 2.5 million live in the afflicted area. Eighty thousand houses had been badly damaged, and 65,000 had been completely destroyed and could not be replaced for less than \$210 million. He said his Government also faced a huge problem in the repair of roads, schools, sewage facilities, etc.

The Ambassador pointed out that unfortunately the natural disaster had struck just as the Chilean Government was on the point of success in its efforts to stabilize its currency and its cost of living. The rate of exchange had held steady for a year and four months and the cost of living in the last eight months had risen only 2-1/2% as contrasted with 33% in the previous year. As a result of the disaster Chile would now have to devote to reconstruction the resources it had hoped to devote to development. He emphasized his Government was determined to achieve reconstruction while maintaining stability.

Voicing his hearty approval of this objective, the President commented that the Chilean Government would have to make a great effort and might almost have to regiment all available people and resources. He said he thought the influx of too much outside capital into the situation would seriously threaten to produce inflation, and a great effort would obviously be required of the Chilean people. The Ambassador

² Reference is to the President's trip to the Philippines, China, and Korea in June 1960, for Documentation, see *Foreign Relations*, 1958-1960, vol. XVIII, Japan; Korea, and *Foreign Relations*, 1958-1960, vol. XIX, China.

replied that Chileans were used to hardship and to facing their own troubles. He added: "We are not a banana republic".

The President said he had been pleased to read recently that two of the large United States copper companies, Anaconda and Kennecott, had been completing plans for heavy new investments in Chile. The Ambassador said that this was a fine development that had been underway for some time.

In response to the President's specific question the Ambassador declared: "The emergency is over; now it is a question of rebuilding". He said specifically that his Government needed barges for logistical work along the coast in the damaged area. He added, however, that in order to determine the best type of ship for the purpose it would be helpful if the United States Navy could send to Chile an officer trained in amphibious operations who could analyze the problem in terms of his knowledge of available ships. The President said this could easily be done.

Mr. Merriam mentioned to the President that Mr. Jorge Schneider had been sent to Washington by the Chilean Government specifically to assist in initiating plans for the basic work of economic reconstruction. The President commented that now the greatest need is for sound planning.³

³ In telegram 971 to Santiago, June 23, 1960, the Department informed the Embassy that the White House had called President Eisenhower in Honolulu the contents of a draft press release announcing a proposed grant of \$20 million and the loan of 12 landing craft to the Chilean Government for its long-term disaster rehabilitation program, subject the availability of funds under the Mutual Security Appropriation Act for FY 1961. The telegram also stated that the Department would apprise the Embassy about the date and timing of the release at the earliest possible time. (725-5-MSP/6-2360)

CH-39. Editorial Note

June 29, 1960

By an exchange of notes at Washington, June 29, 1960, entered into force on the same date, representatives of the United States and Chile signed an agreement providing for emergency relief assistance necessitated by the recent disasters in Chile. For text of the agreement, see 11 UST (pt. 2) 1777.

CH-40. Memorandum of Conversation, by the Officer in Charge of Chilean Affairs (Phillips)¹

Washington, September 2, 1960.

SUBJECT

United States Assistance to Chile

PARTICIPANTS

President Eisenhower
Chilean Ambassador Walter Muller
Lt. Col. John Eisenhower
Robert M. Phillips, ARA/WST

Ambassador Muller said he knew the President was extremely busy and had many preoccupations, but he thought that the President might want to hear something nice and which would not require any action. President Alessandri had asked the Ambassador to deliver a personal letter thanking President Eisenhower, the United States Government and people for the generous assistance given to Chile following the recent earthquakes. With the President's permission, the Ambassador read aloud the text of President Alessandri's letter, as follows [in translation prepared by the Chilean Embassy].

"Distinguished President and friend:

"I have the honor to address Your Excellency, interpreting the feelings of deep gratitude of the people and of the Government of Chile, for the generous assistance of that sister nation in the sad emergency produced by the recent seismic disturbances, tidal waves and volcanic eruptions, which have caused deaths and material damages of extraordinary gravity in vast areas of Chilean territory.

"The moral solidarity of your great republic, at a particularly difficult moment of Chilean history, reaffirms our faith in an authentic union among peoples, that will bring realization to the hope for the construction of a better world.

"The very valuable material cooperation that the Government and the people of the United States has given us, has helped effectively to take care of the most urgent needs of the victims of the catastrophe and to then undertake the hard task of reconstruction of the devastated zones.

"Accept, Excellency, the most sincere thanks of the Government and the people of Chile for the very noble attitude of the Government and people of the United States of America, together with the expression of my profound personal gratitude and of my very highest esteem and friendship.

¹ Source: Eisenhower Library, Whitman File, DDE Diaries. Official Use Only.

President Eisenhower said he was very glad to receive President Alessandri's letter and would send a personal note in reply as soon as possible. Meanwhile, he hoped that Ambassador Mueller would inform President Alessandri that he (President Eisenhower) was even gladder to know that the situation in Chile was getting better. We wanted to give all possible help to enable Chile to recover from the disasters, as evidenced by the recent authorization of \$100 million in special assistance to Chile.² The President also asked the Ambassador to convey to President Alessandri his particular appreciation for the support we had received from Chile in recent international difficulties, in contrast to the attitude of some weak-kneed countries. Secretary Herter, on returning from Costa Rica, had given him a full account of the effective backing the United States had received from Chile and from other countries, such as Argentina.

Ambassador Muller said he had not known Chilean Foreign Minister Ortúzar well, since he had been acting in this capacity only a few months, and had been pleasantly surprised to find him so effective at the San José meeting. He agreed that the Argentine delegation had been helpful but in a less decisive fashion. Venezuela had found itself in a ridiculous position because Foreign Minister Aroaya was going against his instructions in trying to follow a line he thought would be profitable in terms of domestic politics.

The President said the most incomprehensible aspect of the Cuban situation was the Castro Government's attitude towards private investment. All the Latin American Presidents and Ambassadors he had known had praised private investment for its contribution towards economic development, a contribution much greater than any governmental aid program could make.

Ambassador Muller said he agreed entirely and cited the encouragement given by Chile to private investment, mentioning particularly United States investments in the copper industry. Cuba's irresponsible action could harm all of Latin America by frightening off prospective investors who might fear similar developments in other countries.

The Ambassador went on to congratulate the President for his proposed new program of assistance to Latin America. The "social development" proposals recently outlined by Mr. Dillon represented a revolutionary approach to the problems of economic development.

² On September 8, 1960, at the request of the President, Congress authorized the sum of \$500 million for the Inter-American Fund for Social Progress, and in the same bill (H. Doc. 105, 87th Cong., 1st sess.), Congress authorized \$100 million for the long-term reconstruction and rehabilitation of those areas of southern Chile devastated by fire and earthquake. Documentation concerning the subject is contained in ARA/WST Files, Lot 63 D 85, "Earthquake."

Heretofore practically all assistance had been given on a project basis and often did not reach a large part of the people. While the project approach would continue to be a useful device, it was most gratifying to know that assistance could now be given in such important sectors as housing, agrarian reform, public health, schools, etc.

The President said he thought this type of program was the best answer we could make to the aggressive tactics of international Communism, and the Ambassador agreed.

CH-41. Editorial Note

October 28, 1960

By an exchange of notes at Santiago, October 28, 1960, entered into force on the same date, representatives of the United States and Chile signed an agreement providing for a grant of funds to Chile for purpose of disaster rehabilitation. For text of the agreement, see 11 UST (pt. 2) 2617.

Colombia: U.S. Relations with Colombia

CO-1. Memorandum of Conversation, by the Ambassador in Colombia (Cabot)^{1,2}

Bogotá, January 16, 1958.

PARTICIPANTS

The Minister of Government, Brigadier General Pioquinto RENGIFO
The American Ambassador, John M. Cabot

General RENGIFO assumed office on January 8, and I today called on him at my request in order primarily to discuss the question of the closed Protestant churches. General Rengifo had been Governor of Antioquia at the time that I had accompanied Dr. Milton Eisenhower on his mission around South America,³ and we therefore briefly exchanged reminiscences.

I then said to General Rengifo that he doubtless knew that the subject I had come to discuss was the question of the Protestant churches of Colombia. This was a matter which was of great interest to millions of Protestants in the United States since they had sent money for the construction of many of these chapels, and other contributions, and many had American pastors or other American connections. For decades the Protestant churches had existed in Colombia without any serious trouble - indeed, the Presbyterians had been invited by the Government

¹ Source: Department of State, Central Files, 821.413/1-1658. Confidential.

² This memorandum was transmitted to the Department of State under cover of despatch 596, January 16. In the covering despatch, Ambassador Cabot stated in part the following:

"The Department will note that General Rengifo gave me *no explicit assurances*, and that we may be faced with further indefinite stalling on this question. Nevertheless, he seemed to take a somewhat more affirmative position than his predecessor, and I am hopeful that he will be willing at least to reopen some of the churches in the non-mission territories within the foreseeable future. I shall of course continue to press this matter as much as I feel is likely to produce favorable results."

³ Reference is to Milton Eisenhower's visit to South America, June 23-July 29, 1953, to conduct a fact-finding mission for the President. For documentation on the visit, see *Foreign Relations, 1952-1954*, vol. IV, The American Republics.

to come to Colombia 100 years ago. In the last ten years they had had mounting difficulties which had culminated under the Rojas Pinilla administration. I had not heretofore pressed this matter due to the many other serious problems facing the Government, and Villarreal's resignation, but now that the Government had a legal mandate from the people it seemed an appropriate time to move ahead.

I mentioned the assurances I had been given since arriving here and described my conversations with Minister Villarreal. With regard to the circular which the latter had sent to the respective Governors in September as a result of my intercession, I said that I understood that at least some favorable replies had been received.

I said there were two phases to the question. In some cases the Protestant churches had been closed in the so-called mission territories. The Colombian Government had alleged that Protestant churches were forbidden in these territories under the terms of its agreements with the Vatican. On the other hand, there were a number of churches which had been closed outside the mission territories where no legal authority seemed to exist except the arbitrary fiat of the Government. I gently emphasized how arbitrary the attitude of the Rojas Pinilla administration had been in this regard, since General Rengifo had mentioned earlier that he had been "out of grace" with that administration. I said that we hoped that these churches at least could be opened as a starter. General Rengifo asked if we had a list of them available, and I handed him a copy of our Note of August 6, 1957, with this list.

I said we recognized that this was a delicate matter and that a gradual approach might be better than a drastic one. I did want to say, however, that while we felt that the case was clear in regard to the churches in non-mission territory we hoped that in due course the churches in mission territory could also be reopened. Although the Rojas administration had claimed that the agreements with the Vatican precluded Protestant churches, the text of the agreements did not bear this out, and the Nuncio had informed the Embassy that he did not so interpret them. I said that so far as I knew, although some parish priests and a few bishops were against the reopening of the Protestant churches, I had been informed by Minister Villarreal that the Cardinal and the Nuncio were quite willing to have them reopened, provided they did not proselytize. I said that I had no instructions to ask that they be permitted to proselytize and that I did not think that this was by any means as sore a point among Protestants in the United States as the basic question of liberty to worship, which was guaranteed by the Colombian Constitution and observed in practically every country in the world outside of the Communist bloc.

General Rengifo said that he did not think there was any opposition to Protestants worshipping in their own churches. He recalled that

there had been a Protestant chapel opposite his home in Sogamoso and that it had been attended by very decent, well-behaved people. In other areas, however, they insisted on distributing Protestant propaganda and thereby irritated Catholics. I said that although I was a Protestant I recognized that Protestant propaganda occasionally touched Catholics on a very sensitive spot and that I had even heard that it had at times outraged Catholic sentiment. I thought the latter reports were generally exaggerated, if not untrue, but I certainly did not support anything of this kind if it did happen. I mentioned that I had steadily urged moderation on the Protestant leaders, notably when talking with a number of them in New York in October.

I said that there was one other matter which made this problem of particular importance at the present time. Every time that we tried to do something for Colombia - for example, at the time of the \$60 million loan - there had been outcries among the Protestants in the United States which had been reflected in Congress. In the ultimate analysis we could do nothing to help Colombia without Congressional approval, and I feared that some time at a most inopportune moment this might not be forthcoming. I therefore hoped that Colombia, for its sake, would feel it advisable to do something to correct the situation. I again made a plea for at least gradual action.

General Rengifo said that as Governor of Antioquia he had been familiar with Minister Villarreal's circular, and that he had discussed this matter with our Consul. He felt that there were some areas of the country, where violence was still prevalent, where it would be inadvisable to act in the present circumstances but there were other areas (such as Boyacá) where he saw no reason why the churches could not be reopened. He told me he would take up Minister Villarreal's circular and follow through on it. I asked that he let me know when anything concrete developed.

Our talk was at all times very cordial.⁴

⁴ Ambassador Cabot discussed the matter of reopening the Protestant Churches in Colombia again with Minister Rengifo on February 18. In despatch 695, dated February 19, transmitting the memorandum of that conversation to the Department, he made the following statement:

"The Department will note that General Rengifo indicated that a few churches might be reopened and that he will confirm in writing the oral information which he gave to me in this regard. Some governors, however, are unwilling to have the Protestant churches in their departments reopened and a number of governors, for one reason or another, have not replied to the Minister of Gobierno's inquiry. I think it can safely be assumed that these governors are reluctant to reply and will stall as long as they can before making a decision. I shall try personally to see one or two of these governors on forthcoming trips and hope in this way to make further progress in getting the churches reopened." (821.413/2-1953)

CO-2. Memorandum of a Conversation¹

Bogotá, February 10, 1958

¹Source: Department of State, Central Files. 2 pages not declassified.

CO-3. Memorandum of Conversation, by the Officer in Charge of Colombian Affairs (Gerberich)¹

Washington, February 20, 1958.

SUBJECT

Colombian Economic Situation.

PARTICIPANTS

Colombian Ambassador José Gutiérrez Gómez
Assistant Secretary Rubottom
OSA—Mr. Gerberich

The Ambassador said he first wanted to mention the visit of two officials of the Soviet Embassy in Mexico to Colombia. There has been a lot of loose newspaper talk about what happened and he wanted Mr. Rubottom to have the true facts. The Colombian Government is favorable to an arrangement whereby a sizable amount of coffee can be marketed behind the Iron Curtain, and there is talk of receiving wheat, fertilizers and certain construction materials in return, which would be very acceptable. But actually no agreement was reached between the Coffee Growers Federation and the Russians, although it is hoped that one can eventually be worked out. There is not the slightest truth in reports of permanent diplomatic and consular relations developing from these talks.

Mr. Rubottom thanked the Ambassador for this information and said he could see that the trade proposed by the USSR would interest the Colombians, if the Russians fulfilled their commitments. Past

¹Source: Department of State, Central Files, 321.00/2-2058. Confidential. Gerberich drafted this memorandum on February 21; it was initialled by Assistant Secretary Rubottom.

history unfortunately shows that the Russians do not always abide by their agreements and use trade talks as an opening wedge for attaining other objectives. He was glad to hear that the Colombians are aware of this and are taking precautions to prevent any such turn of affairs.

The Ambassador said the economic situation of Colombia is very bad, and it is natural for the Colombians to try to find new coffee markets wherever they can. The next two years are the critical ones. It will take \$85 million to service the commercial debt in 1958 and \$83 million in 1959. After that, they will be over the worst. But with coffee prices falling considerably below the budget estimates, it will impose an almost intolerable burden to meet all foreseeable obligations. Imports must be held to \$18 million a month in order to come out even. The Ambassador did not see how this could be done. From 1953 to 1956 imports were in the neighborhood of \$50 million per month; in 1957 they averaged \$35 million; since October they have fallen below \$30 million, and were only \$20.5 million in January, but it is impossible to continue at this level. It would mean closing down some industries, it would not permit a sufficient supply of raw materials, it would restrain normal economic development. He assumed Mr. Rubottom had heard of the credit measures taken yesterday: this was a step in the right direction, but only a short step.

Mr. Rubottom said he was very conscious of the difficulties facing the Colombians, and could assure the Ambassador of our sympathy and desire to collaborate in solving them. It was unfortunate that when coffee prices were at their maximum a few years ago the Colombians continued spending at such an excessive rate. He said he would urge the Colombians to tighten their belts as much as possible, and he said he supposed the Ambassador is aware that we in the United States are going to have to do the same. He said he had confidence that over the long term we would both come out all right. He also referred to the evidence of our willingness to cooperate which was given quite recently by the Export-Import Bank when it made available, in conjunction with New York commercial banks, a credit of \$87 million dollars to help in financing the commercial backlog. The Ambassador said that he would be the first to recognize this, and Colombia was grateful for it.

Mr. Rubottom said he wanted to mention another matter, for he felt that the Ambassador should understand the facts and inform the

Foreign Minister accordingly. We have given consideration to the latter's proposal that the U.S. finance the purchase of the two destroyers which have been built for the Colombians in Sweden², and he was sorry to have to tell the Ambassador frankly that there is no possibility of doing this, regardless of any merits that the plan might have. We still have hopes that the two destroyers allotted to Colombia in the "ship bill" will be made available before the end of the year, however.

Mr. Rubottom added that he plans to visit Caracas and Bogotá next week, leaving Washington on Wednesday, February 26, and arriving at Bogotá on Saturday, March 1.³ He said his plans were made somewhat hurriedly and he had not had an opportunity to inform the Ambassador sooner. The Ambassador said he was glad to hear that this trip was planned, and was sure it would have most beneficial results.

² Ambassador Cabot had transmitted the Colombian proposal to the Department in despatch 632, January 27, 1958, not printed; The Colombian Government suggested that of the total \$27 million cost for the two destroyers the United States pay with grant aid funds \$7 million still owed to Sweden and refund the \$20 million Colombia had already paid to Sweden on account by paying off Colombian debts in the United States to that amount.

A briefing memorandum on the military assistance program in Colombia, prepared for Assistant Secretary Rubottom's visit by Weldon Litsey of the office of Inter-American Regional Economic Affairs, dated February 25, read in part as follows:

"Defense and the Navy strongly oppose paying for the Swedish destroyers. They point out that the ships were purchased over strong United States recommendations against such purchase: that in no way can it be substantiated that we have any obligation to pay for the Swedish destroyers under our MDAP agreement with Colombia, as Colombia claims; that there would be no justification on the basis of current MAP objectives to use MAP funds in this way; and that we have two destroyers for Colombia in the pending Ship Loan Bill.

"ARA agrees that the United States should *not* pay for the two Swedish destroyers with grant aid funds. If the Ship Loan Bill is passed, Colombia would do well to try to sell the Swedish destroyers (but not in the hemisphere) and should be encouraged to do so." (ARA/WST Files, Lot 62 D 106, "Visits to Colombia")

³ Assistant Secretary Rubottom visited Caracas, February 26-March 1, and he was in Bogotá, March 1-3, 1958. Documentation concerning his trip is in file 110.15-RU.

**CO-4. Memorandum of Conversation, by the Officer in Charge
of Colombian Affairs (Gerberich)¹**

Washington, March 4, 1958.

SUBJECT

Religious problem in Colombia.

PARTICIPANTS

Assistant Secretary Rubottom

OSA—Mr. Bernbaum

OSA—Mr. Wardlaw

OSA—Mr. Gerberich

Mr. Rubottom said that the first question he took up with the Foreign Minister², on arrival at Bogotá was the matter of treatment of Protestants. He told the Foreign Minister that it was disappointing that no churches had been reopened except two in all the months that have passed since the new administration has been in power. The Foreign Minister said it was dangerous in some cases to reopen Protestant churches, as it might develop into a question of public order and safety, but the Government had opened some additional churches. Ambassador Cabot, who was present, said, "I am sorry, Mr. Minister, but none of these churches except Berranca Bermeja have been opened." The Minister then spoke to his assistant and there was some discussion between them, after which he told Mr. Rubottom that he thought some of the churches on the list could and should be reopened.

Later in a conversation with Gen. Navas Pardo of the Military Junta Mr. Rubottom brought up the question of the closed churches again. He pointed out that it is very difficult for us to talk of economic or technical or military aid to Colombia when this question of treatment of the Protestants still remains unsolved, for some one is sure to raise the question of reopening the closed Protestant churches. Gen. Navas said he was aware of this, and Mr. Rubottom could be sure that some of the churches will be reopened.

¹ Source: Department of State, Central Files, 821.413/3–458. Confidential. Assistant Secretary Rubottom initialled this memorandum

² Carlos Sanz de Santamaría.

CO-5. Memorandum of Conversation, by the Officer in Charge of Colombian Affairs (Gerberich)¹

Washington, March 4, 1958.

SUBJECT

Colombian Coffee Problem; critical economic situation.

PARTICIPANTS

Assistant Secretary Rubottom
OSA – Mr. Bernbaum
OSA – Mr. Wardlaw
OSA – Mr. Gerberich

Mr. Rubottom said that while in Bogotá he had discussed the Colombian economic situation in detail with officials of the Colombian Government, and there was no doubt in his mind that the situation is serious. With regard to coffee, he said that the Colombians were hoping ardently that the United States would join the world coffee organization, even if the regulations have to be changed.² He offered some hope but made no commitment.

In the discussions of the backlog and the possibility of refunding the debt in the United States, Mr. Rubottom was careful to impress on the Colombians that if they want more economic help from the United States the first essential is to put their political house in order. Mr. Rubottom was satisfied that the Colombians are quite aware that this is a prime necessity.

¹Source: Department of State, Central Files, 321.2333/3-458. Confidential. Assistant Secretary Rubottom initialled this memorandum.

²Documentation relating to this subject is included in the compilation on United States regional economic policy toward Latin America.

CO-6. Editorial Note

On March 14, 1958, the United States and Colombia signed at Bogotá an agreement, with accompanying memorandum of understanding and related exchange of notes, providing for the United States to finance the sale to authorized Colombian purchasers for pesos certain surplus agricultural commodities produced in the United States, under the provisions of Title I of the Agricultural Trade Development

and Assistance Act (Public Law 480; 68 Stat. 455), as amended. The agreement entered into force on March 14; for text, see 9 UST 351.

By an exchange of notes at Bogotá, July 31, 1959 and January 11, 1960, the United States and Colombia entered into an agreement providing for a grant by the United States to Colombia for the acquisition of nuclear training and research equipment and materials. The agreement entered into force on January 11, 1960; for text, see 11 UST 138.

On October 6, 1959, the United States and Colombia signed an exchange of notes at Bogotá, entered into force on the same date, constituting an agreement by which the United States would undertake to finance the sale to authorized Colombian purchasers for pesos certain surplus agricultural commodities produced in the United States, under the provisions of Title I of Public Law 480. For text of the agreement, see 10 UST (pt. 2) 1799.

CO-7. Letter from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to Milton S. Eisenhower¹

Washington, April 9, 1958.

Dear Dr. Eisenhower:

I am rushing this letter to you by special delivery in the hope that you will receive it before you meet with the Colombian Foreign Minister.²

We anticipate that the Foreign Minister may take up some of the following matters with you:

1. *Commercial Arrears.* Colombia has accumulated a backlog of \$470 million in commercial debts over the past four years or so, due in large part to careless financial policies of the previous administration. Last year arrangements were made to liquidate about \$450 million of this through funding agreements, a credit of \$60 million from the Eximbank, and other means. Colombia is finding it extremely difficult to meet payments due on this backlog and is hoping to obtain a long-term loan to refund the commercial arrears debt. You might tell him, if this is brought up, that we realize the heavy burden of debt they carry and appreciate the measures they have already taken to maintain financial

¹Source: Department of State, Rubottom Files, Lot 60 D 553, "Colombia 1958." The source text is a carbon copy bearing Rubottom's typed signature.

²Colombian Foreign Minister Carlos Sanz de Santamaria visited the United States during the latter part of April 1958. Documentation concerning his visit is in file 033.2111.

stability, that we have shown our willingness to be of assistance by the Eximbank loan granted last year, and that we hope to continue to be helpful within the limits of available resources.

2. *Economic Development Loans.* The Colombians have indicated, without being specific, that they plan to seek loans for economic development projects. The Eximbank may wish to consider their applications if their stabilization program shows further progress, but we cannot speak for the Bank. The IBRD has its own policies. The DLF might be interested in applications that meet its criteria, but funds for this purpose are limited.

3. *Coffee Prices and Quotas.* 85% of Colombia's foreign exchange is derived from sales of coffee abroad. Coffee prices have been falling, and every cent that coffee drops on the New York Market means a loss to Colombia of \$8 million in foreign exchange. The Colombians may urge us to assist them in stabilizing coffee prices and imposing coffee quotas. We are now studying various possibilities of cooperating on the coffee problem, but these have not yet been cleared through the Government, and until such time as we have reached full agreement, no hopes should be aroused in the Colombians.

4. *Swedish-Built Destroyers.* The Colombians will have two modern destroyers ready for delivery from Sweden about May 1, on which they still owe \$7 million. The Foreign Minister has suggested that we provide the Colombian Navy with these vessels under the MAAG agreement by taking over the payments due. There is no way that we can do this. We hope the ship loan bill recently introduced in Congress will enable us to transfer two destroyers to Colombia, which would give them some flexibility in deciding what to do with the Swedish-built ones.

5. *Religious problem.* The Protestant problem has two important phases:

(a) *The closed churches and schools,* both inside and outside of Mission Territory, have not been reopened, with four or five exceptions. About 100 churches and chapels inside Mission Territory and 40 churches and chapels outside Mission Territory remain closed. About 200 Protestant schools are still closed. Our Ambassador has taken up this question with the Foreign Minister on several occasions, urging that a formula be found to permit the churches and schools to be reopened, but the Foreign Minister says that the clergy and masses are opposed to any such action and it is very difficult for the Government to intervene for this reason. The Ambassador has warned him that if nothing is done the success of his mission in the United States may be endangered.

(b) *Violence.* Sporadic cases of violence against U.S. Protestant missionaries still occur from time to time. Recently the residence of a U.S. missionary in Supfa, Caldas, was dynamited following attacks upon her from the pulpit by the local priest. Our Embassy brought this case to the attention of the Foreign Minister, expressing some surprise that no action was taken against the priest for this. The Government rarely

takes effective action against those responsible for stirring up anti-Protestant violence, but usually promises protection.

It is felt by the Department that the matter of the closed churches could be adjusted by the withdrawal of a circular letter of the Ministry of Government under the previous administration, which ordered the closing of the churches in Mission Territory, especially since its legality and accuracy have both been questioned. Should this be done, the situation would revert to its prior status, worship being permitted in churches and chapels although public proselytizing and propaganda would be prohibited. The problem of the schools, especially those functioning outside of Mission Territory, would be greatly alleviated if the regulations governing the processing of licenses were applied promptly and without discrimination.

I hope that this information will give you sufficient background information to be useful to you in your conversation with the Foreign Minister.

Sincerely yours,

R. R. Rubottom, Jr.

CO-8. Memorandum of Conversation, by the Director of the Office of Inter-American Regional Economic Affairs (Turkel)¹

Washington, April 11, 1958.

SUBJECT

Meeting of Colombian Delegation with Secretary

PARTICIPANTS

The Secretary
ARA – Mr. Rubottom
E – Mr. Mann
REA – Mr. Turkel

Dr. Carlos Sanz de Santamaria, Minister of
Foreign Relations
Alfonso Lopez Pumarejo, ex-President
Mariano Ospina Peres, ex-President
Rafael Delgado Barrenechea, ex-Minister of
Finance
Antonio Alvarez Restrepo, ex-Minister of
Finance
Ignacio Copete Lizarralde, Director, Bank of
the Republic

¹ Source: Department of State, ARA/RSA Files, Lot 63 D 211, "Colombian Financial Situation." Official Use Only. The source text is an unsigned carbon copy.

The Secretary apologized for being late since he had to confer with the President with respect to the latest Soviet note on a summit meeting and on Tunisia.

Foreign Minister Santamaria stated that Colombia had made tremendous efforts to restore a democratic regime and to restore financial stability. It had ran into grave difficulties because of the fall in coffee prices, and although it had followed the advice of the International Monetary Fund and the International Bank for Reconstruction and Development, it needed help. To underscore that need, the Colombian Government had sent two ex-Presidents, two ex-Ministers of Finance and the Director of the Bank of Colombia. He said that President Lopez would make the main statement.

President Lopez stated that Colombia faced a three-fold problem: (1) political, (2) economic and (3) social. All were related and all had to be dealt with at the same time. He said that in the political field they have been very successful and had settled historic political difficulties in less than 10 months. A reorganization of the Government had taken place and there was agreement to have presidential elections in May and a new President installed in August.

In the meantime economic developments were fast overtaking Colombia. Last June a settlement of the commercial arrears was made, but the settlement was thrown out of gear by the fall of 10 cents a pound in the price of coffee. Since there were some 6 million bags to be exported the loss was close to \$100 million. The arrears settlement covered \$448 million of which 1/2 had been paid off in a single year and \$220 million was left to be dealt with.

In the domestic situation, the Military Junta had done everything possible to restrain inflation, to restrict credit and currency issues. It had imposed heavy new taxes. The Junta had first placed a tax of 15 per cent on the sale of foreign exchange plus an additional 10 per cent on importers. To this they had recently added a 10 per cent tax in kind on coffee exports. All these were inadequate to make up the loss of \$90 to \$100 million per annum in the fall of coffee prices.

The social consequences of the foregoing were serious. With the cut in the imports and the rise in the rate of exchange there was a corresponding increase in the cost of living. Although production was going fairly well there has been increasing unemployment. The situation has now reached the point where Colombia is unable to pay for the importation of the raw materials necessary to keep its industrial plant going. Colombia was short of imports by about \$7 million per month. It is the purpose of the present Mission to refinance prior debt to keep things going. The Colombians now thought they were too hasty in trying to pay off \$440 million in debt in a mere 30 months. This over-eagerness and the loss of \$100 million in coffee earnings had led to the failure of their hopes.

In the political field the Liberals and Conservatives now share the responsibility of Government. In response to the Secretary's question whether they had agreed upon a candidate for the President, ex-President Lopez stated they had not done so, but they expected to do so in a couple of days, at the initiative of the Conservative Party. They will, however, propose a Liberal, Lleras Camargo, as President with a Conservative Vice President.

The Secretary then stated that we had known Senor Lleras very favorably as Secretary General of the Organization of American States. President Lopez concluded the discussion of the political situation by noting how markedly the situation had improved as compared to the troubled times of preceding years. The present problems were mainly social.

From this President Lopez went on to discuss coffee. He said that all of the coffee-producing countries of Latin America faced the problem of stabilizing coffee. There had been a violent decline in prices from 90 cents per pound to the present 55 cents per pound. Colombia was having difficulty in financing the coffee crop. The immediate problem was whether they could hope for cooperation from the United States. What they wanted above all was assurance of some procedures to prevent the coming heavy Brazilian crop from being a catastrophic crisis. We assured the Secretary that all Latin Americans thought alike on this subject and asked what the Secretary thought about price stabilization.

Mr. Rubottom here stated that while he was in Brazil 3 weeks ago he had heard the same analysis of the coffee problem and had stated that we were studying the coffee matter on a day-to-day basis. We then had and still have a hope of organizing an international coffee study group, but if this study were to lead to quotas and price stabilization it would be very difficult for the United States and it is still unclear whether or not we can participate to that extent.

Here the Secretary observed that the problem of curing an international commodity surplus was very difficult. Sometimes the cure makes the disease worse rather than better. The United States has had (and still has) the problem of stabilizing the prices of our own agricultural production. It has cost us fabulous sums and has not done much good. For example, our cotton policy has resulted in many other countries beginning to grow cotton. Now we sell only a small percentage of the world's imports and the plight of our cotton families is worse than ever. The Secretary invited the Colombian Delegation to meet with Secretary Benson, if they had the time, to review this matter. The Secretary remembered the Brazilian stabilization scheme of several years ago and how Brazil went practically broke on that scheme. An agricultural scheme that does not cut production is no good. Efforts to

limit acreage cannot do the job since farmers use fertilizer to increase the productivity per acre. In cotton they are putting 50 per cent more per acre.

The Secretary said there was no question at all as to our objectives; we are agreed that a greater measure of stability is desirable at reasonable price levels. The only question is how to achieve that. Our experience has been disastrous. This is not to say that the job is impossible. All we can now say is that our own economic people will work closely and sympathetically with you, although we have a certain skepticism. He asked the Colombians to remember that there were certain legal restrictions on Americans against restraining trade but this does not apply to foreigners.

President Lopez summarized the Colombian situation by saying that they had two problems: (1) an exchange problem, and (2) what could be done in cooperation with other coffee-producing countries for price stabilization.

The Secretary said that with respect to the dollar gap, the Colombians should see the Eximbank, which is a separate department of Government here. He could ensure the Colombians that they will get sympathetic consideration there, although they could expect no bail-out loan. At this point, Mr. Mann said that we had granted Colombia \$60 million in Eximbank funds last year for a bail-out loan.

President Lopez said that the Colombians wanted an extension of time from the Eximbank on pending payments plus additional facilities. They also had need for additional agricultural machinery in order to increase agricultural production. In response to the Secretary's inquiry, he said that the increase in agricultural production would not, of course, apply to coffee.

Mr. Mann and Mr. Rubottom here observed that they had been much impressed by what Colombia had been doing day by day in the field of expanding its agricultural production.

The Secretary asked how much of a military program they had and Senor Alvarez stated that it was about \$280 million pesos or some 20 per cent of the budget.

Santamaria then stated that the Military Junta had cut the military budget by about 100 million pesos and further cuts were prevented only because so much was owing on prior debt. The Provisional Government had dismissed 10,000 soldiers or 1/3 of its army. It has stopped all military construction; it has bought no armaments, only maintenance items. Finally, much of the 280 million pesos went for salaries.

Mr. Rubottom summarized by saying that there had been in Colombia a remarkable de-emphasis on military activity. The Secretary

said this was a happy development for in the Middle East the reverse had taken place.

President Lopez stated that they had very serious transportation problems. The dollar shortage had forced them to cut down drastically on imports of cars and trucks and now the absence of replacements had put the transportation situation in a highly critical position.

Mr. Mann highlighted the decline on imports by stating that under Rojas Pinilla it had been \$670 million and had been cut in a single year to \$450 million. (President Lopez here said that the present rate of imports was only \$25 million per month).

The Foreign Minister then asked what the Colombian Delegation should do.

The Secretary summarized as follows:

The Delegation had three aspects to its problems:

1. First was its need to finance essential imports. For this they should turn to the Eximbank.

2. They had to deal with the backlog of commercial arrears. For this they should turn to the Eximbank.

3. Finally, they had a coffee stabilization problem. For this they would have to turn to Mr. Mann and Mr. Dillon.

About all the Secretary felt the Colombians could expect from the United States on coffee is an attitude of benevolent neutralism. The United States does not have enough money to embark upon coffee stabilization schemes.

Here the Colombians almost unanimously burst forth that they want no money for coffee stabilization. The Foreign Minister summarized their position by saying that coffee is the backing for the Colombian currency. It means everything in Colombia and yet it is beyond their power to control. The Colombians did not want to direct prices they merely want to avoid a fall and to seek stability.

Here the meeting ended.

CO-9. Editorial Note

Vice President Richard M. Nixon visited Bogotá, May 11–12 1958, as part of a larger goodwill tour of South America during the period April 27–May 15. He met with the Colombian Foreign Minister and the Military Junta of Government on May 11, but no memoranda of those conversations were found in Department of State files. Documentation

concerning Nixon's visit to Bogotá is in files 033.1100-NI and 721.00. For documentation on the Vice President's South American tour, see Document CH-5, footnote 5.

During his stay in Bogotá, anti-Nixon and anti-United States demonstrations occurred. The Embassy reported on these activities in despatch 919 from Bogotá, May 23, 1958. That despatch concluded in part as follows:

"The Embassy feels that the anti-Nixon and anti-U.S. demonstrations which occurred during Vice President Nixon's visit were certainly not spontaneous but were obviously contrived affairs led by Communists and other malcontents. Despite efforts to rally mass support, the demonstrations were small-scale affairs and attracted no appreciable support beyond the initially organized groups. Advance efforts to rally general student support for the demonstrations largely failed, as did on-the-scene efforts to arouse the general public. Thus, we believe that these demonstrations did not represent the views of the Colombian man-in-the street of any social or economic stratum. The public was either favorably disposed toward the Vice President or apathetic." (Department of State, Central Files, 033.1100 NI/5 2358.)

CO-10. Memorandum from the Officer in Charge of Colombian Affairs (Gerberich) to the Deputy Director of the Office of South American Affairs (Sanders)¹

Washington, May 12, 1958.

SUBJECT

Post Mortem on the May 2 Revolt and the May 4 elections.²

In its latest Weeka³ our Embassy states that the Colombian Government was lucky to dispose of the revolt as successfully as it did. Practically all of the Military Police in Bogotá and considerable elements of the National Police, including their commanders, were

¹Source: Department of State, Central Files, 721.00/5-1258. Confidential. Addressed also to Andrew B. Wardlaw, Officer in Charge of North Coast Affairs in the Office of South American Affairs.

²The Embassy in Bogotá transmitted a post-mortem analysis of the uprising of May 2 against the Military Junta of Government and a report on the presidential elections of May 4 in despatch 893, May 9, 1958, not printed. (721.00(W)/5-958)

³Reference is to despatch 893, Joint Weeka 19.

involved. The latter had set up road blocks leading into the center of the town, but loyal troops from Usaquen barracks rolled them up and disarmed the police early in the day.

When the pilot of the charter plane abandoned Rojas in Bermuda and flew back to New York, the revolt was, moreover, deprived of the leader it had planned to rally around. The rebels were unable to use the radio stations which they captured, as the civilian technicians were stopped at the road blocks and prevented from going to work. Thus there was little rabble-rousing over the airwaves.

Col. Hernando Forero, the leader of the revolt, who is in asylum in the Salvadoran Embassy, has all sorts of charges of brutality and murder pending against him, including the dumping of guerrilla prisoners out of an airplane, the personal murder of a civilian and the murder of guerrilla prisoners in Tolima. The Embassy does not believe the government will give him a safe conduct.

While Lleras Camargo polled only about 2–1/2 million votes because of Conservative abstentions and apathy on the part of many of both parties who looked upon his election as a foregone conclusion, his victory in some quarters was most surprising. Antioquia, once the stronghold of the Conservative Party, was carried by him by a vote of 9 to 1. The Departments of Boyacá and Santander, where Alzatista and Rojista strength was greatest in the congressional election, went to Lleras with comfortable margins (in Santander his majority was over 65,000 votes). In Valle, however, Leyva got a much better vote than was expected; our Consul at Cali reports that in some districts Lleras voters were kept away from the polls by force. Sample returns from such areas are:

Ansermanueva - Leyva	7,000	Lleras	49
Argelia	"	"	5
El Cairo	"	"	1

Our Consul remarks, and I believe seriously, that the pro-Lleras voters are now marked for death.

Nevertheless the Junta and Army gave a splendid demonstration to have an orderly election. With the Army out in force and troops stationed at polling places, it wasn't necessary to suspend voting in a single municipality. Perhaps the surest proof that the election was generally fair is the fact that Leyva is convinced on the basis of his 585,000 votes that he made a good showing and he has decided to remain in Colombia and continue as active leader of the dissident Conservative faction. He hopes to make a serious attempt to combine this faction with the Valencistas on the basis of their common opposition to Laureano Gomez. The Embassy reports that Secretary Dulles' message

of congratulation to Lleras received excellent press coverage. So did similar messages from Ambassador Cabot and former Ambassador Spruille Braden.

CO-11. Despatch from the Ambassador in Colombia (Cabot) to the Department of State¹

Bogotá, July 11, 1958.

No. 20

SUBJECT

The Religious Question in Colombia

On considering further the religious question in this country after the very helpful talks when I had during my consultation in Washington,² I thought it might be useful to the Department if I put on paper my thoughts regarding it in the present conjuncture.

1. *What should be our basic purpose?*

Americans believe firmly in the principle of freedom of worship. *That principle* is being flagrantly violated today in Colombia—only less so under the present Government than under the three preceding administrations. It is unquestionable not only that there has been violence against Protestants, their property, and their legitimate rights and interests by private individuals, but also that the Government by arbitrarily closing churches and schools on one pretext or another or by preventing the opening of churches and schools *is deliberately interfering with freedom of worship*.

Strongly as we are attached to the principle of freedom of worship I question, however, whether it is a proper subject in itself for diplomatic representations, and I doubt that it is wise to attack the religious question from this angle. We do not, as a matter of proper interest, work to uphold in other countries freedom of the press, individual rights, and the other great liberties of a democratic system. It is perfectly proper that individuals and private organizations should seek to muster public opinion in the United States and other countries behind the maintenance of these principles. It is doubtful whether it is proper,

¹ Source: Department of State, Central Files, 321.413/7-1158. Confidential.

² Ambassador Cabot was in Washington for consultations, May 13–June 22, 1958.

and it would indeed appear to be contrary to the charter of the United Nations and many other international instruments, for us as a *government* to seek to uphold those principles in other nations, since they are normally considered internal matters. We should not permit our private sense of outrage to override diplomatic prudence.

We must then, as I see it, fall back on a second method in seeking to defend Protestant interests in this country. Many of the Protestant missionaries and ministers active in this country are Americans; much Protestant church property is owned by American individuals and companies; many churches and schools derive a substantial part of their support from American contributions; and I believe there are cases in which, while no immediate connection with the United States exists, there is a historical and sentimental tie. Since cases in which legitimate and long standing private American interests exist are so large a proportion of the cases which come to our attention, it seems to me that we should make them the basis for our official representations to the Colombian Government. We cannot claim that these pastors, churches and schools should be permitted to function as a matter of international right, but we can legitimately make representations on their behalf on the basis of comity without raising inconvenient questions of propriety. As a practical matter, it seems unlikely that the Colombian Government would yield in the many cases in which United States citizens and organizations had legitimate interest without establishing general rules equally applicable to churches and schools in which no legitimate American interest can be shown. Without, therefore, spelling it out that we are not making representations on behalf of Protestant pastors, churches and schools where no American interest can be shown to exist, I believe that our representations should be more restricted and explicit in order that we may not lay ourselves open to charges of improper interference in this highly controversial matter.

2. *What is the present Colombian Government's attitude towards this question?*

The Department will recall that Assistant Secretary Rubottom and the Embassy have been steadily making representations regarding Protestant schools and churches ever since the new Government came to power. *Unfortunately, none of our representations* has accomplished much. We have succeeded in reopening a few churches and in getting a few other concessions (such as visas for incoming missionaries and pastors) but *the problem is almost as unsolved as ever*. We have every reason to believe that the present Government is moderate, broad-minded and basically friendly to the United States. Why, therefore, has it not acted in response to our repeated representations? There can, of course, be no doubt that the Government has some reasons for procrastination. *One* undoubtedly is that the Government does not wish to take an

unpleasant decision; the *second* is that it is apprehensive that the general reopening of Protestant churches and schools would produce very unfortunate public disturbances. The *third* is that, if they can stall long enough, they probably hope to get out of office before they are forced to reach a decision.

I have reason to suppose that a *fourth*, and perhaps the most important, reason of all from the Government's viewpoint is that at some time in March the position of the Catholic Church in this matter hardened. It seems quite possible on the basis of various bits of evidence which reach the Embassy that at some time in the month of March the Colombian Government, anxious to make real progress in the matter of financial assistance to Colombia in the crisis it then confronted, was prepared, as a result of Mr. Rubottom's and my representations, to make substantial concessions to us. It is clear that at the beginning of the month the Foreign Minister seemed receptive to such a move. When he talked to me on the eve of his departure for Washington, it being clear at that time that only American good will (rather than strictly economic considerations) would induce us to bail Colombia out financially, the Foreign Minister should have been most anxious to humor us in matters of interest to us, yet in point of fact something had happened which forced him stubbornly to defend the present situation. *I can think of no force which would have the power to do this except the Catholic Church.*

It is also interesting to note the chronology of attacks in the Catholic review *America* on this Embassy. The first major blast appeared in the March 8th issue. Rather obviously, it did not just happen, and as a further point the writer of the article showed no interest in getting the Protestant side of the question. *It is at least plausible that the Colombian Catholic hierarchy, aware of our pressure to reopen Protestant churches and schools, decided to mount a counter-offensive in the United States to stir up the many millions of our Catholic citizens to protest that the Embassy was acting in the interests of the Protestant sects rather than the nation.* I think we can tentatively conclude that the present Government will stall for the remaining month that it stays in power.

The present government is perhaps not quite so inclined to maintain discrimination against Protestants as would appear from its failure to take remedial action. (As the Department is aware, *the only remedial action taken to date with regard to closed churches and schools has been to permit one church in Mission Territory and five chapels outside of Mission Territory to reopen, while scores of churches, chapels and schools both within and outside of Mission Territory remain closed.*) The Foreign Office indicated to us informally that it would have no objection if any closed churches and chapels in Mission Territory were able to reopen quietly with local permission pending an over-all resolution of the matter, and

we have received reports indicating that some were able to reopen in this manner. However, this has not proved to be a very satisfactory approach, since in many of these instances the Departmental and local authorities have recently re-closed the churches and chapels—usually under pressure from the Catholic clergy—on the grounds that the central government's prohibition on Protestant activity in Mission Territory still stands. Apparently, even where the Departmental or Local authorities are favorably disposed toward a reopening of these churches and chapels, they cannot withstand Church pressure without the official backing of the central government in the form of a rescission of the prohibitions. Nevertheless, there is some reason to suppose the present Government tacitly favors local action as a means of keeping the situation in hand and moving slowly toward greater liberalization in the treatment of Protestants in this country.

3. *What is the emotional atmosphere?*

It seems to me essential that the Department should appreciate the emotional atmosphere in Colombia (as well as in the United States) in which this question must be settled. In regard to their Catholic faith, most Colombian Catholics tend to be fervent, and many are bigoted and fanatical. They belong, in far too many cases, to a generation which has passed in other countries and which thought that the only good non-Catholic was a dead non-Catholic. Even relatively moderate Colombian Catholics will rationalize their bigotry by claiming that they do not want the unity of the country to be affected by religious dispute or by saying that there is a link between Colombian Protestantism and Communism. A more respectable argument is that the troubles the Protestants have had in Colombia in the past ten years have merely been a by-product of the general atmosphere of violence which has prevailed in large sections of the country during that period. There is undoubtedly truth to this argument since, among other things, it is a fact that the great majority of Protestants are Liberals, and political persecution was generally directed against Liberals. There is also indirect truth in it in that, when law and order have largely vanished, fanatics among the majority have a better chance to unleash mob passions against a hated minority with whom they would ordinarily live at peace. My impression is, however, that many cases cannot be exculpated on any such grounds; *on the contrary, that much Protestant oppression has occurred in areas where there has been little or no violence.* Catholic priests have in numerous instances preached violence against Protestants with impunity; Local authorities have yielded to Catholic pressure and taken arbitrary, oppressive action against Protestants. In the interests of fairness it should be added that the Protestants are by no means devoid of fanaticism; the Embassy is aware of cases where they have stirred up trouble.

It stands to reason, however, that as a tiny beleaguered minority they tend to restrain themselves.

The *America* articles mentioned above have undoubtedly acerbated a feeling which is latent among Colombian Catholics that the real purpose behind our representations is to cram Protestantism down their throats. This is obviously not a rational reaction, as they would quickly realize if they considered that Protestant missionaries, churches and schools operate with far greater freedom in all of the other 20 Latin American republics than here and yet that the peoples of those countries are no less Catholic than are the Colombians. Moreover, the greater part of the food we give the Colombian people is distributed through the Catholic clergy. Nevertheless, the emotion does exist, and it would be foolish to disregard it. I believe that this is a valid reason why we should be more specific as to our objectives. If Protestant organizations claim that by doing this we are cutting the ground out from under their feet, it would seem to me the best evidence that we had been intervening in this matter to an undue degree, thereby laying ourselves open to the very serious charge so often made by Colombian Catholics that we are disregarding Colombian sovereignty.

The Department should note that any further representations made by this Embassy which come to public knowledge and any favorable results which come from such representations will inevitably be considered by fervent Colombian Catholics as proving our desire to Protestantize Colombia. Given the emotional atmosphere in which this matter must inevitably be considered and the Latin temperament of Colombians, I believe that, confronted with such pressure, they will simply dig their toes in and not yield even at the expense of grave harm to Colombia. Any such situation would not only be directly prejudicial to American interests in Colombia, it would also be very harmful to our basic objectives of promoting peace, stability and progress in Colombia. If, therefore, we are to pursue our representations on behalf of Protestants, it seems to me essential to clear the air somehow of this emotional Colombian belief. Moreover, we cannot get this message to the Colombian Catholic campesino—and it is he whom Catholic priests have stirred up against Protestants—without running the risk of some controversy. I do not mean by this that we should engage in polemics or make controversial statements. I do mean that we must ourselves adopt a moderate course and explain in moderate terms what it is and what facts lie behind it. We may not get anywhere by such a course; we may indeed do harm by it, but we are, in my opinion, less likely to do harm by this course than by pursuing our present one which, I believe, will simply amount to butting our heads against a stone wall. I doubt this will accomplish anything, and I fear it will prove seriously prejudicial to our relations with Colombia. We should not think that

by keeping silent we—or I—are going to avoid controversy; in addition to the wildly inaccurate items which have appeared in *America* and been reprinted in *El Catolicismo*, the Consul in Medellin has just telephoned to say a vicious personal attack has appeared in *El Herald*, the church paper in that city, and another malicious article has appeared in *Manizales*.

In considering this entire question, we must remember that there is a strong current of anti-clericalism in the Liberal Party. The Protestants originally entered Colombia a century ago at the invitation of the Government and there are many Colombians who, while devout Catholics, are less than impressed with the Church's arrogance in matters which should not properly concern it. The possibility of defying the Church in matters beyond its proper competence was vividly illustrated in the March congressional elections when the Laurcanitistas won an overwhelming victory in the Conservative Party despite the fulminations of the Catholic hierarchy. It would, of course, be impossible for us to get the Protestant case before the Colombian people to the extent that Laureano Gomez got his before them, but nevertheless I suspect that the Catholic Church in Colombia might be rather unhappy to be smoked out in all its fanaticism if, by making no more than reasonable concessions, it could have peace. It is, in my opinion, precisely the fear which exists that our objectives may be far more ambitious than they appear which has induced the Catholic Church and the Colombian Government to take the firm stand they have.

4. *What may we expect of the future Colombian Government?*

Dr. Lleras Camargo, the President-elect, is a devout Catholic. He is also an able, broad-minded Liberal. I have little doubt that he appreciates that the Protestants have not been fairly treated in Colombia and that he deplores this. At the same time, it seems to me that, even if he were far hotter under the collar regarding the treatment of Protestants than I have any reason to believe he is, *he would still be most reluctant to take any vigorous action in the religious question*. He has inherited a virtually bankrupt government, a frightful situation of widespread violence in the countryside, a country exhausted by ten years of bitter partisan strife. His obvious desire is to heal the wounds of the past ten years and restore the country's unity and prosperity. He must work in harness with his Conservative allies and can accomplish nothing without them. Under these circumstances, are we to suppose that he is going to stir up a bitter controversy to meet our representations? He realizes, of course, that he must have our support in many matters, but *he also realizes that, given the alternatives, we have practically no choice other than to give him that support*. The proof of the pudding is the loan which we have given Colombia following his election, and the way in which it was given. I do not mean in any sense to criticize this loan; I merely use

this as a further indication that we must ourselves think this problem through.

It seems to me probable under the circumstances that the Lleras administration will try to sweep this whole matter under the rug to the best of its ability. I think it reasonable to surmise that the Lleras administration, like the present Government, will try gradually to ameliorate the situation, will take remedial action in more flagrant cases, and will make concessions from time to time. *I doubt, however, that we can expect any drastic shift.* Lleras may indeed try to shove the whole issue into the courts on constitutional grounds and thereby delay matters further.

Given the present situation in Colombia, I also question whether we can afford to press Lleras into a corner on this issue. The probable alternative to Lleras is chaos, and in the coming years it may be quite hard to prevent precisely that. Given the social unrest in Colombia, the growing Communist activities, and Colombia's geographical position, to mention but a few of the more obvious considerations, I do not believe that we can afford to finger the rug under Lleras on an issue which is not vital to the United States.

5. What, then, should be our course of action?

The present Government has one month to live. I doubt it would be willing in that month to take any action which might annoy or upset a great many people in Colombia. We do not have the time to prepare the ground for further vigorous representations. We are not likely, therefore, to get any important remedial action from it.

We should not, as I have already pointed out, make vigorous representations during the early part of the Lleras administration. We may hope that the situation will gradually improve. We may properly make representations in specific cases or press gently when the moment seems propitious, but we should be careful how far we go. We should try to clear the air of the poisonous fumes now in it by a positive program of publicity. Obviously, such a program should be geared to the tempo of our representations. If the premise that we should go slow regarding representations is accepted, then our efforts to clear the air through publicity may also be pitched in a low gear. In sum, I have the feeling that this is another example of what Talleyrand meant in his comment about zeal in diplomatic affairs. Like the violence which is still desolating the Colombian countryside, this situation is one which it may take years to correct, and it can be corrected only as the democratic warp and woof in Colombian life are strengthened.

We should also bear in mind the possibility of solving this religious problem by court action. When the state of siege is lifted, as it presumably will be as soon after the inauguration of the new administration

as it can be without creating legislative chaos, Protestant churches and schools can seek through the courts to obtain their legal rights. Obviously, it would be better from the viewpoint both of the Embassy and of the Colombian Government if the problem could be solved in this manner. We would not be placed in the unhappy position of flying in the face of Colombian Catholic prejudices and of being accused of taking action far beyond anything we in fact contemplate. The Colombian Government, in reopening churches and schools, could say that they were simply respecting court decisions. Moreover, if the Protestants can secure their rights by court action, it would then be of doubtful propriety for the Embassy to continue to make representations, at least until a denial of justice had occurred.

However it must be borne in mind that many Colombian judges doubtless share the fervor of the general populace in their Catholic predilections and some might, therefore, yielding to Catholic pressure, find legal quibbles or devise endless delays by which Protestants might in fact be further deprived of their rights. On the balance, nevertheless, it would appear to me that *this course should be urged upon the Protestants as soon as it is clearly open to them, despite the dangers which it involves*. If it should prove impossible through the Colombian courts to secure Protestant rights, it is also true that in most of the Latin American republics an American company cannot be entirely sure of securing its rights. I question whether we should go further to secure Protestant rights, even where a legitimate American interest is clearly involved, than we should in securing any other American right which has been violated by the Colombian authorities. We should perhaps remember that our original representations were with regard to violence visited upon American Protestant missionaries, their churches and schools when requests for adequate protection were obviously a duty as well as a right, and that we may not have perceived the line beyond which the law should have been invoked before we made representations regarding the allegedly arbitrary actions of Colombian authorities. Our rights and duties in this matter are precisely the same as they would be in the protection of any legitimate American interest, and we should not be swayed in it by emotion, or beyond the bounds of prudence or propriety by our devotion to the democratic principle of freedom of worship.

John M. Cabot
American Ambassador

CO-12. Despatch from the Ambassador in Colombia (Cabot) to the Department of State¹

Bogotá, July 11, 1958.

No. 31

REF

Embtels 16, 17, 18 and 19²

SUBJECT

Memorandum of Conversation—Carlos SANZ DE SANTAMARIA, Foreign Minister, and John M. Cabot, American Ambassador, on July 9, 1958

The Foreign Minister mentioned to me that he wished to see me and I consequently secured an appointment at 5 o'clock on Wednesday, July 9th.

The Foreign Minister first referred to the religious question. He read to me and then handed me a Note proposing that a commission of two Americans, one Catholic and one Protestant, be sent to this country to investigate the entire religious situation and render a report. This Note and a translation thereof are enclosed.³ I did not comment on the Note at this time. The Foreign Minister mentioned that he had no objections to my suggestion that the commission should include Catholic and Protestant representatives from other nations if that were considered convenient.

The Foreign Minister then referred to the cafeteria matter which I had raised with him in our previous conversation. He said that he had

¹ Source: Department of State, Central Files, 821.413/7-1158. Secret.

² Telegram 16, July 9, reported Colombian Foreign Minister Sanz de Santamaria's concern about allegedly imminent efforts to reestablish dictatorial governments in various American republics (721.00/7-958); telegram 17, July 9, reported Sanz de Santamaria's request for the United States to send a special mission to Lleras Camargo's inauguration to help stabilize situation in Colombia (721.00/7-958); telegram 18, July 9, reported receipt of a note from Sanz de Santamaria formally suggesting establishment of a commission to study the religious question in Colombia (821.413/7-958); and telegram 19, July 10, reported on the cafeteria issue (821.49/7-1058).

³ The referenced note is an Aide-Mémoire, dated July 8; neither the Aide-Mémoire nor the translation is printed.

In an Aide-Mémoire delivered to the Colombian Ministry of Foreign Relations on August 4 by a representative of the Embassy in Bogotá, the United States agreed to the Colombian Government's proposal of July 8. The Aide-Mémoire stated in part the following: "The Government of the United States, although not a party to the contemplated action, believes that efforts of this nature to bring about a better understanding can aid significantly the finding of a just and definitive solution to these problems affecting citizens of the United States which so frequently have been discussed by our two Governments." A copy of the Aide-Mémoire was transmitted to the Department of State under cover of despatch 114, August 5, 1958, not printed; 821.413/8-558.

consulted three of the committee of ladies who had organized and were running the cafeterias, and that they had flatly refused to abolish the 10 centavo charge. They had informed him that they would rather close the cafeterias than do this. The cafeterias were organized as a social project rather than as a charity. Under present conditions many self-respecting families were simply unable to get the food which they needed. They did not want charity but if they could get food for a nominal charge it supplied a vital need for them. If, on the other hand, the cafeterias were freely opened to all comers, the self-respecting element would be driven out, and the cafeterias would be taken over by beggars and paupers. So far as the committee was concerned, pure charity work was in the hands of the parish priests and they did not wish to invade this field. The Foreign Minister pointed out that “*limosna*” had a derogatory meaning in Colombia. It really was essential in each country to take that country’s idiosyncrasies into account. We should not insist on rigid rules on a world-wide basis.

The Foreign Minister then proposed that signs be posted in the cafeteria, spelling out that the milk and flour were given by the United States, and he said that it could even be spelled out that the total cost of the meals was, say, 40 centavos, of which so much was given by the United States, so much by the Coffee Federation, and so much paid by the 10 centavo charge. I said that the Department of Agriculture had rejected this formula when I proposed it and insisted that no charge could be made in connection with food given by the United States. I said that I did not see how the position of the ladies’ committee and the Department of Agriculture could be reconciled, but I felt a formula must be found. I was sure that he agreed with me that if it were not, a grave social crisis would result. He said that this was true, but I did not get the impression that he was as concerned as I was. (I do not believe that the upper classes in Colombia fully appreciate how close Colombia is to social revolution. They talk much of this with their lips but I doubt that they really feel it in their hearts).

The Foreign Minister then said he wanted to discuss with me threats to the public order and that he would be as frank as he had always been. He had received a series of messages which indicated that a vast plot was being organized to overthrow the governments of various American republics and establish dictatorships. (He skipped from one point to another and the following is therefore a synthesis rather than a direct account of what he said).

With regard to Colombia there were indications that Rojas Pinilla was again planning to return. The Foreign Minister referred to the letter which Rojas Pinilla had written to the armed forces.⁴ He said that

⁴ No copy of the letter described here was found in Department of State files.

the loyalty of the armed forces was questionable. The Junta was convinced that the armed forces were loyal but then they had been similarly convinced before May 2nd. The Foreign Minister then got out a series of telegrams, apparently most or all of which originated in the Colombian Embassy at Ciudad Trujillo.⁵ According to these telegrams General Trujillo had suggested to the Panamanian Military Attaché (Aued?) that he organize a coup against the present Panamanian Government. Another message reported that Peron planned in conjunction with opposition elements in southern Brazil to go to southern Brazil or possibly Paraguay with the eventual purpose of re-entering Argentina and overthrowing the Government there. The Foreign Minister thought that communists might be included among these opposition elements. I asked whether Peron was supposed already to be in southern Brazil and the Foreign Minister said he did not know from the telegram. With regard to Samuel Moreno Diaz, Rojas Pinilla's son-in-law, he had arrived in Ciudad Trujillo. He had been met at the airport by protocol officers and taken to the Hotel Paz, which was a second-class hotel owned by the Government. There he had received many telephone calls.

The Foreign Minister then said [*text not declassified*] that there had been a great deal of arms smuggling recently to furnish weapons to dissident elements in various parts of the country. He said that he had looked into it, and was convinced that the actual smuggling was purely commercial but that didn't alter the fact that the arms were getting into the hands of disgruntled elements. I said that we, too, had reports of arms smuggling, particularly from Panama, and that we had been looking into this matter to see if there were anything we could do to cooperate in stopping it. He said that they also knew that arms were coming in from Panama.

The Foreign Minister then said that he thought it would be an effective discouragement to any military men who were considering a coup if we should announce that we were sending a special mission to the Lleras inauguration. In making the announcement, he suggested that we underscore that we were sending the mission in order to express our great satisfaction at the return of Colombia to democratic government, and say anything else which would indicate that we would take it decidedly amiss if Colombia were not returned to democratic government. I said that the idea of a statement seemed to me a good one. On previous occasions I had indicated to key military men that in the event of a military coup Colombia could expect no further help from the United States. He enthusiastically agreed that this was a wise move on my part since American aid was obviously essential to Colombia

⁵ The referenced telegrams were not further identified.

in the present circumstances. He suggested that the military might be further impressed if a military figure were included in the special mission. I said that I saw the point of sending a special mission, but it was slightly embarrassing for me; I had discussed this matter with several of my colleagues, and since I understood that Lleras had not wished special missions to be sent to the inauguration, I had indicated that we were somewhat adverse to sending one unless we found that everybody else was planning to do so. The Foreign Minister said that it was a reversal of his position also. However, he felt that the circumstances warranted it.

The Foreign Minister then said that since we were talking so frankly he wanted to tell me about his experiences on the morning of May 2nd. He had gotten away from his apartment at 5 A.M. with Jorge Mejia (Minister of Agriculture) before the military police had picked him up, as they had other high government officials. They had been stopped by a patrol (he did not specify whether it was a military or police patrol), and that at that moment they saw the car of General Paris (he said "not the Junta member, but his brother"), and Santamaria had said to Mejia in English, "Let's get into this military car". They had thus safely reached the barracks at Usaquen. Santamaria and Mejia agreed that if they found the military had also risen they would simply get arrested a few hours before they would be in any case. They found a scene of wild confusion at Usaquen, since no one knew what was going on. Apparently "some 45 officers" were undecided what to do. He had hastily harangued them, pointing out that if Colonel Forero thought he could run the country in the face of popular opposition and the inability of Colombia to get "one dollar to finance imports", he was greatly mistaken. The officers appeared impressed with this argument and eventually he was taken to General Gomez Arenas, who was by that time organizing the counter-attack of the loyal forces.

I then said that since we were talking so intimately I wanted to ask him a direct question: why had the Government done nothing about the other officers who were known to be implicated in the May 2nd uprising? (I mentioned no names). The Foreign Minister smiled faintly and said he didn't know; the Junta had simply not done anything about them. [*text not declassified*]

The Foreign Minister said that he was seriously concerned at the problem of communism in Venezuela. He had heard from various Venezuelan friends that a very dangerous trend had developed in this direction. He particularly mentioned that "Mendoza", obviously the former member of the Junta, had told him how disturbed he was.

The Foreign Minister then let me read a long draft Note which he was preparing to send to the OAS with regard to a meeting of Foreign

Ministers.⁶ The date of the meeting was, as the Foreign Minister pointed out, purposely left very vague. The purpose would be to discuss the whole question of economic cooperation in the Hemisphere. I did not like the general tone of the Note and mentioned to the Foreign Minister that I didn't think we would be altogether in agreement with him, but that he of course had the right to express his own views. I particularly took exception to a paragraph suggesting that cooperation has not been as close and ample as it should have been. The Foreign Minister immediately said that he had not intended this as a criticism of the United States but rather as a statement of the undeniable fact that the Latin American republics have not cooperated among themselves. He would re-draft this paragraph and make this clear.

I said there were several things which I would like to take up with him. I first asked whether he had ascertained whether Lleras intended definitely to decline the President's invitation to visit Washington in November. The Foreign Minister said he had unfortunately failed to ask Lleras this the one time he had seen him, but he would telephone me and let me know.

I then referred to the fact that the Banco de la Republica was letting us have only [illegible in the original] pesos to the dollar on money which we are drawing against payments for agricultural surpluses. Under the present exchange system this seemed to be in clear contravention of the terms of our agreement, and I hoped that instructions would be issued to the Banco de la Republica to pay us in accordance with these terms; i.e., certificate rate plus 10%. The Foreign Minister said that the 10% matter was being handled in Washington and I agreed to this. I noted that the Colombian Government was now collecting the 10% from purchases of surplus products. He agreed to take this matter up.

I then said that I did not wish to discuss the entire religious question but there was one aspect of it which did seriously concern me. The Catholic Church was apparently putting on a systematic campaign against the Embassy and the Consulate at Cali in connection with this question. I said that I was accustomed to attacks and they didn't worry me, and that it was of course the privilege of the Catholic clergy to say what it wanted. However, it seemed to me extremely injudicious under the present circumstances to wash all of this dirty linen in public. The attacks completely misrepresented the position of the Embassy and the Consulate. They alleged that we were trying to Protestantize the country by distributing food, whereas the fact was that we were distributing the food through the Catholic clergy. Bishop Alvarez Restrepo had

⁶ No copy of the draft note described here was found in Department of State files.

been particularly active, evidently as a means of getting one Protestant missionary out of the town of Supiá. I would think that the Catholics should realize that the only people who could profit from a quarrel of this kind were the Communists. I, on my part, had repeatedly urged moderation on the Protestants and their statements, and I feared that if the Catholic attacks continued the Protestants would join in the fray. That would be no atmosphere in which to get anything done in the religious question.

The Foreign Minister said that he knew that Bishop Alvarez Restrepo had been deeply offended by his conversation with the Consul in Cali. (Why, I can't imagine - one of the two consular officers who spoke with him is a Catholic, and according to their account Alvarez Restrepo completely misrepresented the conversation). He thought that he might speak to the Nuncio and suggested I do the same. I agreed that this might be helpful.

The whole conversation lasted an hour and a half.

John M. Cabot
American Ambassador

CO-13. Telegram from the Ambassador in Colombia (Cabot) to the Department of State¹

Bogotá, October 14, 1958, 5 p.m.

187. Re DEPTTEL 107.²

Embassy believes considerable of Avianca opposition to bilateral air agreement stems from bitterness over failure of CAB to take action connection permanent permit Miami/New York route. If question Avianca permit could be settled rapidly, this complicating factor in Colombian Congress consideration of pact would be eliminated. If CAB decision favorable to Avianca we could expect less opposition for bilateral from this influential airline which presently may fear U.S. withholding adverse action until ratification achieved. Inasmuch as it

¹ Source: Department of State, Central Files, 611.2194/10-1453. Confidential.

² The referenced telegram, September 25, 1958, provided information concerning the situation in commercial aviation between the United States and Colombia should the pending bilateral air agreement fail ratification in the Colombian Congress. (Department of State microfilm telegram reels)

appears bilateral will receive tough-sledding at best in Congress, failure CAB clarify this point creates unnecessary complication in congressional consideration and the impression CAB "heckling" Avianca. Even in unlikely event CAB decision adverse, and therefore ratification fails, would serve to remove any ground for subsequent contention U.S. reserved this surprise until after Congressional action. If Colombian Congress rejects agreement, after permit granted they could not allege we were responsible because CAB had not granted Avianca permit. On other hand, if permit granted and agreement then rejected, we understand (DEPTEL 107) that permit would automatically be cancelled.

Therefore urged Department attempt to bring CAB decision to head soonest to obtain final resolution Avianca permanent permit question.³

Cabot

³Telegram 161 to Bogotá, October 24, 1958, reported that a CAB staff member had attributed delay in the Avianca case to Avianca's reluctance to submit necessary information, and that he also stated CAB review was "delayed by personnel shortages and other pressing matters." The telegram further stated the following: "Important note present Avianca tactics re Congressional approval bilateral [air agreement] similar to those employed to destroy 1951 tentative agreement. Grant permit at that time failed remove Avianca opposition and doubtful present application would achieve desired objective. Nevertheless, decision Avianca application not being deliberately delayed pending ratification." (611.2194/10-1458)

CO-14. Letter from the Vice Chairman of the Civil Aeronautics Board (Gurney) to the Secretary of State¹

Washington, November 14, 1958.

Dear Mr. Secretary:

Reference is made to a letter dated November 4, 1958 from Mr. H. Gardner Ainsworth requesting that, in view of the facts set forth therein, the Board expedite consideration of the pending application of AVIANCA for a foreign air carrier permit.²

¹Source: Department of State, Central Files, 611.2194/11-1458. Official Use Only.

²A copy of the referenced letter is attached to Department of State instruction A-108, November 20, 1958, not printed. (611.2194/10-2758)

The Board is convinced that the concern of the Colombian Congress regarding this case is due to a misunderstanding of the nature of the action being taken, and that such misunderstanding has been fostered by AVIANCA. A full explanation of the Board's position was set forth in an instruction to the Embassy early this year (No. A-139 dated February 14, 1958),³ and it is recommended that the Embassy be requested to reiterate to the Colombians the points made therein.

The Board has done its utmost to expedite this case. The prehearing conference on AVIANCA's application was held on August 8, 1957, at which time counsel for AVIANCA requested deferral of further proceedings to enable AVIANCA to obtain from the Department of State a legal interpretation of Article 4 of the United States-Colombia Air Transport Agreement.⁴ Thereafter, notes were exchanged between the United States and Colombia relating to the Board's action in the light of the provisions of Article 4 and the commitments made during the negotiation of the Agreement. In February 1958 upon the representations of Ambassador Bonsal, it was agreed that, in order to expedite the case, the Board would dispense with the usual hearing on the application and would enter into a stipulation with AVIANCA with respect to the facts which would have been covered in the hearing. The Board staff made repeated efforts to obtain from AVIANCA counsel an agreement to discuss the nature of the evidence to be submitted but the latter appeared most reluctant to cooperate. However, the matters on which information was to be furnished by AVIANCA were finally agreed and in May 1958 a list of the questions to be answered was forwarded to AVIANCA counsel. Two months later, on July 9, 1958, AVIANCA submitted documents purporting to be responsive to this questionnaire. Shortly thereafter, the Bureau Counsel who had been handling this case resigned from the Board and a new Bureau Counsel had to be assigned. Due to shortage of personnel, the vacation period, and press of other matters, the new Bureau Counsel was not able to review the AVIANCA submission until October. On October 27, 1958, AVIANCA counsel was notified that the AVIANCA submission did not respond adequately to the questionnaire and he was requested to file the necessary additional information at the earliest possible date. As of November 13 AVIANCA had still not supplied this information.

You may be assured that the Board has no intention of delaying completion of this case until the Colombian Congress has ratified the Agreement. As soon as AVIANCA submits the information necessary

³ Not found.

⁴ Apparent reference to the Air Transport Agreement and related exchanges of notes, signed at Bogotá, October 24, 1956, and entered into force provisionally, January 1, 1957.

for the Board to reach a decision on the application, the processing of such data within the Board will be expedited.

Sincerely Yours,

Gurney
Vice Chairman

CO-15. Memorandum from the Deputy Assistant Secretary of State for Inter-American Affairs (Snow) to the Under Secretary of State for Political Affairs (Murphy)¹

Washington, December 1, 1958.

SUBJECT

Disquieting rumors of revolutionary plotting in Colombia.

Facts:

General Gustavo ROJAS Pinilla was overthrown as dictator-president of Colombia on May 11, 1957. For a year he was in exile in the Canary Islands. On October 12, 1958, despite warnings from the Colombian Government he returned to Bogotá, avowedly to "vindicate his honor". His presence in Colombia has occasioned considerable plotting, some of it overt but most of it covert. Rojas himself has been defiant and contemptuous toward the Government, which is planning to bring him to trial on December 15 on a series of charges ranging from violation of the Constitution and Laws to "indignities". The Senate has been conducting hearings on these charges for some time, and has its case against him ready to present.

Current Situation:

Our Embassy has from the moment of Rojas' return expressed concern at the course events were taking and the danger of a violent overthrow of the democratic National Union Government headed by Dr. Alberto LLERAS Camargo. The Embassy has based this concern on the testimony of sources close to Rojas, but Rojas himself has not been hesitant about declaring openly his expectation that there will be an uprising in his favor. One source claims that 70% of the Armed forces, including

¹ Source: Department of State, ARA/WST Files, Lot 62 D 106, "Rojas Pinilla." Secret. Drafted by Gerberich.

the Commander General of the Armed Forces and the Commander of the Air Force, are inclined toward Rojas. Sources of our confidential agency deny this, as do officers of the local Embassy. However the most recent messages from Bogotá [*text not declassified*] are quite alarming, as they indicate Rojas wants a showdown, that his supporters are “ready” in six or seven of the fourteen states of Colombia, and that morale is disintegrating in the Army. It should also be noted that certain Embassy sources that formerly discounted the possibility of violence have now revised their opinion.

Evaluation:

The next two weeks may be critical in Colombia. If the Armed Forces are loyal, there is no danger. If the Embassy’s sources are truthful, and not just propagandists and alarmists, it may be difficult, if not impossible, to bring Rojas to trial and convict him (which would doubtless mean expelling him from the country). His own recent statements in private to the Secretary of the Senate—that rivers of blood will flow and that there will not be enough lampposts in Bogotá for all these designated for hanging—show plainly enough that his own intentions are evil. We shall have to expect a continuance of disquieting information until the crisis is passed, on or about December 15.²

² A notation on the source text, initialled by Murphy, read as follows:

“Does ARA feel there is anythings we shd do?”

CO-16. Letter from the Ambassador in Colombia (Cabot) to the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Bogotá, December 12, 1958.

Dear Dick:

I am writing to pass on to you a couple of items which I think you may find of interest.

The first is that exactly a week before President Lleras announced the Government’s drastic measures to forestall a coup, I had privately

¹Source: Department of State, Central Files, 721.00/12–1253. Secret; Official-Informal.

warned Foreign Minister Turbay of what we knew from several sources was impending. Two nights ago Turbay told me that our information had been very useful. You will recall that I did the same thing with Santamaria in the case of the May 2nd coup but, unfortunately, they did not pay adequate attention to what I told them. I suppose that this is interference in their internal affairs, but my impression is that both Santamaria and Turbay were very appreciative. In any case, it would have been a major disaster for Colombia and for our relations with Colombia if either coup had succeeded, so I feel that it was wise to pass the information along. I believe that you agreed with this thought in the first instance.

The other matter which I wish to mention is that we are beginning to move very quietly again on the religious front. I have just suggested to Lazear of the Presbyterian Colegio Americano, Executive Secretary of the Evangelical Confederation of Colombia, that, in my opinion, it would be a good move to send one of the Colombian Protestant leaders to see Amaya Ramíres, Minister of Government, and find out whether the present Government would be willing to relax further the restrictions on Protestant activities in Colombia. My reasons for feeling that the time to move has come are: (1) violence is very much diminished, thereby striking out the pretext which has been given heretofore for doing nothing; (2) while the state of siege has temporarily been restored, I think it will be raised within a few days; (3) with all of the talk about human freedoms in Colombia, it is certainly an anomaly that freedom of worship should still be restricted; and (4) the Government has removed restrictions against Communists, and it is therefore strange that they should be maintained against Protestants. Moreover, we have intimations that both the Liberals and Laureanistas view the Protestant situation as anomalous, and that there may be a more or less spontaneous protest against the maintenance of restrictions against Protestants. If we can possibly get the Government to move on a basis of pressure from Colombians, I think we shall be very much better off than if we bring the pressure ourselves, so I want to see what this will produce. We may of course find the water icy, and would then have to decide what, if anything, we should do further; but then again the water may turn out to be tepid to warm. We shall of course let you know if anything develops.

With all good wishes of the Season,

Very sincerely yours,

John M. Cabot

**CO-17. Letter from the Assistant Secretary of State for
Inter-American Affairs (Rubottom) to the Ambassador
in Colombia (Cabot)¹**

Washington, December 22, 1958.

Dear Jack:

I have received and read with interest your letter of December 12² and I agree with you that the overthrow of the new National Union government would have had serious consequences not only for Colombia but for our relations with their country as well. We are, as you know, hopeful that this effort to restore democracy in Colombia will have every chance for success. We were, therefore, concerned when Rojas was permitted to return and were relieved when Lleras acted firmly and decisively. The action you took, which apparently contributed to this good end, was of course a delicate one. I am sure you weighed all the possibilities and will do so in any future situations of this kind.

You are in close touch with the religious situation, and I am confident you will decide what might best be indicated. I certainly agree that the initiative should come from the Protestants, as you have suggested. From here it looks as though the religious situation greatly improved during 1958. We rarely get any complaints now regarding this problem.

You will be interested to know that recently we were told confidentially that the National Council of Churches plans to accept the offer of the Roman Catholic press and is going to appoint Dr. Stewart Herman of the Lutheran World Council as its member of a fact-finding mission to Colombia to report on the situation as it now exists. We tried to discourage this by pointing out the religious situation is relatively quiescent for the first time in ten years, and it seemed risky to disturb it by any inquiry now. Nevertheless, we were told that the Protestants feel obligated to go ahead with these plans, since in the past they have criticized the Catholics for failing to carry out their promise to do just what is now contemplated. If these plans go through, Mr. Seamons of

¹ Source: Department of State, Rubottom Files, Lot 60 D 553, "Colombia 1958." Secret; Official-Informal. Co-drafted by Ernest V. Siracusa, Director of the Office of West Coast Affairs, and Gerberich on December 19. The source text is a carbon copy bearing Rubottom's typed name.

² Document CO-16.

SEV (our liaison man with religious organizations), will know of it, and we will inform you, we hope with sufficient anticipation.³

In closing I should like to express to you and Mrs. Cabot our best wishes for the holiday season.

Sincerely,

R. R. Rubottom, Jr.

³In despatch 493 from Bogotá, January 23, 1959, the Embassy reported remarks made by Ricardo Samper, Secretary of Information in the Presidential Palace, to a reporter concerning the question of reopening Protestant churches in Colombia. According to the despatch, Samper indicated that the Colombian Government did not intend to alter the status quo regarding restrictions against Protestants in Colombia, or to rescind orders issued under the Rojas regime which resulted in the closing of Protestant churches and schools in Mission Territories, because it did not want to exacerbate difficulties with opposition groups or incur the antagonism of the Catholic Church. A portion of the despatch read as follows: "When asked how long he thought it would be before some move [by the Government] were made, particularly in the Mission Territory situation, he guessed it might be a year and a half, explaining that this was purely a personal estimate." (821.413/1-2359)

The Embassy reported in despatch 513 from Bogotá, January 30, 1959, that it had learned "that a number of additional Protestant Churches have been able to reopen in Mission Territories with the permission or acquiescence of the local authorities and apparently without creating incidents of any magnitude." (821.413/1-3059)

CO-18. Memorandum of Conversation, by the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Bogotá, February 13, 1959.

PARTICIPANTS

Colombian President Lleras Camargo
Colombian Foreign Minister Turbay Ayala
R. R. Rubottom, Jr.

DATE

February 1959

PLACE

Bogotá, Colombia

While visiting Colombia I had separate conversations with President Lleras Camargo and Foreign Minister Turbay Ayala.² I covered the following principal points with them:

¹Source: Department of State, Central Files, 821.2333/2-1359. Confidential.

²Assistant Secretary Rubottom visited Colombia, February 7-10, 1959. Copies of briefing papers prepared for his visit are in ARA/WST Files, Lot 63 D 20; additional documentation is in decimal file 721.00(W).

Coffee—I told them that the U.S. is following the coffee problem with continuing and sympathetic interest. I recognized the importance of coffee to Colombia and the other countries of Latin America and had hesitated to accept their invitation to visit Colombia because I did not want to be drawn into public comment about coffee due to the impact on the market which anything said by a public official would have. The coffee producing countries should not pass the responsibility to the U.S. to bring some order to the coffee market through import quotas. They could achieve the same end by applying export quotas. Nevertheless, several officials in the Department of State are undertaking to explain the serious nature of the instability of the market to others in the government and to some members of the Congress. I referred to my discussion with Majority Leader Lyndon Johnson³ and to the intention of Mr. Mann and myself to contact several individual members of the interested committees in the Senate as well as the House of Representatives.

Meanwhile, I said, Colombia would have to use all of its influence on Brazil especially and on the other coffee producing countries to maintain the present pact if chaos was to be avoided. This they seemed to recognize was the case, and they said that they were spending practically full time on Brazil.

Caribbean Political Situation—I expressed the concern which the U.S. holds for the emerging political situation in the Caribbean area, following the victorious revolution in Cuba. I said that the principle of non-intervention had come under fire and that yet it seemed to the U.S. that this principle, perhaps more than any other, was at the root of the democratic growth in Latin America. To this they agreed. I urged them to use all of the influence which Colombia has, and it is outstanding I said, to persuade their sister republics not to throw over the very foundations of the Inter-American system which we had all fought for, for so long.

The Foreign Minister told me that the Cuban Government had sent a special emissary to talk to Colombian officials and mentioned that they had made their views regarding non-intervention quite clear to him. They had expressed firm disapproval of the executions in Cuba and of the public statements regarding Cuban support of efforts to overthrow other governments in the area. They had told him that if intervention under democratic regimes was to be tolerated, it would also take place under less attractive regimes.

President Lleras Camargo mentioned the call of the Cuban emissary on him but did not tell me in as much detail of their discussion as did the Foreign Minister.

Colombian Political Situation—I complimented the President and the Foreign Minister on the way in which Colombia had managed

³ No memorandum of the referenced discussion was identified.

its affairs through the past difficult months. They said that the people had responded whole-heartedly to the austerity program and had cooperated with the national front. They feel, however, that the political situation will deteriorate rapidly if coffee prices drop much further and if economic prospects do not improve. Colombia had undergone quite a challenge with the return of Rojas Pinilla. People had not really expected him to return but the legal processes were being carried out now that he had. The trial will probably last another two or three weeks in the Senate and then he will be turned over to the Courts. Violence has abated in the worst areas of a year or so ago, but it has cropped up again in Caldas and northern Boyaca. Squatters are moving in on properties and are creating quite a serious problem.

I stressed the role that Colombia has played traditionally in the OAS and in the UN and the great satisfaction which I took from seeing Colombia return to its outstanding position of the past.

Diplomatic Asylum—The Foreign Minister said that Colombia is preparing to submit certain amendments to the convention on asylum for consideration at the Quito conference next year. They are in a difficult situation with Guatemala and Nicaragua, the embassies of both of these countries having given asylum to common criminals. They feel that the traditional rules of asylum should be respected and that the asylum-granting country should determine when asylum may properly be granted, but the abuse must stop if the principle of asylum is to continue. One thing they have in mind recommending is that asylum should not be granted to military officers on active duty.

CO-19. Memorandum from the Deputy Director of the Office of West Coast Affairs (Silberstein) to the Deputy Assistant Secretary of State for Inter-American Affairs (Snow)¹

Washington, March 19, 1959.

SUBJECT

Political Situation in Colombia; "Alternation" issue.

¹ Source: Department of State, Central Files, 721.00/3-1959. Confidential. Drafted by Gerberich.

As you have seen, the trial of Rojas before the Senate has ended with his conviction on two charges, violation of the Constitution and conduct unbecoming a president. After the Senate has sentenced him he will presumably be tried before the Supreme Court on criminal charges. The most the Senate can do is deprive him of political rights and pension.² If convicted on criminal charges the Supreme Court can theoretically jail him or exile him.

The inglorious showing made by Rojas at his trial and the public apathy with the proceedings have already gone far toward removing him as a serious threat to the stability of the National Union Government, whose enemies hoped the trial would discredit it beyond redemption. A more serious issue remains to be resolved, the matter of “alternation” of the presidency, coupled with increasing opposition to Lleras amongst leftist Liberals.

At the time of the plebiscite in December 1957, to amend the Constitution to provide for parity between the two parties in the Government, the joint candidate was Guillermo León Valencia, a Conservative. It was subsequently demonstrated that Valencia did not enjoy the support of a majority of his party, and as a result Lleras, the liberal, became the candidate by agreement between the Liberal and Conservative directorates, and Valencia voluntarily withdrew. This necessitated the introduction of a new legislative act to succeed the legislation already in force, so as to provide for alternation of the presidency, beginning with a Liberal instead of a Conservative. It was also agreed between the two party directorates that the act would provide that the alternation provision should run for 16 years, instead of 12, as originally approved by the plebiscite.

The new Act provides the following:

(1) The Presidency shall alternate between the two parties from 1958 to 1974, a Liberal followed by a Conservative in 1962–1966, then a Liberal again, and finally a Conservative from 1970 to 1974.

(2) The person who shall replace the President in office (the designated or other official as provided by the Constitution) shall be of the same party as the President.

(3) Parity in legislative bodies as provided in Article 2 of the Constitutional Reform of December 1, 1957 plebiscite shall be extended to 1974.

According to the Constitution, an Amendment must be passed in two consecutive sessions of Congress and be published in the *Diario*

²Telegram 499 from Bogotá, April 2, 1959, reported in part the following: “Following March 17 Senate verdict finding ex-President Rojas Pinilla guilty, Senate last night declared Rojas ‘unworthy’ and sentenced him to permanent loss political rights, pension and right to serve in armed forces.” (721.00/4–259)

Official promptly in order to be effective. In the August, 1958, session, the Amendment breezed through both houses (122 to 3 in the House, 75 to 0 in the Senate) and was published in the *Diario Oficial* on August 30. It must now come up again after Congress convenes in July. After it has passed both houses and has been signed by the president it becomes law.

Opposition has arisen to the alternation provision in the Liberal Party. The so-called leftist group, especially former followers of Gaitán, want the Liberals to keep control of the Government, since the Party demonstrated in the last election that it controls many more votes than the Conservatives. Moreover they do not trust Laureano Gómez and his followers and fear the Conservatives will perpetuate themselves in office if they get in again. Lleras cannot permit his party to take a stand against alternation; to do so would be to deny his own handiwork as co-founder of National Union.

A National Liberal Convention has been called to fight this issue out, and it has been in session since March 16. Alfonsito López just returned from semi-exile in Mexico, who is said to be supported by his father, ex President López, is leading the fight against alternation. Carlos Lleras Restrepo has resigned as sole chief of the Liberal Party, feeling that his leadership is not being supported. Alfonsito López is said to have described him as an "oligarch" and "autocrat" and wants him replaced by a man from his own faction. Ex-President Santos has come strongly to the defense of Lleras and his determination to stand by the National Front and demands that he be urged to reconsider his resignation. This seems to align Santos and López, the two ex-Presidents against each other.

President Lleras has also been having some trouble within his cabinet, for which the factionalism within both parties is partly responsible, and also differences of opinion as to how to deal with transportation, labor and the recent demonstrations against raised bus fares and prices of food-stuffs. All his cabinet officers and governors have now resigned to give him an opportunity to appoint men he can rely upon.

The bitter feuding between followers of Conservative ex-Presidents Gómez and Ospina has already been a serious problem for President Lleras to handle. It will be a worse headache if he has to cope with a feud between the two ex-Presidents of his own party and their supporters. Meanwhile there are rumors of Rojistas and Communists getting together to oppose the National Union in every way possible. Lleras has a stormy situation confronting him, but predictions are that he will ride it out. His recent threat to resign office if the alternation provision is defeated will cause his opponents, as well as "neutral" Liberals, to pause before forcing him to this decision.

CO-20. Telegram from the Ambassador in Colombia (Cabot) to the Department of State¹

Bogotá, July 13, 1959, 4 p.m.

40. President today pointed fact two years since overthrow dictatorship had been ones of austerity and economic pressures on populace. Colombia inherited many burdens from dictatorship but has nevertheless met its obligations and repaid all it could on outstanding indebtedness. Serious danger exists that if austerity too long continued Colombian people will lose faith in democracy. Under these circumstances *President asked what I thought prospects were that Colombia could secure large development credit (he mentioned \$200 million) for economically justified projects.* He mentioned one difficulty this connection which is Colombia's inability within budget to provide pesos for Colombian share of projects, and he naturally does not want to print them. He said government is now drawing up broad plan to present in Washington if atmosphere favorable.

I said I knew high prestige Colombia enjoyed in Washington due excellent financial record post-dictatorship government. Under circumstances I thought possibilities getting development loan fairly promising provided Colombian representations convinced loan agencies Washington that plan is economically sound and loan can be serviced. I suggested that when plan elaborated in sufficient detail it be informally discussed in Washington.

Cabot

¹ Source: Department of State, Central Files, 821.10/7-1359. Confidential.

CO-21. Telegram from the Acting Secretary of State to the Embassy in Colombia¹

Washington, July 22, 1959, 6:03 p.m.

46.

Embtel 40.² In view economic record GOC, Department and Eximbank sympathetic problem raised reftel re development credits. If you believe further response by Embassy is necessary, or if question again raised by President or other officials, you should take sympathetic and cautiously encouraging line, being careful not to arouse exaggerated hopes.

Specifically, following points should be made in any further discussion this subject with GOC:

(1) Re "broad plan" mentioned by President, U.S. agencies appreciate value of sensible overall program but do not, repeat not, make practice of underwriting such programs or fixed percentage thereof. Long established policy is rather to consider development credits on project by project basis.

FYI. In any case \$200 million is overly ambitious in terms of available resources of U.S. lending agencies and current economic position of Colombia.

End FYI.

(2) Sound high priority projects within Colombia's debt-servicing capacity will receive careful consideration on evidence of maximum self-help effort.

FYI. Eximbank has taken this position in contacts with Colombian officials for several months. End FYI.

(3) Re local currency requirements, Colombia must look to own resources, possibly supplemented by PL 480, Title I proceeds. Policy of DLF is to finance local costs "only if it is clearly demonstrated that there are no other ways to finance such local costs without seriously jeopardizing the economy's financial stability" and to require dollar repayment when, in opinion of DLF, borrower's situation warrants.

¹ Source: Department of State, Central Files, 821.10/7-1359. Confidential. Drafted and signed by Alexander M. Rosenson of the Office of Inter-American Regional Economic Affairs; cleared with the Office of West Coast Affairs, the Economic Development Division in the Bureau of Economic Affairs, Treasury Department, Export-Import Bank, and in substance with the Development Loan Fund.

² Document CO-20.

(4) Stress no commitment can be made pending receipt and thorough study specific projects.

Dillon
Acting

CO-22. Telegram from the Acting Secretary of State to the Embassy in Colombia¹

Washington, September 11, 1959, 6:59 p.m.

123.

Copete² and Franco³ presented Eximbank detailed estimate \$118 million balance of payments deficit July 1959 through December 1960. In general tentative terms Copete broached possibility following treatment: \$20 million by use of IMF resources; \$25 million from U.S. commercial banks; \$23 millions by rescheduling 1960 payments due Eximbank; \$20 million new Eximbank credit for trucks, buses, taxis; \$30 million by use of Colombia's own foreign exchange reserves. In addition to above, considering possible new \$15 million standby arrangement with IMF.

Eximbank has expressed willingness discuss problem further with Colombians but has pointed out its reluctance continue engage in balance payment operations. Bank has advised Copete he should first work out IMF drawings and standby.

DILLON (Acting)

¹ Source: Department of State, Central Files, 821.10/9–1159. Official Use Only. Co-drafted by Richard A. Poale of the Office of West Coast Affairs and Charles J. Shoban of the Export-Import Bank; signed by Silverstein.

² Ignacio Copete Lizarralde, Manager of the Colombian Central Bank.

³ Jorge Franco Helguin, Chief of the National Planning Department in the Colombian Government.

CO-23. Memorandum of Conversation, by the Officer in Charge of Colombian Affairs (Gerberich)¹

Washington, September 23, 1959.

SUBJECT

Bilateral Air Agreement with Colombia

PARTICIPANTS

Julio César Turbay, Colombian Minister of Foreign Affairs
José Gutiérrez Gómez, Colombian Ambassador
Mr. Rubottom, ARA
Mr. Silberstein, WST
Mr. Gerberich, WST/CO

Dr. Turbay said that, as we were aware, the Colombian Congress has not yet ratified the Bilateral Aviation Agreement, signed in 1956, which entered provisionally into force in January, 1957. He said that he has encountered opposition to it for the following reasons: (1) it was negotiated and signed by the Rojas Government; (2) it provides that the Agreement enters into force provisionally from the date of signature, whereas under Colombian law all agreements enter into force from the date of ratification; (3) there have been some questions raised regarding flight frequencies. On this last point Dr. Turbay was not at all precise.

Mr. Rubottom said that we have been concerned with the failure of the Colombians to ratify the Agreement. We have believed all along that the negotiations were carried through to a successful conclusion after all legal and constitutional provisions had been carefully considered and observed. We have been at great pains to satisfy the Colombians when they have raised any questions in connection with the Agreement, the most recent of these being our activity in urging that approval of Avianca's landing permit be expedited. He urged that the Foreign Minister take whatever steps he appropriately could to urge ratification by the Colombian Congress.

With regard to the specific questions raised by the Foreign Minister Mr. Rubottom offered to arrange for a meeting between the Colombians and our aviation technicians before Dr. Turbay returned to Colombia. It was accordingly decided that Department officers would meet with

¹ Source: Department of State, Central Files, 611.2194/9-2359. Official Use Only. Drafted by Gerberich on September 29; initialed by Rubottom.

the Foreign Minister and the Colombian Ambassador at the Embassy residence at 5:30 p.m. on Friday, September 25.²

² On September 25, a group of Department of State officers, including Henry T. Snowden, Chief of the Aviation Division, Silberstein, and Gerberich, met with Foreign Minister Turbay and Ambassador Gómez to discuss further the pending bilateral aviation agreement. During the discussion, Turbay elaborated the points he made to Rubottom two days earlier. The memorandum of the conversation held on the 25th, prepared by Gerald W. Russell of the Office of Inter-American Regional Economic Affairs on September 29, records the outcome as follows:

“The Foreign Minister then said that he wanted to be in as good a position as possible to answer his Congress when presenting the Agreement and requested an official memorandum

- (a) Pointing out that the agreement is similar to 52 others
- (b) Explaining the spirit of Article 4
- (c) Outlining how the U.S. would view investments and loans, in so far as ownership and control are concerned; and
- (d) The U.S. view on frequencies.

It was agreed that such a memorandum would be made available to the Colombians in the near future.” (611.2194/9-2559)

CO-24. Editorial Note

By an exchange of notes signed at Bogotá, April 5 and 7, 1960, and entered into force on the latter date, the United States agreed to transfer to Colombia on a five year loan basis, renewable for an additional five year period, one destroyer pursuant to the provisions of Public Law 85-532, an act authorizing the transfer of naval vessels to friendly foreign countries, enacted July 18, 1958. For text of the notes, see 11 UST (pt. 2) 1315; for text of the act, see 72 Stat. 376.

The destroyer loan agreement between the United States and Colombia was amended by an exchange of notes signed at Bogotá, July 25, 1960, and entered into force on the same date. For text of the notes amending the agreement, see 11 UST (pt. 2) 2102.

CO-25. Memorandum from the Director of the International Cooperation Administration (Riddleberger) and the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Under Secretary of State (Dillon)¹

Washington, March 25, 1960.

SUBJECT

Proposed Program for Assistance to Colombia's Agrarian Reform Program

Problem:

When Colombian President Lleras Camargo makes his official visit to Washington, April 5-8,² he is expected to inform us of his strong interest in obtaining U.S. Government assistance for Colombia's land reform program. We believe we should respond very sympathetically looking toward the possibility of subsequently extending a loan or loans to assist Colombia in its land reform program—more specifically in programs of land development and settlement.

Discussion:

1. In Colombia, as in other under-developed Latin American countries, the basic economic problem in which progress is essential to the achievement of U.S. objectives is two-fold: (a) How to increase the national income; (b) how to achieve its more equitable distribution.

2. The bulk of our economic aid—grants, loans, technical assistance—is devoted primarily to problem (a), to increasing the national income. However, a greater peril to our objectives may lie in problem (b),—in the potential popular reaction against the inequitable distribution of income and in the popular identification of the United States with the wealthy. No matter how much progress governmental and private capital may make in raising the national income, that very progress and our basic objectives will remain in grave danger if gross disparities persist in income distribution. While continuing our efforts to promote economic growth, we need to devise ways through which our aid may be more effective in achieving progress toward a more

¹Source: Department of State, Central Files, 821.16/3-2560. Confidential. Drafted by Wymberley D. Coerr of the Office of West Coast Affairs on March 23; revised by William V. Turnage, Special Assistant to the Assistant Secretary of State for Economic Affairs, and Dennis A. Fitzgerald, Deputy Director for Operations, International Cooperation Administration. The memorandum was concurred in by Turnage, John O. Bell, Special Assistant for Mutual Security Coordination, and Charles R. Harley, Chief of the Latin American Division, Office of International Finance, Treasury Department.

²See the Editorial Note, Document CO-27.

equitable distribution of income and in identifying the United States with legitimate popular economic aspirations.

3. *Need for Program:*

a. *Colombia's urgent need.* On one hand, Colombia has much arable land not in economic use—governmental lands that are underdeveloped and generally difficult of access, and private lands that are under very light use or completely in disuse. On the other hand, Colombia has hundreds of thousands of small farmers working tiny infertile plots or dispossessed from their lands by guerilla violence and idle in huge festering urban shanty-towns. Our Embassy reports, and we agree, that the “fundamental question facing Colombia and, therefore, the Lleras Administration is whether social and economic betterment for the large underprivileged majority of the Colombian population can be achieved sufficiently rapidly in an evolutionary manner to avoid an attempt to achieve the same ends by revolutionary means,” and “. . . a major front . . . is . . . land reform.” Colombia needs agrarian reform both politically, to decrease the risk of insurrection, and economically, to increase agricultural production.

b. *President Lleras wants assistance.* President Lleras has told our Embassy: a) The question of providing land to the millions of poverty-stricken peasants in Colombia was a crucial and urgent one; b) the danger of Communist exploitation of this situation was great and imminent; c) the Colombian Government's financial sources for mounting such a program were very limited; d) U.S. assistance in an agrarian reform program in Latin America would make a tremendous impact throughout the continent, and the United States should pick some country for an example (*ensayo*); e) such assistance would insure the moderate evolution of agrarian reform and avoid the extremist solution from exploding as in Cuba.

c. *Evolutionary progress in agrarian reform is urgently required in U.S. interests.* Castro agents and Cuban Communists are working with their Colombian fellows among the peasants, selling the Cuban type agrarian reform which, in effect, invites land “reform” by violent take-over. Their activities could precipitate insurrection that would lead to unsound Colombian land reform and to a political defeat for the United States. USOM/Bogotá reports Communism is “capitalizing on the fact that many peasants have nowhere to go while large tracts of land are held by city people for purely speculative purposes.” President Lleras has about 2-1/2 years left in office in which to demonstrate his moderate government's intentions and ability effectively to tackle Colombia's basic problems. It is essential that we effectively help him to deny to the Communists the monopoly of hope.

d. *Support for agrarian reform is in accord with U.S. policy.* Speaking to the Tenth Session of the FAO Conference in Rome in November

1959,³ Mr. Horace Henderson, Deputy Assistant Secretary of State for International Organization Affairs, reaffirmed our recommendation "that same land reform or agrarian reform is in some countries essential to economic and social development. We reaffirm our support for the concepts of land reform as embodied in resolutions of the General Assembly of the UN, the Economic and Social Council and the FAO Conference." With regard to Congressional opinion, two Senators who recently visited Latin America have reported as follows: "... we should be entirely sympathetic when a South American Government which has formulated a just and equitable land reform program needs capital to provide compensation for the land" (Senator Morse); "... the United States should adopt a more realistic lending policy ... in regard to loans for social reform or welfare projects, as ... land redistribution" (Senator Aiken).

e. *Colombia already is attempting a sound approach to agrarian reform.* President Lleras Camargo, internationally respected leader of Colombia's governing alliance between liberals and conservatives, both of which are economically conservative and regarded in Colombia as "the oligarchy," is pushing land reform efforts on several fronts. By tax inducement he is attempting to stimulate the greater utilization of private lands. By legal provisions making available some deposits of commercial banks and savings funds for agricultural credit, he is attempting to increase production under existing ownership. Through the Caja de Credito Agrario (Agrarian Credit Institute), he is attempting a program of resettling landless peasants on governmental lands. Through the application of a seldom-used law of 1936 providing for the expropriation of private lands that are not being and have not been used for over ten years, the Caja has expropriated (with compensation) some few private holdings. ICA has been assisting the Caja with technical assistance and PL 480 funds. However, the efforts so far have only begun to scratch the surface of the problem and there is considerable need for additional assistance.

4. *Proposal for U.S. Aid*

Meaningful agrarian reform involves much more than providing the landless with land. Almost invariably it involves agricultural credit, and it may involve the development of adequate land classification, land title procedures, rural facilities such as roads and schools, and even markets. Last but not least, it requires an unusual degree of governmental administrative capacity. Thus, it is first necessary to work

³ The referenced session of the Food and Agriculture Organization of The United Nations met in Rome, October 31–November 29, 1959. For the text of Deputy Assistant Secretary Henderson's statement, see the Department of State *Bulletin*, December 14, 1959, pp. 887–889.

out detailed plans for agrarian reform. Perhaps a high priority project would be the preparation of farm sites and the settlement of landless peasants on selected areas, including the construction of roads and the provision of credits to facilitate crop cultivation. At this time Colombia needs assistance in the preparation of such plans and it is proposed that the U.S. Government offer to provide through increased technical assistance about \$100,000 to help undertake the studies and develop the plans needed. It should be recognized that such studies will probably result in requests for financial aid to assist in implementing projects which might be proposed. The U.S. Government should indicate to President Lleras Camargo that a sound projects so proposed *could be considered for financial assistance* either by U.S. Government financing agencies or by international institutions provided such projects met appropriate criteria of these agencies or institutions. The President should also be informed that external aid can only supplement internal efforts in a small way in successful programs of agrarian reform. The bulk of the resources required must be provided from internal sources, in order not to burden unduly the debt-carrying capacity of the country to the prejudice of other forms of economic development which will require the import of Equipment.

Recommendation:

That President Lleras, when he comes here, be informed that the United States, (1) is keenly aware of the urgency of Colombia's need for improving the lot of Colombia's rural population, (2) views with great sympathy and interest the efforts he is making in that direction, (3) would be prepared to consider a request to participate with the Government of Colombia in carrying out studies which might develop specific and constructive projects to that end, (4) would be prepared subsequently to have sound projects considered for financial assistance either by U.S. Government financing agencies or by international institutions, provided such projects met appropriate criteria of these agencies or institutions, (5) to the extent that the national currency of Colombia might be accumulated through PL 480 programs or in other ways, the United States would be prepared to consider requests from Colombia that this national currency be used in connection with the agrarian reform program. Where the requirement is for foreign currency, loan requests would be considered on their merits.⁴

Approved: _____⁵

Disapproved: _____

⁴ A position paper concerning President Lleras' interest in obtaining assistance for Colombia's agrarian reform program, drafted by Coerr, is filed under 821.16/3-2560.

⁵ Dillon initialed his approval on March 26, 1960.

CO-26. Telegram from the Ambassador in Colombia (McIntosh) to the Department of State¹

Bogotá, March 25, 1960, 6 p.m.

439.

DEPTEL 442²

Following arrival Valeriano,³ I contacted Alberto Gonzalez Secretary General presidency requested permission bring Valeriano with me in my farewell call upon President today. President sent word due lack time unable receive Valeriano but would be glad have me present preliminary report⁴ which I did today during half hour private talk. President listened attentively to my exposition but made no significant comments on substance of report or on question GOC ability and willingness to finance recommended programs; nor did he comment on offer of helio-courier plane. He stated he would read report soonest and possibly would be in position to give me some comments upon arrival in Miami April 4. I stressed our desire for his early reaction indicating that both Colonel Valeriano and Chargé Wells would be available at anytime before his departure for further discussions. (Obviously, Lleras preoccupied with post-election problems and preparations for U.S. visit). In circumstances Embassy will not attempt to press him further for reaction before his departure.

As for Embassy reaction I consider preliminary report good staff study violence problem for internal U.S. consideration of basic question whether we willing take political decision provide GOC with MAP assistance on grant basis for internal security. Embassy has always understood primary mission survey team was facilitate our determination this policy issue. Therefore, we less than enthusiastic at presentation this preliminary document President Lleras before we had reached this policy decision, especially in hurried circumstances unlikely permit adequate discussions with Lleras re significance and scope recommendation.

¹ Source: Department of State, Central Files, 721.5-MSP/3-2560. Secret; Priority; Limit Distribution. This telegram was transmitted in two sections.

² Reference uncertain; Department telegram 442 is dated April 24, 1959, and does not relate to the subject under discussion. (102.6/4-2459)

³ Colonel Napoleon Valeriano.

⁴ Apparent reference to an earlier version of the "Report of the Colombia Survey Team," dated April 1960, concerning violence in Colombia and possible methods for dealing with the problem. The report covers the period October–December 1959; a copy is filed under Department of State decimal file 721.00/4-3060.

This connection I point out first, report start on inaccurate premise that Lleras requested U.S. expert assistance when actually he asked for certain MAP equipment and material re grant basis, and accepted our offer survey team with some hesitance (see Embassy despatch 1 July 1, 1959⁵ and previous.⁶) Secondly, as report itself states, reveals nothing new as regards problem nor any new methods not already being considered raised to some extent by Colombians themselves. Thirdly, recommendations seem imply package assistance deal with heavy emphasis on assistance in form U.S. advisory personnel with little attention to initial Colombian request for MAP material. Acceptance by Lleras of large number U.S. advisory personnel may present him with tough political problem. Fourthly, as regards financing program, should be recalled that basis for Lleras original request was alleged inability GOC budget handle cost military equipment needed. We therefore appear in odd position asking him now whether GOC can afford costs program we recommend. Do we contemplate defraying entire costs advisory groups?

As to intrinsic merits of report, while it generally accurate I have impression that it missed some nuances and sensitivity to Colombian picture. For example recommendations three and four imply assumption army political. While army not now in politics and demonstrating no present inclination enter in, it is still potentially capable political action and is largely conservative in orientation. Hence entirely possible that neither Lleras nor liberal party would wish beef up army's political potential through psychological warfare or civic action programs, however intrinsically logical this may seem from pure violence problem viewpoint.

Second impression is that recommendations would heavily involve us in internal operations, as for example having civil affairs advisor "take active part in planning and implementing regional rural civic action type programs". I note also that we would be perilously close intervention insensitive sectors judging from Annex page VIII of working paper. While I appreciate merits of utilizing Colombian institutions as suggested in Annex I page VIII of working paper, careful thought must be given long range developments and political wisdom this course. We will be closely identifying ourselves with internal Colombian policy without really knowing what will happen in two

⁵ Not printed; 721.5–MSP/7–159.

⁶ Apparent reference to despatch 804, June 24, 1959, not printed. (721.00/6–2459)

years or how long friendly or sympathetic elements will continue in government. Such internal involvement could come back to haunt us.

This connection, Department should realize that Colombia on eve of adaption to new political balance as result elections and this situation will undoubtedly cause President take more time in assessing recommended program in relation domestic situation. Working paper could not of course reflect subtle shifts now taking place, and in fact probably not possible assess these for few weeks yet.

Am surprised and disturbed that working paper dated February 1st⁷ which was available in Department since early February was not sent to Embassy for comment.

McIntosh

⁷The referenced working paper was not further identified, and no copy of a document matching the description here was found in Department of State files.

CO-27. Editorial Note

President Alberto Lleras Camargo of Colombia made an official visit to the United States in April 1940. He spent the period April 5-8 in Washington participating in official discussions with President Eisenhower and other United States officials. Thereafter, he traveled through parts of the United States, ending the official phase of his visit on April 14. After spending three days in Miami Beach, Florida, he departed for Colombia on April 17. Documentation relating to preparations for President Lleras Camargo's visit, including briefing materials and position papers, are in Department of State decimal file 721.11, and the following Department of State lot files: ARA/WST Files, Lot 63 D 20; Conference Files, Lot 64 D 559, CF 1621-1622. For additional documentation, see Department of State *Bulletin*, November 16, 1959, p. 718.

CO-28. Memorandum of Conversation, by the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, April 6, 1960.

SUBJECT

Secretary's Call on President Lleras Camargo of Colombia

PARTICIPANTS

President Lleras Camargo of Colombia
The Secretary
Ambassador Carlos Sanz de Santamaria
Ambassador Dempster McIntosh
Assistant Secretary Rubottom

The Secretary asked the President whether it would be worthwhile from his standpoint for a joint communiqué to be issued at the end of his stay in Washington. The President thanked the Secretary and expressed approval of the idea. It was agreed that the Department would work with Ambassador Sanz de Santamaria on a draft which could be presented to the two Presidents for consideration. (Later President Lleras expressed the hope that the draft could be ready by Thursday afternoon.)²

The Secretary expressed concern about the deteriorating situation in Cuba. Mr. Rubottom referred to the direction that the Cuban revolution was taking, offering only a short term, emotional panacea to the problems of the people rather than constructive sound solutions which would give a firm foundation to the Cuban economy. He also stressed the interventionist role of Cuba throughout the Hemisphere, citing incitation to revolution by *Prensa Latina*, the role of some of the Cuban Embassies where a number of officials have been declared *persona non grata* in various countries, and of certain Cuban "tourists".

¹ Source: Department of State, Central Files, 721.11/4-660. Confidential. Approved by the offices of the Secretary of State on April 13.

² Statements by Presidents Eisenhower and Lleras were issued following their discussions on April 8; for text, see Department of State *Bulletin*, May 2, 1960, pp. 699–705.

President Lleras said that he had been disturbed by the apparent renunciation of the Rio Treaty³ by Fidel Castro.⁴ The Secretary said that we also had been shocked at this turn. He added that we were not sure whether Castro had meant the Rio Treaty or the Caracas Resolution,⁵ although the principal was the same. He recalled that the Cuban revolutionary government had announced its intension to carry out country's obligations to such treaties prior to recognition by the United States and other countries of the Hemisphere last year.

President Lleras said that he had sent an instruction to all of the Colombian Embassies asking the Ambassadors to consult with the host governments on the question of the Castro statement regarding the Rio Treaty, but there had not been time to hear from the Embassies prior to his departure for the United States. He said that it would be appropriate to have this question raised in the OAS, thus focusing attention on the political and juridical problem represented by an irresponsible Cuba, rather than on her disregard for property rights and other similar problems bearing down most heavily on her relations with the United States, even though these subjects would have to be treated eventually.

The Secretary expressed complete agreement with this approach through the OAS.

At this point the group left the President's Guest House for the White house.

³ Reference is to the Inter-American Treaty of Reciprocal Assistance, opened for signature at Rio de Janeiro, September 2, 1947, and entered into force for the United States, December 3, 1948; for text, see 62 Stat. 1681.

⁴ Reference is to a statement by Castro in a televised speech in Cuba on April 5.

⁵ Apparent reference to Resolution 93, "Declaration of Solidarity for the Preservation of the Political Integrity on the American States Against the Intervention of International Communism," adopted at the Tenth Inter-American Conference, held in Caracas, Venezuela, March 1-28, 1954; for text of the resolution, see *Tenth Inter-American Conference, Caracas, Venezuela, March 1-28, 1954: Report of the Delegation of the United States of America with Related Documents* (Department of State Publications 5692, Washington, 1955), pp. 156-157.

CO-29. Memorandum of Conversation, by the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, April 6, 1960.

SUBJECT

Call on the President by President Lleras Camargo

PARTICIPANTS

The President
President Lleras Camargo of Colombia
The Secretary Ambassador Carlos Sanz de Santamaría
Ambassador Dempster McIntosh
Assistant Secretary Rubottom

President Lleras Camargo greeted the President and thanked him for the pleasant occasion of the dinner and musical program the night before. The President thought that Bernstein's music had been very good, especially his rendition of Gershwin's *Rhapsody in Blue*, a favorite of the President's entire family.

The President said that he had just been talking to the Secretary of Commerce and members of the latter's staff about certain problems connected with the enormously expensive public highway construction program in the United States. He referred to certain misunderstandings on the part of the Congress regarding that portion of the cost to be borne by the municipalities through which the highways will pass. He made joking reference to the problems of the Executive's relationships with the Congress "in any real democracy." President Lleras agreed and added that he had the same problems with the additional factor of having to obtain a two-thirds majority for his programs, in a Congress which under the "parity" plan was fifty percent Liberal and fifty percent conservative. Ambassador McIntosh referred to the great prestige of President Lleras as being the principal reason why the "parity" plan was functioning. President Lleras seemed to doubt that the plan would last the full 16 years foreseen in its inception since the country may insist on returning sooner to the rule of the majority.

The President recalled his philosophical discussions with Secretary Dulles on how our own system of government might be changed constructively, incorporating some of the best in the parliamentary system. They had finally decided that they would have to start fresh, it being very difficult to graft on any changes to our system. President Lleras thought that the universities should fill the role of philosophical review of the function of government, except that nobody listens to their

¹ Source: Department of State, ARA/WST Files, Lot 64 D 1, "Colombia 1960." Confidential; Limit Distribution. Approved at the White House on April 19.

views. The President thought that another experiment in Utopia might be worthwhile carrying out, under controlled conditions, of course.

President Lleras mentioned that Colombian Cabinet Ministers could go to the floor of Congress and engage in debates. The President said that he had come to the conclusion that the U.S. House of Representatives should be elected for the same term of office as the President, four years. He also said that the President should have the item veto. President Lleras said that he had that power which could be overruled only by two-thirds votes of the Congress.

To the President's query about the size of the Colombian budget. President Lleras said that it was approximately two billion pesos (\$300 million). Again responding to the President's question, he said that defense items consumed about 20 percent of the above amount, but this included countrywide police.

With respect to the loyalty of the senior military officers, President Lleras expressed no concern, adding that he felt that military coup d'états were usually the fault of political leaders seeking intervention by the military rather than the ambition of the latter. He recalled that General Rojas Pinilla, who became the bane of Colombia, had been openly welcomed by most Colombians when he seized power in 1953. President Lleras said that the United States, quite different from the Latin American countries, had had long experience in self-government prior to its revolution and that this had been a tremendous advantage.

The President inquired about Colombia's program of social and economic reform. President Lleras said that he had instituted a good program and that it was of tremendous importance in view of the wide public appeal of the Castro-type program. The President declared that agrarian reform had to be carried out with proper land utilization and sound planning, rather than by mere seizure of lands already under cultivation. President Lleras agreed. He said that Colombia had state lands where effective re-settlement could be carried out. Their principal problem is that of dealing with the many tiny, inefficient parcels of land (*minifundia*) as well as how to provide the necessary credit for the small farmer. They have a good agrarian credit bank, already thirty years old, but they need additional resources. He estimated that 80 percent of the motive power in Colombian agriculture was provided by animals. The President referred to the need to train personnel to use modern tractors and farm machinery.

Responding to the President's question about Colombia's financial reserves, President Lleras said that they now totaled about \$220 million but they could not use this money freely yet. All bankers say that Colombia is "sound" from an economic standpoint but her problems are still "grave", said President Lleras. Ambassador McIntosh referred to the good financial record of Colombia and to the excellent borrowing record which Colombia has with all of the financial institutions; he said that most of the exporter credit loans with the Export-Import

Bank were 5 to 10 years, while some of the project loans with the World Bank, totaling about \$130 million, ran up to 20 years. President Leras discussed Colombia's needs in the field of education, especially more elementary schools. It is hard to maintain a functioning democracy without improving the social and cultural level of the people.

With respect to Cuba, President Lleras said that the problems regarding that country should be handled in the OAS, and not by the United States alone. He told the President what he had told the Secretary earlier about his instructions to Colombian Embassies around the Hemisphere to inquire of the host governments as to their reaction to the Castro renunciation of the Rio Treaty. He believed that Cuba should be asked about this in the OAS Council.

The President expressed agreement. He added that the OAS should be given all possible opportunity to build up not only its respect in the Hemisphere but to add to its authority and area of responsibility. "If the OAS is to be a living reality, it must take on additional responsibilities." It is not inhibited by the hostile action of certain countries, like the United Nations. The President stressed the juridical and moral equality of the nations of America. He thoroughly approved of the "political approach" to the Cuban problem suggested by President Lleras.

CO-30. Memorandum of Conversation, by the Director of the Office of West Coast Affairs (Coerr)¹

Washington, April 7, 1960.

SUBJECT

Conversation Between the Secretary and President Lleras of Colombia: Coffee.

PARTICIPANTS

President Alberto Lleras Camargo
Ambassador Sanz de Santamaría of
Colombia
Secretary Herter
Mr. Rubottom, ARA
Mr. Mann, E
Ambassador McIntosh

Mr. Bell, U/MSC
Mr. Mau, S/S-RO
Mr. Coerr, ARA/WST

¹ Source: Department of State, Central Files, 721.11/4-760. Official Use Only. Approved in the Office of the Secretary on April 13.

Declaring that his Government was most grateful for the support of the United States in the development of the Coffee Study Group,² Ambassador Sanz said it was now time to start again the preparations for continuing the study group beyond its first year of life, due to expire in September 1960. He said that Brazil's heavy surplus of coffee creates a most serious problem. Mr. Mann agreed, pointing out that the surplus is being augmented in Brazil both by price supports and by the fact that the world price is 36 cents per pound, whereas Santos growers can make money at 11 cents per pound.

² Documentation on U.S. participation in the Coffee Study Group is in the compilation on regional economic policy.

CO-31. Memorandum of Conversation, by the Director of the Office of West Coast Affairs (Coerr)¹

Washington, April 7, 1960.

SUBJECT

Conversation Between the Secretary and President Lleras of Colombia: Agrarian Reform.

PARTICIPANTS

President Alberto Lleras Camargo
Ambassador Sanz de Santamaria of
Colombia
Secretary Herter
Mr. Rubottom, ARA
Ambassador McIntosh
Mr. Mann, E

Mr. Bell, U/MSC
Mr. Mau, S/S-RO
Mr. Coerr, ARA/WST

President Lleras declared that land reform is not only a specific and pressing need in Colombia but is also of profound general concern to the United States. The United States needs to identify itself strongly with land reform so that the landless and underprivileged peasants (sic) of Latin America will recognize the United States as their friend to a degree far greater than the United States has achieved by

¹ Source: Department of State, Central Files, 721.11/4-760. Confidential. Approved in the office of the Secretary of State on April 13.

other programs, such as investments in power projects, that benefit them less obviously. The peasants, 65 percent of the population, are in a state of “turbulent unrest” (see Memorandum, same conversation, “Role of the Military”), aggravated by Communists, priests and agricultural and nutritional technicians who are telling them, “You don’t have enough food”. The peasants feel the government has deliberately abandoned and left them in misery. Their growing susceptibility to the appeal of Castro’s land “reform” heightens the urgent need for effective Colombian action with U.S. help in sound land reform.

President Lleras said Colombia is attempting land reform of two types: (1) Colonization of Government lands, as in the Magdalena Valley; (2) “parcelization” (purchase and redistribution) and resettlement of private lands that are both rich and idle in areas “where the minifundio (small holding) problem is terrible”. In such areas parcelization is “politically indispensable”. In contrast to Castro’s program, Colombia’s is sensible and responsible and is implemented by a well established and reputable agrarian bank (state entity). For any private lands that it purchases, Colombia makes prompt and fair payment.

President Lleras emphasized two difficulties that are impeding Colombia’s development of sound land reform projects: (1) Projects are complex, (2) They are costly. It is not enough merely to move peasants onto vacant land. They must have credit for tools, seeds, fertilizer, and community facilities such as roads and schools. Colombia has plans for but does not yet have under way a single pilot project.

The Secretary said he fully concurred in the desirability of Colombia’s land reform, as described by President Lleras, and the question was to determine how the United States could most effectively help in it. Mr. Rubottom declared the United States would be glad to study ways in which it could assist with maximum economic and political effect, and Ambassador McIntosh said that if President Lleras were to desire it the United States could make available experts to help in preparing a sound pilot project.

Mr. Mann observed that, in view of the population explosion, the United States possibly had been placing too much emphasis on industrialization and should shift some of this emphasis to increasing employment opportunities on the land. President Lleras heartily agreed, pointing out that Colombia annually has at least 120,000 newly employable persons seeking jobs in the cities, that industrialization has not and cannot provide enough work, and that Colombia must provide more inducements and opportunities for productive work on the land.

CO-32. Memorandum of Conversation, by the Director of the Office of West Coast Affairs (Coerr)¹

Washington, April 7, 1960.

SUBJECT

Conversation Between the Secretary and President Lleras of Colombia: The Dominican Republic.

PARTICIPANTS

President Alberto Lleras Camargo
Ambassador Sanz de Santamaria of
Colombia
Secretary Herter
Mr. Rubottom, ARA
Mr. Mann, E
Ambassador McIntosh

Mr. Bell, U/MSC
Mr. Mau, S/S-RO
Mr. Coerr, ARA/WST

Mr. Rubottom, recalling that he and President Lleras had conversed about Cuba, said he thought it would be helpful also to discuss the Dominican Republic. Mr. Rubottom said there are many signs that change is imminent in the Dominican Republic, and that Trujillo is groping for a way out. It is possible that change will come peaceably, but this will be most difficult to achieve, because Castro is poised to intervene. The Dominicans should have the chance to achieve an orderly transition without outside intervention. At the moment Dominican dissidents are discouraged by the attitude not only of the United States but also of the Organization of American States. Trujillo is engaging in severe repressive tactics, as evidenced by reports currently before the Inter-American Peace Committee.² Mr. Rubottom suggested that while in Washington President Lleras might like to inform himself on the current situation. Ambassador Sanz said (without elaboration) that the OAS should take a strong position immediately, and the President of Colombia voiced agreement.

¹ Source: Department of State, Central Files, 721.11/4-760. Confidential. Approved in the Office of the Secretary of State on April 13.

² Documentation on this subject is in the compilation on the sixth and seventh meetings of consultation of Ministers of Foreign Affairs of American States, held at San José, Costa Rica, August 16-29, 1960, presented in *Foreign Relations, 1958-1960*, vol. V, American Republics.

CO-33. Memorandum of Conversation, by the Director of the Office of West Coast Affairs (Coerr)¹

Washington, April 7, 1960.

SUBJECT

Conversation Between the Secretary and President Lleras of Colombia: Role of the Military.

PARTICIPANTS

President Alberto Lleras Camargo
Ambassador Sanz de Santamaría of
Colombia
Secretary Herter
Mr. Rubottom, ARA
Mr. Mann, E
Ambassador McIntosh

Mr. Bell, U/MSC
Mr. Mau, S/S-RO
Mr. Coerr, ARA/WST

President Lleras said that the Cuban revolution was fanning Colombian peasants “turbulent unrest”, not only by the allure of its land reform but also by its defeat of the Batista uniformed forces. The Colombian people know that after ten years of civil war the Colombian uniformed forces put down the guerillas, but that in Cuba the guerillas won quickly. The next ten years, he predicted, would see a “widespread flourishing of guerrilla forces in Colombia among the peasants—65 percent of the population—who have nothing to lose”.

President Lleras said it was imperative that the United States reorient its military missions in Latin America by instructing them to teach the Latin American military to concentrate on the new internal danger of guerrillas, rather than on the outdated external danger of aggression. The United States with its missiles will defend Latin American countries against extra-continental attack. The Latin American countries’ internal security is in far greater danger than their territorial integrity, but the Latin American military, inspired by the United States military, are “so classic”. Ambassador Sanz commented that Latin American officers find it repugnant to think of their role as anything but international war and are reluctant to think of themselves as policemen.

Mr. Rubottom agreed in the desirability of adjusting the United States military program in Latin America to give priority to internal security. He pointed out, however, that such an adjustment would possibly encounter opposition within the United States defense establishment and very probably in Congress.

¹ Source: Department of State, Central Files, 721.11/4-760. Confidential. Approved in the Office of the Secretary of State on April 13.

President Lleras added that Latin American naval departments are able to pressure the civilian officials to purchase ships, by alleging that the United States naval missions say the ships are necessary for hemispheric defense. It was pointed out to President Lleras that we do consider that Latin American navies have roles in hemispheric defense, such as anti-submarine warfare, but that many Latin American nations have ships far in excess of these needs. Mr. Rubottom confessed he had been set back a little by President Lleras' remark on the previous evening, to Senator Fulbright at the White House, that President Lleras had had no personal knowledge that Colombia was about to receive a ship loan destroyer from the United States, especially since interest in the ship had been expressed several times by the President's regime.

Mr. Rubottom observed that in Congress the idea is strong that the Latin American military serves primarily to support dictatorships. He said he thought it important that there be more recognition of the important role of the military in supporting, with proper guidance, constitutional governments and in making possible the orderly transition from dictatorship to democracy. Ambassador Sanz said that Colombia furnished an example of the military's playing such a role.

CO-34. Memorandum of Conversation, by the Director of the Office of West Coast Affairs (Coerr)¹

Washington, April 7, 1960.

SUBJECT

Conversation Between the Secretary and President Lleras of Colombia: Guerilla Problem and Survey Team.

PARTICIPANTS

President Alberto Lleras Camargo
Ambassador Sanz de Santamaría of
Colombia
Secretary Herter
Mr. Rubottom, ARA
Ambassador McIntosh
Mr. Mann, E

Mr. Bell, U/MSC
Mr. Mau, S/S-RO
Mr. Coerr, MRA/WST

¹ Source: Department of State, Central Files, 721.11/4-760. Secret. Approved in the Office of the Secretary of State on April 13.

President Lleras said he had been trying to modernize the Colombian army to deal with the dangerous guerilla problem (see Memorandum, same conversation, "Role of the Military"),² and that he had thought of creating two or three special battalions, but that his military officers were arch-conservative in their outlook and methods.

He said the United States had sent a survey mission that had, in its preliminary report,³ "recommended some conventional methods that I don't think will solve the problem". He said he would be glad to see the final report.

President Lleras emphasized the Colombian military's need for rapid transport. To be effective, anti-guerilla forces must arrive at the scene of danger or violence rapidly, not "two days later to pick up the dead". He had thought of helicopters. Mr. Rubottom said he understood that helio-couriers, with short take-off and heavy carrying capacity, were less vulnerable than helicopters and more suited to the work in Colombia, apart from being far cheaper. He said one had been offered to the Colombian Government on loan, and was waiting orders at Brownsville.

President Lleras agreed with the preliminary report's emphasis on the need for improving the Colombian Government's intelligence. He suggested that Colombia might send up some men for training, and he was assured this could be arranged. After another mention by Mr. Rubottom of the availability of the helio-courier plane, the President indicated willingness to have his Government receive it for trial.

[text not declassified]

² Document CO-33.

³ See telegram 439 from Colombia, March 25, 1960, Document CO-26.

CO-35. Memorandum of Conversation, by the Ambassador in Colombia (McIntosh)¹

Bogotá, September 8, 1960.

PARTICIPANTS

President Alberto Lleras Camargo of Colombia, Under Secretary C. Douglas Dillon, Assistant Secretary Thomas C. Mann, and Ambassador Dempster McIntosh

President Lleras welcomed Under Secretary Dillon and Assistant Secretary Mann to Colombia.² President Lleras then expressed optimism regarding results from the current meeting of the Committee of 21.

The current economic situation in Colombia was then discussed and both President Lleras and Under Secretary Dillon emphasized the necessity for carrying out social programs in addition to strictly economic development. President Lleras in this connection referred to the necessity of financing projects which would have an impact upon the mass of people.

Assistant Secretary Mann referred to the present situation in Cuba and commented that, although Fidel Castro is probably not an actual Communist, the present government in Cuba is definitely under Communist control and direction, that the Communist Party is presently the only legal party in Cuba, and that Cuban Government spokesmen are required to follow the Communist Party line in any statements they may make. President Lleras said he did not doubt that this was a correct analysis and mentioned that the Colombian Foreign Minister, Dr. Turbay, during the early part of the meetings at San José, Costa Rica, had a discussion with Cuban Foreign Minister Roa, during which Roa indicated a very reasonable attitude in connection with relations with other Latin American countries. The following day nine additional Cubans arrived by air from Havana, (President Lleras commented, presumably carrying guns) and apparently talked to Roa, with the result that when Turbay later had another discussion with him the attitude of

¹ Source: Department of State, Central Files, 721.11/9-960. Confidential. This memorandum was transmitted to the Department of State under cover of despatch 156 from Bogotá, September 9, 1960, not printed; 72.11/9-960. The memorandum of conversation was apparently drafted by Ambassador McIntosh.

² In telegram 91 from Bogotá, August 11, 1960, Ambassador McIntosh had stated in part the following:

"Glad to learn EXIM DLF prepared take prompt action on loans to Colombia. We feel extremely important announce some tangible economic aid soonest possible because political situation here clouded by increasing political party bickering and pressures from social-economic problems with consequent greater difficulties managing national front. Therefore, announcement of aid would be of great help to President Lleras. Also would create more favorable climate for September conference Bogotá." (721.5-MSP/8-1160)

the Cuban Foreign Minister had changed completely. This indicated to President Lleras that even the activities of the Cuban Foreign Minister are directed by and are under the control of the Communists in Cuba and that no Cuban Government official can remain in office unless he follows the Communist Party line.

Ambassador McIntosh mentioned to President Lleras that he had read the statement in the Bogotá press that the Government of Colombia had requested the recall of the Cuban Ambassador and asked if this were correct. President Lleras stated that what had happened was that Foreign Minister Turbay at San José had told the Cuban Foreign Minister that Colombia did not like the present Cuban Ambassador at Bogotá, Adolfo Rodríguez de la Vega, that he was very rude, and that the Colombians would be pleased if he were to be replaced by another, more suitable representative. Roa told Turbay that the Cuban Ambassador would shortly leave for Havana and Roa would see that he did not return to Colombia. However, it developed that the Cuban Ambassador made a very short stay in Havana and actually returned to Bogotá prior to the return of Roa to Havana. Upon his return to Bogotá, the Cuban Ambassador took exception to remarks made by the Colombian Minister of Labor and wrote a note to the Colombian Foreign Ministry which the Colombian Government considered highly objectionable. In addition, the Cuban Ambassador wrote an objectionable letter to one of the Bogotá newspapers, and, furthermore, released the text of his note to the Colombian Foreign Office shortly after its dispatch without awaiting a reply from the Foreign Office. Following this, the Cuban Government recalled their Ambassador to Colombia without awaiting any official demand for his recall by the Colombian Government.

President Lleras asked Secretary Dillon for his comments regarding the current situation between the Soviet and Red China, referring particularly to the newspaper articles indicating considerable friction. Secretary Dillon said that he thought the differences between the Soviet and Red China at this time were not serious and possibly had been exaggerated in the press, but that, nevertheless, the differences could become much more serious in the future.

President Lleras referred to the present political and economic situation in the Argentine and said the situation appeared to be highly unfavorable and quite critical. Some comments were exchanged regarding the difficult situation faced by President Frondizi.

President Lleras expressed his appreciation of the assistance being given to Colombia by the United States in the form of the total credit of \$70 million just announced by the Export-Import Bank and the Development Loan Fund. Secretary Dillon told President Lleras that we were very glad to cooperate with and help Colombia and that the United States admired the manner in which the Colombian Government was attacking its problems.

CO-36. Memorandum of a Conversation¹

Bogotá, September 16, 1960.

[Enclosure]

**Letter from the Ambassador in Colombia (McIntosh) to the
Special Assistant in the Bureau of Inter-American Affairs
(Devine)²**

Bogotá, September 15, 1960.

Dear Mr. Devine:

I refer to your letter of August 31³ enclosing copies of draft papers [*text not declassified*] proposing ways and means of responding to President Lleras' request for assistance in combatting the violence and banditry problem. Your letter and these papers have been most helpful to me and to other members of the Country Team in understanding the problem confronted by the Department [*text not declassified*].

I heartily agree that the ideal solution would be to come up with an agreed upon and mutually accepted program on the basis of which Presidential determination for use of the necessary funds could be sought. However, [*text not declassified*] it appears that the Department must take the responsibility of proposing an assistance program which, on the one hand, will be responsive to President Lleras' request and, on the other hand, will form the basis for requesting Presidential determination on the use of MAP.

Urgency is of the essence. The Colombian Government officially requested our decision some 15 months ago. Our only answer to date has been to send a Survey Team to Colombia for the dual purpose of ascertaining whether the violence situation justified our seeking a Presidential determination for the use of Mutual Security Act assistance and to come up with possible recommendations for eventual use by the Colombian Government in the anti-guerrilla campaign. While the GOC cooperated fully and whole-heartedly with the Team, and the team concluded its field survey last December, we as yet have not submitted to

¹ Source: Department of State, Central Files. Secret; Official-Informal. 2 pages not declassified.

² The source text is a carbon copy bearing Ambassador McIntosh's typed name.

³ Not found in Department of State files.

President Lleras for the GOC's possible guidance and recommendation pursuant to the Survey team study. Therefore, I believe it is urgent that we now take a decision one way or another and so inform President Lleras. Whether the recommended program will produce the desired results within his term of office is of secondary consideration. His government, in any case, would receive political credit for any successful program launched under his administration. Also, I consider it urgent that we fulfill our commitment to give President Lleras a report of the Survey Team findings—that is, general observations and recommendations for the GOC's consideration – apart from the question of assistance from us in the form of training and material.

I think it is desirable at this point to review the history and nature of Lleras' request for assistance. For this purpose I refer you to the Embassy's Despatches 864 of June 24, 1959⁴ and 1 of July 1, 1959,⁵ the letter which transmitted the GOC's request for certain material. Earlier President Lleras had urged that we provide helicopters. His request was essentially of two parts: (1) a request for specific material and equipment; and (2) a request that we review our policy of military assistance to Latin America (not making Colombia an exemption) with the idea of removing restrictions on the use of MAP for internal security purposes. President Lleras expressed to us on several occasions, both here and during his official visit to Washington, his belief that our present policy of military assistance for purposes of hemisphere defense only is outmoded—that it would be a better policy to reorientate training of Latin American military establishments toward internal security and counter-guerrilla warfare to cope with movements such as that which took place in Cuba—the sort of thing most likely to threaten the stability of Latin American governments in the future. It might be added that idea is growing in Colombian military circles (see Embassy's despatch 624 of May 2, 1960).⁶

With the foregoing history in mind, the Country Team and I [*text not declassified*] are of the [*text not declassified*] opinion that, as between the two proposed programs, the Defense Department paper should be adopted as the basis for a program of assistance to Colombia to combat the violence situation. [*text not declassified*]

⁴ Despatch 864, not printed, conveyed background information relating to President Lleras Camargo's interest in securing MAP assistance from the United States for the purpose of maintaining internal security against guerilla warfare in Colombia. (721.00/6–2459)

⁵ See footnote 5 to telegram 439 from Bogotá, March 25, 1960, Document CO–26.

⁶ Despatch 624, not printed, transmitted a memorandum reporting a conversation between Lt. Col. Howard C. Parker, Army Attaché to the Embassy in Colombia, and Brig. Gen. Alberto Rueda Teran, Secretary to the Colombian Minister of War, concerning the Colombian Armed Forces primary mission in the area of internal security. (721.5/5–260)

This Country Team recommendation is based on our considered view that the violence problem is essentially a national problem which has developed to the extent that a military action by the armed forces is required. Thus, this is a military rather than a police problem; and suppression of violence is primarily a military task in which police action should be the secondary role of maintaining order in pacified areas and of participating in direct anti-guerrilla action only where bandit activity is sporadic. Another consideration is that the Defense Department proposal is more responsive to President Lleras' request, both as regards equipment and as regards reorientation of our military assistance program in general. In none of the numerous conferences between President Lleras and U.S. officials was it ever suggested that he had in mind the use of the National Police in connection with the requested assistance. On the contrary, he initiated the formal request by calling in the chiefs of our three military missions, at which meeting Colombian military personnel were present but not representatives of the National Police (Despatch 864 of June 24, 1959). During this and many subsequent meetings on the subject, President Lleras has spoken only of military assistance and the need for removing the restrictions on the use of MAP for internal security. Not once has the question of utilizing the National Police as the primary medium for anti-violence operations been raised.

The Embassy always has thought that any assistance should be handled through our established military missions and that a separate anti-guerrilla mission would be questionable from a political as well as a practical standpoint. A police mission would identify us directly with the issue of internal order, whereas our efforts to the same end would be less obvious if undertaken through our present military assistance programs. Our MAP is being reoriented along the lines suggested by President Lleras with more emphasis being placed on anti-guerrilla training and material. The armed forces, while being used to solve the violence problem, are, at the same time, being better prepared for their hemisphere defense mission by reason of their training and use in direct anti-guerrilla action, which contributes to hemispheric defense.

The Country Team also sees other possible objections to the use of the National Police as the chosen medium. The political wisdom of assigning U.S. personnel to the National Police on a specific project of violence suppression is very questionable, regardless of whether the National Police remains under military control or is transferred to civilian control. Another complicating, although not overriding, factor is the presence of a Chilean police mission which has been employed as an advisory group for a number of years. Also, the prestige of the National Police is relatively low; conversely, the military reputation in the eyes of the public is better and the military establishment by and

large is recognized as non-political. This position would not preclude the assignment of individual U.S. advisors [*text not declassified*] nor the provision of training, material and equipment to the National Police as steps to strengthen the police capability to support the over-all program.

The Country Team concurs in the observations contained in both papers that improve intelligence would be of great help in the solution of the problem. This applies equally to the National Police, DAS, and the military services. I believe that as a part of our program we should offer the services of any advisers the GOC may desire to strengthen the intelligence activity and coordination of these agencies. In fact, the GOC already has requested, through NAAC channels, that our Army mission be augmented by two intelligence officers.

The objectives stated in both papers are very similar. The objectives as stated [*text not declassified*] (a) "immediate suppression and liquidation of bandits," and (c) "long-range maintenance of internal security" are similar and are directly responsive to President Lleras' request. Those objectives address themselves to the problem raised by the GOC appeal for assistance. [*text not declassified*] I question whether we, with U.S. personnel, should become involved in a special project of rehabilitation as part of an anti-violence program. Rather, I think our efforts should be channeled through existing and contemplated ICA, DLF, and EXIM Bank, social development fund, and international financial agency programs in the fields of colonization, land reform, housing, penetration roads, and other types of financial and technical assistance to Colombia in its attempts to deal with its economic and social program. We are now actually engaged in such an aid program, witness our ICA technical assistance, the \$70 million in credits recently approved by the EXIM Bank and the DLF and the continuing flow of credits from the IBRD and DLF. And we have every reason to think, in the light of the position taken by the U.S. Delegation at the Committee of 21 Meeting here, that this type of aid will continue and increase in the future. [*text not declassified*]

[*text not declassified*] However, from all information available to the Embassy, including the opinions of our Military Mission and Armed Service personnel, light aircraft are of doubtful usefulness in anti-bandit operations and certainly are not considered to be adequate by the Colombian military. In fact, the only support I have encountered for the use of light aircraft came from certain members of the Survey Team. Admittedly, the cost factor is of import. However, would it not be a waste of money to provide aircraft that would not do the job? The question of exactly what military material and equipment are needed is also a technical one. It is significant, I think, that the equipment listed in the Survey Team report and the material originally requested by the GOC (Despatch 1, July 1, 1959) are very similar.

All who have studied the problem agree that what is needed most is transportation, communication and possibly other specialized material. A few small obsolete helicopters now in the Colombian Air Force have been used successfully in a number of anti-bandit operations, and no doubt if they were available in sufficient numbers and with sufficient lead and altitude capability the Colombian military would have the mobility badly needed to meet violence when and where it occurs, regardless of terrain.

Both papers recognize the need of a public relations program to help civilian understanding and support in violence areas. Such a program would supplement the work of the Equipoz Polivalentes. We agree in principle on the need for a coordinated public relations effort in the anti-violence campaign. However, President Lleras has indicated a personal aversion to government propaganda (perhaps because government propaganda has so frequently been discredited in the past) and I have reasonable doubts that he would accept the proposal for a public relations adviser per se—especially if the latter were to be a foreign national. Also, I think it would be politically objectionable for the U.S. to be directly and overtly involved in this activity. I think any advice we give on public relations as related to the anti-violence program, should be confirmed to such recommendations as can be given in a report to the President and to such *ad hoc* guidance as can be given through our established U.S. missions to Colombia.

I agree with your personal reaction that neither of the two papers seems to represent a very comprehensive presentation. For your information the military Advisory Group to Colombia at the direction of the Commander in Chief Caribbean (stemming from a DOD request) is preparing recommendations for equipment and training under the MAP program for FY 1961 to combat this banditry problem. These recommendations are being coordinated with a Colombian Armed Forces plan to combat banditry. In making these recommendations every effort is being made to insure that the whole Colombian Government, especially the Army and Air Force, will coordinate in using the equipment against banditry in an organized and coordinated manner. These recommendations will be cleared with me before going forward through military channels. It is expected that these recommendations will form the basis for a specific DOD proposal on how to help Colombia and that they will be appropriately coordinated with the State Department in Washington.

I apologize for the length of the letter. Nevertheless, the history and background of the problem is such that I think the above comments at this may be helpful to you and to those in the Department directly concerned.

In recapitulation, I recommend that the Defense Department paper be taken as a basis for a proposed program which may be submitted promptly to President Eisenhower for his determination on the use of necessary funds; [*text not declassified*] and that recommendations for public relations, intelligence, and civil action supplementing the program be included in a report of the Survey Team for delivery to President Lleras, independent of what action we take on the GOC request for assistance in the form of material and training.

Sincerely yours,
Dempster McIntosh

CO-37. Memorandum from the Office in Charge of Colombian Affairs (Gerberich) to the Deputy Assistant Secretary of State for Inter-American Affairs (Barall)¹

Washington, October 23, 1960.

SUBJECT

Colombian Excess Sugar.²

Mr. Rourk, Mrs. Mulliken and I have about exhausted all possibilities for helping the Colombians to dispose of the 40,000 tons of excess sugar in the United States. We have investigated the following:

1. Purchase under the Sugar Act.³ (Colombia has never joined the International Sugar Agreement.)⁴
2. DLF financing.
3. ICA purchase.

¹ Source: Department of State, ARA/WST Files, Lot 64 D 1, "Colombia 1960." Official Use Only. This memorandum was sent through Samuel O. Lane, Deputy Director of the Office of West Coast Affairs.

² In a letter to Gerberich, October 28, 1960, Milton K. Wells, Counselor of Embassy in Colombia, stated in part the following:

"Over the last week we have received two or three Memoranda of Conversation in regard to Ambassador Sanz de Santamaria's efforts to seal the Department on the idea that unless we buy Colombian surplus sugar social chaos will result. This is an extremely exaggerated idea. In any case, I am sure the matter is being given deliberate, rather than hasty, consideration in the Department." (ARA/WST) Files, Lot 64 D 1, "Colombia 1960."

³ Reference is to the Sugar Act of 1948, as amended and extended, particularly the amendments of July 6, 1960 (Public Law 86-592); for text, see 74 Stat. 330.

⁴ For text of the International Sugar Agreement, opened for signature at London, December 1, 1958, and entered into force for the United States, October 9, 1959, see 10 UST (pt. 3) 2189.

4. Purchase for stockpile.
5. Purchase under Defense Production Act.⁵

The results of these investigations have resulted in the conclusion that there is no legal way in which we can buy this sugar in 1960.

There remain, apparently, only two alternatives:

1. Colombia to finance its excess stocks until next spring, meanwhile taking steps to join the ISA. Although there is a strong possibility that we can buy Colombian sugar under the Sugar Act, when it is renewed on March 31, it is impossible to guarantee this.
2. Colombia to sell the sugar at world market prices.

*It is recommended that Mr. Mann tell this to Ambassador Santamaria, if he has not already done so.*⁶

⁵ For text of the Defense Production Act of 1950 (Public Law 774), approved September 8, 1950, see 64 Stat. 798.

⁶ The following notation by Deputy Assistant Secretary Barall appears on the source text: "Mr. Mann agreed to call Amb. S. He will say no on above but indicate Col. may be able to sell sugar to U.S. next year if ISA members (quota countries) unable meet needs of U.S."

CO-38. Telegram from the Acting Secretary of State to the Embassy in Colombia¹

Washington, December 2, 1960, 6:47 p.m.

361. FOR AMBASSADOR FROM MANN

Embtel 268²

Not yet possible furnish any official assurances GOC re U.S. assistance anti-violence program.

FYI Dept has been actively pushing this matter and necessary Presidential Determination now ready in draft and distributed other

¹ Source: Department of State, Central Files, 721.5-MSP/12-160. Secret. Drafted by Frank J. Devine, Special Assistant to the Assistant Secretary of State for Inter-American Affairs, and signed by Mann.

² Telegram 268 from Bogotá, December 1, 1960, reads as follows:

"There is increasing irritation here at highest government levels at lack U.S. assistance combat violence as requested by President Lleras year and half ago. Important in our interests make immediate decision regarding aid program and implement it quickly." (721.5-MSP/12-160)

agencies. Dept hopes receive all comments and necessary clearances and be in position request White House approval during coming week. Once latter obtained you will be notified soonest.

END FYI

Dillon
ACTING

**CO-39. Memorandum from the Under Secretary of State for
Political Affairs (Merchant) to the President¹**

Washington, December 31, 1960.

SUBJECT

Determinations under Sections 105(b)(4) and 451(a) of the Mutual Security Act of 1954,² as amended, permitting the furnishing of military assistance to Colombia

The purpose of this memorandum is to recommend that you make the requisite determinations under Sections 105(b)(4) and 451(a) of the Mutual Security Act of 1954, as amended (hereinafter referred to as "the Act"), to permit the furnishing of military assistance to Colombia.

The proposed military assistance is needed primarily to enable the Colombian Government to expand its campaign against organized bandits and guerrillas. For the past decade, these bandits and guerrillas have caused an appalling loss of life and destruction of property, and the capabilities of the Colombian Government to maintain internal security and to resist external aggression progressively have been weakened. Communist influence reportedly is increasing in the areas infested by bandits, and agents of the Castro Government in Cuba are known to be active among anti-government groups. In these circumstances, it is considered to be important to the security of the United States to promote stability in the Caribbean area by furnishing military assistance to Colombia for its internal security upon a determination under Section 105(b)(4) of the Act that internal security requirements may be the basis of this program and, pursuant to Section 451(a) of the Act, without regard to the requirement of the first sentence of Section 105(b)(4) of

¹ Source: Department of State, Central Files, 721.5-MSP/12-3160. Secret. Drafted by Joseph B. Kyle of the Office of the Deputy Coordinator for Mutual Security.

² For text of the Act (Public Law 665), approved August 26, 1954, see 68 Stat. 832.

the Act that such assistance in the form of equipment and materials be furnished only in furtherance of western Hemisphere defense missions.

Enclosed is a detailed statement of the background and justification of this program, the implementation of which is estimated to require the expenditure of up to \$1,750,000 of funds available under the Act for military assistance, of which up to \$1,500,000 may be used to furnish equipment and materials. A small amount of excess equipment and materials may be included.

It is considered that the furnishing of the proposed assistance in the form of equipment and materials and the use of funds available thereafter under the Act are in furtherance of the purposes of the Act and are important to the security of the United States.

IT IS, ACCORDINGLY, RECOMMENDED that you sign the enclosed memorandum which contains the determinations required by the Act in order to carry out such military assistance to Colombia.³

Livingston T. Merchant

Enclosure

Military Assistance for Colombia Requiring Determinations, Under the Mutual Security Act of 1954, as amended

The assistance proposed for Colombia includes initial equipment and related services and specialized training for the Colombian Military establishment at an estimated total cost of \$1,750,000. Equipment to be furnished would include vehicles, communications equipment, and air transport equipment. It is expected that the equipment and materials portion of the proposed assistance will cost up to \$1,500,000. There will be a continuing modest annual requirement for maintenance and spares, but it is expected that the Colombian Government will be able to finance this continuing cost itself. A small amount of the initial equipment and materials may come from excess stocks.

Training, at an estimated cost of \$250,000, would be provided by United States training advisors or at selected United States installations in such subjects as counter-guerrilla warfare, intelligence and

³The referenced memorandum containing the necessary Presidential Determinations, designated No. 61-14, recommended by Dillon and concurred in by John N. Irwin, II, Assistant Secretary of Defense for International Security Affairs, on December 21, and Maurice H. Stans, Director of the Bureau of the Budget, on December 29, is not printed. The following typed note appears on the source text: "Approved by the White House; see Memo to the Secretary of State dated 1/5/61 from the President." The note is initialed, but the initials are indecipherable.

counter-intelligence, civil affairs, psychological warfare, public and troop information, and criminal investigation.

In 1948, following the assassination of Jorge Eliécer Gaitán, leader of the Liberal Party, the Liberals attempted to overthrow the Conservative government. Failing in this effort, Liberal leaders and many of their followers fled to the almost inaccessible rural areas of Colombia. They subsequently were joined by other Liberals persecuted by the Conservatives in that party's attempt to extirpate the Liberals as a major political force, by criminal elements desirous of reaping personal advantage from the political chaos attending the civil warfare that ensued, and by subversive elements interested in promoting the cause of international Communism. Well organized and well equipped gangs of bandits and guerrillas preyed upon isolated peasants and small villages, disrupted communications facilities, and laid waste extensive areas of Colombia's agricultural land. Between 1948 and 1958, it is estimated that over 200,000 persons lost their lives as a direct result of banditry and guerrilla warfare and property damage totaled hundreds of millions of dollars.

In 1956, with Colombia's status as a viable political entity in doubt, Liberal and Conservative leaders agreed to merge their differences in the interests of national unity. President Gustavo Rojas Pinilla was deposed in May 1957. Following an interim government presided over by a military junta, the Liberals-Conservative coalition implemented an unusual—although so far workable—formula for governing the nation. Under the guidance of Alberto Lleras Camargo, now President of Colombia, the Liberals and Conservatives agreed that for a period of 16 years they would collaborate in a bi-partisan parity government called the National Front.

The Liberal-Conservative rapprochement has not meant an end of organized banditry or guerrilla activities. Gangs of bandits and guerrillas still roam throughout much of rural Colombia. In five provinces martial law is still in effect. In recent months, bandit activity has spread to three provinces hitherto untouched. Most of the gangs are comprised of criminal elements for whom banditry has become a way of life. There is increasing evidence, however, that Communist and pro-Castro elements have penetrated many of the gangs and, in some cases, the gangs are acting under direct Communist leadership.

The Colombian armed forces have been unable to eradicate the bandits. They have devoted their main effort to restricting them to the mountainous regions in which they are strongest. While incidents of violence have diminished considerably during the two years that Lleras Camargo has been President, the problem actually has grown more acute. The fear of residents of bandit-infested areas that they will be killed if they cooperate with the forces of law and order restrains a large segment of the population from cooperating with the government

in its efforts to solve the problem. Refugees from bandit-infested rural areas have flocked to the cities where they create a serious social problem. They are easy prey for Communist and pro-Castro agitators. Lleras Camargo is of the opinion, which is supported by United States Government representatives in Colombia, that his government's efforts to resolve some of Colombia's basic social and economic problems within a democratic framework are doomed to failure unless the bandit problem is resolved.

The Colombian military establishment has excellent personnel. Its professionals have excellent training in military theory but limited practical training in field operations, particularly counter-guerrilla activities. It lacks field equipment, both individual and organization, and it is short of transportation and communication equipment. In June 1959 President Lleras Camargo asked the United States to consider assisting him in attacking the bandit and guerrilla problem. In November-December 1959 this government sent to Colombia a team of anti-guerrilla warfare experts to survey the problem. The team's recommendations were mainly for steps the Colombians themselves could take, with United States technical assistance, e.g., to develop specially trained anti-guerrilla forces, to establish effective intelligence and information services, and to undertake a program to install confidence in the armed forces. The team also recommended that special material be provided to enable the Colombian armed forces to combat the guerrillas in the field. The team's recommendations have been accepted in principle by the responsible United States Government representatives in Colombia.

Upon receipt of assurance from the Colombian Government that it is in agreement with certain courses of action which are to be submitted to it for consideration by the United States Government, and on receipt of a formal request for United States assistance, the Department of State and the Department of Defense recommend that United States be prepared to offer grant military assistance in the form of equipment, materials, related services, and training.

It is considered to be in the United States interest to provide Colombia with the military equipment, materials, and services described above using up to \$1,500,000 of funds available for military assistance in fiscal year 1961. The furnishing of military assistance on a grant basis to any Latin American nation is subject to several conditions. First, under Section 105(a) and 143 of the Act, the President must determine that the increased ability of the nation to defend itself is important to the security of the United States, and that the furnishing of such assistance will strengthen the security of the United States and promote world peace. Second, Section 105(b)(4) of the Act provides that military equipment and materials may be furnished to a Latin American nation only in furtherance of missions directly relating to the common defense of the western hemisphere and that, unless the President determines

otherwise, internal security requirements shall not be the basis for military assistance programs to American Republics. Third, pursuant to the Sections 141 and 142(a) of the Act, prior to the furnishing of equipment or materials, the recipient nation must have agreed to the undertakings which are specified by Section 142(a) of the Act and normally included in the conventional military assistance agreement. Fourth, under Section 511(c) of the Act, any nation receiving military equipment or materials on a grant basis must make arrangements for the return to the United States of any such equipment and materials when no longer required for the purposes for which furnished.

The first condition has been satisfied. In the President's message on the Mutual Security program of February 19, 1958,⁴ the necessary findings were confirmed as to the countries for which military assistance was then proposed or had been furnished, Colombia being among such countries.

The second condition requires a Presidential determination under Section 105(b)(4) and 451(a) of the Act to permit the proposed program. The military assistance proposed to be furnished would be without reference assistance to Western Hemisphere defense missions and would strengthen the internal security capability of the Colombian armed forces and be used for internal security purposes. Therefore, it is considered necessary as to the equipment and the materials element of the proposed assistance only to request that the President waive the first of the two above-mentioned requirements of Section 105(b)(4) of the Act and make the determination required by the third sentence of Section 105(b)(4). The first sentence of Section 105(b)(4) is not applicable to assistance in the form of training or other services, and, as to training, the function of making the determination required by the third sentence of Section 105(b)(4) has been delegated to the Secretary of State.

The third and fourth conditions have been satisfied also by a military assistance agreement effected by an exchange of notes on April 17, 1952.⁵ However, this military assistance agreement does not apply to the assistance herein proposed, namely, the furnishing of military equipment, materials and services to assist Colombia to maintain its internal security without reference to Western hemisphere defense missions. Therefore, a further agreement will be sought with Colombia to satisfy the conditions required by Sections 141 (second sentence), 142(a) and 511(c) of the Act with respect to the assistance program herein proposed.

⁴ For text, see *Public Papers of the Presidents: Dwight D. Eisenhower, 1958* (Washington: Government Printing Office, 1959), pp. 160–168.

⁵ For text of the agreement, see 3 UST (pt. 3) 3690.

Costa Rica: U.S. Relations with Costa Rica

CR-1. Editorial Note

Costa Rica held general elections on February 2, 1958. Mario Echandi Jiménez, candidate of the National Union Party (PUN), won the presidential election with 102,851 votes, 46.4 percent of the total 229,543 votes, defeating Francisco Orlich, National Liberation Party (PLN) candidate, and Jorge Rossi Chavarría, Independent Party (IND) candidate. The Embassy at San José found the “elections remarkably free from violence and bitterness despite frenzied activity to round up voters;” and it said about Echandi that “we can safely assume he is fundamentally friendly to U.S. and free world policies and certainly oriented toward stability business and investment.” (Telegram 159, February 3, 1958; 718.00/2-358)

CR-2. Editorial Note

President-elect Echandi of Costa Rica made an informal visit to Washington, March 26–29, 1958. On March 27, he attended a luncheon in his honor with President Eisenhower at the White House. Under cover of a memorandum of March 26, Secretary Dulles sent President Eisenhower a briefing memorandum on talking points for his luncheon with President-elect Echandi. (Eisenhower Library, Whitman File, International File) Echandi also met with Dan Throop Smith, Deputy to the Secretary of the Treasury, and Assistant Secretary Rubottom. Memoranda of his conversations with Smith and Rubottom are printed herein. He met briefly with Vice President Nixon and also with C. Allan Stewart, Deputy Director of the Office of Middle American Affairs, on March 28. Memoranda of these conversations are filed under Department of State decimal number 718.11/3-2858. The Costa Rican Minister-designate of Economy and Finance, Alfredo Hernández Volio, and Minister-designate of Agriculture and Industries, Jorge Borbón

Castro, who accompanied Echandi, met with World Bank directors; and Echandi met with Export-Import Bank officials. Documentation on these meetings was not found in Department of State files.

Echandi left Washington for New York on March 29. He also visited Boston, where he met with United Fruit Company officials; and Texas, where he arranged a cattle sale to Costa Ricans. No documentation on these meetings was found in Department of State files. Echandi returned to San José on April 16. He had a news conference on his trip at San José, April 19, which the Embassy reported in despatch 592, April 23, 1958. (718.11/4-2358) For additional information concerning Echandi's visit, see the Department of State *Bulletin*, April 14, 1958, page 614.

CR-3. Briefing Paper for Visit of Costa Rican President-Elect Echandi¹

Washington, undated.

Anticipated Subjects That President-elect Echandi May Discuss:

(1) *The Costa Rican Financial Situation*

Costa Rica's international reserves have declined from \$22 million at the end of 1955 to \$13.3 million at the end of 1957. This drop has been occasioned by a substantial deficit in the 1956 balance of payments arising from a decrease in agricultural production for both export and the domestic market, a rise in monetary income chiefly from expansion in domestic credit and a continued high rate of imports. Although 1957 foreign exchange receipts were high, imports and other payments continued their upward trend, and 1957 ended with no appreciable increase in the country's reserves. In a recent report made by the International Monetary Fund, it was concluded that Costa Rica is not prepared to withstand major downward fluctuations in the international prices of its main export commodities (coffee and bananas) nor to cope with adverse developments in export crop production with the present level of exchange reserves.

¹ Source: Department of State, Central Files, 718.11/3-258. Confidential. This paper was attached to a memorandum from Henry L. Taylor of the Office of Middle American Affairs to Assistant Secretary Rubottom, March 25, 1958.

Within the country the government has experienced difficulties with its budget and there is a likelihood of a sizeable fiscal deficit for 1957. Up to 1954 the fiscal policy offset the expansion of credit to the private sector, but since that time the government has competed with the private sector for available bank credit. If the excess of current government expenditures over revenues continues to increase, and if bank credit to the private sector expands at the rate of the recent past, the loss of exchange reserves will pose some very serious problems.

Indications are that Echandi is very much concerned over the future financial condition of his country. In a recent press conference (March 5) he said, "our country is facing an economic situation which can be serious, above all if coffee prices continue to drop". He has indicated that he will try to improve existing financial practices and future government revenue. In this connection he has announced that foreign capital could come to Costa Rica and work on even terms with Costa Rican capital.

(2) *Coffee*

The Costa Ricans are very much concerned over the possibility of an additional future drop in world market coffee prices. During 1957 coffee export prices dropped from an average of \$0.70 per pound to a low of \$0.50 per pound. The decline in coffee prices induced Costa Rica to become a very active proponent and signatory of the Mexico City coffee pact last October,² which called for withholding a portion of their 1957-58 coffee crop in an effort to stabilize coffee prices. Mr. Echandi has already stated that coffee prices constitute a vital problem for Costa Rica, as unfortunately the economy depends fundamentally on the price of coffee. He has announced that he is in favor of the Mexican agreement and believes that if the coffee producing countries do not defend themselves against the trend towards low prices, the consequences to Costa Rica's economy will be disastrous.

The 1957-58 Costa Rican coffee crop is expected to be a record-breaking crop and the withholding from the export market of a sizeable portion of this crop (the excess over 80 percent of the average of the volume of the previous two crop years available for export) could prove to be an overwhelming financial burden for Costa Rica's limited resources. Our Embassy estimates that approximately \$35 million will be required during 1958 to finance the 1958-59 coffee crop and the 1957-58 hold-over surplus.

² An English translation of the Convention of Mexico City, signed October 18, 1957 is enclosed with Foreign Agriculture Service Report 27 from Mexico City, October 28, 1957. (820.157/10-2857)

Possible Question:

In view of (1) and (2) above, Mr. Echandi may ask what assistance his country might be given from the United States in the event of a depletion of foreign exchange reserves stemming primarily from a decrease in world market prices of coffee.

Suggested Reply:

If this subject is raised, Mr. Echandi could be informed that sympathetic and careful consideration would be given to Costa Rica and that every effort to give assistance commensurate with the then existing financial problem would be made, provided that the Costa Rican Government had taken or given evidence of a resolve to take all measures within its power to cope with and reduce the scope of this problem. In this connection, it could be pointed out that Costa Rican imports have been at a relatively high level; that these have been stimulated by domestic credit policy and government deficits, both of which may be further curbed; that the need for action in the field of credit and fiscal policy is accentuated by unfavorable prospects for earnings from coffee exports; and that in the event such measures proved unsuccessful in stemming loss of reserves Costa Rica enter into consultation with the International Monetary Fund. In regard to our position on coffee it is suggested that Mr. Echandi be informed the United States is prepared to participate in discussions and studies with coffee producing and consuming countries on problems of coffee trade. We have been pleased to note the initiative taken by the Latin American countries in organizing at Rio a Conference³ at which the United States was represented by an observer to discuss and formulate an active program in an effort to resolve coffee trade problems.

(3) Establishment of Branches of Private Banks:

The nationalization of banks took place in 1948 and a Central Bank was established, endowed with typical central bank functions. The nationalization decree as it now stands permits the setting up of private banks with permission of the Government but prohibits them from accepting deposits, as it stipulates only the state may "mobilize deposits of the public".

Mr. Echandi has expressed an interest in inviting American banking and insurance companies to open branches in Costa Rica. He has said it is not his intention to propose measures which might destroy the national banking system, but that he thinks the existence of a private bank operating with its own funds will help solve the growing lack

³ Reference is to the International Coffee Conference, January 20–27, 1958. For a report, see U.S. Department of Commerce, *Foreign Commerce Weekly*, February 24, 1958, p. 3.

of facilities to increase loans to farmers and industrialists. He has also recently expressed his firm belief in the necessity of extending security and support to private initiative, limiting the intervention of the State in the field of economic activities to the absolutely indispensable.

Suggested Position:

That Mr. Echandi be encouraged in his desire to further economic development through increased private investment. It could be pointed out that an increase in private institutions would not only bring new capital into the country's money market but also capital investment in industry and agriculture, and would also add to the government's revenue in the form of taxes, without the necessity of the Government to be financially obligated for development and maintenance.

It could be suggested that Mr. Echandi, while in New York, get in touch with various banks concerning his desire to permit private banks to operate in Costa Rica.

(4) Costa Rican Armed Forces:

Mr. Echandi has announced to the press that Costa Rica will abolish the Army and sell its armaments to buy farm implements and medicines. He does plan to keep the *Guardia Civil* for safety and police service. In this connection he may express interest in having United States assistance in establishing an engineering construction unit, the same as is now being established in Honduras. Our Embassy has recommended that such a battalion be established.

Suggested Reply:

If this subject is raised, it is suggested that Mr. Echandi be informed that we are very much interested in any disarmament proposals for Latin America, as well as plans any individual country has for reducing its arms; and that a reduction in a country's expenditure for armaments leaves more money available for expenditures on constructive economic developments. With regard to an engineering unit, Mr. Echandi could be told that careful consideration will be given to his request. FYI: In this connection much depends upon available funds, and comparative priority needs of other Latin American countries in relation to our overall policy objectives. End FYI.

(5) Loan Projects:

World Bank: In January 1957 Costa Rica negotiated a loan with the IBRD for \$3 million designed to finance the importation of capital goods for agricultural and light industry development. The Central Bank of Costa Rica now has a second loan request for its capital goods importation program in the amount of \$5 million with the IBRD. This application is now under consideration.

The Costa Rican Institute of Electricity (ICE) has a preliminary loan application with the IBRD, the amount as yet undetermined, to finance the Rio Macho hydroelectric project. This projected development would have a generating capacity of 24,000 KW and the cost is estimated at \$4.1 million. Whereas this was to be an autonomous government agency project, it may be that Mr. Echandi, in line with his thought concerning private investment, may have an interest in trying to have the American and Foreign Power Company develop this project.

Development Loan Fund: The Government of Costa Rica has expressed interest in obtaining a million loan from the DLF for augmenting the capital available to the rural credit boards for promoting agricultural development. Preliminary discussions have taken place between officers of the Department and Costa Rican officials, but as yet no formal application has been made.

Suggested Position:

If this subject is raised, Mr. Echandi can be informed that the DLF is considering each loan request on its own merits, and that he can be assured that when a formal application is submitted, it will be given every possible consideration.

Increasing Proportion of United Fruit Company Profits Subject to Costa Rican Taxation.

Mr. Echandi has informed Ambassador Woodward that this is one of the subjects he wishes to discuss while in Washington. He is interested in obtaining a larger amount of taxes from the United Fruit Company. He has in mind eventually working out an arrangement (principally with the Treasury Department) by which a larger proportion of the profits of the banana producing and selling operations, which pertain to Costa Rica, would be allocated by Treasury to the operations of the producing subsidiary in Costa Rica in order that the larger proportion of the profits would be taxable by the Costa Rican Government.

There is now in effect a formula established by Treasury by which approximately one-half of all the profits made by the United Fruit Company and all its subsidiaries are taxed as profits made by the home company and therefore taxable only in the United States at the regular rate for corporate profits of 52 percent. The remaining half of the total profits are considered to be profits made by the subsidiary producing companies in the various countries where the country produces its product. This half of the profits divided among the operations in all producing countries is taxable in each producing country now at 30 percent.

Mr. Echandi has informed our Embassy that he is authorized to discuss this method of increasing revenue on behalf of the Presidents of Guatemala and Honduras.⁴

Suggested Reply:

It is suggested that Mr. Echandi be told the Executive in the United States does not have the authority sometimes found in other countries to modify tax liabilities of taxpayers. Taxpayers have well settled rights under United States laws and the regulations that are issued to implement those laws. Consequently, we cannot give an opinion as to whether the method for allocating the income of the United Fruit Company can be changed. However, to the extent that the present method may not adequately reflect the regulations and the law, the Treasury would be prepared to discuss the question with the United Fruit Company.

It could be suggested that this matter be worked out between the United Fruit Company and the Treasury. Treasury has informed us that there would have to be a detailed study before any decisions could be made on this proposal.

Suggested Subjects You May Wish to Discuss With Mr. Echandi:

(1) Inter-American Highway:

It is suggested that you point out to Mr. Echandi the importance of the Inter-American Highway to Central America. In this connection Mr. Echandi's attention could be drawn to the expected increase in United States automobile traffic to Central America, with resulting additional revenue for the Central American countries and a closer tie between the people of the United States and the people of Central America.

On March 17 the Legislative Assembly authorized the Costa Rican Government to negotiate an increase of \$4 million from the EXIM Bank for completion of the highway in Costa Rica.

(2) Elections

You may wish to comment on the orderly, honest, democratic Presidential and Congressional elections which took place last February second. The Costa Ricans have taken great pride in these elections as they were intent upon showing other Latin American countries how free democratic elections should be conducted. As President Figueres' party will have a plurality in the new Legislative Assembly, any comments Mr. Echandi has concerning how he expects to get his program through the Legislative Assembly will be of interest.

⁴ Miguel Ydígoras Fuentes and Ramón Villeda Morales, respectively.

(3) *Exiles Residing in Costa Rica:*

Since President Figueres has been noted for his leniency with regard to permitting entry of political exiles into Costa Rica, and since Costa Rica has been considered by President Somoza as a sanctuary for Nicaraguan exiles plotting to overthrow his government, it would be of interest to sound out Mr. Echandi as to what his policies will be regarding admission and activities of political exiles. It is understood that Echandi, on his recent visit to Nicaragua (March 10), assured President Somoza that he would control the activities of Nicaraguan exiles in Costa Rica. It could be indicated that strict control of exile activities would tend to create harmony and political stability among the Central American countries.

(4) *Communism:*

Mr. Echandi has indicated to our Embassy that he will express an interest in hearing any suggestions the United States has for combatting Communism. It could be pointed out that Communists are permitted to travel freely in and out of Costa Rica and suggested that more control exercised over their freedom of movement would be effective in reducing their activities. The effectiveness of Communist propaganda could also be counteracted by anti-Communist propaganda forthcoming from leading business groups, teachers and the clergy.

Effective implementation of the provisions of the Caracas Resolution,⁵ particularly those concerning the exchange of information on Communist travel and activities, would be one of the best means of combatting Communism. The presidents of other Central American countries have recently indicated their desire for increased cooperation in controlling Communism. Emphasis should be placed on each country getting its own house in order and establishing effective internal controls.

Communism in Labor Unions:

The Pacific banana zone, the largest concentration of workers in any one enterprise in Costa Rica, presents the continuing problem of a Communist-dominated labor union (*Federación Obrera Bananero y Anexos—FOBA*); enjoying the strongest position, with a membership of about 3,500 members, among the farm workers of the United Fruit Company. Another union (*Federación de Trabajadores Bananeros y Anexos—FETRAPA*) with about 1,050 members among the Company's

⁵ Reference is to Resolution XCIII adopted by the Tenth Inter-American Conference, March 28, 1954; for text, see U.S., Department of State, *Tenth Inter-American Conference, Caracas, Venezuela, March 1–28, 1954: Report of the Delegation of the United States of America with Related Documents*, p. 156.

railroad and shop workers, has been known to be non-Communist but has entered into a cooperative working relationship with FOBA during the past half year. A third, minor organization, the *Rerum Novarum*, has about 100 members in the Company's facilities at Golfito.

None of the three unions supported Echandi in the recent election. *Rerum Novarum* very definitely supported the National Liberation Party and both FOBA and FETRABA, according to the Embassy, overwhelmingly demonstrated they were in the Calderonista-Communist camp.

Problem:

How will the Echandi administration handle the problem? Harassment for nonsupport of Echandi can strengthen the Communist position. Indifference, if it is felt to be an area not worth courting, could do likewise. Perhaps an ORIT-ICFTU campaign, now being contemplated, could be permitted to operate provided it is carried out on a strictly trade union, non-political basis designed to diminish Communist influence.

Additional Subjects President-Elect Echandi May Discuss

(1) Change of Authority in Awarding Contracts for the Inter-American Highway:

It is understood that President-elect Echandi is interested in having the Government of Costa Rica take over the awarding of the contracts for the remaining work for completion of the Inter-American Highway in Costa Rica.

Our Position:

In view of the advanced stage of construction of the Inter-American Highway in Costa Rica it appears to be a poor time to change the procedure for the operation and final construction of this highway. In addition the United States is not aware that the Government of Costa Rica presently has in being a highway department which could adequately handle the letting and awarding of contracts on the highway. The United States does not believe that it would be advantageous for Costa Rica to build up a highway department to handle this project as the Inter-American Highway is a much larger project than any future foreseeable projects in Costa Rica. Therefore, it would seem to be to the benefit of the rapid completion of this project not to undertake to change the methods of operations at this time.

The United States through the Bureau of Public Roads is willing to cooperate with and assist the Government of Costa Rica to build up and train a highway organization capable of carrying on and maintaining the highway after its completion and the Bureau of Public Roads

engineers leave Costa Rica. (Prepared by Mr. Russell in REA and cleared with Bureau of Public Roads)

(2) *Desire to Sell or Give Away Excess Armaments:*

Our Embassy has informed us that Mr. Echandi wants to keep only sufficient armaments in the country to meet the needs of the *Guardia Civil* for police purposes. He has expressed a desire to discuss the sale of Costa Rican excess armaments to the United States, and in the event the United States cannot purchase them he proposes to give them to this country.

Suggested Reply:

The Defense Department states that it would not be able to purchase any excess armaments from Costa Rica nor would it be able to accept them as a gift. It could be suggested that Echandi through his country's Embassy in Washington make arrangements to sell the armaments to private entities such as INTERARMCO. It might be well to point out that we would not like to see Costa Rica sell any of its armaments to countries which would be prone to use them for other than defense purposes. In this connection we certainly would not want to see them go to Cuba. FYI: In 1954 Echandi vigorously opposed the purchase of a relatively sizable quantity of arms. His desire to dispose of excess armaments may be due in part to vindicate the position he took regarding their purchase in 1954. End FYI.

CR-4. Memorandum from the Chief of the International Tax Staff, Department of the Treasury (Gordon) to the Officer in Charge of Costa Rican-Nicaraguan Affairs (Taylor)¹

Washington, March 28, 1958.

SUBJECT

Meeting between President Echandi of Costa Rica and Dan Throop Smith, Deputy to the Secretary of the Treasury, March 27, 1958

The President, after preliminary greetings, expressed his intention to devote his country's resources to economic development to the maximum possible extent. He pointed out that taxes from banana companies

¹ Source: Department of State, Central Files, 718.11/3-2858.

constitute an important potential source of revenue. Three banana companies are or will be trading in Costa Rica: United Fruit, Standard, and a local company (possibly Bananaria). Only United Fruit, however, does not pay tax on its total income, he stated. Moreover, its income alone is not susceptible of determination by Costa Rica. Prices for the export of meat, which is being promoted, are set by a production council. Coffee contracts and the prices are registered with the government. Sugar has a world price and profits of Costa Rican companies can be based upon that world price. The same is true of cocoa. Only in the case of bananas has it not been possible to obtain an "independent" determination of profits. Rather than act arbitrarily, the President would prefer to come to some amicable agreement in the matter.

Mr. Smith indicated briefly how the fifty-fifty arrangement came into being and the fact that there is no independent banana price makes it necessary to resort to a formula. The formula, he emphasized, was utilized not only in the United Fruit case but in other situations—where an American company sells to its distributing subsidiary abroad and no independent price exists. The formula used for imports is also used for exports.

After some discussion, Mr. Smith indicated that the Treasury would be very glad to give its attention to this problem promptly.

In passing, the President expressed an interest in having an American tax expert go to Costa Rica for a month or two to assist in improving their tax system. However, no comment on this request was made by Treasury.

Mr. Smith suggested that Costa Rica may want to give consideration to the possibility of reaching an agreement on a tax convention between our two countries. The Costa Ricans expressed an interest and requested copies of recent tax treaties. Two sets of copies of the U.S. convention with Honduras, Japan and Germany² are being forwarded to President Echandi.

Present for Treasury were: Mr. Dan Throop Smith; Mr. David Lindsay, Assistant to the Secretary; Mr. Nathan Gordon, Chief, International Tax Staff.

² For text of the Tax Convention with Honduras, signed at Washington, June 25, 1956, see 8 UST 219; with Japan, signed at Washington, April 16, 1954, see 6 UST 113 and 149; and with Germany, signed at Washington, July 22, 1954, see 5 UST (pt. 3) 2768.

**CR-5. Memorandum of Conversation, by the Officer in Charge
of Costa Rican-Nicaraguan Affairs (Taylor)¹**

Washington, March 27, 1958.²

SUBJECT

COSTA RICA: Visit of President-Elect
Mario ECHANDI Jimenez

PARTICIPANTS

Roy R. Rubottom, Jr., Assistant Secretary
William A. Wieland, Director Middle American Affairs
C. Allan Stewart, Deputy Director Middle American Affairs
Ambassador Whiting Willauer
Ambassador Robert F. Woodward
Herbert B. Leggett, Officer in Charge, Central America and Panama Affairs
Henry L. Taylor, Costa Rica Desk Officer

Mario ECHANDI Jimenez, President-elect of Costa Rica
Jorge Hazera, Minister Counselor of Embassy of Costa Rica
MEMBERS OF ECHANDI OFFICIAL PARTY

Sr. Alfredo Hernandez Volio
Sr. Jorge Borbon Castro
Sr. Joaquin Vargas Gené
Sr. Tomás Federico Guardia Herrero

Mr. Rubottom extended a warm welcome to Mr. Echandi and the members of his official group. He congratulated Mr. Echandi on winning the Presidential elections and commended Costa Rica for the democratic manner in which the Presidential and Congressional elections were held last February 2. Mr. Echandi replied that he was honored and pleased to be in Washington and expressed his appreciation for the magnificent attention he and the members of his group were receiving. The visit lasted one and one-half hours, during which time the following subjects were discussed.

Economic Conditions

Mr. Rubottom said it appeared in general that Costa Rica's economy was in fairly good condition. He said, however, he realized a reduction in world market coffee prices—Costa Rica's principal source of foreign exchange—could cause severe economic repercussions to the country's economy. Mr. Echandi said this was correct and that he was concerned over the possible drop in coffee prices. Mr. Echandi expressed the

¹Source: Department of State, OAP Files, Lot 61 D7, "Memorandum of Conversation: Costa Rica, 1958." Confidential.

²This memorandum of conversation was prepared on March 31.

need for his country to diversify its production, increase its production of basic food crops, and reduce wherever possible expenditures for imports. Mr. Rubottom pointed out that we are aware of the difficulties that a drop in coffee prices would cause to Costa Rica and other coffee-producing countries. He said that we were looking into what could be done to help increase the consumption of coffee, and that there were at present several ways that a country could obtain aid if necessary. In this connection he pointed out that such institutions as the World Bank, the EXIM Bank, and the International Monetary Fund are available for giving objective advice and assistance upon request. He also stressed that a country should make efforts on its own behalf to take necessary steps to put its economy in good order, even if this involved some sacrifice on the part of the people.

Armaments

Mr. Echandi said that in keeping with Article 12 of the Costa Rican Constitution he desired to get rid of all excess armaments. According to him, he wants to keep only those arms necessary for use of the Guardia Civil for police purposes. He said that he would like to sell the arms to the United States and use the funds derived therefrom to buy tractors and other agricultural equipment. Mr. Echandi stressed that he had no personal reason for wishing to be rid of the excess armaments but since Costa Rica did not have any real Army of its own, and did not desire one, he could see no reason for keeping any excess armaments. Mr. Rubottom said he did not know how the United States Government could purchase the armaments but that the matter would be looked into. Mr. Echandi stated that he had no intention of selling the armaments to any country which would be likely to utilize them for causing trouble either within its own country or that of another. Ambassador Willauer stated that he in the past had had a great deal of experience with arms and that he had some ideas regarding the sale of the excess armaments which he would pursue when he took over his post in Costa Rica. Mr. Echandi also emphasized that his country was not an aggressive one and in keeping with Article 12 of its Constitution did not need arms for any other purposes than policing.

Inter-American Highway

Mr. Echandi said he wondered if a section near the Inter-American Highway, between El Coto Airport and San Ramón, covering approximately 40 kilometers could be included in the Inter-American Highway project. Mr. Rubottom informed him that at the present time it seemed best to concentrate on completing that part of the Inter-American Highway running through Costa Rica rather than attempting to reconstruct an additional road as part of this project. He pointed out to Mr. Echandi the difficulties of obtaining sufficient funds from our Congress in order to carry on the Inter-American Highway project

without attempting to obtain more funds for the construction of another road not really a part of this project. Mr. Echandi did not press this request but said he wondered if a change could be effected in the present agreement for constructing the Inter-American Highway. He stated that it would be desirable for Costa Rica to control the awarding of the contracts for completing the unfinished parts of the road rather than to continue letting the Bureau of Public Roads control the awarding of these contracts. Mr. Rubottom pointed out to Mr. Echandi that when construction of the Inter-American Highway was first begun Costa Rica, owing to lack of an adequate Road Department, had requested that the Bureau of Public Roads assume the function of awarding the contracts. Mr. Rubottom indicated that it would be a poor time to change now as the final stages of construction are being entered into. He said that of course the United States, through the Bureau of Public Roads, is willing to give technical assistance to training Costa Rican road technicians.

Communism

President-elect Echandi said that he was concerned with communism in Central America, and on his recent trip through the Central American countries had discussed ways and means of combatting communist activities. He said that these countries desired to form a united front to combat communism and were willing to cooperate with an exchange of information regarding movements and activities of known communists. Mr. Rubottom indicated that the common efforts of the Central American countries to eradicate communism had merit, but stressed that the first thing to do in this connection was for each country to concentrate on taking care of its own internal situation and establishing its own internal controls against communism. He said that the United States would be willing to exchange information on movements of communists and indicated that we would give assistance in combatting communism compatible with our foreign policy. He said that it was well known that we do not follow a policy of intervening in the affairs of other countries nor do we approve of other countries so doing. He then asked Mr. Echandi about communism in Costa Rican labor unions. Mr. Echandi said that there were some communists in the labor unions as well as a number of leftists, Mr. Rubottom then asked him whether there was much communism in the banana unions. Mr. Echandi replied that there was communist infiltration in the Federación Obrera Bananera y Anexos (FOBA) and indicated that it was something that had to be dealt with. Mr. Rubottom then said thought could be given to the role that ORIT could play in combatting communism in the labor unions.

Political Exiles

Mr. Echandi stated that he would follow a policy whereby political exiles could continue to reside within the country in keeping with

Costa Rica's democratic principles, but would not tolerate their engaging in subversive activities within or outside the country. He stated that political exiles could continue to find a place to live in Costa Rica and provided they lived there peacefully as law-abiding citizens they would not be molested.

Political and Economic Philosophy

Mr. Echandi stated that he was a strong believer in democratic principles and private initiative. He stated that it was his desire now to unite the various political parties within the country in looking towards the best interests of the country. He said he was making an effort to have his Cabinet composed of representatives of the various parties and in this respect he had offered Rossi (the Independent Party candidate for President) a Cabinet post. He said that it was not his intention to change any of the government autonomous entities already functioning, but that he hoped additional economic development would be carried out through private enterprise by both foreign and domestic capital.

Banks

President-elect Echandi said it was his desire to see private banks established in the country. He said that he hoped while in the United States to talk to some bankers with the idea of interesting them in setting up branches in Costa Rica. He thought that private banks within the country would help provide needed loans for the agriculturists, such as the coffee growers, and for small industrial enterprises. Mr. Rubottom asked him if it would be necessary to change the law of 1948 under which the banks were nationalized before private banks could function within the country. Mr. Echandi said changes in this law would have to be effected.

Larger Share in Taxes of the United Fruit Company

Mr. Echandi said that he had talked with Treasury officials this morning in regard to his desire to obtain an increase in the portion of United Fruit Company profits subject to Costa Rican taxation. He spoke appreciatively of the way he had been received by the Treasury officials and seemed pleased to know that his request would be given every possible consideration in accordance with United States tax laws. He indicated that the United Fruit Company would endeavor to work out this matter with the Treasury.

Conditions in Other Central American Countries

Mr. Rubottom asked Mr. Echandi if he had any comments he would like to make concerning observations of the Central American countries he had so recently visited. Mr. Echandi said that in El

Salvador the situation looked fine to him and that the government was well in control of political conditions and definitely appeared to be stable. With regard to Honduras he believed that Villeda Morales [illegible in the original]. He said that there were two governments in existence—Villeda's and the Army. He also remarked that as far as he could determine subversive activities were being carried on by political exiles and that apparently Villeda was not able to control them to the extent he should. In connection with Nicaragua, he said everybody was aware of the situation there, that the government was stable and anti-communist. He appeared to believe that Nicaragua offered no political problem. In regard to Guatemala he said that Ydígoras was getting his government well organized, that he appeared to have things under control, and was very much aware of the leftists within the country. In connection with the latter, he said Ydígoras had already expressed himself against communism and believed he would in the near future take appropriate action to curtail communist activities. With the exception of Honduras he apparently felt the Central American countries had stable governments.

Attitude Towards Development of Electrical Power

Mr. Echandi said that he favored the development of electric power by Instituto Costarricense de Electricidad (I.C.E.), leaving the distribution to private companies such as the American and Foreign Power's Subsidiary.

CR-6. Memorandum from the Deputy Director of the Office of Middle American Affairs (Stewart) to the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, May 30, 1958.

SUBJECT

Tax Benefit for Countries in which United Fruit Company Operates.

In a conversation with President Echandi of Costa Rica on May 11,² he stated that the Costa Rican Government's possibility of balancing

¹ Source: Department of State, Central Files, 818.11/5-3058. Confidential.

² Stewart left Washington, May 5, to attend Echandi's Inauguration at San José on May 8.

its budget for the coming fiscal year depended on an increase in revenue from taxes on the United Fruit Company operations in his country. It will be recalled that Echandi appealed to the Treasury Department during his visit to the United States for a greater share of the tax returns from the United Fruit Company. At present the taxes collected by the United States are based on an arbitrary division of fifty-fifty which is explained briefly in Embassy San José telegram No. 303 of May 20.³ President Echandi told me that if Dr. Milton Eisenhower could inform him during his visit to San José that the Treasury Department had modified its determination in favor of the banana producing countries he would score, as he put it, a home run. Echandi claims to have obtained approval from the Governments of the other Central American countries where United Fruit operates to undertake to obtain increased tax returns from the Company. Whatever benefit Costa Rica received would, naturally, extend to Honduras, Guatemala and Panama among the countries that Dr. Eisenhower plans to visit.

Sam Baggett, Vice President and General Counsel of United Fruit Company, was a guest of Echandi at the inauguration ceremonies in San José. I had two talks with Baggett and he informed me that Mr. Dan Throop Smith, of the Treasury Department, who would be the person responsible for recommending a change in the tax system, appeared to be favorable toward Echandi's request. I was present when Echandi talked with Smith in Washington and I was impressed by the Costa Rican's reasoned arguments. Baggett told me that Smith also was favorably impressed at that time. Since then, Baggett informs me that he has talked with Smith and found him receptive to the idea of giving Costa Rica, and *per se*, the other banana countries, a better share of the tax returns. Since my return from Central America I have been told that the Echandi proposal is now under study by the Bureau of Internal Revenue.

I asked Mr. Baggett to send me a memorandum outlining in detail the Treasury Department's system of assessing taxes on the United Fruit Company and he promised to do so after a brief vacation that he is taking in Costa Rica. However, we have correspondence from Ambassador Woodward on the whole matter and it is rather complete.

Mr. Baggett says that he does not believe that the basic principle used by the Treasury in assessing taxes on all foreign business done by American companies would be affected by a decision to change the percentage in so far as the United Fruit Company division of taxes

³ It reported that a Treasury Department determination in 1950 allowed the producing country to tax half the company's profits. Willauer believed that the increased cost of capital equipment raised the producer's share in the value of the marketed fruit, possibly justifying a revision of the 1950 determination. (961.6218/5-2058)

is concerned. For this reason, he does not think that the Treasury Department would be setting precedent that would necessitate a revision of the whole 1950 arrangement. This has since been confirmed by Mr. Gordon, Legal Adviser in Treasury. However, if you concur, I should like to talk with Mr. Smith of Treasury to get his ideas on the matter.

Although President Echandi has made the request of the Treasury Department, I think a decision to grant the countries in which bananas are produced a greater share of the United Fruit Company's taxes would be considered a voluntary gesture on our part if done around the time Dr. Eisenhower visits Central America. Actually, Costa Rica is the only country that has made the request. According to Mr. Baggett, the Costa Rican Government may anticipate a greater tax increase from the United Fruit Company than the Treasury is willing to give, and this might cause some disappointment to President Echandi. However, our taking the initiative in this action might prevent long, painful and unsatisfactory negotiations between the Governments. President Echandi indicated to Mr. Smith in his conversations in Washington that he preferred to discuss the matter with the Treasury Department and arrive at a mutual understanding rather than have the Costa Rican Government arbitrarily set a price on bananas delivered alongside ship at Costa Rican ports which would be the basis for taxing the Company. A move of this kind, I understand, might put United Fruit Company in the middle of a disagreeable tax situation.

An announcement of Treasury's willingness to allow the banana producing countries to receive more of the tax revenues from United Fruit Company would undoubtedly assist in making Dr. Eisenhower's visit to the Central American countries more successful if we decided to publicize the gesture.⁴

Recommendation:

That the Department favor the revision of the tax arrangement that will provide the countries in which United Fruit Company grows bananas to receive more tax returns, this revision to be made by Treasury through United Fruit Company and if necessary through consultation with the Costa Rican Government.⁵

⁴ For documentation on Milton Eisenhower's trip to Central America July 12–August 1, 1958, see Documents ETA-7; CO-1; CR-6-9; ES-2, 5-6; GT-8, 24; HO-3; NI-4, 7-9; PM-3; PA-7.

⁵ There is no indication on the source text of Rubottom's action on the recommendation, but see his letter of June 19, printed as Document CR-7.

CR-7. Letter from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Secretary of the Treasury's Deputy (Smith)¹

Washington, June 19, 1958.

Dear Mr. Smith:

While Mario Echandi, then President-elect of Costa Rica, was in Washington he called upon you and other Treasury officials on March 28 to discuss a revision in the U. S. tax regulations whereby 50 percent of the profits of United Fruit Company and its Costa Rican subsidiary are taxable in the United States and the other 50 percent taxable in Costa Rica. Mr. Echandi expressed at that time a desire to work out an arrangement whereby a larger percentage of the profits would be allocated to the producing subsidiary company in Costa Rica. This would be done, he stated, without hardship to the United Fruit Company, by increasing the base for taxation of the firm's profits in Costa Rica.

President Echandi, who was inaugurated on May 8, has reiterated to our Ambassador in San Jose, a continuing interest in this matter, and the Department has been informed that other Central American countries in which United Fruit has subsidiaries also share his view. The Department recognizes, of course, that questions relating to allocation of income for tax purposes under the Internal Revenue Code, involving as they do the fair and equitable administration of United States tax laws, are within the province of the Treasury Department. Furthermore, the Department is not in a position, and has no desire, to become involved in the particular tax problems of individual American companies under the U.S. Revenue Laws.

The recent drop in commodity prices has resulted in a reduction of income to Costa Rica as well as other Central American countries. For this, as well as other reasons, the Department of State considers that, generally, feasible measures which will improve the economic position of such countries will be beneficial in furthering our foreign policy interests. To the extent that such measures may be taken within the ambit of a fair and equitable administration of the tax laws, the Department considers that they would be in the national interest.

Sincerely,

R.R. Rubottom, Jr.

¹ Source: Department of State, Central Files, 811.05118/6-1958. Confidential. Drafted by Stewart and Taylor, and delivered to Smith by Stewart on June 19. At that meeting Stewart told Smith that Echandi wanted a 75-25 split for taxes on UFCO profits. Smith said that presented no problem to the Treasury Department. (Memorandum from Stewart to Rubottom, June 19, 1958; OAP Files, Lot 61 D 473, "Costa Rica") Rubottom noted on Stewart's memorandum that this was "very good news."

CR-8. Letter from the Secretary of the Treasury's Deputy (Smith) to the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, July 11, 1958.

Dear Mr. Rubottom:

In your letter of June 19, 1958 you indicated the importance that the State Department attaches to a modification in the present allocation of income of the United Fruit Company and its subsidiary corporations so that a larger proportion of such income would be attributed to the operations of the company in Costa Rica and other Central American countries in which it is engaged in business.

As you know, President Echandi discussed this matter with us here in the Treasury on the occasion of his pre-inaugural visit to the United States. At that time we indicated that sympathetic consideration would be given to his request. In the intervening period, a thorough canvass was made of the law and the regulations governing the allocation of income where goods are produced in one country and sold in another. Despite our anxiety to reach a result which, as you indicated, would be in the national interest, this analysis led to the conclusion that there is no authority for modifying the present allocation of income.

Conceivably, the regulations could be changed so that other factors, in addition to the location of assets and the place where sales occur, would be taken into account in making income allocations and thus a larger proportion of the profits of the United Fruit Company would be attributed to Costa Rica. However, this is a time-consuming procedure, and could not be achieved within the necessary time limits. Moreover, this approach is complicated by the fact that the present regulations apply not only where goods are produced abroad and sold in the United States, but also in the converse situation, where goods are produced in the United States and sold abroad. A modification in the present regulations which would operate to advantage so far as United Fruit's activities in Costa Rica are concerned might, by the same token, operate to the disadvantage of American firms selling American-made products in other countries.

In the light of all the factors involved, it is our conclusion that the most feasible approach to a solution of the problem with respect to Costa Rica, as well as other Latin American countries, would be to enter into bilateral income tax conventions in which, among other

¹ Source: Department of State, Central Files, 818.112/6-1158.

provisions, there would be an agreed-upon distribution of profits between the other signatory countries and the United States. Such a convention would have the advantage of producing a definitive solution to the problem and would presumably establish other desirable conditions with respect to international trade and investment between the signatory countries and the United States. Accordingly, it is suggested that this approach be suggested in the course of the forthcoming discussions between Costa Rica and the United States on the occasion of Mr. Milton Eisenhower's trip there.

If we can be of any further assistance in this matter, please let me know.

Sincerely yours,

Dan Troop Smith

CR-9. Summary of Discussions in Costa Rica during Milton Eisenhower's Visit¹

July 18-21, 1958.

Discussions in Costa Rica were held with the President,² members of his Cabinet, representatives of other political groups, and Dr. Eisenhower also spoke before the National Assembly. Likewise other members of Dr. Eisenhower's party met with various Costa Rican officials. The President, Dr. Echandi, spoke with emotion of the national unity achieved by the United States in times of crisis. He mentioned the support given by Mr. Truman and Mr. Stevenson to the President's recent action in the Middle East. He mentioned also that Costa Rica was a free country in which the full exercise of all democratic freedoms was guaranteed to all citizens and said that he had arranged for the

¹ Source: Department of State, ARA Special Assistant's Files, Lot 60 D 513, "Eisenhower, Milton; Costa Rica, 1958." President Milton S. Eisenhower of Johns Hopkins University made a three-week factfinding trip, July 12-August 1, 1959, as Personal Representative of the President, to Panama, Honduras, Costa Rica, Nicaragua, El Salvador, and Guatemala. He was accompanied by Roy R. Rubottom, Jr., Assistant Secretary of State for Inter-American Affairs; Tom B. Coughran, Assistant Secretary of the Treasury; Dempster McIntosh, Manager, Development Loan Fund; and Samuel C. Waugh, President, Export-Import Bank. A report on his visit to Costa Rica is in despatch 35 from San José, July 28, 1958. (120.1520/7-2858) For further documentation on the visit, see Document CR-6, footnote 4 in this chapter.

² A memorandum of Eisenhower's conversation with Echandi, July 18, 1958, is in Rubottom Files, Lot 60 D 533, "Dr. Eisenhower's Central American Trip."

Communist leader Mora Valverde to speak over the radio, thus avoiding the Communist attempt to pose as martyrs who could not enjoy freedom of expression.

It was pointed out by the Costa Ricans that the economy of Costa Rica is largely based on its foreign trade. The principal item of export is coffee which in 1957 produced 49% of the foreign exchange. It was further emphasized that the economic development and improvement in social welfare in Costa Rica were closely bound to the price of coffee. In Costa Rica a very large percentage of the population are directly connected with the production of coffee where small plantations are the rule rather than large landholdings as in other countries of Central America. Thus a rise or drop in the price of coffee directly affects a very large number of Costa Ricans. The President pointed out that the recent drop in the price of coffee had now begun to seriously affect the economic and social stability of Costa Rica. Unemployment had begun to appear precisely at a time when the Government's revenue had dropped. The Government and people of Costa Rica hoped that the United States Government would do what it could to stabilize coffee prices as a further drop would seriously affect the living standards of the masses and might present a fruitful field for the development of extremist ideas with consequent danger to an Administration which firmly supports the development of private initiative.

The President said that he had developed a plan, the implementation of which would require the conversion of the internal debt to an external debt, but that the possibility of doing this was directly related to reaching an agreement with the U.S. Treasury concerning the payment of taxes by the United Fruit Company. At the present time 50% of the taxes on UFCO profits were paid to the United States and 50% to Costa Rica. If an agreement could be reached whereby the Costa Rican share could be increased this would be a very useful form of assistance for them. They felt that Costa Rica was entitled to a greater share than it was presently receiving. At the present time the revenue from this source for Costa Rica amounts to some \$3 million.

Costa Rica had an internal debt of \$30 million. If they were able to obtain this agreement they intended to devote the revenue from the banana tax to the servicing of a loan from foreign sources, government or private. 27,000 coffee plantation owners had been affected by the present drop in coffee prices. They had reduced their labor cost by laying off workers and the Government was currently not able to undertake projects giving work to these unemployed. If Costa Rica were able to obtain this \$30 million loan they were prepared to assign the revenue from the UFCO tax to service this debt and furthermore the National Bank was prepared to guarantee it. The Costa Ricans felt that if this project could be carried out it would make a very great contribution

to diversifying their production and placing the national economy on a more solid basis. Furthermore, this would make available the amounts which the Government now devotes to servicing the national debt for a broad program of road construction which they are working on at the present time with the World Bank. If the loan were secured the Government would then feed this amount into the National Bank system to be loaned out to small rural credit agencies for direct loans to the small planter and farmer. 20% of the loan would be used for diversifying agriculture, developing cattle breeding and improvement of the breeds; 20% would go to stabilize the coffee industry and the remaining 10% would be devoted to housing. The President pointed out that not one cent of this money would be taken by the Government for any public works. For the first time in Costa Rica's history the total amount of the loan would be turned over to the Development Bank for strengthening the economy and developing private initiative. The recent election had been fought largely on an issue of private initiative against "stateism."

The President and members of the Cabinet expressed the hope that this loan could be secured from Governmental or private sources in the United States as it was essential for the implementation of their plan. All members of the Government including the President were warm in their expressions of friendship for the United States and understanding of the immensity of the burden borne by the American people. They seemed proud of the high standard of living in Costa Rica. Reception of Dr. Eisenhower's party was everywhere friendly and warm and while attending the funeral of the Minister of Health who died during Dr. Eisenhower's stay in Costa Rica,³ Dr. Eisenhower walked several miles in the funeral procession, receiving the warmest demonstrations of friendliness from Costa Ricans of all classes. The matter of alleged United States support for dictators was not brought up by anyone on the Governmental side, although it was brought up forcefully by opposition leader Jose Figueres⁴ during a breakfast at the Embassy which he had with Dr. Eisenhower. Both former Presidents Figueres and Calderon Guardia⁵ expressed the friendliest feelings for the United States, the latter expressing his desire to help President Echandi in the measure in which he were allowed to do so. Figueres stated his belief that the United States had in some measure given the impression of favoring dictatorships and Calderon Guardia expressed his feeling that the

³ Dr. Adolfo Jiménez de la Guardia died July 19, 1958.

⁴ José Figueres Ferrer, President of the Founding Junta of the Second Republic, May 8, 1948–November 8, 1949; President of Costa Rica, November 8, 1953–May 8, 1958.

⁵ Rafael Angel Calderón Guardia, President of Costa Rica, May 8, 1940–May 8, 1944.

United States had perhaps been a little harsh with Trujillo and Somoza who were after all staunch supporters of the United States.

Costa Ricans of all walks of life expressed support for the idea of closer economic integration of Central America and moves towards a common market for the countries of that area.

The projects presented by the Costa Ricans were as follows:

Increase in Capital for Rural Farm Credit Agencies of the National Bank of Costa Rica:

The Costa Rican Government had requested a loan of \$5 million from the Development Loan Fund for the purpose of increasing the capital of those rural credit agencies so that they could make low interest loans over reasonable periods of time to small farmers who are perhaps the principal support of the economic and social stability of the country. The United States Embassy was carrying out a study on this. The Costa Ricans hoped for favorable action on the part of United States on this application which would favor a broad sector of the population of Costa Rica and at the same time fulfill the aims which inspired the creation of the Development Loan Fund.

Inter-American Highway:

The Costa Rican Government intends to finish the Inter-American Highway before the end of the present Administration. This would include the stretch between San Ramon and Cartago. They feel that this stretch is vital as it crosses the most heavily populated area of the country. They would like to see the same standard applied here as elsewhere on the highway, that is to say, the United States contributing two-thirds and Costa Rica one-third. They would hope to obtain their third through an Export-Import Bank loan. This work would not only favor the economic development of the country but would also in some measure palliate the growing unemployment problem due to the drop in coffee prices.

Children's Hospital:

Through ICA the Costa Rican Government obtained a \$2 million loan to take care of the major part of the cost of construction of the Children's Hospital. Additional funds have been obtained within Costa Rica through gifts from private individuals and other sources but they are experiencing difficulty in obtaining the final amount to complete the work. If the loan could be increased by some \$950,000 they could be sure of concluding the hospital and of being able to carry on its work.

Sanitary Improvement of the Metropolitan Area:

22% of the population of Costa Rica reside in the metropolitan area of San Jose. The city is growing with extraordinary speed, giving

rise to the serious problem of supplying drinking water and adequate sewerage. They have drawn up a plan to repair the old water system, undertake new construction and install water meters and believe that this plan would satisfy all foreseeable needs for 20 years. Plans are already drawn up and work could be undertaken if they could obtain the approximately \$3 million necessary to undertake this project.

Sewerage:

An effective sewerage system is planned and is under slow construction. If further financing could be obtained this work could be carried out quickly and effectively. The cooperative Inter-American Public Health Service had rendered valuable cooperation in this work.

Water Supply:

Valuable cooperation has been received from the Point Four program in studying the supply of drinking water to the whole metropolitan area but its resources are inadequate for the size of the problem, and the Government would be very desirous of obtaining a loan which would enable them to go forward swiftly with this project.

German Taxes on Coffee:

The Costa Ricans pointed out that Germany had two taxes on coffee that caused the price of this commodity to be extremely high in Germany. They felt that if the United States could in some way use its influence on the Federal Republic to have these taxes removed or lowered that this might increase German Coffee consumption by as much as 2 million bags yearly.

Desire of the Costa Rican Government to Exchange Surplus Military Equipment for Transportation and Communication Equipment:

The United States Country Team did not feel that the Echandi administration had the firm capability of maintaining internal security and the greatest weakness of the Public Forces was due to the lack of adequate transportation and communication. Recently the desire was expressed by a representative of the present Administration to trade items such as machine guns, rifles and obsolete aircraft for sedans, trucks, radios and two aircraft of the liaison type. They would like to trade in some \$200,000 worth of the former items for some \$253,000 worth of communications and transportation equipment. This would strengthen the internal security of the country and the exchange of weapons for vehicles would create a good impression for the United States in Costa Rica in the opinion of the Country Team.

Costa Rican Intentions and Hopes:

The Costa Ricans indicated that the Government intends to go forward with a plan to improve the living conditions of the people of Costa Rica while at the same time developing their economy to increase the national revenue and provide a more equitable distribution of wealth. The educational and cultural level of the people is such that they would be able to use effectively any economic assistance which might be rendered and fully discharge any obligations undertaken by accepting such assistance. An improvement in living standards is the best guarantee of the continued social stability of the country which have continued to improve through orderly evolution in contrast to the violence which has shaken neighboring countries. The Costa Ricans expressed the hope that the United States, bearing in mind the economic and social organization of Costa Rica, the cultural level of the people and their devotion to the democratic way of life, will make available the assistance necessary to develop the nation and its economy.

There appeared to be in Costa Rica a better understanding of the operations by the various lending organizations in the United States as well as a more coordinated plan than had been the case in some of the other nations visited. There would appear to be some misconception, however, as to the ability of the United States Government to fix coffee prices and perhaps insufficient understanding of the importance of diversifying the country's agriculture. The President spoke of his intention to develop cattle for the export of meat as they saw in this a promising and stable market. The President and his Ministers paid great tribute to the work of the agricultural experimental station at Turrialba which was visited by Dr. Eisenhower.

Conclusions:

The Government has developed a plan which is totally dependent upon the obtaining of (1) an agreement with the United States Treasury regarding a more favorable arrangement for Costa Rica in the collection of taxes from United Fruit Company, and (2) the obtaining of a \$30 million loan to convert the internal debt into an external debt. The Costa Ricans have requested this loan as well as \$5 million for development of rural credit agencies and an unspecified amount for road building, an additional million dollars for the Children's Hospital, \$3 million for water supply of San Jose, and an unspecified amount for sewerage and further development of the water supply.

Despite the fact that considerable thought had been given to this plan, it appears that the following would seem to be needed for effective planning: (1) An inventory of the nation's assets in both human and natural resources; (2) a study to determine the feasibility of agricultural diversification and perhaps the establishment of new industries;

(3) a study of the domestic and foreign markets, including revenue from tourism; (4) a reexamination of government organization, financing, taxes and trade policies, with the purpose of seeing whether they could not be more effective in developing the economy of the country and supporting and regulating private investment.

The contacts of the Fact-Finding Mission were uniformly friendly with people from all walks of Costa Rican life and while there may have been occasional misinterpretation of U.S. motives, no feeling of hostility toward the United States was at any time apparent. The President and his Cabinet gave evidence of their whole-hearted support for the United States on the international scene and understanding of the problems of the United States. President Echandi stated specifically that there was too much of a tendency in Latin American countries to believe that the United States could solve all of their economic problems for them.

CR-10. Despatch from the Chargé in Costa Rica (Godfrey) to the Department of State¹

San José, July 30, 1958.

No. 42.

SUBJECT

Analysis of United States and Other Assistance Programs in Costa Rica

In conformity with the Department's Circular Telegram of May 5, 1958,² there is provided the following overall analysis of United States objectives and the role of various United States and non-United States programs in Costa Rica for fiscal year 1960. Since Ambassador Willauer was suddenly called to Washington³ it was impossible for him to review this despatch. However, the substance of the message was reviewed with him and the points included in the "special objectives" section were dictated by him.

¹ Source: Department of State, Central Files, 718.5-MSP/7-3058. Official Use Only.

² Circular telegram 1043 to San José and certain other U.S. diplomatic missions called for an analysis by the Chief of Mission of the foreign assistance programs in the host country for fiscal year 1960. (120.171/5-558)

³ Willauer left San José, July 28, 1958, for consultations with Treasury officials in Washington on reallocation of UFCO's taxes. He returned to San José on August 15.

Summary

United States assistance in Costa Rica under the Mutual Security Program, in both its military and civilian phases, is primarily directed toward technical assistance. There is no grant aid program. There is at present only one loan project, which was provided under the "Smathers Amendment" appropriation. Most of the technical assistance is given under the auspices of the International Cooperation Administration and is civilian in nature, which is entirely in keeping with both our own objectives in Costa Rica as well as coinciding with Costa Rica's own traditional boast of being a country "with more school teachers than soldiers".

Our civilian and military assistance programs are especially directed toward the U.S. objectives of (1) encouraging the growth of a healthy progressive economy based on the free enterprise system and (2) contributing to the maintenance of internal security and stability. The achievement of those objectives will, we believe, best serve to assure a close friendship and cooperation between our two countries in meeting and resolving the economic and political problems facing the United States in this Hemisphere and in the rest of the World.

Special Objectives in Costa Rica

Ambassador Willauer wishes to emphasize the following special aspects of our objectives in Costa Rica, which while of special significance in an evaluation of our MSA program in this country, still fall well within the general U.S. policy objectives.

1. *Costa Rica: A "Pilot" Operation.* Because of its demonstrated adherence to democratic principles and practices and because of the relatively high educational and cultural standards of its people, Costa Rica enjoys a prestige in Latin America out of all proportion to its diminutive size. What happens in Costa Rica has a special exemplary significance to other Latin American peoples who are striving toward a more democratic social and political system.

Therefore, Costa Rica offers an excellent opportunity as the stage of a "pilot operation" which could well serve as the example and inspiration for a much broader scale application elsewhere in Latin America. Furthermore, its small size makes it possible for experimental and demonstration work to be done in Costa Rica at much less cost than in larger countries.

Thus, our objective in Costa Rica goes much beyond the actual contribution we may make just to Costa Rica. The implications of our successes - or our failures - on this small stage will be immediately observed by a much larger audience in this Hemisphere who have their eyes trained on this little country. It should be our purpose to make the

most of this special opportunity to demonstrate our willingness and our ability to help Latin America evolve toward a sound economic system based on democratic principles.

2. *The Issue: Private Enterprise Versus Socialist Tendencies.* After the five years of the Figueres Administration (1953–58), with its ever increasing inclination toward socialism, there was inaugurated in May of this year the Administration of Mario Echandi, who had campaigned on a program to reinstate private enterprise as the primary motivating force in the economy of the country. Since a primary U.S. objective is to prove that faith and reliance on the free enterprise system is justified, it follows that a major U.S. objective in Costa Rica is to help Echandi fulfill his campaign pledge.

Last week President Echandi stated his position to Ambassador Willauer along the following lines: "Since I have championed the cause of private enterprise, the overall success of my Administration in improving economic conditions in Costa Rica will either aid or hurt the concept of private enterprise throughout this Hemisphere. Quite apart from any definite accomplishment I may achieve in my own country in improving economic conditions will be the repercussion my success will have elsewhere in Latin America. My success or my failure will be noticed and will help tip the scales one way or the other. Specific projects may or may not succeed, but the general result of my Administration must be favorable. If it is not successful, the fact that a man campaigned for private enterprise and failed will be used as an argument throughout Latin America for more socialism."

The basic need for positive results and their urgency was highlighted in an intimate meeting held a few days ago to discuss the possibility of holding a Central American Investment Conference in San José in February 1959,⁴ with President Echandi, Ambassador Willauer, and some prominent Costa Rican and American businessmen present. It was frankly stated that the investment climate still prevailing in Costa Rica is hardly propitious for holding such a conference with positive results, at least so far as Costa Rica is concerned, and the outcome of such a meeting would hinge on the change in the general economic climate which could be achieved in the meantime.

President Echandi faces serious immediate obstacles in accomplishing his frequently reiterated objective of strengthening private enterprise. He is essentially a minority president having been elected with less than a plurality of the votes. The Legislature is controlled by the only well-organized political party which is devoted to the semi-socialistic policies of former President Figueres. Echandi must depend

⁴ No record of the proposed conference was found in Department of State files.

for anything resembling a significant bloc in Congress upon the votes of deputies led by former President Calderón Guardia, who initiated social reform in Costa Rica. A number of the important aspects of Costa Rican economic life are in the hands of autonomous institutions created by Figueres and manned by, at least for some time, officers sharing the Figueres economic philosophy. Perhaps most important, the danger of a drop in the price of coffee presents the possibility of severe economic and psychological consequences. As an outspoken and so far fearless spokesman for private enterprise, Echandi needs carefully planned assistance in overcoming these obstacles and leading Costa Rica toward a system of freer enterprise.

3. *Planning: The Longer Range Need.* While there is urgent need at the moment for special help to reverse the trend toward socialism, a major need for the long run is an economic plan for the country. Only such a plan will assure orderly progress toward a strong free enterprise economy as well as assure that U.S. assistance will make the most effective contribution toward that objective. Some rather haphazard planning exists within certain individual Ministries of the Government, but there is no centralized planning and only a minimum of coordination at the Council of Government (Cabinet) level. The need of such overall centralized planning was pinpointed by the recent Eisenhower study group as probably the most basic need of Costa Rica.

Therefore, Ambassador Willauer believes that a primary objective of our technical assistance program in Costa Rica should be to arrange within the near future for an economic advisory team to study the economic needs and possibilities of Costa Rica and to formulate an overall economic plan for the country. This could be done by a private organization, even preferably so, at a cost of not less than \$100,000 and perhaps twice that amount. The recommendations resulting from such planning would be an important factor in determining our future technical assistance program. Specific projects of technical assistance might be undertaken on a contract basis. To the extent any such contracted projects might duplicate the present USOM program, the latter would obviously be reduced to avoid any overlapping.

The program as now planned would continue until a plan was finally devised, and it is quite likely that a majority of the current projects would be included, since they are designed to help resolve what are undoubtedly basic problems of the country. The difference would be the assurance that our technical assistance contribution was being used to the best advantage by Costa Rica itself in achieving its planned goal.

*Operational Aspects of U. S. Technical Assistance*⁵

a. *Balance Between Programs, Both U.S. and Other.* The overall "program" of United States assistance and other activity in Costa Rica, in addition to the work of the Embassy itself, is composed of the following essential elements:

(1) The Mutual Security Program devoted to technical assistance in agriculture, health, education, housing, public administration, the complementary training program in these and certain other fields, a loan of 2 million dollars for the construction of the Children's Hospital; (2) Eximbank loans in the amount of approximately \$21,000,000; (3) the international Exchange of Persons program involving a limited number of leader grants, exchange of teachers, and training activities; (4) the Military Mission, which comprises a program of training and assistance to the public forces of Costa Rica; (5) the Inter-American Geodetic Survey, carrying out aerial and other surveys required for an extensive mapping project; (6) the sizable grants made available for the construction of uncompleted portions of the Inter-American highway through Costa Rica, administered for the United States by the Bureau of Public Roads; (7) the public information program of USIS including principally press, radio and motion pictures.

The problem of ensuring the maintenance of a proper balance among the elements of these programs and among the programs themselves is a continuous preoccupation of the Embassy. A systematic approach to the exchange of information and consultation on new projects, particularly between the Embassy and USOM, is provided in general meetings of agency heads with the Ambassador, and day to day consultation between officers of the Embassy and those of other agencies. In addition, the detailed program submissions of USOM have been thoroughly reviewed by the Chief of the Economic Section of the Embassy with the appropriate officers of USOM.

As a result of this continuous, and as required, special review, it is the Embassy's view that there are no special problems of imbalance between the various United States programs and activities in the country. Since the activities of the Inter American Geodetic Survey (IAGS), an agency of the Department of the Army, are in the mapping field and therefore not primarily military, the only military program is that carried out by the Army Mission. An underdeveloped country, Costa Rica therefore receives the major portion of assistance from the United States in the economic rather than the military field. Given the general

⁵ The following comments are made with special reference to Paragraph 2, Cirtel, May 6, 1958. [Footnote in the source text, Cirtel, May 6, 1958, was not found in Department of State files.]

orientation of Costa Rica, as described above, this balance is believed to be in harmony with United States objectives. However, there are certain phases of assistance in the military field to which additional attention might well be given. These will be dealt with in a separate despatch.⁶

Non-United States assistance activities in Costa Rica are carried out by several international organizations including the United Nations Technical Assistance Board, the Food and Agriculture Organization, UNESCO, World Health Organization, UNICEF, the International Labor Organization, and the International Bank of Reconstruction and Development. In addition CARE has a small program in the country, and there are small assistance efforts by certain European countries.

Through the serious and careful study of USOM, considerable progress has been made during the year on the primary problem of determining just what activities are carried on by these various non-United States agencies and the extent to which they may be duplicating or overlapping United States programs. In general there do not appear to be any serious problems of imbalance between these and comparable non-United States programs in the country. However, as set forth under "e" below, it is believed that there is substantial room for improvement in the coordination attempted by the Costa Rican Government itself in order that the most effective use of those international organization assistance programs can be made.

b. *Capability to Utilize Assistance.* A majority of U.S. assistance is applied through the "Servicio" technique. These "Servicios," such as STICA for agriculture and SCISP for health, are joint U.S.-Costa Rican administrative agencies, which make it possible to apply technical assistance on a daily operational basis. This close operational relationship of U.S. technicians with their Costa Rican counterparts greatly facilitates achieving the ultimate goal of full administrative and operational responsibility by the Costa Ricans themselves. It assures the most effective use of our technical assistance as well as a much larger degree of complementary participation in the project by the host government.

c. *Implementation of U. S. Policy.* A careful review of the proposed U.S. assistance program for FY1960 (especially of the ICA program, which comprises the majority of such assistance) has been made and it is the Embassy's opinion that all projects have a direct relationship with U.S. policy objectives. They are especially directed toward promoting the growth of a dynamic, diversified economy based on the free enterprise system. They will undoubtedly also assist in meeting the special policy objectives outlined above. For example, during the Eisenhower study group visit the problem of expanding rural credit for diversification of

⁶ The despatch under reference was not further identified.

agriculture was emphasized as being of special importance and it is being given a high priority by the Echandi Administration. This problem had already been appreciated by the USOM/CR and, in fact, two days after the Eisenhower visit the head of the Rural Credit Board of Costa Rica departed for the U. S. on a special rural credit study tour that had been programmed long before the Eisenhower visit.

d. *Minimum to Meet U.S. Objectives.* While it is possible that some rearrangement of projects, and especially of priorities, might result from such an overall economic plan as that proposed elsewhere in this report, the current program on the basis of current evaluations does not exceed the minimum required to achieve U. S. objectives in Costa Rica. In fact, such an economic plan might well result in recommendations in an expanded or accelerated program. Certainly in view of the need to add such a project for an economic survey justifies the observation that the current program is less than the minimum required to achieve U. S. objectives.

e. *Coordination Between Various Assistance Programs.* There is undoubtedly a need for more coordination of the various assistance programs in Costa Rica, especially by the Costa Rican Government itself. It is precisely the solution to this lack of planning and coordination which has been presented here as a special objective. The various Ministries and autonomous institutes are all busily engaged in formulating plans and competing among themselves for the limited facilities available for their execution.

There is no problem of coordination between the various U.S. programs, since the Ambassador has established procedures which assure a constant review of U.S. projects both in the planning and execution stage. The USOM is often effective in advising the various Government agencies against entering into projects which would cause duplication of effort or be misdirected in an unproductive direction. The need for more coordination is being constantly brought to the attention of Costa Rican officials by U.S. officials, but the machinery for such coordination, especially in the planning stage, simply does not exist.

A review has been made of all current projects being conducted by United Nations agencies and other international organizations. While some of them, such as the FAO, are working on projects that are closely related to some U.S. projects, there is no current duplication of specific projects. While reservations may be made as to their relative effectiveness, most of these non-U.S. projects may actually be considered as complementing our own objectives. Embassy and USOM officials are developing a close association with the UN technical assistance director for this area in an effort to implement further coordination.

There is a small but increasing amount of technical assistance being given by other countries, especially France and Germany. Coordination,

if any, of these efforts lies solely within the Costa Rican Government, but no serious problems of overlapping have been noted to date.

Special Operational Suggestion

A limiting factor in granting larger scale assistance to Costa Rica is the fact that unlike the situation existing in many other Latin American countries, Costa Rica does not have any funds available from PL480⁷ sales nor is there any prospect of obtaining such funds under the current rules. While funds may be available to the country from international lending institutes for defraying the foreign exchange requirements of development projects, it is not possible to take advantage of these available lending resources because of the inability to finance out of current budgets the local currency cost of such development projects. Ambassador Willauer believes it is poor Hemisphere economics to base economic development on the accident of a special country's ability to create counterpart funds by the use of Public Law 480. More thought should be given to the possibility of creating a common fund from the counterpart funds created in various countries for use in development projects throughout the Hemisphere. Until such time as funds for local use are available, Costa Rica would be greatly limited in pursuing any development program which might evolve from the overall economic plan cited as a special U.S. objective in this country.

Conclusion

It is believed that the degree of consultation and review constantly being carried on among U.S. officials in Costa Rica gives ample assurance of an effective U.S. assistance program in Costa Rica, both in planning and in execution. The Embassy is firmly of the opinion that emphasis must be given toward implementation of what have been cited as special U.S. policy objectives in Costa Rica. It is quite likely that these will form the basis of subsequent recommendations for additional U.S. assistance for Costa Rica. Aside from any such special program, in the meantime, the current assistance program is undoubtedly contributing toward an eventual solution of some of the major economic and social problems of the country.

Richard A. Godfrey
Commercial Attaché

⁷ Reference is to the Agricultural Trade Development and Assistance Act of 1954, approved July 10, 1954, which provided for disposal of agricultural surpluses. For text of the Act, see 68 Stat. 454.

CR-11. Memorandum of Conversation, by the Director of the Office of Central American and Panamanian Affairs (Stewart)¹

Washington, September 30, 1958.

SUBJECT

Re-Allocation of Profits of United Fruit Company Subsidiaries for Taxation Purposes.

PARTICIPANTS:

Department of the Treasury:

Mr. Dan Throop Smith, Deputy to the Secretary;
Mr. Nathan N. Gordon, Chief International Tax Staff;
Mr. David A. Lindsay, Head, Legal Advisory Staff;

Department of State:

Assistant Secretary Roy R. Rubottom, Jr.;
Mr. C. Allan Stewart, Director of the Office of Central American and Panamanian Affairs.

By previous appointment, Messrs. Smith, Gordon and Lindsay met in Mr. Rubottom's office to discuss the allocation of profits for purposes of taxation to the Costa Rican subsidiary of the United Fruit Company. This problem arose as the result of a request by President Mario Echandi of Costa Rica for a greater participation by his country in the profits of the *Cfa. Bananera de Costa Rica*, a subsidiary of United Fruit Company.

Mr. Smith opened the discussion by stating that the Department of the Treasury had decided that it would be possible to undertake a study of the allocation of profits, now made under the 50-50 formula. He said that this could be done in one of two ways, namely, by (1) a change in the regulations, in which event the Internal Revenue Service would study figures presented by the United Fruit Company and determine whether the net profits could be allocated more favorably to Costa Rica, or (2) a change in the regulations for a different allocation conditioned on an Executive Agreement. He said the change in regulations would be a more simple procedure. Mr. Rubottom replied that a change in the regulations would be the preferable procedure, particularly in view of the time element.

Mr. Smith said that this then would be the procedure followed, and assured Mr. Rubottom that the change in regulations would be undertaken without delay. It might take between two weeks and a month to put through the amendment. He cautioned that following the

¹Source: Department of State, Rubottom Files, Lot 60 D 553, "United Fruit Company, 1958." Confidential. The source text is an unsigned carbon copy.

change some time might ensue—possibly into the next year—before the Internal Revenue Service would reach a decision as to what the new allocation of profits would be, since it would call upon United Fruit Company to present figures justifying the change in favor of the banana-producing countries. Mr. Lindsay opined that the financial statements thus far made by United Fruit were slightly evasive as they did not reflect in their entirety profits from sales of fruit in countries other than the United States. Internal Revenue would need this additional information before reaching a decision on the new allocation of profits.

Mr. Rubottom inquired whether, in view of the fact that a delay might occur in determining the new allocations, the application of benefits would be made retroactive to January 1, 1958, and Mr. Smith responded that he could not answer the question at this time. He said that he and his associates would consult in the Department of the Treasury and inform Mr. Rubottom of a decision on this point.

Mr. Smith added that it would be impossible to predict at this time what the new allocation would be, since it would depend on the presentation made by United Fruit. He said it might be 60–40 or even 80–20, but emphasized that no guess should be hazarded at this time. It was pointed out that United Fruit would present a strong case favoring the banana-producing countries since the difference between the 50–50 formula and any new one would result in a saving to the Company in payment of United States income taxes; any difference in allocation favorable to Costa Rica would be taxable at the 38 per cent rate levied under the Western Hemisphere Trading Corporation set-up instead of the 52 per cent assessed on United States profits. He said he was not happy with this situation but it had to be faced. He said Treasury also was disturbed that the Dominican Republic would benefit by the new allocation, in view of the fact that United Fruit operates in that country.

(United Fruit, in its request to Treasury for a more favorable allocation of profits to Costa Rica, has pointed out that Treasury should be prepared to extend the benefits to other countries in which United Fruit has operations similar to those in Costa Rica.)

Mr. Rubottom said that public announcement of the Treasury decision should be made as soon as possible, realizing, of course, that there would be a delay in arriving at the new allocation formula. After a discussion it was decided that President Echandi and the United Fruit Company would not be informed of Treasury's decision until the publishing of the amended regulations. Mr. Smith said Treasury would inform the Department if the benefits would be retroactive to January 1, 1958, and if this was permissible, President Echandi and the company could also be informed, upon publication of the amended regulations, of this fact.

CR-12. Editorial Note

Representatives of Costa Rica and the United States exchanged notes at Washington, March 4 and October 17, 1958, extending the Agreement establishing a Military Mission in Costa Rica for four years from December 10, 1957. For the text of these notes, see 11 UST (pt. 2) 2227. The Agreement was amended by notes exchanged at San José, February 25 and May 13, 1959, to bring Costa Rican payment procedures into conformity with United States law. For the text of the amendment, see 12 UST 901. The pertinent legislation is printed in 72 Stat. 275.

CR-13. Editorial Note

Airgram G-21 to San José, October 17, 1958, stated that the International Cooperation Administration was prepared to initiate a technical cooperation Public Safety Program in Costa Rica. (718.5/9-3058) The Department of State and the International Cooperation Administration agreed to the Embassy's suggestion, set forth in despatch 156 from San José, September 30, that it propose a study of internal security to the Costa Rican Government as a first step in starting such a program. (718.5/9-3058) In a letter of November 17 to President Echandi, Ambassador Willauer proposed a Costa Rican-United States study of the situation confronting the Costa Rican Public Forces. (Enclosure to despatch 266 from San José, November 19, 1958; 718.5/11-1958) No record of a reply to Willauer's letter or of action on his proposal was found in Department of State files.

CR-14. Editorial Note

The International Bank for Reconstruction and Development authorized the following loans to Costa Rica during the years 1958-1960: (1) \$3.5 million to the Central Bank of Costa Rica on February 11, 1959, to relend for agricultural and light industrial development. (2) \$2 million to the Central Bank of Costa Rica on May 4, 1960, to finance loans to industrial firms for importing capital goods. (International Bank for Reconstruction and Development, *Fourteenth*

Annual Report, 1958–1959, page 30; and *Fifteenth Annual Report, 1959–1960*, page 32)

The Export-Import Bank authorized a credit of \$3 million to Costa Rica on April 15, 1960 for Inter-American Highway construction, but no funds were disbursed in 1960. For additional information, see Export-Import Bank of Washington, *Report to the Congress for the Twelve Months Ending June 30, 1961*, page 144.

CR-15. Memorandum from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Acting Secretary of State¹

Washington, May 15, 1959.

SUBJECT

COSTA RICA: Re-Allocation of Profits for Taxation of United Fruit Company
Subsidiary

I am deeply concerned over the status of the Treasury Department's action on United Fruit Company's request for an increase in the allocation of its profits for taxation to its subsidiary in Costa Rica. In March of 1958 President Echandi, while in Washington, approached U.S. treasury officials to inquire whether a revision in the allocation of profits for taxation could be made to the Costa Rican subsidiary of the United Fruit Company. Treasury officials informed him that sympathetic consideration would be given to his proposal. He was then informed it would be the responsibility of the United Fruit Company to make the request for a revision in the allocation. Since then United Fruit has been trying to obtain a favorable decision in its request to increase the allocation. In order that Treasury might consider a higher allocation of taxable profits to the Costa Rican subsidiary, the United States tax regulations were amended on January 3, 1959, providing a means whereby the present 50–50 allocation could be increased, retroactive to January 1, 1958, provided a U.S. taxpayer presented evidence to substantiate a change in the allocation. Immediately following the revised regulations, United Fruit presented its case for a revision of the profit split in favor of Costa Rica.

¹ Source: Department of State, Central Files, 818.112/5–1559. Confidential. Co-drafted by Godfrey, Taylor, and Stewart.

This problem has been dragging along for more than a year and until recently Treasury officials, without definitely committing themselves, had given the impression such a change could probably be effected. I have learned informally that Treasury tax experts now have completed a review of the data presented by United Fruit and have concluded that the present 50–50 split represents a fair, even generous, allocation of the profits so far as Costa Rica is concerned. While the discussions of these findings are still in the preliminary stage, it appears they will form the basis of a final Treasury decision denying any favorable re-allocation of United Fruit profits.

In presenting its case, it is understood that the United Fruit Company contended that the allocation should be increased from the present 50% to at least 75%. An allocation of taxable profits in a proportion of 75% to the United Fruit subsidiary in Costa Rica and 25% to the United States is in keeping with the type of allocation Costa Rican President Echandi expects. Echandi's reason for this belief is that he knows that Standard Fruit Company has been paying on the basis of 77% for some years without U.S. objection.

The following factors have an important bearing on the need for favorable action by Treasury on this problem:

(1) The fact that Treasury has established an enabling regulation permitting a change in allocation of taxable profits is considered by Costa Rica, and the other countries concerned, as tantamount to granting the requested increase of the allocation. In this respect we are faced with the Latin American way of jumping to conclusions and at this juncture not to increase the allocation to the expected 75 percent will be considered as an act of bad faith on our part.

(2) In 1950, President Echandi, then serving as Costa Rican Minister in Washington, was successful in having the United Fruit Company obtain an increase in the allocation of profits from 35% to the present 50%. The United Fruit Company was able to convince the Internal Revenue Service that on the basis of its foreign investments, an increase in the percentage of taxable profit allocation to the Costa Rican subsidiary would be more equitable. Echandi believes the present allocation is still inequitable as 99% of the United Fruit Company's Costa Rican investment, consisting of the land and all productive facilities, is actually in Costa Rica. He has expressed his intention of obtaining a greater tax return one way or another. Since he was successful in obtaining an increase in the allocation in 1950, it is difficult for him to understand why this can't be readily done again.

(3) Any re-allocation of profits of United Fruit's Costa Rican subsidiary will apply to the other banana producing subsidiaries in Guatemala, Honduras, Panama, Ecuador, the Dominican Republic and Colombia. This fact, admitted by Treasury, has been emphasized

by President Echandi in various public pronouncements predicting a favorable re-allocation. This prospect of increased revenues has been the subject of comment in these various countries and has prompted an especially laudatory comment from President Ydígoras of Guatemala. Ydígoras said in effect “this action takes the sting out of Communist allegations that the U.S. is exploiting the Latin American countries”. To reverse the expectation will cause us trouble in the Caribbean at a most unfortunate time. We will certainly lose good will throughout the area and will be exploited by our enemies.

(4) The tax re-allocation has been an objective of primary importance to Echandi since he first suggested it during his visit to the United States. He has interpreted our willingness to cooperate by revising the pertinent Treasury regulations as an assurance that a favorable re-allocation will be made even though he has chafed at the delay in reaching a final decision as to how much. In this certainty he has made several public statements, the latest being on May 1, proclaiming his success in obtaining the re-allocation and commenting on the significance the increased revenues will mean not only to Costa Rica but to the other six countries in which United Fruit has banana producing subsidiaries. Our failure now to follow through with the re-allocation to which Echandi attaches so much importance and which is of relative insignificance for us from a loss of revenue standpoint will produce a situation of such embarrassment to Echandi that it cannot but fail to embitter his attitude toward us.

(5) If Echandi fails to secure additional revenue by means of a re-allocation of United Fruit profits he will undoubtedly resort to other measures, such as special legislation or pressures to renegotiate the Company’s contract. Should any of these measures result in additional revenues to Costa Rica then such advantages would immediately be sought by other producing countries, thus starting a chain of events which could not fail to affect our relations and those of a U.S. firm with seven countries.

Tab A contains a copy of my letter to Treasury setting forth the Department’s view of the importance of reaching a favorable decision on this tax problem.² Attached thereto is a chronological summary of events concerning the case.³

It will be seen from Tab B that Mr. Smith’s attitude was one of encouragement and I had hoped that a favorable decision might be

² The reference letter, dated March 16, 1959, is not printed. (818.112/3–1659)

³ A copy of the summary of events is in OAP Files, Lot 61 D 7, “United Fruit Company: Costa Rica, 1958.”

made by March of this year.⁴ However, Mr. Smith resigned and his position was taken by Mr. Henry Wallich, who adopted a different attitude in the matter. On March 6, 1959, Mr. Stewart, Director of the Office of Central American and Panamanian Affairs, met with Mr. Wallich and his advisors and it was evident that this new group was unconvinced of the merits of United Fruit's case (see Tab C).⁵ However, Mr. Wallich indicated that the case might be settled by a 60–40 division of the profits. In view of the political factors enumerated above, Mr. Wallich was informed that the Department thought this would not be satisfactory to the producing countries concerned.

Since that meeting the Treasury representatives with whom the Department has maintained contact have indicated that the study was progressing slowly and it was not until Mr. Samuel Baggett, Vice President and General Counsel of United Fruit Company, visited Under Secretary Scribner a few weeks ago that the matter was pushed.

In making its decision, Treasury has not called upon the United Fruit for any information other than that made in the original presentation by the company's attorneys. This may be standard Treasury procedure but it seems to me that in a case of such obvious importance the company should be permitted to justify its case in additional conferences with the experts who have made an adverse recommendation.

Recommendation:

That you discuss this matter with Secretary Anderson in an effort to induce Treasury to render a decision on this matter that will benefit our relations with the Latin American countries involved.⁶

⁴ At Tab B was a copy of a memorandum from Stewart to Rubottom, June 19, 1958; see Document CR-7, footnote 1.

⁵ At Tab C was a memorandum of conversation between Wallich and Stewart, March 6, 1959; 818.112/3–659.

⁶ There is no indication on the source text of the Acting Secretary's action on this recommendation, nor any record that the discussion actually took place, but see the letter of June 5, printed as Document CR-16.

CR-16. Letter from the Acting Secretary of State to the Secretary of the Treasury (Anderson)¹

Washington, June 5, 1959.

Dear Mr. Secretary:

It is our understanding that the Treasury is about to make a decision on the matter of the proper allocation for tax purposes of profits derived from the production and sale of bananas, specifically in regard to the United Fruit Company and its Costa Rican operations.² While it is recognized that the determination of an equitable and sound solution to this problem is clearly the responsibility of the Treasury, the matter is of such importance in our relations with Costa Rica and the other banana-producing countries that the Department of State is very much concerned.

As you know, President Echandi of Costa Rica discussed this problem with the Treasury in March, 1958 and was told that sympathetic consideration would be given to his view that a fair basis for taxation required that the present system of allocating profits should be changed to effectively provide that a larger share of the overall income would be recognized as deriving from the banana-producing countries. Subsequently, to provide the basis for a change in allocation, the Internal Revenue regulations were revised to permit consideration of appropriate factors other than investment and sales in determining the proper source of income.

President Echandi has understandably interpreted this action as indicating that a change favorable to Costa Rica and the other banana-producing countries would be made in the system of allocating profits. Indeed, he has gone well beyond this to publicly and repeatedly assert that the present 50–50 division would be changed to an allocation formula of 75–25 in favor of the banana-producing countries, or better.

¹ Source: Department of State, Central Files, 818.112/6–559. Confidential. Drafted by Thomas R. Favell, Economic Development Division, Office of International Financial and Development Affairs; and John M. Leddy, Special Assistant to the Under Secretary of State for Economic Affairs.

² Fred C. Scribner, Jr., Under Secretary of the Treasury, informed the Department of State on June 3, 1959, that the Internal Revenue Service had decided that the 50–50 formula was adequate and just for Costa Rica. Scribner advised the Department of State to make representations for a more favorable division of the profits for Costa Rica without delay, if it intended to do so. (Memorandum from Rubottom to Dillon, June 4, 1959; 818.112/6–459)

We do not know whether President Echandi's claim for a 75-25 ratio is or is not soundly based. We do understand, however, that there are special circumstances relating to the trade in bananas between Latin America and the United States, and that because of these circumstances the Costa Rican case for an improved ratio is valid. Accordingly, we believe it reasonable, under the circumstances, for Costa Rica and the other banana-producing countries to expect a significant and favorable change in the present allocation formula.

We understand that the present 50-50 formula is based exclusively on investment and sales. However we believe that, at the least, in any new allocation formula the factor of payroll should also be given weight because it reflects the economic activity of the banana companies and because, we understand, there is ample domestic precedent. We do not believe that an allocation based on sales and costs alone, without regard to the investment and its situs, would be equitable. Certainly the very substantial investment of the banana companies in the producing countries constitutes a major income producing factor.

Should it be determined in Treasury that a 75-25 allocation formula is equitable and sound, it would represent a substantial contribution to good relations with Costa Rica and the other banana-producing countries. If this is not fully consistent with Treasury's judgment regarding an equitable formula, then we would hope that a formula of at least 70-30 could be carefully considered. A decision to continue the 50-50 allocation, under the circumstances referred to above, would be most harmful to good relations with Costa Rica and the other banana-producing countries of Latin America and would not only lead to higher tax rates in these countries, but would likely result in other harmful measures.

It is, therefore, our hope that a new formula which is equitably and soundly based and which is favorable to the banana-producing countries will be adopted. It is also our hope that this action can be taken promptly.

Sincerely yours,

DOUGLAS DILLON
Acting Secretary

CR-17. Letter from President Eisenhower to President Echandi¹

Washington, October 27, 1959.

Dear Mr. President:

I have received your letter of September twenty-eighth expressing your desire for prompt action on the question of the readjustment of the profits for taxation of the United Fruit Company subsidiary in Costa Rica.² This problem has been the object of painstaking consultation and study by the officials of this Government. Your letter has served to intensify even more our efforts to find a method of solution of the problem which would satisfy the mutual interests of our two countries, and you will be receiving further word through regular diplomatic channels in the near future.

I take this opportunity to express my cordial best wishes for your personal health and happiness, together with my wish for the continued peace and prosperity of the Costa Rican people.

Sincerely,

Dwight D. Eisenhower

¹ Source: Department of State, Presidential Correspondence, Lot 64 D 174. Willauer delivered the letter on November 9, 1959. He persuaded Echandi to avoid any publicity regarding this correspondence; and explained that part of the reason for the further delay of a final decision was the realization within the U.S. Government of possible ramifications of a tax windfall for the United Fruit Co. (Telegram 154 from San José, November 9, 1959; 811.0518/11-959)

² Copy in Presidential Correspondence. Lot 64 D 174.

CR-18. Telegram from the Secretary of State to the Embassy in Costa Rica¹

Washington, December 4, 1959, 8:15 p.m.

180. For Ambassador Willauer. Treasury decision United Fruit reallocation profile for tax purposes provides 60–40 division favor

¹ Source: Department of State, Central Files, 811.05118/12-459. Official Use Only; Niact. Drafted by Taylor and signed by Stewart.

Costa Rica, effective January 1, 1958, informing Echandi this decision:² (1) strongly recommend he accept ruling as decision made in an equitable and fair manner after careful consideration; (2) stress increase in allocation obtained by strong efforts on part of State and UFCO; and (3) GOCR should deal directly with United Fruit hereafter on this matter. Also, remind Echandi this information being given him through diplomatic channels in accordance Pres. Eisenhower's letter.

Copy of Decision will be forwarded Embassy as soon as available; sent UFCO Boston yesterday.³

Herter

² Documentation on Willauer's informing Echandi of this decision was not found in Department of State files.

³ A copy of the letter to Baggett from Dana Latham, Commissioner of Internal Revenue, December, 3, is in OAP Files, Lot 64 D 66, "United Fruit Company: Costa Rica, 1959."

CR-19. Memorandum from the Director of the Office of Central American and Panamanian Affairs (Stewart) to the Deputy Assistant Secretary of State for Inter-American Affairs (Mallory)¹

Washington, December 11, 1959.

SUBJECT

COSTA RICA: Request for Radio-Equipped Jeeps

Ambassador Willauer has relayed to the Department an urgent request by President Echandi for United States assistance in the acquisition of 15 new radio-equipped jeeps. This equipment is urgently needed by Costa Rica, primarily to implement its capability of policing its border to prevent incursions into Nicaragua by revolutionary groups emanating from Costa Rica.

In our telegram 179 of December 4, 1959,² we requested Ambassador Willauer to urge the GOCR to make every possible effort to prevent

¹ Source: Department of State, Central Files, 718.56/12-1159. Confidential. Drafted by Godfrey. The following handwritten note to Godfrey by Stewart appears on the source text: "Let's get cracking on this."

² Not printed. (617.18/12-459)

such revolutionary movements. In Ambassador Willauer's reply he states that President Echandi has done everything possible and cannot do more without additional physical aid, which the Ambassador suggests the United States might provide. President Echandi wishes to purchase the jeeps on credit but wishes to have immediate delivery by air because of the very urgent need.

In my opinion we should give consideration to the possibility of providing these jeeps and radios on a grant aid basis, and I offer the following reasons as justification.

1. In the past six months the Costa Rican Guardia Civil has been engaged in intensive police actions, such as the Punta Llorona affair, the costs of which have far exceeded its appropriated funds, which are extremely limited even to cover normal operations.

2. The Figueres dominated majority opposition in the Legislative Assembly actively supports the Nicaraguan revolutionary movement and it would be expected to oppose the appropriation of additional funds to expend on controlling such revolutionary groups.

3. Echandi, in the face of widespread sympathy and of active support of such revolutionary activity, has acted resolutely and effectively to the limit of the capabilities available to him to control these revolutionary groups.

4. By making such equipment available the United States will be giving effective aid in promoting peace in the Caribbean area, and specifically, the maintenance of peaceful relations between Costa Rica and Nicaragua.

It has been determined that funds sufficient to cover the cost of this equipment are available in ICA Special Assistance funds which could possibly be used for this purpose.

Recommendation:

That we immediately request ICA to provide the necessary funds for the purchase of 15 radio-equipped jeeps to be furnished the Government of Costa Rica for the purpose of augmenting its capability of dealing with a situation within its own borders which threatens to disturb the peace of the area.³

Approved_____⁴

Disapproved_____

³ Fifteen radio-equipped jeeps were given to the Government of Costa in December 1959.

⁴ Recommendation is initialed as "Approved."

CR-20. Telegram from the Ambassador in Costa Rica (Willauer) to the Department of State¹

San José, December 12, 1959, 1 p.m.

204.

DEPARTMENT PASS SALG PANAMA, DA, FOR ACSI

Re Department telegram 194,² phone from Stewart.

With exception request signal detachment, Department apparently misunderstood Embassy telegram 199³ paragraphs 2 and 4 thinking I requesting airlift and naval vessel whereas only asked for information re availability aircraft and giving warning possible need naval vessel. As to justification request communications detachment and alert on other matters, President Echandi personally felt dangerous Communist inspired strike imminent. This morning for first time situation appeared easier with agreement fruit company arbitrate thirteenth month⁴ and statements Figueres press urging moderation by labor. However, view strike possibility depends now more on Communist tactics than intrinsic labor dispute. I still moderately apprehensive. Am dispatching further comments and recommendations re overall problem communications needs these often recurring critical situations Costa Rica.

Willauer

¹ Source: Department of State, Central Files, 718.56/12-1259. Confidential; Priority.

² See footnote 3.

³ In telegram 199, December 10, 1959, Willauer reported on an imminent Communist-instigated strike against the United Fruit Company in the Golfito division. He asked for a signal detachment in civilian disguise with equipment to operate stations at Golfito, Palmar, and San José, and authority to move about the country as needed, and also for information on available standby C-47 aircraft for airlift from Golfito and Palmar. He also suggested "naval vessel stand by for cruise to vicinity Golfo Dulce prepared to enter Golfito if situation warrants." He asked "that fruit company not be contacted or informed at present time." (218.1122/12-1059) In telegram 194 to San José, December 11, 1959, the Department of State requested additional justification before it could accede to Willauer's request for a signal detachment, and denied that the situation in Costa Rica warranted Willauer's recommendations regarding an evacuation. (617.18/12-959)

⁴ Reference is to the question whether the United Fruit Company's subsidiary, Compañía Bananera, should pay its employees a month's bonus in accordance with a Costa Rican law. The Costa Rican Government paid the difference between the Company's offer of one week's pay and one month's pay, \$600,000, in the strike settlement of January 1960, with the explicit intention of recovering that money through the courts. (Despatch 343 from San José, January 19, 1960; 818.062/1-1960) On October 26, 1960, the Court of Cassation, a chamber of the Costa Rican Supreme Court, upheld the Company's position. (Despatch 241 from San José, October 28, 1960; 818.062/10-2860)

**CR-21. Despatch from the Ambassador in Costa Rica (Willauer)
to the Department of State¹**

San José, December 15, 1959.

[Extracts]

No. 288

REF

CA-1486, August 14, 1959²

SUBJECT

Regional Operations Plan for Latin America: Costa Rica

This document consists of 2 pages,
No. 1 of 7 copies, Series A.

The reference communication requested the Chief of Mission to forward to the Department as brief a statement as possible on:

(A) "Country Objectives"; (B) "Country Programs and Other Implementing Operations"³ and (C) "Recommendations" (Optional), within the framework of the Regional Operations Plan for Latin America dated July 1, 1959. Such statement was to be focused on objectives capable of being partially or wholly attained over the next two or three years, with appropriate reference to their relation to long-term U.S. objectives. Attention is directed to Recommendation No. 1, under "Recommendations."

The statement set forth below follows the outline of the "Regional Operations Plan for Latin America," with specific citations to numbered items of the OCR plan of July 1, 1959.

RECOMMENDATIONS

NOTE: The recommendations which follow were drafted personally by me after my review of the preceding sections which I also

¹ Source: Department of State, Central Files, 611.18/12-1559. Secret. Contributors to this despatch included Ambassador Willauer, Roy I. Kimmel, Counselor, Alexander A. Cohen, Second Secretary, James R. Johnston, Second Secretary, Lt. Col. Spencer P. Edwards, Jr., Army Attaché, Doris T. Aragon, USIS Public Affairs Assistant, and Hunter L. Estep, Second Secretary. The Department of State approved the country objectives; also approved, subject to availability of funds, the country programs; and noted the recommendations contained herein. (Airgram A-11 to San José, July 29, 1960; 611.18/7-2960)

² The referred circular airgram transmitted to Embassies in Latin America the Regional Operations Plan for Latin America approved by the Operations Coordinating Board on July 1, 1959.

³ Sect. (A) "Country Objectives" and (B) "Country Programs and Other Implementing Operations" are not printed here.

participated in drafting. The recommendations were then reviewed by the contributing members of the Embassy staff, who were invited to suggest revisions or additions. This resulted in several additions, but otherwise no alterations were made in my original draft. The Embassy staff concurs in the opinion that the following recommendations should be placed before the Operations Coordinating Board.

Recommendation No. 1

Overall Recommendation as to the Operation of the OCB

In a personal and confidential letter to the Secretary on November 13, 1959 (Tab A)⁴ I stated in substance that I felt the United States was lax in its system of implementing policy and made a recommendation for new functions of the OCB (see in particular page 2, paragraphs 1, 2 and 3 of Tab A).

I have been making similar recommendations for more than four years, which I gathered together in another memorandum which was presented to the Chiefs of Mission Conference in El Salvador during April of this year. It is entitled "Policy and Performance" and is attached as Tab B.

Recommendation No. 2

Political – Reference (15 c (1)—Enforcement and Adoption of Laws to Control Communist Activities

The entire problem of communist penetration of Latin America stems from a lack of Latin American appreciation that communism is *imperialist intervention* by Russia. In Latin America it is generally believed that the communists are just another political party. Also, in a sense, the communists are, at times, at the very least put up with because of the superficial but widely accepted idea that the way to get help from us is to appear to embrace communism.

Step No. 1, which I feel might in a year's time cause a realization of the degree of this communist intervention in Latin America, would be the general adoption of a law modeled on our old Foreign Agents Registration Act.⁵ This I recommended on June 3, 1958. (See Tab C.)⁶

Other steps might be undertaken to encourage further participation in intelligence and counter-intelligence training programs for armed forces, and police. Such training is available from Army sources, and can be used to emphasize the nature of the Soviet threat to hemispheric security.

⁴ Not printed

⁵ For text of this Act, Public Law 583, 75th Cong., approved June 8, 1938, see 52 Stat. 631.

⁶ The recommendation was contained in a letter to Rubottom, not printed.

Recommendation No. 3

(15 c (7))

As previously stated, economic relations between Costa Rica and the Soviet bloc are not as yet very significant. Nevertheless, the threat of economic penetration by the communist is always present and cannot be ignored. It is public knowledge that the threat elsewhere in Latin America seems likely to become serious soon. I have suggested to the Secretary that there be a re-examination of my memorandum to him of January 12, 1958 (see Tab D)⁷ in which I proposed, in substance, that we call Russia's "bluff" by *inviting* her to compete on a 50-50 basis straight across the board (aid, technical assistance and trade), at the same time stating we will not stay in the game at all in any country on a 90-10% basis.

A couple of months ago I talked personally with the Secretary about my memorandum of January 12, 1958 and he instructed me to discuss it further with Assistant Secretary Mann, who in turn had called a conference of himself, myself, and a representative of Mr. Terrill's⁸ office (presumably now Ambassador Bohlen's⁹ office). I reiterated at the time that my memorandum was principally devised to be provocative of thought and I requested a counter-memorandum which I have never received.

Recommendation No. 4(18 e) *Visa Policy*

The Intelligence Division of the Department, [*text not declassified*] should send special task forces to the field to weed out improper allegations of communism or other subversive activities currently cluttering up Embassy files. The Embassies themselves (at least the smaller ones) are not staffed nor do they have the facilities to carry out this work. Under the policy of not keeping files for more than five years much of the basic materials that led to these old allegations are no longer in the Embassy and all we have is a note on some file card.

One of the most embarrassing situations in my experience as an Ambassador arose because of this problem. The wife of the first freely elected President of Honduras in all its history, Señora de Villeda Morales, wanted to make a trip to New Orleans to buy her inauguration "trousseau" and sought visas for several of her lady friends to aid her in this project. As I recall, at least one of these ladies showed up with a commie mark on her file card, which is quite natural since Villeda was

⁷ Not printed

⁸ Robert P. Terrill, Special Assistant to the Under Secretary of State.

⁹ Charles E. Bohlen, Special Assistant to the Secretary of State.

a sworn enemy of Carías, who made it a practice for 20 years to allege communism against most of his political enemies. We ultimately were able, with the help of the Department, to get over this hump, but the delay was extremely embarrassing and I can assure the OCD that this is a frequent kind of occurrence.

Recommendation No. 5

Regional Plan 19—Labor

I understand that the basic philosophy of a free labor movement is that management and labor in the United States and throughout the Free World have accepted the principle that a healthy labor movement produces buying power and efficient operation of the free enterprise system, and that enlightened capitalism aids in the well being of workers. True, we have our rows about the details of the operation of this basic principle, but in the final analysis the principle is accepted on both sides.

So far as the policy of United States free enterprise abroad is concerned, it has been my observation that the acceptance of this principle has not generally percolated down to the level of the local managers. Nor has it become a tenet of labor leaders in Latin America who are representing the free labor movement. All too often in the local scene I find that the basic philosophy on both sides remains that of Marx: "Labor must fight capital" and vice versa.

My suggestions are:

(A) That the "head office" management of our American enterprises abroad be approached to see whether they believe that labor and capital abroad in their various enterprises can and should work together to their mutual advantage.

This is a delicate problem because conditions vary from country to country. For instance, here in Costa Rica the laws and administration of labor affairs are so relatively advanced that representatives of capital feel that concessions to labor have reached the point where it is economically impossible to make more concessions. I do not necessarily agree with the employers here but this is how they think. Labor, on the other hand, is so well treated in Costa Rica that there is only a slight incentive for a free and democratic labor movement. The situation in Honduras or in Guatemala is completely different. Without attempting to suggest what the policy of the free labor movement should be in every country, I wish to point out that it is not sufficient to "lump" Latin American labor in one category and to adopt one policy for all the countries involved. Like all policies, it is highly important that a "policy board" study and evaluate the actual conditions in every country before going into action.

(B) That in any case, where it is agreed that the policy of cooperation of labor and management is correct, the local managers should be called home for consultation and "given the word."

(C) That in those countries where ORIT has active affiliated labor organizations, general labor policy concerning these countries be discussed and outlined between a top representative of ORIT and the top

(home) management of U.S. companies operating in these countries with a view of attempting to secure the issuance of appropriate instructions to the local management of such companies concerning the basic labor policies of each individual company vis a vis ORIT as well as local labor organizations. In addition, occasional visits by top management to countries operating would be helpful.

Recommendation No. 6

Regional Plan 20—U.S. Business Objectives

About four years ago, when I was Ambassador to Honduras, I made a recommendation that Embassies should talk with U.S. business executives about the concept of partnership relationships with local businessmen and I have followed that practice for a long time. I am glad to see that this concept has now become official policy. I am not sure that all of the Ambassadors, nor indeed many of the economic officers, have had the personal business experience which I have had in operating a partnership abroad so as to be convincing on this score. For possible use in amplifying the instructions to meet this difficulty I am appending a copy of my speech to the Hispanic American Society of Stanford University (Tab E)¹⁰ and particularly recommend the entire text of the *Atlantic Monthly* article by Presidential Assistant Clarence Randall quoted from in the speech.

Recommendation No. 7

Regional Plan 21—Attitude towards U.S. Personnel Overseas

It has long been my feeling that the U.S. Government now sends too many full-time employees abroad to do jobs which could be better contracted for through private consulting firms or educational institutions. I feel, for instance, that too much of our technical assistance program is being handled by direct U.S. Government employees who, quite humanly, tend to try to freeze themselves in their jobs. While in Honduras and previously while in China as Foreign Economic Administrator for the Orient during World War II, I developed quite a lot of usefulness from private consulting firms instead of direct government employees. If desired I could write a whole paper on this subject and will do so upon request. Parenthetically, I have been directly associated with the problems of foreign aid since April of 1940.

Recommendation No. 8

Cultural—General Recommendation

I understand that the expression “cultural relations” means that peoples of various nations basically understand each other in the sense

¹⁰ Ambassador Willauer gave his speech on Oct 9, 1959; not printed here.

that they mutually know the history, the customs, the language and the aspirations of each other.

In our cultural relations program we send art exhibitions, ballets, orchestras, basketball teams, etc., to Latin America, and all of these accomplish great good in the objectives of mutual understanding.

Also we have a program of inter-change of students through scholarships between Latin America and the United States and this also is a good thing. However, the size of this student exchange program, which is the most important one that I can think of in the realm of cultural relations, is totally inadequate to accomplish the kind of understanding we are attempting. It particularly fails in the quantity and quality of students from the United States that study in Latin America. My recommendations are:

(A) At least 10,000 scholarships for Latin American students in the United States. At an average rate of \$4,000 each this would total \$40 million.

(B) At least a thousand scholarships for North Americans to study or teach in Latin America. In this case I would allocate for each student the sum of \$10,000 (or any sum required to be competitive) for a total cost of \$10 million. I have suggested the higher allocation for North American students and teachers because I am certain that we ought to make it so attractive to them that they cannot refuse to go.

I would hope that the experience of the first thousand students would prove so rewarding that the word would spread among the student bodies of the United States that Latin America is a place to seek out.

(C) Costa Rica stands at or near the top in mass education of its population. It also has one of the highest ratings for sympathy towards U.S. policies and problems in the hemisphere. I submit that there is a large element of cause and effect in this coincidence.

I submit for evaluation as to cost and feasibility a campaign aided by the U.S. to stamp out illiteracy in the hemisphere in ten years. I think if this goal could even be approximated it would pay us greater dividends than any other course of action in other fields which we might be contemplating.

(D) Perhaps the U.S. Armed Forces could make greater use of the Latin American service schools. At present, to my knowledge, we are sending only one student per year to the Uruguayan Staff College. Several of the other countries have similar institutions, such as Chile and Argentina. The current reason given for *not* sending officers to these schools is that they are not as advanced as Leavenworth. Little consideration is given to the idea that these officers will gain a tremendous amount of knowledge from a year's continuous and daily contact with Latin Americans under academic conditions.

Recommendation No. 9

Public information Program—General

I am generally satisfied with what we are doing to date [text not declassified]

(A) However, I have long been dissatisfied that we are doing everything possible to help the U.S. press report Latin American news correctly. I believe that the impact of the *New York Times*, *Time*, *Newsweek* and *Vision* are much more important than what we put out ourselves, even though not usually attributed to us.

I believe that what we knew in the Embassies about current events in the field should be made available to the editorial writers of at least the aforementioned influential publications. Three or four years ago I suggested officially (recommendations to OCB from Honduras) that by arrangement with the editors their reporters ought to check with the Embassies for our version of the news.

I have discussed my suggestion with influential friends in the United States press, such as *Time* president Roy E. Larsen. I think he believes that something like this might be arranged. I have, however, found that USIA director, Ambassador Allen, is skeptical. The problem seems to boil down to a feeling that orders to reporters in the field might be interpreted, or twisted into something against freedom of the press. Since my suggestion is only that reporters in the field include on their "beat" as news gatherers the information available to the Embassy, I find it hard to accept this judgment. I am not suggesting that the United States Government attempt to influence how the reporters report the news. I simply say that there exists in the United States Embassies part of "the news."

However, if the criticism that the United States Government is somehow or other trying to control the news cannot be overcome by having publishers require their reporters to check with Embassies, then I suggest a half-way house. Could we not persuade the editors in the U.S. to advise the Department of major up-coming stories (not what they are going to say, but simply the subject matter). At this point, on a priority basis, the Department could obtain the facts known in the Embassies and disseminate whatever material the Department thinks proper to the editorial writers.

My classic illustration in favor of my recommendation is the 1954 general strike in Honduras just before the anti-communist Honduran-based revolution against the communist-dominated government of Guatemala. *Time*, basing its story of the strike solely on field reports from their left-wing reporter, Harvey Rosenhouse, never mentioned that the Guatemalan communists supplied the leaders and \$800,000 for that strike. The *Time* story, as it appeared, spoke only of the iniquities of United Fruit Company labor policies—and indeed in that instance some of these were not good. I am sure the *Time* editors would have been interested in what I then knew about the situation. Maybe they would not have published it, maybe the Department would not have released it to them, but it was a part of "the news." Also it was

something generally known in the Honduran community, so I would not have been revealing "secret" information.

(B) The Cuban attack on the impartiality of the United States press. An American friend in Costa Rica close to the press points out that the responsible press (liberal and conservative) in a dozen Latin American countries has been at least as strong in attacking events in Cuba as the United States press has been. He suggests that all this material should be gathered and under appropriate auspices put out in "block-buster" form.

(C) Coverage of Latin American seminars: The fact that Herb Matthews¹¹ was able to get away with his defense of Castro in the top billing spot of the Stanford University October seminar pains me.

Because of then existing Department of State policy I had to remain silent at Stanford, and could not answer him officially.

In this connection I make the following suggestions:

(1) That it should be arranged that persons (preferably known liberals) who know the score about communism should refute that type of talk.

(2) That the agendas and subjects to be discussed at these influential meetings should carefully reviewed in advance by the Department. [*text not declassified*]

In any event, these influential meetings should not be allowed to "go by default." There are too many Latin Americans who feel that what is said in these meetings somehow expresses U.S. opinion.

In this recommendation I am not unmindful of the excellent job that Dick Rubottom, Dr. Eisenhower and others do at these meetings. But what we need is a "task force" to cover these conferences. And the "task force" must also do a "follow-up" job after the meetings are finished. For instance whether or not we agree with Professor Tannenbaum¹² on Mexico and Cardenas,¹³ he made a speech at Stanford which basically refuted Matthews' thesis. The "follow-up" would in this case involve an attempt to get Tannenbaum to write a "critique" on the Matthews speech.

(D) There are some indications that, either by design or by accident, the Roman Catholic Church in Latin America has had its attention diverted from communism into a program of resisting the inroads of Protestantism. Unfortunately, a propaganda link has been constructed between "Yanquismo," U.S. Government representation and Protestant

¹¹ Herbert L. Matthews, editorial staff, *New York Times*.

¹² Frank Tannenbaum, Professor of History, Columbia University.

¹³ Gen. Lázaro Cárdenas, President of Mexico, December 1, 1934–November 30, 1940.

missionary efforts, which, carried to extremes, might produce a situation in which the Roman Catholics were actually playing the communist game.

I suggest that the Roman Catholic authorities be provided with material for conducting a sophisticated anti-communist program—this to be done without the slightest hint of favoritism to any of the religious bodies. The Protestant missionaries, which are becoming a more and more potent force in Latin America, could also use some of this kind of aid—and I might point out that such a program would reach right into the very classes of society to which the communists make their strongest appeals.

The important point in this discussion is that of preventing a clash between the religious bodies, and keeping them focused on a sworn enemy of religion—one that is dramatically opposed to Christianity in all forms.

Recommendation No. 10

Regional Plan 24—Information on UN and OAS Accomplishments. General.

Except for those members of Embassy staffs who have done duty with the UN or the OAS I feel that there is a considerable basic ignorance and appreciation of just how these organizations work and the good which they accomplish. Everyone knows about this in general terms but I feel a few simple expedients would greatly increase the efficiency of the presentation by diplomats in the field of the merits of these organizations. Specifically, I recommend:

(1) That a definite program of visits by Ambassadors and other important Embassy personnel, while home on leave or consultation, to the working sessions of these organizations, be arranged and budgeted for in terms of time and money. (Note: I was shocked to hear from Ambassador Lodge¹⁴ in 1954 when I paid a call on him in New York, that I was just about the first American Ambassador who had done so.)

(2) In the field we sorely need more concise and readily usable information as to the functions and day-to-day operations of the two organizations. Particularly in the case of the OAS I have long been asking for a handbook with detailed appendices as to the operations of that organization. Every time a crisis comes up in the field we have to research through scattered pamphlets and even then we do not have a proper book which shows us the precedents and other necessary material. Besides talking about this with my friends in the Department, I specifically made the suggestion for such a book to Ambassador Dreier at the April meeting of Chiefs of Mission in El Salvador.¹⁵ About a

¹⁴ Henry Cabot Lodge, Jr., Representative of the United States to the United Nations.

¹⁵ The Meeting of U.S. Chiefs of Mission in the Caribbean Area was held at San Salvador, April 9–11, 1959.

month ago I made a similar recommendation to Carl Migdail of the Pan American Union, who seemed exceedingly interested in the idea.

(3) In addition to orienting State Department personnel, service Attachés and military mission members should also be checked out on the functions and operations of the OAS and UN. I am told that our War Colleges and the Strategic Intelligence School have overlooked this particular aspect of training.

Recommendation No. 11

Economic: B-2—Inter-American Highway

I have for several years now been recommending the creation of an Inter-American Highway authority to make possible sound maintenance and transportation practices on the Inter-American Highway when it is completed. This objective has been adopted by ARA and much successful work has been done. For reference of the OCB I attach Tab G.¹⁶

I have informally suggested to ARA ways and means to keep up the present impetus behind this idea.

Recommendation No. 12

Military—General Recommendation

I submit for further study and consideration a memorandum entitled "The Place of the Military in Latin American Affairs with Comments on the Movements towards 'Dual Purpose' Military Units" (Tab H).¹⁷ The OCB may not be aware of the fact that I was one of the first to take up the cudgels for the dual-purpose military unit concept while I was in Honduras. It may be useful at this time to review some of my thinking on the place of the military and of the reasoning behind dual-purpose military units as expressed in the attached Tab H. To the extent that the Board finds my ideas, or better ideas if they exist, valid, I think they should be widely disseminated in the field.

I hope that some way of providing military assistance to "dual-purpose" military organizations can be developed that takes advantage of the resources offered by both the Defense Department and ICA without provoking a bureaucratic struggle at home over "empire building" rights.

I should like to renew a previous suggestion to OCB that we get behind and support regional military schools in the hemisphere. So long as the military play the great part they now do in Latin American

¹⁶ At Tab G was "A Proposal for an Inter-American Highway Authority," by Ambassador Willauer, not printed.

¹⁷ This undated memorandum by Ambassador Willauer, is not printed.

politics, there will be a crying need to “get the officers young and teach them right.”

Whiting Willauer
Ambassador

CR-22. Airgram From the Embassy in Costa Rica to the Department of State¹

San José, July 1, 1960.

¹ Source: Department of State, Central Files. 1 page not declassified.

CR-23. Despatch from the Ambassador in Costa Rica (Willauer) to the Department of State¹

San José, July 11, 1960.

No. 14.

SUBJECT

Review of Our Relations with Costa Rica with Special Reference to Echandi Government's Attitude and Probable Public Position re Cuba in the Current Issues of a Consolidated Break of Relations by Central America with Cuba and the Forthcoming Meeting of Foreign Ministers

In my letter of March 30, 1960 to Assistant Secretary Rubottom on the then-current problem of the election of the director of the Agricultural Institute at Turrialba,² I reviewed the series of Echandi's disappointments in U.S. treatment of his various requests for help from us since his inauguration two years ago. After urging a careful review of the balance of our relationships with Costa Rica, I stated:

¹ Source: Department of State, Central Files, 611.18/7-1160. Secret.

² The referenced letter was not found in Department of State files.

"We are going to need Costa Rica one day and I do not like the growing feeling here that they are being neglected, and the half-jokingly expressed view, which may one day become seriously held, that the way to get cooperation from the United States is to play hard to get. Considering the great tactical and psychological advantage of having Costa Rica on our side in Latin American problems, such a result would be little short of tragic."

Unfortunately, my expressed fears as to a hardening of Echandi's attitude have been completely borne out, and this attitude has become an important factor in his failure to cooperate with the U.S.-supported request of the other Central American countries for an immediate joint break of relations with Cuba. (See Embtel 24 of July 11, Embtel 21 of July 8 and Managua's NIACT to Department No. 10,³ end of first paragraph of cable to Somoza from his Ambassador in San José.)

An attitude that Costa Rica has always been a genuine friend of the United States but that this policy has not furthered Costa Rica's own interests; and that in general in Latin America the United States is slower to help its real friends than to respond to the threats of an unfriendly action, has now spread far beyond Echandi and represents a widespread public attitude. It makes no difference really whether this appraisal of our policy is justified, when we are considering, as we now must, how to obtain the support of Costa Rica in our forthcoming showdown about Castro.

I strongly favor an immediate attempt to change this attitude in Costa Rica by taking favorable action on Costa Rican economic problems at once. I recommend this because not only do I feel that Costa Rica's fine international reputation makes it a pivotal country in Latin thinking, but because I think that the hopes of successfully changing the Costa Rican attitude by things which we can do immediately and without great cost to ourselves are considerable, at least as compared to the overall problem in most of the other Latin American countries. I think that Costa Rica at the moment is hanging on a very delicate balance. On the one hand, not only supporters of Echandi, but much of the opposition, are ideologically convinced that Castro means communism, and that Cuba today is a real threat to the hemisphere. On the other hand, it is an unfortunate fact of political life here that the very independence and democracy which gives Costa Rica such an important stature in Latin American eyes carries with it a psychology which

³ Telegram 24, July 11, 1960, referred to Echandi's resentment towards the United States for what he considered U.S. neglect of Costa Rica's interests; in the telegram Willauer stated that he believed it necessary to have an "immediate review in search of creation better climate for Costa Rican cooperation our policy vis à vis Cuba." (618.37/7-1160) Telegram 21, July 8, 1960, reported that conferences held July 7-8, convinced Willauer it was "impossible persuade Echandi at this time to break relations with Cuba." (618.37/7-860) Telegram 10 from Managua, July 8, 1960, is not printed. (613.37/7-860)

demands that all Costa Rican political leaders assume an attitude of independent thinking and choice of action on international issues. Stemming from this very independence and quite openly coupling with it "enlightened self-interest", Costa Rican public opinion in all parties tends, as a matter of national pride, to adopt the feeling that a very high degree of attention and consideration should be given by the U.S. to Costa Rica's own internal problems. From all walks of life I and the members of my staff continually hear it said:

"Costa Rica has been a true and faithful friend of the United States and of democracy. What has this gotten us? Virtually nothing. Because we have been so helpful to you, you people in the United States Government seem to take us for granted. In our own struggles with our far left in Congress and in public opinion, those of us who wish to help the United States are confronted with practical political problems. We need to be able to point to concrete examples as to why it is in Costa Rica's best selfish interest to stay four-square on the side of the United States."

Perhaps it may prove to be impossible to tip the balance immediately back in our favor on the specific issue of trying to get more Costa Rican leadership on our side in Latin America on the Castro problem now. But personally I doubt that this is true, at least to the extent of strongly recommending that we at once take concrete steps to this end. Furthermore, I think it is true that we must act now, if only to check this harmful Costa Rican attitude from growing worse.

Specifically there are at least three local problems on which we could help if we could give immediate loans or aid to Costa Rica. The first is the critical need to relieve the public water shortage in San José. Anything done on this would have a terrific immediate public impact right here in the capital where national public opinion is moulded. The price tag on the first stage of this project, which would cure the current water shortage, is estimated at about \$3.5 million. A study under Point IV as to the general requirements has been made and paid for by us. Before a specific program could be started, a detailed engineering study at a cost of about \$150,000–\$200,000 must be made. A grant of this amount with expressions of encouragement that a loan for the final project would be favorably considered would have far-reaching public effects, but it alone would not suffice for the political objective envisaged, because the substantive work would have to come much later.

Secondly, Costa Rica's two-year-old application for \$5 million of DLF 10-year (or better) money to beef up the splendid rural credit system of the country would have great impact, and so far as the Embassy knows needs very little if any more paper work. This loan is particularly important because of the acute internal problem involving the entire banking situation following on the probable loss of \$2–\$3 million through the coffee scandal and the sharp internal dispute arising out

of the Government's move in diverting part of the short-term Chase Manhattan loan to rural credit purposes.⁴ A beefing up of the rural credit system would directly help all walks of life in this country.

Thirdly, the Echandi Administration is attempting to implement, through local bond issues which it can ill afford, a plan to improve its own road network, as distinguished from the Pan American Highway. This is known locally as the *Plan Vial*. Since every member of the Assembly has a direct interest in a piece of this project, help on this plan ought to gain us a lot of good will with the Congress, which is where we most badly will need it to forestall criticism, if the Executive acts on Cuba the way we want it to do.

Perhaps as a fourth point, we might try to find means of purchasing more Costa Rican sugar than they would otherwise expect under the new law.⁵

If my recommendations are favorably received in principle, I suggest the desirability of early consultation to work out the best possible package and to decide on the most important matter of tactics for the utilization of decisions taken.

Whiting Willauer

⁴ The proposed use of the \$10 million Chase Manhattan Loan is described in desp. 644 from San José, June 9, 1960. (818.10/6-960)

⁵ Reference is to P.L. 86-592, approved July 6, 1960, which authorized the President to cut the Cuban sugar quota and make up the deficit by purchases from certain other countries including Costa Rica. For text of the Act, see 74 Stat. 330.

**CR-24. Letter from the Ambassador in Costa Rica (Willauer)
to the Director of the Office of Central American and
Panamanian Affairs (Stewart)¹**

San José, July 27, 1960.

Dear Allan:

In your informal Washington roundups of July 15 and 22 (Reverse Weekas)² you remark that "President Echandi's rather *shabby* perfor-

¹ Source: Department of State, OAP Files, Lot 63 D 127, "Costa Rica, 1960." Secret; Official-Informal.

² The letters from Stewart were not found in Department of State files.

mance made it impossible for the Central American countries to take action" jointly to break relations with Cuba and you wonder whether Cuba's insulting view of San José as the situs for the Meeting of Foreign Ministers³ "might not change President Mario Echandi's attitude toward *Fidelismo*."

In fairness to Echandi, and in the hope that the Department will not let the disappointment that I share with you were unable to persuade Echandi to join in a break relations, I wish to recall certain things to your attention; as Echandi himself did to mine, at the time I obtained his immediate support to the Peruvian initiative for action in the OAS on the Cuban problem.

As I have constantly reported there has never been any doubt Echandi's own ideological condemnation of "Fidelismo." He also was one of the earliest Latin leaders to advocate OAS action against Cuban communism. His most concrete move towards that was the offer he made last month which I presented to the Department in my April visit to Washington.⁴

As that time you will recall that Castro had just denounced the Rio Treaty.⁵ Echandi and I worked out a plan whereby, using this current threat to the Inter-American System, Costa Rica would join with Colombia or with the U.S., or both, or with any other politically palatable Latin States in a declaration in the forum of the OAS which would:

1. Demand a showdown on whether Cuba in fact adhered to the Rio Treaty.

2. Would praise the original objectives of the Cuban revolution and would offer hemisphere moral and economic support to accomplish these objectives if and when Cuba's Government would give proof that it intended to accomplish these within the principles of the Declaration of Santiago,⁶ and was willing to divorce itself from International Communism.

The plan in (2) above had been advocated by me before the March 28th Castro denunciation of the Rio Treaty in my letters to Assistant

³ Documentation on the Sixth and Seventh Meetings of consultation of Ministers of Foreign Affairs of American States, held at San José, August 16–29, 1960 is presented in Volume. V.

⁴ Ambassador Willauer departed from San José on April 21 for consultations in Washington. Documentation on these consultations is in OAP Files, Lot 64 D 66, "Interdepartmental Memos: Costa Rica, 1960." He returned to San José on May 3.

⁵ Reference is to the Inter-American Treaty of Reciprocal Assistance, opened for signature at Rio de Janeiro, September 2, 1947; for text, see 4 Bevans 559.

⁶ Reference is to Res. I adopted by the Fifth Meeting of Consultation of Ministers of Foreign Affairs of American States, held at Santiago, August, 12–18, 1959.

Secretary Rubottom of March 8 and 22;⁷ and when the denunciation of the Treaty came I explained my ideas to Echandi. He enthusiastically adopted them, and authorized me to offer that kind of action to the Department in my forthcoming visit to Washington.

In my visit it developed that the Department was not prepared then to go along with a U.S.-Costa Rican declaration, but that explorations of possible Colombian action with Costa Rica would be made through Bogotá. Nothing apparently came of these.

Whatever may have been the further complicating factors in Echandi's failure to join a break of relations (and there have been a number of these) the fact remains that Echandi insisted that there was not, at the time he was asked to break, a clear-cut issue between Cuba and Costa Rica as nations, as distinguished from the situation in March where the "peg" for action was the then current defiance of the Inter-American System.

As also previously pointed out, Echandi wished to be accompanied in his action by the U.S., or by other democratically impeccable Latin countries. One of the inherent difficulties in his political problem in the proposed Central American break of relations always was that Costa Rica would be open to accusation internally and internationally of joining with Ydígoras and Somoza who had already taken action; and since there was no current clear issue between Costa Rica and Cuba to justify Costa Rica's action in Costa Rica's own direct interest, Echandi would have to justify it as solidarity with other countries, two of which were pretty unpalatable in Costa Rican and hemisphere opinion when it came to an attack against Cuba based upon democratic principles.

I suggest that this explanation with any comments you care to make be circulated to my colleagues in the other OAP countries. My feeling is that would be most unfortunate if Echandi would be chided by any of the governments of these countries into publicly taking the position, which has privately expressed to me, that the "U.S. missed the boat" when it did not accept his offer last April.

With best regards,

Whiting Willauer

⁷ Not printed. (OAP Files, Lot 63 D 127, "Costa Rica, 1960")

CR-25. Letter from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Ambassador in Costa Rica (Willauer)¹

Washington, August 5, 1960.

Dear Whitey:

I refer to your letter to me of July 18, 1960² in which you draw special attention to your despatch No. 14 of July 11, 1960.³ It is particularly convenient that you presented your ideas and suggestions on assistance to Costa Rica in despatch form since they can be given appropriate distribution among the various interested agencies of the government, which ultimately would be involved in any action based on your suggestions and recommendations. Naturally such distribution does not occur with letters addressed to the Secretary or me although these letters do serve to supplement and emphasize in a more personal way the ideas conveyed more formally in your despatches.

I agree wholeheartedly with you that we would like to have "the spontaneous support of Echandi toward our ends," since the lack of such support appears to have been the crucial element in the recent failure to achieve the joint break with Castro. However, it does not seem to me that United States economic assistance should be the *quid pro quo* whereby the Costa Rican government would take measures which are in the long term interest of the Costa Rican people. The decisive factor should be whether or not the Costa Ricans are vitally interested themselves in maintaining the integrity of their political system against the encroachments of communism and are willing to adopt the measures necessary to that end. The United States is attempting to supplement the efforts of the Costa Ricans to maintain and improve their political and economic system but we are not attempting to supplant the efforts of the Costa Ricans themselves.

Having said the above, I also wish to say that we have by no means spared efforts in seeking to respond to president Echandi's requests for economic assistance. I can personally verify that enormous efforts were spent in seeking the reapportionment of the United Fruit tax. Likewise, with reference to the loan project for the *Juntas Rurales*, I can say that this project has had the sympathy and support of myself and other officials in ARA. A major deterrent in the consideration of all or part of this loan was

¹ Source: Department of State, Rubottom-Mann Files, Lot 62 D 418, "Costa Rica, 1960." Confidential; Official-Informal. Drafted by Godfrey, on August 3.

² A copy of this letter is filed with the source text, but not printed.

³ See Document CR-23.

due primarily to the indecision and lack of clarity on the part of the Costa Ricans themselves, who never provided clear distinctions between this loan project (originally \$5 million) and other projects for loan up to \$30 million. The Costa Ricans apparently lost interest in this loan when they did not receive favorable consideration of their insistence on provision for a long term and a low interest rate for the loan. As an illustration of this lack of interest, a request in April 1959 to the Costa Ricans for information by the Export Import Bank for data in connection with consideration of the loan remained without reply until March 1960.

With specific regard to the four recommendations for assistance made in your despatch No. 14 I can make the following comments:

Suggestion No. 1. *Water Works Project*: As Allan Stewart informed you in his weekly OAP letter on July 15, we had already discussed such a loan project with Ambassador Escalante over a year ago and, by coincidence, had just received the Ambassador's request for assistance in activating such a project. An informal discussion between Ambassador Escalante and officials of State and the DLF was held on August 1⁴ with the result that (1) the Costa Ricans agreed to prepare a formal application and (2) that DLF agreed to its engineers informally reviewing the report by Rader and Associates to see if any additional technical information would be needed in formulating such an application. It was informally agreed that the application would include only the first stage of development recommended in the Rader report for an amount between \$4 to \$5 million.

Suggestion No. 2. *Rural Credit Loan*: Allan reported to you in his informal letter of April 7, 1960,⁵ that Alvaro Castro, Manager of the Central Bank, during his visit to Washington, informed the Export-Import Bank that the Central Bank did not intend to press for the time being this loan application. The reason given was that that the Central Bank wished to see how the loan from Chase Manhattan would be applied. Castro indicated that the Central Bank might formulate a new project later this year. Approximately ten days ago Ambassador Escalante informed us that there was no plan to renew at this time the *Juntas Rurales* loan project since funds from the Chase Manhattan loan were being used for this purpose. Instead, the Ambassador stated the Costa Ricans wished to press the water works loan project. Until the Costa Ricans renew the rural credit loan project we are in no position to renew our efforts in its behalf.

Suggestion No. 3. *Road Network (Plan Vial)*: Over a period of almost four years the IBRD has discussed with the Costa Rican authorities the

⁴ A memorandum of this conversation is in OAP Files, Lot 63 D 127, "Costa Rica, 1960."

⁵ Not found in Department of State files.

possibility of a loan for road construction and maintenance. As Allan in his letter of March 3, 1960,⁶ indicated, on March 2, 1960, the IBRD sent a letter to the Costa Ricans inquiring as to their interest in discussing a loan of from \$5–\$8 million for the *Plan Vial*. Another letter was sent about a month ago.⁷ Thus far, the Costa Ricans have failed to reply to these IBRD requests for an indication of interest in pursuing negotiations on this loan project. We understand that budgetary difficulties have delayed approval of the generation of local funds for the *Plan Vial* but no official Costa Rican explanation of this delay has been received by the IBRD.

Suggestion No. 4. *Additional Sugar Purchases*: You have already been informed of the Department of Agriculture regulation of July 21, 1960, which resulted in an extraordinary opportunity for Costa Rica to market some 6,267 tons of refined sugar in the United States by September 30, whereas, the previous increased quota opportunity had applied only to raw sugar. This provides a special benefit to Costa Rica which we took pains to convey to the Costa Rican Sugar Board through Ambassador Escalante. Another “bonus” of 234 tons for Costa Rica was just announced on August 1 by Agriculture. Costa Rica was given special consideration in the recent Sugar Act,⁸ and I am sure you appreciate that additional special treatment to Costa Rica is not justified since Costa Rica has not been a traditional exporter of sugar on any appreciable scale. We shall continue, however, to consider Costa Rica in the context of its role as a marginal supplier.

I am sure you will agree that in this letter I have reviewed at length the suggestions contained in your reference letter and despatch. I hope you will agree, also, that on record we have not been lax or remiss in our efforts to offer every reasonable facility to the Costa Ricans in their requests for assistance on the specific points you have raised. Frankly, I am convinced that the Costa Ricans for one reason or another have failed to take full advantage of the facilities for economic assistance offered to them.

With best personal regards,
Sincerely yours,

R. R. Rubottom, Jr.

⁶ Not found in Department of State files.

⁷ The IBRD letter under reference was not further identified.

⁸ Reference is to Public Law 86–592, approved July 6, 1960, which authorized the President to cut the quota of U.S. purchases of sugar from Cuba and to reassign these purchases to domestic and foreign suppliers. (74 Stat. 330) Costa Rica’s final allocation for 1960 after the Cuban cut was 10,469 short tons. (*Congressional Quarterly Almanac*, 1961, vol. XVII, p. 126)

CR-26. Memorandum of Conversation, by the Officer in Charge of Costa Rican Affairs (Feldman).¹

Washington, October 7, 1960.

SUBJECT

Meeting of Costa Rican Minister of Finance and Economy with Mr. Mann, Assistant Secretary to Discuss Various Loan Applications Made With the DLF and EXIM Bank.

PARTICIPANTS:

Minister Jorge BORBON Castro, Minister of Finance and Economy
The Honorable Manuel ESCALANTE Duran, Ambassador of Costa Rica
ARA – Mr. Thomas C. Mann, Assistant Secretary
OAP – Mr. Charles E. Higdon, Acting Director
OAP – Mr. Carwell
OAP/C – Mr. Arthur W. Feldman, OIC, Costa Rican Affairs

Minister Borbon opened the meeting by stating that he was in Washington to discuss the Rural Credit Loan Application with DLF and the Water Works Project and a loan application for the export of U.S. cattle to Costa Rica with EXIM Bank. He was pleased with the sympathetic receptivity shown by the agencies in discussing the loan applications.

He referred to the letter President Echandi had sent, via his person to Mr. Mann² and to the serious situation faced by President Echandi in obtaining suitable legislation on agrarian reform from the Legislative Assembly, which is now considering the matter. Several radical amendments have been tacked on to the bill which would counter the policy of the Echandi administration by getting the Government directly involved in the distribution and exploitation of land. The Administration would prefer that the supervision and distribution of rural credit be handled through existing agencies, which have made an outstanding record in this operation over the past 10 years. Minister Borbon stressed the importance of his returning to Costa Rica with some written assurance of general agreement on the Rural Credit Loan Application which President Echandi could then use in obtaining the legislation he desires. Mr. Mann replied that he was in full sympathy with President Echandi's position and would see what could be done to obtain such written assurance. Mr. Mann also indicated how pleased

¹ Source: Department of State, Central Files, 718.5-MSP/10-760. Official Use Only. A briefing memorandum by Feldman of October 6 on this meeting for Assistant Secretary Mann is in decimal file 033.1811/10-660.

² The referenced letter, dated October 1, 1960, is not printed. (718.5-MSP/10-160)

he was to be considered a friend by President Echandi, a feeling which he sincerely reciprocated.

Minister Borbon briefly mentioned the Water Works Project loan application which he had discussed with EXIM Bank officials and that he had provided them with the documentation they had requested. He stated that Ambassador Escalante had raised with DLF the question of the local money component which would amount to about 50% of the loan requested. Mr. Mann expressed interest in this project and asked to be kept informed of the status of the loan application.

Minister Borbon referred to a new loan application he had made at his meeting with EXIM Bank officials to enable Costa Rica to import U.S. cattle for breeding purposes and thereby raise the quality and quantity of local cattle. Minister Borbon believed that the export of cattle and cattle products from Costa Rica would serve to somewhat diversify the production of exportable products and thereby lessen the country's dependence on coffee and bananas. Mr. Mann agreed that this was a worthwhile objective and expressed confidence that such a project would receive a sympathetic hearing by the EXIM Bank.

Mr. Borbon then brought up the question of augmenting the U.S. sugar quota assigned to Costa Rica. He stated that such an increase would assist Costa Rica in its efforts to lessen its dependence on coffee and bananas for income, and would complement the agrarian reform program since the new farms could then augment not only the dairy but also the sugar production as well. Mr. Mann explained that the setting up of new sugar quotas was a function of the U.S. Congress, and that the quota assigned to Cuba could not realistically be cut too deeply since a new Cuban regime would require assurance of U.S. sales to support the Cuban economy. Mr. Mann pointed out that if sugar quotas were increased for some countries at the expense of the Cuban, that the time might come when the Cuban sugar quota might require revision upward and this might have to be done by appraising and cutting back the newly established quotas. Such action would have a deleterious economic effect on those countries which had expanded sugar production to meet the larger quotas assigned them. Minister Borbon agreed with the seriousness of the problem. Mr. Mann suggested that Representative Cooley³ might be the appropriate person with whom to discuss the assignment of a larger sugar quota to Costa Rica, and he expressed his willingness to favorably support such apportionment.

Minister Borbon informed Mr. Mann that the Costa Rican Government is having to pay a \$500 a day penalty because the Pan American Highway was not completed by a certain specified date.

³ Harold D. Cooley (D-N.C.), Chairman, Committee on Agriculture House of Representatives.

(Date not mentioned). He stated that Panama, in a similar position, had not had to pay the penalty. Mr. Mann was informed that an investigation had already been started and that a report would be forthcoming in a couple of days.

Minister Borbon expressed his pleasure at having had a frank discussion of Costa Rican economic problems with Mr. Mann. Mr. Mann in turn requested that he be informed of any obstacles which might arise in the consideration of the loan applications by the DLF and EXIM Bank and reiterated his intention to reply promptly to President Echandi, giving a report on the status of the Rural Credit and Water Works Project loan applications.

CR-27. Letter from the Assistant Secretary of State for Inter-American Affairs (Mann) to the President of Costa Rica (Echandi)¹

Washington, November 10, 1960.

Dear Mr. President:

I have delayed telling you what a pleasure it was to hear from you in the hope that I would be able to give you some definitive answers to the two questions to which your letter of October 1 refers.²

Both your Minister of Economy and Finance, Mr. Jorge Borbon Castro, and your Ambassador, Mr. Manuel Escalante, made very effective presentations concerning both of these projects to the respective banking institutions. Your personal letter has of course been especially helpful.

I do not need to tell you of our interest in your plan to open up new farms. I have talked again today with the Development Loan Fund about this project. The Fund is awaiting some information which it expects to receive next week from Costa Rica. I have been assured that the Fund's staff is considering this project on an urgent basis and with sympathy.

¹Source: Department of State, Central Files, 718.5-MSP/10-160. This letter was sent by pouch to the Embassy at San José, November 12, 1960. No record of its delivery to Echandi was found in Department of State files.

²In his letter, President Echandi asked that the United States finance a plan for creation of new farms and that it agree to do so in time for him to announce the plan when he cast his veto of expected legislation on land distribution. (718.5-MSP/10-160)

In regard to the water works project which is pending before the Export-Import Bank, you are, I am sure, aware that the International Cooperation Administration has already made available \$20 thousand to bring up to date the engineering report concerning this. Just as soon as this report has been brought up to date the Export-Import Bank will, we are assured, give this its most prompt attention.

I hope to be able soon to report further progress to you concerning both of these projects.

Please permit me to express again the gratitude of the United States Delegation to the recent Foreign Ministers meetings in San Jose for the warmth and hospitality of the Costa Rican Government and people. We were all distressed here to learn of the recent floods in your wonderful country and hope that the situation has been brought under control.

Nancy joins me in sending to you and Mrs. Echandi our warmest greetings and best wishes.

With greatest respect and esteem,

Sincerely yours,

Thomas C. Mann

CR-28. Telegram from the Chargé in Costa Rica (Kimmel) to the Department of State¹

San José, November 15, 1960, 6 p.m.

256. DEPARTMENT PASS DA FOR ACSI AND G-2 USARCARIB,
CINCARIB

Discussed NIACT 356² this morning first with Foreign Minister and then with President explaining U.S. prepared respond Ydígoras appeal for U.S. assistance similar to that made by GOC during weekend.³

¹ Source: Department of State, Central Files, 717.00/11-1560. Secret; Niac. Repeated for information to Managua and Guatemala.

² Telegram 356 to San José, also sent to Managua, and repeated for information to Guatemala City, November 14, 1960, expressed concern over possible "Castro-Cuban-Communist involvement disturbances Costa Rica, Nicaragua, and Guatemala." It offered U.S. air and naval assistance to Guatemala to prevent entry of armed forces or supplies from abroad, stated that a Guatemalan request for OAS action under the Rio Treaty probably should follow the request for U.S. assistance, and instructed Embassies at Managua and San José to offer similar assistance. (741B-5811/11-1460)

³ See Document CR-29.

Explained GON probably making written request for such assistance today. Echandi said profoundly moved by offer U.S. assistance but GOC feels no need air or sea patrol or other assistance in present situation. Although President was convinced Friday night and Saturday that invasion by Cuban force was occurring, he said subsequent developments made clear that recent trouble northern Costa Rica caused by Nica revolutionaries as on previous occasions, with no threat against CR intended. However, Echandi believes trouble here probably part of general Commie conspiracy stir up trouble Central America with intention and hope toppling some governments, if lucky.

Regarding future, President said if any threat against CR develops directly or indirectly, will ask for U.S. assistance in writing as outlined, and will ask for OAS action under Rio treaty at same time.

Echandi suggested that if U.S. assistance is extended to Guatemala, Nicaragua or other countries U.S. might as well issue policy statement saying U.S. responding to formal request for assistance by governments and that similar U.S. assistance available when requested in writing by any CA government invaded or under threat of invasion by external forces whether Cuban or other Commie elements.

Comment: Country Team chiefs and I agree with President's assessment that present situation under control and past weekend activity probably limited to Nicaraguan revolutionaries. Also agree with Echandi that Northern CR incident might have been part of general plan. Marcial Aguiluz,⁴ in Costa Rica link to Cuba and has been involved in previous excursions against Nicaragua.

Kimmel

⁴ Marcial Aguiluz Orellana was a National Liberation Party Deputy in the Costa Rican Legislative Assembly and Secretary for Labor in the National Directorate of his party.

CR-29. Briefing Paper Prepared by the Officer in Charge of Costa Rican Affairs (Feldman)¹

Washington, November 21, 1960.

SUBJECT

COSTA RICA : Nicaraguan Insurgent Activities on Costa Rica-Nicaraguan Border,
early November, 1960

Chronology

On November 9, a senior officer of the Costa Rican Civil Guard was captured by Nicaraguan rebels when a small Civil Guard detachment he led went to investigate the reported presence of an insurgent group in northwest Costa Rica near the Nicaraguan border. A reinforced Civil Guard detachment effected his release that same day by capturing the rebel camp but all the rebels escaped. President Echandi reportedly ordered the Civil Guard to pursue and liquidate the rebel groups. The Costa Rican Government, as a precautionary measure also ordered the temporary detention, pending deportation, of several prominent Nicaraguan opposition leaders who were living in exile in San Jose and who were considered to be actively involved in this invasion attempt. On November 11, a Civil Guard patrol was ambushed by a rebel group in the course of which the Director General of the Civil Guard was killed.² Five prisoners, all Nicaraguans, were taken and flown to San Jose for interrogation. Costa Rican authorities in the border area reported that four low flying unidentified aircraft dropped supplies to the Nicaraguans insurgents in the build-up area early in the morning of November 12 but this report was not confirmed by our Chief of the Army Mission,³ who was in the area as an observer.

The Government of Costa Rica, alarmed by conflicting and confusing reports from the so-called battle front and the death of the Director General of the Civil Guard, interpreted the events of November 11–12 as portending an attack by an alleged Cuban force against the Government. In response to an official request for a helicopter to evacuate casualties, our Army Attaché⁴ received authority to utilize all Costa

¹ Source: Department of State, OAP Files, Lot 63 D 127, "Costa Rica, 1960." Secret. The source text is an unsigned carbon copy.

² A Nicaraguan rebel band in a farm house on the northwestern Costa Rican frontier reportedly killed Lt. Col. Alfonso Monge about 8.30 p.m., November 11, 1960. (Desps. 301 and 341 from San José, November 18 and December 1, 1960; 718.00(w)/11–1860 and 718.00/12–160)

³ Col. Frederick J. Bailey, Jr.

⁴ Lt. Col. Spencer P. Edwards, Jr.

Rican based United States aircraft to evacuate casualties and army field rations from the Embassy commissary were sent to the troops in the field.⁵ A friend of the President approached Embassy officers in his behalf about 1:30 a.m. of the twelfth with news of heavy fighting on the border and requested United States air and naval patrols and other assistance.⁶ However, when subsequent developments that day made it clear that the rebels were all Nicaraguans intent on only invading Nicaragua and that they did not constitute a threat against the Costa Rican Government, no formal request for military assistance was made of the United States Government.

Our Army Mission Chief reported that the rebel group which numbered about forty men, all Nicaraguans, was now dispersed along the border by the patrol action of the Civil Guard.⁷ Although the Costa Rican Government instituted air search and has augmented the Civil Guard Patrols in the build-up area, no rebels have been found since the ambush of November 11. Our Army Mission Chief has also reported that as of November 14, he has found no evidence of Cuban weapons used by the rebels or of Cuban involvement in this attempted invasion of Nicaraguans.

President Echandi was informed by our Chargé on November 15 of the United States Government offer to help prevent the receipt by the rebels of supplies, especially from Cuba. President Echandi profoundly moved by this gesture, gratefully declined the offer since he believed that his Government had no need for air or sea patrols or other assistance at the present time.

Estimate of the Situation

The sensitivity of the Costa Rican Government to the possibility of a Cuban led attack against Costa Rica was made evident by the credence given at first to the unconfirmed reports of such an attack. These reports were subsequently proven unfounded.

⁵ The Costa Rican Government asked Bailey and Edwards to make the Inter-American Geodetic Survey "aircraft available for removal of wounded and for liaison with the Costa Rican force headquartered at the town of Liberia, south of the Nicaraguan border. The Army Attaché received permissions from the Caribbean Command to use the aircraft as required." (Memorandum by Roy I. Kimmel, Counselor, Embassy in Costa Rica, to the Department of State, November 15, 1960; 818.49/11-1560)

⁶ Manuel Campos made the initial request. Subsequently on November 12, 1960, Foreign Minister Vargas and First Vice President José Joaquín Peralta Esquivel called Chargé Kimmel to the Presidential Palace and urgently asked for U.S. arms and support by sea and air. (Desp. 301 from San José, November 18, 1960/718.00(W)/11-1860)

⁷ On November 12, Bailey flew to Liberia, capital of Guanacaste Province, to investigate the situation. He reported that the rebels, not more than 40 Nicaraguan revolutionaries, had been dispersed. Vargas called the Chargé to say that Bailey's report was correct and that no U.S. help would be needed. (*Ibid.*) Telegram 253 from San José, November 14, 1960 reported that "Bailey found no evidence Cubans involved or Cuban weapon used." (717.00/11-1460)

It also showed how vulnerable and how unprepared the country is to repel a well organized attack if one were mounted in force at this time. The crack-down on Nicaraguans exiles who were engaged in plotting against Nicaragua and the Government's threat to deport all exiles who engage in subversive activities in Costa Rica against another country are beneficial results of the unsuccessful invasion attempt.

Despite press reports alleging that Costa Rican Government sources claimed Cuban collaboration with the Nicaraguan rebels based in Costa Rica there is no evidence to date of Cuban involvement or that Cuban arms were in the possession of the rebels. The Costa Rican Government is in full control of the border situation and there is little likelihood of a resumption of hostilities. The prompt and aggressive action by the Civil Guard should reassure the Nicaraguan Government that it can count on the Costa Rican Government for support in suppressing a small Costa Rican-based aggressive revolutionary action against it.

Dominican Republic: U.S. Relations with Dominican Republic

DR-1. Memorandum from the Director of the Office of Middle American Affairs (Wieland) to the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, January 30, 1958.

SUBJECT

Future Course of Dominican-United States Relations

Problem:

Ambassador Farland recently came up from Ciudad Trujillo for consultation in the Department on the future course of our relations with the Dominican Republic. This matter is urgent in view of a talk the Ambassador had with Generalissimo Trujillo on January 17 when the latter indicated that he plans to withdraw very soon from an active role in his country's affairs, turning over responsibility to others in fact as well as in name. Trujillo spoke particularly of the pressure the United States has brought to bear upon him because of the Galíndez-Murphy affair²; further, his doctors advise him to get rid of his heavy responsibilities. The policy question thus raised is whether the United States is willing to resume normal relations so that Trujillo can disengage himself from control without having this delicate process hindered by the present uncertainties in U.S.-Dominican relations. If the United States is not willing to clarify the relationship, Trujillo

¹ Source: Department of State, Rubottom Files, Lot 60 D 553, "Development Loan Fund—1958." Secret. The source text is an unsigned carbon copy.

² Dr. Jesús de Galíndez, a Spanish citizen formerly resident in the Dominican Republic, disappeared from New York City on March 12, 1956. Gerald Lester Murphy, an airplane pilot who claimed he had participated in kidnapping de Galíndez and had flown him to the Dominican Republic, disappeared from his apartment in Ciudad Trujillo on December 3, 1956. Documentation on this subject is presented in *Foreign Relations, 1955–1957*, vol. VI, American Republics: Multilateral; Mexico; Caribbean, Chapter 9.

indicated that despite his long-standing friendship he could not continue to cooperate as fully with the United States as in the past. As an indication of what this would mean, the Dominican Government recently notified us that it does not plan to attend the Law of the Sea Conference in Geneva in February.³

This paper discusses this policy question and proposes a position for Ambassador Farland to take with Trujillo.

Background:

During the past year our relations with the Dominican Republic have become increasingly strained, primarily because of the Galíndez-Murphy case, improper activities of Dominican officials and agents in the United States, and Dominican meddling in other countries' affairs. In these circumstances, the United States has refused or hesitated to act favorably on such normally routine matters as requests for technical assistance, visits by Dominican officials to the United States, and export licenses for military equipment. We refused to permit the sale of jet fighter aircraft to the Dominican Republic even though our Defense Department found there was military justification for these fighters for hemispheric defense purposes. The Dominican Republic, on the other hand, smarting under United States press attacks and official U.S. pressures of various types, has refused to cooperate effectively in clarifying the Galíndez-Murphy cases, has tried to discredit our motives in pursuing these cases and has tried to stir up trouble in other countries where the United States has important political interests (particularly in Guatemala). The recent decision not to attend the Law of the Sea Conference indicates that Trujillo may try non-cooperation on international questions as a new countervailing tactic. Trujillo himself, at 66, is weakening physically under the pressures of the situation. He appears to suffer from high blood pressure, at least, and perhaps from other organic disorders.

The fundamental U.S. interests in the Dominican Republic and its political orientation are:

1. Its strategic position in the Caribbean, on the approaches to the Panama Canal;
2. The guided missile tracking station on the northeast coast;
3. The continuing support the Government of the Dominican Republic has given us in the United Nations and elsewhere.

³ A United Nations Conference on the Law of the Sea, attended by delegates from 86 countries, took place at Geneva, February 24–April 28, 1958. Documentation on this conference is presented in *Foreign Relations, 1958–1960*, vol. II, United Nations and General International Matters, Chapter 8.

Discussion:

Our investigation of the Galíndez-Murphy case has pointed to the involvement of Dominican officials, notably General Arturo Espailat, former Dominican Consul General in New York, and former Cabinet member for Security. The investigation has also uncovered other evidence of improper Dominican activities in the United States including use of unregistered agents. John Joseph Frank was tried and convicted in November 1957 for failure to register as a Dominican agent; Horace William Schmall was haled before a Federal Grand Jury in January 1958 but refused to testify on grounds of possible self-incrimination; Carl Armfelt hastily departed from the Dominican Republic in January 1958 to avoid service of a subpoena to appear before a Federal Grand Jury. The Dominican Government has employed Sydney Baron of New York (and through him Morris Ernst and Judge Munson) to conduct an independent investigation of the Galíndez case, which *per se* tends to impugn the good faith of the Department of Justice investigation. General Espailat has insulted our Government by stating to our Embassy that Frank was "framed". These developments have been attended by keen public and Congressional interest and as a result Trujillo and the Dominican Government have been subject to continual public stigma.

Congressman Porter⁴ has broadened his interest in the Murphy-Galíndez case to embrace the whole field of United States policy toward Latin America, particularly with respect to the "dictatorship countries". Last summer Mr. Porter called for a suspension of technical and military cooperation with the "dictatorship countries" and sponsored a Bill to effect this change in policy. The Bill was defeated by a wide margin in late July but while it was under consideration we felt obliged to refuse to sell jet aircraft the Dominican Republic was then on the point of purchasing. Other Dominican requests for military supplies or equipment have been handled on an *ad hoc* basis. Similarly questions concerning our technical cooperation program in the Dominican Republic have been handled on a case by case basis, as have other questions such as a proposed visit by "Ramfis"⁵ to Washington next June, and a proposed visit in February by Admiral Richardson, Chief of the Dominican Navy. Thus, although there has been no formal change in policy, elements of uncertainty and hesitation have become very pronounced in our relations. This paper seeks to clarify our policy with regard to specific areas of interest.

⁴ Charles O. Porter (D-Oregon)

⁵ Rafael L. Trujillo, Jr.

Proposed Position:

It is in our interest to carry on normal cooperative relations with the Dominican Republic in as many fields as, and to the extent that, such cooperation can be effective and mutually beneficial within a framework of mutual respect. At the same time, it should be made clear to the Dominican Government that the deterioration in relations during the past year stems directly from improper activities of Dominican officials in the United States and elsewhere. The disappearance of an American citizen in the Dominican Republic (Murphy) and the disappearance of another individual in New York who was entitled to United States protection (de Galíndez) have been of particular concern to us. The Dominican Republic would not countenance activities by a foreign power within the Dominican Republic which it itself is carrying out in other countries, and therefore, it should not be surprised by our official and public reaction to improper Dominican activities in the United States. Until such activities cease the Dominican Republic cannot expect the U.S. to overlook them; we shall continue to investigate evidences of improper or illegal activities and to take such measures to curb these activities as the facts warrant. Naturally, evidences of illegal or improper activities thus uncovered do not redound to the credit of the Dominican Republic and make it more difficult for the U.S. to treat other aspects of our relations in a normal way.

The initiative of the Generalissimo in bringing this question up with Ambassador Farland presents us with an opportunity to get our relations with the Dominicans back on a “normal, cooperative” basis. We believe that the Ambassador, upon his return to Ciudad Trujillo, should discuss the range of problems in U.S.-Dominican relations, pointing out the Dominican activities to which we object and stating the things the United States is prepared to do if these activities cease. The essence of our side of the bargain would be reestablishment of normal, friendly relations.

We must consider the alternatives to taking a positive approach to this question. If the Generalissimo actually were to let the authority drop from his hands at this time, without adequate preparation, a political breakdown could occur which would run contrary to U.S. interests. Over the years, under the authoritarian regime of the Generalissimo, no one has been prepared to assume any real measure of authority. If the Generalissimo bowed out now, we might expect (1) Ramfis to become the real locus of power or (2) Hector⁶ and Ramfis to take over jointly. But, (3), if these two possibilities failed, a struggle for power would probably ensue among the military with resulting instability in this

⁶ Hector Trujillo, brother of Generalissimo Trujillo, President of the Dominican Republic.

important strategic area. An orderly transfer of power thus would be in our over-all interest, particularly if such a transfer also gave promise of political and social responsibility. We hope for a greater measure of the latter if Ramfis or Hector Trujillo receive power.

Upon his return to the Dominican Republic we propose that Ambassador Farland inform Trujillo of our position as set forth above and how it affects the following specific items of interest:

1. *Espaillet*: Our investigation of the Galíndez-Murphy case has repeatedly brought Espaillet's name to light. The Department of Justice has shown interest in questioning him regarding these cases and we have asked formally that Espaillet make himself amenable to the usual procedures in the United States in such matters. We are determined to continue our efforts to interrogate Espaillet in the United States under conditions where he can be charged with perjury if he lies. We have drafted a new note asking that Espaillet come to the United States to testify. We propose to authorize Ambassador Farland to so inform Trujillo and, in the context of the discussions, say that he will recommend to the Department that it not be delivered if its purpose can be achieved informally (i.e., if Espaillet would make himself available). The Ambassador would explain that we have no desire to embarrass the Dominican Government by presenting a formal note if the matter can be arranged informally. (Draft note TAB A).⁷

2. *Other Improper Activities in U.S.*

An indicated in our note of November 11, 1957,⁸ (TAB B) we have been disturbed over evidence of unregistered Dominican Agents operating in the United States, the organization of picketing demonstrations, and distribution of propaganda of a type which friendly governments do not ordinarily disseminate in another friendly country. We expect that these improprieties shall cease, as requested in our note.

3. *Dominican Meddling in Guatemala, Haiti and Other Areas*

The activities of John Abbes Garcia and Onessimo Valenzuela in Guatemala following the assassination of Castillo Armas⁹ were of serious concern to us. Dominican radio attacks on Guatemalan political figures have gone far beyond the bounds of propriety and truth and have tended to sow confusion, distrust and division among non-Communist political elements in Guatemala at the very moment when these elements should have been encouraged to submerge their differences in

⁷ No attachments were found with the source text.

⁸ Not found.

⁹ Col. Carlos Castillo Armas, President of Guatemala until his assassination on July 26, 1957.

the interest of stable, responsible non-Communist government. In Haiti, Trujillo has given comfort and encouragement to General Kebreau, despite the fact that the latter has brought pressure on the Haitian Government not to settle the Talamas matter which is of so much concern to our Government. In Puerto Rico, Governor Muñoz Marin was forced to ask for the recall of a Dominican Consul because of improprieties. Dominican attacks on Governor Muñoz Marin have been vicious, distorted and unjustified, and public accusations tending to smear the Governor as the tool of a Communist conspiracy are neither warranted by the facts or in keeping with propriety. If the Dominican Government has evidence of Communist activities in Puerto Rico or in the United States, we shall appreciate receiving such information through customary diplomatic channels and we shall take appropriate action to investigate and curb such illegal activities.

4. Law of the Sea Conference

On January 16 the Dominican Foreign Minister told the Ambassador that the Dominican Republic would not attend this conference because it "has no problem" with any country on this question. We interpret this as foreshadowing Trujillo's possible future non-cooperative attitude. If Ambassador Farland finds his discussion with Trujillo satisfactory on the first three points above, he will then press for a favorable decision on Dominican attendance at this conference. RPA is drafting an instruction.

5. Technical Cooperation

The Department has recommended that the ICA program in the Dominican Republic not be terminated as the Director of ICA¹⁰ has proposed in December, and that the FY 1959 program remain as presently agreed upon. We believe that the approach to technical assistance in the Dominican Republic should be as follows: (1) Presently-operating programs should follow their normal, presently planned course; (2) No new fields of activities should be approved for the present; (3) Individual requests for specific assistance should be considered on their merits (an example is a recent request for short-term services of a technician in connection with airport construction); (4) This approach would be reviewed from time to time in the light of our over-all relations with the Dominican Republic and in the light of how effectively the Dominicans are cooperating in those programs already in operation.

¹⁰James H. Smith, Jr.

6. Atomic Energy

As indicated in our A-57 of November 5, 1957¹¹ (attached) (TAB C) we are prepared to cooperate with the Dominican Republic in a program for developing nuclear "know-how" and experience through research and training, and we are ready to assist the Dominican Government in implementing the existing bilateral agreement on atomic research. We feel that Dominican interest in a power reactor should be discouraged for the present pending training of technicians and further planning.

7. Military Assistance

Under the Military Assistance Agreement of March 1953 the Dominican Republic agreed to maintain one fighter squadron of aircraft and 10 naval vessels for hemispheric defense purposes.¹² Under the grant military aid program the United States undertook to supply maintenance and operational support, training and training ammunition and materiel to modernize the MDAP naval units for more effective anti-submarine warfare. Four jet trainer aircraft were furnished.

In December 1956 a Naval Mission Agreement¹³ was signed but in April 1957 the Embassy and the Chief of the Naval Mission¹⁴ recommended that no further materiel under the MDAP be allocated to the Dominican Navy and that our naval programs in the Dominican Republic confine itself strictly to training activities. The reasons for these recommendations were the inability of the Dominican Navy to maintain ships and materiel in a seaworthy condition, graft, and failure to utilize trained personnel effectively. Since August 1957 these deficiencies are being corrected by the Dominicans and our Naval Mission believes that an effective program can be carried on.

If Trujillo's attitude on the first three points above is satisfactory, Ambassador Farland may inform him that we stand ready to resume normal cooperation in the Naval program in the Dominican Republic, and to release materiel under the MAAG Program for agreed force goals. Requests for export licenses for materiel to replace old or worn-out equipment would be considered promptly.

Recommendation:

It is recommended that you sign the attached telegram authorizing Ambassador Farland to discuss Dominican-U.S. relations with

¹¹ Not found.

¹² For text of the agreement, signed at Washington on March 6, and entered into force on June 10, 1953, see 4 UST 184.

¹³ For text of the agreement, signed at Ciudad Trujillo on December 7, 1956, and entered into force on the same day, see 7 UST (pt. 3) 3238.

¹⁴ Commander Thomas E. Keyes.

Generalissimo Trujillo in the light of this memorandum and to assure him that the United States desires to resume normal cooperative relations in those fields where cooperation can be effective, it being clearly understood that an essential element in a return to normality would be satisfactory Dominican cooperation to clarify the Galíndez-Murphy case and to cease improper activities in the United States and elsewhere.¹⁵

¹⁵ In telegram 363 to Ciudad Trujillo, January 31, 1958, Rubottom authorized Ambassador Farland to discuss U.S.-Dominican relations with Generalissimo Trujillo in light of this memorandum. After identifying several issues of contention between the two countries, the telegram concluded, "If Trujillo prepared cooperate effectively on foregoing points, thus providing essential element in return to normality hitherto lacking, U.S. prepared treat questions relating technical cooperation program, military program and other fields on own merits as essentially technical non-political questions." (611.39/1-3158) In telegram 354 from Ciudad Trujillo, February 4, 1958, Farland reported on his conversation with Trujillo that day. The telegram stated in part that the Generalissimo planned to revoke his decision not to send a delegate to the Law of the Sea conference. Farland concluded, "All evidence indicated Generalissimo highly interested and concerned result my consultation Washington and at this juncture appears to be willing cooperate all aspects with possible exception Espailat return." (611.39/2-458)

DR-2. Memorandum from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Secretary of State¹

Washington, June 26, 1958.

SUBJECT

Your Appointment With Ambassador Farland Today at 12:15 p.m.² Dominican Congressional Resolution to Cancel Agreements With United States

Ambassador Farland wishes to discuss briefly the problems presented by the Dominican Congress' adoption of a Joint Resolution last week (Tab A)³ calling for the termination of various agreements with

¹ Source: Department of State, Central Files, 739.5-MSP/6-1958. Confidential. A note on the source written by Dulles' secretary, Phyllis D. Bernau, indicated that the Secretary saw this memorandum.

² Ambassador Farland was in Washington for consultations, June 23–27, 1958.

³ No attachments were found with the source text. A copy of the joint resolution adopted on June 18 was transmitted to the Department of State in despatch 612 from Ciudad Trujillo, June 18, 1958. (739.5-MSP/6-1958)

the United States relating to military and technical cooperation, and the operation of a guided missile facility in the Dominican Republic. This Resolution is now under study by the Executive Branch of the Dominican Government which is expected to take a decision by July 2. Ambassador Farland plans to deliver our views to the Dominican Foreign Minister this Saturday or Sunday.

Background:

The Dominican Government under the dominance of Generalissimo Trujillo took this action because of its resentment over the steady criticism it has received from certain members of our Congress and press as a result of the Galíndez-Murphy affair, and the extravagant indiscretions of General Trujillo, Jr. The final insult (in their eyes) was the recent decision of our Command and General Staff College not to grant a diploma to General Trujillo Jr. because of his long absences and low academic standing, although this factor is not included in the bill of particulars drawn up by the Dominican Congress.

Our Objectives and Proposed Action:

Our objectives in this situation are to preserve our right to operate the missile tracking station for the ten years agreed upon; continue our mutual security program if the Dominicans decide after mature consideration that it is in their interest to do so; and to minimize the repercussions of the present incident on our long-term interest of carrying on normal friendly relations with the Dominican Republic as one of the American Republics. To achieve these objectives we plan to inform the Dominicans by formal note or aide-memoire that it is our policy to seek normal friendly relations with the other American Republics and to carry on present cooperative programs if there is a corresponding disposition on their part. We are trying to avoid any appearance in the eyes of the world of threatening or cajoling the Dominicans in this matter, or of knuckling under to this type of pressure.

Attached is a biographic summary of Mr. Farland (Tab B). The Ambassador will be accompanied by Mr. C. Allan Stewart.⁴

⁴Deputy Director of the Office of Middle American Affairs. In a memorandum to Rubottom dated June 25, Stewart explained in detail the background to the joint resolution, and he recommended that Farland deliver to the Dominican Government a formal note acknowledging the actions of the Dominican Congress (739.5-MSP/6-1958) Rubottom approved the recommendation on June 27. No record of a meeting between the Secretary and the Ambassador was found in Department of State files.

DR-3. Memorandum of the Substance of Discussion at a Department of State-Joint Chiefs of staff Meeting¹

Washington, June 27, 1958.

[Here follows the record of discussion of agenda items concerning "U.S. Military Representation in the Middle East," "Lebanon," and "Poland."]

3. *Dominican Republic*

General White² said he thought we should try to hold the line in the Dominican Republic in the face of the Generalissimo's current unhappiness. General White noted that part of the proposed note to be given the Dominicans seemed to take a very strong position as far as our facilities down there are concerned. Mr. Stewart said that this section is being deleted from the note.

Ambassador Farland described the current situation in the Dominican Republic. Trujillo's unhappiness is more deeply rooted than simply the trouble involving Ramfis. Trujillo privately has indicated his desire to cooperate fully on all military matters with the United States but feels that we are not reciprocating his desire for cooperation. Recently military cooperation had been improving. If we could provide some naval assistance, like an old mine sweeper, it would be very helpful. Ambassador Farland said he thought the note prepared for him to give the Foreign Minister represents the minimum that we should do and that in his verbal discussions he will seek to placate the Dominicans and encourage mutual cooperation.

Ambassador Farland said that the Generalissimo feels that the action of the United States Army authorities in not giving Ramfis a diploma is largely political. The Dominicans note that other foreign students at Leavenworth have received diplomas even though they were absent for lengthy periods. The Ambassador said he had tried, to explain the standards of Leavenworth to the Generalissimo. General Taylor³ said that the critical thing at Leavenworth for all students is to pass the examinations. [*text not declassified*]

¹ Source: Department of State, State-JCS Meetings, Lot 61 D 417. Secret. Information on the source text indicates that this meeting took place at the Pentagon, and that the memorandum was not cleared with the Department of Defense. The Department of Defense was represented by 21 officers, including the Joint Chiefs, the Department of State by 9 officers, the Central Intelligence by 1, and the National Security Council by 1. Robert D. Murphy, Deputy Under Secretary of State for Political Affairs, headed the Department of State contingent, which also included Ambassador Farland.

² Thomas D. White, Chief of Staff, U.S. Air Force.

³ Maxwell D. Taylor, Chief of Staff, U.S. Army.

Ambassador Farland said it is difficult for the Dominicans to understand the freedom of press and public criticism existing in the United States. He noted that Trujillo would like very much to visit the United States and inspect our military facilities.

Regarding Trujillo's retirement the Ambassador said that the Generalissimo is tired but that his retirement will probably be more a paper proposition than an actual turnover of control to his brother, the current President, Hector Trujillo.

Mr. Stewart asked whether the proposed note was all right with the deletion of the paragraph mentioned by General White. General White said yes.⁴

⁴ In telegram 632 from Ciudad Trujillo, June 30, 1958, Farland informed the Department of his conversation with Generalissimo Trujillo the previous day. The telegram stated in part, "Conversation concluded with Generalissimo re-affirming his pro-U.S. convictions . . . and made point of fact he had personally signed mutual assistance agreement on behalf of GOD; in view this fact he indicated GOD would weigh cancellation with circumspection. Analyzing all circumstances of and statements made during discussion I consider good possibility exists continuation program of mutual security and other agreements." (611.39/6-3058). In telegram 635 from Ciudad Trujillo, June 30, 1958, the Ambassador reported that he had handed the diplomatic note to Foreign Minister Herrera that day. (611.39/6-3058) No copy of this note was located in Department of State files.

DR-4. Editorial Note

On September 16, 1958, the Dominican Congress adopted a joint resolution abolishing the resolution of June 18. In telegram 121 from Ciudad Trujillo, September 17, 1958, Ambassador Farland informed the Department of this action. The telegram stated in part, that the action of the Dominican Congress reaffirmed "Gimo Trujillo's policy of associating the Dominican Republic without vacillation and without reservation to the 'destiny of the U.S. and to all peoples in the anti-Communist world.'" (739.5-MSP/9-1758) In despatch 150 from Ciudad Trujillo, September 18, 1958, the Embassy forwarded to the Department of State a translation of the joint resolution and also of Dominican Foreign Office note 28105, dated September 17, which accompanied it. (732.5-MSP/91858)

DR-5. Memorandum of a Conversation between the Secretary of State and the Dominican Foreign Minister (Herrera)¹

Washington, November 7, 1958.

SUBJECT

Termination of Military Agreements with the Dominican Republic²

PARTICIPANTS

The Secretary
Mr. Rubottom – Assistant Secretary, ARA
Mr. Little – Deputy Director, CMA
Dominican Foreign Minister Porfirio Herrera Báez
Dominican Ambassador Manuel A. de Moya

Foreign Minister Herrera Báez opened the conversation by stating that his Government has traditionally followed a policy of close and friendly cooperation with the United States and that it wished to continue these policies in the future. He continued by saying that his present visit to the United States and the purpose of his call on the Secretary related to the military agreements between our two countries. His Government had decided, he stated, that it wished to terminate the Military Assistance Agreement of 1953 and the Naval Mission Agreement of 1956, since his Government believed that the purposes of those two agreements had been achieved. He said that his Government hoped that it would be possible for our two governments to agree mutually that these agreements be terminated in lieu of a unilateral denunciation by the Dominican Republic, reiterating that his Government did not wish, by its position on these agreements, to indicate any change in its traditional policies toward the United States to which he had referred. The Minister then handed the Secretary a memorandum embodying this request, which is attached³ Mr. Rubottom asked the Minister how the desire of the Dominican Government to terminate the two agreements related to the agreement for the Missile Tracking Station. The Minister replied that neither that agreement nor the one covering the Loran station would be affected by this proposal. Later in the conversation the Minister said that, if his Government in

¹ Source: Department of State, Central Files, 739.5-MSP/11-758. Confidential. Drafted by Edward S. Little on November 7.

² In a memorandum dated November 6, 1958, Assistant Secretary Rubottom informed the Secretary of several subjects which Foreign Minister Herrera might want to discuss, including U.S. military assistance programs, an expression of U.S. appreciation for Dominican friendship and cooperation, and the Dominican desire for greater access to U.S. markets. Rubottom also recommended positions for the Secretary to take on these issues. (611.39/11-658)

³ Not declassified.

the future requested technical aid and equipment, it was hoped that arrangements could be made for such assistance even though there was no military agreement. It was apparent from the context of this remark that the reference was to *military* aid and equipment, although this was not specifically stated by the Minister.

The Secretary told the Minister that the Dominican Government's request would be studied carefully and said that he appreciated the comments of the Minister regarding the attitude of his Government toward cooperation with the United States. He stated that it would be fruitless to deny that in the recent past there have been points of disagreement between our two governments. He said that some countries in the world take certain actions with which we agree to a greater or lesser degree, whereas others sometimes do things that we cannot approve. The United States Government's attitude is that other countries, being sovereign nations, may do as they wish in conducting their internal affairs and that we will respect their sovereignty, but nevertheless we do have opinions on their actions. The Secretary alluded to the fact that some of the things the Dominicans have done in the past have had a poor public relations reaction here in the United States, mentioning specifically the letters of the former Minister of Commerce⁴ which were critical of certain Congressional figures in the United States. The Secretary stressed that the public reaction in the United States to acts of others was beyond our government's control and was a fact of life which must be accepted. Nonetheless, the Secretary added, the United States Government believes that our two governments should work together to resolve our mutual problems. Mr. Rubottom commented at this point that, as Ambassador de Moya was fully aware, a number of problems affecting relations between our two countries have arisen in recent months and that our government's effort has always been to deal with them in a way which would meet the objectives of both of our governments.

Turning to another subject, the Foreign Minister said that he thought Ambassador Lodge's meeting on China with the Latin American delegates to the UN General Assembly in New York was very timely and useful. In response, the Secretary briefly described his trip to Taiwan to see President Chiang and some of the issues raised by the division of China by communism.⁵

Before the Minister rose to leave, the Secretary said that he had one comment he would like to make. He wished to tell the Minister, and asked him to pass on his thought to his President and to the

⁴ Juan O. Velázquez, Minister of Industry and Commerce.

⁵ Dulles was in Taipei, October 21–23, 1958. For documentation on this visit, see *Foreign Relations, 1958–1960*, vol. XVI, East Asia-Pacific Region; Cambodia; Laos.

Generalissimo, that the United States appreciates the important role played by the Dominican Government in the development of the Caracas anti-communist pact.⁶ The Minister expressed his appreciation for the Secretary's statement and said he would transmit the Secretary's comment to his government.

It was agreed during the conversation that no publicity would be given to the Dominicans' intention to terminate the two military agreements and as the Minister left the Secretary's reception room he explained to waiting newsmen that he had come to Washington only to pay a courtesy call on the Secretary. After leaving the Secretary's office, the Minister stated to Mr. Rubottom that he hoped to be able to meet later with Mr. Rubottom to learn the reaction of our government to the Dominican request prior to returning to Ciudad Trujillo. Mr. Rubottom replied that we would wish to discuss the matter with interested officials of the Departments of State and Defense and suggested the possibility of a meeting Saturday morning. The Minister agreed and Mr. Rubottom said that we would advise Ambassador de Moya later in the day if such a meeting could be worked out.

⁶ Reference is to Resolution XCIII, titled, "Declaration of Solidarity for the Preservation the Political Integrity of the American States Against the Intervention of International Communism," approved on March 28, 1954 at the Tenth Inter-American Conference which met at Caracas, March 1–28, 1954. For the text of the resolution, see *Tenth Inter-American Conference: Report of the Delegation of the United States of America with Related Documents* (Department of State Publication 5692, Washington, 1955), pp.156–158.

DR-6. Telegram from the Ambassador in the Dominican Republic (Farland) to the Department of State¹

Ciudad Trujillo, December 3, 1958, noon.

210. Have had lengthy meeting with Generalissimo. Advised him I had been called to the Department for consultation as result GODR memorandum given by Foreign Minister to Secretary Dulles, and that on basis this memorandum U.S. in spirit cooperation is now prepared honor request. However, pointed out that Ambassador De Moya had

¹ Source: Department of State, Central Files, 739.5-MCP/12-358. Secret; Priority.

informed me that action requested per said memorandum was not in actual accord with that which had been contemplated by GODR, that inactivity was preferable to termination, and that Generalísimo expressed wish to discuss matter with me prior to any definite decision by either signatory. Further, if this be the case, and in view Ambassador De Moya's statement concerning necessity hemispheric solidarity, the Department with same spirit cooperation considers it appropriate to ascertain Generalísimo views prior to implementing request.

After offering a number of thin excuses for not having had discussion with me prior to time Foreign Minister delivered memorandum, Generalísimo stated Herrera Baez mission was not to ask termination of MAP agreement as such but rather his commission was to work out best possible solution of MAP agreement difficulties together with related matters, and if that effect non-productive then to suggest termination as last alternative. Therefore for purpose re-establishment his position, Generalísimo requested convey to Secretary Dulles complete assurances of GODR desire for cooperation and sincere friendship, stating both of which will continue as long as he has voice in GODR. He added that long ago he had cast his country's lot with the policies of the U.S. and that he would not change that relationship.

He stated that in view this fact and to prevent further misinterpretation he desired to meet with me in next few days to discuss his government concepts and policies in regard to military assistance program. He further stated that he would ask the President, Vice President,² Foreign Minister and if possible Manuel De Moya to attend said meeting. He noted that the Foreign Minister was expected back from Mexico shortly and that he would forthwith wire Ambassador De Moya in Paris. He hoped further delay these few days would not complicate matters. I explained time primary importance to U.S. and meeting must be expedited. Atmosphere of meeting extremely friendly. Generalísimo expressed appreciation for U.S. cordiality evidenced during Secretary-Foreign Minister meeting and for the Secretary's observations made at that time.

Comment: Conversation indicated change of policy as reported to me by Ambassador De Moya at meeting November 24. As yet unable to ascertain extent this change. However in conjunction therewith it noteworthy that Trujillo, Jr. was not included among those persons suggested for aforementioned meeting. Also of interest is that Generalísimo made great point of informing me Arturo Espaillat had been removed from all active military connections while engaged commercial activities. The "observation" made during meeting with Ambassador De Moya November 17 concerning Richardson and Espaillat apparently effected

²Joaquín Balaguer.

Richardson's release from prison and Espailat's placement in reserve status. Naval mission now receiving more cooperation than anytime heretofore. On other hand Air Force MAAG completely inactive.³

Farland

³ In telegram 227 from Ciudad Trujillo, December 16, 1958, Farland reported to the Department on his conference on the military agreements with Generalissimo Trujillo, President Trujillo, Vice President Balaguer and Foreign Minister Herrera. The telegram stated in part, "Following completely frank discussion, Generalissimo stated that he believed better approach would have been re-negotiation. I informed Generalissimo that Department had heretofore agreed to re-negotiation but this had been superseded by GODR's request for termination." (739.5-MSP/12-1658) Telegram 191 to Ciudad Trujillo, December, 24, 1958, stated in part, "Ambassador Farland is commended for his handling of meeting with Dominicans and for the position he took in declining to offer to Generalissimo a solution to the problem as requested by him, as well as for the effective presentation of Ambassador's position vis-à-vis Dominican request for loan of ships and with regard to future Air Force MAAG." (739.5-MSP/12-1858)

**DR-7. Despatch from the Chargé in the Dominican Republic
(Lofton) to the Department of State¹**

Ciudad Trujillo, May 26, 1959.

No. 481

SUBJECT

An Assessment of the Political Future of the Dominican Republic.

An assessment of current thinking concerning the possible political future of the Dominican Republic is set forth below in view of the intensification of Communist efforts in Latin America, invasion threats now circulating, the increasing age and pressures under which the mortal Generalissimo works, and the apparent failure of Trujillo to take any public steps toward designating a successor.

On the theory that many minds are better than one, one of the reporting officers (Mr. Barfield) has just completed a survey of available qualified opinion. Four key questions were asked in the survey, but some of the contacts were of such delicate nature that specific questions were omitted. The group queried (a total of twenty four) was comprised

¹ Source: Department of State, Central Files, 739.00/5-2659. Confidential. Drafted by Harry M. Lofton, Chargé d'Affaires, and John D. Barfield, Second Secretary of the Embassy.

of eleven official Americans, three members of the local diplomatic corps, two American clergymen, four American businessmen, and four Dominican citizens. No one who has lived in the Dominican Republic less than a year was approached. Excluding Dominicans, the average length of residence here of the participants is approximately three years.

The questions posed and their answers follow:

(1) Do you think there will be a serious invasion attempt against the Dominican Republic in the next six months and, if so, would it be successful?

Answer – Eighteen answered that they believed there would be no serious invasion attempt within the next six months and six indicated one is unlikely. Only one person predicted that an invasion would be successful if attempted.

(2) How long will the present regime survive?

Answer – All but one person expressed the belief the present regime will survive until the Generalissimo becomes seriously incapacitated or dies. The average estimate before this would transpire, was approximately four years. One source thinks the Generalissimo would retain control for an indefinite period even though seriously incapacitated – in much the same fashion as Henri Christophe did in Haiti.² (It is noted that Trujillo's mother is reportedly 96 years old and is still active.)

(3) What will be the sequel to the downfall of the Generalissimo with respect to the assumption of authority?

Answer – Five sources said all contenders are so far overshadowed by the Generalissimo that it is impossible to make anything approximating an intelligent prediction. One said son Ramfis would take over on a permanent basis together with President Hector Trujillo. Two held out strongly for the chances of Lt. General Jose Garcia Trujillo. The remaining vast majority simply stated that a military junta would take over. Only two said this would be done without violence. The prevailing sentiment was that a relatively short period of time of tranquility will transpire, accompanied by furious jockeying for power behind the scenes, before the onset of inevitable violence.

(4) Will the government that eventually stabilizes the political situation be more or less cooperative with the United States than the present one?

Answer – Nine answered more cooperative, nine about the same, and four less cooperative.

² Reference is to a leader of the Haitian war of independence who established a kingdom in northern Haiti in the first years of the nineteenth century. Henri Christophe suffered a paralytic stroke in 1820 and committed suicide later that year when revolts broke out at news of his incapacitating illness.

Summary of Survey: Most of the persons questioned qualified their remarks; therefore, the above is something of an oversimplification. A basic pattern of expectation emerges, however, from a consideration of this and other data available. There will be no *serious* invasion attempt against the Dominican Republic within the next six months and if there should be one, it will not be successful. The present government, will probably survive until the death or serious incapacitation of Trujillo. This is not likely to happen (barring death by violence) within less than two years or more than ten, but when it does a military junta will take over after a period of violence. Such violence will likely occur within a year (or two at the outside) after the Generalissimo's death and the emergent military junta will probably not include any of the Trujillo family. Several of the Trujillo family now show a potential to assume control including Lt. General Jose Trujillo Garcia and Brig. General Virgilio Trujillo. Except for one dissenting vote, all participants in the above survey discounted "Ramfis" as a prospective political entity except, perhaps, transitionally. He is not popular with the Armed forces, is not noted for perseverance, and is not thought to be highly motivated toward continuing in his father's footsteps.

Comment: Although the majority of those queried did not predict it, there is enough evidence to support a prediction that the military junta possibly will set the stage for a more democratic government. Recently, one of the reporting officers had a conversation with an influential professional man who essentially corroborated the statements previously made by other sources relating to the role of the professional class in the post-Trujillo era.

He referred to a "democratic explosion" in the Latin American area and emphasized the existence of competent persons in Dominican society who would be capable of giving a more democratic twist to the Dominican Government when the time arrives. He also stated that his group of friends has undergone considerable harassment in recent times. The crux of the matter is likely to be whether or not this group can prevail over the insidious attempts of the Communists to infiltrate Dominican power circles on Trujillo's exit.

The Embassy agrees with the views of the professional mentioned above that there no doubt exists competent persons in Dominican business and professional circles not only capable of producing, but undoubtedly desirous of a more democratic regime, but it is of the strong opinion that these groups are not now willing to risk or assist in a change. Numerous persons of these groups have repeatedly mentioned to Embassy officers that they are most apprehensive in regard to the Cuban situation with particular emphasis on the Communist menace and the obviously socialistic share-the-land-and-wealth programs of Castro.

The majority of commercial and professional Dominicans probably harbor no personal love for Trujillo as there are few that the 29 year Era

has not touched in some manner. They are, however, quick to emphasize their economic well being derives from the Trujillo regime and openly state they would be most reluctant to move against it or effect drastic changes, even after Trujillo's demise. They would prefer and will probably demand a transition to a much more democratic regime through which their personal interests would continue to be protected.

Politically significant discontent exists in several segments of the population. The Embassy does *not* consider that such discontent is likely to erupt in overt revolution under present circumstances. Elements of discontent have been discerned within the professional classes, the younger military officer class (not considered to be extensive and difficult to estimate), the non-Trujillo middle class merchant group, the well to do agriculturists of the Cibae. Recently, an Embassy officer has observed a nucleus of potential disaffection within the group of high level business associates of the Generalissimo. Members of the two latter groups must be classified as opportunists who will swing with the tides of fortune.

The Embassy considers the most important political development since January 1 affecting the Dominican Republic was the downfall of Batista, Castro's action in placing numerous military supporters of Batista before the firing squad doubtless converted many Dominicans who previously adhered to his cause to active enemies, through fear of any Castro inspired action against the Dominican Republic.

The anticipation of violence marking the end of the "Era of Trujillo" inclines most people to "bear the ills they have rather than fly to others they know not of", particularly when the present economic and political situation is compared to the pre-Trujillo one and the choice between retrogression and painful advance is contemplated. There seems little doubt that a greater degree of unity was achieved by Trujillo during the months of January, February, and March of this year than has been previously observed within recent years. Fear of Castro has probably accomplished for Trujillo what nothing else could have.

Since the conference of American ambassadors at San Salvador and the intervention of the OAS in Panama, this unity has dissipated somewhat, motivated primarily by the adverse economic picture and lessening tension. However, in view of the recent slight increase over the previously existing rock bottom price for sugar and the encouraging upturn in the U.S. economy which sooner or later should be reflected in the Dominican economy, some improvement in the economic situation here is foreseen. Therefore, if the Dominican Government exercises even a modicum of restraint with respect to its purchases of weapons abroad, it appears probable that a reasonable degree of political stability may be contemplated for the Dominican Republic for the foreseeable future. A most important prerequisite for the validity of this prediction is that the Dominican Government will take no overt step to exacerbate

its international problems. This unfortunately, cannot be guaranteed. A factor auguring well for the future, however, is the current absence of the bitter diatribes against Betancourt in the local press which appeared both before and since his inauguration as President of Venezuela and the tangible steps taken to normalize relations between the two countries. The result of this campaign are, however, problematical.

The most influential group of Dominicans today consist of those who are wealthy industrialists and property owners and who have benefitted directly from the Trujillo regime. Because of their influence, numbers, and popular support which they control, this group must be considered in any analysis of future political developments in the Dominican Republic. The recent policies of Castro have unquestionably had a profound effect and have noticeably instilled fear in this important element. During recent weeks members of this group have indicated to Embassy officers their strong belief that if Trujillo were to meet his demise today, by natural causes or violence, they and their supporters would through the framework of the *Dominican Party* supported by the military, be able to continue for some time the *status quo* with a view to gradual transition to a more democratic government. While members of this influential group have long supported the Generalissimo, they have not indicated they wish to continue indefinitely with Ramfis or other members of the family. This group could be visualized as supporting a figurehead (perhaps President Hector Trujillo) while moving toward a more democratic government similar to that of the Somzas in Nicaragua.

Whatever happens, a most significant factor to bear in mind is the basic friendliness of the Dominican people to the United States. There is unquestionably a reservoir of goodwill toward the U.S. among all levels of Dominican society. At the time of the June 16 resolution of the Dominican Congress to cancel aid agreements with the United States, it was apparent from numerous indications that knowledgeable Dominicans did not agree with the official line attributing the Dominican Republic's economic and political woes to the United States.

One final factor in the analysis of the political future of the Dominican Republic which should not be overlooked is the fact that the people are not now politically educated to accept democracy as it exists in the United States. The person who emerges either from the ashes of the Trujillo regime or from a relatively peaceful transition must be a forceful leader, albeit not necessarily as dangerously leftist as Castro or extremely rightist as dictator Trujillo.

In conclusion the Embassy must, perforce, qualify the above by stating that dependable and objective Dominican sources of information, as in all totalitarian countries, are scarce and hard to find.

Harry M. Lefton

DR-8. Editorial Note

On June 14, 1959, Generalissimo Trujillo informed Ambassador Farland of an attempted invasion of the Dominican Republic that afternoon. In telegram 480 from Ciudad Trujillo, June 14, Farland reported the following to the Department: "Trujillo advised me at 8:15 tonight that one transport aircraft landed at Constanza late this afternoon with 18 insurgents aboard. Dominican Army garrison reported in pursuit. Origin and nationality group as yet unknown. Landings momentarily and will keep Embassy fully informed. Ciudad Trujillo calm and as yet unaware this information but considerable military air activity noted now moving out of San Ysidro." (739.00/6-1459) In telegrams 482 and 484 from Ciudad Trujillo, June 15, Farland reported on discussions with Foreign Minister Manuel de Moya who stated that members of the insurgent group came from Cuba and Venezuela. (739.00/6-1559) According to telegram 487 from Ciudad Trujillo, June 16, Moya informed Farland that day that one of the invasion planes was chartered in Miami and flown from Miami to Cuba by an American pilot. (739.00/6-1659)

During the following days fighting erupted between the Dominican Army and the insurgents, who had split into several small groups. In telegram 493 from Ciudad Trujillo, June 18, Farland stated in part, "Rumors continue confirm my original assumption collaboration [between the insurgents and the garrison of Constanza]. Highly reliable source reports landing known to clandestine group several days prior invasion and that number organized Dominican civilians made contact with insurgents at time landing." (739.00/6-1859) In a synopsis of State and Central intelligence Agency material reported to the President, dated June 22 through 24, 1959, John S.D. Eisenhower stated in part, "Landings in the Dominican Republic appear to be relatively successful and the government appears to have failed to stamp them out. One of the main sources of these invaders is Cuba, where a drastic purge of air force officers was carried out during the past week. This purge was instigated by Raúl Castro and eliminated officers known to be seriously concerned with the communist penetration in the armed forces." (Eisenhower Library, DDE Diaries)

In telegram 529 from Ciudad Trujillo, June 26, Farland stated in part, "As final mopping up insurgents continues, of major importance is fact that Dominican Campesinos gave full support and allegiance to Trujillo. Failure of insurgents to win expected cooperation this group preliminary caused defeat at Constanza and rout on north coast." (739.00/6-2659) According to a memorandum of conversation dated July 2, Assistant Secretary Rubottom and Venezuelan Ambassador Marcos Falcon-Briceño discussed a Dominican request for convocation of a special session of the Council of the Organization of American

States to consider the Dominican charge that preparations for an invasion were being made by Cuban and Venezuelan forces. (739.00/7–259) In a memorandum to Acting Secretary of State Herter dated July 6, 1959, Rubottom discussed the COAS meeting scheduled for that afternoon. Suggesting a possible U.S. position at this meeting, Rubottom recommended that U.S. representatives ask the Council of the OAS to defer action on the specific request of the Dominican Republic and to support the convening of a meeting of Foreign Ministers under the Charter of the OAS to consider the entire problem of tension in the Caribbean area. (ARA Deputy Assistant Secretary Files, Lot 61 D 411, "OAS, 1959") Documentation on the fifth meeting of consultation of Ministers of Foreign Affairs of the American Republics, which was convoked to consider tensions in the Caribbean area, held at Santiago, Chile, August 12–18, 1959, is printed as VE–30.

**DR–9. Memorandum from the Assistant Secretary of State
for Inter-American Affairs (Rubottom) to the Acting
Secretary of State¹**

Washington, December 10, 1959.

SUBJECT

Policy to Meet Contingencies in the Dominican Republic

Discussion:

1. *Problem.*

To determine what should be the policy and posture of the United States towards the Dominican Republic with a view especially to preventing, if possible, the establishment of a Castro-like regime in the event of the end or fall of the regime of Generalissimo Rafael Trujillo before the end of 1960.

¹ Source: Department of State, ARA Special Assistant Files, Lot 62 D 24, "Dominican Republic Planning and NSC Briefings 1960." Secret; Limited Distribution. The source text was Tab A attached to a covering memorandum from Hill to Rubottom dated December 3, 1959. It is a summary of a longer paper entitled "Current Policy Toward the Dominican Republic," which accompanied it as Tab B, not printed. In the covering memorandum, Hill suggested a handling procedure whereby Rubottom would review both papers, send the summary forward for approval to Livingston T. Merchant, Under Secretary of State for Political Affairs, and, if approved by him, assign the coordination and implementation of the policy to CMA.

In view of a distinct possibility that the Government of Generalissimo Rafael Trujillo might face a crisis or fall before the end of 1960, it is of great importance that the United States work, without exposing itself to charges of violation of non-intervention commitments, towards assuring insofar as possible that any successor government is reasonably friendly to the United States and in harmony with U.S. objectives for Latin America. In particular, the coming to power during the critical months ahead, of a Castro-like government in the Dominican Republic might very well set in motion a chain reaction, replacing the Government of Haiti and probably one or more governments in the Central American area with governments more in consonance with Castro's way of doing things than ours. Such a development, added to the Panamanian problem, could give rise to a much more serious situation in the Caribbean than we now face and would seriously jeopardize our chances of effectively dealing with the Cuban situation.

It will admittedly be difficult for an experienced leadership friendly to the United States to fill the vacuum in the Dominican Republic if and when the Trujillo regime goes, and we cannot be certain that anything we can do would make such a result certain. The authoritarian regime which has governed the Dominican Republic for a generation has effectively liquidated and enfeebled virtually all potentially rival and democratic leadership while the current 'anti-dictatorship' feelings of Latin American and the inevitable urge to settle old scores upon the exit of the dictator will tend to give an opening to the radial leadership supported by Castro and, in many cases, infiltrated by pro-Communist elements.

There are, however, several factors which give some hope and an opportunity worthwhile taking to reach our goals. Among the professional and commercial classes, including the active student elements, of the Dominican Republic there is growing determination to take action to supplant the Trujillo regime with a more democratic regime which would, however, not be patterned on, or susceptible to guidance from, Castro. These elements are usually friendly to the United States, although of late there has been growing resentment against us for not playing a role in overthrowing Trujillo. Certain elements among them think they have, or are working on obtaining, military support and may if they can get organized make an attempt to overthrow the government at an early date. Whether or not this attempt takes place or succeeds, it is primarily to this group that we must look for a government in accord with our interests because (a) at present, in the event of the death, incapacity, assassination, or overthrow of the Generalissimo, it appears improbable that his regime can long be successfully carried on by any member of his family or other strongmen, and (b) the more

radical leadership, now represented by Dominican exile organizations in Cuba, Venezuela and elsewhere, would be unlikely to establish a government in accord with our interests.

The period of greatest danger, as it appears now, will be in the next ninety days when deteriorated economic conditions will coincide with the fear of moderate ant-Trujillo elements that if they do not move quickly they might be discovered and liquidated. Should the Generalissimo survive and weather this period, the prospect is fair that there will be time for a stronger and better organized moderate group to prepare itself to step in at the time of his eventual exist.

2. Proposed Policy.

The essentials of the policy towards the Dominican Republic which, with your approval, would guide us through 1960 would be:

a) In the event that the Generalissimo survives this period, maintain our official contacts with his government at their present almost minimal level while discreetly expanding our contacts with moderate elements and orienting our policies, actions and statements primarily towards encouraging them to be prepared to establish a successor government friendly to us and our objectives.

b) In the event that an attempt is made to install a government bringing to power members of Trujillo's family or clique upon his leaving the scene, recognize that such a government is unlikely to achieve stability and withhold recognition or support until it is clear that there is a reasonable chance of stability and/or a significant number of other American Republics extend recognition on their own initiative, meanwhile also orienting ourselves so as to encourage the moderate elements.

c) In the event of a seizure of power by moderate elements with a reasonable chance of success, be prepared promptly to extend recognition and support and to exercise our influence to encourage the new government to oppose infiltration by pre-Castro and pro-Communist elements.

d) In the event of a take-over by pro-Castro or pro-Communist elements, withhold recognition as long as there might be hope for an immediate counter-move by moderate forces but, if this does not materialize, extend recognition in concert with the other American Republics but continue to orient our policies, actions and statements so as to encourage moderate elements.

Recommendations

That you approve the policy outline in paragraph 2 above for the general guidance of the Department, other agencies concerned, and the American Ambassador at Ciudad Trujillo, in which event I

would send out more detailed implementing guidance as shown in the enclosure.² It is understood, of course, that the rapidly developing situation might require review and revision of these estimates and guidance at any time.³

² Not printed.

³ A notation on the source text indicated that Dillon approved and initialed this memorandum on December 17, 1959.

DR-10. Memorandum of Discussion at the 432nd Meeting of the National Security Council¹

Washington, January 14, 1960

4. U.S. Policy Toward the Dominican Republic (NSC 5902/1)²

Mr. Gray³ said the State Department had requested that this subject be considered by the Council on the basis of a presentation by the Department. He called on Mr. Merchant.

Mr. Merchant said the U.S. objective in the Dominican Republic was to seek to ensure that if the present regime in that country falls, the successor regime will be friendly to the U.S. We want to neutralize the ability of Cuba to influence any post-Trujillo regime. There appears to be little prospect of a Communist take-over in the Dominican Republic, although an internal revolution against Trujillo is possible. A post-Trujillo government sympathetic either to Castro or to Communism

¹ Source: Eisenhower Library, Whitman File, NSC Records. Top Secret. Drafted on March 31, 1960, by Marion W. Boggs, Deputy Executive Secretary, National Security Council. The portions omitted from this memorandum cover the following agenda items: "1. U.S. Policy Toward South, Central and East Africa," "2. Significant World Developments Affecting U.S. Security," "3. U.S. Policy Toward Cuba," "5. Prevention of Unauthorized Disclosure of NSC Documents and Deliberation," and "6. The Situation in Iraq." In preparation for the NSC meeting, Rubottom transmitted to the Acting Secretary, under cover of a memorandum dated January 13, 1960, a "talking paper" containing the rationale for the U.S. position on the Dominican Republic and a copy of the policy guidelines approved by Dillon on December 17, 1959, printed as Document DR-9. (S/P-NSC Files, Lot 62 D 1, "Cuba and the Dominican Republic")

² Reference is to the NSC paper titled "U.S. Policy Toward Latin America," February 16, 1959. See *Foreign Relations, 1958-1960*, Volume V, American Republics, Document 11.

³ Gordon Gray, Special Assistant to the President for National Security Affairs.

would be dangerous from the point of view of the U.S. Our objective in the Dominican Republic, however, is difficult of attainment because moderate elements who have opposed Trujillo are widely dispersed so that the only active anti-Trujillo groups in the area at the present time are either Communist or Communist-infiltrated. There are some elements of hope in the professional, business and academic groups. Our actions in the months ahead will be designed to coalesce these groups. Mr. Merchant then read a statement that he characterized as internal policy guidelines: (1) in the event Trujillo survives, maintain present official contacts with the Dominican Republic and expand our contacts with moderate elements in the country prepared to establish a successor government; (2) if an attempt is made to bring a Trujillo clique into power upon the disappearance of Trujillo, recognize that such an arrangement has little chance of achieving political stability; (3) in the event of a seizure of power by moderate Dominican elements, extend prompt recognition and support to the new government; (4) in the event a pro-Castro government succeeds Trujillo, withhold U.S. recognition if any hope exists for a counter-move against such a government, but if no such hope exists recognize the new government in concert with other Latin American republics.

Mr. Rubottom said there had been a surprising coalescence in the Dominican Republic of moderate elements friendly to the U.S. and convinced that a move against Trujillo must be made soon. Trujillo has been trying to consolidate his position and has split with his son, a development which may be the prelude to further repressive moves. Mr. Stans⁴ asked whether there was not a military assistance program of \$1.6 million for the Dominican Republic. Mr. Rubottom said that actually less than \$400,000 worth of equipment had been sent under this program. Any new military assistance program would be confined to spare parts. The Vice President⁵ said that bad as the situation was in the Dominican Republic, he felt the situation in Haiti was even worse. It seemed to him that the situation in Africa was similar to the situation in Haiti. Mr. Dulles said the situation in Africa was worse than in Haiti.

The National Security Council:

Noted and discussed the subject in the light of an oral presentation by the Department of State.⁶

⁴ Maurice H. Stans, Director, Bureau of the Budget.

⁵ Richard M. Nixon.

⁶ This paragraph constitutes NSC Action 2178.

DR-11. Editorial Note

Large numbers of Dominicans were arrested in January 1960 on charges of conspiring to overthrow the régime of Generalissimo Trujillo. In telegram 396 from Ciudad Trujillo, January 25, 1960, Ambassador Farland advised the Department of a proposal received from the Papal Nuncio Lino Zanini, that they present Trujillo, with a note verbale requesting general clemency for the Dominican political prisoners. The telegram stated further that Farland advised the Nuncio of the delicacy of the United States position regarding non-intervention in the internal affairs of other nations. The telegram concluded, "However, I assured Nuncio that if circumstance propitious, prior my departure. I would informally express to GODR principles involved aforesaid note in context hoped for diminution Caribbean political problems." (739.00/1-2560) In telegram 367 to Ciudad Trujillo, the Department commended Ambassador Farland for his handling of the approach by the Papal Nuncio. The telegram stated further, "Should opportunity arise, Department would not object to Ambassador's informal approach (independent of Nuncio's) appropriate GODR official in most discreet way pointing out that while U.S. strongly adheres to non-intervention principle it is concerned with problem of possible general amnesty for humanitarian reasons and from point of view of reduction of tensions in area." (739.00/1-2560)

On January 31, 1960, a pastoral letter from the six Roman Catholic bishops in the Dominican Republic was read in all Dominican churches. This letter reaffirmed the rights of freedom of conscience, the press, and assembly, stressed the Church's determination to alleviate the suffering of the Dominican people, and urged Generalissimo Trujillo to end the excesses which plagued the nation. On March 3, in response to this pastoral letter, Trujillo stated that he could not interfere with the judicial proceedings then underway, but added that he would free all women held prisoner under the conspiracy charges.

In a synopsis of State and Intelligence material reported to the President, dated March 10, John S. D. Eisenhower stated, "There is no prospect for an early improvement in the deteriorating church-state relations in the Dominican Republic which have contributed to a serious weakening of the Trujillo dictatorship. The church leaders' demand for clemency for political prisoners has not been satisfied by Trujillo's 3 March statement." (Eisenhower Library, DDE Diaries)

On February 15, 1960, the Council of the Organization of American States adopted a proposal providing for an investigation of the Dominican situation by the Inter-American Peace Committee, which was reactivated at the Fifth Meeting of Consultation of Ministers of Foreign Affairs of the American Republics, held at Santiago in August 1959.

DR-12. Telegram from the Chargé in the Dominican Republic (Dearborn) to be Department of State¹

Ciudad Trujillo, February 9, 1960, midnight.

431. Today I accompanied Senator Smathers² to remarkable interview with Generalissimo. Also present were President Hector Trujillo, Vice President Balaguer, Secretary De Moya, William D. Pawley, and three members Smathers' party.

Senator initiated substance conversation by expressing appreciation for Generalissimo's support in United Nations generally and particularly against international Communism. Said he recognized Trujillo had long been friend of United States. Generalissimo thanked Senator and remarked he would appreciate a little help now and then in his fight against Communists. Senator continued he well knew Generalissimo had done great deal for his country in many ways and compared progress now evident in Dominican Republic with situation here prior to Trujillo's time. Senator remarked that bearing in mind friendship which he had for Trujillo and former's respect for accomplishments already made, Senator would like see him rise to even greater eminence. Said it seemed to him Trujillo had opportunity rise to heights and fame unparalleled by any past or present Latin American Dictator. This opportunity was to arrange while still alive for transition to moderate democratic government. Senator noted all men had to die sometime for one reason or another and this would have to happen to Generalissimo eventually. What Smathers feared was that when that event occurred enemies of United States and Dominican Republic would rush in during confusion as occurred in Cuba and that Castro type government which neither United States nor Generalissimo would like would take over. Generalissimo's comment was he did not believe his people so stupid as to accept such government. He noted there was President and Vice President and line of succession was therefore fully arranged. Commented he not even in line. Not allowing subject become diverted Smathers and Pawley both urged Generalissimo to begin promptly steps toward democratic government by holding free municipal elections. Generalissimo said there would first have be constitutional reforms but he would hold such elections within one year. Smathers asked if he might say this to press on leaving interview and Trujillo gave his assent.

¹ Source: Department of State, Central Files, 739.00/2–960. Confidential; Priority. This telegram was sent in two sections.

² George K. Smathers (D-Fla.) visited the Dominican Republic.

Pawley interjected that one political fact was Dominican people for most part were for their chief. Outside world did not understand government by parties was not possible here under circumstances because Dominicans desired one party. Generalissimo agreed saying he had invited formation opposition parties but invitation had not been accepted—not only had he done this recently but also at other times in past. De Moya pointed out next national election for President would come in 1962 and that popular surge had already begun for Generalissimo to be candidate latter nodded and remarked he had refrained from saying he would or would not run.

Pawley then brought up subject of recent wave arrests here and called attention to strong effect this having in other countries against Dominican Republic particularly in press. He suggested that those apprehended for plotting against GODR had proved be misguided youths and they should not be treated as hardened criminals. United States and many other countries would not understand their being treated as such. Generalissimo remarked those held were being tried according to Dominican judicial system. He stated that they would have right of appeal and that until action in legal channels had been completed he would not feel free to intervene. Pawley interposed he knew Dominican juridical system to be excellent and to be much like our own except there was no jury trial. Senator Smathers said he knew nothing about judicial process here but if this so he was making proposal that in order convince outside world justice being done in Dominican courts some distinguished jurist such as District Attorney Envin of Florida be asked come to Dominican Republic to witness trials. Generalissimo said he would welcome such jurist in Dominican Republic for this purpose. Pawley at first opposed this suggestion on ground no other government would permit such thing but withdrew in face reply by Smathers that other governments had better press than GODR and part of problem was to convince press GODR was dealing justly. Generalissimo then told stories about two past Dominican Presidents who had been killed by persons whom they had trusted and favored. With this in mind he confessed he was motivated by desire not to be killed.

Following interview Generalissimo ushered all present to Chapel on Palace grounds and with usual skill at such operations managed have pictures taken being godfather to dozens of babies while accompanied by Smathers and United States Charge d' Affaires.

Considering that obvious purpose was to publish pictures showing Trujillo, United States and Catholic Church as happy triumvirate and considering this scene somewhat less than accurate as Department will appreciate from Embassy's previous reporting this is one I preferred to duck but there was no escape.

My understanding is Pawley, Smathers and De Moya expect be in Washington toward end of week and Pawley plans call on President with Smathers to urge revised policy toward Trujillo. Their basic position is Generalissimo is bad actor in many ways but is with us against our Communist enemies and so should be guided and supported by United States rather than snubbed.

Smathers called impromptu press conference following talk with Generalissimo, reporting material covered this message. In attendance were representatives United States and French press services, *New York Times*, *U.S. News and World Report*, *London Examiner*, *Miami Herald*, and local press.

DEARBORN

DR-13. Telegram from the Chargé in the Dominican Republic (Dearborn) to the Department of State¹

Ciudad Trujillo, February 11, 1960, 4 p.m.

435. Reference Embassy 431.²

Following are Embassy comments on information reference telegram.

Senator's approach to Generalissimo urging transition to moderate government was extremely well done. It is obvious that to say such things to Trujillo who has little practice in hearing suggestions of this nature took skill and finesse.

Embassy is not optimistic that Trujillo will satisfactorily fulfill any of promises made. He may hold municipal elections but if they are free and democratic Embassy will then admit to being wrong in its prognostication. He may allow jurist to come here to witness trials but Embassy confident he will not see trial such as that February 13 according to eye-witness accused had been subjected to harsh treatment between time of arrest and date of trial and where defense lawyer played microscopic role.

Trujillo's remark to Senator, in Embassy's view showed either complete self-hypnosis or unadulterated cynicism. His remarks about

¹ Source: Department of State, Central Files, 739.00/2-1160. Confidential.

² See Document DR-12.

line of succession and indication he was not even in line avoided main point Senator was making—namely Trujillo alone has run GODR for 30 years and it was time arrange for democratic succession. Trujillo's straight-faced reference to his invitation to opposition to form political parties must have been based on assumption Senator entirely ignorant of history Trujillo regime. Trujillo has cut down his opposition ruthlessly throughout his regime and this largely explains why thousands of Dominicans live in exile and why thousands to Embassy's certain knowledge have applied (without success) for passports to leave. DR. Embassy does not in least agree with Pawley's observation that not possible to form opposition party here because everyone wants Generalissimo. Fear of economic and physical reprisals alone prevent formation of opposition parties especially among business and professional classes and Embassy knows this from those who would form such parties. Entirely possible if all heads in DR voted today peasant vote would still return Generalissimo to office. However, this by no means certain if free opposition political campaigns were allowed, including use of press, radio and television.

Trujillo's indication of fairness of Dominican juridical system can only be justified by technical explanation. This system may be magnificent on the books. Operationally when measured against judicial practices in civilized western nations it is an outrage abounding in trumped-up charges, arbitrary arrests, search without warrant, and inhumane treatment of prisoners.

Embassy believes policy question posed in penultimate paragraph Embassy telegram 431 comes down to decision whether we need Trujillo's help against international Communism sufficiently to support regime characterized by such unsavory practices. In Embassy view it will not be possible guide Trujillo to abandon the practices. Example is that even day after Smathers visit he gave press conference stating pastoral letter of Catholic Church was brought about as reprisal of Church against GODR for allowing freedom for Protestant groups to operate in DR. This is so ridiculous one can only marvel at Trujillo's courage in making the charge. Already evident from this insofar as Smathers approach was invitation toward enlightened government practices, Generalissimo has not yet been converted.

Dearborn

DR-14. Memorandum from the Representative at the Council of the Organization of American States (Dreier) to the Assistant Secretary of State for Inter-American Affairs' Special Assistant (Hill)¹

Washington, March 14, 1960.

SUBJECT

Present Policy toward Situation in the Dominican Republic

The main criticism I have to make about the present policy toward the situation in the Dominican Republic, as I understand it, is that it is essentially negative, whereas under present conditions I believe we need something of a more positive nature.

Under normal conditions, if we had plenty of time to let events take shape, it would be reasonable for us to say that our policy toward the Trujillo regime was primarily to make sure that it was not replaced by a Castro or Communist-dominated group. However, the course of events points in this direction and the pressure is growing all the time. It seems to me, therefore, that we should consider ways and means of encouraging a satisfactory transition from the present regime to one which will work toward the development of democratic procedures and of a means of forestalling the efforts of Castro and others worse.

This, of course, has a bearing upon our position in the Inter-American Peace Committee in regard to the Venezuelan charges against the Dominican Republic as well as with reference to the possible moves in the Committee or other organs of the OAS directed at Cuba.

¹ Source: Department of State, Central Files, 739.00/3-1460. Secret.

DR-15. Memorandum from the Assistant Secretary of State for Inter-American Affairs' Special Assistant (Hill) to the Representative at the Council of the Organization of American States (Dreier)¹

Washington, March 15, 1960.

SUBJECT

Policy Towards the Dominican Republic

While all concerned, including Ambassador Farland, would whole-heartedly agree with the point in your memorandum²—that it would be desirable to encourage a satisfactory transition from the present regime to one which will work towards the development of “democratic procedures”—this has already been considered in very great detail, and the situation *practically* does not exist that this can be done within a period of, say, one year. The ideal is not in-harmony with the facts as they exist and there is, therefore, imposed on us the inescapable necessity over the next year of assigning priorities between our “negative” objective of keeping Castro out and our “positive” objective of working towards a more democratic regime. Unpleasant as it is, we must recognize that we must precariously ride both these horses as long as we can but that, if they come to a parting of the ways when a real possibility of a Castro or Castro-type takeover of the Dominican Republic exists, *we must be prepared to jump solidly on the “stop-Castro” animal.*

With an eye to the longer term—and to death, assassination or revolution this year—we must of course work with all possible assets to assure that a successor government comes in which is friendly to us, stable, and as “democratic” as Dominican realities will permit it to be. This is being done insofar as possible, although we must recognize that our *overt* activities—including those in the OAS—must necessarily be limited by the consideration that we should avoid giving the present government a too rough a shove down until we reach an estimate that this would help achieve a U.S.-oriented rather than Castro-oriented successor regime.

¹ Source: Department of State, Central Files, 739.00/3-2560. Secret.

² Apparent reference to Dreier's memorandum of March 14, printed as DR-14.

We must, at possibly considerable cost, avoid making a wish father to an illusion. The key to the Dominican situation is the growing, so-called “dissident” group of middle and upper middle-class, professional and business people *who are normally U.S. oriented*. Ardently as a quick victory might be wished for them to end their troubles and ours with Trujillo, a very detailed assessment—including a trip I made to consult with Ambassador Farland in Ciudad Trujillo and detailed consultation with all agencies concerned—lead to these conclusions: (a) the “dissident” group *does not now have* the capability or organization to control any revolution it sets afoot, even if it assassinated Trujillo and/or escaped immediate suppression; (b) *it would in any event have to depend on decisive elements of the Dominican Armed Forces—not yet even identified—to maintain control of any revolution and to establish a stable government resistant to Castro and Communism*; (c) such a government if established with the help of the Armed Forces, although less malodorous than the present one, would have to pursue firm internal policies and *would be the object of continuing Castro and Communist attacks as “anti-democratic”*; and (d) unless the U. S. were to decide on more or less open material intervention, it will be many months before any actions of the U. S. could materially alter the situation in favor of the “dissidents” and that premature action on their part subjects them to piecemeal extermination, as so tragically shown earlier this year. It would, in short, be an illusion to think what we desire will be possible any time soon.

In the background, unfortunately, is the necessity for us to choose—if need be—until something better is available, between the continuation of Trujillo and the assumption of power by a Castro-oriented government. This is an extremely ugly choice, and in selecting either we must stay at arms length if possible. However, we must be sensitive to the fact any of our actions which turn out to be more helpful to the assumption of power by a Castro-type government than to a pro-U.S. government would not only prolong the Castro problem and be a severe blow to our security interests but also expose the Department to what might well be the greatest-yet criticism from Congress and public opinion.

DR-16. Memorandum from Edwin N. Clark to President Eisenhower¹

New York, March 21, 1960.

Re: TRUJILLO

A. PROBLEM:

Increasing opposition both from within and without may lead to a collapse of the Trujillo regime in the Dominican Republic. Such a downfall, with bloody, chaotic conditions would bring further trouble for the United States in its relations in Latin America, and might be a prelude to the establishment of another Communist regime.

B. OBJECTIVES:

To induce Trujillo forthwith to take the necessary steps to insure a transition to constitutional government, with the effective prevention of any possibility of the establishment of a Communistic, Castro-like regime. This transition would be accomplished through the good offices of the United States, if possible utilizing the Organization of the American States.

C. BACKGROUND:

1. The dictatorship of Generalissimo Raphael Trujillo has been in power in the Dominican Republic since 1930. During these years, although high standards of living have been created within the republic, Trujillo has amassed a large fortune for the Trujillo family. Most of this fortune is invested within the Dominican Republic, although

¹ Source: Eisenhower Library, Whitman File, Dulles-Herter Series. This memorandum was transmitted to Eisenhower under cover of two letters, both dated March 21, 1960, the first addressed formally to "Dear Mr. President," the second a longer letter addressed to "Dear Ike." In the second letter, Clark stated in part, "You probably remember the various steps which I took in 1955 to receive favors from Generalissimo Trujillo for the United States. Consequently, Generalissimo Trujillo knows that I have the privilege of personal friendship with you. Due to my unique position, I believe that I may, as a private citizen, be able to work out a solution with Generalissimo Trujillo which would redound to the great interests of the United States as well as to the people of the Dominican Republic. If I fail, no harm done, Hence my memorandum to you." (Eisenhower Library, Whitman File, Dulles-Herter Series) The reference to Clark's private services in 1955 is unclear.

The President forwarded Clark's memorandum to Herter under cover of a letter dated March 21, 1960 which stated in part, "Please let me know what you think about the matter. I suppose that Rubottom ought to be the one to study this, but I would like to keep it as confidential as possible." (Eisenhower Library, Whitman File, Dulles-Herter Series). A handwritten notation on the source text indicated that it was shown to Rubottom on March 22, 1960.

substantial sums are believed to be held by members of the family outside the Dominican Republic.

2. The climate for dictators has materially worsened in recent years. Trujillo knows his days of power are numbered. Further, he knows that no member of his family has the ability to continue the dictatorship. Trujillo desires to retire but, like all dictators, is in a quandary as to how to do it.

3. Trujillo is a man of great pride and of great love of his country, his people and his family. Trujillo desires when he passes from the scene to insure the continuance for his people of their high standards and to assure for himself in history the role of "El Benefactor." On the other hand, with his love of his family, he seems to be equally determined to provide for the future welfare and safety of his family and of the members of his government. It is highly doubtful that he will voluntarily surrender power unless he can achieve both these goals.

4. Although Trujillo has promised to hold free municipal and national elections within one year and two years, respectively, there is a strong possibility that he may be overthrown before elections can be held unless he takes positive actions to convince the opposition that he sincerely intends to permit the establishment of constitutional, democratic government.

5. If Trujillo should abdicate or be overthrown unexpectedly, there is a strong possibility that bloody, chaotic conditions would prevail for an indefinite period unless steps are taken now for the prevention thereof. Possibly a radical, anti-United States, pro-Castro government would be established to replace Trujillo. Such a regime probably would kill or imprison the Trujillo family and friends, confiscate and nationalize all of Trujillo's extensive commercial Dominican enterprises as well as foreign-owned Dominican business enterprises, without compensation. Nationalization of the economy would seriously jeopardize any United States efforts to encourage free enterprise concepts, and Communistic practices might be firmly established.

6. In order to forestall bloodshed, chaotic conditions and the possible establishment of a Communistic government in the Dominican Republic, it would be extremely desirable, if possible, to induce Trujillo to retire, to establish a provisional government in such a manner as would insure an orderly transition to a democratic form of government and, finally, to provide for elections within a reasonable period after his retirement.

D. CONCLUSIONS:

1. I believe there is a possibility that I may be able to induce Trujillo to retire in a manner which would be beneficial to the United States. Trujillo knows better than anyone the foregoing facts. He has already

indicated that he desires to retire if a way can be found to accomplish it. I believe a simple but rather ingenious way could be found to accomplish this result by the creation of a philanthropic foundation to which Trujillo and his family would transfer the assets of himself and his family within the Dominican Republic, which holdings would be administered for the benefit of the Dominican people.

It is highly probable that any new regime in the Dominican Republic would confiscate the Trujillo family's local assets and would attempt to seize any other assets outside the Dominican Republic as they were able to obtain. Therefore, in the plan for retirement and the transition to a constitutional form of government, most of the factors which would provoke bloodshed and chaos could be removed if Trujillo voluntarily turned over to a foundation to be used for the good of the Dominican people the bulk of his fortune and if at the same time peaceful conditions within the Dominican Republic were safeguarded by the good offices of the United States and the Organization of the American States.

2. The foundation hereinabove referred to should be administered by internationally known United States and Latin American citizens for the benefit of the Dominican people. Tentatively, the following names have been suggested for trustees:

Ex-Presidents Hoover and Truman of the United States;²
 Ex-President Eduardo Santos of Colombia;
 Ex-President Galo Plaza of Ecuador;
 President Kubitschek of Brazil (whose term expires this year);
 Pedro Aramburu, former Provisional President of Argentina;
 Ex-President Ruiz Cortines of Mexico; possibly Raphael Trujillo himself.

3. The Trujillo family and their friends might be given asylum in the United States during the establishment of this plan and until it became evident that their return to the Dominican Republic would not be an act provocative of bloodshed. When the plan was once established and a peaceful transition to constitutional government was assured, members of the Trujillo family might then return to the Dominican Republic. However, it might well be that they would prefer to seek permanent homes elsewhere.

4. Naturally, all of the foregoing steps would have to be taken in the utmost secrecy. Further, to be successful, the good offices of the United States would have to be utilized. In all probability the forum at which this plan would be announced would be the Organization of the

² The phrase, "President Eisenhower after 1961," was lined out by the President at this point in the source text.

American States so that its good offices also could be utilized in guaranteeing an orderly transition.

E. ACTION:

1. I intend to discuss the foregoing with Generalissimo Trujillo in an endeavor to bring about his retirement in a manner which would insure a peaceful transition to democratic government. Naturally, I would refrain from such action if you did not desire it.

2. The foregoing plans and the implementation thereof are of importance to the United States. Therefore, I greatly desire to discuss these plans with the appropriate officials of your government, primarily Allen Dulles, prior to my departure for the Dominican Republic.

Respectfully submitted,

Edwin N. Clark

DR-17. Memorandum of a Conference with President Eisenhower¹

March 1960.

OTHERS PRESENT

Secretary Herter
Mr. Allen Dulles
General Goodpaster

The President then discussed with Mr. Herter and Mr. Dulles questions raised by a recent memorandum of him from Ed Clark.² [*text not declassified*]³ There have apparently been serious atrocities by the Trujillo regime in recent days. The people around Trujillo are turning against him. Trujillo's family has taken large sums of money out of the country in recent days. [*text not declassified*] that regime may last as little as three

¹ Source: Eisenhower Library, Staff Secretary's Records, "State [illegible in the original]." Drafted by Goodpaster [illegible in the original].

² See Document DR-16.

³ [illegible in the original], Ambassador to Peru, [illegible in the original], and to Brazil [illegible in the original]. In a memorandum to Secretary Herter, dated March [illegible in the original], 1960, Merchant [*text not declassified*] [illegible in the original]. According to the memorandum, [illegible in the original] stated that he now gave Trujillo only one to three weeks to [illegible in the original]. He added that he thought Castro would be in the Dominican Republic a week after Trujillo's fall. ([illegible in the original])

weeks. *[text not declassified]* fearful that Castro or someone committed to Castro will come into power soon thereafter. We have no moderate substitute for Trujillo available. *[text not declassified]* considerable merit in getting Trujillo out of the country and trying to make a transition to some other government.

Mr. Herter also thought that on the whole course of events favored by Mr. Clark seemed worth trying. He said we should not offer Trujillo asylum in the U.S.

The President said that if Clark takes a part in this, he should not say that he has any authority from the President, or has even seen the President lately. *[text not declassified]*

[text not declassified] The President said the project might go ahead. It should be kept secret, and that Clark would be acting on his own. *[text not declassified]*

DR-18. Memorandum from the Director of Intelligence and Research (Cumming) to the Secretary of State¹

Washington, March 25, 1960.

SUBJECT

Intelligence Note: Dominican Republic—Political Situation

A rising tide of discontent—the first serious threat to the rule of Generalissimo Rafael Trujillo—has been spreading through the Dominican Republic's influential commercial, professional and intellectual classes for several months, and has even begun to penetrate the urban and rural lower class, heretofore a Trujillo stronghold. Arising largely from an economic crisis caused by low export prices and the tremendous drain of foreign exchange into Trujillo's frantic arms-purchase program, this discontent is reinforced by a virtually complete lack of civil liberties. Opposition feeling came to a head in January with the exposure of a conspiracy to assassinate the Generalissimo and seize power. He retaliated with a wave of political arrests, totaling in the thousands, which still continues. Concentrated chiefly in the influential middle classes, the repression has left virtually no Dominican family of any prominence untouched. The arrests have stiffened opposition

¹ Source: Department of State, Central Files, 739.00/3-2560. Confidential.

sentiment, especially as news of the prisoners' mistreatment leaked out. At this juncture, the Church issued a strongly-worded pastoral letter on January 31 condemning violation of civil liberties and calling for release of the prisoners. Trujillo, unwilling to back down or to cross the Church, adopted a temporizing stance. The Church, however, remains adamant and has issued a second forceful pastoral letter.

The Generalissimo is thus at an impasse: any real concessions on his part could be regarded as a sign of weakness and encourage further demands; yet only some degree of real political freedom will now remove the opposition feeling which threatens his regime. Although it is probably even now not too late for the self-styled "Benefactor" to resolve this political tension by making a grand gesture of renunciation, his pride and stubbornly unyielding nature, typical of the dictator, militate against any such solution. The current impasse will thus probably continue until Trujillo's regime suddenly shatters from the strain of its own inner tensions. While neither the date nor the manner of such collapse can be predicted, it is clear that the regime's prospects have materially declined since last December, when the belief was expressed in a National Intelligence Estimate that Trujillo would remain in power through 1960.² An increasing number of local observers claim that the nation will soon experience a total economic collapse. According to recent reports, as yet unconfirmed, members of the Trujillo family have made massive withdrawals (one report sets the figure at \$46 million) from the government Reserve Bank although it is not considered likely that the Generalissimo himself will flee.

In typical strong-man fashion, Trujillo has not permitted the development of any alternative leaders. The military does have its share of ambitious men, but none with the reputation or personal following to lead a one-man government. It will, however, remain the locus of power in the Dominican Republic and will be the key to success for any new regime—unless the services are torn by an armed factional struggle, in which case there may well be no effective government at all. The attitude of the military in general, or of its key leaders, is not definitely known. Many of the younger officers and at least some senior officers are reportedly sympathetic to the opposition, although the bulk of the military is probably loyal. However, the military will not follow Trujillo blindly to self-destruction. At some time in the not-too-distant future, Trujillo's cause may well appear lost and he could be turned out with his family in relatively bloodless fashion by his Generals.

The nature and viability of a successor administration are difficult to predict. Dissident sources have proposed a predominantly

² Reference is to SNIE 80/1–59, "The Situation in the Caribbean Through 1960," December 29, 1959. See *Foreign Relations, 1958–1960, Volume V, American Republics*, Document 126.

civilian provisional junta, to be composed of one high military figure, a respected civilian, and a high Church official as leader. The participation of the military and the leadership of the Church should insure a relatively stable and conservative government to which anti-Americanism would not be a major issue. Although the appeal of Castro and of his leftist radicalism is not now strong in the Dominican Republic, much leftist sentiment is concentrated among the exiles, who include some Communists and sympathizers. Their influence in a successor regime would not at first be important but many local observers predict that any new administration would soon collapse, amid bloody disorder. Radical sentiment would surely develop in such a milieu, and intervention, in one form or another, by the Castro regime in favor of a leftist faction or leader must be considered a possibility.

DR-19. Memorandum of Discussion at the 441st Meeting of the National Security Council¹

[Extract]

Thursday, April 14, 1960.

Mr. Dulles reported that in the Dominican Republic, Trujillo's position continued to weaken and was now quite precarious.² The wholesale arrests ordered by Trujillo last winter had affected almost every

¹Source: Eisenhower Library, Whitman File, NSC Records. Top Secret. Extract. Drafted by Marion W. Boggs. The extract printed here is the portion pertaining to the Dominican Republic from combined agenda items 1, 2, and 3: "Significant World Developments Affecting U.S. Security", "U.S. Policy Toward Cuba", and "U.S. Policy Toward the Dominican Republic." Also omitted was agenda item 4, "Future NSC Agenda Items."

²At the 440th NSC meeting, April 7, 1960, General Charles P. Cabell, Acting Director of Central Intelligence, and Under Secretary Dillon made brief statements about the Dominican Republic. Cabell stated, *inter alia*, that Trujillo's position continued to grow weaker, and Dillon commented that "Trujillo may fall before our policy of building up moderate successor elements has had time to succeed." According to the memorandum of discussion at that meeting, drafted by Boggs, the NSC:

"Noted and discussed the statement by the Under Secretary of State that the position of the Trujillo regime is deteriorating more rapidly than was anticipated at the time of the Department of State presentation on January 14, 1960 (NSC Action No. 2178). Therefore, alternative policies in the event of an early collapse of that regime were being actively considered by the Department of State, and would be the subject of consultation with the Department of Defense and the Joint Chiefs of Staff." (Eisenhower Library, Whitman File, NSC Records)

This action, approved by the President as NSC Action 2212, was subsequently transmitted to the Secretaries of State and Defense.

prominent family in the Dominican Republic. Although these arrests had broken up the plotting against Trujillo, they had at the same time weakened the dictator's position. Mr. Dulles thought that further attempts would be made to kill or oust Trujillo. Relations between the government and the church were rapidly deteriorating. Mr. Dulles pointed out incidentally that the attitude of the church in the Dominican Republic was quite different from the attitude of the church in Cuba. The economic situation in the Dominican Republic was worsening. Business is stagnant and international financial sources are drying up. The government has resorted to various subterfuges in an attempt to improve its precarious financial position. Secretary Gates³ asked whether it was true that Trujillo was one of the richest men in the world, with more money than the Dominican government. Mr. Dulles said this statement was true; Trujillo was reported to have milked the Dominican Republic of \$400 million, an estimate which was probably exaggerated and should be scaled down by one-half or two-thirds. Secretary Anderson said he understood that \$44 million in gold had been recently removed from New York banks by the Dominican Republic and had been placed in the Bank of Nova Scotia. Mr. Dulles said he had a detailed report on the financial situation of the Dominican Republic, all the details of which he would not read. However, it appeared that the Dominican Republic now held \$15 million in gold and that it had incurred a variety of obligations; for example, a \$16.5 million loan from the Bank of Nova Scotia secured by the sugar crop. The Dominican Republic had also drawn \$7 million out of a \$11.5 million credit with the International Monetary Fund. Secretary Anderson said the International Monetary Fund's dealings with the Dominican Republic might present a problem to the U.S. The Dominican Republic now had drawn so much from the Fund that it could only draw in the future \$2 million every 90 days without consulting the Directors of the Fund. If the Dominicans should want to draw more than \$2 million every 90 days, the question would arise as to how the U.S. Director should vote when the Dominican Republic undertakes the necessary consultation with the Fund.

Mr. Dulles continuing his briefing, reported that Trujillo, apparently not realizing his position, is not anticipating an early fall from power and is apparently not planning flight. The Dominican military forces have apparently been repelled by the excesses in Cuba and may believe they will be compelled to act against Trujillo before the radical pro-Castro elements, which are daily increasing in strength, take over the government. If there is a gap between the departure of Trujillo and the establishment of the new regime, the radical pro-Castro elements might have an opportunity to seize power. If the army does not hold off these radical elements, a period of chaos might ensue. Mr. Dulles believed that Trujillo's

³ Thomas S. Gates, Jr., Secretary of Defense.

downfall might not occur for weeks or even months but, on the other hand, the situation might become critical at any moment.

The Vice President wondered whether the worst outcome of the situation in the Dominican Republic would not be a take-over by the pro-Castro elements. He also wondered whether we were doing everything possible to support other elements. Mr. Dulles said the difficult question was that of leadership of moderate elements in the Dominican Republic. The vice president of the Republic might be able to assume power or the principal military officers might govern through a military junta. Many prominent anti-Trujillo Dominicans were in exile. Mr. Dillon said this government was following the situation in the Dominican Republic closely and intended to try to prevent seizure of power by any pro-Castro group. This would involve working closely with the OAS. The Vice President believed that we could not let Castro or a pro-Castro group take over the Dominican Republic even if we had to intervene in order to prevent such a takeover. Mr. Dillon felt that in order to intervene we would need an invitation. The Vice President feared that the old story was being repeated in the Dominican Republic; that is, the pro-Castro element was the only minority group with strong leadership and definite objectives. Mr. Dulles said there was a group in Venezuela which would like to move into the Dominican Republic and take over the government. Mr. Dillon believed the Castro element in the Dominican Republic was not strong enough to assume control of the government without support from Cuba. It was, accordingly, very important that the U.S. be prepared for rapid action. The Vice President agreed that it was very important that the U.S., if necessary, take rapid action to prevent any move by Castro to seize power in the Dominican Republic.

Mr. Dulles said the situations in Haiti and Venezuela were being affected by the situations in Cuba and the Dominican Republic. Betancourt, it is reported, has made a deal with the army whereby he will abandon government by coalition, will rule Venezuela with his own party supported by the army, and will take action against the communist movement. However, it is possible that the communists know of his plans and may take action to thwart them.

Mr. Dillon said there was one favorable aspect to the situation in the Caribbean. If Trujillo could be removed from power in the Dominican Republic while pro-Castro elements were prevented from seizing power in that country, our anti-Castro campaign throughout Latin America would receive a great boost. The Vice President agreed that getting rid of Trujillo would be a favorable development for us.⁴

⁴ In NSC Action 2218, taken at this meeting, the NSC:

"Noted and discussed recent developments with regard to the situation in the Dominican Republic, with particular reference to the importance of seeking to prevent anti-Castro and anti-American elements from seizing power in the event of the collapse of the Trujillo regime."

DR-20. Editorial Note

In a letter to President Eisenhower, dated April 21, 1960, Edwin N. Clark reported on his conversation with Generalissimo Trujillo on March 27 in the Dominican Republic. The letter stated in part, "I believe we can conclude that a) Generalissimo Trujillo is in real trouble and he knows it best of all; b) he desires to retire but at this moment does not quite know how to bring it off, and c) although Trujillo is disappointed that he has received no assistance from the United States in his present difficulties, he has not yet reached the point where he is resentful or angry at having to go it alone; however, these emotions, further aroused by the pressure of events, may create an increasingly deteriorating situation so far as we are concerned." (Eisenhower Library, Whitman File, Name Series, "Clark, Edwin Norman")

Clark discussed the situation in the Dominican Republic with the President and Secretary of State Herter at the White House on April, 25, 1960. According to a diary entry for that day, dictated by Eisenhower, the three men discussed "a plan for removing Trujillo from control of that country, and to establish in his position a controlling junta which could immediately call for free elections and make the attempt to get the country on a truly democratic basis. Any plan to be successful would have to be skillfully executed and would have to have the approval of a big majority of the members of the OAS. However, the Secretary of State has undertaken to follow through to determine whether something could be done that would not plunge the country into anarchy or throw it under communist control. Necessarily the plan should be one that would not place the United States in the role of 'interventionists'." (Eisenhower Library, Whitman File, Whitman Diary)

DR-21. Special National Intelligence Estimate¹

Washington, April 26, 1960.

SNIE 86.2-60

THE OUTLOOK FOR THE DOMINICAN REPUBLIC**THE PROBLEM**

To estimate political prospects in the Dominican Republic in the light of recent developments.

THE ESTIMATE**The Trujillo Regime**

1. In our last estimate dealing with the Dominican Republic (SNIE 80/1-59, 29 December 1959, paragraphs 7, 53-60) we stated that the 30-year Trujillo dictatorship was in trouble, but concluded that it probably would remain in power through 1960. Since then anti-Trujillo sentiment has gathered momentum and the regime's prospects have materially declined. We cannot predict the time or the circumstances in which the regime would be likely to come to an end, but this could happen before the end of the year.

2. A notable change in the country's political atmosphere has developed since the wholesale arrests in January, in which members of almost every prominent Dominican family were seized, in many cases with great brutality, and subjected to heavy fines and jail sentences. Drastic action may in fact have been necessary to break what appears to have been an extensive revolutionary conspiracy; precise information as to how far plotting to overthrow Trujillo had proceeded is still lacking. However, the magnitude and severity of the government's crackdown revealed the regime's nervousness, made it more intolerable to leading elements in Dominican society, and alienated the Catholic Church. The latter is now Trujillo's most outspoken opponent inside the country.

3. Continuing arrests and new trials of alleged plotters suggest that public unrest is spreading. Within the armed services, which remain the mainstay of the regime, a few new signs of rivalry and dissension have appeared; six army officers have been imprisoned and an air force officer is the latest in a series of defectors. The arrest of close relatives

¹ Source: Department of State, INR-NIE files. Secret. According to a note on the cover sheet the following organizations participated in the preparation of this estimate: the CIA and the intelligence organizations of the Departments of State, the Army, the Navy, the Air Force, and the Joint Staff. The U.S. Intelligence Board concurred in this estimate on April 26, 1960.

of high-ranking officers and some terrorist activities directed against individuals in these forces are probably also having an adverse effect on their loyalty to Trujillo.

4. Since our previous estimate, the economic situation has deteriorated further. Business is stagnant, and an increasing number of people are suffering economic hardship. In addition to some flight of private capital, members of the Trujillo family are reported to have made substantial withdrawals from the national reserve bank—a development which might seriously weaken the government's financial position. Even if these reports prove unfounded or exaggerated, the spread of rumors that such withdrawals were taking place would obviously contribute to a decline in public confidence in the regime.

5. On the other hand, Trujillo himself shows no signs of relinquishing control, and there is no information to indicate that discontent in the military is wide-spread. The plans of the internal opposition probably have been set back by the regime's repressive measures. The numerous exile groups lack cohesion and effectiveness, despite the encouragement and support given them, not only by Castro, but also by moderate leaders such as Venezuelan President Betancourt. There are deep divisions between pro-Communist and anti-Communist elements within these groups.

The Succession

6. The character of the regime which will eventually succeed Trujillo will depend upon the time and circumstances of Trujillo's departure. In present circumstances, we think it unlikely that Trujillo will be overthrown by a Castro-type invasion or revolution. It is more likely that Trujillo will eventually be forced to leave by the military acting with the encouragement and support of the upper and middle classes and the Church. The longer his departure is delayed, the more explosive the situation is likely to become.

7. Castro has already failed in an attempt to overthrow the Trujillo regime through an invasion by Dominican exiles with Cuban support. His agrarian reform program has had no appreciable impact on the Dominican peasantry, who remain generally unaware of it. They generally still regard Trujillo as the Benefactor. The upper and middle classes, though increasingly disaffected toward Trujillo, are repelled by the excesses of the Castro regime in Cuba. The military also are repelled by what they have seen happening in Cuba. Thus there is now in the Dominican Republic no important element likely to support a Castro-type invasion or revolution.

8. Nevertheless, tension is rising in the Dominican Republic and the eventual fall of the Trujillo regime will be increasingly anticipated. In such circumstances, persons of property and military officers, apart from Trujillo's personal associates, will become increasingly anxious to

effect a change of regime before uncontrollable disorder develops. At the psychological moment in this progression, it would be in accord with Latin American custom for the military to call upon the dictator to depart before the situation got out of hand. In such matters, however, timing is of the essence. A premature move could be fatal. On the other hand, to hesitate too long would permit an uncontrollable situation to develop.

9. If its timing were right, a junta with military, upper and middle class, and Church participation could probably take over the Dominican Republic without serious resistance. Such a junta would probably also take over in the event of Trujillo's flight, natural death, or assassination. Once in power, however, such a regime would face serious difficulties. The fall of the dictatorship would entail a considerable amount of disorder and confusion. Although its fall would mean liberation to the upper and middle classes, the new regime would not automatically command the support of the urban proletariat and the peasants. Returning exiles, who are generally radical in their political views, would probably seek to incite these elements against a moderate government. Within the government itself, there might be a struggle for power between military and civilian elements. Finally, the Trujillo family has so dominated the Dominican economy that the confusion attendant upon their sudden departure would probably worsen an already bad economic situation.

10. Although Castro is probably incapable of overthrowing the Trujillo dictatorship, the political turmoil which would follow the fall of that dictatorship would afford him opportunities for political intervention in the Dominican Republic. Castro would certainly do all in his power to incite the masses against a moderate regime and to call for a radical revolution on the Cuban model. Unless a moderate Dominican government received prompt support from sympathetic governments of an undoubtedly liberal character (Venezuela, for instance), Castro might emerge as the ultimate victor.

U.S.-Dominican Relations

11. The fall of the Trujillo regime would present new problems in U.S.-Dominican relations. Even among moderate opposition elements, there is considerable resentment of past U.S. support for and failure to intervene against the Trujillo dictatorship. Furthermore, almost any new regime would feel a need to demonstrate to the Dominican people and to other Caribbean peoples that it was not under U.S. domination. However, a moderate government would also be in desperate need of U.S. assistance. If the U.S. were to render essential aid discreetly, while tolerating occasional demonstrations of Dominican sovereignty, such a government would probably cooperate in fundamental matters. If, on the other hand, a Castro-type government were eventually to come to

power, the U.S. would inevitably be presented with problems similar to those it has with Cuba.

12. The Trujillo government has declared that it will not renew its missile tracking station agreement with the U.S. at its expiration in 1961. This may be an attempt to extort U.S. support for the regime in its present difficulties. If Trujillo should fall before the expiration of the agreement, the attitude of a successor regime would depend on the contingencies set forth in paragraphs 10 and 11 above. A moderate government would probably feel obliged to demonstrate Dominican sovereignty, but would also be influenced by its need for U.S. aid. A Castro-type government would probably denounce the tracking station agreement.

DR-22. Memorandum of a Conference with President Eisenhower¹

May 13, 1960

OTHERS PRESENT

Secretary Dillon
Secretary Rubottom
Ambassador Farland
General Persons
General Goodpaster

The President began by saying that he was being bombarded by people who are opposed to Castro and Trujillo. Mr. Pawley and Senator Smathers were in his office earlier in the day on this matter. Smathers has an idea that Trujillo wants to get out, and that this can be arranged if we are skillful—i.e. that there can be a changeover without Castro-type forces coming into power. This would, however, take time and care to bring about.

They had added that there now exist juntas with planes already chartered, in Miami, Cuba, Puerto Rico, and Venezuela ready to pounce at the first sign of weakness. They think public opinion toward Trujillo both among the people and in the Army is favorable—that he is regarded as a great benefactor. They see the great danger as being from abroad, a revolutionary movement of the Castro type, linking up with

¹ Source: Eisenhower Library, Staff Secretary's Records. Top Secret. Drafted by Goodpaster on May 16, 1960. Information on the source text indicates that this conference took place in the White House at 2:00 p.m.

some people—definitely in a minority—in the Dominican Republic. The President said their idea is that a group of political scientists, about four in number, of recognized reputation could come into the Dominican Republic and supervise an election. They think that Trujillo should promptly announce the holding of free elections. These men could invite the UN in to observe. The idea is that Trujillo is ready to do this, but first he must be left alone for a while in order to bring it up.

The President went on to say that Mr. Pawley had charged that the U.S. Government is trying to bring about a breaking of relations of Peru, Colombia, and Venezuela with Trujillo. They claim it must be recognized that Trujillo has brought stability and progress to the Dominican Republic. The President said that Pawley seems to have a pathological hatred for Castro. Senator Smathers is genuinely concerned over the whole situation. The critical thing seems to be their idea that Trujillo must announce elections and govern until a new group comes in, with the UN or the OAS supervising these elections. The President thought the State Department should keep this matter under the closest attention, and should definitely not engage in trying to stir up other Governments against Trujillo.

Mr. Dillon said one of the primary questions is whether in fact Trujillo is ready to step aside. He told the President of a report [*text not declassified*] Trujillo, [*text not declassified*] would not step aside, and in fact did not plan to retire “before the year 2000.” Trujillo had said that when Senator Smathers was there he talked only in a very rambling way about elections, which Trujillo had planned long ago. Mr. Dillon said the point is that we are fearful that Trujillo will not hold fair elections and we do not want our Government associated with some farce. He went on to say that we had nothing to do with the breaking off of relations with Trujillo by Latin American countries. Colombia and Venezuela have done it because he fostered the invasion of Venezuela. Mr. Rubottom stated also that we had nothing to do with the breaking off of relations. He added that the Colombians make the point that having done this they are in a better position to break off relations with Cuba later.

Ambassador Farland then said that Mr. Pawley is not disinterested in this matter. He had disposed of his holdings, but retains a right to reacquire them. In addition, a brother continues to retain major holdings there. Mr. Farland said that he had tried to get Trujillo to step aside some time ago and that, after agreeing, Trujillo simply did not and would not do this. The main point about elections is that the dissidents, who would run in these elections, cannot raise their heads. If they were to try to campaign or to raise issues, Trujillo would not allow this to be done. If Trujillo is associated in any way with elections, the man in the street would have no faith in them. The President said he had been

told that in the trials he recently held, Trujillo had said he was ready to invite observers to attend, but failed to make good on this. He agreed that the key is whether Trujillo wants to get out. He said there are indications that Trujillo is telling a double story. Mr. Farland confirmed that Trujillo had once made a statement that he was going to retire at once, but then did not do so.

Ambassador Farland said that the economic situation is now deteriorating rapidly. The Dominican Republic is basically a very prosperous little country, but now, however, Trujillo has gained possession of all the sugar interests. The dissident group are “sitting on their pocket-books” and Trujillo, because of the recent fall in sugar prices, can now get no credit. Much of his money is in the form of local sugar plants. He said it must be recognized that Trujillo has done a great deal for this country. He said that if he were to run tomorrow he could be elected. The fact is that he controls all news outlets, and it would be a year before free elections could be meaningful.

Mr. Rubottom said that Trujillo is involved in all sorts of efforts all over the hemisphere to create disorder. The President commented that Castro is also, and he would like to see them both sawed off. Mr. Dillon commented that the State Department is about ready to propose some additional action against Castro.

General Persons commented that if there were an invasion of the Dominican Republic from the outside, Smathers and Pawley think that Castro would come in. Mr. Rubottom recalled that under the existing military contingency plan we would send in our forces into the area to keep Castro out.

The President said that the problem is to find a way to give a chance for a new party to form. Mr. Farland said that various members of the underground had been in touch with him for two years or more. They are very anti-Castro, but they fear that Castro would try to carry out a coup after a junta came in. The President commented that if a junta were to act, the Army might join them, to get even with elements of the palace guard.

DR-23. Memorandum from the Acting Secretary of State to the President¹

Washington, May 20, 1960.

SUBJECT

Report on Dominican Republic by Inter-American Peace Committee

In February 1960, Venezuela requested the Inter-American Peace Committee to investigate the alleged flagrant violations of human rights in the Dominican Republic that have contributed to international tensions. The Committee, in acting on this request under the authority granted it by the Meeting of American Foreign Ministers in Santiago last August, was unable to obtain the permission of the Dominican Government to visit that country, but gathered information from other sources, including Dominican exiles who had recently left the country.

The Chairmanship of this Committee rotates annually and it happens that the United States has the Chairmanship this year. The Committee has now decided to issue a report on this matter, with the Chairman, Ambassador Dreier, given the responsibility of having the first draft prepared for the Committee's consideration. In accordance with the general sentiment of the Committee members, it is anticipated that the report, after reviewing the Committee's action in the case, would conclude that flagrant violations of human rights have taken place and continue to take place in the Dominican Republic, involving imprisonment for political views, inhuman treatment of prisoners, and suppression of basic rights such as free speech and assembly. The report would state that this situation has in fact contributed to international tensions in the Caribbean area through aroused public opinion, stimulation of activity by Dominican exiles, and retaliatory maneuvers by the Dominican authorities.

It is unlikely that the members of the Peace Committee would agree to a less forthright presentation than that outlined above, in view of the notorious practices of the Trujillo regime and the present state of opinion in the Latin American countries. Furthermore, a frank facing up to the Dominican situation by a Committee in which the United States plays a prominent part would, in the Department's opinion, be favorable to our general political position in the Hemisphere and helpful to our subsequent efforts to have the Peace Committee face up similarly to the Cuban problem.

¹ Source: Eisenhower Library, Whitman File, Dulles-Herter Series. Confidential. The source text bears the initials "D.E."

I am attaching a brief description of the functions of the Inter-American Peace Committee.²

Douglas Dillon
Acting Secretary

²Not printed. In a note to Dillon dated May 24, 1960, Goodpaster stated, "As I indicated by telephone, the President, after considering your memorandum of May twentieth concerning a 'Report on Dominican Republic by Inter-American Peace Committee,' expressed agreement to the course of action proposed, stating that the report should be forthright, but not caustic or violent." (Eisenhower Library, Project Clean Up, "Dominican Republic")

DR-24. Memorandum of a Conversation between Edwin N. Clark and John C. Hill, Jr.¹

Washington, May 25, 1960

SUBJECT

General Clark's Role in U.S. Policy Toward the Dominican Republic.

After General Clark had indicated that he could not come to the Department on the afternoon of May 24 or the morning of May 25, he accepted Mr. Rubottom's offer that I ride out to the airport with him at noon today to brief him about developments with respect to the Dominican Republic which affected the plan on which he had been working.

Accordingly, *I had a talk with General Clark* at the National Airport. Following Mr. Rubottom's instructions, I told him that the *Secretary had wanted Mr. Rubottom to bring him up to date with respect to certain factors bearing on our planning for the Dominican Republic:*

1. *We had had a number of indications, confirmed by our consultations with Ambassador Farland here, that the Generalissimo had no intentions of retiring from the Dominican scene but that, on the contrary, he intended to go forward with plans for an opposition party and elections solely as window dressing. In this connection, I showed General Clark an extract of a conversation recently held by an American with the Generalissimo in which the Generalissimo had stated that he would not even consider the proposal made to him by General Clark. The Generalissimo had*

¹Source: Department of State, Central Files, 739.00/5-2560. Secret. Drafted by Hill on May 26.

further said that when General Clark had asked him when he would retire he had not answered, but that he did not expect to retire before the year 2000.

2. *We could assure him that contingency military planning with the Pentagon was well advanced and that, in fact, the U.S. was prepared to move when and if the President decided.*

3. *We felt that it was now necessary to develop a concrete solution on the assumption that we would not have the cooperation of the Generalissimo. I said that we were working on this within the government, and—since I did not in any way indicate he would be consulted—he should have got the inference that there was no role for him at this time.*

After brief reflection, General Clark said that his preliminary comments were as follows:

1. *He still strongly believed that the Generalissimo would leave the Dominican Republic if inducements were held out to him to do so. He felt that in the approach which he had made he had been so restricted by the Department that he could not offer the Generalissimo inducements—such as U.S. cooperation in settling him elsewhere and in having him appear before the OAS—which would make it attractive for the Generalissimo to leave. He thought that the possibility of the Generalissimo's leaving voluntarily should not be ruled out until we had made concrete and official offers to him.*

2. *He felt that contingency planning was not sufficient; the U.S. must have an active plan to remove Trujillo from the scene if the situation were not to drift to our disadvantage.*

3. *He felt that, after working with us, he had presented a plan which the President had approved in the presence of the Secretary, we owed it to the President not to leave the matter dangling and to put before him a detailed plan in writing. He (General Clark) would do his best to go along with such a plan but would dissent from it if he felt that he had to do so. He clearly indicated that he expected at some later stage to get together with the President and the Secretary to approve a final plan for the Dominican Republic.*

I had only a short time to reply to these comments, but did say that I was sure everyone was concerned with moving ahead and that the President was being kept informed.

As the General was boarding the plane, he said that we should both reflect further on these matters and that I should call him when he returned to Washington next week.

COMMENT:

I did not feel it my place to tell the General that he would be excluded from further phases of planning with respect to the Dominican Republic. It was clear, however, that he expected to continue to play a role in this matter, that he believed the President had approved his plan, and that—if it is not intended that he should continue to play his role—he will have to be told so at a high level.

DR-25. Memorandum of the Discussion at the 453rd Meeting of the National Security Council¹

[Extract]

Monday, July 25, 1960

3. FORTHCOMING MEETING OF THE ORGANIZATION OF AMERICAN STATES WITH RESPECT TO CUBA AND THE DOMINICAN REPUBLIC

Secretary Herter said that the Organization of American States would hold a meeting on August 15 to discuss action with respect to the Dominican Republic. Venezuela was trying to effect a separation between the problem of Cuba and the problem of the Dominican Republic. The OAS had sent a special mission to investigate the Venezuelan charge that the attack on Betancourt² had been directed by the Dominican Republic. If the OAS proposes sanctions against the Dominican Republic, the case would have to go to the UN. The OAS, however, can recommend measures which each state could implement individually. Secretary Herter said the U.S. would suggest such measures as the following against the Dominican Republic: withdrawal of Chiefs of Missions; the admonition to take into account OAS condemnation in relations with the Dominican Republic; refusal to permit the shipment of arms and ammunition into the Dominican Republic; collaborating in preventing shipment of arms and ammunition from the Dominican Republic to other countries, including air and sea patrols; a request that other nations outside the hemisphere take note of the measures recommended by the OAS; creation of a committee to observe the implementing of these measures.

The President asked whether it would not be desirable to add to the list surveillance to make certain that no other American state intervenes militarily in the Dominican Republic. Secretary Herter said the recommendation on the shipment of arms and ammunition into the Dominican Republic would prohibit such intervention and was intended to cover the President's point.

The President said he believed it was desirable to connect the cases of the Dominican Republic and Cuba but he also believed that it was very necessary to settle the Trujillo situation because it appears to be

¹ Source: Eisenhower Library, Whitman File, NSC Records. Top Secret. Extract. Drafted and signed by Marion W. Boggs on July 28. Information on the source text indicates that this NSC meeting was held at Newport, Rhode Island. Agenda items 1 and 2 are omitted; they cover, respectively, "Significant World Developments Affecting U.S. Security" and "Measures to Enhance U.S. Military Readiness."

² For documentation on the attempted assassination of President Betancourt, see VE-44 and DR-26.

impossible to shake the belief of Latin America that the Trujillo situation is more serious than the Castro situation. Until Trujillo is eliminated, we cannot get our Latin American friends to reach a proper level of indignation in dealing with Castro.

Secretary Herter then referred to the legal requirement for the purchase of sugar from the Dominican Republic and said an effort should be made to get the law changed in this session of Congress. The President said if the law were not changed, he would simply refuse to buy Dominican sugar. If impeachment proceedings were brought against him, that would take longer than his term has to run. Secretary Herter said his legal advisers had agreed that we were required to buy Dominican sugar but we were simply ignoring that requirement. As a result Congressman Cooley³ was on the warpath. In Secretary Herter's opinion, a great deal of the difficulty was expenditure of Dominican money in the U.S. The President said that any proposals to buy Dominican sugar should be sent to him for approval and he would take a long time to study the matter. He also believed we should frankly say that it appears that the Dominican Republic bribes are coming into this country in an effort to influence this government. Secretary Herter agreed that we would lose prestige if we bought sugar from the Dominican Republic after refusing to buy it from Cuba.

Secretary Herter then reported that Mexico had been suggesting that Brazil, Mexico, and Canada should mediate between the U.S. and Cuba. Such mediation would recognize the idea that the sole parties to the present controversy are the U.S. and Cuba. The President said we have already said that we are ready to have our problems with Cuba mediated. We want to have these problems settled peacefully. Secretary Herter said that the whole problem had been shifted toward the concept of the introduction of communism into this hemisphere.

The President said that if we attempted to take any action with respect to Cuba before settling the Trujillo situation, we would be the loser. He had confidence in the Presidents of Mexico and Brazil and the Prime Minister of Canada but he thought the problem of Cuba was now before the OAS and should remain there. Secretary Gates said we had a difficult problem of public opinion because the American people were interested in the situation in Cuba but did not care about the situation in the Dominican Republic. The President said American newspapers had been attacking Trujillo for fifteen years. He asked how we could keep the OAS as a going concern. We could not do it if we focused sanctions on Cuba and forgot about Trujillo. We were able to induce the

³Harold D. Cooley (D-N.C.), Chairman, House Agriculture Committee.

Latin American leaders to talk seriously about Cuba only after agreeing that Trujillo is also a problem.

Secretary Herter said that procedurally we could not get the case of Cuba before the OAS until the Trujillo situation had been considered because the Trujillo case was brought up first. With respect to sugar legislation, he asked whether the President thought it would be undesirable to prepare any new legislation for this session of Congress. The President said he had not meant to suggest that he was opposed to any new sugar legislation. He would prefer to have the authority of law for refusing to buy Dominican sugar. He said that the OAS would not consider the case of Cuba if we focused all our attention on Castro and forgot about Trujillo.

The National Security Council:

Discussed the subject on the basis of draft U.S. recommendations to the Organization of American States with respect to the Dominican Republic, as read at the meeting by the Secretary of State.⁴

⁴ This paragraph constitutes NSC Action 2273.

DR-26. Editorial Note

On August 3, 1960, Héctor Trujillo resigned as President of the Dominican Republic and was succeeded by Vice President Joaquín Balaguer. In telegram 140 from Ciudad Trujillo, August 4, 1960, Chargé Henry Dearborn stated in part, "Clear from Balaguer's acceptance speech August 3 there has been no change of government and Rafael Trujillo still dominates Up to this moment no indication any responsible Trujillo opposition member will participate Balaguer administration. No indication anywhere that GODR plans to abolish arbitrary arrests, prison tortures, or reprisals against its political opposition." (739.11/8-460)

The Foreign Ministers of the American Republic met at San José, Costa Rica August 16–21, 1960 to consider Venezuelan charges of Dominican complicity in the assassination attempt against President Betancourt. On August 20, the foreign ministers approved a resolution condemning the Dominican Republic and called on all members of the OAS to break off diplomatic relation with that nation. The United States severed diplomatic relations with the Dominican Republic on August 26, 1960. For documentation on the Sixth Meeting of Consultation of Foreign Ministers of the American Republics at San José, see Volume V.

DR-27. Letter from the Assistant Secretary of State for Inter-American Affairs (Mann) to the Consul General in the Dominican Republic (Dearborn)¹

Washington, October 10, 1960.

Dear Henry:

I have scarcely been at my desk for two weeks and hence I have not had time to get into the Dominican problem in the depth that I will do in the near future. My first impression is that the problem of dealing effectively with Trujillo was made more difficult by the reluctance of the Foreign Ministers at San José to go along with a realistic program designed not only to bring about orderly elections but, equally important, to insure an orderly transition to a genuinely democratic regime.

The latest I have is that the Brazilians may be planning some kind of an OAS committee to "observe" elections and while I would like to hear more about this if and when Brazil actually makes a proposal along these lines before coming to any final decision, I am afraid that this would be a "whitewash" operation which would not do credit to anyone connected with it.

If there is not going to be effective multilateral action and if we are limited by our non-intervention commitments in what we can do unilaterally, the question comes to mind as to whether there is really any chance of convincing the Generalissimo that in his own interest—given the strength and depth of popular feeling throughout the hemisphere on the issue of his dictatorship—he should, after making arrangements for a provisional government publicly committed to holding elections by a date certain, leave the country with his family and official entourage so as to permit an orderly transition to an anti-communist democratic regime to take place. There are a lot of people in the States who apparently sincerely believe that the Generalissimo might be induced to leave. I doubt it myself but I am also aware that this is a matter involving subjective judgment which it would be difficult to prove beyond peradventure of doubt.

I should like on a very personal and confidential basis to have your views concerning this and, in particular, who the best intermediary might be. For example, the name of Wilbur Morrison, Vice President of Pan American Airways, has been suggested. If the approach is not to be made

¹ Source: Department of State, Central Files, 739.00/9-2960. Confidential; Eyes Only. The source text is a carbon copy bearing Mann's typed name. A type-written note on the source text indicates that this letter was mailed on October 18.

by the United States alone another suggestion is that several American States might get together and ask the Papal Nuncio to have a try at convincing the Generalissimo. In either case, I suppose it would be necessary for the emissary to state that he speaks with the knowledge of the United States or the group of American States as the case may be. I am rather inclined to give something like this a try on the theory that if handled properly we don't have a great deal to lose and may gain something.

Finally, I believe there is a real danger that without some orderly plan of transition there is a real danger that pro-communist types would take over. I am not sold on the theory that the end objective ought to be a bloody revolution to overthrow Trujillo. I think everything we do should have as its end objective not vengeance but the creation of a decent democratic government in the Dominican Republic.

Please let me have your comments on the foregoing as soon as convenient.

Sincerely,

Thomas C. Mann

DR-28. Letter from the Consul General in the Dominican Republic (Dearborn) to the Assistant Secretary of State for Inter-American Affairs (Mann)¹

Ciudad Trujillo, October 27, 1960.

Dear Tom:

I was glad to receive your letter of October 10² and to know that you have been able to give your personal attention to our problems here. I knew you soon would, but I have also been fully aware that we were competing with any number of other problems all demanding your immediate consideration.

I am in full agreement with your impression that the problem of dealing effectively with Trujillo was made more difficult by the reluctance of the Foreign Ministers to go along with a realistic program designed to bring about orderly elections and ensure an orderly transition to a genuinely democratic government. *The important word in that*

¹ Source: Department of State, Central Files, 739.00/10-2760. Secret; Eyes Only; Official-Informal.

² See Document DR-27.

sentence is "realistic" and I am sure that is why you inserted it. First and foremost, the transition must not be a sham. This means that we must not fall into Trujillo's trap of being satisfied with measures which legalistically remove him from control but, in fact, permit him to continue his dictatorship. An example of his efforts to achieve this is his announcement yesterday that he will run for Governor of the Province of Santiago. This is obviously a maneuver on his part to satisfy the U.S., the OAS and the OAR that he has bowed out of national politics, but which, at the same time, will permit him to remain in the country, to continue controls over its economic and financial life by his time-honored methods. Trujillo as Governor of Santiago will be in every practical sense the same as Trujillo is now. *While he is in the Dominican-Republic and/or while he maintains his economic domination, he will also continue his political domination whether he is President or dogcatcher.* While this is a political fact, the responsible opposition to his regime will not dare to form true opposition parties. There will be no real freedom of assembly, of speech, or of the press and radio for these people. On previous occasions when they rose to his lure, once he spotted them he took severe reprisals against them and they are not prepared to put their necks on his chopping block again.

A realistic program to bring about free elections can only, in my opinion, be built around one keystone – *namely the removal of Trujillo from the country.* Once this happens we should work toward an orderly break-up of his economic stranglehold on the national life. I admit it is quite likely that once the opposition gets moving, *this break-up may be anything but orderly. This country, however, is as desperately in need of a revolution as any country. I remember reading about and revolutions are not usually orderly affairs.* It should be our objective to see that the Dominican revolution is as bloodless as possible. At the same time, it is not rational to expect, in view of all the pressures of hatred which have been building up here over thirty years, that no one is going to get hurt. I would hope 1) that we could prevent the Ramfis-Espaillet-Abbes-Sanchez gang of cut throats from staging a St. Bartholomew's Day Massacre of the leading oppositionists in an effort to save the situation for the Trujillistas, and 2) that we could persuade the opposition, if they gain control, not to carry their purge beyond those immediately responsible for the criminal actions of the Trujillo regime. *Our friends here favor a limited purge* but if they cannot maintain their prestige among the opposition as a whole, *there is no telling what excesses may result.* If we attach importance to the future in this country, I cannot urge strongly enough that we do everything possible to restore the pro-U.S. oppositionists at least to their influence at the time of the Sixth MFM. This can only be done if the U.S. takes strong measures against Trujillo in one way or another.

Assuming that Trujillo's departure from the country is necessary before we can progress further toward our objectives, how is this to be brought about? *I do not believe he can be persuaded to leave under present circumstances by any U.S. citizen.* In his mind he built this country out of nothing. The creditable physical plant which exists here, the high degree of sanitation, the law and order, the hundreds of Trujillo statues – all these things he sees as monuments to his glory. He conceives of all this as built up by his own tireless efforts day by day for thirty years. In addition to all this he is a tough, ruthless old tyrant who has weathered many a storm when all around him thought his ship was sinking. As of this moment I believe he expects to weather this storm also. It would be against this background that some one sent by us would have to persuade him to step out and I agree with you that success in this venture is doubtful.

Not only do I believe our agent could not persuade him at this time, but I also believe Trujillo would use our move against us. In my view he would inform the UN and the OAS that we were threatening him and that it was not the first time. He would refer to the attempt of General Clark, who called on him as a result of an appointment made by Ambassador Farland, and say here was another example of our intervention. The Foreign Minister has already referred to the Clark approach to me as intervention, as I reported at the time. *[text not declassified]* One of our dilemmas is that for an agent to be impressive he would have to be some one who could convince the Generalissimo that he spoke with authority. Yet if he spoke with authority, this would give the Generalissimo the weapon he needs to charge us with intervention. I believe that Trujillo might (but only might) leave the D. R. today if he could be persuaded that he was about to be killed, but this is obviously no job for an American.

You asked who I thought would be the best intermediary in case we decided to approach Trujillo. Although I have said I do not believe any American can persuade him to leave, I shall go on to say why I do not think that certain persons who have been mentioned would be good choices. In this same mail, I have written a letter to Frank Devine stating at some length *why I do not think Bill Pawley should be considered. Please ask Frank³ to show you that letter.* The Papal Nuncio is out of the question. He is anathema to the Generalissimo and has not been in the country since last May owing to strained Vatican relations. Trujillo is presently conducting a war of nerves against the Catholic Church here and Church policy seems to be to try to ride out the storm in the hope of avoiding violence against it. The Church took courageous and

³ Frank J. Devine, Special Assistant to the Assistant Secretary of State for Inter-American Affairs.

unprecedented steps earlier this year by publicly criticizing the regime. The Nuncio's statements to me at the time implied: "Well, we have done our part, *now it is your turn*". I do not believe Wilbur Morrison would be a happy choice either. He would be running a great risk since if the Generalissimo should publicize the approach, Pan American's reputation all over Latin America might suffer. None of the governments like Trujillo, but I suspect they would like even less the idea of a high official of a U.S. enterprise seeking to overthrow even Trujillo's government. I regret that *I cannot propose a likely name for you, but I think you will see why from comments on the embarrassment which I believe any approach of ours might cause us.*

Getting away from an approach by a U.S. agent or the Nuncio, the type of approach I think we could make without coming off second best would be one we might make *in concert with other countries*. The preferable approach would be by the OAS itself, ourselves participating. Next best would be an approach by, let us say, Argentina, Brazil, Chile, Mexico and the U.S. If we could include Canada this would be very helpful indeed. An approach of this sort might stand a chance of convincing the Generalissimo that the jig was up and the countries involved would be numerous and powerful enough so that *Trujillo could not saddle any one of them with the onus of intervention*. While this tack might have the advantage mentioned, I suppose the greatest obstacle in using it would be the unlikelihood that the countries named would participate owing to their non-interventionist commitments. The approach by the OAS itself would perhaps be the most likely and certainly the most legally defensible—but I do not suppose that we could obtain concurrence even there.

As I mentioned, I believe the only reason the Generalissimo might leave is fear of imminent death—and this is not certain. *For this reason I think the Dominicans themselves have got to do the persuading. We can help them to do it in a number of ways, some of which are probably not legally possible for us. The best way would be to stop buying sugar, coffee, cacao and beef from this country.* This would hit Trujillo and those around him. His own henchmen might then turn against him as their pockets would be affected. We should try to hasten the day when his own men will refuse to obey his orders and will tell him there is a plane waiting for him at the airport. Other measures which would help toward this result would be an embargo on exports of petroleum products, especially lubricants to the D.R. The country runs on these products and if we could make it impossible or highly expensive for Trujillo to obtain them we would be contributing to dissatisfaction among those dependent on him. Another helpful measure would be to induce Canadian and U.S. banks to stop loaning money to the D. R. [text not declassified] Anything we can do to show the Dominicans that Trujillo is losing his grip may at some point

act as a catalyst to start the snowball rolling. [text not declassified] When we recently sent some arms to the Haitians, there was a furious reaction here. If there is anything that will drive Trujillo to madness and make him act against his better judgment, it will be a Haitian scare. This is probably dream-talk, but I am throwing many things into the pot in the hope that something may be helpful.

Then there is the question of, "After Trujillo, what?". Right after the Sixth MFM there was little doubt in my mind but that we could expect a moderate U.S.-oriented government here if we could at that time have taken the sanctions that would have been effective against Trujillo. Mr. X believed, and I agreed, that the resulting confusion in the Trujillo family and in the national economy would have been such as soon to enable the opposition to stage a successful coup. At that time our friends were riding high in the opposition and we would have been as well off as we could ever expect in our relations with the new government. Since that time *our position among the dissidents generally has deteriorated, along with that of the pro-U.S. contingent*. If a revolution took place today, *it would be touch and go as to whether our friends would have high places in the government. I believe our position is retrievable to a large extent*. We could win back considerable lost ground by stiff recommendations from the OAS Sanctions Committee, followed by immediate and effective action on our part, for example. I realize that this is a tall order and probably impossible, but I am trying to state what I think it would take to put us where we would like to be.

What I am leading up to is to say that the answer to the question, "After Trujillo, what?" *depends on us to some extent*. If we are unable to convince the dissidents that we are helping them materially to put the skids under Trujillo, then it is quite likely that the extreme nationalists, the extreme leftists and other anti-U.S. elements will dominate the future here. If we can effectively help the opposition, if we jump to their assistance right after the overthrow, if we have some measure of success in keeping the communist elements among the exiles out of here for a period after the fall of Trujillo, then I believe we shall have a good future.

One further point which I should probably not even make. From a purely practical standpoint, it will be best for us, for the OAS and for the Dominican Republic if the Dominicans put an end to Trujillo before he leaves this island. If he has his millions and is a free agent he will devote his life from exile to preventing stable government in the D.R., to overturning democratic governments and establishing dictatorships in the Caribbean, and to assassinating his enemies. If I were a Dominican, which thank heaven I am not, *I would favor destroying Trujillo as being the first necessary step in the salvation of my country and I would regard this, in fact, as my Christian duty. If you recall Dracula, you will remember it was*

necessary to drive a stake through his heart to prevent a continuation of his crimes. I believe sudden death would be more humane than the solution of the Nuncio who once told me he thought he should pray that Trujillo would have a long and lingering illness.

I apologize for the length of this letter, but I wanted you to have a useful amount of my thinking on the questions you asked me. If there is anything I know, it is that I am not infallible. It may, for example, be possible for some one to think of a type of approach to Trujillo by a U.S. citizen which might induce him to leave. If some such proposal seems promising I would suggest you try it out on me since I will be quick to say "good" if it looks feasible from this battleground.

With kindest regards,

Very sincerely,

Henry Dearborn

DR-29. Memorandum from the Director of Intelligence and Research (Cumming) to the Secretary of State¹

Washington, November 22, 1960.

SUBJECT

Intelligence Note: The Current Situation in the Dominican Republic

General Rafael Leonidas Trujillo Molina has survived many challenges during his thirty years of completely personal rule but none have been as persistent or serious as the current threats he faces. Confronting him are internal economic crises and widespread political dissension, plus the formal condemnation of the American community of nations. Although Trujillo seemingly remains in complete control, the days of his regime appear numbered, although the time and manner of his overthrow cannot be accurately predicted.

Trujillo's troubles can be traced directly to the fall of Batista in January 1959. Suddenly isolated, Trujillo soon bore the full brunt of the revolutionary, libertarian tide inspired by Castro's success. Trujillo's reaction was to embark on a ruinously expensive campaign of arms procurement, and to support openly followers of Batista then exiled in Ciudad Trujillo. The resulting economic dislocations soon turned a small but influential

¹ Source: Department of State, Central Files, 739.00/11-2260. Official Use Only.

segment of the Dominican population into determined oppositionists. The turning-point for this group, mostly middle-class professionals, businessmen and intellectuals, was provided by the Castro-supported invasions of June 1959. Although unsuccessful, the invasion attempt, by its example of active resistance and because of Trujillo's brutal repression, rekindled a demand for basic liberties and sparked a determination to remove the Generalissimo.

What followed has been a most widespread and persistent anti-Trujillo movement, characterized by increasing contacts among dissidents, cautious attempts at organization, pamphleteering amongst the university students and sporadic acts of terrorism by extremists. This ferment first came to a head in January 1960 with the discovery and ruthless suppression of a plot to assassinate the *Benefactor*. At this juncture the Church intervened, calling for humane treatment of those arrested and for a broader measure of civil liberties. Trujillo stubbornly refused to retreat; combining minor concessions with intimidation he has, at least temporarily, suppressed the Church. Plotting and isolated acts of resistance continued, however, heightened by the nation's declining economy and the Generalissimo's growing international disrepute. Dissident figures, exasperated by continued repressions and emboldened by OAS condemnation of the Trujillo regime, prepared another *coup* in August 1960, but this too was uncovered and quietly but vigorously suppressed.

The situation in the Dominican Republic now appears, superficially at least, favorable to Trujillo. OAS condemnation produced nothing more than severance of diplomatic, but not consular relations. No meaningful economic sanctions have been levied. He has secured a large share of the "windfall" sugar market formerly allocated by the U.S. to Cuba.² His international credit is still relatively secure and convertibility of the *peso* has been maintained. The opposition is discouraged, and the Church has apparently retreated. The business community, now convinced that change is unlikely, is abandoning passive resistance. The military and the police are still loyal, and the Generalissimo still holds a monopoly of the means of power. However, the seeds of Trujillo's downfall have been sown and are still growing. The economy continues in drastic decline. Large numbers of the urban and rural poorer classes have slipped below subsistence level. All imported goods are in short supply. The dissidents, in spite of so many costly failures, have now penetrated the armed forces. The Church, in spite of its seeming passivity, is still pressuring Trujillo. Although not yet sufficiently strong to end the era of Trujillo, these forces cannot be indefinitely contained,

² Documentation on this subject is in Department of State decimal files 411.396 and 839.235.

and Trujillo is not likely to make the concessions which would mollify them. Although he has permitted several members of his family to leave the country, the Generalissimo himself will probably remain to the bitter end.

How this end will come is uncertain. Assassination is an increasing possibility—perhaps a probability, considering the desperate temper of the opposition. Alternatively, economic and political conditions might deteriorate to an extent where the military would intervene and attempt to dismiss Trujillo, merely to preserve their own interests. In any case members of the Generalissimo's entourage will not be able to retain power. The transition will probably be chaotic and bloody, a situation ripe for exploitation by pro-Castro and other radical elements. Such tendencies are well-represented among the exiles, although anti-Castro factions do exist. However, any external forces, including Cuban, must rely on a protracted period of disturbance to make their influence felt. The immediate successor regime would probably be a military *junta* with civilian participation, moderate and not anti-U.S., especially if we provided sympathetic assistance at an early date. There are civilian elements however, which might prove somewhat antagonistic: U.S. prestige, previously high among the moderates, has been declining steadily and these moderates have been losing influence to the pro-Castro extremists. The United States is being criticized for not taking a strong stand against Trujillo—specifically, for not applying the import-export restrictions which they are sure would soon topple him. The bitterness of this group is due largely to disappointment with the widely-heralded OAS actions of last August, and there is some question as to the depth and permanence of these anti-U.S. sentiments. However, the tide is now running against the U.S. and the longer the current impasse continues, the more unfavorable to U.S. interests the outcome is likely to be when the Dominican pressure-cooker finally explodes.

DR-30. Memorandum from the Secretary of State to the President¹

Washington, December 8, 1960.

SUBJECT

Application of Additional Economic Measures against the Dominican Republic

Within the next several days it will be necessary for the Department of Agriculture to estimate consumption of sugar in the United States. It appears that it will be legally necessary to continue purchases of sugar from the Dominican Republic for the first three months of calendar year 1961. Such purchases will include approximately 28,000 tons under the regular quota which must be purchased at the United States price and somewhere in the neighborhood of 200,000 tons extra-quota which it is planned to purchase at the world price. A separate memorandum on this subject will be forwarded to you shortly.

While we hope that it will be possible to temper the effect in Venezuela of an announcement concerning sugar purchases with an indication that the Administration intends to recommend that the next Congress grant discretionary authority to the President to forego such purchases, this will nevertheless create a strain on our relations with the Betancourt regime and will possibly strengthen communist-inspired opposition to Betancourt.

At the same time we are faced with the necessity of taking a position on the question of whether the American States should on a multilateral basis apply additional economic measures against the Dominican Government. The Council of the Organization of American States was requested by the San José Foreign Ministers Meeting to study the desirability and feasibility of extending economic sanctions to other commodities. A special committee was created by the Council for this purpose and any further delay on our part in taking a position will expose us to Venezuelan charges of bad faith.

In view of this situation I recommend that you authorize the Department of State to suggest to the special committee that the United States will be prepared to cooperate in a multilateral program prohibiting the exportation of petroleum and petroleum products, trucks and spare parts to the Dominican Republic. A statement which it is proposed that Ambassador Bonsal make before the special committee early next week is enclosed for your consideration.²

¹Source: Eisenhower Library, Project CleanUp, "Dominican Republic." Confidential.

²Philip W. Bonsal, U.S. Ambassador to Cuba from March 3, 1959, to October 28, 1960. The text of the statement is printed as Document DR-30, Enclosure.

The Commerce Department has indicated its willingness to apply the necessary export controls.³

Christian A. Herter

[Enclosure]

Suggested Statement to be made in Special Committee of the Council of the OAS on Resolution I of the Sixth Meeting of Foreign Ministers

My Delegation is now prepared to present for the consideration of this Special Committee its views with respect to the mandate given the Council of the Organization of American States by Resolution I of the Sixth Meeting of Foreign Ministers to study the feasibility and desirability of extending the suspension in trade with the Dominican Republic to articles in addition to arms.

Some time ago this Committee was informed that the United States was preparing a study on Dominican foreign trade by commodity and country in an attempt to assess the feasibility of an embargo by the American States on specific items of Dominican commerce. As a first result of this study, petroleum and petroleum products and trucks and spare parts, which are not produced in the Dominican Republic, appear to the United States Government to be examples of items the export of which to the Dominican Republic it would be feasible to suspend at this time.

With respect to petroleum and its products, in 1959 62% of Dominican imports by value came from the Netherlands Antilles directly and from Venezuela indirectly, 14% from the United States, and 13% from Venezuela. During the past year, Caribbean sources of Dominican petroleum imports have been largely out of. There are indications, however, that the Dominican Republic has started to tap other sources of petroleum supply, namely in Canada, Europe and perhaps the Middle East. This, of course, would tend to reduce the effectiveness of a total suspension in the exports of the OAS member states. Any effective embargo on all or most of the Dominican supply of petroleum would undoubtedly have a serious adverse effect on the Dominican people as inevitably would any measures taken which would have an impact on the Dominican economy. Dominican internal transport and over one-half of Dominican production of

³ A handwritten notation on the source text reads: "9 December 60, State informed of President's approval."

electric power are dependent upon petroleum. The capabilities of the Dominican military establishment would, of course, also be greatly reduced by an effective embargo.

With respect to trucks and spare parts, approximately one-half of Dominican imports of trucks in 1959 came from the United States and the rest from Europe, while the United States percentage of the supply of spare parts was probably higher. A complete embargo on such shipments from OAS member states would doubtlessly have an effect on Dominican internal transport, although that country would presumably continue to increase its purchases from European sources.

While the United States is prepared to extend the embargo in the manner suggested, it is, of course, for the Special Committee to decide whether this should be done, having in mind the remarks of some of the delegations at the San José Meeting concerning injury to the Dominican people. In the event a recommendation to that effect is made by this Committee, my Government would be prepared to support such a finding by the Council. While my Government understands that any such finding on the part of the Council would be recommendatory rather than obligatory in nature with respect to the individual member states, it would undertake in good faith to implement it, with the understanding that the other member states would do likewise. This should, of course, include measures by the other states to prevent transshipment to the Dominican Republic through their respective territories of these articles originating in any member state, in order to insure to the extent possible the effectiveness of these sanctions. It is important in my Government's view to preserve the collective nature of any further decisions and actions taken by member states in this regard, following upon the action already jointly taken by them at the Sixth Meeting of Foreign Ministers.

The United States is continuing its study of the feasibility of applying the suspension in trade to other commodities and expects to present its further views when these studies are completed.

Ecuador: U.S. Relations with Ecuador

EC-1. Letter from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Ambassador in Ecuador (Ravndal)¹

Washington, February 7, 1958.

Dear Chris:

I refer to your letters of December 16, 1957 and January 17, 1958² regarding Ecuador's application to purchase from the United States on a credit basis four T-34 training aircraft and runway lighting equipment for the Taura Air Base. You enclosed correspondence from Colonel James O. Robinson, Jr., Chief of the United States Air Force Mission to Ecuador, requesting the Department's support of the Ecuadoran application.³ Colonel Robinson stated that the above equipment was critically needed in Ecuador as no night jet training could be accomplished at Taura until lights should be installed, and the Ecuadoran Air Force could not start its own flight training program until a suitable transition trainer such as the T-34 should be available.

We have been working hard on this matter ever since the Ecuadoran application for the equipment was received by the Department on September 27, 1957. My reply to your letters on the subject has been delayed until the actual status of the application could be clarified. Here, in brief, is what has happened and how the matter stands at present.

When we forwarded the Ecuadoran application to the Defense Department we recalled that Defense had previously informed us that it did not consider the provision of T-34 aircraft on a grant basis to be

¹ Source: Department of State, Central Files, 722.5622/1-1758. Confidential. Drafted by John M. Perry of the Office of South American Affairs on February 5. The source text is an unsigned carbon copy.

² Copies of the referenced letters are in Department of State files 722.5622/12-1657 and 722.5622/1-1758, respectively.

³ Reference is to a memorandum from Colonel Robinson to Perry H. Culley, Counselor of the Embassy in Ecuador, December 13, 1957, and a message from Colonel Robinson to Ambassador Ravndal, January 14, 1958. This correspondence is filed with Ambassador Ravndal's letters cited above.

consonant with existing military assistance program objectives, but that it would give favorable consideration to a request to purchase primary trainer aircraft of a type which would be suitable and available. We noted that in her present difficult fiscal situation Ecuador might be better advised to devote her limited resources for military expenditures to support of T-33 aircraft which she already had and F-80 aircraft which we were committed to supply her in the near future. We also noted that Ecuador had been unable to liquidate outstanding accounts for the transportation of personnel of the United States Army and Air Force Missions, which exceeded \$300,000. We stated that in view of Ecuador's fiscal situation we would be reluctant to approve the request for T-34's even on a cash basis. We understood that four T-34's and spare parts for one year would cost as much as \$250,000. However, we requested that the Defense Department, if it considered that Ecuador had a military requirement for primary trainer aircraft, suggest a type which would be suitable and would be available at a lower cost to Ecuador.

With regard to the lighting equipment, we understood that it was to be used in connection with activities of the International Geophysical Year in which the United States would participate. We noted that if our understanding was correct it would be in the interest of the United States for Ecuador to obtain the equipment. Therefore, we started, if the Defense Department considered that credit should be extended to cover this purchase, we would concur in a recommendation to the International Cooperation Administration that an appropriate credit be established.

It was not until shortly before the receipt of your letter of January 17 that we received a reply from Defense on the above matters.⁴ Defense indicated that the T-34 would be suitable for the intended use by Ecuador and that no other suitable trainer would be available. Furthermore, four T-34's would cost about \$178,000 and would be economical to operate. Defense approved sale of the four T-34 aircraft and the lighting equipment to Ecuador on appropriate credit terms under Section 106(b) of the Mutual Security Act of 1954, as amended.⁵

The various areas of the Department which have an interest in this request have concurred in principle to the sale of this equipment on appropriate credit terms and steps are being taken now to work out details for approval by Mr. Dillon⁶ prior to obtaining the concurrence

⁴ Reference is to a letter from John L. Holcombe, Director, Office of Programming and Control, Office of the Assistant Secretary of Defense for International Security Affairs, to Robert G. Barnes, Special Assistant for Mutual Security Affairs, Department of State, January 8, 1958. (ARA/WST Files, Lot 62 D 75, "Ecuador: Sale of Arms, Munitions, and Equipment")

⁵ For text of the Act, Public Law 665, approved August 26, 1954, see 68 Statute 832.

⁶ C. Douglas Dillon, Deputy Under Secretary of State for Economic Affairs. No record of his action on this request was found in Department of State files.

of the NAC. Although we have no reason to believe that the credit will not be approved without undue delay, no assurance of such approval should be given the Ecuadorans at this time. The terms will probably be for a three-year credit repayable in regular installments, with an appropriate down payment and interest charged on unpaid balance.

With best wishes always,
Sincerely,

R. R. Rubottom, Jr.

EC-2. Editorial Note

In airgram A-119 to Quito, February 20, 1958, the Department of State instructed the Embassy to negotiate the sale to Ecuador of United States agricultural commodities valued at \$1.7 million, including 50 percent of transportation costs. The Department also sent a draft sales agreement under provision of Title I of Public Law 480 (68 Stat. 454) with this instruction. (411.2241/2-2058) Representatives of the United States and Ecuador signed a \$1.84 million Surplus Agricultural Commodities Agreement in Quito on June 30, 1958. For the text of the agreement, see *United States Treaties and Other International Agreements* (UST), volume 9, page 1192. The agreement was extended and amended on December 12, 1958, and March 9, 1959. For the texts of the extensions and amendments, see 10 UST 34 and 725.

In airgram A-124 to Quito, April 28, 1960, the Department of State instructed the Embassy to negotiate the sale of \$1 million worth of agricultural commodities, including transportation costs to Ecuador. (411.2241/4-2860) On September 27 representatives of Ecuador and the United States signed at Quito a surplus agricultural commodities agreement under which Ecuador would purchase for sucres \$1 million worth of edible oils, including transportation costs. The United States would lend Ecuador one-half of the proceeds for economic development; one-quarter would be designated for United States Government expenses in Ecuador; and one-quarter would be for "Cooley Amendment" loans for private investment in Ecuador through the Export-Import Bank. For the text of the agreement, see 11 UST (pt. 2) 2427. For text of the Cooley amendment, Section 104(e) of Public Law 480, see 7, Stat. 345.

EC-3. Letter from President Eisenhower to President Ponce¹

Washington, April 22, 1958.

Dear Mr. President:

The visit of the Vice President of the United States, Richard Nixon, offers me a welcome opportunity to extend to you and to your countrymen the best wishes of the people of the United States for Ecuador's continued peace and prosperity.

In these tense and troubled times when people throughout the Free World are striving to conserve and protect their precious heritage of freedom and democratic government, I am particularly conscious of the example your country now gives to the Free World of a nation enjoying political stability, freedom and steady economic development. I feel too that it is truly in the self-interest of all nations in this hemisphere that each develop a sturdy self-reliant economy. Steady and rational economic growth is essential to meet the aspirations of future generations for a better standard of living. It is because of this belief that I have been encouraged by your country's experience over the last decade. Political stability combined with responsible and constructive economic policies have placed Ecuador in an enviable position of financial and economic solidity.

I note also with special pleasure that your country will be host to the Eleventh Inter-American Conference.² Ecuador offers both an appropriate and attractive setting for this important meeting of the American States. The Organization of American States furnishes a dramatic example for the rest of the world of the feasibility of effective and fruitful international cooperation dedicated to the achievement of peace, justice and well-being. We are, in a true sense, a family of States, seeking common goals along a common path.

In conveying these greetings from my countrymen, may I also extend my personal best wishes to Your Excellency.³

Sincerely,

Dwight D. Eisenhower

¹ Source: Department of State, Presidential Correspondence, Lot 64 D 174. "Pres Corr. 1958, P-Q-R-S." Delivered by Vice President Nixon during his visit to Quito, May 9–11. The source text is a carbon copy, bearing a stamped signature.

² The Tenth Inter-American Conference, which met at Caracas, March 1–28, 1954, had designated Quito as the site of the Eleventh Inter-American Conference. For documentation on the Tenth Inter-American Conference, see *Foreign Relations, 1952–1954*, vol. IV, The American Republics, Chapter 4. The OAS Council subsequently scheduled the Eleventh Inter-American Conference to open on February 1, 1960, but postponed it to March 1, 1961, rescheduled it to May 24, 1961, and then postponed it indefinitely.

³ For the text of President Ponce's reply of May 13, see the Department of State *Bulletin*, August 4, 1958, p. 209.

EC-4. Editorial Note

During his trip to South America, April 27–May 15, 1958, Vice President Richard M. Nixon visited Quito, May 9–11. A summary of his conversation with President Camilo Ponce Enríquez of Ecuador on May 9 is printed as Document EC-5. Ecuadoran Minister of Economy Federico Intriago Arrata presented a memorandum to Vice President Nixon containing Ecuadoran requests with respect to pending economic matters. A copy of the 54-page memorandum was enclosed with despatch 748 from Quito, May 20, 1958. (033.1100-NI/5-2058) In despatch 732 from Quito, May 13, Ambassador Ravndal stated that Vice President Nixon's visit to Ecuador was an "unqualified success" and that it "did much to cement good U.S.-Ecuadoran relations." (722.00(W)/5-1358) For documentation on Vice President Nixon's visit to South America, see pages ff.

EC-5. Summary of Conversation between Vice President Richard M. Nixon and President Camilo Ponce Enríquez of Ecuador¹

Quito, May 9, 1958.

President Ponce stated that Ecuador's principal problem was that of raising the living standards of the people. He felt that this could best be done by private investment, which Ecuador favors and will encourage. He also proposed that there be a special inter-American meeting on economic matters.

Vice President Nixon replied that the observations he had made on his trip to date led him to agree with President Ponce that raising living standards was Latin America's No. 1 problem. To achieve this, he said, economic relations among the people of this hemisphere must be close. He complimented President Ponce on having established a climate of political stability, which attracts private capital. He said that although he feels that private enterprise is the best means of combating Latin America's economic problems, this fact must be demonstrated to the peoples of Latin America. Political freedom and private enterprise must be used in the general welfare. President Ponce's record in this respect is good, and there are no great problems between Ecuador and the U.S.

¹ Source: Department of State, Central Files, 033.1100/6-2058. Official Use Only. This summary was transmitted to the Department of State under cover of despatch 799 from Quito, June 20. That despatch also enclosed a summary of Vice President Nixon's conversation at Quito Central University on May 10.

President Ponce commented that the economies of Latin America, which are based on production of raw materials, suffer greatly when prices of these materials go down. He reiterated his proposal that a special Inter-American conference be called to deal with this type of problem. He felt that such a conference should be in preparation for the 11th Inter-American Conference, so that subjects discussed at the latter would be clear and would have been given a lot of prior thought. He felt that Ministers of Economy should attend this preparatory conference, that it should be held as soon as possible, and that it should discuss matters of the type that Vice President Nixon had observed on his trip so far.

Vice President Nixon endorsed President Ponce's proposal, but stressed the desirability of the conference being on an informal basis - that it be neither too rigid nor too dramatic. He felt that it could be of considerable help in solving problems of the hemisphere.

President Ponce accepted Vice President Nixon's suggestion concerning the informal nature of the Conference, saying that what he had in mind was a "round table" type of meeting. He thought that such a conference should try to find long-range solutions for economic and social problems. For example, he thought that it might try to do something about helping to create a middle class in Ecuador, which the country badly needs and which would also benefit the U.S. by providing it with more customers.

Vice President Nixon reiterated the importance of solving Latin America's economic problems, which in turn would make it easier to deal with political problems. He said the leaders in the hemisphere must redouble their efforts along these lines.

EC-6. Telegram from the Ambassador in Ecuador (Ravndal) to the Department of State¹

Quito, May 10, 1958.

616. Minister Economics² presented Vice President Nixon memo³ requesting:

1. Elimination requirement that American firms get first priority PL 480 funds thus releasing more money Ecuadorean enterprises;

¹ Source: Department of State, Central Files, 033.1100-NI/5-1058. Priority.

² Federico Intriago Arrata.

³ Text enclosed with despatch 748 from Quito, May 20, 1958. (033.1100-NI/5-2058)

2. That all measures possible be taken assure success Santo Domingo colonization project;
3. Rapid processing of Ecuadorean requests to development loan fund for one million dollars agricultural loan, one million dollars small business loan, one million dollars silo construction and 1.75 million dollars freezing plants in Guayaquil and Loja;
4. Consideration by U.S. of reduction duties on unbleached Panama hats;
5. That EXIM Bank loans be repayable in local currency and that such loans be for longer period;
6. That U.S. technical assistance be planned for a longer period than one year and that scholarship grants also be for a sufficient length of time;
7. A loan of three million dollars from president's emergency fund for the 1959 Inter-American conference;
8. Signature of double taxation agreement between U.S. and Ecuador (Minister also stated desire institute active policy attract foreign capital including parity treatment with Ecuadorean capital).
9. Only complaint was occasional U.S. competition with small countries giving example that U.S. sold rice to Peru under commodity credit corporation and PL 480 thus taking away Ecuador chance to sell rice.

Ravndal

EC-7. Despatch from the Ambassador in Ecuador (Ravndal) to the Department of State¹

Quito, May 13, 1958.

No. 730.

Ref: Embassy's D-718, May 6, 1958, and previous messages²

SUBJECT

Ecuadoran Discrimination Against American Shipping.

During the visit of Vice President Nixon and his party to Ecuador, Assistant Secretary of State Rubottom and Messrs. Waugh and Bernbaum

¹ Source: Department of State, Central Files, 422.006/5-1358. Confidential. Drafted by John I. Fishburne, Counselor for Economic Affairs at the Embassy in Ecuador.

² The referenced despatch reported the possible effects of Emergency Decree No. 18 of April 23, 1958, on U.S. shipping interests. (422.006/5-658)

had a long conversation with Foreign Minister Tobar, Minister of Economy Intriago, Minister of Public Works Duran, Minister of Treasury Cordovez, Manager of the Central Bank Perez Chiriboga, Ambassador [illegible in the original] Ponce Enriquez and Under Secretary of State Espinosa. The principal topic of conversation at this meeting was the recent Ecuadoran decree law requiring certain imports into Ecuador to be transported on Ecuadoran or Grancolombiana vessels.³

Having received forceful indications of the seriousness with which the United States views the new shipping measure, Foreign Minister Tobar opened the meeting with a discussion of the decree and claimed that it is not discriminatory at all. He pointed out that the Ponce Government has been trying for a year and a half to eliminate the consular fee differential, that the Flota Grancolombiana is actually an organ of the Colombian and Ecuadoran Governments, and that the Ecuadoran Government feels obligated to do all in its power to foster the growth of the Grancolombiana. He said that all countries try to protect their merchant fleets and that many of them go much further than Ecuador in this respect. He mentioned particularly the Chilean Law calling for 50% of all cargo entering and leaving Chile to be transported in Chilean vessels. He said that Ecuador must support Colombia and that Colombia exerted so much pressure after the consular fee differential was reduced to 1%⁴ that Ecuador felt it must take some posing acting to help the Grancolombiana. He pointed out that exceptions can be made to the provisions of the new decree and then called on the Minister of Economy to continue the discussion.

The Minister of Economy reiterated the same arguments and went back over the history of Ecuadoran legislation on shipped preferences. He said that the new decree could not possibly affect more than 18% or 20% of all incoming cargo (and perhaps no more than 12%), and that the effect on United States shipping lines would therefore be very small. He referred to the preferential treatment given by Colombia to its merchant vessels including, he said, the privilege of paying in pesos and exemption from stamp taxes. He referred also to the United States laws in support of its merchant marine, stating that the United States has given a series of concessions to its ships including financial aid, loans, and subsidies. He said it would be unthinkable that a sovereign

³ Reference is to the Ecuadoran shipping decree published in the *Registro Oficial*, April 23, 1958; a copy with English translation was sent to the Department of State under cover of despatch 711 from Quito, April 30, 1958. (922.753/4–3058)

⁴ Reference is to the special rate of consular duties that the Ecuadoran Government had conceded to those importers who transported their merchandise in Ecuadoran or Flota Grancolombiana ships. Effective January 1, 1958, Ecuador reduced the consular fee differential from 2½ to 1 percent.

government could not pass regulations that its own materials must be brought in its own vessels. He referred to the shipping provisions under the United States PL-480 program and the Eximbank loan program and said that Ecuador accepts those regulations as being normal and natural, implying that the United States should therefore not object to the new Ecuadoran law.

The Minister also said that one of the principal reasons for the Flota's great increase in percentage of Ecuadoran-bound traffic is the fact that the Flota ships go all the way to Guayaquil, whereas the Grace ships offload at Puna with consequent added expense and exposure of cargo to theft and damage. He said that Grace was complaining so bitterly about the Ecuadoran law simply because it is a powerful company and is accustomed to brooking no competition.

The Minister of Economy ended up by saying that if he had had the slightest idea that the new law might be considered discriminatory, he would have advised President Ponce not to sign it. He said that Ecuador must keep the friendship of the United States which has been so helpful to Ecuador in all its problems.

There was then a discussion of the percentage of cargo carried by the Grace Line and the percentage carried by the Flota Grancolombiana, with the Ecuadoran officials insisting that the new decree would have little if any effect on the traffic of the Grace Line.

Assistant Secretary Rubottom said that the principle is the important thing, rather than statistics, although these are interesting and important. He said that since there is no political problem outstanding between the United States and Ecuador, the group was free to concentrate freely on this shipping question and that he appreciated the frank manner in which the Ecuadorans had brought up the subject. He pointed out that the United States has tried for years to wipe off the slate the consular free question and that it seemed to be on the way to termination when this new decree was passed. He pointed out that the new decree was a heavy blow to United States expectations of seeing an end to the shipping problem and stated that in our point of view there is no doubt that the new decree is discriminatory.

Mr. Rubottom said that the United States has always taken the same firm position on questions of discrimination and that we must continue to face such questions. He said that the attitude of the United States Government is not dependent in any way on the Grace Line and pointed out that the United States has been following the same principle of protesting against discrimination in the case of Argentina and Brazil. Mr. Rubottom referred to the subsidies received by American shipping lines and said the Ecuadorans are the first to recognize that if the United States did not maintain a strong merchant fleet the resultant weakness would prevent it from being able to face Russia. He pointed

out also that the provisions for shipment of PL-480 and Eximbank cargoes on American vessels (to the extent of 50%) is natural since the shipments are made possible by dollar loans which usually include the dollar cost of freight.

Mr. Rubottom said he appreciated the fact that Ecuador was under pressure from Colombia, but he pointed out that Colombia itself has never passed an act so discriminatory as the new Ecuadoran law. He concluded by saying that the provisions of Article 6 are not entirely clear,⁵ but the act as a whole seems completely discriminatory.

Mr. Bernbaum said that if the United States did not prevent an example of discrimination such as the new Ecuadoran law, the measure could serve as an example for the rest of the world and other countries might follow Ecuador's lead. He pointed out that the United States had protested the Chile law and that this law is not yet in effect. He mentioned the difficulties with Argentina, dating from the time of the Peron⁶ Administration, but added that these difficulties had recently been solved through an exchange of notes with the new Argentine Government.

Mr. Bernbaum admitted that a Government has the right to bring its own cargo in its own ships for its own account, but pointed out that the new Ecuadoran decree goes far beyond such a measure. He said that the United States asks only for the right to compete on a commercial basis and pointed out that subsidies like those granted to United States shipping lines do not prevent competition.

The decree was discussed further along the above lines and the Ecuadorans indicated that they would like information as to how the United States had settled the shipping discrimination issue with Argentina.

In summary, Mr. Rubottom spoke very frankly and forcefully and left no doubt in any one's mind as to the attitude of the United States in this matter.

Enclosed for the use of the Department of State and other agencies are memoranda from officials of the Grace Line showing how seriously the new decree is expected to affect American shipping interests, and a copy of a memorandum written by the Minister of Economy to the Minister of Foreign Affairs in justification of the new decree.⁷

⁵ Telegram 484 to Quito, June 17, reported that Ambassador Chiriboga of Ecuador informed the Department of State in a note of June 10 that, in accordance with Article 6 of the April 23 decree, Ecuador had decided to limit applicability of the decree to cargoes destined for Government and public agencies. (922.73/6-1758)

⁶ General Juan Domingo Perón, President of Argentina, June 4, 1946–September 22, 1955.

⁷ The enclosures are not printed.

The Embassy has learned that the German Ambassador⁸ in Quito has received instructions from his Government to make a vigorous protest against the new Ecuadoran decree. The British Embassy in Quito is also lodging a formal protest with the Ecuadoran Foreign Ministry on behalf largely of Canadian interests.

Christian M. Ravndal

⁸ Rudolf Pamperrien.

EC-8. Editorial Note

During the years 1958–1960, United States Government agencies concluded the following loan agreements with the Ecuadoran Government and private industry: (1) ICA loan of \$2.3 million to the Ecuadoran Government for project assistance on June 27, 1958; (2) ICA loan of \$880,000 to the Ecuadoran Government for project assistance on November 12, 1958; (3) Export-Import Bank credit of \$1.9 million to Empresa Electrica Ambato, S.A., for a diesel power station and electric distribution system on March 12, 1958; (4) DLF loan of \$4.7 million to the Ecuadoran Government for highway construction on March 23, 1959; (5) DLF loan of \$3,976,524.53 to the Ecuadoran Government for highway construction on November 6, 1959; (6) DLF loan of 28,870,544.89 sucres to the Ecuadoran Government for highway construction on November 6, 1959; (7) Export-Import Bank credit of \$880,000 to the Ecuadoran Government for construction at the International Airport, Guayaquil, on March 29, 1960; and (8) a Cooley amendment loan of 4 million sucres to Empresa Electrica del Ecuador, Inc., for electric distribution facilities on October 10, 1960. For further information, see Agency for International Development, *Status of Loan Agreements as of March 31, 1964*, pages 15–17. Additional credits authorized by the Export-Import Bank during the years 1958–1960 are listed in Export-Import Bank of Washington, *Report to the Congress for the Twelve Months Ending June 30, 1961*, pages 148–150.

The International Bank for Reconstruction and Development approved a loan of \$13 million to the Guayaquil Port Authority for port development on October 9, 1958. For further information, see. International Bank for Reconstruction and Development, *Fourteenth Annual Report, 1958–1959*, pages 30–31.

EC-9. Editorial Note

In despatch 30 from Quito, July 22, 1958, the Embassy reported on a trip of Ecuadoran Minister of Defense Alfonso Calderón Moreno to the United States, France, Italy, the Netherlands, Belgium, the Federal Republic of Germany, Brazil, and Chile, June 7–July 18, 1958, presumably to buy arms for Ecuador. (722.00(W)/7-2258) At a news conference which he held immediately upon his return to Quito, according to the Embassy's report, he stated that in the United States he arranged to pay an old Ecuadoran debt to the Department of Defense, arranged to buy a Landing Ship, Medium (LSM), and had fruitful talks with General Lemuel C. Shepherd, Jr., Chairman of the Inter-American Defense Board. No record of Minister of Defense Calderón's talks during his unofficial visit to the United States was found in Department of State files.

EC-10. Memorandum of Conversation, by the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Santiago, August 16, 1959.

US/MC/10²

SUBJECT

Peru-Ecuador Boundary Dispute

PARTICIPANTS

United States
The Secretary
Mr. Rubottom

Ecuador
Foreign Minister Tobar
Ambassador Chiriboga, Amb. to the U.S.

The Ecuadoran Foreign Minister called at the invitation of the Secretary, accompanied by Ambassador Chiriboga. After several complimentary remarks, Foreign Minister Tobar raised the problem of the

¹ Source: Department of State, ARA/EP Files, Lot 67 D 566. "Peru Relations-Ecuador-Peru Boundary." Official Use Only. According to information on the source text, Secretary Herter approved this memorandum on August 25. This conversation took place in the Hotel Carrera at 6:00 p.m. Secretary Herter and Foreign Minister Tobar attended the Fifth Meeting of Consultation of Foreign Ministers of American States at Santiago, August 12–18.

² The designation US/MC/10 stands for the tenth of fourteen memoranda of Secretary Herter's conversations with Foreign Ministers attending the meeting at Santiago.

Peru-Ecuador boundary. He said that Ecuador wanted to keep the subject quiet between now and the Quito Conference in order to avoid any kind of outbreak and to assure that Peru would attend the Conference. He commented on the bellicose publicity from Peru regarding this question.

The Secretary indicated that the Guarantors in Rio had this subject under continuing review and acknowledged the possibility that a statement might be made by the Guarantors.³ The Foreign Minister expressed the hope that none would be issued.

Mr. Rubottom asked the Foreign Minister whether his Government still intended to invite the Chiefs of State of the other American Republics to attend a meeting in Guayaquil at the end of the Inter-American Conference next February. Mr. Rubottom specifically mentioned the disturbances which had occurred in Guayaquil a few months ago as a factor possibly being considered by the Government of Ecuador.⁴ The Foreign Minister, ignoring the reference to Guayaquil, reaffirmed their intention to invite the Chiefs of State to Guayaquil and indicated that President Eisenhower's health had been considered in the plan to meet at sea level rather than at Quito.

(Mr. Rubottom had also alluded to the traditional desire of the Government of Ecuador to balance the treatment of the mountainous area of the country with that accorded the coastal region.)

³ Reference is to Argentina, Brazil, Chile, and the United States, who, as Guarantors, signed the Protocol of Peace, Friendship, and Boundaries between Peru and Ecuador at Rio de Janeiro on January 29, 1942. It entered into force on February 26, 1942. For the text of the Protocol, see 3 Bevans 700.

⁴ In despatch 542 from Quito, June 5, the Embassy reported that a bloody outbreak began at the funeral of a draftee in Portoviejo on May 29, spread to Guayaquil, June 1-3, and resulted in 27 killed and many more injured. (722.00(W)/6-559)

EC-11. Memorandum from the Under Secretary of State (Dillon) to the President¹

Washington, September 28, 1959.

SUBJECT

Confirmation of Determination and Determination under Section 451(a) of the Mutual Security Act of 1954 as amended, permitting the use of funds in order to furnish military assistance to Ecuador.

Ecuador will be host to the 11th Inter-American Conference at Quito in early 1960 which will be attended by the Foreign Ministers of the 21 American States. Ecuador has also proposed that a meeting of chiefs of state of the American Republics be held in Guayaquil during the closing days of the Conference. The Ecuadoran Government, recalling the serious disorders that occurred during the Inter-American Conference in Bogotá in 1948 and expressing its grave concern over known Communist plans to disrupt the forthcoming Conference in Quito and the proposed Presidential meeting in Guayaquil, has requested the United States grant assistance in developing appropriate security measures.²

Current indications are that the Communists will seek to disrupt the 11th Inter-American Conference by employing their propaganda apparatus, both in Ecuador and internationally, to portray the Conference as an instrumentality of United States imperialism in Latin America and, by using their penetration in Ecuadoran student and labor groups, as well as agitators planted in peaceful crowds, to foment demonstrations against the Conference and United States Delegates with a view to discrediting and breaking up the Conference. The Ecuadoran security forces are not adequate in terms of training, organization, and equipment to cope with this Communist threat. Nor is the Government of Ecuador able to finance the necessary equipment and training which will not be provided except through United States aid.

Because it is in the United States interest that the Inter-American Conference be held in a calm, democratic atmosphere unmarred by Communist agitation or by an extraordinary demonstration of force, and because of your possible participation in the proposed meeting of Presidents in Guayaquil, it is believed imperative that the necessary

¹ Source: Eisenhower Library, White House Central Files. Secret.

² A memorandum of conversation of March 13, 1959, records Ecuadoran Ambassador Chiriboga's request to Assistant Secretary Rubottom for technical assistance to the national police of Ecuador and for personnel to train Ecuadorans in intelligence work. (362/3–1359)

grant assistance be extended Ecuador. Should the Communists succeed in disrupting the Quito Conference, this would do great harm to United States prestige and foreign policy objectives in Latin America and would undermine the confidence of the peoples of this hemisphere in the Inter-American system which the United States in concert with other American nations has been working constantly to strengthen and perfect, most recently, for example, at the Meeting of Foreign Ministers in Santiago.

Because of the urgency of commencing the internal security assistance to Ecuador as soon as possible, on July 12, 1959, a training program was submitted with the informal concurrence of the Departments of State and Defense and the Bureau of the Budget for your approval. On July 14, 1959, pursuant to Section 451(a) of the Mutual Security Act of 1954, as amended³ (hereinafter referred to as "the Act"), you orally determined it to be important to the security of the United States that not to exceed \$62,000 of the temporary appropriations for fiscal year 1960 made available for mutual security programs by Section 101(b) of Public Law 86-76⁴ and any amendments thereto be used to furnish military services to the Ecuadoran Army, without regard to the requirements of Section 105(b)(4) of the Act. Of the \$62,000, approximately \$43,757 has been obligated for this purpose pursuant to the authority of Public Law 86-76, as amended by Public Law 86-118.⁵

Apart from the services referred to above, there has now been developed with the Government of Ecuador a program of assistance in two phases. First, the United States proposes to provide riot control and other appropriate training and equipment to the Ecuadoran National Police, which normally are responsible for the internal security of the country but are inadequately trained and equipped to discharge this responsibility, in order to improve their ability to maintain security during the Quito Conference and proposed Guayaquil meeting. This phase of the program will cost an estimated \$402,892.

Second, against the contingency that the situation should become critical and a state of emergency should be declared by the President of Ecuador, during which the police would be placed under military command and the combined police and armed forces would be responsible for the maintenance of order in the country, the United States also proposes to provide a more comprehensive program of internal security training and equipment to the Ecuadoran armed forces. This proposed military program comprises the furnishing of such training

³ The Mutual Security Act of 1958, Public Law 85-477, approved June 30, 1958, redesignated sec. 301 of the Mutual Security Act of 1954 as sec. 451. (72 Stat. 261)

⁴ For the text of Public Law 86-76, approved July 1, 1959, see 73 Stat. 159.

⁵ For the text of Public Law 86-118, approved July 31, 1959, see 73 Stat. 266.

and equipment to specially organized Ecuadoran “anti-Communist forces”, and is estimated to cost \$803,175 (military training additional to that already furnished, estimated to cost \$19,410, and military equipment, materials and services estimated to cost \$783,765).

While Ecuador is eligible to receive grant military assistance, the furnishing of such assistance is specifically conditioned by the requirements of the first and third sentences of Section 105(b)(4) of the Act. These provide, in effect, that military assistance may be furnished to Latin American countries only to permit them to participate in Western Hemisphere defense missions, and that internal security requirements shall not be the basis for military assistance programs to such countries in the absence of a Presidential determination. Accordingly, in order to furnish the additional military assistance to the Ecuadoran armed forces for the internal security program, it is necessary to waive these requirements.

The use of funds as referred to above is considered to be in furtherance of the purposes of the Act and important to the security of the United States.

IT IS, ACCORDINGLY, RECOMMENDED that you sign the enclosed memorandum,⁶ thereby confirming your oral determination and making the new determination as required by the Act for the above-mentioned purposes.

The Secretary of Defense and the Director of the Bureau of the Budget concur in this recommendation.

Douglas Dillon

⁶ Not printed; in a memorandum to the Secretary of State of September 29, 1959, the President confirmed his oral determination of July 14, 1959, for the proposed assistance to Ecuador. A copy of the confirmation is attached to the source text.

The United States concluded an internal security assistance agreement with Ecuador by notes exchanged at Washington, January 22 and 25, 1960. Airgram CA-6987 to Quito, February 29, 1960, enclosed copies of the referenced notes and informed the Embassy that the agreement was deemed to have entered into operation on July 15, 1959. (722.5-MSP/2-2960)

EC-12. Editorial Note

Ambassador Christian M. Ravndal and Minister of Foreign Affairs Carlos Tobar Zaldumbide exchanged notes at Quito on January 20 and February 11, 1960, constituting an agreement for a five-year loan of two

United States patrol craft (escort vessels) to Ecuador. For the text of the agreement, see 11 UST 241.

On February 24, 1960, at Quito, Ambassador Ravndal and Foreign Minister Tobar signed an Agreement Relating to a Cooperative Program in Ecuador for the Observation and Tracking of Satellites and Space Vehicles. It provided for continuing the operation and maintenance of the satellite tracking station at Paramo de Cotopaxi, known as the Quito Tracking Station Facility. For the text of the agreement, see 11 UST 179.

EC-13. Editorial Note

In despatch 381 from Quito, March 6, 1960, the Embassy reported that Ecuadoran Minister of Defense Gustavo Diez Delgado had accepted the invitation of Secretary of Defense Thomas S. Gates, Jr., to visit Washington and various United States military installations, March 7-17. (722.00(W)/3-460) In a news conference of March 26, Defense Minister Diez, who had returned to Quito on March 18, stated that the United States would supply Ecuador with \$18 million in military equipment. As reported in despatch 431 from Quito on April 1, he expressed complete satisfaction with his conversations with United States defense officials, stressing the economic advantage of United States military aid. (722.00(W)/4-160)

EC-14. Editorial Note

In a memorandum of conversation with Assistant Secretary of State Roy R. Rubottom, Jr., on March 14, 1960, Ambassador José R. Chiriboga Villagómez referred to a recent Ecuadoran request for a sugar quota of 35,000 tons in 1960. Assistant Secretary Rubottom replied that the problem was under study. (822.235/3-1460) In a note of July 21, 1960, to Ambassador Ravndal, Foreign Minister Tobar raised the Ecuadoran request to a 40,000 ton sugar quota in the fourth quarter of 1960. (822.235/7-2660) The Secretary of State informed Ambassador Chiriboga in a note dated August 5, 1960, that the United States could not consider Ecuador as a source of sugar in the reassignment of Cuba's quota for 1960. (822.235/7-1160)

EC-15. Editorial Note

In despatch 32 from Quito, July 19, 1960, the Embassy reported the final results of the Ecuadoran Presidential election of June 5 as follows: José María Velasco Ibarra of the National Velasquista Federation had received 373,585 votes; Galo Plaza Lasso of the Radical Liberal Party, 175,076 votes; Gonzalo Cordero Crespo of the Conservative Party, 172,690 votes; and Antonio Parra Velasco of the Left-wing of the Socialist Party, 46,173 votes. (722.00/7–1960) Carlos Julio Arosmena Monroy of the National Velasquista Federation was elected Vice President. In a memorandum of June 8 to the Secretary on the election results, Assistant Secretary Rubottom, expressed surprise at the extent of Velasco's victory, and stated that "in view of his actions during his previous administrations, he is believed to be basically friendly to the United States." (722.00/6–860) In despatch 567 from Quito, June 27, the Embassy reported that members of the National Velasquista Federation were "on friendly terms with the Embassy, and we expect no insuperable problems in dealing with the Velasco Administration." (722.00/6–2760) President Velasco was inaugurated for a four-year term beginning midnight August 31, 1960.

EC-16. Memorandum of Conversation, by the Consul General at Guayaquil (Allen)¹

Guayaquil, June 23, 1960

SUBJECT

Ambassador Ravndal calls on President-Elect
Dr. José María VELASCO Ibarra

PARTICIPANTS

Ambassador Ravndal
Dr. José María VELASCO Ibarra

[Here follows two introductory paragraphs about President-elect Velasco's residence where this conversation took place and the presence of photographers.]

¹ Source: Department of State, Central Files, 722.00/6–2460. Confidential. Drafted by the Consul at Guayaquil, Fred A. Somerford; transmitted under cover of despatch 92 from Guayaquil, June 24, 1960.

The Ambassador remarked that he had presented his credentials to Dr. Velasco in 1956. Dr. Velasco acknowledged in a very friendly manner. The Ambassador mentioned Ecuador's "oriente" region, and mentioned the "trocha" (a path made by cutting down jungle) between Brazil and Ecuador, and the possibilities of opening a permanent road connecting Ecuador with Brazil. Dr. Velasco replied that he had been aware of the Ambassador's interest in the "oriente", and said that he would be most willing to cooperate with Brazil in such a venture because it would be of very great benefit for both Brazil and Ecuador.

The Ambassador expressed the desire to read the transition of the felicitations from the Secretary of State to Dr. Velasco on the occasion of Dr. Velasco's electoral triumph, to which Dr. Velasco assented most cordially. He thanked the Ambassador and said that on this same day he would reply to the Secretary of State by telegram.

The Ambassador suggested to Dr. Velasco that the U.S. Government was anxious to know of Dr. Velasco's thinking regarding Point IV and the military and other U.S. missions in Ecuador, and expressed the hope that Dr. Velasco would collaborate with the programs of these missions. Dr. Velasco replied that he was well informed of the benefits which Ecuador had received and was receiving from Point IV programs in Ecuador. He said that he would most certainly cooperate with the United States, but that there must be an end to the "papeleo" (red tape) which bottled-up the launching of any program. Dr. Velasco made it clear that the red tape bottleneck was not the fault of Point IV, but rather of the Ecuadorean Government which took forever to sign necessary agreements.

The Ambassador suggested that perhaps these administrative bottlenecks could be abolished by means of agreement between the two governments. Dr. Velasco reiterated his conviction that these delays were entirely the fault of the Ecuadorean Government; that these shortcomings had to be corrected, and said that reciprocity and mutual respect should result in the realization of mutual achievements.

The Ambassador said that we sought his views and advice on how to help our friends in Latin America; that we would appreciate Dr. Velasco's ideas and advice with the view of improving our relations with the Latin American people. Dr. Velasco thanked the Ambassador for this tribute. Velasco reiterated his sincere desire to cooperate with the U.S. Government, and mentioned a Secretary of State in President Roosevelt's last administration, with whom Velasco said he conferred with the hope of attaining mutual benefits. He said, however, that conferring with this Secretary did not produce any results. Dr. Velasco again mentioned his desire to cooperate with the United States.

The Ambassador said that the U.S. Government was anxious to help Ecuador in launching a low cost housing program, and that we

needed Dr. Velasco's advice concerning such a program. Dr. Velasco said that the poor class in Ecuador was suffering from a deplorable economic situation, unemployment and little government initiative to alleviate this situation. He said that he had to do something to calm his people, because his people were restless. He continued by saying that the United States had the technicians, and that these technicians could help him in fomenting a low cost housing project. He mentioned the township of Babahoyo which was in a very great need for a low cost housing project, and said that such a project for Babahoyo would calm the people of that community.

The Ambassador said that through the Embassy in Quito the U.S. Government has been thinking about presenting a low cost housing program to Dr. Velasco, and that we needed Dr. Velasco's advice and Dr. Velasco's support for such a program. Dr. Velasco replied he needed such a program, and asked that the presentation and the help for such a program be urgent.

The Ambassador mentioned to Dr. Velasco that the United States and Ecuador had common interests in the United Nations in combating totalitarianism; that the Russians were making efforts to penetrate Latin America and sabotage our solidarity; and that we prayed that the collaboration he gave us before in combating this menace, would continue during his forthcoming administration.

Dr. Velasco replied that he understood, and said that he would not cease to awaken the Latin American conscience to this peril; that in so doing he would be giving the United States great help. He continued by saying that we could not allow the Russians to overrun our institutions; that the United States has been the equilibrium between the democracies and the Russian menace; that the democracies must be strengthened because it was our obligation to humanity.

The Ambassador brought up the Cuban situation; the political unrest which Cuba was exporting to many Latin American countries, and told Dr. Velasco that he would like to exchange ideas regarding this problem with someone in Dr. Velasco's government. The Ambassador asked if he could leave with Dr. Velasco a memorandum which he had on this subject,² and Dr. Velasco was pleased to accept it. The Ambassador said that the memorandum could be amplified with the view of coordinating ideas concerning the Cuban menace in Latin America. Dr. Velasco said that soon he would inform the Ambassador about the person he would designate to collaborate with the Ambassador on this matter.

² The memorandum under reference was not further identified.

The Ambassador proceeded to make his departure, thanking Dr. Velasco for granting him the interview, and Dr. Velasco thanked the Ambassador for having called on him and for personally conveying to him the congratulations of the Secretary of State.

Ward P. Allen

EC-17. Memorandum of Conversation, by the First Secretary of the Embassy in Ecuador (Rogers)¹

Quito, August 31, 1960.

US/MC/1²

PARTICIPANTS

United States

Under Secretary Dillon

General Robert Cutler

Mr. John Leddy, Special Assistant to the
Under Secretary

Edward S. Little, Charge d'Affaires a.i.

J. L. Hummel, Director of USOM/Ecuador

J. T. Rogers, First Secretary, Embassy Quito

Ecuador

Minister-Designate (Foreign Affairs)

Jose Ricardo CHIRIBOGA Villagomez

Minister Designate (Development)

Jaime NEBOT Velasco

SUBJECT

Ecuadorean-Peruvian Boundary Dispute

Minister-Designate Chiriboga opened the conversation by describing briefly the significance of the triumph of Dr. Velasco on June 5, 1960. He said that the popular demand for economic improvement had expressed itself in the form of votes for Velasco rather than in the form of an explosion. Velasco is well aware of and concerned about this popular demand and is working to develop programs of economic improvement which will satisfy popular aspirations.

Ecuador has problems, said Chiriboga, in the economic, social and international fields.

¹Source: Department of State, Conference Files, Lot 64 D 559, CF 1750. Confidential.

²The designation US/MC/1 refers to the first of three memoranda of conversations of Under Secretary Dillon during his visit to Quito, August 31–September 3 to attend the ceremonies incident to the inauguration of President Velasco beginning August 31. Information on the source text indicates that this conversation took place in the U.S. Ambassador's residence at 3 p.m.

In the international field the problem is the Rio Protocol of 1942. This protocol, Chiriboga stated, was signed under strong pressure from the then Under Secretary of State Sumner Welles at a time when the Peruvian Army (which had invaded and destroyed Ecuador without reason) occupied a good part of the country. The Protocol met with strong opposition in Ecuador from the beginning. Nevertheless, the Ecuadorean Government attempted in good faith to carry it out but was prevented from doing this by the geographical facts, i.e., that no watershed existed, where called for by the treaty. Peru has since said in effect that the delimitation of the boundary should be completed by following "the spirit" of the Protocol which, in Ecuadorean eyes, is impossible. The Minister Designate pointed out that the "impossibility" of doing this has increased because of the gradual development of the spirit of justice throughout the hemisphere."

Accordingly, President-elect Velasco a few days ago had declared with full public support that the Protocol is void. He said that Ecuador did not want to have any problem with Peru and hoped that the Guarantors would understand its position. He claimed that Peru is working hard to obtain a statement by the Guarantor Powers which Ecuador would strongly oppose and would interpret as an indication that the Guarantors do not fully understand and are not sympathetic with the position of Ecuador. The Guarantors should continue to seek ways of solving the problem in terms of justice and equality.

As an indication of its desire to improve relations with Peru, Ecuador is anxious to sign a bilateral trade agreement with its southern neighbor.

Chiriboga said Velasco was determined to hold the XI Inter-American Conference in Quito in March 1961 in order to solve problems appropriate to it. Ecuador's position is not that the boundary problem should be solved at the Conference but it only wishes to point out that the problem exists. He said he was certain the U.S. would continue to follow its objective policy with regard to the boundary problem. He did not expect the United States to take sides as between Ecuador and Peru.

In response to a question from the Under Secretary, the Minister-Designate said that the problem was not a question of the amount of land involved but a matter of blood and history. The Amazon was discovered by Ecuador and is as important to Ecuador as is Quito. It is a natural boundary between Peru and Ecuador.

The Under Secretary asked about the present situation after Velasco's declaration, including that the Guarantors' responsibilities may have been modified. The Minister-Designate said that Ecuador was not trying to push the matter and that there was no hurry in solving it.

The Under Secretary thanked Chiriboga for his very useful statement. The United States desires a mutually acceptable settlement.

EC-18. Memorandum of Conversation, by the First Secretary of the Embassy in Ecuador (Rogers)¹

Quito, August 31, 1960.

US/MC/2

PARTICIPANTS

United States

Under Secretary Dillon

General Robert Cutler

Mr. John Leddy, Special Assistant to the
Under Secretary

Edward S. Little, Charge d'Affaires a.i.

J. L. Hummel, Director of USOM/Ecuador

J. T. Rogers, First Secretary, Embassy Quito

Ecuador

Minister-Designate (Foreign Affairs)

Jose Ricardo CHIRIBOGA Villagomez

Minister-Designate (Development)

Jaime NEBOT Velasco

SUBJECT

Ecuador's Economic Development Needs

Minister-Designate Nebot repeated in part remarks already made by Chiriboga on the nature of the social revolution of June 1960 elections. If their aspirations are not satisfied, people of Ecuador would take a road other than that of peaceful election to achieve their objectives.

Nebot pointed to the deterioration in Ecuador's terms of trade over the past 20 years and the decline in the annual increase of the Gross National Product. The problem of unemployment is increasing, he said, with a 3.1 percent annual increase in population, which meant 50,000 new jobs required annually. This number of new jobs are simply not available. He said Ecuador needed help particularly in medium industries which complement Ecuador's basically agricultural economy. He mentioned specifically electric power, highway construction, and social needs such as housing. Nebot emphasized that effective help is needed quickly and that not a great deal of time is available. He added that at the moment there is no Communist representation in Congress and no major division in Congress as regards economic cooperation with the U.S.

In response, the Under Secretary reviewed U.S. economic aid policy over the past twenty years, pointing out that through the experience of the Institute of Inter-American Affairs and of Point IV we have learned a good bit, including the fact that in order to make development

¹ Source: Department of State, Conference Files, Lot 64 D 559, CF 1750. Confidential. Information on the source text indicates that this conversation took place in the U.S. Ambassador's residence at 3 p.m.; it described a continuation of the conversation reported in Document EC-17 on a different subject.

and assistance programs work, much more than money is required. Trained personnel are absolutely essential to the success of any program, whether in industry or such fields as public administration. We have also learned, said the Under Secretary, that programs can be successful only if their benefits are visible to the people.

The Under Secretary said that the recently announced Program for Social Development in Latin America was initiated particularly because of our feeling of hemispheric solidarity with Latin America and because it appears that most Latin American Governments shared U.S. views in this field and believe that effective cooperation is possible.² The program will probably be carried out largely through the Inter-American Development Bank and the United States is ready to work with Ecuador in the fields of agriculture, road construction, credit, power supply, training of personnel, urban housing, etc. Much of this will be organizational help since it is beyond our capability to do everything. We need to begin work where we can—where good planning exists—before the Program for Social Development becomes effective next spring. Other cooperative arrangements have been made recently, on the basis of excellent planning, with Peru for development of its eastern area and with Colombia (to be announced shortly) in the field of housing, land settlement, education and general development after careful study by ICA.

The Under Secretary emphasized his belief that this type of development, on the basis of adequate preparation, is much better than the other road for the people of Ecuador, the road of giving up their freedom in return for promises. He said that President Eisenhower had asked him to express his best wishes to the new President of Ecuador and his associates, and to say that the United States wants very much to cooperate with Ecuador. Naturally we must operate under certain laws which require that we know what we are doing before we do it. Speed in fact results from good planning, frequently based on studies made by DLF or other missions.

The Under Secretary mentioned that the Geodetic Survey mapping program is obviously very fundamental in Ecuador's development program. An application to the DLF for this program could be handled very quickly. The Under Secretary also referred to ICA, DLF and other missions which are to visit Ecuador shortly and to the future role of the Inter-American Development Bank. The Bank, he said, would be helpful in technical assistance fields as well, and in many ways the use of bank personnel might be more advisable than the use of U.S. technicians.

² For documentation on the referenced program of aid to Latin America, see Documents ETA-34, 36-37, 39-40, 44-45, 49.

Minister-Designate Chiriboga responded by saying that Ecuador was very much impressed that the United States—after having benefitted from its earlier mistakes—had concluded that more help must be given to Latin America. He said Ecuador is working hard on specific, clear-cut projects and that a number of these would be ready in early October, some of which would be worked out by U.S. companies. Minister-Designate Chiriboga mentioned a number of missions—World Bank, Exim Bank, housing etc., and emphasized the need for speed, saying he was frankly somewhat afraid for the future. He thought the housing project was especially urgent and mentioned the arrival of the ICA technician Baruch on September 10. He said he had spoken recently to Vance Brand about a \$5,000,000 loan for housing³ and that the firm of Klein-Saks is sending a mission on September 15 to make a survey of taxation problems and to reorganize the Banco de Fomento.

The Under Secretary referred back to the growth of Ecuador's Gross National Product and said he hoped Ecuador could avoid the two extremes of stagnation and inflation. He said there had been an evolution in U.S. thinking the past two or three years with regard to the problem of commodities. We now realize that it is not simply a problem of buying in the cheapest market available. Some success has been achieved in the case of coffee and now it is not only the U.S. Government which supports the international coffee agreement but also U.S. importers. There are difficult problems in other fields—cotton, lead and zinc—but despite limitations the U.S. is interested in and working on these problems on a case-by case basis.

Minister-Designate Nebot brought up briefly the problem of price discrimination against Ecuadorean bananas, with Central American bananas receiving higher prices. This is a matter of life and death. He said he hoped some control over price discrimination might be possible.

The conversation was broken off at this point because of other engagements and no response in substance was made to Nebot's statement.

³ The Development Loan Fund entered into a loan agreement for \$5 million with the Ecuadoran Housing Bank on October 31, 1961; for further information, see Agency for International Development, Office of the Controller, *Status of Loan Agreements as of December 31, 1964*, p. 15.

EC-19. Editorial Note

In despatch 135 from Quito, September 26, 1960, the Embassy reported that students demonstrating over Ecuador's border dispute with Peru stoned the U.S. Consulate General at Guayaquil and damaged a staff car on September 22. According to the Embassy's report, the police intervened promptly. (722.00(W)/9-2660) A classified report entitled "Assaults and Other Acts against United States Personnel and Installations Abroad, 1960–1965" (Department of State Historical Office Research Project No. 782, February 1967), page 10, contains further information on this incident. Additional reportage on the demonstrations is in Department of State file 122.437.

EC-20. Circular Telegram from the Acting Secretary of State to the Diplomatic Missions in the American Republics¹

Washington, September 27, 1960, 2:22 p.m.

456. Informal meeting representatives for guarantor powers took place in New York 9:30 am September 26. Secretary stressed informal character of meeting. Following expression of views by Lafer of Brazil, Taboada of Argentina and Muller of Chile² agreement reached that both Peruvian and Ecuadorean delegates at UN meeting would be informed of following by four governments acting separately:

1. Meeting was informal in character. No announcement or statement will be issued.

2. No formal meeting of the guarantor powers will be held until after the Quito Conference. However, if there should be a unilateral denunciation of the treaty before then, it would be necessary for the guarantors to meet to consider the situation.

3. Guarantor powers could not be expected to agree to any unilateral denunciation of treaty.

¹Source: Department of State, Central Files, 622.233/9-2760. Confidential. This telegram was drafted and signed by Thomas C. Mann, Assistant Secretary of State for Inter-American Affairs. It was also sent to the U.S. Consulate at Ciudad Trujillo.

²Reference is to Foreign Ministers Horácio Láfer of Brazil and Diógenes Taboada of Argentina, and Walter Müller, Chilean Representative on the Council of the Organization of American States.

Principal point made by Lafer was that it would be absurd for guarantors to accept Ecuadorean doctrine of nullity since major part of treaty provisions have already been implemented. He suggested possibility of mediation re part of boundary not yet agreed upon.

Taboada observed Ecuador had not yet formally denounced treaty and reported Frondizi,³ had informed Velasco Ibarra Argentine disposed to view problem calmly on assumption Ecuador would maintain same attitude of calm. Fonmin expressed opinion treaty could not be nullified by unilateral act of Ecuador and expressed opinion formal joint demarche by guarantors unwise.

Muller agreed with Taboada four power demarche unwise and expressed preference for bilateral discussions in Quito designed to encourage Ecuadorean government refrain from additional statements and actions. He said Chile would consider unilateral denunciation unacceptable.

Dillon

³ Arturo Frondizi, President of Argentina.

EC-21. Telegram from the Secretary of State to the Embassy in Rio de Janeiro¹

Washington, October 27, 1960, 11:11 a.m.

525. Following are Department's views on substantive issues presented by current Peruvian-Ecuadorean dispute (Deptel 493 to Rio, Rio's 545, 550 and 565 to Department and Lima's 286 to Department).² You should discuss these points of view with representatives other Guarantor powers with view to eliminating confusion and reaching precise agreement:

(1) We consider 1942 Protocol between Ecuador and Peru currently valid and binding on both Governments particularly in view of approval by Congressional bodies both countries as provided in

¹ Source: Department of State, Central Files, 622.233/10-2560. Confidential; Niact. This telegram was drafted by Assistant Secretary Mann and initialed by the Secretary of State. It was repeated to Quito, Lima, Buenos Aires, and Santiago.

² None printed; the file numbers respectively are 622.233/10-1960, 10-2060, 10-2160, 10-2560, and 10-2260.

Article IX. This has always been U.S. position. The word “currently” as used above is intended to recognize that Government of Ecuador has right to request that its claims of invalidity of protocol based on (a) duress and (b) impossibility of applying boundary description to the ground (the watershed issue under Article VIII B(1) of Treaty) be submitted to the International Court of Justice. For the Department to recognize that Ecuador has right to make such a request does not imply that Department considers that Ecuador’s claims in this respect are necessarily valid or that they would probably be sustained by the International Court. Furthermore, we recognize that Peru’s agreement to submission of Ecuadorean claim to International Court would be necessary as neither country has accepted compulsory jurisdiction of Court. In this connection we note Embassy Lima believes there is little likelihood that Peru would agree at this time to a reference of Ecuador’s claim to the Court.

(2) Department also considers that the 1942 Protocol may not be nullified or abrogated by a unilateral declaration on the part of the Ecuadorean Government. There are no caveats or qualifications to this second point.

(3) Department also considers that under terms of the 1942 Protocol Guarantors currently repeat currently have two principal responsibilities. The First relates to the “guaranty” under Article V. The Protocol does not define the word “guaranty” but it would seem to impose upon the Guarantors a duty to use their good offices to the end that Peru and Ecuador accomplish the definitive demarcation of the frontier line and that Peru and Ecuador resolve any legal difficulties which stand in the way of that demarcation. The second responsibility of the Guarantor powers arises under Article VII of the Treaty which specifically provides that any disagreement arising in the execution of the Protocol “shall be settled by the parties concerned” with the “assistance” of the Guarantor powers.

Foregoing is consistent with comments which Department has made (Deptel 493 to Rio) regarding Peruvian assertions that Protocol is “untouchable”; that existing boundary markers are “immovable”; and that parties should renew activities to complete demarcation. These would seem to deny, by affirmative guarantor decision, the possibility of future reference of legal issues to International Court. In our opinion Guarantors should carefully avoid arrogating a judicial function to themselves.

Following are Department’s views on tactics and procedures:

(1) No “gentlemen’s agreement” concerning any future Guarantor meeting was entered into with Ecuador by Guarantors (Quito’s 231).³ The Guarantors informal decision among themselves on September 26

³ Not printed; 622.233/10–2160.

(Depcirtel 456)⁴ was based upon premise that Ecuador would cease publicly agitate border issue and was designed provide cooling off period both countries. This was made clear to Chiriboga (Deptel 430).⁵

(2) In view of continued agitation of issue, Department believes a joint statement should be made by Guarantors rather than separate statements which would be subject varying interpretations. This would presumably include a clear statement of Guarantors position that Protocol cannot be invalidated by the unilateral act of one of the parties.

(3) The text of statement can we believe best be worked out in Rio, to be cleared then with Department and presumably other Foreign Offices. We believe that it should be designed to encourage both Peru and Ecuador to cease public agitation of issue having in mind the need to maintain peaceful, friendly relations between the two countries and the need for a united hemisphere capable both of facing up to the intensified external and internal threats to its wellbeing and to the grave economic and social problems facing it. Some of the language used in Article I of Protocol and in last year's draft Guarantor statement might be useful in this regard.

(4) Department sees merit in suggestion made to us by Chileans that statement would have less adverse impact on Ecuadoreans in particular if it were issued in response to Chiriboga's message apparently sent to all Guarantors. (Lengthy telegram October 22 addressed to Secretary⁶ presumably similar to memoranda you refer to as having been received by Brazilian and Chilean Foreign Offices from Chiriboga.) Statement might also refer in general to various memoranda received by Guarantors from Peruvians. Department suggests that, before text of statement is made public, later on behalf of Guarantors might consult with Rio representatives of both Ecuador and Peru re statement. Later might wish to make clear to Ecuadoreans that statement is directed to issue of unilateral denunciation and is not intended close door on possibility of eventual settlement satisfactory to both Peru and Ecuador.

Herter

⁴ See Document EC-20.

⁵ Sent to Quito as telegram 222, October 1.

⁶ Text in circular airgram CG-387 to Rio de Janeiro, October 27, 1960; 622.233/10-2760.

EC-22. Telegram from the Secretary of State to the Ecuadoran Foreign Minister (Chiriboga)¹

Washington, December 7, 1960, 2:56 p.m.

Excellency:

I have the honor to acknowledge the receipt of your telegram of October 23, 1960² in which Your Excellency informs me that the government and people of Ecuador proclaim their rejection of the Protocol of Rio de Janeiro of 1942 and state the reason on which this position is based. In full agreement with the other guarantor powers to whom Your Excellency addressed yourself simultaneously in identical terms, I take the liberty of making the following response to Your Excellency's remarks, which are a cause of concern to the powers guaranteeing the Protocol.

It is a basic principle of international law that the unilateral win of one of the parties is not sufficient to invalidate a boundary treaty nor to liberate it from the obligations imposed therein. Only mutual agreement by both parties can modify its provisions or attribute competence to an international tribunal to judge questions which may arise regarding such an instrument. For these reasons, until the sovereign and agreed will of Ecuador and Peru otherwise dispose, my country considers that the Protocol of Rio de Janeiro—signed and ratified by Ecuador and Peru and already applied in almost its entirety through practical acts of demarcation to which the parties themselves attributed definitive character—is a valid instrument and should be complied with. Moreover, my government considers that any doubts which may arise between the contracting parties in the process of practical execution of the Protocol in the as yet undemarcated part of the frontier should be amicably resolved in accordance with Article 7 of that instrument with the assistance of the guaranteeing powers. Based on this viewpoint and in its capacity as a guarantor country my Government, faithful to formal undertaking assumed under the terms of the Protocol and animated by the most sincere feeling of friendship for both contracting parties, is disposed at any moment, in concert with the other guarantors, to render them its assistance in search of a happy solution of any disagreement between them.

¹ Source: Department of State, Central Files, 622.233/12-760. This telegram, evidently unnumbered, was drafted by Richard A. Poole, Officer in Charge of Peruvian Affairs and John T. Dreyfuss, Officer in Charge of Ecuadoran Affairs; and initialed by the Secretary of State. The Foreign Ministers of the four Guarantor States (Argentina, Brazil, Chile, and the U.S.), named in Article V of the Rio Protocol of 1942 sent identical telegrams, with the necessary changes, to Ecuadoran Foreign Minister Chiriboga on December 7.

² Not printed; 622.233/10-2760.

With regard to the preoccupation manifested by Your Excellency concerning the concentration of Peruvian troops which may have been observed on the southern frontier of Ecuador, I wish to manifest to Your Excellency my confidence that no American country could today challenge the peaceful conscience of the continent and to remind you that solidarity in the face of aggression established by the Inter-American system is a secure guarantee against any armed threat.

The United States, together with the other guarantor countries, is confident that the contracting parties will maintain between themselves the close harmony and fraternal union which should prevail between republics of the American Continent.³

Accept, Excellency, the renewed assurances of my highest consideration.⁴

Christian A. Herter

³ In telegram 758 from Rio de Janeiro, December 9, the Embassy quoted an appeal sent that day by the Brazilian Foreign Office to the Peruvian and Ecuadoran Foreign Ministers on behalf of the guarantor countries of the Protocol of Rio de Janeiro. They appealed to Ecuador and Peru "to remove all reasons for tension between them and establish an atmosphere of goodwill in their mutual relations which would permit them to overcome their present misunderstandings." The guarantor powers offered "to lend every assistance toward that end." (622.233/12-960)

⁴ The Spanish text of an eight-page telegram from Ecuadoran Foreign Minister Chiriboga to Secretary of State Herter, December 8, replying to the present telegram, is in ARA/EP Files, Lot 67 D 566, "Peru Relations—Peru-Ecuador Boundary."

EC-23. Memorandum from the Director of Intelligence and Research (Cumming) to the Secretary of State¹

Washington, December 16, 1960.

SUBJECT

Intelligence Note: The Situation in Ecuador

Dr. José María Velasco Ibarra was swept into the presidency on June 5, 1960 by almost an absolute majority of the total votes cast in a four candidate race. President of Ecuador three times previously (1934-35, 1944-47, 1952-56), Velasco has retained his personal political

¹ Source: Department of State, Central Files, 722.00/12-1660. Secret. This memorandum was transmitted to the Secretary of State via the Executive Secretariat.

magnetism through persuasive, sometimes demagogic oratory, personal honesty, and a broadly defined program promising benefits both to the laboring classes and to business interests. Nicknamed *El Loco* (the crazy one), Velasco is temperamental, nationalistic, unpredictable, and although he recognizes the benefits derived from association with the United States, he places greater emphasis upon Hispano-Americanism than upon Pan-Americanism. Aware of the dangers of communism, Velasco has nevertheless publicly played upon the possibility of a closer association with Cuba and the Soviet Bloc in an attempt to further Ecuador's position in its boundary dispute with Peru.

Committed by his campaign to a program of prompt and effective economic development, Velasco, since his inauguration on September 1, instead has placed major emphasis on the long standing boundary dispute. By agitation of this issue Velasco has apparently hoped to obtain a revision of the Rio Protocol of 1942 which ended a limited border war between the two countries on terms generally favorable to Peru. The United States, Argentina, Brazil, and Chile countersigned the protocol as "guarantors". As a consequence of Velasco's affirmation that the Rio Protocol is null because Ecuador had agreed to it under duress, and after a telegram from Foreign Minister José Chiriboga to the guarantor powers pressing this thesis, the four guarantor powers issued a statement on December 7 which basically reaffirmed the protocol's validity short of an agreement by both countries for its modification or adjudication. The Ecuadorean reaction to the guarantors' statement was sharp and the popular demonstrations which followed were directed almost exclusively against the United States.² The Minister or Government, Manuel Araujo, a rabidly pro-Castro left-winger, has taken advantage of the widespread resentment to urge that Ecuador turn to the Soviet Bloc for support. The cabinet voted to establish diplomatic relations with the Soviet Union and Communist China and the Vice President, Julio Arosemena, publicly advocated declining the "dubious honor" of hosting the XI Inter-American Conference, once postponed and now rescheduled for Quito beginning March 1, 1961. However, there has already been substantial opposition to these gestures toward the Soviet Bloc by the more moderate elements within Ecuador and President

² In despatch 292 from Quito, December 12, 1960, Ambassador Bernbaum reported on the Ecuadorean reaction to the guarantor powers' declaration of December 7, stating that the physical damage to the U.S. Embassy and other U.S. buildings in Quito and Guayaquil was considerable. He predicted that Ecuador would neither accept nor implement the guarantor declaration in the foreseeable future. (622.233/12-1360)

A memorandum of December 15 from Deputy Director Samuel O. Lane of the Office of West Coast Affairs sent through Deputy Assistant Secretary Coerr to Assistant Secretary Mann summarized anti-U.S. demonstrations in Quito on December 9, and Guayaquil, December 9–10 and 13, resulting from the guarantor statement of December 7. (722.00/12-1560)

Velasco has indicated privately that he would not take the initiative to establish diplomatic relations with the Soviet Union although he would give favorable consideration to any such Soviet request. These relations, according to Velasco, would be completely without commitments or strings and the Soviet Embassy would be drastically limited in its size and activities. The factors mentioned above, combined with the favorable reception in Ecuador of the recent U.S. affirmation of our respect for OAS treaty obligations to come to the defense of any American nation which suffers aggression,³ have reduced the probability that diplomatic relations will be established with the Soviet Union or that the Inter-American Conference will be cancelled.

The decision as to whether, and if so, when, the XI Inter-American Conference will be held is now under consideration by President Velasco. His decision to attempt to hold the conference as scheduled, or to work for its postponement or cancellation, will be of major importance. Outright cancellation of the conference is reportedly favored by a majority of the cabinet and could imply Ecuadorean repudiation of the OAS. However, it is believed that Velasco is aware of the unfavorable impact that this would have on his economic development plans. Likewise, a further postponement of the Inter-American Conference would be a blow to Velasco's prestige as he has severely chastised the preceding administration for the original delay. Holding the conference in Quito as scheduled, or even after some delay, could possibly reinforce Ecuador's ties with the American system at a time when they are strained but also runs the risk of serious popular demonstrations against the OAS and the Rio Protocol guarantor powers. The situation is further complicated by the fact that the Minister of Government, Araujo, has authority over the police and conceivably could allow such demonstrations to wreck the conference. It has been reported that Velasco would like to remove Araujo from office prior to the date set for the conference. Yet, despite several opportunities, Velasco has failed to move against Araujo and Velasco may feel that he is unable to do so under the present conditions. In spite of the President's assurances that adequate security measures would be taken should the conference be held, there remains a probability of serious demonstrations as a result of deliberate leftist agitation of the already emotionally charged boundary issue. Barring a previous determination concerning the conference by Velasco, the situation will be discussed further when Foreign Minister Chiriboga arrives for a Washington holiday about December 22.

³ Reference is to a statement at the press briefing of December 13, 1960, by Lincoln White, Director of the Office of News; text in S/PRS Files, Lot 77 D 11, National Archives accession NC 3-59-77-3, Daily Briefings, vol. 22.

EC-24. Telegram from the Chargé in Ecuador (Little) to the Department of State¹

Quito, December 19, 1960, 7 p.m.

341. During past ten days relations between members of U.S. Army Mission and Ecuadorean officers with whom they normally do business have been cool and strained.

However, today during three hour conference General Calle, Chief Ecuadorean General Staff, categorically stated following to Chief U.S. Army Mission:

1. Ecuador will not accept military assistance from bloc countries.
2. He appreciates past U.S. Army assistance received and will appreciate similar aid in future.
3. Chief U.S. Army Mission and other officers of mission are free to express their opinions to him or to their counterparts.
4. Former friendly, personal relationships will be re-established.
5. All of his military efforts are and will remain directed toward defensive measures only.

Comment: Conference took place at usual Monday meeting with Calle. His comments reflect improved atmosphere following Araujo dismissal,² and are in accord general position set out by Velasco in meeting with Ambassador Bernbaum December 14 and in his subsequent public statements.

Little

¹Source: Department of State, Central Files, 722.58/12–1960. Confidential. This telegram was repeated to Lima and Guayaquil.

²In despatch 307 from Quito, December 20, the Embassy reported that President Velasco dismissed Minister of Government Araujo on December 16. According to this report, Araujo's "dismissal brought to a rapid close a period of leftist agitation without precedent in Ecuador." (722.00(W)/12–2060).

EC-25. Telegram from the Acting Secretary of State to the Embassy in Ecuador¹

Washington, December 29, 1960, 7:25 p.m.

390. Following statement will be issued by Department of State with approval Foreign Minister Chiriboga to hold for release twelve o'clock noon Washington time December thirtieth.² Embassy should communicate this joint statement to Government of Ecuador for concurrent release.

"The United States and the Government of Ecuador today made the following joint announcement:

Foreign Minister José R. Chiriboga of Ecuador has consulted during the past few days with high level officials of the Department of State and of various United States Government financial institutions concerning President José María Velasco Ibarra's economic and social development plans and the part that the United States can play in assisting Ecuador to realize these plans to raise the standard of living of its people. Various missions from the United States have already performed preliminary surveys of the projects Ecuador hopes to accomplish in the fields of low-cost housing, electrification, road construction, provision of potable water to various Ecuadorean communities, and economic mapping of the country. On the basis of these studies and the discussions with Foreign Minister Chiriboga, U.S. officials are confident that prompt consideration can be given to the proposals for loans that Ecuador plans to submit in the near future.

The projects discussed that appear to be promising include the following: Assistance to Ecuador in establishing savings and loan institutions that will permit low-cost housing to be made available to people of modest means, as well as assistance in initiating 'self-help' housing in Ecuador.

Construction of first class roads from Santo Domingo to Esmeraldas and from M. J. Calle to Huaquillas.

Municipal water systems which would contribute to the economic growth of Ecuador and the welfare of its citizens.

Electric power installations in the Manta-Bahia de Caraquez area, with accompanying transmission systems, and projects to increase

¹Source: Department of State, Central Files, 722/5-MSP/12-2960. Official Use Only. Drafted by Dreyfuss and signed by Lane.

²It was issued as Department of State press release 713 of December 30 and printed in the Department of State *Bulletin*, January 16, 1961, p. 83.

the power generating capacity in Cuenca, Alao-Riobamba, San Jose, and Loja.

Mapping of Western Ecuador as a preliminary to establishing development projects.

U.S. officials are awaiting receipt of loan applications for these projects and for others which are still in the preliminary state, and look forward to careful consideration of these projects as they are submitted and to further mutual consultation with the Government of Ecuador.”

Merchant

El Salvador: U.S. Relations with El Salvador

ES-1. Despatch from the Ambassador in El Salvador (Kalijarvi) to the Department of State¹

San Salvador, March 6, 1958.

No. 481

SUBJECT

Possible Deterioration in Relations with the Salvadoran Government

While our relations with the Lemus Government have been cordial and friendly, a number of recent developments taken in toto threaten to produce a cooling off by the Salvadoran President and his Government towards the United States.

The Lemus Government has given plenty of concrete evidence of its friendliness. A few typical instances might include the following:

(1) The release of the U.S. flag fishing vessel *Kokomo* immediately after its seizure without formal protest on our part, in a most cordial atmosphere;²

(2) President Lemus' freely given all-out support and publicity for President Eisenhower's letter to Bulganin,³ including his own long and favorable written commentary;⁴

¹ Source: Department of State, Central Files, 611.16/3-658. Confidential. Drafted by Kalijarvi and Vallon.

² On December 18, 1957, a Salvadoran patrol boat seized the U.S. flag fishing vessel *Kokomo* about eight miles off the coast of El Salvador for allegedly fishing in Salvadoran waters. Lemus ordered the vessel released after representations by the American Embassy and evidently by President Somoza of Nicaragua whose family had a business interest in the *Kokomo*. Documents pertaining to this subject are in Department of State decimal file 611.166 *Kokomo*.

³ Reference is to Eisenhower's letter of January 12, 1958, to Nikolay Aleksandrovich Bulganin, Chairman of the Council of Ministers of the Union of Soviet Socialist Republics; for text, see *Public Papers of the Presidents of the United States: Dwight D. Eisenhower, 1958*, p. 75.

⁴ Reference is to a letter from Lemus to Eisenhower, January 30, 1958; a copy is in Presidential Correspondence, Lot 64 D 174. On January 22, Kalijarvi had delivered to Lemus a copy of Eisenhower's letter to Bulganin.

(3) The general support of the Government of El Salvador for the U.S. position in the U.N. and the particular support for the election of William Sanders as Assistant Secretary General of the OAS;

(4) The conciliatory efforts of the Foreign Office to accommodate the Salvadoran constitutional 200-mile territorial water limit to the United States position regarding conservation of resources and freedom of the sea. As part of that effort, the Salvadoran delegate to the Geneva Conference spoke in favor of the United States position barring the admission of Communist China to the Conference.⁵

(5) The signing recently of a new Air Mission Agreement,⁶ in spite of the higher costs imposed on the Salvadoran Government for the maintenance of the Mission here.

All of these illustrations testify that relations could not have been more cordial and friendly in spite of the stand the Embassy has had to take opposing the position of El Salvador on certain issues.

While the Lemus Government has cooperated with us cheerfully on important issues, our concessions to them have been few and relatively minor in importance. There were accommodations made to El Salvador during the Osorio administration;⁷ but since the inauguration of President Lemus, the one major favorable concession on our part has been the agreement to sell 28 U.S. used airplanes to El Salvador.

It is against this background that we measure the present problem. Each item that follows can be defended cogently and persuasively as the proper course for the United States to follow. Each can be justified in terms of our policies and objectives. Each alone can be managed within its own context. However, when all are taken together the composite is not manageable. In combination they raise the broad question of whether we have given enough attention to the overall aspects. They also raise the further question, Does the Department consider that any changes are in order?

(1) *The delay in inviting Lemus to Washington.* The Lemus visit has been under consideration for more than a year. He first publicly expressed a desire to visit the United States while President-elect. Neither Lemus nor any of the other high officials of his Government have made any secret of the importance they attach to this visit. It has been the subject of radio and press commentary. In a recent conversation with the U.S. Military Attaché in El Salvador, an official of the

⁵ Reference is to the United Nations Conference on the Law of the Sea, held at Geneva, February 24–April 27, 1958; for documentation, see *Foreign Relations, 1958–1960*, vol. II, United Nations and General International Matters, Chapter 8.

⁶ For the text of the Air Force Mission Agreement, signed at San Salvador, November 21, 1957, see *United States Treaties and other International Agreements (USTI)*, vol. 8 (pt. 2), p. 2356.

⁷ Lt. Col. Oscar Osorio, President of El Salvador, September 14, 1950–September 14, 1956.

Salvadoran General Staff said President Lemus had expressed his disappointment to the staff officer over the failure of the United States Government to invite President Lemus to Washington for a state visit.⁸

(2) *The visit of Ydígoras Fuentes and the proposed visit of Echandi to Washington.* While President Lemus has made no public comment on this score, he cannot have failed to be nettled at the extension of the official invitation to Ydígoras Fuentes to visit the United States, especially since the invitation was announced while Ydígoras was visiting El Salvador. It was a front-page story in all the newspapers and the subject of radio announcement. It is small comfort to President Lemus that these visits have occasionally been referred to as informal or that the visits have been made in an individual capacity since the men in question have gone as president-elect and not as chief of state. It is impossible to explain convincingly the difference between a formal and an informal visit when the news reels in El Salvador show Ydígoras Fuentes and his wife debarking from President Eisenhower's plane, being met at the Washington airport by Secretary of State and Mrs. Dulles, and thereafter being escorted to Blair House. Furthermore, the newspapers have played up Ydígoras' conversations with President Eisenhower and meetings with other high officials of the United States Government. They draw no distinction between the Ydígoras visit and that of other high dignitaries to Washington. Informal comments by private individuals, some with official connections, substantiate the above evaluation. "The forthcoming visit to Washington by President-elect Echandi is certain to increase the feeling of President Lemus and other Salvadorans that he is given unequal treatment or inadequate consideration by the United States."

(3) *The state visit of President Ibanez of Chile.* In this context the long-standing intention to invite President Ibanez to the United States loses its proper perspective. While the press-announced invitation extended to Ibanez may not have been as irritating as the visits of Ydígoras Fuentes and Echandi, nevertheless, coming on the heels of the other invitations, it has served further to disillusion President Lemus with the United States.

(4) *Drafting of Salvadoran Citizens.* Disappointments such as those recounted stir up other problems. We were unable to assure the Government that Salvadoran citizens resident in the United States would not be drafted except during time of war as provided for in the 1926 FCN Treaty.⁹ The Department agreed that such acts were in

⁸ No record of this conversation with Lt. Col. Robert S. Ferguson, USA, was found in Department of State files.

⁹ Reference is to the Treaty of Friendship, Commerce, and Consular Rights, signed at San Salvador, February 22, 1926; for text, see Charles S. Bevans, ed., *Treaties and Other International Agreements of the United States of America, 1776-1949*, vol. 7, p. 521.

violation of the Treaty and sought to correct the situation by eliminating Article 6 from the Treaty. The Government of El Salvador would have been willing to accept the revision of the Treaty had it been possible to assure them that no Salvadoran would be drafted until one year after the date of notice. We were unable to do so, and as a consequence the Salvadoran Government felt obliged to interpret the notice, correctly so according to the Legal Division of the Department, as a termination of the entire Treaty.¹⁰

(5) *Three-cent tax on soluble coffee.* The 1936 Trade Agreement between the United States and El Salvador,¹¹ provides for the free entry into the United States of coffee. United States tariff schedules, however, provide for a \$.03 per pound tax for coffee substitutes, essences and adulterants. El Salvador interprets the word “coffee” in the 1936 Treaty in its generic sense to include all kinds of coffee. United States customs officials, however, ruled Salvadoran soluble coffee dutiable under the Tariff Act.

(6) *The \$250,000 check to Cruz Salazar.* In the conversation with the United States Military Attaché referred to above, the official of the Salvadoran General Staff said that President Lemus had received a photostatic copy of a check for \$250,000 made out to Colonel Cruz Salazar and signed by the chief of the Point IV Mission in Guatemala. He said that President Lemus’ interpretation of the check was that it had been given to Cruz Salazar by the United States Government as part of a deal to insure the election by the Guatemalan Congress of Ydígoras Fuentes. He said that this check provoked President Lemus’ further disillusionment with the behavior of the United States Government. While this can undoubtedly be explained, the possibility remains that Lemus may also consider this in terms of the large amount of assistance being provided to Guatemala by the United States as compared with the absence of grant aid to El Salvador. Many Salvadorans have made no secret of what they claim to be the premium the United States Government places on aid to unstable governments while ignoring the no-less-needy but more stable and democratic Latin governments.

(7) *Lemus’ request for an MDAP Treaty.* Although the Lemus Government is aware that former President Osorio turned down the United States offer of an MDAP agreement, it does not feel bound by the earlier decision of the Osorio administration. President Lemus has expressed interest in an MDAP agreement. This was discouraged by the

¹⁰ The Treaty terminated February 7, 1958; pertinent documents are in decimal file 611.1696.

¹¹ Reference is to the Reciprocal Trade Agreement, signed at San Salvador, February 19, 1937; for text, see 50 Stat. (pt. 2) 1564.

Embassy, which informed Lemus that no funds were available for such a pact. As long as the neighboring countries, Honduras, Guatemala, and Nicaragua, have MDAP agreements with the United States and El Salvador does not, some residue of resentment on this score will continue to exist here.

(8) *United States Officers for the Escuela de Guerra.* Some months ago officials of the Salvadoran Army put out feelers as to whether the United States could provide two officers to teach in the Escuela de Guerra as partial replacements for the departed Chilean Army Mission. The Chief of the United States Army Mission discouraged this request on the grounds that Salvadoran officers can be trained better in army schools located in Panama or in the United States. The United States Military Attaché informs us that two Chilean officers are en route to El Salvador, possibly to fill the positions mentioned.

(9) *Mrs. Lemus' Welfare Program.* Mrs. Lemus has been critical regarding failure of the United States to assist her in her welfare program, alleging that the Embassy promised to provide such help. The Embassy made no such promise but said it would see what could be done regarding any request she made. No such request has been forthcoming. Nevertheless, Mrs. Lemus again criticized the Embassy, along with other international agencies of the United Nations, for failing to help her with the program.

(10) *Development Loan Fund Application.* We have had to be lukewarm in dealing with El Salvador on the \$8,000,000.00 loan sought for improvement of the conditions of the campesino, primarily because many projects contemplated do not seem to fall within the criteria of the fund. This may account for the delay on the part of the Salvadoran Government in submitting a formalized application for the loan.

This list of issues is not exhaustive. As already stated, the items taken together add up to a possible cooling off by the Lemus Government. Not only has this been reported by a member of the President's Staff, but our own sources bear it out, and members of the Mission have sensed some change in attitude. The change in attitude is the result of what might be termed negative actions on the part of our Government rather than any sudden reversal based on any single item. As already noted, each United States action can be justified on political, legal, or other grounds, especially when taken in its individual context. Nevertheless, the net effect is adverse from our standpoint. Interpreted from the Salvadoran point of view, we are either lacking in understanding or out of sympathy with Salvadoran aspirations. It should be emphasized that the Mission here has at no time been in conflict with the Salvadoran Government on matters at issue. On the contrary, in spite of the unfavorable positions we have

had to take, relations up to the present moment could not have been more cordial and friendly.

This despatch is not a criticism of any action undertaken in the past, but is prepared to lay before the Department the need for affirmative action. It is the opinion of this Mission that the opportunity still exists for overcoming whatever bad impression President Lemus may have acquired regarding our attitude towards his Government. This can most impressively be done by issuing an invitation to President Lemus for a visit to the United States and by making some kind of loan available for his campesino program. Furthermore, sometime subsequent to the Lemus visit, an invitation should be extended to the Minister of Defense, Adan Parada, and one or two high-ranking military officials to visit the United States.

Thorsten V. Kalijarvi

**ES-2. Summary of Discussions during Milton Eisenhower's
Visit to El Salvador, July 27–30, 1958¹**

Undated.

Discussions in El Salvador were held by Dr. Eisenhower and members of his party with President Lemus, members of the Government, businessmen, labor leaders, and others. No formal meeting other than the meeting with businessmen was held as such. President Lemus and Dr. Eisenhower traveled extensively together and discussed many subjects.

¹ Source: Department of State, ARA Special Assistant's Files, Lot 60 D 513, "Eisenhower, Milton: El Salvador, 1958." Confidential. The source text is an unsigned carbon copy. President Milton S. Eisenhower of Johns Hopkins University made a three-week fact-finding trip, July 12–August 1, 1959, as personal representative of the President, to Panama, Honduras, Costa Rica, Nicaragua, El Salvador, and Guatemala. He was accompanied by Roy R. Rubottom, Jr., Assistant Secretary of State for Inter-American Affairs; Tom B. Coughran, Assistant Secretary of the Treasury; Dempster McIntosh, Manager, Development Loan Fund; and Samuel C. Waugh, President, Export-Import Bank of Washington. For further documentation on the trip, see Documents ETA-7; CO-1; CR-6-9; ES-2, 5-6; GT-8, 24; HO-3; NI-4, 7-9; PM-3; PA-7. Despatch 55 from San Salvador, August 11, 1958, transmitted memoranda of conversations of the Eisenhower mission in El Salvador. (120.1520/8-1158) Despatch 83 from San Salvador, August 26, 1958, supplemented despatch 55 with a report on Eisenhower's visit to El Salvador. (120.1520/8-2658) For Milton Eisenhower's report to the President, December 27, 1958, see the Department of State *Bulletin*, January 19, 1958, p. 89.

President Lemus said that his administration was based on two principles: honesty in Government and better living conditions. He stated that neither he nor any of his Ministers were dipping into the public coffers. He could not say that Government officials might not try to do so in the future, but anyone who did would go to jail. The President expressed his feeling that the three biggest problems in El Salvador were housing, education, and public health, and he felt these really had to be considered as one single problem. His administration had undertaken a bold program to solve these problems, but they had not expected the world economic recession, with the consequent drop in commodity prices, and they hoped some way could be found to enable them to go forward with this program. The administration planned the construction of 2,000 more schools, and since his inauguration 40,000 additional children had been enrolled in the schools. The president said it was necessary to fight communism by accomplishments. The communists promised but did not fulfil their promises. They had ruled Guatemala for ten years but they had achieved nothing. However, in order to deprive them of arguments they could use, it was necessary to improve the living conditions of the masses. In addition to the Government's bold housing program, it would likewise be necessary for the big landholders to build homes for their tenant farmers. A very few had done so, but not many. The Government was going to press them to do so and if they still did not the Government would find means to compel them to undertake programs of this type either by passing a law, or else by making it possible for them to deduct some part of the cost of construction of these workers' homes from their taxes.

The President on several occasions said tribute to the great assistance which the United States had rendered to El Salvador, particularly in the field of technical cooperation. He indicated a need for help at the agricultural school but at no time did he or any other Salvadoran official mention specific sums or loans, other than to say that they hoped to be able to go forward with their housing, education, and public health programs. The President spoke with feelings of the hardships caused in El Salvador by the drop in world coffee prices. He did not, however, as was frequently the case elsewhere, believe that the United States could correct this situation by some arbitrary action.

The President indicated that he strongly favored the union of Central American states as a means of providing all the countries of the area with a broader market for the free government of labor and goods. This would contribute to raising the living standard of the inhabitants of all those countries. He spoke also of the problem of over-population in El Salvador where 2.5 million people occupy some 8,000 square miles.

President Lemus expressed violent opposition to communism in any form, and the need for the free world nations to unite their forces against this threat to human liberty. The President expressed interest in the matter of controlling the moves of communist agents in Central America. He said that the Salvadorans had been very vigilant during the period of communist rule in Guatemala and that this vigilance was still required. The Commandant of the Military Academy, during the ceremonies at which Dr. Eisenhower presented a United States flag to the Academy, spoke words of praise for NATO and said that the nations of the hemisphere should stand with this organization in defense of world peace.

President Lemus, speaking of President Luis Somoza of Nicaragua, said he believed that President Somoza was an honest man and that he intended to implement his announced decision to return the country to a more democratic way of life. However, he was faced with vested interests and duress that made it difficult for him to make radical changes in the policies of his father. President Lemus also stated his belief that President Somoza intended to pursue a more cooperative and friendly policy toward the other countries of Central America. He expressed his belief in President Somoza's sincerity and said that it would be difficult for the Nicaraguan President to make changes quickly but he had no doubt that he would make these changes. He said that he would sum up his opinion of President Somoza by saying that he was a sincere, honest, and upright man.

The President expressed great concern with the lot of rural workers in El Salvador, and expressed determination to do something for them under his Campesino Program.

The President on a number of occasions spoke of how much he was looking forward to his visit to the United States early next year. The President also spoke with satisfaction of the recent agreement between the Central American countries which eliminated the need for visas.

A group of non-communist labor leaders also spoke to Dr. Eisenhower and Assistant Secretary Rubottom at some length. They spoke out sharply against the attitude of the big landowners whose greed in their opinion fed grist to the communist mill. They said that if the big plantation owners and landowners would only be a little more human now they might save themselves trouble in the future. They spoke feelingly of the low wages paid the workers on the land, and the great disparity of wealth and poverty in the country. They seemed to feel that in some way the United States might bring some sort of pressure to bear on the landowners to pursue a more liberal policy.

The presence of sixteen graduates of Johns Hopkins University highlighted further the close cultural connection between El Salvador and the United States. At the meeting with the businessmen at the Embassy, no translation was required as all of those present spoke English.

Unlike other Central American countries, no specific program was submitted, nor were specific requests for assistance made.² A general expression of need for assistance was made in the three fields referred to previously of housing, education, and health. The President spoke of his desire to complete the Acajutla Port Project.

The Salvadorans in a note, now almost a year old, have asked the United States Government for a loan of \$8 million,³ but they have never come up with any concrete projects for the rural improvement program in which Lemus appears so interested. We have on several occasions, without result so far, informally explained that before consideration can be given to their loan application, they must provide us with a detailed explanation of their plans for using the money. Without having their explanations, we now believe the DLF would be the only agency that could make such a loan to them, and we doubt present DLF policies would permit it to make such a loan.

CONCLUSIONS:—In view of the fact that no specific program was presented in El Salvador, it is difficult to comment in a detailed fashion, but it appears that some of the factors mentioned in connection with other countries of the area would hold true in this country. These are:

- (a) The need for an inventory of the nation's assets, both human and material;
- (b) The need for assistance in determining the feasibility of establishing new industrial enterprises and diversifying agricultural production;
- (c) An analysis and appraisal of the potentials of domestic and foreign markets, and a better understanding of the revenues that might be derived from tourism, and

² At a meeting between members of Eisenhower's mission and Salvadoran Government officials in San Salvador, July 28, 1958, concerning economic matters, Antonio Serrano Langlois, Salvadoran Under Secretary of Economy, distributed a memorandum of proposed development projects of the Salvadoran Government. He said the program required \$191 million, including \$84 million from his Government and \$107 million in foreign aid. (Memorandum of conversation by W. Douglas McLain, Jr., Third Secretary of the Embassy in El Salvador; enclosure 1 to despatch 55 from San Salvador, August 11, 1958; 120.1520/8-1158)

³ Reference is to a memorandum from the Salvadoran Embassy to the Department of State, October 2, 1957. (816.10/10-257)

(d) An examination of the structures and functions of Government agencies relating to the economic development of the country and an appraisal of the financial, tax, and trade policies which might best contribute to the nation's progress.

ES-3. Editorial Note

By an exchange of notes, dated April 23 and November 17, 1958, respectively, El Salvador and the United States agreed, effective November 17, to extend for four years the existing agreement providing for a United States Army Mission to El Salvador. Copies of the notes were enclosed in despatch 317 from El Salvador, December 10. (716.58/12-1058) For text of the agreement, see 9 UST 1484.

ES-4. Editorial Note

President Lemus of El Salvador made a state visit to the United States, March 9–21, 1959. On March 11, he had discussions with Acting Secretary of State Herter and President Eisenhower. Memoranda of these conversations are printed herein. On the same day, Salvadoran Foreign Minister Ortíz Mancía and Economics Minister Rochac met with Assistant Secretary of State Rubottom. A memorandum of this conversation is in decimal file 816.10/3-1159. Additional documentation on Lemus' visit is in decimal file 716.11; and Conference Files, Lot 64 D 560, CF 1207 and 1207A. For further information, see the Department of State *Bulletin*, March 9, 1959, page 330; and *Public Papers of the Presidents of the United States: Dwight D. Eisenhower, 1959*, pages 239, 241, and 253.

ES-5. Memorandum of Conversation by the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, March 11, 1959.

SUBJECT

Visit of President Lemus of El Salvador

PARTICIPANTS

President Lemus of El Salvador; Foreign Minister Ortiz Mancia; Minister of Economy Rochac; Minister of Public Works Parker; Economic Adviser Jorge Sol; Ambassador Castro; Acting Secretary Herter; Ambassador Kalijarvi; Mr. Rubottom

The Acting Secretary, after greeting the President and his party, commented on how much Secretary Dulles had appreciated the indication from President Lemus of his desire to call on him at the Walter Reed Hospital. He added that the Secretary was still under treatment and had not actually seen any of the members of his own staff in the last few days; therefore it would not be possible for him to have the pleasure of receiving the President, as much as he would have liked doing so. Governor Herter then voiced his awareness of the excellent speech made the day before to the Council of the Organization of American States by President Lemus² and offered to make arrangements for the President or any member of his party to meet with Allan Dulles, Director of the Central intelligence Agency.

President Lemus indicated an interest, if time permitted, and added that he would like for the Foreign Minister to meet with Mr. Dulles, even if he were unable to do so. The President pointed out the relationship between the communist problem and the socio-economic problem in his country and other countries.

Mr. Rubottom mentioned that the whole thrust of the U.S. policy was designed to attack the communist problem at its roots by helping the governments and the peoples to raise living standards and offer hope for the future. Governor Herter expressed his hope that the President would express some of these same ideas in his speech before the Congress, and the President indicated that he intended to do just that.³ The President stressed his interest in the economic integration of Latin America, and especially the five countries of Central America, as

¹ Source: Department of State, Central Files, 716.11/3-1159. Confidential. Approved by Acting Secretary of State Herter on March 24, 1959.

² For the text of President Lemus' speech before the Council of the Organization of American States on March 10, 1959, see PAU doc. C-a 302 (Protocolar 10 March 1959), p. 8.

³ For the text of President Lemus' speech before a joint meeting on Congress, March 11, 1959, see the *Congressional Record*, 86th Cong., 1st sess., 1959, vol. 105, pt. 3, p. 3899.

well as Panama if the latter were interested. Governor Herter expressed general agreement and suggested that the President might want to mention the subject in his talk with President Eisenhower. At that point President Lemus asked the Minister of Economy, Mr. Rochac, to express his views on the subject of economic integration.

Minister Rochac leaned heavily on the report of Dr. Milton Eisenhower,⁴ especially that section suggesting a pilot project of two countries like "El Salvador and Honduras".⁵ President Lemus interceded to say that El Salvador wanted to be not just a borrower of monies from abroad, but wanted to play an active role in economic development; he added that this should not be misunderstood since his country really needs assistance, but wants to do more than it has in the past.

Mr. Rubottom suggested that the pilot project, involving just two countries, might require rather delicate negotiation on the part of the countries concerned, since all the other countries of Central America were vitally interested in integration.

The United States had moved from a position of more or less passive acceptance of the plan of integration, to one of active and enthusiastic support of it, but it would be in an embarrassing position to favor any two countries over others in the area.

President Lemus referred to the recent visit through Central America of Messrs. Frank and Turkel to discuss with the Governments concerned, and anybody else interested, the subject of a regional market. He said that they were anxiously awaiting the report that might be filed following that trip, since the means to achieve integration had not yet been thoroughly defined.⁶

Minister Rochac said that, by having a pilot project of two countries, it would be possible to speed up the achievement of the objective of a Central American common market. They have already been working seven years and, unless something is done to break the road jam, it may require eight years more.

⁴ Reference is to the report (submitted) to the President by Milton S. Eisenhower on December 27, 1958. For information concerning the report, see footnote 1, Document ES-2.

⁵ The statement under reference does not appear in Eisenhower's report to the President.

⁶ Harry R. Turkel and Isaiah Frank of the Department of State visited El Salvador, February 18–22, 1959, on a mission to Central America, to discuss ways of speeding up Central American Economic integration. They talked with industrial and banking figures and government officials, including Lemus. He strongly supported the idea of Salvadoran economic integration with one or more Central American countries, perhaps Honduras or Guatemala, before economic integration of the whole area. Their report on the trip was not found in Department of State files, but documents pertaining to their discussions in El Salvador are in files 110.4-REA and 716.00 (W).

The Minister recalled how many civil wars had been fought in Central America toward the end of the last century and that these had been settled by the Pact of Washington in 1907,⁷ thanks to U.S. good offices. He hoped that we would be able to do the same in the economic field that we had done in the political sector back in that time. He stressed the need to raise living standards, since there is now no middle class in Central America.

Governor Herter said that we had been somewhat distressed by some of the problems that have arisen in practice now that the European Common Market has actually been created. He said that Benelux had been a natural development, but that some new problems had been created or old ones accentuated, rather than helped, by the common market.

Minister Rochac referred to the relatively stable financial situation of Guatemala, Honduras, and El Salvador, adding that the other two (Costa Rica and Nicaragua) were not as well off. He thought it was advisable to start with three countries or two, just El Salvador and Honduras, and allow the others to come in gradually.

Mr. Rubottom suggested that the future problems of the common market could be solved with good faith, hard work, and by devotion to sound principles in the beginning of the project, just as we are undertaking to do in the establishment of the Inter-American Bank.

Governor Herter alluded to the United States' interest in the Law of the Sea and the conference now foreseen a year from this month, expressing the hope that we would have the cooperation of El Salvador. The Foreign Minister, Sr. Ortiz Mancía, said that they thought we would have their cooperation. They have a constitutional rigidity with respect to the Law of the Sea, but they believe there is a way of harmonizing our two viewpoints. (Later on the Foreign Minister assured Mr. Rubottom that they would be able to do this.)

The Economic Adviser to President Lemus, Mr. Jorge Sol, made a very strong plea for U.S. support of the economic integration of Central America.⁸ Without this, according to Mr. Sol, there is no economic future to Central America, since they are too dependent on just one or two products.

⁷ Reference is to the General Treaty of Peace and Amity signed at Washington by Representatives of Costa Rica, Guatemala, Honduras, Nicaragua, and El Salvador, December 20, 1907; for text, see William M. Mallory (Comp.), *Treaties, Conventions, International Acts, Protocols and Agreements between the United States of America and Other Powers, 1776-1909*, vol. II, p. 2392.

⁸ For documentation regarding economic integration, see the compilation on United States regional economic policy.

Following Mr. Sol's eloquent presentation, the entire party left the President's Guest House for the White House to meet with President Eisenhower.

ES-6. Memorandum of Conversation by the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, March 11, 1959.

SUBJECT

Call on the President by President Lemus of El Salvador

PARTICIPANTS

The President; President Lemus; the Acting Secretary; Foreign Minister Ortiz Mancia; Minister of Economy Rochac; Minister of Public Works Parker; Economic Adviser Jorge Sol; Ambassador Castro; Ambassador Kalijarvi; Mr. Rubottom; Lieutenant Colonel Vernon Walters.

The President, after greeting President Lemus and his colleagues, acknowledged that his visitor had an engagement to speak before a joint session of Congress and suggested that, in view of the time factor, President Lemus raise any matters of substance which he might have on his mind.

President Lemus said that there was one subject of special interest to him, i.e. how to increase the economic strength of his nation as well as others. The President then inquired as to whether there was a project for a Central American regional market. President Lemus replied in the affirmative, pointing out that El Salvador for several years had been convinced that there was too much economic compartmentation, as well as overdependence on one or two products.

The President responded by pointing out that the problem of borders was not limited to small countries, since the United States and Canada, even though a common geographic and security bloc, had to contend with the political and economic problems created by the division at the frontier. He mentioned specifically the problems of lead and zinc, petroleum, wheat, and goods manufactured by wholly-owned U.S. companies in Canada. President Lemus, while recognizing the problem between the United States and Canada, said that their

¹ Source: Eisenhower Library, Whitman File, International File. Confidential.

compartmentation was even more serious and was practically strangling them. The President recognized this and asserted that an integrated market would strengthen all of Central America without any one country needing to lose dignity or any part of its independence. What is needed is for it to get started. The Salvadoran President declared his optimism for the future, especially with U.S. cooperation.

Going back to his experience ten years ago in Europe, the President recalled that he had preached the idea of economic integration there. Now, in spite of difficulties, the European countries are approaching their goal, placing greater importance on the advantages and less on the risks of integration. President Lemus said that it was precisely these examples which stimulated them. President Eisenhower recalled some of the cooperative efforts in Europe, in which the U.S. had participated, which had stimulated the common market, such as the European coal and steel community, Euratom, and NATO. He admitted that we had been motivated by our own interest as well as that of our European allies.

Minister of Economy Rochac, at the invitation of President Lemus, described the one-hundred-year effort of Central America to achieve political union, followed by the realization about ten years ago that such union could come about only as a result of economic integration. These efforts have now resulted in two treaties subscribed to in Tegucigalpa in June 1958, the first designed to free trade,² and the second designed to achieve industrial integration.³ He alluded favorably to Dr. Milton Eisenhower's Report and its suggestion that El Salvador and Honduras might carry out a pilot project in economic integration which seemed a more practical approach than waiting for all of the countries to agree on a method. Mr. Rochac recalled the recent visit of Messrs. Frank and Turkel from the Department, which had stimulated still further interest in the subject in his country and in Honduras. The public is very impatient and wants results rather than more studies. The Minister went back to the Central American wars at the close of the last century and recalled the role of the United States in the 1907 pact which had brought peace between the five countries. Central America can do a great deal by itself, but the United States, acting as a big brother, can help to

² Reference is to the Multilateral Treaty on Free Trade and Central American Economic Integration (with annexes), signed by representatives of Costa Rica, El Salvador, Guatemala, Honduras, and Nicaragua at Tegucigalpa, June 10, 1958, and entered into force June 2, 1959; for text, see 454 UNTS 47.

³ Reference is to the Agreement on the Regime for Central American Integration Industries, signed by representatives of Costa Rica, El Salvador, Guatemala, Honduras, and Nicaragua at Tegucigalpa, June 10, 1958, and entered into force June 4, 1961; for text, see U.N. Economic Commission for Latin America, *Multilateral Economic Cooperation in Latin America* (E/CN.12/621), vol. I, p. 23.

accomplish even more. Perhaps our efforts of 1907 can now be duplicated in the economic sector. Both El Salvador and Honduras urgently need to integrate their economies—this is not a capricious whim. El Salvador has a burgeoning population and practically no territory in which to expand, whereas Honduras has a vast area with a very small population; El Salvador has no Atlantic coast and Honduras has no developed areas on the Pacific; they are already joining their transportation routes and it would be easy to make their currencies convertible.

The President assured the visitors that they could count on the sympathetic attention of the United States to their problems, as well as our cooperation in every feasible way. President Lemus acknowledged that they had just seen practical evidence of this cooperation with the presence of Messrs. Frank and Turkel. He said also that, prior to his departure from San Salvador, President Villeda Morales of Honduras had empowered him to convey to the President Honduras' hope that the U.S. would support the efforts to forge ahead with the integration program on an urgent basis.

The President suggested that it would also be helpful if everybody in the United States, irrespective of condition of health, would drink twelve cups of Sanka a day rather than just one or two cups of coffee. President Lemus acknowledged that this kind of help would also be appreciated.

President Lemus said that his colleagues would be discussing specific problems with their opposite numbers in the United States Government, but that he had needed to know the President's own views.

With respect to communism, the President said that he assumed that the Salvadoran President shared his concern over its growth and inquired about Communist activities in Central America. President Lemus declared that communism was a world-wide problem which they could not escape completely. Communism grows largely because of underdevelopment and low living standards, as well as the lack of sufficient education to discern between the facts and the propaganda put out by the Communists, such as that of placing the blame for all the world's problems on the United States. This is not the case, of course. The Salvadoran President referred to his OAS speech of yesterday and the fact that the Communists are moving into intellectual groups, as well as economically impoverished groups, thus complicating the problem even more, since the poor and uneducated are greatly impressed when their superiors echo the Communist line. Greater effort must be made to solve economic problems, such as the opportunity offered by economic integration, to prevent the Communists from capitalizing on their efforts to move into these groups not heretofore penetrated by them.

Both Presidents rose at 12:10 and, following the taking of pictures, President Lemus and his party departed for the Capitol.

**ES-7. Memorandum of Conversation by the Officer in Charge
of El Salvadoran Affairs (Ross)¹**

Washington, April 1, 1959.

SUBJECT

Salvadoran Interest in a Mutual Assistance Agreement

PARTICIPANTS

Dr. Don Hector David Castro, Ambassador of El Salvador

Mr. Roy R. Rubottom, Jr., Assistant Secretary

Mr. Robert Ross, Officer-in-Charge of Salvadoran Affairs

Ambassador Castro said President Lemus had asked him to discuss informally with Mr. Rubottom the possibility of obtaining a U.S.-El Salvador mutual assistance agreement under the provisions of the Rio de Janeiro accord.² He said that while the previous Salvadoran administration, under President Osorio, had been "disinclined" to sign such an agreement with the U.S., President Lemus believed his country's inter American defense obligations and close friendship with the U.S. indicated the desirability of an agreement of this type. President Lemus would like to know, the Ambassador said, whether or not agreements were still being signed and the possibilities for consideration of one with El Salvador.

Mr. Rubottom said that certainly the absence of such an agreement with El Salvador was not due to a lack of friendship between the two countries nor does it have any deleterious effect upon this friendship. He went on to say that the world and the future of its people had changed a great deal since the Rio agreements. The Assistant Secretary cited the new probability of any future war being an atomic conflict as an example of the changes, since 1945. He also pointed out the effectiveness of the Organization of American States as an instrument for the avoidance of inter-American wars and reminded the Ambassador of the small size of our mutual defense programs in Latin America, with

¹ Source: Department of State, Central Files, 716.5-MSP/4-159. Limited Official Use.

² Reference is to the Inter-American Treaty of Reciprocal Assistance (Rio Treaty), signed at Rio de Janeiro, September 2, 1947; for text, see 4 Bevans 559.

the exception of our program in Brazil resulting from the strategic location of the country and our missile tracking facilities there.

He also told the Ambassador that the present trend of public and Congressional opinion in the U.S. was away from defense expenditures and in the direction of economic assistance. The Ambassador's frank discussion was appreciated, Mr. Rubottom said, and the question would be given full consideration. However, Mr. Rubottom said he could not be optimistic.³

Ambassador Castro appreciated the frank reply and said he believed his President also doubted that this program was being emphasized by the U.S. at this time. He said he would advise President Lemus of the conversation and await further informal reply by Mr. Rubottom.

It was agreed that no formal steps, such as a note to the Secretary, would be taken at this time.

³ On April 21, 1959, Rubottom told Ambassador Castro that the United States could not conclude a mutual assistance agreement with El Salvador. (716.5–MSP/4–2159)

ES–8. Memorandum for the Record by the Ambassador in El Salvador (Kalijarvi)¹

San Salvador, May 5, 1959.

1. As a follow-up of the request of the Foreign Minister [*text not declassified*]. I requested and was granted a session with the President in the company of the Foreign Minister this morning.

2. [*text not declassified*]

3. The President said that the problem of Communism had two aspects in El Salvador. The first was the possibility of infiltration into the campesino area. He commented that he could not understand how people who had suffered as long as the people in the country areas could still maintain their stability and loyalty. He recognized that this condition constituted a potential danger; however, he proposed constructive programs to raise the standard of living of the campesino.

¹ Source: Department of State, ARA Special Assistant's Files, Lot 62 D 24, [*text not declassified*] Papers, 1959." Secret; Eyes Only. Hill sent the source text to Rubottom and Snow, June 11, 1959, under cover of a memorandum stating that Kalijarvi wanted Herter and Dillon to have the report, [*text not declassified*].

In this respect U.S. aid, both direct and indirect, would be of definite assistance.

4. The second aspect of Communism was the urban. In the towns and cities, workers were much closer together, better organized, in many instances more intelligent than the campesino, and were more easily influenced by subversive propaganda. He mentioned both the labor groups and the university students. In connection with the former, he referred to communist-dominated organizations; in the latter connection, namely, the university, he was concerned about the perennial, as he described it, "eternal" student. Both he and the Foreign Minister appeared to have the same view as we do of the situation which confronts El Salvador.

5. He briefly summarized what his Government was doing. He spoke of his displeasure with the newspapers for permitting various Communist articles or Communist-slanted articles to appear in their publications. He mentioned the column "Sputnik", and the relative softness of Viera Altamirano, editor and director of "*El Diario de Hoy*," toward Communists and Communist articles appearing in his paper. I was surprised at the emotion that he generated on this subject and the feelings he harbored with respect to certain writers. It was probably understandable because he took the articles as a personal affront, speaking of them as being anti-government.

6. He referred to the ease of movement across political frontiers by agitators and Communists in Central America. He felt further international cooperation was necessary, that no single government could take care of the problem by itself. He said that people had been granted visas for the U.S., Canada, and other countries, and within a few days it was common knowledge that they had reached Moscow.

7. In this connection he spoke of Cuba in derogatory terms. He and the Foreign Minister were in agreement that Castro was following tactics, especially in the liquidation of opposition, that were typically Communist and un-Latin. He said he was disturbed about the ease with which invasion of Central American areas could be engineered from other countries, and concluded by pointing out that the problem of Communism was extensive and involved.

8. He went on to say that the Communist objectives with respect to El Salvador were not hard to discern. The Foreign Minister concurred in Lemus' view that the number-one objective of the Communists in Central America was El Salvador. He believed this was so because of the stability which this country has had for several years, politically, economically, and otherwise—a stability resting in part upon the liquidation in 1932 of the disturbing Communist element. Communist tactics aimed first at disaffecting all of El Salvador's neighbors: Guatemala, Honduras, Nicaragua, Costa Rica. (He said that Costa Rica was a hotbed

of Communism in Central America and one which concerned him very much.) When all of the neighboring countries had been disaffected by Communism, the final blow was reserved for El Salvador.

9. He brought out literature and records seized from Arias Gomez and two or three other individuals who had been to Moscow and Cuba, and read passages from the books, especially those by Khrushchev, translated into Spanish.

10. Since we seemed to be arriving nowhere in spite of a long discussion, I said that as far as assistance in developmental programs both in the country and in the city were concerned, I saw no problem about what the U.S. might do to help. However, the correction of the internal situation and his wishes there were another matter. [*text not declassified*]

11. He replied he appointed a committee of high government officials to deal with security matters in the Presidency. He wished to raise this question with them. I commented that the U.S. had developed organizations to deal with Communism, including the enactment of specific laws. [*text not declassified*]

12. The Foreign Minister said there were two Cuban experts in anti-Communism to whom the Government of El Salvador had granted asylum. He thought they might be of assistance in connection with Communism here. The President said he would like to place the entire matter before the above-named committee.

13. [*text not declassified*]

14. The Foreign Minister, after the interview with the President, said his desire and the desire of a number of other members of the Cabinet was that the President should create a bureau for action against Communism in El Salvador [*text not declassified*].

Thorsten V. Kalijarvi

ES-9. Editorial Note

On October 1, 1959, the International Monetary Fund set up a \$7,500,000 standby credit which the Salvadoran Central Bank could draw on for balance of payments purposes until March 31, 1960. By using this credit the Central Bank could maintain a high level of liquid reserves without selling gold before coffee sales added to reserves at the end of the year. For additional information, see International Monetary Fund, *Annual Report of the Executive Directors for the Fiscal Year Ended April 30, 1960* (Washington, D.C., 1960), pages 18 and 21–23.

ES-10. Memorandum of Conversation by the Ambassador in El Salvador (Kalijarvi)¹

San Salvador, November 20, 1959.

PARTICIPANTS

Lt. Col. José Maria Lemus, President of the Republic of El Salvador
Thorsten V. Kalijarvi, American Ambassador

President Lemus asked me to remain after the presentation of the parchment² saying he had a problem he wished to discuss with me.

He stated that he needed U.S. assistance. He had already requested a Military Assistance Program. Now, instead of making a specific suggestion, he wished to request such aid as could be given. The growing instability of the area, especially communist agitation and possibilities of attacks by El Salvador's neighbors left El Salvador vulnerable. He referred to the despatch of a shipload of arms to an unknown destination from Mexico, to the invasions attempt from the sea, and to the constant disturbance of the whole area. Some time ago El Salvador had purchased a number of airplanes from the United States and then had bought additional planes to rehabilitate those already purchased. Some planes were lost on the way down and others had deteriorated in service. He referred to the five planes which are to be sent to Costa Rica for repair and rehabilitation. He contrasted these with the jets now contemplated for purchase by Cuba. He referred to some 50 pilots capable of flying the planes, but no planes to fly. He noted the lack of funds of the Government of El Salvador for the purchase of necessary military equipment in order to maintain itself in a strong defense position against possible attack. While his illustrations were drawn from the air force, he was general in his discussion, including the need for ships for coast guard purposes, for control against smuggling, and for guarding the coast against possible attack. He added that the problem confronting his government was grave and the need for U.S. assistance, while not immediately urgent, certainly was in need of prompt consideration. There was a strong implication that he was asking for military equipment financed by the U.S. Government as well as for assistance in organizing the military forces of this country.

He voiced a desire to keep the budget in the black, maintaining the social and welfare projects that have been undertaken, and at the same

¹ Source: Department of State, Central Files, 716.5-MSP/11-2059. Confidential. This memorandum was an enclosure to despatch 224 from San Salvador, November 20, 1959, not printed.

² The parchment under reference was not identified.

time to embark upon a program of defense emphasizing new equipment, ships for protection of the coast, and assistance in strengthening the air force.

I replied that I understood his problem and that I was sure everyone would be sympathetic with his expressed needs. I would advise my government of our conversation and of the meeting which he had proposed for next week as a follow-up, with a request for instructions as to how to proceed.³

Departmental comments requested. Unless instructed to the contrary, plan to pursue discussions with the President. If possible, hope to place matter on broader basis with the aim of reviewing measures apart from military assistance that could be undertaken to strengthen security along the lines of Embassy Despatches No. 165, October 8 and No. 206, November 9.

³This matter apparently remained in abeyance until June 7, 1960.
[text not declassified]

ES-11. Editorial Note

Representatives of the United States and El Salvador exchanged notes dated January 15 and 22, 1960, at San Salvador indefinitely extending the Agreement of November 21, 1957, for a United States Air Force Mission in El Salvador. The notes were transmitted to the Department in despatch 310 from San Salvador, January 29, 1960. (611.167/1-2960) For the text of the notes, see 11 UST 76.

ES-12. Editorial Note

Representatives of the United States and El Salvador signed an Agreement Relating to the Guaranty of Private Investments at San Salvador on January 29, 1960, which entered into force, April 8, 1960. The agreement was sent to the Department of State under cover of

despatch 334 from San Salvador, February 18, 1960. (611.1643/2-1860)
For the text of the agreement, see 11 UST (pt. 2) 405.

**ES-13. Telegram from the Ambassador in El Salvador (Kalijarvi)
to the Department of State¹**

San Salvador, April 8, 1960, 6 p.m.

304. Developments here over past few months have presented fast moving panorama. Embassy, in attempting be as alert and sensitive to these developments as possible has not meant to be alarmist. However, in face reports such as that emanating April 2 from Cuba² (Embtel 293) review and analysis current situation deemed desirable.

There can be no denying: (1) that whole country is in state of uneasiness; (2) that some serious strains and even open cleavages have developed in recent months among components oligarchic triarchy (Army, landed gentry and church) which has ruled this country for decades; (3) that President has lost, especially over past three months, great deal of support the previously enjoyed and is finding himself increasingly isolated; (4) that oppositionist elements, led by Communists and supported morally and financially from Cuban sources, are gaining in strength, boldness and position, and are taking advantage of current situation to heighten tension, create disillusionment and promote dissension; but (5) that President Lemus is still in control of situation and is showing signs of an intention to fight back and to forswear cornerstone his policies to date, which has been preservation of status quo.³

Re (1) above current pre-electoral atmosphere is doubtless contributing significantly to general uneasiness. Government Party is facing its first real opposition in years and if free elections permitted, even ruling oligarchy admits that inroads likely to be deep. On the other hand,

¹ Source: Department of State, Central Files, 716.00/4-860. Secret.

² Reference is to San Salvador press reports that the Havana newspaper, *El Mundo*, reported on April 2 that the Salvadoran Air Force, led by dissident General Quintanilla and Captain Buitrago, had that day overthrown the Salvadoran Government. These reports were described in telegram 293 from San Salvador, April 4, 1960. (716.00/4-460)

³ In a conversation with Under Secretary Dillon at San Salvador, recorded in a memorandum of February 9, 1960, President Lemus said that his Government was seeking to expand its social welfare programs partly in order to counteract inroads of communism among Salvadoran farm workers. (716.11/2-960)

some elements fearful that too obvious maneuverings to control outcome might spark serious disturbances with overall deleterious affect on political stability of country. Uncertainty as to how best to deal with this dilemma is in itself causing uneasiness.

Unrelated but combining to spread uneasiness and even fear through sizeable segment local population have been recent circular letters threatening death to certain leading families here, series daylight abductions and rapings of rather prominent ladies and generally high incidence of lawlessness, all of which of course play into hands extremist elements.

Re (2) and (3) above, President Lemus deteriorating position and reasons therefore were reviewed in Embdes 368, March 14.⁴ Disaffection has continued and widened even since then and it now no longer a secret that 14 families have withdrawn their support. President himself tacitly acknowledged this and probably even widened breach during press conference early April when he called for change in mental outlook on part moneyed classes and, with veiled threat of resorting to legislation, urged them to humanize their wealth for good of country.

At crux of cleavage is wealthy element's belief that President is largely to blame for current situation because of his do nothing attitude and policy, especially with respect to Communist-led subversive activities. They believe that if President had taken strong action against extremist elements and had prohibited them from returning from exile, organizing and openly agitating, country would not have been whipped into unhappy state of uneasiness and tension that exists today, which they naturally, and probably rightly view as threat to their privileged position. Whatever the causes and they are manifold, President today is an isolated man with his back to wall. (4) above, Communists, using other dissident elements, are not only largely responsible for creating current situation, but they are exploiting it to full and, thus far, with impunity.

There is a widely held belief here, however, that while local ground sufficiently fertile to provide sustenance for Communists to grow in, they could not and would not have been able to advance as they have without the Cuban situation. Opinion strongly voiced and heard in every quarter is that U.S. must bear share of responsibility for what is happening here. Fully conscious that Cuban money and other types of support flowing in, question asked how it could be considered possible for country like El Salvador to deal more courageously and firmly with insidious Cuban machinations than U.S. itself has thus far

⁴ Not printed; 716.11/3–1460.

demonstrated willingness to do. With this: marrying of local with international uncertainty, an element of defeatism has spread which locals maintain is unlikely to be routed until U.S. alone or in concert other LA nations provides a lead.

Although isolated and confronted with situation which seems to be snow-balling, there are as yet no firm grounds for concluding that President Lemus has lost control of situation. Development of past week suggest, moreover, that he now fully realizes that maintaining status quo is no longer a viable policy and that he may be preparing to move more affirmatively. Has : (1) struck back at wealthy clique, (2) reshuffled some important military and national police posts (Embtel 288),⁵ (3) prohibited PRAM demonstration April 2 (although he has not yet moved to ban scheduled April 27 Communist-dominated CGTS labor congress), (4) in direct way indicated that anti-Communist and social welfare legislation may be in offing. He also has some strong personal traits which if brought into play could exert positive influence in his favor.

Thus, while not writing him off, Embassy convinced that critical period from now through April 24 elections and May Day. Any outbreak of disorders could tip the balance. As we see it, there is sufficient hostility and opposition so that if clique were to organize and gain even partial support of Army, President Lemus could be unseated. Most of requisite elements for such development appear to be present. Should this eventuate, Embassy convinced, however, that change would be in personalities at top and that, over short term at least, little alteration in country's basic orientation or friendship for U.S. would result.⁶

Kalijarvi

⁵ Telegram 288, March 30, 1960, is not printed. (102.21/3-3060)

⁶ This conclusion was reported to the President by John S.D. Eisenhower on April 11, 1960. (Eisenhower Library, DDE Diaries, Synopsis of State and Intelligence Material Reported to the President)

ES-14. Memorandum from the Director of the Office of Central American and Panamanian Affairs (Stewart) to the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, April 12, 1960.

SUBJECT

Deterioration of Conditions in El Salvador

Problem

For some time we have been seeking an opportunity to impress upon President Lemus and upon the economic leaders of El Salvador our growing concern about the deterioration of political and social conditions in that country.

The current visit to Washington of Minister of Economy Alfonso Rochac will provide a good channel to get our views across to both groups.²

Discussion

Our Embassy's reports over the past six months have become increasingly apprehensive over growing Cuban/Communist activating and greater social unrest in El Salvador (Tab A).³ Fidelismo is spreading like wildfire among the under privileged; there is growing lawlessness in the country, rape, murder, robbery and thievery. There are indications that some groups who have previously supported President Lemus are lukewarm or in opposition, either because the President has not moved energetically enough against communists, or because the President appeared to favor action which would limit their almost absolute economic control of the country. There are also reports of graft in the government and subversion of the courts. We have no reports to indicate that the government is taking any action to remedy the social and economic conditions in the country, which have recently been described publicly by church officials as the worst in Latin America (Tab B).⁴ The church statement observed that in El Salvador, the rich consider the poor as slaves.

¹ Source: Department of State, ARA/OAP Files, Lot 64 D 16, "Political Local-General: El Salvador, 1960." Secret. Drafted by Maxwell Chaplin.

² A handwritten notation by Rubottom on the source text reads as follows: "Since I may not see him, I believe Messrs. Mallory and Mann might handle." It is also noted on the source text that Mann saw this memorandum.

³ Not filed with source text.

⁴ Not filed with source text.

Against this background of rapidly growing unrest stimulated by Cuban evangelism, we see the Salvadoran leaders—the oligarchy of the Army, the so-called 14 families and their gentry, and the church – divided among themselves, unable to give adequate leadership to attack the fundamental causes of the unrest.

President Eisenhower, the Secretary, Allen Dulles, yourself, and our Ambassadors to El Salvador have all previously indicated our concern about social conditions and communist activity in El Salvador to President Lemus, but without visible results. A very strong approach to Dr. Rochac at this time might reach both the President and the economic aristocracy. Rochac is of the middle class, with a liberal or radical background, and apparently without close ties to the gentry, so you might be preaching to the converted. However, it is well known that he is highly respected in his country and in the U. S., and this, together with his reputation for honesty and objectivity, would give great weight to any message from you he might take back to El Salvador.

Recommendation

That you call Dr. Rochac in for a forceful discussion along the following lines:

1. We have observed a deterioration of conditions in El Salvador which appear a serious threat to stability of the Government. Not only has the Government failed to take effective action against communist and Cuban subversion, but more important, it has failed to act to reduce the basic social and economic problems which create a climate favorable to revolutionary activity.

2. We consider that the current agitation in El Salvador is probably overdue, and should serve as a clear warning to the country's governing groups. It is common knowledge that the campesino's standard of living in El Salvador is almost the lowest in Latin America. It is only logical that communist and Cuban agitators realize this and concentrate their activities where the wealthy class is most vulnerable and where the chance of success is greatest.

3. We are reliably informed that agents of the Cuban government in association with communist groups are spreading the doctrine of violent social revolution in El Salvador and among other countries, and are directly interfering in the domestic political scene. Several of these same countries have urged that the U.S. act against the Cuban government unilaterally or through the OAS, apparently without being prepared to recognize that the interventionist extremism of the present Cuban government constitutes an even more imminent danger to them than to the U.S. We consider that those who are thus threatened by *Fidelismo* and Cuban subversive activities should feel no hesitation in bearing their share of responsibility for any collective action which

may be required to counteract these threats, and should not hesitate to make known the grounds they have for complaints of Cuban intervention in their domestic affairs. However, we certainly would not wish to see action taken against Cuba used as a pretext for violent repression of all those forces working for social improvement in other countries. Though we deplore the direction in which the Cuban government is now moving, we have long supported not only in principle, but in practice, some of the necessary social and economic reforms which not only Castro but many democratic governments seek, the most obvious example being land reform.

4. Only the Salvadorans can resolve the problems their country faces. The wealthy must be prepared to make real financial sacrifices to feed, clothe and educate the poor. They must be more responsive to social pressures, or they will be wiped out totally. The recent anonymous letter forecasting the assassination of the leading members of the military and the aristocracy in El Salvador may have been only agitation, but it is not at all unbelievable that such a thing could happen if present trends continue.

5. We should be able to express our concern to Rochac without fear of personal affront, for we know of his outstanding efforts in his field to promote the development of his country, and do not consider him insensitive to his country's problems. Many of those with whom he deals are insensitive, however, and might be interested in knowing how the U. S. Government views conditions in El Salvador. We hope he can convey this message to President Lemus and to the economic leaders of his country. We are eager to help out with well-planned aid projects, but it is difficult to help those who will not help themselves.⁵

⁵ The source text bears approval lines, but no indication of action by Assistant Secretary Rubottom.

ES-15. Editorial Note

El Salvador had "reportedly quiet and orderly elections" for municipalities and the Legislative Assembly on April 24, 1960, according to Ambassador Kalijarvi. The elections appeared "freer than anticipated," as indicated by the outcome in Salvador, giving the opposition Partido de Acción Renovadora 53% of the 27,000 total vote for mayor. (Telegram 323 from San Salvador, April 25, 1960; 716.00/4-2560) Final election results

gave the ruling Partido Revolucionario de Unificación Democrática a total vote of 368,545 to 51,557 for the opposition, and control of all Legislative Assembly seats and all but six municipalities. In telegram 337, May 2, 1960, Ambassador Kalijarvi reported that an opposition demonstration against alleged electoral fraud by the Government drew only a "small, unenthusiastic crowd." He concluded that the "public in general seems disposed accept results and administration believed safely through electoral period." (716.00/5-260) A memorandum of April 27, 1960, from the Director of Office of Central American and Panamanian Affairs, C. Allan Stewart, to Roy R. Rubottom, Jr., Assistant Secretary of State for Inter-American Affairs, stated that the opposition's showing in the elections "comes as a considerable surprise to us and it indicates we can now expect the tempo of political activity in El Salvador to be noticeably accelerated." (ARA/OAP Files, Lot 64 D 16, "Political Local - General: El Salvador, 1960")

ES-16. Memorandum of Conversation by the Chargé in El Salvador (Downs)¹

San Salvador, June 7, 1960.

PARTICIPANTS

Lt. Col. José María Lemus, President of El Salvador
 C. Allan Stewart, Director, Office of Central American and Panamanian Affairs,
 Department of State
 Donald P. Downs, Chargé d'Affaires a.i., American Embassy, San Salvador

Mr. Stewart and I called on President Lemus at 10 a.m. on June 7. The conversation got underway with President Lemus painting in broad strokes a picture of the internal situation here in El Salvador. He revealed that he was very much disturbed over recent trends and particularly with the infiltration of the University, the labor unions, the press, and other public institutions that the Communists in hand with the Cubans had been able to accomplish. He said that it was now clear that El Salvador was the main target but that it held, at the same time, the key to this area's future. He said that as long as El Salvador remained free the danger to other countries in the area was lessened. However, if El Salvador fell, then it would be a very easy thing for the

¹ Source: Department of State, ARA/OAP Files, Lot 64 D 16, "Political International-General: El Salvador, 1960." Secret. The source text is an unsigned carbon copy.

Cubans and the Communists to take over the other countries of the Central American region. The President said that he had been very patient, that he had tried to conduct a democratic government and that he had attempted to avoid being repressive. He added, however, that the limits had now been reached and that the time for acting had arrived. Mr. Stewart asked President Lemus why his government had not availed itself of the Inter-American Peace Committee and the machinery which this Committee provided. He said he believed that it was exceedingly important that all the governments in this area inform the Inter-American Peace Committee of specific instances of interference in the internal affairs of their countries by Cuban representatives. In this way a documented file could be built up and could be used by the Peace Committee in carrying out the mandate which it had received from the Foreign Ministers in Santiago.² The President asked about the procedures that might be followed in doing this. This was explained to him and the President took down the name of Mr. John Dreier.³

The conversation then turned more specifically to Cuba. After recounting some of his experiences with the previous Cuban Ambassador here, President Lemus declared emphatically that he was willing to act jointly with other Central American countries in breaking relations with Cuba. He said he would prefer that all five Central American countries take this action jointly. Mr. Stewart then told President Lemus of his earlier conversations with President Villeda Morales⁴ who had stated his willingness to follow his (President Lemus') lead in this matter. Upon hearing this, President Lemus authorized Mr. Stewart to tell President Villeda when he saw him the next day that El Salvador was willing to break relations with Cuba and was prepared to consult with Villeda's emissary to work out the arrangements. He said that he would be prepared to receive Villeda's emissary here or to send an emissary to Honduras to work out the specific date and time. He also authorized Mr. Stewart to tell President Echandi of Costa Rica the same thing. The more the President talked of this prospect, the more the idea seemed to appeal to him and he reiterated his authorization for Mr. Stewart to discuss the question with Villeda Morales and Echandi.

President Lemus then turned to the question of assistance. He explained that up to the present, El Salvador had carried the burdens alone. He mentioned the cost involved in the recent reconditioning in Costa Rica of 10 Corsairs belonging to the Salvadoran Air Force and

² Reference is to the Fifth Meeting of Consultation of Ministers of Foreign Affairs of the American Republics, held at Santiago, Chile, August, 12–18, 1959.

³ Representative of the United States on the Council of the Organization of American States, and Chairman of the Inter-American Peace Committee.

⁴ Ramón Villeda Morales, President of Honduras.

recounted his conversation with Ambassador Kalljarvi of last fall in which he had made a request for assistance from the United States.⁵ This assistance was now more urgently needed than ever. El Salvador's borders and coasts were wide open to anyone who desired to penetrate them. For example, not a single boat was available with which to patrol the coast. Mr. Stewart said that in this connection, he wished to tell President Lemus that the question of possible military threats against the countries of Central American from external sources had been discussed prior to his coming here and that he had Mr. Rubottom's authority to assure him that the United States, working through the OAS machinery, would come to the assistance of any Latin American government so threatened. Our assistance would be immediate and more than fully adequate. On this point, President Lemus could rest assured. Mr. Stewart then explained at some length the problems involved in concluding a mutual assistance bilateral, emphasizing the congressional aspects, etc.⁶ He told the President that we were now exploring the feasibility of utilizing other channels through which it might be possible to provide certain types of assistance to the public security forces. He pointed out that the Embassy had, some two weeks ago, requested the Minister of Defense to provide it with information concerning the National Police, the Guardia Nacional, the Customs Police, and the Treasury Police. This information would be of great assistance to the Embassy in preparing recommendations on such a possible program. The President reached in a folder and took out the Embassy's Aide Memoire to the Minister of Defense,⁷ which he had obviously been holding. He telephoned to the Minister and asked him to prepare a reply on an urgent basis for his prior review.⁸ He reiterated his hope that some assistance would be forthcoming, repeating that it was impossible for his government to do all that had to be done in the social field and elsewhere without outside assistance. He explained what he hoped to accomplish with the new development project at Metalio. He said he knew that this would not solve the *campesino* problem, but it could serve as an example of what could be done, an example to the

⁵ For Lemus' request of November, 20, 1959, see Document ES-17.

⁶ By airgram A-85, May 18, 1960, the Department of State instructed the Embassy at San Salvador that "current U.S. policy is directed toward economic development and utilization of national resources toward this end, deemphasizing unrealistic military expenditures." It suggested ICA expansion of the public safety program in El Salvador including coastal and border patrols. (716.5-MSP/5-1860)

⁷ Not found in Department of State files.

⁸ Lemus handed the Salvadoran reply to Downs on June 16, 1960. The memorandum of their conversation at that time states that Lemus agreed to a suggestion by Downs that El Salvador might buy one or two coast guard boats from the United States, if they became available. (ARA/OAP Files, Lot 64 D 16, "Political International-General: El Salvador, 1960")

landowners of the country who had to be made to appreciate that they had social responsibilities.

In closing the interview President Lemus spoke in heated terms about the articles on El Salvador which have been carried by United States magazines and newspapers over recent months. He said he was at a complete loss to understand why, for example, *Time* magazine persisted in depicting this country, one of the best friends the U.S. has, in a bad light. He referred specifically to the latest *Time* article in which a picture of each Central American country was printed, all of them, with the exception of El Salvador, showing positive aspects. He asked why El Salvador was being singled out for denigration. He said he appreciated that this was a delicate matter for a government to involve itself in, but he nevertheless hoped that the Department would use its influence whenever possible in an effort to correct the injustice being done his country. It was important as it could adversely affect the willingness of U.S. business to invest money in this country and the attitude of lending institutions as well.

The President thanked Mr. Stewart warmly for his visit and asked him to convey his very best wishes to Mr. Rubottom.

ES-17. Despatch from the Ambassador in El Salvador (Kalijarvi) to the Department of State¹

San Salvador, July 26, 1960.

No. 21

Ref: Embassy Despatches 224, November 20, 1959;² 332, February 15, 1960.³

SUBJECT:

Joint USOM/Embassy Recommendation for Assistance to the Public Security Forces of El Salvador

Recommendation

Within the framework provided by the Department's A-85 of May 18, 1960,⁴ the Country Team of this Mission has given careful con-

¹ Source: Department of State, Central Files, 716.5-MSP/7-2660. Secret. Drafted by Downs.

² For the enclosure to this despatch, see Document ES-10.

³ Not printed; 716.5-MSP/2-1560.

⁴ See Document ES-16, footnote 6.

sideration to the type of assistance that might best help to solve some of the problems faced by the Government of El Salvador. It now proposes that, in lieu of a Military Assistance Program, the United States, through the International Cooperation Administration, assist the government here in improving the capability of those units and organizations charged with public security and with control over the national frontiers. It is believed that this assistance can best be accomplished by:

a. Bringing to El Salvador a well qualified consultant to survey, within the shortest order or time, the organization, operations and equipment of the public security forces and to recommend measures for improving their effectiveness.

b. Providing through special assistance funds a modest number of light motor vehicles and the necessary communications equipment.

The recommendation contained in paragraph a. above has been discussed with General Lopez Ayala, Sub-Secretary of Defense in charge of public security, by the USOM Director, who found the General warmly in accord. It has also been discussed with Minister of Foreign Affairs, Dr. Ortiz Mancia, who on July 15 reported to the Chargé that the matter had been discussed with President Lemus. The latter was greatly heartened by this show of interest and, in giving his approval, expressed his hope that the specialist could arrive and the study be completed at the earliest possible date.

Background

As recorded in the referenced communications from this Embassy, President Lemus over the course of the past ten months or so has made several direct appeals to me for assistance from the United States in improving the capability of the internal and public security forces of El Salvador. This matter was raised by the President once again during the visit here on June 7 of Mr. C. Allan Stewart, Director of the Office of Central American and Panamanian Affairs. Taken from a Memorandum of Conversation dated June 7, 1960,⁵ the conversation on this subject went as follows:

[Here follows quotation from paragraph 3 of June 7 memorandum of conversation.]

A few days following this conversation, President Lemus gave the Chargé a memorandum incorporating the requested information. A copy of this memorandum and a translation thereof are attached.⁶ As pointed out by the President at the time of handing over the memorandum, one of the greatest current threats to the security of El Salvador lies in the open possibilities for infiltration of national borders. This

⁵ See Document ES-16.

⁶ Dated June 8, 1960; not printed.

infiltration takes various forms: entrance of subversive agents, introduction of subversive literature, smuggling of arms, traffic in contraband items, etc. These activities could be greatly reduced by the operation of a well-organized and equipped border patrol. It is believed that the enclosed memorandum clearly demonstrates the almost appalling lack of equipment available to the public security forces of this country for carrying out their responsibilities. This fact is borne out to some extent by knowledge that when a local court orders the deportation of an individual, he is literally walked to the frontier by a detail from the Guardia Nacional.

With respect to the non-existence of craft for patrolling coastal waters, it has been made clear to President Lemus that it is most unlikely that equipment such as patrol launches would fall within the scope of the program currently under study. In reply to an inquiry as to whether his government might, under special circumstances, be in a position to purchase such craft, he said it would provided the price were low.

Justification

As is well known, this area is currently going through one of its most troubled periods in history. Castroism working in concert with international communism has made serious inroads, and, because of the combination of conditions existing here, El Salvador appears to have been selected as a prime target. The fact that El Salvador is extremely vulnerable is recognized by President Lemus, and he is rightly concerned. What has been accomplished to date in an effort to hold back the tide and to channel it into evolutionary streams rather than permit it to flow into revolutionary torrents has been accomplished by the Government of El Salvador almost exclusively on its own. The assistance received from the United States and other outside sources has, up to the present time, been negligible. Yet, not only are the resources available to this Government extremely limited, but time is running out at an increasingly rapid rate. If assistance is to be effective, it is going to have to be made available on a crash basis.

There can be no denying that the public security forces of this country face some very real and serious problems. Reports of clandestine movements of agents and arms are reaching the Embassy in increasing volume. And overt threats to public order and safety have shown a decided increase in both number and boldness over the past several months. These facts together with the demonstrable inadequacy of the tools at the disposal of the public security forces of this country for carrying out their responsibilities provide more than adequate grounds for implementing this recommended program on an urgent basis.

In the hope that early favorable action would be forthcoming on the above recommendations, USOM included funds for bringing

a consultant to El Salvador in its June submission of OPARs and E-I tables. An early decision on the recommendations contained herein would be greatly appreciated.

Thorsten V. Kalijarvi

ES-18. Memorandum of Conversation, by the Ambassador in El Salvador (Kalijarvi)¹

San Salvador, August 24, 1960.

PARTICIPANTS

President José María Lemus
Ambassador Thorsten V. Kalijarvi

In response to the recommendations of the Acting Foreign Minister, President Lemus received me in his office this morning at 11:45. He apologized for keeping me waiting, but explained that he had been at the desk since two o'clock this morning; and as I could readily understand, the current situation called for a great many things to be done.

He answered as follows to my inquiry of how he regarded the present situation. A number of developments have converged and resulted in the current disturbances. First, the next elections (for Presidents) are scheduled to take place in 1962 and a number of aspirants have become active with their eyes fixed on that event. Second, the Communists have become active and have caused the GOES increasing trouble since January of this year. Third, the OAS conference at San José² has furnished the Communists throughout the hemisphere with a rallying point, and the order to create disturbances has been given affecting El Salvador along with the other countries. Finally, the Rector of the University,³ a notorious leftist, has political ambitions and is directly responsible for the student agitations.

Lemus then gave me a telegram he had sent to Ortiz Mancia, the Salvadoran Foreign Minister, at the MFM in San José. He asked that it

¹ Source: Department of State, ARA/OAP Files, Lot 64 D 16, "Junta Memoranda: El Salvador, 1960." Confidential. The source text is an unsigned carbon copy.

² Reference to the Seventh Meeting of Consultation of Ministers of Foreign Affairs, August, 22-29, 1960; for documentation, see Volume V.

³ Napoleon Rodríguez Ruíz.

be sent to Washington and to Secretary Herter (see our telegram 100 of August 24).⁴

He then showed me the Manifesto of the Consejo of the University (see our telegram 93 of August 22)⁵ which was published in the *Prensa Grafica* and gave the President a time limit in which to answer. He laughed and gave me a thermofax copy of his telegram of reply (see Embdes [56], of August [30] _____)⁶ in which he said that the disorders were the work of the philocommunists in the student body and the CGTS whose activities, in flagrant violation of the Constitution, had been carried on as a result of the Rector's tolerance and with his full knowledge. He therefore said that the Rector would have to carry the full responsibility in the public conscience for the current disturbances and any that were likely to occur in the future. The security forces were fully prepared to protect the peace and order.

He added that the Rector had not once raised his voice in the interest of moderation, but had instigated and encouraged disorders, and if he thought he was giving any time limit within which to act, he was mistaken. Lemus was giving the Rector the same time limit within which to bring about order or he (Lemus) would act.

The President then referred to his previous requests for a modest amount of tear gas. He stated that he had no desire to meet mob violence with armed force, but noted that government supplies of gas were old and probably of little use due to deterioration, and also were in very limited supply. He asked what response I had received from his previous requests. I told him that thus far we had been unable to receive active assurances of immediate help. The President said that he needed the gas, and needed it right now and not tomorrow or next week. He asked me to request an emergency supply on an urgent basis, and said that if it could not be provided as a gift or sale, that perhaps it could be provided on a loan basis. I assured him that I would relay this urgent request on a priority basis.

We then passed on to the question of the coast guard vessels and I reported that the request was under consideration in Washington. The outlook seemed good. He said he was pleased.

⁴ Telegram 100 was repeated to the Secretary of State at San José. The referenced Salvadoran telegram instructed the Salvadoran Foreign Minister to inform the Foreign Ministers meeting at San José about the pro-Communist and pro-Castro agitation in El Salvador. (716.00/8-2460)

⁵ Not printed; 716.00/8-2260.

⁶ The lines after "Embdes" and "August" were left blank in the source text. Lemus' reply is attached to the despatch under reference as enclosure 9. (716.00/8-3060)

Regarding his request for two security advisors to assist at the Casa Presidencial, the President again expressed his urgent interest, saying he wanted to have the use of these advisors right now, rather than at some indefinite time in the future.

On leaving I asked if he intended to remain firm regarding the students sent out of the country. He said he intended to exercise a firm hand. What was more, if the disorders did not subside, he would arrest the Rector and the Deans and throw them out of the country.

All through the talk he received phone calls through [which?] he received information or issued orders. Among the former was a call from Rubio Melhado⁷ saying that the Rector had asked to see him. On laying down the phone Lemus said, "I think he is afraid." Among the latter he gave orders for the distribution of government leaflets. While tired, he seemed to be confident and sure that he could control the situation.

While waiting for my audience I talked with two of the Presidential aides, both major officers in the army. They agreed that underlying the present disturbance were the social and economic inequalities in the country. However, the students had no rallying point except opposition to the MFM in San José. Both confidently expected the present disorders to subside quickly and opined that the President had no choice but to exercise a firm hand.

Following the meeting with the President I passed by the office of Rubio Melhado. Major Rubio asked why I was still in town and not on vacation as planned. I said that the nature of the current crisis indicated my continued presence here; Major Rubio agreed that the situation was serious [*text not declassified*]. We agreed I would not leave town until we were both certain that the situation was such as to permit my absence.

⁷ Maj. Alfonso Rubio Melhado was Secretary General of the Presidency and a member of the Central Committee of the Partido Revolucionario de Unificación Democrática.

ES-19. Telegram from the Ambassador in El Salvador (Kalijarvi) to the Department of State¹

San Salvador, September 10, 1960, noon.

137. Reference: Deptel 86.²

With collapse yesterday's strike efforts³ and progress in move toward conciliation, situation here decidedly calmer. May have passed crisis. Discussion with Esquivel, President Assembly, and twelve Assembly members last night convinces me military, business, church, wealthy and community leaders on second thought now recognize necessity support Lemus through current crisis. While many were ready assist in seeking solution, major move came from Archbishop when he reluctantly issued message of conciliation under specific instructions of Nunciatura. Once committed, Archbishop immediately received support banking business and social community resulting in a meeting yesterday and atmosphere evidently conducive to conciliation (Embtel 135 September 9).⁴ Group last night convinced President still firm. Contemplated investigation will cover not only police violence but also actions on other side.

Evident, however, that Lemus hold on government definitely shaken and chances finishing presidential term appreciably reduced. Open question whether Lemus hatred of and efforts to smear Osorio by permitting airing of criminal charges against military and other officers for actions taken under Osorio (Torres Valencia and Palomo cases) have so offended military to whom Osorio is darling that a coup will be forthcoming. Conversations with some responsible leaders suggest that perhaps day of reckoning may have been put off until a coup will not be confused with communism. Army as regularly reported holds key to any change now and in the foreseeable future. To date have heard nothing to indicate other than that officers currently control army

¹ Source: Department of State, Central Files, 716.00/9-1060. Confidential. This telegram was sent in two sections.

² In telegram 86, September 9, 1960, the Department of State urgently requested an evaluation and recommendations on the crisis in El Salvador and an analysis of the changed attitude of the Salvadoran press. (716.00/9-760)

³ Despatch 66 from San Salvador, September 14, 1960, reported that efforts to set a general strike in motion on September 9 failed after Lemus agreed to the conciliatory measures mentioned in footnote 4. (716.00/9-1460)

⁴ It reported a radio announcement that in a meeting with cabinet officers including Ortíz Mancía and Parker, and a public committee of businessmen and the Archbishop, Lemus agreed to release students arrested but not charged with crimes; to determine by investigation those responsible for the September 2 violence, and to suspend the state of siege upon restoration of order. (716.00/9-960)

still supporting Lemus. Indeed evidence to support belief that Lemus spurred to forceful action in crisis by army.

For full appreciation factors involved current situation see Embdes 363 March 14⁵ and Embtel 304.⁶ Situation of President Lemus due in part to extension of factors in play at that time. Foremost is increasingly isolated position into which President has maneuvered himself and his hesitancy to act when positive resolute action clearly indicated.

When current situation erupted August 16⁷ it primarily communist-Castro-led. Public in general appeared favor strong action against better known organizers and agitators. Instead of acting, President hesitated and then temporized giving subversive elements opportunity extend agitation in university and whip students into defiant mood. When President finally decided take action on September 2, rather than being selective against agitation leaders, applied force indiscriminately across board with heavy hand. Result, clearly promoted by purposely planted false rumors re violations women, police excesses against youth, et cetera, was antagonized public which with irresponsible press encouragement, lost sight of real issue and perpetrators of disorders—communism and vanguard professional subverters.

Through entire period Lemus did not once seek advice or counsel from Cabinet. Several who wished to give him support were unable reach him. We reliably informed that when group Prud Party members and business leaders attempted on September 1 offer support and assistance in meeting with President, they were rebuffed and told that decisions were his and he would make them. Not until September 6 were members Cabinet brought into picture and then were requested sign already prepared executive message to people (Embtel 126 and 127).⁸

This egotism, aloofness and apparent obstinate determination to go it alone further isolated Lemus and alienated many who were prepared rally around him during crisis. This also prompted disgruntled

⁵ It reported that Lemus' egotism limited his ability to govern, but he would complete his term in office if he stopped favoring Rubio Melhado as his successor. (716.11/2-1460)

⁶ See Document ES-13.

⁷ Telegrams 82 and 83 from San Salvador, August 16 and 17, respectively, reported on anti-U.S., pro-Castro demonstrations outside the U.S. Chancery and the *Prensa Grafica* building on August 16, 1960. (716.00/8-1660 and 8-1760)

⁸ Telegram 126, September 6, 1960, informed the Department of State that the newspaper *Tribuna Libre* on September 6, printed an executive message appealing to the people for support of efforts to maintain constitutional government. (716.00/9-660) Telegram 127, September 7, 1960, reported on a meeting between Foreign Minister Ortíz Mancía and foreign diplomatic mission chiefs in which he explained the Government's resort to force against provocative anti-Government demonstrations, Kalijarvi concluded that the Government might not use necessary firmness again for lack of public support. (716.00/9-760)

to start searching for an alternative and majority appear to be fastening on ex-President Osorio. While reports of Osorio activities differ greatly, some suggest his forces active throughout crisis attempting utilize it for own partisan political ends. These same reports say Osorio is dressed and waiting in the wings. General consensus is that if Lemus-Osorio rift could be patched up tranquility could be rapidly restored. This voiced from both sides and also from friends of both men. However, I believe breach so great that conciliation between two is wishful thinking.

While original disturbances party directed against us “Yanqi imperialism” this aspect disappeared after force and violence turned public ire against President. Leaflets currently being distributed return to this theme strongly suggesting communist leadership, which disappeared during more vociferous disorders, has returned to guide both students and CGTS.

Against this background, current period seems be interlude in what will be continuing test of strength. Regardless Lemus faults, Embassy strongly believes present government deserving of our moral and material support and U.S. should render such as long as Lemus remains in power and his government continues pursue policies the aims of which coincide with our own. At present time, main forces seem be directed toward maintaining Lemus government and avoiding making of El Salvador another Cuba. Thus, while agree that we should make our views known to subtle and direct way which we have already done, do not believe we should publicly deport ourselves in way which would add substance to charges, already being levelled by communists, of intervention in internal affairs. Rather, we should speed up action on pending aid requests, economic integration, social welfare program, et cetera, which will give notice our support and confidence in Lemus government.

Re press attitudes see Weeka 36.⁹

Kalijarvi

⁹Reference is to despatch 64 from San Salvador, September 8, 1960. (716.00(W)/9–860)

ES-20. Telegram from the Ambassador in El Salvador (Kalijarvi) to the Department of State¹

San Salvador, September 16, 1960, 8 p.m.

148. Saw Foreign Minister at 10:30. He trying muster 14 family support, [text not declassified].² Liked idea of requesting IAPC investigation. Agreed Lemus should take firm action, *but felt that he should at same time indicate readiness reconsider electoral and other recent laws, and change his cabinet to get rid of Sub-secretary Justice (Julio Fausto Fernandez, former secretary Communist party). Needed to get government side to people.*

President received me alone 12 noon. Lemus tired but relaxed. Said he had been waiting for me. Agreed government confronted by grave problem. While support indicated from many quarters he had received few telegrams of congratulation but not a single friend had come to say he supporting Lemus. This discouraging. Reminded him presidents stand alone, must take decisions regardless of professions of friendship and support. Placing hand on statue Lincoln I had presented him he commented, "Yes, I think of him often at this time. I realize fully what is involved." Suggested he might wish consider submitting memo to and requesting investigation by IAPC. Liked idea and said would discuss with Foreign Minister.

Recognized pattern street fighting yesterday importation from abroad. Discussing yesterday's ceremony said provocation [illegible in the original]. At the end of procession of school children came disorderly procession led by University ex-Chancellors, Perla and [illegible in the original] followed by 500 students and ten groups roughnecks. Subsequently determined many of these from neighboring countries. National Guard with fixed bayonets prevented roughnecks breaking into gathered group and confined demonstrations to marching down street singing International and crying support for Castro. Similar group on opposite side park similarly contained. We both agreed a miracle no incident occurred.

Suggested exiling agitators no punishment. Jail sentences would have more deterring effect. President said unfortunately present laws of country do not permit, but military tribunals under state of siege can and will imprison disturbers. He recognized non-democratic nature tribunals but felt no other alternative for controlling situation.

¹ Source: Department of State, Central Files, 716.00/9-1660. Confidential; Niact.

² Reference presumably is to a beating the Rector received at the hands of the police who also arrested him during a raid on the University, September 2, 1960. Documentation on this incident is in decimal file 716.00 and in ARA Special Assistant's Files, Lot 62 D 24, "El Salvador, 1960."

Expressed appreciation for U.S. support and requested further assistance [*text not declassified*] also concerning use tear gas and other means controlling mobs. Said he had requested arms, but did not seek U.S. military intervention. Agreed he needed strengthen press section in Casa Presidencial to reach the people.

I said his government stands at crossroads, needs take firm action control situation or face loss power. He still unable appreciate need take action clearly indicated.

Visit seemed to give him lift and at no time did he give impression he would resign.

Reports indicate he not sleeping. May explain apparent weariness. I left today with distinct impression both Foreign Minister and Lemus unable divorce emotions from their thinking. Neither seems have clear sense of diversion in which he would like to go, let alone ability choose word which would make him there.

Have cancelled follow-up visit scheduled for tomorrow per Department's telephone call³ but believe it essential maintain as close contact with both President and Foreign Minister as situation will allow. Large measure psychology involved in situation and know President would appreciate receiving any assistance Department may be in position provide.

Kalijarvi

³ The telephone call under reference was not further identified.

ES-21. Telegram from the Acting Secretary of State to the Embassy in El Salvador¹

Washington, September 19, 1960, 8:56 p.m.

109. For Ambassador from Mann. Would appreciate your analysis most recent developments Salvador in context following questions:

1) Do you expect that Lemus regime will be able to survive present crises and in the event your opinion is in affirmative for how long?

¹ Source: Department of State, Central Files, 716.00/9-1960. Secret; Limit Distribution; Priority. Drafted by Mann and signed by the Communications Watch Officer, John S. Whitt.

2) In the event Lemus regime should fall would some kind of military junta be likely successor? If so, could we expect that such a regime would be basically friendly to West and hostile to Communism and Castroism? If not, what kind of regime would you expect to take over?

In reference to preceding questions would appreciate your views re current attitudes of a) military establishment, b) 14 families and their supporters, c) church, d) PRUD party, e) Osorio clique, f) labor, g) congress and h) university groups.

Foregoing questions do not imply any change in U.S. position re support of constitutional government in Salvador. We are however increasingly concerned about ability of Lemus regime to survive and wish to begin thinking in concrete terms of what we would be faced with if government falls.

Department is pushing ahead on plans for Central American Bank and is willing to consider any specific action in economic field that you consider vital to our interests in Salvador. However whether this type of assistance would have any material influence on situation would seem to depend on length of time Lemus remains in power.

Dillon

ES-22. Memorandum of Conversation, by the Officer in Charge of El Salvadoran Affairs (Gwynn)¹

Washington, September 27, 1960.

SUBJECT

Political Situation in El Salvador

PARTICIPANTS:

Dr. Alfonso Rochac - Director, Inter-American Development Bank and former Minister of Economy of El Salvador

ARA - Thomas C. Mann, Assistant Secretary

E - Mr. Turnage, Special Assistant to the Assistant Secretary for Economic Affairs

OAP - Mr. Gwynn, Officer In Charge, El Salvador

ARA - Mr. Pryce, Staff Aide

While calling on Mr. Mann today regarding another matter, Dr. Rochac commented at some length on the present Salvadoran

¹ Source: Department of State, Central Files, 716.00/9-2760. Confidential.

political situation. According to him, the situation appears to have improved substantially. [illegible in the original] a growing realization of the fact that an overthrow of the Government would be a major setback for the country. Major developments tending to restore calm have included the conciliatory efforts of the six prestigious cabinet members who sought to mediate the Government-student dispute during the tense week following September 2 (sacrificing their own popularity to do so); the replacement of a [*text not declassified*] military officer [*text not declassified*] as the effective top police authority by a respected officer (Lopez Ayare), who has surrounded himself with a higher-type staff; and the efforts at mediation of the other Central American University Rectors, as a result of which several Government Ministers called on the Rector of the University of El Salvador on September 20 to express the Government's regrets.

As regards the attitudes of various groups, Dr. Rochac indicated that there were no indications of disaffection among the military; that some of the 14 families, however, had "unfortunately" been urging stronger action by the Government (at least prior to September 2); that the non-Communist Labor group did not appear to be in opposition to the Government; and that Osorio appeared to be maintaining a correct position, not intervening in the political disturbances (but that he would be unlikely to allow the situation to degenerate into anarchy without taking action). He thinks the Lemus Government's chances of survival are fairly good, *provided* he takes steps to (a) effect some changes in his Government (where some of the advice he has been getting has been bad): (b) be conciliatory in finding a solution to the current unrest, and make some restitution; and (c) be impartial in domestic politics. (In this last connection he indicated that two major underlying causes of recent general resentment against the Government have been the changes effected in the electoral law, which lend it to the suppression of not only Communist but *all* opposition, and the interference in the conduct of this year's elections.) Rubio Melhado would also have to give up any aspirations he might have for the Presidency, in view of his unacceptability to the Army.

The beating of the Rector was unpardonable, according to Dr. Rochac, and action was taken against people, like Canessa,² for example, who are clearly not Communists. In Rochac's opinion Lemus fell into a clever trap laid for him by those having a Communist philosophy and backed by money from Cuba, at a time when some of his sounder advisors (Ortiz Mancía, Carballo³) were out of the country.

² Roberto E. Canessa, Salvadoran Minister of Foreign Affairs, 1950–1954.

³ Rafael Antonio Carballo, Salvadoran Minister of Justice.

ES-23. Airgram from the Ambassador in El Salvador (Kalijarvi) to the Department of State¹

San Salvador, September 27, 1960.

G-9. Ref: Deptel 109, September 19, 1960. The chance of the Lemus government survival is directly dependent on the President's capacity to use the forces now rallying to his support, not as Lemus (because in few short weeks I believe he has aroused strong animosity against himself in El Salvador) but as the President of the Republic and as the embodiment of law and order. For the moment he is able to count on the Army, the security forces, the cabinet, the business community and the church. The support is based on the concept that the best interest of Lemus supporters lies in their trying to work with him and to maintain him in power despite his idiosyncrasies and their personal piques.

However, there is a strong wave of public indignation and resentment running against him, especially because of the beating of the Rector. The advice of those immediately about him is faulty, and it is not beyond the realm of possibility that it is deliberately poor.

On September 19 a meeting of 50 leaders in response to the call of Ortiz Mancía at the Regalado home resulted, after frank and heated discussion, in a decision to try to work with Lemus and to finance a public relations program building support for the government and educating the public about Communist tactics, aims and threats. The consensus was that Lemus was his own worst enemy and that cabinet changes were overdue, especially in the case of the Sub-Secretary of Justice, Julio Fausto Fernandez, the supposedly reformed Communist and ex-Secretary of the Salvadoran Communist Party. Several subsequent meetings have only strengthened the basic decision and spurred the creation of a new publicity agency backed with substantial funds.

The length of the Lemus government's new lease on life is directly dependent on Lemus' ability to curb his egotism, abandon the determination to go-it-alone and to develop at least the appearance of gratitude. To survive he must take counsel of others than those who currently surround him and to be more accessible to many who are anxious and in a position to help.

How long Osorio and his forces will remain withdrawn from the scene will in a large measure depend on President Lemus himself. Signs indicate that Lemus may not be helping his cause to any material degree. The current publicity program emanating from the Casa Presidencial at first appeared vengeful and sensational rather than quieting and calculated to restore normal order. Even more disturbing is

¹ Source: Department of State, Central Files, 716.00/9-2760. Secret. Co-drafted by Downs.

the reported appointment to the Secretariat of Casa Presidencial of Julio Fausto Fernandez. Lemus seems unable to determine correctly where his best interests lie.

The real test of whether Lemus is to continue in office promises to come when the state of siege is lifted (indications are that the thirty-day period will be extended) although the Communist elements are now at work and the government anticipates further trouble. Renewed efforts at disturbances are appearing. A meeting, subsequently cancelled, was called for the 23rd at Parque Libertad. A clandestine radio is operating from across the border in Honduras. It could, of course, be that the above signs are the last actions of a dying cause. However, we do not think so. Rubio Melhado asserts that arms are being shipped to El Salvador from California, New Orleans and Miami. The President has asked our help with a reported military movement against El Salvador allegedly being hatched in Mexico.

My best guess is that at this moment there is a strong chance Lemus will survive the next few months, an even chance that he will last a year, but questionable if he can hold on to his office until the end of his term. This guess could easily be upset by further Lemus blunders. Note that the cabinet still remains firm. If Lemus survives the present crisis, he could not survive a second, should one appear. These views are also shared by some of the cabinet, one or two of whom are completely pessimistic.

Impelled by Castro-communist forces, whose influence on local situation can only be underestimated at country's peril, the current situation has evolved into one of many complex facets. It must be recognized as well that basic forces at work here are centrifugal in nature tending to pull apart the oligarchy consisting of the Army, Church and wealthy class upon which the present government is based. In this context, it is only possible to generalize re attitudes of the following elements:

1. *Military.* With few individual exceptions the Army would prefer see this government run its constitutional course. While Lemus is not popular among officer corps, he symbolizes constitutionality and, of all elements here, Army believed to be strongest backer this concept. Army perhaps more realistic and better able to see where its own best interests lie; to date we have had no tangible evidence that top echelon is other than prepared to back Lemus government. Should government begin to disintegrate from within, believe, however, that Army would move decisively to take power into its own hands and that it would succeed.

2. *14 families and their supporters.* Current attitude this element generally as outlined above. While willing for most part to help Lemus, if indeed he will permit himself to be helped, there is strong undercurrent of

dissatisfaction and resentment, and patience with him among this group is beginning to run out. Most of those we have talked to see need for social reforms, etc., but they want them to be instituted in planned context, leadership for which Lemus government has thus far been unable to provide. If it comes to alternatives, majority appears to favor Osorio and we believe this element would throw its weight in his direction.

3. *Church*. Prodded by Nunciature and clearly more worldly wise to revolutionary type threats, church here is far out in front in pressing for social reform and has evidenced impatience with Lemus government on this score. By its attitude it has widened breach between itself and wealthy class, thereby weakening oligarchy's foundation. Its basic aim, however, appears to have been to spur Lemus government into action rather than to contribute to its downfall. It has made public its support of Lemus during the recent crisis and can be expected to continue supporting the constitutional government.

4. *PRUD Party*. As a national party PRUD can be said no longer to exist. It is rent with dissension and is a skeleton without real substance. Much of the blame for this rests with Secretary General Rubio Melhado, who with high-handedness has made many mistakes and continues to make them, and is strongly disliked by all but a few cronies. Historically, parties here have been formed around a man. Lemus, by abdicating in favor of Rubio Melhado as party manager, sacrificed his place as leader and it is doubtful that PRUD as it is now constituted will be very decisive factor in current crisis.

5. *Osorio Clique*. Ex-President Osorio still represents strongest non-Communist political force in country. He has loyal adherents in all strata and his reservoir of strength runs deep. Close friends quote him as desirous of seeing Lemus complete term despite deep differences but there is evidence that his lieutenants have been exceedingly active since the present crisis began. We doubt Osorio will step forward until called but believe his ear is cocked to catch weakest summons.

Osorio as a man is better known to several now in ARA than to us here. Our impression, however, is that Osorio would have liked to have been more reformist than he was during his term. He held back mainly by more conservative wealthy elements on whose monetary support he heavily depended. We do not believe the same situation will exist again and that Osario would be inclined to be rather liberal in his outlook and policies. This view reinforced by type people considered close associates such as Jorge SOL Castellanos. We would not expect Osorio to be openly antagonistic to U.S., or West. Neither would we expect him to be as openly pro-U.S. or as amenable to suggestions from us as has been Lemus government. While not favorable to Castroism we believe he would attempt to apply some Castro-type reform measures here.

6. *Labor*. Communist-dominated CUTS with 3,000 members is one prime movers current anti-government drive. Non-[illegible in the original]CGS with 20,000 controls large majority organized labor. CGS is considered relatively free from Castro influences. To date it has rejected the oppositionists' appeal for general strike and we believe it will continue to do so. CGS leadership not close to Lemus, however, and complains of inability to [illegible in the original] him to discuss programs. Perhaps significant that CGS has not during present crisis publicly proclaimed support of government. Moreover current government efforts unseat Secretary-General Saravia will probably result in CGS schism, leaving majority under Saravia even less disposed work in Lemus' behalf. Despite this conflict, CGS leadership, including Saravia, privately proclaim support for constitutional government. Saravia known to be in close touch with Osorio group, however, and should situation deteriorate further, possibility open swing to Osorio should not be discounted.

7. *Congress*. Handpicked and representing hard-core what remains PRUD party, Congress can be expected to do Lemus' bidding. Method of election and mediocrity of membership have, however, left it without much respect throughout country. Its deliberations for most part go unheralded and its power as a political force considered minimal. Assembly President Esquivel is friend both Lemus and Osorio; private conversations lead me to believe he has preference for latter.

8. *University*. This institution has long been one of principal targets of Communist infiltration and results achieved true cause for alarm. All major student organizations are in hands Communist or pro-Communist elements and faculty itself includes several extreme leftist types. Success in part, due practice keeping professional agitators and organizers matriculated as students for up to ten years. While this element represents small minority total student body, its influence greatly disproportionate to size. We are reliably informed that control over students who had no desire take part current political activities gained largely through intimidation and coercion. Only small minority student body took part in disturbances at outset current crisis, with large majority strongly opposed to involvement. Police action and clever handling by student agitators were effective in turning majority against Lemus and our information indicates that majority still considers him public enemy number one. Past week has provided a cooling off period, however, and signs beginning to appear that student body in general tiring of being used and started to think of personal loss ensuing from closed University. Number private groups also forming with aim providing anti-Castro/Communist students with rallying points and with physical protection against coercive efforts if needed. Students here as elsewhere have no positive program—they are only against the existing order and in their search for a cause or philosophy they are prey to

highly obtained purposeful and, unfortunately, extremely versatile and able student leaders in international communism's pay. As a group, they still do not appear to have been completely disabused of their illusions with respect to Castroism and what it stands for. One thing is clear: Lemus is anathema to the large majority and is unlikely ever to re-win students' confidence or support.

9. *Campesino*. Thus far this overwhelming majority had taken no part in current disturbances. The campesino has [illegible in the original] some interest as a spectator but no propensity to include his voice of his "machete" in current happenings. Embassy knows that travelling pro-Castro/Communist teams have been proselytizing to the countryside but as yet they do not appear to have succeeded in setting imaginations afire. Lemus, as a President, is thought to be relatively popular among this class, but as a man, Osorio is still reversed by the campesino and the "little" man of Salvador. Thus, while dormant at the moment, the campesino is not happy or content with his lot and a spark in the right place could set this very volatile element afire. Moreover, should the situation in the capital become chaotic at any time, the campesino's weight can be expected to make itself felt.

While the fall of the Lemus government does not appear imminent, should it occur, it would in all likelihood take the form of a voluntary abdication or ouster. In case of the former, the Vice President constitutionally would succeed to office, i.e., in the following order: Costa, Esquivel, Alvarez, Escapini. None is a military man. While much would depend on attendant circumstances, there is a strong chance that the military would intervene and set up a governing Junta with the results described below.

If Lemus were ousted, the Communists would not be in a position to seize control. The Osorio strategy and tactics to [illegible in the original] have been effectively hidden and would seem to indicate that he would continue to remain in the background and refrain from immediately taking over. However, the possibility should not be entirely discounted.

The most likely development in case of an ouster would be a military Junta. In such case the odds are that the power would shortly thereafter be transferred to Osorio, who would seek to constitutionalize his tenure, possibly through elections.

The advent of Osorio would still keep El Salvador oriented toward the West and favorable towards the Osorio but by no means as friendly as under the present government. I am not completely certain that Osorio would return to his former strong anti-Communist position although there is good reason to believe that in deference to the military he would do so. The winds of nationalism are blowing more strongly here than for some time. Criticism of the U.S. has been stirred from

Cuba and has been increasingly evident in student and labor publications and meetings. Castroism has its adherents. Osorio coming to power against this background could not help but be responsive in some measure to its pressures, some of which would be bound to react unfavorably against the United States.

Therefore, as long as the present situation does not deteriorate, we continue to hope that constitutional government can be preserved here and believe that Lemus still has it within his power to save it.

To that end I recommend that we provide Lemus with short-term aid by immediate implementation on a crash basis of the program set forth in Embassy despatches 21 of July 26, 1960² and 62 of September 7, 1960,³ and also by immediate implementation of the program discussed in correspondence between Mr. Charles E. Higdon of ARA and the Embassy including the letter of Mr. Downs to Mr. Higdon dated August 26, 1960. We should also press forward with long-term economic and social assistance and with the Central American Bank. Lemus needs to make new advances with economic and social programs, if he survives. If he does not survive, we need to consolidate our position with a successor government through such programs as are not designed to support any particular administration but to improve the country as a whole. In either case the United States should provide assistance of a longer-term nature in the economic and social fields. We shall submit separate recommendations accordingly.

Kalijarvi

² See Document ES-17.

³ Under cover of despatch 62, Ambassador Kalijarvi transmitted an ICA survey team report of August 24, which recommended the addition of an investigation advisor to the two-man staff of the ICA Public Safety Program in El Salvador. (716.5-MSP/9-760) A Public Safety Advisor, John C. Hazelett, was added to the ICA Public Safety Program staff on December 31, 1961. [*text not declassified*]

**ES-24. Airgram From the Embassy in El Salvador to the
Department of State¹**

September 30, 1960

¹ Source: Department of State, Central Files. 4 pages not declassified.

ES-25. Editorial Note

At 6:00 a.m. on October 26, 1960, a group of Salvadorans, civilian and military, claiming the constitutional right of insurrection and acting with the support of the armed forces, deposed the Government of President Lemus. A Junta, consisting of three military and three civilian members, assumed legislative and executive powers. In a bulletin issued on October 26, the Junta announced that the Constitution and laws remained in effect; guaranteed the rights of citizens; and promised to hold free elections. (Telegram 220 from San Salvador, October 27, 1960; 716.00/10-2760)

Newly appointed Salvadoran Foreign Minister Rolando Dénেকে wrote to Ambassador Kalijarvi on October 27, referring to the over-throw of the Lemus government and stating that the Junta wished to maintain very close and cordial relations with the United States Government. (Note quoted in telegram 222 from San Salvador, October 27, 1960; 716.00/10-2760)

ES-26. Telegram from the Ambassador in El Salvador (Kalijarvi) to the Department of State¹

San Salvador, October 29, 1960, 2 p.m.

233. Analyzing composition new junta and government it is difficult escape conclusion that there has been a decided shift to the left in complexion government of El Salvador.

While most of those appointed to key posts on military side thought basically friendly to the U.S. and democratically inclined, they are, with two or three exceptions, young, of middle grade and wholly inexperienced both in affairs of government and political intrigue. Civilian side of government provides grounds for real concern. High percentage of them have, at the least, questionable backgrounds. Four civilian cabinet officers believed out and out Commies; four are very leftist and at least two more known to be exceedingly liberal and revolutionary minded. Even more ominous, however, are appointments to second and third echelon posts now emerging, e.g., Salazar Rodezno as Public Information Officer of Casa Presidencial. Disturbing number

¹ Source: Department of State, Central Files, 716.00/10-2960. Secret; Priority.

those recently exiled and who were in forefront in leading cheers for Castro now being given second echelon posts.

Turning to coup itself, evidence rapidly accumulating that it masterminded by and executed under direction of ex-president Osorio. Substantial evidence also indicates that nerve center in Ministry of Defense, with Generals Parada and especially Lopez Ayala utilizing Guardia Nacional rather than army to carry out overthrow. Also good reason to believe that Osorio, in planning coup, effected marriage of convenience with extreme leftist and other dissident oppositionist forces, including General Quintanilla and Captain Buitrago, who confirmed as actual Lemus abductors. There can be no arguing that coup masterpiece of planning and execution. No bloodshed, no disruption of public services. Although impressive number high ranking army officers given short period opt for or against junta and number those refusing subsequently relieved, no resistance any nature offered. Considerable evidence however that large sums of money changed hands, some of which reportedly of Cuban origin.

In putting together this military-civilian coalition, Osorio doubtless reasoned that he could control it. He probably also reasoned that cooperation with left was necessary both in planning stages and now for overthrow to be successful at this time. Inclusion this civilian element probably intended as sop to students and PRAM elements in effort gain their cooperation in stabilizing situation and gaining as wide acceptance of overthrow as possible until he prepared for next move. It may be that he intends move in on pro-Commie elements then in Rakosi²-like salami tactic. Present indications, however, are that plan is to allow junta to govern until regular election time in 1962 when Osorio will emerge as favorite son candidate.

It seems to us that many dangers are inherent in this reasoning and that situation as it stands today leaves many extremely important questions unanswered:

1. Osorio has not yet shown his hand and while it is generally assumed that he is man behind throne, is he in fact? Neither the public nor we have any real proof.

2. If he is in fact the strong man, how deep does his control extend, especially into the civilian side? Will he be able to control the Commies in his government?

3. What commitments did he make in order to gain left-wing cooperation?

4. What are his real intentions with respect to life span of junta and free elections?

5. Where did the money used in the coup come from?

² Mátyás Rákosi, former Hungarian Communist leader.

We are convinced from pattern of coup, make-up and early actions of government, Communist tones of decrees and announcements, and especially yesterday's press conference by junta (EMBTEL 231)³ that military element no match for civilian leftists and that as matters now stand, we must regard coup as first step towards Fidelismo. For moment announcements seem calculated to lull us but clearly next stage will be struggle for power between Commies and more conservative element and military with odds favoring former.

If remedial measures to be successful they will have to be taken within next few days while army still has control of arms. Reports reaching us indicate that while many viewed coup with approval at outset believing Osorio was the man, their ardor has cooled considerably after seeing make-up of government. A counter coup effort, therefore, which our information indicates may be in making, may find more public support outside leftist elements than could have been hoped for earlier.

View all these considerations and many still unanswered questions, believe strongly that our traditional policy of recognition should not be following in this instance. If our fears confirmed by subsequent action, major and practically only weapon available to U.S., since intervention renounced under international agreement, is recognition and/or nonrecognition. Believe from talks with colleagues our action in this respect will be closely watched and followed by number of other countries. I urge with all persuasiveness at my command the Department go slow with recognition.

Kalijarvi

³ Telegram 231, October 29, 1960 reported that the civilian members of the Junta dominated the press conference. (716.00/10-2960)

ES-27. Memorandum from the Assistant Secretary of State for Inter-American Affairs (Mann) to the Secretary of State¹

Washington, October 31, 1960.

SUBJECT

Coup d'état in El Salvador

In the early hours of October 26 a bloodless coup d'état occurred in El Salvador which resulted in the sending of strongly pro-U.S. president Jose Maria Lemus and his principal aide and heir apparent, Major Adolfo Rubio Melhado into forced exile in San Jose, Costa Rica, and the assumption of power by the following six-man combined military civilian Junta.

Military Members:

Col. César Yanes Urías—Deputy Chief of General Staff under Lemus regime. Recently assigned to special staff responsible for maintaining order in San Salvador during state of siege. Has been in the U.S.; described by former U.S. Military Attaché to El Salvador (Col. Ferguson) as reticent, non-committal, retiring in personality; not particularly a leader.

Lt. Col. Miguel Angel Castillo—Director of the Treasury Police under Lemus regime; former Director General of Telecommunications under President Osorio; described by former USMA as friend of President Osorio, a leader, and very friendly to U.S. (The Auxiliary Bishop of Guatemala, who spent many years in El Salvador, describes both Yanes and Castillo as “high-calibre anti-Communist officers of the Osorio stripe.”)

Major Ruben Alonso Rosales—former Deputy Chief of key El Zapote Fortress, commanding the capital city of San Salvador; described by former USMA as being very friendly to a former member of U.S. Army mission; close to General Parada, late Minister of Defense, known as friendly to U.S.

Civilian Members:

Dr. Fabio Castillo—Medical Doctor and Vice Dean of the School of Medicine at the National University; respected and popular with University students; has studied in the U.S. and Europe; a known liberal or leftist, who has been called “Communist”, a charge which has not been substantiated.

¹ Source: Department of State, S/S NSC (Miscellaneous) Files, Lot 66 D 95, “NSC–5902 Memoranda.” Secret. Drafted by Gwynn and Higdon, and initialed for Mann by Gwynn.

Rene Fortin Magana—Lawyer, aged 30. As a University student was an active leftist, anti-U.S., an associate of Communists, and an alleged “Communist.” A Salvadoran source here, however, whose judgment I value, described him as young, honorable, violent, rich, and not left. In view of my personal knowledge of the University of El Salvador, I am inclined to the latter view.

Ricardo Falla Caceres—Lawyer, aged 32. An active leftist at the University in recent years who has been consistently alleged to be a “Communist,” but is described as liberal by other sources considered reliable.

The individuals comprising the Junta and the new cabinet appear to represent a cross-section of Salvadoran political views. This is undoubtedly deliberate, in an endeavor to attract widespread support for the new Government. They are largely younger men who are relatively unknown politically. A tentative appraisal indicates that the new Government is nearer the “middle of the road” than to either extreme, with a definite tendency towards the left on the part of the civilian members. Ambassador Kalijarvi views a substantial proportion of the civilian members as being to the extreme left. The Department’s sources indicate many of them to be moderates, although preponderantly to the left.

The new Government’s first actions have been to release political prisoners, lift the state of siege, cancel the law restricting the right of assembly, and to announce that it would hold free elections as scheduled in 1962 and would govern by means of decrees during the transitory period of government. Also, it has declared its firm intention to comply strictly with the political Constitution of 1950, to respect existing treaties and international conventions, to fulfill its obligations and commitments, and to respect human rights. These latter assurances have been given by the new Minister of Foreign Affairs in a note dated October 27 to our Embassy in San Salvador.²

Among the principal factors leading to the overthrow of the Lemus Government have been (a) his failure to carry out social reforms announced following his inauguration in 1956; (b) his failure to accept the advice of and delegate responsibility to the better-qualified members of his cabinet; (c) his vacillation in controlling the increasing activities of pro-Castro and pro-Communist agitators, first by failure to act and later through strong-arm suppression; and (d) his alienation of the military by his apparent intention to make his aide, Major Rubio Melhado, his successor to the Presidency.

²The text of the Note was translated in telegram 222 from San Salvador, October 27, 1960. (716.00/10-2760)

The coup d'état followed over two months of demonstrations by anti-Government and student and labor groups, initiated on August 16 by a protest against the existing regime and the OAS Meeting of Foreign Ministers at San Jose. President Lemus was finally goaded, principally by the Salvadoran press, into using repressive measures against the demonstrators, including the arrest and exile of agitators, the enacting of a law restricting the right of assembly, excessive force by members of the security units, and the establishment of a state of siege, which soon alienated most of Lemus' own supporters and created martyrs for continued anti-Government agitation. Temporary truces were effected by a civilian group composed of representatives of the Church, prominent businessmen, and representatives of the leading families, which intervened in an effort to mediate the differences between the Lemus Government and the demonstrators. These efforts, and less violent measures by the Security Forces, produced over a month of relative calm immediately preceding the unexpected coup d'état, which appears to have been carried out as a preventative measure to insure that pro-Castro and pro-Communist elements would be unable to capitalize on the constantly deteriorating stability of the Lemus regime.

The files of U.S. intelligence agencies contain reports indicating that the three civilian members of the Junta and a number of the members of the new cabinet have been accused of being "Communists," pro-Communist, and/or associates of Communists. Such accusations have been levelled at one time or another against almost all "liberals" or "leftists" in El Salvador who have advocated change in their still largely semi-feudal social order, opponents of the regime in power, and/or students politically active in the affairs of the traditionally leftist-oriented, anti-status quo, and anti-Government University. The term "Communist" is frequently used synonymously with "leftist" in El Salvador. As a result some of the best friends of the U.S., and some of the most effective anti-Communist leaders in El Salvador (including former President Osorio and several of his trusted associates), have been bitterly denounced as "Communists". Therefore, ARA believes it would be a grave error to consider, without further substantiating evidence, that the new Government or its members are suspect for this reason, in the absence of their identification with purely Communist objectives.

From information now being received from a variety of sources it appears that able Ex-President Oscar Osorio is emerging as the dominant personality behind the Coup. However, the political orientation and likely policies of the new government, while controversial, indicate a definite swing to the left in El Salvador. On the other hand, ARA

[Remaining is missing in source text]

ES-28. Memorandum for the President by the Secretary of State.¹

Washington, November 1, 1960.

SUBJECT

Recognition of the New Regime in El Salvador

The six-man Junta which assumed power in El Salvador on October 26 is pressing for recognition by the United States.

There is some evidence that this is a government somewhat to the left of that of former President Lemus and that a majority of the members of the Junta and Cabinet are anti-Communist, although a small minority are not particularly desirable from our point of view. Moreover, there is a report that a counter-coup may be attempted.

Nevertheless, the weight of evidence is that the majority of the Army and the conservative oligarchy support the present government. It is generally believed that the most prominent, if not the dominant, figure in this movement is former President Oscar Osorio, President Lemus' predecessor, who has a long record of cooperation with the United States and of opposition to communist domination of El Salvador's political life. The Embassy of El Salvador in Washington has issued a press release saying in part that the "Members of the Civic-Military Junta had emphatically declared in a press conference that the revolutionary movement they represent is strictly national and authentically democratic, consistent with the basic principles of Western democracy without any ties, whatsoever, with foreign powers or ideologies."

The Governments of Guatemala, Honduras, Panama, Ecuador, Uruguay, Argentina, Spain and Mexico have already recognized, and it is probable that other recognitions will follow swiftly. All the elements required for recognition are present, and I recommend that we recognize the new regime promptly in order better to enable us to cultivate good relations with it and to influence it in the right direction.²

Christian A. Herter

¹ Source: Department of State, Central Files, 716.02/11-260. Secret. Drafted by William T. Pryce, Staff Aide, Bureau of Inter-American Affairs. It was transmitted to Secretary Herter by covering memorandum from Assistant Secretary Mann, November 1, 1960. In his memorandum, Mann elaborated the points made above in favor of recognition and recommended that the Secretary sign the present memorandum to the President. (716.02/11-160)

² President Eisenhower noted his approval on the source text.

ES-29. Telegram from the Secretary of State to the Embassy in El Salvador¹

Washington, November 2, 1960, 1:31 p.m.

169. Principal lines our reasoning on recognition issue have been:

1. Overthrow of Lemus regime was an accomplished fact.

2. Our principal objective should be to support promptly those elements who are willing and able to prevent a Castro-Communist take-over and to guide evolution towards a constitutional regime oriented toward West.

3. Osorio appeared to be best, if not only person around whom Army and anti-communist elements could unite to bring about such transition. Corollary to this is our belief that division and drift at this time in El Salvador would create a climate propitious for commie take-over.

Embtels 244 and 248² are disturbing because they suggest Osorio may be unwilling to prevent intensive propagation of communist propaganda in El Salvador and that he has no plans to prevent communist and Castroites from promptly organizing as a political force.

If you concur we suggest Downs approach Osorio promptly and inform him that while Department has no desire to intervene in Salvadoran political crisis we believe we have common interest in preventing Communist-Castro take-over. In view of esteem with which he is held in U.S. we would appreciate knowing whether he agrees that a failure to stand up to Communist and Castroites at this critical time will create serious danger of chaos and confusion which will afford maximum opportunity for Communists and their Castro allies to take over. You should also attempt discreetly to ascertain what his detailed views are on this subject. If possible ascertain how he intends meet this aspect of problem. You should also seek to ascertain what Osorio's estimate is of his ability control Army and if you deem this prudent his plans for unifying Army. Depending on how conversation has gone up to this point and whether you agree with approach suggested in paragraph

¹ Source: Department of State, Central Files, 716.00/11–160. Secret; Niact. Drafted and signed by Mann.

² In telegram 244 from San Salvador, November 1, 1960, the Chargé, Downs, reported Colonel Osorio apparently did not intend to attempt to prevent any party from participating in any election or to curb Communist propaganda and organizational activities. (716.00/11–160) In telegram 248 from San Salvador, November 1, 1960, Downs informed the Department of State of a Communist-line, anti-U.S. radio broadcast in San Salvador on October 31, and reported that the government controlled station was dropping the USIS daily prepared international newscast. (716.00/11–160)

next following, you may also wish inform Osorio of plan to approach key Army officers.

If in your opinion split among officer corps is serious, we suggest an approach should also be made promptly to key officers in both Osorio and Lemus camps. These officers would be informed that while we have no desire to intervene in political affairs of Salvador and in particular no desire to take sides as between military groups, we believe that unity of armed forces in face of present Communist threat is both urgent and essential. Colonel Alberto Escamilla or Major Ruben Rosales or both may be best persons to approach in Osorio camp. General Molina or General Cordova or both might be best persons to approach in Lemus group. However, our information regarding military is fragmentary and we leave to Embassy's and Mil Attaches discretion which officers should be approached and most appropriate person in Embassy family to make approach. Cable Niact results these conversations with any additional recommendations Embassy may have. Department suspending recognition until receipt your report.

Ambassador Kalijarvi concurs.

Herter

ES-30. Telegram from the Chargé in El Salvador (Downs) to the Department of State¹

San Salvador, November 3, 1960, 7 p.m.

258. Department pass Army for ACSI; CINCARIB; CG USARCARIB; Department of Air Force for AFCIN. Re Department telegram 169.²

At "Kye" Quinonez's house and in company Colonel Matthews spent one hour this morning with Osorio, and hour with junta member Major Rosales alone, two hours with Rosales and Colonel Escamilla together. Quinonez party to all discussions.

Made presentation as suggested reference telegram and Osorio commenced with review of situation leading to coup which general in nature and lacking in specifics. Lemus hated by everyone, army dis-united and decaying, several coup plots in making, executive without

¹ Source: Department of State, Central Files, 716.00/11-360. Secret; Niact. This telegram was sent in two sections.

² See Document ES-29.

power to control situation and action imperative to save country from anarchy.

With one exception, his replies to direct questions were extremely vague and evasive. He denied most emphatically that single Communist appointed to position in government. Some were anti-American but this did not make them Communists. He does not agree that failure to stand up to Communists at this time presents a danger. He does not see a need to curb Communist activities, organizationally or propaganda-wise, and all parties will be given opportunity to participate in free elections. Said he erred in exiling Communists when he was President. Should have kept them here and channeled their activities. No more than 25 real Communists in country at present time and plan now is to “canalizar” their activities; they would be watched and made use of. He implied without saying so directly that if need be proper action could be taken at proper time. Questioned he said he thought he had sufficient influence on junta to initiate control measures at proper time if needed. Specific instances of present open Communist activities such as the inflammatory program of Radio Universal were pointed out to Osorio and his only comment was “this is natural.” When asked explicitly whether or not he anticipated that a 6-man junta could efficiently function or even last with inefficient operation for a period of two years until forthcoming elections, he circumvented the question and gave an explanation of how the military members of the junta had been permitted to select 50 percent of the new government assignments and how the civilian members of the junta had selected the remaining 50 percent. What needed now was unity so that urgently needed social and economic programs can be implemented. Changes had to occur within three months or serious threat to government will emerge from people. Support of extreme left as well as right needed for this and any restrictive action against former would disrupt unity and therefore could not be entertained. He not taking a direct part in affairs of junta but providing his counsel and advice. He reiterated throughout that army united and in control of situation but remarked on several different occasions that situation very delicate. Osorio readily agreed to suggestion we talk with selected army officers and suggested Major Rosales and Colonel Escamilla.

Osorio said government would abide by international agreement[s]. Asked about economic integration treaties said these could go on but some of things agreed to would have to be changed. Could not for example permit free flow of corn into this country. U.S. could produce it too cheaply and too many Salvadorans depended on it for a livelihood. Present situation this regard chaotic. Did not know enough about proposal for new Central American bank to comment. Would have to be studied.

We found Major Rosales straightforward, honest, pro-Western and friendly but a complete babe in the woods. He admitted military on junta consulting with Osorio and that civilian side probably not under Osorio's direction. Clear he has serious doubts about Doctor Fabio Castillo; he asked whether we could confirm he had extreme leftist leanings. Said decision junta taken by majority vote and no one leader. Admitted that if disagreements occurred and could not be resolved through discussion, they put aside for later. Saw dangers in this arrangement but for moment junta working well together.

Questioning brought out he totally ignorant re developments outside junta. When filled in he clearly taken aback and started taking notes. Said he did not know many of those appointed government positions, clarifying that Salazar Rodezno nominated for Information Chief Casa Presidential by junta member Falla Caceres. Asked whether intention existed apply any curbs Communist activities he parroted Osorio's remark re strategy permitting open, unfettered operations until Communists identified. When asked who first presented the strategy he hesitated and then answered: "Rene Fortin Magana". When pressed as to plans for controlling Communist movement Rosales reaffirmed that no plan existed. Said he was very inexperienced in this new assignment and would welcome any suggestions we might have to solve problem without being accused of curbing civil liberties. He stated that military members of junta felt that economic measures improve lot lower classes must be initiated immediately but that civilian members were standing firm in their position that political orientation of government must take precedence. He concluded that military members junta charged with security while civilian members dealing with political situation.

Colonel Escamilla arrived and Rosales gave him straight forward account our talk to that point, including our concern re Communist infiltration and activities. Escamilla inclined at first brush these off saying most effective way handle these was through economic deeds rather than words or control measures. Turning to Quinonez he remarked that he and people he represented should immediately join government in these activities. Quinonez asked whether Escamilla aware type propaganda now being put out by Communists. I called for tape recording (Embassy telegram 248) and for first time Quinonez himself, Escamilla and Rosales heard what Communists saying. Reaction electric with much shaking of heads. All agreed this pure Communism rather than nationalism and that action some sort seemed called for, but they continued expound difficulties taking any direct action under existing circumstances. I suggested good place to start was with Salazar Rodezno. Rosales and Escamilla departed saying they would look into matter.

Quinonez who in interim between Osario's departure and Rosales arrival had made effort defend some of Osorio's remarks made no

further attempt to do so upon conclusion three interviews. Impact all that is happening seemed to dawn upon him for first time. Asked directly whether in face all he had heard he would, if in my position, recommend recognition this government, he replied he could not in all honesty give an answer. He was not enough of a politician or diplomat to be able to assess all pros and cons of extending or not extending recognition. One thing for certain, situation extremely critical and all help and advice U.S. could give was urgently needed.

[*text not declassified*] If this could be done without recognition, recognition now not overriding. On my way to Embassy intercepted by emissary from Roberto Parker, He told me Parker had asked him come to see me to transmit following message: Parker had visit yesterday from Major Castro Moran, from Escuela de Guerra. Major Moran told Parker that the military was very unhappy over the current situation. He said that he was speaking for the majority and that they were thinking of doing something about it. Parker asked Moran why he had come to him. He replied that he had come because Parker could put him in touch with American Embassy. Parker replied he did not want to become involved, but that he did have a very good friend in the military, a Major Rodriguez Simo, in the Escuela Militar and that if this man would come and see him he would talk with him. Simo came to see Parker last night. He told him much the same thing that Moran had, adding that their group now had the support of every army unit with the exception of the national guard. Simo said, additionally that Colonel Yanes and Captain Rosales in the current junta were also unhappy and had expressed private regrets over the way the coup was handled and how it was turning out. The emissary said that Parker had also told him to pass on to me that when he had seen me two nights ago he had thought that the U.S. should not recognize. He said he had since talked to many responsible people plus these in the army and that all now agreed emphatically that U.S. should not recognize this junta. Parker said in addition he now sure good many people were not happy with Osorio. He was told by his military visitors that Osorio did not carry out some of the commitments that he had made with the military prior to the coup. He said he is convinced from his recent talks that when next coup comes, and which he now believes it will Osorio will not be included therein. Separate telegram with our analysis follows. Briefly put, we strongly of view that recognition should be deferred indefinitely.

This may be considered joint Embassy/ARMA telegram.

Downs

ES-31. Memorandum from the Assistant Secretary of State for Inter-American Affairs (Mann) to the Acting Secretary of State¹

Washington, November 5, 1960.

SUBJECT

Recent Developments in El Salvador.

REF

NSC paper dated October 30 entitled "Coupe d'état in El Salvador."²

In the past week it has become clear that currently the most prominent if not the dominant figure in the revolutionary movement which overthrew the Lemus Government is ex-President Oscar Osorio who, while a complex individual, has a long record of cooperation with the U.S. and of opposition to Communist domination of El Salvador's political life. In this coup he appears to have had the financial support of some of the leading "14 families." There is, however, a question as to whether he is in full control of the situation with indications that the influence of the extreme left may be growing rapidly and unchecked. Also, there are reports of dissension in the military and plans for a counter-coup by dissident officers. The question of the recognition of the new Salvadorian regime is being given urgent consideration in the light of these reports as this paper is being prepared.

The most significant new indications of expanding Castro-Communist influence include:

a) The appointment of more leftists to second and third echelon positions in the Government, particularly in the Attorney General's office, the Ministries of Education and Labor, the Supreme court (two to three seats in nine seat body), and in the Junta public relations office. Among these are some extremists or Communists.

b) The commencement of a daily half-hour radio program carrying the straight Communist line, reportedly with the blessing of the new Junta public relations office, and the cancellation of a USIS daily prepared international newscast on the Government-controlled station (since reinstated).

c) The rapid resumption of activities by Communist-dominated groups, including the reappearance of manifestos making demands on the Government apparently designed to foment unrest and keep

¹ Source: Department of State, S/S-NSC (Miscellaneous) Files, Lot 66 D 95, "NSC-5902-Memoranda." Secret. Drafted by Gwynn and Higdon.

² Reference presumably is to the paper from Mann to Herter, October 31, 1960, See Document ES-27.

it moving toward the left; the resumption of public student meetings; efforts to intimidate University students and faculty members opposing the Communist student leadership in the recent disturbances; and the arrest on a vague assault charge of an ex-deputy who had pushed hard for anti-Communist legislation before the fall of Lemus.

d) The reported return from exile of Cuban “Prensa Latina” staffers, rumored plans for the re-opening of the Cuban Embassy in El Salvador and rumors regarding plans for the creation of a civilian militia.

The new Government appears to lack agreement on any real doctrine and it certainly contains anti-U.S. elements, with the inherent risk that these, though in a minority at present, could possibly take over. Col. Osorio admits that the situation is delicate. He appears to be influencing the three military members of the six-man Junta, but possibly has less influence on the civilian members. While he has implied to our Charge that proper action would be taken when the time came, he apparently does not intend to curb Communist activities, organizationally or propaganda-wise, at present. He feels this kind of a coalition is necessary and desirable at this time.

On the question of recognition, Ambassador Kalijarvi, presently here on consultation, and the Embassy recommend deferring recognition indefinitely. They consider that the complexion and trend of the present Government is leftward towards a Castro-Communist take-over; that the reported plans for a counter-coup may make it short-lived; that recognition would cast a cloak of respectability about the new Government in the eyes of other countries and peoples and encourage attempts to effect similar overthrows elsewhere in Central America; and that immediate recognition would thus encourage and strengthen forces hostile to the United States without any realistic prospect of our being able to control the situation or to effect a change in the course of the new government.

There is, of course, always a possibility that Communist-Castro elements will succeed in getting an upper hand in El Salvador. The question is, however, whether it is in the U.S. interest to work with the new Government and endeavor, through the moderate elements of the regime, and particularly Osorio, to achieve an orientation toward the West, or whether, by failure to recognize or delay in recognition, we should alienate the Government, weaken Osorio and help to create a situation of uncertainty propitious for Communist and Castro influence. On balance, recognizing there are risks in whatever we do, I believe we can more effectively pursue U.S. objectives by working with the present Government. This conclusion is based largely on the hope that Osorio will remain influential, and the history of our relations with Osorio.

ES-32. Memorandum of Discussion at the 466th Meeting of the National Security Council¹

Monday, November 7, 1960

[Here follows discussion of agenda items 1–4, concerning outer space programs, Cuba, significant world events affecting U.S. security (Sino-Soviet clash, Laos El Salvador), and Algeria. Portions printed below are from the merged discussion of items 3 and 4.]

Dealing next with El Salvador, General Cabell said that the Communists and pro-Castro forces were making a strong bid for power. Ex-President Osorio, who had used these forces as a means of getting back to power, had appointed pro-Communists and pro-Castro individuals to the Cabinet and other posts. Osorio thought he could control these elements but they have moved quickly to reinforce their position. They have appointed Communists and pro-Communists to second and third echelon positions in the government and were moving in on information and propaganda media. They are also demanding removal of all Osorio's supporters. Osorio hopes to rule El Salvador indirectly until the 1952 elections. He says that he cannot consider plans to restrict the extreme Left because he needs their support to get action on certain reform measures. The army was apprehensive and a group of officers had plans for salvaging the dominant position of the military. They must act quickly, however, if their action is to be effective. General Cabell suggested that control of El Salvador by pro-Castro elements would pose a series threat to Guatemala.

[Here follows discussion of possible Soviet intervention in Algeria.]

Secretary Merchant went on to point out that the U.S. had not yet recognized the new government in El Salvador although we are considering the matter on a 24-hour basis. We had thought it unwise to recognize the government in view of the possibility of a counter-coup by conservative elements in the army. This was a difficult choice. The question was whether recognition would strengthen the reasonable elements in the government despite the fact that Leftist elements were honeycombing the government. Secretary Merchant expressed the view that Osorio may well have been double-crossed. He said that a decision would be needed within the next 24–72 hours. If we waited too long and there was no counter-coup, we would lose our ability to influence those who are our friends in the existing government.

¹ Source: Eisenhower Library, Whitman File, NSC Records. Top Secret. Eyes Only. This memorandum was prepared by Robert H. Johnson, Director of the NSC Planning Board Secretariat, on November 8, 1960. The source text contains a list of 27 attendees.

The President observed that it was frightening how a few Communist elements could get in and take over a government while the others in the government behaved like jellyfish. It was also alarming that we could not get the OAS to be really concerned about such a situation because of the political problems that these governments have at home. He observed that we might have to go back to greater reliance on power politics.

Mr. Mann stated that a decision on recognition had to be made on the basis of an estimate of whether the existing El Salvador Government would be around long enough to make support worthwhile or whether we should work for a counter-revolution. The President suggested that we ought to find out whether the Rightists in El Salvador believe that it would be useful for us to recognize the regime or whether they consider that withholding recognition would be helpful in stimulating a counter-coup. Secretary Merchant observed that U.S. recognition could dishearten the opposition. The President asked whether we were talking to the opposition. Mr. Mann said that we were and that a majority of our friends in the governments were urging prompt recognition. However, he also acknowledged that friendly army officers took the opposite view. Secretary Anderson said that he did not see how could run a government with the second and third echelons in the control of the Communists and the top of the government split; he did not see how any government could long exist on this basis on our side. Secretary Gates expressed the view that we should drag our feet on recognition because recognition would create a UN problem; that is, it would provide a basis for possible later UN intervention. He felt we were entitled to a period of time for foot dragging. The President stated that we did not want to let the situation sit and simmer; we needed to decide the best way to achieve our objectives. Secretary Merchant concluded this portion of the discussion by observing that there was no doubt that Osorio was friendly to us; the only question was whether he could control the situation.

The National Security Council:

3. Noted and discussed an oral briefing by the Acting Director of Central Intelligence on the subject, with specific reference to Sino-Soviet relations; the situation with respect to Algeria; and the situations in Laos and El Salvador.²

[Here follow the NSC Action on Algeria and discussion and Action on agenda item 5, Scandinavia.]

² This paragraph constitutes NSC Action 2330, approved by the President on November 10, 1960. (S/S-NSC (Miscellaneous) Files, Lot 66 D 95, NSC Records of Action)

ES-33. Memorandum from the Under Secretary of State for Political Affairs (Merchant) to the Secretary of State¹

Washington, November 8, 1960.

SUBJECT

El Salvador

Attached as Tab A is telegram to our Chargé a.i. in San Salvador approved by Tom Mann instructing him to inform the Foreign Minister immediately that the United States has decided to recognize the new government.²

Although drafted for my signature, Mr. Mann feels that this should be approved before dispatch by you and the President.

Attached as Tab B is a memorandum from Ambassador Kalijarvi opposing this course of action.³

At the NSC meeting yesterday morning raised this subject with the President and outlined the pros and cons of recognition with an indication that the Department expected to have a recommendation for his consideration within a day or two. Although the discussion was brief, the main points were covered. Tom Gates expressed himself forcefully as opposed to recognition at this time. The others were silent, and the President gave no visible indication of judgment in the matter.

It is unnecessary to say that this is a very difficult decision with the factors pro and con closed balanced. I have in my own mind reached the conclusion that we should continue to delay according the junta recognition. The controlling reasons for this are:

(1) Having delayed this long, it is difficult to represent that recognition now would be automatic and containing no element of moral judgment. The passage of time itself will be construed as our having weighed all the factors and finally having come down on the side of recognition.

(2) Recognition now with a counter-coup still in the air would inevitably be a discouragement to those contemplating such action. Certainly a counter-coup by moderate and anti-Communist army officers would be in our interest.

¹ Source: Department of State, Central Files, 716.02/11-860. Secret. The source text bears the notation: "Overtaken By Events. 11/10/60."

² Not filed with source text. The telegram was evidently not sent.

³ Not filed with the source text. The reference is presumably to Kalijarvi's memorandum of November 6, 1960, which concluded with the statement that "immediate recognition of the junta government in El Salvador would encourage and strengthen forces hostile to the United States without any . . . prospect of our being able to control the situation in El Salvador and to effect the course of its government." (ARA/OAP Files, Lot 63 D 127, "El Salvador, 1960")

(3) On balance, I am dubious of our ability to exert effective influence in support of the moderates in the present junta, particularly with no Ambassador on the spot. Moreover, it seems to me the withholding of recognition, at least until the situation clarifies, in fact places some leverage in the hands of friends in the junta since they can hold out the prospect of recognition as an argument against further radical acts by the radical elements.

To recapitulate, I recommend withholding recognition and continuing to watch and wait.

I also recommend that you meet with Mr. Dillon, Mr. Mann, and myself as soon as convenient after your return for a further review of this matter.

ES-34. Memorandum for the President by the Secretary of State¹

Washington, November 10, 1960.

SUBJECT

Recognition of Junta in El Salvador

As you know, we have delayed recognition of the Junta in El Salvador pending further analysis of its stability, composition and political orientation. It is now clear that the new Government is one of coalition without adequate leadership which, while seeking reform, has no clear idea of how to deal effectively with subversive elements. This presents a situation of danger and it may well be that we should recognize so as to be in the best position to use our influence to strengthen the efforts of non-Communists to orient government policy along democratic lines.

I recommend that you authorize me to extend recognition to the Junta Government at such time as we consider our interests will best be served by so doing. We are informed that Brazil has decided to recognize the Junta Government today. Mexico, Guatemala, Honduras, Nicaragua, Panama, Ecuador, Paraguay, Israel, China, Austria and Spain have already recognized. I anticipate that other countries will soon follow suit.

Christian A. Herter

¹ Source: Eisenhower Library, Whitman File, International File. Secret. A notation by Brigadier General Goodpaster on the source text reads as follows: "President approved orally. I notified State Dept."

ES-35. Letter from the Chargé in El Salvador (Downs) to the Ambassador in El Salvador, Temporarily in Washington (Kalijarvi)¹

San Salvador, November 10, 1960.

Dear Mr. Ambassador:

I received your two letters² and wish to thank you very much for them and for the advice and counsel which I can read between the lines. We have been exceedingly busy. What with the many discussions we have been having with almost everyone around the place these days, the telegrams that have had to be drafted and cleared and the other myriad of activities which always seem to come upon one, I must admit that I have had very little time for either eating or sleeping. It has, however, as you can probably gather from that end, been a very interesting period. I believe that the pieces of the puzzle are beginning to fall into place fairly rapidly these days and I must say that the picture which is outlined is much as we had thought it would be in the early stages. One thing seems clear: we are in for a very difficult period over the next couple of months. From all we have been able to learn to date I am now more convinced than ever that we will be making a very grave error to put our money on Mr. Osorio. The latest we have heard is that he is drinking very heavily and is now letting it be known among his very close friends that he has indeed been double-crossed. It seems to me, therefore, that our best course of action for the present is to give every bit of under the table assistance we can to the moderate forces in the country—both outside the government and where we can find them inside—and attempt to awaken them to the danger which is clearly apparent and give all the help we can in organizing the fight against it. This I think can be done without recognition on our part and I continue to believe that we would be making a very grave error in recognizing this Junta as it is currently composed.

I think you too would be amazed at the number of people who have been seeking us out in the last week to tell us of their fears and concerns. People who up to a week ago were insisting that we recognize and give this government our full assistance. Among them, I am sure, are a large number who contributed both financially and morally

¹ Source: Department of State, ARA/OAP Files, Lot 64 D 16, "Junta Memoranda: El Salvador, 1960." Confidential. Kalijarvi enclosed this letter with a memorandum to Herter, November 16, 1960, opposing immediate recognition of the Junta and recommending his prompt return to El Salvador. (ARA/OAP Files, Lot 63D 127, "El Salvador, 1960")

² The letters under reference were not further identified.

to the overthrow of the Lemus regime. I think that they are now coming to realize that they have a bear by the tail—genesis Russian—and are now very much concerned about how to get rid of it. That it will be gotten rid of, at least in the form of the present Junta, I am convinced. Just how soon the very careful preparations that will be necessary for success will be ready is anyone's guess. I don't believe, however, that we will find the present situation existing at the end of this month. I hope we will be able to convince our peers in Washington to hold off for at least this long.

...³

Most sincerely,

Donald P. Downs

³ Four dots appear in the source text.

ES-36. Memorandum of Telephone Conversation, by the Under Secretary of State for Political Affairs (Merchant)¹

Washington, November 11, 1960.

Mr. Gray said Mr. Gates was terribly concerned about recognition of the new government of El Salvador. He was not in agreement with State. He was strongly opposed to going ahead as were the Joint Chiefs. He acknowledges that this was political and he understood that Allen Dulles was also opposed. Mr. Gray said he could not speak for Mr. Dulles but he thought this was correct information. He told Mr. Gates that he had not been in on the matter except for what came up in the National Security Council.² He did not consider this to be an NSC matter and therefore had not inserted himself in the process, and he didn't intend to except to pass along his point of view which is the same as Mr. Gates'. But this is an individual point of view because he would think the President would look to the Secretary of State for primary advice. However, [illegible in the original] would like to know how State felt it should be done—i.e., how do the people at the top feel—and more specifically how did Mr. Merchant feel about it.

¹ Source: Department of State, Central Files, 716.02/11-1160.

² Reference is to the NSC meeting of November 7; for the memorandum of discussion, see Document ES-32.

Mr. Merchant said he would start with last [illegible in the original] about last night. Mr. Merchant had [illegible in the original] Gates through [illegible in the original] requesting that [illegible in the original] El Salvador until [text not declassified] was [illegible in the original]³ [illegible in the original] to arrive in [illegible in the original] Friday. Mr. Merchant [illegible in the original] so the situation has been held up. Although the Secretary has the President's approval or discretionary [illegible in the original] recognize ES when it is timely and right. State's [illegible in the original] yesterday was to recognize the country in a [illegible in the original] to watch developments. This decision was [illegible in the original] on the basis of findings of private emissaries [illegible in the original] advice from some of our top Latin American friends [illegible in the original] on balance that a counter-coup by the conservative elements in the army, contrary to our original hope was not [illegible in the original] for some months. One argument against recognition was that it would discourage any such movements by friendly [illegible in the original] There was also the question of how [illegible in the original] could best encourage and invigorate the friendly moderate element who are still in the junta before they are gobbled up by the dangerous elements. It is a delicate judgment.

Mr. Gray said that Defense and others against it are entitled to make their strong views known, but he still felt it is the primary action of the State Department.

A further development, Mr. Merchant continued [illegible in the original] of just a few minutes ago. The USIB met this morning, and it is the unanimous view of the intelligence community that this is predominately a very bad crowd. That is no news to State. The Secretary and he are getting a memo from Hugh Cumming,⁴ who attended the meeting; and that judgment, which was concurred in by Allen Dulles, would be taken into consideration by Mr. Herter and himself. It will come down to a close and difficult question of psychological and political consideration.

Mr. Gray thanked him for the background information.

³ In notes on a telephone conversation of November 10, 1960, Merchant stated that Robert H. Knight, Deputy Assistant Secretary of Defense for International Security Affairs, called him on behalf of Secretary of Defense Gates, asking for delay of recognition pending receipt of information on the following day which might bear on the decision (716.02/11-1060)

⁴ See Document ES-37.

ES-37. Memorandum from the Director of Intelligence and Research (Cumming) to the Secretary of State¹

Washington, November 11, 1960.

SUBJECT

Considerations of Intelligence Community Regarding Recognition of El Salvador.

I have been informed that a decision has been made to extend recognition to the government which has been formed in El Salvador following the overthrow of President Lemus on October 26. While this decision is beyond my scope, I do feel very strongly that it is our duty to put forth our considered judgment of the results that may flow from such recognition.

Since there is no time for a National Intelligence Estimate in this case, Mr. Dulles, The Director of Central Intelligence, suggests that we incorporate in one paper the view of representatives of the intelligence components of the Department of State, the Central Intelligence Agency, the Department of Defense, the Joint Chiefs of Staff, and the Departments of the Army, Navy, and Air Force.

The government formed in El Salvador following the overthrow of President Lemus on October 26 continues to exhibit an increasing trend toward the left. A growing proportion of the Junta appointments to the cabinet and other important government posts are going to confirmed or suspected Communists. The individual responsible for engineering the coup was former President Osorio who had enlisted the support of military and wealthy civilian elements in addition to many leftists. It now appears that Osorio is unable, or perhaps unwilling to contain the growing power of the leftists who are becoming entrenched in the new regime. Although there are Junta and Cabinet members who show signs of concern over the situation, they have not demonstrated the capability of coping with their more politically skilled leftist colleagues. A counter-coup by disgruntled but disunited military elements remains a possibility. The leftist trend of the Junta in El Salvador has been indicated more by the nature of government appointments than by actions or declarations. Also a considered danger is that several more important Communist and leftist appointments and removals of moderate elements are pending the receipt of recognition by the United States Government.

Although the Junta has lifted the state of siege, the dissolution of Congress and the elimination of pro-Lemus elements, friendly to the

¹ Source: Department of State, Central Files, 716.00/11-1160. Secret.

United States, and the vague promise of holding free elections two years hence, does not give an assuring picture of what future course of action the Junta will take.

United States Government recognition at this time would discourage the hopes of non-Communist opposition to carry out a counter-coup against the Junta. Recognition would provide the Junta with the respectability they now desperately are searching for. This would allow the leftists the needed time to consolidate their gains and to seek outside support from other leftist oriented governments, such as Cuba. After they become well entrenched, El Salvador would probably serve as a base for similar movements in neighboring countries. This perhaps is the major risk involved to the political stability and future security of Central America. A leftist dominated El Salvador could serve as a vital wedge, resulting in an extension of Castro-type Communism from Cuba to the Central American mainland. Castroism would then be provided with a West Coast opening—a base for seaborne Communist access to Central America. The current unrest and instability of Guatemala and Honduras are such that even the presence of a leftist government in El Salvador would provide the necessary spark needed to topple these shaky governments. Nicaragua also would not long be able to resist the presence of leftist governments in three neighboring Central American countries. The effects of such developments on Panama and the security of the Canal Zone are self-evident. A further problem would be posed to the U.S. Government in giving additional support to bolster countries thus threatened. As a final consideration, recognition of the present government of El Salvador by the U.S. would be widely interpreted throughout Latin America as well as inside the country, as approval of what could quite easily result in another Castro type regime.

The foregoing has been jointly drafted by senior representatives of the intelligence community and the conclusions approved by all of them, including The Director of Central Intelligence.²

²In a memorandum to Herter, November 13, 1960, Mann took issue with Cumming's memorandum and strongly urged that the United States "proceed forthwith to recognize the Junta Government." (ARA/OAP Files, Lot 63 D 127, "El Salvador, 1960")

ES-38. Telegram From the Embassy in El Salvador to the Department of State¹

November 15, 1960

¹ Source: Department of State, 3 pages not declassified.

ES-39. Telegram from the Chargé in El Salvador (Downs) to the Department of State¹

San Salvador, November 23, 1960, noon.

326. For Mann. Following from Stewart:²

After two hour meeting with Osorio, two hour session attended by all six members of Junta and about 15 interviews Salvadorans, Americans and others these are my observations:

1) Osorio was key figure in overthrow. He and civilian elements were in accord sometime before overthrow.

2) Osorio admits there will probably be counter attempts in armed forces and plotting is in evidence but based on my information Osorio has enough support in armed forces to keep present Government in power. Osorio has receded into background and provides occasional advice but three military members of Junta are his men and Minister Interior³ is strong type loyal to Osorio. Therefore, Osorio is key man in country.

3) Civilian members of Junta are well-intentioned but inexperienced. I feel they are anxious to cooperate with U.S. If there were any doubt, however, Junta setup provides excellent check and balance with military members, backed by Osorio, exerting deciding influence. My meeting with Junta members was marked by frank exchange of ideas, especially on appointment people of doubtful ideology to Government

¹ Source: Department of State, Central Files, 716.00/11-236. Confidential; Niact; Limit Distribution.

² C. Allan Stewart, Counselor of Embassy in Venezuela, visited San Salvador, November 20–23. A memorandum from Stewart to Mann, December 2 reporting on this visit, was enclosed with a letter from Stewart to Higdon, December 2 1960. (ARA/OAP Files, Lot 64 D 16, "Junta Correspondence: El Salvador, 1960.")

³ Col. Alberto Escamilla.

posts. They are aware of background these people and reached unanimous decision appoint them after long debate. After conversing many serious Salvadorans I conclude there are sharply diverging opinions about whether doubtful individuals are Communists. In any event, Junta is aware our concern for some appointees and Osorio welcomed memorandum [*text not declassified*]⁴ When translated "Osorio suggested it be given to Minister Interior Escamilla.

4) Osorio and Junta are for free elections. They think Democratic forces can overwhelm Leftists at polls, and Osorio starts organizing new party to attract bulk of PRUD on Friday, with big convention around December 15. Civilian Junta members told me they discussed two types overthrow in first stages of plotting, namely à la Castro or à la Betancourt. Decided on latter because by Democratic forces in Venezuela won out later in free elections. Said this formula also had been successful in Guatemala and Honduras. Osorio said PRAM and CGTS will be controlled. Close friend one of military members Junta and of Minister Interior said these two strongly confirmed this fact to him. However, same source, evidencing his own concern, added that he had asked his friends if they sure they not being used.

5) Junta admits its functions as caretaker Government while Congressional elections prepared is not enough and must make start on social program. Osorio said he had ideas along this line.

6) Reaction among Salvadorans with whom I talked is regret for departure constitutional process but strong to mild feeling Lemus bungled student disturbances so badly his removal was logical aftermath. Return to constitutional Government is avowed unanimous desire.

7) Consensus opinion is that any succeeding Government would be rightist military Junta. Some observers viewed this with alarm, saying it would not be accepted by liberal elements and masses, with consequent trouble.

8) I am most impressed with attitude of intelligent Salvadorans who realize dangers of present situation and wish cooperate with Junta in finding solution along peaceful lines. Meanwhile working class continues at tasks without interruption. Cumbersome six-man Junta may be streamlined but I believe only after satisfactory agreement between civilians and military.

9) Osorio made plea for recognition and Junta members were most eager get over point they wish to work with U.S. and need our support.

Downs

⁴The paper entitled, "Cuban Subversive Activities in El Salvador," was not found in Department of State files.

ES-40. Memorandum for the President by the Secretary of State¹

Washington, November 26, 1960.

SUBJECT

Recognition of Junta in El Salvador

On November 11[10?], 1960 you authorized me to recognize the Junta Government of El Salvador at any time when I considered our interests would best be served by so doing. In view of doubts voiced by our intelligence community and others regarding the possible consequences of recognition, we sent a ranking Foreign Service Officer, who had until recently served as Director of the Office of Central American and Panamanian Affairs, to El Salvador to make an impartial survey of the problem. On the basis of numerous talks he held with persons in El Salvador, including American and Salvadorans with whom he had long been acquainted, the six-man Junta and former President Osorio, he has reported that Osorio seems to be the key figure behind the present Government and that the latter is attempting to maintain its independence of Castroist or Communist policies and personnel.² Mr. Allen Dulles and the Department of State's Director of Intelligence³ on the basis of this officer's report and their judgment of current developments in El Salvador, no longer have any objection to recognition. I therefore propose to extend recognition on or about November 30, 1960 unless you perceive objection.⁴

Christian A. Herter

¹ Source: Eisenhower Library, Whitman File, Dulles-Herter Series. Secret. Drafted by Coerr and Higdon. A memorandum from Herter to Goodpaster, November 25, 1960, suggested that he not put this matter before the President until Monday afternoon, November 28, to give the Department of Defense "an opportunity to register their dissent should they feel as strongly as they did in the past." (Eisenhower Library, Whitman File, Dulles-Herter Series)

² See telegram 326 from San Salvador, November 30, 1960, Document ES-39.

³ Hugh S. Cumming, Jr.

⁴ According to a notation on the source text, President Eisenhower approved the memorandum on recognition, December 1, 1960.

ES-41. Letter from the Secretary of Defense (Gates) to the Secretary of State¹

Washington, November 30, 1960.

Dear Chris:

Attached is the latest information available in Defense about the situation in El Salvador.² The Defense intelligence holdings indicate a considerable Left activity by the Junta government, with confirmation of facts which have caused our previous concern. The confirmation includes information just received from General Alva Fitch³ who is in San Salvador now and who is well acquainted with Central American affairs.

I wanted to be certain that this information was available to you.

Since the question of recognition primarily is one of political judgment, I will leave this up to you. However, we are so concerned at the prospects of Communist take-over, whether or not recognition is afforded the Junta, that I suggest the State Department, the Defense Department and CIA get together to determine what feasible actions can be taken to insure against the take-over.

Sincerely yours,

Thomas S. Gates

¹ Source: Department of State, Central Files, 716.02/11-2060. Secret.

² The attachments were a paper and a memorandum. The paper, entitled "The Leftist Trend of the Government of El Salvador," claimed that Communist influence had risen in the Salvadoran Government, student organizations, and labor movement, and it concluded that any action which strengthened the Junta would contribute to the rise of Communist influence on the future course of the Government. The second attachment, a memorandum of a telephone conversation between General Fitch and Lt. Col. Luther F. Long, General Staff, Chief, Western Hemisphere Section, Office of the Assistant Chief of Staff for Intelligence, on November 30, 1960, concerned efforts by the Communist-controlled CGTS to organize *campesino* committees throughout El Salvador.

³ Maj. Gen. Alva R. Fitch, Deputy Assistant Chief Staff for Intelligence, Department of the Army, visited El Salvador, November 29-December 1, 1960. General Fitch met with numerous persons he had known during his assignment as military attaché in El Salvador 1948-1950.

**ES-42. Memorandum of Conversation with the President,
Prepared by the President's Staff Secretary (Goodpaster)¹**

Washington, December 1, 1960.

OTHERS PRESENT

Secretaries Dillon and Irwin
General Goodpaster

Mr. Dillon and Mr. Irwin met briefly with the President to discuss a difference of view regarding recognition of the government which took power in El Salvador as a result of the recent coup. Mr. Dillon said he realized that Defense had receded from its position of offering objection, although he understood Defense still disagreed with the action. He said that the State Department view is that if the United States does not recognize the new government, we will be "throwing in the towel" so far as sending good people into the area to try to influence the situation. He said that State considers that if we extend this recognition, we will be able to hold off the Communist effort there.

He added that other Latin American countries have recognized the new regime, including Argentina, Brazil and Chile. He said that before extending recognition, we will ask the Salvadorans to make a statement whether they support OAS commitments. If so, we will recognize them. He added that the CIA supports this action, but that Defense takes the stand that the government there is more Communist-influenced than State believes is true.

Mr. Irwin said that Defense has thought that there might be a counter coup in the area. However, it has not developed. Defense has considered that we should avoid tying our hands in El Salvador as in Laos through hasty recognition of a regime which will come under Communist domination. He added that Defense is concerned that recognition of Communist-oriented governments hurts our friends in other countries. However, Defense considers that the points have been brought out and they withdraw on the matter on the grounds that the question is one of State Department responsibility.

The President gave his assent to going ahead with recognition on the basis described by Mr. Dillon.

[Here follow discussion on Yugoslavia.]

A. J. Goodpaster
Brigadier General, USA

¹ Source: Eisenhower Library, Whitman File, "DE Diaries." Secret. This memorandum was prepared on December 7, 1960.

ES-43. Telegram from the Acting Secretary of State to the Embassy in El Salvador¹

Washington, December 1, 1960, 7:59 p.m.

232. Embtel 222.² The Ambassador is instructed in person to deliver to FONOFF on or about December 3 following note of recognition on part of United States of new Government of El Salvador:

"I have the honor to acknowledge the receipt of Your Excellency's Note No. D-5039, dated October 27, in which you requested me to inform my Government that a Junta of Government has now been established in El Salvador. Your Excellency's note states that the new Government has declared its intention to continue to comply strictly with the Constitution of 1950, which remains in force, to observe international treaties and conventions, to fulfill its obligations and commitments, and to respect human rights.

In view of the assurances set forth in your note and of the official affirmations made public concerning the holding of free elections, my Government has instructed me to state that it welcomes these assurances, and that it is pleased to extend recognition to the Junta of Government as the provisional Government of El Salvador."

Please inform Department promptly of any changes in Note for accuracy and of time and manner delivery.³

¹ Source: Department of State, Central Files, 716.00/10-2760. Official Use Only; Priority. Drafted by Whitman and Higdon, and signed by Mann.

² The referenced telegram, dated October 27, 1960, transmitted note No. 5039 from Déneke to Kalijarvi, October 27, described in the present telegram. (716.02/10-2760)

³ Telegram 356 from San Salvador, December 3, 1960, informed the Department that Kalijarvi delivered the above note to Déneke, 6 p.m., December 3. (716.02/12-360)

ES-44. Message from the Assistant Secretary of State for Inter-American Affairs (Mann) to Colonel Oscar Osorio¹

Washington, December 2, 1960.

Dear Friend:

I believe you will be pleased to know that the United States will soon recognize the provisional Junta Government of El Salvador.²

I wanted to express my appreciation for the time which you so kindly gave to Allen Stewart and to let you know that our delay in recognition was not based on the belief that the highest officials of the Government are anti-democratic. Rather, it was based on our concern that the confusion in so many minds between genuine reform and Communist dictatorship might permit a gradual increase in the political power of Communists, through organization of the *campesinos* and the like, to the point where constitutional, democratic government in El Salvador would no longer be possible.

I know that you share this continuing concern. You can count on us for whatever assistance we can appropriately render, consistent with our international obligation, to help the Salvadoran people achieve a stable democracy within a framework of economic progress and a greater degree of social justice.

With every good wish,

Sincerely yours,

Thomas C. Mann

¹ Source: Department of State, Central Files, 716.02/12-260. In a memorandum to Mann dated November 30, attached to the source text, Merchant stated that "if the President approves prompt recognition of the junta in El Salvador, I feel strongly that whoever communicates to the junta our decision should see Osorio and tell him that . . . we have done so on certain assumption, i.e., that elections will be held within x months, that necessary steps will be taken to prevent the government falling under the control of Communists or Castro elements, and that the junta is interested in preserving traditionally friendly relations with the United States Government." Mann's letter did not convey the essence of Merchant's request, but Osorio had already given the requisite assurances to Allan Stewart in San Salvador on November 21, according to Stewart's memorandum to Mann, dated December 2, reporting on his visit to San Salvador; see footnote 1. A partially legible notation on Merchant's memorandum possibly refers to that meeting.

The source text for Mann's letter is an unsigned carbon copy. No record of its delivery was found in Department of State files.

² See telegram 232, Document ES-43.

Guatemala: U.S. Relations with Guatemala

GT-1. Editorial Note

General Miguel Ydígoras Fuentes, candidate of the right-wing Partido Reconciliación Democrática Nacional (Redención), won a plurality of 190,972 votes in the Guatemalan Presidential elections of January 19, 1958. Colonel José Luis Cruz Salazar of the Movimiento Democrático Nacionalista received 138,488; Mario Méndez Montenegro, candidate of the left-wing Partido Revolucionario, 132,824 votes; and Colonel José Enrique Ardón Fernández of the Partido Unión Liberal Nacionalista, 5,834 votes. The Guatemalan Constitution provided that the Congress would elect the President from the two leading candidates when no candidate received an absolute majority vote. Parties supporting Colonel Cruz had a majority in the Congress. (Secretary's Staff Meetings, Lot 63 D 75, SM N-599, January 7, 1958).

According to the memorandum of discussion at the National Security Council meeting of January 22, Director of Central Intelligence Allen W. Dulles said that "the United States would probably manage with either the right-wing candidate or the middle-of-the-road candidate, whom we had favored; but our fear is that the election of the rightist would provoke a strong leftist reaction and more disorder." (Eisenhower Library, Whitman File, NSC Records). In order to avert the threat of mob violence if Ydígoras was not elected, Cruz agreed on January 27 to respect the choice by the Guatemalan Congress of the candidate with the plurality of votes. General Ydígoras, promised to choose "collaborators" from the opposition parties, apparently an expression of willingness to accept a coalition government.

As recorded in the memorandum of discussion at the NSC meeting of January 30, General Charles P. Cabell, Acting Director of Central Intelligence, "noted that the danger of post-election violence in Guatemala had been reduced by an agreement between Ydígoras and Cruz, an agreement motivated by the realization that only in this way would violence be avoided, since Ydígoras would use force to counter any decision in favor of Cruz in the Guatemalan Congress."

(Eisenhower Library, Whitman File, NSC Records). In telegram 342 from Guatemala, Ambassador Edward J. Sparks reported that as instructed, he had met with Cruz on February 11 to stress that “his statesmanlike sacrifice had been in the interest of national security.” (714.00/2–1158)

The Guatemalan Congress elected Ydígoras President by a vote of 40 to 18 for Cruz on February 12. He was inaugurated for a six-year term on March 2. Documentation on the Guatemalan elections is in Department of State decimal file 714.00.

GT-2. Editorial Note

In a memorandum of February 15 to President Eisenhower, Acting Secretary of State Herter recommended inviting President-elect Ydígoras of Guatemala to Washington because “it would be most useful to our future relations with the Ydígoras administration, would serve to strengthen the President-elect’s pro-United States attitude, and could well have a beneficial effect on the orientation of his administration’s policies.” (Eisenhower Library, Whitman File, Administration Series).

President-elect Ydígoras made an informal visit to Washington, February 23–25. On February 24, he met with Vice President Nixon, had lunch with Secretary of State Dulles, and met with Roy R. Rubottom, Jr., Assistant Secretary of State for Inter-American Affairs. On February 25, he had breakfast with President Eisenhower and Secretary Dulles at the White House.

A briefing memorandum of February 22 for Assistant Secretary Rubottom on points to discuss with President-elect Ydígoras is in APA/OAP Files, Lot 60 D 647, “Ydígoras Visit.” Memoranda of President-elect Ydígoras’ conversation with Vice President Nixon and President Eisenhower are printed herein. A memorandum of his conversation at lunch with Secretary Dulles is in decimal file 714.11/2–2458. For further information, see the Department of State *Bulletin*, March 17, 1958, page 417.

GT-3. Memorandum of Conversation, by the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, February 24, 1958.

SUBJECT

Visit of President-Elect Ydígoras Fuentes on Vice President Nixon.

PARTICIPANTS

Vice President Nixon

President-Elect Ydígoras of Guatemala

Other present who did not participate in the conversation:

Assistant Secretary of State Roy R. Rubottom, Jr.

Chief of Protocol Wiley T. Buchanan, Jr.

Ambassador Join Davis Lodge (invited by Vice President Nixon at time of call)

Chargé D'Affaires Asensio-Wunderlich)

Señor García Bauer) Members of President-Elect

Señor Bapez Herrarte) Ydígoras' Party.

Señor Alejos)

The Vice President expressed his great pleasure at being able to receive the President-Elect in his office in the United States, recalling his happy and unforgettable experience in visiting Guatemala in 1954 [1955].² General Ydígoras responded with a warm greeting and expression of pleasure at being in the United States.

The Vice President inquired as to what the President-Elect considered to be his number one problem in Guatemala. The President responded promptly, "communism". He said that his country, after ten years of rule by Arévalo and Arbenz, had been hurt by communism and that he was going to attack it by trying to offer the people better work opportunities, better food, better housing and better clothing. The Vice President interjected that that sounded like a positive, straight-forward campaign which should produce results rather than the usual campaign of being simply "against" something. The President-Elect referred to Guatemala as being like a young lady who has been ill with smallpox and is left with her skin pitted by scars. He said that Guatemala had many small scars left from the Arévalo-Arbenz regime and that these would take time to heal. He said that Castillo Armas had

¹ Source: Department of State, Central Files, 714.11/2-2458. Confidential.

² Vice President Nixon visited Guatemala, February 12-15, during a good will tour of Central America and the Caribbean area, February 6-March 5, 1955; see *Foreign Relations*, 1955-1957, vol. VII, American Republics: Central and South America, Document 24.

succeeded in “trimming” the Communist inroads, but that the problem would now have to be attacked at its roots.

The President-Elect referred to the role of the Archbishop of the Catholic Church,³ in the last election when Church support allegedly had been given to the Christian Democratic Party. The President-Elect opined that in spite of Church support, which would have been expected to give the women’s vote to Cruz-Salazar who had the support of the Christian Democratic Party, a large number of his approximately 190,000 votes had been from the women. He paid particular respect to the women market workers who had supported him and conveyed their message of greetings to the Vice President and to Mrs. Nixon whom they recalled from their visit to the market in 1954 while in Guatemala.

The Vice President alluded to the fine movement of solidarity against communism effected by President-Elect Ydígoras Fuentes and one of the defeated candidates for President, former Ambassador Luis Cruz-Salazar. The President-Elect acknowledged the compliment and said that while they had been bitter enemies in the campaign, he had “tried to shoot either over Cruz’ head or short of his feet in order not to destroy him and his party since he recognized that he needed their support”. The President-Elect referred to the difficulty of having his own supporters accept the solidarity move by Cruz-Salazar, but hoped that this would be accomplished.

The Vice President said that President Eisenhower was looking forward to meeting the President-Elect at breakfast tomorrow morning. He commented that, since both of them had military backgrounds, they would undoubtedly find much in common, especially in their approach to political problems. The Vice President observed that our President had become great in office after an outstanding military background and he felt sure that the Guatemalan President-Elect would have the same experience. General Ydígoras said that he intended to drop his uniform and hoped to have the Guatemalan military act only as defenders of the country, thereby removing them from politics.

Vice President Nixon and General Ydieoras then departed from the office to the Capitol steps where photographs were taken with the Capitol dome in the background.

³ Mario Rossell y Arellano.

GT-4. Memorandum of Conversation, by the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, February 25, 1958.

SUBJECT

President Eisenhower's Breakfast for President-Elect Ydígoras

PARTICIPANTS

The President	Dr. Mariano López Herrarte
President-Elect Ydígoras of Guatemala	Assistant Secretary of State
The Secretary of State	Roy R. Rubottom, Jr.
The Secretary of Defense	Ambassador Edward J. Sparks
Chargé d'Affaires Asensio-Wunderlich of Guatemala	Dr. Milton Eisenhower
Señor García Bauer	Mr. Samuel Waugh, President of Export-Import Bank
	Mr. George Allen, USIA

The guests gathered in one of the drawing rooms. The President entered and, following introductions and greetings, led the guests into the family dining room.

Secretary Dulles invited the attention of the President to the fact that he (the Secretary) and President-Elect Ydígoras had both attended the Versailles Conference in 1919. The President during the course of the conversation recalled that he had known some of our military officers who had been connected with the Guatemalan Military Academy which had always maintained a high standard. The President also recalled several of his experiences while serving in Panama and later in the Philippines.

The President-Elect took the occasion to mention several of the problems which he faces in assuming office in Guatemala, including that of raising the health standard of his people. The Secretary also engaged in conversation on the same subject with Dr. Mariano López Herrarte, an outstanding Guatemalan physician who was trained in the United States. Attention was called to the very serious problem of parasites, especially hookworm, which affects most of the Guatemalan population, reducing the blood count of the individuals affected on the average by 40 to 50 percent. Both the President and the Secretary asked that prompt attention be given to this problem through the Health Servicio under the Technical Cooperation program, since it seemed to be something that could be attacked vigorously with our assistance. Dr. Lopez acknowledged the great progress that had been made in

¹ Source: Eisenhower Library, Whitman File, International File. Confidential.

overcoming the effects of malaria in his country and elsewhere in the world. Despite progress made against yellow fever, he said he understood that the disease was creeping up through the Americas again, primarily due to the infection of monkeys in the Brazilian jungle.

The Secretary and Dr. García Bauer, the prospective Foreign Minister in the new government, engaged briefly in conversation regarding the Law of the Sea Conference scheduled in Geneva. (Mr. Rubottom had discussed the subject with Dr. García Bauer and the President-Elect on the previous afternoon.)² Dr. García Bauer stated that Guatemala was interested in trying to cut down on Mexican encroachment on Guatemalan fishing beds. The Secretary referred to fishing problems which we had had with Mexico.

The President and the Secretary, as well as the Secretary of Defense, referred briefly to the program taking place in Washington today to inform the public regarding the Mutual Security Program. The Secretary indicated that he was speaking on this subject this morning at 9:15, and the Secretary of Defense added that he would be speaking later this morning. The President mentioned that “mutual security” was a proper term with respect to the military aid portion of the program, but that “economic aid”, which speaks for itself, should not be referred to as part of “mutual security”. While engaged in this subject, the President gave general assurances to General Ydígoras regarding the desire of the United States to assist Guatemala where possible.

Dr. García Bauer told the President that they were looking forward to the planned visit of Dr. Milton Eisenhower and Mr. Rubottom to Guatemala later this year. The President acknowledged that this trip was in prospect and requested his brother to obtain first-hand

² No memorandum of President Ydígoras’ conversation with Assistant Secretary Rubottom on February 24 was found in Department of State files. At the Secretary of State’s staff meeting on February 25, the following note was taken: “Mr. Snow reported on a two-hour meeting yesterday with the Guatemalan President-elect during which Ydígoras stressed: 1) the need for additional electric power in his underdeveloped country; 2) his belief that Communists should be allowed to return to Guatemala where they could be kept under surveillance; 3) his desire for naval craft to prevent poaching by Mexican shrimp boats; and 4) his fear that Mexico might revive its territorial claim against British Honduras. Mr. Snow said that \$10 million in grant aid for Guatemala from FY 56 is still in the pipeline, that an additional \$10 million is now being programmed, and that Ydígoras seemed satisfied with this level of assistance.” (Secretary’s Staff Meetings, Lot 63 D 75, SM N-613, February 25, 1958) In his description of the meeting with Rubottom, Ydígoras wrote that he raised certain subjects but got no positive response. The subjects included the possibility of U.S. import quotas for coffee; a request for Guatemalan purchase of two frigates; establishment of a Central American defense organization with U.S. membership to defend the Caribbean; and a suggestion for U.S. support of the Guatemalan claim to Belize. See Ydígoras, (Englewood Cliffs, n.[illegible in the original], 1963) *My War with Communism*, pp. 61–63. A memorandum on British Honduras handed to Assistant Secretary Rubottom by President-elect Ydígoras on February 24 is in ARA/OAP Files, Lot 60 D 647, “British Honduras (Belize).”

information regarding the health program and what the United States might do to be of assistance to Guatemala.

Mr. Rubottom and Ambassador Sparks engaged Secretary McElroy in discussion regarding the oil problem, particularly the matter of off-shore procurement of certain types of fuel for the Defense Department needs. Mr. Rubottom told the Secretary that he was going to Venezuela tomorrow to consult with the Government there on the oil problem.

The Chargé d'Affaires, Dr. Julio Asensio-Wunderlich, expressed to the President appreciation on behalf of the Government of Guatemala for the invitation to General Ydígoras to come to the United States with his party. He also thanked the President for making the President's Guest House available as the group's residence while here and expressed their appreciation for the cordial reception given them by the President at breakfast this morning.

At the conclusion of the breakfast, the President led his guests to the portico of the White House where photographs were taken by assembled newsmen.

GT-5. National Intelligence Estimate¹

Washington, April 29, 1958.

NIE 82-55

THE OUTLOOK FOR GUATEMALA²

THE PROBLEM

To estimate the outlook in Guatemala over the next few years, with special reference to political trends and to Communist prospects.

CONCLUSIONS

1. President Miguel Ydígoras Fuentes, inaugurated on 2 March 1958, is authoritarian in background and outlook, but will probably endeavor

¹ Source: Department of State, INR-NIE Files. Secret. According to a note on the cover sheet, the Central Intelligence Agency and the intelligence organizations of the Departments of State, the Army, the Navy, the Air Force, and the Joint Staff participated in the preparation of this estimate. The Intelligence Advisory Committee concurred in this estimate on April 29, 1958.

² This estimate supersedes NIE 82-55, "Probable Developments in Guatemala," 26 July 1955, and so much of NIE 80-57, "Political Stability in Central America . . .," 23 April 1957, as pertains to Guatemala. [Footnote in the source text.]

to maintain a middle-of-the-road course. He now lacks assured support in Congress. We are unable to estimate whether he can develop effective congressional and popular support for his moderate program before the 1959 congressional elections. (*Paras. 12, 14, 19, 30*)

2. The moderate National Democratic Movement (MDN) will probably dissolve as an effective political force. The leftist Revolutionary Party (PR) is likely to become the principal party in opposition to the Ydígoras regime. (*Paras. 15, 16, 30*)

3. Under the leadership of men who were prominent in the Arévalo administration, the PR exerts a strong attraction as the clearest spokesman for the political, social, and economic objectives of the Guatemalan Revolution of 1944. It repudiates association with communism, but has taken no steps to check Communist penetration of its lower echelons. (*Paras. 16, 31*)

4. The clandestine Communist Party (PGT), recently more active, is not formidable in numbers. It is endeavoring to exert influence through penetration of the PR and the labor unions. Although the Communists will probably meet with some success in these efforts, they are not likely to gain control of these groups within the next few years. (*Paras. 17, 31*)

5. Should Ydígoras fail to muster sufficient party and popular support to cope with growing leftist opposition in Congress and in the country, he will probably resort increasingly to more authoritarian methods. He would probably do so reluctantly and with no greater repressive force than he judged the circumstances to require, but he is a strong man determined to rule and he would resort to outright dictatorship before he would permit political control to pass from his hands. The more repressive his regime becomes, however, the more popular disaffection will grow. (*Para. 32*)

6. Ydígoras' tenure of power will ultimately depend on the continued support of the armed forces, which he will make every effort to ensure. The armed forces would act to displace him only if popular opposition had reached such a pitch that serious civil disorder was clearly impending. (*Paras. 20, 22, 33*)

7. The economic situation will probably remain favorable during 1958. In the event of a further decline in coffee prices, or of a substantial decline in foreign aid after 1958, maintenance of the present high rate of public investment would confront the government with a growing budgetary deficit and an acute foreign exchange problem. (*Paras. 25, 26*)

8. Good relations with the United States will continue to be the cardinal element in Ydígoras foreign policy, if only because of the importance of continued U.S. assistance to the success of his administration. While adopting a more independent attitude toward the U.S. than did Castillo, Ydígoras will probably cooperate on most international issues. However, his agitation of the Guatemalan claim to British Honduras

could be carried to a point which would be contrary to U.S. policy interests in the area. (*Paras. 23, 27, 29*)

DISCUSSION

*Recent Background*³

9. The government of President Castillo Armas (1954–1957) arrested the trend toward Communist control of Guatemala and drove the remnant of the Guatemalan Communist Party (PGT) into exile or underground. In general, Castillo pursued a middle-of-the-road policy, subscribing to the doctrines of the Revolution of 1944, but substantially moderating the application of the labor and agrarian reforms of Arévalo and Arbenz. Relying primarily on the support of the armed forces, Castillo firmly controlled the political life of the country. Through control of the electoral process, he created a dominant pro-government party, the National Democratic Movement (MDN).

10. The assassination of Castillo, in July 1957, ended this period of relative stability and moderation. In compliance with the constitution, the first presidential designate took over on an interim basis and scheduled a presidential election for October. Two parties emerged to contest this election with the MDN. One of these was *Redención*, the reactivated personal political vehicle of General Miguel Ydígoras Fuentes. The general, having run for the presidency against Arbenz in 1950, had considered himself the proper alternative to Arbenz and had resented Castillo as an interloper. Another was the newly formed Revolutionary Party (PR), composed of labor, agrarian, and intellectual elements which had regarded the Castillo regime as reactionary.⁴ The MDN interim government excluded the PR from presenting a candidate, on the ground that it was communistic, whereupon the PR threw its support to Ydígoras. When the government declared the MDN candidate to have been elected, Ydígoras charged fraud and, with PR and Communist assistance, brought out the mob. A military junta thereupon ousted the first presidential designate and installed the second presidential designate after which the Congress annulled the election of the MDN candidate.

11. A second election, in which the PR was allowed to participate, was held in January 1958. Ydígoras received 39 percent of the vote, the MDN candidate, José Luis Cruz Salazar, 28 percent, and the PR candidate, Mario Méndez Montenegro, 27 percent. No candidate having

³For a brief summation of the general background and of significant political developments, 1944–1954, see the Appendix (p. 8). [Footnote in the source text; the Appendix is not printed.]

⁴The PR is not identical with either the PRG or the PAR, former leftist parties which flourished under the Arbenz regime, although it includes former members of these parties. [Footnote in the source text.]

received a majority, it devolved upon the MDN-controlled Congress to choose between Ydígoras and Cruz. Again Ydígoras threatened mob violence if he were denied the presidency. Thereupon, in effect, Cruz withdrew from the contest in return for Ydígoras' promise to take the MDN into his government.

The Political Situation and Trend

12. The 62-year-old president comes of an upper-class family and is basically authoritarian in point of view. He is a professional soldier and graduate civil engineer whose governmental experience was gained as a departmental governor and as highway director under the Ubico dictatorship (1931–1944). He has been out of the country most of the time since the Revolution of 1944, in honorific exile as Minister in London (1945–1950) under President Arévalo and as Ambassador in Bogotá (1954–1957) under President Castillo, and in ordinary exile plotting against the Arbenz regime (1950–1954).

13. Ydígoras' political appeal is essentially personal. He is strongly supported by various organizations representative of property interests (large landholders, manufacturers, and businessman) who count on him to rule firmly, to maintain sound financial policies, and to suppress Communists and labor agitators. However, his party, *Redención*, has no effective political organization outside of Guatemala City. Ydígoras' popular support is attributable to a widespread desire for a strong ruler who would maintain stability and order and to his success in persuading ordinary voters that he would adhere to the basic tenets of the 1944 Revolution.

14. Ydígoras is handicapped by lack of assured party support in the new Congress, where *Redención* holds only 16 out of 66 seats, as compared with 17 held by the MDN, six held by the PR, and 27 held by independents and minor parties. Effective collaboration with the MDN in accordance with his pre-election agreement might have relieved him of this difficulty, but, once in office, he proved unwilling to concede to any party an effective voice in his administration. His cabinet includes only one MDN member, and is composed essentially of personal adherents who are, for the most part, individually capable but politically unknown.

15. Disappointed by Ydígoras' failure to carry out his pre-election agreement, the MDN in Congress has asserted its independence of the administration. Meanwhile, in the country side, its members are gravitating to the PR at a rate which has alarmed the MDN party leadership. The moderate MDN will probably dissolve as an effective political force. Some members are likely to be drawn to support the administration, for reasons of patronage or in the interest of stability and order. Others are likely to adhere to the PR, out of resentment toward Ydígoras or in

the belief that the PR is the only effective representative of the ideals of the Revolution of 1944.

16. In the midst of growing public concern regarding the conservative composition of Ydígoras' government, the PR is vigorously championing the still widely popular social and economic program of the Revolution of 1944. It is rapidly gaining new adherents and is likely to become the focus of opposition to the Ydígoras regime. The party is still a heterogeneous agglomeration, however. It needs time to organize and consolidate its strength. Fearing suppression by Ydígoras, its leaders, many of whom were prominent in the Arévalo administration, are pursuing a policy of moderation in order not to provoke him while they prepare for the 1959 congressional election. The PR publicly repudiates association with communism, but has not yet acted effectively to check Communist infiltration of the party's lower echelons.

17. The clandestine Communist Party (PGT) probably has no more than 400 members and 2,000 sympathizers, but since the assassination of Castillo it has been working to reestablish its influence at the grass roots. Although many Guatemalans are now more aware of the Communist danger than previously, there is still widespread apathy with regard to communism. While there has been some reaction against excesses practiced in the name of anti-communism, there has been no marked increase in sympathy for Communists. The PGT's present capabilities are limited. Its most prominent leaders are still in exile. There are no known Communists or sympathizers among the leaders of legal political parties or in influential positions in the administration or the armed forces. The party's efforts will be directed primarily toward further infiltration of the PR and toward regaining its former control of organized labor. The Communists are not likely to achieve control of the PR within the period of this estimate, but may gain control of some of that party's more extreme elements, particularly if many more of the pro-Arbenz exiles are permitted to return to Guatemala. They have a better prospect in the field of organized labor, because of their experienced labor leaders and organizers, and because of latent rank-and-file support in unions which they formerly led, but are not likely to regain their former control of the labor movement.

18. The PR will offer stiff competition to the Communists in the labor field. The party is now making a determined bid to win over key unions such as those of the railroad workers and United Fruit Company employees. In this situation, the labor policy followed by Ydígoras will have an important bearing on the future strength and character of the leftist opposition and consequently on the stability of his regime. He will be confronted by wage demands, particularly from unorganized workers, who have so far gained little from the increase in economic activity. Ydígoras cannot meet the demands of the unorganized

workers without adversely affecting the interests of his principal supporters. In general, labor is pessimistic regarding its prospects under his government.

19. In the face of rising leftist opposition, Ydígoras will probably try to pursue a middle course calculated to limit the political appeal of the left, even at the risk of alienating some of his rightist support. Despite his authoritarian background, he would probably be reluctant to resort to unusually repressive measures.

20. Ydígoras tenure of power depends ultimately on the continued support of the armed forces, which he will make every effort to ensure. The principal ground force commanders favored his election. Although the commander of the air force favored the MDN candidate, he is a strong proponent of constitutional order. Ydígoras' character as a professional soldier and his strong personality will facilitate his retaining the backing of the military.

The Armed Forces

21. Guatemala has a 9,000 man army with an integral air force consisting of about 200 men (33 of them pilots) and 39 aircraft (ten of them F-51 fighters obtained from the U.S.). Under a 1955 bilateral military assistance agreement, the U.S. has undertaken to provide grant aid in the amount of \$500,000 for the equipment and training of one infantry battalion. Most of this equipment has been delivered. The air force has also received some reimbursable military aid from the U.S.

22. The essential function of the Guatemalan armed forces is to protect the incumbent regime against internal or external revolutionary action. It has no other capabilities of consequence. Although constitutionally prohibited from engaging in political activities, the military are nevertheless a political factor of decisive importance in that, in critical circumstances, the continuance or withdrawal of their support can determine whether an incumbent government will stand or fall. Aware of this, every government seeks to ensure the continued support of the armed forces by the appointment of reliable officers to positions of command and by favorable treatment in terms of pay and perquisites. Normally the armed forces will support the incumbent government, up to a certain point. That point is reached if and when popular antagonism toward the government reaches such a pitch that serious disorder is clearly impending. In such circumstances, the armed forces' responsibility for the maintenance of order is conceived to be overriding, and the proper means of preserving order is conceived to be a change of government. The armed forces thus cease to be the defense of the regime and become the active agent in its overthrow. In such a case, in conformity to longstanding tradition, the obligation of the military to the outgoing president is reduced to responsibility for assuring his

personal safety. A military junta customarily assumes power, but with the purpose and obligation of establishing a new constitutional government at the earliest practicable date.

23. Going beyond the usual measures for ensuring the support of the military, Ydígoras has appealed to their professional pride and patriotism by declaring that Guatemala will recover British Honduras, "if not by reason, then by force," and by proposing to organize parachute and ranger units for that purpose. These utterances are not so much a threat to the United Kingdom as assurances to the military that the government will take seriously the development of the professional competence of the armed forces and will devote resources to that end.

The Economic Situation and Trend

24. Guatemala's economic growth was stimulated during the Castillo regime by the encouragement of private investment as well as by large scale foreign grants, loans, and technical assistance, and by the use of government funds. Guatemalan citizens increased their domestic investments sharply during the period, reversing the heavy flight of capital which had occurred during the Arbenz regime. New foreign private investment also increased, amounting to \$12,000,000 in 1957 alone.⁵ U.S. grant aid of almost \$21,000,000 in 1957 brought the total of such aid since 1954 to \$44,000,000, about 60 percent of which has gone into highway construction. In addition, the IBRD disbursed more than \$11,000,000 of an \$18,000,000 loan for highway construction during 1956–57. Simultaneously the Guatemalan government increased its budget for capital improvements, spending \$40,000,000 of its own resources in 1957. These stimuli coincided with bumper coffee and corn crops to raise Guatemalan GNP to about \$180 per capita in 1957 prices. During the expansionary period Guatemala maintained a sound currency, avoided undue inflation, and almost doubled its foreign exchange holdings.

25. The favorable economic situation will probably continue during 1958. The Ydígoras administration will be greatly assisted by continuing U.S. grant aid, expected to reach \$16,000,000 in 1958, and a further IBRD loan installment of about \$6,000,000. Local business confidence, which was shaken by the political turmoil following the assassination of Castillo and by declining coffee prices, has been appreciably restored by the inauguration of Ydígoras and a steadying in the coffee market. With the new administration, foreign investment is expected to resume its importance as a force for expansion. At present the country has high foreign exchange reserves and the government enjoys good domestic

⁵Total U.S. private investment amounted to \$170,000,000 at the end of 1957, most of it in three enterprises: The United Fruit Company plantations, the International Railways of Central America, and *Empresa Electrica* (a subsidiary of American and Foreign Power). [Footnote in the source text.]

credit. Those favorable factors can mitigate the effect of lowered coffee receipts; but coffee remains of critical importance to the economy, accounting for about 75 percent of exports and over a fifth of government revenues. Moreover, it contributes to the prosperity of the urban business community from which Ydígoras draws significant strength.

26. Over the longer term, the prospect is problematical. The present population (3,500,000), which is growing at a rate of about three percent a year, is largely engaged in subsistence agriculture. It may rapidly shift to urban employment if jobs become available. To keep pace with population growth and to sustain the present level of economic activity, the government must continue to promote economic expansion. Careful planning will be required to prevent urban development from becoming a burden on the agricultural sector, as it has elsewhere in Latin America.

In the event of a further decline in coffee prices, or of a substantial decline in foreign aid after 1958, maintenance of the present high rate of public investment would confront the government with a growing budgetary deficit and an acute foreign exchange problem. The one development which might relieve this situation would be the discovery of oil in commercially exploitable quantities in northern Guatemala (Petén). Major U.S. companies are now engaged in intensive exploration of the area.

External Relations

27. Good relations with the U.S. will continue to be the cardinal element in Ydígoras foreign policy, if only because of the importance of continued U.S. assistance to the success of his administration. The president will seek advice and assistance from the U.S., possibly including increased military aid, but will do his utmost to avoid being charged with subservience. While adopting a more independent attitude toward the U.S. than did Castillo, Ydígoras will probably cooperate on most international issues. There is little chance that diplomatic relations will be established with the Soviet Bloc, or that currently negligible economic ties with the Bloc will be expanded.

28. Ydígoras will endeavor to develop closer relations between Guatemala and its neighbors, and to enhance Guatemala's prestige through more active participation in the Organization of Central American States (ODECA), the Organization of American States, and the United Nations. In the current climate of Central American politics, the trend toward improved relations begun under Castillo is likely to continue.

29. For domestic political reasons, Ydígoras is likely to intensify Guatemala's demands for recognition of its claim to British Honduras. The discovery of oil in northern Guatemala would give additional

impetus to this campaign, since the natural outlet for oil exports would be through the port of Belize. Ydígoras could count on considerable Latin American sympathy and support on this issue, but it would embroil him with Mexico, which also has a contingent claim to part of the territory, as well as with the United Kingdom. He is not likely to press the issue to the point of precipitating a crisis, but he might impulsively take some provocative action which would be contrary to U.S. policy interests in the area.

The Outlook for Political Stability

30. The stability of the Ydígoras regime is not likely to be seriously threatened during 1958. It remains uncertain whether, before the 1959 congressional elections, he will be able to develop effective congressional and popular support for his moderate program. By that time a strong and vociferous political opposition centered in the PR will probably have developed.

31. The leaders of the PR, if permitted to develop an effective party organization, will probably take steps to minimize, and if possible eliminate, Communist influence. The degree to which they will succeed in this effort is uncertain. The Communists will almost certainly not have gained control of the PR prior to the next congressional election, although its opponents will accuse it of Communist tendencies in any case.

32. Should Ydígoras fail to muster sufficient party and popular support to cope with growing leftist opposition in Congress and in the country, he will probably resort increasingly to more authoritarian methods. He would probably do so reluctantly and with no greater repressive force than he judged the circumstances to require, but he is a strong man determined to rule and he would resort to outright dictatorship before he would permit political control to pass from his hands. The more repressive his regime becomes, however, the more popular disaffection will grow.

33. The armed forces will almost certainly support the Ydígoras government in whatever measures it finds necessary to maintain stability and order. They would turn against him only if popular resistance had reached such intensity that serious civil disorder was clearly impending. In that case, they would probably see him safely out of the country and set up a military junta to supervise a return to constitutional government. In the event of Ydígoras' death, the army would probably support the interim administration of the presidential designate and the holding of new elections within the constitutionally prescribed four-month period.⁶

⁶ A map, which accompanied the source text, is not printed.

GT-6. Telegram from the Secretary of State to the Embassy in Guatemala¹

Washington, June 5, 1958, 6:22 p.m.

618. Guatemalan Ambassador² informed Dept today GOG had info from two good sources in Mexico and Belize that Guatemalan exiles from Mexico were planning invasion of Guatemala through British Honduras. Said exiles planned land at Punta Gorda, British Honduras, and from there would attempt enter Peten through Fallabon and possibly move also against Puerto Barrios.

Ambassador said that because of these reports GOG was considering moving troops to Puerto Barrios and Fallabon areas as precautionary measure, and that he hoped Dept would understand reasons for troop movements when made. He inferred landings of exiles would be made with connivance of British authorities. DEPT discounts possibility British connivance.

Dept has no info to confirm Guatemalan reports and considers this official *démarche* by Guatemalan Ambassador to be further indication Ydígoras intends continue policy of arousing nationalism of Guatemalan people and exacerbating relations with UK by deliberately creating situations conducive to incidents over Belize. Dept deeply concerned this policy of Ydígoras may lead to eventual clash with British, and believes Ydígoras being strongly influenced by García Granados.³

Unless you perceive objection, you are instructed to seek immediate interview with President, inform him of Guatemalan Ambassador's action here and state that

1) U.S. so far has no information to confirm that British are abetting reported passage of exiles through British Honduras and while matter not discussed with British believe they would cooperate prevent any such attempt by exiles,

2) movement of troops to British border might well be considered provocation by them,

3) U.S. is deeply concerned at possible threat to peace of area if presence of troops on border should provoke incident,

4) Even if in unlikely event exiles should be able invade Guatemala at any point, OAS and UN offer effective machinery for handling this kind problem,

¹Source: Department of State, Central Files, 714.00/6-558. Secret; Niact. Drafted by King and signed by Rubottom.

²Col. Carlos S. Antillón Hernández.

³Jorge García Granados, adviser to President Ydígoras.

5) U.S. takes such a serious view of this problem that you are being ordered to Washington for consultation concerning this among other problems.

Ambassador should submit his report soonest together with his comments and evaluation, including any info re troop movements. Mexico and Belize informed.⁴

Dulles

⁴ By telegram 2967 to Mexico City, June 5, repeated to Belize and London. (714.00/6-559)

GT-7. Telegram from the Ambassador in Guatemala (Mallory) to the Department of State¹

Guatemala City, June 6, 1958, 8 p.m.

547. Department pass Army [*text not declassified*]. After reviewing points Department telegram 618² from written notes, President Ydígoras had me hanging on reins while he galloped all over field for one hour twenty minutes before I could get him to the fence.

Specifically re possible troop movements border British Honduras, President said Colonel Santiago Munoz, Military Attaché in Mexico, had come to report that an exile movement had been preparing storage of arms on Southern Mexican border. Plan withdrawn according Ydígoras because of his invitation to Ruiz Cortines³ to meet him on border for highway opening and resultant subsequent realization of good relations between chiefs of state. However, a high-ranking officer of the Mexican Army has been working with exiles along northern border of Petén abutting Yucatan and in territory of Quintana Roo. When this appeared frustrated, apparently due to Intelligence activities, it was indicated that the exiles might attempt something through Belize.

Ydígoras then went into exposition of forty minutes about his relations Belize starting 25 years ago and coming up to present making

¹ Source: Department of State, Central Files, 714.00/6-658. Secret; Niact.

² See Document GT-6.

³ Adolfo Ruiz Cortines, President of Mexico.

significant statement that Belize activities fostered by Governor⁴ against Guatemala were for purpose of countering Guatemalan propaganda. Implication was that Governor Belize (sic) welcomed exile activity against Ydígoras. President said it would not matter if an exile attack were made on Guatemala from Belize or if they were able to get in Guatemala and then attack Belize thereby involving him and putting fat in fire. He had accordingly told Colonel Antillón to mention subject in Washington. If the above does not seem make much sense, I agree.

At end of long conference where maps were reviewed in detail, I finally pinned the President down repeating I expected go Washington and what should I tell State Department about movement of troops. He said he would not send troops unless he were menaced. He promised that there would be no troops moved without first letting me know. (Army Attaché⁵ in discreet inquiry, including visits to troop units today unable find any evidence of preparations for troops movements). I thanked him and said this was fine and I hardly thought it would be necessary; that speaking without instruction, I felt he could be assured that were there any indication of possible attack from Belize the U.S. could influence Her Majesty's Government to contain it.

Comment: On the several occasions on which thus general subject of Belize has been disserted upon by Ydígoras, this was longest and most detailed and revealed deep resentments of long standing. Such resentments have in no way been attenuated and he now is personally both angered at Governor for treatment given at time his visit to Benque Viejo and by English action sending Canberra bombers on visit Princess Margaret. Incidentally, I had to correct him rather directly on this when he felt Department in response to British message on subject virtually accused Guatemala of bad intentions.

I had hoped President's reply today would dispel necessity for trip to Washington. But in view Department's mention other matters and President's gnawing concern with Belize question feel it may be desirable consult and will proceed unless receive telephone call to contrary tomorrow morning June 7.

Mallory

⁴ Sir Colin Hardwick Thornley, Governor and Commander in Chief of British Honduras.

⁵ Col. John T. Berry.

GT-8. Summary of Discussions in Guatemala during Milton Eisenhower's Visit, July 30 to August 1, 1958¹

Undated.

In Guatemala Dr. Eisenhower had discussions with the President, the Cabinet, government officials, bankers, leaders of commerce and industry, labor leaders, women of the market, etc.

President Ydígoras expressed his gratitude for the extent of assistance which the United States had rendered to Guatemala since its liberation from Communist domination. He spoke of a sum of \$70 million that had been given, but said that in view of the difficult situation which had been inherited from the Communist-dominated regime things were not yet satisfactory. There were serious shortages in housing, welfare and education. He hoped that the U.S. aid would continue at present levels. The President brought up the subject of coffee and the detrimental effects on the Guatemalan economy of present low prices. He also explained that the Guatemalans had difficulty in establishing markets in Germany because of a still unresolved dispute with Germany concerning German coffee plantations nationalized as enemy alien property during World War II. He mentioned that when he had been in Washington in February 1958 he had spoken about possible establishment of quotas for the coffee-producing nations, and it was with some satisfaction that he saw the Coffee Study Group leaning in this direction.²

The President then discussed the Communist situation in Guatemala and said he was reluctant to "squeeze" them any further as this would only drive them underground and make them more dangerous. The President said that following the Liberation of 1954 the working-class Communists had been left leaderless by the flight of their leaders and no new ones had appeared. He spoke of divisions within the Railroad Workers' Union (SAWP) indicating a weakening of the Communist position. He said that he feared Communist infiltration

¹ Source: Department of State, ARA Special Assistant's Files, Lot 60 D 513, "Eisenhower, Milton: Guatemala, 1958." Confidential. The source text is an unsigned carbon copy. Between July 12 and August 1, President Milton S. Eisenhower of Johns Hopkins University made a three-week factfinding trip, as Personal Representative of the President, to Panama, Honduras, Costa Rica, Nicaragua, El Salvador, and Guatemala. He was accompanied by Roy R. Rubottom, Jr., Assistant Secretary of State for Inter-American Affairs; Tom B. Coughran, Assistant Secretary of the Treasury, Dempster McIntosh, Manager, Development Loan Fund; and Samuel C. Waugh, President, Export-Import Bank. For further documentation on the trip, see Document ES-2, footnote 1. Detailed reports and memoranda of conversations held by him and members of his group, were enclosed with despatch 85 from Guatemala City, August 18, 1958; 120.1520/8-1858.

² For documentation on U.S. participation in the Coffee Study Group, see Document CO-30, footnote 2.

in intellectual circles far more, particularly among the University students who were resentful of cramped old-fashioned quarters in the University. The equipment in the laboratories was old. If something could be done to provide more modern equipment, to go ahead with construction of the University city, and to provide adequate scholarships on a repayment basis over 20 years, this would do a great deal towards stemming the spread of Communism in University circles. President Ydigores discussed the question of scholarships at some length and indicated he would like to have an organized program with a fixed number available each year. He spoke several times of the desire not to have these as charity, which would cause resentment, but to put them on a paying basis, requiring the beneficiary to repay the amount of the scholarships over 20 years.

The President said he would like to establish a system of cooperation with the governments of the other republics of Central America in keeping track of and controlling the movements of Communists. He was setting up an agency in Guatemala for this purpose and then intended to seek regional cooperation. He could not include Mexico as he did not trust that country.

The president then expressed his support for the idea of greater Central American unity. He felt this could best be achieved first in the economic field, but felt that local vested interests and nationalisms might make political unity something which only our children or grandchildren might see.

At the Rotary luncheon expressions of gratitude were forthcoming for the U.S. share in making possible the new vocational school which will be devoted to the development of special skills among Guatemalan workers.

At a meeting with representatives of agriculture they stressed the importance of coffee in the Guatemalan economy, pointing out that this provided three quarters of the value of all Guatemalan exports. A great deal was said about the fact that lower coffee prices might result in a drop in farm wages and stimulate a recrudescence of communism. The agricultural representatives indicated that they are approaching a position of agreeing to the principle of withholding a portion of production providing other coffee-producing countries would agree to do likewise. They felt that such an idea could only be effective if African producers also agreed to cooperate. They expressed fear that African coffee growers because of lower labor costs might take over a part of the traditional Guatemalan market in the U.S. These representatives of agriculture also expressed agreement with the program of the Government aimed at diversification of agriculture in order to be self-sufficient in food. They were thinking in terms of a loan of unstated size to help out in this process of diversification to other crops such as rubber and cocoa.

In the meeting with the representatives of industry and commerce, the Guatemalans pointed up the lack of incentive for industrial development under existing legislation and a shortage within the country of long-term credit. It was indicated to the Guatemalans that it was hoped that an official of the Export-Import Bank would be able to visit the countries of the region at least once a year.³ Again the matter of the price of coffee was brought up, and it was indicated that two years ago it sold for 70 cents a pound, whereas now it was selling for 40 cents a pound. Some thought was expressed that the U.S. might be discouraging oil prospecting in Guatemala, it was made quite plain to the Guatemalans that there was no such U.S. policy.

At a meeting with the President and members of the Cabinet a formal program for continuing the social and economic development of Guatemala was presented. The President referred to the summary table which shows direct aid projects suggested for financing by currently available but unallocated ICA funds. This table lists \$655,000 for agriculture projects; \$4.5 million for educational programs; \$1,650,000 for public health programs; \$1,600,000 for highway programs. This makes a total of \$8,405,000. Unallocated ICA funds total some \$9 million. The Guatemalans are seeking to obtain the \$8.4 million without being required to put up the matching funds for which there is no provision in the 1959 budget. Reference was then made to Guatemala's long-term credit needs which were indicated as amounting to \$95.7 million which would be divided as follows: agricultural development \$9 million; housing, \$15 million; electrification, \$6 million, highways, \$14.7 million; hospitals \$6 million; industrial development, loans, \$17 million; Guatemala City water supply \$18 million; development of province of Petén, \$10 million.

Inter-American Highway

The Inter-American highway was discussed, and it was indicated that the total cost of the highway would be \$40 million of which the U.S. is contributing \$24 million and Guatemala \$16 million. The Minister made a plea for the inclusion of maintenance costs in order to be eligible for Bureau of Public Roads financing. In view of BPR's policy of not financing the paying until the entire highway was opened, it was difficult for Guatemala to protect that part of the road already

³ In a letter of August 12 to Ambassador Mallory in Guatemala, Waugh stated that he found the amount of credit requested by Guatemala "staggering." He added that the Export-Import Bank would like to increase the \$2.6 million it had loaned to private business firms in Guatemala since 1956. (814.10/8-1258). In a memorandum to Henry A. Hoyt, Special Assistant in the Bureau of Inter-American Affairs, August 12, Waugh restated the Eximbank's willingness to make loans to Guatemalan industrial firms, but he had "no suggestions to offer" on President Ydigoras' request for some \$100 million in credit. (814.10/8-1258).

constructed. In view of the BPR's choice of route the highway will be subject to unusual maintenance. With regard to the area of special difficulty on the highway, known as the Tapon, it was estimated that another \$2 million would be needed before it could be completed and opened to traffic. The importance of this highway was pointed out to the Guatemalans in that it could lead to a great influx of American tourists with consequent economic benefit to Guatemala. The President of the Bank of Guatemala commented that Guatemala would need assistance over the next three or four years. Thereafter activities and programs would ease the balance of payments problem.

At a meeting with members of Congress the claim was made that the Wrigley Company discriminates against Guatemalan chicle, paying a substantially higher price for Mexican chicle in spite of the fact that the Guatemalan product is of better quality.

Members of the Railway Union complained of the practices of the International Railways of Central America. They pointed out that the prevailing wage of \$1.50 for an eight-hour day is insufficient to provide a decent living. They hoped that the United States could bring pressure on the IRCA to reach a settlement of the current dispute as this would have a great importance on the development of attitudes in Guatemala towards the U.S.:⁴

Guatemala students spoke of the need to "return" Belize to Guatemala or at least grant its independence. They also mentioned the fact that the University had been trying to seek a \$15 million loan in the U.S. to complete the University City. Then the students spoke also of the need to develop the province of El Petén.

The market women who called on Dr. Eisenhower spoke of the difficult conditions of the poor of Guatemala and the need to make sure that U.S. assistance filtered down to the poor and the working class.

A delegation of the Central African Unionist Party called in an attempt obtain a U.S. declaration that it looks with favor on the re-establishment of a Central American federation.

At a press conference, Dr. Eisenhower was asked to comment about a Pro-Communist student communiqué which mentioned alleged U.S. tutelage of Guatemala. He replied that he regretted the fact that technical assistance, grant aid and loans might be interpreted by some as

⁴ Guatemalans attributed the railroad's policies to the United States because U.S. nationals owned and headed the company. An agreement, based on Guatemalan court decisions, ended the dispute effective March 1, 1959, in favor of the company's position. In despatch 487 of March 11, the Embassy pointed out that grievances persisted and "the men willing to exploit them are prepared to do so when the time seems ripe." (814.062/3-1159).

constitution tutelage. The U.S. never aspired to nor had tutelage over any people.

Conclusions

Guatemalans felt that the period of Communist-dominated rule entitles them to a special position. They frankly express their hope for a continuation of U.S. aid at approximately the same levels. The study presented in Guatemala appeared to be well coordinated and integrated and concisely presented. The program was presented as whole at a meeting with the Cabinet rather than in a series of separate requests. It was evident that in Guatemala as in some other Central American countries, there was considerable confusion as to the purpose and policies of the various lending organizations in the U.S. as well as a lack of understanding of the potential of private investment. No mention was made of attracting home large amounts of Guatemalan private capital held abroad. While perhaps more mention was made of the possible benefits of tourism in Guatemala than in other Central American countries, nevertheless it did not appear that the full potential that might be derived from the industry was realized. Considerably more seemed to have been done in Guatemala than in the other countries of the area towards evaluating properly the potentials of Guatemala in all fields. The effects of the Klein-Saks mission in the field of advising the Government on public administration was evident.⁵

The Government of Guatemala has very ambitious plans for the development of the country, and evidently feels that large-scale U.S. assistance will continue (no grant aid is being requested for Guatemala in the Mutual Security Appropriation Bill for FY 1959). It has the largest population of any country in the area, and its potentialities are great (land, timber, possible petroleum, agriculture, light industry, some minerals, etc.). This appears to have made the size of the requests for assistance considerably greater than elsewhere encountered during the mission.

Because of Guatemala's past association with Communist-type policies, and the Government's tendency to try to regulate non-agricultural enterprises more and more, some many possible private investors may have been discouraged from placing their money in Guatemala, although the country's official policy is to private investment, both foreign and domestic.

⁵ A report by the consulting firm of Klein and Saks is in file 814.00/2-858.

**GT-9. Despatch from the Ambassador in Guatemala (Mallory)
to the Department of State¹**

Guatemala City, August 11, 1958.

No. 69

REF:

Depcirtel 1043, May 5, 1958, 8 p.m.,² EmbAirgram G-3, July 24, 1958³

SUBJECT:

FY 1960 Program Presentation (MSP and ICA).

[Here follows an analysis of aid programs in Guatemala for FY 1960.]

VI. The above having been submitted, I should like to make some observations and recommendations about which I feel more definitely and strongly than about the details above and which refer more to how the money is spent than in the amount of expenditure.

A. U.N. Agencies. It can be stated without fear of contradiction that in Guatemala the United States receives no recognition, no credit and generally there is complete unawareness of our contributions to organizations of the U.N., such as World Health, UNESCO, ICAITI, UNICEF, FAO, etc. During Fiscal 1958 there were 27 UN technicians with a U.N. contribution of \$238,000. (See EmbDespatch No. 50, August 1, 1958).⁴ While their purposes may be desirable, it is to be doubted they are going to assist in the major struggle against communism. I recommend strong de-emphasis of the many UN organizations doing a multiplicity of things mostly by other nationals often unsympathetic to us.

B. American Companies. Not within the direct question of budget presentation, but, nevertheless, impinging upon it as damaging to our policies is the attitude of certain American companies. Within the industry section of ICA/W and in so far as consultation and advice may be given to American companies abroad, it is hoped that advice and counsel may be furnished to the end that the work done in the field and the money being expended by the U.S. Government be not negated

¹ Source: Department of State, Central Files, 714.5-MSP/8-1158. Official Use Only.

² It requested an analysis by the Chief of Mission of the objectives and role of aid programs for fiscal year 1960. (120.171/5-558)

³ It reported a delay in the submission of this report. (120.171/7-2458)

⁴ It concerned the approved program of technical assistance by the United Nations for Guatemala during 1959. (340.3114/8-1558)

by private American activities. ICA and the Government as a whole undoubtedly have a right to speak in fairly decided terms in this matter to those companies which seek assistance from the U.S. Government in the form of investment guarantees.

Two American companies in Guatemala have been objects of continued and effective public attack: The international Railway and the Empresa Eléctrica, a property of American and Foreign Power. A third major company, United Fruit, saw the light and improved its public relations.

Compared with the job done by public utilities in the United States of building public acceptance or confidence, it can be said with truth that here nothing is done. Rather, continued refuge in a "legal" position has served to convince labor and the public of the validity of charges hurled.

The companies' attitudes and lack of action seriously counter efforts to improve relations or advance our cause. The subject has been raised with them here with negative results.

The problem is serious in Guatemala and must exist elsewhere. It is hoped the question can be attacked positively on a base broader and more effective than can be done locally. I recommend that companies involved in the various countries be invited to send senior representatives to a conference where policies of the United States may be explained, the role of American companies emphasized, and the benefits of positive public relations made clear. (In the case of Guatemala, as matters now stand, our position would be better were the companies owned in some other nation.)

At the suggested conference a strong effort should be made to make American companies operating in this area understand and cooperate with our labor policy. Even the United Fruit Company, whose public and personnel relations have greatly improved, has a dangerous short-sighted attitude toward unions.⁵

C. Unfair Charge of Development Aid Supervision to TCA. The TCA budget for Guatemala contains a heavy amount for supervision of Development Aid. Not only development aid, but likewise it is understood supervision of Development Loan Funds are chargeable to TCA. It would be possible to have a considerable TCA budget in a country and no technical assistance at all. The distortion to the general aspect, of this is bad enough but more important, it would appear, is the disruption within field organization and a proper askance by Congress. Moreover, there should be no covering up of the total cost of Development Aid or Loan Funds by charging part of the cost to TCA—let their supervision

⁵ Documents on UFCO Guatemalan labor policy are in files 814.06 and 814.237.

be included in their own budget. See also Sheet 5 of Annual Introduction to the 1960 Program Submission.⁶

D. U.S. Posture and Attitude. We are making a serious error in our approach to the use of aid as an instrument to further the foreign policy of the United States—which is supposed to be its object. The uselessness of much of our expenditures is perhaps not so serious as are the lost opportunities, the loss of face, the contempt earned and the wounded pride of the recipients. This grows out of the assumption that persons of other cultures, other backgrounds, other faiths and other political beliefs hold the same attitudes that we do. They don't. Most Americans would agree in principle that we should utilize aid abroad in such manner as to best fit the local scene. This we find almost impossible because to do so goes against the very warp and woof of our beliefs. Beginning with Congress, and especially there, is a whole chain of justification finally down to the sincere technician in the field who goes abroad because it is a "good" thing. Much of our ICA program appears motivated by a kind of do-gooding charity to help our distant brothers. This is wonderful for us at home. It is a magnificent way to feed our individual and collective egos—often at the expense of wounding the pride of the recipient—but it wins low battles abroad. This broad American legacy of New England Protestantism I can question because I was born in Maine of a long line of hard-shelled Baptists. While our struggle with the forces of Communism may be very important 25 or even 20 years away and when the increased productivity, the better education and well-being of these countries might through our help be better able to withstand subversive forces, it is to be recalled that the danger is not 25 years away. It is now.

I imagine that at every budget hearing before Congress the items must be justified as to whether or not they are worthwhile, whether they will do good, etc., etc. Whenever there is a Congressional visit abroad, either by member of the House of Representatives or the Senate, a first consideration is not whether we are getting any mileage in our struggle against Communism, but rather whether the program is proof against any criticism that it is not doing good, that it isn't of benefit, etc.

This same motivation appears to exist in the Executive Branch of Government. It exists to a lesser degree, but still strongly in the field.

⁶ Not found in Department of State files.

I submit we should look at the whole question as those in the other country do. If they feel they are really getting something because they must bargain for it—then let us bargain. The Russians apparently don't make the mistake of free-handed gifts in Asia—they attach some condition and are thereby respected. We in much of the area are looked on as easy marks, often with contempt.

Here in Guatemala, and, as I understand it, from persons with whom I have spoken in other similar countries, it is recognized that we have engendered a very substantial feeling that we should support Guatemala out of some sort of undefined duty to the people and that if we do not do so, political blackmail will result. This I submit is not the purpose for which the aid was started. It is a very unhappy result.

To counter this situation, there are two remedies. First, we need to forget our charity a little and adopt a pragmatic attitude, and, second, we should get away from grant aid and emphasize loans. The size of the loans, the freedom with which they are given and the rate of interest would appear less important than in having the purposes understood. Fostering the idea of some self help, some local pulling of the boot straps, some honesty and responsibility are important. Getting acceptance of the concept of the United States as a helper or partner is important—getting away from the idea of Uncle Sam as someone to work as an easy mark is equally so. The latter sparks no effort at all to work against Communism—it just lays us open to propaganda attack.

If U.S. policy towards the underdeveloped countries were reduced to its bare bones, it could be defined as preventing the entrance of or to reduce the presence of Communism. As soon as we try to make that frame carry other burdens, or obscure its simple design by soft-hearted accretions, we start to lose. Let's keep it simple and direct; let's work for our survival and not our conscience.

The announcement of a possible Inter-American Development Institution may be the way out of our present approach in Latin America. It is to be hoped it can be framed in partnership and not paternalism.

L. D. Mallory

**GT-10. Memorandum for the Files, by the Officer in Charge of
Guatemalan Affairs (King)¹**

Washington, November 24, 1958.

SUBJECT

Summary of Discussion at Development Loan Fund Regarding Loans for
Guatemala

PARTICIPANTS

DLF - The Hon. Dempster McIntosh
Mr. William Ryan
Mr. Hart Perry
Mr. Gonzalez

ICA - Mr. Rollin S. Atwood
Mr. Grover Kincaid
Mr. Oscar Powell, USOM Guatemala

STATE - Mr. Herbert B. Leggett
Mr. Bayard King
Mr. Harry Conover

Mr. Samuel Bogley, ICA Hosing Consultant

Ambassador McIntosh opened the meeting by saying that he believed loans to Guatemala were justified. Guatemala is a key country and should be helped. He asked Mr. Bogley, a private mortgage banker who had recently, at the request of ICA, made a three weeks' survey in Guatemala, to describe how the money for the housing loan would be disbursed. Mr. Bogley explained that the funds would be lent to the Bank of Guatemala which in turn would discount mortgages of private individuals accepted by private banks in Guatemala. The mortgages would be carefully screened and guaranteed by an FHA-type organization for which Guatemalan legislation was now being sought. Without such an arrangement, the Guatemalan individuals would be unable to borrow money to build badly needed housing for themselves, as there was a scarcity of capital in Guatemala and prohibitive interest rates were the rule. For such loans, the house purchaser would pay about 7 1/2% interest. Mr. Bogley said he was very much in favor of such an arrangement which he thought would be workable.

Mr. Atwood strongly endorsed Mr. Bogley's favorable view of this proposed loan (\$12 million), and said he felt that it was necessary to give this kind of assistance to Guatemala for political and other reasons.

¹Source: Department of State, Central Files, 714.5-MSP/11-2458. Confidential. This memorandum was routed through Rubottom, Snow, and Stewart. Rubottom noted on the source text: "Important, yes, but will need continued backing from ARA, E. & W."

Ambassador McIntosh said he knew that many in Washington felt the DLF should not make housing loans in Latin America, because the need for housing all over Latin America was so great that the lending resources of the United States could never fulfill these requirements. He said the same argument could be used against making loans for highways, where need was also great. However, Mr. McIntosh said he did not believe this was a valid argument against making such loans, that each case should be considered on its own merits, and that in the case of Guatemala he was in favor of making a housing loan.

There followed a discussion of the rubber, industrial bank, and land purchase loan applications. *Except for land purchase, Ambassador McIntosh was in favor of helping Guatemala in these fields as well. Although the DLF could not lend money to the GOG for land purchase, it was agreed that it might be possible to assist in the field of rural resettlement, possibly by lending Guatemala money for budgetary relief in the public works field or for construction of facilities on the lands to be acquired.*

Mr. Powell said it might be possible for ICA to reprogram some \$8 million of pipeline funds toward purchase of land for resettlement.

Ambassador McIntosh said he thought the DLF should lend Guatemala about \$16 million in the near future from funds already appropriated to the DLF, and he tentatively suggested the following allocations:

Housing	\$6 million
Industrial Development	2 or 4 million
Compensatory Funds for Rural Resettlement	to be determined; possibly \$3 million
Rubber Development	5 million

Mr. Conover said that he fully recognized the political necessity for making loans to Guatemala. In response to Ambassador McIntosh's queries as to the merits of these particular applications, Mr. Conover said that, in economic terms, he felt housing construction was less significant for economic development than prospects which more directly and immediately contribute to balance of payments improvement. *Ambassador McIntosh agreed with this economic assessment, but felt, the political considerations were overriding.*

Ambassador McIntosh said he wished to go ahead on these loans as soon as possible. He designated Mr. Ryan to go to Guatemala within a week to look into the pending applications and to work out with the USOM, the Embassy, and the Guatemalan Government, properly drawn-up loan applications which would meet DLF criteria. This, he said, would constitute the first step and would show the Guatemalans that we were really taking an interest in their loan applications.

Mr. Perry said that to make \$16 million available now to Guatemala would require a cut-back in loan proposals for other areas. Ambassador McIntosh said such a cut-back should be made in order to accommodate Latin American needs which he felt had been neglected by the DLF.

GT-11. Memorandum from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Under Secretary of State for Economic Affairs (Dillon)¹

Washington, December 9, 1958.

SUBJECT

DLF Staff Request for Board Guidance on Loan for Housing in Guatemala.

I am informed that the DLF staff has requested by close of business Tuesday, December 9, guidance from the DLF Board as to whether an application from the Government of Guatemala for a loan of \$12 million to be used for the purchase of housing mortgages should be placed under DLF review. The application has been summarized in DLF-IC/P-116 of November 26.² The necessity for prompt guidance in this matter stems from the circumstance that the DLF Latin American loan officer, Mr. William Ryan, is now in Guatemala City attempting to clarify and assess the intent and significance of four applications submitted by the Government of Guatemala for DLF loans totaling \$33.5 million, of which this \$12 million housing application is one. The staff paper emphasizes that consideration of this application would represent a departure from previously expressed views of Board members with respect to advisability of using DLF funds to finance housing construction.

I am grateful to the DLF staff and to Ambassador McIntosh for the expeditious action which they have taken to facilitate consideration of the Guatemalan loan applications in line with my memorandum to you of November 14.³ Your support of the recommendation contained in that memorandum is greatly appreciated. The political and economic

¹ Source: Department of State, Central Files, 814.02/12-958. Official Use Only. Drafted by Harry Conover, Deputy Director, Office of Inter-American Regional Affairs.

² A copy of the referenced item, a memorandum to the Board of Directors of the DLF, is attached to a memorandum from William V. Turnage, Deputy Director, Office of International Financial and Development Affairs, to Dillon, December 8, 1958. A notation by Turnage on his covering memorandum indicates that Dillon approved the recommendation "that we would be prepared to consider on their merits modest loans to participate with local capital in sound proposals for establishing savings and loan Institutions coupled with mortgage insurance schemes." (814.02/12-858).

³ Not found in Department of State files.

importance of extending DLF loan assistance to Guatemala at this time suggests the advisability of sympathetic consideration of an alternative to this present application.

As currently cast, the housing loan application of Guatemala does not appear to me to merit DLF Board approval. It looks to the extension of a \$12 million 30 year loan to enable the Central Bank of Guatemala to purchase first mortgages now held or scheduled to be field by private banking institutions. No evidence is presented that this action per se would stimulate further savings or investments within Guatemala in the housing field. While it would presumably make possible the financing of 3000 additional houses, this volume would appear only marginal in relation to the total volume of housing foreseen by the Government of Guatemala as likely to stem from governmental and privately sponsored housing activities in the next 5 years. It would not, therefore, appear likely significantly to contribute to Guatemala's economic development. At the same time, it would saddle the Government with a substantial dollar repayment obligation and might establish an unfortunate precedent complicating DLF efforts to fend off voluminous loan requests for housing construction in other countries in Latin America and elsewhere. For these or those reasons, despite the high priority attached to this loan application by the Government of Guatemala primarily on political grounds, we would not favor favorable action on this present request.

On the other hand, we would strongly recommend sympathetic consideration by the DLF Board of a loan to Guatemala of a sum approximating \$2 million which might serve as a catalytic medium to foster greater housing construction and the accumulation of savings to flow into this field on a continuing expanding basis. Such a loan, matched in equal amount by the Government of Guatemala, might be used to create a mortgage credit institution. Such an institution would have features akin to the combined functions of the Federal Housing Administration and the Federal Home Loan Bank in the U.S.: the guarantee of mortgages on insurance principles and the provision of a credit pool upon which building and loan associations and insurance companies and savings banks might draw as occasion warranted to prime private housing financing. To the capital of such an institution these private lending agencies might also be called upon to contribute in an amount equal to the DLF-Government of Guatemala subscription. The primary purpose would be two-fold: the creation of a more orderly, secure market for mortgage money and of institutions to attract savings to such a market. The precise pattern for such an institutional arrangement and related details require more discussions and study both here and in Guatemala.

These have already been initiated. Experts of ICA's Housing Division, the FHA, HHFC and FHLB hurriedly convened last Friday referred to the favorable experience with such institutions in the U.S. and Puerto Rico and are prepared to shape up a detailed program for DLF

Staff and Board consideration. Should this be approved in principle, they might then be despatched to Guatemala City to assist in an on-the-spot discussion and draft of an application. Such action would signify to the Government of Guatemala our sympathetic interest in resolving its political concern for improved housing along sound economic lines.

At this point I would merely recommend that you attempt to dissuade other Board members at this time from taking so rigid a position on DLF financing in the housing field as to preclude further consideration of the limited but potentially significant approach briefly outlined above. This approach is designed to take account of the fact that while the financing of housing construction primarily is a subject for local action, it may be initiated and spurred by U.S. guidance, expression of confidence and relatively small loan assistance in the same way that the currently huge mortgage market in the U.S. initially was stimulated by temporary Federal Government loans⁴.

⁴ In a letter dated December 24 to Ambassador Mallory in Guatemala, Assistant Secretary Rubottom stated that DLF policy apparently ruled out housing and rural resettlement loans for the present, but he hoped for DLF approval of a \$5 million rubber project loan without too much delay. (720.5–MSP/12–1958).

GT-12. Memorandum from the Officer in Charge of Guatemalan Affairs (King) to the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, December 30, 1958.

SUBJECT

Call of the Guatemalan Ambassador, 4:30 p.m., December 30.²

Ambassador Antillón informed me yesterday that he is shortly going on a trip to Guatemala, and that he wished to have a talk with

¹ Source: Department of State, ARA/OAP Files, Lot 60 D 647, "Col. Carlos L. Antillón Hernandez: Guatemala, 1958." Confidential.

² According to the memorandum of their conversation of December 30, Assistant Secretary Rubottom told Ambassador Antillón that the Development Loan Fund would approve part of the \$33.5 million in loans requested by Guatemala; "he authorized the Ambassador to tell President Ydígoras that the Department and the U.S. Government were supporting the GOG, were cooperating with it, and were trying to be helpful in every possible way." (601.1411/12–3058)

you before his departure. An appointment, subject to your approval, was arranged for this afternoon.

Although I pressed him for details of what he wished to discuss with you, Ambassador Antillón said that he had nothing special in mind and wished merely to exchange views with you on a variety of topics. I believe it likely that he may raise one or more of the following subjects:

1. Pending, DLF Loan Applications.

I have had a talk with Mr. William Ryan of the DLF, who recently returned from a study mission to Guatemala. Mr. Ryan informed me that Hart Perry, Deputy Managing Director for Loans of the DLF, had informed him that only \$5 million dollars of presently appropriated funds could be spared for loans to Guatemala. Mr. Ryan said he was favorably impressed by the rubber loan application, and that he was prepared to recommend putting the \$5 million into this. Naturally, Mr. Ryan's recommendations would require approval by his superiors and the DLF Board. Mr. Ryan felt that possibly more could be loaned to Guatemala out of new appropriations for the DLF. If the Ambassador inquires regarding status of the loan applications, you might tell him what you told the Minister of Education on December 22³—that you were sure something would be forthcoming for Guatemala in the matter of DLF loans, but that it was as yet unfortunately impossible to say for what or how much.

2. Training Planes for the Guatemalan Air Force.

Sometime ago the GOG requested permission to purchase ten T-34 training planes for the Guatemalan Air Force.⁴ This request was approved by State and Defense, and the Guatemalans were informed that the price of each aircraft would be between \$23 and \$27 thousand dollars. The Ambassador has told me that these prices are far too high for Guatemala to pay and has presented a note formally asking for a reduction in the prices and special consideration for Guatemala in this purchase.⁵ In the note he alludes to the fact that we have a Mutual Defense Assistance Agreement with his country.⁶ He has told me that he cannot understand how we can charge such high prices for the trainers,

³ No record of Assistant Secretary Rubottom's conversation with the Guatemalan Minister of Public Education, Col. Marco Aurelio Merida Sáenz, on December 22, was found in Department of State files.

⁴ The request was made in a note from Antillón to Dulles, September 2, 1958. (714.5622/9-258)

⁵ Antillón's note was not found in Department of State files.

⁶ For the text of the Agreement signed at Guatemala City, June 18, 1955, see *United States Treaties and Other International Agreements* (UST), vol. 6 (pt. 2), p. 2107.

when only a few months ago we sold Guatemala several F-51 fighters for \$1,090 each. RPA advises that while the F-51's were obsolete and surplus, and that token prices could be quoted for them, the T-34's are currently used by our armed forces and those requested by Guatemala must be released from our active stocks. Should the Ambassador raise this matter, it is suggested that he be told that his note is now being translated and that the Department will be glad to study it to see what, if anything, can be to be helpful to the Guatemalans in this matter, although nothing can be promised as Defense apparently has little or no leeway in negotiating token prices for sales of T-34 aircraft at this time.

3. Coffee Prices.

A favorite theme of Ambassador Antillón is the economic and financial difficulties that Guatemala is experiencing because of the drop in coffee prices. He is well aware of what the United States is trying to do to be helpful in this situation, but tends to use the fall in coffee prices as a reason for requesting us to make all kinds of concessions to Guatemala.

4. U.S. Support for the Ydígoras Governments.

Ambassador Antillón may express to you his view that there is need for the United States to make promptly some tangible and public gesture of support for the Ydígoras administration, such as granting loans or reducing the prices on the trainer planes. He seems to think that we have deliberately withheld support from the GOG. You might, whether or not he raises this subject, make a statement to the effect that we are cooperating with and supporting the Ydígoras Government. You might cite the fact that earlier this year we waited until Ydígoras took office before releasing and programming the \$10 million dollars in special assistance that Congress appropriated for Guatemala for FY 1958,⁷ and that the programming of these sums was done in close cooperation with the GOG. You might say also that we have, wherever possible in conformity with our own laws and regulations and our capabilities, tried to comply with requests of the Guatemalan Government. President Ydígoras himself has repeatedly expressed to our representatives gratitude for U.S. assistance.

5. Lead and Zinc Quotas.

The Ambassador may raise the question of Guatemala being assigned a specific quota for export of lead and zinc concentrates to the United States, instead of being included in the 10 per cent general

⁷Reference is to the Mutual Security Appropriation Act, 1958, approved September 3, 1957; for text, see 71 Stat. 601.

quota for smaller producing countries. We understand that in January a review will be made of the first quarter operation of the quota system, and as the Guatemalan Director General of Mining was informed during his visit to Washington last month, consideration will be given at that time to Guatemala's request for a specific lead and zinc quota. Guatemala is the largest of the producing countries included in the general quota. However, Guatemalan lead and zinc mining operations have been virtually closed down for several months, and it was the projected reopening of these mines that prompted a request for a specific quota.⁸

The Ambassador's call might be a good opportunity to remind him of our disappointment over the Guatemalan position that the George B. Soto claim is a closed matter. You might say we are preparing a reply to the latest Guatemalan note on this subject. It is suggested that you ask the Ambassador to convey to his government, during his forthcoming trip, reiteration of our hope that the case may be reopened and a settlement negotiated between the GOG and Mr. Soto's representatives.⁹

⁸ Documentation on the question of quotas for Guatemalan exports of lead and zinc to the United States is in decimal file 411.146.

⁹ Documentation on the Soto claim is in decimal file 214.1151-[illegible in the original] Soto, George B.

GT-13. Telegram from the Secretary of State to the Embassy in Guatemala¹

Washington, January 19, 1959, 9:39 p.m.

263. Following is text informal translation of telegram received by President Eisenhower from President Ydígoras:

Guatemala, December 31, 1958.

The President

The White House

Washington

I am pleased to extend to Your Excellency cordial New Year greetings and best wishes for your own and your wife's and family's health,

¹ Source: Department of State, Central Files, 711.11-E1/1-1959. Official Use Only; Limit Distribution. Drafted by Bayard King and signed by John A. Calhoun.

desiring at the same time happiness and well-being for the great people of the United States and expressing my fervent wish that 1959 will be filled with success in Your Excellency's noble undertaking to achieve peace and tranquility among all the countries of the world.

I take advantage of the occasion to call dramatically to your attention the situation confronting my country at year's end. A year ago we sold 100 pounds of coffee abroad for 60 U.S. dollars, which meant an income of approximately 78 million essential dollars for our economy; also each quintal of coffee exported produced 14 *quetzales* in export tax. With the drop in the price of coffee, dollar income is reduced by 26 millions and the State receives only \$6 (in tax) per quintal.

This urgent situation obliges me to address myself to Your Excellency to request you expeditiously to arrange the granting of the credit requests that we delivered to your distinguished brother, Dr. Milton Eisenhower. The common enemy, communism, will not invade us from outside but flourishes among our hungry people. Khrushchev is waiting at the door.

I present Your Excellency, with sentiments of high consideration, the assurances of my loyal friendship.

Miguel Ydígoras Fuentes, President of
the Republic of Guatemala

Ambassador requested deliver following reply to President Ydígoras from President Eisenhower:²

January 19, 1959.

His Excellency

General Miguel Ydígoras Fuentes

President of the Republic of Guatemala

Guatemala City

I appreciate your kind New Year's greeting. It revived the pleasant recollections I have of your visit to Washington last February, and of the talks we had at that time.

You may be sure that the United States Government continues to devote careful and sympathetic attention to the questions which affect our two countries and to the problems which confront Guatemala. The requests which your Government has made are being studied here, and I hope it will be possible soon to inform your Government how, within

² In a memorandum to Goodpaster, January 9, John A. Calhoun of the Executive Secretariat recommended that the White House authorize the Department to have Ambassador Mallory acknowledge President Ydígoras' telegram, but in a note to Dulles, January 13, President Eisenhower stated he wanted to send a personal message. (Eisenhower Library, Whiteman File, Dulles-Herter Series).

the limits of our own capabilities and resources, we in the United States can be helpful.

With warm regard,
Sincerely,
Dwight D. Eisenhower

White House desires text this message not become public.³

Dulles

³ No publicity was given to this exchange of messages because no decision had yet been reached on the Guatemalan loan applications. (Memorandum from Dulles to Eisenhower, January 14, 1959; Rubottom Files, Lot 61 D 279, "Guatemala, 1959")

GT-14. Telegram from the Acting Secretary of State to the Embassy in Guatemala¹

Washington, February 5, 1959, 8:33 p.m.

285. Embtel 298.² In view present tension and severance diplomatic relations Guatemala and Mexico,³ and in accordance with U.S. policy of withholding shipments armament particularly aircraft, to LA areas where such tension exists, Dept plans to suspend temporarily further action on delivery of six B-26 bombers to Guatemala.⁴ This does not rpt not constitute cancellation of approval of sale given prior to December 31 attack on Mexican fishing boats by GAF planes. Normal processing of request merely suspended until tension subsides when Dept would expect that negotiations with GAF be resumed.

¹ Source: Department of State, Central Files, 714.5622/2-459. Official Use Only; Priority. Drafted by King, signed by Rubottom, and repeated for information to Panama City for CAIRC and Mexico City.

² It proposed the flight of a Guatemalan mission to the United States to inspect and purchase B-26 bombers. (714.5622/2-459).

³ Mexican President Lopéz Mateos severed diplomatic relations with Guatemala on January 23 over an incident involving Guatemalan strafing of Mexican fishing boats off the Guatemalan Pacific coast on December 31. The two countries resumed diplomatic relations on September 15, following a settlement of the dispute. For documentation, see 2 Whiteman 87.

⁴ Ambassador Antillón had requested six B-26 planes in a message to Dulles, September 2, 1958. (714.5622/9-258)

Suggest Emb in its discretion could explain foregoing frankly to GAF Chief Urrutia. If Emb believes such approach to Urrutia inadvisable, GOG should be informed that certain administrative delays in processing Guatemalan request have been encountered, and that GOG will be advised when B-26's are available for inspection.⁵

⁵ At the Department of State's request, the Department of Defense suspended action on delivery of B-26 bombers to the Guatemalan Air Force. (Telegram 336 to Guatemala, March 4, 1959; 714.5622/3–259). In accord with Mallory's preference, the Department of State informed the Guatemalan Embassy of the reason for the delay. (Telegram 350 from Guatemala, March 5, 1959; 714.5622/3–559).

**GT-15. Telegram from the Ambassador in Guatemala (Mallory)
to the Department of State¹**

Guatemala City, February 18, 1959, 7 p.m.

322. As reported, there has been rapid deterioration in Guatemalan political situation. Much of basic cause has been worsening economic situation with more apparent and immediate cause general unrest Caribbean area and poor job President has been making of administration. He has pulled stunts such as Mexican shrimp war, purchase of merchant marine without Congressional approval, etc., had momentary public successes, but more lasting adverse reactions. The inevitable changes of allegiances and disenchantments which arise after a year of a new government are evident but one of strongest adverse factors has been venality of closest and most trusted advisers [*text not declassified*].

Recently a moderately sharp ear could detect plots against government in all groupings of political spectrum. Press started attack and with reopening of Congress apparent much dirty linen will be exposed. It has become clear administration needs be cleaned up else it cannot last. We had hoped this would occur without necessitating too much prompting but that if not, thought it better speak frankly with President Ydígoras. Now a middle course has in fact occurred. Presidential confidants have talked with me or with member Embassy in recent days

¹ Source: Department of State, Central Files, 714.00/2–1859. Confidential; Priority; Limited Distribution. Repeated to U.S. delegation in Acapulco for Rubottom's information. He was there for the meeting between President Eisenhower and President López, February 19–20, 1959.

apparently either sent by President or wishing have discussions as excuse go back and carry some word to him.

New Cabinet for March 1 rumored past few days. Also Roberto Alejos, Cabinet Coordinator, informed member staff he felt he should leave March 1. Yesterday British Minister² informed me confidentially President's son-in-law, Ian Munn, will probably be going Europe soon probably to stay. Yesterday President's private secretary,³ talked with me suggesting need for pretty thorough house-cleaning in government. And hoping I could tell President. I had talked with Minister Public Health⁴ over weekend whom I supported in suggestion for new Cabinet and to whom I also suggested idea of outstanding incorruptible person as Cabinet Coordinator. How much is chicken and how much egg is unimportant, but buildup of pressures has caused very considerable nervousness with President and within his immediate family and brought about decision make Cabinet changes.

Today President called me to his office and talked at great length. In brief he said Guatemala has not been ready for his kind of democratic government, he being attacked on all sides, mostly unjustly, and feels he may have crack down in dictatorial manner. Said he had decided accept resignation of Cabinet but would reappoint members recently joined. He will try have fairly broad Cabinet. Said Coordinator of Cabinet had come in unjustly for attacks and he had decided let him go although decision not yet made known. He then stopped.

I congratulated him on Cabinet decision and said with respect Alejos that one had to recall truth in old saying that one might as well hang dog as give him bad name. I said this respect I wished be very personal and frank with President and point out there was another person who had sufficiently bad name that he might as well be hung. President apparently was waiting for this one and asked me directly whom I meant. I replied [*text not declassified*]. I expanded on general unrest in area citing exalted spirits of opposition and mentioned there were number of plots being talked about. These plots I opined did not individually have much chance success but should groups ever get together, might prove serious. They were caused I thought by deteriorating economic conditions and also by lack of calm and confidence on part of public. I said it was most important for President undertake course of action to restore confidence and that business generally, including foreign investors, needed reassurances. Such action as he took with respect Alejos could probably be helpful in this regard even though Alejos might have operated with purist motives.

² Thomas Wikeley.

³ Carlos González Segui.

⁴ Mariano López Herrarte.

President brought up and asked for advice and information with respect number of approaches which he is having concerning U.S. lobbyists who state only way get assistance from U.S. is through them and that reliance upon Department and similar agencies useless. I made suitable defense.

In summary there can be some hope situation can be redressed here but measures may well be inadequate and we will have to follow developments closely.

Mallory

GT-16. Memorandum of Conversation by the Officer in Charge of Guatemalan Affairs (King)¹

Washington, March 25, 1959.

SUBJECT

Guatemalan Economic Situation; Development Loan Fund Rubber Loan to Guatemala

PARTICIPANTS

Mr. Roberto Alejos, Former Coordinating Minister in Guatemalan Government
Lic. Perez Galeano, Guatemalan Representative to Inter-American Banking Institution Meetings
Col. Carlos S. Antillón, Ambassador of Guatemala
ARA - Assistant Secretary R. R. Rubottom, Jr.
OAP - Bayard King, Officer-in-Charge, Guatemalan Affairs

Mr. Rubottom welcomed Mr. Alejos, who was spending a few days in Washington and New York enroute to Europe. The conversation was devoted largely to economic and financial problems confronting Guatemala. Mr. Rubottom said the United States has tried to be as helpful as possible, within the limits of its capabilities, to the economies of the other American Republics. He said he felt that considerable progress had been made in this endeavor during the past year. For instance, the Inter-American Development Bank was nearing reality, and plans were going ahead for the setting-up of a common market in Central America to which the United States hoped to be able to lend financial assistance. The United States had played a leading role in the Coffee Study Group,

¹ Source: Department of State, Central Files, 814.00/3-2559. Official Use Only.

and was trying to be helpful to our Latin American friends in the cotton marketing problem. The Department was supporting the adoption of measures and procedures that would avoid the very wide fluctuations in the prices of commodities produced in Latin America and consequent damage to Latin American economies. Mr. Rubottom said that while it would probably be impossible to avoid some fluctuations in the prices of these commodities, the object would be to hold them within reasonable extremes.

Mr. Alejos raised the matter of the 5 3/4% interest rate on the \$5 million loan for rubber development recently offered to Guatemala by the Development Loan Fund. He said that this interest rate was too high and was higher than ordinary commercial loans. It would mean, he said, that the rubber planters would have to pay 8% for funds from this source, and that only the wealthy planters who had other sources of income could afford to pay this interest rate for perhaps seven years before getting any return from their rubber trees. Mr. Rubottom said that he did not believe that 5 3/4% was higher than commercial loans. He said that he personally had strongly supported Guatemala's application for the rubber loan, and that he could not help but be disappointed at Mr. Alejos' remarks about the interest rate.

Mr. Alejos said that while in Washington he planned to try to negotiate a lower interest rate on this loan with the Development Loan Fund. However, if he was unsuccessful, Guatemala would accept the loan at 5 3/4% "because she could not afford to refuse". Mr. Alejos said one of the primary policies of the Government of President Ydígoras was to help the poorer classes in Guatemala, and better their lot, thus making them less susceptible to communist pressures. This the Government could not, under present economic and financial conditions, afford to do adequately, and outside capital was essential. Mr. Alejos indicated that he was planning to discuss loans with commercial banks in New York, as well as seek development capital in Europe. He emphasized the necessity for the Guatemalan Government to do something soon for the poorer classes in Guatemala, and that these classes could not exist indefinitely on unfulfilled promises.

Mr. Alejos referred to the comparatively large amounts of ICA money in the Guatemalan pipeline. He said this was not being spent, and it was doing the country no good as it was. He said that in his opinion there had been an overemphasis on rural development and resettlement in Guatemala, and that this program was now stalled because of lack of suitable land. He said that the Guatemalan Government wanted to have the pipeline funds re-allocated to other more urgent projects, such as housing, and mentioned that the Guatemalan Congress was about to pass a law authorizing the establishment of an FHA-type organization.

Mr. Rubottom said the U. S. Government had Guatemala's housing needs under study, and again disagreed with Mr. Alejos remarks regarding the interest rate on the DLF loan.² Mr. Alejos said that he would discuss the question on the pipeline funds with Mr. Atwood of ICA, with whom he had an appointment.³

² The agreement of August 17, 1959, for a DLF loan of \$5 million to Banco de Guatemala for rubber production had a 5% Interest rate, but the DLF disbursed only \$1.1 million of the loan. For information regarding disbursement, see Agency for International Development, Office of the Controller, *Status of Loan Agreements as of March 31, 1964*, p. 18. No explanation for the 5% interest rate, rather than the above-discussed 5 3/4% rate was found in Department of State files. The incomplete disbursement of the loan was due to the assigned rate of interest.

³ No record of Roberto Alejos meeting with Atwood was found. In instruction A-56 to the Embassy in Guatemala on November 5, 1959, the Department stated that the DLF had formally communicated to Alejos disapproval of Guatemalan loan applications for housing and rural resettlement in March. (611.14/11-559)

GT-17. Memorandum of Conversation by the Officer in Charge of Guatemalan Affairs (King)¹

Washington, April 3, 1959.

SUBJECT

Suspension by Department of its Approval of Purchase of Six B-26 Bombers by the Government of Guatemala.

PARTICIPANTS

His Excellency Colonel Carlos S. Antillón-Hernández, Ambassador of Guatemala
Mr. Herbert B. Leggett, Acting Director, Office of Central American and Panamanian Affairs
Mr. Bayard King, Officer-in-Charge, Guatemalan Affairs.

Ambassador Antillón came to the Department by request to discuss certain pending applications of the Guatemalan Government to purchase military equipment from United States sources.

Mr. Leggett, referring to the Ambassador's interview with Mr. Rubottom on April 1,² said he wished to assure the Ambassador that ARA was actively following up the Guatemalan requests to purchase

¹ Source: Department of State, Central Files, 714.5622/4-259. Confidential.

² Rubottom had told Antillón that prompt replies would be given to Guatemalan requests for military equipment, (Memorandum of conversation by King, April 1, 1959; Rubottom Files, Lot 61 D 279, "Guatemala 1959")

equipment. He said that in the matter of the two Bailey bridges, which had been pending since January, it was hoped that an early and favorable response to this request would be forthcoming. The Ambassador was informed that the Department understood that the two bridges would cost in the neighborhood of \$120,000.

Mr. King then raised the recent request of Guatemala for the use, on a loan basis, of a large sea-going dredge,³ said to be in the possession of the U.S. Army Corps of Engineers in the Panama Canal Zone. Mr. King said this was a rather unusual request and it would be necessary to ascertain from the Department of Defense whether the United States Army Corps of Engineers had such a dredge available, where it was located, and whether it was feasible to move it by sea to Guatemala. The Ambassador said the Guatemalan Government would assume all expenses of moving the dredge to Guatemala, and returning it to the United States Army. Mr. King said the Department hoped to have further information in this connection for the Ambassador shortly.

Mr. Leggett said he wished to raise another request of Guatemala which the Ambassador had not discussed with Assistant Secretary Rubottom on April 1.

This was for six B-26 surplus bombers, Mr. Leggett reviewed the present tense situation existing in almost all Caribbean countries, and said that the United States, in the interest of relieving this tension, was not, at the present time, authorizing the shipment of certain combat equipment to the area. He said that the B-26s were considered in this category. Mr. Leggett emphasized that withholding approval of shipments of airplanes and certain other military equipment was merely a temporary measure dictated by the present situation in the Caribbean, and that it was hoped it would be possible at an early date to authorize resumption of shipments of military equipment legitimately needed. He said the Department felt it would not be helpful to relieving tension in the area if planes and other equipment were made available to the Caribbean countries at this time from United States sources, and that the United States chief interest in this matter was contributing to restoration of calm in the area.

The Ambassador indicated that he appreciated the Department's view regarding this matter, and inquired whether this policy applied to other countries as well as to Guatemala. Mr. Leggett said that it did, and that it in fact would normally apply to all countries in an area of tension. The Ambassador asked whether suspension of approval of sale of the B-26's applied also to a number of training planes that Guatemala had requested. Mr. King said that he understood what had held up the training planes was that the Guatemalan Government had found that the prices asked by the Defense Department were too high. The Ambassador

³Guatemalan request was not found in the Department of State files.

asked whether the policy described by Mr. Leggett was a permanent one, and Mr. Leggett again assured him that it was temporary. He added that all requests for arms from Caribbean countries would continue to be studied by the Department on a case-by-case basis.

The Ambassador asked whether, in view of the foregoing, it would be inopportune for a team from Guatemala to come here at this time to inspect the places. Mr. Leggett said that under the circumstances it would seem desirable to postpone the visit of the team. The Ambassador said he would inform his Government accordingly.

Mr. King then raised the request of Guatemala for a number of jeeps and military trucks for the Guatemalan Armed Forces.⁴ He said this request, which had only been received by the Department towards the end of March, was now under active study, and that it was hoped favorable action would be taken soon. The Ambassador expressed his gratification and his hope that Guatemala would be able to obtain these vehicles at an early date.

⁴ The Guatemalan request was not found in Department of State files.

GT-18. Memorandum from the Director of the Office of Central American and Panamanian Affairs (Stewart) to the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, June 12, 1959

SUBJECT

Consultation with Ambassador Mallory.

During his consultation in Washington,² Ambassador Mallory's discussions of the problems that he faces in Guatemala will probably center on three or four general themes:

¹ Source: Department of State, ARA/OAP Files, Lot 63 D 146, "Ambassador Lester J. Mallory: Guatemala, 1959." Secret. This memorandum, drafted by Gorrell, bears the following notation by Rubottom: "A very good paper."

² Mallory was in Washington for consultations, June 16–29, 1959. For these consultations, he wrote a 16-page situation report, June 12, in which he reviewed events in Guatemala and requested guidance on whether or not to help Ydígoras stay in office. The covering memorandum bears Rubottom's notation: "An excellent paper. Read during meeting 6/16." ARA/OAP Files, Lot 61 D 473, "Guatemala") No memorandum of conversation on Mallory's June 16th meeting with Rubottom was found, but see Document GT-19 for a report by Mallory on the meeting.

1. The question of how to help maintain President Ydígoras in office for his full term and of how, in so doing, to ensure his succession by elements friendly to or willing to work with, rather than against the United States.

2. The leftist swing of popular sentiment in Guatemala, and the problem of growing communist and pro-communist activity.

3. The "Arevalo Problem."

4. Inter-American Highway

1. YDÍGORAS:

Ydígoras has not forgotten nor been allowed to forget we were lukewarm toward his plans to reach the Presidency of Guatemala in 1954, 1957 and 1958. He was somewhat placated during his post-electoral visit to the United States and our relation ran fairly smoothly until a few months after the visit to Guatemala of the Dr. Milton Eisenhower mission. Despite all the efforts made to forestall such a development, Ydígoras wanted to believe and did believe that we would heed a large part of his requests for \$95 million dollars in loans. Perhaps this belief was encouraged by the fact that his submissions were prepared with the assistance of Americans whom the Guatemalans consider "quasi official", i.e. Klein & Saks experts.³

It now becomes apparent that in announcing that Guatemala wanted to shift from grants to loans Ydígoras did not mean quite what he said. He was playing up to growing nationalist sentiments and expected us to play along with him. His subsequent resentment over the "relatively high" interest rate assigned to the rubber development loan indicates he had hoped for token interest rates that would have turned grants only technically into loans. It must be recognized that Clemente Marroquín Rojas' loud complaints that United States aid is a "national shame" have wide appeal even to persons who feel that United States aid must be continued.)⁴ These people therefore look for ways to remove the stigma attached to aid (i.e. the supposed

³ A report on Guatemala by the consulting firm of Klein and Saks is in decimal file 814.00/2-2858. In a memorandum of a conversation with Ambassador Antillón on June 10, Assistant Secretary Rubottom pointed out that more than \$30 million of the Guatemalan request for loans was for assistance to a housing program, and "overall policy made it impossible to satisfy Guatemalan hopes in this connection, but that other ways have been and are being sought to help Guatemala find a solution to its housing problem." (Rubottom Files, Lot 61 D 279, "Guatemala, 1959")

⁴ In a note to Foreign Minister Unda Murillo, May 11, Mallory asked if Marroquín's statements of May 8, expressed the views of the Guatemalan Government. (Enclosure to despatch 624 from Guatemala City, May 13, 1959; 714.00/5-1359) On May 13, Mallory met with Unda Murillo who gave him a copy of a note in reply and then said that the statements of the Minister of Agriculture of May 8 did not reflect the views of the Government. (Memorandum of conversation by Mallory, May 13, 1959; ARA/OAP Files, Lot 63 D 146, "Ambassador Lester D. Mallory: Guatemala, 1959")

subservience that it imposes on Guatemalan governments), as minimum interest rates and the transfer to Guatemalans of major authority for the administration of such aid.

Our inability to go along with such an approach had made Ydígoras susceptible to the intrigues and murmurs of a weird assortment of [*text not declassified*] counselors who include (for different reasons and with varying motives) the Gonzalez Siguí brothers, Roberto Alejos, the Colombian Luis Morales Gomez, Jorge Garcia Granados and the American Felix McBride, of Washington.

Ydígoras' recent actions suggest that, since loans he had hoped to obtain from such sources as DLF and the Eximbank are likely to be subject to what he considers high interest rates, he has been led to believe that he can do as well on the private money market and therefore is testing it, in the hope that simultaneously he can demonstrate his credit abroad, raise hopes for settling the country's economic problems, and flaunt his independence of the United States Government. Nevertheless, the cold reception given to one Ydígoras emissary (Alejos),⁵ the colder one due another (Morales Gomez) and possibly to a third (a Venezuelan, Carlos otto) raise the probability that their failure to satisfy Ydígoras desires will be attributed, not to their own shortcomings, but to *Departmental intrigue*.

Ydígoras is rumored to have said that he will do anything to prevent the Department from handling him "as it did Arbenz". He is quite capable, if led to believe that such a fate is imminent, of turning over the Government to the forces he believes would give us the hardest time in Guatemala. One group that seems to be candidate for succession in such an event (and would no doubt the characterization of "difficult" from our point of view) includes the Gonzalez Siguí brothers⁶ and the Arevalista (to put it mildly) Col. Carlos Paz Tejada. However, he does not seem to have made up his mind definitely to throw the game to the nationalists and/or leftists. While toying with the idea, he also is assuming anti-Communist postures, as in calling ODECA Ministers of Government together to discuss the communist problem and in (*presumably*) inspiring Consul General Urrutia's warning to the *Wall St. Journal* on June 3 that, if the pro-Communist left wins the November congressional elections and subsequently the presidential elections, it will all be our fault.

Ydígoras is volatile and if ways could be found to support tangibly our assurances that his advisors are wrong in claiming the Department seeks his downfall, it might well be possible to work fairly peacefully

⁵ See the memorandum of conversation by King, March 25, Document GT-16.

⁶ Carlos González Siguí, Private Secretary to the President of Guatemala; and Col. José Rubén González Siguí, Guatemalan Minister of National Defense.

with him while he remains in office.⁷ His "economic development" plans cover the field from housing, industrial development through electrification. To bolster national pride and armed forces support, he wants six B-26s, at least. For political reasons, he wants to put on a big show of developing the Peten region. *We should think of what can be done for him within this framework.* In discussing the overall question of aid, Ambassador Mallory no doubt will have strongly in mind the recent fracas between Clemente Marroquin Rojas (Minister of Agriculture and "La Hora" Editor) and USOM Director Oscar Powell. The Ambassador and Mr. Powell have somewhat different views on the future of aid programs, their usefulness, and the general political picture.⁸ Marroquin's insistence that Powell and most of his staff be removed has reduced our flexibility for maneuvering.

We should keep in mind that Ydígoras' resentment toward the Department is currently reflected in his attitude toward other things American. Recent new regulations imposed on oil companies patently reflect suspicion that the companies are plotting to hide oil discoveries from him and so deprive his Government of the means for resolving all its problems. If he goes militantly nationalistic, it seems probable that the first to suffer will be American enterprises, beginning probably with the Empresa Electrica, and so on down the line.

2. SWING TO THE LEFT:

The Embassy has reported a marked swing to the left in Guatemala and Ambassador Mallory has urged that we view this in its overall aspects, guarding against any inclination to see it in terms of individuals on whom hopes and fears can be pinned.

The objective to be pursued would seem to be the development of a moderate left capable of promoting a healthier social, political and economic climate than has been possible under the traditional ruling classes. Unfortunately, liberal elements in Guatemala seem to be almost as badly split (although perhaps not so violently at odds) as the right. The one element responsible for attempting to hold them together (for the time being) is the communist.

⁷ During a farewell visit of Ambassador Antillón of Guatemala on June 10, Assistant Secretary Rubottom told the Ambassador that "he confirmed fully the expressions of admiration and friendship for President Ydígoras that he voiced in December." (Memorandum of Conversation by Gorrell in Rubottom Files, Lot 61 D 279, "Guatemala, 1959")

⁸ Powell and Mallory had a disagreement over the administration of the ICA program, and Powell had questioned U.S. support of Ydígoras, but Mallory felt the United States should continue to support him. (Letter from Mallory to Stewart, May 27, 1959; ARA/OAP Files, Lot 61 D 473, "Guatemala")

The Guatemalan left generally tends to be intensely nationalistic, or at least to value greatly the political uses of hyper-nationalism. American business in Guatemala seems likely, in certain cases, to play into the hands of demagogues and keep the nationalism issue alive, making our efforts to sponsor a moderate left more difficult.

Ydígoras' approach to the communists has been a source of grave concern to us. However, we must recognize that it has not been entirely devoid of merits. It has enabled him to boast of respecting individual liberties and has reduced tensions. It has also helped to sort the goats from the sheep, which was an almost hopeless task under Castillo. The return of some prominent, fondly remembered Arbencista exiles has deprived them of martyrs' crowns and revealed some as ordinary human beings who are somewhat out of step with the times. The great defect in Ydígoras' handling of the communist problem has been his unwillingness to clamp down on clearly identified agitators and organizers.

3. AREVALO:

The Embassy's views about Arevalo are that we must recognize that he is alive, that we cannot confidently hope that he will be run over by a truck and that, at the present time, he is the only sure-fire rallying point for the bulk of Guatemalans—either because they love him or because they believe his return is inevitable. The Department recorded its views on the subject in its instruction No. A-155 of May 29.⁹ This will probably serve Ambassador Mallory as a point of departure for some phases of his discussions.

4. INTER-AMERICAN HIGHWAY:

Ambassador Mallory will probably bring us up to date on the problems connected with completion and surfacing of the Inter-American Highway in Guatemala. It might be interesting to discuss with him ways and means of diverting to this purpose some of the unexpended grant-aid money that is now earmarked for projects that do not interest Ydígoras, because they are identified with Castillo and might be credited to the MDN if carried through.

⁹The referenced instruction set forth two objectives: "(1) To minimize the threat to our interests if Arévalo, a man with a long anti-American record, should reappear on the Guatemalan political scene in the near future, and (2) to postpone, if possible and as long as possible, Arévalo's return to Guatemala and utilize the time available before a successor to the Ydígoras Government must be chosen to ensure the most satisfactory possible succession." (714.00/5-2959)

GT-19. Memorandum from the Ambassador in Guatemala (Mallory) to the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, June 24, 1959.

SUBJECT

Reconsideration of Assistance to Guatemala.

At a meeting held in your office on Tuesday, June 16,² it was decided that the policy of supporting President Ydígoras of Guatemala and his Government should be actively pursued. It was decided that on my return to Guatemala I should fully assure the President of the interest of the Government of the United States in supporting him. It was also decided that I should seek an appraisal of requests for loan assistance and an appraisal of the existing aid program to the end of presenting an assistance package on such terms as would appear most attractive. I have consulted with appropriate officers of ARA, with officials of the Development Loan Fund, the President and officers of the Export-Import Bank, and with officials of the International Cooperation Administration. Subject to your approval, the following package has been agreed to.

1. The DLF will complete details on the \$5 million rubber loan to be administered through the Bank of Guatemala.³ In this connection, [illegible in the original] is in agreement that rubber technicians may be maintained on the staff of USOM/G for the purpose of providing technical advice and assistance to the Bank of Guatemala.

2. The Eximbank is completing consideration of the request of the Government of Guatemala for a loan of \$5 million for industrialization projects to be made to the Bank of Guatemala. The Eximbank has authorized me to state to President Ydígoras that consideration of this loan is well advanced, that there are certain functional information, and request that Dr. Mirón, head of the Bank of Guatemala, come to Washington opportunely for this purpose.⁴

3. It has been agreed that an offer be made to President Ydígoras to re-program the special assistance funds remaining unspent, that is,

¹Source: Department of State, ARA/OAP Files, Lot 61 D 473, "Guatemala." Official Use Only. The source text is an unsigned carbon copy.

²No memorandum of this conversation was found.

³See footnote to the memorandum by King, March 25, 1959, Document GT-16.

⁴Eximbank authorized a \$4.84 million credit on December 4, 1959.

the so-called pipeline. It is realized that as a practical matter such will remain unchanged but there is an amount of perhaps up to \$2.5 million which can be removed from present projects and other projects, whether new or old, which will provide some political attraction to the President.

4. In this connection, I intend to inform the President, although it may not be entirely in accordance with the facts, that the Department of State has been helpful in not having a repossession of funds made on the virtually non-operative Rural Development Program.

5. Respective the technical cooperation program, ICA is anxious for the termination of the agricultural portion which has been under fire by the Minister of Agriculture of Guatemala. We intend, therefore, to re-examine this program in detail and propose substantial modifications. The major modifications appear at this time to be abrogation of the agreement with the Ministry of Agriculture.⁵ We will offer at the same time to maintain certain specialized technicians in a strictly advisory capacity when their services may prove useful in furthering the purposes of the two Governments.

6. Upon return to Guatemala, detailed review of the program, their status, finance, etc. will be made and the proposals immediately submitted to ICA/Washington before final action. This final action appears desirable during the week of July 6 to 10 inasmuch as we have word that President Ydígoras is going to Panama on July 11. This will require close timing both in Guatemala and in Washington. If it cannot be done that quickly, it will have to be delayed until about July 22 which, in view of the strong interest which obtains concerning the future of the agricultural program, would appear to be rather long.

7. I have seen Ambassador-Designate Ramirez and given him a broad outline of as much of the above as I think he ought to know. He expressed himself as grateful with the assistance and I hope that he will promptly report to President Ydígoras before my return as we need to make this look as good as possible. [*text not declassified*].

⁵ By notes to Guatemalan authorities, July 8, the United States terminated the following agreements, effective August 31, 1959: (1) Agreement for a Cooperative Agriculture Program, January 20, 1955, as amended; and (2) Agreements for Agriculture Development, February 15, 1957, and April 30, 1958, as amended. The notes under reference were enclosed with despatch 14 from Guatemala City, July 9, 1959. (814.00-TA/7-959)

GT-20. Despatch from the Ambassador in Guatemala (Mallory) to the Department of State¹

Guatemala City, July 9, 1959.

No. 14

REF:

Deptel 521, June 24; Embtel 6, July 4; Embtel 14, July 9, 1959;
Embdespaches: No. 624, May 13; No. 669, May 25; No. 667, May 29;
No. 677, June 4; and No. 726, June 24, 1959.²

SUBJECT

Revision of United States Aid to Guatemala.

[Here follows two paragraphs on Ambassador Mallory's consultations in Washington.]

Upon the Ambassador's return to Guatemala³ and with officials USOA/G, the details of the "package"⁴ were prepared in the form of talking notes to be taken up with President Ydígoras.⁵ It was desired to go over these notes with Mr. Rollin Atwood, Regional Director of the Office of Latin American Operations of ICA, who was to arrive in Guatemala on July 2.⁶ President Ydígoras, in the meantime, had requested that the Ambassador call on him on July 2, but it was possible to delay the appointment to July 3. A copy of these talking notes is attached.⁷

The appointment of July 3 with the President was kept. The discussion lasted two hours. The President was in general agreement with the many points raised and went over each item of the program in detail. It is clear that he has now been aware of just what is involved in each program. It was arranged that a meeting be held at 3:00 p.m., July 8,

¹ Source: Department of State, Central Files, 814.00-TA/7-959. Secret.

² None printed; these telegrams and despatches dealt with the revision of the U.S. aid program and with Marroquin's attacks on the program. The respective file numbers are 814.00-TA/6-2459; 814.00-TA/7-459; 814.00-TA/7-959; 714.00/-5-1359; 714.5-MSP/5-2559; 714.00(W)/5-959; 714.5-MSP/6-2459; 814.00-TA/7-959.

³ Upon returning from consultations in Washington, Mallory resumed charge of the Embassy in Guatemala on June 30.

⁴ Reference is to the revised program of aid to Guatemala submitted by Mallory in his memorandum to Rubottom, June 24, printed as Document GT-19.

⁵ Reference is to a paper dated July 2 which is enclosure 3 to the source text.

⁶ Atwood was in Guatemala in July 1959, to assist in the revision of the U.S. aid program.

⁷ Not printed.

1959, in the Casa Presidencial of the President and Ministers concerned, etc., to discuss reprogramming.

On the technical assistance side, the President demurred over the cancellation of SCIDA, saying that this would look like censure. I told him it was necessary to clean the slate. After about three attempts on his part, he got the point.

With respect to the industrialization loan of the Export-Import Bank, he stated that Dr. Mirón could go to Washington for this purpose.

During the discussion, the President was given a copy of the talking notes. He asked if he might keep them, to which assent was given. This, it appeared, would be helpful in any thinking or review he might make before the meeting, which it was felt reasonably sure he would do. While his English is very adequate, he does like to read slowly by himself.

Notice of termination of United States support of the Agricultural Servicio was prepared. It took the form of simultaneous letters to the Minister of Agriculture and to the Personero del Presidente⁸ from the Director of the USOM/G. In order that there be no possibility of misunderstanding, copies of these letters were forwarded, on July 8, to the Foreign Minister under cover of a first person note. Copy of the note and its enclosures is enclosed.⁹

The meeting set up with the President and heads of government entities concerned was held in the Casa Presidencial at 3:00 p.m., July 8. People were seated about the dining table which accommodates 40 people and there was a solid bank of about that many more close around. The various Ministers concerned, plus the head of the Agrarian Department, the Bank of Guatemala, the Foreign Minister and their deputies, advisers, etc., were present. The President began the session by stating that the meeting was for the purpose of considering possible changes in the aid program. He pulled out the talking notes referred to above and asked if the Ambassador wished to go through them. This opportunity was taken. A review was made of the President's wish to adapt the program more to present-day conditions and to the situation faced by the Government in the country, the Ambassador's trip to Washington and the results thereof. (See enclosures, especially talking notes). After running down a series of items on special assistance and noting the amount of funds remaining in each as of June 30, discussion was invited as to each of the items and question was raised as to what

⁸ Adolfo Colmenares, Coordinator for the Guatemalan Government, and Government Deputy for Technical Cooperation Affairs.

⁹ Not printed; see footnote 5 to the memorandum from Mallory to Rubottom, June 24, 1959, Document GT-19.

changes the President and his Government might wish to make in the program.

The most extensive discussion occurred under the heading of Rural Development. This likewise has the largest amount of funds remaining, amounting to over \$7 million. The President spoke at very considerable length contending that land distribution, or the promise thereof, is a principal weapon of the Communists or leftists, that nothing in this respect had been done by his immediate predecessors and that some vitality must be given the program even at the expense of handing out small parcels of land. He maintained that land ownership was a principal deterrent to Communist ideology. He agreed that the kind of land distribution or land resettlement with which the United States has assisted is important in the long run and in raising the productive level of Guatemala. However, he felt that urgent distribution of small tracts was needed on a political basis. After he had finished and before the head of the Agrarian Department could reply, the Minister of Agriculture took the floor and by the clock spoke for 18 minutes. This discussion has been aptly described as a sustained tirade damning the rural development program, American technicians, the direction of U.S. aid in Guatemala, improper budgetary practices of the Guatemalan Government, a defense of Indian farming practices and practically everything else in the book except a defense of oxcarts. His statement, if such it may be called, was greeted by others present with a mixture of curiosity and amazement. He finished without any comments by the President or anyone else present. Attempt was made to progress to the next item on the agenda when Colonel Peralta, head of the Agrarian Department, only after some insistence, was able to get the President's permission to speak in defense of the Rural Development Program. This he did at some length refuting many points brought up by Lic. Clemente Marroquin Rojas, the Minister of Agriculture. When this was over, the President still made no comment. Before the day was finished, it looked as though the President was acting as umpire between the unruly members of his family, including a slightly weak-minded member thereof.

With respect to other projects under the subject of special assistance, such as housing, malaria eradication, environmental sanitation, education, public safety, community self-help, the various Ministers spoke in turn. Each expressed himself as very much satisfied with the program and demonstrated resistance to giving up any of their funds for the use of any other project. Certain worthwhile and revealing discussions ensued, for example, the desirability of combining work in environmental sanitation with water supplies in the Ministry of Communications and Public Works in order to avoid any duplication of effort. Following the discussion of these several programs, the

Minister of Finance¹⁰ delivered himself of a rather thoughtful, but at the same time very vigorous, attack on all heads of projects, stating that they had failed to provide him with data as required, that he did not have material for the budget, that he had found Guatemala was far in arrears on its contributions, that they should assist the Ministry of Finance, etc., etc., No one escaped this castigation which apparently is well merited. The Minister went so far as to state that in the past when the Ministry of Finance had need for data on the aid program and joint expenditures that he had to take the embarrassing route of asking the Americans for it.

The Ambassador then turned to the technical assistance program, stating that this operates on an annual basis rather than as part of any longer term or pipeline fund, such as might be true of special assistance. With respect to the several ministries involved, he thought that the programs could continue along the same general lines as they appeared to be desirable and to meet needs. With respect to agriculture, however, it had become apparent that this program no longer met the purposes of the two governments. He thought it better that all activities be handled unilaterally by the Ministry of Agriculture and, therefore, notice of termination of U.S. participation on SCIDA had been given, to be effective August 31. The Ambassador said that in order not to be too negative concerning these matters on which Guatemala might need technical assistance, that it were possible, if requests were made, that a few technicians might be maintained on the staff of USOM to assist in an advisory capacity. These might include, for example, some rubber technicians to assist the Bank of Guatemala which was the agency receiving a loan for rubber development from the Development Loan Fund. Similarly, a few technicians might be maintained to help complete the work already started in the rural development program, such men as extension advisers. Dr. Miron, of the Bank of Guatemala, indicated his desire for the rubber technicians and also asked if the United States could not also continue to make available the services of a pathologist in connection with the establishment of the production of Kenaf fiber and a bag factory. It was indicated that this might be possible. Colonel Peralta indicated that the Agrarian Department would be interested in some assistance from extension technicians.

The Ambassador then again referred to the presence of Mr. Rollin Atwood, Regional Director of ICA for Latin America, who is here to assist in connection with revision of the program. It was pointed out that the 1960 budget would have to be approved soon, that work could proceed rapidly if decisions were made during Mr. Atwood's visit, but

¹⁰ Julio Prado García Sales, Minister of Finance and Public Credit.

otherwise considerable delays might ensue. The suggestion was then reiterated that the President and his Ministers state what changes they wished to have in the program. There being no direct requests made at the moment, it was agreed that individual Ministers and program chiefs would meet early the following day with Mr. Atwood, Mr. Powell, and Mr. Colmenares, Coordinator for the Guatemalan Government, to review the programs in detail.

The meeting was useful as it provided a substantial clearing of the air. It provided an opportunity of placing the responsibility for future conduct of the program, or changes thereof, squarely on the President and his Ministers. It settled the question of the Agriculture program in the best possible form.

It is not expected that very substantial changes will occur in the aid program, except for agriculture. There may be some shifting about to make it appear more attractive to the present Government as both an administrative end a political exercise. This all appears to have been necessary and substantially worth-while. Any significant changes will be reported.¹¹

¹¹ In despatch 168 of September 21, Mallory reported the following allocation of assistance for fiscal year 1960: \$313,000 for the Army Mission including military assistance; \$2,400,000 for ICA technical cooperation; \$70,000 in ICA special assistance for the Public Safety Program; and \$3,500,000 for the construction of the Inter-American Highway. (714.5-MSP/9-2159).

GT-21. Editorial Note

In reply to a note of September 22, 1959, from Guatemalan Ambassador Ramírez, the Assistant Secretary of State for Economic Affairs, Thomas C. Mann, wrote on October 1 that the Guatemalan request for a 10,000 ton quota for sugar export to the United States in 1960 could not be granted under existing law. (411.146/9-2259) During a conversation on October 23, José Luis Arenas, a friend of President Ydígoras, showed Mann a letter of October 19 in which Ydígoras thanked Arenas for information that Mann intended to help obtain an annual quota of up to one million tons of sugar for Guatemala. (Attachment to memorandum of conversation of October 23; 814.10/10-2359) Mann called Arenas' attention to the fact that there had been no mention of obtaining this quota for Guatemala. He reiterated his previous

statements to Arenas and the Ambassador that no action could be taken until Congress passed new legislation. (*Ibid.*)

GT-22. Memorandum of Conversation by the Officer in Charge of Guatemalan Affairs (Gorrell)¹

Washington, September 28, 1959.

SUBJECT

Visit of Guatemalan Foreign Minister

PARTICIPANTS

His Excellency Lic. Jesus Victor Unda Murillo, Minister for Foreign Affairs of Guatemala;

His Excellency Col. Arturo Ramirez Pinto, Ambassador of Guatemala; Assistant Secretary R. R. Rubottom, Jr.;

Mr. Juan L. Correll, Officer in Charge, Guatemala Affairs.

Foreign Minister Unda Murillo said he had been requested by President Ydígoras to transmit through Mr. Rubottom, the President's warm salutations to President and Mrs. Eisenhower. The Minister also asked that Mr. Rubottom communicate his own personal salutations to Secretary Herter.

President Ydígoras, the Minister said, had also asked him to inquire of Mr. Rubottom the proper channels for extending an invitation to Governor Muñoz Marín of Puerto Rico to visit Guatemala, and the most effective way of doing so. Mr. Rubottom said he would secure this information and transmit it through Ambassador Ramirez Pinto.

The Minister stated that Guatemala is suffering from the drop in coffee prices, which has created financial problem that prevent its dynamic President from doing all the things he would like to do. He expressed satisfaction at the efforts that have been made to stabilize the coffee situation. He mentioned in passing that Guatemala would like to become a sugar exporting nation but understands the difficulties involved in trying to have a quota assigned to it at the present time.

Mr. Rubottom expressed interest in hearing the Minister's views on the political situation in Guatemala. The Minister stressed the tension

¹ Source: Department of State, ARA/OAP Files, Lot 63 D 146, "Interdepartmental Memoranda: Guatemala, 1959." Official Use Only. The source text is an unsigned carbon copy.

attendant on the throwing of bombs, some of which, he said, have been tossed by the extreme Leftist PR, others by the extreme Rightist MDN, in efforts to create confusion. Some, he said, have hoped to force Ydígoras to set up a dictatorship but the President has refused to do so because he is determined to uphold democracy. However, the Minister continued, by their tactics the PR and MDN have unwittingly become tools of an international plot being stage-managed by Betancourt of Venezuela and Fidel Castro of Cuba, in the interest of securing the return of Arévalo to the head of the Guatemala Government. Their purpose, the Minister stated, is to set up a network of Governments similar to their own, and Betancourt is the creature of Arévalo, who is serving as close advisor to him, as well as close friend. If elections were to be held next year in Guatemala, the Minister added, Arévalo would be elected by an overwhelming majority, with dire results for the country and great embarrassment for the United States.

The Minister expressed indignation at the speech given in the UNGA by the Cuban Foreign Minister, Roa, especially at his having coupled Guatemala with Hungary and Tibet.² He said he had felt that the Guatemalan Foreign Office could not reply to these remarks, but that the task had been undertaken by the Guatemalan Consul General in New York, who had made a strong reply, making it clear there had been no foreign intervention in Guatemala's Liberation.

Stating that he was doing so at the Secretary's request, Mr. Rubottom told the Minister that in the Camp David conversations the "dead line" for settlement of the Berlin issue had been dropped and the way apparently opened for a Summit meeting.

² The referenced speech was delivered on September 24, 1959; for text, see United Nations, *Official Records of the General Assembly, Fourteenth Session, Plenary Meetings* (A/PV.806), p. 145.

GT-23. Telegram From the Embassy in Guatemala to the Department of State¹

Guatemala City, October 9, 1959.

¹ Source: Department of State, Central Files. 5 pages not declassified.

GT-24. Airgram from the Ambassador in Guatemala (Mallory) to the Department of State¹

Guatemala City, November 11, 1959.

G-23

Called on President Ydígoras today² noon for purpose saying goodbye and taking up contents Department's Instructions A-55 and A-56.³ Conversation lasted approximately one and a quarter hours.

President began by informing me recent intelligence received from Assistant Chief National Police Mexico whom he once assisted in exile of information on possible interventionist activities Caribbean Legion from Cuba. President said plans laid for three invasion attempts: one Guatemala, one Nicaragua and one Dominican Republic. He related general subject Juan José Arevalo stating his information Arevalo to receive \$150,000 from Cuba with hope expressed by Raul Castro that money would not be primarily for political purposes but for military adventures. He said that the Caribbean Legion is supposed to have three MIG fighters in Costa Rica. I said I did not believe it. He said he didn't either.

As a forerunner to his discussion of invasion threats from Cuba, the President referred to the new Cuban Ambassador⁴ who he said is in contact with subversive elements. He said this occurred to the extent that the Venezuelan Ambassador⁵ who presumably had been closer to the Cuban here than anyone else had discussed with him some anxiety. He said the Venezuelan is a career Army officer and therefore deserving of attention and belief. He referred to an article to be published in

¹ Source: Department of State, Central Files, 611.14/11-1159. Confidential.

² November 10. The airgram was prepared on that day.

³ In airgram A-55 of November 5, the Department of State instructed the Embassy in Guatemala as follows: "It would appear desirable, therefore, to plant in Ydígoras the thought that there is little basic difference between the ideals and programs voiced by him and by the P[artido] R[evolucionario] leadership, and that it would be in the mutual party and national interest to enter into a tacit working relationship, in anticipation of the December elections and their results." (611.14/11-559).

In airgram A-56 of November 5, the Department of State instructed Ambassador Mallory to assure President Ydígoras of U.S. readiness to cooperate with his Government in elaborating and implementing programs intended to place Guatemala firmly on the road to stability within a democratic system." (611.14/11-559).

⁴ Antonio Rodríguez Echazábal.

⁵ Brig. Gen. Rafael Virgilio Vivas.

El Espectador of this afternoon which apparently will point the finger of accusation against the Cuban Ambassador.⁶

President having thus laid groundwork for discussion re Department desires, I dilated extensively on Arevalo, pointing out his arrival physically or to political power in Guatemala would be nothing short of disastrous. From there discussion developed into activities of MDN, of PR and splinter parties of left with President stating flatly Arevalo on arrival would not only take over entire far left, but most of PR and a considerable portion President's own Party Redencion, who would go out of fear.

President said he had been endeavouring obtain at least tacit cooperation all MDN leaders and is meeting with them again tonight.⁷ His purpose is to have some sort of cooperation of anti-Communist political groups to which both he and MDN dedicated in contrast PR which is not anti-Communist. He did not offer estimate his chance of success. Admitted MDN leadership so continually divided as to be ineffective. He has however offered them in addition to present Minister of Finance and Under Secretary Communications one additional Cabinet post. He told them their hopes upcoming Congressional elections not realistic in expecting they can capture 14 seats. He willing endeavor assist them four or five seats providing they will cooperate in government.

Both before and after taking up Department's instruction, President brought up and I consciously stimulated considerable discussion of the moderate left PR. President said he is not only trying, but to certain extent is working with Galich, to take over leadership PR Party as Galich is old friend, anti-Communist, able, moderate and not tarred with brush of violence which is true of Mendez because of brutality practiced while Chief of Police under Arevalo. When I asked him for estimate chances of Galich's ascendancy and strength he might exhibit in event of resurgence of Arevalo, President offered no direct answer, only indicating he could work with Galich, but Arevalo's return would

⁶ The referenced article, which appeared in the November 11 issue of *El Espectador*, is quoted in airgram G-25 from Guatemala City, November 14, 1959. (611.14/11-1459).

The Guatemalan charges of Cuban support of efforts to overthrow the Ydígoras Government were aired in a special meeting of the Council of the Organization of American States on December 5, 1959. For text of the note to the Chairman of the Council of the OAS from the Representative of Guatemala, read by the Representative of Guatemala at the Special Council meeting on December 5, see OEA Ser.G/VC-d-781 (English), 3 December 1959. The Cuban Representative to the OAS denied the charges. For the statement made by Ambassador Leví Marrero Artilles, Representative of Cuba, in the special meeting of the Council of the OAS on 5 December 1959; see OEA Ser.G/V C-d-782 (Spanish).

⁷ In airgram G-25, cited above, Mallory reported that Ydígoras stated on November 10 that he had refused to talk with the MDN leaders in the presence of the 1958 MDN Presidential candidate, Cruz.

automatically draw to him entire gamut from somewhat right of center. Ydígoras dilated on possibilities working with Galich saying he needed cooperation in Congress from new PR deputies elected and not obstructive tactics as Villagran Kramer and Castillo Arreola. [*text not declassified*] At appropriate moments and bearing in mind Department's instruction, I adverted to future dangers, the peril which Arevalo would bring and the necessity for astute appraisal and action. I suggested that were he successful in establishing some working relationship with Galich and were Galich successful in establishing some leadership over PR, it were desirable maintain in working relationships by at least non-combative situation with a moderate left at moment non-Communist.

Department's instruction A-56 was slightly modified by Embassy to fit in with conditions of the moment and in view President's particular susceptibilities. In keeping with Department's very thoughtful permission and with show of frankness I allowed President to read our revised next.⁸ Regarding those parts of Department's instruction which perhaps were a little more pointed on the political side, he did not voice observations. He did, however, read whole document with very close attention taking what I would judge to be at least 20 minutes so to do. He asked questions respecting individual words in English. He stopped from time to time to discuss particular points which showed he apparently seizing significance. He made particular mention in a considerable discussion of Department's observation that splinter parties of the left would quickly unite under Arevalo.

On loans, he declared that in spite of a considerable memory for detail, he had never been told reason why certain loan applications had been rejected. I did not fail to point out this was during time of Roberto Alejos. He said he now realizes it was not American Government which had been poorly disposed, but rather Guatemala proposals which had been improperly presented. He also now realized that the package handed Dr. Milton Eisenhower, which they had believed was properly done and which Dr. Eisenhower had characterized as the finest presentation he had seen, did not constitute a proper loan application.

The President expressed particular pleasure over Department's suggestion that it might prove desirable to make some public utterance in connection with democracy and constitutional governments and I said I had used that point in making my address to him the previous evening at the Presidential palace which he pointed out is to be published in full today.⁹

President voiced concern about himself and like-minded Latin American colleagues at what appears to be a spirit of understanding manifest following visit Premier Khrushchev to U.S. He said Americans

⁸ Not found in Department of State files.

⁹ No record of this address of November 9 was found in Department of State files.

seemed to be taken in, whereas Latins were practical enough to know that no matter what arrangement was made, no matter what conditions were met, and no matter how we might comport ourselves, the Russians would continue working hard and actively to undermine the situation in Latin America. He related this to the Cuban and other situations and hoped that the United States would not prove gullible.

President terminated discussion by saying he taking every possible step prevent Arevalo getting favorable position. He had caused to be instituted seven processes ranging from the murder of Arana,¹⁰ the violation of two girls, through robbery and other things. I remarked I understood a court action per se would not prevent Arevalo from returning, that such needed court judgment against him. President confirmed this saying he was pushing for action. He made it clear he wished avoid possibility of Arevalo either being nominated as a Congressman or getting a seat.¹¹

Mallory

¹⁰ For documentation on the assassination of Col. Francisco Arana, Chief of the Guatemalan Armed Forces, July 8, 1949, see *Foreign Relations*, 1949, vol. II, The United Nations; The Western Hemisphere, pp. 655 and 664.

¹¹ Commenting on the Guatemalan Congressional election of December 6, 1959, at the Secretary's staff meeting of December 9, Rubottom said "the election outcome was more favorable than we anticipated in supporting Ydígoras." (Memorandum by Calhoun, December 9, 1959; Secretary's Staff Meetings, Lot 63 D 75)

GT-25. Letter from the Assistant Secretary of State for Economic Affairs (Mann) to the President of Guatemala (Ydígoras)¹

Washington, January 28, 1960.

Dear Mr. President:

Permit me to express to Your Excellency my sincere thanks for Your Excellency's letter of December 15, 1959,² concerning Mr. Arenas' proposal for increasing Guatemala's share in the United States sugar market.

¹ Source: Department of State, Central Files, 814.235/1-2860. No record of the delivery of this letter was found in Department of State files. The source text bears Mann's typed name.

² Ydígoras letter confirmed Arenas' request for an annual Guatemalan sugar quota of up to 1 million tons for export to the United States. (814.235/12-1559)

I had the pleasure of speaking in very general terms with Mr. Arenas on this subject some time ago.³ I explained then that the allocation of foreign sugar quotas was made by Act of Congress⁴ which does not expire until the end of this year. I also explained that in 1960 the Congress would doubtless consider in what form the Sugar Act should be extended and that it would not be profitable to speculate in advance on what the decision of the Congress would be. I did observe that on the last two occasions Congress had extended the Sugar Act, small increases were given to the full duty countries and if, as a result of the various economic factors involved, it should develop that small increases in quotas for the full duty countries could be made again, I was confident that Guatemala's desire for an increased participation in the United States market would be given every consideration. Perhaps this latter statement was taken by Mr. Arenas out of context with the other statements.

No figures were mentioned in these conversations. I am confident Your Excellency will agree that not only is it uncertain that any quota changes will be made in the Sugar Act but that, if made, it is unlikely they will even approach in magnitude the figure which Mr. Arenas has suggested.⁵ Certainly in the past, changes in United States commercial policy dictated by changing economic factors have been gradual and moderate and they have taken into account the desire of the United States Government to promote the economic progress of all of the free world.

The United States shares your concern about the dependence of the economies of Guatemala and a large number of other countries on coffee. It is for this reason that we have supported the efforts of the coffee exporting countries to prevent severe and harmful price fluctuation in the price of coffee and, at the same time, helped to promote a more diversified agricultural and industrial production through such techniques as technical assistance, the expansion of lending facilities and trade and the creation of common markets consistent with GATT principles. I venture to hope that Your Excellency shares my optimism that these cooperative measures will, with the measures taken by other countries, contribute to sustained economic progress throughout the hemisphere.

I have very pleasant memories of my recent residence in Guatemala⁶ and of the Guatemalan people whom I had the pleasure of meeting. We shall continue to seek better ways to make our own cooperation more

³ For further information, see Document GT-21.

⁴ P. L. 545, approved May 29, 1956, amended and extended the Sugar Act of 1948, as amended, to December 31, 1960; for text, see 70 Stat. 217.

⁵ On August 2, 1960, the Department of Agriculture announced sugar quota figures for 1960 including an allocation of 6,000 tons reassigned from Cuba to Guatemala under authority of P. L. 86-593, approved July 6, 1960. For text of the law, see 74 Stat. 330.

⁶ Mann had served as Counselor of the Embassy in Guatemala 1954–1955.

effective and to wish for the happiness and prosperity of the Guatemalan people and their Government, including especially Your Excellency.

In conclusion may I express to your Excellency the assurances of my highest esteem.

Sincerely yours,

Thomas C. Mann

GT-26. Letter from the Assistant Secretary of Defense for International Security Affairs (Irwin) to the Under Secretary of State (Dillon)¹

Washington, February 20, 1960.

Dear Mr. Dillon:

The Department of State authorized the sale of six B-26 aircraft to Guatemala in December 1958.² Although the aircraft (configured as one VIP type, one photo-reconnaissance type, and four light bomber type), have been earmarked for one year, implementation of the 1958 decision has been in a Department of State deferred status due to the tensions in the Caribbean and the Mexican-Guatemalan shrimp boat incident. On 23 December 1959, the Department of State reversed its 1958 decision to authorize the sale of these aircraft to Guatemala.³ Meanwhile, during the past year, the U.S. Air Force has urged reconsideration of the decision to defer implementation of this sale. The Guatemalan Air Force has also continually indicated great interest in obtaining these aircraft.

The Department of Defense is concerned with the apparent determination of the Guatemalan Government to obtain aircraft suitable to their needs and believes that unless the Department of State reconsiders its 23 December 1959 disapproval of the sale of these aircraft, there is a distinct possibility that

¹ Source: Department of State, Central Files, 714.5622/2-2060. Secret.

² The authorization was contained in a memorandum from the Department of State to the Department of Defense, December 5, 1958; 714.5622/9-258.

³ The document of December 23, 1959, under reference was not found. Notation on a memorandum of conversation by Richard B. Owen of the Office Caribbean and Mexican Affairs on the sale of B-26 aircraft to Guatemala reads as follows: "12/17/59—Subject was discussed at staff meeting this morning. Mr. Rubottom said that approval of sale to Guatemala should be withheld for the time being in view of our efforts to enlist cooperation of Italian Government and other supplier nations in controlling arms traffic to Caribbean. Meanwhile, aircraft should continue to be earmarked for Guatemala in case of possible release at a later date." (714.5622/12-1659)

Guatemala may initiate negotiations for the purchase of comparable (or better) aircraft from European or other sources. Although the United States Government has successfully prevented the sale by England and Italy of jet aircraft to Cuba and the Dominican Republic, it is not unrealistic to consider that efforts by those nations to obtain arms will continue. Guatemala may also be expected to join in the search for arms from Continental sources. Furthermore, as the U.S. Military Assistance Program makes available modern aircraft for our allies, the U.S. cannot always count on diplomatic representation to prevent the sale of surplus aircraft by these countries as well as by non-Western oriented sources.

The six aircraft selected for sale to Guatemala have been demilitarized and could not be armed without extensive modification.

In consideration of the above, it would be appreciated if the Department of State would reconsider its decision of 23 December 1959 to cancel the sale of B-26 aircraft to Guatemala.⁴

Sincerely yours,

John N. Irwin II

⁴ For the reply to this letter, see Document GT-27, footnote 7 to the memorandum from Rubottom to Merchant, April 4, 1960.

GT-27. Memorandum from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Under Secretary of State for Political Affairs (Merchant)¹

Washington, April 4, 1960.

SUBJECT

Caribbean Arms Policy: Sale of Surplus B-26 Bombers to the Government of Guatemala

Discussion:

Our Caribbean arms policy evolved out of increasing tensions in the area and the threat of Cuban aggression against other countries in the Caribbean area. It was shaped in part also by other developments, among them a break in relations between the Governments of Mexico and Guatemala as a result of the machine-gunning by the Guatemalan

¹ Source: Department of State, Rubottom-Mann Files, Lot 62 D 418, "Guatemala, 1960." Confidential. Codrafted by Owen and Correll. The source text is an unsigned carbon copy.

Air Force on December 31, 1958, of a number of Mexican shrimp-fishing boats that had ignored orders to leave Guatemalan waters. As a result of this particular incident, we were asked by the Mexican Government to withhold delivery of a number of surplus demilitarized B-26 bombers that we had agreed on December 5, 1958, to sell to the Government of Guatemala. Although we had already notified the Government of Guatemala orally that it could send a team to inspect the planes, we acceded to the Mexican request, predicated suspension of sale arrangements, in our conversations with the Guatemalans, on the then notable increase in Caribbean tensions. Although Mexico and Guatemala patched up their differences in September, 1959, we were forced to continue to ignore Guatemala pleas to effect sale of the B-26 bombers in the interest of securing British cooperation in restricting arms shipments to the Caribbean area. The Guatemalan Government has continued to press for delivery of the planes in question. These circumstance have served to irritate our relations with Guatemala and to weaken the influence of our armed forces with the Guatemalan military.

One of the basic reasons for wanting to sell the B-26 planes to the Government of Guatemala is to prevent it from shopping elsewhere for armaments that it needs to replace depleted equipment. The maintenance of Guatemalan reliance on American equipment is essential to our retention of influence over its military. President Ydígoras, in January, let it be known that, should he have to shop elsewhere for planes, he would probably have to entrust training of his air force to other than a United States mission. Such a move would dissipate years-long efforts to establish close and friendly ties with the Guatemalan military, whose influence in local politics is traditional. The Department of Defense feels very strongly in this connection, and a communication to that effect was addressed to the Under Secretary of State by the Second Assistant Secretary of Defense on February 20, 1960. (TAB A).²

[*text not declassified*] The sale would involve six demilitarized standard B-26's (three of which would be dismantled for spare parts), one B-26 equipped for photo reconnaissance, and one B-26 equipped as a VIP plane.

*Recommendations:*³

1. That ARA be authorized to release the B-26's for sale to Guatemala [*text not declassified*]⁴

² Not filed with the source text, but printed as Document GT-26.

³ The source text contains no indication of the Under Secretary's action on these recommendations.

⁴ The British Embassy in Washington, having been informed of the decision in favor of the sale, requested the Department of State to limit delivery to two B-26s. (Letter from G. G. Brown to Edwin S. Vallon, Deputy Director, Office of Caribbean Affairs, April 15; 714.5622/4-1560).

2. That you sign the attached letter (TAB C) to Mr. Irwin informing him that we have decided to sell the B-26s to Guatemala.⁵

⁵ Not attached to the source text. Merchant's letter to Irwin, April 6, reads as follows: "I regret that we have taken so long in replying to your letter of February 20 to Under Secretary Dillon regarding the sale of B-26 aircraft to Guatemala. We have gone through a great deal of soul searching on the question and now I am happy to inform you that this Department is prepared to authorize the sale of the aircraft." (714.5622/2-2060). Department of State authorization of the sale of eight B-26 aircraft to Guatemala was contained in a memorandum of April 27 to the Department of Defense. (714.5622/4-2760). President Ydígoras agreed to the offer on the same day. (Telegram 436 from Guatemala City, April 27; 714.5622/4-2760).

GT-28. Telegram from the Secretary of State to the Embassy in Guatemala¹

Washington, May 26, 1960, 6:34 p.m.

482. Cruz Salazar now in Washington trying to prevent substitution of long term loan to Guatemala for grant aid he hoped to obtain through Congressional action.² Guatemalan Chargé yesterday made similar representations to us in Ydígoras' name saying President had heard interest-bearing fifteen year loan was envisioned instead of grant aid and that he considered terms onerous.³ Cruz pressed argument grant aid indispensable for psychological reasons to demonstrate strong USG approval Ydígoras administration.

We have told Cruz and Guatemalan Chargé that while strongly desiring to help Guatemala resolve its current financial difficulties we cannot honestly regard its problems as drastic in same sense as Bolivia and Haiti, only grant aid recipients, nor more serious than those of several other Latin American countries. Accordingly, we could not justify making Guatemala exception to firm policy of restricting grant aid to emergency conditions. To do so, we have explained, would involve Department in serious difficulties with other nations that can argue forcefully they are entitled to as much consideration as Guatemala. We

¹ Source: Department of State, Central Files, 714.5-MSP/5-2660. Official Use Only. Drafted by Gorrell and signed by Rubottom.

² A memorandum of conversation by Gorrell on Cruz's meeting with Stewart, May 25, is in decimal file 714.5-MSP/5-2560.

³ The memorandum of this conversation between Sáenz and Stewart, May 25, is in decimal file 714.5-MSP/5-2560.

also pointed out anti-Ydígoras elements would seize on grant aid at this time as alleged evidence his laudable position on Cuba was sell-out to U.S.

Cruz and Chargé were told yesterday final approval of \$3.5 million long-term loan to Guatemala was imminent. Approval now has been granted and you may so inform Ydígoras.⁴ Telegraphic instruction will follow with terms to be subject to further negotiation.⁵

Herter

⁴ Ambassador Muccio informed Ydígoras about the loan on May 30. (Telegram 487 from Guatemala City, May 30, 1960; 714.5-MSP/5-3160).

⁵ Telegram 481 to Guatemala City, May 26, 1960, authorized Ambassador Muccio to reply to a letter of March 31 from Gustavo Mirón Porras, President of the Bank of Guatemala, with an offer of a \$3.5 million long-term loan to Guatemala and by agreeing to earmark quetzal proceeds from a CCC Wheat Credit as the Guatemalan contribution toward joint projects during the 12-month period beginning July 1, 1961. (714.5-MSP/5-2660). The loan agreement was signed on June 29, 1960; a copy of the agreement is in Department of State file 714.5-MSP/7-2860.

GT-29. Memorandum from the Director of the Office of Central American and Panamanian Affairs (Stewart) to the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, July 26, 1960.

SUBJECT

Guatemalan Situation

The tense situation that has developed in Guatemala, culminating in declaration of a "state of siege",² requires, we believe, a new look at our approach to President Ydígoras' repeated calls for financial assistance.

¹ Source: Department of State, Rubottom-Mann Files, Lot 62 D 418, "Guatemala, 1960." Confidential. Drafted by Gorrell. The source text is an unsigned carbon copy.

² The declaration, approved by the Guatemalan Congress and issued on July 19, suspended certain civil rights and put defense forces in control for 30 days. It blamed the agitation on "political elements, principally Communists," aiming to subvert constitutional order. (Telegram 32 from Guatemala City, July 19, 1960; 714.00/7-1960). A teacher's strike and chronic disturbances, climaxed by an aborted garrison takeover in Cobón on July 16 and a hand grenade exploded in a theater in Guatemala City on July 18, preceded the issuance of the decree. A description of the incidents leading to declaration of the state of siege is contained in despatch 31 from Guatemala City, July 22. (714.00(W)/7-2260)

Ydígoras has handled his politics with exceptional astuteness and it can be argued that his “soft” policy toward the left, for which he has been censured by some sectors, has done much to reduce class tensions in that country, and has served to sort the sheep from the goats in the left-of-center political area which, under Castillo Armas tended to be lumped together as “communist”. For this, he has received some recognition. On the other hand, his “soft” policy toward the country’s economic and financial problems has caused considerable concern to the Department and other agencies. In essence, the attitude has been that Ydígoras has not acted adequately on the excellent advice he has received for placing Guatemala’s economy and finances on a sound basis. He has not, for example, pressed with the forcefulness the adoption of such measures as broader income-tax coverage and a reevaluation of properties for tax purposes. On the assumption that Ydígoras could assure his government adequate revenues by adopting such measures, and that Guatemala’s budgetary problem could be resolved with relative ease (as by recourse to private bank credit), a Departmental-ICA team recommended in June the grant of a \$3.5 million loan to Guatemala from MSP funds, which would enable Guatemala to make its counterpart contribution to ICA projects and thus get these under way, and that facilities be given the GOG for utilization of wheat agreement revenues. These, it was recommended, should suffice to keep the Guatemalan situation under control. The \$3.5 million loan was signed through Eximbank on June 29. We were at the time quite firm, in answering Congressional inquiries, in saying we believed these measures were sufficient to satisfy Guatemala’s reasonable needs, and opposed grant aid. Meanwhile, we encouraged the GOG to present promptly to DLF and Eximbank requests for loans to finance projects intended to stimulate the country’s economy and develop a feeling of optimism.

These arrangements were received with marked lack of enthusiasm by Guatemalan authorities. Ambassador Alejos remarked that it was cash his government needed, in 1960,³ and not in the year or years to come. President Ydígoras made the same point very strongly

³ In a memorandum of July 5 to Acting Secretary Dillon, Rubottom stated that the International Cooperation Administration made available to the Government of Guatemala \$3.5 million in unobligated special assistance funds on a short-term loan in February, and \$800,000 in June to relieve an acute cash shortage. (ARA/OAP Files, Lot 63 D 146, “Alejos, Carlos (Ambassador); Guatemala, 1960”). In addition, the International Monetary Fund agreed to a Standby Arrangement with Guatemala which made available \$15 million during the period June 6, 1960-June 5, 1961. For further information, see International Monetary Fund, *Annual Report of the Executive Directors for the Fiscal Year Ended April 30, 1961* (Washington, 1961), pp. 27–30.

in an informal message to Mr. Mallory,⁴ warning that access to adequate funds might determine the success of his efforts to control leftist agitation. Ambassador Alejos has been extremely active in presenting, documenting, and pressing for approval of two road-building loan applications now before DLF, but has repeatedly expressed dismay at the apparent unlikelihood that early action on them could be hoped for, much less anticipated.

The Country Team in Guatemala, in evaluating the present tensions there, recommended on July 25 that, in order to encourage conservative and non-Castro, non-communist elements toward unity, approval of the DLF Rio Hondo Loan application submitted to DLF should be announced immediately as a catalytic act to encourage and bolster conservative elements.⁵

In reviewing the Guatemalan situation, we feel that, should current agitation result in Ydígoras' overthrow and in a take-over by pro-Castro elements, the Department will be subjected to intense and plausible criticism, along the lines that it has been penny wise and pound foolish. It is superfluous under the circumstances to argue in favor of the positions we have taken thus far. Attacks on this position would probably center on the theme that we have been warned persistently that, unless large sums of cash could be furnished Guatemala to enable it to bring itself up to date in the payment of its obligations—most notably of wages to Government employees and school teachers—extremist agitators would stimulate resulting unrest to resuscitate nostalgia for “the good old days” of Arbenz. We have been warned that, as long as the GOG is held to an austerity program in the interests of financial stability, and can not undertake public works either to absorb unemployment or to satisfy expanding popular demand for greater living amenities, the pro-Castro and communist agitators will have an almost obstacle-free field for operation. The charge would be leveled at us that we have underestimated the political dangers of the social-economic problems surrounding Guatemala's cash shortage, and insisted on adopting an orthodox, business-like approach to an abnormal situation, with resulting disastrous consequences.

The political realities are that the extreme left has received not only moral but financial and, reportedly, tangible encouragement in the form of weapons, from Cuba; that the adoption by Ydígoras, in recent months, of a somewhat harder posture toward the left has united extreme leftist elements, and that the recent Khrushchev statements

⁴ Not found in Department of State files.

⁵ Telegram 46 from Guatemala City, July 23, contains the country team recommendation; 714.00/7-2360.

on United States interference in Cuba, while alarming and rallying to our cause some significant formerly critical left-of-center elements, has also undoubtedly given increased confidence and power of conviction to agitators. These took advantage of a minor strike of Social Security workers in January to stir up demonstrations, whereas that effort was short-lived, the same agitators have had for more spectacular success in building up a minor student grievance into a teachers' strike that has lasted well more than a month and, in conjunction with terrorist activities (i.e. bomb throwing), has whipped Guatemala into a state of extreme tension, alarm and pessimism. Although it seems possible that the extreme left has now overplayed its hand, and although Ydígoras appears to have played his cards with his characteristic astuteness, (using a much lighter touch than most persons to the right of center would like) reports indicate that the left, now well organized and directed (with the *plans mayor* of the Arbenz regime now congregated in Habana), will continue to exploit even the most insignificant incidents to create an impossible situation. We cannot therefore afford to go on the assumption that Ydígoras will successfully outmaneuver all future agitators and plotters. We should, we believe, take positive steps to help him reduce the susceptibility of the mass of the population to leftist blandishments.

Accordingly, we urge that DLF and/or Eximbank be asked to act favorably and expeditiously (in a matter of days, not of weeks or months) on the two applications for loans now pending before them. The one given top priority by the GOG is for \$9 million (with a foreign exchange component of \$3.6 million) for the completion of a highway from Rio Hondo through Esquipulas to the Honduran Border. The chief qualms harbored by our people in Guatemala and by Eximbank revolve around the possibility that such a loan would increase competition for the IRCA railway and possibly finish it off. Eximbank particularly is concerned by the fact it refused a loan to IRCA not long ago, and considers itself exposed to criticism if, on the other hand, it were to facilitate competition for this American concern. However, the directness of the competition is arguable. From a purely political standpoint it may be regarded as unwise to bolster an American investment that has long been the source of infinite anti-American sentiment in Guatemala while disregarding the desirability of opening up a large area to economic exploitation and improvement, and of fostering the aim of Central American unification pursued by Ydígoras.

The second loan application now pending before DLF and Eximbank is for road construction to the El Salvador border from El Molino through Jalpatagua. This is for \$4.5 million, and reportedly is considered the more viable application in Eximbank.

Eximbank, which is now studying both applications, asked Ambassador Alejos for more complete data on them about two weeks ago. On the personal orders of President Ydígoras, the *Dirección de Caminos* in Guatemala dropped virtually all other work to concentrate on furnishing the desired information, and Ambassador Alejos submitted it yesterday, July 25. The President obviously wants no responsibility for delays in action on these requests. The direct implication is that, if action is not taken promptly, the fault will be ours.

A third application, which our Embassy considers to have great merit, will reportedly be submitted to DLF next week, and will involve roadbuilding to the Cobán area, aimed at opening up what is potentially one of Guatemala's richest provinces, one capable of absorbing much of the teeming population of the Indian areas.

We recommend that, if at all possible, the two applications now being processed be handled expeditiously, and an announcement of their approval be made on the earliest possible date. Time is definitely of the essence, as events are moving very fast and we must not be caught in the position of having supplied too little too late.

With the aim of reversing the trend of nostalgia for Arbenz' day, we suggest also investigation of the rumored intention of the United Fruit Company to dispose of its large holdings in the Tiquisate area. Reports speak of the possibility of selling these, under a United States Government guaranty for UFCO, to workers' cooperatives. If it should be found that there is, in fact, disposition in UFCO to do this, it would be highly desirable that the Company be urged to announce its plans quickly, and to develop the impression that it is not only under extremist regimes that agricultural workers can aspire to acquiring ownership of these valuable lands.

OAP, in making the recommendations below, feels it necessary to point out that, while the loan applications described above are not considered top priority projects by Eximbank or REA, the Rio Hondo project is given No. 1 priority by President Ydígoras. It would seem logical to give considerable weight to this fact, in view of the President's now acknowledged political acumen. Our relations with him have not been made easier by our apparent unwillingness to accept his own programs, which are normally predicated on political and sociological as well as economic considerations. It should be remembered that Ydígoras has received only two \$5 million bank loans since he has been in office,⁶ both on the basis of programs favored

⁶ Reference is to the DLF agreement of August 17, 1959, for a loan of \$5 million to Banco de Guatemala for rubber production and to Export-Import Bank authorization for a \$4,840,000 credit to Banco de Guatemala on December 4, 1959, for industrialization.

by United States experts. The \$5 million rubber loan was assigned a rate of interest that has made its utilization virtually impossible. The \$3.5 million subsequently lent out of MSP funds, you will remember, was intended to get IGA projects underway and did not increase Ydígoras' flexibility of movement.

*Recommendations:*⁷

1. That you sign a letter to be addressed to Mr. Waugh of Eximbank, requesting urgent favorable consideration of both the Rio Hondo and El Molino loan applications, and that, if necessary, you follow up this latter with personal representations.

2. That you authorize an approach to the United Fruit Company concerning its plans for the Tiquisate area in Guatemala.

⁷ A copy of the letter from Rubottom to Waugh, July 28, suggested in the first recommendation, is in decimal file 814.2612/7–2860. A notation on the source text regarding the second recommendation states that it is "O.K. to inquire, subject to proper clearances re U.S. Government guarantees." "Thomas G. Corcoran, a lawyer in private practice with the firm Corcoran, Youngman and Rowe, brought the proposal to the attention of Under Secretary Dillon on October 10, and Dillon referred the matter to Assistant Secretary Mann. (Secretary's Memoranda of Conversation, Lot 64 D 199). No record of further action was found in Department of State files.

GT-30. Memorandum of Conversation, by the Officer in Charge of Guatemalan Affairs (Godfrey)¹

Washington, August 19, 1960.

SUBJECT

Guatemala: Visit of the Minister of Finance

PARTICIPANTS

Manuel Bendfeldt, Minister of Finance of Guatemala
Francisco Fernandes, Manager of the Bank of Guatemala
Carlos Alejos, Ambassador of Guatemala
REA – Ambassador Turkel
OAP – Mr. Higdon
OAP – Mr. Godfrey

¹ Source: Department of State, ARA/OAP Files, Lot 63 D 146, "Klein and Saks: Guatemala 1960." Official Use Only. The source text is an unsigned carbon copy.

The Minister of Finance explained that it had been necessary for him to call today instead of on August 22, as had been scheduled, due to the necessity of his immediate return to Guatemala. He stated that he and Mr. Fernandes had just completed negotiation of a \$10 million loan from the Bank of America in association with the Chase Manhattan Bank and other unspecified banks. Terms for repayment were five years at 5 percent annual interest. The loan agreement included a provision for the deposit of certain Bank of Guatemala dollar reserves in the loaning banks on a 6-months call basis. The Minister explained that funds from this loan would be used to liquidate outstanding fiscal obligations, i.e. *deuda flotante*.

The Minister stated that the Guatemala Government had recently completed its plan of Economic Development for the period 1960–64.² He promised to provide copies of this plan through the United States Embassy in Guatemala. Ambassador Turkel observed that if external financing would be sought for any part of this plan, then the loan projects should be divided into three different categories: (1) self-liquidating projects; (2) long term, non-self-liquidating (“social”) type loan projects; and (3) mixed type, which would only be partially self-liquidating. Ambassador Turkel said that we placed particular emphasis on private initiative and participation of private investment capital in plans for economic development. The Minister replied that his government agreed with this emphasis and for this reason President Ydígoras has not approved the Petem project since it provided for too much government participation and control.

In reply to an inquiry by Ambassador Turkel, the Minister stated that service on the public debt now averages about 10 percent of the total annual budget. Service on the foreign debt now amounts to only a little more than \$1 million annually with the major service costs going towards the internal debt. He again emphasized that the loan just concluded with the Bank of America would be used toward liquidating the floating debt of approximately Q\$12 million, which included overdue salaries and other various unpaid accounts.

Ambassador Turkel inquired if the development plan included plans for housing, and observed that while such projects were commendable, all our available loan resources could easily be employed in just housing projects. Of course, this was not possible but we did look with favor on self-help housing projects. Ambassador Turkel stated that we also look favorably on projects providing agricultural credit to small farmers. He cited the examples of Costa Rica and Colombia in promoting successful agricultural credit programs. The

² Not found in Department of State files.

Minister stated that some housing projects were a social and political necessity even though economically they did not deserve the same priority as projects designed to increase the general economic income. With regard to agricultural credit, he said the situation in Guatemala could not be compared to that of Costa Rica or Colombia, since such programs of supervised credit would likely prove too expensive to operate in Guatemala. He quoted as an example the loan program for rubber development, where money had been borrowed at 5 3/4 percent and had to be loaned at a maximum of 8 percent. The banks had shown little interest in promoting rubber development loans, since after deducting costs, the banks received only a small return of approximately 1/2 percent. Ambassador Turkel observed, with reference to the rubber development loan, some consideration might be given by Guatemala to renegotiating this loan on more favorable terms.

Ambassador Alejos pointed out that President Ydígoras faced special problems, both financial and fiscal, at this time and he hoped for assistance from the United States. The Ambassador stated that a primary objective was a loan for the Rio Hondo highway project but it appeared that there were still certain problems to be resolved before the loan project could receive further consideration. He pointed out that the Rio Hondo project was of much more significance than the Rio Molino highway project since, in comparison, the Rio Hondo project would give local employment on a much larger scale.

Ambassador Turkel assured the Guatemalan visitors that we were ready to give all possible help to the government of President Ydígoras. He emphasized that the Guatemalans should present well-developed projects and that the presentation should show the relation of the specific project to the overall balance of payments situation, both present and future. He also stated we are interested in the Central American plans for economic integration and are prepared to give sympathetic consideration to projects related to this plan. He said he wished to make a special point, however, that we cannot help with budget deficit financing.

The Minister thanked Ambassador Turkel for his remarks and stated that he clearly understood our inability to finance budget deficits. With regard to the current fiscal difficulties in Guatemala, the Minister stated he was particularly interested in revising the revenue code and that he hoped we would be able to provide expert technical advice for such revision. While he was not interested in technical assistance with regards to fiscal administration, he indicated that he was interested in advice on administration and organization of the Ministry of Finance and Public Credit.

GT-31. Letter from President Eisenhower to President Ydígoras¹

Washington, September 12, 1960.

Great and Good Friend:

I wish again to express my appreciation for your friendly letter of August twenty-third delivered personally into my hands by your Ambassador, Carlos Alejos.² I am indeed pleased to renew the personal exchange of views I first enjoyed with you during your visit to Washington in February, 1958. Your frank and comprehensive comments on the present situation in Guatemala have been studied with interest and sympathy by officials of this government.

Your letter further confirms my conviction that the countries in this Hemisphere face, individually and collectively, a very definite threat to our democratic way of life and to our American system that requires our constant vigilance and resolute action. From the very inception of our independence we in the Americas have recognized that we share a common destiny and that a threat from without to any one of us is a threat to all of us. This firm belief and our determination to uphold it was overwhelmingly confirmed at San Jose just a few days ago. Your timely efforts in alerting others to the most recent threat to the American system merit special commendation.³

I have noted with particular satisfaction your account of your efforts to provide the benefits of economic and social justice to the Guatemalan people without sacrificing democratic freedoms and practices. This is particularly important since it describes exactly that which distinguishes our system from the doctrine some now are seeking to impose in this Hemisphere. This insidious doctrine proposes that our peoples must relinquish their personal freedom and their individuality in order to achieve the material progress we seek. In response to this challenge, our representatives at the meeting of the Committee of Twenty-One in Bogotá have proposed that the forces of domestic action and of international cooperation working hand in hand can achieve the economic and social advancement of our people without sacrificing the

¹ Source: Eisenhower Library, Whitman File, International File. Delivered September 21, 1960.

² Not printed; Ydígoras asked for a grant of \$20 million in special assistance and left the details to be worked out by his Ambassador in Washington with a special mission from Guatemala, if necessary. (Eisenhower Library, Whitman File, International File.)

³ In a conversation with Secretary Herter at San José on August 22 regarding the Seventh Meeting of Consultation of Ministers of Foreign Affairs, Guatemalan Foreign Minister Unda Murillo outlined Guatemalan difficulties with Cuba which Guatemala had brought to the attention of the Inter-American Peace Committee. (Secretary's Memoranda of Conversation, Lot 64 D 199).

fundamental human rights and freedoms which we have achieved and preserved at great costs.⁴ As an immediate demonstration and as tangible evidence of our sincere devotion to this objective I recommended, and the Congress of the United States approved, the authorization of \$500 million for this purpose.⁵

It would indeed be a tragedy for us all and a great triumph for Communism if your country having once freed itself of the Communist yoke should again find that yoke reimposed. You may be sure that the needs of Guatemala, both for the immediate and for the long term, will be given prompt and sympathetic attention by my Government, which has responded willingly in the past to Guatemalan needs. As you know, just a few days ago approval was given of a total of \$9.6 million in loans and credits by the Export Import Bank and by the Development Loan Fund.⁶ Active consideration is being given to other loan requests already filed with our lending institutions.

Regarding your current situation, I suggest that through your Ambassador here in Washington you provide the specific details of the needs for special assistance referred to in your letter to me. Ambassador Alejos has shown himself to be a most energetic and conscientious representative of your government and he is already well acquainted with those officials charged with the responsibility of handling such requests and the procedures involved.

Again, I would like to assure you of my sympathy and of my deep concern over the enormous difficulties you are facing so resolutely. I extend to you my cordial best wishes for your personal health and happiness, together with my wish for the continued prosperity and peace with justice of the Guatemalan people.

With assurances of my highest esteem.

Sincerely,

Dwight D. Eisenhower

⁴ For documentation on the Committee of 21 meeting at Bogotá, Colombia, September 5–13, 1960, see Documents ETA–32–34, 38, 42–44, 49, 55; GT–31; HA–29; NI–1.

⁵ Reference is to P.L. 86–735, approved September 8, 1960; for text, see 86 Stat. 74.

⁶ In a memorandum of October 28 to Under Secretary Dillon, Milton Barall, Deputy Assistant Secretary of State for Inter-American Affairs, stated the following: "The Eximbank, in August 1960, authorized for the El Molino-Rio Paz Highway \$2.6 million to cover the foreign currency costs and the DLF \$2.1 million to cover the estimated local currency costs. The Eximbank portion of the funds was provided from an allocation of a \$7.5 million line of credit for transportation and communications project in the Government of Guatemala's four-year investment program." (ARA/OAP Files, Lot 63 D 146, "Financial: Guatemala, 1960").

GT-32. Memorandum of Conversation, by the Assistant Secretary of State for Inter-American Affairs (Mann)¹

Washington, November 3, 1960.

SUBJECT

Visit of the Guatemalan Ambassador with the President

PARTICIPANTS

The President

The Excellence Carlos Alejos, Ambassador of Guatemala

Mr. Thomas C. Mann, Assistant Secretary, Bureau of Inter-American Affairs

Ambassador Alejos opened the conversation by extending greetings from President Ydígoras to the President. The conversation turned to the question of Salvador and Ambassador Alejos stated that Guatemala had already recognized the new regime. There was some discussion about development in Salvador.

Ambassador Alejos then referred to the need of Guatemala for budgetary support and for loans for roads there, relating this to the problem of unemployment in Guatemala. The President stated that the difficulty with budgetary support was that it might create a continuing requirement and that he preferred to help with development loans. There was some discussion concerning the efforts which the Guatemalan government has made to balance its budget and the Ambassador stated this was a one-time problem. The President then inquired whether this matter was being given prompt attention and on Mr. Mann's reply in the affirmative the President said that he was sure a prompt decision would be forthcoming.²

¹ Source: Department of State, Central Files, 814.10/11-360. Confidential.

² Telegram 419 to Guatemala City, December 19, 1960, informed the Embassy that the International Cooperation Administration had approved \$10 million for budget support. (814.2612/12-260)

GT-33. Editorial Note

A group of dissident Guatemalan military officers forcefully seized arms and vehicles at a military fort on the outskirts of Guatemala City on Sunday morning, November 13, 1960. The American Embassy

reported that the rebels evidently aborted or were thwarted from plans to take over the city's two regiments. They seized the base at Zacapa, 70 miles northeast of Guatemala City, the port of Puerto Barrios, and the radio station at the nearby port of Matías de Gálvez on the Gulf of Honduras. The uprising and subsequent events were described in telegram 223 (from Guatemala City,) November 13 (714.00/11–1360), and despatch 252 from Guatemala City, November 18 (714.00(W)/11–1860). Additional documentation concerning revolutionary activities in Central America is presented in the compilation on United States policy regarding certain political developments in the Central American area.

GT-34. Telegram from the Ambassador in Guatemala (Muccio) to the Department of State¹

Guatemala City, November 13, 1960, 11 p.m.

224. For Mann from Barall.² In meeting with Dillon on grant aid to Guatemala, I recall he used words: "You may even have to announce it while you are there."³ This statement prophetic. Immediate action called for to shore up friendly Chief of State in confused but dangerous situation. If Ydígoras now overthrown, even by moderates or military elements, GOG would still be weakened and susceptible Castro/Communist overthrow near future. Principal weakness of Ydígoras and therefore principal basis for attack, whether from left, moderate, or right, arises from his economic and fiscal policies. It is clear that GOG submission to IMF was merely optimistic forecast which cannot materialize. Budget cuts first quarter have been so deep as to jeopardize current GOG efforts retain power, affecting mobility troops and police, availability pol, spare parts, etc. I believe immediate action indicated with next 48 hours decisive. Accordingly I propose inform president at meeting scheduled nine a.m. fourteenth that ten million dollars budget

¹ Source: Department of State, Central Files, 714.5-MSP/11–1360. Secret; Niact.

² Telegram 322 to Guatemala City, November 8, reported that Milton Barall, Deputy Assistant Secretary of State for Inter-American Affairs, accompanied by an ICA officer, would visit Guatemala to discuss the Guatemalan budget with Ydígoras, Bendfeldt, and the American Embassy. (714.5-MSP/11–860). John W. Johnston, Jr., Deputy Regional Director for Latin America, International Cooperation Administration, accompanied Milton Barall to Guatemala City.

³ The referenced meeting was not further identified. Regarding Barall's meeting with Ydígoras, see telegram 226 from Guatemala City, November, 14, Document GT-40.

support forthcoming and that Rio Hondo loan receiving positive action DLF. Johnston concurs.

Muccio

GT-35. Telegram from the Ambassador in Guatemala (Muccio) to the Department of State¹

Guatemala City, November 14, 1960, 1 a.m.

225. Pass Army and Air Force. Embtel 223.² Still only conflicting reports as to nature movement.

Foreign Minister visited me in excited state at 8 p.m. at behest President saying hoped U.S. would prevent sea or airborne invasion from Cuba and assist in case invasion from neighboring country. Insisted uprising was Castro-inspired and that government has long been predicting would happen. Said he had just sent strong telegrams incriminating Cuba to OAS and UN.³ Also said PR and Mario Mendez Montenegro who left for U.S. two days ago heavily involved. Said Mendez planned return to assume leadership movement if successful.

Actual situation little changed. GAF has been strafing Barrios and Zacapa all day and late this afternoon airlifted 100 or so troops to Chiquimula to move against Zacapa tonight or tomorrow morning. Elements of Mariscal Zavala is regiment reportedly also on way to port area. Government pronouncements have variously blamed uprising on Communists (PGT) and Mendez Montenegro.

Muccio

¹ Source: Department of State, Central Files, 714.00/11-1460. Confidential; Priority.

² The referenced telegram, November 13, 1960, reported that Xacava (Zacapa) and Puerto Barrios military base including airport were in rebel hands and that Matías de Gálvez radio was calling for an antigovernment revolt. (714.00(W)/11-1360).

³ Telegram 334 to Guatemala City, November 15, reported that Unda Murillo had telephoned OAS Secretary General Mora, November 13, regarding the rebellion, alleging the Castro Government aided it and urging OAS action to avoid such disturbances to democratic governments. The Inter-American Peace Committee, which met in emergency session to consider the Guatemalan message, said it was willing to act if called upon. (714.00/11-1560). On November 17, the U.N. Secretariat circulated to Member States copies of a note of November 14 to the U.S. Secretary General from the Mission of Guatemala to the United Nations regarding the armed uprising. The Guatemalan note did not request a meeting or any action, except circulation of the note. A copy was enclosed with despatch 541 from the United States Mission at the United Nations, November 21, 1960. (714.00/11-2160)

GT-36. Memorandum of Telephone Conversation, Prepared in the Office of the Secretary of State¹

Washington, November 14, 1960.

The Secretary telephoned the President in Augusta to say that he has been in a huddle with Allen Dulles and our Latin American experts on Guatemala.² The Secretary said the situation looks very serious; that our information is still a little scattered but it looks as though the rebels had control of Puerto Barrios on the coast and it looks as though the Cubans have a hand in this. The Secretary said if the Cubans are planning actual assistance to the rebels on the coast by either ship or air, we having a feeling perhaps we could get from Guatemala, Costa Rica and Nicaragua a request that we give them assistance against such a move by the Cubans. The Secretary said he had talked to Secretary Gates,³ and that Admiral Dennison has been briefed, and Defense has been alerted to the possibility of putting ships off Guatemala to interdict this.

The President said he thinks this is what we have to do. The President said his paper morning did not give a correct report on the situation in Guatemala.⁴ The Secretary said we are having troubles communicating; that [*text not declassified*] we are sending messages down right away. The President asked as a matter of fact whether we would need a request from all three countries, and the Secretary said we would

¹ Source: Eisenhower Library, Herter Papers. "Phone Calls & Miscellaneous Memos, November 1960–January 1960."

² Regarding Secretary Herter's meeting with Allen Dulles, see footnote 3, below.

³ A memorandum of a telephone call by Secretary Herter at 9:10 a.m., Monday, November 14, reads as follows: "Telephoned Secretary Gates to say he was now meeting with Allen Dulles and others on the situation in Guatemala and understands Admiral Dennison has been briefed on the situation there. Secretary said we are considering getting Nicaragua, Costa Rica and Guatemala to ask for help to interdict any help from Cuba and this would obviously involve naval forces. Secretary asked how far Gates can go in the services on what might be necessary and also asked what they had in that area. Gates said he would alert the services and said he assumed we had forces in that area in view of the situation in Cuba." (Eisenhower Library, Herter Papers, "phone Calls and Miscellaneous Memos, November 1960–January 1961")

⁴ The intelligence item concerning Guatemala reported to President Eisenhower on November 14 read as follows: "President Ydígoras remains in control in the capital following coordinated insurgent attacks on military installations in Guatemala City and two key provincial capitals on 13 November. The attackers, however, apparently withdrew from their Guatemala City objective with a quantity of military equipment and were joined by an unknown number of defecting soldiers. Ydígoras, faced with the most serious threat of his nearly three years in office, immediately declared a state of siege throughout the country. Preliminary reports indicate that the insurgents are led by a coalition of expediency composed of a rightist faction and a Communist front political party which has ties with the Castro regime in Cuba." (Memorandum by Lt. Col. John S. D. Eisenhower, Assistant Staff Secretary, White House Office, November 14, 1960; Eisenhower Library, Whitman File, "DDE Diaries")

not need it but it would be much stronger. The President agreed and said this would particularly be so if each country says there is external aggression. The President asked what we would do about the OAS, and the Secretary said the requests would also have to go to the OAS but the requests can be made both individually and collectively.

The President said he approved in every respect. The President asked that the Secretary make a little note of the matter and send a report down to the President.⁵

⁵ Reference presumably is to the memorandum from Herter to Eisenhower November 16, see Document GT-42.

GT-37. Telegram from the Secretary of State to the Embassy in Guatemala¹

Washington, November 14, 1960, 2:47 p.m.

328. Joint State-CIA Message.

1. Confirming telephone conversation between Secretary and Ambassador this morning² [*text not declassified*]

2. This message also confirms Secretary's statement to Ambassador that U.S. prepared to consider promptly and favorably a written official Guatemalan Government request of U.S. to assist Guatemala in air and sea within limits of Guatemalan national jurisdiction to seek out and prevent any attempt at reinforcing or supplying rebel forces from outside Guatemala. We have in mind particularly Cuban and communist agents. Our opinion is that Guatemala has sovereign right to request such assistance without invoking Rio Treaty.³ U.S. suggesting to

¹ Source: Department of State, Central Files, 714.00/11-1460. Top Secret; No Distr; Niact. Drafted by Mann and signed by Hugh S. Cumming, Jr., Director of Intelligence and Research, Department of State.

² In this telephone conversation at 9:50 a.m., Herter instructed Muccio, who was to see Ydígoras in five minutes, to try to get from Ydígoras a request under the Rio Treaty for U.S. assistance to prevent any external aggression. Muccio was to make it clear that if Ydígoras made the request, "it would not be just for surveillance but interdiction." [*text not declassified*] (Eisenhower Library, Herter Papers, "Phone Calls and Miscellaneous Memos, November 1960-January 1961")

³ Inter-American Treaty of Reciprocal Assistance, opened for signature at Rio de Janeiro September 2, 1947; for text, see 4 Bevans 559.

Governments of Costa Rica and Nicaragua that they may wish to make similar request of U.S. for assistance within their national territories.⁴

3. In any such request for assistance should probably be followed promptly by formal request of Guatemalan Government for OAS action under Rio Treaty. We are giving this aspect of problem our urgent attention and you are requested obtain preliminary views Government of Guatemala on this subject. Whether Articles III or VI should be used would depend on available evidence.⁵

Please telegraph promptly any information concerning Cuban involvement which may come to Embassy's attention.

4. Ability of Ydígoras' regime to survive rebellion would seem to hinge largely on support of armed forces. Please cable urgently Embassy's estimate of attitude armed forces and recommendations concerning action which may be taken in Washington or by Embassy to strengthen will of officer corps to defend regime.

5. Embassy's estimates concerning probable strength of rebel forces their supplies equipment available and sources of same also urgently required.⁶

Herter

⁴ Instructions for the American Embassies to offer U.S. assistance were sent by telegram 134 to Managua, repeated to San José and, for information, to Guatemala City, November 14. (741B.5811/11-1460).

⁵ Article 3 deals with "an armed attack;" article 4, with "an aggression which is not an armed attack;" extra continental or intercontinental conflict; or "any other fact or situation that might endanger the peace of America."

⁶ Telegram 227, [*text not declassified*] from Guatemala City, November 14, replied to paragraphs 4 and 5 above: Regarding paragraph 4, the majority of the Army and Air Force were behind the Government; [*text not declassified*] message had no suggestion to strengthen the will of the officer corps; Barall's message (offer of \$10 million in special assistance) was most helpful; news of U.S. surveillance of the coast was being given widest word of mouth distribution within military circles. Regarding paragraph 5, [*text not declassified*] reported on the strength of Guatemalan forces and their supplies before the rebellion because the number of troops siding with the rebels and the amount of supplies they had taken was unknown. (714.00/11-1460).

GT-38. Memorandum From the Secretary of State's Special Assistant (Krebs) to the Secretary of State¹

November 14, 1960.

¹ Source: Eisenhower Library, Herter Papers. 1 page not declassified.

GT-39. Memorandum of Telephone Conversation, Prepared in the Office of the Secretary of State¹

Washington, November 14, 1960.

The Secretary telephoned Mr. Gates who was then meeting with the JCS. Mr. Gates said they are ready to reload some Marines on a carrier and to sail the carrier the long way around Cuba to put it in the vicinity of Guatemala. Gates said the Marine amphibious group and the carrier can be in the area by the 17th or 18th and Gates said they were about to send a despatch on this giving the specific orders. Gates said this has all been done, but it can of course be cancelled. The Secretary said the situation has changed somewhat since the Secretary talked to Gates this morning. The Secretary said he had spoken to the President and got his approval to necessary actions so long as they do not get out of the OAS channels. [*text not declassified*] The Secretary said he had talked with Ambassador Muccio and then read Gates a report of Mr. Mann's subsequent talk with Muccio.² The Secretary said we had also sent telegrams to Nicaragua and Costa Rica so we might get requests for help from them as well as Guatemalan.³ The Secretary said on the carrier business, he felt there was no harm so long as it stays out of territorial waters. Mr. Gates said they decided to reload the Marines and tell them to sail in that direction. Gates said they will reload the carrier with propeller A-d's (?) with a half squadron of fighters and sail to Guantanamo through the West end of Cuba so it will be in the area by the 17th or 18th. The Secretary said we would know more in the morning, but this is a good precaution anyway. Mr. Gates said he would send over a copy of the actual despatch setting forth the specific orders on this operation.⁴

¹ Source: Eisenhower Library, Herter Papers, "Phone Calls & Miscellaneous Memos, November 1960-January 1961." The telephone conversation took place at 2:50 p.m.

² For a report of Assistant Secretary Mann's talk with Ambassador Muccio, see Document GT-37.

³ Guatemala and Nicaragua made such requests. For documentation, see footnote 3 to the memorandum of November 16 from Secretary Herter to the President, p. and the compilation on Nicaragua, Document GT-42.

⁴ Reference possibly is to the telegram from the Commander in Chief, United States Atlantic Fleet, Adm. Jerauld Wright, to the Chief of Naval Operations, Adm. Arleigh A. Burke, date time group 14904Z November 60. (ARA Special Assistant's Files, Lot 62 D 24, "Central America")

GT-40. Telegram from the Ambassador in Guatemala (Muccio) to the Department of State¹

Guatemala City, November 14, 1960, 7 p.m.

226. Pass Army and Air Force. Embassy Telegram 225.² Prolongation revolt and failure so far successful government action quell it causes Embassy concern. Government vociferously castigating Fidel Castro as responsible this uprising and claiming invasion to back it up imminent. Yet (1) it has failed land troops at Barrios to retake base and Embassy is unaware any engagement, successful or otherwise, by Mariscal Zavala troops at Zacana, and (2) all indications are that dissident army elements jumped ahead on their own and extremist political elements are only now attempting to join forces. Capital remarkably tranquil and if movement were Communist-Castro inspired and instigated, it is logical to assume there would be coordinated agitation by leftist labor, student, etc., groups. Meanwhile, Foreign Minister today instructed GOG representatives Washington invoke protection Rio treaty, charging revolt Castro-inspired and to be supported by troop and arms movements from Cuba.

This kind of situation of course ideal for exploitation by extremists both right and left. Embassy fears that with substantial proportion troops out of city and general uncertainty and lack of confidence resulting from prolongation revolt. Communist and leftist opposition elements will soon try agitation of various kinds including strikes and demonstrations. In such a situation rightist elements might be impelled themselves strike first prevent leftist takeover.

Favorable financial news conveyed Ydígoras and Cabinet in Barall's and my conversation with him this morning no doubt substantially encouraged GOG.³ Ydígoras exudes confidence but recognizes he is atop murmuring volcano. Devoutly to be hoped he may be able transform his confidence to air force and army elements who will proceed with vigor to end revolt. There are, however, indications of dissension within air force and that military are loath to fight brother military. Also air force and military, because of GOG's cries of wolf over past months, now refuse to believe, in spite GOG protestations and exhortations, that rebels are really Castro agents.

If recent reports are borne out rebels in Barrios and Zacapa handing out arms wholesale to civilians and there should develop other

¹ Source: Department of State, Central Files, 714.00/11-1460. Confidential; Priority.

² See Document GT-35.

³ Barall informed Ydígoras that \$10 million in budget support was forthcoming and that the Rio Hondo loan application was receiving positive action. Barall and Johnston visited Guatemala, November 13–17, in connection with the Guatemalan request for \$10 million in budget support. (Memorandum from Mann to Dillon, November 17, 1960; ARA/OAP Files, Lot 63 D 146, "Interdepartmental Memoranda: Guatemala, 1960")

evidences leftist influence or exploitation movement, army and air force may close ranks. Next 24 hours should clarify situation and trend.

Muccio

GT-41. Telegram from the Ambassador in Guatemala (Muccio) to the Department of State¹

Guatemala City, November 15, 1960, 10 a.m.

228. Re Higdon telephone conversation last night, Foreign Minister said last evening he instructing Alejos officially request U.S. armed forces assistance to prevent within Guatemala air or sea-borne efforts introduce troops or supplies to rebels. Said Alejos would communicate with Department as to exact wording GOG request.² Foreign Minister ecstatic about U.S. willingness make this commitment, stating it was what GOG had long wanted.

Muccio

¹ Source: Department of State, Central Files, 714.00/11-1560. Confidential; Priority.

² For the Guatemalan request, see Document GT-42, footnote 3.

GT-42. Memorandum from the Secretary of State to the President¹

Washington, November 16, 1960.

SUBJECT

Requests for Assistance From Guatemala, Costa Rica, and Nicaragua.

In connection with my separate memorandum confirming our telephone conversation of November 14 on this subject,² the Guatemalan Embassy has today presented us with a request for assistance of the

¹ Source: Eisenhower Library, Herter Papers. Secret. Drafted by Coerr, Krebs, and Herter. The source text is an unsigned carbon copy. This memorandum incorporates recommendations in a memorandum of the same date from Mann to Herter. (ARA/OAP Files, Lot 63 D 127, "Guatemala").

² For the memorandum of this telephone conversation, November 14, see Document GT-39.

type as discussed.³ The Nicaraguan Government has likewise delivered a note today to our Embassy in Managua along similar lines. The Costa Rican Government has informed our Embassy that it believes surveillance will not be necessary for the time being.

We do not yet have any proof that the Guatemalan rebels are supported by Castro or communist forces.

The purpose of our assistance would be to prevent the rebels from receiving any reimbursements or supplies that Castro or the communists might try to send them. Under present conditions, however, the overt use of our military forces within Guatemalan jurisdiction would be inadvisable because they might appear to be taking sides in what may turn out to be an internal Guatemalan conflict.

I believe our forces should [illegible in the original] discreet surveillance in order to be able to lead [illegible in the original] assistance should its need become evident, but that they should not under present conditions attract attention in Guatemala.

I therefore recommend that you authorize the Secretary of Defense (a) to instruct our Naval units to remain on the high seas near Guatemala out of sight of land and our aircraft to patrol at a height at which they will not attract attention and (b) to report promptly any evidences of a Castro or communist attempt to send the rebels supplies or reimbursements and to refrain from combat operations unless specifically authorized.

I would recommend further that you authorize a statement for the press, either from the White House or from the State Department, along the following lines, in the event a question is asked:

“In response to requests by the Governments of Guatemala and Nicaragua, surface and air units of the United States Navy are in a position in which they could assist these Governments, should it become necessary, to seek out and prevent intervention on the part of communist-directed elements in the internal affairs of Guatemala and Nicaragua through the landing of armed forces or supplies from abroad.”⁴

³ The request was contained in a note dated November 15 from Ambassador Alejos to Secretary Herter, which read in part as follows: “I have the honor to request the assistance of Your Excellency’s Government in a surveillance of the Caribbean approaches to Guatemala in detecting and preventing the intervention on the part of communist directed elements in the internal affairs of Guatemala through the landing of men and supplies from overseas.” (714.00/11–1560).

A notation on this note reads as follows: “In lieu of a reply to this note, the President sent a special message to President Ydigoras on November 30, 1960.

“File. R[ichard] A. G[odfrey] OAP/G 11/30/60.” For Eisenhower’s message dated November 28, but transmitted by telegram, November 30, 1960, see Document GT–46.

⁴ Source: Telegram 348 to Guatemala, November 17, said that the President had issued the statement quoted above at Augusta, Georgia, on that date. (611.14/11–1760).

I have this morning discussed the foregoing with Secretary Gates and the Chairman of the Joint Chiefs of Staff and they are agreeable to the suggested procedure. General Lemnitzer has indicated that ships now available in the Florida area could arrive off the Guatemalan coast within 48 hours.

The ships available include an aircraft carrier and a small amphibious force with a contingent of Marines. It is my own feeling that given the possibility of leaks, it would be just as well not to have Marines aboard any of the surveillance ships. General Lemnitzer points out the Marines would be merely on what is a routine and normal training [illegible in the original] in that area and that, should it be necessary to use the Marines, several days would be saved by having them aboard. I nevertheless feel it would be better to risk a delay than to risk the serious reaction which would inevitably follow should the rumor spread that Marines are en route to Guatemala.⁵

Christian A. Herter

⁵ In a memorandum of conversation between the President, Secretary Herter, General Lemnitzer, and Press Secretary Hagerty at Augusta, Georgia, August 17, Brig. Gen. Goodpaster states that "one point of detail was as to whether a Marine battalion should be abroad the ships used in the surveillance operations. The President thought they should not be kept abroad, but should be left at the nearest suitable station. General Lemnitzer agreed that this could be done acceptably." (Eisenhower Library, Whitman File, DDE Diaries)

GT-43. Telegram from the Secretary of State to the Embassy in Guatemala¹

Guatemala City, November 18, 1960, 11:24 p.m.

350. Ten million dollars approved by Under Secretary Dillon for imports from the U.S. with counterpart being granted to the GOG as accrued. Detailed information to follow. You may wish convey info President Ydígoras.² Public announcement left to your and President's

¹ Source: Department of State, Central Files, 814.10/11-1860. Confidential; Priority. Drafted by Carwell and signed by Higdon.

² Muccio informed Ydígoras and Unda Murillo on November 19. (Telegram 260 from Guatemala City, November 23, 1960; 814.10/11-2360)

discretion. If public announcement contemplated, please give department 24 hours advance notice to permit consideration simultaneous release Washington.³

Herter

³ Ydígoras and Muccio agreed on an announcement to be issued to the press on December 10. It referred to agreement on a \$9.6 million loan for the Rio Hondo road and the El Molino highway, and approved of a \$10 million grant to assist the Guatemalan Government. (Telegram 284 from Guatemala City, December 8, 1960; 714.5–MSP/12–860) No record of a simultaneous release in Washington was found.

GT-44. Telegram From the Department of State to the Embassy in Guatemala¹

Washington, November 23, 1960.

¹ Source: Department of State, Central Files. 2 pages not declassified.

GT-45. Telegram From the Embassy in Guatemala to the Department of State¹

Guatemala City, November 25, 1960.

¹ Source: Department of State, Central Files. 2 pages not declassified.

GT-46. Letter from President Eisenhower to President Ydígoras¹

Washington, November 28, 1960.

Dear Mr. President:

I should like to thank you for your very kind message of November nineteenth.² The steps taken by the United States Government have enabled us to be in a position to respond to the request received from Your Excellency's Government on November sixteenth for assistance in preventing Communist-directed efforts to intervene in the internal affairs of your country through the landing of armed forces or supplies from abroad.³ I am gratified to learn that constitutional order is being maintained in Guatemala.

The American people join me in expressing warm good wishes to the Guatemalan people and to Your Excellency personally.

Sincerely,

Dwight D. Eisenhower

¹ Source: Eisenhower Library, Whitman File, International File. The referenced letter was transmitted by telegram 374 to Guatemala, November 30, with a request for Ydígoras' agreement to release. (714.5411/11-3060). On December 1, Muccio delivered it to Ydígoras who agreed to release, and it was issued the following day as a White House press release. The press release is printed in *Public Papers of the Presidents of the United States: Dwight D. Eisenhower, 1960-61* (Washington, 1961), p. 871.

² For text, see *ibid.*, p. 872n.

³ For quotation of Alejos' note to Herter, November 15, see footnote 3 to the memorandum from Herter to Eisenhower, November 16, Document GT-42.

GT-47. Editorial Note

A White House press release of December 7, 1960, noted that the emergency in Guatemala and Nicaragua had passed, and that United States surface and air units in a position to prevent intervention in those countries by landing of forces or supplies from abroad had been ordered to return to normal operations. For text, see *Public Papers of the Presidents of the United States: Dwight D. Eisenhower, 1960-61*, page 872 note. For a memoir of these events, see Dwight D. Eisenhower. *The White House Years: Waging the Peace, 1956-1961* (Garden City, N.Y., 1965) page 613.

Haiti: U.S. Relations with Haiti¹

¹ A brief history of U.S. relations with Haiti between 1957 and 1959, prepared by the Second Secretary of the Embassy in Port-au-Prince, Virgil P. Randolph, III, was transmitted to the Department of State in despatch 83, August 24, 1959. (Department of State, Central Files, 611.38/8-2459)

HA-1. Memorandum from the Director of the Office of Middle American Affairs (Wieland) to the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, January 9, 1958.

SUBJECT

Authorization to Ambassador Drew to Discuss with Haitian Officials Factors Involved in Restoration of Normal Relations.

With respect to our proposal relating to steps Ambassador Drew will take on his return to Port-au-Prince to attempt to resolve the Talamas case,² the Ambassador hopes to be in a position to explain to President

¹ Source: Department of State, Central Files, 738.00/1-958. Confidential. Drafted by Edward Little, Deputy Director of the Office of Caribbean and Mexican Affairs; and cleared with Albert Post of the Office of Inter-American Regional Economic Affairs. Paragraphs 1, 4, 5(a), and 5(d) were also cleared by telephone with Kenneth Wright, the Assistant Chief of the Cuba-Haiti-Mexico Branch of the International Cooperation Administration. A marginal notation by Rubottom indicates the Assistant Secretary's approval of the list of suggested elements in the memorandum. A separate notation on the source text indicates that a copy of the memorandum was given to Ambassador Gerald Drew on January 10.

² On December 29, 1957, Ambassador Drew had returned to Washington for consultation regarding the case of Shibley Jean Talamas, an American citizen who was beaten to death while in the custody of Haitian police on September 29, 1957. Talamas, who had been accused of political activity against the Haitian government, had surrendered himself voluntarily to Haitian authorities after they had assured Embassy officials that Talamas would not be harmed.

Following Drew's return to Port-au-Prince on January 14, 1958, extensive negotiation between the two governments produced a settlement along the following lines. The Haitian government publicly expressed its regret over the circumstances surrounding Talamas' death, reaffirmed guarantees for the security and well-being of American citizens in Haiti, and agreed to pay an indemnity to the Talamas family. The United States had sought to obtain the dismissal of the officers responsible for Talamas' death, but the Haitian government would agree only to have them court martialed and disciplined. The agreement was embodied in an exchanged of notes between the governments of the United States and Haiti at Port-au-Prince on February 5, 1958. The Embassy at Port-au-Prince transmitted the texts of the notes, which were made public at the time, to the Department of States in despatch 357, February 5, 1958. (238.113-Talamas, Shibley Jean)

Duvalier some of the factors which would be involved in reestablishment of normal, friendly relations between our countries if the Haitians give us satisfaction over this incident. These "factors" are in no sense a *quid pro quo*, and the Ambassador has no intention of describing them as such. Rather, the explanation of them would be presented as some of the elements of our relations which existed before Talamas' death and which would exist now if it were not for that unfortunate occurrence.

We believe the elements of such restoration are as listed below and, if you agree, the Ambassador will describe these factors to the President if he considers it appropriate in his discussions in Part-au-Prince:

1. The FY 1957 \$1 million grant assistance would be made available in accordance with previous arrangements.

2. Recreational visits of U.S. fleet units would be resumed as soon as they could be scheduled.

3. The Ambassador would immediately recommend that high-ranking Army and/or Marine Corps officers visit Haiti to discuss training of the Haitian Army and the possible augmentation of U.S. military missions in Haiti.

4. It would be explained that the U.S. Development Loan Fund is receiving applications from interested governments for economic development project meeting the criteria of the Fund.

5. Finance Minister Thebaud would be invited to visit Washington to review the Haitian economic situation and to review cooperative steps which might be taken in this field. This visit would also permit the Finance Minister to discuss problems with the ExImbank, the Development Loan Fund, the IBRD, and the IMF. The visit of Minister Thebaud would also permit discussion of the following matters of mutual concern:

- (a) Plans for allocation of \$2 million grant aid already earmarked for Haiti from FY 1958 Mutual Security program funds.

- (b) Cooperative steps to stimulate U.S. tourist travel to Haiti.

- (c) Cooperative steps to stimulate U.S. private investment in Haiti.

- (d) Review of U.S. technical assistance programs in Haiti to explore areas where additional projects might be desirable.

(Availability of the remaining \$3 million of the Artibonite loan has not been included since it has been made clear to the Haitians that it is only technical difficulties which have held up the release of these funds.)

HA-2. Editorial Note

During a meeting at the Department of State on March 21, Victor Nevers Constant, a member of the Haitian Senate, informed Department officials that the Government of Haiti would be disposed to grant to the United States rights to establish a missile base on “La Tortue” island off the north coast of Haiti. Constant presented credentials signed by President Duvalier authorizing him to negotiate and sign documents concerning this proposal. Constant emphasized the friendship that President Duvalier felt for the United States and noted that from the standpoint of Haitian domestic opinion, it would be preferable for the United States to appear to be the first to make the proposal, with the understanding that the Haitian Government would accept it. Department officials assured Senator Constant that they would transmit the proposal to the Department of Defense for its comment. (Memorandum of Conversation, March 21, 1958; 711.56338/3–2158)

In a telegram to President Eisenhower of May 9, President Duvalier reaffirmed the offer to provide the United States with facilities and an appropriate site for a missile base. (Presidential Correspondence, Lot 64 D 174) On May 16, President Eisenhower responded in a letter to President Duvalier that his proposal was appreciated and would be carefully studied. (711.56338/5–958) On June 22, President Duvalier repeated his offer in another telegram to President Eisenhower. (Presidential Correspondence, Lot 66 D 174) At the instruction of the Department of State, on July 7 the Embassy in Port-au-Prince delivered an acknowledgment to President Duvalier of receipt of the telegram sent on June 22. (Despatch 14 from Port-au-Prince, July 7; 711.56338/7–758) On October 23, the Officer in Charge of Haitian Affairs, Norman Warner, delivered to the Haitian Embassy in Washington a note from the Department of State expressing appreciation for the Haitian offer and indicating that the Department of Defense had completed its study and found no need at the current time for an additional facility of the type described by Haiti. The note added that the United States would keep the offer under review and if the situation changed in the future, Haiti would be consulted promptly. The Department of State copy of the note indicates clearances from Secretary of State Dulles, Under Secretary of State for Political Affairs Robert Murphy, the Bureau of Inter-American Affairs, and from the Department of Defense. (711.56338/10–2358)

HA-3. Editorial Note

Between April 18 and May 2, 1958, a special Haitian Financial Mission, headed by Minister of Finance Fritz Thebaud, met in Washington with representatives of the Department of State, the Department of the Treasury, the International Cooperation Administration, the Export-Import Bank, and the Development Loan Fund to discuss Haiti's outstanding economic and financial problems. As a result of these discussions, the following agreements were reached:

1) Haiti agreed to regularize its interest and amortization payments on a \$27 million credit from the Export-Import Bank, which had been in default, and to reorganize the administration of the *Organisme du developement de la Vallee de l'Artibonite*, or Artibonite Valley Authority, to the satisfaction of the Export-Import Bank. The Bank in return consented to finance a survey of the Artibonite project in order to ascertain the cost of satisfactorily completing it and also agreed to a resumption of construction on the project.

2) The International Cooperation Administration agreed to make available to Haiti \$2 million in fiscal year 1958 special assistance funds for economic development projects such as roads, bridges, irrigation, and water supply.

3) The International Cooperation Administration agreed to increase its technical assistance program during fiscal year 1958 to \$1.5 million, with increased program assistance slated for agriculture, health, education and public works.

4) The Development Loan Fund agreed to consider expeditiously financial assistance for sound project proposals from either the Haitian government or private sources for which financing was not otherwise available.

A summary of the agreement is in Department of State press release 240, printed in the Department of State *Bulletin*, May 26, 1958, pp. 880-881. A more detailed summary of the agreement is in a memorandum from Post to Rubottom of September 17, 1958, in file 838.00/9-1758. Additional Department of State documentation concerning the discussions is in the file 838.10.

HA-4. Letter from the Ambassador in Haiti (Drew) to the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Port-au-Prince, June 11, 1958.

Dear Dick:

I am beginning to have increasingly serious qualms about the establishment of a Marine Corps Military Mission to Haiti.²

Until quite recently it could honestly be said that a semblance of democracy existed in Haiti. In the past five or six weeks, however, things have changed and I would now describe the existing regime as a "Police State" clothed in the trappings of democracy.

A convenient cut-off date for this drastic change can be taken as May 2 when martial law and a brief curfew were established.

Prior to that date there was a semblance of an independent or opposition press composed of *Haiti Miroir* and *Independance*. The editors and some of the staff of these papers are now in jail and their plants were wrecked by unidentified civilian bands, obviously with the approval of the Military, as the incidents occurred during a period of stringent curfew when peaceable citizens were being shot down in cold blood for violating the curfew.

The two defeated candidates for the Presidency, Louis DEJOIE and Clement JUMELLE previously enjoyed an attenuated liberty. Now, however, on the flimsy pretext of involvement in the Mahotiére bomb affair, Dejoie was hounded into exile with a price on his head and Jumelle and his brother Ducasse have been similarly forced into hiding as outlaws. The pretense that either of these men were actually involved in the manufacture of bombs is not taken seriously by anyone.

After Dejoie was exiled from the country, there was some thought that Jumelle might be tolerated. His entire family was arrested recently

¹ Source: Department of State, Rubottom Files, Lot 60 D 553, "Haiti 1958." Secret; Official-Informal.

² On April 1, 1958, Ambassador Drew had reported that during a conversation on March 31, President François Duvalier had stated repeatedly and categorically that Haiti wanted a United States military mission composed of Marine Corps officers. Duvalier explained that it was the Marines "who founded and trained the Haitian Army and [who] understand us." (Telegram 416 from Port-au-Prince; 738.58/4-158) Subsequently, the Haitian government sent a military mission to the United States with instructions to request the United States Government to dispatch a military mission to Haiti to reorganize the Haitian Army. As a result of these discussions, the Department of Defense, with concurrence of the Department of State, authorized the Department of the Navy to discuss with the Haiti government an agreement to augment the U.S. Naval Mission, currently established in Haiti, so as to accommodate a U.S. Marine Corps Mission. (Letter from Assistant Secretary of Defense for International Security Affairs Mansfield D. Sprague to Rubottom, April 29, 1958; 738.58/4-2958)

but has been released, with the exception of a brother who is still in jail. The Colombian Minister informed me that the Assistant Manager of the Haitian-Colombian Bank, a known Jumellist, was savagely beaten in his home by a masked gang in an effort to force him to reveal the whereabouts of Jumelle. At last account he was recovering in a hospital from the beating which left him close to death.

I would emphasize here that I am persuaded that neither Dejoie nor Jumelle have seriously conspired against the Government since the inauguration of President Duvalier, although it is probably true that some of their followers, particularly of Dejoie, may have engaged in conspiratorial plotting. A large number of political prisoners languish in jail with estimates ranging from 80 to 800 and the actual figure probably being somewhere in between.

The Army, which under General Kebreau was at least a counterpoise to the civilian element of the Government, now appears to be under the complete domination of Dr. Duvalier. It is difficult to believe anything else when we have a photograph in our possession of the head of the Secret Police, Clement BARBOT, striding behind the President with a sub-machine gun under his arm, his military escort bringing up the rear, during the Flag Day celebration at Arcaïhaie on May 18. To the best of my knowledge the Secret Police continues to operate with the tolerance, if not the support, of the Army.

The financial assistance to the Duvalier Administration which has thus far been forthcoming, or is in prospect, from United States and international sources will help to perpetuate the present regime. Looking at it for what it basically is, namely, aid to the people of Haiti, I find it entirely defensible and would even go so far as to support additional amounts of aid in the future.

However, I think we should do some careful soul-searching before we agree to send a Military Mission to Haiti, particularly one of such composition and size that it will practically guarantee the continuance in office of Dr. Duvalier to the end of his six-year term in 1963. Of course, we want stability in Haiti but, particularly having in mind the critical examination of our policies in Latin America provoked by the recent incidents involving the Vice President, should we agree to the establishment of the Mission without establishing any conditions precedent?

I find myself becoming increasingly repelled by the thought of sending a Mission in here when the jails are crammed with political prisoners, many presumably innocent and none of whom have been given the benefit of a fair trial; when defeated candidates and their supporters, many of whom have asked for nothing but peace and harmony, are beaten, tortured and hounded into exile; when a restrained opposition press has been ruthlessly snuffed out of existence; and when masked night riders, reminiscent of the Ku Klux Klan, operate from their headquarters in the National Palace. Aside from the question of our own conscience,

I think we should give particular thought to the repercussions in the United States and abroad if we go through with the establishment of the Mission without some effort to correct the conditions I describe.

I would like to suggest that we consider conveying to President Duvalier the thought that the abolishment of the Secret Police, the release or trial of political prisoners, the restoration of the two suppressed newspapers to the status quo ante, and a halt to hounding of political opposition are prior conditions to our agreement to a Military Mission. There may be other conditions we may wish to include, but these are the main ones which occur to me now.

If my recommendation is adopted, we will have to consider how to approach the President without upsetting our present friendly relations or arousing cries of "intervention". Obviously it will be a difficult and delicate assignment.

In closing, I wish to make it quite clear that I am heartily in favor of establishing a Military Mission here, preferably composed of members of the United States Marine Corps as requested by the Haitian Government. I can think of no surer guarantee of stability for the foreseeable future. However, I repeat, we should consider carefully whether we can justify the establishment of such a Mission to a Government responsible for the measures which I describe.

Sincerely,

Gerald A. Drew
Jerry

HA-5. Telegram from the Ambassador in Haiti (Drew) to the Department of State¹

Port-au-Prince, July 30, 1958, 2 p.m.

44. President Duvalier for third time in course of day sent for me 1900 July 29.² At palace in presence acting Foreign Minister Thebaud

¹ Source: Department of State, Central Files, 738.00/7-3058. Confidential; Niact; Limit Distribution. During the night of July 28-29, a small band of insurgents landed on the Haitian coast and seized an army barracks in Port-au-Prince. In the course of retaking the barracks on July 29, Haitian government forces killed all of the insurgents. Additional documentation this incident is in file 738.00.

² Drew forwarded a more detailed account of this conversation to the Department of State in despatch 49 from Port-au-Prince, July 30, 1958; 730.00/7-3058. A report on a previous conversation between Drew and Duvalier on July 29 is in telegram 42 from Port-au-Prince, July 29. (738.00/7-2958)

and Minister Interior Duvigneaud he produced large volume miscellaneous identification papers and photos allegedly removed from corps of subjects thereof apparently establishing that four of seven members of rebel expedition were residents Miami and presumably U.S. citizens. At least two held deputy sheriff badges or commissions from Florida authorities. This in apparent conflict with information made available to Embassy representatives earlier in day who were invited view cadavers two participants said to be American citizens with explanation other two foreigners were Dominicans. However this conflict understandable view excitement and general confusion. Furthermore there are widely divergent accounts of events of day including version raiders were denounced in advance to GOH by army officers thought to be defectors and were shot on landing and bodies brought to Port au Prince where fighting at Casernes led by several army officers members of conspiracy.

President agreed permit our Consular representatives examine and photograph papers to establish identify of alleged Americans. Results will be forwarded Department promptly.

President further claimed papers, photographs, weapons et cetera found on auxiliary sail boat abandoned at Deluge south of St. Marc established its U.S. identify. However Haitian authorities unable identify boat either by name or number although claiming it flew American flag.

In tone of exceptional gravity President reminded me of my previous offer to be of assistance which he had declined for time being by saying "I now formally request immediate expulsion Magloire³ and Dejoie from U.S. territory on grounds they have organized and launched armed expedition against my government with participation U.S. citizens". He stressed his desire keep whole matter confidential in Haiti to avoid disturbing friendly relations between two governments but said he would expect favorable action on his request within 48 hours. I agreed forward his request to Department promptly.

I endeavored explain that commission as deputy sheriff in many jurisdictions in U.S. was honorific title frequently bestowed for personal or political reasons and disclaimed it implied official knowledge of or support for expedition. When Thebaud said boat could only have sailed with connivance federal officials I entered strong denial indicating that boat could well have sailed clandestinely or from some point outside U.S. territory.

³ Paul E. Magloire, President of Haiti from December 6, 1950, until December 12, 1956.

I expressed regret that persons appearing to be American citizens had participated in hostile act against government. While President gave repeated assurances desire avoid any deterioration friendly relations there are already indications subordinate officials may be disposed capitalize on situation to place us on defensive.

At end session in his office President Duvalier took me to room on lower floor in palace containing large stock rifles, shotguns, M-1's and ammunition together with miscellaneous personal effects allegedly removed from boat as well as large number snapshots of alleged American participants found on boat.

While not yet prepared comment on legal chain evidence linking Magloire with launching armed expedition there is no doubt my mind he is one of several or possibly sole instigator and financial backer of coup. All three Haitian ex-officers identified as his close supporters and partisans. The President's claim Dejoie connected therewith apparently based on assertion that Dejoie's photographs found in boat.

However if legally or administratively possible I believe if only on grounds of comity we should respond affirmatively and promptly Duvalier request for expulsion Magloire. Re Dejoie I prefer wait for further evidence. Obviously participation alleged U.S. citizens places us in extremely vulnerable position and regardless well known deficiencies Duvalier regime I recommend at earliest possible moment we make public disavowal participation American citizens and appropriate expressions regret. Incidentally I do not exclude possibility GOH may seize on this to endeavor to extract economic and political advantages from us possibly including diplomatic claim for damages.

While Duvalier emphasized his desire avoid disturbing friendly political relations between two governments delay in facing up to situation can only weaken our position.⁴

Drew

⁴ On July 31, the Department of State issued press release 439 which indicated that Ambassador Drew had been instructed to inform the Haitian Government that the United States deplored and regretted the reported involvement of American citizens in the revolutionary attempt of July 29 against the legally constituted Government of President Duvalier. The release also noted that Drew had requested Haiti to furnish all available evidence to facilitate the inquiries of U.S. Government agencies into whether there had been any violation of United States laws. For the text of the release, see the Department of State *Bulletin*, August 18, 1958, p. 282.

HA-6. Memorandum of a Conversation, the White House¹

Washington, August 7, 1958.

SUBJECT:

Call of Haitian Foreign Minister on the President

PARTICIPANTS:

The President

Dr. Louis Mars, Foreign Minister of Haiti

Under Secretary Herter

William A. Wieland, Director, Office of Middle American Affairs

During a call at 4 p.m., August 7, on the President, Haitian Foreign Minister Mars delivered a letter from President Duvalier saying that the Haitian Government hopes for United States military support.² He recalled the efforts to overthrow President Duvalier during the last days of July and said the Government expects further revolutionary attempts.

The President asked the Foreign Minister to convey his sincere regrets to President Duvalier that United States citizens had been involved in the plot and that the United States Government had not known this in time to stop it.

In reply to a question from the President, the Foreign Minister said that the revolutionary plotting against the Duvalier Government has assumed serious proportions. He cited two clandestine radio stations broadcasting threats that the Presidential Palace will be bombed and 2,000 rebels will march on the capital. He said that President Duvalier has "knowledge" that President Trujillo of the Dominican Republic is financing the revolutionary attempts with a \$500,000 fund established for the purpose. The Foreign Minister said that President Trujillo aspires "to be President of the entire island" and "does not like" that the Duvalier Government is attempting to build a sound economy in Haiti.

¹ Source: Eisenhower Library, Whitman File, International File. Confidential. Drafted by Wieland.

In a memorandum to President Eisenhower of August 7, Acting Secretary of State Herter recommended that the President meet with Foreign Minister Mars as it was "highly desirable that you receive the Foreign Minister in order to dispel any impression that we countenance the organization of revolutionary expeditions in the United States against Dr. Duvalier's government." (Eisenhower Library, Herter Papers)

² In this letter of August 2, President Duvalier maintained that the attack on Haiti of July 28–29 was part of an international Communist conspiracy and requested U.S. military assistance to help defend Haitian territory. An unofficial translation of the letter is in the Eisenhower Library, Whitman File, International File.

President Eisenhower said that President Duvalier's appeal would be studied by the State Department and other appropriate agencies. The President said that he understood the Department of Justice is now investigating the facts of the recent plotting in the United States against the Haitian Government. Under Secretary Herter corroborated this.

The President said he was meanwhile preparing a greeting to President Duvalier in response to his letter to him.

On leaving, the Foreign Minister left a previously prepared summary of his intended remarks with the President, in addition to a letter from President Duvalier.³

³ The summary, not printed, is attached to the unofficial translation of Duvalier's letter of August 2.

In a letter to President Duvalier of August 8, President Eisenhower affirmed that "the United States deplores the involvement of its citizens in the revolutionary attempt against your Government on July 29, 1958, and appropriate agencies of this Government are conducting an inquiry to determine what violations of United States laws may have occurred." In regard to Duvalier's request for military assistance, President Eisenhower indicated that he had asked the Department of State and other U.S. government agencies to give urgent and careful study to the matter. (Presidential Correspondence, Lot 64 D 174)

HA-7. Memorandum from the Director of the Office of Middle American Affairs (Wieland) to the Deputy Assistant Secretary of State for Inter-American Affairs (Snow)¹

Washington, August 28, 1958.

SUBJECT

Marine Corps Training Mission to Haiti

Problem:

The President of Haiti, Dr. Duvalier, has requested that a Marine Corps Training Mission be assigned to Haiti. The problem is to

¹ Source: Department of State, Central Files, 738.5811/8-2858. Secret. Drafted by Norman Warner, Officer in Charge of Haitian Affairs, and cleared with George O. Spencer of the Office of Inter-American Regional Political Affairs.

The source text is an uninitialed carbon copy. Attached to the source text is a memorandum from Wieland to Rubottom dated January 22, 1959, which describes several of the documents relating to the Marine Corps mission to Haiti. It indicates that the August 28 memorandum constitutes a "position paper" on the subject.

determine whether the United States should comply with this request. If the Haitian Government is given an affirmative answer, a supplementary question arises: should we make assignment of the mission subject to certain provisos, notably agreement by President Duvalier to provide satisfactory operation conditions for the mission and to take measures designed to allay current political tensions?

Background:

President Duvalier requested a Marine Corps Training Mission in late March and has become doubly anxious to have the mission arrive since the revolutionary attempt against his government on July 29. He desires the mission to bring about a permanent improvement in the status and sense of responsibility of the Haitian army as well as to help stabilize his Government and as evidence of U.S. support.

A Marine Corps Survey Team which visited Haiti from May 18 to 31 concluded that there is a definite need for a military mission to improve the efficiency and capability of the Haitian army, and to promote stability within the Haitian army and in the Republic of Haiti itself. It recommended that a fairly large mission be sent (an initial minimum of 30 members to be increased to 50) as that advice could be given both at headquarters and field levels. The General Staff of the Haitian army has stated that Haiti's economy could not support a mission of the recommended size but President Duvalier has privately assured us that the necessary funds would be forthcoming.

Discussion:

The charge that the U.S. supports Latin American dictators may be brought against us if we send a Marine Training Mission to Haiti. Duvalier's government has taken on many of the characteristics of a dictatorship; abuses by the secret police, destruction of newspaper plants, arrests of labor leaders and journalists, persecution of political opponents, arbitrary arrests and prolonged imprisonment without trial. However, during the attempted coup on July 29 there was no disaffection in the Haitian army or the general population and the ability to hold power for the foreseeable future whether or not we send a training mission. He justifies his strong-arm tactics on grounds that the opposition is plotting his own violent overthrow and he cites the July 29 attempted coup as proof.

Possible criticism of the Marine training mission as U.S. intervention in Haiti is to be expected from various sources including the USSR propaganda apparatus which voiced this criticism against the recent brief protection of the Guantanamo Base water supply by 60 Marines. Moscow Radio has already taken the line that the involvement of Americans in the attempted coup on July 29 is evidence of U.S. intervention against the Duvalier government. The fact that President Duvalier has specifically

and urgently requested assignment of the Marine Training Mission can be used to offset charges of intervention. Prior agreement by Haiti to allay domestic political tensions and a prohibition against the mission's training of the Haitian police at this time would lessen the danger of the mission's becoming involved in internal matters.

The secret police were first organized about January of this year and have steadily increased in importance since that time. They probably deserve much credit for crushing the July 29 revolution and Duvalier may be convinced that they are his chief reliance in keeping control of the government. Emboldened by the July 29 incident, the secret police may now commit greater abuses than in the past; this could result in diminution of popular support for Duvalier at home and he himself might become a virtual prisoner of his own "palace police" if he permits their power to grow unchecked. This danger is the greater because the army has been weakened by successive "purges" of its officers. Duvalier may realize the dangers of this situation and may move to bring the secret police under control by incorporating them into the regular army. A decree reorganizing the Haitian army (issued August 4, 1958) refers to the need for a more adequate system of control and administration of the Army of Haiti considering the "increase in its effective forces and the number of Special Services." The same decree makes the Chief of Staff of the Armed Forces responsible for the direction of "all military and police operations." If the secret police are brought into the army, they would presumably come within the purview of the proposed Marine Corps Training Mission and be subject to our advice. Since this eventuality would expose us to strong criticism, it should be explained to President Duvalier ahead of time that the training mission will not become involved in advising or training the police.

The over-riding need is a period of political stability in Haiti to give the government a chance to attack its other problems (economic, financial, social). Beginning in December 1956 when Magloire was ousted, Haiti was rocked by one political crisis after another as a succession of short-lived governments tried and failed to wield power. Serious financial and economic deterioration accompanied the political upheavals and Haiti appeared to be on the verge of administrative chaos when the military council of government took power in June 1957. Using illegal force when necessary, the Haitian army restored a semblance of political, administrative and financial order, permitted an election to be held and turned over power in October 1957 to a civilian government headed by Dr. Duvalier. President Duvalier has also resorted to an illegal strong-arm methods to maintain order and seems to have an acute fear of opposition political activity. In these circumstances it appears probable that political stability in Haiti for the present will only

be achieved at some cost in civil liberties; if this is accepted as a realistic working assumption, the objective of the U.S. should be limited to achieving a gradual amelioration of the situation. Our ability to use our influence to this end would be enhanced by the presence of a Marine training mission.

The *present status of U.S.-Haitian relations* calls for a positive gesture on the part of the United States to effect the reverse practice of the Duvalier government to the participation of American citizens in the July 29 attempt and the fact that it was launched from U.S. soil. A few days after that even, President Duvalier sent his Foreign Minister on an urgent mission to Washington to deliver a letter to President Eisenhower requesting U.S. military assistance for Haiti. The arrival of a Marine training mission would be a timely, positive response to this plan for help. Further, this reassurance of our good intentions might render Duvalier more amenable to our influence in bringing about an improved domestic political climate.

Conclusions:

1. We may be criticized for "supporting a dictator" if we send a Marine mission to Haiti, but it appears that Duvalier in fact has considerable popular support and the ability to hold power regardless of whether we send the mission. By sending a mission we may be able to influence Duvalier away from dictatorial methods. The Mission might be viewed by U.S.S.R. propagandists as evidence of U.S. intervention in Haiti but this charge can be offset by the fact that President Duvalier has requested the mission. We should seek prior agreement that Duvalier will take steps to allay the political tension and that no advice or training will be given to the police.

2. The secret police have brought Duvalier into disrepute but they are his chief reliance in keeping power and it would be unrealistic to expect him to abolish them at this time. We should encourage Duvalier to bring the police under control but we should make it clear that we will not become involved in police training.

3. Haiti's greatest need is a period of political stability and we can contribute to this by using a Marine training mission to influence the Haitian Army constructively. The Haitian army has been the ultimate and practically the only source of stability in the past year and a half although seriously weakened by purges.

4. The present status of our relations with Haiti calls for a positive gesture to offset the adverse reaction of Haitian officials to the participation of Americans in the July 29 attempted coup and the fact that it was launched from U.S. soil.

Recommendations

1. That you sign the attached letter to the Assistant Secretary of Defense, Mr. John N. Irwin, II,² recommending that Marine Corps personnel be assigned to Haiti on a training mission provided that the Haitian Government agrees to let the mission operate under conditions deemed satisfactory by the Department of Defense and by this Department. An essential condition to be met prior to despatch of mission personnel is that the Haitian Government agree to take measures designed to allay current political tensions. Further, the letter states that the Haitian Government should be informed that if there is a recurrence of internal violence of political origin, the training mission's activities may be curtailed or the mission possibly withdrawn in order to avoid any appearance of U.S. involvement in Haitian domestic matters. The letter also expresses the Department's belief that the training mission should not become involved in training or advising the Haitian police. The letter suggests finally that a representative of the Department of Defense visit Haiti in the near future to inform President Duvalier of our decision and the conditions attached to it.

2. That you initial the attached telegram³ informing Ambassador Drew of our views on the assignment of a Marine Training Mission to Haiti.

3. That you initial the attached memorandum⁴ informing the Under Secretary of our conclusions and requesting his concurrence in your letter to the Department of Defense and the telegram to Port-au-Prince.

² Not printed. The letter from Rubottom was sent on September 9 to Mansfield D. Sprague, who had replaced Irwin as Assistant Secretary of Defense for International Security Affairs during the interim. In addition to the contents described in the August 28 memorandum, the letter sent to Sprague on September 9 included a paragraph indicating that the Department of State's approval of the assignment of Marine Corps personnel to Haiti did not mean that the Department approved of all of the recommendations of the military survey team, especially those concerning material or financial support of the Haitian military. (738.59/9–958)

³ Not attached to the source text and presumably the same as telegram 99 to Port-au-Prince, drafted by Warner on August 28 initialed by Snow, and transmitted on September 5. (Not printed; 738.58/9–558).

⁴ Not printed. No indication has been found that the memorandum was sent.

HA-8. Record of a Meeting¹

Washington, September 14, 1958

Meeting—September 14, 1958—Economic Program for Haiti

PARTICIPANTS

State Department: Messrs. Rubottom (ARA); Snow (ARA); Wieland (CMA);
Warner (CMA); Conover (REA); Post (REA); and Favell (KD)
Development Loan Fund: Mr. Rayan
Treasury Department: Mr. Harley
ICA: Mr. Atwood
Export-Import Bank: Messrs. Kimball and Dennison

Mr. Rubottom opened the meeting by pointing out that the economic situation in Haiti has shown no significant improvement and that a new look was necessary. He said that we should consider obtaining, in cooperation with President Duvalier, greater responsibility in economic affairs. Since the Duvalier government was freely elected and the best prospect we could see ahead, Mr. Rubottom was convinced that we should make efforts to intensify our cooperation. He believed that Duvalier wants to work with us and that we should try to convince him that we do likewise. Mr. Rubottom raised with Mr. Atwood the need for experienced ICA personnel at the top level to deal with the Haitian government in overall economic planning and implementation. Mr. Rubottom said that Messrs. Waugh, Dillon and McIntosh recognized the importance of completion of the construction work at the Artibonite Valley and that we should consider having the DLF supply the funds for this purpose. In addition, he said we should continue our grant food program there and indicated that perhaps a greater account could be shipped. Mr. Atwood stated that the problem was one of getting adequate distribution of foodstuffs.

Mr. Rubottom pointed out that it was a matter of high priority to set up an inter-agency committee to study the Haitian economic problem, Mr. Snow agreed.

Mr. Rubottom then mentioned that a Marine Corps training mission was expected to go to Haiti shortly to train the Army.

Mr. Atwood agreed that ICA experience showed that there was a need for proper advisors to the GOH. He mentioned in this connection

¹ Source: Department of State, ARA Special Assistant's Files, Lot 60 D 371, "Haiti." Confidential. Drafted by Post on October 13.

the need for a Klein-Saks type mission² and referred to Prescott Carter as a possibility. Such a mission might strengthen the Haitians and still be outside the USOM mission. He asked whether the Artibonite cost survey had been completed. Mr. Kimball replied that this had not been done.

Mr. Harley queried whether the Haitians would be willing to accept outside advisors. Mr. Rubottom replied that we would use the “carrot and stick” approach.

Mr. Wieland pointed out that there were two forces struggling within the Haitian government; one-pro-American and the other anti-American. The latter headed by Blanchet, were attempting to sabotage relations with the United States. As things are now, it looks as though the pro-American force might win and they need our help, especially when Duvalier is leaning in their direction.

Mr. Atwood mentioned that the situation seems to be similar to the one in Bolivia. Mr. Wieland said what was needed was a concrete programs to present to Duvalier. Mr. Harley asked what was the “carrot” that we intended to use. Mr. Atwood mentioned that the IMF, Artibonite financing, and technical assistance could be used as the “carrot”.

Mr. Dennison doubted whether the Haitians could stand any more debt burden since they were again in default with the Eximbank. The Eximbank, he said, did not want to put any more money into Haiti to complete the Artibonite project.

Mr. Rubottom said that he thought that we could work out a successful program. Mr. Pollack mentioned that there existed a Haitian nationalization program and he thought that we should use our influence to see that it was to our benefit. Mr. Snow elaborated on the electric power problem and the attitude of the Haitian toward the Island Light and Power Company. Mr. Dennison said he understood that Marc Charles and Arthur Bonhomme wanted to nationalize the Power Company.

The Artibonite, Mr. Wieland said, was the immediate problem facing us and all efforts should be made to put it into production. Mr. Atwood mentioned that the Eximbank held \$300,000 of ICA money, part of which could be used for the costing of the remainder of the work on the project. Mr. Snow believed that the Artibonite should be completed and that full consideration should be given to private power in developing the water resources. Messrs. Snow, Conover, Dennison and Warner agreed that the cost survey should be initiated immediately.

² The United States firm, Klein-Saks, Inc., provided financial and economic counseling to several Latin American governments. In December 1958, the Haitian government contracted the services of Klein & Saks, Inc. and Lehman Brothers, Inc. Documentation concerning the negotiations of these contracts and subsequent discussions between Department of State officials and representatives of the two firms is in file 838.00.

Mr. Rubottom then reviewed the sense of the meeting as followed:

- (1) That the cost survey be top priority.
- (2) That ICA and State would look into the problem of economic consultants for the GOM.
- (3) That the Haitians be informed of the adverse aspects of nationalization of the power industry, without trying to sell them on any specific private power measures.
- (4) That the DLF then take up the financing of the Artibonite project completion.³

Mr. Kimball said that the cost survey would come to about \$15,000.

³On September 23, Samuel C. Waugh, President of the Export-Import Bank, advised the Department of State in a letter to Assistant Secretary Rubottom that the Haitian government was in default to the Bank for the sum of \$500,000 in connection with the Artibonite loan and for the sum of \$25,000 in connection with an additional loan. Waugh added: "It is our option that no assistance by other governmental agencies should be given to Haiti unless it maintains its debt payments to this Bank. Even though assistance may be coming from other agencies, we are strongly of the opinion that the sanctity of obligations should be preserved and such a concept impressed upon the Haitians. If a debtor is to be relieved of debt payments while receiving aid, it would create a harmful precedent for the loaning activities of this government." (103-XMB/9-2358)

HA-9. Letter from the Deputy Under Secretary of State for Political Affairs (Murphy) to the Assistant Secretary of Defense for International Security Affairs (Sprague)¹

Washington, September 23, 1958.

Dear Mr. Sprague:

I refer to Mr. Rubottom's letter of September 9, 1958² which recommended the assignment of United States Marine Corps training personnel to Haiti provided that the Haitian Government would agree to permit such personnel to operate under conditions deemed satisfactory by the State and Defense Departments. As you know, representatives of the Department of Defense (Colonel Victor Croizat, USMC) and of this

¹Source: Department of State, Central Files, 738.58/9-958. Confidential. Drafted by Warner and cleared in draft with Spencer and Athol H. Ellis of the office of the Special Assistant for Mutual Security Coordination.

²See the summary of the letter to Irwin in the memorandum from Wieland to Snow of August 28, Document HA-7.

Department (Mr. William A. Wieland) visited Haiti September 10 to 13 to discuss this matter further with the President of Haiti and officials of his government.

Ambassador Drew participated in these discussions and on September 12 an understanding was initialed by him and the Haitian President on the following points: the Haitian Government will take measure to allay current political tension; the U.S. reserves the right to curtail the training mission's activities or even withdrew it in case of a recurrence of internal violence of political origin; and the training mission will not become involved in training or advising the Haitian police. The Haitian Government also agreed to give adequate support to the training mission and to allow it sufficient scope to operate effectively. A public statement was released in Haiti on the fact that discussions were being held; the specific understanding reached has not, of course, been made public.³

I think it is of great importance to follow up these successful talks with the Haitian President by assigning a Marine Corps Training Mission to Haiti at the earliest possible time. Since negotiation of the necessary agreement and other preliminary steps may consume several months, I further recommend that a temporary military training unit (USMC personnel) be sent immediately to Haiti to begin the training desired by the Haitian Government.⁴ This would be of great value from the point of view of our basic relations with Haiti, as tangible evidence of our intention to work with Haiti in this field of vital importance to it. On July 28–29 of this year a revolutionary attempt was made against the elected Government of Haiti by a small force launched from U.S. soil, which included American citizens. This attempt was quickly crushed but there are many reports of further plotting in the United States and elsewhere against the Haiti an Government. To counteract the adverse impression created by the involvement of Americans in the July 28–29 attempt and the reports of further plotting on U.S. soil, I think it is of urgent importance for the U.S. to take all possible steps to forestall a possible repetition of that attempt. The speedy arrival of a military training unit (even though it might be a comparatively small unit assigned on a temporary basis) would be useful in accomplishing this political objective. Further, the Haitian request for this mission has made it possible for us to obtain important political commitments from

³ The texts of the memorandum of understanding for negotiations of conditions under which the United States would provide Marine Corps Personnel to Haiti and of the joint communiqué issued to the press on September 12 were transmitted to the Department of State in despatch 133 from Port-au-Prince on September 12. (738.58/9–1258)

⁴ Snow had recommended this course of action in a memorandum to Murphy of September 22. (738.58/9–2258)

the Haitian President which, if complied with, should tend to stabilize the presently-disturbed situation in that country.

A further consideration motivating my recommendation for the early assignment of a military training unit is that the experience of this temporary unit will provide a test of the probable effectiveness of the proposed full-scale training mission as well as a test of the Haitian Government's ability to allay political tension, as agreed in the memorandum of understanding. A copy of that memorandum is enclosed.⁵

Sincerely Yours,

Robert Murphy

⁵ The temporary Marine Corps training unit arrived in Port-au-Prince on October 31. (Telegram 212 from Port-au-Prince, October 31; 738.58/10-3158) On December 29, 1958, the United States and Haiti concluded a Naval Mission Agreement that provided for the assignment of a permanent mission of Naval and Marine Corps personnel. For the text of the agreement, see 9 UST 1528.

HA-10. Draft Memorandum from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Under Secretary of State for Economic Affairs (Dillon)¹

Washington, February 2, 1959.

SUBJECT

Request for Grant Assistance for Haiti from President's Contingency Funds

Recommendation

Owing to the failure of the coffee crop and declining coffee prices, Haiti has exhausted its U.S. dollar reserves and is running a very substantial budgetary deficit despite severe reductions in fiscal expenditure.

¹ Source: Department of State, Rubottom Files, Lot 61 D 279, "Haiti 1959." Confidential. Drafted by Post. The source text is an uninitialed carbon copy that was not sent. It lists the concurrences of Assistant Secretary of State for Economic Affairs Thomas Mann, Special Assistant for Mutual Security Coordination John O. Bell, and Regional Director of the International Cooperation Administration's Office of Latin American Operations Rollin S. Atwood. According to a memorandum from Snow to Dillon, undated but apparently drafted CIRCA February 12, the International Cooperation Administration had refused to concur in Rubottom's memorandum of February 2 and had indicated instead that a "substantial revision" was needed. An uninitialed carbon copy of the ICA memorandum is attached to the source text.

Economic paralysis and social and political chaos are likely to result unless Haiti immediately obtains financial assistance from abroad. In view of this temporary situation which is important to the security of the U.S., I recommend:

1) The allocation and commitment as grant aid of \$5.5 million from the FY 1959 funds available under the President's Contingency Fund under Chapter III of the Mutual Security Act of 1954,² as amended; or

2) The allocation and commitment as grant aid of \$4 million from the FY 1959 funds available under the President's Contingency Fund and the allocation of \$1.5 million from Special Assistance funds to be available for FY 1960 of the \$4.5 million being requested for Haiti.

In view of the extreme urgency of the case, the possibility that Congress may delay in voting the FY 1960 Mutual Security Program appropriations, and the probability that all the \$4.5 million of Special Assistance will be requested in FY 1960, it is believed that the first recommendation should be followed.

Discussion

Haiti has the lowest per capita income and the heaviest population density in Latin America. The margin between subsistence and hunger is not very great. Haiti does not produce enough food for its population and meets the gap in its requirements through imports. Since 1955 Haiti has been receiving grant assistance under the Mutual Security Program. In FY 1958 Special Assistance of \$2 million was granted and for the current fiscal year an equal amount is programmed of which \$500,000 has already been deposited with the Haitian National Bank. U.S. Special Assistance has been used to give balance of payments support in order to assure an adequate flow of essential imports to the Haitian economy.

With the fall of General Magloire in December 1956 and the resultant political disorder which saw six governments in one year, there was an intensification of capital flight and economic uncertainty. To the above problems, there was added an abnormally low coffee crop for the year of October 1956–September 1957. As a consequence U.S. dollar reserves were virtually depleted and a stabilization program was arranged under which the IMF maintains a resident representative in Port-au-Prince. Since 1957 Haiti has drawn \$3.5 million from the IMF of a quota of \$7.5 million none of which has yet been repurchased.

In FY 1957–58 there was a slight improvement in the Haitian economic situation as a result of an excellent coffee crop and a decrease in political instability under the Duvalier Government which was elected

² For the text see 68 Stat. 832.

in September 1957. Dollar reserves, however, failed to increase to former levels and by the beginning of the current fiscal year in October were only about \$3 million compared with an average of over \$9 million at the same date over the period 1950 through 1955.

Thus Haiti was in a very vulnerable position when the present coffee crop in 1958–59 fell to less than 50 per cent of last year's as a result of adverse climatic conditions in addition to the crop cycle in which small crops normally follow large crops. The decline in coffee production from about 600,000 bags to between 250,000 and 300,000 bags was made even more disastrous by the 20 per cent decline in international coffee prices between the crop years. For Haiti, which normally relies on coffee for 70 per cent of its export earnings, the consequences were critical. In effect a country with a national income of only slightly above \$250 million for 4 million people was faced with a loss of almost \$20 million of that income. This would signify a drop in the standard of living by 8 per cent in one year. Moreover, the Government's budget, which ordinarily obtains about 25 per cent of its revenues directly from coffee export and other taxes, immediately ran heavy deficits which violated the terms of Haiti's Standby Agreement with the IMF and so made Haiti ineligible to make any further use of IMF resources.

In January the Government revised its budget and reduced the anticipated expenditure level by about 18 per cent for the remainder of the fiscal year by cutting salaries by 10 to 20 per cent, by curtailing investment projects and operational costs, and by reductions in defense expenditure. Even then expenditures are expected to exceed revenue by about \$6 million and there appears very little chance that this deficit can be reduced. The Government has no financial resources at its disposal. So far this fiscal year it has borrowed over \$2 million from the National Bank, which is already heavily loaded with Government debt, and further loans from the Bank will only aggravate the crucial dollar payments problem by an inflationary expansion of import demand. As Haiti is one of the few countries with a freely convertible currency and since the foreign sector is relatively large, it is estimated that any given expansion of credit usually creates a proportional 25 per cent demand for foreign exchange. To solve that budgetary problem by recourse to the National Bank, therefore, is not feasible in view of the inadequate level of dollar reserves. In addition, IMF resources would continue to be unavailable to Haiti if there was resort to deficit financing.

The balance of payments situation is desperate. At the present time Haiti has reserve of less than \$1 million, slightly more than one week's imports. With the failure of the coffee crop, the usual seasonal increase in reserves is not taking place and there is actually a continued drain. Only one week ago, the ICA had to disburse \$500,000 of the \$2 million available from FY 59 Special Assistance funds to assure convertibility

of the gourde, the continued flow of essential imports, and the payment of international obligations. It is estimated that Haiti will require \$1 million monthly or a total of \$8 million of external financial assistance from February through September 1959 to maintain international solvency and to import foodstuffs, petroleum, medicines, machinery, and other essentials. Part of this \$8 million requirement can be met from the \$1.5 million of remaining Special Assistance funds from this fiscal year. It is hoped that \$1 million can come from the IMF under the terms of a revised standby agreement which recognizes the changed situation because of the small coffee crop. The IMF money, however, will most probably not be available unless Haiti meets the internal financial criterion of a balanced budget. There remains \$5.5 million, assuming the utilization of the IMF million, that Haiti must obtain if we are not to have the imposition of exchange controls and devaluation and resultant economic, political and social chaos as the import flow is sharply reduced. In the face of such a critical situation, which I believe to be a temporary emergency affecting U.S. interests and security, it is recommended that immediate action be taken to assure Haiti a minimum essential level of imports to September 30, 1959 by either of the following measures:

- 1) The allocation and commitment as grant aid of \$5.5 million from the FY 59 funds available under the President's Contingency Fund under Chapter III of the Mutual Security Act of 1954, as amended, or

- 2) The allocation and commitment as grant aid of \$4 million from the FY 59 funds available under the President's Contingency Fund and the allocation of \$1.5 million from Special Assistance funds to be available for FY 60 of the \$4.5 million being requested for Haiti.

In view of the extreme urgency of the case, the possibility that Congress may delay in voting the FY 60 Mutual Security Program appropriations, and the probability that all the \$4.5 million of Special Assistance will be required in FY 60, it is believed that the first recommendation should be followed.

In closing I would like to point out some political consequence of a collapse in Haiti. This country is the only Negro republic in Latin America. The rising nationalities of Africa are well aware of the close relationship which has existed between Haiti and the U.S. Failure on our part to give effective assistance at this critical time is likely to be regarded most unfavorably among those countries in Africa which are now independent and those which will soon become so. The maintenance of political stability in the Caribbean is important to our security, and we should try to alleviate the causes of unrest in that area. Since the Duvalier Government was duly elected by Haitians in elections as free as could be expected by Haitian standards and President Duvalier has taken steps to reconcile the political opposition, including a promise to give up his emergency decree powers, our financial assistance would

also appear to be working in favor of a greater degree of responsible government in Haiti. We expect to reach agreement with the Haitian Government on procedures which will assure that U.S. financial aid will be utilized efficiently and effectively.³

³ On February 13, Atwood submitted to Acting ICA Director Leonard J. Saccio a separate memorandum addressed to Under Secretary of State for Economic Affairs Douglas Dillon, that recommended, among other points, that up to \$6,000,000 of special assistance funds be made available to the Haitian Government as emergency foreign exchange and budget assistance. Atwood's memorandum emphasized that the Haitian Government had "proved itself unable or unwilling to resolve its own administrative and budgetary problems" and that as prerequisite to receiving the special assistance, Haiti must accept a system of strict controls and supervision. On February 17, Saccio forwarded Atwood's memorandum to Under Secretary Dillon with a covering memorandum indicating approval of Atwood's memorandum with the provision that the proposed controls described in the memorandum be amended to obtain the approval of Haitian Finance Minister André Theard who was then in Washington. (Carbon copies of Atwood's memorandum of February 13 and Saccio's covering memorandum of February 17 are in ARA Special Assistant's Files, Lot 60 D 371, "Haiti") The Department of State's Bureau of Inert-American Affairs, in a memorandum from Snow to Dillon of February 18, agreed to the \$6,000,000 level of financial assistance but objected to ICA's characterization of Haiti's inability to manage its own affairs and found several of ICA's proposed controls an undue interference in internal Haitian affairs. (ARA Special Assistant's Files, Lot 60 D 371, "Haiti") On February 24, Finance Minister Theard and ICA Acting Director Saccio exchanged letters providing for a United States pledge of \$6,000,000 in special assistance funds and a Haitian agreement to a revised list of controls and supervision. The Department of State transmitted the text of the notes to Embassy Port-au-Prince in telegram 309 on February 21. (738.5-MSP/2-2159)

For the text of the announcement contained in press release 138 of February 24, see the Department of State *Bulletin*, March 16, 1959, p. 380.

HA-11. Telegram from the Ambassador in Haiti (Drew) to the Department of State¹

Port-au-Prince, February 27, 1959, 2 p.m.

321. Deptel 317.

I have finally come to share the opinion held by U.S. Government officials in Haiti, my diplomatic colleagues and overwhelming majority

¹ Source: Department of State, Central Files, 738.00/2-2759. Confidential; Priority. Department telegram 317 to Port-au-Prince, February 25, requested the Embassy to report official and public reaction to the announcement that the United States was extending budgetary support to Haiti. The Embassy was also asked for its evaluation concerning the current stability of the Duvalier regime and the possibility of strengthening its popular bases of support. (738.5-MSP/2-2459)

Haitians of all walks of life that prospects of long-term survival of Duvalier regime are at present time poorest since his inauguration October 1957. Reasons are many and complex internal reasons may be summarized as follow:

(1) Desperate economic-financial situation stemming from heritage previous administrations aggravated by poor current coffee crop with sharp unseasonal decline in foreign exchange and government revenues.

(2) Bad administrative practices and management of government machinery leading to almost total failure administration and constructive projects despite glowing promise.

(3) Politically President Duvalier has succeeded in alienating practically all groups including not only supporters of this political opponents, but many patriotic Haitians initially prepared support him if given a chance, has estranged both influential Catholic Church and some Protestant groups and due largely excessive brutality secret police has won enemy all classes ranging from wealthy elite to black masses followers of ex-President Fignole.²

(4) He has ruthlessly trampled on civil liberties through suppression independent press and tolerated, If not directed, brutalities by secret police. Latest incident of savage beating responsible business man by officer of President guard culminates long record of brutality and has undone any possible good effect of relaxation harsh police measures in January this year.

(5) President has almost entirely neglected any effort develop his own popularity. He remains largely isolated from population, holding court alone in palace with almost no attempt through public appearances in Port au Prince or provinces to broaden base his support. His furtive secretiveness probably overlaid with large measure primitive superstition has alienated most decent supporters, leaving him surrounded by small palace clique of persons of lowest possible result. Believe it is now too late for Duvalier succeed broadening base his popular support.

Externally principal elements are:

(1) The political alliance between Dejoie and Fignole has shaken government and holds greatest potential threat to regime.

(2) Propaganda activities and threats of invasion from Dejoie and followers from Cuba are encouraging enemies and triggering many to abandon ship they believe will sink.

² Daniel Fignole briefly served as the Provisional President of Haiti between May 26 and June 14, 1957.

(3) The ill-concealed hostility of Castro in Cuba and Betancourt in Venezuela is further comforting exiles those countries and opposition at home.

(4) December 22 alliance with Trujillo is proving serious liability at home and abroad.

Despite all the foregoing it must be recognized that Duvalier has skillfully concentrated power including arms and ammunition in Presidential guard and secret police with Army practically leaderless and powerless. It is obviously impossible forecast how or when his overthrow will occur but hostile landing on coast might well provide spark leading to mass uprising now only restrained by fear secret police. Given his fanatic character and messiah-like complex I see no chance he will abandon reins of government peacefully. Also working his favor is absence any one political figure capable holding country together. While many names mentioned by opposition there is general feeling that neither Dejoie, Fignole nor Jumelle could stay in office long and that only a junta or committee public safety (U.S. support being assumed) following his overthrow could maintain order and hold new elections.

Also strengthening his position are U.S. aid and recent developments in field foreign investment although generally believed this assistance will only delay his inevitable downfall.

Director USOM and [*text not declassified*] concur.

Drew

HA-12. Telegram from the Acting Secretary of State to the Embassy in Haiti¹

Washington, March 3, 1959, 8:58 p.m.

335. Embtel 321.²

Department appreciates analysis in reftel and requests country team follow up analysis with recommendations for action which might

¹ Source: Department of State, Central Files, 738.00/3-359. Confidential; Niact. Drafted by Warner; cleared with Wieland and John C. Hill, the Special Assistant to the Assistant Secretary of State for Inter-American Affairs; and signed by Rubottom. Robert Donhauser, Special Assistant to the Deputy Under Secretary of State for political Affairs, was informed of the telegram's content.

² See Document HA-11.

be appropriate in circumstances, keeping in mind U.S. policy objectives in Haiti of fostering economic growth and financial equilibrium within framework political stability and responsible government. Pursuant recent recommendations from Embassy on specific problems (despatch 338 re USMC mission, Embtels 311, 290 re financial emergency³) Department had acted on premise best hope for stability and progress in Haiti is to work with present constitutional government to solve specific problems. Does country team believe this premise still valid? If not, Department solicits recommendations for change in U.S. approach to problems Haiti.

Meanwhile, Department believe recent constructive U.S. action alleviate financial crisis in Haiti provides good basis for approach to President Duvalier along following lines. (1) We have been closely observing developments and doing all we properly can assist constitutionality stability in Haiti by working out Marine Corps training mission, emergency financial aid, increased technical cooperation program, surplus food program, [illegible in the original] vessel visits and taken other steps to aid GOH in alleviating distress of Haitian people. In doing so, we have tried avoid involvement in internal Haitian political affairs and with that in mind came to understanding with President Duvalier in September 1958 to guard against military training assistance being misinterpreted as political interference. The President should be reminded of his understanding at that time to take steps to allay political tensions and of our having reserved right to curtail activities or withdraw mission in case of internal political violence. (2) While mindful of outside pressures on his government which we seeking to allay, we are troubled by recent developments which appear run counter to September understanding and give color opposition charges GOH relies on force not popular support and which hinder our efforts in behalf of Haitian stability. As appropriate you should mention such examples as (a) press reports quoting Cuban police authorities that gunmen recently arrested in Cuba say they were hired to kill Dejoie and other Haitian exiles; (b) reports from press and other sources of one alleged Dejoieist killed and another severely beaten in Port-au-Prince recently, and other apparently unwarranted political reprisals, despite January assurances given by President; (c) Department further seriously concerned over statements widely attributed to President Duvalier published in press of Haiti and elsewhere (and not disavowed to date) and with damaging repercussions, that President called on his followers to “chop off heads and burn houses” if revolutionary attack made. This interpreted as invitation to indiscriminate, unrestrained mob violence and has deeply shocked responsible U.S. opinion. (3) We have felt constrained to discuss these matters with President in

³ None printed; filed respectively under 738.58/2-1859, 398.13/2-1759 and 838.10/1-2259.

light September understanding and, in doing so, to point out again that growing adverse reaction in U.S. and elsewhere to such developments creates serious difficulties for U.S. in its efforts assist GOH to overcome pressing financial and economic problems. (4) Ambassador might also refer in course interview to adverse reaction in U.S. and elsewhere to unprecedentedly close rapprochement between Haiti and Trujillo especially view widespread and growing intensity of anti-Trujillo campaign in Caribbean and rest of hemisphere.

Department understands President Duvalier plans major pronouncement at Cap Haitien March 5. (FYI Val Washington⁴ has told Department he plans arrive Haiti March 4 and have frank discussion with President Duvalier on situation). If Ambassador concurs in making approach to President along lines given above, Department believes most desirable this be done prior March 5 in hope President Duvalier might be guided by such views in making whatever pronouncement he has in mind. Department expressed views similar to paragraphs two and three to Ambassador Bonhomme here last week who promised convey to President Duvalier.

⁴ Member, Republican National Committee.

HA-13. Despatch from the Ambassador in Haiti (Drew) to the Department of State¹

Port-au-Prince, March 11, 1959.

No. 384

Ref: Department's telegram No. 335, March 3, 1959.²

SUBJECT

United States Policy Toward Haiti.

After protracted reflection and consultation with members of the Country Team, the following observations are submitted on the Department's question whether the Embassy has any recommendations to make for changes in United States policy toward Haiti.

¹ Source: Department of State, Central Files, 738.00/3-1159. Confidential.

² See Document HA-12.

It is my opinion that there should be no change in our present policy of extending financial assistance to the Haitian Government in the hope of avoiding the chaos which would inevitably ensue if the Government of President Duvalier were violently overthrown. It is believed that none of the principal opponents of Dr. Duvalier could either hold office or work together for more than a brief period, if at all, following his downfall. Furthermore, in such an event, it is believed that there would inevitably follow a period of chaos and widespread disorders before some semblance of a stable Government could be installed. It can also be speculated that such conditions might lead to some form of intervention from the neighboring Dominican Republic, and possibly other countries in the Caribbean area. It would be superfluous to point out that any such developments would be contrary to our objectives in Haiti and the hemisphere as a whole.

Given this assumption, it is obvious that the only alternative to such developments is to continue to extend aid to the present Government of Haiti. The first concrete announcement of the recent decision to extend budgetary support in the amount of \$6 million, which appeared in the *New York Times* of February 28, and was subsequently announced by President Duvalier in his speech at Cape Haitian on March 6, has already strengthened him both at home and abroad. While I believe it is much too early to predict that even if wisely used this aid will enable him to last out the remaining 4 ½ years of office, it does appear to have confounded his political opponents both within and without the country and to have given him a new feeling of confidence. In effect, Dr. Duvalier apparently feels that this aid represents the seal of approval on his Administration by the American Government. It can only be hoped that he will make good the promises contained in his March 6 speech of embarking on an era of conciliation. Such efforts on his part in many directions will come much too late. It is not believed that anything he could do would ever win the collaboration of either Déjoie, who has been ruined economically and was for a time under sentence of death with a price on his head, or Fignolé, many of whose followers have been persecuted, or Clément Jumelle, who is still in hiding and two of whose brothers were shot down by Duvalierist police.

To what extent our aid has discouraged revolutionary plotting by his opponents abroad cannot be assessed by the Embassy, but based on the reaction internally it is not unlikely that they have at least been discouraged.

Conversely, were we now to withhold aid from Duvalier during the present period of crisis, it would in a sense constitute negative intervention just as much as if we were to intervene in a positive manner to overthrow his Government through extending aid and comfort to his enemies.

Still a further consideration of great importance in assessing our policy toward the Duvalier Administration is the effect which developments here involving the relations between the two countries would

have on our prestige in the emerging African countries, as well as the colored people of Asia. While very possibly few, if any, citizens of Ghana, Indonesia, or Thailand could identify the present Chief of State of Haiti, the existence of even a brief period of chaos in the oldest independent colored country located on our doorstep would be interpreted as a failure on our part in the field of international relations and would undoubtedly be exploited by communist parties in that part of the world. In other words, we cannot afford to let Haiti "go through the wringer".

It would be far too optimistic to forecast now that the aid we have already given will pull this Administration through its allotted course or that it will be the last aid we will be called upon to extend. However, it is my considered opinion that for better or for worse, both on grounds of moral principle and political expediency, we had no option but to follow the course we have elected to pursue up to now. To what extent we can continue to prop up this Government in the interest of both Haiti and United States is a question which will have to be answered when the time comes.

Gerald A. Drew

HA-14. Telegram from the Acting Secretary of State to the Embassy in Haiti¹

Washington, May 30, 1959, 7:07 p.m.

451. For Ambassador from Rubottom.

Besides genuine concern which Department has for health of President Duvalier due his high office and long and friendly association with United States in various capacities, there is deep preoccupation

¹ Source: Department of State, Central Files, 738.00/5-3059. Secret; Niact; Limited Distribution. Drafted by Rubottom and initialed by Wieland. On May 27, Ambassador Drew informed the Department of State that he had learned from Haitian officials in strictest confidence that President Duvalier had suffered a coronary occlusion during the evening of May 24 and that his condition continued to be grave. (Telegram 415 from Port-au-Prince, May 27; 738.11/5-2759) In response to a request from Haitian officials for United State medical assistance, the Department of State arranged with the Department of Defense for the Chief Cardiologist at Guantanamo Bay Naval Base to proceed with special equipment to Port-au-Prince on May 29. Documentation is in file 738.11. Following his recovery, President Duvalier sent a letter to President Eisenhower on July 13 personally thanking the President, the Department of State, and Ambassador Drew for their assistance during his illness. (738.11/7-2359)

here that unless President recovers quickly Haiti may sink back to politically unstable morass such as followed overturn Magloire. Prospect of Cabinet rule as called for by Constitution in event incapacity President is unpromising, especially if head of Secret Police, irrespective his personal qualities, is locus real power. Knowledge abroad of Barbot's exercising authority would also contribute to further bad public relations for Haiti which has been a continually adverse factor in trying to normalize relations that country. Presumably Cabinet would have power to appoint Barbot to some official position but this is internal Haitian matter. Your view on this requested. Also, should President die, do you think there would be immediate contest for power notwithstanding constitutional provision that head Supreme Court assume Presidency? Request your views urgently regarding personal qualities Nicoleau of leadership and whether he could be expected to hold on to Presidency.

In view above, U.S. should try assume effective guiding role at this critical juncture in Haitian affairs. Believe all responsible Haitian should be urged to lay aside personal ambitions and permit orderly constitutional processes to be carried out should this become necessary. They should understand clearly (and you authorized use this line in talking with members of Government and others in your discretion) that ability of United States to continue its programs of assistance to Haiti will repeat will depend on their joining forces to provide orderly and peaceful transition of power if such unfortunately becomes necessary.

As you know, Mutual Security legislation is now under active debate in U.S. Congress and before U.S. public. Our programs for Haiti, including special assistance and the Marine Corps Training Mission, have been the subject of repeated informal discussion and review before the Senate Foreign Relations Sub-Committee on Latin America and the House Foreign Affairs Sub-Committee on Latin America. These programs have been presented to the Congress and to the U.S. public as "calculated risks". It would be regrettable if Haiti were now to show itself incapable of maintaining orderly processes of government. Should political instability ensue, Department's position in support of above-mentioned programs would be in grave jeopardy.

Murphy

HA-15. Telegram from the Ambassador in Haiti (Drew) to the Department of State¹

Port-au-Prince, July 8, 1959, 7 p.m.

10. Foreign Minister Mars sent me note dated July 8 to say GOH instructing Ambassador Bonhomme officially request U.S. help preserve its neutrality and territorial inviolability during present Caribbean crisis.² Bonhomme authorized inform Department GOH making its port and airports available to permit U.S. armed forces patrol Haitian waters and air space since Haiti does not have material resources with which protect itself from invasion (Embassy telegram 6).³ GOH making request pending OAS collective action re-establish peace in Caribbean and for purpose remaining out of quarrel presently dividing certain members American family and permitting Haiti once again clearly demonstrate its support principles non-intervention.

GOH has no objection to publicity this demarche. Note by pouch.

I aware our firm policy of collective action through OAS to preserve peace of hemisphere and reluctance our part undertake unilateral action which might give rise to old cry of big stick diplomacy. However, the fuse is burning fast and the powder keg in this part of Caribbean may blow up before we can get effective collective action through OAS or proposed MFM.⁴ Haiti is clearly peace-loving state with no aggressive designs on anybody and I feel we could make good case for prompt effective action to protect her shores from threatened invasion. Knowledge on part of would-be invaders we have set up protective

¹ Source: Department of State, Central Files, 738.5/7-859. Confidential; Priority. Repeated for information to Habana and Ciudad Trujillo.

On July 2, the Dominican Republic had requested the assistance of the Organization of American States following the landing of revolutionary expeditions in its territory. For additional information, see Document DR-8, for documentation relating to the Fifth Meeting of Consultation of the Foreign Ministers of the American Republics, held at Santiago August 12-18, 1959, Chile, to consider rising tensions in the Caribbean, see Documents CH-23; CR-24; PR-11; VE-34.

On July 8, Ambassador Drew reported that Foreign Minister Mars had informed him that the Haitian Government was extremely concerned about reported Cuban and Costa Rican preparations for an invasion of Haiti preliminary to a renewed attack on the Dominican Republic. (Telegram 8 from Port-au-Prince; 738.00/7-859)

² On July 9, the Embassy at Port-au-Prince transmitted to the Department of State the text of Foreign Minister Mar's note of July 8 in despatch 9. (738.5/7-959). The note from the Haitian Embassy to the Department of State, dated July 9, is filed under 738.00/7-959.

³ Telegram 6 from Port-au-Prince of July 7 contained a report emphasizing the scarcity and poor state of Haitian military equipment. (738.5/7-759)

⁴ Reference is to the Fifth Meeting of OAS foreign minister held at Santiago, Chile.

patrol area off Haitian coast and around island would in my opinion be surest possible deterrent to threatened invasion.

Drew

HA-16. Telegram from the Acting Secretary of State to the Embassy in Haiti¹

Washington, July 10, 1959, 7:57 p.m.

24. Embtel 10 and Deptel 20.²

Department most sympathetic plight Haitians and will do all possible be responsive their request. Outcome present OAS consideration Caribbean problem not yet clear and in view categoric assurances Castro that no expeditions will be launched from Cuba, read to OAS committee today by Cuban Foreign Minister Roa, Department feels some of heat is off if for no other reason than attention of hemisphere countries being focused on Cuban performance this regard.

Although risks are involved, Department believes that patrol as requested by Haitians should not be established at this juncture. Possibility such patrol being kept under consideration but immediate steps being limited to following: (1) Navy will hold USS Barry in Port-au-Prince two or three days beyond scheduled Sunday departure (we considering requesting that vessel this type be maintained Port-au-Prince for duration immediate crisis) and (2) Navy arranging visit of destroyer-type vessel to Cap Haitian, to arrive Monday morning.

Request Ambassador inform Foreign Minister that Department giving active and high-level consideration Haitian request with full awareness emergency conditions, that Cuban FonMin again committed his government to non-intervention policy today in OAS and that pending final decision on Haitian request, Navy taking two steps described

¹ Source: Department of State, Central Files, 738.00/7-1059. Confidential; Priority. Drafted by Little; cleared in draft with Rubottom and John C. Dreier, Acting Director of the Office of Inter-American Regional Political Affairs; cleared in substance with Captain R. Kefauver, Head of the Western Hemisphere Branch of the Office of the Chief of Naval Operations; and signed by Wieland. Donhauser was also informed of the telegram's substance.

² Telegram 10 from Port-au-Prince is printed as Document HA-15. Telegram 20 to Port-au-Prince, transmitted on July 9, informed the Embassy that the Haitian Chargé Gaston Woel has delivered a note to the Department of State, the substance of which had been accurately summarized in telegram 10 from Port-au-Prince. (738.00/7-859)

above. Request Embassy arrange clearance ship visit to Cap Haitian. Department passing similar info to Bonhomme Saturday³ morning.

Herter

³July 12.

HA-17. Memorandum of Conversation, Department of State¹

Washington, July 20, 1959

SUBJECT

Delivery of note in reply to Haitian request for U.S. assistance

PARTICIPANTS

Ernest Bonhomme, Ambassador of Haiti
ARA- Mr. Rubottom
CMA-Norman E. Warner

Ambassador Bonhomme was invited to call in order that Mr. Rubottom might deliver our note dated July 20² in response to the Haitian Embassy's note of July 9³ requesting United States assistance to safeguard Haiti's neutrality and independence. Ambassador Bonhomme did not open the note and read it during the conversation and therefore did not comment directly on it.

Mr. Rubottom opened the conversation by stating that we have fully shared Haiti's concern over the Caribbean situation and reports of plotting directed against Haiti. He stated that the Ambassador and his Government may not have been aware of this but he, Mr. Rubottom, had many talks with officials of other Latin American governments during the past several months concerning the situation and particularly Haiti's plight in being caught in the middle. He mentioned specifically having talked with the President and foreign Minister of Venezuela and with the Cuban Ambassador⁴ here. Mr. Rubottom said that we in the

¹ Source: Department of State, Central Files, 738.00/7-2159. Confidential. Drafted by Warner on July 22.

² Not printed; 738.00/7-959. The note expressed United States concern over current dangers and confidence in the Organization of American States to find a solution to them.

³ See footnote 2, Document HA-16.

⁴ Rómulo Betancourt, Ignacio Luis Arcaya, and Ernesto Dihigo, respectively.

United States know that it is difficult to fully control political activities against other countries and that the regrettable expedition against Haiti in July 1958 which had left from United States soil was an example of this (Mr. Rubottom again expressed our deep regret over this occurrence). Mr. Rubottom noted that we understand that Haiti has been bringing to the attention of other governments any information it has on activities in those other countries which it believes threaten Haiti. Mr. Rubottom expressed our hope that effective action will be taken through the Organization of American States to allay present Caribbean tensions. He said, however, that should this recourse not prove to be adequate then the United States would have to consider whether other measures would be required. He remarked that we are disturbed over the irresponsible attitude taken by a small number of individuals, or governments, in Latin America.

Concluding the foregoing remarks, Mr. Rubottom asked for the Ambassador's views on the present situation to which the latter replied that the Haitian Government is still very concerned over reports of impending invasions. The Ambassador said that the situation in Haiti is "volatile" and that some persons, even in the Cabinet, think anything might happen.

The visits of U.S. Naval ships to Haitian ports was also mentioned by Mr. Rubottom as a gesture of U.S. friendly concern for Haiti in present circumstances.

In response to Mr. Rubottom's query as to the crop outlook, the Ambassador said that it looks like a "bumper" coffee crop which will ripen early. The Ambassador mentioned also his Government's hopes that the proposed sugar mill in northern Haiti will be financed by the Development Loan Fund since completion and operation of this mill would furnish new employment in that area and make an important contribution to Haiti's economy generally. Mr. Rubottom recalled his discussion of this with Ambassador Bonhomme last month and noted that the Department has done what it can to move this matter forward as rapidly as possible. He said that he does not like to make predictions but he hopes that a decision will be reached shortly.

In response to Mr. Rubottom's inquiry as to President Duvalier's health, Ambassador Bonhomme said he had seen the President when he was in Haiti two weeks ago and found him looking better than he had expected. He said the President has been getting around town in an automobile and even had a slight accident. The Ambassador believes the President will have to avoid henceforth the "killing pace" he had set for himself before and that the President will have to delegate more responsibly to others. *The Ambassador said that the President feels that Ambassador Drew saved his life by getting a specialist over from Guantanamo to examine him.*⁵ He described the relations between the President and

⁵ The emphasis appears in the source text.

Ambassador Drew as very close and warm and said this applies also to relations between their respective subordinates and associates such as Foreign Minister Mars and the President's "special assistant Barbot" on the one hand and Mr. Yoe and Col. Heintz on the other. Mr. Rubottom expressed gratification over the President's recovery and the good working relations we have in Port-au-Prince.

Mr. Rubottom mentioned that we have heard rumors of impending Cabinet changes. Ambassador Bonhomme said he thinks a few changes may be made but that there will not be a general "shake-up". He thinks that Finance Minister Theard and Foreign Minister Mars will be retained. He remarked that Theard is under very heavy pressure because of the financial and fiscal stringency which he must impose. Referring to recent differences between the Senate and the Cabinet, Ambassador Bonhomme commented that some criticism is necessary and that he thinks is a healthy sign of vitality.

HA-18. Memorandum of a Conversation, the White House, Washington¹

August 4, 1959

SUBJECT

Call on President Eisenhower by the Ambassador of Haiti, Ernest Bonhomme.

PARTICIPANTS

The President
Ambassador of Haiti, Ernest Bonhomme
R. R. Rubottom Jr., Assistant Secretary of State for Inter-American Affairs

After being greeted by the President, the Ambassador handed him a note (in French only)² in which President Duvalier expressed appreciation for the President's efforts on behalf of world peace and offered military cooperation from Haiti in the form of military bases as well as such other

¹ Source: Department of State, Central Files, 611.38/8-459. Official Use Only. Drafted by Rubottom.

² In this letter dated July 13, President Duvalier offered allow the United States to establish submarine bases and training camps on Haitian territory. The white House sent Duvalier's letter to the Department of State with a request for a translation. The letter and a copy of the translation as sent to the White House are in Presidential Correspondence, Lot 64 D 174.

cooperation as might serve the common ends pursued by the United States and Haiti.

The Ambassador told the President that President Duvalier was grateful for the role being played by the United States at this momentous juncture of world events and that, while he recognized that the Caribbean was only a small part of the total picture, he still recalled the President's remarks last year that "Peace is indivisible". The Ambassador said that cooperation should be a two-way street and in view of that being extended by the United States, Haiti wanted to reciprocate, possibly by facilitating the use of its territory by the United States for training in tropical warfare or for a naval base, perhaps with submarine facilities.

The President asked whether there was any particular site that the Haitian President had in mind. The Ambassador recalled that San Nicolás had always been considered to be an excellent prospective base site and that there were other secure areas available.

After expressing thanks for the proffered Haitian cooperation, the President said that the U.S. approached the problems of the Americans, other than those of a bilateral nature, through the Organization of American States. The United States is hopeful that the upcoming meeting in Santiago on August 12 will contribute to a solution to the problem of the Caribbean. It is our hope at least that the meeting will prevent the problem from becoming any more serious since, unfortunately, outright solutions to problems sometimes elude us. The President said that the Departments of State and Defense would have to give detailed study to President Duvalier's specific offer. This may require some time, so that a definitive reply may not be forthcoming until after the meeting in Santiago.³ He said that he would send an acknowledgment promptly, however.

The President told the Ambassador of his pleasure on being informed of the recovery of President Duvalier from his recent heart attack. After thanking the President for receiving him, the Ambassador departed.

³ In a memorandum of September 19, acting Secretary of State Douglas Dillon informed President Eisenhower that the Department of State in consultation with the Department of Defense had completed its study of President Duvalier's proposal and had determined that "there is no present or anticipated requirement for a permanent military installation in Haiti, although it would be useful to have access to sites suitable for intermittent amphibious training. (Eisenhower Library, Whitman File, Administration Series, "Dillon, C. Douglas") Eisenhower initialed the memorandum. On September 22, the Department of State instructed the Embassy at Port-au-prince to inform President Duvalier of the United States decision as described in Dillon's memorandum. (Airgram G-3 to Port-au-Prince; 711.56338/7-1459)

HA-19. Memorandum from Albert Post of the Office of Inter-American Regional Economic Affairs to the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, October 14, 1959.

SUBJECT

Additional Requirement for Special Assistance for Haiti for Period October 1959 - September 1960. (FY 60)

Summary and Recommendations

It is expected that Haiti will require reduced Special Assistance in FY 60 mainly owing to substantially larger coffee exports, which will increase from 270,000 bags valued at \$11.5 million in FY 59 to about 580,000 bags valued at \$22 million. A balance of payments gap of \$5.4 million in FY 59 is now anticipated to change to a surplus of \$3.6 million. However, capital flight and unreturned export earnings will sharply reduce any surplus. Since dollar reserves are now at historically low levels, it is believed that a \$2 million increase in such reserves will be necessary in order to cope with anticipated low export earnings for FY 61. The IMF on September 30 renewed its standby with Haiti requiring a balanced budget, reductions in official debt, credit restriction, and a balance of payments surplus.

It is recommended that financial assistance to Haiti be made available as follows:

(1)² that a total of \$5 million of Special Assistance be granted for FY 60 (compared with \$8 million for FY 59) of which \$3.5 million be committed from U.S. FY 60 funds (\$2 million still remains available from the \$4.5 originally secured) and \$1.5 million from U.S. FY 61 funds. Since Haiti drew \$2.5 million in FY 59 from the IMF and no drawing is anticipated for FY 60 compensatory financing will in effect decline from \$10.5 million to \$5 million.

(2) that the gourde counterpart of U.S. Special Assistance be used by the USOM in cooperation with GOH for sound economic development projects. In FY 59 the gourde counterpart of \$6 million (G30 million) was granted for budget support; no funds should be used

¹ Source: Department of State, ARA/BCP Files, Lot 64 D 353, "Various AMB Turkel Memos 1959-1960." Official Use Only. Cleared with Wieland; sent through Harry R. Turkel, Director of the Office of Inter-American Regional Economic Affairs. A notation on the source text by Rubottom reads: "Approved. R[oy] R[ubottom]."

² All references are to Haitian FY beginning October 1 and ending September 30. [Footnote in the source text.]

for this purpose in FY 60 since GOH revenues are based on a “normal” production years.

(3) that the disbursement of special Assistance funds be made by the USOM Director in accordance with previous practices and criteria established jointly which will be governed by an exchange of letters with the Minister of Finance and the President of the National Bank.

A detailed justification for those recommendations is given in the following discussion.

[Here follows eight pages of discussion of the recommendations indicated above, omitted for Reasons of space.]

HA-20. Memorandum from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Secretary of State¹

Washington, May 31, 1960.

SUBJECT

Suggested Letter from President Eisenhower to Haitian President Duvalier concerning Consultation on Cooperative Development Program.

Discussion

A special mission is being sent to Haiti about June 2 to consult with Ambassador Drew and President Duvalier on problems affecting the economic development program there. It would contribute to the success of this special mission if President Eisenhower would send a letter to President Duvalier on this occasion. The suggested text of such a letter and a memorandum concerning this proposal are attached for your review and forwarding to the President, if you approve.² If the message is approved, it is recommended that it be released only on the initiative of President Duvalier.

Serious problems have disrupted our cooperative development program in Haiti in recent months, culminating on May 25 in “popular” demonstrations apparently inspired by the Haitian Government

¹ Source: Department of State, Rubottom-Mann Files, Lot 62 D 418, “Haiti 1960.” Confidential; Limit Distribution. Drafted by Warner.

² Neither printed. The memorandum for the President, dated June 1 and signed by Herter, is in the Eisenhower Library, Whitman File, International File.

to force the resignation of key Haitian administrators and technicians engaged in the "Poté Colé" regional development project in northern Haiti. In scope and cost, this is the most important component of the grant-financed cooperative program. The Haitian Government has not yet supplied us with a report as to the circumstances of these demonstrations (although this was immediately requested) or expressed regrets or official concern over the incident as would be normal if it had been contrary to the Government's desires. Meanwhile the absence of these key Haitian employees has brought a number of the "Poté Colé" activities to a temporary halt and jeopardized the entire project.

The most important loan-financed component of the development program (the Artibonite Valley irrigation project) came to a stop in early March following unilateral action by the Haitian Government in dismissing one of the project's top Haitian employees, an engineer, and installing as his replacement a discredited former Public Works Minister who had been fired for malfeasance. Persistent but inconclusive efforts have been made since March to arrive at satisfactory personnel and administrative rules to govern the project, with further disbursements from the Development Loan Fund suspended pending the outcome. On April 20 President Duvalier ordered the project shutdown temporarily; early in May the Haitian Director of the project was forced to resign; a new Haitian Director was then appointed and accepted by us but President Duvalier still has not indicated when he plans to resume work on the project. On May 20, President Duvalier indicated his displeasure over what he considered improper conduct by the senior ICA technical advisor on this project. We plan to withdraw this man from Haiti if the President confirms that he has lost confidence in him; we acknowledged that this technician was indiscreet but we also recognize that his abrupt removal will create serious practical problems in trying to resume work on the project. This man was so well qualified technically and by previous service in Haiti that President Duvalier had specifically requested his return to Haiti as advisor on the Artibonite project.

We are deeply disturbed over various abrupt, unilateral and seemingly irresponsible actions taken by the Haitian Government with respect to these economic development projects which seem vital to the Haitian economy. A variety of motives has been suggested to explain such actions, ranging from a desire for political patronage and personal enrichment through venal appointees to ultra-nationalist impatience over outside "interference" in the Haitian development program. There may have been a few instances of personal friction between American technicians and their Haitian colleagues although working relations have been generally good. We also know that the Haitian Government has become more and more impatient over what it feels are excessive delays in getting action on requests for United States assistance. These

have included applications to the Development Loan Fund, a request for grant military assistance, and recently a request to negotiate an air transport agreement. Haiti may believe that the best way to stimulate more urgent and sympathetic United States action is to make an open show of discontent with the present program.

Despite the difficulties posed by the present situation, we believe every effort must be made to salvage the development program and restore a satisfactory working relationship. Economically, Haiti has more problems and poorer prospects than any other Western Hemisphere republic. Financially, Haiti faces another critical shortfall in foreign exchange receipts in 1961 due to rain damage to next fall's coffee crop during the recent flowering stage. Fiscally, a serious shortfall in government revenues will accompany reduced coffee exports next winter and spring. Politically, the Duvalier administration would be severely strained by a reduction in United States assistance. From the United States point of view continued economic progress and political stability in Haiti are of special importance at this time due to mounting political tension else where in the Caribbean.

In order to probe the Haitian Government's attitude more deeply and determine the outlook for carrying on an effective assistance program, we plan to send a special mission to Port-au-Prince about June 2 to consult with Ambassador Drew and to hold frank discussions with President Duvalier on the development program—its objectives, problems, and ways and means of enhancing its effectiveness.

Ambassador Harry R. Turkel³ will head the special mission, accompanied by Mr. Rollin S. Atwood, Regional Director for Latin American Operations of the International Cooperation Administration.⁴

Recommendation:

That you sign the attached memorandum to the President recommending that he send a letter to President Duvalier concerning the forthcoming visit of a special mission to consult on the cooperative development program in Haiti.⁵

³ Turkel was the United States representative on the Inter-American Economic and Social Council of the Organization of American States, with the personal rank of ambassador.

⁴ Edmund Hutchinson of the Development Loan Fund also accompanied the mission.

⁵ Turkel, Atwood, Hutchinson, and Drew participated in conversations with President Duvalier on June 3 and 4. Eisenhower's letter, which introduced Ambassador Turkel and requested President Duvalier's cooperation in frank discussion, was delivered at the June 3 meeting. As a result of these discussions, on June 7 Rollin Atwood and Haitian Secretary of State Gerald Philippeaux signed an agreement providing for the resumption of work on the Poté Colé project and joint administration of personnel matters. The Embassy at Port-au-Prince transmitted the text of the agreement to the Department of State in telegram 294, June 8. (738.5–MSP/6–860)

HA-21. Memorandum from the Under Secretary of State (Dillon) to the President¹

Washington, June 9, 1960.

SUBJECT

Determinations under Sections 105(b)(4) and 451(a) of the Mutual Security Act of 1954,² as amended, permitting the furnishing of military assistance to Haiti³

The purpose of this memorandum is to recommend that you make the requisite determinations under Sections 105(b)(4) and 451(a) of the Mutual Security Act of 1954, as amended (hereinafter referred to as "the Act"), to permit the furnishing of military assistance to Haiti.

The proposed military assistance is needed principally to increase the capability of Haiti for defense against foreign-based attack such as was launched from Cuba against Haiti in August 1959. The aggressive attitude of the Cuban Government and increasing political unrest in the Dominican Republic make it urgently desirable to strengthen Haiti's capability for defense against new attacks and also to enable it to resist political pressures from these aggressive neighbors. Haiti is especially vulnerable to attack and political pressure because of its geographic position, its military weakness, and the persistent economic and budgetary problems which prevent Haiti from remedying military deficiencies from its own resources. In these circumstances, it is considered to be important to the security of the United States to promote stability in the Caribbean area by furnishing military assistance to Haiti primarily for its legitimate self-defense without regard to the requirement of section 105(b)(4) of the Act that such assistance be furnished only in furtherance of Western Hemisphere defense missions, and secondarily for its internal security upon a determination under Section 105(b)(4) of the Act that internal security requirements may be the basis, in part, of this program.

Enclosed is a detailed discussion of the background and justification of this program, the implementation of which is estimated to require the expenditure of up to \$300,000 of funds available under the Act for military assistance; a small amount of excess equipment may be included.

¹ Source: Eisenhower Library, White House Central Files. Secret.

² 68 Stat. 832.

³ The Haitian Government had requested United States assistance for military equipment in notes from the Foreign Office and the General Staff to the Embassy at Port-au-Prince in early September 1959. (Dispatch 100 from Port-au-Prince, September 5, 1959; 738.5-MSP/9-559)

It is considered that the furnishing of the proposed assistance and the use of funds available there for under the Act are in furtherance of the purposes of the Act and are important to the security of the United States.

IT IS, ACCORDINGLY, RECOMMENDED that you sign the enclosed memorandum which contains the determinations required by the Act in order to carry out the proposed military assistance program to Haiti.⁴

The Secretary of Defense and the Director of the Bureau of the Budget concur in this recommendation.

Douglas Dillon

[Enclosure]

Military Assistance Program for Haiti Requiring Determinations, Under the Mutual Security Act of 1954, as amended.

The assistance proposed for Haiti includes initial equipment and related services for one under-strength infantry battalion at an estimated cost of \$300,000; a small amount of excess equipment may be included. This equipment would include infantry weapons, ammunition, light vehicles and communications equipment, as well as a limited amount of air transport equipment. There will be a continuing modest annual requirement for training materials, maintenance, and spares. This continuing requirement is expected to be financed as grant military assistance and would be dependent upon Presidential determination to provide such assistance in future fiscal years.

In August 1959 a small invasion force (31 men) landed in Haiti from Cuba. Although this attack was defeated, the material deficiencies of the Haitian army became apparent during this action. All of the invaders except two (an Algerian Frenchman and an Argentine newsman) were Cubans and some were Cuban army personnel. Earlier in 1959 armed expeditions had departed from Cuba against Panama, the Dominican Republic and Nicaragua. Prior to the August attack, the Haitian Government had requested the recall of the five Cuban military attachés in Port-au-Prince on grounds that they were implicated in terrorist bombings and other subversive activities. The attachés were also charged with suspicious travel to the Haitian-Dominican frontier regions. Subsequent to the August invasion, the Cuban Ambassador

⁴ On June 14, Eisenhower signed the memorandum containing the Presidential determination. The United States and Haitian Governments entered into an agreement relating to the transfer of military equipment, materials and services to Haiti, through an exchange of notes at Port-au-Prince on September 1, 1960. For the text of the agreement, see 11 UST 2097.

in Haiti returned to Cuba following semi-official Haitian charges of his complicity in the invasion. The Haitian Ambassador in Cuba also returned to Haiti and neither government has since maintained diplomatic personnel in the other's capital (although both governments officially maintained the fiction that relations are normal).

The provocative and irresponsible actions of the Castro Government in Cuba continue to be a source of concern and a serious threat to the security of neighboring countries. Haiti is in an especially vulnerable position because of its physical nearness to Cuba, its military and economic weakness, and its geographical attractiveness as a stepping-stone for a Cuba-based expedition against the Dominican Republic.

The Dominican Republic also poses a continuing threat to Haitian territorial and political integrity. Since 1937, when Dominican forces perpetrated a border massacre in which more than 10,000 Haitians were killed, Trujillo agents have persistently tried to intervene in Haitian affairs. Since the advent of Castro to power in Cuba (January 1959), Trujillo has sought to assure the benevolent neutrality of Haiti in his struggle with Castro and, if possible, to obtain positive support from Haiti against Castro. With United States encouragement the Government of Haiti has thus far resisted heavy pressures from both the Dominican Republic and Cuba. However, the marked increase in domestic unrest in the Dominican Republic in recent months may foreshadow violent political upheavals in that country in the near future. It is believed probable that the Cuban Government would try to take advantage of a revolutionary situation in the Dominican Republic to install a Castro-type régime there. In such circumstances pressures on Haiti from both Cuba and the Dominican Republic would rapidly increase. The dangers to the United States security in the Caribbean are especially serious in view of the Communist influences now evident within the Cuban Government.

It is considered to be in the United States interest to provide Haiti with the military equipment, materials, and services described above using up to \$300,000 of funds available for military assistance in fiscal year 1960. The furnishing of military assistance on a grant basis to any Latin American nation is subject to several conditions. First, under Sections 105(a) and 141 of the Act, the President must determine that the increased ability of the nation to defend itself is important to the security of the United States, and that the furnishing of such assistance will strengthen the security of the United States and promote world peace. Second, Section 105(b)(4) of the Act provides that military equipment and materials may be furnished to a Latin American nation only in furtherance of missions directly relating to the common defense of the Western Hemisphere and that, unless the President determines otherwise, internal security requirements shall not be the basis for such a

military assistance program. Third, pursuant to Sections 141 and 142(a) of the Act, the recipient nation must agree to the undertakings which are specified by Section 142(a) of the Act and normally included in the conventional military assistance agreement. Fourth, under Section 511(c) of the Act, any nation receiving military equipment or materials on a grant basis must make arrangements for the return to the United States of any such equipment and materials when no longer required for the purposes for which furnished.

The first condition has been satisfied. In the President's message on the Mutual Security Program of February 19, 1958,⁵ the necessary findings were confirmed as to countries for which military assistance was then proposed, Haiti being among such countries.

The second condition requires a Presidential determination under Sections 105(b) (4) and 451(a) of the Act to permit the proposed program. While the military assistance proposed to be furnished is designed to bolster Haiti's capacity to resist external aggression, the types of equipment, materials, and services to be furnished would consequentially strengthen the internal security capability of the Haitian armed forces and could be used for internal security purposes. Therefore, it is considered desirable to waive the first of the two above-mentioned requirements of Section 105(b)(4) of the Act and make the determination required by the third sentence of Section 105(b)(4).

The third and fourth conditions have been satisfied also by a military assistance agreement signed with Haiti on January 28, 1955. However, this military assistance agreement does not apply to the assistance here in proposed, namely, the furnishing of military equipment, materials and services to assist Haiti to maintain its legitimate self-defense, without reference to Western Hemisphere defense missions. Therefore, a further agreement will be sought with Haiti to satisfy the conditions required by Sections 141, 142(a) and 511(c) of the Act with respect to the assistance here in proposed.

⁵ For the text of the President's message, see *Public Papers of the Presidents of the United States, Dwight D. Eisenhower, 1958* (Washington, U.S. Government Printing Office, 1959), pp. 160–168.

HA-22. Memorandum from the Acting Director of the International Cooperation. Administration (Saccio) to the Under Secretary of State for Political Affairs (Merchant)¹

Washington, June 20, 1960.

SUBJECT

Budgetary Support for FY 1959–1960 to Haiti.

The Haitian request for budgetary support for the fiscal year ending September 30, 1960 was submitted by a committee representing the Government of Haiti on May 24, 1960. This request was for \$5 million for the months of June, July, August and September, 1960. In view of the size of this request it is doubtful if the provision of \$1 million will do much to satisfy the desires of the Duvalier Government.

The Haitian request for \$5 million includes \$2.4 million for an alleged shortfall of “fiscal” receipts, \$1.3 million for unbudgeted annual payments on international debts and contributions, and \$1.8 million for restoration of salary cuts and other desired expenditures. Both the Embassy and the USCM have recommended a negative response to this request and have reported that the Haitian presentation has not been justified, that there is no reason for expecting a shortfall in fiscal receipts and that the request fails to establish a real need for the aid.

If the \$1 million is made available during the present Haitian current fiscal year, it will undoubtedly results in a demand for at least \$7 million and possibly more for budgetary support for the coming fiscal year 1960–1961. In view of the prospective decline in receipts as the result of a short crop of coffee in FY 1960–1961, some budget support appears likely to be required—but the asking price will be much larger if we provide budgetary support this year when it is not needed.

It must be assumed that supplying \$1 million for the remainder of this fiscal year will be interpreted by the Haitian Government as an indication that its refusal to carry on a constructive development program which the United States is financing is a sure way to secure budgetary support from the United States and will make any constructive program of economic development practically impossible. This is particularly true when it is taken into consideration that during the present fiscal year the Government of Haiti has followed the policy of not only refusing to help itself but of rejecting constructive help designed to bring economic development.

It is believed that if it is considered necessary for political reasons to make available \$1 million for budgetary support during the next two

¹ Source: Department of State, Central Files, 738.5-MSP/7–2060. Secret.

months, then we should be prepared to support the Haitian budget to the extent of some \$6 to \$8 million during the coming Haitian fiscal year and be prepared for the possibility that in addition Haiti will demand a large amount of development funds “without strings”.

In its most recent communication the Embassy has advised:

“Accordingly consider most productive immediate action would be priority shipment to Haiti of weapons and equipment programmed for army’s mobile light infantry battalion, specifically including in initial increment, as means of dramatizing our support and tightening Merceron’s control over outlying units, at least one of helicopters for battalions helicopter platoon. While initial increment weapons and equipment should be sent with minimum delay, phasing in of subsequent shipments should be on call by and under positive control MAAG acting with Embassy concurrence, not only to avoid glutting but to assure maximum leverage all times. If this recommendation approved, MAAG will initiate immediate request for weapons, training, ammunition, and equipment to be included in initial increment.

“As related matter, of importance only secondary to support of army infantry battalion, consider that immediate grant to Haiti under MAP of C-47 aircraft for air corps, to be used for military airlift and by Cohata, would have important impact on army generally, on air corps specifically, and would be widely recognized as tangible evidence our support.”

We strongly recommend the Department accept views of officials on the ground, namely, that the United States (1) not provide any budget support for Haitian FY 1960–1961, and (2) provide military weapons and equipment and C-47’s mentioned above.²

L. J. Saccio

²In a letter to Acting Director Saccio of July 22, Under Secretary Merchant acknowledged the unsatisfactory conditions that existed in Haiti but advised: “I remain of the opinion that on foreign policy grounds directly related to the Cuban situation we should make available to the Government of Haiti \$1 million for budgetary support during the next two months. This should be done without any commitment whatsoever, in our own minds or implied, otherwise to continue budgetary support thereafter. I ask, therefore, that on this understanding ICA proceed to make the necessary arrangements in collaboration with Assistant Secretary Rubottom.” In regard to Saccio’s recommendation concerning military equipment, Merchant offered his support and stated that the Department of State was working closely and urgently on the matter with the Department of Defense. (738.5–MSP/7–2060)

On July 29, the Embassy at Port-au-Prince was informed of the decision to make available \$1,000,000 to the Haitian Government for budgetary support during the following two months in ICATO 34, and Department of State telegram 29, filed respectively under 838.10/7–760 and 738.5–MSP/7–2960.

Ambassador Bonhomme during a meeting with Ambassador Turkel on August 12 to discuss the United States offer of budgetary assistance, stated that President Duvalier considered the sum of \$1,000,000 to be inadequate and needed an additional \$1,500,000 immediately. Turkel told Bonhomme that he saw no possibility of increasing the amount offered. (Telegram 47 to Port-au-Prince, August 12; 738.5–MSP/8–1260).

HA-23. Memorandum of a Conversation, Department of State¹

Washington, June 28, 1960.

SUBJECT

Haitian-United States Relations

PARTICIPANTS

Ambassador Ernest Bonhomme

CMA – Mr. Wieland

CMA – Mr. Warner

Ambassador Bonhomme called at 4:00 pm by invitation and the ensuing conversation lasted an hour and a half. It was a wide-ranging exchange of views on this United States assistance program in Haiti, with President Duvalier's speech at Jacmel last week, as the starting point. Neither Ambassador Bonhomme nor the CMA officers had yet seen the text of President Duvalier's remarks, but only newspaper articles concerning it. Highlights of the discussion are the following paragraphs.

Ambassador Bonhomme was unable to explain why President Duvalier had chosen to express himself on United States assistance in this public way in Haiti. The Ambassador only commented that the occasion was the dedication of a wharf built with the assistance of private United States firms. His implication was that this occasion pointed up the contrast between private and official United States efforts to help Haiti. The Ambassador thought that press efforts to portray President Duvalier as calling for a choice between the United States and Soviet Union had been a misinterpretation of his words.

Mr. Wieland asked what were the Ambassador's views on how to put matters back on the tracks. The Ambassador paused, then replied that he supposed the President was awaiting some results from the "Special mission" he had entrusted to Ambassador Turkel when the latter visited Haiti.²

¹ Source: Department of State, Central Files, 738.5-MSP/6-2860. Confidential. Drafted by Warner.

² On June 24, the Embassy at Port-au-Prince reported that the central theme of President Duvalier's speech of June 21, made on the occasion of dedicating the Jacmel Wharf, was his disappointment with the meagerness of United States aid. In the speech, Duvalier admitted that his efforts to improve the general welfare had not yet succeeded, but blamed the lack of progress not on government efforts but on the inadequacy of United States assistance. The Embassy commented that while public reaction interpreted the speech as anti-American and a strong warning to the United States, the speech was only a public reiteration of views that the Haitian Government had been expressing privately to Embassy officials. (Telegram 312 from Port-au-Prince; 738.5-MSP/6-2460).

We showed Ambassador Bonhomme a draft press release³ the Department has prepared for possible use in clarifying the dollar amount of United States aid to Haiti in Fiscal 1960 and 1959 and the 10-year period 1950–59. The Ambassador commented that this press release may be missing the point Haiti has tried to make: i.e, what has this aid accomplished? He referred to the \$3 million loan for a private sugar mill as an example, as well as the \$300,000 road study loan. We pointed out that although the sugar mill loan has not been used, it is nevertheless a legitimate example of United States efforts to help. We observed that much time and effort by United States officials went into getting the loan approved in view of the high priority given in by the GOH. We mentioned that, as the Ambassador knew, there had been great interest shown by the Haitian Government in getting this done including telegrams from President Duvalier. Failure to use the funds is not the fault of the United States Government nor of the Haitian Government but appears to be due to the efforts of the borrower to transfer his interest in the loan to a third party.

The present status of the road study loan was also discussed briefly, with the Ambassador apparently puzzled and frustrated by previous and present delays. Mr. Warner said he thought that the DLF would be disposed to proceed rapidly with this loan once the Artibonite problem were cleared up. This prompted the Ambassador to make more general comments about Haiti's relations with the DLF. He complained that Haiti makes an application and then a long time after, often many months later, is informed that the application is not in proper form, is not in English, or that it lacks supporting data. He still is not sure whether applications should go through USOM in Haiti or go directly to the DLF. He understands that the USOM represents the DLF with regard to DLF disbursements in the Artibonite valley, but he doesn't know if USOM represents the DLF in all other matters in Haiti. In any event, some applications have been submitted through the USOM and have gone on to the DLF but subsequently they were found to be faulty. Ambassador Bonhomme wondered why the USOM could not immediately have told the Haitian Government about the inadequacies of the applications prior to sending them on to the DLF with consequent administrative delays.

Ambassador Bonhomme recalled that in the latter stages of the Magloire Government (1956), he had witnessed a similar hesitancy in going through with United States assistance. He said he had found out later this had been due to the expectation by the United States that the Magloire Government was not going to last. He said that all sorts of

³Not found.

reasons had been given to him (he was Haitian representative on the joint development council at the time) and he was assured that funds were available for repairing Hurricane Hazel damage but the result was that very little assistance was forthcoming. Mr. Warner assured Ambassador Bonhomme that this is not the case now and that the United States is prepared to cooperate with the Haitian Government to carry out an effective program. He said he was not familiar with the situation in 1956 but that it has been our intention and still is to do everything we can to be of assistance in overcoming the problem in Haiti which we recognize as being serious and urgent. He said that we assume, and hope that the Haitian Government assumes, as a basic premise that there is good will and good faith on both sides and that with such an assumption, we would like to get down to specifics, identifying what the specific problems are and trying to work out specific solutions. Mr. Warner stated that as we see the situation, the next step in the Poté Colé project and in the Artibonite valley is for the Haitian Government to nominate the key personnel who are needed before activities can be fully resumed.

When asked again what specific problems he saw in the situation, Ambassador Bonhomme hesitated and then said that the question appeared to him to be one of general atmosphere. He thought that in some cases United States technicians had gone farther than they should in carrying out their advisory roles. The Ambassador thought that in a situation such as we have in Haiti, people should perhaps be allowed to make mistakes. The Ambassador seemed to be implying that United States advisors are sometimes paternalistic in their actions and that this had offended the dignity and self-esteem of Haitian officials. The Ambassador was not specific other than to mention Mr. Yoe and Minister Philippeaux in this connection.

Ambassador Bonhomme also remarked that some of the best-qualified Haitian technical and administrative personnel are not politically in sympathy with the Duvalier administration. He thought that part of the assistance program should be to train technicians rather than to expect to find technicians already qualified. Mr. Warner commented that we realize the program cannot operate in a political vacuum and we recognize that political considerations have to be taken into account by the Duvalier government. We consider that President Duvalier is the best judge of the Haitian political picture. However, if there are political objections to individual Haitian employees, we think it would be better to talk over the situation ahead of the time instead of having the man abruptly fired. In this connection, Mr. Warner asked the Ambassador whether he thought the basic principle of having mutually acceptable personnel working in the program was a desirable principle from a

practical working point of view. The Ambassador agreed that this was an essential principle, but it was at this point that he suggested that to be acceptable personnel should not necessarily be the most highly qualified from a technical point of view. Mr. Warner commented that we are not trying to have a program which is dependent on any single man for its success and Mr. Wieland cited the case of the recent departure of Mr. Ward from Artibonite valley and the difficulties we are having in trying to find another man who is as well qualified. Nevertheless, in order that the work go forward, we have named a temporary replacement who is not as well qualified but who we think is acceptable for the time being. In the same spirit we have accepted the Haitian Government's nominations of Mr. Cantave and Mr. Jospitre and believe that we can carry on a satisfactory program with them even though they do not appear to be as well qualified, from the point of view of previous experience, as the men they replaced.

It was apparent that Ambassador Bonhomme is discouraged and frustrated by the present state of affairs. At one point he mentioned that he has been considering returning to Port-au-Prince to tell President Duvalier that if he continues his apparent new policy of turning away from the United States, the Ambassador's usefulness in Washington may be ended. Mr. Wieland and Mr. Warner said they hoped the Ambassador would not find it necessary to do this and assured him of their very high regard. Mr. Warner said that if the Ambassador should return to Port-au-Prince, he should assure his Government, if it has any doubts, that United States policy toward Haiti continues to be one of cooperating to the fullest extent possible in working out problems of mutual concern. Near the end of the conversation, Mr. Warner referred to the Artibonite valley difficulties and said these are traceable in part to what happened there years ago when, from the Haitian Government's point of view, a great deal of money was spent with comparatively little result. The DLF was keenly aware of these past difficulties, and the criticism which had arisen as a result, when it approved the loan for further work in the valley; perhaps the DLF has seemed excessively cautious and strict in its administration of the loan funds. However, the DLF wished to assure that the funds are used with the maximum effectiveness. Thus how to achieve an effective operation appears to be the real problem in the Artibonite valley and in other projects rather than the amount of money. Mr. Warner commented, and the Ambassador agreed, that money in itself will not solve the problem. When asked for what specific suggestions he would have to make operations more effective, the Ambassador had none, although he did say that some gesture by the United States toward Haiti at this time might be very helpful.

Mr. Wieland and Mr. Warner asked the Ambassador to inform us immediately if this Government's understanding of what the next step is to be is not the same as ours; i.e., the Haitian Government should name persons to fill the key jobs still vacant in the Artibonite Valley and in the Poté Colé project. Mr. Wieland added that if the GOH had a different understanding of what the next step should be, we hoped the Ambassador would advise us at once so the issue could be clarified in the interest of getting on with constructive efforts.

HA-24. Editorial Note

July 21, 1960.

The memorandum of discussion of the 452nd meeting of the National Security Council on July 21, includes the following exchange regarding the situation in Haiti which occurred during Director of Central Intelligence Dulles' briefing on significant developments affecting United States security:

"[Director Dulles reported that] Haiti was characterized as usual by a chaotic situation. The Duvalier regime was drifting Leftward. Duvalier was not well and had delegated much authority to a clique of Leftists. *[text not declassified]* The government has been attacking the U.S. and was pro-Castro. The use of U.S. aid for political patronage purposes had crippled the effectiveness of the aid program. *[text not declassified]* The army was the most important cohesive force in Haiti and was pro-U.S. It would probably be reluctant, however, to act against the government. Secretary Herter agreed that the army probably offered the best bet in Haiti. He stated that the U.S. was not enthusiastic about a proposal that Haiti contribute army units for the Congo because the U.S. prefers to have the Haitian army in Haiti." (Eisenhower Library, Whitman File, NSC Records)

HA–25. Memorandum of a Conversation, Department of State¹

Washington, August 31, 1960.

SUBJECT

United States Assistance to Haiti

PARTICIPANTS

ARA - Mr. Mann

Mr. Mallon

Ambassador Newbegin²

DLF - Mr. Perry

ICA - Mr. Atwood

Mr. Harrison

CMA - Mr. Wieland

Mr. Vallon

Mr. Warner

REA - Mr. Sinn

The meeting was called on short notice to take advantage of Ambassador Newbegin's brief visit to Washington to consult on development assistance problems prior to the departure of Mr. Mann and Mr. Atwood for Bogotá.

The meeting began with a discussion of the present political situation in the Caribbean and the desirability of keeping Haiti in a neutral position between Cuba and the Dominican Republic. There was general agreement that if the Trujillo Government should fall, Haiti would be concerned primarily with defending herself from any spilling over into Haiti of revolutionary situation in the Dominican Republic. Mr. Mann recommended that Ambassador Newbegin take a suitable occasion soon after his arrival to let the Haitian Government know that in case Trujillo's fall we would want to see a responsible government assume power in the Dominican Republic, one which is prepared to live up to its inter-American commitments, and that we would not view favorable any action by the Haitian Government which might impede the attainment of this objective. The principle danger in a Dominican

¹ Source: Department of State, Central Files, 738.5-MSP/8-3160. Confidential. Drafted by Warner.

² Robert Newbegin was appointed Ambassador to Haiti on August 27.

During a conversation at the White House on July 11, Secretary Herter had informed the President that President Duvalier had recently requested the recall of Ambassador Drew. Herter explained to the President that Ambassador Drew had done a fine a job in Haiti, was of retirement age, and had requested retirement. Herter also reminded the President that Haitian governments had requested the recall of the last four United States ambassadors sent there and that the situation was essentially chaotic. President Eisenhower agreed to replace Drew. (Memorandum of Conference with the President; Eisenhower Library, Whitman File, Eisenhower Diaries).

revolutionary situation may be efforts by the Castro-government or Castrophiles to form a leftist regime sympathetic to or subservient to the Castro regime.

There was general agreement that the Government of Haiti is in a desperate situation at the present time, because of economic and financial difficulties as well as the political box in which she finds herself, caught in the middle between Trujillo on the right and Castro on the left. There was general agreement that the United States' objective be to obtain enough leverage in Haiti to counterbalance pressures from Trujillo and Castro. President Duvalier's request for budget support and economic aid must be considered in this context. In the ensuing discussion Mr. Mann stated that Haiti should not be rewarded for being irresponsible and that any sizeable projects financed with our assistance cannot be converted into political slush funds, although we must recognize that the desires of the host government with regard to individual employees must be taken into account. It was agreed that budget support should have priority over economic development aid, and there was some discussion of the desirability of tying budget support to specific items in the budget. Mr. Mann favored administering our assistance in such a way that we can turn it on and off in accordance with the degree of cooperation we receive from the Haitian Government. Mr. Mann also favored not embarking on any large new projects pending better indications of a cooperative attitude from the Haitian Government.

Mr. Mann recommended that in offering budget support we urge the Haitian Government to give further consideration to carrying on construction in the Artibonite valley under contract. Mr. Mann had to leave the meeting early, but requested that he be given concrete recommendations (with justifications) along the lines suggested.

In the latter part of the meeting, the possibility was discussed of "untying" the DLF road engineering loan from the Artibonite loan. Mr. Perry believed this might be possible. With regard to the suggestion that the DLF resume disbursements to pay for the engineering studies in the Artibonite valley, which have been largely completed, Mr. Perry stated that he would consult with others at the DLF concerning this possibility.

HA-26. Special National Intelligence Estimate¹

Washington, September 27, 1960.

SNIE 86.1–60

THE SITUATION AND PROSPECTS IN HAITI²

The Problem

To assess the political and economic situation in Haiti, and the short-term prospects.

Conclusions

1. President Francois Duvalier's tenure of power is now reasonably secure. So long as Duvalier remains active and continues to receive sizable external assistance, we foresee no major change in the Haitian political situation. The opposition is weak and discouraged. The military are unlikely to move against the government and are reasonably capable of maintaining internal order in present circumstances. (*Paras. 8–9, 15–16*)

2. Even with continuing external aid on the scale of that received in recent years, the hand-to-mouth Haitian economy will show little or no improvement. The coming smaller off-year coffee harvest is likely to produce another budget and balance of payments crisis in 1961. Substantial improvement in the basic economic situation would require a long-term program of investment in economic development on a scale not hitherto contemplated. (*Paras. 10–14*)

3. Duvalier will persist in his demands for U.S. aid on a massive scale and in his expressions of resentment at its denial. Nevertheless, his object is to obtain *more* aid and he would not intentionally go so far as to forfeit that which he now receives. (*Paras. 17–19*)

4. Duvalier probably still makes or approves of all major decisions. We believe that as yet his leftist advisors can do little more than intensify the President's own prejudices. (*Paras. 20–21*)

¹ Source: Department of State, INR–NIE Files. Secret. According to a note on the cover sheet, "The following intelligence organizations participated in the preparation of this estimate: The Central Intelligence Agency and the intelligence organizations of the Departments of State, the Army, the Navy, the Air Force, and The Joint Staff." The estimate was concurred in by the United States Intelligence Board on September 27, 1960.

² This estimate supersedes paragraphs 61–63 dealing with Haiti in SNIE 80/1–59, "The Situation in The Caribbean Through 1960," dated 29 December 1959. [This and subsequent footnotes designated by symbols appear in the source text. For the text of SNIE 80/1–59, see *Foreign Relations, 1958–1960, Volume V, American Republics*, Document 126.

5. The main threat to continued stability arises from the President's ill health. Without Duvalier, a struggle for power would be certain to occur. The military would be likely to seize control, but probably would be unable to stabilize the situation. The outcome would probably be a prolonged period of instability in which pro-Castro elements would certainly strive to gain control. (*Para.* 22)

Discussion

6. *Background.* Haiti is an overcrowded and impoverished country: its levels of production, income, health, and literacy are the lowest in the Western Hemisphere. Its politics are highly personal, but reflect underlying tensions between a long-established mulatto elite, a rising Negro elite, and the city mob of Port-au-Prince. The mass of Negro peasants is, for the most part, politically inert.

7. Since the end of the U.S. military occupation (1934), it has been normal for a Haitian President to complete his six-year term of office, to seek to perpetuate himself in power, to be thereupon overthrown by a military junta, and to be fairly promptly replaced by a successor selected by the junta in private consultation with leading politicians. Following the overthrow of President Magloire in 1956, this customary though extra-constitutional procedure broke down when the contending political factions could not agree upon a successor. After several interim governments had been overthrown by popular disorder in Port-au-Prince, the army, in September 1957, finally procured the popular election of Dr. Francois Duvalier. He was bitterly opposed by the mulatto elite and by organized labor in Port-au-Prince, but was enthusiastically supported by the Negro elite and was generally popular among the peasants.

8. *The Political Situation.* Until the spring of 1959, Duvalier's tenure of power was precarious. Opposition leaders in exile were actively conspiring against him with some encouragement from the new regime in Cuba. An invasion of exiles with Cuban support was imminently expected. The army could not be relied upon to resist it. Duvalier's control of the internal situation depended primarily upon the terror inspired by his notorious "secret police." The Haitian treasury was virtually empty. At this point the situation was stabilized by the receipt of \$6 million in U.S. budgetary support and by the arrival of a U.S. Marine Corps mission to reform and revitalize the Haitian military establishment. These measures were significant, not only for their direct effects, but more importantly as signs of U.S. interest in sustaining the Duvalier regime. This indication of U.S. support was largely responsible for the absence of an attempt against the regime in May 1959, when President Duvalier was incapacitated by a severe illness.

9. Duvalier's tenure of power is now reasonably secure. The internal opposition is thoroughly discouraged and intimidated; the opposition in exile, denied further Cuban support, is no longer a serious threat. The military and security forces are effectively controlled by being divided into components no one of which is capable of acting separately against the regime, and by the appointment of commanders personally dependent on Duvalier and so divided by personal rivalries as to be unlikely to combine against him. The army, which includes the small air force and coast guard, numbers 5,200, but its ground forces are scattered over the country in small police and constabulary detachments, except for an understrength battalion at Port-au-Prince. The National Police and the Presidential Guard, nominally part of the army, are actually independent commands under Duvalier's direct control. Moreover, the 200-man Presidential Guard separates the army battalion at Port-au-Prince from any large supply of ammunition. There is, in addition, a civilian militia of about 400 men and women specially selected, like the Guard, for personal loyalty to Duvalier.

10. *The Economy.* Duvalier inherited a stagnant economy and today it continues in decline, but probably not sufficiently to provoke serious political consequences. The major problems are inadequate resources, low agricultural productivity, lack of diversification, and meager economic development. Moreover, domestic savings and investment—almost nonexistent—and foreign investment are insufficient to keep up with capital deterioration, much less to increase production to support the expanding population.

11. Agricultural production is retarded by the prevalence of subsistence farming on small family plots. There are only two important commercial plantations in the country, one producing sugar, the other sisal. The major export is coffee, which grows wild and receives a minimum of processing from the peasants who collect it. Haiti's continued heavy dependence on coffee, with its alternating high and low crop years and price fluctuations, results in periodic strains on the country's solvency. Even though agriculture is the major economic pursuit, about a quarter of Haitian imports are food and other agricultural products.

12. While the government is adhering to a financial stabilization program prescribed by the International Monetary Fund (IMF), its finances are in a sorry state, partly as a result of administrative ineptitude and graft. The public debt is close to \$70 million and the rising burden of foreign debt (more than half of the public debt) and amortization now makes it difficult for Haiti to borrow more. In recent years, debt service and amortization have amounted to almost 10 percent of the budget. Haiti's budget deficit amounted to \$8 million in the 1958–1959 fiscal year. Even though the government has suspended debt service and amortization, it probably will fall short of meeting current

expenses by about a million dollars in the fiscal year ending on 30 September 1960.

13. The regime has managed to keep afloat in the past year with the continuation of major outside assistance, a good coffee crop, above average tourist earnings, and the prospect of larger sugar exports to the U.S. Under terms of the IMF stabilization agreement, Haiti has been shored up by a \$4 million standby agreement and has received \$5.4 million in balance of payments support; a new arrangement with the IMF is under negotiation. The U.S. provided \$6 million in budgetary support as grant aid during the 1958–1959 fiscal year, and has already allocated a million dollars in grant aid to cover the estimated current deficit. In addition, Haiti has continued to receive sizable external development loans and assistance, mainly from the U.S.³

14. Even with continuing external aid on the scale of that received in recent years, the hand-to-mouth Haitian economy will show little or no improvement. Economic development is not keeping pace with capital depreciation and population growth. The coming smaller off-year coffee harvest is likely to produce another budget and balance of payments crisis in 1961. Substantial improvement in the basic economic situation, as distinguished from budgetary and balance of payments relief, would require a long-term program of investment in economic development on a scale not hitherto contemplated. If such a program were to be undertaken, its implementation would be hampered by Haitian sensitivities regarding national sovereignty as well as the Haitian spoils system.

15. *Political Prospects.* So long as Duvalier remains active and external assistance continues, we foresee no major change in the Haitian political situation. The domestic opposition is weak, unorganized, and discouraged. The military are unlikely to move against the government and are reasonably capable of maintaining internal order in present circumstances.

16. A successful armed incursion by Haitian exiles—with or without Cuban support—is unlikely. Haitian exiles are few in number and for the most part lack revolutionary zeal. Even though there is important sympathy for Fidel Castro among students, teachers, and

³ Total U.S. economic aid to Haiti since the end of World War II amounts to over \$70 million: Export-Import Bank (\$27 million), the Development Loan Fund (\$4.6 million for irrigation and road engineering loans), U.S. Public Law 480 (approximately \$8 million for relief food supplies through 30 June 1960), and ICA (\$31.6 million through 30 June 1960). The IBRD has provided \$2.6 million for a road maintenance program. The economic development efforts of U.S. agencies are concentrated in two projects: The Artibonite Valley Authority and Poté Colé, which combine regional development projects aimed at raising agricultural productivity and improving health, education, and administrative standards.

intellectuals, Castroism has had little impact on the Haitian peasantry. Moreover, Castro's efforts at reconciliation with Haiti—in contrast to his earlier activity against Duvalier—and his virtual abandonment of Haitian exiles make trouble from that quarter not likely. A filibustering expedition would probably meet with no more success than that of a year ago, which received no local support and was eventually annihilated by Duvalier's men.

17. A matter of immediate concern is that, since early this year, Duvalier has become extremely antagonistic in his dealings with U.S. agencies in Haiti and severely critical of the terms and scale of U.S. economic assistance. He has opened the joint economic development projects to the Haitian spoils system, thereby provoking a cut-back in the disbursement of U.S. funds for such projects and a slowdown in operations. In an attempt to induce massive U.S. aid, Duvalier has both threatened to seek Communist Bloc assistance and warned of the local Communist threat in his underdeveloped country.⁴ One effect of the President's complaints has been to evoke considerable public criticism of the U.S.

18. Duvalier's anti-U.S. behavior is probably rooted in his frustrations: his own inability to improve the miserable living conditions of the bulk of his people and the inadequacy of U.S. aid to bring about any early or substantial change in their hopeless situation. He probably realizes that the U.S.-sponsored long-term development projects will be of eventual benefit to Haiti, but he is also impressed by the fact that they have had little or no effect on the miserable lot of most Haitians and are therefore of little political benefit to him.

19. Duvalier will persist in his demands for U.S. aid on a massive scale and in his expressions of resentment at its denial, employing such threats as seem to him necessary to gain consideration, but his object is to obtain *more* aid and he would not intentionally go so far as to forfeit that which he now receives. Because of his difficulties with the U.S., he may feel some sympathy for Fidel Castro. More importantly, Castro's recent approaches toward a reconciliation are attractive to Duvalier as insurance against further Cuban support for the Haitian opposition and as reinsurance against interference by Trujillo. Nevertheless, Duvalier's interests are basically different from Castro's and he is unlikely to risk losing the Haitian Army's support by too close an identification with the Cuban regime.

20. The situation is complicated by the apparent decline in Duvalier's physical and mental health since his severe illness in May 1959 and by his apparent reliance on a small group of leftist advisors,

⁴ Haiti maintains diplomatic relations with no Bloc country except Poland. Its trade with the Bloc is negligible.

including one or two probable Communists.⁵ While it is difficult to assess the degree of influence exerted by these men, it is likely that they have considerable control over access to the President and over the information reaching him. However, the Haitian military still have access to Duvalier and influence with him. We believe that as yet the President's leftist advisors can do little more than intensify his own prejudices, and that Duvalier—a tough-minded and suspicious man—probably still makes or approves of all major decisions himself.

21. For its part, the Haitian Communist movement, despite a modest revival, remains the smallest in Latin America, and is unlikely to be a decisive factor while Duvalier is in office. The Communist Party and the pro-Communist Popular Socialist Party have been outlawed for years and there is no evidence of an effective underground in Haiti or among Haitian exiles. While Duvalier harps on the potential threat of communism, he probably does not see it as an immediate threat to him. On the contrary, although he acts from time to time against Communist activities, he finds it necessary or useful to employ the administrative talents of individual Communists and has acquiesced in the return of key Communist figures from exile. Nevertheless, the Communists, who are chiefly mulatto intellectuals, are still few in number. Their influence and that of their sympathizers is as yet primarily as individuals in the government bureaucracy—some in key posts—and in the press, education, and intellectual circles. Their continued location in their present positions enables them to stimulate anti-American sentiment and to work toward the development of an effective Communist organization.

22. The main threat to continued stability arises from the President's ill health. Still vigorous in appearance, Duvalier continues to suffer the bad effects of his severe heart attack. Should he die or be seriously incapacitated for a prolonged period, a struggle for power would be certain to ensue. There is no one leader who could command the quick and widespread support necessary for strong government. The military would be likely to seize control of the government, but probably would not be able to stabilize the situation. The result would probably be a period of disorder similar to the nine-month hiatus preceding the installation of Duvalier, when six provisional governments rose and fell. In such an unstable situation, pro-Castro elements would certainly strive to gain control of Haiti.

⁵ Paul Blanchet, Minister of Coordination and Information and Secretary-General of the Cabinet; Herve Boyer, Minister of Commerce and one of Haiti's few competent economists; Gerard Philippeaux, Minister of Finance and Agriculture; Michel Lamartiniere Honorat, Minister of Public Works; Clovis Desinor, director designate of the economic planning board; Jules Blanchet, Chairman of the Haitian budgetary and accounting institution. Honorat was an openly declared member of the Haitian Communist Party in 1946. Jules Blanchet, perhaps the ideological leader of the group, was a founding member of the marxist Popular Socialist Party in 1946.

23. For historical reasons, there has long been bitter enmity between the Haitians and the Dominicans. The Haitians particularly hate and fear Trujillo. As a consequence of this fear, the Duvalier regime was hesitant to provoke Trujillo by imposing the sanctions invoked against him by the Organization of American States, but finally did so.

24. In early 1959, when the Duvalier regime was threatened by Castro, the Dominican Republic was prepared to intervene to prevent hostile (Cuban) access to its land frontier with Haiti. It might again consider doing so to forestall or counteract the rise to power of a Haitian regime associated with Castro. Dominican intervention in such a case would be more likely to take the form of active assistance to anti-Castro Haitian elements than of outright military invasion. Dominican support, however, would tend to discredit any Haitian faction which accepted it.

25. If the Trujillo regime were to be overthrown, the attitude of any successor government toward Haiti would depend on its character. A Dominican military junta, or any genuinely liberal regime, would probably be preoccupied with domestic problems, but would be as concerned as Trujillo to prevent or counteract the establishment of a pro-Castro regime in Haiti. On the other hand, a pro-Castro regime in the Dominican Republic would probably give active support to the establishment of a pro-Castro regime in Haiti.

HA-27. Telegram from the Secretary of State to the Embassy in Haiti¹

Washington, October 18, 1960, 8:13 p.m.

124. For Ambassador Newbegin.²

Following for your information and guidance in discussing current Haiti economic and financial problems. Following presentation credentials and initial discussions, your recommendations requested

¹ Source: Department of State, Central Files, 738.5-MSP/10-1860. Confidential. Drafted by Warner; cleared in draft with Atwood, in substance with W. Ellory Dension, of the Loan Division of the Export-Import Bank, and with Hebert N. Higgins of the Office of the Special Assistance for Mutual Security Affairs; and signed by Deputy Assistant Secretary of State for Inter-American Affairs Milton Barall.

² Ambassador Newbegin presented his credentials to the Haitian Government on November 4.

regards implementation balance of payments and budgetary support programs and U.S.-financed economic development. Primary objective is preservation close cooperative relations based on mutual confidence and traditional Haitian-U.S. political alignment. U.S. assistance should contribute directly this objective in addition to advancing economic development Haiti and relieving critical financial problems.

Mutual Security Coordinator has made following decisions: 1) commit \$5 million from Contingency Fund for support Haitian budget during period October 1, 1960 September 30, 1961; 2) approve \$4.5 million Special Assistance funds from FY1961 MSP appropriations for balance payments support and economic development projects (this in addition \$ 1.0 million FY61 grant aid previously approved for budget support); 3) earmark \$3 million from Contingency Fund to finance additional development projects in Haiti.

Separate instructions will follow concerning negotiation agreements governing utilization budget support, balance payments support and economic development assistance. In preliminary discussions you authorized refer \$5 million maximum for budget support and \$ 4.5 million for economic development. You also authorized inform Haitian authorities that additional moderate amount assistance may be available for economic development under certain mutually satisfactory conditions. However specific amount of \$3 million for this purpose should not repeat not be mentioned at this time, pending your further assessment of prospects for effective utilization thereof in achieving U.S. objectives. Actual commitment and use these funds would be subject to restoration satisfactory working relationship with GOH and agreement on specific projects.

In discussions you should emphasize U.S. earnest intention to continue efforts to help overcome problems of Haitian people. At some time you authorized discuss in frank constructive vein problems which have impeded assistance program in past. Re budget support program, you may inform President Duvalier we anticipate that portion funds available this purpose will be earmarked for some of specific items Haitian budget he requested in July 1960. While budget support funds cannot be used for debt repayment, U.S. expects GOH will promptly meet budget commitments for debt repayment utilizing domestic revenues that purpose (in this connection would be appropriate express concern over arrearages in payments due ExImBank which budgeted in Haitian FY1960 not yet paid). Should be made clear budget and balance payments support made available on understanding Haiti will continue adhere IMF standby agreement and will seek and follow to maximum possible extent advice of IMF and ICA financial and administrative advisers with respects improved budgetary management and fiscal operations.

You may inform President Duvalier that Mr. Atwood of ICA probably accompanied by new USOM Director³ plans visit Haiti in near future to assist you in more detailed discussion FY 1961 assistance program.

Re President Duvalier's request for moratorium on payments to ExImBank, you may state ExImBank carefully studying this request and you expect receive detailed instructions soon this subject.

ICA concurs this message and request Ambassador discuss with Acting Director USOM.

Herter

³ Earl. O. Finnie.

HA-28. Telegram from the Ambassador in Haiti (Newbegin) to the Department of State¹

Port-au-Prince, November 23, 1960, 5 p.m.

163. As reported Embassy telegram 161, Foreign Minister in meeting attended by all Latin American Chiefs of Mission accredited Haiti read note requesting their support general moratorium on Latin American debt to U.S.² I had had no previous intimation anything this nature contemplated and it came as complete surprise. I stated in course meeting that it appeared to me question this nature should be treated by individual governments with U.S. since these are related to bilateral and not multilateral arrangements. I indicated further that conditions varies as regards individual countries. I pointed out that since I had had no prior advice of nature of meeting I could not speak officially for my government but felt it incumbent at least make above observations. While it might be normal for Haitian Government endeavor get support from sister republics in direct negotiations, procedure this morning is unprecedented as far as I am aware, even for Haiti. Other than my remarks no Chief of Mission made any comment whatsoever except Mexican Ambassador as ranking member group, who merely

¹ Source: Department of State, Central Files, 838.10/11-2360. Confidential; Priority.

² Telegram 161 from Port-au-Prince transmitted to the Department of State on November 23 the text of the note by Foreign Minister Joseph Baguidy at the meeting of that date. (838.10/11-2360)

stated those present would transmit note under reference to their governments.

I expect see Minister Finance this afternoon on unrelated matter but shall endeavor let him know this type of procedure hardly conducive to sympathetic understanding to Haiti's problem as far as U.S. Government agencies concerned.

Newbegin

HA-29. Telegram from the Secretary of State to the Embassy in Haiti¹

Washington, November 25, 1960, 8:47 p.m.

152. Your 161, 163, 164, 165.²

Department concurs with line taken by Ambassador in conversations with Haitian officials reported reftels. Embassy requested draft reply Haitian note along following lines:

1. Existing loans to LA countries by U.S. financial institutions arranged only after detailed negotiations between parties and based on consideration very specific circumstances prevailing at time loan arranged.

2. Consideration of a moratorium on payments is a matter strictly between lending agency and particular LA government again to be considered carefully only after taking into account prevailing circumstances.

¹ Source: Department of State, Central Files, 838.10/11-2460. Confidential; Priority. Drafted by Richard B. Owen, Officer in Charge of Haitian Affairs, and by Edwin E. Vallon, Director of the Office of Caribbean and Mexican Affairs; cleared in draft with Turkel and in substance with Denison, Harlan A. Harrison, Chief of the Cuba-Dominican Republic-Haiti-Mexico Branch of the International Cooperation Administration, and Marski of the Development Loan Fund; and signed by Barall.

² Telegram 163 is printed as Document HA-28. For telegram 161, see Document HA-28, footnote 2. In telegram 164 from Port-au-Prince of November 24, Newbegin reported that he had told Haitian Minister of Finance, Herne Boyer and Minister of Commerce, Clovis Desinor that Haiti's public request for a debt moratorium was a most unfortunate step, that it had placed the United States and the Export-Import Bank in a very difficult position vis-à-vis a number of other Latin American countries, and that it could only prejudice Haiti's attempt to obtain a moratorium from the Bank. (838.10/11-2460)

In telegram 165 of November 24, Newbegin informed the Department of State that he had spoken with Foreign Minister Baguidy along the lines indicated in telegram 164. (838.10/11-2460)

3. While U.S. is appreciative of lofty sentiments which motivated Haitian note, it cannot consider that such bilateral arrangements are appropriately concern of any governments other than two governments concerned.

4. Furthermore, agencies of U.S. government, as well as international banking institutions, have worked closely with LA governments in assisting them to establish sound economic and financial practices which have enabled them to meet their obligations without necessity of resorting to moratorium and, in addition, have thus aided them in qualifying for additional loans or other types of financial assistance.

5. U.S. Government and its lending agencies have given in past and will continue to give extended and sympathetic consideration to financial needs of individual Latin countries which can be met by existing institutions.

6. Moreover, U.S. Government has demonstrated, most recently by Act of Bogotá,³ that it is ready to consider and act upon economic and social needs of hemisphere where existing institutions are believed to be inadequate for fulfillment of such needs.

Proposed reply should be sent Department for approval before submission FONOFF. Department hopes as result Ambassador's representations, Haitian government will cease efforts to push this initiative and that, upon submission note in reply, whole matter can be dropped. Department would also appreciate any reaction LA Ambassadors to Haitian demarche.

Herter

³ The Act of Bogotá, adopted by members of the Organization of American States at Bogotá on September 12, 1960, established a special inter-American fund for social development.

Honduras: U.S. Relations with Honduras

HO-1. Memorandum of Conversation, by the Acting Assistant Secretary of State for Inter-American Affairs (Snow)¹

Washington, February 27, 1958.

SUBJECT

Call on the Secretary by Honduran Foreign Minister and Honduran Ambassador-designate

PARTICIPANTS

The Secretary.
Sr. Andrés Alvarado Puerto, the Foreign Minister of Honduras.
Sr. Céleo Dávila, Ambassador-designate of Honduras.
Sr. Carlos F. Hidalgo, Chargé d'Affaires, Embassy of Honduras.
Mr. William P. Snow, Acting Assistant Secretary for Inter-American Affairs.
Mr. Charles Spruks, Assistant Chief of Protocol.

At 3:30 this afternoon the Honduran Foreign Minister, Sr. Andrés Alvarado Puerto, paid a courtesy call on the Secretary, accompanied by the Honduran Ambassador-designate, Sr. Céleo Dávila.² Having arrived in Washington only the day before, the ambassador-designate had no official status until he had made the customary initial call upon the Secretary. It was therefore arranged for him to enter the Secretary's office first accompanied by Mr. Spruks, to deliver copies of his credentials and related documents. The Foreign Minister was then brought in and introduced to the Secretary by Mr. Snow.

The Minister brought friendly greetings from the President of Honduras, Sr. Villeda Morales.³ He said that President Villeda M. wished the Secretary to know that he shared his belief in the desirability of achieving a closer relationship between the North Atlantic Treaty

¹ Source: Department of State, Secretary's Memoranda of Conversation, Lot 64 D 199. Official Use Only. Drafted on February 28.

² Dávila presented his credentials as Honduran Ambassador to the United States on March 10, 1958.

³ Ramón Villeda Morales became President of Honduras on December 21, 1957.

Organization and the Organization of American States. He had already made public statements to that effect in Honduras and was working to persuade the presidents of the other Central American countries within the ODECA framework to his point of view. If the five ODECA countries could reach a common position in favor of the proposal, they could bring their influence to bear with some effect upon the other Latin American countries in the Council of the OAS.

The Secretary stated in reply that he had not contemplated any organic relationship between the regional organizations. He did believe it very desirable, however, to develop a means of informal contact so that they could exchange information and share experiences. The NATO countries were not always inclined to realize the significance of developments in the OAS area. It would be well for them to become more aware of the problems in Latin America and to learn to attach a greater degree of importance to them. He was especially desirous that the Western European countries should learn of the most encouraging progress made by the OAS itself in furthering the peaceful settlement of disputes, in promoting the acceptance of precepts of international law and in facing common problems in a frank and friendly atmosphere. While the OAS was not yet in a state of perfection, there being much ground still to cover, it was definitely an advanced organization, as he often took occasion to point out when addressing other regional groups such as NATO, SEATO, etc.

The Foreign Minister indicated that President Villeda was in favor of having Secretary General Mora and Secretary General Spaak authorized to develop a procedural plan for the interchange of views. He then spoke of the perplexities facing the new regime in his country. Honduras had for many years been under a certain form of government which was not the most fortunate one for the country. Now President Villeda was seeking to establish a completely new administration with different (i.e. democratic) ideas and different personalities. Naturally, it was a slow process at first and fraught with difficulties. The most serious basic problems encountered were financial and economic in character, the first order of business being to balance the budget, which might require funds from abroad. Another great need was for a proper system of roads. The Ambassador-designate added that there was also a serious deficiency in education.

The Secretary remarked that borrowing was not the soundest way of balancing a nation's budget, as we ourselves had discovered. He also inquired whether the Pan American Highway would not be of substantial benefit to Honduras once it was completed. The Minister answered that the Inter-American Highway passed through only a small portion

of Honduras; it did not enter the capital or reach to the Caribbean coast. A good road from the capital to the north coast was definitely required. The Secretary spoke of the benefits which would accrue from a road system capable of attracting American tourists from the north, coming down through Mexico and Guatemala. The Minister agreed but indicated that his Government's main attention at this time was centered on the development of Puerto Castilla, situated on the Caribbean shore, as a tourist resort. It was formerly a United Fruit Company port but had been abandoned by the Company. It could be reached by air, the flying time between that port and Miami being three hours or less. His Government was treating with Pan American Airways to see if an airport, hotel accommodations, and other facilities might be financed and developed there by that Company.

The Minister also commented on the fact that Ambassador Willauer, at the inauguration of President Villeda last December, had announced the decision of the U.S. Government to assist technically and financially in developing an engineering unit in the Honduran Army which could be employed in building and maintaining highways. His Government was keenly interested in this and hoped that the project would move forward rapidly. (This is an ICA project.)

Another of his country's needs was money, by which he meant bank credit, available to small farmers and small industry. The Honduran banks had ample knowledge of the local situation but lacked the funds for such a loan program. His Government hoped to be able to borrow enough money abroad to make up for this lack.

The Minister spoke of President Villeda's contemplated trip through South America. He had been invited by President Ibañez to visit Chile in May and, when the other South American governments heard of this, they also had extended invitations. As a result Dr. Villeda planned to visit them all and to deliver lectures at leading universities, etc., lecturing being one of his fortes.

At the conclusion, the Secretary expressed his pleasure at having had the opportunity to meet the Foreign Minister as well as to receive the new Ambassador, whom he wished to assure of a cordial welcome at any time during his tenure of office.

HO-2. Memorandum from the Director of the Office of Middle American Affairs (Wieland) to the Deputy Assistant Secretary of State for Inter-American Affairs (Snow)¹

Washington, March 26, 1958.

SUBJECT

Political Situation in Honduras

I am deeply concerned over the outlook for continued political stability in Honduras. As you know, President Villeda Morales came to power largely on the strength of a liberal campaign of promises verging on the Tammany type. As yet, however, he has accomplished virtually nothing, for lack of economic means.

It would be a severe blow to United States interests if the present Honduran government were to collapse. While it is impossible to predict what sort of government would emerge from such a collapse, it is unlikely that it would provide as favorable an atmosphere for the solution of the country's fundamental problems or adopt as friendly a policy toward the U.S. as now prevails. A period of political chaos might also follow with adverse repercussions in the neighboring countries. The present Villeda government, while far from perfect, is sincerely striving to establish representative democracy in Honduras and solve the country's basic problems. Villeda is very friendly to the United States. He has shown a keen awareness of the dangers of the communist movement in Honduras and he has taken steps to combat it. Coming into office as a result of honest popular elections, he symbolizes the trend toward the establishment of democratic government which has been noted in other parts of Latin America. *We would like to see him succeed.*

Unfortunately *there are signs of political trouble ahead for Villeda.* Many of those who supported him in the belief that he would do something for them are beginning to grow restless. Our Ambassador in Tegucigalpa² reports a growing feeling that Villeda will not remain in office through this year.

As Villeda's popularity declines, his opposition can be expected to become more active. The communists, who had been quiet for several months, in February stepped up their activities in the labor field and succeeded in forming a communist-dominated federation of trade unions

¹ Source: Department of State, ARA/OAP Files, Lot 61 D 110, "Briefing Materials—Honduras—1958." Confidential. Drafted by John L. Gawf of the Office of Middle American Affairs.

² Whiting Willauer was Ambassador to Honduras until March 24, 1958. Robert Newbegin was appointed Ambassador on March 26 and presented his credentials in Tegucigalpa on April 21.

in Tegucigalpa. The Nationalist Party, including the very large number of government workers (virtually the entire personnel of the Honduran Government) who were replaced en masse by Liberal Party members, can be expected to seize upon every opportunity to embarrass the new administration by drawing attention to the disparity between Liberal promises and Liberal performance. There are persistent rumors of dissension within the liberal Party itself; some of the radical Liberals have no feeling of loyalty toward Villeda and might well turn against him at an opportune moment. The military would probably abandon him in the face of any serious deterioration of his popularity. Finally there is already some indication that conservative elements in control of neighboring states are not well disposed toward Villeda's brand of liberalism.

As I see it, the only possibility of averting the threat of a political crisis in Honduras lies in assisting Villeda to make good on at least some of his campaign promises by improving the economic situation in Honduras. This would involve prompt and fairly large scale participation in economic development programs in Honduras. Some efforts along these lines (i.e., the Smather's Amendment Loan program³ and the Engineering Construction Unit project) are already underway, but these will not be adequate to deal with the present situation. Also, as you know, several applications from Honduras for DLF and IBRD loans are being processed. It is my understanding that these are being pressed forward as rapidly as possible. Whether these will be approved soon enough to avert a dangerous political situation remains to be seen.

Summary:

1. The Villeda government in Honduras will shortly be facing serious political difficulties which are likely to result in its downfall, unless it can do something to improve the economic situation in Honduras.
2. The only possibility of averting this threat lies in prompt and fairly large scale U.S. participation in economic development programs in Honduras.
3. It would seem essential, in trying to implement the objective outlined in the NSC paper⁴ to strengthen representative democracy, that we do what we can to strengthen the Villeda administration and help it to promote the sound development of Honduras and thus strengthen confidence in Honduran democratic institutions.

³ The amendment to the Mutual Security Act of 1956 named after Sen. George A. Smathers (D-Fla.), provided for the use of a portion of the defense support funds authorized in the Act for health, education, and sanitation projects, and for land resettlement programs in Latin America. For the text of the Mutual Security Act of 1956 (Public Law 726), enacted on July 18, 1956, see 70 Stat. 555.

⁴ Presumably the reference is to NSC 5613/1, "U.S. Policy Toward Latin America," September 25, 1956, which is printed in *Foreign Relations, 1955-1957*, vol. VI, American Republics: Multilateral; Mexico; Caribbean, Document 16.

HO-3. Telegram from the Ambassador in Honduras (Newbegin) to the Department of State¹

Tegucigalpa, July 18, 1958, 6 p.m.

53. Dr. Eisenhower, study group members met President Villeda Morales, Cabinet, Economic and Financial Officials of Honduran Government and representatives of private sector.² Meeting with Economic and Financial officials held in afternoon Wednesday, July 16. This followed by meeting between private sector and McIntosh, Coughran and Waugh.

On Thursday morning, July 17, Dr. Eisenhower and members of Mission met with the Present and Cabinet for further discussions. Brief meeting held Thursday afternoon between private sector representatives and McIntosh, Coughran and Waugh.

The President, Cabinet members and Economic and Financial officials of the Honduran Government requested that consideration be given to provide financial assistance to economic development and social development program of present government. Hondurans reluctant establish priorities although suggested by Rubottom.

Assistance desired includes:

1. Rio Linde hydroelectric power project-first stage assistance \$15 to \$17 million of which \$10–\$11 million to IBRD, French or other external loan for “offshore” costs and \$5–\$6 million DLF loan to cover “local” costs. Director, autonomous power and light agency³, indicated Honduras might be able to cover half local costs if DLF provides \$2.5 million. Proposal similar in principal to recent IBRD/DLF road loan for \$10.5 million.

2. Highways-construction of Central Highway to cost \$6 million. Roads to run between Talanga-[*illegible in the original*] with branch from Yoro to Progreso. This request is in substitution of previous application for DLF assistance \$3.3 million for construction of “low cost” roads in other parts of Honduras. These latter “low cost” roads to be undertaken by Honduran Government with own resources.

¹ Source: Department of State, Central Files, 120.1580/7–1858. Official Use Only.

² Dr. Milton Eisenhower, brother and Personal Representative of the President with the rank of Special Ambassador, visited Honduras, July 16–18, 1958, in the course of a three week fact-finding trip that also took him to Panama, Costa Rica, Nicaragua, Puerto Rico, and El Salvador. See Documents PA-7; CR-6–9; NI-4, 7–9; ES-2. (Compilation on Milton Eisenhower Trip) Additional documentation concerning his stay in Honduras is in Department of State file 120.1520 as well as in the ARA Special Assistant’s Files, Lot 60 D 513, “Eisenhower, Milton Honduras 1958” and in ARA/OAP files, Lot 61 D 110, “Economic Development—Honduras—March–July 1958.”

³ Luís Bogran.

3. DLF loan to National Development Bank (Banco Nacional De Fomento). \$2 million to provide credit to the private sector, principally agriculture.

4. Housing-total amount foreign assistance requested equal to \$6.3 million. During first year \$2.4 million, second year \$2.2 million, third year \$1.7 million.

5. Health-assistance to amount to \$5.5 million during next four years. Although amount and type of foreign assistance not specified, U.S. grant aid for total implicit.

6. Education-during next ten years total cost equal to \$51.5 million. Honduran Government to provide \$40 million and U.S. financial assistance for balance. Although not explicit, U.S. grant aid implied.

In addition to requests for assistance, Honduran Government officials indicated interest in revising U.S.-Honduran trade treaty.⁴

At meeting with President and Cabinet Hondurans finally agreed to submit schedule of priorities, memorandum re proposed revision of U.S.-Honduran trade treaty, and full explanation of new proposal for central highway program. See above.

Dr. Eisenhower and Mission members avoided commitments to government although expressed sympathetic interest and understanding Honduran economic development problems. Honduran officials understand no commitments possible but are hopeful for future.

Representatives of private enterprise presented request for establishing special \$25 million fund over a period of years to be used for loans to industry and agriculture. Stated such action necessary to stimulate investment in private sector now short because of curtailing of flow of capital from U.S. formerly brought in by fruit and mining companies. They requested such loans to be repayable in lempiras not dollars without maintenance of value clause or guaranty. Banking and financial members of mission told private sector representatives \$25 million special fund not possible and loans must be repayable in dollars or guaranteed or contain maintenance of value clause. Suggested that other alternatives be explored as means of stimulating private undertakings which contribute to national economy. Private sector representatives disappointed about special fund and terms of repayment but agreed other possible approaches to problem should be studied.

Newbegin

⁴ Presumably the reference is to the trade agreement that the United State and Honduras entered into on March 2, 1936. For the text, see 49 Stat. 3851.

HO-4. Memorandum of Conversation, by the officer in Charge of Honduran Affairs (Gawf)¹

Washington, December 2, 1958.

SUBJECT

Current Political and Economic Conditions in Honduras

PARTICIPANTS

Ambassador John C. Dreier, Director, Office of Inter-American Regional Political Affairs

Mr. C. Allan Stewart, Director, Office of Central American and Panamanian Affairs
Colonel Oswaldo Lopez, Chief of the Honduran Armed Forces

John L. Gawf, Honduran Desk Officer

Colonel Lopez said that he was very much worried by the way things seemed to be going in Honduras. He spoke at great length about the ineptitude of the Villeda administration, as a result of its having replaced the entire personnel of the Honduran Government with inexperienced Liberal Party members, despite his pre-election promise to form a government of national unity. He went on to describe the corruption, waste, fiscal mismanagement, softness toward Communism, and the violations of privacy which had been perpetrated upon various members of the Nationalist Party by an organization of hatchet men, which the Liberal Party had set up. He inveighed against the Liberal Party's efforts to place the Security Police under the ministry of Gobernacion, against the efforts of the Villeda Administration to curtail the role of the military by cutting the budget and against the manner in which the Villeda Administration seemed to be running the country into bankruptcy.

Colonel Lopez said that he understood that conditions had become so serious that Villeda had recognized that a cabinet reshuffle was necessary and that hence, the entire cabinet was soon to resign leaving Villeda free to eliminate those members who had been most responsible for the present difficulties. He left the impression that in this category were Roberto Martinez and Fernando Villar.

At this point Mr. Stewart observed that we too had been feeling some concern about the way things seemed to be going in Honduras. However, he added that the present events seemed to be following a pattern which was not uncommonly seen in Latin America when new governments take over. He went on to say that in many cases after a year or two of stumbling and making mistakes many such governments

¹ Source: Department of State, Central Files, 715.00/12-258. Confidential.

had at last leveled off and managed to govern effectively. In the case of Honduras, Mr. Stewart went on to say, we have seen some indications just within the last few weeks that the Villeda Administration had become fully aware of the magnitude of the dangers and problems facing them and had taken some important first steps toward effecting a remedy. He discussed the IMF program, which the Government now has under consideration and expressed the view that if the Honduran Government agrees to the conditions which the IMF program would impose, Honduras would have made a long step toward stability. Mr. Stewart then reviewed the events by which Honduras had instituted constitutional, democratic government in Honduras for the first time and recalled what a favorable impression this made throughout the hemisphere. He went on to say that he hoped that the understandable impatience of the Hondurans for more evidence of progress would not lead them to any act of force or violence, because, he said, that once such means were adopted, not only would Honduras lose a great deal of esteem in the eyes of the world but it might also precipitate a chaotic situation from which nobody would benefit.

Colonel Lopez agreed that it would be unfortunate for the Villeda Administration to fail and he said that he intended to do everything he could to help it succeed. He then went on to describe what he conceived to be the role of the military as a guardian of Honduran democracy. He claimed that it was essential for the military to stand behind the Government to insure its stability.

Mr. Stewart said that the role of the military in Honduras during the past year had indeed been highly constructive and said that he hoped it would continue its splendid record of maintaining order until the Villeda Administration could solve the current pressing problems.

HO-5. Editorial Note

February 9, 1959

On February 9, 1959, Honduran rebels, under the direction of Armando Velásquez Cerrato, the former Chief of Staff of the Honduran Armed Forces, initiated a revolution against the government of President Villeda Morales and invaded the Honduran province of Santa Barbara. Reacting to the attack, Honduran authorities dispatched elements of the Honduran Army to Santa Barbara and ended the rebellion. Documentation on the incident is in Department of State file 615.17 and 715.00.

HO-6. Memorandum of Conversation, by the Director of the Office of Central American and Panamanian Affairs (Stewart)¹

Washington, March 3, 1959.

SUBJECT

Expulsion of Colonel Velasquez from Nicaragua

PARTICIPANTS

Señor Dr. Céleo Davila, Ambassador of Honduras
ARA:OAP - C. Allan Stewart

Ambassador Dávila said that the Honduran Government on Friday² had requested the GON to expel Colonel Velasquez and four other persons, in view of their revolutionary activities against the Honduran regime. Expulsions can be requested under terms of the agreement signed by representatives of the two countries on February 26.³ Ambassador Dávila said that Ambassador Sevilla-Sacasa had assured him that Velasquez and his cohorts would be asked to leave the country immediately after the signing of the agreement.

Dr. Dávila said that President Villeda had telephoned him this morning to say that the expulsion action had not taken place. Dávila said he would call it to the attention of Ambassador Sevilla-Sacasa but the President had suggested that he talk instead with the Department. I told Dávila that I had inquired of our Chargé in Managua⁴ yesterday whether Colonel Velasquez had been asked to leave the country and was told that as far as he knew no action had been taken at the time. He said the Nicaraguan Government had informed him that when the expulsions were affected the Embassy would be notified. The Chargé said he had an appointment with President Somoza on March 3 and would bring up the matter with him. I told Ambassador Dávila that if the Department had no word from our Embassy on this matter before the opening of business on March 4 we would again make inquiries.

I said we had been slightly concerned about a report that President Villeda did not intend to take further action about inducing Honduran emigres now being fed and housed by the Nicaraguan Government to return to their homes. Ambassador Dávila said he had suggested to the President this morning that the Honduran Government should make every effort to assure means of transportation for those people who

¹ Source: Department of State, Central Files, 715.00/3–359. Official Use Only.

² February 27.

³ Documentation concerning United States interest in the negotiation of this agreement is in Department of State files 615.17 and 715.00.

⁴ Louis F. Blanchard.

wanted to return from Nicaragua. The President said he planned to make an earnest request of the emigres to return to Honduras and that he would arrange for air and truck transportation. However, Dávila indicated that Villeda would not make the call until the Nicaraguans expelled Colonel Velasquez.⁵ I told Dávila that I thought the Hondurans should live up to their word even though the other side might delay in taking action against Velasquez and his co-conspirators.

I informed Dávila that we had received reports that broadcasts from the clandestine radio had ceased.

⁵ On March 13, the Department of State informed the Embassies in Nicaragua, Costa Rica, Guatemala, Panama, and Honduras that Col. Velasquez had departed Nicaragua on March 6 for Panama via Costa Rica. (Telegram 213 to Managua, telegram 278 to San Jose, telegram 358 to Guatemala, telegram 299 to Panama City, and telegram 278 to Tegucigalpa; 715.00/3-1359)

HO-7. Telegram from the Acting Secretary of State to the Embassy in Honduras¹

Washington, May 16, 1959, 10:58 a.m.

362. Sevilla-Sacasa saw Rubottom May 14 and revealed Nicaragua firmly convinced Villeda holding up ratification of Nicaraguan-Honduran agreement because does not want to be held responsible for airborne revolutionaries from Cuba who he said planned land in disputed territory and be transhipped from there to Bonanza and La Luz areas in interior Nicaragua where U.S. has extensive mining interests.²

Sevilla expressed belief Villeda playing part of fool in permitting himself being used as tool for alleged invasion since Nicaragua will take vigorous retaliatory action against Honduras if territory it nominally controls pending settlement of dispute is used for staging ground. Sevilla said Nicaragua has called upon mixed military commission to investigate rumored plan of invasion force to use vaguely defined air fields in Gracias a Dios Department.

Department fully aware of numerous approaches made by Ambassador to Villeda in effort obtain ratification Honduras-Nicaraguan Agreement signed FEB 26 1959. In view of recurrent reports that

¹ Source: Department of State, Central Files, 615.173/5-1659. Confidential; Niact. Drafted by Stewart, cleared with Dreier, and initialled by Rubottom. The telegram was also repeated for information to Managua and Habana.

² On May 31-June 1, a group of revolutionary exiles living in Costa Rica invaded Nicaragua. For additional information on the attempted invasion, see the compilation on United States relations with Nicaragua.

revolutionary movements continuing against GON, DEPT suggests AMB make another approach to President pointing out that ratification of Agreement soon by Honduran Congress would have calming effect in CA area, especially at this time when invasion rumors again reaching crescendo. Furthermore, you might wish tell President that U.S. must soon begin to look with grave concern on long delay ratification and that we have special interest in matter since we were involved in assisting countries to arrive at an agreement when Villeda regime threatened. We understand reluctance Honduran Congress pass on any agreement involving Nicaragua, but believe Villeda, in interests of Honduran international relations, especially in posture before OAS, must insist Liberal Congressional leaders that ratification necessary immediately. DEPT is conveying above feeling to Ambassador Davila.

Regarding reports of air invasion Nicaragua on [*text not declassified*] May 6 had [*text not declassified*] report that such a movement was in final stages of organization in Cuba and was being headed by NICA communists.

Admitting that AMB Sevilla may have given us distorted version, DEPT nevertheless views with concern GON's report that Honduras may be used in asserted movement emanating from Cuba. Embassy instructed tell GOH that in view of fairly firm intelligence its forces should be on special alert for any use of its territory, in violation international treaties.³

Dillon

³ In telegram 432 from Tegucigalpa, May 16, Ambassador Newbegin informed the Department of State that, in the course of a conversation he had that morning with President Villeda, he had told Villeda that concern was increasing within the Department of State about the failure of the Honduran Congress to ratify the agreement with Nicaragua, and that the Department of State was hopeful Villeda would take effective action to obtain prompt action on the matter. (715.00/5-1659)

HO-8. Telegram from the Ambassador in Honduras (Newbegin) to the Department of State¹

Tegucigalpa, May 20, 1959, 3 p.m.

438. In two-hour session this afternoon first with President Villeda and then with President of Congress² and Foreign Minister,³ reviewed full

¹ Source: Department of State, Central Files, 615.173/5-2059. Confidential; Priority. Sent to Managua as telegram 67.

² Modesto Rodas Alvarado.

³ Andrés Alvarado Puerto.

situation reference ratification Honduran-Nicaraguan Accord. Pointed out as previously failure to ratify has put Honduras in unfavorable international position and one where at least as far as outside opinion concerned Honduras could be accused of bad faith. Referred to Rubottom's conversation with Foreign Relations sub-committee (Department telegram 365)⁴ and increasing criticism of Honduran position in U.S. Suggested if any incident should arise resulting in Nicaraguan appeal OAS Honduran posture hardly favorable. Also pointed out that during Velasquez crisis both Department and I had done everything possible to assist Honduras and agreement with subsequent expulsion Velasquez was part of these efforts. I would undoubtedly be handicapped in future efforts to assist Honduras if no action taken.

Not withstanding these and other arguments Rodas Alvarado made following points: 1) impossible because of technical requirements for Congress to ratify Accord before scheduled closing tomorrow even were deputies willing to approve. 2) He convinced that if agreement were submitted to Congress at this time would definitely be rejected. He, Alvarado Puerto and the President have all talked with various deputies trying to convince them of necessity for Honduran ratification but have not been successful. In addition to strong emotional prejudice against agreement with Nicaragua, Rodas said that a majority of the deputies had advised Villeda against signing the agreement and hence did not feel any obligation when he proceeded contrary their advice. Deputies felt that Nicaragua itself had been guilty of bad faith during whole Velasquez incident since she and Honduras were already bound by previous international agreements to prevent just that sort of activity.

I am satisfied that President and Alvarado Puerto and possibly Rodas Alvarado have made genuine effort to obtain favorable action. Believe that if Rodas Alvarado's conviction that Accord would be rejected is correct, lack of action is preferable such outcome, which could only further complicate Nicaraguan-Honduran relations. Alvarado Puerto has assured me as emphatically as he can that not withstanding lack of action on ratification, Honduras would act as though bound by agreement and would under no circumstances permit use her territory anti-Nicaraguan movements. He will also request Davila give similar assurances to Department.

While Embassy distressed inability obtain ratification this time I consider inaction essentially reflection basic public opposition Somoza regime and not indicative any unwillingness observe existing nonintervention commitments.

Newbegin

⁴ Not printed; 615.17/5-1959.

HO-9. Editorial Note

July 12, 1959.

On July 12, 1959, Armando Velásquez Cerrato, the former Chief of Staff of the Honduran Armed Forces, attempted once again to overthrow the government of President Villeda Morales, launching a full scale revolt in Tegucigalpa with the assistance of disloyal police and military units. The bulk of the Honduran Armed Forces remained loyal to President Villeda and acted successfully to crush the revolt and to force Col. Velásquez to seek asylum in the Costa Rican Embassy. Documentation on this incident is in Department of State file 715.00.

HO-10. Despatch from the Ambassador in Honduras (Newbegin) to the Department of State¹

Tegucigalpa, September 25, 1959.

No. 129.

Attn: The Honorable C. Douglas Dillon, Coordinator of Mutual Security

REF: Circ. 149, 8/19/59²; Circ. 58, 7/24/56³; Circ. 1043, 5/5/58⁴.

SUBJECT

Mutual Security and Related Programs

Pursuant to the instructions contained in Circular 149, dated August 19, 1959, the following comments are offered as to U.S.

¹ Source: Department of State, Central Files, 715.5-MSP/9-2559. Official Use Only. Drafted by Carson, Director of the United States Operations Mission in Honduras.

² The Department of State, in telegram Circ. 149, August 19, 1959, requested the recipients of this message to furnish succinct, analyses of how the Mutual Security and related programs could help the United States achieve its objectives in countries such as Honduras. (120.171/8-1959)

³ The Department of State, in telegram Circ. 58, July 24, 1956, informed Chiefs of Mission that the President expected them to provide leadership and to exercise responsibility for the effective coordination of various United States activities in each country enjoying diplomatic relations with the United States. Specifically, the Chiefs of Mission were responsible for administering and supervising the Mutual Security, agricultural, informational, and other related programs. (120.171/7-2456)

⁴ The Department of State, in telegram 1043, May 5, 1958, provided Chiefs of Mission with guidelines for the proper development of estimates for the FY 1960 Mutual Security and related programs. (120.171/5-558)

objectives in Honduras, and the role of the MSP and other programs in achieving them.

The basic objectives of U.S. policy in Honduras have not changed since the submission of the ICA Master Program Book in August 1958.⁵ At that time they were stated in the following terms:

- 1) Promote political stability and develop democratic and representative institutions;
- 2) Promote the sound development and expansion of the Honduran economy, with emphasis to the extent possible on private enterprise;
- 3) Eliminate and prevent Communist penetration and influence;
- 4) Strengthen inter-American relationships with a view to improving the security system of the Western Hemisphere.

All agencies of the U.S. Government which are represented in Honduras are working toward the realization of one or more of these objectives, each in the manner dictated by its own authority and capacities.

The U.S. Embassy, as the principal instrument of U.S. policy in Honduras, works through normal diplomatic channels and its activities are necessarily limited to indirect influence except where U.S. interests are immediately concerned. The Ambassador coordinates the program of the various U.S. agencies from a policy standpoint, but, normally, does not interfere with their specific operations. The Country Team principle has been observed for some time in Honduras; representatives of the ICA (USOM), Army Mission, and the USIS attend the regular weekly Embassy staff meetings, as well as specific conferences called to establish Country Team policy, or a unified approach to a particular problem. The Country Team this year includes one member having the dual capacity of D/USOM and Counselor of Embassy for Economic Affairs⁶, thus insuring a more closely coordinated policy Advisory group.

The U.S. Army and Air Force Missions in Honduras, through the Military Assistance Program, are working especially toward the achievement of the Objective (4), referring to the improvement of the hemisphere security system. These Missions are relatively small. Their continuation in Honduras depends principally on regional factors and Department of Defense determination as to their necessity. The Embassy has recently received a formal request from the Honduran Government

⁵ In desp. 37 from Tegucigalpa, August 1, 1958, Ambassador Newbegin informed C. Douglas Dillon, the Under Secretary of State for Economic Affairs, that the United States Operations Mission in Honduras was transmitting the Master Program Book to him via ICA channels. No copy of the Master Program Book has been found in Department of State files.

⁶ Carson O. Crocker.

for an Advisor to the Military School and an informal request for an Advisor to the First Battalion. The Embassy has strongly supported the former. The latter is still in the preliminary stages. It is assumed that these two Advisors would be under the general jurisdiction of the Military Mission. This, together with the furnishing of personnel for the Engineering Construction Unit described below under the Military Security Program, is the full extent of any increase that is contemplated. Apart from this, I do not personally recommend any further expansion of the activities of the Missions.

By means of its program of news dissemination, the U.S. Information Service contributes toward all four of the objectives stated above. The same may be said of the cultural and educational exchange programs, which it administers in the field. These programs are extremely important for Honduras and, in fact, deserve far greater emphasis and support than they have received in the past year. For several months the USIS in Honduras has been represented by one U.S.-assigned officer, who has had far too great a work load to handle without assistance. Apart from the serious staffing weakness of the USIS itself, the bilateral cultural center has been without a U.S. director for nearly a year. (This position has just been filled.)

In terms of money spent, personnel employed, and direct influence on the achievement of the above objectives, the U.S. Operations Mission, through its administration of the Mutual Security Program, is of special importance. It should be noted that the technical assistance part of this program has existed in some form in Honduras since 1942, although the major part of the ICA activity dates from 1951. In recent years there have been certain large-scale loans and grants from Special Assistance funds, but the backbone of the MSP in Honduras continues to be technical cooperation, and it is by this aspect that the agency is best known. It may be said that although the USOM, through one or more of its projects, attempts to realize all four of the major U.S. objectives, through its emphasis on technical cooperation it is especially effective with respect to Objective 2, the development of a strong and expanding national economy.

The MSP in Honduras in the past has tended to follow the traditional lines of this program in Latin America, with emphasis on the major fields of agriculture, public health, and education. Certainly these activities are basic in Honduras, which needs help to realize its legitimate aspirations for a better standard of living and higher level of culture. I feel strongly convinced that a much greater emphasis should be given to assistance in basic education. The illiteracy rate in Honduras is very high and the level of education of those who are literate is extremely low. The manpower requirements, not only for mutual programs but for normal national activities, are impossible to

meet from present human resources. This appears to be the priority problem in Honduras, and this conclusion is reflected in the 1959 and 1960 Program submissions, which include a program for the building of school rooms under the "aided self-help" system. Whereas this is a worthwhile effort and will coordinate well with the teacher education project, it is my opinion that it will be long range in its expected effects and will not be of sufficient impact to solve the problem. I have hopes that a more effective and immediate solution can be found for this grave situation, possibly a solution which will include adult education programs on a very broad scale. Incidentally, in order to achieve the greatest flexibility in the "aided self-help school program, I hope it can be approved in the category of Special Assistance rather than Technical Cooperation.

There are other problems, however, which should be recognized if gains are to be consolidated, and if the country is to develop continuing institutions which will help it to help itself. I refer specifically to the development of a better public administration and a tradition of good government, and also to the activation of private enterprise to permit sound development of the national economy. The USOM, which has had a large scale turnover of personnel in the last year or two, has been in the process of re-evaluating its program, and I am pleased to note that the above problems have been recognized in its current budget submission; the program for FY 1961 calls for a somewhat broader approach than before in the field of public administration, and there is a proposed industrial development project which has for its purpose the training of managerial skills and increase in industrial productivity. Both of these activities are small scale, which I believe is appropriate at this stage, until there has been more experience in local conditions. In the case of the industry project, one of the conditions to be observed is the effect of the recently adopted Labor Code, which may have an inhibiting effect on both new and existing industrial enterprise.

A related project which has been rather successful in the past, and which will continue, is the training of labor leaders. Selected trade union officials have been sent to Puerto Rico and the United States for observation and training in the responsibilities and obligations of democratic labor leadership. This has been supplemented in the past two years by labor training seminars for leaders at a somewhat lower level, given to larger groups within Honduras. It is considered that these activities have been very helpful in combating Communist attempts to dominate the unions, and have resulted in more responsible trade union leadership and improved labor management relations. The project will be continued in FY 1961, but on a smaller scale than previously.

In the field of agriculture, no major changes in program are foreseen, although the USOM in recent months has been making a

concentrated effort to improve the efficiency of its operations in this field and to eliminate activities which are found to be no longer necessary or practicable. One new project has been proposed for FY 1961, a program of technical assistance in warehousing and marketing for farmers.

Public Health requirements in Honduras are very great. In terms of human needs, as well as impact on public opinion, the MSP health programs are extremely important.

In the past, this program has been directed largely toward the building of community water supply and sewage projects and environmental sanitation, in general. The largest single element of the program is currently the malaria eradication campaign, which is part of a regional, and indeed a world-wide campaign, to eliminate the disease. Honduras is cooperating very satisfactorily in the technical aspects of this program, though unable to contribute financially to any significant extent.

The USOM, through the Health Services, has carried out numerous engineering projects, which included the use of \$1.25 million Smather's Loan Funds for community water supplies, which are nearing completion. These projects have been conducted without sufficient supervision, with the consequent errors and dangers to U.S. prestige. Strong corrective measures are now being taken, and, upon completion of these jobs, USOM will turn its attention away from this type of work and place more emphasis on health education and training, on the development of health centers, and on the creation of an adequately-trained nursing profession.

The MSP in Honduras also embraces projects in the field of transportation, both air and ground. The development of Honduras has been seriously handicapped by the mountainous terrain, and the majority of the towns and communities are relatively isolated, being served only by trails, unimproved roads, or light planes. A civil aviation project has been in existence for some years, providing technical assistance to the national civil air agency; with the use of the USOM air personnel it has also been possible to establish an electronics training program and a regional flight information center serving all of Central America. These activities are continued in FY 1961 and are related to a regional ICAO air traffic control program supported by all of the Central American Republics and making use of the Tegucigalpa Training Center facilities, which were established with ICA help.

In recent years Honduras has received considerable financial assistance for economic stabilization and public works. In January 1959 Honduras obtained a standby loan for \$4.5 million from the IMF for currency stabilization and is complying with stipulations covering governmental fiscal management practices.

In addition to its participation in the Pan American Highway project, for which it has received an Eximbank loan for \$1.7 million, Honduras has obtained approval for a total of loans from IBRD for road construction and maintenance of \$13.7 million, all obtained since December 1955. The DLF, in 1959, approved a loan of \$5.0 million to cover local currency costs on IBRD-financed projects and is considering new requests for the same purposes amounting to \$9.0 million. The recently created Engineering Construction Unit, an ICA-financed project, will receive a total of \$1.0 million in grant aid, which will be matched by an equivalent amount in local currency, to be contributed by the GOH. Continuing projects financed with \$3.0 million of Smather's Loan funds (the major portion of which has already been used) consist of a road building program in the Guayape Valley and a program to provide public water supplies to villages. This latter is mentioned under the remarks on the Health Program.

Technical assistance has been provided by the U.S. Bureau of Public Roads and by private U.S. construction companies, as well as by ICA technicians in these projects.

It is apparent that Honduras is in great need of roads and that these projects will be of direct and immediate benefit to the national economy. It is my opinion, however, that to insure an efficient and completely satisfactory performance in the construction of roads to be financed with U.S. financial assistance, it would be advisable to negotiate the work by contract to reliable engineering firms, thus avoiding numerous serious drawbacks, which have been evident in the performance of the Ministry of Public Works of the GOH.

The FY 1961 Mutual Security Program does not contemplate additional funding for the Engineering Construction Unit, except for a limited amount of Technical Cooperation funds to backstop U.S. participation in the operational phase of this project. Even this participation by the USOM could be eliminated, or greatly reduced, at this stage, if adequate technical support were provided by the Department of Defense.

With respect to the ECU operation, I have certain reservations, although I agree with the basic objective. Undoubtedly, the purpose of utilizing military personnel to perform useful civilian work is appealing and, if successful, could have favorable effects on the internal political climate, as well as on the economy. My reservations may be expressed as follows:

A full and satisfactory operation of the ECU unit might reduce the military potential of the Armed Forces below the point of safety at a time when it is evident that the influence of the military is essential to insure the security of the present constitutional regime. The maintenance and operational expenses of heavy machinery are a burden

which the GOH, and particularly the Army, are not in a position to meet without severe sacrifice. There is insufficient trained personnel to meet the managerial and technical requirements of this operation. In short, the project is a difficult one, and in case of incomplete success, U.S. prestige will be involved. I therefore expect that the DOD and ICA will give immediate favorable attention to the recent requests for manpower for this operation.

With respect to coordination between U.S. agencies and non-U.S. programs in the achievement of common objectives, the following observations may be made. In the field of credit and other economic policies, there has been good coordination with the local representative of the IBRD, and, through him, with the other international lending agencies. Cooperation with the Development Loan Fund has been less effective because of lack of information and clearly defined responsibility as to its activities in the field. Both CARE and UNICEF are active in Honduras, and there are no complaints as to coordination. Relations with WHO/PAHO in public health have been excellent. FAO generally works well with the agricultural division of USOM. Certain basic differences in philosophy and approach have been noted between UNESCO and the educational division of the USOM, although there has been recent improvement in relationships. UNTAA activity has been confined to public administration and social welfare; the USOM has no activities in the latter field, and, in public administration, the projects of the two agencies thus far have been complementary.

The welfare agencies food programs are now being carefully controlled for efficient operation, after a period of rather loose management. During the last two years UNICEF was responsible for the loss of over 90 tons of dried milk due to incorrect handling. USOM is now instituting a close surveillance of this program, as well as the CARE program, which has been operating successfully under its own supervisory personnel.

A commentary of this nature would be incomplete without some general remarks on the problems of obtaining satisfactory cooperation from the host country. Honduras has a history of political instability. Changes of Government have been very frequent, and, of course, there is nothing resembling a civil service system. Under these circumstances, national agencies and institutions are notorious for their changes of personnel.

Top and middle-level officers of the Government have characteristically been solidly behind U.S. efforts to improve local conditions through cooperative efforts. This is true of all political parties. They frankly recognize the usefulness of aid, as well as the instability of their own institutions. The result of this situation is that such activities as are

carried on by the Servicios tend to become permanent through lack of a host institution which can take them over.

In an attempt to break this state of only partially satisfactory equilibrium, the D/USOM will study possible methods of guaranteeing successful turnover of projects which are ripe for delivery and are operating successfully. The present outlook is far from favorable for such action, but it is felt that at least some intelligent trials should be made. The principal difficulty will be to keep trained personnel from being replaced by political favorites without qualifications.

As stated above, Country Team coordination has been greatly improved, and I believe this improvement is due in considerable measure to the designation of the D/USOM as Economic Counselor. The incumbent himself feels that at this time, and with present personnel, he is unable to delegate USOM operational responsibilities without danger to those operations, and is, therefore, not fully complying with the requirements of both positions. Since the Embassy Economic Section is staffed with experienced officers, a great degree of accommodation has been possible, and I feel that for the present it will be possible to operate successfully.

Robert Newbegin

HO-11. Editorial Note

October 26, 1959.

In an exchange of notes between the American Embassy in Honduras and the Honduran Ministry of Foreign Relations on October 26, 1959, and February 17, 1960, respectively, the United States Government and the Republic of Honduras entered into an agreement to permit the exchange of third party amateur radio communications. In a related note from the American Embassy to the Honduran Ministry of Foreign Relations on February 19, 1960, the United States informed Honduras that, according to the terms of the American note of October 26, 1959, the agreement would become effective on March 17, 1960. For the texts of the notes exchanged as well as the text of the related note, see 11 UST (pt. 1) 257.

HO-12. Editorial Note

April 22, 1960.

In an exchange of notes between Ambassador Robert Newbegin, and Andrés Alvarado Puerto, the Honduran Minister of Foreign Affairs, on April 22, and May 20, 1960, respectively, the United States Government informed the Republic of Honduras of its desire to amend and to extend for an additional period of time beginning on March 6, 1958, the United States Army and Air Force Mission agreements of March 6, 1950 (1 UST 199). Alvarado accepted the American proposals, and the agreement entered into force on May 20, 1960, retroactive to March 6, 1958. For the texts of the notes exchanged, see 11 UST (pt. 2) 1507. Documentation concerning the negotiation of this agreement is in Department of State files 715.58 and 611.157.

HO-13. Memorandum from the Acting Secretary of State to the President¹

Washington, May 13, 1960.

SUBJECT

Unofficial Informal Visit to U.S. by President of Honduras

In January President Villeda Morales of Honduras was invited to address the Chamber of Commerce of the Americas in Miami on May 30. More recently he has been invited to add New Orleans to his itinerary to enable him to visit a large pulp and paper operation similar to one being planned in Honduras by two large American firms. Our Ambassador in Tegucigalpa attempted to dissuade him from accepting the Miami invitation, pointing out that it would be impossible to show him any of the attentions and courtesies customarily extended visiting Chiefs of State. President Villeda indicated, however, that he did not expect any official attention as he would be in the United States in a private, unofficial capacity. The fact that the invitation had been extended

¹ Source: Department of State, Central Files, 715.11/5–1360. Confidential. Drafted by Gawf on May 10.

was widely known in Miami, and for this reason it became clear that if President Villeda were induced to refuse the invitation, his refusal would be seriously damaging to our relations with Honduras. Accordingly, our Ambassador was authorized to convey the Department's approval of the Miami visit. Also, for similar reasons, our Ambassador has been authorized to agree to the addition of New Orleans to President Villeda's itinerary, emphasizing in both instances that his trip must be completely private and informal and that no question of official attention or a visit to Washington is to be raised. President Villeda understands this condition and accepts it.²

Although the duration of President Villeda's visit is still somewhat indefinite, it is estimated that he will be in the United States about a week. Our Ambassador to Honduras, Ambassador Robert Newbegin, will accompany him on the entire trip, and Mr. C. Allan Stewart, Director of the Office of Central American and Panamanian Affairs of the Department of State, will go to Miami to meet the group.

While President Villeda does not expect any official attention, I believe it would be desirable for you to send him a short letter to be delivered personally by Mr. Stewart upon his arrival. Enclosed is suggested letter which, if you approve, we will be glad to transmit.³

It is recommended that this message, if approved, be released only on the initiative of President Villeda.⁴

DOUGLAS DILLON

Acting Secretary

² President Villeda arrived in Miami on May 30 and proceeded with his visit as planned. Documentation concerning Villeda's visit to the United States is in Department of State file 715.11.

³ In the draft of this letter to President Villeda, President Eisenhower conveyed his greetings and welcomed Villeda to the United States; praised Villeda's efforts to strengthen and defend Honduras' democratic institutions and to improve the well-being of the Honduran people; and expressed the hope that the close and friendly relations that existed between the United States and Honduras would continue to grow and prosper.

⁴ According to two handwritten notations on the source text, the signed original of this letter was received from the White House on May 27 and was given to Gawf for transmission to President Villeda Morales.

HO-14. Airgram from the Acting Secretary of State to the Embassy in Honduras¹

Washington, September 2, 1960, 4:52 p.m.

G-7. JOINT STATE-DEFENSE MESSAGE

1. Grant equipment which U.S. plans for Honduras during FY 61 consists exclusively that required by infantry battalion Honduras has agreed maintain for hemisphere defense. This program does not include most items mentioned Embtel 174,² 182³. This small Army unit approximating 650 men obviously could not absorb 3,000 rifles and 1,000 carbines. Unlikely U.S. can substantially increase fire-power or size unit, by providing tanks and artillery equipment, without providing immediate requests from Nicaragua and Guatemala for similar equipment which U.S. does not contemplate providing them this FY.

2. Beyond grant equipment program discussed above, State and Defense would consider country team-CINCARIB recommendation for assistance, including ammunition, considered indispensable Honduran requirement for maintaining law and order against communist-Castro fomented disorders. Any such recommendation should take into account equipment already possessed by local police as well as armed forces, since U.S. would not be prepared duplicate in one branch GOH capability already possessed by another. Any grant equipment provided for internal security would necessitate prior Presidential determination required by law and raise U.S. financial problems difficult to resolve in view limited funds authorized by Congress and available for LA military assistance programs.

3. In view foregoing, Emb and CINCARIB should not encourage Hondurans anticipate grant program of character and dimensions recommended Embtels 176, 182.

Merchant

¹ Source: Department of State, Central Files, 75.5–152/8–2960. Confidential. Drafted and initialed by George O. Spencer, the Officer in Charge of Inter-American Security and Military Assistance. The airgram was also repeated for information to Panama City for the Commander in Chief, Caribbean.

² In telegram 176 from Tegucigalpa, August 26, Chargé Albert B. Franklin III, informed the Department of State that the Honduran Army lacked sufficient ammunition to carry out its tasks, and that the Commander in Chief, Caribbean, had requested the Joint Chiefs of Staff to make available the necessary supplies. In Franklin's view, this shortage was dangerous and required rectification, therefore, the Department of State should support the request. (715.5-MSP/8–2660)

³ In telegram 182 from Tegucigalpa, August 29, Franklin informed the Department of State that he supported an additional request from the Commander in Chief, Caribbean, to supply arms to the Honduran Army. (715.5-MSP/8–2960)

HO-15. Memorandum of Conversation, by the Officer in Charge of Honduran Affairs (Chaplin)¹

Washington, November 2, 1960.

SUBJECT

Political Situation and United Fruit Company Plans in Honduras

PARTICIPANTS:

ARA—Thomas C. Mann—Assistant Secretary
AFL/CIO—Andrew McClellan
ARA/RPA—Mr. Henry Hammond
ARA/OAP—Mr. Chaplin—OIC—Honduran Affairs
ARA—Mr. Pryce

Mr. McClellan, who had recently returned from a visit to Honduras, requested an appointment to discuss the political consequences of the reported plans of the United Fruit Company to withdraw from some public services on the North Coast of Honduras and to lease its banana farms to private Honduran producers. He said that if United withdraws from the hospital, the schools and the commissary, the Government will be unable to take them over, and the result will be their collapse. The prospect of this withdrawal is causing great anxiety in Honduras, and the plans to lease banana farms, to local producers are viewed by the Fruit Company union, SITRATERCO, as a maneuver to break the union.

Mr. McClellan stressed the unemployment, economic stagnation, increasing political stability in Honduras, and the alarming growth of influence of the pro-Castro, communist, and extreme left-wing Liberal groups. He said that, the Villeda Government is riddled with unreliable individuals, many of, whom are pro-Castro. He emphasized that the reported plans of the United Fruit company to disengage from its Honduran operations would have grave political consequences, which might force Villeda to compromise with the extreme left faction of his party, or might result in his replacement by a pro-Castro government.

Mr. Mann expressed his concern over Mr. McClellan's reports, and said that he would ask the Embassy to make an urgent assessment of the political trend in Honduras.² Mr. Mann called Mr. Sunderland,

¹ Source: Department of State, Central Files, 715.00/11-260. Confidential.

² On November 3, 1960, Assistant Secretary Mann sent instructions to this effect to the Embassy in Honduras. (Telegram 193 to Tegucigalpa; 715.00/11-360)

President of the United Fruit Company, relayed the general substance of Mr. McClellan's reports, and requested that Mr. Sunderland defer execution of any new United Fruit programs for disengagement from Honduras pending a discussion of their political impact. He said that he would be in a position to discuss the matter as soon as the Embassy had submitted a report now being requested. Mr. Sunderland agreed to defer action and agreed to discussions with the Department in approximately 10 days.

Mr. Mann suggested that it might be productive if Mr. McClellan were to go to Boston and discuss the Honduran problem with United Fruit officials. Since Mr. McClellan was leaving shortly for Central America, it was agreed to explore this idea further upon his return. Mr. Mann observed that in principle, the United program to turn more of its operations over to local operators was desirable, but serious political and economic problems could arise, not only in Honduras, but in other countries where United operates and may be planning similar programs.

HO-16. Telegram from the Ambassador in Honduras (Burrows) to the Department of State¹

Tegucigalpa, November 4, 1960, 5 p.m.

359. Deptel 193.²

Following estimate preliminary with despatch to be pouched soonest.³ Re United Fruit policies and prospective labor and political repercussions, see Embassy despatch 62⁴, 128⁵, 137⁶, Embassy

¹ Source: Department of State, Central Files, 815.062/11-460. Confidential; Priority. Charles R. Burrows was appointed Ambassador to Honduras on August 27 and presented his credentials in Tegucigalpa on November 3.

² See Document HO-15, footnote 1.

³ On November 10, Ambassador Burrows transmitted the Embassy's assessment of the United Fruit Company's operations and plans to the Department of State. (Desp. 159 from Tegucigalpa; 725.00/11-1060)

⁴ Not printed; 815.2376/8-3160.

⁵ Not printed; 815.2376/10-1960.

⁶ Not printed; 815.062/10-2660.

airgram G-25⁷. Latest information indicates company planning invest eleven million dollars in planting 32,000 acres with disease resistant banana varieties plus two million in paper box factory. Unknown whether additional land investment anything more than replacement for lands rapidly being abandoned to disease; and unknown whether investment to be for company or independent operations. Latter still primary labor concern. November 20. Hale told Labor Attache⁸ Sitraterco has lost approximately 1,000 dues-paying members since 1958, probably half due to land turn-over policies, remainder to other company disengagement practices. Resultant deteriorating labor situation places leaders under extreme pressure from membership. Labor's immediate concern is fact GOH has not yet replied their petition to apply collective bargaining rights to independents. Meanwhile opportunists continue exploit situation, particularly Tegucigalpa labor advisor Reyes Ayestas. Most ORIT-oriented labor leaders not likely to be seduced by Castro. Real danger is that there may be ousted by membership unless effective combination GOH and company policies and actions forthcoming soon.

Moderate liberal GOH leadership has generally resisted extremist leftwing pressure, although always with indecisiveness which reflects essential political weakness. Embassy repeats loss of organized friendly labor support could well be critical in terms continuance present GOH policies or, ultimately in terms survival present administration. In latter circumstance only armed forces could save administration. These, although neutral in last 18 months vis-a-vis internal political groupings, are overwhelmingly anti-Communist and anti-Castro. Their minimum current requirements cited in points one-three, paragraph 8, Embassy despatch 79.⁹

Burrows

⁷ Not printed; 815.062/10-2160.

⁸ John H. O'Grady.

⁹ On September 9, the Embassy in paragraph 8 of the referenced despatch informed the Department of State of the Honduran Armed Forces' minimum requirements of arms and ammunition. (715.5-MSP/9-960)

HO-17. Memorandum of Conversation, by the Officer in Charge of Honduran Affairs (Chaplin)¹

Washington, November 17, 1960.

SUBJECT

United Fruit Company Plans in Honduras

PARTICIPANTS

ARA—Assistant Secretary Thomas C. Mann
Mr. Victor Folsom, General Counsel, United Fruit Co.
Mr. Joseph W. Montgomery, Director, United Fruit Co.
Mr. Alfred Giardino, Labor Consultant, United Fruit Co.
Mr. Dale McConkey, Personnel Director, United Fruit Co.
Mr. Jasper Baker, Wash. Representative, United Fruit Co.
Mr. Andrew McClellan, AFL/CIO
ARA:OAP—Mr. Higdon, Mr. Chaplin
ARA:RPA—Mr. Hammond

Mr. Folsom and his associates called on Mr. Mann at the latter's request to discuss the United Fruit Company's plans for its Honduran operations. Mr. Mann said that uncertainty over the company's plans in Honduras is so intense as to create a political problem. The problem areas appeared to be in reduction of work force, leasing banana farms to private producers, withdrawal from schools, hospitals, the commissary, and possible turnover of the railroad to the Honduran Government.

Mr. McClellan said that the union (SITRATERCO) did not intend to advise the company on plans for reorganization in the face of the declining economic position of the Honduran banana industry, but felt that the company had an obligation to arrange for transfer of the public services it operates in such a way that these services will continue to operate efficiently. He said that he hoped to arrange a meeting between company officials and the union leaders.

Mr. Folsom outlined the grim outlook for the Honduran banana industry, and noted that at the current rate of spread of the Panama disease, United's production of the Gros Michel variety will have been reduced to virtually nothing in five years. United has an investment of about \$40 million in Honduras, and is doing everything it can to protect that investment. The only solution foreseen at this time is the discovery of a disease resistant banana variety.

The company's counting on having discovered a disease resistant variety before the existing Gros Michel production is wiped out. The company has established experimental growths of Lacatan and Giant

¹ Source: Department of State, Central Files, 815.0511/11-1760. Official Use Only.

Cavendish varieties, and the associated boxing plants. It was emphasized that there are many shipping, marketing, and consumer acceptance problems to be resolved before the company could say that these varieties are the solution to the disease problem. Mr. Folsom said that the question of maintaining the various public services in effective operation was basic in the company's plans, but that it was obvious that some of these operations were far more extensive than justified by the current scale of operations, or were businesses which the company should not be engaged. He pointed out that it was vitally important for the company to have the hospitals and railroads continue in operation, and the company was investigating every possibility for effective operation under private or public auspices. He said that United planned to send a team to Honduras to explain the company's plans in the near future, and hoped that this team could allay the existing apprehension about the company's plans.

Mr. McClellan said that the union was in a position to take the place of the company's commissary operation, and the union would be glad to cooperate in assisting the transfer of other public services.

Mr. Folsom said that a mission of Mr. Albert Maverick and Mr. Giardino would go to Honduras in the next three weeks to explain the company's plans to government and union officials. He said that some of the uncertainty reflected in the Honduran situation was a consequence of the uncertainty of the company's own policies. He hoped that a wide range of firm programs would have been decided upon before the visit of the mission to Honduras.

Mr. Mann said that Mr. Folsom's exposition had been very reassuring, and that a similar discussion in Honduras should have desirable effects. He added that he was reassured that the farm leasing, or associate producer, program was being set up in such a way that the farms were large enough and potentially sufficiently profitable so that the operators would be in a position to pay normal wages to their employees.

The urgency of the problem in Honduras was restated, and Mr. McClellan said that he would immediately cable the head of SITRATERCO that the United Fruit Company would be sending a mission to Honduras to discuss company plans in the next three weeks, and that he hoped this news would be reassuring. Mr. Folsom said that the company would proceed with its Honduran programs which had been deferred at Mr. Mann's request, and would make every effort to present a complete, detailed exposition of company plans to interested groups in Honduras.

HO-18. Telegram from the Ambassador in Honduras (Burrows) to the Department of State¹

Tegucigalpa, November 18, 1960, 4 p.m.

391. Reference Department telegram 231, 141 to Managua.²

This is day of national rejoicing and at least momentary political unity in Honduras.³ Orderly manifestations and celebration have continued since 6 a.m. with participation all shades political spectrum and with official holiday declared. Examples of prevailing spirit were appearance at Plaza Morazan of ex-President Galvez together with Villeda Morales and joint manifesto signed by Villeda Morales, former Presidents Galvez and Carias plus members of 1956 junta hailing juridical victory and peaceful return of disputed territory.

Some voices calling for immediate and unilateral implementation if necessary of court decision but indications have been since character of decision first known here on November 14 that Honduran Government does not intend endeavor force untimely or disorderly takeover of territory. This has been clear from conversations with Foreign Minister⁴ and with private secretary of the President⁵ among others. This morning, when I conveyed substance reference telegram, President confirmed this attitude, gave me copy his message to Somoza translated below, and professed readiness work closely with Nicaraguan authorities toward orderly transfer of territory. In answer suggestion that students or Guardia Civil might move precipitously he pointed out students or others could not possibly arrive at border without air transportation which definitely would not be provided.

Military and civil authorities interested only in continuation to final conclusion of legal orderly process which has so successfully been begun.

¹ Source: Department of State, Central Files, 615.173/11–1860. Secret; Priority. Sent also to Managua.

² In telegram 231 to Tegucigalpa, the Department of State informed Ambassador Burrows that it had received a report for Exised Managua that should the International Court of Justice adjudicate the Nicaraguan-Honduran boundary dispute in favor of Honduras, the Government of Nicaragua feared that Honduran students and elements of the Honduran Guardia Civil would provoke an incident in the disputed area. To prevent such an incident, the Department of State requested the Embassies at Tegucigalpa and at Managua to convey promptly the hope of the United States Government that Honduras and Nicaragua would make every effort to carry out promptly and without incident the decision of the International Court of Justice. (615.173/11–1760)

³ On November 18, 1960, the International Court of Justice announced its decision upholding Honduras' claims against Nicaragua to the disputed area known as Gracias a Dios.

⁴ Andrés Alvarado.

⁵ Juan Agurcia.

President said that if he were to receive message from Somoza indicating readiness to participate in such orderly transfer of authority he would reply in like vein. Impression I received is that Villeda Morales would be happy participate in procedure which might be example for entire area and, perhaps, beginning of new era of improved relations between Nicaragua and Honduras. That, at least, was atmosphere in presidential palace today; a personal meeting on border between Somoza and Villeda Morales to formalize agreed procedure and to demonstrate spirit of collaboration was even discussed in my presence by several ranking officials of GOH.

Now, it was also suggested, only dispute over Swan Islands is with U.S.⁶ Foreign Minister and others insisted to me that Swan Islands is basis for different kinds of disagreement which they satisfied can and will be resolved by friendly discussion. Meanwhile, however, there have been repeated references in radio broadcasts and by sound trucks to Swan Islands issue and even to protest meetings.

"ICJ resolution calling for execution of royal arbitration award of 1906, which settled frontier dispute between our countries, is motive patriotic jubilation and Central Americanist satisfaction for the Government and people of Honduras because, in this manner, bonds of affection and understanding between two sister republics are fully restored. Justice never one-sided, wherefore I am sure you will join our celebration of judicial sentence which definitely eliminates cause of resentment between our peoples and rebuilds between Honduras and Nicaragua bases of traditional and unbreakable friendship. I hope as we raise again symbols of Honduran sovereignty in localities which until now have been subject de facto occupation, our two peoples, united in brotherhood since their political emancipation, may strengthen their economic, social and cultural bonds in noble aim of Central American integration. I avail myself of this opportunity to renew to you (sic) the expressions of my high (sic) and distinguished consideration. Ramon Villeda Morales, President of Honduras."

Burrows

⁶ See Secretary of State Herter's memorandum of December 8, 1960, to President Eisenhower, Document HO-22.

HO-19. Telegram from the Secretary of State to the Embassy in Honduras¹

Washington, November 21, 1960, 7:57 p.m.

237. Managua 161.² Tegucigalpa 392.³ Dept impressed with constructive statesmanlike response by President Somoza to ICJ decision. Dept believes Somoza-Villeda border meeting of type outlined Tegucigalpa's 392 might be highly desirable from standpoint reducing tensions and possibly lead to solution other outstanding problems through improved personal relations between Chiefs of State.

In your discretion, you may wish encourage Presidents Somoza and Villeda along these lines.⁴

Herter

¹ Source: Department of State, Central Files, 615.173/11–1860. Secret. Drafted by Chaplin and initialled by Charles E. Higdon, Deputy Director of the office of Central American and Panamanian Affairs. The telegram was also transmitted to Managua.

² In telegram 161 from Managua, November 18, Ambassador Whelan informed the Department of State of Nicaragua's willingness to comply with the decision of the International Court of Justice. (615.173/11–1860)

³ In telegram 392 from Tegucigalpa, November 20, Ambassador Burrows reported that President Villeda hoped to meet soon with President Somoza of Nicaragua to work out procedures to govern the transfer of authority in the disputed territory. (615.173/11–2060)

⁴ Presidents Villeda and Somoza met on January 10, 1961, at the town of El Espino to celebrate the peaceful settlement of the long-standing border dispute. For further information, see the article entitled "Honduras Pushes Boundary Rights" in *The New York Times*, January 15, 1961, p. 5.

HO-20. Memorandum of Conversation, by the Officer in Charge of Honduran Affairs (Chaplin)¹

Washington, November 30, 1960.

SUBJECT

Financial Difficulties of the Standard Fruit Company

PARTICIPANTS

Acting Secretary Douglas Dillon
Representative Hale Boggs
Dr. Thomas S. D'Antoni—President,
Standard Fruit Co.
Mr. Robert Smith Standard Fruit Co.
Mr. D. J. Kirchhoff Standard Fruit Co.

Mr. Kenneth H. Gormin—Bauerlein Inc.,
New Orleans
ARA—Deputy Assistant Secretary Milton
Barall
ARA:OAP—Mr. Chaplin

Representative Boggs said that he had requested the appointment at the suggestion of Mr. Waugh of the EXIM Bank, who felt that the political implications of Standard Fruit's financial problems should be brought to Mr. Dillon's attention.²

Dr. D'Antoni related the history of the Standard Fruit Company, the circumstances of its critical financial condition, the fact that some 50,000 people in Honduras were directly or indirectly dependent on company operations, and presented a memo³ showing that the company had lost \$6.4 million in the first 8 months of 1960, primarily as a result of low banana prices. Mr. Dillon questioned Dr. D'Antoni to clarify that the primary reason for the banks' refusal to renew credits to the company was the depressed banana market, with Latin American political conditions being a contributory factor.

Mr. Boggs suggested that if Standard were to cease operations, the consequent economic dislocation in Central America would give rise to demands for U. S. assistance far in excess of the amount needed by the company.

¹ Source: Department of State, Central Files, 815.05111/11-3060. Confidential. Theodore L. Eliot, Jr., the Special Assistant to the Under Secretary of State, initialled his approval of this memorandum on December 2.

² According to Chaplin's memorandum of conversation dated November 28, 1960, D'Antoni had outlined the Standard Fruit Company's financial problems to Assistant Secretary of State Mann and had raised the possibility of obtaining financial assistance for the company from the United States Government. In the course of this conversation, D'Antoni revealed that Standard Fruit was no longer able to secure financing from American banks, that the company had a \$5.6 million note with the Chase Manhattan Bank that the bank was unwilling to renew, that Standard Fruit required \$10 million in new financing to continue operations, and that he was meeting with Waugh on November 29 for the purpose of trying to obtain assistance from the Export-Import Bank. (Rubottom-Mann Files, Lot 62 D 418, "Honduras 1960")

³ No memorandum concerning such matters has been found.

Mr. Dillon commented that this situation was one which the Reconstruction Finance Corporation might have been able to remedy, but that it was not clear that the U. S. Government now has a legal avenue by which it could come to the company's aid with loans, either through existing lending institutions or through Mutual Security Act funds. Mr. Dillon said that the critical political and economic consequences of the bankruptcy of the company demanded that the Department investigate carefully every possibility by which the company could be aided. Mr. Barall said he would discuss the matter with the appropriate offices in the light of Mr. Dillon's feelings, and communicate the results to Dr. D'Antoni on the following day.⁴

⁴ No record of such a communication from Barall to D'Antoni has been found in Department of State files.

**HO-21. Memorandum of Conversation, by the Officer in Charge
of Honduran Affairs (Chaplin)¹**

Washington, December 6, 1960.

SUBJECT

Standard Fruit Company Financial Difficulties

PARTICIPANTS

ARA—Assistant Secretary Mann
Mr. Roger Keefe, Vice President, Chase Manhattan Bank
Mr. John Donalson, Loan Officer, Chase Manhattan Bank
Mr. Douglas Smith—DLF
Mr. Ralph Golby—DLF
E—Mr. Anthony Geber
ARA—Mr. Rosenson, Mr. Chaplin

Mr. Mann outlined the problems of the Standard Fruit Company and the acute political and economic problem for the U.S. in Honduras if Standard were to cease operations. He asked what were the plans of the Chase Manhattan Bank as the company's largest creditor.

¹ Source: Department of State, Central Files, 815.2376/12-660. Limited Official Use.

Mr. Keefe said that the Bank's interest was not limited to the \$5.6 million loan to the company, but included additional loans of over \$1 million made to a Dutch corporation to finance refrigerated ships chartered to Standard. Standard is obligated to prepay charter fees if the borrower is unable to make payments on the ship loans. If Standard were to halt operations, there would be no charters for the ships, thus no payment on the ship loans, and the sale of the ships would not realize the amount of the outstanding loan balances on them. He added that the bank was looking for a purchaser for Standard's collateral, stock in two breweries and a soap factory, but that it might take some time to find a satisfactory purchaser. He said that no matter how Standard's financial problems may be resolved, he felt that the company should rid itself of the breweries and soap factory. The two crucial questions regarding Standard's future in the bank's eyes are how to overcome the political risks in Honduras, and will it be possible for Standard to stop its current losses. As matters stand, the company will be unable to meet its payrolls by the middle of January. Chase Bank itself does not engage in foreign loans, and the original loans to Standard were made against domestic assets which have now disappeared. Mr. Mann was then called away from the meeting.

Mr. Donalson said that an examination of the cash flow projection for 1961 indicates that the company should show a slight cash profit on its Honduran operation over the entire year, but that exclusive of debt payments becoming due, the company would need approximately \$1.5 million new financing in 1961 for working capital.

Mr. Smith and Mr. Golby of DLF said that ICA or DLF are in a position to give guarantees against expropriation and civil disturbances, and asked what types of guarantees would be necessary for the bank to continue its financing of the company.

Mr. Keefe said that even if the political risks were covered, the grave commercial risk remained, and the key to the bank's continued financing. If the ability of the company to stop its losses. If losses could be stopped, the bank would be willing to continue to carry the company, however the company needs additional funds to operate until it is known whether or not losses can be stopped.

Mr. Golby suggested that the bank might be able to consider DLF political guarantees for the \$5.6 million coming due, with repayment guarantees for up to a given amount of new loans necessary for working capital. This situation would not involve a U.S. agency in financial supervision of the company and would appear to accomplish our policy ends. Mr. Keefe said this proposal was satisfactory as a basis for

negotiation, and he would plan to return to Washington on December 8 for further discussions.²

² According to Chaplin's memorandum of conversation dated December 8, 1960, officials of the DLF informed Keefe and other representatives of the Chase Manhattan Bank that the DLF representatives had secured negotiating instructions along the lines of the proposals discussed on December 6 and were prepared to make specific proposals to the bank regarding political and repayment guarantees for any loans that the bank might make to the Standard Fruit Company. Keefe responded that the bank did not believe the DLF or ICA could offer political risk guarantees that would in practice satisfy the needs of Chase Manhattan. After an extended discussion of the question of economic guarantees, those present agreed that DLF would draft a guarantee agreement for the bank's review. (815.05111/12–860) In a letter to Ambassador Burrows dated December 14, 1960, Chaplin summarized the results of the discussion that had occurred on December 8, informed the ambassador of Under Secretary of State Dillon's determination to prevent Standard Fruit from going bankrupt, and stated that efforts were continuing to arrange a government loan if Chase Manhattan refused to offer additional financing to Standard Fruit. (ARA Files, Lot 66 D 94, "Correspondence, Ambassador Newbegin, Honduras 1960")

HO-22. Memorandum from the Secretary of State to the President¹

Washington, December 8, 1960.

SUBJECT

Submission of the Dispute with Honduras concerning Sovereignty over Swan Islands to the International Court of Justice.

A long-standing dispute between the United States and Honduras concerning sovereignty over two small Caribbean islands, the Swan Islands, is now becoming so inflamed in Honduras that it threatens U.S.–Honduran relations, and even the stability of the moderate administration of President Villeda Morales. For almost 100 years, the islands have been occupied by United States citizens and utilized by United States interests. The Cuban Government, in its general propaganda campaign against the United States, has been agitating the dispute throughout the hemisphere, partly to aggravate an issue between the United States and Honduras, and partly because of anti-Castro broadcasts being made by a commercial radio station on one of the islands.

The Hondurans have convinced themselves that their claim to these islands is unassailable. However, the U.S. has long claimed the

¹ Source: Eisenhower Library, Whitman File, Dulles-Herter Series. Confidential.

islands, and after careful study, we believe the U.S. has the better claim. A memorandum discussing more fully the dispute over sovereignty is enclosed.²

There is no way to resolve this issue by compromise, since each side believes that it has sovereignty. The only method by which it can now be resolved, in my judgment, is to have the question of sovereignty decided by an impartial tribunal, the International Court of Justice. High officials of the Honduran Government have given indications that Honduras would probably agree to this course. A statement regarding the relevance of the Connelly Amendment³ is enclosed.⁴

It is likely that the United States will win the case if it is submitted. However, even if this were not the situation, I believe it would still be highly desirable for the United States to manifest, particularly in its relations with a small country such as Honduras, its readiness in appropriate cases to accept the resolution of a dispute by an impartial tribunal in accordance with international law.

Submission of the Swan Islands dispute to the International Court of Justice appears to offer the best available course of action for the United States in its relations with Honduras, and it has been the policy of the United States to support and foster the peaceful settlement of disputes by the International Court of Justice in appropriate cases. The Department of Defense and the Central Intelligence Agency have no objection to such a course of action.

I request that you authorize me to seek agreement with the Government of Honduras for the submission of this dispute to the International Court of Justice.⁵

Christian A. Herter

² Not printed.

³ On August 2, 1946, the United States Senate passed Senate Resolution 196 enabling the United States under certain conditions, to accept the jurisdiction of the International Court of Justice. In the course of the Senate's consideration of this resolution, Sen. Tom Connally (D.-Tex.) obtained the adoption of an amendment to the resolution that permitted the United States to reserve the right to exempt all disputes from the ICJ's compulsory jurisdiction that involved the domestic jurisdiction of the United States and to determine the definition of the term "domestic jurisdiction." For the text of Senate Resolution 196, 79th Cong., 2nd Sess., see *Foreign Relations*, 1946, vol. I, General; The United Nations, Document 34.

⁴ [The text of footnote 4 is missing in the source text.]

⁵ According to a handwritten notation on a carbon copy of the source text, the Department of State was authorized on December 9, 1960, to proceed with this course of action. (Eisenhower Library, Project Clean-Up)

Nicaragua: U.S. Relations with Nicaragua

NI-1. Letter from the Ambassador in Nicaragua (Whelan) to the Officer in Charge of Nicaraguan Affairs (Taylor)¹

Managua, February 11, 1958.

Dear Henry:

Bill Hudson will be getting out a despatch the last of the week on what I am telling you.²

President Luis and General Tachito are convinced that an attempted invasion from Honduras with a probable assist from Costa Rica will occur this month or in early March. They say that the invasion will be by ex-Caribbean Legionnaires and Nicaraguan exiles who now realize that since Echandi's election they will no longer have it easy in Costa Rica.

President Luis says that the election in Costa Rica³ handed them a jolt and that now they will not wait for Bautista's downfall in Cuba. He also states that everyone is pretty much in agreement that success in Nicaragua would assure them a base of operations.

As of now I do not believe there will be either an invasion or a revolution. There may be an assassination or an attempted one. I rule out the revolution because there are no empty bellies—a shortage of labor exists and the landowners, most of whom are in the opposition, want to market what has turned out to be a good crop. In addition to that, the little guys don't want to fight and the big ones are too careful.

The General thinks the Guardia are 75–80 per cent loyal to him and 95 per cent loyal to his brother Luis, the President.

¹ Source: Department of State, ARA/OAP Files, Lot 61 D 56, "Correspondence with Amb. Whelan Nicaragua 1958." Confidential; Official-Informal.

² There is no record in Department of State files of a despatch summarizing the Ambassador's impressions contained in his letter to Taylor on February 11.

³ On February 2, Mario Echandi, candidate of the National Union Party, was elected President of Costa Rica.

Our Military boys think that the appraisal is fair. The hierarchy of the Catholic church is satisfied and the Bishops are cooperating with the Administration.

The Liberal Party - a tight, daily functioning organization, has plenty of money and a very efficient precinct setup. The publicity that President Luis has given the supposedly revolutionary and invasion plans and his calling of the contributors (of whom he has a list) and advising them to be careful because this time there will be no fooling in the way they will be treated, is having its effect. He seems to be doing all right with Labor.

At a party of some 80 couples of the old-time Conservatives last Thursday night, at which Mrs. Whelan and I were the only outsiders, we could see the evidence of Luis's conferences with the opposition.

Now, here are some thoughts on the negative side:

We have had friends of at least five would-be candidates for the presidency if Luis was overthrown, ask us what we thought of their boys.

We also see where some of the people who secured visas before the 1954 attempted revolution are getting visas again, but it may be routine.

In addition, there has been a stepped-up press and radio campaign.

I don't know how I can be so far off in my appraisal as against that of the President, the General and some of the Cabinet members who have discussed it with me, but the solid members of the opposition cannot get excited about the rumors. I hope I am right. I have suggested to the President that when, as and if he has definite proof that an invasion is going to take place, he first try to prevent it by asking President Villeda Morales and President Figueres to meet with him at their respective borders and give them the information that he has.

When are you coming down?⁴

Sincerely yours,

Thomas E. Whelan

⁴ No record of Taylor's reply was located in Department of State files.

**NI-2. Memorandum of Conversation, by the Officer in Charge
of Nicaraguan Affair (Taylor)¹**

Washington, February 21, 1958.

PARTICIPANTS

Dr. Guillermo Sevilla-Sacasa, Ambassador of Nicaragua
Dr. Alfonso Ortega-Urbina, Counselor of Embassy of Nicaragua
ARA - Assistant Secretary Rubottom
MID - Mr. Taylor

Ambassador Sevilla-Sacasa called to discuss President Somoza's fear of an invasion against his Government from Nicaraguan exiles residing in Honduras and Costa Rica. The Ambassador said that he had had a recent conversation with President Somoza in which Somoza asked him to discuss this matter with the Department. He said the revolutionary Nicaraguan exile leaders were Pedro Vivas and Gomez Flores in Honduras, and General Cuadro Pasos in Costa Rica.

The Ambassador said that in Honduras, according to Nicaraguan intelligence reports, Nicaraguan exiles were organizing near the border for an attack. He said that although Honduran President Villeda Morales had given assurances to President Somoza that he would not permit the exiles to launch such an attack, it was feared that Villeda was not completely informed of the present activities of the Nicaraguan exiles. He indicated that although President Somoza had confidence in the good intentions of Villeda, there was doubt in his mind as to whether such key figures in his government as Oscar Flores, Villa Bermudas, and Alvarado Puerto were of the same mind. Sevilla-Sacasa stressed that Pedro Vivas was the brother-in-law of Alvarado Puerto, the new Honduran Foreign Minister, and that because of this relationship it was feared any attempt of Vivas to organize the exiles for an attack in Nicaragua would not be effectively discouraged by the Foreign Minister.

Sevilla-Sacasa stated his Government felt sure that in Costa Rica, when Echandi assumed the Presidency, he would not permit the exiles to remain in the country such as Figueres has done. He said the Nicaraguan exiles were aware of this and that fear of not being permitted to remain in Costa Rica would force them to make a move against the Nicaraguan Government within the next two months. The Ambassador said that the activities of the exiles in Costa Rica were

¹ Source: Department of State, Central Files, 717.00/2-2158. Confidential.

being correlated with those of the Honduran exiles and the plan of attack called for the two groups to move simultaneously against the Government of Nicaragua.

The Ambassador also stated he had information that three airplanes would fly shortly from Mexico to Costa Rica with armaments for the Nicaraguan exiles. He said that two of the planes would leave from Miami proceeding first to Mexico to meet the third plane and then all three would fly to Costa Rica. Mr. Rubottom asked the Ambassador if he could give the Department any information concerning the reported two planes scheduled to leave from Miami in order that the Department could check into the matter. The Ambassador said he would give the information he had to Mr. Taylor.

The Ambassador said his Government was concerned over the threat of a movement of exiles against it. He said his Government had expected the exiles to move on February 21, but thought perhaps they had delayed knowing that President Somoza was on the alert for such a move. He deplored the bloodshed and difficulties which would ensue if the exiles were permitted to launch an attack against Nicaragua. He then asked Mr. Rubottom if our respective Ambassadors in Honduras and Costa Rica could draw the respective Presidents' attention to the dangers of permitting the exiles to prepare for an attack against the Nicaraguan Government. Mr. Rubottom agreed to inform our two Ambassadors, but said he would leave the action taken to their discretion.

Mr. Rubottom informed the Ambassador that he appreciated the information he had given him. He said that we would continue to remain alert to such possibilities outlined by the Ambassador of an attack on his Government from Nicaraguan exiles. However, he pointed out to the Ambassador that the revolutionary exiles lived on such rumors and deliberately generated them without foundation in hopes of keeping Governments in a state of agitation. The Ambassador agreed that the Nicaraguan exiles had been generating like rumors for years.

In closing, the Ambassador said he had heard it was the intention of the new Honduran Foreign Minister to renounce the agreement to have the Nicaraguan-Honduran border dispute settled in the International Court of Justice. However, he did not believe this could be true.

NI-3. Despatch from the Ambassador in Nicaragua (Whelan) to the Department of State¹

Managua, March 18, 1958.

No. 414.

SUBJECT

The Invasion Plot and Relations with Honduras

President SOMOZA and his brother are still expecting the Nicaraguan exiles to make an invasion attempt from Honduras. If it comes, they intend to smash it bloodily, in order to prevent the development of a situation like the one in Cuba. General SOMOZA told the Military Attaché last weekend that he will use a regimental combat team for this purpose.

While President Somoza has consistently refused to credit rumors that the exiles are getting help or encouragement from President VILLEDA Morales, he has been concerned by reports that Foreign Minister ALVARADO Puerto and other associates of President Villeda are helping the exiles behind Villeda's back. He was somewhat reassured on this score during the past few days by a report from Tegucigalpa that President Villeda had called in certain unspecified Honduran officials and "laid down the law" to them.

The President said yesterday that he had been in touch with Villeda and they had agreed to have a meeting soon after Easter. The Embassy believes such a meeting would help produce harmony and tolerance in their future relations.

The Embassy has today seen a report from Tegucigalpa, dated March 15, transmitting information obtained from a usually-reliable source concerning rather concrete invasion plans of GOMEZ Flores. We trust this report is being distributed to all recipients of our despatch 403.²

For the Ambassador:

William P. Hudson
Counselor of Embassy

¹ Source: Department of State, Central Files, 717.00/3-1858. Confidential.

² Despatch 403 from Managua, March 11, not printed, reiterated Ambassador Whelan's belief that the Nicaraguan exiles were planning an invasion of the country and expressed concern that the Embassy in Honduras had decided not to approach President Morales in order to convey its concern about the exiles' reported invasion plans. (717.00/3-1158)

NI-4. Letter from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Ambassador in Nicaragua (Whelan)¹

Washington, April 7, 1958.

Dear Tom:

The always thorny question of a visit by President Luis Somoza to the United States arose last Thursday at lunch with Guillermo who took the initiative, both in the invitation and in the subject matter we discussed. I sat on him rather hard at first, saying that the visit was simply out of the question in the foreseeable future for a variety of reasons, several of which he knew. He looked quite unhappy and, having given him the medicine, I proceeded to sugar-coat it as much as possible for the next half hour. Actually, we discussed the kind of letter that I would write to you on this subject, so I suppose that this goes back to earlier conversations which the two of you have had in Managua.

Luis has won commendation from all of us who are interested in Latin American affairs in Washington, and he has done surprisingly well in obtaining the respect and good will of most of his neighbors. However, most of the publicity media in the United States still tend to lump him with the other "dictators" of Latin America and the same treatment is accorded him throughout most of South America. In that continent, especially in Colombia, Venezuela, Uruguay, Argentina and Chile, the current against anything smacking of state control is very strong indeed, and Luis' family name hurts him no matter what he does. I do not cite the above as reason for not inviting him to the United States, but it is an aspect of the problem which has to be considered. It seems to us in the Department that the following points should be given weight in any consideration of this problem, since they indicate both that Nicaragua and President Somoza are well regarded by the United States and also that there are reasons other than the one listed above for going slow on an invitation to him; (1) The treatment accorded President Tacho Somoza following his shooting and at the time of his death clearly revealed the extent of United States friendship toward Nicaragua (and has been used to our detriment by some elements);² (2) The President's brother, General Tachito Somoza, was invited to the United States last year and accorded full honors during

¹ Source: Department of State, Central Files, 601.1711/3-3158. Confidential; Official-
Informal. The source text is an unsigned carbon copy.

² Documentation on the assassination of President Anastasio Somoza in September 1956 and the U.S. response is in *Foreign Relations, 1955-1957*, vol. VII, American Republics: Central and South America, Chapter 6.

his trip, including a chance to see the President briefly albeit on the golf course; (3) You have been left in Nicaragua as Ambassador now for seven years, and this has been interpreted widely as United States support of the Somoza family, including President Luis, because of your well publicized and quite understandable affection for them; (4) Any invitation to President Luis prior to the complete settlement of the Honduran-Nicaraguan boundary dispute would immediately be interpreted as moral support of the Nicaraguan side of the issue no matter what we might say, unless the Honduran President were invited at the same time, and this we simply cannot do; (5) The schedule for state visits is crowded to overflowing and represents one of our most difficult problems in dealing with our colleagues in the Department and those in the White House who are responsible for such planning; the schedule is tight for an indefinite time ahead as well; and (6) The visits of Presidents-elect on an informal basis is a completely different kettle of fish from that of an official visit by a President, involving infinitely more detailed planning, more time of our highest officials, more expense, and more problems resulting from the inferences drawn by those Presidents who have not been able to get invitations.

Guillermo specifically alluded to the spot that President Luis would be on should we invite President Villeda Morales or President Lemus. You can rest assured that we do not contemplate inviting President Villeda Morales in the foreseeable future. Our plans with respect to President Lemus are not that definite, but we will face that problem if and when it arises.

I realize that this is a subject which will continue to plague you, and me, too, but it is not the only tough one in the book. I know that we can count on you to handle your side of it in your usual Whelan-style diplomacy, which is as good as any I know.

With best regards and looking forward to seeing you in June,
Very sincerely yours,

R.R. Rubottom, Jr.

PS: Two letters have just arrived on my desk from you bearing on the above. The one of March 31³ mentions the less secure position which Guillermo now holds in Nicaragua. I certainly agree with your estimate of his cooperative attitude here and personally would dislike seeing him transferred. Frankly, I cannot imagine that Luis would be contemplating such a move although I don't doubt that certain Nicaraguans might be sniping at Guillermo. I certainly hope that he is ordered home

³ A copy of Whelan's letter of March 31, dealing with Sevilla-Sacasa's position, is in file 601.1711/3–3158.

for consultation during Dr. Eisenhower's visit in June,⁴ but I doubt that we should make a request for such action. This, incidentally, brings up a point (7) which I should have included in the body of my letter in paragraph 2, i.e., the fact that Dr. Eisenhower is visiting Nicaragua should take some of the heat off Luis (and Guillermo) to have a visit to the U.S. While Guillermo hardly deserves credit for arranging the Eisenhower visit, although I believe he has spoken to Dr. Eisenhower several times about it, certainly no one else can take credit away from him for the idea.

On the basis of my contact with Vice President Nixon and my knowledge of his tight schedule,⁵ Irving Davidson would have to pull something besides rabbits out of the hat to arrange for the V.P. to visit Managua. This is in response to your other letter of March 31 which arrived today.⁶

⁴ For Milton Eisenhower's Latin American trip see Documents ETA-7; CO-1; CR-6-9; ES-2, 5-6; GT-8; HO-3; NI-4, 7-9; PM-3; PA-7.

⁵ For Vice-President Nixon's trip to Latin America see Documents BL-5-9, 12; CH-5; CO-9; EC-3, 7; NI-4, 7; PA-1; PE-5-6; UR-2-3; VE-9-10.

⁶ A copy of Whelan's March 31 letter concerning the possibility of Nixon's visit to Managua is in File 601.1711/3-3158.

NI-5. Memorandum of Conversation, by the Officer in Charge of Nicaraguan Affairs (Taylor)¹

Washington, April 8, 1958.

SUBJECT

NICARAGUA: Activities of Nicaraguan Exiles in Honduras

PARTICIPANTS

Dr. Guillermo Sevilla-Sacasa, Ambassador of Nicaragua
ARA—Roy R. Rubottom, Jr., Assistant Secretary
MID—C. Allan Stewart, Deputy Director
MID—Henry L. Taylor, Nicaragua Desk Officer

Ambassador Sevilla-Sacasa said that at the request of President Somoza he had called to discuss the activities of Nicaraguan exiles residing in Honduras. He told Mr. Rubottom that his Government

¹ Source: Department of State, Central Files, 615.17/4-858. Confidential.

continued to receive information (see memo of conversation dated February 21, 1958)² leading President Somoza to believe that an invasion from the exiles was imminent. He said that his Government had received reports that arms were being moved from Costa Rica to Honduras for use in the invasion, and that Nicaraguan exiles residing in Costa Rica were joining the exiles in Honduras. According to Sevilla-Sacasa his Government had reason to believe that the exiles were gathering for the invasion just east of Teotecacinte in the disputed border area.

The Ambassador said President Somoza believed that Honduran President Villeda was sincere in his declarations of intention not to permit the exiles to launch an invasion from Honduras. However, President Somoza had information leading him to believe that Honduran Cabinet Ministers Milla Bermudez, Alvarado Puerto, Oscar Flores, and President of the Congress Rodas were working with the Nicaraguan exiles, behind Villeda's back. Sevilla-Sacasa then asked Mr. Rubottom if our Embassy in Honduras would impress upon Villeda the need to take appropriate measures to prevent the exiles from carrying out their planned invasion. He expressed the belief that Villeda was not completely apprised of the exiles' activities and consequently was not fully aware of the threatened danger to Honduran-Nicaraguan relations being caused by these activities.

Mr. Rubottom told Sevilla-Sacasa that the Department had received full reports regarding this subject from our Embassies in Honduras and Nicaragua. He said that we were concerned over these reports and the possible effect they might have on Honduran-Nicaraguan relations. He cautioned Sevilla-Sacasa against any rash action on the part of Nicaragua, such as sending troops into Honduran territory to ferret out the exiles. Mr. Rubottom said he understood Villeda had announced publicly his willingness to cooperate with Nicaragua in attempting to locate and prevent any exiles from launching an invasion into Nicaragua. Sevilla-Sacasa indicated this was correct, and assured Mr. Rubottom that Nicaragua had no intention of sending troops into Honduran territory in the disputed area in search of exiles. Mr. Rubottom informed Sevilla-Sacasa that our new Ambassador to Honduras would be there in the next few days and would discuss this problem further with Villeda. He then expressed his appreciation for Sevilla-Sacasa's frankness and thanked him for his call.

²See Document NI-2.

NI-6. Editorial Note

On April 25, 1958, a group of Nicaraguan exiles, led by Manuel Gómez Flores, launched a plot to invade Nicaragua. After stealing an aircraft in Miami, two Nicaraguan air force officers, already implicated in an earlier invasion attempt, flew to Honduras and rendezvoused with Flores and his followers. The plot was frustrated by units of the Honduran armed forces who seized the aircraft, an arms cache, and arrested Flores and some of his followers. Documentation on the incident is in Department of State File 717.00.

NI-7. Telegram from the Ambassador in Nicaragua (Whelan) to the Department of State¹

Managua, May 20, 1958, 6 p.m.

302. During past week public opinion in this country re Nixon incidents² has somehow veered around nearly 180 degrees. After viewing U.S. few days ago as the offended they are now analyzing U.S. as the offender on basis revival all the old myths about our economic aggression and neglect of Latin America plus in case of opposition here the old canard about our supporting dictatorships. Such press material from other LA countries as I have seen suggests this phenomenon has occurred in greater or less degree throughout hemisphere.

By dedicating ourselves to a re-examination of our LA policies we have given a fine example of Christian humility but Latinos seem to be mistaking this for admission of basic guilt and are responding to it as children would. Some sort of spanking seems called for to sober them up and bring them to realization they bear a large share of responsibility for cracks in hemispheric solidarity. It is time they did some re-examining too.

While I am confident Doctor Eisenhower can be protected in this country from gross discourtesies shown Nixon in South America, I fear unless we can do something to regain psychological offensive and awaken Latin Americans to necessity for constructive unemotional

¹ Source: Department of State, Central Files, 033.1100-NI/5-2058. Confidential; Priority.

² For the demonstrations in Caracas on May 13 during the course of the Vice President's goodwill trip to Latin America, see Documents VE-9-10, 13, 16, 22.

evaluation their economic social political problems, their own responsibilities toward solving them, and the extent of past U.S. assistance to LA and burden to U.S. taxpayers, his visit this area may turn into a round of debates in which he will appear be only on defensive and which will serve largely to confirm Central Americans in the irresponsible tendency to blame U.S. for their troubles. One factor which should be brought to Latinos attention is possible adverse public reaction in U.S. to incessant cries for more aid for LA in view apparent ingratitude many Latinos for aid they have received. Among possible measures several policy speeches by Congressional leaders and high officials on themes mentioned above before suitable forums such as OAS might help prepare ground for positive results visit. Reactions to speeches could be used in preparation statements for Doctor Eisenhower during visit.

Whelan

NI-8. Paper Prepared in the Bureau of Inter-American Affairs¹

Washington, undated.

*SUMMARY OF DISCUSSIONS DURING DR. EISENHOWER'S
VISIT TO NICARAGUA²*

July 21–24, 1958

Discussions in Managua were held with President Luis Somoza, members of his Cabinet, General Anastasio Somoza, representatives of various political groups, Government supporters and opposition parties, labor and management, Chamber of Commerce, and others. Similarly, others in Dr. Eisenhower's party met with various Nicaraguan officials. Neither the President nor General Somoza put forth specific proposals in their talks with Dr. Eisenhower. President Somoza seemed genuinely concerned with the accusations of being a dictator levelled against him and anxious to prove that he was returning the Nicaraguan Government to democratic practices.

¹ Source: Department of State, ARA Special Assistant's Files, Lot 60 D 513, "Eisenhower, Milton-Nicaragua 1958." Confidential. The source text indicates no date or drafting officer.

² Dr. Milton Eisenhower, brother of the President and Personal Representative of the President with the rank of Special Ambassador, visited Nicaragua during the course of a three-week fact finding trip to Panama, Honduras, Costa Rica, El Salvador, Guatemala, and Puerto Rico. See Document NI-4, footnote 4.

It was notable that members of the political opposition spoke quite freely and unrestrictedly to Dr. Eisenhower concerning the Somoza Government. On the first day, when Dr. Eisenhower visited the Bi-National Center, a small crowd carried posters denouncing the Government in various forms and General Somoza himself translated these signs for Dr. Eisenhower. Similarly, during the meeting with the University graduates, one of them, Dr. Zelaya, made a sharp attack on United States policy paralleling the Communist Party line. At first, it was alleged that he was speaking on behalf of the University graduates, but this was subsequently denied. Considerable reference was made by these same opposition groups not merely to alleged United States support for the Somozas but also to similar alleged support for other dictators.

Among the points raised by the Nicaraguans were what they believed to be unfair competition regarding the marketing of cotton. Complaints similar to those encountered in other Central American countries were made regarding the instability of the coffee market and the low prices thereof. Some belief was expressed by Nicaraguan businessmen that the United States because of its enormous wealth could absorb the financial cost of lost cotton markets. Again there appeared the belief that the United States fixes industrial and agricultural prices. Some feeling was also expressed that through Marshall aid the United States had stimulated coffee production in Africa which was competitive with Central American coffee.

Business and other private sectors expressed concern regarding the great increase in the Government's expenditures without corresponding increase in the country's productive capacity. Recognition was given of technical and other assistance rendered by the United States. These same circles complained that the persistent fear of Government interference, increases in taxes, bureaucracy, and scarcity of credit facilities, greatly hamper the economic growth of the country. The agricultural production which is the basis of the country's economy was suffering severely from depressed international prices. Some complaint was made of the size of the military budget and President Somoza on two separate occasions referred to the fact that he had been able to reduce military expenditures on two occasions due to the cooperation of his brother who was the Commander of the National Guard.

Coffee growers of Nicaragua presented a special memorandum to Dr. Eisenhower relating to the problems of coffee which earned approximately half of Nicaragua's foreign exchange.³ There are some 4,800 plantation owners out of a population of nearly a million and a half. In the opinion of these coffee growers, the present difficulties were

³ No memorandum matching the description here was found in Department of State files.

due to internal and external causes; Internal: inadequate credit, high cost of production, lack of rural roads, high taxation. External causes: low prices in world markets, high sales cost to the American consumer, low world consumption, lack of preferential treatment for Central American coffee by the United States, lack of a broad scale United States assistance program for Latin American countries. To remedy the situation they recommended United States cooperation for stabilization of prices and volume of sales, granting of long-term credits at low rates of interest to improve the coffee industry (current rates being from 9% to 13%), and long term credit to the Government of Nicaragua for the construction of rural roads.

The labor groups received by Dr. Eisenhower expressed their concern at the low standards of living in the country and the acuteness of the housing shortage. They expressed great interest in an ICA-sponsored program for self-help, low-cost houses to be built by the prospective inhabitants of the houses during their spare time. With labor being furnished by the prospective inhabitants and the land donated by the Nicaraguan Government, the only cost would be for materials. It was indicated this would run between \$800 and \$1500 per house.

The Government's presentation was made through the National Economic Council. It indicated that at the present time public as well as private investment had reached the highest level in Nicaragua's history. The per capita income had risen from \$140 in 1950 to \$208 in 1955. Cotton production increased from 22,000 bales in 1950 to 205,000 in 1954. Industrial production rose three-fold in the same period. During the same period there was a 53% rise in the cost of basic foodstuffs. In 1956 Nicaraguan economy suffered a severe setback in all fields. The drop in coffee prices became more severe and the Government resorted to measures of fiscal and monetary correction which tended to reduce the country's economic activity. During this period the number of unpaid debts to the National Bank (which controls 80% of the credit in the country) rose to some \$12 million. This is a sum equivalent to one-third of the outstanding agricultural credit in the country.

The Nicaraguan Government stated that it had maintained an unchanged policy of cordiality toward foreign investors. The general law for exploitation of natural resources as well as the law of incentive and protection of interest gives equal treatment to foreigners and Nicaraguans. The foreign investment law of 1956 guarantees the right to send profits abroad and the Nicaraguan Government states that it recognizes that private investment flows only to those countries where attractive conditions prevail. Nicaraguans stated they believed Central American economic integration was indispensable and that only the formation of a common market would permit satisfactory economic development. The National Economic Council requested assistance in measures to stop price declines and in measures to diversify national

production and place its traditional crops in a better position to compete internationally. The ravages of the Panama disease practically destroyed banana production in the Atlantic Coast area and this is a seriously distressed area within Nicaragua. The Nicaraguans, in summing up, requested the United States to view the following favorably: (a) broad financial assistance in solving the problems confronting the country; (b) assistance in stabilizing coffee prices; (c) special consideration for the problem which confronts Nicaragua in the sale of its cotton; (d) help in securing a higher sugar quota for Nicaragua on the world market; (e) assistance to the Central American countries in moving toward economic integration.

Request for assistance in a general way were as follows: \$7,700,000 for economic development programs of the National Development Institute, \$8,500,000 for special works such as hydroelectric power and water supply programs, and \$10 million for school construction and an undetermined amount for public health.

There appeared to be among Nicaraguans of all classes the usual misconception concerning the role of the United States in determining commodities prices and industrial prices. There appeared particularly on the part of opposition groups the same misconception regarding United States policy in regard to non-democratic regimes. There was no recognition of any possible failure on the part of the Latin Americans in regard to their policies with respect to the United States. Where fault was found it was always with United States policy.

CONCLUSIONS: — Requests for financial assistance were made as specified above. Requests were made for United States assistance in stabilizing coffee and cotton prices. Criticism was addressed by opposition groups to alleged United States support for the Somoza regime. Widespread support was found for the idea of Central American integration. The usual belief that the resources of the United States were unlimited and that all problems could be solved if only the United States would be less "stubborn" was encountered. There was some grudging consent on the part of the opposition groups to the idea that the President may be moving toward the democratization of the regime. Labor groups carefully took no position for or against the Government and there seemed to be a generalized feeling that United States assistance thus far had not filtered down to the masses.

In Nicaragua, as in other countries visited, there seemed to be a need for a broad inventory of national resources, both human and material. Similar needs exist for adequate study of the feasibility of agricultural diversification, for an analysis and appraisal of the potentials of domestic and foreign markets, including tourism, for more organized planning with respect to government policies in the economic field, for a review of the tax and trade policies of Nicaragua, and for an examination of the structure and functioning of governmental agencies.

NI-9. Letter from the Ambassador to Nicaragua (Whelan) to the President's Personal Representative (Eisenhower)¹

Managua, September 16, 1958.

Dear Milton:

The morning you left I promised to give you the results of your visit to Nicaragua. I have purposely delayed so as to be absolutely sure of the reactions obtained. Here they are:

1. The President is pleased; the Cabinet and the Government are happy.

2. The business interest, as a result of you frank and hard-hitting reply, are well satisfied.

3. The opposition political parties, who had a chance to sound off without interruption, are now convinced that you have taken their stories to President Ike and they are happy.

4. The press, because of equal treatment to both American and local representatives, are happy.

5. The students found out they had made a mistake and sent a delegation around two weeks ago to tell us so and at the same time to pick up a little money for their annual celebration.

6. The so-called intellectuals who were abusive in their visit with you, have been very apologetic. As a result the speaker who, as you know, was very much to the left, has been removed from office and the Medical Association overwhelmingly defeated his candidate for the presidency.

Your colleagues, Messrs. Rubottom, Waugh, McIntosh and Coughran contributed greatly to the success of the visit.

In short, everyone is satisfied. We just have not been able to pick up any antagonistic statements. Your visit resulted in much good for the United States, this Embassy and myself. Thank you.

With kindest personal regards,

Sincerely,

Thomas E. Whelan

¹ Source: Department of State, ARA/OAP Files, Lot 61 D 56, "Correspondence with Amb. Whelan Nicaragua 1958." The source text was transmitted under cover of a letter dated September 22, from Whelan to Rubottom; it is a carbon copy bearing Whelan's typed name.

NI-10. Memorandum from the Director of the Office of Central American and Panamanian Affairs (Stewart) to the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, November 26, 1958.

SUBJECT

Our attitudes toward a possible U.S. visit by President Somoza

In connection with Ambassador Sevilla-Sacasa's recent approach to Dr. Eisenhower concerning the desire of President Somoza to receive an invitation to make a formal visit to the United States next spring,² *it is the recommendation of OAP that no such invitation be extended.* Despite President Luis Somoza's trend towards a more democratic type of Government and public declarations that he will not succeed himself in the presidency, *he is still viewed by many Latin Americans as part of the dictatorial "Somoza Dynasty".* Undoubtedly if he were to receive such an invitation from President Eisenhower, Latin American liberals would accuse us of favoring a dictatorship or the remnant of one. Such accusations would probably be fanned by communist elements, and the end results of such an invitation might well prove detrimental, at this time, to our efforts to assure the Latin American people that the United States has a real interest in improving their welfare.

On the other hand OAP has no objections to informal arrangements being made for President Somoza to see President Eisenhower, should he come to the United States for a medical checkup. In view of his recent illness³ it would not appear unusual for Somoza to come to the United States for a medical examination. The fact that while in the United States he called on the President and other Government officials, should not lend credence to any accusations that the United States favors the "Somoza Dynasty," as might be the case if he were to receive a formal invitation to make such a visit.

In view of the constant support we have received from Nicaragua in the UN and the OAS, the official informal visits of Ydígoras and Echandi prior to their inaugurations as Presidents of Guatemala and Costa Rica respectively, and the forthcoming official formal visit of

¹ Source: Department of State, Central Files, 717.11/11-2658. Confidential. The memorandum was drafted by Taylor.

² The Nicaraguan Ambassador made the approach to Milton Eisenhower in a conversation on November 19. A copy of the memorandum of the conversation is in 717.11/11-1958.

³ On June 23, the Embassy at Managua reported that President Somoza was hospitalized with the possibility of a coronary infarct—a condition from which he soon recovered.

President Lemus of El Salvador, it does appear that if Somoza decides to make a trip to the United States for medical reasons that he should be encouraged to come at a time when it will be possible for him to have a short visit with President Eisenhower.

Recommendation:

1) That no invitation be extended at this time to President Somoza to visit the United States, but that, if possible, it be arranged for him to see President Eisenhower and have conferences with other government officials should he elect to make an informal visit to the United States for a medical check up.

2) That we take no further action at present beyond informing Dr. Eisenhower of our position on this matter.⁴

⁴ There is no indication on the source text that Rubottom approved the recommendation. On January 30, 1959, in a memorandum to Brig. General Andrew J. Goodpaster at the White House, John A. Calhoun, Director of the State Department's Executive Secretariat, recommended against inviting Somoza to the United States. (717.11/1-2359)

NI-11. Letter from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Ambassador in Nicaragua (Whelan)¹

Washington, January 31, 1959.

Dear Tom:

We have been unable to reach an agreement with ICA about the designation of an USOM Director in Managua and I feel that the best way of settling the matter is for you to come to Washington for consultation as soon as Louis Blanchard finishes his temporary assignment as Departmental escort officer for ex-President Lásaro Cárdenas. I expect that this will be in early February. We will send your travel orders and I hope that you can arrange to be in Washington for a week or ten days.

Your presence here will be particularly helpful because we feel that President Luis Somoza faces a difficult situation in the near future and

¹ Source: Department of State, Central Files, ARA/OAP Files, Lot 61 D 473, "Nicaragua." Confidential; Official-Informal. This letter was drafted by Stewart and cleared by Dreier, Murphy, Wieland, and Bernbaum. There is no indication on the source text that the letter was sent. The source text is a carbon copy bearing Rubottom's typed name.

your experience and advice is needed to assist us in adopting a policy that will be best for United States interests.

We have been impressed by President Somoza's sincere desire to lead the Nicaraguans to a type of government more democratic than that which existed under his father. If Luis is able to continue his present policy of ample civil liberties, and adheres to his promise of ending the so-called "Somoza dynasty" when his term is completed on April 30, 1963, I think our interests and those of Latin America as a whole will be served. However, the emergence of the Betancourt and Castro Governments has created a new situation. Tacho's campaign against Betancourt while the latter was in exile in Costa Rica, and the sale of armored cars to Batista by the present Government have not endeared Luis' regime to the current rulers in Venezuela and Cuba. Nicaraguan exiles who worked closely with Cuban and Venezuelan revolutionaries are already clamoring for help to overthrow the Somozas. We are receiving reports that Nicaragua and the Dominican Republic are likely to be targets of revolutionary groups which may assemble either in Cuba or Venezuela. We have reports that men are being trained in Cuba now for an invasion of Nicaragua and we are making a check. This seems unlikely; nevertheless, when the new Venezuelan and Cuban Governments become organized they may do so, or at least encourage and supply arms to anti-Somoza groups. Castro already had made threats against the Nicaraguan Government.

We will attempt to dissuade these or any governments from encouraging armed attacks against friendly regimes in this hemisphere and if Nicaragua should be invaded we would support, of course, the immediate application of the provisions of the Bogotá Pact² and the Rio Treaty.³

If we have judged President Echandi's policies correctly, I doubt that he will permit any invasion to originate on Costa Rican soil. The obvious staging point, it would appear, will be either of the two countries above named or Honduras. I think the Somozas would be making a grave error if they interfered in Honduran affairs in an effort to overthrow President Villeda and see installed a government considered more friendly. These are my reasons:

1. The United States has gone on record in support of Villeda, since he is a symbol of a new era of constitutional Government in Honduras.

² The Charter of the Organization of American States was signed at Bogotá, Colombia, on April 30, 1948; for text, see 2 UST (pt. 2), p. 2416.

³ The Inter-American Treaty of Reciprocal Assistance (Rio Treaty) was signed at Rio de Janeiro, Brazil, on September 2, 1947, by the representatives of the United States and eighteen Latin American countries. It was ratified on December 12, 1947 and entered into force on December 3, 1948. For the text of the Rio Treaty, see 62 Stat. 1681.

We recognize fully that Villeda is weak and vacillating but we are doing everything in our power to induce him to correct his errors, particularly his indifference to anti-Somoza revolutionary plots in Honduras.

2. Villeda is the darling of the liberal group which included Muñós Marin of Puerto Rico; Figueres; Betancourt, and possibly Castro. Any attempt to overthrow his Government will incur their active enmity. He is also popular in the United States.

3. I do not think Nicaragua can depend too much on any Government that would succeed Villeda Morales, be it run by Carias, the Army, either Gálves, Williams, or anybody else. The overthrow of Villeda would immediately or eventually precipitate a civil war in Honduras with help to the Liberal Party from the same outside groups that are anti-Somoza in sentiment.

The above assumptions would lead one to believe that we consider the Somozas already dedicated to the overthrow of Villeda. Perhaps they are innocent of such intentions but while Colonel Velásquez is in Nicaragua they are suspect. We have a recent report that the clandestine radio station which attacks Villeda daily is on Nicaraguan soil. In any event, there are many who want to point the finger of suspicion at the Somozas.

In the light of a changing balance of power in the Caribbean basin, I think that the Somozas should give some serious thought to a policy of using Villeda as a possible "shield" against outside interference, rather than as a person to be eliminated before the heat really is put on by their enemies. I admit that this may be distasteful to the Somozas, who feel strongly that Villeda did not clamp down on Nicaraguan exile activity last year until he was pressured into it. However, the Somozas must be aware that we kept constant pressure on Villeda through Ambassador Newbegin in Tegucigalpa to take some action against men like Pedro Vivas, Colonel Gómez Flores, and others. It may also be argued that the Nicaraguan Government might be thoroughly double-crossed by Villeda if it attempted to work out an agreement whereby both countries would actively discourage revolutionary activities. However, it is in our interests to maintain Central America in the relatively peaceful state it now enjoys and we would be exerting our influence in keeping both sides honest should an agreement be reached.

Let me say now that if the Somozas are caught in the act of trying to depose Villeda we would consider they committed a most unwise and foolhardy act and it would influence our attitude toward their Government. Moreover, if Nicaragua were haled before the OAS again on charges of this kind, we would probably have to join in the censure that most certainly would result if it were found guilty.

I will greatly appreciate your comments in an early reply, taking into account the new situation created by the overthrow of Batista and

the approaching inauguration of Betancourt.⁴ I have the uneasy feeling that Nicaragua is in for serious trouble which will be accentuated if it attempts to counteract the balance of power by mixing into the internal affairs of any central American country, especially with more and more attention being paid the Somoza regime by the roving groups of revolutionaries who have been invited, in Castro's own words, to come to Cuba and receive haven and assistance. It would be a shame if the progress made thus far by President Somoza should be undone and the country thrown into confusion and chaos.

Incidentally, I think that President Somoza used good judgment in turning down the request for assistance from Generalissimo Trujillo. I wonder why the Somozas do not let it be known that they are not in the Trujillo camp?

Sincerely,

R. R. Rubottom, Jr.

⁴ No record of Whelan's reply was found in Department of State files.

NI-12. Memorandum of Conversation, by the Officer in Charge of Costa Rican and Nicaraguan Affairs (Taylor)¹

Washington, March 30, 1959.

SUBJECT

NICARAGUA: Visit of General Somoza

PARTICIPANTS

General Anastasio Somoza – Director of the Nicaraguan Nacional Guard
His Excellency Dr. Guillermo Sevilla-Sacasa, Ambassador of Nicaragua
ARA—Mr. Rubottom
ARA : REA—Mr. Turkel
ARA : OAP—Mr. Taylor

Nicaraguan-Honduran Relations

General Somoza said he was very pleased to see Mr. Rubottom again and that he wanted to express his appreciation for the Department's part in the signing of the recent Nicaraguan-Honduran refugee

¹ Source: Department of State, Rubottom Files, Lot 61 D 279, "Nicaragua 1959." Official Use Only. The source text is an unsigned carbon copy.

agreement.² The General stated that his country desired no trouble with Honduras and expressed the hope that the new agreement³ would put an end to the recent difficulties his country had experienced with Honduras over the activities of the Honduran refugees. He said that such friction gave the wrong impression of Nicaragua's desire to maintain friendly relations with Honduras and indicated that Nicaragua did not want anything to occur which would affect the adjudication of the Nicaraguan-Honduran border dispute now before the International Court of Justice. He remarked, however, that it was almost a traditional feeling on the part of the Hondurans to be against Nicaragua. He said that Honduran President Villeda Morales had misrepresented the facts concerning the difficulties between the two countries and had not kept good faith with his premises to the GON. General Somoza then mentioned he had received reports that Villeda had been sounded out on the possibility of 60 Nicaraguan revolutionaries coming to Honduras from Cuba. He said that reportedly Villeda's reaction was that if they come to Honduras he didn't want to know about it.

Mr. Rubottom expressed the hope that the recent refugee agreement between the two countries would materially help in easing the tension. He pointed out that there were undoubtedly two sides to the Honduran-Nicaraguan situation. He said that often times the U.S. policy is misunderstood in that some critics fail to realize that our policy in Latin America is not supporting one country against another. In this respect he said that we deal with all countries on an equal basis. In return, he said, we do not look for any of these countries to act against us when our back is turned.

President's Health

Mr. Rubottom then asked about President Somoza's health. The General said that recent electrocardiogram tests showed that the President was coming along alright. He said that the President was carrying on his duties in a normal manner, but that he had been placed on a rigorous diet.

Observations Central America

Mr. Rubottom then asked if the General had any comments to make about conditions in Central America. The General said he was concerned over the activities and attitude of Castro, which were keeping things

² General Somoza was in New York City visiting his wife who had been in the United States since February.

³ On February 26, the Governments of Nicaragua and Honduras signed an agreement in Washington on territorial asylum covering the treatment of asylees and the prevention of subversive activities. Additional documentation on the agreement is in the compilation on Honduras.

stirred up in the area. He remarked on Castro's declaration that Cuba would assume a neutral position in the cold war between the U.S. and Russia. He said this was contrary to the Rio Pact. He then said he had been asking himself what was the reason for the downfall of Batista. He observed that a small group headed by Castro had landed in Cuba and had been able to build up their forces to a point where they had become powerful enough to cause the fall of Batista. Mr. Rubottom said that he would give him his opinion as to how this had occurred. He said that the Batista Government had been in reality a house of cards; that venality had existed from the top officials to the lowest; that the army had no motivation which would inspire a will to fight, it was ill-trained and poorly led and had no deep-seated loyalty to the Government; and that the Government did not truly represent the will of the majority of the people. The General remarked that Batista had no real political party structure and that he had not been the head of a political party such as President Somoza is. He observed that the Government of Nicaragua did not parallel that of former President Batista. He remarked that he thought Betancourt had changed for the better since 1948.

Internal Affairs

The General then turned to Nicaraguan affairs. He said there were 3,500 members of the Guardia Nacional, who were well trained and loyal to the GON. He said they had been training in guerilla warfare tactics and were well prepared to handle any invasion attempt made against the country. He observed there was no place for an invasion force to go, once it had landed, except back to sea again. He did not appear to be worried about any such attempt taking place in the near future, and indicated his Government was well prepared to take care of itself. He said the majority of people were with the Government.

The General then said presidential elections would take place as scheduled in 1963. He remarked that the members of the opposition party (Conservatives) did not turn out to vote in the last elections, because they knew they would not win. He stressed that his Government was interested in the welfare of the Nicaraguan people, and said he had learned from his civic courses, while studying in the U.S., that a successful Government must cooperate with its people and be constructively interested in their welfare. He pointed out that in Nicaragua there was freedom of the press, freedom of expression, and freedom of assembly. He remarked that the reporters of opposition newspapers were not permitted by the owners to report the news in an unbiased manner. He said owners of the opposition papers did not want to give the Government credit for any good acts. He added that on the other hand the pro-government newspapers swing too far over in the other direction. He said there was really no newspaper reporting in an unbiased manner.

Military Equipment

The conversation then turned to armaments. The General said his country had enough armaments for its needs for the next four or five years. However, he said that he would like to receive the 200 Browning automatic rifles (BARs) which had been ordered from the U.S. some time ago. Mr. Rubottom said that we were reviewing our policy with regard to the sale of armaments and indicated there would be a greater tightening up of such sales to the Central American countries.⁴ The General indicated this was most understandable and recognized it as a good move. He said that, with the exception of the 200 BARs, and occasional purchases of training ammunition, Nicaragua would not need anything further in this line.

Housing Project

The General then commented on the ICA aided self-help housing Servicio. He said this project had been well received by the Nicaraguans and had dealt the Nicaraguan Communists a blow, as they had been agitating for a socialized housing project to be carried out by the Government.

Figueres' Activities

Ambassador Sevilla-Sacasa then turned the conversation to the activities of Figueres, former Costa Rican President. He said that Figueres was participating in a plot to overthrow the Somoza's. The General remarked that Figueres had long been interested in overthrowing the Somoza's. Sevilla-Sacasa pointed out that, as Figueres no longer had official status, he could participate more freely in such activities. He said that President Echandi was following through with his policy of doing away with the military, while Figueres with his personal resources was purchasing arms. He added that Echandi was concerned over Figueres' activities, and that, whereas Figueres had the funds to purchase armaments, the Government of Costa Rica was low on funds. Mr. Rubottom then mentioned the Figueres-Castro rift arising from the recent speech Figueres gave in Cuba.

Economic

The General then said he wanted to discuss for a moment Nicaragua's economic problems. He said that the low prices of cotton and coffee were contributing to economic difficulties within the

⁴ In January 1959, the Department of State received a request from the Nicaraguan Government for permission to purchase two Navy aircraft for the exclusive use of the Nicaraguan Air Force. As of March, the request was still under consideration. (Memorandum from Taylor to Rubottom, March 30, 1959, not printed; ARA/REA Files, Lot 61 D 248, "Nicaragua")

country. Mr. Rubottom informed the General that he was aware of this, as well as some of the projects for which the GON had submitted loan applications to the EXIM and IBRD for economic improvements within the country. The General said his Government had plans to reduce the area planted in cotton by 30,000 to 40,000 manzanas. When asked if this area would be planted in corn and beans, he replied that it would probably be used for raising cattle. He said that owing to the drop in the water table it was difficult to get products other than cotton to grow on much of this land. Mr. Rubottom said he understood that the GON had been circumspect in its financial policies. He said that, although he could not speak for the various loan entities, he could assure the General that careful and sympathetic consideration would be given the loan applications.

Future Political Plans

The General then said that he wanted to mention that he and President Somoza felt that at the end of the President's term somebody other than a Somoza should be the next President. He said that during this month the proposed amendment to change the Constitution to prohibit a President from succeeding himself or any member of his family succeeding to the Presidency would be passed through the Congress a second time and then become law. He said that he had no idea who the next President would be, but thought he would come from the Liberal Party. He based this on the observation that the majority of Nicaraguans were traditionally Liberals and for this reason he doubted if the Conservatives would poll enough votes to win the election. He stressed that the 1963 elections would be absolutely free. He said there should be a new name in the Presidency, which would give the people a chance to compare his effectiveness with that of the Somozas. He said that, speaking as a politician, this would be a sacrifice, but as a student of civics in the U.S., he felt a change would be in the best interest of the country.

Interest in Engineering Battalion

The General then expressed interest in the possibility of setting up, under M&P, an engineering battalion similar to that in Honduras. Mr. Rubottom said that we have set up only two such battalions on a trial basis, and that we would look into the matter. The General said an engineering battalion would be helpful in the construction of roads and would provide opportunities for some of the unemployed.

Mr. Rubottom thanked the General for his visit and expressed appreciation for his frank and interesting remarks. He asked the General to give President Somoza his regards.

NI-13. Memorandum of Conversation, by the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, April 4, 1959.

SUBJECT

NICARAGUA: Visit of General Somoza

PARTICIPANTS

ARA-Mr. Rubottom

General Anastasio Somoza – Director of the Nicaraguan National Guard

In addition to the points made in the memorandum of conversation of March 30,² in my discussions with General Somoza I also talked to him along the following lines in a private conversation following the luncheon at the Nicaraguan Embassy:

1. The United States felt that Nicaragua simply had to keep itself absolutely clean in its dealings with its neighbors in Central America and elsewhere or it can encounter serious complications in the OAS and in public opinion throughout the Americas.

2. It would be desirable for Nicaragua to desist in its efforts to purchase arms in the United States, since we did not want to call undue attention to this subject at this particular time.

3. It is unfortunate that the thing of which the Somoza brothers are the most proud, their name, is a serious political liability; they should recognize that public opinion throughout the Americas simply is unable to accept the fact that Nicaragua is being governed with a moderate hand and that the people have civil liberties.

The General seemed to accept all this in a friendly way and he even acknowledged the veracity of the points made.

¹ Source: Department of State, Central Files, 717.00/4–459. Confidential.

² See Document NI-12.

NI-14. Editorial Note

On May 31 and June 1, a group of approximately fifty Nicaraguan exiles from Costa Rica launched an invasion in the hill country of central Nicaragua. At the request of the Nicaraguan Ambassador, Sevilla-Sacasa, the Organization of American States met in Washington on June 2.

On June 4, the OAS approved sending a fact-finding mission to report on the situation. Neither the Nicaraguan Ambassador nor President Somoza formally charged the Costa Rican Government with complicity in the invasion, but instead levelled charges against the Government of Cuba. By June 12, after several engagements with the Nicaraguan National Guard, the invaders either surrendered or were isolated and driven into the jungle. Documentation on the invasion attempt is in file 717.00. The text of the OAS resolution on Nicaragua is printed in the Department of State *Bulletin*, July 6, 1959, pp. 30–32.

NI-15. Telegram from the Acting Secretary of State to the Embassy in Nicaragua¹

Washington, June 15, 1959, 8:36 p.m.

333.

FOR AMBASSADOR

Your consistent viewpoint that popular support/lacking for attempt overthrow present government borne out by failure revolutionary group rally adherents its cause. However it is DEPT's considered opinion that dedicated oppositionists will not cease attempting overthrow regime or assassinate PRES Somoza as long as they receive friendly support, moral or otherwise, from U.S. and Latin American liberals, extremists in Cuba, as well as communists everywhere, latter whom anxious only create chaos in Nicaragua.

So-called anti-dictator forces in hemisphere appear to be girding for showdown with Trujillo and because of long dictatorial record of Luis Somoza's father are prone associate present Nicaraguan regime with that of GDR. DEPT believes Luis Somoza has brought Nicaragua long way toward democracy and he deserves more favorable consideration.

Your valued assessment of present climate for a deal between PRES Somoza and the responsible opposition (EMBTel 371)² is hereby requested. If AMB Drefer has any free time in Managua he will undoubtedly wish to discuss the matter with you. He has participated

¹ Source: Department of State, Central Files, 717.00/6–659. Confidential. Drafted by Stewart; and initialled by Rubottom.

² Telegram 371 from Managua, June 6, not printed, transmitted the Ambassador's impressions of the attempted overthrow of Somoza's government and a brief report on the current situation. (717.00/6–659)

in numerous ARA examinations Nicaraguan situation and has good idea DEPT views.

Judging from inquiries made of DEPT, next move of PRES Somoza, leading as it were from strength, being watched most closely everywhere.³

³ In telegram 7 to Managua, July 7, the Department noted, among other things, the following:

With invasion danger to Nicaragua about eliminated and continued control country assured, Department is of opinion that GON still faces a serious problem.

For reason set forth Deptel 333 Luis Somoza Government prone be viewed by various elements as continuation dictatorial regime despite democratic trend in Nicaragua. If non-communist opposition forces continue attempts to overthrow Somoza Government with cry it dictatorship much of Luis Somoza's good work will go unrecognized in atmosphere created by emotional dictator vs. democracy storm building up in OAS.

Department believes it is in best interest of GON to make every feasible effort reach agreement with responsible opposition leaders and thus bring about unity in efforts to solve internal problems. This solution would also have practical effect of making it easier for GON thwart efforts of outside-supported groups with doubtful ideologies to make overthrow attempts.

Seems to Department that our suggested course of action would be looked upon favorably by those elements now critical of Somoza Government and should do much to discredit any accusation that present Government is dictatorship. Your views on Nicaraguan situation, sought in Deptel 333, would be especially welcomed at this time. (713.00/7-359)

NI-16. Telegram from the Ambassador in Nicaragua (Whelan) to the Department of State¹

Managua, June 10, 1959, 6 p.m.

482. DEPARTMENT PASS DA FOR ACSI. Midnight conversations between General Somoza and MA subsequent EMBTEL 402² indicated both Somozas convinced committee OAS indisposed provide effective assistance to prevent attacks on Nicaragua.

In view foregoing premise and faced with the massive threats from both north and south which GON is convinced are INTL in character, and furthermore believing that U.S. Government will do nothing to displease Nicaragua's enemies, General seriously considered (1) air attacks of his own against hostile forces based in Costa Rica; (2) possibility bombing Havana and (3) arming Honduran revolutionary

¹ Source: Department of State, Central Files, 717.00/0-1859. Secret; Niact.

² From Managua, June 18, not printed; 717.00/8-1359.

expedition led by Velasquez to strike at Honduras in order to remove threat of invasion from that country.

Philosophy behind General's planning revolves around thought that Nicaragua would be unable resist undisturbed concerted onslaught assisted or engineered by enemy governments and that he and his brother in that event might as well at least go down fighting.

[illegible in the original] and MA both report overhearing General's portion of telephone conversation with President from which it appeared latter does not subscribe to General's views. It was also observed that apparently President's counsel still prevails.

Embassy believes President's moderation will continue over rule General's impulsiveness as long as President feels there is some hope U.S. Government and OAS are not determined because of supposed unpopularity his regime to disregard availability evidences of foreign plotting and actions against GON. Should his remaining doubts be dispelled that OAS and USA intend to give him no assistance it is very likely that President may authorize General to take some form of retaliatory action calculated to give GON at least temporary advantage of fighting outside Nicaragua.

In view Figueres, Marshall, Aguiluz insubordination to GOCR directed against GON and reasonable conclusion that Cuban, Honduran and Venezuelan elements closely associated with governments those countries are actively assisting and conspiring current anti-GON movements Embassy believes only forthright statements by OAS and USA can now avert INTL hostilities the result of which would be disastrous regardless of winning side. In Embassy's view U.S. Government would now be fully justified in urging OAS investigating committee in the interest of area peace to make speedy declaration that the case of Nicaragua clearly comes within the provisions of Article 6 of Rio Treaty. Following closely on such a declaration U.S. could announce its intention fully to support collective assistance to the attacked state in the event of an armed attack.

Urgently recommend action along foregoing lines before it is too late.

Whelan

NI-17. Telegram from the Ambassador in Nicaragua (Whelan) to the Department of State¹

Managua, August 18, 1959, 5 p.m.

55. Following Embassy conclusions reached after Ambassador's personal attention Department's telegram 36.²

1. In view current Caribbean unrest, only "responsible" opposition in terms of U.S. standards is that which has refrained from active steps looking to violent overthrow GON. This particular segment Conservative and Independent Liberal opposition believed to be small part total opposition. It is only moderately influential political in financial and other economic circles but is aspiring to greater if not predominating influence assuming this position can be attained as result intransigent Conservative and Independent Liberal attitude in face GON's overwhelming strength.

Embassy has valid reason believe only small minority so-called responsible opposition leaders identified this category would not at this time vocally object to EXIM loan. All others this classification would either be highly critical of loan or adopt resentful attitude toward U.S. in protest over alleged U.S. economic intervention in support Somoza's dynasty and economic domination. Most representatives this category have in past repeatedly told Embassy their choice between (A) peaceful coexistence with GON assisted by U.S. loans and (B) economic deterioration implicit in other groups active efforts for exchange of government by any means including total isolation from U.S., would unequivocally be latter. Hardship to themselves involved this choice they contend would be assumed as their contribution eventual welfare Nicaragua.

Basis past experience Embassy believes however, these same patriots if loans were granted would not refuse share directly or indirectly in its benefits.

2. Brief comment other opposition elements follows: Hard-core Conservatives and its offshoot Conservative Youth. Both are estimated to be so basically opposed Somoza regime on emotional grounds regardless damage to country or odds against them that any consideration to GON however slight will be interpreted as direct U.S. opposition

¹Source: Department of State, Central Files, 817.10/8–1959. Secret; Priority; Limited Distribution. Information on the source text indicates that the telegram was not for distribution outside of the Department of State.

²Telegram 36 to Managua, July 31, informed the Embassy that the Export-Import Bank was considering a loan to Nicaragua and solicited the Embassy's evaluation of the "responsible" opposition's attitude toward the United States if the loan were granted. (817.10/7–3159)

their aspirations. Because they have shown themselves so resentful of U.S. dealings with GON in minor matters, it is inconceivable to Embassy that these groups would not as full resent EXIM loan under any conditions approximating those now applying to Nicaraguan situation. On occasion recent contemplated \$12 million bond issue to be underwritten by U.S. banks spokesmen this group publicly said new government would not honor debt. Such statements would seem good indication irresponsibility.

3. Independent Liberal Lacayo Farfans violent reaction to loan negotiations set forth Department telegram 38³ can be taken as reliable indication dedicated opposition Independent Liberal faction. In this connection Embassy reasonably certain that lacking issue of loan, Lacayo Farfans' supporters would seize upon any pretext attack U.S. if they feel would help their cause against Somoza psychologically. Embassy does not regard Lacayo Farfans group responsible as presently constituted.

4. In Embassy's opinion balance opposition composed adventurers clearly linked with foreign international schemers and Communists and devoid any claim responsibility. Many of this group working with classification three above. Their attitudes toward loan will of course be completely adverse to U.S.

Despite general impression of considerable opposition to loan created by foregoing evaluation Embassy wishes emphasize its conclusion that substantial majority Nicaraguan people who have not abandoned task of forming nation through constructive effort would welcome loan as measure greatly needed bolster economy in difficult circumstances. It is this majority which in last analysis will eventually assert itself in present difficulties and for benefit of which Embassy strongly recommends loan be granted soon.

These views offered as careful evaluations based on Embassy's intimate knowledge opposition motivations rather than as result current inquiries. Embassy convinced that any inquiry to groups above mentioned however discreet in present circumstances would be taken as opportunity wage anti-loan campaign in which U.S. would be prominently featured and as result of which country's future economic prospects would be further aggravated. For this reason Embassy earnestly recommends it be excused from requirement making inquiries to ascertain viewpoints.

³ Telegram 38 to Managua, August 3, transmitted the text of a message from Farfans to Rubottom in which the former protested the U.S. plan to extend Export-Import Bank loans to Nicaragua. (817.10/8-359)

In conclusion with reference Department's information to effect that opposition Somoza regime has increased because of shooting Leon students,⁴ Embassy points out that example opposition statements to contrary there is no evidence to support their exaggerated claims. Internally vast majority Nicaraguans remain unmoved politically by deplorable Leon occurrence. Student demonstration reactions are natural result of involvement their own numbers and in view of known Communist agitation in university circles it was indicated that disturbances would sooner or later occur with or without shooting incident.

Whelan

⁴ On July 23, the Embassy at Managua reported that a communist inspired university student demonstration at León, having antagonized the National Guard, resulted in the Guard's killing of at least four students. (Telegram 26 from Managua, July 23, not printed; 717.00/7–2359)

NI-18. Memorandum of Conversation, by the Officer in Charge of Nicaraguan Affairs (Taylor)¹

Washington, October 5, 1959.

SUBJECT

NICARAGUA: Visit of Ambassador Sevilla-Sacasa

PARTICIPANTS

His Excellency Dr. Guillermo Sevilla-Sacasa, Ambassador of Nicaragua
Assistant Secretary R. R. Rubottom Jr.
Dr. Juan Lugo Marengo, Minister of Economy
Dr. Francisco Lainez, Manager of Nicaraguan National Bank
Dr. Enrique Delgado, Former Minister of Economy
Mr. Ricardo Parrales, Commercial Attaché, Nicaraguan Embassy
Mr. Henry L. Taylor, OAP/N, Officer in Charge, Nicaraguan Affairs

Ambassador Sevilla-Sacasa stated that the purpose of his call was to introduce Nicaragua's new Minister of Economy, Dr. Juan Jose Lugo Marengo, and the new Manager of the National Bank, Dr. Francisco

¹ Source: Department of State, Central Files, 103-XMB/10–559. Official Use Only. Rubottom initialled his approval of this memorandum.

Lainez, to Mr. Rubottom. The Ambassador said these two men were representing Nicaragua at the current IMF and IBRD meetings, and that Dr. Lugo Marengo had signed last Friday a loan agreement with the Eximbank in the amount of \$8 million for agricultural diversification projects. The Ambassador then expressed his appreciation on behalf of his Government for the favorable consideration which had been given this loan application.

Mr. Rubottom said he was pleased that the loan agreement had been worked out to everybody's satisfaction. He then pointed out that such a loan was to help the people of the country. He said that Nicaragua's economy, like that of many other Latin American countries, would be benefitted by some diversification. Mr. Rubottom then made reference to the fact that Argentina had recently received a \$10 million Eximbank loan, (constituting a specific portion of EXIM assistance to Argentina) to be utilized through the Banco Industrial for small and medium Argentine business loans. He stressed that equal opportunities and consideration would be given to all categories of businessmen with regard to availability of the money for loan purposes. He said he hoped the same would be true with regard to the EXIM funds made available for agricultural diversification in Nicaragua. Dr. Lugo Marengo said there was no limitation as to whom agricultural loans were available and that the "little man" would receive the same consideration as the "big man".

Dr. Delgado then said that Nicaragua was making all out efforts to develop a sound agricultural program, and pointed out that the loan from the EXIM bank would be put to good use in enabling a switch-over to crops other than coffee and cotton. Dr. Lugo Marengo said he anticipated that 1960-61 would be a hard year for Nicaragua and added, however, he did not think Nicaragua would need a stand-by drawing at the end of this year from the IMF.

Mr. Rubottom asked about President Somoza's health. He was informed that the President was getting along very well. In this respect Ambassador Sevilla-Sacasa remarked upon how appreciative President Somoza was of the recent visit of Dr. Dudley White. He said Dr. White had examined him and had recommended that he reduce the number of pills he was taking and increase his amount of exercise.

The conversation was concluded with Mr. Rubottom expressing pleasure over the Ambassador's courtesy call.

NI-19. Telegram from the Ambassador in Nicaragua (Whelan) to the Department of State¹

Managua, October 20, 1959, 11 a.m.

121. PASS CINCARIB IN RESPONSE CC 66897E²

Department circular telegram 149³

Overall U.S. objectives Nicaragua in country team's view describable following terms:

(A) Encouraged *development stable political* systems along democratic representative anti-Communist lines without damage to all important principle nonintervention. Progress in attainment this objective believed indispensable for maintenance attitudes this country friendly to U.S. and for retention Nicaraguan Government's and people's support U.S. world policies.

(B) Encourage development strong, self-reliant economy based free enterprise system in ultimate U.S. interest.

(C) Complementary to (A) and (B) above and looking to facilitation those aims, strengthening of U.S. ties by demonstrating friendly, helpful interest in peoples welfare through advances in education, health, sanitation and in field of labor, which will result in more efficient use human resources.

(D) Foster U.S. concepts of responsibility for hemispheric defense of and internal security.

(E) Maintain before Nicaraguan people accurate reflection of what U.S. is and stands for as means explaining our policies and obtaining better understanding their aims. Similarly, diffusion of cultural activities intended to gain wider acceptance U.S. ideals in educational, intellectual and artistic matters.

No single program among those now existing or contemplated 1961 in Nicaragua is dedicated to achievement overall political objective stated in (A) above. Analysis all proposed U.S. programs, however, as well as observation past U.S. activities reflect important continuing contributions from all program sources without exception toward

¹ Source: Department of State, Central Files, 717.5-MSP/10-2059. Confidential.

² No copy of this military telegram was found in Department of State files.

³ Circular telegram 149 to all chief of mission, August 19, solicited the Embassies' view on the U.S. role and objectives in Mutual Security Programs and non-U.S. programs for fiscal year 1961. (120.171/8-1959)

accomplishment this aim. To cite only few examples for purposes illustration this conclusion borne out by following factors:

(1) Administration of assistance as well as counsel and training accorded by MAAG and military missions to national guard consistently reflect institutional, representative, apolitical character of ideal military establishment thus contributing to fulfillment of essential role in achievement objective (A) in important military segment. This program of course primarily seeks objective (D) and modest FY 1961 plan estimated to provide adequately for fair gains in both principal and contributory roles.

(2) Capital loans, present and in prospect for FY 1961 are deemed essential for accomplishment objectives (B) and (C) and important in pursuing objective (A). Export Import Bank and IBRD credits for agricultural diversification and hydroelectric projects for instance should assist towards both political and economic stabilization through development of new or improved sources production with consequent appreciation of U.S. interests in solution of country's problems.

In same connection technical cooperation programs in agriculture, transportation, health, education and housing are each in their respective fields cooperating toward achievement objective (A) (B) (C) and (E) with FY 1961 program seen as no exception. UN, UNICEF and MASB programs in equivalent projects are viewed as useful in light Nicaragua's needs and as generally contributing to fulfillment final U.S. objectives through improvement social standards.

(3) Information, cultural and educational exchange programs for FY 1961 regarded as logical continuation present efforts achieve objective (E) and greatly contributory to progress in attaining all other objectives. This especially exemplified by enthusiastic response to teacher and student grants, workshop projects and consistently pro-U.S. press.

To date there has been no indication of ineffective coordination among MSP elements or between MSP and other programs and FY 1961 programs show no such conflicts.

Whelan

**NI-20. Memorandum of Conversation by the Officer in Charge
of Nicaraguan Affairs (Taylor)¹**

Washington, March 31, 1960.

SUBJECT

NICARAGUA; Courtesy call of Ambassador Sevilla-Sacasa and Dr. Quintana,
Minister of Government.

PARTICIPANTS

Dr. Guillermo Sevilla-Sacasa, Ambassador of Nicaragua
Dr. Julio C. Quintana V., Nicaraguan Minister of Government
ARA – R. R. Rubottom, Jr., Assistant Secretary
OAP – Henry L. Taylor, Officer in Charge, Nicaraguan Affairs

Ambassador Sevilla-Sacasa said he had called with the Nicaraguan Minister of Government, Dr. Julio Quintana, in order that the latter could pay his respects and personally express his appreciation for the medical treatment he had received at Walter Reed Hospital. Dr. Quintana then expressed in warm terms his thanks for the medical treatment he received. He said that had it not been for the excellent attention he received, he would have lost his left arm. He said that he would be returning to Nicaragua on Sunday. Mr. Rubottom expressed pleasure over the satisfactory manner in which Dr. Quintana had responded to the medical treatment. He expressed the hope that his arm would continue to improve.

The conversation then turned to the recent remarks made by Secretary Herter before the Foreign Relations Committee on last March 22,² in which it was reported that the Government of Nicaragua was alluded to as a dictatorship. Mr. Rubottom said that he hoped the amplification of the Secretary's remarks made by Link White at a press conference on March 28 clarified the meaning of the Secretary's statement. Mr. Rubottom told Quintana that we were well aware of the democratic measures President Luis has placed into effect and stated they clearly evidenced a trend away from the dictatorial type of Government carried on by his father. Mr. Rubottom then said we had instructed our Ambassador to deliver a note in reply to that received by our Embassy from the Nicaraguan Foreign Minister, and that he believed this in addition to the above statement of clarification, would remove any misunderstanding. Mr. Rubottom added that it was regrettable

¹ Source: Department of State, Rubottom-Mann Files, Lot 62 D 419, "Nicaragua." Official Use Only. The source text is an unsigned carbon copy.

² The Department conveyed the text of Herter's statement regarding Nicaragua to the Embassy in telegram 249, March 24, not printed; 717.00/3–260.

that an erroneous interpretation had been placed on the Secretary's remarks and hoped this would be a passing thing in our friendly relations. Mr. Rubottom spoke of the friendship we had for the Nicaraguan people and asked the Minister to express this feeling again to President Luis and to let the President know we felt he was doing a good job. He asked the Minister to convey to President Somoza his warm regards as well as those of Secretary Herter. The minister expressed appreciation for Mr. Rubottom's remarks and said he would convey the above to his President. Mr. Rubottom also mentioned to Quintana the fine work Ambassador Sevilla-Sacasa was doing not only in the capacity as Nicaraguan Ambassador, but as Dean of the Diplomatic Corps. He told him that Sevilla was held in high esteem by his colleagues.

Mr. Rubottom then asked if it was correct that Quintana had been working to bring about an understanding between the Government and the opposition parties. Quintana said this was true and mentioned that he had been working particularly with the Independent Liberal Party prior to his automobile accident. He said that the situation had been complicated by the Micro parties (four small political groups) joining in a coalition with PLI, in that one group in particular, the *Movilizacion Republicana*, was communist lead. He mentioned the leftist swing of PLI leader Puenaventura Selva and Icaza Icaza and spoke of the trip they had made to Costa Rica a few months ago to talk with Lacayo Farfan (Nicaraguan exile opposition leader) on this matter. He said the PLI leaders were not in complete accord as to what policy they should adopt, but that he would continue in his efforts to bring about an understanding, wherein the opposition would agree to work peacefully toward their objectives. Mr. Rubottom told the Minister he hoped that he would continue with his efforts to effect a conciliatory understanding between the opposition and the Government. Dr. Quintana reiterated Nicaragua would have free and honest elections in 1963 and that the Government would be turned over without any question to the winner. In answer to an inquiry from Mr. Taylor, he said the electoral law was in the process of being changed to enable the political parties to register more easily as legal parties, but added that of course those which were communist dominated would not be permitted legal registration.

Ambassador Sevilla-Sacasa then went into a rather involved discussion of the history of the PLI, which became a splinter from the Government party (Partide Liberal), and mentioned President Somoza's progress and serious intent in trying to bring democracy to his country.

Minister Quintana concluded the conversation expressing again his appreciation for the medical attention given him at Walter Reed Hospital.

**NI-21. Memorandum of Conversation by the Officer in Charge
of Nicaraguan Affairs (Godfrey)¹**

Washington, June 7, 1960.

SUBJECT

NICARAGUA: Visit of Ambassador Sevilla-Sacasa to discuss Nicaraguan-Honduran Relations and Request for Asylum by Pro-Batista Exiles.

PARTICIPANTS

Dr. Guillermo Sevilla-Sacasa, Ambassador of Nicaragua
ARA—Roy R. Rubottom, Jr., Assistant Secretary
OAP—Richard A. Godfrey, Nicaraguan Desk Officer

1. Nicaraguan-Honduran Relations

Ambassador Sevilla-Sacasa stated that he had been instructed by President Somoza to acquaint the Department of State with certain views of the President on current Nicaraguan-Honduran relations. The GON continues to view with great concern the continued presence in Honduras near the Nicaraguan border of revolutionary groups, which from time to time have made incursions into Nicaragua, the last cited example being that of April 27, 1960. The GON expects the GOH to take immediate, effective measures to eliminate these revolutionary groups. Should the GOH continue, what the GON considers an evasive attitude on the elimination of these revolutionary groups, then the GON proposes, (1) to withdraw from the Mixed Military Mission now meeting in Tegucigalpa, and (2) to withdraw its Ambassador from Tegucigalpa, since his continued presence there served no useful purpose. President Somoza had also expressed the opinion that President Villeda was misleading the U.S. Ambassador by stating that the GOH lacked sufficient facilities to search out and eliminate these revolution groups. President Somoza had stated that the location of the groups was well-known to the GOH, and that members of these groups had circulated freely in Tegucigalpa and had even visited with certain GOH officials. After presenting the above views of President Somoza, Ambassador Sevilla-Sacasa requested that the U.S. Government use its good offices through the U.S. Ambassador in Tegucigalpa to press for prompt and decisive action on this matter by the GOH.

Mr. Rubottom observed that President Somoza has every reason to feel as he did in the face of the continued provocations and harassments by these revolutionary groups and he was justified in expecting the GOH to take effective action against those groups using Honduras

¹ Source: Department of State, Central Files, 615.17/6-760. Confidential.

as a base of operations. However, Mr. Rubottom emphasized that, even though sorely tried by these provocations, it is hoped that President Somoza will bear in mind that Hemispheric obligations constrain all of us to exercise infinite patience and forbearance rather than jeopardize the notable gains we have thus far achieved. This applies particularly to Central America which has experienced during the past few years a series of minor miracles in evolving toward stable, democratic governments. Mr. Rubottom illustrated these gains by pointing out (1) that Honduras now enjoys a stable government after years of near-anarchy, (2) that Panama has just experienced the most exemplary election in its history, (3) that the democratic system in Costa Rica continues to flourish in spite of President Echandi having to face a majority opposition in the Costa Rican Assembly and (4) that Guatemala had rid itself of a Communist government and together with Nicaragua and El Salvador are all progressing toward more democratic forms and practices. Mr. Rubottom pointed out that the patience of the United States was also being sorely tried in our current relations with Cuba but that we have chosen the path of patience and forbearance, rather than a course of direct action. He expressed the hope that President Somoza would bear all of these things in mind in his current relations with President Villeda and that he would not resort to withdrawal of his Ambassador or of the Nicaraguan members of the Mixed Military Commission. In the meantime, as we have done in the past, the United States will continue to use its good offices in behalf of resolving frictions between Nicaragua and Honduras.

The Ambassador thanked Mr. Rubottom and promised to inform President Somoza of our views.

2. Request for Asylum by Pro-Batista Exiles

Ambassador Sevilla-Sacasa said he would also like to mention another matter not related to Nicaraguan-Honduran relations but a matter which had been brought to the fore by the request for asylum in Nicaragua of a group of pro-Batista Cubans now in the Dominican Republic. He stated he had been told by the Dominican Ambassador in Washington, Dr. Luis F. Thomen, that as a result of an "understanding", or "truce", between Trujillo and Fidel Castro, some sixty pro-Batista exiles in the Dominican Republic had been given the choice of either leaving the country or being placed in prison. A group of twenty or more of the Cubans have requested President Somoza to grant them asylum in Nicaragua, which request Somoza is reluctant to grant.

Another development of which Ambassador Sevilla-Sacasa was also informed by the Dominican Ambassador, is that Aureliano Sanchez Arango, a Cuban exile, formerly pro-Castro but now in Venezuela, is making a visit to the Dominican Republic. Ambassador Sevilla-Sacasa stated he was at a loss as to how to interpret such a trip by Sanchez

Arango, except that President Betancourt is somehow interested in the current “understanding” between Trujillo and Castro or might be attempting some sort of understanding himself with Trujillo.

Mr. Rubottom stated that in his opinion President Somoza should take great care in the matter of granting asylum to a group of pro-Batista exiles, since such a development would undoubtedly have many repercussions unfavorable to Nicaragua. He said he wished it to be clearly understood that, whatever should happen in Cuba, the United States does not want to see another Batista-type regime in Cuba. [text not declassified] The GON should consider well before taking any action which would favor in any manner the pro-Batista exiles.

NI-22. Memorandum of Conversation by the Officer in Charge of Nicaraguan Affairs (Godfrey)¹

Washington, June 24, 1960.

SUBJECT

NICARAGUA: Visit of Ambassador Sevilla-Sacasa

PARTICIPANTS

Dr. Guillermo Sevilla-Sacasa, Ambassador of Nicaragua
Dr. Julie Cesar Alegria, Minister Counselor, Nicaragua Embassy
ARA—Lester D. Mallory, Deputy Assistant Secretary
OAP—C. Allan Stewart, Director
OAP—Richard A. Godfrey, OIC—Nicaraguan Affairs

Ambassador Sevilla-Sacasa indicated that a primary purpose of his visit was to express the pleasure and satisfaction of his government over the successful conclusion of the negotiation with the IBRD and the DLF of the loans for the Rio Tuma hydroelectric project. He stated that he was particularly pleased with the favorable terms of the \$2.5 million DLF loan, the formal signing of which was scheduled for July 1, 1960. In relation to the DLF loan, the Ambassador stated that he wished to make a courtesy call on Mr. Rubottom next week and that he would be accompanied by the Nicaraguan Minister of Finance, Carlos Rueck.

The Ambassador stated he had just received word that there had been another border incursion into Nicaragua from Honduras by the

¹ Source: Department of State, ARA/OAP Files, Lot 63 D 127, “Nicaragua 1960.” Confidential.

Nicaraguan revolutionary group led by Alejandro Martinez Saenz. He considered this was an act of desperation on the part of the group since he felt that the group was on the point of exhaustion from lack of supplies. Ambassador Sevilla-Sacasa stated that while his government was fairly well satisfied with the recent actions taken by the Government of Honduras in this matter, he still believed there should be additional forceful and coordinated action by the two governments to eliminate these rebel groups which constitute a threat to the good relations of the two governments. He stated that President Villeda was being misled at times in the matter of these rebel groups by his Minister of Foreign Affairs, Andres Alvarado Puerto, whom the Ambassador claimed had Castro leanings—feelings which he felt President Villeda also shared.

With regard to the charges made by Castro regarding the activities of Chester Lacayo, the Ambassador stated that if the United States presented the matter to the IAPC, then Nicaragua was ready to state how absurd was the Castro charge that the United States was a participant in any revolutionary plot directed against Nicaragua and that this was merely another attempt by Castro to upset the Caribbean. He added that the Lacayo affair was another example of abuse of the good faith of the United States by such people as Chester Lacayo. He described Lacayo as crack-pot with visions of grandeur as evidenced by his adopting the title of "Colonel". At this point Mr. Stewart interposed the observation that the Department also had considered Lacayo to be an irresponsible trouble-maker and for this very reason we had refused to receive a visit from him here in the Department.

According to Ambassador Sevilla-Sacasa, the recent bombing incident in Managua which caused the death of a watchman had been perpetrated by four teenage students. He claimed the students had been indoctrinated with such ideas by the recently ousted Cuban Ambassador to Nicaragua, Pinoa Machado. The ambassador stated that Nicaragua was prepared to present these facts to the IAPC as additional evidence of Cuban meddling in the internal affairs of Nicaragua. Mr. Mallory expressed his agreement that such evidence should be presented to the IAPC by Nicaragua and stated that he hoped the other Central American countries would do likewise.

With further reference to the Chester Lacayo affair, the Ambassador claimed that Fernando Arguello, a Nicaraguan leader of the "Sandino revolutionist movement" in New York, had induced his brother-in-law, Francisco Cardona of "La Prensa" in New York, to have published in his paper certain statements about Chester Lacayo's contacts with Department of State officials. According to the Ambassador, these published statements by Cardona in "La Prensa" tended to substantiate the Castro charge that Lacayo had in fact maintained such contacts as had

forced the basis of the charges against the United States made by Fidel Castro.

[Note by Reporting Officers with regard to the last statement above, an article signed by Francisco Cardona was published in the June 11, 1960 issue of "La Prensa" which in summary stated that Chester Lacayo was no "mercenary" in the pay of the U.S. but that Lacayo had addressed two letters, dated December 15, 1959 and April 20, 1960 respectively to the Secretary of State outlining in the name of the *Movimiento Revolucionario Nicaraguenso* the purposes and objectives of that Nicaraguan revolutionary movement.]

NI-23. Memorandum of Conversation, by the Officer in Charge of Nicaraguan Affairs (Herndon)¹

Washington, October 21, 1960.

SUBJECT

NICARAGUA: Courtesy Call At Department By General Somoza

PARTICIPANTS

Brigadier General Anastasio Somoza Debayle, Director of Nicaraguan Guardia Nacional and Chief of Nicaraguan Air Forces
Ambassador Guillerno Sevilla-Sacasa, Nicaraguan Ambassador to the United States
Thomas C. Mann, Assistant Secretary, ARA
Charles E. Higdon, Acting Director, OAP
Richard M. Herndon, OTC Nicaraguan Affairs – OAP

General Somoza expressed his thanks to Mr. Mann for U.S. cooperation and understanding extended to Nicaragua. With regard to his current visit at the invitation of the USAF, he said he had found the tour of USAF installations valuable in acquainting him with recent technical developments.

In response to Mr. Mann's question regarding the Cuban threat, General Somoza said he considered it is a serious matter throughout Central America. In Nicaragua, he considers it about three times as difficult now to take effective action against pro-Castro opposition as in the past. Formerly, pro-Castro elements were found in each of the opposition parties; now they are coalescing. The tactics followed are the

¹ Source: Department of State, Rubottom-Mann Files, Lot 62 D 419, "Nicaragua 1960." Official Use Only.

same as those used in Cuba itself. They seek to provoke incidents which will create mass repression. He said he found it necessary to explain constantly to the police who is truly responsible for these incidents in order to avoid taking rigorous action against those who are merely being used to perpetrate them. In General Somoza's opinion Castro exercises a great influence in Central America and he must be stopped. The General realizes that denunciations of the Somozas propounded by pro-Castro elements are in themselves unimportant and, in fact, are to be expected by a person in political life. He considers the supplying of funds to these people through Cuban sources a much more serious matter and stated that Cuba is furnishing about \$100,000 per month to pro-Castro people throughout Central America.

General Somoza states that the pro-Castro opposition has adopted the flag of the late opposition leader-bandit, Sandino, as its symbol and pays homage to Lopez Perez, the assassin of his father, as its leader. He estimates that the strength of this group once reached about 4,000, but since the shooting of a policeman and subsequent uncovering of a plot he feels that the number has dwindled to about 600.

Mr. Mann stressed the importance of timing in the matter of taking action against Cuba. He feels that public opinion in Central America is beginning to turn against Castro, an opinion with which General Somoza agrees. The General thinks the other Latin American countries will follow the sample of the U.S. in respect to trade controls on Cuba.

General Somoza also noted that the U.S. has done a very fine service to the hemisphere through training Latin American military officers at the U.S. Army School, Fort Gulick, C. Z. He stated that Latin Americans appreciate the opportunity it affords and as a result of its successful operation the U.S. now has 2,000 propagandists throughout Latin America.

NI-24. Editorial Note

On November 11, 1960, a group of Nicaraguan insurgents, estimated between 150 and 300, staged a number of armed attacks against administrative and National Guard facilities in the towns of Jinotepe and Diriamba. Within the next twenty-four hours, the Nicaraguan National Guard retook the two cities and were engaged in subduing the insurgents. By November 15, about fifty rebels, pursued by the National Guard crossed the border into Costa Rica. Documentation on the uprising is in file 717.00.

NI-25. Telegram from the Ambassador in Nicaragua (Whelan) to the Department of State¹

Managua, November 16, 1960, 10 a.m.

155. Further regarding DEPTTEL 134² and EMBTEL 153³ GON has delivered diplomatic note dated 15th substance as follows:⁴

1. Preamble refers past invasions Nicaraguan territory by mercenaries supported by Communist Castro regime in connivance some Nicaraguans purpose subvert public order and violent overthrow freely elected democratic government substituting by government Communist ideology.

2. Such efforts presently continuing and armed forces concentrated Costa Rican territory continuing receive Cuban aid.

3. Foregoing demonstrates existence imminent danger Cuban aggression and intervention Nicaraguan internal affairs seriously altering peace and security American continent.

4. GON supported by virtually all citizens proposes resistance above threat but efforts in danger through superior numerical forces and more abundant and modern war material.

5. In circumstances and view obligation preserve country's peace GON formally requests U.S. Government patrol borders and coasts Nicaragua with air and naval forces to prevent invasion by forces assisted Castro Communist regime and prevent sending of arms and other aid those forces.

¹ Source: Department of State, Central Files, 741B.5811/11–1660. Secret; Niact; Limited Distribution. Repeated for information to Guatemala City and San José.

² Telegram 134 to Managua and San José, November 14, expressed the Department's concern about Communist involvement in the recent disturbances in Costa Rica, Nicaragua, and Guatemala. It also instructed the Embassies to inform the presidents of their respective countries that the United States was prepared to consider their written requests for air and sea assistance to seek out and prevent attempts at reinforcing rebel forces from outside their countries. (741B.5811/11–1460)

³ Telegram 153 from Managua, November 14, reported that telegram 134 had been conveyed to Somoza and that he indicated that Nicaragua would make a written request to the U.S. Government. The telegram also reported that Somoza was particularly interested in air and sea patrol off the Atlantic coast. According to the Embassy, Somoza believed that Communist involvement could be established but proof of Cuban participation would have to await confirmation by President Echandi. (741B.5811/11–1460)

⁴ The text of the note in Spanish and an English translation were transmitted in despatch 165 from Managua, November 21, 741B.5811/11–2160.

Re DEPTTEL 136⁵ Department will observe [illegible in the original] clear indication existence proveable Castro Cuban Communist participation or [illegible in the original] in olive green uniforms with insignia "Patria Orpto Muerte". In radio address to nation evening 14th President also stated no foreign elements involved in [illegible in the original] internal actions. He has however informed Embassy statements made by captured Communist or Communists participating these internal actions establish Communist purpose to use conservative and other opposition groups and when GON overthrown latter would be liquidated.

In common with opening statement DEPTTEL 134 President is known to regards simultaneous character CA disturbances as part of systematic Cuban Communist plan, see EMBTEL 142,⁶ but Embassy [*text not declassified*] unable cite single instance Cuban involvement.

Lastly GON desire for U.S. patrol of borders appears logical in view Costa Rica's inability perform this function and its reluctance to have GON do so effectively. Some situation in much more aggravated form applies Honduran border where boundary dispute would render any independent attempt at effective surveillance entirely impractical.

GON awaiting Department's decision.

Whelan

⁵ [illegible in the original]

"In face widespread public assumption Castro responsibility or complicity in revolutionary activities your area and in anticipation early investigation through OAS Dept. urgently needs your current evaluation of evidence tending show Cuban involvement. Sources of information and basis for Embassy's appraisal will also be useful in consideration here of likely credibility in international forum. Request roundup all information this nature coming available through November 15 by cable to be received here November 16." (620.37/1-1560)

⁶ [illegible in the original]

NI-26. Editorial Note

On November 17, 1960, President Eisenhower's press secretary, James C. Hagerty, issued the following statement on behalf of the President: "In response to requests of the Governments of Guatemala and Nicaragua, surface and air units of the United States Navy are in a position in which they could assist these Governments, should

it become necessary, to seek out and prevent intervention on the part of Communist-directed elements in the internal affairs of Guatemala and Nicaragua through the landing of armed forces or supplies from abroad." The text of the statement is printed in the Department of State *Bulletin*, December 12, 1960, p. 888.

In response to questions from the press concerning legal grounds for United States action in the event that it implemented the measures contemplated in the President's statement, Lincoln White, Department of State press spokesman, issued the following statement on November 17:

"Any assistance which may be given in conformity with the President's announcement will be in response to a request which the respective governments concerned have every right in their sovereign capacity to make and which the United States in its sovereign capacity has a right to provide. It would be carried out within the national jurisdiction of the requesting government. Naturally we shall be prepared to provide other governments members of the Organization of American States with information regarding actions which might be taken." The Department conveyed the text of the statement to all Latin American posts in circular telegram 727, November 17; 741B.5811/11-1760.

As a result of Eisenhower's directive, the U.S.S. aircraft carrier *Shangri-La*, together with a number of destroyers and naval aircraft positioned themselves off the coast of Guatemala and Nicaragua. On December 7 after the two Governments involved had decided that the emergency had passed, the President ordered the withdrawal of the American units. See the press release issued by the White House on December 7, printed in the Department of State *Bulletin*, December 26, 1960, p. 958.

Panama: U.S. Relations with Panama

PM-1. Editorial Note

On May 2, 1958, Panamanian students entered the Panama Canal Zone and planted Panamanian flags in front of the Administration Building and other predetermined public places in Balboa in support of their "Operation Sovereignty" and urged Ernesto de la Guardia, Jr., the President of Panama, to initiate negotiations with the United States to have the Panamanian flag flown in the Canal Zone. President de la Guardia, in an effort to appease student demands, sought the advice of Panama's National Council of Foreign Relations concerning the most convenient approach to such negotiations. Representatives of the Republic of Panama, however, did not initiate a request to negotiate. Documentation concerning these events is in Department of State files 719.00 and 911F.7301.

PM-2. Telegram from the Secretary of State to the Embassy in Panama¹

Washington, June 25, 1958, 7:05 p.m.

489.

Cur 470.² Inform GOP President signed appropriations bill H.R. 12540 twentyfifth³ which included bridge item of \$19,250,000. This concludes appropriation entire \$20 million for construction bridge which is to remain available until expended and fulfills United States treaty

¹ Source: Department of State, Central Files, 911F.7301/6-1758. Priority. Drafted by William E. Price of the Office of Middle American Affairs and initialled by Herbert B. Leggett, Officer in Charge of Central America and Panama Affairs.

² Not printed; 911F.7301/6-1758.

³ For the text of the Department of Commerce and Related Agencies Appropriation Act of 1959 (Public Law 85-469), enacted on June 25, 1958, see 72 Stat. 276.

commitment this respect.⁴ Department releasing appropriate statement to press.⁵ Assume USIS will publicize.

Dulles

⁴ Under the terms of the Treaty of Mutual Understanding and Cooperation and Memorandum of Understandings Reached, which representatives of the United States and the Republic of Panama signed on January 25, 1955, the United States agreed to seek the legislative authorization and the necessary appropriations for construction of a bridge over the Pacific end of the Panama Canal at Balboa, Canal Zone. For the text of both the Treaty and the accompanying memorandum, see *United States Treaties and Other International Agreements* (UST), vol. 6 (pt. 2), p. 2733.

⁵ For the text of the Department of State press release announcing the enactment of this legislation, see the Department of State *Bulletin*, July 14, 1958, p. 68.

PM-3. Memorandum Prepared in the Bureau of Inter-American Affairs¹

Undated.

**SUMMARY OF DISCUSSIONS IN PANAMA DURING
DR. EISENHOWER'S VISIT²**

July 12–16, 1958

In Panama contacts between Dr. Eisenhower's Mission and the Panamanians were limited to Government officials and labor unions. Principal discussions took place in a meeting with President Guardia, members of the Cabinet and Ambassador Arias in the Presidential Suite at the El Panama Hotel. The Panamanians made a series of requests for financial assistance and appeared to be just a little confused as to which credit agency they should apply to for the various loans they were hoping to obtain. President Guardia and some of the other ministers who spoke apparently attempted to secure a special position for Panama, saying that the other Latin American countries realized that a special relationship existed and that anything done for Panama would have favorable repercussions throughout the Continent.

¹ Source: Department of State, ARA Special Assistant's Files, Lot 66 D 513, "Eisenhower, Milton Nicaragua 1958." Neither the drafter nor the date is indicated on the source text, which is a carbon copy.

² For additional documentation concerning Dr. Milton Eisenhower's trip to Central America, July 12–August 1, 1958, see Document NI-4, footnote 4.

Reference was made to the fact that in Panama the rate of population growth was higher than the growth of national income, thus a climbing index of productivity was coupled with a drop in real per capita income and this was resulting in a deterioration of the standard of living. Similarly, the Panamanians pointed up the fact that the proximity of the Canal Zone should be an additional stimulus for the United States to render special assistance to Panama. President Guardia made passing reference to the internal political situation by saying that 60% of the population were under 25 years of age and with the impatience of youth coupled with the drop in per capital income to which he had previously referred, this created an atmosphere propitious to fanning anti-U.S. sentiments.

The Panamanians broadly indicated there were two classes of things the U.S. should do, some in the political field and some in the economic field. In the political field were some matters which really belonged in the economic field. Among these were the matters relating to making the Canal Zone market available exclusively to Panama and the United States. They mentioned the discontent created in Panama by the purchase of Australian and New Zealand meat and felt that the wording of the 1955 agreement should limit the Canal Zone market to the United States and Panama. When it was pointed out that the amount of meat purchased from abroad was extremely small, the Panamanians indicated that it was not the quantity but the fact of purchase from abroad that aroused resentment.

In the political field, the President mentioned two further items which he brought up with some embarrassment. They related to the flying of the Panamanian flag in the Canal Zone and the use of Spanish as an official language in the Canal Zone. The President emphasized that if the U.S. would offer to do this spontaneously, the overall effect would be far more beneficial than if it were done grudgingly at a later date. The President then made a statement that if the U.S. might have to do more than Panama, Panamanians would nevertheless try to reciprocate as they felt a moral obligation on their part to assist in preserving the free way of life.

Passing to the economic area, the President said that he felt there were no real problems in the economic field if time were not a factor. However, the young people who make up such a large part of the national population, particularly the University youth were impatient for speedy solutions.

Education—In the field of education, which was an extremely important area in Panama, they would like to secure a loan for \$12 million to push through a school development program. The rent now being paid-on leased schools could service the amortization of

such a loan. Such a gesture on the part of the United States would have great psychological impact throughout the area.

Agriculture—The Panamanians expressed a desire for a \$7 million loan to make available additional loan capital to the Institute for Agricultural Development. Because of the shortage of such capital, the Institute had had to curtail its credit.

Sewage and Water—Panamanians expressed a hope that a loan could be obtained to improve the water system and extend sewage construction. The Smathers loan³ had been helpful and they would like to handle this on the same basis.

Electric Power—In this field, it was stated that Panama was stagnating. Power available was greatly below that required. A hydro-electric project to supply Panama and Colon was badly needed. The Panamanians made it quite plain they would be perfectly happy either to do this themselves or to have American and Foreign Power do it, or a combination of both. This willingness was cited by the President as an indication that the Panamanians were receptive to private enterprise and capital investment.

Roads—Panama was expending a great deal of money to complete the Inter-American highway but a great many feeder roads were necessary and further credit facilities would be required. In the meantime, they were anxious to obtain training of engineering units and operators of road building equipment. They had requested such assistance through the International Cooperation Administration and hoped that this matter could be expedited.

Housing—The Panamanians indicated that this was a very serious problem considering the fact that, on the average, in Panama City, 5 people live in a 9 x 9 room. It was the intention of the government to create a housing institute and initiate a low-cost housing program. Initially this would be done with government funds but as the program gathers momentum, the government will welcome credit from any source to go ahead with this program.

Development of the Bay of Panama—It was pointed out that there were no pier facilities except through the Canal Zone and the number of shrimp and fishing boats as well as pleasure craft was increasing constantly. The construction of the new bridge will further emphasize this problem. Land reclamation will make available land which could

³ The amendment to the Mutual Security Act of 1956, which was named after its sponsor, Sen. George A. Smathers (D-Fla.), provided for the use of a portion of the defense support funds authorized in the Act for health, education, and sanitation projects, and for land resettlement programs in Latin America. For the text of the Mutual Security Act of 1956 (Public Law 84-726), enacted on July 18, 1956, see 70 Stat. 555.

be sold for some \$10 million and credits to finance this operation would be a sound investment.

Extension of Tocumen Runway—The Panamanians had been notified by the Civil Aeronautics Authority and a number of U.S. airlines that Tocumen airport would soon begin to be used by jet transports. This would require an extension of the present runways there and the cost of this extension will approximate \$530 thousand. They felt that as the U.S. Armed forces would have the free use of this airfield in time of war, that it was only fair that some share of the cost of construction be borne by the United States.

Point 4—The President expressed a desire for a broadening and enlarging of the Point 4 program. The Panamanians recognized that Point 4 has made a great contribution to the economic progress of the country and are anxious that this program be broadened in scope. There were many fields of endeavor where prospective profits were too small or too insecure to justify investment, nevertheless, many of these activities were vital to the further economic development of Panama and they would hope that an institution such as Point 4 would be available, capable both of assuming risks and making grants.

Quotas and Preferential Tariffs—Panamanians felt that with a limited economy of their type it was not unreasonable to hope they would be given a larger sugar quota than they had at present (3,000 tons). Similarly, they hoped that they might be made the beneficiaries of any preferential tariffs permitted by the laws of the United States.

Telecommunications—It was indicated that as a result of a study⁴ conducted by Col. Grey, it appeared that the telecommunications network of the Republic of Panama was nearing a total breakdown. The study recommended the construction of an open wire network at a cost of some \$2 1/2 million.

The Government expressed strong support for the position assumed by the United States in the international arena, particularly insofar as the action in Lebanon⁵ was concerned.

CONCLUSIONS: In Panama broad requests were made for further financial assistance from the United States. Willingness was expressed to seek such assistance not only from Government credit organizations but also from private investors. Not only was no hostility expressed towards private foreign investment, but it was stated that this would

⁴ Not found in Department of State files.

⁵ For documentation on U.S. policy with respect to the crises in Lebanon and Iraq in 1958 including the rebellion in Lebanon in May, the revolution in Iraq in July, the dispatch of American troops to Lebanon, and the role of the United Nations, see *Foreign Relations*, 1958–1960, vol. XI, Lebanon and Jordan, and *Foreign Relations*, 1958–1960, vol. XII, Near East Region; Iraq; Iran; Arabian Peninsula, Chapter 4.

be welcomed. Requests for loans for which specific amounts were mentioned were as follows: schools \$12-1/2 million, agriculture \$7 million, sewers \$13-1/2 million, telecommunications \$2-1/2 million, Tocumen Runway extension, half a million dollars, and an unspecified amount was hinted at for the Panama Bay development program and additional highway projects.

The various projects appear to have been prepared in the various ministries concerned without an overall coordinated effort at establishing a national plan. If Panama is to achieve a viable economy as a basis for political stability, there must be an accelerated development of the production resources. This is a broad task. Under the political system in Panama, the primary burden for economic development rests with private enterprise. The three main pillars of the economy are agriculture, industry, and trade. The Government, however, must support, encourage, serve, and regulate private enterprise in the public interest to achieve national goals. The Government has undertaken to do this in various fields but so far, despite the mounting costs to the people, increased national production has fallen far short of expectations. This seems partially due to poor planning and inadequate personnel and organization to make available technical knowledge and get decisions in dealing with these problems. In order to plan effectively, the following would seem to be needed:

1. An inventory of the nation's assets, both human and natural.
2. A study to determine the viability of new industrial enterprises.
3. A study of domestic requirements and possible sales on foreign markets, including tourism.
4. Establishment of standards and levels for essential government services in developing, supporting, and regulating private activities.
5. Formulating the necessary finance, tax, and trade policies to serve the economic development programs and a study of the organization and functions of Government agencies working in this field.

The President of Panama has taken an interest in this matter and arrangements have been made for a Mr. Alvin Mayne of the Puerto Rico Planning Board to advise and assist the Panamanians in these matters. Pro-Communist and anti-U.S. activities appear in Panama as in other countries in the area to be centered in the University.

**PM-4. Telegram from the Secretary of State to the Embassy
in Panama¹**

Washington, July 25, 1958, 6:13 p.m.

68. Deliver soonest following message to President de la Guardia. "The White House, Washington, July 25, 1958, His Excellency Ernesto de la Guardia, Jr., President of the Republic of Panama, Presidential Palace, Panama; Republic of Panama. I am pleased to inform Your Excellency that I have today affixed my signature to an Act² which authorizes and directs United States Government agencies in the Canal Zone to conform their employment and wage practices to the principles agreed upon and set forth in Item one of the Memorandum of Understandings Reached, attached to the Treaty of Mutual Understanding and Cooperation of 1955, between the United States and Panama. By this Act the United States completes the fulfillment of its commitments to Panama under the Treaty of 1955, so far as specific legislation may be required.

I shall issue an Executive Order³ shortly which will establish the administrative criteria by which operation of the provisions of the Act will be facilitated.

I sincerely hope that enactment of this legislation forges one more link in the long chain of friendship, cooperation and mutual respect that has traditionally bound our Governments and citizens together.⁴

¹ Source: Department of State, Central Files, 811F.061/7-2558. Niact.

² For the text of the United States-Panama Wage and Employment Practices Act (Public Law 85-550), enacted on July 25, 1958, see 72 Stat. 405.

³ President Eisenhower signed Executive Order 10,794 on December 10, 1958. For the text, see 23 *Federal Register* 9627.

⁴ On August 13, 1958, Fisher Howe, the Director of the Executive Secretariat, sent a memorandum to Brig. Gen. Andrew J. Goodpaster, the President's Staff Secretary, informing him that Panamanian Ambassador Arias on August 5 had handed Under Secretary of State Christian A. Herter a telegraphic message from President de la Guardia for President Eisenhower that was in response to the President's telegraphic message of July 25. Howe also indicated that he was transmitting the original of the message as received from Ambassador Arias and an official translation as enclosures to his memorandum. (811F.061/8-1358) Neither enclosure is attached to the State Department's record copy of Howe's memorandum, but both are attached to the original sent to the White House. According to the official translation, President de la Guardia expressed his fear that the United State would enact wage standards that would, in fact, discriminate against Panamanian workers and would also pursue employment practices that would have the effect of reducing employment opportunities for Panamanian citizens. (Eisenhower Library, Herter Papers)

Dwight D. Eisenhower"

Upon delivery above message obtain GOP concurrence simultaneous release text Washington and Panama.

Washington prefers release 10:30 a.m. EDT July 26.⁵

Dulles

⁵ In telegram 118 from Panama City, July 25, Amb. Julian F. Harrington informed the Department of State that Panamanian Foreign Minister Miguel Moreno approved the simultaneous release of the text of the President's message on July 26 at 10:30 a.m., EDT. (811F.061/7-2558)

PM-5. Editorial Note

In an exchange of notes between Ambassador Julian F. Harrington and Foreign Minister Moreno on August 5 and 16, 1958, respectively, the United States Government and the Republic of Panama concluded an agreement that entered into force on August 16, 1958, to extend the agreement of August 5, 1957, authorizing the inspection by Panamanian nautical inspectors of vessels of Panamanian registry in the Canal Zone (8 UST 1413). For the texts of the notes exchanged, see 9 UST 1146. Documentation concerning the negotiation of this agreement is in Department of State file 611.19.

PM-6. Telegram from the Acting Secretary of State to the Embassy in Panama¹

Washington, August 19, 1958, 8:14 p.m.

87. Verbatim Text.

Deliver soonest following telegraphic message from the President to President de la Guardia.

"August 19, 1958. I thank your Excellency for the kind message forwarded to me by the Department of State after its delivery to Governor Herter by Ambassador Arias on August 5, 1958.

¹ Source: Department of State, Central Files, 711.11-EI/8-1958. Official Use Only; Priority.

I assure you that my Government appreciates your comments on the implementation of the recently signed Act concerning employment and wage practices in the Canal Zone, and they will be kept in mind while preparing the regulations under which the Act will operate. It is the intention of my Government that the interpretation and application of the Act will be one more step by which we strengthen the ties of friendship which already unite our countries. Dwight D. Eisenhower"

No public release this message planed here. In view Department's decision not to release text de la Guardia message delivered Department August 5 believe decision should be left to GOP whether release this message. If GOP decides release, please advise 2 hours in advance release time.²

² In telegram 144 from Panama City, August 21, Amb. Harrington informed the Department of State that President de la Guardia was pleased to receive President Eisenhower's message and planned to release all but the first paragraph of it to the press on August 22. (711.11-EI/8-2158)

PM-7. Letter from the Deputy Assistant Secretary of Defense for International Security Affairs (Irwin) to the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, September 22, 1958.

Dear Mr. Rubottom:

Our letter of 27 November 1956² requested that negotiations be resumed with the Republic of Panama for the acquisition of two radar sites to be used for anti-aircraft purposes. It has now been determined that for the present no action should be taken to modernize the anti-aircraft defenses of the Panama Canal. It is requested therefore, that no further effort be made at this time to secure the sites in question.³

Sincerely yours,

Deputy Assistant Secretary

¹ Source: Department of State, Central Files, 711.56319/9-2258. Secret.

² Printed in *Foreign Relations*, 1955-1957, vol. VII, American Republics: Central and South America, Document 167.

³ The following handwritten notation appears at the bottom of the source text: "Note: This is an example of what happens to many an issue we take up with a foreign government on behalf of the Defense establishment. W[illiam]. P. Snow 10/7/8"

PM-8. Memorandum of Conversation, by the Deputy Director of the Office of Central American and Panamanian Affairs (Leggett)¹

Washington, October 8, 1958.

SUBJECT

U.S.-Panamanian Relations and the Canal Zone

PARTICIPANTS

The Secretary

His Excellency Señor Lic. Miguel J. Moreno, Minister of Foreign Relations of Panama

His Excellency Señor Don Ricardo M. Arias E., Ambassador of Panama

ARA—Mr. Rubottom

OAP—Mr. Leggett

Calling at his own request, Foreign Minister Moreno began by expressing his admiration for the skill and firmness displayed by the Secretary in dealing with the current crisis in the Far East² and stated that his Government fully endorsed the position adopted by the United States.

He then turned to certain aspects of U.S.-Panamanian relations concerning the Canal Zone, and expressed his appreciation at having received the opportunity to bring this matter to the Secretary's personal attention. He said that his Government was under severe pressure from student groups and other elements and that these pressures, although political in expression, were basically economic in origin. They represented, the Foreign Minister went on to say, a desire for better education, improved living conditions, and a higher standard of living. To meet these demands, the Panamanian Government found it essential, he said, to achieve a more favorable economic relationship with the Canal Zone.

The basic difficulty lay in the differing interpretation placed by United States Government agencies and the Government of Panama on the Treaty of 1955 between the two governments and the related Memorandum of Understandings Reached. Of primary importance to Panama, he went on to say, were the questions of importation of merchandise for resale in the Zone, manufacturing and processing activities in the Zone, application of the single wage scale to all Zone employees, remission to the Government of Panama of duties collected on liquor sold in the Zone, and the question of the location of the proposed new passenger terminal by the Panama Railroad Company.

¹ Source: Department of State, Central Files, 611.1913/10-858. Confidential.

² For documentation on U.S. policy with respect to the Chinese offshore island crisis of 1958, see *Foreign Relations*, 1958–1960, vol. XVI, East Asia-Pacific Region; Cambodia; Laos.

The Foreign Minister asked Ambassador Arias if he would not like to expand upon the problem involved in imports of merchandise from third countries for sale within the Zone. The Ambassador began by saying that the Panamanians did not question the U.S. interpretation of the 1955 Treaty as being perfectly logical and consistent, from our point of view. However, he said, Panama regarded the matter from a different angle. Panama was a small state which, although having benefited greatly from the Canal, nevertheless felt itself entitled to, and of necessity was obliged to obtain, even greater benefits. With no minerals or other natural resources apart from its geographic position, Panama was obliged to rely very heavily on revenues derived directly and indirectly from the operation of the Canal. He stated that he was absolutely convinced of the correctness of this view, despite the theory advocated by some prominent Panamanians that the country should endeavor to develop other sources of income in order to lessen its dependence upon the Canal. He went on to point out that the Canal had been constructed with United States resources, in Panamanian territory, and was, in his view therefore, an entity which was effectively the concern of our two nations alone. For this reason, he said, the Canal Zone market should be reserved for Panamanian and U.S. suppliers, and the introduction of Australian beef and Ecuadoran rice, for example, encroached on Panama's right to supply this natural market. Panama's was a dollar economy, he added, and could not hope to achieve the low-production costs of such countries as Ecuador. In short, the Ambassador said that frankly what Panama considered itself entitled to was a "captive market".

The Secretary observed that we did not subscribe to this theory with respect to our own domestic market and mentioned the Reciprocal Trade Agreements policy³ as evidence of our attitude. The Foreign Minister replied that nevertheless the United States found it necessary on occasion to take protectionist sentiment into account, citing the recent imposition of quotas on lead and zinc imports as an example.⁴ In a brief digression, the Foreign Minister and the Ambassador both complimented the Secretary on his decision to announce the lead-zinc quotas before the recent Washington meeting of Foreign Ministers⁵ convened,

³ Enacted on June 12, 1934, the Reciprocal Trade Agreements Act (48 Stat. 943) empowered the President to lower unilaterally existing tariff schedules by as much as 50 percent for those nations willing to make reciprocal trade concessions. In the Trade Agreements Extension Act of 1958 (Public Law 85-686), enacted on August 20, 1958, Congress granted the President another extension of the Reciprocal Trade Agreements Act of 1934. For the text of the Trade Agreements Extension Act of 1958, see 72 Stat. 673.

⁴ On September 22, 1958, President Eisenhower announced the imposition of quotas on lead and zinc imports into the United States, effective on October 1. For the text of the White House press release containing the President's announcement, see the Department of State *Bulletin*, October 13, 1958, p. 579.

⁵ The Latin American Foreign Ministers met informally in Washington on September 23-24, 1958, and approved measures to promote inter-American economic cooperation, including the establishment of an inter-American economic development institution.

and the Foreign Minister commented upon the satisfaction expressed by his colleagues during the opening sessions of UNGA in New York over the Secretary's remarks in Washington to the Foreign Ministers.

The Ambassador then reverted to the problem of the Canal Zone and raised the question on the wage rate paid Panamanian employees of the Zone. The Secretary stated that he thought that this matter had been settled by the recent legislation enacted by the United States Congress implementing the single-wage provisions of the 1955 Treaty. The Ambassador replied that it was true that the legislation in question had established a given wage for a given job, regardless of whether the job was filled by a Panamanian or an American, and that he hoped that the Executive Order putting this into effect would be promulgated shortly. The broader question which remained unsolved, he said, was not the question of base pay but the difference in the total amount actually paid Americans and Panamanians working side by side and doing the same kind of job. He did not see how the United States could indefinitely maintain one real wage scale for its people in one part of the world and another scale elsewhere.

Mr. Rubottom pointed out that, in order to recruit employees for work in the Zone, it was necessary to offer them certain financial incentives. He also pointed out that were we to raise base wages in the Canal Zone to U.S. levels for all employees, regardless of citizenship, the resulting contrast with the relatively low wage-scale level in the republic would bring tremendous pressure on the Government of Panama for wage increases which it could not possibly grant. Mr. Rubottom reminded the Foreign Minister that we had, at the Panamanian Government's request, withdrawn commissary privileges from Panamanian employees of the Zone. While that action had benefited Panamanian industry and commerce, it had also the effect of reducing the purchasing power of the Panamanians working in the Zone.

We were very conscious of Panama's financial and economic problems, Mr. Rubottom continued, and were giving careful and serious consideration to the development projects outlined in the Memorandum presented to Dr. Milton Eisenhower⁶ during his visit to Panama. Mr. Rubottom also mentioned a recent conference in which he, Assistant Secretary of Army George H. Roderick, Governor Potter, and Ambassador Harrington had discussed Panama's problems. Finally, he stated that Mr. Robert Burroughs and Mr. Ralph Cake, members of the Board of Directors of the Panama Canal Company, together with Governor Potter, had called on the Under Secretary last week to present their views on Panama's need for economic and social betterment. It was

⁶ Not printed; 611.1913/10–2958.

evident, he added, that the various United States Government agencies concerned were giving the most serious consideration to the matter.

The Foreign Minister spoke again briefly, making particular mention of imports of such luxury items as diamonds, French perfumes, and Persian rugs for resale in the Zone, from which Panama derived no financial advantage. The Ambassador commented on the vast contrast in the standard of living in the Zone and that in the Republic and the impression this contrast made on the people of Panama. The preferred position in supplying the Canal Zone market, together with other benefits being sought, should be financed, in the Ambassador's opinion, from the revenue derived from the operation of the Canal. He pointed out that Canal tolls had not been raised since 1914, despite increases in freight rates, wages, and so forth in the interim, although he admitted that any increase in the tolls which we might decide to make would become a major international problem.

The Secretary concluded the discussion by pointing out that the Department and the White House had been much concerned over the delay in the passage of legislation implementing the 1955 Treaty. Now, he said, it appeared that the problems posed by the Foreign Minister concerning interpretation of the provisions of that Treaty were not of a legal character, but dealt rather with the manner in which the Treaty provisions were applied in detail. No immediate reply could be given, he added, but he said that he and Mr. Rubottom would undertake a serious study of the points the Foreign Minister had raised and would ascertain if something could not be done.

On his departure, the Foreign Minister handed the Secretary an envelope which, he stated, contained an Aide Memoire⁷ on the subjects discussed.

⁷Not printed; 611.1913/10-858.

PM-9. Editorial Note

On December 18, 1958, the National Assembly of Panama enacted Law No. 58 which extended to twelve miles the breadth of the territorial waters of the Republic of Panama. Responding on January 9, 1959, the Department of State, through the Embassy at Panama City, protested this action and informed the Ministry of Foreign Relations that the United States Government was under no obligation to recognize a territorial sea limit of more than three miles and hoped that the

Republic of Panama would reconsider its action. In its reply of January 21, 1959, the Ministry of Foreign Relations rejected the arguments that the Embassy had advanced in its note of January 9. Documentation on this subject is in decimal file 719.022.

PM-10. Editorial Note

In a series of notes from Ambassador Julian F. Harrington in Panama, to Foreign Minister Moreno, on February 17, March 23, and September 22, 1959, the United States Government informed the Republic of Panama of its desire to amend the United States Army Mission agreement of July 7, 1942, as extended. In his reply of November 6, 1959, Moreno accepted the American proposals, and the agreement entered into force on November 6, 1959. For the texts of the notes exchanged, see 12 UST 718. Documentation concerning the negotiation of this agreement is in Department of State file 719.58.

PM-11. Memorandum from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Acting Secretary of State¹

Washington, April 1, 1959.

SUBJECT

Suggested Reply to Letter President Eisenhower Received from President de la Guardia of Panama

Discussion

The President of Panama, Ernesto de la Guardia, Jr., addressed a letter dated March 7, 1959 to President Eisenhower which was personally delivered by Ambassador Ricardo Arias of Panama on March 19, 1959, together with an attached memorandum. (Translations

¹ Source: Department of State, ARA/OAP Files, Lot 61 D 67, "Panama Relations March–May 1959." Official Use Only. Drafted by Price.

at Tab B)² In his letter President de la Guardia refers to Item 1 of the Memorandum of Understandings Reached attached to the Treaty of Mutual Understanding and Cooperation of 1955, between the United States and Panama (Tab C)³ and expresses his concern and apprehension as to the manner in which the United States is implementing its provisions. President de la Guardia claims the administrative Regulations do not properly implement the provisions of Item 1 of the Memorandum and he specifically cites several points which he considers to be at variance with, and some even in violation of, the provisions of Item 1 of the Memorandum. In summary these are: 1) a dual wage scale system still prevails for Panamanian employees in certain categories and is discriminatory; 2) the merit system is incorrectly administered; 3) the unlimited use of the "security" concept unduly excludes Panamanian employees from positions classified as security positions, and 4) the establishment of other unauthorized exceptions violates the principles of equality of compensation, opportunity and treatment to Panamanian employees.

The memorandum attached to the presidential letter sets forth in some detail additional cases of alleged violations.

Because the substantive matters raised in the letter and memorandum require detailed study, a suggested reply has been prepared for President Eisenhower expressing his interest in the matters brought to his attention and assuring President de la Guardia that a reply will be made later through regular diplomatic channels after the specific problems have been studied and determinations made by this Government. The President's letter of July 25, 1958 (Tab D)⁴ and de la Guardia's reply of August 4, 1958 (Tab E)⁵ are attached.

Recommendation

That you sign the attached memorandum⁶ transmitting for the President's consideration a suggested reply to President de la Guardia's letter.⁷

² Not attached to the source text. Neither the letter nor its translation are printed, but the translation of President de la Guardia's letter is filed in Presidential Correspondence, Lot 64 D 174. No copy of the memorandum attached to de la Guardia's letter has been found.

³ Not attached to the source text. Item 1 of the Memorandum of Understandings Reached outlined the wage practices and procedures the United States was willing to implement as part of the settlement negotiated in the Treaty of Mutual Understanding and Cooperation. For the text of Item 1, see the Department of State *Bulletin*, February 7, 1955, p. 241.

⁴ Not attached to the source text, but see Document PA-4.

⁵ Not attached to the source text, but see PM-6, footnote 2.

⁶ Not attached to the source text. The memorandum, however, is filed under decimal number 911F.7301/4-259.

⁷ For the text of President Eisenhower's reply to President de la Guardia, see Document PM-12.

PM-12. Telegram from the Acting Secretary of State to the Embassy in Panama¹

Washington, April 6, 1959, 6:14 p.m.

338. For Ambassador.

Deliver following message to President de la Guardia. Inform Department date and time of delivery:

April 6, 1959

“Dear Mr. President:

I have carefully read your letter and enclosed memorandum of March seventh,² which were personally delivered to me by His Excellency Ambassador Ricardo Arias on March nineteenth.

In your letter you refer to the manner in which the United States is implementing the provisions of Item 1 of the Memorandum of Understandings Reached attached to the Treaty of Mutual Understanding and Cooperation, entered into by Panama and the United States in 1955.

I understand the importance of the matters which you so frankly and forthrightly present for my attention involving and affecting the close and friendly relations that exist between our two countries.

As I am deeply interested in the status of relations between Panama and the United States and your statements are of such import, I have asked the appropriate agencies within this Government to undertake a careful and detailed study of the problems you present. The determinations made as a result of these studies will be made known to you and your Government at an early date.

I extend my warmest personal regards to you, Mr. President, and to your Government and the Panamanian people.

Sincerely,

Dwight D. Eisenhower”

White House does not desire make foregoing public. Notify Department as much as possible in advance should de la Guardia wish do so.³

Herter

¹ Source: Department of State, Central Files, 611.19/4-659. Official Use Only; Limit Distribution.

² See Document PM-11, footnote 2.

³ In telegram 448 from Panama City, April 13, Ambassador Harrington informed the Department of State that he had presented President Eisenhower’s letter to President de la Guardia that morning, and that de la Guardia did not intend to release the text to the press until he had received a further reply from Eisenhower. (611.19/4-1359)

**PM-13. Despatch from the Chargé in Panama (Acly) to the
Department of State¹**

Panama City, April 9, 1959.

No. 519.

Ref: A-140, 3/18/59² and Deptel 330, 4/1/59.³

SUBJECT

Delivery of Note on Treaty Problems and Other Points at Issue Raised by Panama.

Following consultation with the Governor of the Canal Zone and the Commander in Chief, Caribbean Command, a note, copy of which is enclosed, was handed to the Foreign Minister by the Ambassador on April 8, 1959. The Department will observe that at the top of page 2 of the copy an appropriate reference was made to the letter from President de la Guardia to President Eisenhower⁴ and that in the first sentence in the last paragraph on page 1 the wording has been modified slightly in accordance with a suggestion by the Commander in Chief.

There is also enclosed a copy of a memorandum from the Ambassador regarding an oral statement made to the Foreign Minister when the note was presented.⁵ This statement was in substitution for an addition to the note itself which was proposed by the Governor in his letter of April 1, 1959, copy of which is also enclosed.⁶

R. Austin Acly
Chargé d'Affairs ad interim

¹ Source: Department of State, Central Files, 611.1913/4-959. Official Use Only.

² In agm. A-140, the Department of State transmitted a draft of a diplomatic note that the Embassy at Panama City was to deliver to the Panamanian Ministry of Foreign Relations. (611.1913/3-1859)

³ In telegram 330, the Department of State on April 1 instructed the Embassy at Panama City to deliver to the Panamanian Ministry of Foreign Relations the note transmitted in agm. A-140. (611.1913/3-2559)

⁴ The reference is to President de la Guardia's letter of March 7; see Document PM-11, footnote 2.

⁵ Not printed.

⁶ Not printed.

[Enclosure]

**Note from the Ambassador in Panama (Harrington) to the
Panamanian Foreign Minister (Moreno)⁷**

Panama City, April 9, 1959.

No. 424.

Excellency:

I have the honor to refer to the Foreign Ministry's note P.r.e.u. 215/1021 dated April 8, 1958.⁸ Your Excellency's Aide Memoire dated October 8, 1958,⁹ which you handed to the Secretary of State in Washington, and the Memorandum received in the Department of State under cover of a note from the Embassy of Panama in Washington dated November 13, 1958,¹⁰ concerning implementation and interpretation by the Government of the United States of certain provisions of the Treaty of 1955 and related Memorandum of Understandings Reached, together with certain other matters relating to the Canal Zone. A number of the matters mentioned in these communications were subjects of discussion by President de la Guardia with Dr. Milton Eisenhower during the latter's visit to Panama in July 1958.

In keeping with the traditionally close ties of cooperation and friendship which have characterized relations between our two countries, my Government has carefully and sympathetically considered the comments and opinions expressed by Your Excellency's Government on the issues raised. On behalf of the United States Government I am authorized to reply as follows to the points raised in the several communications.

Implementation of the Wage Scale Legislation:

Under the provisions of Item 1 of the Memorandum of Understandings Reached, the United States agreed to seek legislation which would authorize each agency of the United States Government in the Canal Zone to establish a uniform wage system providing a basic wage for each grade level and to provide a uniform retirement benefit system for employees, applicable alike to citizens of the United States and of Panama. Also, in Item 1 of the Memorandum of Understandings Reached, the United States agreed to afford equality

⁷ The source text is an unsigned copy. Official Use Only.

⁸ The Embassy at Panama City transmitted the text of the Foreign Ministry's note under cover of despatch 504, April 11, not printed. (611.1913/4–1158)

⁹ Not printed; 611.1913/10–858.

¹⁰ Not printed; 611.1913/11–1358.

of opportunity to citizens of Panama for employment in the Canal Zone, save for security positions. Further, the United States agreed to evaluate, classify and title all positions in the Canal Zone without regard to the nationality of the incumbent or proposed incumbent and provide opportunity for participation in any training programs. The necessary legislation was passed by the Congress (Public Law 85-550, 85th Congress) and approved on July 25, 1958. In connection with the implementation of this law two informal meetings have taken place in the Foreign Ministry and helpful suggestions were made by the Panamanian participants. The points raised by the Panamanian participants were further discussed in Washington and clarifying information will be made available to the Government of Panama as soon as possible. In this connection, further representations have been made by His Excellency President de la Guardia in a letter sent directly to President Eisenhower, under date of March 7, 1959, to which a direct reply will be forthcoming shortly.

*Item 5 of the Memorandum of Understandings Reached:*¹¹

During the First Session of the 85th Congress, the Congress appropriated \$750,000 to defray the costs of the initial engineering studies and testings, drafting of plans and other preliminary work related to the contemplated construction of a high-level bridge over the Panama Canal at Balboa, legislation which the United States had undertaken to seek under Item 5 of the Memorandum of Understandings Reached. Legislative action on a bill requesting an additional appropriation of \$19,250,000 for construction of the bridge was completed on June 17, 1958, and the President approved the bill on June 25, 1958. In complying with this undertaking, my Government has provided \$20,000,000 for a project which will make substantial immediate and long-range contributions to the Panamanian economy.

Item 8 of the Memorandum of Understandings Reached:

My Government has given further consideration to the provisions of Item 8 of the Memorandum of Understandings Reached but adheres to the correctness of its interpretation of the meaning and intent of the provisions of Item 8, including the definition of the word "feasible", which is that in certain instances purchases in third countries may be made. Item 8 provides "In general connection with the matter of the importation of items of merchandise for resale in the sales stores in the Canal Zone, it will be the practice of the agencies

¹¹ For the text of the Memorandum of Understandings Reached, see the Department of State *Bulletin*, February 7, 1955, p. 241.

concerned to acquire such items either from United States sources or Panamanian sources unless, *in certain instances, it is not feasible to do so.*" (Underscoring added). The wording of the provisions of Item 8—"in certain instances, it is not feasible to do so"—is sufficiently broad to permit purchases in third countries. My Government considers that the provisions of Item 8 in general recognize the preferential position of United States and Panamanian sources over other sources in the supplying of goods for resale in the Canal Zone. However, that preference, while considered to be real and important, is not absolute or unlimited. Conversely, the provisions of Item 8 are not regarded as precluding or prohibiting the acquisition of merchandise from third countries "in certain instances" for sale in the Canal Zone. Your Excellency's Government of course is aware of the obligations of the United States Government in this respect as a party to the General Agreement on Tariffs and Trade.

Notwithstanding the foregoing, the good will of the United States has already been demonstrated by the considerable increase in purchases by Canal Zone agencies from Panamanian suppliers, and by the interest of the Canal Zone Government expressed in the development of Panamanian production capable of being used in the Canal Zone. The volume of third-country purchases for resale is now a minute percentage of the total value of such purchases. However, desirous of eliminating areas of disagreement between the two Governments, the Canal Zone authorities are so supervising their procurement procedures as to afford Panamanian suppliers increased opportunities to supply their goods. In addition, United States Government agencies are cooperating, and intend to continue to cooperate, in increasing the volume and variety of Panamanian production. These efforts, augmented by Panamanian enterprise, should serve further to decrease the already small volume of third-country purchases.

Tire Recapping, Laundry and Dry-Cleaning Services:

As the Government of Panama has been previously informed, my Government does not consider tire recapping, laundry and drycleaning to be activities within the purview of Item 9 of the Memorandum of Understandings Reached inasmuch as they are services as distinguished from the manufacture and processing of goods within the coverage of Item 9. Notwithstanding the fact that these services are not subject to the commitment contained in the Memorandum of Understandings Reached, my Government will continue to afford full opportunity to Panamanian industry to compete in these fields of activity.

Item 9 of the Memorandum of Understandings Reached:

I refer to Your Excellency's note P.r.e.u. 505/1021 dated September 12, 1958,¹² as well as the Aide Memoire dated October 8, 1958, requesting the closing of the Mindi Dairy and Mount Hope processing plant. Under the criteria of Item 9, the Government of the United States undertakes to terminate the manufacture and processing of goods for sale to or consumption by individuals whenever and for so long as such goods "are determined by the United States of America to be available in the Republic of Panama on a continuing basis, in satisfactory qualities and quantities, and at reasonable prices." As a result of the request by Your Excellency's Government, and in the light of these criteria, the Canal Zone authorities have given consideration to the problem of the supply of milk and milk products which loom so importantly in the lives of the people both in Panama and in the Canal Zone. My Government has concluded that, despite a certain progress that has been achieved by Panama's dairy industry in recent years, circumstances still oblige the Canal Zone to rely on the Mindi Dairy for a portion of its milk supply. Therefore, my Government considers it must defer termination of the activities of the Mindi Dairy and Mount Hope processing plant until the public milk supply of Panama is produced under proven conditions fully assuring that supply in accordance with the criteria of Item 9. In order to help the Government and dairy industry of Panama achieve a record upon which the Canal Zone might rely in applying the criteria of Item 9, the United States will, of course, continue to give assistance and advice when so requested by Your Excellency's Government.

Sale of Alcoholic Beverages:

The Government of Panama has sought the cooperation of Canal Zone authorities in eliminating contraband activities said to exist at the present time in the sale of alcoholic beverages by Panamanian dealers to consumers in the Canal Zone. This matter has been discussed with the Governor of the Canal Zone and the Commander-in-Chief of the Caribbean Forces, and I am happy to assure Your Excellency that the authorities in the Canal Zone will gladly give consideration to any practical system that the Government of Panama might suggest to ensure a more effective control, such as the establishment of a single outlet in Panama on each side of the Isthmus.

Luxury Merchandise:

It has been and continues to be the opinion of my Government that there are no provisions under existing treaties and agreements

¹² The Embassy at Panama City transmitted the text of the Foreign Ministry's note under cover of despatch 191, October 14, 1958, not printed. (6.11.1913/10-1458)

which preclude the importation and sale of so-called luxury merchandise in the Canal Zone. However, it has been, and will continue to be, the policy of the responsible authorities in the Canal Zone to encourage greater benefits to Panama through purchases of such merchandise from Panamanian sources.

Requested Wage Increase:

While it was pointed out in Your Excellency's note P.r.e.u. 489/1021 dated September 6, 1958¹³ and Aide Memoire dated October 8, 1958, that the majority of Panamanians working in the Canal Zone were not qualified to receive the ten per cent pay increase approved by the Congress on June 14, 1958, for United States Government federal employees in classified Civil Service jobs,¹⁴ the suggestion was made that granting of this pay increase to all employees might be justified on the basis of the constant and progressive rise in living costs.

The recent statutory ten per cent increase in salaries applied to positions subject to the Classification Act. All persons employed in the Canal Zone, regardless of citizenship, who held positions subject to the Classification Act or who were paid at rates based on that Act received the increase. The rates of pay for other positions are adjusted from time to time independently of rate increases for positions subject to the Classification Act. It will be recalled that adjustments in these rates were effected immediately prior to the adjustment of the Classification Act salaries. In this connection, it should be pointed out that total wages paid non-United States citizens by the Canal Zone agencies in Fiscal Year 1955 amounted \$24,257,000, while in Fiscal Year 1958 the comparable figure had risen to \$27,841,000. It might be pointed out that the consumer price index published by the Department of Statistics and Census of Your Excellency's Government has indicated a substantially consistent decrease in the cost of living in Panama since the inception of the index in 1952.

Site for the Proposed Panama Railroad Passenger Terminal:

In accordance with the obligation undertaken under Item 2(b) of the Memorandum of Understandings Reached that the Panama Canal Company should remove its railway terminal operations from the City of Panama, a new freight station is now being constructed in the Canal Zone and a tentative site had been chosen for the location of the new passenger station. Your Excellency's Government, however, has

¹³ The Embassy at Panama City transmitted the text of the Foreign Ministry's note under cover of despatch 140, September 10, 1958, not printed. (811F.01/9–1958)

¹⁴ The reference is to the Federal Employees Salary Increase Act of 1958 (Public Law 85-462), enacted on June 20, 1958. For the text, see 72 Stat. 203.

expressed concern about the proposed location for the new passenger terminal and has asked my Government, not as a treaty obligation but as a measure of cooperation, to reconsider this matter. Your Excellency's Government is informed that the passenger terminal will not be located on the site originally intended. Current plans contemplate its location on a site considerably closer to the new freight terminal now in course of construction.

Your Excellency may be assured that my Government will continue to have an active interest in the economic and general well-being of the Government and people of Panama.

Accept, Excellency, the renewed assurances of my most distinguished consideration.

PM-14. Memorandum from the Deputy Assistant Secretary of State for Inter-American Affairs (Snow) to the Acting Secretary of State¹

Washington, May 1, 1959.

SUBJECT

Resume of Panamanian Situation.

A group of some 80 armed revolutionaries, mostly Cubans, landed on the north coast of Panama in the Mandinga Bay area on April 25. The invaders thereafter moved west and captured the village of Nombre de Dios.

Prior to the invasion, the Panamanian Ambassador in Washington had been receiving reports of invasion threats through his and our sources and had been keeping the Organization of American States informed of developments on an informal basis. On April 27 he appeared before the OAS, apprised the member states of the situation, pointed out that this action posed a threat to hemispheric peace and asked for invocation of the Rio Treaty.² On April 28 the OAS passed a resolution in which it recognized the immediate threat to Panama

¹ Source: Department of State, Central Files, 719.00/5-159. Confidential. Drafted by Price.

² The Inter-American Treaty of Reciprocal Assistance was signed at Rio de Janeiro, Brazil, on September 2, 1947, by the representatives of the United States and eighteen countries of Latin America. It was ratified on December 12, 1947, and entered into force on December 3, 1948. For the text of the Rio Treaty, see 62 Stat. 1681.

and to the peace of the hemisphere and authorized appointment of a committee to investigate “on the ground” and report. The investigating committee, composed of representatives from Argentina, Brazil, Costa Rica, Paraguay and the United States, departed for Panama on April 28.

On April 16 our Embassy in Panama had received an urgent request from the Panamanian Government for a quantity of arms, ammunition, and other military equipment and supplies valued at approximately \$100,000. The Department approved the transaction on April 23 and on April 27 CINCARIB transferred arms and equipment valued at approximately \$75,000 to the Panamanian National Guard.

Two Cuban Army officers sent by the Cuban Government arrived in Panama on April 27 to negotiate with the invading group and persuaded them to accept a temporary truce.

The truce arrangement, the arrival of the OAS investigating committee and the transfer of arms, had a calming effect on the Panamanian populace but it has been noted that the Government was slow to assume the initiative and seemed loathe to use the resources immediately available to it to repel the invaders. The stability of the regime has been due entirely to the energetic action of the OAS committee.

Under the authority granted it by the OAS Council, the committee requested member states to furnish surface vessels and aircraft for patrol and surveillance operations along the coasts of Panama. Our Government responded by furnishing aircraft and two patrol boats while it is understood that Guatemala, Nicaragua, Costa Rica, Ecuador and Colombia are offering aircraft. We are endeavoring to persuade the Colombians to provide two destroyers to assist with the patrolling. The committee hopes by this means to discourage any further landing attempts. Intelligence reports indicate that at least one more vessel with armed revolutionaries aboard may have left Cuba on April 28 headed toward Panama.

Information received from our Ambassador in Panama this afternoon indicates all but five of the invading group have surrendered to the National Guard. Further details of the surrender are awaited.

The Department is in constant communication with our Embassy in Panama and our representative on the OAS committee there³ as well as with the OAS Council here.

³ Ambassador John C. Dreier.

PM-15. Memorandum from John O. Bell to the Assistant Secretary of Defense for International Security Affairs (Irwin)¹

Washington, May 13, 1959.

SUBJECT

Determination of Eligibility for 120-day Credit Terms under Section 106(b) of the Mutual Security Act of 1954, as amended² Panama.

Reference is made to the recent request of the Government of Panama to purchase certain military materiel under Section 106 of the Mutual Security Act in connection with its efforts to buttress its defensive capabilities in the light of the present unstable situation in the Caribbean area. The United States has indicated its readiness to meet this request. The Panamanian Government has requested credit assistance in making such purchases, which have been valued at approximately \$100,000.

Accordingly, pursuant to the authority delegated to me and under the legislative provisions of Section 106(b) of the Mutual Security Act of 1954, as amended, I hereby determine the Government of Panama eligible to pay for purchases of military equipment from stock up to 120 days after delivery. This determination is limited in application to the purchases described in the paragraph above.

John O. Bell

¹ Source: Department of State, Central Files, 719.56/5-1359. Confidential. Bell was the Special Assistant for Mutual Security Coordination to the Under Secretary of State for Economic Affairs. Drafted by Robert L. Burns of Bell's staff on May 11. The Source text is an unsigned carbon copy.

² Section 106(b) of the Mutual Security Act of 1954 authorized the President to sell military equipment and materials at fair value to any nation or international organization provided that he deemed such a sale in the best interests of the United States. The Mutual Security Act of 1954 was amended by the Mutual Security Act of 1958 (Public Law 85.853), enacted on August 28, 1958; for text, Rec 68 Stat.832.

PM-16. Editorial Note

In an exchange of notes on May 20, 1959, between Ambassador Harrington in Panama and Panamanian Minister of Foreign Affairs Moreno, the United States Government and the Republic of Panama concluded an agreement effective on May 20, whereby the United States agreed to sell military equipment, materials, and services to Panama, subject to certain conditions. For the texts of the notes exchanged, see 10 UST 1000. Documentation concerning the negotiation of this agreement is in Department of State files 719.56 and 719.5614.

PM-17. Minutes of Cabinet Meeting, White House¹

Washington, May 22, 1959.

The following were present:

President Eisenhower

Vice President Nixon

Under Sec. Dillon for Sec. Herter

Sec. Anderson

Actg. Sec. Thomas S. Gates for
Sec. McElroy

AG Rogers

Dep. PMG Edson O. Sessions
for PMG Summerfield

Sec. Seaton

Under Sec. True D. Morse for
Sec. Benson

Under Sec. James P. O'Connell for
Sec. Mitchell

Under Sec. Frederick Mueller for
Sec. Strauss

Sec. Flemming

Amb. Lodge

Gov. Hoegh

Asst. Dir. Elmer Staats, BoB for Mr. Stans

Dr. Saulnier, CEA

Gen. E. R. Quesada, FAA

Mr. Gordon Gray

Mr. McCone, AEC

Asst. Sec. George H. Roderick

Mr. George V. Allen, USIA

Mr. Abbott Washburn

Mr. Chad McClellan

Mr. Franklin Floete, GSA

Mr. Edward K. Mills, Jr.

Mr. Norman Mason, HHFA

Dr. Glennan, NASA

Mr. Merrill Whitman, Canal Zone
Government

Gen. Persons—in part

Gen. Goodpaster

Mr. Hagerty—in part

Maj Eisenhower

Mr. McPhee—in part

Mr. Kendall

Mr. Robert Gray

Capt Aurand—in part

Mrs. Wheaton

Mr. Morgan—in part

Mr. Merriam

Mr. Randall

Dr. Paarlberg

Mr. Harr

Mr. Siciliano

Mr. Patterson

Mr. Minnich

[Here follows a discussion of the Federal Emergency Plan D-Minus that provided for certain actions in case the United States was confronted

¹ Source: Eisenhower Library, Whitman File, Cabinet Series. Confidential. L. A. Minnich, Jr., the President's Assistant Staff Secretary, prepared and signed this memorandum. The meeting began at 9:05 a.m. and concluded at 10:30 a.m.

with the threat of an imminent attack as well as a final review of the plans for United States participation at the Moscow Fair.]

*Panama Canal*²—Mr. Roderick first noted that since 1951 the Canal had been a self-supporting operation and has made payments to the United States Treasury in recompense for past funding.

Mr. Roderick outlined the anticipated great increase of traffic through the Canal and the ensuing requirements for modernization and expansion of facilities. He stated that this can be accomplished out of current earnings up until about 1975 but for the period beyond that consideration would need to be given to the possibility of constructing a third set of locks which would handle the largest existing ships, or the possibility of a sea level canal, at a cost of \$700 million–\$1 billion, and with the possibility of utilizing nuclear energy for cutting the canal. He noted that the Merchant Marine and Fisheries Committee of the House has appointed a good study group headed by General Leslie Groves to go into this. Mr. McCone cautioned that the nuclear aspect would need much more study before it would be anything other than an academic question.

Regarding the sea level canal concept, Mr. Gates pointed out that any canal would be vulnerable to attack with or without locks. Mr. Roderick said that he would want to rely on a military decision as to that question, but that a sea level canal could be reopened much faster than one where the locks had been destroyed.

The President ascertained that the immediate question at issue was one of authorizing a \$28 million modernization program and further planning towards the 1975 requirements. The President thought this much certainly to be in order. He believed also that eventually it would be necessary to dig a new canal because the trend is more and

² In a memorandum dated May 21, the Secretary to the Cabinet, informed the President that the agenda for the Cabinet meeting of May 22 included a consideration of problems concerning the Panama Canal. According to Gray's memorandum,

"There will shortly be issued from the House Merchant Marine and Fisheries Committee a report about the Panama Canal—its traffic problems, the improvements which are being made there, and the desirability of a second canal which might be constructed, possibly with the aid of nuclear explosives."

"Chairman Roderick has asked to make a report so that these new ideas and developments will not catch the Administration unawares. Although the report will be highly informative, no specific recommendations for action will be presented."

(Eisenhower Library, Whitman File, Cabinet Series)

more towards huge ships which cannot be accommodated in the existing locks.³

[Here follows a consideration of the problem of providing additional federal office space.]

³ In memorandum dated June 4 to Roy Rubottom, the Assistant Secretary of State for Inter-American Affairs, and to Philip J. Farley, the Secretary of State's Special Assistant for Disarmament and Atomic Energy, Harry F. Stimpson, Jr., the Under Secretary of State's Special Assistant, forwarded the following excerpt from the Record of Action of the Cabinet Meeting of May 22:

"3. The Panama Canal—Problems and Alternatives

ACTION: a) The President gave general approval to the Company's short-range plans for improving the present Canal during FY 1960–2.

b) With respect to long-range plans, and taking into consideration the President's thought with respect to an additional canal, the Board of Directors of the Panama Canal Company, working with the Atomic Energy Commission and consulting an appropriate with the Department of State, will prepare and within a year will present to the Cabinet and the President recommendations as to the choice among the five alternatives set forth.

c) There are to be no public references at this time to the methods suggested with respect to the two alternative canals."

(Presidential Cabinet Meetings, Lot 69 D 350, CP-B)

PM-18. Memorandum from the Acting Secretary of State to the President¹

Washington, July 11, 1959.

SUBJECT

United States Aide Memoire to Panama

On July 6 the Panamanian Foreign Minister informed our Chargé d'Affaires² and made a public announcement that he found unacceptable an Aide Memoire which had been presented to him by our Chargé.³ The Foreign Minister maintained that the Aide Memoire did not constitute a direct reply from you in response to a letter of March 7, 1959

¹ Source: Department of State, Central Files, 811F.061/6–1159. Drafted by Leggett on July 10 and transmitted to the President under cover of a memorandum dated July 11 from John A. Calhoun, Director of the Executive Secretariat, to Brig. Gen. Andrew J. Goodpaster, the President's Staff Secretary.

² John C. Shillock.

³ On June 24, the Department of State had transmitted the text of this Aide Memoire to Ambassador Harrington. (Airgram 211 to Panama City; 811F.061/3–3159)

from President de la Guardia⁴ objecting to certain features of the new merit system and wage scale procedure put into effect by Canal Zone authorities in February. Our Chargé reports that the Foreign Minister privately stated that the contents of the Aide Memoire appeared to offer little or no satisfaction to the Panamanian Government and the Chargé believes that objections were raised on procedural grounds solely in order to forestall criticism of the Government when the contents of the Aide Memoire are eventually made public.

I believe that the transmittal of your reply, dated April, 1959, to President de la Guardia⁵ and the subsequent delivery of the Aide Memoire were entirely correct and appropriate. However, rather than permit this incident to be further distorted out of proportion, I believe it advisable and would suggest that you approve the enclosed letter stating that the United States Government's study of the points raised by the Panamanian Government's memorandum has been completed and is being delivered in the form of an aide memoire through the usual diplomatic channels. If you approve this suggestion, I will instruct our Chargé, on presentation of the letter, orally to inform the Panamanian Foreign Minister that, although the Department regards the delivery of the Aide Memoire on July [illegible in the original] to have been correct diplomatic procedure, you are pleased to send another letter to President de la Guardia on this subject.

It is recommended that this letter, if approved, be released only on the initiative of the Panamanian Government.

Douglas Dillon
Acting Secretary

[Enclosure]

Suggested Letter to the President of Panama⁶

Dear Mr. President:

I stated in my letter of April sixth, 1959 that I would direct a study to be made by competent experts in my Government of the points raised in the Memorandum accompanying your letter of March seventh, 1959.

The results of this study are contained in an Aide Memoire which is being delivered through the usual diplomatic channels.

⁴ For further information concerning the contents of President de la Guardia's letter of March 7, see Rubottom's memorandum of April 1 to the Acting Secretary of State, Document PA-11.

⁵ See Document PM-12.

⁶ Drafted by Leggett on July 10.

May I take this opportunity to reiterate the hope expressed in my letter of July twenty-fifth, 1958,⁷ that adoption of these new employment and wage practices will make a significant contribution to the mutual respect and friendship existing between our Governments and peoples. I firmly believe that any differences existing with regard to the implementation of the new system can be resolved by patient discussion and negotiation between your Government and the officials of the United States charged with the responsibility of administering it.

Please accept, Mr. President, my personal good wishes to you and to the people of Panama.⁸

Sincerely,

⁷ See Document PM-4.

⁸ In telegram 21 to Panama City, July 13, the Department of State informed Ambassador Harrington that he was to deliver the text of this letter from President Eisenhower to Panamanian Foreign Minister Moreno as soon as possible, and that he was to inform the Foreign Minister that the Embassy also had received instructions to resubmit the text of the Aide Mémoire of June 24. (611.1913/7-959) In telegram 30 from Panama City, July 15, Harrington notified the Department that he had delivered the text of the President's letter to Moreno and had notified the Foreign Minister of his intention to resubmit the Aide Mémoire of June 24. (611.1913/7-1559) In telegram 39 from Panama City, July 17, Harrington reported that Moreno had urged the Embassy to make certain textual changes in the Aide Mémoire before its presentation to the Government of Panama. Harrington endorsed Moreno's suggestions as a way to end the controversy surrounding the Aide Mémoire. (711.11-EI/7-1759) In telegram 30 to Panama City, July 17, the Department accepted Harrington's recommendations concerning the Aide Mémoire. (711.11-EI/7-1759) In telegram 43 from Panama City, July 20, Harrington notified the Department that Moreno had accepted the revised Aide Mémoire. (711.11-EI/7-2059) The Embassy at Panama City transmitted the text of the Aide Mémoire to the Department for its information under cover of desp. 44, July 20, not printed. (611.1913/7-2059)

**PM-19. Memorandum of Telephone Conversation, by the
Secretary of State's Special Assistant (Krebs)¹**

Washington, September 23, 1959.

*MEMORANDUM OF TELEPHONE CONVERSATION WITH
THE PRESIDENT*

The President telephoned to say that as soon as Khrushchev leaves² he wants to set up a meeting with the Secretary on two sub-

¹ Source: Department of State, Secretary's Memoranda of Conversation, Lot 64 D 199. This conversation occurred at 6:10 p.m.

² Nikita Khrushchev, the Premier of the Soviet Union, made a state visit to the United States from September 15 until September 27, 1959. Documentation on Khrushchev's visit is printed in the compilation on the Soviet Union.

jects: (a) Mexico (in preparation to President Lopez Mateos visit;³ and (b) Panama.

The President said that when the problem of Panama had come up a few months ago he had told the Department of Defense he did not agree with the way they were operating in that area. Since then, the President had talked to Milton Eisenhower, who had expressed his alarm over what he believed to be a worsening of the situation. This morning, the President said, Milton Eisenhower had a two-hour meeting with Secretary of the Army Brucker, who had agreed that some action should be taken on the Panamanian situation.

The President went on to say that, after he and the Secretary have had their discussion, he would want to set up a meeting of himself, the Secretary, Secretary Brucker, Export-Import Bank President Sam Waugh, and the Chairman of the Development Loan Fund Corporation.⁴ At this further meeting the President hoped they could come up with a coordinated plan of action.

The President commented that he is concerned that we continue to rely on a strict interpretation of the Treaty of 1903.⁵ He said there have been many changes since that time and that we must bear in mind that we have a large stake in the Panama Canal and that, in protecting it, we are up against a people who are uneducated, ill-informed, and easy prey to Communist propaganda. The President mentioned particularly his understanding that Panama still owes the United States Treasury a tremendous amount and that the Panamanian Government has barely been able to keep up the interest payments.

The Secretary commented that he had understood that Panama had been doing quite well on repayments but that, in any event, he would look into the situation thoroughly and carefully and would be ready to talk with the President in greater detail at the President's convenience.

³ Mexican President Adolfo López Mateos made a state visit to the United States from October 9 until October 12, 1959. Documentation on López Mateos' visit is printed in the compilation on United States relations with Mexico, Document 336.

⁴ Vance Brand.

⁵ For the text of the Panama Canal Treaty of 1903, see 33 Stat. 2234.

PM-20. Memorandum of Conversation, by the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, October 12, 1959.

SUBJECT

U.S. Relations with Panama

PARTICIPANTS

The President	President of Eximbank Waugh
The Secretary	General Manager, DLF, Mr. Brand
The Secretary of the Army	Assistant to the President Rocco Siciliano
The Under Secretary	General Goodpaster
Assistant Secretary of the Army Roderick	Assistant Secretary Rubottom

The meeting started with a presentation by Secretary Brucker of the problems which the Panama Canal Company, of which he is the President, has encountered in its relations with the Government and the people of Panama. He was assisted by Assistant Secretary of the Army Roderick who used charts to describe the problems principally related to: (1) Equal pay for equal work (single-wage scale) and (2) Area of procurement of goods sold in the Canal Zone. Details of this presentation are available in the attached memorandum.²

Following the presentation of the Secretary of the Army the President said that he had heard from Panamanians on several occasions three principal complaints: (1) Unfair wages paid to Panamanians due to failure of the United States to live up to its 1955 Treaty obligations; (2) Purchases by the Canal Zone authorities of goods outside the United States and Panama, especially New Zealand beef and Ecuadoran rice; and (3) Sale of luxury goods in the Canal Zone commissaries and PX's. (Secretary Brucker said that orders had already been issued to the PN's to stop the sale of goods costing more than \$50.) The President told the group that the United States had come a long way since the days of laissez-faire and he referred as an example to our own agricultural subsidy program. He felt that it was time for the United States to decide what is in the best interest of all the United States and not just to look at the "mathematics" of our jobs or our treaty obligations. He opined that the Governor of the Canal Zone³ was perhaps the best that we have ever had but that he could scarcely be expected to judge the Panamanian situation "objectively."

¹ Source: Department of State, Central Files, 611.19/10-1259. Confidential; Limit Distribution.

² Not printed.

³ Maj. Gen. William E. Potter.

With respect to sovereignty it is clear that residual sovereignty still rests with Panama, but actually the Panamanians had not mentioned this problem to him, their principal complaints being the points listed above. Secretary Brucker stated that the sovereignty problem did not seem to be too serious to him.

Secretary Herter raised the question of the "security" jobs which are held exclusively by Americans and which is a serious point at issue there. Secretary Brucker replied that they were reviewing these assignments now, that all teachers had now been removed from the security list, and that 300 other security jobs had been removed from the lists. Mr. Rubottom recalled the clipping given to him by the Panamanian Foreign Minister in Santiago,⁴ following the latter's open attack on the U.S. policies in the Canal Zone at the Foreign Ministers meeting, which consisted of two job descriptions, in English, which were word for word the same and which offered slightly over a dollar to a Panamanian and approximately \$2.30 for an American doing road machine work. Assistant Secretary Roderick said that the Canal Zone authorities were "caught in this middle" between the U.S. objectives on the one hand and the requirement to cut costs on the other. He acknowledged that they might actually pay a U.S. wage under the terms of some of the contracts awarded there, while the contractor himself would ultimately pay the going Panamanian wage for the work prescribed.

The President referred to his philosophical approach to all these problems. He said that times had changed since the 1903 Treaty was signed and that the United States could not operate the Canal Zone as though it were "an island." The Secretary said that we should place a more favorable interpretation on our treaty commitments, in accordance with their spirit, wherever possible.

Mr. Siciliano reverted to the discussion on labor problems, and said that, unless more incentive could be given to Panamanian workers, fewer and fewer Panamanians would be hired in the future rather than more of them. Assistant Secretary Roderick said that it would probably be necessary to guarantee Panamanian apprentices certain jobs at the end of their training period.

There ensued a discussion of third-country purchases which was acknowledged by Secretary Brucker to be one of the principal problems with Panama. He pointed out the high-quality New Zealand beef could be purchased more cheaply than the same quality from the United States. He said that Panamanian beef was not of the same quality. He seemed to acknowledge that, if instructed to do so, the Canal Zone could purchase all of its beef from the United States or Panama. He also pointed

⁴ For documentation on the fifth meeting of consultation on Ministers of Foreign Affairs of the American Republics, held at Santiago, Chile, August 12-18, 1959, see Documents CH-23; CR-24; DR-11; VE-34.

out the problem of the U.S.-operated dairy. Mr. Roderick recalled that Ambassador Arias had acknowledged last week that Panamanians, with few exceptions, were not yet in condition to sell milk that met U.S. standards. They seemed to think that, with technical assistance, and with the passing of time, this problem could be overcome.

Mr. Dillon raised the question of housing for the Panamanian employees of the Canal Zone and how to finance such projects. The Development Loan Fund might find that such financing would conflict with its lending policies. He inquired why the Panama Canal Company could not finance the housing out of its own profits and have the employees reimburse the cost of the housing to the company itself. Mr. Waugh agreed that this was a wise proposal for middle-class housing but doubted that the Canal Zone should undertake to finance very low-cost housing for the lowest paid workers. Mr. Dillon thought that the financing of 1000 houses at an approximate cost of \$5 thousand each or a total project of \$5 million (as earlier mentioned by Secretary Brucker) would not set a precedent that would create difficulties for us elsewhere in the world, if the Canal Company itself were to finance the project. The President asked about those who would still be living in sub-standard housing. It was generally agreed that 1000 houses would not solve the problem but that it would be a big step forward.

The President declared that these problems with Panamanians vitally affect our foreign relations. They are not just a matter of "good business". He said that the Department of the Army and the State Department would have to coordinate more closely in dealing with the Panamanians, since our differences with that country kept coming to his attention.

Mr. Rubottom referred to the recent discussions with the Panamanian Ambassador, who had stated quite frankly that Panama considered the Canal to be its greatest asset. He recalled Ambassador Arias's farewell speech of three years ago when he had remarked that it was "easier to get the United States to sign an agreement than to live up to its terms." He had publicly criticised Assistant Secretary Roderick by name on the same occasion. It was clear that the Panamanians intended to do one of two things, or possibly both: (1) carry their case to the International Court of Justice, and (2) keep up the pressure on the United States in public forums such as the Santiago meeting and the United Nations, or press for renegotiation of existing treaties.

Mr. Rubottom said that the United States should go as far as possible to live up to the spirit of the Treaty in order to be able to respond to Panamanian accusations and that it also should do as much as possible to help the Panamanians develop their economy outside the Canal Zone. He referred to the fact that Ambassador Arias would be paying a farewell call on the President in a few minutes and suggested that the

President make clear that we intended to treat Panama fairly but that continued public attacks on the United States would have the effect of tying our hands and reduce our capacity to cooperate with them in the future.⁵

The President at the close of the meeting said that his orders were to have the Panama Canal Company desist in its purchases from third countries and to reduce to the greatest extent possible the handling of luxury goods in commissaries and PX's.

⁵ The President conveyed this message to Ambassador Arias in the course of their conversation. A memorandum of the conversation, dated October 12, is in Presidential Memoranda of Conversation, Lot 66 D 149.

PM-21. Memorandum from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Secretary of State¹

Washington, undated.

SUBJECT

Implementation of Decisions Taken on October 12 at White House Meeting on U.S.-Panama Relations.

In accordance with the President's wishes expressed at his meeting on October 12, and responsive to Brigadier General Goodpaster's memorandum of October 14 to you (Tab B)², a meeting was held at the Pentagon on October 14 during which plans were discussed for implementation of the President's desires for improvement of U.S.-Panamanian relations. Attached at Tab B³ is a Memorandum of Understanding as agreed to by State, Canal Zone Government, and Army representatives present at that meeting. You will have already

¹ Source: Department of State, Central Files, 611.19/10-2859. Confidential. Drafted by Frederick D. Sharp III, the Officer in Charge of Panamanian Affairs, on October 21. The source text is an uninitialled carbon copy that was attached to a Memorandum of Understanding dated October 19, the contents of which had been agreed to by representatives of the Department of State, the Canal Zone Government, and the Department of the Army at a meeting at the Pentagon on October 14.

² Not attached to the source text. The record copy of Goodpaster's memorandum is in the Eisenhower Library, Staff Secretary Records, "Panama."

³ Not printed. See footnote 1 *above*.

seen Mr. Rubottom's memorandum of conversation on the White House meeting on October 12 (Tab C).⁴

A Memorandum for the President with a suggested letter for his approval addressed to Panamanian President de la Guardia is at Tab A.⁵ The text of this proposed letter has been concurred in by the departments of the Army. The message refers to previous correspondence between the two Presidents and informs the President of Panama of the action taken by President Eisenhower to achieve increased understanding between the two countries by approving revised operating policies in the Zone.

Discussion:

General Goodpaster's memorandum mentioned the President's desire for the establishment of close, continuous liaison between designated working-level representatives of the State Department and the Department of the Army on problems pertaining to the Republic of Panama and United States operations in the Canal Zone. This has not been necessary in view of the fact that such liaison has existed for some time. (Your October 19 reply to General Goodpaster is at Tab A).⁶ A meeting of representatives of the appropriate agencies had been scheduled at the Pentagon for October 14 and, in the light of the decisions taken at the October 12 meeting at the White House, it was possible to re-orient the discussion toward the implementation of the President's instructions to eliminate certain of the frictions affecting relations between the two countries. Attending the meeting were Assistant Secretary of the Army Roderick, Assistant Secretary Rubottom, United States Ambassador to Panama Harrington, Governor Potter of the Canal Zone, and Lieutenant General Gaither, CHICARIB, in addition to members of their respective staffs. While Mr. Roderick was clear in his understanding of the President's instruction, and this coincided with Mr. Rubottom's understanding, the Canal Zone and military representatives present displayed an antipathetic attitude toward the changes in procedures which will effect the way of life of residents in the Zone. It is believed, however, that once the initial emotional impact of the impending changes has been absorbed, distastes for these changes will diminish and it would appear that while the Zone authorities and residents will not like the new system they will realize that they must live with it. In fact, the Department of the Army already appears to be reconciled thereto.

⁴ Rubottom's memorandum of this conversation is printed as Document PM-10.

⁵ The text of the memorandum for the President and the draft letter for transmittal to President de la Guardia are printed as Document PM-22 and Enclosure.

⁶ Not attached to the source text. The record copy of Herter's reply to Goodpaster is in the Eisenhower Library, Whitman File, Dulles-Herter Series.

At the Pentagon meeting agreement was reached on the following points, which had been discussed previously at the White House:

1. Housing Project

With regard to the proposal for the construction of "middle class" housing located in Panama for Panamanian employees of the Canal Zone, the Department of the Army representatives discussed the possibility of financing this project along the lines set forth by Mr. Dillon at the White House, i.e., one thousand dwellings costing approximately \$5 million to be financed directly from Panama Canal Company funds. Governor Potter stated that the Canal Zone Government did not have sufficient funds available for this purpose and that a direct Congressional appropriation for housing would be required unless another source of funds was found. The Department of the Army agreed to seek means for financing such construction.

2. Third Country Purchases

The Department of the Army representatives agreed to change existing procurement procedures to eliminate insofar as possible further purchases from other than United States or Panamanian suppliers of imports for resale in this Canal Zone. (This would raise questions of compliance with United States obligations under Article XVII of the GATT.⁷ In the past, we have taken the position that limitations on third country purchases by the Canal Zone authorities do not contravene Article XVII.) General Gaither pointed out that those principally affected by this change would be his troops and United States employees of the Canal Zone.

3. Sales of Luxury Items

The Department of the Army representatives agreed to establish a uniform definition of "luxury items" and the price limits of these items which may be sold in commissaries, post exchanges and other sales outlets in the Canal Zone. There was considerable discussion as to what should be considered as a "luxury item" and a list of such articles is being prepared for guidance. General Gaither was not convinced that the maximum value of PX items should be less than that prevailing at other overseas bases.

4. Single Wage Plan

The Department of the Army representatives (1) agreed to institute an incentive program to attract Panamanian participation in an apprentice

⁷ Article XVII of the General Agreement on Tariffs and Trade, concluded at Geneva on October 30, 1947, dealt with non-discriminatory treatment on the part of state-trading enterprises. For the text of Article XVII of the General Agreement on Tariffs and Trade, see 4 Bevans 664.

and related training program which would qualify Panamanians to work in higher grades in Canal Zone establishments; (2) agreed to re-examine "security" classification positions with a view to reducing them further; and (3) agreed to examine means of adjusting wages for manual-type labor paid to unskilled and semi-skilled employees, such adjustment probably to date from February 1960, the first anniversary of the new wage plan. According to Governor Potter, changes in existing regulations may be required in order to implement these decisions.

ARA agrees with Ambassador Harrington's suggestion that, as a result of the strong personal interest taken by the President in the current state of United States-Panamanian relations and in view of the President's instructions to the responsible United States officials to undertake to interpret the 1955 Treaty in a broader sense than heretofore, a letter should be sent to President de la Guardia of Panama by President Eisenhower stating that he has approved a number of revisions in Canal Zone operating policies which he believes will redound to the benefit of Panama. This letter would have effect of taking the immediate pressure off the United States, particularly during the forthcoming presidential campaign in Panama, and would place us in a more favorable light before the bar of world public opinion. At the outset, the Department of the Army and Governor Potter did not favor sending the letter, but desired that the same points be made orally to the Panamanian President by our Ambassador. They have now receded from that position and have concurred in the letter as drafted. ARA feels strongly that the suggested letter should be signed by the President, for, in addition to the reason set forth above, it would be a clear indication of the president's desire to cooperate with Panama in minimizing certain frictions in our foreign relations. Moreover, if at some future time Panama should take the 1955 Treaty compliance issue to the IOJ, we would have a written record of our attempts to be cooperative and that we had, in fact, leaned over backward to assuage Panamanian desires. It is ARA's view that the message should be released to the press upon its delivery by Ambassador Harrington. ARA is, however, not laboring under any delusion that these steps will halt further Panamanian attempts to seek additional benefits from our presence in the Canal Zone.

ARA anticipated that these decisions affecting our operations in the Canal Zone will come to the notice of the Congress, of the Board of Directors of the Panama Canal Company, and of the public in general, and that considerable comment will result therefrom. ARA in conjunction with H plans to undertake immediately to brief the members and staffs of the appropriate committees in Congress on the background of the decisions taken at the White House to point out that the foreign relations aspects of this matter outweigh the possible inconveniences which they may cause to Canal Zone residents or members of the Armed Forces on duty there.

ARA will maintain continuing liaison with the Department of the Army's representatives to assure that the President's wishes are carried out.

Recommendation:

That you sign the attached Memorandum for the President (Tab A), submitting for his consideration a letter addressed to Panamanian President de la Guardia, starting that he has approved certain changes in operating policies of the Canal Zone authorities and recommending that the message be released to the press upon delivery by our Ambassador in Panama.

PM-22. Memorandum from the Secretary of State to the President¹

Washington, October 28, 1959.

SUBJECT

Recommendation That You Sign A Letter To President de la Guardia of Panama.

In view of the decisions taken at your October 12 meeting on United States-Panamanian relations, which has resulted in revisions in certain operating policies of the Canal Zone authorities, I recommend that you approve the enclosed letter addressed to President Ernesto de la Guardia of Panama.

The proposed message refers to a meeting on September 1, 1959 of United States and Panamanian representatives² in which President de la Guardia actively participated. At that time steps were discussed which would help minimize certain sources of friction between our two countries. As a result of your October 12 meeting, the Canal Zone authorities have begun to take the necessary action to implement the steps discussed at the September 1 meeting, i.e. that the Zone revise the third country purchasing practices, and that luxury item sales through Zone outlets be limited insofar as possible. This information would be conveyed orally to the Panamanian President at the time of delivery

¹ Source: Department of State, Central Files, 611.19/10-2859. Confidential. Drafted by Sharp.

² In a letter dated September 4, 1959, Ambassador Harrington informed Deputy Assistant Secretary of State William P. Snow of the details of the meeting on September 1 and the decisions taken. (ARA/OAP Files, Lot 64 D 67, "Panama Relations. August-September 1959")

of your letter by our Ambassador. Information on other contemplated actions would be communicated to the Panamanian Government at the appropriate time.

Moreover, I feel it important for us to have a communication setting forth your personal interests in our relations with Panama, for should Panama [illegible in the original] its allegations of our non-compliance with the 1955 Treaty before the International Court of Justice continue in the future, the United States would have a written record of our good faith in cooperating with Panama in the efforts to increase its participation in the [illegible in the original] and [illegible in the original] of the Canal Zone.

In order to derive appropriate [illegible in the original] from our [illegible in the original] the bar of world public opinion, [illegible in the original] what this message, if approved, be released as soon as it has been delivered to President de la Guardia. If this is agreeable, the Department will instruct Embassy Panama to report delivery so that immediate public release may be made by the White House.³

Christian A. Herter

[Enclosure]

SUGGESTED LETTER TO PRESIDENT DE LA GUARDIA⁴

Dear Mr. President:

Since receiving your letter of March seventh, I have given careful consideration to the course of relations between our two countries. I have been particularly encouraged to receive recent information that our representatives have been making progress toward reducing points of divergence in the application of the Treaty of Mutual Understanding and Cooperation of 1955.

The pending issues between our two countries arising in the course of implementation of that Treaty have been and are under continuing study by the responsible officers of this Government, including myself. It is clear to me by now that further discussion of the intent and meaning of certain aspects of our Treaty undertaking is unlikely to bring about full agreement. However, I do not think that this should

³ According to a typewritten note on the source text, Goodpaster informed officials of the Executive Secretariat on October 29 that the President had approved without change the suggested letter to President de la Guardia. An additional handwritten notation on the source text indicated that the signed original of this letter had been received from the White House on November 2 and had been transmitted.

⁴ Drafted by Sharp on October 21, approved in draft by Assistant Secretary of State Rubottom and Assistant Secretary of the Army Roderick, and approved in substance by Ambassador Harrington.

deter our efforts to achieve over-increasing understanding between one and two countries. For my part, accordingly, I have approved a number of revisions in operating policies of the Canal Zone authorities which result from a meeting of representatives of our two Governments in which you actively participated. I trust that these actions, the substance of which will be communicated to you by Ambassador Harrington, will redound to the benefit of the people of Panama.

I am confident that it is your desire, as it is mine, that our two countries should continue their traditionally close cooperation to insure the efficient operation of the Panama Canal for the benefit of the entire world.⁵

Sincerely,

⁵In view of the riots that occurred in Panama City on November 3, 1959, Ambassador Harrington, in the course of a telephone conversation on November 4 with C. Allen Stewart, the Director of the Office of Central American and Panamanian Affairs, recommended against delivery on November 5 of President Eisenhower's letter to President de la Guardia. Stewart accepted Harrington's recommendation and advised the Ambassador that the Department would furnish the Embassy with instructions as to further action concerning delivery of the President's letter. (Memorandum of Telephone Conversation, by Frederick D. Sharp III, November 4; 719.00/11-459) on November 4, the Department instructed Harrington to return the President's letter to the Department via air pouch. (Telegram 151 to Panama City; 719.11-459) For additional information concerning the riots in Panama City on November 3, see the editorial note in Document PM-23..

PM-23. Editorial Note

Responding on November 3, 1959, to demands from leaders of the Third National Party that United States authorities honor Panama's Independence Day celebrations by flying the Panamanian flag alongside the American flag in the Panama Canal Zone as a symbol of Panamanian sovereignty, demonstrators in Panama City attempted to enter the Canal Zone and to raise the Panamanian flag there. Prevented by United States police from entering this area, the demonstrators proceeded to the United States Embassy in Panama City, tore down and destroyed the American flag flying outside the building, and raised the Panamanian flag in its place. Demonstrators also shattered windows in the United States Information Office in Panama City and initiated disorders in the city of Colón, at the Atlantic end of the Canal Zone. Further incidents occurred on November 4, but the situation improved sufficiently on November 5 to enable the authorities in the Canal Zone to withdraw United States troops from guard duty. As a result of these riots, over 80 American police and Panamanian nationals received treatment for injuries.

On November 3, the United States Embassy transmitted a Note to Panama's Ministry of Foreign Relations protesting the desecration of the American flag, the damage done to the United States Embassy and Information Office, and the alleged failure of the Panamanian police to maintain order. In its reply on November 4, the Republic of Panama rejected the United States protest and accused American authorities of provoking the riots and of having ordered American soldiers to open fire on unarmed Panamanians. Documentation on these incidents is in decimal files 611.19 and 719.00, and also in ARA/OAP Files, Lot 64 D 67.

PM-24. Memorandum from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Secretary of State¹

Washington, December 1, 1959.

SUBJECT

Note from Panamanian Embassy Seeking United States, Agreement to Fly Panamanian Flag in Canal Zone on Regular Basis.

Discussion:

Panamanian Ambassador Arias, on November 26, handed as a note dated November 25² expressing his Government's purpose to have the Panamanian national flag flown on a regular basis in the Canal Zone and stating that it would be desirable that the local authorities on both sides agree as to detailed procedures.

The note continues by saying that Panamanians have long desired this action, and that this is based in the fact that Panama has never transferred nor ceded its sovereignty over the Canal Zone, but merely has granted to the United States, according to existing treaties, the rights, power and authority which the United States requires for the maintenance, operation, sanitation and protection of the Canal.

The note continues that, notwithstanding the opposing positions held by the two governments on flying the flag, the United States has not denied the title of sovereignty which Panama has over the territory of

¹ Source: Department of State, ARA/OAP Files, Lot 64 D 67, "Panama Relations December, 1959." Official Use Only. Drafted by Sharp on November 30. The source text is a carbon copy.

² Not printed; 719. 00/11–2559.

the Canal Zone. The then Secretary of War William Howard Taft's 1906 statement on titular sovereignty³ is cited and quoted, as is the reference in Mr. Merchant's departure statement of November 24.⁴ The note states that since the United States recognizes Panama's titular sovereignty over the zone it is natural and logical to fly the Panamanian flag on a regular basis in the zone. The note further states that such action would have a favorable impact in Panama and throughout the world especially in Latin America. The note closes with the reiteration that it is desirable that the local authorities of both governments in Panama reach agreement as to places and procedure for flying the Panamanian flag in the Zone.

Ambassador Arias told me when he handed me the note that while he realized what our reply would be, he had to present his government's position on flying the flag in the Canal Zone.⁵

³ For William Howard Taft's statement on the theory of titular sovereignty that he made to the Senate Committee on Interoceanic Canals, see U.S. Congress Senate, Committee on Interoceanic Canals, "Hearings Related to Panama Canal," S. Doc. 401, 59th Cong., 2d sess., 1906, vol. III, p. 2526.

⁴ See Document PM-25, footnote 7.

⁵ In a Note delivered to the Panamanian Embassy on December 10, the Department of State informed the Government of Panama that the appropriate agencies of the United States Government had taken the matter of flying the Panamanian flag on a regular basis in the territory of the Canal Zone under consideration and that the Department of State would communicate further with the Government of Panama when a decision was reached. (719.00/11-2559)

PM-25. Memorandum from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Under Secretary of State for Political Affairs (Murphy)¹

Washington, November 27, 1959.

SUBJECT

Recent Developments in United States-Panama Relations.

During the past several months our relations with Panama have been noticeably deteriorating and as a result of incidents arising from uncontrolled mob action in Panama on November 3 and 4, they have been subjected to severe strain. If demonstrations scheduled for

¹ Source: Department of State, Central Files, 611.19/11-2759. Confidential. Drafted by Sharp.

November 28 are not directed against the Canal Zone and no further violence occurs, our relations may be improved.

The main point at issue between the two governments revolved around differing interpretations of the 1955 Treaty, but a new element has now been added—the flying of the Panamanian flag in the Canal Zone. Panama alleges that we are not complying with certain of our commitments; i.e., (1) continuing discrimination against Panamanian labor employed by Canal Zone agencies, (2) continuing imports of merchandise from “third country” sources, (3) sales of so-called “luxury items” in Canal Zone sales outlets, and (4) unfair competition to Panamanian enterprise by Canal Zone agencies. Panama has never been satisfied with the 1955 Treaty and has sought to obtain by diplomatic action what it failed successfully to negotiate. The Panamanian Foreign Minister both at Santiago in August and at the UNGA in September² aggravated the situation by public attacks against us alleging non-compliance with our Treaty undertakings. We had been aware of some inequities but were deterred from acceding to Panamanian demands by intransigence on the part of the Panama Canal Company—Canal Zone Government and its principal, the Department of the Army. On October 12, the President, at a White House meeting, directed that certain changes be made in the operating policies of Canal Zone agencies and implementation was commenced. President Eisenhower called in Panamanian Ambassador Arias just after the meeting and told him of his personal interest in our Panamanian relations, alluding in a general way to certain changes which could be anticipated. We assume that Arias, who was departing for Panama where he is a candidate for the presidency in national elections to be held in May 1960, informed his President of the interview with President Eisenhower.

The Panamanian campaign, although in its early stages, is populated by politicians of widely varied views. Among them are Aquilino Boyd and Ernesto Castillero who although former Foreign Minister and Vice Minister, respectively, have by demagoguery called for ever greater benefits to Panama from the United States presence in the Canal Zone. About four months ago, Boyd and Castillero started promoting a “peaceful invasion of the Canal Zone coincident with Panama’s Independence Day, November 3, to reaffirm Panama’s sovereignty over the Zone. All available information indicated no wide acceptance of this proposal, recognized as a political maneuver by these two extremists. The Embassy and the Canal Zone viewed the march with misgiving and so told the Government, but the Panamanian authorities minimized its importance. The Embassy by Aide Memoire,

² For the text of Foreign Minister Moreno’s speech on September 23, 1959, before the United Nations General Assembly, see U.N. doc. A/PV. 804.

October 21,³ called Panama's attention to the march once more, and asked the Government to take all action to avoid untoward incidents which might occur. Notwithstanding assurances, the Zone authorities made plans to protect the security of the Zone and Canal. On November 3, after a peaceful demonstration by Boyd, Castillero and a small group of sympathizers, an unruly mob attempted to force entry of the Zone to plant the Panamanian flag and apparently spontaneous violence took place at the Canal Zone border. Rebuffed at the Zone, about 150 people went to the Embassy and desecrated the United States flag, causing damage to other United States installations, public and private. When Zone police and firemen were overrun by the mob, Governor Potter called on CINCARIB to protect the Zone. No further incidents occurred, but approximately 80 people were injured on both sides. Our Embassy protested the flag incident⁴ and Panama counter-protested⁵ that a prior analogous incident to its flag caused the mob to get out of control. Analysis of the events disclosed that Panama's Guardia Nacional, its sole law enforcement agency, was conspicuously absent from the scene of violence until late on November 3, but from then on controlled Panamanian crowds well. Radio intercepts made on November 3 reveal that the *Guardia* was instructed to avoid the areas where the crowds were rioting. The Government apparently was unwilling or unable, or both, to control the situation. From November 4 on the Panamanian press and radio undertook a massive vilification campaign against us, which the Government felt would be turned against it, if attempts were made to tone it down. The highly emotional populace was apparently in command of the situation and reports were received of further riots against the Zone scheduled for November 18 and 28. (None materialized on the 18th.) In spite of *demarches* to President de la Guardia and to Ambassador Aries (who had returned to Washington), it was still apparent that the Panamanian government feared for its future if it were to act forcefully to prevent further anti-United States demonstrations, fanned by press, radio, and demagogues. In order to strengthen President de la Guardia's resolve and for other reasons, Mr. Merchant went to Panama November 20-21,⁶ and discussed outstanding issues with Panama. A device for the Government to attempt a pacification of the people was afforded by the statement reaffirming titular sovereignty,⁷

³ For the text of the United States' Aide-Memoire, see the Department of State *Bulletin*, November 23, 1959, p. 759.

⁴ For the text of the United States' Note protesting the flag incident, see the Department of State *Bulletin*, November 23, 1959, p. 759.

⁵ For the text of the Republic of Panama's Note, see the Department of State *Bulletin*, November 23, 1959, p. 759.

⁶ Documentation concerning the Deputy Under Secretary of State for Political Affairs' trip to Panama is in Department of State files 611.19 and 719.00.

⁷ For the text of the Deputy Under Secretary of State for Political Affairs' departure statement on November 24, see the Department of State *Bulletin*, December 14, 1959, p. 859.

and press and radio have been calling for calm and non-violence on November 28. De la Guardia made a statesman-like radio address last night and we anticipate that violent demonstrations are now less likely to occur than at any time since November 3. The Zone Government and CINCARIB are prepared for any eventuality. If violence does occur, there would be casualties, and we could anticipate strong charges in public forums, particularly in view of UNGA's vote to consider the Hungarian case.⁸

With regard to flying the Panamanian national flag in the Canal Zone, we are not willing to accede to such a request from Panama at the present time.

We can look forward to continued Panamanian pressure for ever greater benefits from our presence in the Canal Zone.

⁸ On November 25, 1959, the United Nations General Assembly adopted by a vote of 51 to 0, with 18 abstentions, the recommendation of Sir Leslie Munro, the United Nations' Special Representative on the Question of Hungary, to consider "The Question of Hungary" during the plenary meetings of the fourteenth regular session of the General Assembly. For documentation concerning the United States' response to the Special Representatives' request, see the Eastern European regional compilation in *Foreign Relations, 1958–1960*, vol. X, part 1, Eastern Europe Region; Soviet Union; Cyprus, Chapter 1.

PM-26. Memorandum of Conversation, by the Deputy Under Secretary of State for Political Affairs (Merchant)¹

Washington, November 27, 1959.

SUBJECT

Situation in Panama

PARTICIPANTS

The President

Mr. Livingston Merchant, Deputy Under Secretary

At the request of the President I reported briefly on my trip to Panama November 20–24. I said at the outset that the risk of serious trouble tomorrow exists and I felt that the Ambassador, Governor Potter and General Gaither were prepared to deal with it firmly and wisely. To send an emissary from Washington I said I thought had been well worth while. It had provided a cooling off period of a few days

¹ Source: Department of State, Central Files, 719.00/11–2759. Secret. Merchant's conversation with the President occurred at 10 a.m.

and had left them, I believed, with a clear impression of three points: first, that the Panamanian government had a responsibility and a duty to protect American lives and property; second, that the United States government would not negotiate under the threat of disorder and violence; and, third, that with the restoration of calm there were certain measures which could come into effect which would be beneficial to the Panamanians and which had been already decided upon prior to November 3. This together with the statement on titular sovereignty provided the Panamanian government with something which they could use if they were disposed to take a firm line on the maintenance of order. The government, however, is weak and there is some doubt as to the reliability of the National Guard. Under the circumstances President de la Guardia's radio address last night,² I thought, had been quite good and it seemed clear that an effort was being made through the press, radio, the faculty at Panama University and in the provinces to hold demonstrations on Saturday³ to a peaceful purpose and character. If we got by Saturday without real trouble when I said I thought we should be looking ahead with a view to correcting any justifiable sources of complaint and grievance.

The President said that three years ago after the trouble at Suez⁴ he and Secretary Dulles had talked about the situation of the Panama Canal many times and had sought to ensure that steps would be taken which would head off any developments in the Canal Zone comparable to what had occurred in Egypt. He spoke of the discrepancy in wage rates and said that he had not felt that we had done all that we should have in this regard under the agreements of 1955. The question of third country purchases also had needed fixing and he had been anxious to see a training and apprentice program put into effect. Considerable progress had been made on these last month but then the inability to get his letter to the Panamanian government before trouble clearly threatened had resulted in the Panamanians not being aware of these corrective actions already decided upon.

The President asked me to follow the situation closely with the Department of Defense and make sure that with a return to more normal relations and a better atmosphere that there was no foot-dragging anywhere and that we consider constructively and sympathetically Panamanian requests. The President then volunteered that he thought we should have the Panamanian flag flying not all over the Zone, as

² The Embassy at Panama City transmitted the text of President de la Guardia's radio address to the Department of State under cover of despatch 337, November 27, not printed. (719.11/11-2759)

³ November 28.

⁴ For documentation on United States policy with respect to the Arab-Israeli Dispute and the Suez Canal Crisis, see *Foreign Relations, 1955-1957*, vol. XVI, Suez Crisis, July 26-December 31, 1956.

some letter he had received had suggested, but at least in some ceremonial spot along with the American flag. He thought that particularly since we recognized Panama had residual sovereignty this would be a natural gesture and he remarked on the fact that at our bases in Spain only the Spanish flag is flown; the American flag is not flown at all. He then said that if it was not illegal (and he asked that the Departments of State and Defense study the matter) and if there were no mob action or violence on Saturday, he would even like to see a statement made on Sunday⁵ that henceforward the Panamanian flag would fly at some appropriate place in the Zone.⁶

In leaving I said that we all had our fingers crossed on what would happen tomorrow and that if there was no serious trouble we should certainly be thinking of measures which could be taken to improve our position in Panama since there was no doubt that it was a serious and long-term problem.

In conclusion I suggested and the President agreed that at his regular news conference this morning Jim Hagerty should say something to the effect that in reflection of the President's interest and close following of the situation in Panama he had asked me to give him a personal report on my recent trip.

⁵ November 29.

⁶ On November 28, Major John S. D. Eisenhower, the President's Assistant Staff Secretary, telephoned Deputy Under Secretary of State Merchant and inquired about the question of flying the Panamanian flag in the Canal Zone on Sunday, November 29. Merchant reported that he had asked the Legal Adviser to study the legality of such an act; that he had raised this question with Secretary of the Army Brucker and with Governor Potter while he had been in Panama; and that Brucker and Potter had objected to this measure. In view of Brucker's and Potter's opposition and the fact that there would undoubtedly be a demonstration in Panama on November 28, Merchant informed Eisenhower that, in his opinion, immediate action on the flag was out of the question. Eisenhower agreed with Merchant's assessment and said he would report Merchant's recommendation to the President and also inform the President that he also supported Merchant's conclusions. (Memorandum of Telephone Conversation, by Merchant, November 28; 719.00/11–2859)

PM-27. Editorial Note

On November 28, 1959, mobs of demonstrators again attempted to enter the Panama Canal Zone. Prevented from entering this area by the Panamanian National Guard, the rioters proceeded to the business district in Panama City where they smashed windows and looted American commercial establishments. Twelve American soldiers and eighteen Panamanians—National Guardsmen and civilians—received treatment

for injuries caused by stone-throwing and tear-gas burns; at least 150 persons were arrested. Documentation on these incidents is found in decimal files 611.19 and 719.00, and also in ARA/OAP Files, Lot 64 D 67.

PM-28. Letter from the Acting Assistant Secretary of State for Inter-American Affairs (Mallory) to the Secretary of the Army (Brucker)¹

Washington, December 17, 1959.

Dear Mr. Secretary:

A meeting of representatives of the Department of State, Defense, and Army was held at Assistant Secretary of State Rubottom's office on December 8 to discuss the display of the Panamanian flag in the Canal Zone. Among these present were Assistant Secretary of the Army (FM) Roderick, Deputy Assistant Secretary of Defense (IEA) Knight, and Mr. Rubottom, as well as members of their respective staffs.

The implicit decision of the President which he stated at his December 2 press conference² as "... the one question of the flag has never been specifically placed before me; no decision has ever been made about it, but I do in some form or other believe we should have visual evidence that Panama does have titular sovereignty over the region", would appear to invite the submission to him of a recommendation on this matter, and, in view of an official request already received from the Government of Panama for the display of its flag on a regular basis in the Canal Zone, I have been authorized by the Secretary of State to undertake with the Department of Defense to prepare a joint recommendation on the flag issue for submission to the President for his decision.

I have attached hereto a draft recommendation for consideration by the Departments of Defense and Army, with a view to holding an early meeting to approve such a paper for joint submission to the President.³

¹ Source: Department of State, Central Files, 719.04/12-1759. Drafted by Sharp on December 15.

² For the text of the President's press conference on December 2, see *Public Papers of the Presidents of the United States: Dwight D. Eisenhower, 1959*, p. 785.

³ The suggestions advanced in the draft recommendation to the President were that the United States and Panamanian flags should be displayed on a daily basis at specific localities opposite Panama City and Colón and that arrangements should be made for special ceremonies to mark the initial raising of the flags as well as to commemorate annually the two national holidays of July 4 and November 3.

Mr. Rubottom and members of his staff are prepared to meet with you at your convenience to discuss this proposed recommendation as well as procedures to be followed for our display of the Panamanian flag in the Canal Zone.

A copy of this letter is being sent to Assistant Secretary of Defense (ISA) John N. Irwin II.

Sincerely yours,

Lester D. Mallory

PM-29. Letter from the Deputy Assistant Secretary of Defense for International Security Affairs (Knight) to the Deputy Under Secretary of State for Political Affairs (Merchant)¹

Washington, January 14, 1960.

Dear Livie:

Confirming our conversation, the Department of Defense believes that it is unwise to accede to the Panamanian request to fly the Panamanian flag in the Canal Zone. A memorandum setting forth our reasoning is attached.² Basically, we feel strongly on the basis of all of the information available to us that acceding to the Panamanian request will be interpreted as a sign of weakness on our part, and more importantly, as a symbol of the rightness of the position of those Panamanians who urge that the Canal and the Zone territory should be controlled by the Republic of Panama.

We are aware that there are both other and competing considerations which you and your Colleagues are most competent to weigh, and therefore, we confidently leave the ultimate decision to the Department of State. If you find it necessary or desirable to state our views, however, we would appreciate your doing so essentially as set forth in this letter and the attached.

In the event that it is ultimately decided that the Panamanian flag should be displayed in the Canal Zone, we are also of the opinion that this should be done a suitable period of time after the forthcoming Panamanian elections. Perhaps the next November Panamanian Independence Day would be most appropriate.

¹ Source: Department of State, Central Files, 611.19/1-1460. Confidential.

² Not printed.

It is the considered opinion of the Defense officials most familiar with this problem that after carefully weighing the pros and cons of flying the flag prior to the elections, there is too great a risk that the results, if any, to be achieved by acceding to the Panamanian request can well be dissipated or lost by permitting our yielding on this question to become a subject of campaign oratory, and possibly stimulating demands for additional concessions.

Additionally, I am attaching a memorandum setting forth our position on the remaining differences between our Departments with respect to third country imports³ for such use as you care to make of it.

As you are aware, our principal concern is the effect which a ban on third country imports into the Canal Zone would have upon our post exchange and commissary relations in other countries of the world. Local competing commercial entities always have a selfish interest in curbing these facilities at the expense of United States personnel serving overseas. While I am informed that the amount of commerce about which our representatives differ amounts to less than one percent of total third country purchases for resale, a total ban in the Zone might well form a basis, somewhat justifiable, for increased agitation for similar bans elsewhere.

Sincerely yours,

³Not printed.

PM-30. Memorandum from the Secretary of State to the President¹

Washington, January 22, 1960.

SUBJECT

Recommendation on Third Country Imports and Luxury Item sales by Canal Zone Agencies.

You will recall that at your meeting on October 12, seeking means for eliminating frictions in United States-Panama relations, you instructed the Panama Canal Company to desist in its importation from third countries of merchandise for resale in Canal Zone sales

¹Source: Department of State, Central Files, 611.1913/2-960.

stores and to reduce to the greatest extent possible the handling of luxury goods in commissaries and PX's. Since the third country purchase issue revolves around the interpretation of Item B of the Memorandum or Understandings Reached in connection with the 1955 Treaty, your instruction was construed to include the military sales stores in the Zone as well.

In October the Panama Canal Company revised its procurement procedures on third country imports and substantially limited luxury items sales, in accordance with your instruction. However, the Department of Defense, because it believes that to limit procurement for resale in its Canal Zone outlets to United States and Panamanian sources would have a precedential impact on worldwide military PX/commissary policy, appealed to you in early December for a reconsideration of your instructions on third country imports. Both State and Defense Departments were requested to seek a solution which would minimize the potential impact at other Defense installations overseas.

Both the State and Defense departments are agreed that a uniform policy for both the Panama Canal Company and Caribbean Command is required, and a satisfactory policy on luxury item sales has been found. On the third country imports issue, we cannot reach a satisfactory solution. This Department holds that all third country imports for resale in Zone outlets should be halted, with the single exception of gasoline. Our Defense colleagues cannot agree because of their fear of setting a worldwide precedent. Since the Canal Zone is a unique establishment with both civilian and military outlets within that limited area, it is our view that defensible arguments can be devised to preclude demands for like treatment by other governments on whose territory Defense installations exist.

In actual fact, the value of the commerce over which the Defense and State Departments disagree is insignificant, but it is my view that a question of principle is involved—that of living up to the spirit as well as the letter of our 1955 Treaty undertaking.

I therefore recommend, on foreign policy grounds, that you reiterate your earlier instruction on this matter and that Caribbean Command be directed to revise its procurement policies on third country imports for resale to conform with those policies already in effect by the Panama Canal Company.

CHRISTIAN A. HERTER

PM-31. Letter from the Deputy Under Secretary of State for Political Affairs (Merchant) to the Deputy Assistant Secretary of Defense for International Security Affairs (Knight)¹

Washington, January 22, 1960.

Dear Bob:

I have received your letter of January 14, I-216/60,² by which the Department of Defense positions on the issues of (1) the display of the Panamanian flag in the Canal Zone, and (2) resale of luxury items, and third country imports into the Canal Zone, were transmitted to this Department.

My colleagues and I have carefully reviewed the Defense positions as well as the two memoranda supporting them. As I stated at the January 7 meeting at my office, during which the issue of third country purchases was last discussed by representatives of State, Defense and the Panama Canal Company, I find that our differing positions are apparently irreconcilable and I have approved a recommendation that the Secretary of State forward a Memorandum for the President recommending that Caribbean Command be directed to revise its policies on third country imports for resale to conform with those already put into effect by the Panama Canal Company.

On the Panamanian flag issue, I have recommended that further action be suspended for the time being in view of certain developments which are now taking place. We will not fail to take the views of the Department of Defense into consideration when a recommendation is being formulated. As of the present time, however, no final position has been taken at the higher levels of this Department.

I am enclosing a copy of the Department's Memorandum for the President on the unresolved third country import issues.³ It has been approved by the Secretary and will be transmitted to the White House shortly.

Sincerely yours,

Livingston T. Merchant
Livingston T. Merchant
Under Secretary for Political Affairs

¹ Source: Department of State, Central Files, 611.19/1-1460. Confidential. Drafted by Sharp on January 20.

² See Document PM-29.

³ For the Secretary of State's Memorandum to the President, see Document PM-30.

PM-32. Letter from the Secretary of State to the Secretary of Defense (Gates)¹

Washington, February 17, 1960.

Dear Tom:

On the subject of third country imports and luxury items for resale by Canal Zone agencies, I recently recommended to the President, on foreign policy grounds, that he instruct your Department to direct the Caribbean Command to revise its procurement policies on third country imports for resale in its sales stores to conform with those policies already in effect by the Panama Canal Company. I informed the President that our two Departments had found a satisfactory solution with regard to luxury items sales.

I am sure you will have seen Brigadier General Goodpaster's memorandum of February 9 to you and me,² in which he reports that the President had noted the willingness of your Department to have this Department resolve the remaining differences on the matter of third country imports for resale by Canal Zone agencies, and had requested me to do so, giving the maximum consideration I deem feasible to the views of the Department of Defense as expressed in Secretary Douglas' letter to the President of February 5.³

Therefore, in accordance with the President's request to me, please direct the Caribbean Command to revise its procurement policies on third country imports for resale to conform with those now in effect by the Panama Canal Company, which are that all third country imports for resale in Canal Zone sales outlets shall be banned, except for gasoline.

On luxury items for resale in Canal Zone sales outlets, my understanding is that certain luxury items shall be banned if their acquisition cost exceeds \$50. Household appliances usually regarded as necessities will be excepted.

¹ Source: Department of State, Central Files, 419.006/2-1760. Drafted by Sharp on February 15.

² Not printed; 611.1913/2-960.

³ The recommendations of the Department of Defense, as summarized in under Secretary Douglas' letter of February 5 to President Eisenhower, was to ban the resale of only those products that were of special interest to the Panamanians—rice, beef, beer, and milk derivatives—while continuing the resale of other third country imports and luxury items. (Eisenhower Library, Staff Secretary Records, International Series)

I shall be grateful if you would inform me when the necessary steps have been taken to implement this request, in order that I may inform the President of the resolution of this problem.⁴

I am sending a copy of the letter to the Secretary of the Army for his information.

With warmest personal regards,

Most sincerely,

Christian A. Herter

⁴ Deputy Assistant Secretary of Defense Knight informed Under Secretary for Political Affairs Merchant on February 24 that the Department of Defense was ready to implement the new policies governing third country purchases and asked the Department of State if the new instructions could go into effect on March 15. Merchant concurred in the Defense Department's request. (Memorandum of Conversation, by Merchant, February 24; 611.1913/2-2460) On February 24, Acting Secretary of State Dillon informed Secretary of State Herter of this decision. (Telegram Tosec 9 to Rio de Janeiro; Eisenhower Library, Staff Secretary Records, "Panama")

PM-33. Editorial Note

On February 18, 1960, at the 435th meeting of the National Security Council, Allen Dulles, the Director of Central Intelligence, discussed the situation in Panama. According to the memorandum of discussion, Dulles

"said we must be prepared for a new eruption of violence over the flag issue. Student, labor and other groups were planning a new "sovereignty march" into the Canal Zone. Such a march might take place on March 1, which is Constitution Day and a good day for demonstrations. A new demonstration would probably receive broader public support than previous demonstrations. Moreover, it had been indicated that the National Guard of Panama would not intervene. Secretary Herter said he was worried by this March date, particularly as the President would be in South America at that time." (Eisenhower Library, Whitman File, NSC Records)

PM-34. Memorandum from the Deputy Assistant Secretary of State for Inter-American Affairs (Mallory) to the Secretary of State¹

Washington, March 3, 1960.

SUBJECT

Panamanian Situation.

The anti-United States demonstrations reportedly planned for March 1 in the Canal Zone area never materialized largely because of the flexible attitude displayed by Governor Potter. On February 29 Governor Potter had crossed United States and Panamanian flags placed on the light poles along that part of the route which would be used by Carnival parade through the Zone. This move elicited favorable comments from many Panamanians, even from such super-nationalists as Aquilino Boyd and Ernesto Castillero, who played a large role in previous anti-United States demonstrations.

Although three USIS library windows were broken and one Panamanian marched into the Zone to plant a flag, these were isolated incidents. We have authorized the presentation of a pro forma note of protest concerning the window breaking.

It appears that the Governor's gesture bucked up the Panamanian Government. The Guardia Nacional performed well on March 1 and was particularly helpful in that it rounded up known agitators and kept them from participating in the Carnival parade. Moreover, the Foreign Office issued a statement on February 29 which urged the public to foreswear violence. This statement said that, contrary to rumors, the United States is still seriously considering the formal Panamanian request for a showing of its flag in the Zone.

On March 2 the Acting Secretary sent a telegram to Ambassador Harrington commending him for his part in forestalling a demonstration, and asking that he express to Governor Potter and General Gaither the Department's appreciation for helping create a situation which minimized the chances of a march on the Zone.²

Now that March 1 has passed without a major incident, it is possible we will have time to work out a new policy with respect to Panama without being subjected to further pressure tactics by the Panamanians.

¹ Source: Department of State, Central Files, 611.1913/3-360. Confidential. Drafted by C. Allan Stewart, Director of the office of Central American and Panamanian Affairs.

² The Acting Secretary of State conveyed this message to Ambassador Harrington in telegram 329 to Panama City, March 2. (719.00/3-260)

PM-35. Memorandum from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Secretary of State¹

Washington, March 18, 1960.

SUBJECT

White House Meeting on March 21 to Discuss Panama Policy

On February 16 the President addressed a memorandum to you with an attachment containing a summation of complaints by Panama, together with some suggestions as to ways to ameliorate the situation. The President stated that he was sending the same document to the Secretary of the Army and that following his return from South America he hoped to have a conference with a view to finding better solutions to outstanding problems than those thus far developed (White House Memorandum, February 16, with its attachment is at Tab A)²

Secretary of the Army Brucker and Assistant Secretary of the Army (FA) Roderick are scheduled to be present for the meeting with the President on March 21. You will be accompanied by Mr. Merchant, and me if you so desire.

Discussion:

We understand that Secretary Brucker will present to the President a ten point program, largely based on the February 16 memorandum. We have been unable, however, to find out precisely what this program calls for and therefore list below the points of the February 16 memorandum and our comments thereon.

1. Discrimination in Wages Paid Panamanians

Since signing of the 1955 Treaty the Panamanian Government has complained that the United States has violated "in spirit" the "equal pay for equal work" commitment. Government officials refer to the fact that the United States pays workers at United States and local rates, with most of the Panamanians receiving the lower local scale of wages. This is not a violation of the Treaty but the practice lends itself to unjustified charges.

To narrow the gap between the two rates, the Department has suggested to the Department of Defense that an increase of around 10 cents in hourly pay to local rate employees might be beneficial at this time.

¹ Source: Department of State, Rubottom-Mann Files, Lot 62 D 418, "Panama 1960." Confidential. Drafted Stewart. The source text is an uninitialled carbon copy.

² Not attached to the source text. The record copy of the President's memorandum to the Secretary of State is filed under 611.19/2-1660.

The Panama Canal Company directors have authorized an increase of five cents an hour but no action can be taken until the three armed services and the Canal Zone Government authorize a corresponding increase, which must come from appropriated funds, for their workers.

In the discussion before the President *it is recommended that you suggest* an immediate wage increase for local rate employees.

2. Job Reclassification

The memorandum suggests that an immediate study be made to see how the pay rates of more Panamanians can be hitched to the United States wage scale.

Mr. Brucker and Mr. Roderick will discuss ways and means of doing this and it is recommended that the Department [illegible in the original].

3. Security Positions

The memorandum suggests that an immediate study be made to ascertain which of the more than 2,000 security jobs may safely be opened to qualified Panamanians.

A move by the Canal Zone agencies to reduce the number of security positions open only to United States citizens would be beneficial to relations with Panama and is recommended you support any plan submitted by Mr. Brucker or Mr. Roderick to achieve the reduction.

4. Apprenticeship Program

The memorandum suggests a sizeable increase in the apprentice program and the reservation exclusively to Panamanians of a portion of the positions in the skilled trades in order that they may separate for these jobs among themselves.

The President mentioned improvement of the apprentice progress in his discussion of the Panamanian problem with Ambassador Arias on October 12. The Department has expressed itself in favor of opening more United States-rate jobs to Panamanians on numerous occasions in discussions with Defense officials and it is recommended that this viewpoint again be mentioned.

If the Defense representatives present a good plan it is recommended that you support it.

5. Discrimination in Promotion Opportunities

The memorandum suggests that a training program should be undertaken for qualified Panamanians leading to appointments to at least minor supervisory positions.

Recalling that United States industry follows the policy of replacing its American personnel with nationals as soon as the latter are sufficiently well-trained it is recommended that you support any move which will reverse the present practice of freezing Americans in choice

jobs. Many of these jobs are passed from father to son, thus perpetuating a practice that was abandoned years ago by United States private industry in Latin America.

6. *Widespread Poverty and Unemployment Among Panamanians*

The memorandum that this is partially due to the fact that the Company and the Armed Services here discharged about 10,000 employees during the last ten to twelve years. It suggests that a study be made to work out the basis for treaty provisions which might bring about an approximation of the tariff advantages which have enabled Puerto Rico to establish so many small industries exporting to the United States and therefore increase employment.

[illegible in the original] An early start on an "Operation Boststrap" might make negotiation of a new treaty with Panama much easier. As you are aware, the United States will require the consent of Panama to abandon its present Canal operation. A study of feasibility of making tarris concessions to Panama is at Tab A.³

7. *Increased USIA Propaganda Activities*

The Department has instructed the Embassy to take steps leading to establishment of a daily radio commentary program to present the United States viewpoint in Panama. USIA is favorably disposed and is awaiting a recommendation from its Public Affairs Officer. The Panama Canal Company directors discussed this matter at their last board meeting and decided there was a need for some medium to get the United States point of view to the Panamanians. While Mr. Roderick is aware of the Department of State's efforts, you may wish to mention the above details at the meeting if the subject arises.

8. *Better Rates for Water Charges to Panama*

This is a technical problem which the Defense representatives may discuss. It is recommended that States defer to their judgement.

9. *United States Loans for a Reasonable Housing Program in Panama*

The Panama Canal company has drafted a bill which will provide congressional authority to proceed with a housing program. It is believed the proposed bill will be discussed by Defense representatives at the meeting and the President's approval sought to introduce the skill.

Senator Murray (D-Mont) has introduced a bill calling upon the Development Loan Fund to guarantee loans for housing in Panama. The Department has drafted a letter to the Senate Foreign Relations Committee indicating that the housing plan under the direction of the Panama Canal Company is preferable to the Murray proposal (Tab C).⁴

³ Not found.

⁴ Not found.

10. *The Panama Canal Company Program to Build More Houses for Panamanian Employees in the Zone*

The memorandum states the belief that a program of this nature fosters loyalty to the United States by such inhabitants. This is undoubtedly true but the Defense representatives will be in a better position than the Department to judge the feasibility of this project.

11. *Modest Pension Increase and Provision of Medical Aid for Elderly Retired Former Employees*

These are laudable suggestions but again the Defense representatives must provide the answer. It is understood that some pensions are in the neighborhood of \$40 a month.

12. *Next Appointment to the Board of Directors of the Panama Canal Company should be a State Department Representative*

The memorandum recommends that until there is a vacancy a representative of the Department of State should attend the meetings as an observer. Mr. Marshant is suggested as State's representative on the Board.

It is believed advisable to have the Department represented on the Board where its director would be in a position to influence decisions which affect United States relations with Panama. The State member would, in effect, be a voting political adviser to the Board. Rather than burden the Under Secretary for Political Affairs or the Assistant Secretary of State for Inter-American Affairs with this responsibility it is suggested that the Deputy Assistant Secretary of State for Inter-American Affairs might be named. In view of a larger role envisioned for the Ambassador, it is not considered appropriate that he serve on the Board.

It is recommended that you support this point of the memorandum.

13. *Civilian Governor of the Canal Zone*

The memorandum suggests that the next Governor of the Canal Zone, to be appointed in May of this year, "be a different man from the President of the Panama Canal Company and a civilian selected partly for qualities of tact and diplomacy." He should sit with the Board of Directors of the Panama Canal Company, the memorandum [illegible in the original].

It is recommended that the Department support this point of the Memorandum. The United States military plays a triple role in the Zone and vis-a-vis Panama: it supplies the governor of the Zone, manages the Panama Canal Company, and protects the Canal. The Corps of Engineers, which has a brilliant record in operating the Canal, has traditionally furnished the governor, who by statute serves also as ex officio president of the Company. There seems to be no compelling reason today, as opposed to the conditions of 1903, 1917 or 1941, why the Canal Zone should be under a military governor. The presence of foreign

military government is offensive to peoples who consider the governed territory to be their own. A military organisation operates on the basis of command rather than persuasion. Military officers grow accustomed to obedience, and are concerned primarily with matters of their internal command rather than with those of external interests. Accordingly, a military command is seldom an instrument for civil administration under which civilians and foreigners can comfortably live or work. An individual commander may avoid arbitrariness but his military status projects to foreign people more of an aura of colonialism than would adhere to a civilian. The Panamanian press campaign against the "military mentality" of the present governor suggests that the Panamanians would welcome civilian governance of the Zone. It is believed that the Zone's government should be civilianized by the appointment of a capable civilian governor. He should in his dual role as governor of the Zone and president of the Company be responsible to the Ambassador on all matters affecting the Republic. A civilian governor should not report to the Department of the Army but to the Department of State and to the White House through the Department. It is our understanding that the appointment of a civilian governor could be effected by the President, subject to confirmation by the Senate, without further legislation.

It is our Legal Advisor's opinion that there is no legal impediment to naming a civilian Governor but the statutes call for the Governor and the President of the Panama Canal Company to be the same person (Tab B).⁵ Mr. Brucker, in a [illegible in the original] with Mr. [illegible in the original], indicated his view that by statute the Governor and the President of the Company must be an (Army) engineer.

In the event a civilian Governor, reporting to the President through the State Department or directly to the Department, is named, it would be desirable to have the stock of the Panama Canal Company transferred to the Secretary of State. At present the President has delegated the Secretary of the Army as sole stockholder.

⁵ Not attached to the source text. The record copy of the Legal Adviser's opinion, as conveyed in a memorandum on March 18 to Merchant, is in ARA/PAN Files, Lot 65 D 176, "Policy - Panama 1960."

14. *The Flag*

In addition to the items of discussion described above, it is believed that mention should be made of the Panamanian request that the United States fly its flag in the Zone. A decision on the request has been delayed as a result of congressional opposition. Because of the negative attitude of the House of Representatives and the reported strong possibility of the Gross Amendment being included in the Department of Commerce appropriations bill,⁶ *it is not recommended that steps be taken to fly the Panamanian flag in the Zone before more educational work can be done with Congress.* Governor Potter's precedent of March 1 in displaying ceremonial Panamanian flags received no unfavorable comment from Congress which leads to the belief some of the "sting" of this issue may have been drawn. The House Foreign Affairs Committee as yet has not made public its attitude toward flying the Panamanian flag.

15. *Gorgas Hospital Plan*

The President wrote to Under Secretary Dillion on March 10⁷ passing on an idea he had received from Mr. Ralph Cake, a director of the Panama Canal Company, that the facilities of Gorgas Hospital in the Canal Zone be used for a large scale training program (1000 trainees per annum) for the benefit and advancement of medical science in Latin America. The President asked for Mr. Dillon's comments in time for the March 21 meeting on Panama.⁸ We found that some preliminary work had been done several months ago and U/MSC has prepared a reply which states that the concept of such a program has struck a receptive note in the Department and would have a beneficial impact on our overall Latin American relations. ARA believes that the concept is much broader in scope and therefore should not be considered solely in the context of United States-Panama relations.

⁶ For the text of the Department of Commerce and Related Agencies Appropriation Act of 1961 (Public Law 86-451), enacted on May 13, 1960, see 74 Stat. 93. The text of the Gross Amendment read as follows: "*Provided further*", That no part of any appropriation contained in title II of this Act shall be used to construct a flagpole, platform, or any other device for the purpose of displaying the flag of Panama in the Canal Zone, the sovereign control of which is vested in the United States Government by virtue of long standing treaty."

⁷ Not printed; the record copy of the President's letter to the Under Secretary of State is in the Eisenhower Library, Staff Secretary Records, "Panama."

⁸ In a memorandum dated March 20, Under Secretary of State Dillon informed the President that he had requested a prompt study of the feasibility of the training program but recommended that since the survey's conclusions would be unavailable for review at the time of the meeting on March 21, the President should postpone making a final determination on the proposal until after the completion of the feasibility study. (Eisenhower Library, Whitman File, Dulles-Herter Series)

ICA has been requested by Mr. Dillon to examine the feasibility of such a hospital-medical training program at Canal Zone and also look into the form the program might take.

It is recommended that no decision be taken on this matter until ICA completes its study.

16. Other Policy Matters

Secretary Brucker's anticipated proposal is good from our standpoint but still doesn't go far enough in meeting other perhaps more important short and medium range problems requiring either a change of policy or at least a change in emphasis. These problems are described in Stage I of the S/P study (Tab E)⁹ on Panama and include the following:

1. Civilian Governor (if not discussed by Mr. Brucker)
2. Primacy of United States Ambassador over [illegible in the original]
3. Civilianization of the Panama Canal Company
4. The flag (which requires further study as mentioned in item 14)
5. Formalization of policy planning within NSC structure
6. Decision on Isthmian sea level canal.

Mr. Merchant and I agree in principle with this program as outlined by S/P but do not believe that it should be presented unilaterally to the President, that we should discuss it first with Defense and Army.

We therefore recommend that you suggest to the President that we have several other policy matters which we would like to discuss with Defense and Army during the next week or ten days after which we would hope the President could receive us again to discuss these longer range aspects of the problem.

⁹ Not attached to the source text. The record copy of the Policy Planning Staff's study on Panama, entitled "A Three-Stage Approach to the Panama Canal Problem", March 11, 1960, is in the PPS Files, Lot 67 D 548, "Panama."

In a memorandum dated November 25, 1959, to Gerard C. Smith, the Director of the Policy Planning Staff, Merchant had requested the preparation of such a study. On February 1, 1960, Smith complied with Merchant's request and submitted such a study. Merchant, in turn, informed Smith in a memorandum dated February 3 that he had hoped for a more detailed examination of a broad range of issues associated with the Panama Canal problem. In response to Merchant's request, Smith, under cover of a memorandum on March 16 to Merchant, transmitted a copy of the study on Panama to him. The documents referred to are in PPS Files, Lot 67 D 548, "Panama."

PM-36. Memorandum of Conversation, by the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, March 21, 1960.

SUBJECT

PANAMA

PARTICIPANTS

The President	Assistant Secretary Roderick
The Secretary	General Persons
The Secretary of the Army	General Goodpaster
The Under Secretary for Political Affairs	Assistant Secretary Rubottom

Secretary Brucker referred to the President's memorandum of one month ago² as providing the basis for the meeting and then distributed copies of a paper "Proposed Action by Panama Canal Company and Canal Zone Government,"³ listing a ten-point summary of a more detailed paper which he handed to the President⁴ which the latter began to read. Secretary Brucker retained a copy of the detailed proposal for his own reading but did not have other copies of the basic paper to distribute.

The President, after a few minutes, inquired about the apprentice plan, recalling that he had heard from an American source regarding their poor treatment in the Canal Zone training school. General Goodpaster said that Robert Burroughs had been the source of this report.

Mr. Roderick said that Panamanian apprentices received the same wages as Americans (except the regular 25 per cent foreign residence differential), starting at approximately \$1.00 per hour and increasing gradually over the four-year apprenticeship to almost the maximum wage paid to skilled Panamanian workers. He averred that the real

¹ Source: Department of State, Central Files, 611.1913/3-2160. Confidential; Limit Distribution.

² See Document PM-35, footnote 2.

³ The Panama Canal Company and the Canal Zone Government proposed, in this paper, to authorize a 10% increase in the wages of Panamanian employees; to expand the apprentice program to admit 25 Panamanians annually; to replace 500 substandard housing units in the Canal Zone; to construct 500 low cost housing units in Panama; to withdraw the Panama Railroad terminal from Panama; to install a new water main to increase the water supply to Panama; to reduce the rate charged for water furnished to Panama; to support legislation to increase the pensions paid to disabled Panamanian employees; to increase the pay of teachers in Latin American schools; and to continue the review of security positions to keep the number at a minimum. (Eisenhower Library, Staff Secretary Records, "Panama Canal")

⁴ Not found.

problem was that Panamanian apprentices could not compete with the American beginners. To meet this, the new plan proposes that the Panamanian apprentices compete among themselves. The President thought that the wage structure was certainly sufficient to disavow any complaint on that basis.

Secretary Brucker pointed out the link between points 1 and 9 of the proposed action, i.e. increasing wages of Panamanian employees 10 per cent and increasing the pay of teachers in Latin American schools; he referred to the link between items 6 and 7 having to do with the installation of a new water main to supply Panama and a reduced charge for water furnished to Panama; also, items 3 and 4 were related, having to do with the replacement of 500 substandard houses in the Zone and the construction of 500 low-cost houses in Panama for Zone employees. The proposed wage increase of 10 per cent had been recommended deliberately, rather than the 5 per cent increase originally suggested, and the company was thinking of making this an annual increment which would, therefore, eliminate a wage differential between Panamanians and Americans in 10 years. Mr. Brucker said that the company had also deliberately increased the number of apprentices from 20 to 25 per year in its proposal; since the training period is 4 years, there would be 100 Panamanians in the school at all times, a rather impressive figure, he thought.

The President inquired about the U.S. treaty obligations to the world regarding rates charged ships transiting the Canal. Wasn't there some way we could increase the rates so as to amortize the original building costs for the Canal? Mr. Roderick explained that there was in effect a formula with the Congress which works in the following way: if the Canal Company books show that the rates are too low or too high, the Executive Branch could, after a six-month waiting period, recommend a reduction or an increase in the rates in order to balance the books. The Administration tried in the 83rd and 84th Congresses to include original building costs in the financial base structure of the Canal Company accounts, but the pressures on the Congress were sufficient to nullify the government's recommendations.

The President noticed that there was no mention of third country purchases or the sale of luxury items in the PX's. Mr. Brucker declared that the measures affecting these points had already been placed into effect.

Mr. Merchant commented that this action had had favorable repercussions.

Secretary Brucker said that his Department was prepared to move ahead on all points in the company proposal although enabling legislation would be required for point 4, covering construction of housing units in Panama, and point 8, an increase of pensions paid disabled

Panamanian employees, even though ultimately the funds for both of these items would be provided by the company. The Secretary said that Panama obviously would have to cooperate in providing land for the housing and that some kind of negotiation would have to be carried out.

Secretary Herter said that, while the Department was not aware of the detailed terms of the company proposal, it sounded satisfactory. He said that the Department had made a careful long-range analysis of the problems attendant to U.S.-Panama relations and that, after consultation with Mr. Brucker, he would like to come back to the President with recommendations. He believed that the long range U.S. picture regarding the Canal hinged considerably on whether a sea level Canal is to be built and, if so, where it is built.

Secretary Brucker referred to a proposal made to the President to train annually 1000 Latin American doctors, nurses and medical technicians at Gorgas Hospital in Panama. The total cost was estimated at \$600,000 per year but since the governments of the trainees would probably be willing to pay their travel costs, roughly half of the total, the balance of the \$300,000 annual cost might be divided 50-50 between the United States and the recipient countries.

Secretary Herter expressed awareness of the proposal and said that the Department was studying it. He said that it was an appealing plan.⁵

The President opined that the gesture of the crossed flags on March 1 had worked out well. Why hadn't we done this five years earlier? As though to answer the question himself, he recalled a telegram of complaint received from one of his brothers urging that the United States make no conciliatory gesture on the flag. Secretary Brucker stressed that the main point is that we are now prepared to do something regarding this problem. He said we should certainly not allow any important anniversary dates in Panama to go by without taking similar steps.

Secretary Herter said that the Department would include recommendations regarding the flag issue in its next meeting with the President on Panama.

The President said that the measures included in the company proposal seemed to him to be satisfactory and that the company should move ahead with them.

⁵ In a memorandum dated April 15, Under Secretary of State Dillon informed the President that the State Department had completed its feasibility study of the hospital and medical training program at Gorgas Hospital and had concluded that the program was feasible; that Gov. Potter had agreed to its implementation; that the International Cooperation Administration was prepared to proceed; and that Ambassador Harrington would bring the matter before the Foreign Ministry of Panama in order to obtain Panama's cooperation. (Eisenhower Library, Whitman Files, Dulles-Herter Series)

General Persons asked the President whether the various items should be given to the Budget Bureau for consideration. General Goodpaster asked whether steps should be taken with the Congress to permit the company to amortize the original construction costs. The President gave an affirmative answer to General Persons but recognized that there were problems with the Congress and with the shipping interests on the second point. The President pointed out that, with respect to any long range decision on a sea level canal, it should not be built in Panama if that country is uncooperative.

Secretary Brucker alluded to the subject of rates charged transiting ships and said that a very careful review would have to be made before attempting to obtain approval of an increase.

Assistant Secretary Roderick said that a study was now being made, looking toward legislative action, to enable the company to pay the government of Panama out of its own funds the \$1.5 million increased annuity, resulting from the 1955 Treaty, since the authorizing legislation flowing from that treaty had required that the State Department seek an annual appropriation to make this increased annuity, although the original \$430,000 annuity is still paid out of company earnings. The company is also considering steps enabling it to add \$20 million to the financial base of the company, this being the cost of the bridge now under construction, in order that this might be chargeable against earnings, at least insofar as interest, which is now being charged on the base annually, is concerned.

PM-37. Memorandum from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Secretary of State¹

Washington, March 29, 1960.

SUBJECT

PANAMA - Policy Recommendations for Discussion with Secretary of the Army Brucker.

You attended a meeting at the White House on March 21, together with Mr. Merchant and me, on the subject of short-range policy

¹ Source: Department of State, ARA/OAP Files, Lot 63 D 127, "Panama 1960." Secret. Drafted by Sharp between March 25 and March 28. The source text is an uninitialled carbon copy.

changes to be implemented by the Canal Zone Government/Panama Canal Company in the Canal Zone. Secretary Brucker and Assistant Secretary Roderick presented a 10-point program of proposed action (Tab A)² which seemed to be satisfactory to the President and he suggested that the Company should move ahead with the proposals (Tab B).

You mentioned to the President that the Department had made a careful long-range analysis of the problems attendant on United States-Panama relations and that, after consultation with Mr. Brucker you would like to come back to the President with further recommendations. I recommend that in a meeting, to be scheduled for the near future with Secretary Brucker, attended by you, or Mr. Merchant if you should find it more convenient, *you support wholeheartedly the 10-point program of the Army and that you urge its implementation be commenced as soon as it is practicable to do so, with a further recommendation that the benefits be spaced so as to achieve maximum effect.*³

ARA believes that while the Department of the Army proposals are excellent measures and will, no doubt, help to improve further our relations with Panama, which presently appear to be on the mend, there are additional short-range changes which should be raised in the projected meeting with Secretary Brucker for discussion and decision to be presented as joint recommendations to the President.

These measures, as described in Stage I of the S/P Study on Panama (PPS-1960-1, March 14, 1960, Tab B)⁴ include the following:

1. *Next Appointment to the Board of Directors of the Panama Canal Company should be a State Department Representative*

The memorandum from the White House dated February 16, 1960 (Tab C)⁵ recommends that until there is a vacancy, a representative of the Department of State should attend the meetings as an observer. Mr. Merchant is suggested as State's representative on the Board.

It is believed advisable to have the Department represented on the Board, where its director would be in a position to influence decisions which affect United States relations with Panama. The State member would, in effect, be a voting political advisor to the Board. Rather than burden the Under Secretary for Political Affairs or the Assistant Secretary of State for Inter-American Affairs with this responsibility, it is suggested that the Deputy Assistant Secretary of State for Inter-American Affairs might be named. In view of a larger role envisioned,

² Not attached to the source text, but see Document PM-35, footnote 2.

³ According to a handwritten notation on the source text, Secretary of State Herter approved this course of action on April 1.

⁴ Not attached to the source text.

⁵ Not attached to the source text.

for the Ambassador, it is not considered appropriate that he serve on the board.⁶

*It is recommended that you seek Secretary Brucker's concurrence that a joint State/Army recommendation be made along these lines to the President.*⁷

2. Civilian Governor of the Canal Zone

The February 16 memorandum suggests that the next Governor of the Canal Zone, to be appointed in May of this year, "be a different man from the President of the Panama Canal Company and a civilian selected partly for qualities of tact and diplomacy". He should sit with the Board of Directors of the Panama Canal Company, the memorandum adds.

The United States military plays a triple role in the Zone and vis-à-vis Panama: it supplies the governor of the Zone, manages the Panama Canal Company, and protects the Canal. The Corps of Engineers, which has a brilliant record in operating the Canal, has traditionally furnished the governor, who by statute serves also as ex officio president of the Company. There seems to be no compelling reason today, as opposed to the conditions of 1903, 1917, or 1941, why the Canal Zone should be under a military governor.

The presence of foreign military government is offensive to peoples who consider the governed territory to be their own. A military organization operates on the basis of command rather than persuasion. Military officers grow accustomed to obedience, and are concerned primarily with matters of their internal command rather than with those of external interests. Accordingly, a military command is seldom an instrument for civil administration under which civilians and foreigners can comfortably live or work.

An individual commander may avoid arbitrariness but his military status projects to foreign peoples more of an aura of colonialism than would adhere to a civilian. The Panamanian press campaign against the "military mentality" of the present governor suggests that the Panamanians would welcome civilian governance of the Zone.

It is believed that the Zone's government should be civilianized by the appointment of a capable civilian governor. He should in his dual

⁶ At this point, the following handwritten notation appears on the source text: "(see Mr. Merchant's comment, Tab F, para. 1)." Apparently Tab F, which is not attached to the source text, was a memorandum dated March 30 from Merchant to Herter, in which Merchant took exception to Rubottom's recommendation relating to the rank of the State Department's representative serving on the Board of Directors of the Panama Canal Company. Merchant believed the Under Secretary of State or the Under Secretary for Political Affairs should represent the Department. He maintained that high rank was necessary to make the Department's influence effective. (719.00/3-3060)

⁷ According to a handwritten notation on the source text, on April 1 Herter concurred with Merchant's recommendation regarding the rank of the State Department's representative.

role as governor of the Zone and president of the Company be responsible to the Ambassador on all matters affecting the Republic.

A civilian governor should not report to the Department of the Army but to the Department of State or to the White House through the Department. It is our understanding that the appointment of a civilian governor could be effected by the President, subject to confirmation by the Senate, without further legislation.

It is our Legal Advisor's opinion that there is no legal impediment to naming a civilian governor but the statutes call for the governor and the president of the Panama Canal Company to be the same person (Tab D).⁸ Mr. Brucker, in a discussion with Mr. Merchant, indicated his view that by statute the governor and the president of the Company must be an (Army) engineer.

In the event a civilian governor, reporting to the president through the State Department or directly to the Department, is named, it would be desirable to have the stock of the Panama Canal Company transferred to the Secretary of State. At present, the President has delegated the Secretary of the Army on sole stockholder.⁹

*It is recommended that you seek Secretary Brucker's concurrence that such a joint recommendation be made to the President.*¹⁰

3. Primacy of United States Ambassador over the Canal Zone.

The termination of military administration of the Zone is directly related to the question of United States representation in the Republic of Panama. Part of the Canal problem is that the governor of the Zone (president of the Company) is responsible to the Secretary of the Army, and that CINCARIB is responsible to the JOS, notwithstanding that a wide variety of decisions made by each affect Panama and Panamanians in some way.

The coordination of the actions of the governor (president) and CINCARIB with those of the Ambassador now depends solely on the working relationship and goodwill existing between the three men. It would be prudent to assure a greater degree of formalized coordination by establishing the primacy of the Ambassador.

It is not recommended that CINCARIB's Panama responsibilities be affected except in regard to the primacy of *the Ambassador on*

⁸ Not attached to the source text, but see Document PM-35, footnote 5.

⁹ At this point, the following handwritten notation appears on the source text: "(see Mr. Merchant comment, Tab F, para. 4)." Merchant, according to his memorandum of March 30, was uncertain of the soundness of recommending to the President that he transfer the stock of the Panama Canal Company to the Secretary of State. (719.00/3-3060)

¹⁰ According to a handwritten notation on the source text, on April 1 Herter disapproved this recommendation and suggested that the Secretary of the Treasury should hold the stock. (719.00/3-3060)

*all matters affecting*¹¹ United States relations with Panama. This, in addition to the appointment of a civilian governor responsible to the Ambassador, would simplify the problem of coordination and reduce the military and "colonial" coloration of the Zone.¹²

*It is recommended that you seek Secretary Brucker's concurrence that Executive Order 10575 be recognized as applicable to the Canal Zone vis-a-vis the Republic of Panama as it is elsewhere in the conduct of United States foreign relations.*¹³

The appointment of a State Department representative to the Canal Company Board, the appointment of a civilian governor and the establishment of the primacy of the Ambassador would have two immediate effects: It would (a) "civilianize" the Panama Canal Company and (b) supplant the present primacy of the Department of the Army by elevating the Department of State to new responsibilities vis-a-vis the Zone and the Canal.

Civilianization of the Company would still permit the special competence of the Corps of Engineers vis-a-vis the Canal to be available to the civilian management.

The result of appointing a civilian governor would be to reduce the role of the Department of the Army in the Zone to that of furnishing technical acceptance in the operation of the Canal and of maintaining a security force.

4. [illegible in the original]

It is believed that the forthcoming meeting with Secretary Brucker would be the appropriate time to raise once again the Panamanian request that the United States fly its flag in the Zone.

As you will remember, a decision on the request of November 25 has been delayed on a result of Congressional opposition. However, Governor Potter's precedent of March 1 in displaying ceremonial Panamanian flags received no unfavorable comment from Congress, which leads to the belief some of the "sting" of this issue may have been drawn.

The House Foreign Affairs Committee as yet has not made public its attitude toward flying the Panamanian flag. Moreover, it is understood that the Senate Foreign Relations Committee does not intend to take action on the flag issue.

¹¹ At this point, an unknown hand inserted the following in the source text: "the Govt. of."

¹² At this point the following handwritten notation appears on the source text: "(see Mr. Merchant's comment, Tab F, para. 2)." Merchant, according to his memorandum of March 30, suggested that, in the interest of clarity, the reference to the Ambassador's responsibility "on all matters affecting United States relations with Panama." Should be amended to read "... United States relations with the Government of Panama." (719.00/3-3060)

¹³ According to a handwritten notation on the source text, Herter approved this recommendation on April 1.

It would appear that a sounding might be taken of Congressional attitudes toward our unilateral display of the Panamanian flag toward the end of the present session, in order to determine the feasibility of action by the Executive Branch following the adjournment. ARA feels that Representative [illegible in the original] may be having second thoughts on his action to halt our flying of the Panamanian flag in the Zone, and I believe the action of Governor Potter on March 1 clearly shows a significant recession from the Pentagon's earlier position.¹⁴

*It is recommended that you explore with Secretary Brucker the possibility of the Pentagon joining with State in recommending to the President that he approve in principle our regular display of the Panamanian flag in the Zone under conditions that are mutually acceptable to the Departments.*¹⁵

5. Policy Decision on Isthmian Sea Level Canal

The Panama Canal Company study (now on the process), which is due to be presented to a Cabinet meeting in May of this year, calls for a successor sea level Canal to replace the Panama Canal to be completed by 1980. Since construction is estimated at approximately ten years, the United States Government must during the 1960s build the politico-psychological atmosphere requisite for successfully negotiating a sea level Canal across Panamanian territory—the present preferred site.

The creation of this atmosphere will require that we adopt a new Isthmian canal policy in the near future. S/P has prepared a long-range study (Tab A) which calls for medium and long-range policy changes additional to those mentioned above. At Mr. Merchant's instigation, the JCB has undertaken to prepare a study of the strategic importance of the present, and future sea level canals, to be ready in about sixty days.

Following presentation of the Canal Company study to the Cabinet, it seems to ARA that the President could be asked to (a) decide in principle to proceed with construction of an Isthmian sea level canal and (b) approve a new long-range Isthmian canal policy which could be discussed with the new Congress.

It would also appear desirable that the Departments of Defense, Army, and State initiate discussions among themselves immediately to resolve such differences as now separate us in a frank and open-minded

¹⁴ At this point the following handwritten notation appears on the source text: "(see Mr. Merchant's comment, Tab E, para. 3)." Merchant, according to his memorandum of March 30, suggested that the flag issue should, for the moment, remain unresolved, but that the precedent of the crossed ceremonial flags should be repeated on every significant Panamanian and United States holiday. [illegible in the original]

¹⁵ According to a handwritten notation on the source text, Herter approved Merchant's suggestion on April 1.

manner, all parties to recognize that the socio-economic evolution of the Isthmus is upon us for the period being considered.

It is recommended that you explore with Secretary Brucker the possibility of setting up a task group to commence formulation of a joint State/Army policy. [illegible in the original] This group would draft recommendations for ultimate submission to the President for decision. The President would indicate at what time study of a revised policy on the Isthmian Canal and related matters mentioned in this S/F paper would be referred to the National Security Council.¹⁶

¹⁶ According to a handwritten notation on the source text, Herter accepted this recommendation on April 1.

PM-38. Memorandum from the Assistant Secretary of State for Inter- American Affairs (Rubottom) to the Secretary of State¹

Washington, April 5, 1960.

SUBJECT

Press Release on Program for Improvement of Relations with Panama

Secretary of the Army Brucker has presented to the Department for concurrence a press release (Tab A)² outlining a nine-point program for improvement of relations with Panama (the original release had ten points but relocation of the Panama Railroad terminal, presently in Panama City, has been held up at the request of the Panamanian Government as a result of opposition from Harmodio Arias, who interposed objection to any arrangement which might assist the railroad when a Foreign Office Note was presented to the Foreign Relations Council for approval (Tab B)).³

¹ Source: Department of State, ARA/OAP Files, Lot 63 D 127, "Panama April 1960." Official Use Only. Drafted by Stewart on April 4. The source text is an uninitialled carbon copy.

² Not printed.

³ Not attached to the source text. Tab B, which is not printed, was Airgram G-197 from Panama City, April 1; 919.712/4-160.

Secretary Brucker is scheduled to meet early this week with his personnel to ascertain whether all plans for implementation of the program have been completed. Assistant Secretary of the Army Roderick informed Mr. Stewart on April 4 that he still has not heard from the Department of Defense as to its capacity to award the ten per cent increase to non-United States rate employees of the military establishments in the Zone and the Canal Zone Government. Mr. Roderick expressed the view, concurred in by ARA, that the Panama Canal Company wage increase, already authorized by the Board of Directors, should not be granted unilaterally. He thought it would be preferable to hold up the press announcement, if necessary, until Defense and the Canal Zone Government could secure funds to enable them to grant the increase. ARA concurs, believing a much greater impact would be achieved by an all-inclusive wage increase for non-United States rate workers. Mr. Roderick said he was expecting momentarily to hear from Defense whether it had arranged for the necessary funds.

When all arrangements have been made to implement the nine points the press release will be sent to the President for his approval. It will be suggested that the announcement be made by the White House.

Recommendations.

1. That you approve the press release.
2. That you concur with the Department of the Army view that the announcement be withheld until all employing agencies in the Zone arrange to grant the ten per cent wage increases simultaneously, assuming this will be possible in the near future.⁴

⁴ On April 5, Secretary of State Herter approved the press release, and concurred with the view of the Department of the Army that the President withhold the announcement of this program until all employing agencies in the Canal Zone arranged to grant the 10% wage increase simultaneously.

PM-39. Memorandum of Conversation, by Edward T. Long¹

Washington, April 6, 1960.

SUBJECT

Long-Range Program for Panama

PARTICIPANTS*State:*

The Secretary

Under Secretary for Political Affairs Livingston T. Merchant

ARA - Assistant Secretary Rubottom

S/P - Assistant Secretary Smith

OAP - C. Allan Stewart

M - Mr. Long

Defense:

Secretary of the Army Wilber M. Brucker

Assistant Secretary of the Army George H. Roderick

Deputy Assistant Secretary of Defense (ISA) Robert Knight

Colonel-George M. Seignious II - Aide

Nine Point Program

The Secretary opened the meeting by expressing his delight at the nine point program for Panama which the Department of the Army had prepared and which was to be announced by means of a White House press release. He expressed the hope that the Department of Defense would be able to find the money for pay increases for Panamanian employees of the U.S. armed services. Mr. Roderick said that there was now no problem on this issue and that he was hopeful it would be resolved by the end of the week with the press announcement coming out some time before April 15. He said the pay increases would go into effect on May 1. He also proposed a new sentence in the draft press release which would highlight the fact that this program was not an afterthought and reflective of submission to Panamanian pressure but was something which was in train before the November riots and would have been implemented before if the riots had not taken place. The Secretary agreed with this change with the addition of the thought that the delay was also caused by our own legislative procedures.²

¹ Source: Department of State, Central Files, 719.00/41-660. Confidential. Special Assistant to the Under Secretary of State for Political Affairs.

² For the text of the White House press release of April 18 announcing the nine point program for Panama, see the Department of State *Bulletin*, May 16, 1960, p. 798.

Significance of Panama

Turning to the reason for the meeting, the Secretary pointed out that we had been looking at the Panama problem from a long-range viewpoint and that we were considering Panama in the overall mosaic of Western hemisphere problems. Malcontents in the hemisphere today were not rallying around Lenin or Stalin or Khrushchev or Mao but rather had adopted Fidel Castro as their symbol. He observed that it was our wish to avoid particularly the increase of sentiment favorable to Castro in Panama where there was much social pressure on the part of unhappy elements. With this in mind he wanted to propose several changes which he thought would contribute to a more effective U.S. operation in that country.

Panama Canal Company Board

First of all, he stated we would like to have a State Department representative at a senior level on the Panama Canal Company Board of Directors which he understood now had thirteen members. We did not want to displace any current member but thought that, until an opening occurred, the State Department representative could be an observer with a political voice. Secretary Brucker replied that he had no objection to a State Department observer but that his concept of the Company was that the Company was strictly a business operation with a Board consisting of high level businessmen. He alluded to the appointment of Commerce Under Secretary John Allen to the Board which he had approved on the understanding that Mr. Allen, an experienced businessman, would conduct himself as a businessman rather than as an official of the Department of Commerce. Secretary Brucker questioned whether it would be a good thing from the Department of State standpoint to have an official on the Board. The Secretary asserted that our concept differed completely from Secretary Brucker's. We had no desire to interfere with the business operation of the Board but we thought it important that one voice of the thirteen be a political voice, that there should be a member of the Board alert to political implications of the Board's actions. The Secretary stated that, if requested to name the State Department Board member, he would nominate Mr. Merchant. Secretary Brucker then stated that if this was what the Secretary wanted it would be acceptable to him. (Note: Secretary Brucker seemed even happier when the Secretary pointed out that Mr. Merchant had considerable business experience before joining the Department of State.)

Panama Canal Company Stock

The Secretary then raised the question of the stock of the Panama Canal Company, the operation of which the President has delegated to the Secretary of the Army. The Secretary thought it would be a good thing, in order to avoid the military implications of ownership, to have this stock transferred to the Secretary of the Treasury. Secretary Brucker stated he was not prepared to discuss this subject and the matter was dropped.

Governor of the Canal Zone

The Secretary said that we had given careful thought to the problem of the Governor of the Canal Zone and it was our firm opinion he should be a civilian. Secretary Brucker observed that there was nothing in the statutes which would prohibit this but stated the Governor of the Canal Zone, who was also the President of the Panama Canal Company, had traditionally been a Corps of Engineers officer. He thought this precedent was a good one, that it should be continued and that it was very proper. The Secretary said he knew that the leading candidate for nomination as the new Governor next month was an engineering officer of great stature and that he would have no quarrel with his designation. However, the problem was one of principle and he thought that, in principle, the Governor should definitely be a civilian. Secretary Brucker said that it was such an important thing to have a Corps of Engineers officer heading up the Zone and Company, that the Corps of Engineers' tradition was a great one in Panama. He said that certainly we would not want to have a run-of-the-mill politician as Governor and that we would not want to have two civilians, the Ambassador and the Governor, involved in Panama and Canal Zone problems. It was most important to have a professional engineer giving professional advice on the Canal Zone. The Secretary responded that he did not quarrel, of course, with the efficient operation of the Canal itself but that he might argue on the issue of a military officer as Governor and involved in relations with the Government of Panama. He said that, while he took absolutely no exception to the prospective nomination from the Corps of Engineers for the new Governor, he thought we would have to reserve our positions on this issue. He said that, assuming a civilian candidate and a military candidate were of equal stature, we would prefer the civilian. It was a question of judgment.

Secretary Brucker responded that the nominee for Governor would have to be confirmed by Congress where of course the Corps of Engineers was very powerful.

The Secretary then said "we agree to disagree", that he thought it important that we settle this matter in principle for the future.

Mr. Merchant said the problem essentially was that the U.S. exercises sovereignty over a narrow strip of land bisecting the Republic of Panama. In these modern times it was essential from the standpoint of our political relations with Panama to avoid the image of military occupation, which the concept of a military man as Governor of the Zone represented psychologically. He said that certainly the Corps of Engineers would continue in its respected technical capacity. The Secretary agreed that the problem was essentially a psychological one. Secretary Brucker replied that he just did not agree with the Department of State's position on this and he strongly recommended reconsideration of it. He stated

that, in his opinion, the Latin Americans had a tremendous respect for U.S. Army officers and that this was an important aspect.

Primacy of the Ambassador

The Secretary said another problem which he would like to address himself to was that of the difficult position inherent in the presence of three top-level American officials in the area, the Ambassador, the Governor and the General commanding the Unified Command. He said he felt it important to affirm the primacy of the U.S. Ambassador in Canal Zone matters relating to the government and the people of Panama. Secretary Brucker observed that the military had no disposition to look at things in Panama other than eye to eye with the Ambassador. The closer the relations the better, and this has been the traditional situation there. The Secretary said this must be the understanding between the two Departments and Secretary Brucker replied that "we will work with you on this".

New Canal

The Secretary then turned to the problem of the new Canal and said it was the Department's feeling that a governmental decision on this should be made as soon as possible. He said he understood that the Panama Canal Company had just completed a study recommending the construction of a sea level canal. Mr. Roderick interjected that the Merchant Marine and Fisheries Committee of the House was publishing a report on this subject done by a group of highly respected engineers and that the recommendation of this report would be the construction of a third set of locks to the present canal. He understood that the report recommended this because of the diplomatic problem of negotiating a different route for a possible sea level canal. He said he had heard that the Cabinet was to consider the Panama Canal Company report on April 29 and that perhaps this consideration should be undertaken beforehand, i.e., before the Merchant Marine and Fisheries report was made public.

Gorgas Hospital Project

Secretary Brucker asked how the Gorgas Hospital project was progressing. The Secretary said he understood ICA was actively and favorably studying it. He hoped that the necessary funds could be found.

Flag

The Secretary then mentioned the flag problem and observed that the Department felt, that given the present attitude of Congress, nothing formal could be done in this regard at this time. He hoped, however, that the Governor would continue, on suitable occasions, his ceremonial crossed flag project which was so successful last month. Secretary Brucker agreed.

PM-40. Letter from the Secretary of State to the Secretary of the Army (Brucker)¹

Washington, April 8, 1960.

Dear Wilber:

It was good of you to come over on Wednesday² to discuss Panama with us and I found the meeting most helpful. I have been pondering the various problems since our meeting and would like to set down my view as to where we stand and where we should go.

We weren't able to come to a meeting of the minds on the civilian versus military Governor issue. Although the President has now nominated a military officer for a new term as Governor of the Zone, I think we should still establish the principle that the Governor of the Canal Zone should be a civilian.

I was delighted that you accepted my informal suggestion of Livie Merchant as the Department of State representative on the Board, when a vacancy appears, but I am not quite clear whether you accepted Livie as an individual or as a position. I think it important that the principle be established that the Department of State will be permanently represented on the Board of Directors at the Under Secretary level.

You said that you anticipated no difficulty in affirming the primacy of the Ambassador in matters relating to the government and people of Panama. I hope that this can be regularized by an executive order something along the lines of Executive Order 10575³, and I plan to send you in the near future some draft language on this for the President's subsequent consideration.

I think we neglected to pin down the procedure for securing a policy decision on the sea level canal. It is most important that we agree to put this problem into the NSC machinery as soon as possible.

On the matter of the flag, I understand that we were agreed that no decision be taken at this time with respect to its daily display in the Zone but that on all suitable holidays the Governor should exhibit the small ceremonial crossed flags as he did on March 1.

¹ Source: Department of State, ARA/PAN Files, Lot 65 D 176, "Policy-Panama 1960." Confidential. The source text was attached to a memorandum from Merchant to Herter dated April 8, in which Merchant suggested that, since the Secretary had failed at this meeting with Brucker on April 6 to obtain final agreement on most of his Panama proposals, the Secretary should send Brucker a letter in which he reiterated his suggestions. Merchant also recommended that the Secretary and Brucker have an early discussion of them with the President. (ARA/PAN Files, Lot 65 D 176, "Policy-Panama 1960")

² April 6.

³ President Eisenhower signed Executive Order 10575 on November 6, 1954. For the text, see 19 *Federal Register* 7249.

I believe we should take our various proposals to the President for decision on a fairly urgent basis. If you would let me know in the next few days, after you have had the opportunity to consider this letter, we could then arrange a mutually convenient appointment with the President for this purpose.

With warmest personal regards,
Most sincerely,

Christian A. Herter

PM-41. Editorial Note

On April 12, 1960, Robert K. Gray, the Secretary to the Cabinet, transmitted the text of Cabinet Paper 60–108, entitled “Isthmian Canal Plans—1960” to the Members of the Cabinet. In his covering memorandum, Gray indicated that this document was scheduled for Cabinet consideration at the Cabinet meeting planned for April 29, 1960, and that the Secretary of the Army, acting in his capacity as “the stockholder” and, as such, the senior official of the Federal Government supervising the Panama Canal Company, was complying with the Cabinet decision of May 22, 1959, to present, on behalf of the Board of Directors of the Panama Canal Company, a report to the President and the Cabinet on the feasibility of constructing an alternative Isthmian sea-level canal.

CP-60–108, prepared with the assistance of the Atomic Energy Commission and the Department of State, concluded that: 1) a new sea-level canal was the most advantageous, least vulnerable, and most practical solution of the problem of the over-used Panama Canal; and 2) that conventional construction of a sea-level canal would cost three times as much as nuclear excavation at a location remote from the present Canal Zone. The report also recommended that the Panama Canal Company and the Atomic Energy Commission promptly initiate construction plans for a sea-level canal at a remote location using nuclear excavation; however, if the nuclear construction of a sea-level canal could not be completed before the early 1970s, the report recommended that the Panama Canal Company use conventional methods to build a new sea-level canal in the Canal Zone.

Documentation in the Department of State concerning the question of the construction of a new sea-level canal is in ARA/PAN Files, Lot 65 D 176, and at the Eisenhower Library, it is in the Whitman File, Cabinet Series.

PM-42. Editorial Note

The National Security Council, at its 441st meeting held on April 14, 1960, concurred with a proposal submitted by the NSC Planning Board that:

“A U.S. policy should be developed during this Administration on the long-range national security interest in inter-oceanic canals across Central America, including consideration of the future of the Panama Canal, a possible new sea-level canal, the question of internationalization of such canals, and the appropriate assignment of responsibility within the U.S. Government regarding such canals.”

On April 23, 1960, President Eisenhower approved this paragraph as NSC Action 2219-b-(3).

(S/S-NSC (Miscellaneous) Files, Lot 66 D 95, NSC Records of Action)

PM-43. Minutes of Cabinet Meeting, White House¹

Washington, April 29, 1960.

The following were present:

President Eisenhower

Vice President Nixon

Mr. Loy Henderson
for Sec. Herter

Sec. Anderson

Sec. Gates

Mr. Lawrence Walsh
for AG Rogers

Mr. John McKibbin
for PMG Summerfield

Mr. Royce Hardy
for Sec. Seaton

Sec. Benson

Sec. Mitchell

Mr. John Allen (in part)
for Sec. Mueller

Sec. Flemming

Amb. Lodge

Gov. Hoegh

Mr. Stans, BoB

Mr. Staats

Mr. John McCone, AEC

Dr. Saulnier, CEA

Sen. Morton, RNC

Sec. Brucker, Army (in part)

Mr. George Roderick (in part)

Amb. Julian Harrington, Panama (in part)

Dr. Edward Teller, AEC (in part)

Dr. Gerald Johnson, AEC (in part)

Mr. Merrill Whitman, Panama Canal
Company (in part)

Mr. Morgan

Mr. Kendall

Mr. Merriam

Dr. Paarlberg

Mr. Harlow

Mr. McCabe

Gen. Goodpaster

Mr. Robert Gray

Maj. Eisenhower

General Bragdon (in part)

Mr. Harr (in part)

Mrs. Wheaton

Mr. Patterson

Mr. Minnich

¹ Source: Eisenhower Library, Whitman File, Cabinet Series. Confidential. Minnich prepared and signed this memorandum. The meeting began at 9:04 a.m. and concluded at 11:15 a.m.

[Here follows a discussion of the draft of the special message to the Congress that the President delivered on May 3; a consideration of budget and personnel questions; and a description of Project Ploughshare, the use of underground nuclear explosions for peaceful purposes.]

Isthmian Canal—Mr. Brucker picked up the subject of a sea level canal, which Dr. Teller had discussed in part.² He said that the plan for cleaning up the existing canal, approved in 1959, will continue through 1968, but the need remains for settling on a long range solution.

Mr. Roderick said that the 1947 study of requirements and of routes remains pertinent in all respects except for the possibility of using nuclear explosions. He then went over the various possible routes and their costs. He concluded that a sea level canal is best since it can handle the heaviest traffic, at the most economical rate, and would be less vulnerable to attack.

Mr. Roderick commented that the Panama Canal Company is now very experienced and could carry on with the new canal.

Mr. Roderick wanted to propose, subject to the President's approval of the project, some public announcement of it, even though further nuclear development was required prior to actual initiation of the work.

The President said that the biggest problem now is the determination that will have to be made as to our foreign policy interests – that is, whether to stay with Panama or to consider switching to Colombia. He thought that the additional cost of routes other than those in Panama was a very secondary factor given the long term usage of any canal. Mr. Roderick thought that the financing could be similar to that of the St. Lawrence Seaway, and that even the more expensive canals could be paid off by using higher tolls than now charged. He noted that there had been no increase in tolls since 1916.

The President repeated that State should get to work now on its part of the problem. Sec. Anderson thought that State should also consider the fringe economic benefits that would accrue to whatever country that became the site of the new canal – for instance, Colombian economic development would be greatly advanced if the switch were made to it. Mr. McCone did not want the Mexican possibility dismissed lightly, even though much more costly, since it would save much time for ships traveling between the East and West coasts of the United States. Mr. Roderick said that a study showed various savings for various routes, but that Panama currently is on the direct line of the heaviest traffic—from Venezuela to the East Coast.

² In the course of his presentation regarding Project Plowshare, Dr. Edward Teller of the Atomic Energy Commission stated that the excavation of a sea level canal through the Central American Isthmus provided the best example of how nuclear explosives could best be used for peaceful purposes.

The President stated that anything that binds Mexico closer to the United States is in itself worth a billion. The Vice President added that the matter of stability of local government is a question with which State would have to be concerned and is of very great importance.

Sec. Benson asked if it was planned to discontinue the present canal. Mr. Roderick replied that this also is a question for determination through State Department.

Mr. Brucker inquired about informing Congressional Committees of this proposal and of publicizing it. Mr. Henderson asked that the question of publicity be deferred until Mr. Herter's return on May 6th.³

Mr. Brucker felt some urgency with regard to Congressional hearings. The President thought that no great problem was involved in the basic report submitted by the Panama Canal Company, rather it was in the things the State Department needed to consider. He directed Mr. Henderson to take it under study and discuss it with Mr. Dillon in the absence of Mr. Herter.

³ Secretary of State Herter departed Washington on April 26, 1960, on a trip that took him to London, to Tehran for the CENTO Council meeting, to Istanbul for the NATO Council meeting, and to Athens. He returned to Washington on May 6, 1960. For the texts of the Department of State press releases concerning his trip, see Department of State *Bulletin*, April 4, 1960, p. 517, and May 23, 1960.

PM-44. Memorandum from John H. Stutesman, Jr., to the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, May 2, 1960.

Isthmian Canal Plans—1960, A Report of the Panama Canal Company Board of Directors

Attached for your information and appropriate action is an excerpt from a draft record of action of the cabinet meeting of April 29, 1960. This record of action has not yet been approved by the President.²

¹ Source: Department of State, Presidential Cabinet Meetings, Lot 68 D 350, CP-9. Cabinet Paper-Privileged. Stutesman was the Special Assistant to the Deputy Under Secretary of State for Administration. The source text is an unsigned carbon copy.

² According to a memorandum dated May 6 from John A. Calhoun, the Director of the Executive Secretariat, to Secretary of State Herter, the President on May 5 approved the referenced draft record of action. (Presidential Cabinet Meetings, Lot 68 D 350, CP-9)

4. Isthmian Canal Plans, 1960 (CP-60-108)

ACTION: a) Subject to the further consideration mentioned in subparagraph b(i), and taking into account, in addition to the points raised in the Cabinet paper,

i) the relatively diminished importance, in the long run, of the estimated differences in costs, when judged against other considerations, and

ii) the possibility of higher tolls because of full-speed transit,

the President indicated his favorable inclination to the Recommendations of CP - 60 - 108, with the proviso that the nuclear excavation of a trans-Mexican route be included as one of the most likely alternatives—this in view of:

—the friendliness of the Mexican Government;

—the savings to shippers in the lessened coast-to-coast distance.

b) The President requested the staff of the Department of State to prepare for use upon the return of Acting Secretary Dillon materials on the basis of which he may advise the President as to

i) the diplomatic considerations involved in negotiating respectively a Mexican, Colombian or Panamanian route, this matter being scheduled for a subsequent meeting of the National Security Council;

ii) the recommendation of Secretary Brucker, i.e. that favorable consideration should be given to releasing the text of CF - 60 - 105 and/or a related interim statement in the very near future, and thus ensuring that the Administration receives the credit for the new proposals which its initiative deserves.

With respect to paragraph (b) (ii) above, the subject report was transmitted to the Department by the Secretary to the Cabinet, Mr. Robert Gray, on April 12 under cover of Cabinet Paper 60-100. As noted, the President requested that the Acting Secretary of State advise him whether a recommendation by Secretary of the Army Brucker, that “the text of Cabinet Paper 60-108 and/or a related interim statement be released in the very near future”, was agreeable to the Department of State.

ARA, in consultation with S/AR and S/P, is requested to determine whether, in the Department’s view, this document might now be released. A memorandum for the President should be prepared for the signature of the Acting Secretary outlining the Department’s views on this matter.³ This memorandum should be received, under cover of an appropriate memorandum to the Acting Secretary⁴ by 3:00 p.m. today, May 2.

John H. Stutesman
Cabinet Assistant

³ For the Acting Secretary of State’s memorandum of May 4 to the President, see Document PM-45.

⁴ Rubottom’s memorandum of May 2 to the Acting Secretary of State is in the Rubottom-Mann Files, Lot 62 D 418, “Panama 1960.”

PM-45. Memorandum from the Acting Secretary of State to the President¹

Washington, May 4, 1960.

SUBJECT

Recommendation Against Release of Text of CP-60-108, "Isthmian Canal Plans—1960"

With reference to Secretary Brucker's recommendation at the cabinet meeting of April 29 that favorable consideration be given to releasing the text of "Isthmian Canal Plans—1960" and/or a related interim statement in the very near future, I recommend that, on foreign policy grounds, an embargo be placed on release of the contents of this report until a long-range Isthmian Canal policy has been formulated in the National Security Council for your review and approval. I understand that current plans call for this matter to come up in the NSC this summer.

Premature release of information contained in "Isthmian Canal Plans—1960" would greatly complicate our problems in establishing favorable preconditions to satisfactory negotiations for a new Canal at whatever location may be decided upon as a result of NSC consideration. Release of the document at this particular time would also be likely to adversely affect our posture in the nuclear test ban negotiations. Therefore, I recommend that the question of how and when this report might be released should be considered at the same time the Panama Canal paper comes before the NSC.

If you should wish, Secretary Herter or I would be happy to discuss with you in more detail the foreign policy considerations involved in this matter.²

Acting Secretary

¹ Source: Department of State, Rubottom-Mann Files, Lot 62 D 118, "Panama 1960." Cabinet Paper-Privileged.

² According to Calhoun's memorandum of May 6 to Secretary of State Herter, the President, in addition to approving the draft record of action of the Cabinet meeting on April 29, also accepted Acting Secretary of State Dillon's recommendation against releasing the text of the Panama Canal Company's report. (Presidential Cabinet Meetings, Lot 68 D 350, CP-9)

PM-46. Letter from the Acting Secretary of State to the Secretary of the Army (Brucker)¹

Washington, May 4, 1960.

Dear Mr. Secretary:

I refer to your letter of April 29 to the Secretary of State² asking for the draft language of a proposed Executive Order concerning the status of our Ambassador to the Republic of Panama and the agenda of the other Panamanian topics for discussion. This was in connection with the meetings on Panama scheduled for May 10 and May 11.

As your office has already been informed by telephone, the Secretary has requested that these meetings be postponed until after the Summit³ in view of the fact that he will have only three working days here between his return from Tehran and Istanbul and his departure for the Summit.

With respect to the Executive Order we have not completed our study but will of course send you a copy when this is done. It is my understanding that the suggested agenda will be along the lines of the Secretary's letter to you of April 8,⁴ but we shall be in touch with you again after the meetings have been re-scheduled.

Sincerely yours,

DOUGLAS DILLON
Acting Secretary

¹ Source: Department of State, Central Files, 611.19/4-2960. Drafted by Long.

² Not printed; 611.19/4-2960.

³ The Acting Secretary of State was referring to the Heads of Government and Chiefs of State Meeting in Paris, May 12–May 21, 1960. Documentation concerning the Paris meetings is printed in *Foreign Relations*, vol. VII, part 1, Western European Integration and Security; Canada.

⁴ See Document PM-40.

PM-47. Editorial Note

On May 8, 1960, presidential elections were held in Panama to select a successor to President Ernesto de la Guardia, Jr., whose four-year term expired in the autumn. Dr. Roberto F. Chiari was elected the new President of Panama, and he assumed office on October 1, 1960. Documentation concerning the election campaign is in Department of State file 719.00.

PM-48. Memorandum from the Acting Secretary of State to the President¹

Washington, May 20, 1960.

SUBJECT

Diplomatic Considerations in Negotiating An Isthmian Sea Level Canal Route (CP-60-108)

With reference to your request at the Cabinet meeting of April 29 that you be advised of diplomatic considerations involved in negotiating a route for an Isthmian sea level canal to be constructed by nuclear excavation techniques outside the Canal Zone, I present some conclusions for your consideration.

Mexico: While it is difficult to predict accurately what the state of our relations with any of those countries will be a decade hence, Mexico has made it clear that it would require complete control over a Tehuantepec canal free from any foreign influence, including the United States. Mexico's well-known sensitivity on sovereignty matters and its extreme reluctance to cooperate in common defense problems are other factors which must be considered. Its present policy of friendship toward us is relatively recent and not necessarily permanent.

Colombia would almost certainly want sovereignty over a new canal, a substantial share of the profits, and a strong voice in its operation, with the defense responsibility primarily ours.

Nicaragua: We have treaty rights in Nicaragua but negotiations for a canal route would be required not only with that country but also with one or more of the neighboring states of Costa Rica, El Salvador, and Honduras concerning any rights they may have in the area of the selected route. This was specified in the United States Senate's consent to the ratification of the Bryan-Chamorro Treaty in 1916.² It is therefore clear that acquiring the right of way for a Nicaraguan Canal would involve very complex negotiations affecting four countries—a most difficult undertaking.

Panama: Based on our half-century experience with Panama, it is clear that we will never be granted the same broad rights we now have in the Canal Zone. Additionally some mutually satisfactory arrangement would be required to permit abrogation of our present treaty structure with that country. This should preferably be an economic assistance program to assist Panama toward political and economic stability and to reduce its dependence on canal revenues. Such is clearly within our capabilities, if undertaken and pursued with resolution and adequate resources.

¹ Source: Department of State, Central Files, 611.19/5-2060. Secret; Cabinet Paper-Privileged. Drafted by Sharp.

² For the text of the Bryan-Chamorro Treaty signed at Washington on August 5, 1914, ratified, with amendments, by the United States Senate on February 18, 1916; and entered into force on June 22, 1916, see 10 Bevans 379.

Further diplomatic consideration common to all potential sites is the reaction to the employment of nuclear explosives for construction. The problem of creating the proper psycho-political atmosphere will require an exhaustive testing and development program in the continental United States to prove that no harmful effects would be suffered by local populations. Moreover, our commitments under any future international agreements on nuclear controls would have to be considered.

In the light of these considerations, I believe it is premature to attempt within the near future to select a location for a sea level canal replacement of the Panama Canal. The Report of the Panama Canal Company which the Cabinet has considered estimates that if its recommendations are accepted we have approximately ten years to prepare the way for negotiations on a location of our own selection. While I believe there are strong advantages in your making a decision in principle in favor of a sea level canal—should the National Security Council so recommend—I believe the location should be deferred until we have had an opportunity to formulate and implement policies which might considerably improve the prospects of long-range stability within both Panama and Colombia.

DOUGLAS DILLON

Acting Secretary

PM-49. Memorandum of Telephone Conversation, Prepared in the Office of the Secretary of State¹

Washington, August 9, 1960.

**MEMORANDUM OF TELEPHONE CONVERSATION
WITH THE PRESIDENT**

The President telephoned and said normally he never sends any message to the Secretary by one of his Ambassadors, but the President said he had just been talking to our new Ambassador to Panama² about the problems still there and that Ambassador Farland brought up something the President never knew, i.e. he said that Harrington started the custom of flying our flag only 37 days a year over our Embassy. The President said he told Farland that with Harrington

¹ Source: Eisenhower Library, Herter Papers, Telephone Conversations. The conversation began at 12:10 p.m.

² Harrington was Ambassador to Panama until July 14, 1960. Joseph S. Farland was appointed Ambassador on June 24 and presented his credentials in Panama City on August 29.

gone, a new President, the Governor gone and Gaither gone, maybe this would be a good time to make a little arrangement, beginning on such and such a date, to start the custom of flying the flag all the time over our Embassy and to fly both the American and the Panamanian flags from poles of equal height at the Headquarters of the Panama Canal Zone to demonstrate our recognition that residual sovereignty rests with Panama. The President said he told Farland to ask the Secretary to look this idea over to see if the Secretary thinks it is a good thing, and if the Secretary does think it is good, he could check with the Army and then the Secretary could put out a directive or the President could, he didn't care which. The President said perhaps we could just make it the day after Congress which would keep Flood from going crazy. The Secretary said Flood is threatening all sorts of things; The President said Farland might, although we don't have the authority, make the proposal to the new President and see if it couldn't be worked out so this could be accomplished—not announce it, but just see if we can just do it. The Secretary said he would give this the most careful consideration.

The Secretary then said he hoped the President had liked Ambassador Farland, and the President said he did; that he had met him before. The Secretary said he has done so well that we hope he will permanently join the ranks of the Foreign Service.

PM-50. Letter from the Secretary of State to the Secretary of the Army (Brucker)¹

Washington, August 12, 1960.

Dear Wilber:

Following the discussion on Panama at our meeting of April 6, I wrote to you on April 8² outlining my understanding of the conclusions we reached in the hope that we could get together soon thereafter on the four points we had under review, prior to seeing the President. Unfortunately, due to my very busy schedule in the ensuing weeks, it was impossible to give attention to the matter, and Acting Secretary Dillon wrote you on May 4³ to inform you of the delay which had been encountered.

¹ Source: Department of State, Central Files, 611.19/8-1260. Confidential. Drafted by Sharp on July 19.

² See Document PM-39.

³ See Document PM-40.

In the Interim, we have completed the study on the precedence of the Ambassador in making decisions on Canal Zone activities which have implications for our relations with the Republic of Panama. After careful consideration, we believe that the precedence of the Ambassador should relate not only to decisions affecting our relations with Panama, but also to decisions affecting our relations with other countries. I am enclosing a copy of a draft amendment⁴ of Executive Order 9746 of July 1, 1946⁵ as amended, which is in line with the above and which I should like to discuss with you at our next meeting before presenting it for the President's consideration.

With respect to my suggestion that a representative of this Department be named to the Board of Directors of the Panama Canal Company when a vacancy occurs, I am not quite clear whether you accepted Livie Merchant as an individual or as a position. As I wrote you in my April 8 letter, I think it important that the principle be established that the Department of State will be permanently represented on the Board of Directors at the Under Secretary level. It seems to me that, until a vacancy occurs on the Board, our representative might serve as an observer, thus giving the same foreign policy guidance to the Company that will be available when he becomes a member of the Board.

On the issue of a civilian versus a military Governor of the Canal Zone, you will recall that we were not able to come to a meeting of the minds. Although Major General Carter has recently begun his four year term as Governor, has made an excellent start and has shown without a doubt that he has a profound sense of public relations, I think we should still establish the principle that the Governor be a civilian. I want to make it clear that a man of extremely high caliber would be required in order not to defeat the purpose of appointment.

With reference to the issue of the display of the Panamanian Flag in the Canal Zone, we were agreed on April 6 that no decision be taken at that time. Since that date, however, we have become increasingly concerned over the possibility of a recurrence of the events of last November on the anniversary date this fall. In conversations in June with senior officers of the Department, both the present administration in Panama and President-elect Chiari voiced the fear that disturbances would occur if a favorable decision had not been made by November 3. In our view, Congressional resistance, which still persists, has been the overriding factor in the unwillingness thus far to set a recommendation before the President. We feel, however, that the new Congress will not react as strongly as the present one has when presented with a decision which is the President's to make, in any event. Therefore, I should like to discuss with you at our next meeting, and prior to our meeting with the

⁴ Not found.

⁵ For the text of Executive Order 9746, which President Truman signed on July 1, 1946, see II *Federal Register* 7329.

President, the possibility of a joint Army-State-Defense recommendation to the President that, as of November 3, 1960, the flags of the United States and Panama be flown on a daily basis in the Canal Zone in a special location, readily visible from the Republic of Panama, in recognition of Panama's titular sovereignty over the territory of the Canal Zone. Our idea is that the notification to the Government of Panama would be explicit in setting forth our understanding of the significance of this act, that our treaty rights in the Zone would remain unaffected by the joint flag display. We would certainly indicate that in its reply the Government of Panama should acknowledge that the proposed action would only be in recognition of Panamanian titular sovereignty over the Zone.

I hope that we can arrange to meet soon with the President on the matters outlined above and, when an appointment has been made, I will be in touch with you so we can discuss them together a day or so beforehand.

With warmest personal regards.

Most sincerely,

Christian A. Herter

PM-51. Memorandum from the Director of the Executive Secretariat (Calhoun) to the President's Staff Secretary (Goodpaster)¹

Washington, August 22, 1960.

SUBJECT

Senator Green's Letter on Implementation of Nine Point program for Panama.²

In accordance with your request of August 15, I am enclosing a suggested reply to Senator Green for Mr. McCabe's signature. Senator Green's letter is returned for your files.

Walter J. Stoessel, Jr.

John A. Calhoun³

¹ Source: Department of State, Central Files, 611.19/8-1560. Drafted by Sharp on August 18.

² A copy of Senator Green's letter of August 12 to the President is attached to the source text, but not printed here.

³ Walter J. Stoessel, Jr., the Deputy Director of the Executive Secretariat, signed for Calhoun.

[Enclosure]

SUGGESTED REPLY

Dear Senator Green:

Further to my letter of August fifteenth⁴ in reply to yours of August twelfth to the President, concerning the program for the improvement of relations between the United States and Panama which the President approved on April nineteenth, I am pleased to be able to inform you of the following actions which have been taken on each of the nine points contained in the program.

Point 1. Provision was made for an increase effective May 1, 1960 of 10 percent in the wages of persons in the appropriate categories.

Point 2. The apprentice training program was expanded by the appointment of 27 Panamanian apprentices in July 1960, two more than the number originally specified.

Point 3. The construction of 500 housing units in the Canal Zone is scheduled in the Capital Budget program of the Panama Canal Company beginning in FY 1960. The program now developed provides for the construction of 100 units in each of the fiscal years 1961, 1962, 1963, and 1964. Twelve units were begun in FY 1960 and completion of the program is scheduled in FY 1965 with the construction of 88 apartments.

Point 4. Meetings have been and are being held here to consider the various plans and proposals that have been developed for construction and financing of 500 housing units in Panama for Canal Zone employees. It is understood that the Development Loan Fund is presently entertaining a proposal for a guarantee to private capital interested in financing this project.

Point 5. The Panama Canal Company has advertised for bids for the construction of a new water main and contracts will be let in the near future, following the opening of the bids.

Point 6. Effective July 1 the rate at which water is sold to the Government of Panama for distribution in the cities of Panama and Colon was reduced from approximately [illegible] cents to 7.5 cents for the first 100,000 cubic feet and to 7 cents for additional units of this amount.

Point 7. Legislation enacted by the United States Congress was signed by the President on July 14, 1960, granting \$10.00 per month increase in cash relief payments effective as of July 1, 1960.

Point 8. Salaries of teachers in the Canal Zone Latin American School system were increased 10 percent effective May 1, 1960.

⁴ A copy of McCabe's letter of August 15 to Senator Green is attached to the source text, but not printed.

Point 9. A continuing review at the highest levels of the list of jobs reserved for citizens of the United States has been undertaken by the U.S. agencies in the Canal Zone.

I hope that the foregoing information will satisfy your request as to the progress which has been made on the President's program.⁵

Kind regards,

Sincerely,

Edward A. McCabe

Administrative Assistant to the President

⁵ No evidence has been found to indicate whether McCabe signed this draft reply and sent it to Senator Green.

PM-52. Memorandum of Conversation, by the Under Secretary of State for Political Affairs (Merchant)¹

Washington, September 1, 1960

SUBJECT

Various Problems Relating to Panama Including the Flag Issue

PARTICIPANTS

The President

Secretary of State Herter

Major General Wilton B. Persons, Assistant to the President

Livingston T. Merchant, Under Secretary of State for Political Affairs

Wilbur Brucker, Secretary of the Army

George H. Roderick, Assistant Secretary of the Army

Lt. Col. John S. Eisenhower, Assistant Staff Secretary

(The attached memorandum for the President² which had been intended to be jointly signed and jointly presented to the President by the Secretary and Governor Brucker as being reflective of the talk yesterday between Messrs. Herter and Brucker, was not given to the President in light of Governor Brucker's unwillingness, expressed just prior to going into the President's office, to concur in item IV "Flying

¹ Source: Department of State, Central Files, 611.19/9-160. Top Secret. The meeting began at 9 a.m.

² The memorandum intended for the President is not printed.

of the Panama Flag in the Canal Zone.” Accordingly, it was used by Secretary Herter in his presentation.)

The Secretary of State informed the President that agreement had been reached with Secretary Brucker that the Department of State will be represented on the Board of Governors of the Panama Canal Company at the Under Secretary of State level, the first appointment to be made when the next vacancy appears. He said that they had further agreed that each nomination would be a matter for consultation between the two Secretaries. Governor Brucker confirmed this agreement and, after a brief discussion of the topic, the President gave his approval.

The Secretary of State then informed the President that he and Governor Brucker had agreed it was neither necessary nor desirable to attempt at this time to establish the principle that future Governors of the Canal Zone should be civilians. The President remarked that 30 years ago the defense of the Canal Zone was the most important element in our relations but that with the development of missiles this factor was no longer controlling. Hence his general thought was that whereas the management should be in the hands of engineers the Governor should be a civilian. He agreed, however, that any such decision should be deferred at this time and left to the next President.

The Secretary of State then reported his agreement with the Secretary of the Army for the establishment of the primacy of the United States Ambassador over the Governor of the Canal Zone in matters affecting the relations between the United States and the Republic of Panama or any other nation. He indicated, and the Secretary of the Army concurred, that they had reached agreement on a draft letter to be sent by the President to the Secretary of the Army confirming this relationship.³ He also mentioned that the relationship of the Ambassador to CINCARIB would be worked out promptly in the future by himself with the Secretary of Defense and their agreement thereafter referred to the President. The President indicated his approval.

The Secretary of State then raised the question of the flying of the Panama flag in the Canal Zone. The Secretary said that, whereas Governor Brucker did not wholly agree with him, he believed that the Panama flag should be flown daily with the American flag in the plaza called Shaler’s Triangle in the Canal Zone opposite the Panamanian Legislative Building, with both flags raised and lowered by U.S. personnel only. He said that this act should be announced with the statement that the flag was being flown as an act of grace on the part of the United States in recognition of our friendship for the Panamanian people and our recognition that titular sovereignty resided in Panama. It should likewise clearly be stated that this unilateral act did not modify in

³ A copy of the draft letter was attached to the memorandum intended for the President.

any way our treaties in force with Panama. The Secretary added that he believed Secretary Brucker, who would wish to speak to this point, thought the flag should be flown, if such was the President's decision, only on national holidays. The Secretary went on to say that time was important since agitation was beginning to build up on the issue in Panama, looking toward their national holiday on November 3, and it was important that the decision on our part should not be announced under circumstances of any apparent pressure on us. The Secretary indicated also that we should simultaneously start flying our flag daily in front of our Embassy. He concluded by pointing out that the so-called Gross Amendment to the Department of Commerce appropriations bill prohibited the use of such funds for the erection of flag poles for this purpose and recommended that the necessary funds for construction be provided from the President's own special projects fund.

The President said that he thought only jingoistic criticism in this country would be aroused by this act on our part, and he saw no reason for being deterred. He admitted that there was some merit to the argument that if we flew the flag the Panamanians would interpret this as a concession on our part and demand further concessions from us. He felt strongly, however, that it was the right thing to do and said he would welcome the opportunity to defend the decision under political attack. He mentioned, however, his strong belief that we should fly our flag daily at our Embassy and that the Panamanians should understand in this general connection that we would do so. On the question of frequency of flying, he said he thought that if it were flown on holidays the principle was thereby established, and that there was no reason why it should not be flown on a daily basis.

Governor Brucker then launched a long argument against flying the Panamanian flag under any circumstances. At the outset he noted that in his view it would be undesirable to give them any implication that we would be trading our right to fly our own flag at the Embassy for the flying of the Panama flag in the Canal Zone since this would look like a reciprocal agreement and not a voluntary act of grace on our part. (The President agreed on this point.) The Governor stated that newspaper editorials throughout the country were running 20 to 1 against the flying of the flag. He referred to the Gross Amendment and Selden Resolution⁴ in the House. He thought that the injection of this issue in the campaign in this country this fall would be emotional and

⁴ On January 18, 1960, Representative Armistead I. Selden, Jr., (D-Ala.) introduced a Concurrent Resolution in the House of Representatives expressing the sense of the Congress that any variation in the traditional interpretation of the treaties between the United States and the Republic of Panama should become treaty items requiring the approval of Congress. After full debate in the House of Representatives on February 2, 1960, the Resolution was approved by a roll call vote of 381 to 12. For the debate as well as the text of Concurrent Resolution 459, see *Congressional Record*, 86th Cong., 2d Sess., vol. 106 (pt. 2), pp. 1798–1809.

divisive. He concluded by saying that if it were decided to fly the flag he thought emotions would be minimized both in the United States and in Panama by flying it only on holidays.

There followed a prolonged discussion pro and con in which General Persons and Mr. Merchant also participated.

The President at the conclusion of the discussion decided as follows:

(1) The Panamanian flag should be flown together with the American flag in Shaler's Triangle on Panama's Independence Day, November 3, and on other days of special significance to Panama and to the United States. The United States flag would not fly in that place except on days the Panamanian flag was flown. Two flag poles would be erected (the source of funds was left undecided), but no elaborate steps at this time would be taken to create a formal plaza.

(2) The decision should be announced as late in the fall as it was deemed possible to do without risking the building up of public pressures in Panama for agitation on the issue. September 20 was suggested as the general time period in which this condition might be met.

(3) The announcement should be made by the Governor of the Canal Zone in a public statement to the press to the effect that the President had approved the flying of the Panama flag with the American flag on holidays and other days of special significance to Panama and to the United States. The Panamanian Government would be informed by formal note of this forthcoming statement two hours or so before it was given to the press. An announcement before October 1 was desirable in order to avoid the implication that this was an action directly tied to the inauguration of a new President in Panama. (Theodore Roosevelt's birthday on October 27 was incidentally mentioned as one day suitable for flying of the flag.) Discretion was left to the Secretary of State as to the determination of the date for the announcement but the President requested that he be given adequate advance warning before such an announcement was made.

(4) A statement elaborating on and justifying the announcement should be prepared by the State Department and furnished the White House for Mr. Nixon's and Mr. Lodge's use if questions arose after the announcement during the course of the election campaign.

(5) The American Ambassador in Panama should promptly institute the practice of flying the U.S. flag in front of the U.S. Embassy without reference to or other connection with the impending action on the flying of the Panamanian flag.

**PM-53. Telegram from the Secretary of State to the Embassy
in Panama¹**

Washington, September 6, 1960, 8:50 p.m.

120. No Distribution Outside Dept. Eyes Only for Ambassador.

Re DEPTTEL 111.²

Following for your personal information only is summary of decisions reached Sept 1 at White House meeting attended by President, The Secretary, Secretary of Army and others:

1. President approved Dept State representation on Board of Governors of Panama Canal Company at Under Secretary of State level, the first appointment to be made when next vacancy occurs. Each nomination is to be matter for consultation between Secretary of State and Secretary of Army.

2. President decided that no decision would be made at this time on establishment of principle that future governors should be civilians, both Secretaries having indicated their agreement it neither necessary nor desirable so to determine at this time.

3. President approved concept of establishment of primacy of Ambassador over Governor in foreign affairs matters and agreed that relationship of Ambassador to CINCARIB was a matter to be worked out promptly between Secretary of State and Secretary of Defense in consultation with him. FYI Draft letters on these two items are now in preparation. End FYI

4. With respect to the Panamanian flag, the President determined as follows:

(a) The Panamanian flag should be flown together with the U.S. flag at Shaler's Triangle on such days as November 3 and on other days of public significance to Panama and to the U.S. U.S. flag would not fly there except on days the Panamanian flag was flown. Two flag poles would be erected (the source of funds was left undecided) but no elaborate steps at this time would be taken to create a formal plaza.

(b) This decision should be announced as late in the fall as it was deemed possible to do without risking the building up of public pressures in Panama for agitation on the issue. September 20 was suggested as the general time period in which this condition might be met.

(c) The announcement should be made by the Governor in a statement to the press to the effect that the President had approved the flying of the Panamanian flag with the American flag on holidays and

¹ Source: Department of State, Central Files, 719.04/9-660. Top Secret; Eyes Only. Drafted by Merchant and Long, approved by the Secretary, and initialled by Merchant.

² Not printed; 719.04/9-160.

other days of special significance to the two countries. Panamanian Govt would be informed by formal note of this forthcoming statement two hours or so before it was given to press. An announcement before October 1 was desirable in order avoid implication that this was an action directly tied to inauguration of new Panamanian president (Theodore Roosevelt's birthday on October 27 was incidentally mentioned as one day suitable for first flying the flag).

5. President also approved the practice of flying U.S. flag daily in front of Chancery without reference to or other connection with impending action on the Panama flag.

You are requested not to take any action on 1 through 4 above decisions until further instructions. We shall soon be transmitting to you for comment drafts of a press release and note on the flag.

You should not consult with Governor or CINCARIB on these matters until further notice.³

Herter

³ On September 8, Ambassador Farland expressed his concern that the Department of State's proposals contained in paragraph 4 (c) would, if carried out, enable the Communists and ultra-nationalists to characterize the decision to restrict the flying of the Panamanian flag with the American flag at one designated Canal Zone location as a half measure adopted begrudgingly. Farland believed that the proposal failed to meet the official Panamanian request for a regular display of the flag in the Canal Zone and would only serve to aggravate the situation and to perpetuate the issue as a source of agitation. (Telegram 132 from Panama City; 719.04/9–860)

On September 9, Maj. John Eisenhower telephoned Merchant to express his concern with the contents of telegram 132 from Panama City. He stated his belief that Ambassador Farland's arguments were persuasive, and that he intended to show the telegram to the President. (Memorandum of Telephone Conversation, by Merchant, September 10, 1960; 719.04/9–1060)

PM-54. Memorandum from the Secretary of State to the President¹

Washington, September 8, 1960.

SUBJECT

Relationship Between the Chief of the United States Mission in Panama and the Governor of the Panama Canal Zone

At the meeting in your office on September 1st Secretary Brucker and I indicated our agreement on the primacy of the Chief of the United States

¹ Source: Department of State, Central Files, 611.19/9–1260. Secret. Drafted by Long.

Mission in Panama over the Governor of the Panama Canal Zone in matters affecting the relations between the United States and the Republic of Panama or any other nation. We said further that we would submit for your consideration draft letters to be sent by you to each of us confirming this relationship. I enclose for your consideration these draft letters.²

Secretary Brucker concurs in this memorandum.

CHRISTIAN A. HERTER
Christian A. Herter

[Enclosure 1]

Draft of a Letter from the President to the Secretary of the Army (Brucker)³

Dear Mr. Secretary:

It is my desire that there should be clarification of the relationship between the Chief of the United States Diplomatic Mission in Panama and the Governor of the Panama Canal Zone in matters affecting the relations between the United States and the Republic of Panama or any other nation.

I therefore direct that in the exercise of his functions the Governor of the Canal Zone shall consult with the Chief of the United States Diplomatic Mission in the Republic of Panama on all matters which may have foreign affairs implications, and with respect to such matters shall be guided by the foreign policy considerations set forth by the Chief of the United States Diplomatic Mission in the Republic of Panama. In the event of their failure to agree with respect to any proposed action to which the chief of the United States Diplomatic Mission in the Republic of Panama shall object for reasons of foreign policy, such action shall be deferred pending a mutual decision thereon by the Secretary of the Army and the Secretary of State.

I would appreciate it if you would issue appropriate instructions to the Governor of the Panama Canal Zone.

I am sending a copy of this letter to the Secretary of State for his information.

Sincerely yours,

² On September 12, the President signed and transmitted the texts of these letters to Secretary of State Herter and to Secretary of the Army Brucker. (Eisenhower Library, Whitman File, Dulles-Herter Series)

³ Drafted by Long.

[Enclosure 2]

Draft of a Letter from the President to the Secretary of State⁴

Dear Mr. Secretary:

I quote below a letter I have sent today to the Secretary of the Army on the question of the relationship between the Chief of the United States Diplomatic Mission in Panama and the Governor of the Panama Canal Zone:

"It is my desire that there should be clarification of the relationship between the Chief of the United States Diplomatic Mission in Panama and the Governor of the Panama Canal Zone in matters affecting the relations between the United States and the Republic of Panama or any other nation.

"I therefore direct that in the exercise of his functions the Governor of the Canal Zone shall consult with the Chief of the United States Diplomatic Mission in the Republic of Panama on all matters which may have foreign affairs implications, and with respect to such matters shall be guided by the foreign policy considerations set forth by the Chief of the United States Diplomatic Mission in the Republic of Panama. In the event of their failure to agree with respect to any proposed action to which the Chief of the United States Diplomatic Mission in the Republic of Panama shall object for reasons of foreign policy, such action shall be deferred pending a mutual decision thereon by the Secretary of the Army and the Secretary of State.

"I would appreciate it if you would issue appropriate instructions to the Governor of the Panama Canal Zone."

Sincerely yours,

⁴Drafted by Long.

PM-55. Memorandum of Conversation, by the President's Staff Secretary (Goodpaster)¹

Washington, September 14, 1960.

MEMORANDUM OF CONFERENCE WITH THE PRESIDENT
September 12, 1960

Others present: Secretary Herter, General Goodpaster

¹Source: Eisenhower Library, Whitman File, Eisenhower Diaries. Secret.

[Here follows a discussion of the President's address which he was to deliver on Sept. 22, 1960, to the 15th General Assembly of the United Nations; a report about Under Secretary of State Dillon's activities in Bogotá at the third meeting of the Special Committee of the Council of the Organization of American States to study the formulation of new measures of economic development; a further consideration of other matters pertaining to the arrival of certain chiefs of state and heads of government in New York for the 15th General Assembly of the United Nations; and a report on the situation in the Congo and measures that the United States should undertake at the United Nations in connection with the crisis.]

Mr. Herter next brought up the question of the Panamanian flag. He referred to the message which Ambassador Farland had sent,² and also said he had received a letter from Chester Bowles³ regarding the possibility of trouble on October 3rd. The President had read the message from Ambassador Farland. He asked Mr. Herter to get in touch with Secretary Brucker and tell him that although the President had agreed on the solution of flying the Panamanian flag on selected holidays, he had not thought it was really the right one. He now felt that the decision should be taken to fly the flag all the time. He said he thought we should just do this and not announce it in advance or tell anybody about it. Mr. Herter said he had planned to have the Panamanians told two hours or so in advance, and would suggest having the flag put up on about September 29th. The President asked for my reaction. I told him that I thought flying the flag was appropriate evidence of "titular" sovereignty; that if it is flown it should be flown constantly, and not as an "act of grace" on ceremonial occasions; that the decision should be taken to do this, that it should be done soon, preferably within a matter of a few days and certainly in no more than a week since word of the decision would inevitably leak out of the departments concerned, that there should be no advance announcement. Mr. Herter said one of the problems is the legislative bar against defense funds to put up a flag pole. Mr. Herter suggested the cost could be met out of the President's Special Projects Fund. I told the President I was not sure this would be an appropriate source of funds, but that there seemed to be no doubt that funds could be found somewhere to pay these costs. After discussion the President agreed that Governor Brucker should be told to put up the poles (or modify existing poles) and then look for the funds.

² See Document PM-53, footnote 3.

³ Not found.

[Here follows a discussion of whether the President should attend the meeting of the North Atlantic Council in Paris in December.]

A.J. Goodpaster⁴
Brigadier General, USA

⁴ Goodpaster initialled the source text.

PM-56. Letter from the Secretary of State to the Secretary of Defense (Gates)¹

Washington, September 14, 1960.

Dear Tom:

I think you are aware of recent discussions Wilber Brucker and I have had concerning clarification of the relationship between the Chief of the United States Diplomatic Mission in Panama and the Governor of the Canal Zone in matters affecting the relations between the United States and Panama. On September 12th the President directed Wilber to issue appropriate instructions in this regard.²

At a meeting at the White House on September 1st I mentioned to the President that I wanted, in a similar vein, to discuss with you the relationship of the Chief of the United States Diplomatic Mission in Panama to the Commander-in-Chief of the Caribbean Command (CINCARIB). The President agreed that it would be useful for the two of us to come to an agreement on the matter if possible.

I therefore suggest for your consideration the following draft language which the President, as he did with Wilber and me on the Governor-Ambassador relationship, might send the two of us on the CINCARIB -Ambassador relationship:

"In the exercise of his functions the Commander-in-Chief, Caribbean Command, shall consult with the Chief of the United States Diplomatic Mission in the Republic of Panama on all operations and activities of his headquarters which may have foreign affairs implications affecting relations between the United States and the Republic of Panama, and with respect to such matters shall be guided by the foreign policy

¹ Source: Department of State, Central Files, 611.19/9-1260. Secret. Drafted by Long.

² See Document PM-54, footnote 2.

considerations set forth by the Chief of the United States Diplomatic Mission in the Republic of Panama. In the event of their failure to agree with respect to any proposed action to which the Chief of the United States Diplomatic Mission in the Republic of Panama shall object for reasons of foreign policy, such action shall be deferred pending a mutual decision thereon by the Secretary of Defense and the Secretary of State."

If you agree with this draft, I would suggest that we two send a memorandum to the President requesting his approval and suggesting he issue us confirming instructions. If you have difficulty with this, I would be delighted to discuss the matter with you.³

With warmest personal regards,
Most sincerely,

Christian A. Herter

³ According to a memorandum dated December 22, 1960, from Thomas C. Mann, the Assistant Secretary of State for Inter-American Affairs, to Under Secretary of State for Political Affairs Merchant, the Department of State was still awaiting a reply to this letter from Secretary of Defense Gates. (ARA/PAN Files, Lot 65 D 176, "Policy—Panama 1960")

PM-57. Telegram from the Acting Secretary of State to the Embassy in Panama¹

Washington, September 15, 1960, 4:40 p.m.

133. Eyes Only Ambassador.

The President has determined that the Panamanian flag will be flown together with the U.S. flag on a daily basis in Shaler's Triangle, this action to be initiated as soon as possible.

If you see no overriding objection to following schedule, Dept suggests:

1. At 9:00 a.m. EDT/ Sept 17th you will deliver to the Panamanian Foreign Office the note quoted in Part 1 of Deptel 134² and the Dept will at the same hour deliver to the Panamanian Embassy in Washington the note quoted in Part 2 of Deptel 134.

¹ Source: Department of State, Central Files, 719.04/9-1560. Secret; Niact. Drafted by Long and Merchant on September 14, approved by Herter, and initialled by Long.

² See Document PM-58.

2. At 11:00 a.m. EDT/ September 17th you will issue the statement quoted in Part 3 of Deptel 134.

3. FYI/ Concurrently, the White House will issue parallel statement, text of which will be cabled for your info when available.

4. FYI / As soon thereafter as physically possible, i.e., as soon as flag poles can be erected and Shaler's Triangle suitably neatened, hopefully following day but certainly before October 1st, the flags will be flown.

5. FYI. The flags will be raised and lowered by U.S. personnel only.

6. FYI. The modest costs incurred for flag poles, etc., will be met through special funds. A clarifying message on this will follow shortly. END FYI

Re 4, 5 and 6, Dept Army instructed Governor of Canal Zone by separate message.³

In absence serious objection your part, in which case cable NIACT, you are instructed immediately to inform the Governor of your instructions. You should also inform CINCARIB, stressing to both necessity holding in confidence till public announcement. You may inform them these instructions have White House concurrence.

Please comment urgently on the drafts sent in DEPTTEL 134.

Dillon

³Not found.

PM-58. Telegram from the Acting Secretary of State to the Embassy in Panama¹

Washington, September 15, 1960, 4:40 p.m.

134. Eyes Only Ambassador. Re Deptel 133.²

"Excellency: I have the honor to refer to the desire heretofore expressed by the Government of the Republic of Panama to have the Panamanian flag flown in the Canal Zone.

I am pleased to state that, after the highest consideration by my Government, I am instructed to inform you that as a further reflection of

¹ Source: Department of State, Central Files, 719.04/9-1560. Secret; Niact. Drafted by Long on September 14, approved by Herter, and initialled by Long.

²See Document PM-57.

the genuine friendship existing between our two Governments and peoples, my Government has determined that as a voluntary act on the part of the United States, and in recognition of the titular sovereignty residing in the Republic of Panama with respect to the Canal Zone, the Panamanian flag will hereafter be flown together with the United States flag on a daily basis in the area known as Shaler's Triangle in the Canal Zone. This determination is in nowise to be considered as modifying in any way the treaties and agreements in force between the United States and Panama.

"Accept, Excellency, the renewed assurances of my highest consideration."

Excellency: I have the honor to refer to the Panamanian note No. D-1011, of November 25, 1959,³ delivered to me by your predecessor. His Excellency, Ricardo M. Arias, stating it to be the aim of the Government of Panama to have the Panamanian flag raised regularly in the territory of the Canal Zone and also stating the view that Panama, under existing treaties, has "merely accorded" to the Government of the United States "the rights, power, and authority required by the United States for purposes of maintenance, operation, sanitation, and protection of the Canal".

After careful consideration, I must inform your Excellency that the Government of the United States cannot agree with, and must reject, the position of the Panamanian Government just quoted and contained in the note under reference.

However, I am pleased to state that—as you may be aware—the United States Ambassador to the Republic of Panama has today informed His Excellency, Miguel J. Moreno, Jr., Minister of Foreign Relations of Panama, that as a further reflection of the genuine friendship existing between the Governments and peoples of our two countries, the Government of the United States has determined that as a voluntary act on its part, and in recognition of the titular sovereignty residing in the Republic of Panama with respect to the Canal Zone, the Panamanian flag will hereafter be flown together with the United States flag on a daily basis in the area known as Shaler's Triangle in the Canal Zone. This determination is in nowise to be considered as modifying in any way the treaties and agreements in force between the United States and the Republic of Panama.⁴

³ Not printed; 729.00/11-2559.

⁴ Commenting on the text of this note in telegram 152 from Panama City on September 16, Ambassador Farland informed the Department of State that Foreign Minister Moreno was in Mexico until September 18 or 19 and recommended that his name be deleted from the note and be replaced with that of Rodrigo Miro, the Acting Foreign Minister. (719.04/9-1660)

Accept, Excellency, the renewed assurances of my highest consideration."

"I am happy to announce that President Eisenhower has, as a voluntary and unilateral decision on the part of the Government of the United States, approved the flying of the flag of the Republic of Panama together with the United States flag on a daily basis in Shaler's Triangle in the Canal Zone. This decision is in reflection of the genuine friendship that exists between our Governments and peoples, and symbolizes the close ties that unite us."

PM-59. Telegram from the Ambassador in Panama (Farland) to the Department of State¹

Panama City, September 17, 1960, 1 p.m.

156. President informed and note delivered simultaneously Acting Foreign Minister 9:00 EDT. President elect Chiari informed 10:35 EDT and statement issued press 11:00 EDT.²

President De la Guardia expressed great satisfaction U.S. decision, stating his faith in President Eisenhower and in latter's understanding Panama's problems had always been basis his firm belief flag issue would be favorably considered and resolved satisfactorily. President added he felt U.S. decision would assist create climate for discussions on subject construction sea-level canal which he foresaw a certainty near future. He expressed some worry over wording of note on grounds extremist elements might seize upon try make further trouble but did not specify that which created concern. Embassy believes he had reference to statement that decision in nowise be considered as modifying treaties and agreements in force between U.S. and Panama.

President-elect delighted news and promised with flag issue out of way full cooperation re-establish friendly and cooperative atmosphere for moving ahead together. I took occasion point out primary obstacle to close and fruitful cooperation was communist subversion spearheaded now in Panama by Cubans. President-elect said his government prepared take action but information activities Cubans in Panama lacking

¹ Source: Department of State, Central Files, 719.04/9-1760. Secret; Niact.

² For the text of the White House press release, see the Department of State *Bulletin*, October 10, 1960, p. 558.

and help from us this regard would be valuable. Initial reaction of diplomatic corp highly favorable.

Discussions with Carter have been cooperative. Flags will be flown on or before September 20. Carter desirous formal but simple flag raising ceremony with President De la Guardia in attendance. Instructions in this regard desired at once.³

³ In telegram 142 to Panama City, September 17, the Department of State notified Ambassador Farland that it approved of a formal but simple flag raising ceremony with President de la Guardia in attendance, provided that Farland and Gov. Carter agreed on the details and plans and provided that United States personnel carried out the flag raising and other physical duties connected with the ceremony. (719.04/9-1760) In telegram 162 from Panama City, September 21, Ambassador Farland reported that the Panamanian and American flags had been raised at 10 a.m. that morning in Shaler Triangle in a simple but appropriate ceremony attended by Panamanian Foreign Minister Moreno and other officials of the Foreign Office, members of the Cabinet, and the Commander of the National Guard. (719.04/9-2160)

PM-60. Memorandum from the Deputy Assistant Secretary of State for Inter-American Affairs (Mallory) to the Acting Secretary of State¹

Washington, September 23, 1960.

SUBJECT

Ceremony on Occasion of Initial Flying of Panamanian Flag in Canal Zone.

This paper is in response to your oral request of this morning for the background on the decision to hold a ceremony on the occasion of the initial flying of the Panamanian flag in the Canal Zone.

The actual genesis of the concept of a ceremony is not clear but Ambassador Farland reported on September 17 that Governor Carter was desirous of a "formal but simple flag raising ceremony with President de la Guardia in attendance" and he requested instructions in this regard. (Tab A).²

¹ Source: Department of State, ARA/PAN Files, Lot 65 D 176, "Relations-Panama July 1960." Secret. Drafted by Sharp. The source text is an uninitialled carbon copy.

² Not attached to the source text. The document at Tab A, telegram 156 from Panama City, September 17, is printed as Document PM-59.

The Department approved such a ceremony subject to agreement between the Governor and the Ambassador on the procedure and that all physical duties involved be carried out by U.S. personnel. (Tab B).³

Ambassador Farland on September 20 recommended that President de la Guardia be invited to raise the Panamanian flag at the ceremony, (Tab C)⁴ but the Department turned down that recommendation on the grounds that (a) it would be a precedent for the possible further exercise of sovereign rights in the Zone by Panama thus prejudicing our treaty position and (b) would expose us to even greater Congressional and public criticism in this country than that to which we have already been subjected. The Department did, however, authorize a ceremony, the extent of which was left to Ambassador Farland's discretion. (Tab D).⁵

Notwithstanding the genesis of the decision, it appeared that the initial display of the Panamanian flag with ours in the Canal Zone as a symbol of Panama's titular sovereignty, would require some formal ceremony were it to have the desired impact on Panamanians, for a routine raising without any note being taken of the event, could well be interpreted as an off-hand and rather ungracious performance of an act, which was intended to have emotional impact.

³ Not attached to the source text. For a summary of the document at Tab B, telegram 142 to Panama City, September 17, see Document PM-59, footnote 3.

⁴ Not attached to the source text. The document at Tab C, not printed, was telegram 160 from Panama City, September 20; 719.04/9–2060.

⁵ Not attached to the source text. The document at Tab D, not printed, was telegram 144 to Panama City, September 20; 719.04/9–2060.

PM-61. Editorial Note

On October 1, 1960, Dr. Roberto Chiari, the victor in Panama's presidential elections held on May 8, 1960, was sworn in as President of Panama for a four-year term. In his inaugural speech President Chiari expressed gratification at the United States' recognition of Panama's titular sovereignty over the Panama Canal Zone, but at the same time he maintained that the United States had not complied fully with the terms of the treaties covering Canal Zone operations. He was optimistic, however, that the United States' recognition of Panama's titular sovereignty foreshadowed a new era of good relations that would enable the two nations to find practical solutions to existing problems. Documentation concerning President Chiari's inauguration is in decimal file 719.11.

PM-62. Editorial Note

In an exchange of notes on October 31, 1960, between Joseph S. Farland, the American Ambassador in Panama, and Galileo Solís, the Panamanian Minister of Foreign Relations, the United States Government and the Republic of Panama concluded an agreement that entered into force on October 31, 1960, whereby the Canal Zone Government and the Republic of Panama established procedures for the reciprocal recognition of motor vehicle operator's licenses. For the texts of the notes exchanged, see 12 UST 301. Documentation concerning the negotiation of this agreement is in decimal file 611.1913.

PM-63. Memorandum from the Director of the Executive Secretariat (Stoessel) to the President's Staff Secretary (Goodpaster)¹

Washington, November 2, 1960.

SUBJECT

Recent Developments in U.S. Economic Assistance to Panama

Under Secretary Dillon has suggested that the President might be interested in recent developments concerning United States economic assistance to Panama. At his request, the enclosed brief summary has been prepared which, if convenient, you may wish to bring to the attention of the President.

Walter J. Stoessel, Jr.

[Enclosure]

**RECENT DEVELOPMENTS IN U.S. ECONOMIC ASSISTANCE
TO PANAMA**

Upon the recommendation of all interested agencies, on October 31 Under Secretary Dillon approved an allocation from FY 1961 Contingency Funds of \$6.0 million for emergency assistance to Panama, of which \$5.0 million is to be a fifteen year loan to help the recently

¹ Source: Department of State, Central Files, 719.05/11-260. Confidential.

inaugurated government of President Chiari in facing a serious current budget problem. The balance of \$1 million is to be used to initiate several small social development projects of rapid visual impact.

Other recent U.S. economic assistance to Panama includes a \$5.3 million loan by DLF, part of a \$14.5 million program for farm-to-market roads, and a \$2.5 million loan for low cost housing in Panama, thus implementing the last of the Nine Points in the President's Program, announced on April 19, to improve our relations with Panama.

Several sources report that current accounts due and payable by the Panamanian Treasury amount to about \$16 million with no cash position. Arrearages have been running at the rate of about \$1 million per month. These deficits can be attributed to fiscal irresponsibility on the part of the previous regime.

The new administration came to power in orderly fashion on October 1. President Chiari has come out for an austerity program, recognizes the urgent need for socio-economic reforms and advocates the diversification of the economy away from its present overdependence on the Canal Zone. Chiari is against Communism, is anti-Castro, has praised ICA and the President's initiative for a Latin American social and economic development program. Thus far, at least, he seems more interested in promoting a peaceful socio-economic evolution for his country, rather than seeking further economic concessions from our presence in the Canal Zone.

The ability of the Chiari Government to survive over the next six months and carry out badly needed administrative and budgetary reform depends upon an immediate infusion of financial assistance to restore fiscal order in the budget and a greater measure of liquidity in the nation's banks. Should the present government fall, social and political chaos would most likely follow. A successor government might well be a Castro-oriented or -inspired regime with Communist leanings; a government which in view of our long range strategic interests there, would undoubtedly constitute a serious threat to the maintenance of our presence in Panama.

Our relations with Panama have improved steadily since the unfortunate violence of a year ago as a result of the new Canal Zone procurement policies, the President's Nine Point Program, the flag decision, and the efforts of the newly appointed principal United States representatives in the area. The Chiari regime, if it can survive its current financial crisis, offers hope for political stability, peaceful socio-economic evolution, and a friendly and reasonable relationship with us, all necessary to the attainment of our Isthmus policy objectives.

Paraguay: U.S. Relations with Paraguay

PA-1. Letter from the Ambassador in Paraguay (Ploeser) to the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Asuncion, March 21, 1958.

Dear Dick:

It is generally understood that Paraguay is certainly in a transitional period. Paraguayan politics, as you know, are rarely dull.

At the moment, the Colorado Party has a factional fight, and the Liberals and Fehreristas and elements of the Catholic Church are all showing activity which tends to cause unrest and uncertainty. In each of these segments of activity, we find active support of the Communist groups, even in the case of the Priest Ramón Talavera. He has had among his principal advisors a well-known Communist, Miguel Chasse Sardi. These have all been reported to the Department, and there will be more to come. All of this puts the political sagacity and astuteness of President Stroessner to the supreme test.

It is our opinion here that any disorderly change in the Government might, at least for a substantial period, be an open door for Communist infiltration of the government, and that the Communists, by their infiltration technique, are in a position to act quickly. The Stroessner government believes, and so do we, that there are some Communists who have already infiltrated. While we have some suspicions as to who they may be, the Government of Paraguay is not always in a position to have documentary proof or adequate evidence to make a dismissal in the face of opposition to such dismissal. The pattern has been clear in certain instances. The action of the President in some of his very important decisions shows a total unwillingness to yield to the influences of these people.

¹ Source: Department of State, Rubottom Files, Lot 60 D 553, [illegible in the original]. Secret; Official-Informal. The source text is a carbon copy bearing [illegible in the original] Ploeser's typed signature, [illegible in the original]: "[illegible in the original] sent [to] USA [?] for reply."

President Stroessner [*text not declassified*] has supported our Government in three important aspects:

First, he has refused to recognize the Soviet or any of the Iron Curtain countries, and in this refusal has carried it to the extent that any and all of their missions or individual visitors have been refused visas. This has been true during my experience.

Second, he has given us consistent support in international organizations, even when this has put him at certain times in sharp opposition to some of his Latin American neighbors.

Third, he has supported the stabilization program instituted by the International Monetary Fund and supported by the U.S. Treasury. He has done this in critical moments against the opposition of influential members of his own cabinet and the military. Since the first of November, the exchange rate of the guaraní to the dollar has not varied more than one point.

In addition, he has assured my deputy, Ralph Hilton, and myself upon the occasion of our last visit, that the program for his next term of office is one of gradual democratization of Paraguay. This is good to hear, but we are well aware of the lack of tradition of democracy in Paraguay and of the questionable readiness of the people for full democratic government.

It seems to be our interest to do those things which will maintain a stable government in Paraguay. [*text not declassified*] This is my policy, within the framework of our basic policy documents relating to this hemisphere. When I use the first person, I do it only on the assumption of my responsibility. This Embassy which is operating in complete agreement, based upon its individual and collective opinions, works as a team.

There are several things we could do which could in no way put the U.S. in an embarrassing position but which would certainly demonstrate our friendship for the people of Paraguay and would be sound and durable economically under whatever government the future may bring. I think I state them in the order of their time importance and of our ability to do them.

If all the recommendations here could be authorized to this Embassy, we could bring about their announcement in their proper timing as only we can judge it.

The recommendations are:

(1) Authorizing DLF private loan sector two and a half million dollars credit to be extended through a local Development Loan Bank which would carry a label to indicate that these are American funds. This Development Loan Bank can be organized under the joint management of the two privately owned banks in Paraguay, the First National City of New York and the Bank of London & South America (British). The announcement should be made and such Development Loan Bank should be organized forthwith under private management for private

enterprise operation only. In my opinion, the government of Paraguay would give this their blessing.

(2) A grant which would complete the Chaco Road connecting Bolivia and Paraguay to be done as a U.S. gesture to the economic benefit of the two nations – Bolivia and Paraguay. This should be tied into the use of whatever funds are to be extended to Bolivia so that the road (a portion of the Pan-American highway) properly ties into the capital of Bolivia and the capital of Paraguay. Bolivia imports a substantial part of her food. Paraguay has fertile soil and could well feed many times its population. The economy of the two countries are in many ways complementary. They are also the only two land-locked nations in South America and should pose no problem to those in the Department who might be understandably concerned over the problem of precedence insofar as grant aid to Paraguay is concerned. This is an international, two-nation plan. I want to make clear that there is no present request on the part of Paraguay for grant aid or charity in any form. If we make such a grant, it should be done in adequate amount, in a manner to emphasize the international aspect, and with every precaution to avoid the appearance of being a reluctant giver. I am not talking about an exorbitant amount of money. I believe that with the start that has been made on the Chaco Road, with the help of the ranchers in the area and of the Mennonites, and with the use of the military, which is important, on the construction, that the amount would not be excessive. I would want to get these figures for you; perhaps \$5 million could accomplish what we want insofar as the Paraguayan end is concerned.

This gesture might well be timed with the Nixon visit,² probably just prior to his arrival so that he may take the bows when he gets here. This is particularly beneficial to Bolivia because it means cheaper food and a higher standard of living as a result. As it is now, I understand that most of Bolivia's food is imported from the Argentine, none competitively. While this would not be detrimental to the economy of Argentina, which has a worldwide market, it would be a new life line for Bolivia and Paraguay. Storm and the other solid people within the government of Paraguay are extraordinarily strong advocates of access to the Bolivian market and the use of Bolivian minerals.

(3) The quick approval of the public works program which we have presented to the DLF, (Additional supporting technical information is being prepared.) (a) The Brazilian road, (b) the Ayala-Oviedo road, (c) telecommunications. All three of these projects are of equal economic growth benefit and constitute the unlocking of Paraguay to other sections of the world – not Bolivia.

² Vice President Richard M. Nixon visited Paraguay, May 3-5, 1958, as part of a larger goodwill tour of South America. For documentation on the Nixon trip, see Documents BL-5-9, 12; CH-5; CO-9; EC-3-7; NI-4, 7; PA-1; PE-5-6, 8, 11; UR-23; VE-9-10, 13, 16, 22.

It is toward the accomplishment of our aims that we have political and economic stability in Paraguay. I believe with this little added effort, we can achieve great things for these two nations. I believe we will strengthen our defense against the Soviet efforts in this area.

These matters are respectfully recommended as matters urgent to our very important self interest.

With warmest personal regards, I am

Very sincerely yours,

Walter C. Ploeser

PA-2. Memorandum of a Conversation¹

May 4, 1958

¹Source: Department of State, Central Files. 3 pages not declassified.

PA-3. Memorandum from Jackson W. Wilson of the Office of South American Affairs to the Director of the Office of South American Affairs (Bernbaum)¹

Washington, May 26, 1958.

SUBJECT

Paraguay: Recommended Program

1. Political

Continue to maintain correct friendly relations with present regime but
a. avoid showing any special favor for leaders of Government themselves

b. emphasize U.S. friendship for Paraguayan people rather than for Government

¹Source: Department of State, Central Files, 611.34/5-2658. Confidential. Sent through the Officer in Charge of River Plate Affairs, Livingston D. Watrous.

Maintain policy of strict non-intervention in Paraguay's internal affairs, but

a. Encourage leaders of Government to move toward more democratic forms.

2. *Economic*

Continue to support Paraguay's stabilization program with financial assistance for sound development projects but with emphasis on finishing projects now under way.

Export-Import Bank Loans: Sympathetically consider applications for specific documented development projects with Paraguay's debt carrying capacity. Specifically, support Paraguay's request for additional \$917,500 to complete waterworks project.

Development Loan Fund: Support Paraguayan requests for loans to

a. cover local currency costs of Export-Import Bank projects already under way.

b. cover both dollar and local currency costs of a basic communications system and surfacing of road to Brazil.

c. cover dollar costs of expansion of electric power facilities at Asunción, Encarnación and Villarrica.

d. provide small dollar credits of developmental nature to business and industry through a development bank-type institution.

P.L. 480² Agreement: Support sale of surplus agricultural products to Paraguay when this will not interfere with normal marketings of other supplying countries.

² For the text of P.L. 480, the Agricultural Trade Development and Assistance Act of 1954, see 68 Stat. 454.

PA-4. Editorial Note

On July 10, 1958, the Export-Import Bank of Washington announced a \$1 million credit to Paraguay to finance installation of Asunción's first water supply system. An original \$7 million credit to Corporación de Obras Sanitarias de Asunción (CORPOSANA) was authorized in 1954 to provide a 15 million gallon-per-day water supply and distribution system for Asunción. The additional credit would enable CORPOSANA to purchase the necessary construction materials and equipment in the U.S. in order to increase the number of service connections, in the water system. Documentation concerning the subject is contained in ARA/EST Files, Lot 62 D 354, "Eximbank."

The United States and Paraguay on October 29, 1958, signed a loan agreement making \$2.5 million in development loan funds available for completion of an all-weather, rock-surface road in Paraguay known as the Route to Brazil, the funds to be used primarily for financing crushed-rock surfacing of the section between Coronel Oviedo and Puerto Presidente Stroessner. The agreement was signed by Ambassador Juan Plate for the Government of Paraguay and Robert B. Menapace, Acting Managing Director of the Development Loan Fund, for the United States. Pertinent documentation is located in ARA/EST Files: Lot 62 D 354, "DLF."

PA-5. Telegram from the Acting Secretary of State to the Embassy in Paraguay¹

Washington, September 18, 1958, 6:26 p.m.

59. Reference Embassy's despatch No. 111,² Department desires no effort be spared toward arresting further propagation views expressed by Foreign Minister. Implication that aid on FM's terms should be granted as reward for willingness stabilize currency and other measures in Paraguay's own self-interest, or to ease FM's political difficulties, represents fundamental misunderstanding entire economic development program. Playing east against west, and threat of policy change, are singularly inappropriate as basis for productive and progressive Paraguayan foreign policy. U.S. efforts help Paraguay already generous and FM's present tactics more likely handicap than encourage further help. Dept will make clear to FM, if opportunity occurs during

¹ Source: Department of State, Central Files, 834.00/9–1858. Confidential. Drafted by Clarence A. Boonstra, Deputy Director of the Office of East Coast Affairs, and Charles C. [illegible in the original], Officer in Charge of Paraguayan Affairs; initialed by Maurice M. Bernbaum, Director of the Office of East Coast Affairs. Repeated for information as telegram [illegible in the original] to New York for Assistant Secretary Rubottom, who was attending the thirteenth regular session of the U.N. General Assembly.

² The referenced despatch from Asuncion, September 9, 1958, transmitted a memorandum of conversation between Ambassador Ploeser and Paraguayan Foreign Minister [illegible in the original]. In the memorandum of conversation, Ambassador Ploeser stated that [illegible in the original] indicated that Paraguay was dissatisfied with the amount of aid it had thus far received from the United States, and expressed a desire for prompt additional aid amounting to \$25 or \$30 million. The Ambassador also stated that [illegible in the original] exhibited impatience with the notion that aid should be based on the soundness of the country's fiscal position, and implied that if the United States was not favorably disposed [illegible in the original] aid, Soviet bloc countries were [illegible in the original] in helping Paraguay. ([illegible in the original])

Washington visit,³ that unjustified insinuations and veiled threats are not repeat not conducive to cooperation toward solution Paraguay's economic problems. Meanwhile will appreciate cable summarizing your responses to FM on above aspects of his statements⁴.

ACTING

³ Rubottom met with [illegible in the original] in New York and later reported to Ambassador Ploeser in Paraguay that [illegible in the original] had expressed views similar to [illegible in the original] described in Embassy despatch 111, but that he has not pressed them in any objectionable way. Rubottom also indicated that he made no commitments to [illegible in the original]. (734.5-MSP/9-2658)

⁴ In telegram 61 from Asuncion, September 19, 1958, [illegible in the original] Albert S. [illegible in the original] responded that the Ambassador had repeatedly pointed out the generosity of the United States aid program in Paraguay and the importance of a sound fiscal policy. (734.5-MSP/8-1958) The Embassy's further response is printed as Document PA-6.

PA-6. Telegram from the Chargé in Bolivia (Carter) to the Department of State¹

Asunción, September 22, 1958, 10 p.m.

64. DEPTTEL 59.² Under Secretary Foreign Office³ today again referred GOP desire massive aid and cited news reports additional aid Bolivia and Bolivian Congress recommendation trade and diplomatic relations Russia. I took occasion emphasize all points reference telegram leaving no doubt our attitude. Emphasized our aid based GOP need, that aid Bolivia also aids Paraguay. Later in day confidant President Stroessner approached me same subject and I replied similar vein adding would be better if this new approach abandoned before going any further. He said he would report this back to President. My impression is conversations had sobering effect both individuals.

Carter

¹ Source: Department of State, Central Files, 734.5 MSP/9-2058. Confidential; Priority.

² [illegible in the original].

³ [illegible in the original].

PA-7. Memorandum of a Conversation¹

Washington, September 25, 1958.

SUBJECT

United States-Paraguayan Relations; the Paraguayan Foreign Minister Visits the Department.

PARTICIPANTS:

Dr. Raúl SAPENA Pastor, Paraguayan Foreign Minister
Dr. Juan PLATE, Paraguayan Ambassador to United States
ARA - Mr. R. R. Rubottom, Jr., Assistant Secretary of State for Inter-American Affairs

COPIES TO:

EST - Mr. Maurice M. Bernbaum, Director, EST, Bureau of Inter-American Affairs
EST/P - Mr. Charles C. Carson, Officer-in-Charge, Paraguayan Affairs

Following the usual pleasantries, the Minister and Mr. Rubottom alluded to their earlier friendship in the days when the latter was on duty at our Embassy in Asunción during World War II. Mr. Rubottom told the Minister that in the course of informal meeting of Latin American Foreign Ministers just ended² Secretary Dulles spoke to him of the Paraguayan chancellor in highly complimentary terms. This pleased the Minister immensely.

Getting down to business, the Minister said he wished “to lay all the cards on the table.” Mr. Rubottom cordially invited him to make himself at home.

The Minister said he was happy to note that general conditions in Paraguay today are quite good—both economically and politically. The national budget for the first half of 1958 had showed a surplus of some 150 million guaraníes, and although this did not represent a huge amount of money, the surplus was a sign of improved economic health. The Minister said that evidence of the nation’s economic advancement also appeared in the current annual report of the International Monetary Fund, a draft of which he had just read.

Politically, the Minister noted, the Stroessner Government is moving ahead in its determination to accommodate democratic processes in Paraguay: the Liberal Party had been allowed to hold a convention

¹ Source: Department of State, Rubottom Files, Lot 60 D 553, “Paraguay 1958.” Official Use Only. Drafted by Carsen on October 9. The source text is an uninitialed carbon copy.

² The Foreign Ministers of the American Republics conferred informally in Washington, September 23–24, to consider and approve measures to strengthen Inter-American economic cooperation. For documentation relating to the meeting, see Documents ETA-14, 48.

last July, and subsequently to reorganize itself throughout the country; municipal elections, with opposition participation, would be held soon; the electoral laws were to be liberalized; and constitutional reform would be carried out.

Mr. Rubottom commented that Mr. Herbert L. Matthews, editorial writer of *The New York Times* was planning to visit Paraguay for several days in mid-October. Mr. Rubottom suggested that Mr. Matthews' presence would afford an excellent opportunity for the GOP to demonstrate its sincerity about liberalizing the regime. Mr. Rubottom pointed out that the press of this country is wont to describe the GOP as one of the three remaining dictatorships in the hemisphere. Mr. Rubottom said that he knew the Paraguayans would accord Mr. Matthews their renowned hospitableness; but he hoped the government would also encourage Mr. Matthews to go beyond official circles and out among the people of Paraguay, and even among the political opposition. The Minister intimated that the GOP has nothing to hide, would warmly welcome Mr. Matthews and would be glad to have him know, and to publish the truth about, Paraguay. Mr. Rubottom said he thought that it would be extremely important to Paraguay at this juncture for it to become widely known that the GOP is seriously working to eliminate its authoritarian character.

The Minister noted that the August 15 inauguration of President Stroessner for a five-year term went off smoothly except for one discordant note which disappointed the President considerably. The opposition Liberal Party directorate had been invited to participate in the ceremonies. Instead of graciously accepting like good Paraguayans, or at least sending calling cards to the Presidential Palace, they had transmitted a long, rude, manifesto denouncing the Stroessner government. The Minister implied that while the government is ready to do its part toward establishing political harmony in the country, it cannot go far without the cooperation of the opposition.

Returning to economic matters, the Minister said that he wished to express, in behalf of President Stroessner and himself, Paraguay's heartfelt gratitude for what the United States has done to assist the country. However, Paraguay desperately needed, and had to have, more help. While remarkable economic progress had been achieved in recent years, Paraguay was still lacking adequate roads and river transportation facilities to get her products on the markets of the world. Besides acquiring better transport, the country also needs to increase production, and in order to do this its people must have farm implements, machinery, fencing material, silos, warehouses. Paraguay had every reason to be proud of its unfaltering effort, with U.S. aid and guidance, to carry out a currency stabilization plan. However, stable currency, desirable though it may be, is meaningless to the average

Paraguayan unless there is also visible and tangible economic progress. The Minister pointed out that, by using due-bills, or IOU's, the rural folk can and do manage somehow without any currency at all.

The Minister said that there should be no doubt in the mind of anyone that Paraguay stands solidly on the side of the United States and the West. He said that President Stroessner fully recognizes the fact that the United States is a friend of Paraguay and has helped her in many ways; but, in his anxiety to see his people enjoy better times, the President constantly asks his advisors why the United States is not willing to do more. The Minister said the President wanted him to repeat in Washington what he had said many times before: Paraguay would give the United States of anything she has, including air bases. (At this point, Ambassador Plate remarked that when he is asked about Paraguay's position in world affairs today, he replies, "Paraguay is the aircraft carrier of the Americas".)

The Minister said that Paraguay's anti-communist policy works against her. It is becoming increasingly difficult to explain to Paraguayan business people why they are not allowed to trade with communist countries. For example, an Asunción hardware merchant wishes to buy farm machinery from the United States, but cannot pay cash in dollars. A Polish manufacturer hears about this, and sends a letter offering a hundred tractors at an extremely low price, and on easy, long-term credit terms. What a blessing it would be if the merchant could get such attractive offers from the United States. Mr. Rubottom wondered about the good faith of the Polish offer; and the Minister seemed to agree that it might be questionable.

Mr. Rubottom indicated that it is not the practice of the United States to tell her friends among other sovereign nations whether they should or should not trade with the Sino-Soviet bloc. He suggested, however, that to his mind two important considerations are involved: (1) a nation's principles and (2) the question of whether relations with the communist world are in that nation's best self-interest. The Minister nodded assent, and pursued the matter no further.

The Minister then said he was constrained to mention Bolivia. Whereupon, he produced and read a telegram which President Stroessner had sent him urgently. The President noted that he had just learned with dismay that on the day after the Bolivian Government announced the United States would provide aid of \$26 million, a large part of which would be an outright grant, the Bolivian parliament approved a motion recommending that the government establish diplomatic relations with Soviet Russia. Paraguay, said the Minister, found it most difficult to understand this sort of thing.

Mr. Rubottom pointed out that there is no comparison between the current situation in Paraguay and Bolivia. He said that present day Bolivia has been likened to a cancer in the body of America; and that

it was to the interest of the entire hemisphere that the malignancy be speedily removed. Should Bolivia be permitted to fall into chaos and its evil effects spread, as they most surely would, Paraguay would probably be the first of Bolivia's neighbors to suffer. Mr. Rubottom suggested that Bolivia was to be pitied, rather than envied, by Paraguay. The Minister was in agreement with both observations. He went on, nevertheless, to note that following the Paraguayan-Bolivian war over the Chaco, the various nations participating in the settlement had agreed to help toward the economic recovery of both countries; but those which had actually contributed anything had given much more to Bolivia. He said the United States had been particularly generous to Bolivia, to the discomfiture of Paraguay. The Minister emphasized that Paraguayan-Bolivian relations are good at present. There remained, however, the question of a border settlement on the northwest boundary. The Paraguayans fear the Bolivians will cause trouble if oil is discovered in the Chaco. Therefore, the United States should try to understand Paraguayan alarm when the United States grants large-scale assistance to Bolivia—including arms.

Mr. Rubottom said that he was under the impression that the subject of arms to Bolivia was cleared up when Paraguayan officials mentioned it to him and other U.S. officials who accompanied Vice President Nixon on his South American tour last spring. Mr. Rubottom recalled that earlier this year the United States had given Bolivia an insignificant amount of military assistance, solely for internal security, and consisting only of technical advice and a handful of weapons for the Palace Guard. He said he would be glad to provide the Minister with precise data in the matter if he wanted it. The Minister declared that he himself believed what he had been told, and had only wanted to point out that the Paraguayan masses, who are not acquainted with the facts, are naturally disturbed when they hear of U.S. arms and large sums of money going into Bolivia. The thought of U.S. arms and money falling into the hands of irresponsible Bolivians such as Juan Lechin, the leftist labor leader, was particularly disturbing to Paraguayans.

Mr. Rubottom returned to the idea that Paraguay is not, and would not want to be, in the same position in which Bolivia finds herself. As for Bolivia's Lechin,³ he said he understood that his influence in Bolivian affairs had been on the wane for some time [and amounted to practically nothing at present.] Mr. Rubottom stressed that U.S. activities in behalf of Bolivia are solely for the purpose of helping a member of the Latin American community that has fallen into dire distress, and that to bring that country back to economic health and self-respect would mean strengthening the hemisphere, and indeed the free world, as a whole. With regard to any Paraguayan fears of an armed attack by

³ [illegible in the original].

Bolivia, Mr. Rubottom pointed out that under today's inter-American system we simply do not resort to arms as a means of settling divergencies. Mr. Rubottom found it incomprehensible that Latin American countries should ever again wage war against one another.

Turning again to Paraguay's urgent need for economic development, the Minister observed that hitherto the United States had adopted a strict banker's attitude when considering loans to Paraguay. Although the banker's attitude was understandable, it meant that the have-not countries can borrow practically nothing, while the have countries can go on unlimitedly borrowing and adding to their grandeur. The Minister thought that the United States lending institutions were a bit heartless in their dealings with Paraguay. He said the GOP is thinking in terms of a loan from the United States of some 25 to 30 million dollars

Mr. Rubottom said that it was now his turn to speak frankly. He began with a reference to the report Dr. Milton Eisenhower made to the President following his recent fact-finding tour of Central America.⁴ He said that foremost among Dr. Eisenhower's findings in the area visited was the need for bankable loans-not grants.

The Minister quickly replied that Paraguay is not at all interested in grant-aid, the very thought of which is repugnant to her. He spoke of the reputation Paraguay enjoys for paying her debts and of her intention to maintain her good name. She does not ask for charity. The Minister said he had not necessarily meant an immediate loan of \$30 million, but something approximating that sum to be spent over a period of time—perhaps on a five-year economic development plan. He then inquired about the possibility of the United States sending an economic planning mission to Asunción to make a complete survey of Paraguay's economy; to study her necessities; to find out what Paraguay is doing that is wrong; to suggest projects that might be undertaken, and generally to show the Paraguayans the pathway to some of the better things of life. Paraguay, he said, sorely need a well-ordered plan.

Mr. Rubottom indicated interest in the idea of such a mission and agreed, without making any commitment, to look into the feasibility of the United States sending one.

Mr. Rubottom told the Minister that Paraguay is not alone in her problems. He referred at some length to the multifarious problems confronting the United States, both at home and abroad, and suggested that relatively speaking, Paraguay's worries are no more severe than those

⁴ Apparent reference to the statement made by Milton Eisenhower and released by the White House upon his return from Central America on August 1; for text, see Department of State *Bulletin*, August 25, 1958, pp. 309–310. For documentation on Milton Eisenhower's trip, see Documents ETA-7; CO-1; CR-6-9; ES-2, 5-6; GT-8, 24; HO-3; NI-4, 7-9; PM-3; PA-7.

of this country. He mentioned the tremendous cost to the U.S. public of our foreign aid efforts since the last war and the fact that protests from the overburdened taxpayers are making it increasingly difficult as the years go by for the government to secure Congressional appropriations to continue the assistance programs. Mr. Rubottom stressed that we are together in the hemisphere and in the free world. He also stressed the gratitude which the United States feels toward Paraguay, a valued and respected partner, for her cooperation and support toward the realization of common ideals. Mr. Rubottom praised the high moral standards of the hard-working Paraguayan people and their ability, in the face of adversity, to uphold the good name of their country. Mr. Rubottom thought the Minister would agree (and he said he did) that in the past the United States had demonstrated its willingness to help Paraguay solve her problems. Referring to the Minister's earlier allusion to what Paraguay regarded as slowness on the part of the Development Loan Fund in attending to Paraguay's requests, Mr. Rubottom pointed out that the DLF is a new organization which has encountered a number of delays in getting under way. Nevertheless, the DLF had already definitely committed \$6.1 million for use in Paraguay which placed Paraguay in the forefront among the Latin American countries which had obtained benefits from the DLF. Furthermore, the DLF was actively considering additional loans for Paraguay. Mr. Rubottom said that there is no doubt in his mind that Paraguay will, in the coming years and as she grows, continue to qualify for loans from the United States, although we naturally could not commit ourselves to any projects or amounts in advance of clear justification by cases.

The Minister laughed and said, "There you go, speaking as a banker!"

The Minister then described what Paraguay is doing with regard to the problem of river transportation. He told of a \$1.9 million agreement signed recently with Spain for the purchase of three river steamers and five barges; and of current negotiations with Japan over a proposed \$3.8 million deal for the purchase of five cargo ships, a refrigerated barge and a cattle boat. He stated that if an agreement is consummated as expected, it will mean the entry into Paraguay of 50-to 75,000 Japanese immigrants over a 30-year period. Paraguay, he noted, had decided against the earlier proposals for a \$12 million agreement involving some 150,000 immigrants over a 30-year period. The Minister said that the foregoing items would give a tremendous boost to Paraguay's river fleet; but the craft would still be insufficient for Paraguayan requirements. He referred to the memorandum which the Paraguayan Foreign Ministry had presented to our Embassy at Asunción under date of September 10, 1958, setting forth a request for a \$5 million loan from the United States for use in a second agreement with Spain to purchase river boats. The Minister said he had talked with President Waugh of the Export-Import Bank about the possibility

of that institution financing such a loan. The Minister indicated that he found Mr. Waugh sympathetic to the idea.

Mr. Rubottom said that while he had not yet had an opportunity to study the Paraguayan proposal at length, he had gained the impression that it involved a triangular transaction with Spain which the United States might find it difficult to agree to. The Minister explained that what Paraguay has in mind does not actually have the three-cornered feature which the United States finds objectionable. The loan would be made directly to Paraguay, which would purchase steel plate and motors from the United States and send the material to Spain. Construction costs would be paid out of a combination of Paraguay's favorable pesetas balance and P.L. 480 pesetas which the United States holds in Spain. Mr. Rubottom said that this, and any other Paraguayan loan proposal, would receive careful attention in Washington but that naturally he could not commit the United States then and there.

The Minister said two items of business remained. The first was the Minister's information copy of a lengthy telegram which President Stroessner had just sent directly to President Eisenhower. The Minister rendered an eloquent reading of the telegram.⁵ Stroessner, saying that his message was inspired by the traditional friendship between Paraguay and the United States and was a reaffirmation of Pan-American ideals and principles, urged that the United States lend its whole-hearted cooperation in the current gathering of the Foreign Ministers of the American Republics who had met to discuss the proposed "Operation Pan-America" of Brazilian President Kubitschek. Stroessner noted that a united America, closely bound by ties of friendship and understanding, can serve as an example to the world.

The second item was the Minister's request that Mr. Rubottom arrange an appointment for him with Secretary Dulles. He wished to make a courtesy call, and had no intention of discussing Paraguayan problems with the Secretary. Mr. Rubottom said he was very sorry, but the Secretary had left that afternoon for Boston and would not return before the Minister's scheduled departure for Paraguay.

The Minister said he would be remiss should he fail to call attention to the fine work of Ambassador Ploeser who had created so many friends for himself and his country in Paraguay. Mr. Rubottom said he knew the Ambassador would be pleased to hear this.

The conversation ended in the same cordial atmosphere in which it began.

⁵ [illegible in the original].

PA-8. Despatch from the Ambassador in Paraguay (Ploeser) to the Department of State¹

Asunción, September 9, 1959.

No. 100.

SUBJECT

Ambassador's Report on the Objectives, Progress and Projections of the American Mission in Paraguay²

CONTENTS

1. Objectives in Paraguay
2. Economic
3. Political
4. United States Information Service
5. Army Attaché
6. United States Air Force Mission
7. United States Army Mission

1. Objectives in Paraguay

The objectives of the United States Embassy, as pursued during the past two years in Paraguay, have been:

to stabilize the economy and to lay a sound base for development;
to establish a mutuality of understanding and confidence so that economic assistance could be programmed with the common purpose of supporting both U.S. policy and Paraguay's national self-interest;

to educate the political thinking of the Government to cooperate with United States objectives in regional and world organizations;

to nurture in the people of Paraguay an attitude of friendship and respect for the people of the United States and for our Government;

to avoid all appearances of condoning the dictatorship of General Alfredo Stroessner and letting it be clearly known that similar cooperation would be extended to any other non-Communist regime which might come to power in Paraguay; and

to initiate and foster steps toward democracy in a way that would give no honest pretext for charges of interference.

Measure of Achievement

We believe that:

the measures taken to bring about monetary and fiscal stability have been uniquely successful;

¹ Source: Department of State, Central Files, 734.00/9-959. Confidential.

² A handwritten marginal notation reads: "Document read by Asst. Sec. Rubottom and Amb designate Harry F. Stimpson." Stimpson presented his credentials to the President of Paraguay on October 23, 1959.

technical assistance and loan assistance have been applied in a manner that has supported U.S. policy objectives and has been in accord with a reasoned appraisal of Paraguay's national self-interest;

the political thinking of the Government of Paraguay has been educated to express itself in undeviating accord with that of the United States in all regional and international assemblies;

the people of Paraguay do radiate and demonstrate a genuine friendliness and respect for North Americans, and being genuine, it has made our tasks here easier and more rewarding;

not only have we avoided the pretensions of condoning dictatorship, but on the contrary, we have openly and avowedly advocated the immediate necessity to initiate democratic processes in Paraguay; but

the pressures applied to the present government to move it toward greater political liberalism have not been measurably fruitful.

2. *Economic*

Program Appraisal—In an effort to evaluate the Country Program for the past two years, we would say:

1. *Country Team*

All components have been brought together into a harmonious and "hard-hitting" unit. Early in the period, there were discernible sectional weaknesses in the Air Force Mission and in the United States Operations Mission. These debilities were promptly eliminated. For the past year there has not only been the closest cooperation based upon a mutuality of respect, but complete and effective support has been given to all sections of the Embassy. Today, the Country Team is an operational fact rather than only a semantic concept.

2. *The Stabilization Program*

In December of 1957, the Economic Section of the U.S. Embassy cast a statement of Paraguay's external indebtedness and her annual service requirements, and then carefully estimated Paraguay's ability to meet those requirements together with her further absorptive capacity for modest and feasible development. (See Exhibit I—appended³.)

It is our belief that this was the first time any of the lending agencies of the United States, or the International Bank, or the IMF, had a factual photograph of Paraguay's external debt obligations or of her potential ability to service them. It is certain that it came as a surprise to the Government of Paraguay.

Based on that study, the Team was able to recommend credits for selected public works and for private enterprise. The former were directed toward those that would be essential to provide a basis for private investment. Every recommendation was predicated upon the conviction that monetary and fiscal stability had to be reinforced, that

³ Not printed.

inflationary pressures had to be resisted, and that a sound foundation for development had to be laid down.

This Embassy has [*text not declassified*] supported the contract for continuing monetary stability between the GOP and the IMF.⁴ Our dealings with the Government have been a synthesis of respect and firmness, and we believe that it is not egotistical to suggest that this relationship has been one of the fundamental reasons for the unique success of the stabilization program in Paraguay since its inception in late 1957.

At the risk of interrupting the narrative here, we want to make a point of the fact that the Resident Representative of the IMF in Paraguay, Kemal Kurdas, has cooperated with the Embassy so effectively and continuously [*text not declassified*]

What has been said of Kemal Kurdas can also be said of Ing. Gustavo Storm, until a few days ago, President of the Central Bank. Ing. Storm has been a strong rampart of support for the stabilization program. His policies were formed in constant consultation with the Embassy, with the USOM/P and with the IMF.

It can be added that there has been an atmosphere of complete integrity maintained between the Ambassador and President Alfredo Stroessner. It has been this pattern of honest and open dealing with the President that has made it possible for the Ambassador to obtain his cooperation with the stabilization program in the face of violent attacks—and there have been many violent attacks—by certain members of the Paraguayan cabinet.

The credits extended in the public sector, e. g., the \$2,500,000 for the Brasil Road in 1958 and the \$1,000,000 for telecommunications in 1959,⁵ were timed so as to influence the renewal of the stabilization agreements of those years.

[*text not declassified*]

This avoided a crisis at the time the stabilization agreement was up for renewal and this action appears to have successfully forestalled the devious efforts of the communist organization to unleash a general strike. The Embassy received praise from the IMF representatives,

⁴ On August 13, 1959, the Government of Paraguay and the International Monetary Fund entered into a \$2.75 million stand-by agreement to facilitate continuation of its fiscal stabilization program. Pertinent documentation is contained in ARA/EST Files, Lot 62 D 354, "IMF," and in Department of State decimal file 834.10. See also, International Monetary Fund, *Annual Report of the Executive Directors for the Fiscal Year Ended April 30, 1961* (Washington, 1961), pp. 28–32.

⁵ On August 3, 1959, the Development Loan Fund announced approval of a \$1 million loan to the Government of Paraguay to help provide improved telephone, telegraph, and teletypewriter service between Paraguay and other countries. Documentation on the subject is located in ARA/EST Files, Lot 62 D 354, "DLF."

praise to which the Embassy is probably not entitled because we did no more than fulfill our clear responsibilities.

Summarizing, we would conclude that the Embassy policy has not been one of unreasoned liberality with loans to the Paraguayan Government. Every loan has been timed and sequenced to have the optimum effect politically, on fiscal stability, and to prepare the way for economic development. In this, our liaison has always been tight with the International Bank and its special mission of 1956, and with all other lending agencies.

[text not declassified]

3. *The United States Operations Mission to Paraguay*

In a manner that would avoid the possibility of creating an impression that the Embassy was trying to direct its affairs, the Embassy has made an evaluation of the past and present programs of the USOM/P. In the process of so doing, the Embassy has received the fullest cooperation of USOM/P's Director and Assistant Director.

[text not declassified]

Under the firm belief that the United States cannot forever pamper so many nations of the world, or subsidize their legitimate budgetary charges, we have established termination dates for USOM/P's services and projects. We are convinced that if we are to attain the objectives of ICA, projects must have final date goals as well as goals of accomplishment. The built-in habit of U.S. bureaucracy—as is true of all bureaucracies—to perpetuate itself is an understandable, a human, but a vicious tendency. We can understand why each servicio and each special project has a hundred excuses for its own expansion and perpetuation. At the same time, I want to put it clearly on the record that the Director of USOM/P and his Assistant Director are cognizant of this tendency and are fully with me in putting this practice to the guillotine.

Appended as Exhibit II⁶ is a list of the projects that are in being, as well as those which are contemplated in the Paraguayan technical aid program, and we have indicated the projected dates of termination.

It is the firm recommendation of the Embassy, concurred in by USOM/P's Office of the Director, that these dates be strictly observed.

4. *Private Enterprise*

The Embassy has placed great emphasis on private enterprise, and as a matter of policy and basic experience, we believe that representative freedom can never be enjoyed unless enterprise is free.

[text not declassified]

⁶Not printed.

5. *American Business Group*

The Ambassador believes that a U.S. Embassy represents not alone the Government of the U.S., but also the people and that it is the responsibility of the Embassy to have helpful contact with Americans abroad. It has been his policy to receive visiting Americans and to emphasize to those having business in Paraguay that it is the duty and pleasure of the American Mission to serve them. It is suggested that we hope their interest is to develop, not to exploit, and to make friends for the U.S. business generally.

Twenty-two months ago the Ambassador organized on an invitation basis occasional group meetings of Americans doing business in Paraguay. These meetings were held approximately once monthly in the office of the Ambassador. The current economic conditions were discussed as well as the current American program and policy. On September 4, 1959, the group gave the Ambassador a farewell *asado* and a silver tray as a memento of appreciation. The group has an excellent spirit. To qualify for attendance the guest must be a citizen of the United States. It has been mutually beneficial. In September 1956, while the State Department inspectors were working in Paraguay, the Ambassador held a meeting so as to permit them to attend and observe for themselves. This practice should be continued.

6. *Private Development Bank*⁷

Second only to monetary stability, it has been recognized that the most important economic fact in Paraguay is the unavailability of equity and loan capital for private enterprise. As is true of the Latin American complex of nations, Paraguay has a few people of sizeable wealth and many who live just above the subsistence margin. A history of revolutions and inflations has always carried in its train a sequence of uneconomic investment, hoarding and capital flight.

In May 1956, the U.S. Ambassador proposed to a representative group of businessmen that a privately-owned development bank be established. The idea was enthusiastically received. But being Paraguayans, they conceived of a bank in which Paraguayans would not have to invest any money—it would be totally financed by capital pledged from the United States and/or international sources.

We have changed that idea!

Through several open meetings and through the establishment of a voluntary businessmen's committee, the Ambassador made it clear that help would be given only provided Paraguayans put up a substantial equity investment. It took more than one year to effect an organization,

⁷ Pertinent documentation is located in decimal files 834.10 and 834.14.

to draw up a charter which was approved by the Central Bank, and to obtain a pledge of equity capital.

The draft charter has been sent to the World Bank (IBRD) for general comments, and recommendations for the selection of a foreign manager. It is before the DLF for the same purpose and, additionally, to obtain DLF funds to augment the equity capital pledged by the Paraguayans.

The response of World Bank has been slow. In the case of the DLF, the Embassy has had a written commitment for credits at the ratio of 2 to 1 of loans to paid-in capital, with the added expression that this ratio might be expanded once the bank has demonstrated a competent and creditable use of the original loan.

It is the strong and immediate hope of the Embassy that the DLF move quickly to assist Paraguay in the selection of a foreign manager and that it will play a maximum and an effective part in the establishment of this bank without waiting further upon the World Bank. While the Embassy has been insistent upon a foreign manager for the bank, it now makes one Paraguayan exception, which has been approved by the DLF: Gustavo Storm, former president of the Central Bank.

It is the Embassy's conviction that this private enterprise development bank for Paraguay is of the highest priority; it is an essential and basic step to activate the productive forces of the private sector of this economy. Moreover, it is a basic step to support a continuance of stabilization program.

7. Projection

Based on the assumption it is unlikely that there will be a large inflow of private capital during the next two years, and that a steady and progressive improvement in Paraguay's economic position will continue to be a difficult task, we believe that our assistance program must have continuity. The fundamental reason for this is that we must give Paraguayan entrepreneurs the assurance that they can count on continued development loan assistance so that planning can take place in a way that will make possible the optimum utilization of manpower and financial resources.

When it comes to a projection for the next two years, we offer it with a humility that rests upon an awareness that this forecast must ride in the teeth of the hurricane of change that is sweeping over the planet. Nevertheless, our recommendations for loans over the next two years would follow roughly in this sequence and in these priorities:

a. To the Private Sector

(1) That every effort be made to assist in the establishment of a local private enterprise development bank under the direction and control of competent and experienced foreign technicians. This bank could

accommodate intermediate—and long-term development loans of a *modest size*, and it could serve as a vehicle through which future loans could be channeled and most effectively applied in Paraguay;

(2) Premised upon the elimination of the existing restrictive controls in cattle raising and meat processing, that a line of credit be extended to the *larger* cattle raisers whose needs would outrun the near-term loan capabilities of a development bank;

(3) That an objective but generous attitude be applied to loan applications to assist in feasible industrialization of forest products, milk processing, fruit packing, sugar-mill renovation, cement plant and fiber development and utilization, and electric power facilities;

(4) In the event the Government's electric generation and distribution facility (Administración Nacional de Electricidad) is sold to an outside capable and experienced utility operator, that a loan for its renovation and expansion be seriously considered, if needed.

b. *To the Public Sector*

Général:

(1) A basic need of any economy is transportation and communications. In this we must, of course, deal directly with the government. Under the present telecommunications program of Paraguay, completion will give the adequate communications facilities for the foreseeable future, but Paraguay needs roads and more roads to open up the country. This need, which is natural, is made all the more acute with the breakdown of the present antiquated railway system. In this regard we have been negotiating an engineering unit arrangement between the Paraguayan government, ICA and the United States Army, which will be most helpful but not enough. Paraguay will need loans for new roads and for the improvement of old roads.

(2) The airport, because of its 9,000 ft. runway, is a suitable "Jet" station and Asunción is coming in for more and more air travel. Within two years a new hotel in down-town Asunción should be completed. Then Asunción will definitely become a tourist attraction as the original "colonial city" (still colonial) and a most suitable location from which to visit Falls Iguazú.

Apron and parking facilities at the airport should be given attention.

(3) Loans to the public sector should be extended in harmony with the general philosophy, conditions and cautions set out in the *Report of the Survey Team of the IBRD* dated March 17, 1959,⁸ which lays

⁸ A summary of the report is contained in a memorandum from Carson to Rubottom, March 25, 1959, not printed; ARA/EST Files, Lot 62 D 354, "IBRD."

particular stress on the need for increased agricultural production and reorganization of the present agricultural credit facilities; and

(4) In harmony with that *Report*, that the loans be those needed for transportation—especially feeder roads—and communications facilities; and

(5) If a foreign and experienced private utility enterprise cannot be found to take over the Administración Nacional de Electricidad (ANDE) on reasonable terms, and a public loan becomes a necessary final resort, then such a loan be considered, but it should be granted only on the condition that foreign technical and administrative management be clearly stipulated in said loan. Within ANDE there has been much waste and payroll padding through political patronage and the Government can, by cleaning its own house here and in other places, make room for needed improvements through its own revenues.

8. *Conclusion*

All loans that may be hereinafter extended should be constructed with a knowledge of Paraguay's annual debt load and service requirements. A reference to Exhibit I indicates that Paraguay has additional debt servicing capabilities from, and including, 1962 and thereafter. The current Central Bank reserve position and the improvement that has occurred in the Bank's liquidity during 1959 give some basis for confidence that Paraguay can pay any loans which may be granted in the categories listed above—as long as the service payments are extensively limited to 1962 and thereafter.

Finally, it is the considered opinion of this Embassy that, as long as the Government of Paraguay rigidly adheres to the stabilization program, she should be generously treated—in accordance with her ability to pay—in the private sector, and that further loans in the public sector should be in accord with the thinking expressed above.

Appended as Exhibit I is a schedule of Paraguay's external debt and annual service requirements as they exist at the time of this Report.

Appended as Exhibit II is a list of projects of USOM/P and their scheduled termination dates.

Appended as Exhibit III is a schedule of loans made to Paraguay during the past two years by the DLF, the Ex-Im Bank and the World Bank.⁹

POLITICAL

Embassy's Past Action

Paraguay has a long history of political instability and a "state of siege" has existed almost continually since 1940. President Stroessner

⁹Not printed.

came to power in 1954 by a coup and was elected in a plebiscite and was re-elected without opposition in 1958, for a five-year term to expire on August 15, 1963.

The GOP's political weaknesses and instability in the inter-American system are of vital concern. All U.S. economic assistance and counseling has the basic objective of promoting its economic development and thereby political stability which will provide a favorable climate for the establishment of a more democratic government so that it may be a greater force for strength in the Western hemisphere.

Stroessner, a so-called "strong man" governing under the 1940 constitution has indicated that he would like to move towards democracy. The Ambassador in various speeches has encouraged Paraguay to take steps towards democratic reforms particularly in his April 13, 1959 speech in which he forcefully stated the U.S. position concerning democracy in the Western hemisphere and made clear that the U.S. position towards Paraguay is not in support of dictatorship as against democracy. In many private conversations the Ambassador has urged Stroessner to move toward democracy and has even made suggestions as to laws for free elections, free press, etc. In early 1958 President Stroessner promised Municipal elections and allowed the two opposition parties, Liberal and Febrerista, to hold conventions. Due to a political disturbance, these were nullified. Later, on May 29, 1959, the uni-cameral Congress was dissolved due to a serious open split in the Colorado Party. The Colorado Party and the Army have been the base of Stroessner's political strength. However, Stroessner's waxing and waning of democratic moves now include the convocation of congressional elections in February 1960 in which the two opposition parties may participate.

[*text not declassified*] The Embassy has concentrated on "the *people* of the U.S. to the *people* of Paraguay" theme in order not to appear that the U.S. is supporting "dictatorship" in Paraguay as against democracy and also to continue to lay a basis of friendship and cooperation between the two peoples in case of future changes in governments which may occur. In this regard, Embassy officials have kept contact not only with the Colorado Party and government officials but also with opposition party leaders whose members have been received and welcomed in the Embassy.

The Embassy has continued to encourage free labor movement in labor circles in its personal contacts [*text not declassified*]

The Communist Party (PCP) is small, disorganized, and illegal. Its principal threat lies in its penetrations into the various political parties, including the ruling Colorado Party, through which it contributes to political instability. The PCP has been active in the student and labor movements but has not gained a dominant position. Most of the PCP

leadership is presently in exile where they play an important role in the subversive planning of the political exiles.

The Embassy's plan of action for the present and future is to continue to encourage the GOP to take steps towards democratic reforms, short of interference. [*text not declassified*] Possibly one might hope that the dissident clique of the Colorado Party, which has made its break based upon an insistence of democracy within the government, might be the most liberal group. This is more a political promise than a hope, based upon experience. [*text not declassified*] Then too, there is always the private enterprise motive in South American governments, which is certainly not absent in Paraguay. An overturn opens the door for two possibilities which are harmful to U.S. purposes:

1. Communist infiltration;
2. A blow to economic stability.

Because of the fact that the pledged stockholders of the Paraguayan Development Bank project are of all political shades, it is believed that the establishment of this bank will lend a measure of political stability guarding the economy.

Embassy's Plan of Action for the Present and Future

1. Continue to encourage the GOP to take steps towards democratic reforms, short of interference.
2. Continue contacts with dissident political groups.
3. Continue to encourage the GOP's support in the United Nations Organization and the Organization of American States and elsewhere.
4. Continue to encourage free labor movement in its contacts.
5. On every possible occasion reiterate our anti-communist position and our support to the free world in public statement as well as private. This should be the political theme of all personnel in the American Embassy.
6. Continue to encourage the GOP to improve its control of Communism.
7. Continue to expose international communist penetration into Latin America.

4. United States Information Service

Accomplishments and Goals

The American School has been chartered as a bi-national institution. Kindergarden will open with 20 pupils (19 Paraguayans) September 1. In March 1960 it is hoped enrollment will be 70 Americans and 40 Paraguayans. Goal: Funds for "model" American school building.

Two American students are in National University under the Inter-American Cultural Convention. Paraguayan student will be in

University of Texas in September. First time Paraguay has complied with IACC obligation.

Two American professors are in National University, one lecturing in Economics, one advising on complete administrative and curricula revision to "Americanize" higher education in Paraguay. American professor budgeted for 1960 FY to aid Engineering faculty.

On the darker side: PL-480 funds of Fullbright Commission will be spent in FY 1960; need more sales of excess agricultural products to finance long-range educational program launched in 1958-59.

Commentary

The Embassy believes that the Bi-National Center in Paraguay is very important undertaking and that every effort should be made to expand its activities and coordinate them more in the public-relations sense than in the purely academic sense, and we have really not begun to realize the full potential of this Center. Every effort will be made with the changing of the Director to set up a program which will comply with this goal.

The Embassy believes that public relations, including the facet of publicity, is a two-way street. A constant flow through the two main channels available in Paraguay's controlled radio and controlled press of American information and propaganda has been extremely helpful here. It is in good hands, and we are enjoying good, voluminous copy. In the past two years we have also tried to pump into the U.S. press accurate information regarding Paraguay, its opportunities, and its relations with the U.S. While Paraguay is a small nation and does not deserve much space, we feel quite satisfied that it has had its amount proportionately for the first time in history. This channel should be kept open. It benefits our economic opportunities here for American enterprise and benefits Paraguay and certainly benefits relations between the two countries and U.S. objectives abroad.

[5 pages text not declassified]

Walter C. Ploeser

PA-9. Memorandum of a Telephone Conversation with the President¹

Washington, November 2, 1959

The President said he had before him the letter from Stroessner² with our draft reply regarding his request for transport planes. The President said our draft reply talks about our love of Paraguay and says the President will have the appropriate agencies study this request.³ The President said it seemed to him we could make a quick survey to see if any planes of these types were even available; the President doubted we had any left. The President said he would rather just say no than to give this sort of soft-soap reply which cast the President in the role of a Pontius Pilate. The Secretary said that had not been the intent of the letter, although the drafting might be improved. The intent was to get it away from the Presidential channel back into diplomatic channels. The Secretary said we are principally worried about the financial angle, i.e. that Stroessner can't really afford to build up this kind of thing. The Secretary suggested the President might wish to send the letter back and let us redraft it. The President said he would put in his own thoughts and return it to the Secretary.⁴

¹ Source: Eisenhower Library, Herter Papers. Confidential. Information on the source text indicates that this conversation took place at 11:55 a.m.

² President Stroessner's letter of September 23, 1959, to President Eisenhower was delivered to the Secretary of State by the Paraguayan Minister of Finance, General César Barrientos. In the letter, President Stroessner requested 4 DC-4 or B-54 airplanes, 6 DC-3 or B-47 airplanes, and 6 AT-6 training planes. (Presidential correspondence, Lot 64 D 174).

³ The Department of State's draft reply to President Stroessner's letter was sent to the White House under cover of a memorandum from the Secretary to the President, dated October 27, 1959, not printed. (Eisenhower Library, Staff Secretary Records, "Paraguay")

⁴ President Eisenhower's reply to President Stroessner, dated November 7, 1959, was sent directly from the White House. A copy of the verbatim text was also sent to the Embassy in Asuncion in telegram 131. The reply stated in part the following: "I have noted your request for various transport aircraft and have instructed appropriate agencies of the Government to begin an immediate study of the request. Let me assure you that this matter will be accorded most careful consideration and that the result of the study will be communicated to your Government, through normal diplomatic channels, as soon as possible." (Eisenhower Library, Staff Secretary Records, "Paraguay")

PA-10. Letter from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Managing Director of the Development Loan Fund (Brand)¹

Washington, November 17, 1959.

Dear Vance:

For about six weeks now Dr. Gustavo Storm has been in Washington conducting negotiations with U.S. Government agencies and the IBRD for a loan for a Paraguayan economic development bank which he is to head.

I understand that the IBRD after consideration of Dr. Storm's proposals has now made conditions that would preclude them from participating in the loan at this time. It is my understanding that the IBRD set up-criteria which were beyond the capacity of the organizers of the bank. In view of the limited financial resources available in Paraguay it is clear that the IBRD requirements for additional capital participation by the Paraguayans and a substantial amount of junior capital from other sources could not be realized.

There is an important need for a banking establishment in Paraguay dedicated to economic development loans. For over two years the government of Paraguay has adhered to a stabilization agreement which has called for a large degree of financial austerity. It has become the tendency of political and economic leaders in Paraguay to associate stabilization with reduced economic growth or even stagnation. An economic development bank could do much to allay the fears of Paraguay that the U.S. Government supports stabilization programs but is not as sympathetic to their economic development aspirations. In addition, there is a real economic justification for a development bank which would devote its resources to productive loans which cannot be made by the present banking system.

ARA, therefore, supports the Paraguayan efforts to obtain a loan for each bank from the DLF. Since the IBRD has now decided not to participate at this time, we urge you to press forward with an arrangement with Dr. Storm on a more limited scale without the IBRD. ARA would envisage a bank which might have an initial Paraguayan capitalization of about \$1 million and a loan from the DLF of about \$2 million.

¹ Source: Department of State, ARA/ECP Files, Lot 64 D 353, "Various AMB Turkel memos 1959-1960." Drafted by Albert Post of the Office of Inter-American Regional Economic Affairs, and cleared with Mann, Rosenson, and [illegible in the original].

Such a bank can make an important contribution to the economic development of Paraguay and help expand production in the vital export sectors.

I have discussed this matter fully with Assistant Secretary Mann and he concurs with the views expressed.²

Sincerely yours,

R.R. Rubottom, Jr.,

² In a memorandum to Assistant Secretary Mann, dated November 17, covering this memorandum, James A. Lynn, Assistant Chief of the Economic Development Division, stated the following:

“Although Mr. Rubottom’s letter makes no mention of any conditions, staff of ARA, DLF and E all agree that Dr. Storm should be provided with definite conditions precedent to consideration of the loan by the DLF. This is essential in order that there be no misapprehension on the part of prospective contributors to the Bank’s equity. Conditions should include the assurance that appropriate reserves were established before disbursements of dividends and that the bank would not limit itself to making loans to its stockholders. It should be remembered in this connection that up to the moment Dr. Storm has actually not secured any payments from prospective stockholders.”

(ARA/ECP Files, Lot 64 D 353, “Various AMB Turkel memos 1959-1960”)

PA-11. Editorial Note

Between August 29 and September [?], 1960, an International Monetary Fund mission was in Paraguay to investigate the country’s current economic situation. The mission, headed by Geraldo Costanzo, also included Kemal Kurdas and Edgar Pichiotto from the Fund’s Washington headquarters, and Richard A. Radford, the Fund’s Resident Adviser to the Paraguayan Central Bank. In despatch 76 from Asunción, August 29, 1960, the Embassy informed the Department about the activities of the mission. (393.13/8-2960)

On October 7, 1960, the Fund’s Executive Board approved a one-year standby arrangement of \$3.5 million for Paraguay. (Telegram 70 to Asunción, October 10, 1960; 393.13/10-1060)

PA-12. Memorandum of Conservation, Department of State¹

Washington, September 29, 1960

SUBJECT

U.S.-Paraguayan Relations

PARTICIPANTS

Thomas C. Mann, Assistant Secretary for Inter-American Affairs

Ambassador Harry F. Stimpson, Jr.²

C. A. Boonstra, Director, Office of East Coast Affairs, ARA

Charles C. Carson, O-in-C, Paraguayan Affairs, ARA/EST

William T. Pryos, Staff Aide, ARA

Ambassador Stimpson reviewed his conversations regarding Paraguay's political-economic situation over the past two weeks with officials of the Department and other U.S. agencies and of certain international agencies. He stated that, out of those talks and out of his experiences in Asunción during the last twelve months, he had come to the conclusion that, the troublesome stigma of dictatorship of the Stroessner government notwithstanding, the U.S. should pursue a policy of working with the regime. [*text not declassified*] Meanwhile, he continued, we should encourage Paraguay to move forward with the nationwide municipal council elections slated for October 16 and, subsequently, with other steps toward more representative government. We should, for example, try discreetly to foster an agreement between the GOP and the opposition—including the Liberal Party, the Febrerista Party and dissident elements of the ruling Colorrdo Party—so that the latter, with guarantees of a free press and other civil liberties, could be persuaded to take part in the next congressional and presidential elections.

The Ambassador noted that, the Paraguayans have amply demonstrated their friendship for the U.S. Surely it is in our best interests to try to preserve that reservoir of good will in the area. One of our primary political objectives in Paraguay should be to make certain that it continues to cooperate with U.S. policies in the OAS and in the UK. By diplomatic efforts we should do everything possible to maintain political stability in Paraguay—and in the River Plate region generally—and help to prevent any further communist and leftist infiltrations into the country from neighboring states. Our next step, once the threat to internal security is eliminated, should be to try to convince Paraguay of the wisdom of reducing the size of its armed forces and of using its now

¹ Source: Department of State, ARA/EST Files, Lot 62 D 354. Confidential. [illegible in the original].

² [text is illegible].

largely wasted military manpower on constructive economic projects much on road building and maintenance. With modern equipment and better training a much smaller military establishment could in ordinary circumstances fulfill Paraguay's internal security requirements.

Paraguay is desperately in need of developmental capital for increasing its primary production and export trade; and the Ambassador suggested that action by the U.S. to assist the Paraguayan economy should be along the following broad lines:

1. Encourage the GOP to cooperate to the full extent with the DLF and continue with the monetary stabilization program.

2. Urge the GOP to work closely with the Inter-American Development Bank and other international agencies both for the purpose of obtaining credits and for guidance into the fiscal and administration reforms needed to enhance Paraguay's qualification for credits.

The merits of self-help should be particularly stressed in dealing with the Paraguayans.

3. Hold to a policy of not granting U.S. funds for direct budgetary assistance, but make available for economic development substantial amounts from the international lending agencies. The U.S. should consider early loans for the following purposes:

a. To assist in the creation of a privately-operated Paraguayan Development Bank to provide substantial medium and long-term credit for the country's leading cattle raisers and industrialists.

b. To Support the National Development Institute ([illegible in the original] to National de Fernanto) which is being set up to replace the moribund Bank of Paraguay and to provide credit mainly for the smaller farmers and business men. U.S. aid to this organization should be conditioned, however, on the realization of the GOP's announced policy of [illegible in the original] capital investment (approximately \$1 million) each year in the institute.

c. To provide additional help in the GOP's road construction program—preferably under a coordinated plan prepared by the IADB.

d. To support the GOP in the construction of a hydroelectric project on the [illegible in the original] river system on the Brazilian border near Foz do Iguazu. The total cost, including dam, power station and transmission lines to Asunción, could reach some \$20 million. A project in Paraguay of this magnitude would have to be undertaken with the aid of several of the Washington lending agencies on a group basis. The present line of thinking is for the GOP to build and own the works but to lease it to private enterprise under a long-term management contract. The IADB should be the prime mover for this undertaking. It could be tied in readily

with the IADB's subsequent operations in Paraguay, to include feeder roads off the Brazil hold and other developments aiding the exploitation of the newly-opened fertile area of eastern Paraguay.

4. Special emphasis of the ICA should be on increasing production in the fields of stockraising and agriculture, with education and health being given second and third priorities respectively. (The Ambassador noted that in the field of education he favors more scholarships for Paraguayans to study in the U. S. and financial assistance for the construction of some normal schools in the interior of the country. He also noted that he favors the proposed ICA aid to a new public health center in Asunción but not at the expense of the more important priority of increased agricultural and pastoral production.)

5. If an expanded economic aid program becomes a reality in Paraguay, [illegible in the original] activities should be closely coordinated with the aim of making an appropriate impact on the population.

The Ambassador said that in his talks with officials of the IADB he had found great sympathy for the current economic plight of Paraguay. He noted that Mr. Roger Williams, loan officer for the region, is planning a trip to Asunción about mid-November and that the Paraguayan Ambassador in Washington is returning home for consultations about the same time. He was hopeful that these consultations will result in some definite priorities and planning for Paraguay. The Ambassador said it is his impression that IADB officials are thinking of assistance to Paraguay during the first year of operations to the extent of some \$5 million—with perhaps about \$1 million for the National Development Institute and rest of the remainder for the hydroelectric project. It might also be necessary for the Bank to expend something on feasibility studies.

[text not declassified]

The Ambassador notes that save for the continuity of regular ICA technical assistance and a small food distribution program under Title III of P.L.-480 the U.S. has not given new help to Paraguay over the past twelve months. Meanwhile, most serious deterioration of the economy had occurred. He said he felt that the time is long over due for getting U.S.-Paraguayan relationships out of the doldrums. The Ambassador reiterated that he feels very strongly we ought to proceed without delay to assist the GOP with the two banks, the hydroelectric project, further road construction and with other credits as may seem appropriate to increase national production and exports. He concluded by saying that he wished to receive guidance from the Department before returning to his post since he did not wish to be placed in the position of having definite recommendations by the Embassy along the above lines repeated in Washington on grounds of the dictatorship issue.

Mr. Mann said he was inclined to question the need of Paraguay, with its primitive and limited economy, for the two banking institutions. The Ambassador replied that he agrees with the findings of U. S. and international financial agencies which have [gone?] thoroughly into the problem and which believe that there is room for both. At present, he noted, credit has become practically nonexistent except on extremely short terms and high interest rates. The proponents of the private development bank represent the Paraguayan community's most successful ranchers and business men. They are the only elements of private enterprise know-how and success in the country and they can be expected to make effective use of a bank that would be free of governmental interference and political pressures. At the same time, there is need of a state banking instrument to play the traditional role of the Bank of Paraguay for the smaller borrowers.

Having had that point clarified, Mr. Mann stated that he could see no objection to U.S. action the general lines which the Ambassador had set forth. He said that when the time comes to get down to specifics he felt confident that he would be able to support the recommendations on which the Embassy and the Office of East Coast Affairs are in mutual accord. He added that in his opinion we should not be inhibited by fear of strictures for [going?] in underdeveloped areas such as Paraguay that which we honestly think is best for all concerned. When we meet with unfavorable criticism for having tried to improve the economy of Paraguay, we will simply have to stand up to it.

Peru: U.S. Relations with Peru

PE-1. Editorial Note

In a letter of January 27, 1958, to Per Jacobsson, Managing Director of the International Monetary Fund, Peruvian Minister of Finance and Commerce Augusto Thorndike proposed a \$25 million standby arrangement. The Embassy in Peru transmitted a copy of this letter under cover of despatch 551 from Lima, January 29. (832.13/1-2958) The standby arrangement which Peru entered with the Fund in the amount of \$25 million for the period February 10, 1958–February 28, 1959, doubled the dollar amount of the previous standby arrangement. For further information, see International Monetary Fund, *Annual Report of the Executive Directors for the Fiscal Year Ended April 30, 1958* (Washington, 1958), pages 27 (table) and 73. Upon expiration of this arrangement, the Fund entered into a new standby arrangement with Peru for 13 million for one year beginning March 1, 1959. For further information, see International Monetary Fund, *Annual Report of the Executive Directors for the Fiscal Year Ended April 30, 1959* (Washington, 1959), page 25 (table). The Fund increased its standby arrangement with Peru to \$27.5 million for the period March 1, 1960–February 28, 1961. For further information, see International Monetary Fund, *Annual Report of the Executive Directors for the Year Ended April 30, 1960* (Washington, 1960), page 23 (table).

On February 7, 1958, Acting Secretary of the Treasury Julian B. Baird and Peruvian Ambassador Fernando Berckemeyer had signed a one-year exchange agreement effective February 17 in the amount of \$17.5 million. This agreement enabled Peru to request the United States Stabilization Fund to buy Peruvian sales, if necessary for maintaining orderly exchange conditions on the certificate market, at realistic rates, between the Peruvian sol and the United States dollar. Under terms of the agreement, Peru would subsequently repurchase the soles for dollars. Assistant Secretary of the Treasury Tom B. Caughran sent copies of the exchange agreement to the Secretary of the Treasury under cover of a letter of April 21. (823.131/4-2158) On February 27, 1959, this agreement was extended for one year effective March 1. Assistant Secretary of the Treasury T. Graydon Upton sent

a copy of the exchange agreement extension to the Secretary of State under cover of a letter of April 15, 1959. (611.2392/4–1559)

In a letter of February 7, 1958, to Acting Secretary of the Treasury Baird, Ambassador Berckemeyer stated that the Banco Central de Reserva del Perú had entered into \$17.5 million in credit arrangements for stabilization purposes with private United States banks. (823.131/4–2158) Ambassador Berckemeyer informed Assistant Secretary of the Treasury Baird in a letter of February 27, 1959, that the Peruvian Central Reserve Bank had renewed these stabilization credit arrangements. (611.2392/4–1559)

On August 27, 1958, the Export-Import Bank of Washington authorized a credit of \$40 million to the Central Reserve Bank of Peru for financing essential imports. Peru used and repaid \$15.5 million of this loan. For further information, see Export-Import Bank of Washington, *Report to the Congress for the Twelve Months Ending June 30, 1960* (Washington, 1960), page 118. Even after repaying this balance of payments support loan, the Central Bank was able to maintain its reserves because of increasing exports. As a result of the strengthened financial position of Peru, its monetary authorities on May 16, 1960, unified Peru's two exchange systems by suspending the exchange certificate system which had been in existence for 10 years. For further information, see International Monetary Fund, *Annual Report of the Executive Directors for the Fiscal Year Ended April 30, 1960*, pages 118–120.

PE-2. Editorial Note

During the years 1958–1960, the International Bank for Reconstruction and Development made the following loans for economic development in Peru:

1. \$15 million to the Peruvian Corporation Limited for rehabilitation and modernization of the Central and Southern Railways on April 3, 1958. For further information, see International Bank for Reconstruction and Development, *Thirteenth Annual Report, 1957–1958* (Washington, 1958), pages 43–44.

2. \$6.575 million to the Port of Callao Authority for expansion and improvement of that port on September 17, 1958. For

further information, see International Bank for Reconstruction and Development, *Fourteenth Annual Report, 1958–1959* (Washington, 1959), page 32.

3. \$5 million to Banco de Fomento Agropecuario del Perú (Agricultural Livestock Development Bank of Peru) for its program of investment credits for the development of agriculture on June 1, 1960. For further information, see International Bank for Reconstruction and Development, *Fifteenth Annual Report, 1959–1960* (Washington, 1960), page 34.

4. \$25 million to Lima Light and Power Company (Empresas Eléctric as Asociadas) for the program to increase generating capacity on June 29, 1960. For further information, see *ibid.*, pages 34–35.

5. \$5.5 million to the Government of Peru on December 19, 1960, for highway improvement. For further information, see International Bank for Reconstruction and Development, *Sixteenth Annual Report, 1960–1961* (Washington, 1961), page 30.

PE-3. Editorial Note

Airgram 151 to Lima, February 14, 1958, authorized the Embassy to negotiate with the Peruvian Government for the sale of \$7.8 million (including transportation costs on 50 percent of the commodities) worth of United States surplus wheat, rice, and dairy products under Title I of Public Law 480, the Agricultural Trade and Development and Assistance Act of 1954. Enclosed was a draft sales agreement. (411.2341/2–1458) The draft agreement with amendments was effected by notes exchanged at Lima on April 9, and it entered into force on the same day. The text of the agreement was sent to the Department of State with despatch 769 from Lima, April 15. (411.2341/4–1558) For text, see 9 UST 693. For extensions and amendments of this agreement by notes exchanged at Lima September 10 and 12, 1958, and September 11 and 25, 1959, see 9 UST 1299 and 10 UST 1762, respectively.

PE-4. Memorandum of Conversation, by Sandy M. Pringle of the Office of South American Affairs¹

Washington, April 14, 1958.

SUBJECT

Naval Vessels for Peru

PARTICIPANTS

Ambassador Berckemeyer, Embassy of Peru
Miguel Grau – Minister Counselor, Embassy of Peru
ARA – Mr. Rubottom
OSA – Mr. Pringle

Ambassador Berckemeyer said that he had been instructed by the Foreign Minister to take up the matter of naval vessels for Peru and to obtain the Department's comments on certain specific questions. While the Ambassador did not so phrase them, they can best be stated as follows:

Why are two submarines and two destroyers being earmarked for Chile under the pending naval ship loan bill when Peru is only to receive two destroyers? Why is the U.S. spending \$10 million for maintenance work on Chile's two cruisers in U.S. shipyards when it refuses to sell Peru a cruiser? Does the Department have any comments on rumors that Chile is obtaining an aircraft carrier in the U.S. or elsewhere? Was the UK's withdrawal of its offer to sell Peru two destroyers the result of pressure from the U.S.?²

In reply, Mr. Rubottom said that he would first like to make a few very general remarks about U.S. military assistance. He explained that the furnishing of assistance to Latin America is based on military considerations and that the favoring of one nation over another is not involved in any way. He said that assistance is based on an estimate of the military threat to the hemisphere, the requirements for equipment to meet that threat, the availability of equipment, and the capability of recipient countries to use it. He said that the U.S. is attempting to develop the anti-submarine warfare capability of the Latin American countries and that, with this in mind, it extended Peru a \$16,600,000 credit for the purchase of two modern submarines.³ He pointed out

¹Source: Department of State, Central Files, 723.5621/4-1458. Confidential. Drafted April 16.

²For documentation on the referenced question, see *Foreign Relations, 1955–1957*, vol. VI, American Republics: Multilateral; Mexico; Caribbean.

³For documentation on the loan to Peru for purchase of two submarines, see *ibid.* The military assistance loan agreement of August 1, 1955, with Peru amounted to \$515,663,744.

that this credit, the largest single military credit extended to any Latin American government, was arranged at the request of the Peruvian Government at a time when the U.S. was unable to agree to the loan or sale of any naval vessels from its Reserve Fleet. He also pointed out that the U.S., at the request of the Peruvian Government, recently agreed to the postponement of payments on the principal of this loan for three years in order to ease Peru's balance of payments problems.⁴

Mr. Rubottom said that, for the purpose of developing Latin American anti-submarine warfare capability, two destroyers are earmarked for Peru under the pending naval ship loan bill. Under the same program, Chile is scheduled to receive two destroyers and two submarines, so that it can improve its ability to defend its long sea lines of communications. Mr. Rubottom pointed out that this information had long been known to Peru and had been the subject of discussions between Prime Minister Cisneros and Ambassador Achilles a year ago.

With regard to the maintenance work being done on the two Chilean cruisers in U.S. shipyards under the Mutual Security Program, Mr. Rubottom said that it would cost not \$10 million but approximately \$4 million. He also pointed out that we similarly assist Peru in the maintenance of units of its Navy—for example, the three destroyer escorts it obtained from the U.S. in 1951. He said that the Chilean cruisers had been brought to the U.S. because the maintenance could best be done here, whereas the maintenance of Peruvian vessels could be done in Peruvian shipyards with spare parts furnished by the U.S. He said that it would seem to be advantageous to Peru to have maintenance work on its vessels done in Peru rather than in the U.S., thus providing additional work for its shipyards.

Referring to the rumors that Chile might be obtaining an aircraft carrier, Mr. Rubottom said he could assure the Ambassador that Chile was not getting one from the U.S. and that, so far as he knew, was not obtaining one elsewhere either. As for the cancellation of arrangements for Peru to purchase destroyers from the UK, Mr. Rubottom said that the Peruvians themselves had informed the U.S. that they had decided not to buy the vessels. He pointed out that Admiral Llosa had given Admiral Peterson this information on August 5, 1957, and Ambassador Berckemeyer acknowledged that this was correct. Mr. Rubottom said that, if the Peruvians had agreed to buy the destroyers from the UK, he felt sure that the latter would have sold them, whether the U.S. felt it to be desirable or not.

⁴The agreement under reference was concluded by a note of January 9 from Finance Minister Thorndike to Ambassador Achilles in Peru. A copy of that note was transmitted to the Department of State under cover of despatch 508 from Lima, January 15. (103. XMS/1-1558)

The present status of the naval ship loan bill was then mentioned. Mr. Rubottom said that it had been introduced in the Senate and that committee hearings might be held soon. He said that the bill had the strong support of both the Defense and the State Departments and that we hoped it would pass.⁵

After leaving Mr. Rubottom's office, Ambassador Berckemeyer told Mr. Pringle that the conversation had been very useful. He said he suspected that the military members of the Cabinet had been putting pressure on the new Foreign Minister, Raúl Porras, and hoped that the report of the conversation with Mr. Rubottom would give the Foreign Minister a better perspective on the problem. The Ambassador said that he himself was thoroughly familiar with the background of the matter but that Foreign Minister Porras undoubtedly was not.

⁵ In Public Law 85-532, approved July 18, 1958, Congress authorized the President to lend eighteen ships to countries in Latin America; for text, see 72 Stat. 376.

PE-5. Letter from President Eisenhower to President Prado¹

Washington, April 22, 1958.

Dear Mr. President:

It gives me special pleasure to transmit to you through the Vice President of the United States, Richard Nixon,² my warm greetings. I am gratified that the Vice President was able to accept the cordial invitation which you so kindly extended for him to visit Peru.

Almost two years have passed since I had the pleasure of meeting you at Panama³ and of sending the Secretary of State, John Foster Dulles, as my personal representative to your inauguration.⁴ Since that time, it has been my privilege to correspond with you on several occasions regarding pressing world problems. I have been particularly

¹ Source: Department of State, Presidential Correspondence, Lot 64 D 174. The source text bears a stamped signature.

² Vice President Richard M. Nixon visited Lima, May 7–9, during his trip to South America, April 27–May 15, 1958; for documentation on the South American trip, see pp.

³ Reference is to the meeting of the American Presidents in Panama, July 21–22, 1956; for documentation, see *Foreign Relations, 1955–1957*, vol. VII, American Republics: Central and South America, pp. 160, 271, 277–278, 710–717, 921–923, 1081, 1132, 1134.

⁴ Secretary of State Dulles attended President Prado's inauguration in Lima on August 28, 1956.

conscious of your deep personal concern with international affairs and of the steadfastness with which you and your representatives have supported constructive measures to advance the cause of world peace with justice. I have also followed with great interest the impressive progress made during your administration in the consolidation of true democracy in Peru and in the maintenance of a free and stable economy.

Peru and the United States share a firm dedication to the principles of liberty and freedom, and we have also dedicated ourselves with high purpose to the Organization of American States, an inspiring example of peaceful regional cooperation among nations. Long united by bonds of closest friendship, our countries will, I am confident, work together with even greater good will and understanding in the years to come.

In extending my personal regard to Your Excellency, I desire to convey to you and to your countrymen the sincere best wishes of the people of the United States for the continued welfare of your great nation.⁵

Sincerely,

⁵ In his reply of May 13 to President Eisenhower, President Prado commented favorably on the subjects raised in President Eisenhower's letter and he stressed the need for U.S. participation in efforts to achieve [illegible in the original] in Latin America. (723.11/5-2358)

PE-6. Memorandum of Conversation, by the Ambassador in Peru (Achilles)¹

Lima, May 7, 1958.

SUBJECT

Political and Economic Situation

PARTICIPANTS

Manuel Prado, President of Peru
Raúl Porras Barrenechea, Foreign Minister (last part only)
Richard M. Nixon, Vice President of the U. S.
Roy R. Rubottom, Asst. Secretary of State for Latin American Affairs
Theodore C. Achilles, Ambassador to Peru

¹ Source: Department of State, Central Files, 033.1100-NI/5-1358. Confidential. The source text, sent to the Department of State under cover of despatch 848 from Lima, May 13, bears the notation that it was approved in draft by Assistant Secretary Rubottom.

The Vice President presented President Eisenhower's letter² and, after an exchange of pleasantries, opened substantive conversation by asking whether the President considered the Communist problem bad in Argentina. The President replied that the combination of Peronism and Communism was indeed bad. Communism was also a serious problem here. In Cuzco a local Soviet had recently emerged and taken over the city for two days until additional troops could be sent. In Puno Communists crossed the border freely from Bolivia. If Peru's economic problems were not solved, there would be an increasingly serious Communist threat in Southern Peru.

President Prado and the Vice President agreed that the economic problems of Peru and the U.S. were similar and due to the worldwide fall in prices rather than to policies in either country. President Prado stated that mining represented a major part of Peru's economy whereas it represented only a small factor in the U.S. economy. The Vice President mentioned our awareness not only of the importance of the mining problem to Peru but also agricultural problems and stated that our surplus disposal program was conducted with every effort to avoid disturbing the economies of friendly countries.

The Vice President inquired how it was that Peru had been able to develop such sound economic and political policies in contrast with some other South American countries. The President replied that the Peruvian people saw the advantages of such policies, as did the Government, and he would see that they were fully maintained. The Vice President cited Peru as a model of a policy of free enterprise, free exchange and a completely free economy. The President said that Peru was currently encountering financial difficulties but was proud that it had not had to dip into the \$60 million Stabilization Fund, although there was great pressure to do so, particularly for public works and housing. The Vice President commented that the U.S. had similar problems.

At this point the Foreign Minister entered and the conversation returned to Communism. It was pointed out that although Communism was illegal in Peru under the Constitution, there was no legislation permitting the Government to take action even against the ringleaders in such flagrant situations as the temporary occupation of Cuzco. He had presented legislation to the last session but Congress had refused to pass it on the grounds that it was undemocratic and could be used against persons other than Communists. Peru had not only complete political freedom but also almost excessive freedom of the press. The Foreign Minister mentioned that Communism in Cuzco was not limited

²See Document PE-5.

to trade unions but included politicians and students. Twenty of the latter had recently returned from a visit behind the Iron Curtain.

President Prado mentioned his long-standing antipathy to Communism and his efforts in 1942 to persuade President Roosevelt that Communism would be a major threat after the war. Neither Roosevelt nor Mrs. Roosevelt had agreed. In response to the Vice President's request, he agreed that the latter might refer in his press conference tomorrow to President Prado's long-standing antipathy to Communism and that he continued to hold the same views.

In concluding the conversation, the President stated that Peru shared U.S. principles on both economic and political matters and that Peru could always be depended upon as a friend of the U.S. in the UN and elsewhere. He mentioned his initiative for coordination between the OAS and NATO in dealing with the world Communist threat. The Vice President expressed appreciation for Peru's cooperation.

PE-7. Memorandum of Conversation, by the Counselor for Economic Affairs of the Embassy in Peru (Linville)¹

Lima, May 8, 1958.

PARTICIPANTS

Mr. Augusto Thorndike, Minister of Finance and Commerce; Mr. Federico Hilbok, Minister of Development & Public Works; Mr. Andres Dasso, President Central Reserve Bank; Mr. Hipólito Larrabure, General Manager Central Reserve Bank; Mr. Fernando Berckemeyer, Peruvian Ambassador to the U. S.; Rud. Carlos Jurgens, Archbishop of Cuzco; Mr. Herbert Havlik, I.B.R.D. Mission to Peru; Mr. Roger Chaufourmier, I.B.R.D. Mission to Peru; Mr. Samuel G. Waugh, President Export-Import Bank and Francis A. Linville.

SUBJECT

PERUVIAN ECONOMIC, SOCIAL AND POLITICAL PROBLEMS.

Mr. Thorndike said that Peru's need for economic assistance from abroad is very great. Something must be done to improve the economic position of the Indian population, especially in the South of Peru. In that area the Communists have become very strong. He asked the Archbishop of Cuzco, who had played a vital role in maintaining peace

¹ Source: Department of State, Central Files, 823.00/5-958. Official Use Only. The source text was sent to the Department of State under cover of despatch 835 from Lima, May 8.

and order in Cuzco during the recent Communist uprising there, to describe what had happened.

The Archbishop said that the Communists had been planning to cause trouble in the South. The increase in the price of gasoline was merely an excuse for action.² They had 15,000 people under their control. They had worked out complete plans for seizing and dividing up the large farms of the area and for sacking the homes of the prosperous people of Cuzco. Groups had been chosen for these tasks. It was not, however, possible for the Communists to carry through these plans.

The Archbishop described the way in which the Communist group had used to their advantage the fact that a boy had been critically injured during the rioting by a bullet fired by the police. The boy was carried around by the mob on a large theater sign and permitted to die without medical attention.

The Communists used the common technique of putting women and children in the front of their group during demonstrations.

The Archbishop spoke of his personal difficulties in trying to intervene in the situation. He was not permitted to speak from the cathedral to the 15,000 or more people massed in the central plaza. He had to go to the headquarters of the Labor Union, where he was able to address the people. He offered to serve as an intermediary with the Army, if the people would be willing to go to their homes and behave in an orderly fashion.

After this arrangement was worked out a people's militia of about one thousand took over the task of keeping order during the period after the police and troops were withdrawn in order to avoid bloodshed.

Since the Army had only about 500 troops in Cuzco at the beginning of the uprising, the Communists thought that they could be smothered by the large group of people which they could mobilize. During the night after the major uprising, however, more troops arrived by plane and overland, and they were able to get the situation under control. The Communists managed to interrupt traffic by cutting ditches across the highways. The troops coming overland had to go the last ten kilometers by foot.

After order was restored by the military the Communist newspaper in Cuzco said that what happened in the city was merely a skirmish; next time the uprising will be on a national scale.

² In despatch 772 from Lima, April 16, the Embassy reported on a nation-wide chauffeurs' strike, April 7–11, over a new gasoline tax. A violent general strike developed in Cuzco, requiring federal troops to restore order. (823.062/4–1658) In despatch 976 from Lima, June 12, the Embassy transmitted an eyewitness report by Richard P. Schaedel (USOM) on the uprising in Cuzco. (823.062/6–1258)

The Archbishop said that the basic cause of the serious situation in the South is economic - too little work and too little income.

Mr. Waugh spoke of the active role being played by Communist groups in Uruguay and Bolivia and of the determined anticommunist activity by the Government in Paraguay. He commented on the need to work against Communism through the schools, labor unions and the church.

Financial Problems of Peru

Mr. Waugh said that the Exim Bank had decided a few years ago that the greatest help it could give to Peru would be by making loans to private companies, especially in the field of mining where large investments are needed. Later the Bank began to make numerous equipment loans to sugar mills, chemical plants, etc. It also made a loan to finance hospital equipment, though it is not particularly interested in loans of this type. He said he believed that more small loans had been made to finance supplies for Peru than for any other Latin American country, except perhaps Mexico or Brazil.

He said he had been discouraged by Peru's failure to pass legislation which would make it feasible for the Marcona Mining Co. to expand its operation. The Exim Bank is prepared to loan about \$10 million for this purpose, while \$15 million or more would come from other sources. This would help Peru's foreign exchange situation both immediately and in the long run. He said he wondered if it had been a good idea to include the legislation for the Marcona project in a bill covering an entirely unrelated irrigation project.

The Minister of Finance said that there was strong political backing for the irrigation project but that it had run into some difficulties since congressmen from other regions had raised objections to the use of all the Marcona royalties for this project. However, he thought the bill in question would have been passed by Congress if the session had not come to end so soon. He anticipates that the bill will be passed quite promptly by the next session of Congress.

Mr. Waugh said that the United States makes funds available through the Exim Bank and, as one stockholder, through the I.B.R.D. The two banks try to coordinate their programs. They exchange information regularly.

Mr. Waugh said that Peru badly needs coordination of its development programs. It is very difficult for the Exim Bank to know what projects to assist because Peru has worked out no system of priorities. It shifts from one project to another in accordance with political pressures of the moment. Peru should have an inter-agency planning group with a small staff. Some of the political pressures to which the individual

Ministers are subjected could be eliminated if decisions were made by a high-level inter-agency group rather than by individual Ministers.

Ambassador Berckemeyer said that Peru has legislation providing for a coordinating body but that it has not been implemented.

Mr. Waugh said that he had found during his trip that countries in Latin America are having trouble at the present because of low prices for export products, an effort to carry forward economic development programs at a faster rate than is actually possible and payment of social benefits in excess of economic capacity. Peru is better off than most countries in Latin America, and its long run prospects appear good. However, good development planning is needed, especially at the present time.

Mr. Thorndike said that he is sure that Peru will be in a good position in five or six years but in the meantime does need to obtain large loans from abroad. He gave Mr. Waugh a copy of the attached memorandum outlining Peru's problems.³ (This memorandum, except for the attachment dealing with minerals, is Thorndike's rewrite of a memorandum prepared for him by Pedro BELTRAN, publisher of *La Prensa*.)⁴

As we were leaving the meeting I told Mr. Thorndike that we are very much troubled by the new tax bill which has just been passed involving discrimination against foreign companies. The bill includes, among other things, a 196 tax on foreign loans in Peru which would be unjust and would discourage foreign investment. He professed not to know about this aspect of the bill. He said that it has not yet been promulgated and that either on Saturday or Monday he would ask me to come over and go over the provisions of the law in detail before he takes any action regarding promulgation. I said we should be delighted to have an opportunity to do this.

(The next morning at the airport he said he would wish to include the problem of reconciling Peru's tariff increases with its GAM obligations in our proposed discussion. He said he would call Monday to arrange a time for such a meeting.)⁵

³Not printed; in an appendix to its memorandum, the Peruvian Ministry of Finance and Commerce stated that Peru had relied on loans from private U.S. commercial banks but that it no longer could do so. To meet general needs and service the external debt, Peru needed about \$40 million a year for the next 5 years.

⁴The memorandum by Pedro Beltrán was not further identified.

⁵Under cover of despatch 845 from Lima, May 14, the Embassy transmitted a memorandum of conversation between Thorndike and Linville, May 12, on Peru's new discriminatory tax law, approved May 11. (823.11/5-1458) In despatch 970 from Lima, June 11, the Embassy reported that at the Intersessional Committee meeting of the contracting parties in Geneva, June 3-4, Peru received a temporary *de facto* waiver of its obligations under the General Agreement on Tariffs and Trade, permitting increases of 50 percent and 100 percent in a majority of its import duties. (823.00/6-1158)

PE-8. Memorandum of Conversation, by the Ambassador in Peru (Achilles)¹

Lima, May 8, 1958.

SUBJECT

Anti-Nixon Demonstrations, Boundary Dispute and Armaments

PARTICIPANTS

Sr. Raúl PORRAS Barrenechea, Foreign Minister
Dr. Augusto THORNDIKE, Finance Minister
Vice President Nixon
Assistant Secretary Rubottom
T. C. Achilles
Col. Walters (Interpreter)

Contrary to his established custom of not making calls on Foreign Ministers, the Vice President called on Sr. Porras this afternoon on the advice of the Embassy and at the insistence of the Finance Minister, in view of the delicate psychological situation arising from the anti-American demonstrations this morning.² The Foreign Minister opened the conversation by advising the Vice President of the Peruvian Government's regret at this morning's incidents and of his action in ordering that the floral tribute containing the American and Peruvian flags be reproduced and replaced at the statue of San Martin. The Vice President expressed appreciation and understanding that the incidents in no way reflected the true feelings of Peru. He hoped that they would serve to alert Peru to the extent and immediacy of the danger.

The Foreign Minister then discussed the Ecuadoran frontier problem along the lines he had taken with me on May 6,³ namely that it was both important to settle the problem quickly as this matter of demarcating a few kilometers was poisoning the atmosphere of the whole continent and promoting a chain reaction of armament increases. The Vice President and Mr. Rubottom reiterated the interest of the United

¹ Source: Department of State, Central Files, 033.1100-NI/5-1558. Official Use Only. Text sent to the Department of State under cover of despatch 858 from Lima, May 15.

² For a report on these demonstrations, see Document PE-7.

³ According to his memorandum of the May 6th conversation, Ambassador Achilles suggested to Foreign Minister Porras that Peru offer "practical economic and psychological benefits which would make a boundary settlement acceptable in Ecuador." Foreign Minister Porras replied expansively to this suggestion; "Certainly, anything of that nature." (723.13/5-658)

States Government, as one of the Guarantors of the Bio Protocol,⁴ in a permanent and mutually satisfactory settlement of the dispute and the interest of the United States Government in seeing arms expenditures throughout Latin America minimized and expenditures for constructive development maximized.

⁴ Reference is to the Protocol of Peace, Friendship, and Boundaries between Peru and Ecuador, signed at Rio de Janeiro, January 29, 1942, and entered into force February 26, 1942. Argentina, Brazil, Chile, and the United States also signed the Protocol as guarantors. For text, see 3 Bevans 700.

PE-9. Telegram from the Ambassador in Peru (Achilles) to the Department of State¹

Lima, May 8, 1958, 8 p.m.

1000. Department please advise Secretary.

VP schedule disrupted today because of demonstration at San Marcos University. Information yesterday indicated students San Marcos would close university, not permit VP to enter and demonstrate against him. VP decided this morning proceed visit San Marcos but meeting political leaders had to be rescheduled for afternoon. VP party stopped as it entered street in front San Marcos by hostile student crowd led by Communists. Nevertheless VP tried carry out scheduled visit. Embassy officer observed university gates promptly locked, VP asked students whether they were cowards and afraid to hear him talk. Shouting students carrying signs reading "Fuera Nixon", etc., made impossible VP proceed. Stones and other missiles thrown, one of which grazed VP. Police intervened and enabled VP party depart, VP then made unscheduled visit Catholic University where met by friendly students, and had highly successful meeting in which he was vigorously cheered and applauded. Student leader said his visit not official schedule and regretted therefore they could not welcome him officially but they welcomed VP as private citizen. VP said he came that capacity, "I went to San Marcos to see if there was liberty and freedom of speech and I found there was not. I

¹ Source: Department of State, Central Files, 033.1100-NI/5-858. Official Use Only; Niact.

have come to Catholic University and found that there is such freedom." During meeting Communist demonstrators from San Marcos set up rival loudspeaker but students severed wires.

In meantime, Communist agitators led group from San Marcos to Plaza San Martin where they marched around Plaza changing "no se vende Peru." Police kept crowd from hotel and it gathered around statue San Martin. Crowd took floral offering VP had placed hour earlier and tore off U.S. flag done in flowers as well as part of center depicting U.S. leaving only Peruvian flag and SA. Police made no effort prevent desecration U.S. flag. Wreath was replaced by government at 7:30 p.m. under police protection.

VP party returned hotel from Catholic university 11:30 a.m. and crowd upon seeing his car broke from statue and surged toward hotel. Traffic prevented VP car proceeding to hotel and he descended and walked remaining 200–300 yards. Crowd shook fists, spit and threw leaflets and some fruit, while shouting and waving placards. Police conducted VP hotel and demonstration continued another 15 minutes when assault guard finally moved in swinging clubs and crowd scattered. Possibly 50–75 students represented nucleus demonstration with maybe 400–500 more curious onlookers. Police chased leaders all way back to San Marcos.

Remainder VP schedule rearranged because these events. At press conference VP said he was advised not go San Marcos but decided he should because important not allow minority element deny freedom expression in great university. Stated principal concern safety innocent students and had cautioned police against pushing students. Said he was touched by Peruvian expression regret including Foreign Minister, VP, etc., and desire of Rector San Marcos apologize. Said no official protest made and none necessary. Had not had contact as yet with President. Said it was not personal affront but demonstrators were spitting on Peru, on ideals of San Martin and millions who have fought for liberty. Regretted effect on San Marcos because no university great that cannot assure freedom of expression. Said the day will live in infamy in history San Marcos. Demonstrators he said [illegible in the original] not physical but intellectual cowardice because they are afraid of truth. They thought they had won victory [illegible in the original] suffered defeat because they had shown [illegible in the original] they [illegible in the original]. Peru now knows what would [illegible in the original] most [illegible in the original].

PE-10. Telegram from the Ambassador in Peru (Achilles) to the Department of State¹

Lima, May 16, 1958, 6 p.m.

1034. While long-range effects of VP's visit there cannot yet be forecast, I submit following at this time.

(1) Weak government here was hoping to utilize visit to seek more U.S. loans and may not have been averse to prospect of mild Communist anti-U.S. demonstrations to impress us as to need for help. Seriousness of demonstrations however surprised, mortified and shocked government. Demonstrations were partially designed to embarrass government and after-effect has been considerably to weaken government's already shaky position.

Some coolness on part Peru Government apparent before incidents and even more thereafter with attempt shift blame to U.S. rather than face up to own responsibilities for maintenance order, social advancement and avoidance discouragement of foreign investment. We should help them regain confidence and face but continue remind them tactfully of their own responsibilities.

(2) One strong impact has been on university ferment where pot already boiling before visit due not only traditional excessive politicking by LA students but to frustration of students over poor teaching, facilities and prospects. Too early yet to evaluate this.

(3) Public reaction has been one of humiliation, admiration for VP and reiteration of traditional warm friendship for U.S. But most have shown more shame for violence and discourtesy than liking for U.S. policies. Reaction has also shown undertones of widespread latent non-Communist antipathy toward U.S. because of its wealth and power and resentment at certain aspects of its economic policies or actions as they adversely affect Peru, notably of course re lead and zinc. In this connection U.S. editorials citing latin resentment at U.S. policies have been widely reprinted here. It is this latent antipathy and periodic resentment, coupled with low living standards, which makes Communism dangerous out of all proportion to its numbers. Reaction has shown that trade far more important than aid. Latter nevertheless important here, particularly when it works from bottom up to help maximum number neediest help selves and avoids bureaucratic tendency toward bigness. It has hitherto done both and same grass roots approach even more necessary in future to combat Communism. Some

¹ Source: Department of State, Central Files, 033.1100-NI/5-1658. Official Use Only; Priority. This telegram was sent in two sections.

military aid also needed to maintain armed forces as strong stabilizing and anti-Communist element.

(4) Pain of favorable reaction diminished by wide criticism here, and reprinting of criticism in U.S. press, over sending U.S. troops to Caribbean.

(5) Events here and at Caracas dramatically revealed ability of Communists in LA to arouse mob support and cause trouble. This demonstration of Communist strength has obviously caused jubilation in Moscow and presumably impressed uncommitted peoples everywhere.

(6) Immediate effect in Peru has been in some respects strongly favorable to U.S., in other unfavorable. Long-term effect here and elsewhere will depend upon whether (1) Communists are emboldened to stir up even stronger anti-U.S. feeling and obtain wider support in doing so, or (2) public opinion in the Americas is sufficiently alerted to Communist threat to their own freedom to check further Communist proselyting and assure effective government action. This presents real challenge to all of us, particularly in field.

(7) More fundamental problem is how U.S. can overcome latent antipathy aroused by its power and periodic resentment over its policies or action, from which Communists get wider support, or preferably transform these feelings into friendly ones. We occasionally get credit for our unselfish and altruistic use of our mighty position but only occasionally. This requires good presentation abroad but, more fundamentally, avoidance of any moral basis whatever for criticism. (I recall Secretary's simile of "spot of coal dust on face of movie actress far more conspicuous than same amount on face of miner"). It means not repeat not preaching but making obviously clear in deeds as well as words our devotion to our basic ideals. Among other things it means finding better answer than we have in past, and VP in statements here, Caracas and elsewhere has made much progress toward it, to problem of making clear our antipathy to dictatorships without slipping into intervention. It means, without in any way impairing our policies of developing individual and collective strength, de-emphasizing as far as possibly military aspects of our policy. This involves maximizing civilian, and controlling military, influence on foreign policy. It means making our economic policies and actions conform to those we profess, those we know to be in real national interest, and avoiding insofar as possible damage to friendly countries. This involves obtaining frequent majorities in Congress along lines of national rather than local or sectional interest.

This presents even greater challenge to us all, particularly to those at home.

Please excuse foregoing long and rather presumptuous moralizing. I know the difficulties. Please give copy to VP.

I have no objection to foregoing being declassified for congressional or other official use, with deletion paragraph (4) and first word and two words just before last word of first paragraph of (1) and all of second paragraph of (1).

Achilles

PE-11. Memorandum of Conversation, by the Ambassador in Peru (Achilles)¹

Lima, May 27, 1958.

SUBJECT

Gravity of political situation

PARTICIPANTS

President Manuel Prado
T. C. Achilles

I had for sometime been considering the advisability of attempting to impress personally on President Prado the gravity of the present political situation in the country and the necessity of more effective measures being taken to deal with the underlying problems. Receipt last Friday of Vice President Nixon's thank-you letter² to him provided an occasion to request an appointment which was granted for 10:00 a.m. this morning. I reached the decision to take up these matters with him despite some trepidation in view of his great vanity and widely known reluctance to discuss or even admit the existence of serious internal problems. We spoke in French since neither my Spanish nor his English was up to a conversation of this delicacy.

After giving him Vice President Nixon's letter which he read and for which he expressed appreciation, I said that I wished to speak of other matters as a friend of his, of Peru and of democracy. I had admired from the beginning of his Administration his efforts to strengthen

¹ Source: Department of State, Central Files, 723.00/5-2758. Secret. The source text, initialed by Achilles, was sent to the Department of State under cover of despatch 910 from Lima, May 27.

² Not found in Department of State files.

democracy in Peru. France was not the only country struggling at the moment with a "crise de regime". Peru was too and for the same reason, a very wide-spread feeling that the Government did not or could not exert sufficient authority to deal with the country's pressing problems. I said that until a few months ago most of the dissatisfaction in Peru had been directed not toward revolution but toward more or less complete Cabinet changes. This was encouraging evidence of a growing maturity of democracy in Peru. At the present time, unfortunately, many people, and not just habitual conspirators or malcontents such as the Miro Quesadas,³ junior Army officers or the Accion Popular but honest and substantial people, were saying that it was too late for the situation to be solved by a Cabinet change since the President himself was unwilling sufficiently to face up to the problems involved. I hoped profoundly that they were wrong and that Peru could still show that political maturity which I believed it was capable of showing and which I knew was his primary objective. I hoped that the situation could still be saved but believed that the hour was already very late. It would be presumptions for me or any foreigner to offer him advice but I hoped that he could profit from the advice of the wisest, most honest, strongest and most patriotic Peruvians he knew, particularly those outside the Government, since there were always more good men outside any Government than in it, and that he would then act as his conscience dictated, but firmly.

To my surprise the President both listened to what I had to say without interruption and took it in good part. He launched into a long discussion which he continued for half an hour, although he was repeatedly interrupted by telephone calls and his aides advising him that others were waiting. He began with a diatribe against Pedro Beltrán. During his previous Administration⁴ he had offered Beltrán various Cabinet posts but the latter had declined and accepted only the Embassy in Washington.⁵ During his present Administration he had again at various times offered Beltrán Cabinet posts but the latter, while incessantly criticizing, refused to accept responsibility. Beltrán was playing a double game, accusing the Government of not exercising authority and at the same time stirring up dissatisfaction against it.

He turned to attack the leading bankers, particularly Enrique Ayulo, President of the Banco de Credito, and Alfredo Alvarez Calderon, principal lawyer for the Bankers Association. He recounted their past

³ Reference is to the Miro Quesada family which stood on the extreme right in Peruvian politics.

⁴ The previous administration of President Prado was during the period December 8, 1939–July 28, 1945.

⁵ Pedro Beltrán served as Peruvian Ambassador to the United States during the years 1944–1946.

misdeeds and corrupt practices. He said that they and many others longed for the favored position they had had under the Odría⁶ regime and were seeking to bring down his Government. They were doing this by refusing to accept any settlement of the bank strike,⁷ which they had turned into a “lockout”. A decree had been prepared for his signature yesterday terminating this situation but he had not signed it in the hope that the banks would reopen this morning. Since this had not happened, he would sign the decree. (When I left, the Minister of Labor, the President’s nephew Max Peña Prado, and a number of others whom I believe were members of the Bank Workers Union, were waiting.)

The President said that he had never lacked energy. It was easy to issue decrees (I was tempted to interject that it was too easy to issue them but hard to make them stick) and it would be easy to use armed force. This was not his way and he preferred democratic solutions.

At this time he digressed to express for the first time patently sincere regret at the unfortunate incidents which had occurred during Vice President Nixon’s visit. He said he profoundly regretted the incidents and the blot they placed on Peru’s reputation but what could he do? The Prefect of Lima had been shoulder to shoulder with Nixon in the mobs. I said that I had been at all times shoulder to shoulder with the Vice President, or at least as close to him as anyone could stay, and that I had not noticed the Prefect. He indicated surprise and said he had photos to prove it. (He could be correct. I know the Prefect only slightly and might not have recognized him. Anyway, I did not notice him nor did he have any noticeable effect on events.) Had he ordered mounted police or the Army to charge the demonstrators or the police to enter the sacrosanct university premises, the situation would have been far worse. I observed that the police had known in advance the names of those who were organizing the demonstrations. He said he had personally taken steps to have the principal instigators arrested and he would see they were punished although Peruvian justice did not operate in quite the same way as Anglo-Saxon justice.⁸ He said he had done his best to obtain passage by Congress of a law regulating labor unions and a law enabling the Government to act

⁶ Manuel A. Odría y Amoretti, Acting President of Peru, October 27, 1948–June 1, 1950; President, July 28, 1950–July 28, 1956.

⁷ The Embassy reported on the bank strike, April 17–May 22, in despatch 959 from Lima, June 7. (823.062/6–758)

⁸ The Embassy reported on the arrest on May 16 of the “Communist leaders allegedly responsible for demonstrations May 8 against Vice President Nixon in despatch 875 from Lima, May 20, 1958. (723.00(W)/5–2058) In despatches 933 from Lima, June 3, and 989, June 17, the Embassy reported on their release. (723.00(W)/6–358 and 723.00(W)/6–1758, respectively)

against Communists but that in each case he had been widely accused of incipient dictatorship.

I reiterated the hope that he could find answers to his pressing problems which would be both democratic and effective and that he could obtain the advice, assistance and support of the best men he could find outside as well as inside the Government. He thanked me and said that he would be glad to receive me at any time I wished to discuss such matters with him. I said I had nothing further to say at this time but that I understood the French Ambassador,⁹ wished to talk with him along similar lines. (I learned later that he has asked the French Ambassador to see him at 7:00 p.m. tonight.)

Our conversation concerning Mr. John R. Neale has been reported separately.¹⁰

⁹ Léon Brasseur.

¹⁰ In telegram 1068 from Lima, May 27, Ambassador Achilles recounted the Peruvian Government's request that John R. Neale continue indefinitely as USOM Director or for a protracted period to ease the change to a new Director. (110.402-ICA/5-2758) In telegram 1069 from Lima, May 27, Achilles reported Neale's willingness to remain during a transition period until September 1. (110.402-ICA/5-2758)

**PE-12. Memorandum of Conversation, by the Chargé in Peru
(Neal)¹**

Lima, June 13, 1958.

SUBJECT

Economic Situation

PARTICIPANTS

Sr. Luis Gallo Porras, Prime Minister and Minister of Finance
Francis A. Linville, Economic Counselor
Jack D. Neal, Chargé d'Affaires, a. i.

¹ Source: Department of State, Central Files, 823.10/6-1758. Official Use Only. The source text was transmitted to the Department of State under cover of despatch 993 from Lima, June 17.

I handed Gallo Porras a letter containing Ambassador Achilles' congratulations.² I told him Mr. Linville and I also were happy he had accepted the Prime Ministership and position as Minister of Treasury; that the Embassy was ready to cooperate with him in every possible way.

He said he was concerned about the economic situation and that Pedro Beltran was in the United States at the present time discussing financial matters. He had taken some documents there regarding Peru's financial needs. Gallo Porras said they were planning to negotiate for a loan in the United States. I asked whether this meant the work was not to be carried on here in Lima. He stated it was their intention to negotiate through Ambassador Berckemeyer. He said they felt it would be much better to carry on the talks in Washington away from interference and opposition of Communist elements and political opponents. When questioned further, Gallo Porras stated the request for a loan had not actually been prepared but was being worked on here presently.

I told him Mr. Samuel Waugh of the Export-Import Bank had possibly informed him (Gallo Porras) as I know he had former Minister of Treasury Thorndike that it was essential for Peru to make a detailed exposé of its financial plan when requesting a loan. I told him that only one week ago in Washington the Department of State had also advised me to so inform Peruvian officials concerned. I stated this was strictly a business matter, that Peru was dealing with precise "Boston Bankers" and, therefore, their case must be well presented. Gallo Porras indicated his understanding.

Gallo Porras said the situation was critical and that an extraordinary session of Congress was being called next week. He said the country was heavily in debt; that it owed Grace & Co. 50,000,000 soles (Gallo Porras was in error on the amount. Peru owes Grace & Co. 25,000,000 soles and 52,000,000 to International Petroleum. The total debt to various local concerns is estimated at 350,000,000 soles.) and Ferreyros and Company a large sum.

I told the Prime Minister I knew he was extremely pressed for time; however, I wished to inform him of the Embassy's preoccupation with the climate for foreign investment and particularly the treatment of American business. I stated I was leaving with him a Memorandum concerning the main points at issue.³ I said the climate for investment had deteriorated during the past eight months. The treatment of International Petroleum Company—he asked what I meant, "their not

² The referenced letter was not further identified.

³ The referenced memorandum was not found in Department of State files.

being granted an increase for their products?" I said no; that first it was forcing a 15 per cent wage increase on them⁴ and then not allowing them to increase the price on their products. I explained that IPC was partially owned by Standard Oil of New Jersey which was not only influential in the U. S. financial circles but also has holdings throughout the world; therefore, any adverse decisions affecting the company is quickly known throughout the world and carries great influence in financial circles.

Gallo Porras said that I had seen what the local effect of an increase in price granted to the retailers of gasoline had been. He said he didn't see how an increase could be granted to IPC at this time. I said the company was making no money. Gallo Porras acted rather surprised and said, "No?" I said, "Very little, if any." As a result I felt certain it would be necessary for IPC to curtail activities (Mr. Ashworth, the manager of IPC, had already informed me that he was closing six of his eleven drilling rigs and laying off 560 workers but that IPC had not yet informed the Government.) and cut personnel. Gallo Porras said, "Well, they have too many workers anyway." I said I didn't know, but laying off personnel would cause a problem—which Gallo Porras admitted.

I told the Minister I was leaving him copies of two notes which we had sent to the Foreign Office regarding taxes which affected Americans.⁵

The "foreigners tax" was causing us a great amount of difficulties and was a source of constant complaint by American citizens. I said we felt the tax unjust and discriminatory and that it should be repealed, I showed him the Foreign Office reply⁶ received today saying our Note had been referred to Congress for appropriate committee handling. I stated that was not satisfactory since time was a factor and Americans would have to pay the tax before July 1. I stated what we desired was an immediate suspension of the law until Congress could repeal it. I said we would appreciate a decree by the President or if proper, one by him as Minister of Treasury.

Gallo Porras said he didn't know anything about this but would look into it.⁷

The other note we were leaving with him concerned the increase in taxes on American firms - the complementary-tax. I pointed out to

⁴ In despatch 808 from Lima, April 24, the Embassy reported that the Peruvian Government on April 11 decreed a 15 percent wage increase for petroleum workers for the 18-month period beginning February 19 in order to settle a strike. (823.062/4-2458)

⁵ The two notes under reference were not found in Department of State files.

⁶ Not found in Department of State files.

⁷ In airgram G-132 from Lima, December 31, the Embassy stated that President Prado signed on that day the new Foreigners' Tax Bill, which provided for payment by foreign residents of a nominal fee beginning in 1959 rather than a foreigners' tax based on income. (823.11/12-3158)

him that there was an increase from zero to 19 per cent on “income from service, interest and rent obtained by companies not established in Peru.” Mr. Linville informed him this phase of the bill had been inserted by Congress, reportedly without the knowledge or suggestion and approval of the Ministry of Treasury.

I said we felt these two taxes had added to the unfavorable climate for investment and that he himself had in his letter of acceptance to President Prado stated the need for foreign capital.

At one point early in the conversation when I mentioned Gallo Porras’ letter to the President, he thought I meant a letter which evidently he has written to Vice President Nixon.⁸ He said he told the Vice President that he shouldn’t go to San Marcos—it was a mistake, etc., etc.—that he and the Vice President upon reaching the Hotel Bolivar “there were only cheers; he shouldn’t have gone to Son Marcos.” Since Mr. Linville and I had not called on him to get into a discussion on the Nixon visit, I gave him no reply but turned him back to his acceptance letter to President Prado.⁹

With reference to the economic troubles, I told Gallo Porras there was no need for Peru to import experts to advise them on their needs because he had right, on the same floor with him two financial experts from the International Bank. I stated both Mr. Havlik and Mr. Chaufourrier were friends of Peru, and their viewpoint was professional, had nothing to do with their respective governments and therefore their advice could be relied upon implicitly. I said the Embassy had faith in them.

Mr. Linville stated Mr. Havlik and Mr. Chaufourrier would know precisely what procedures were required in applying for loans. Mr. Linville added that Mr. Larrabure of the Central Bank and Mr. Romulo Ferrero could also be relied upon for good advice.

⁸ The referenced letter was not further identified.

⁹ In despatch 981 from Lima, June 16, the Embassy reported on Prime Minister Gallo Porras’ letter of June 9 to President Prado. (723.11/6–1658)

**PE-13. Memorandum of Conversation, by the Officer in Charge
of West Coast Affairs (Silberstein)¹**

Washington, June 24, 1958.

SUBJECT

Peru's Financial Problems

PARTICIPANTS

Sr. Pedro Beltran, Editor and Publisher of *La Prensa*, Lima

W – Mr. Dillon

OSA – Mr. Silberstein

Sr. Beltran referred to conversations he had been having with Mr. Waugh and his staff at the Export-Import Bank,² and also with Mr. Rubottom,³ concerning Peru's financial problems. He said he was very encouraged by the reception he had had. He thanked Mr. Dillon for giving him the opportunity to acquaint him directly concerning these problems. Peru is now facing a critical balance of payments situation, similar to that of Colombia and some of the other Latin American countries. Colombia's crisis came upon it rather precipitously, while Peru's developed more gradually because of the substantial exchange reserves built up in 1956. However, as world prices of Peru's raw materials exports declined, these reserves had been consumed during the last half of 1957, because of the mistaken policy of trying to hold the rate firm at 19 soles to the dollar. By February of this year the acuteness of Peru's balance of payments problem had become evident. It is estimated that foreign exchange income this year only from lead, zinc, copper, cotton and sugar will be \$85 million less than last year.

Sr. Beltran expressed appreciation of the constructive advice he had received at the Export-Import Bank. The Bank officials had carefully explained to him all the data which Peru would have to develop and present to document a request for a balance of payments loan. When he returned to Peru he would explain this to the Government.

The trouble with balance of payments loans, however, is that they are understood only by bankers and businessmen, and have no meaning for or impact on the people in general. Peru has two serious social

¹ Source: Department of State, Central Files, 823.10/6-2458. Official Use Only.

² In telegram 697 to Lima, June 19, Waugh summarized Beltrán's discussion with the Export-Import Bank of Washington regarding stabilization credits. (103.XMB/6-1958)

³ A memorandum of conversation between Beltrán and Rubottom, June 19, is in file 723.5-MSP/6-1958.

problems, the critical need for housing, and the need to resettle Indians who live in the relatively crowded and unproductive altiplano and are a ripe target for Communist agitators. There is plenty of virgin cultivable land on the other side of the Andes, but funds are needed to build access roads and to clear the lands.

If the United States were to provide financial assistance for housing and resettlement, it would have an immediate impact on Peruvians all over the country and would make a great contribution toward countering the appeal of the Communists.

Sr. Beltran's idea is to apply the soles obtained from selling the dollar exchange provided as balance of payments assistance to financing housing and resettlement projects. The Peruvian Government has an excellent housing program, drafted by experts provided through ICA, which could be quickly implemented if funds could be obtained in this way. The Government would not build houses itself, but would finance technical services and provide mortgage loans in the manner of the HOLC and Fanny May programs in the United States.

The United States need not fear it would be creating an uncomfortable precedent for itself by financing housing in this way, since it could be pointed out to other prospective borrowers that the loan to Peru was related to a balance of payments problem. Sr. Beltran emphasized that the financing needs for housing were large. He implied that the size of any loan the United States might make to Peru at this time should be measured by the extent of the housing problem rather than the balance of payments problem.

Mr. Dillon said he was not certain whether it would be feasible to arrange a loan in the way Sr. Beltran had suggested.⁴ He thanked Sr. Beltran for taking the time to fill him in on the situation on Peru.

⁴During calendar year 1960 the Development Loan Fund authorized a \$25 million loan to the Government of Peru for housing, resettlement, and roads. For information, all Development Loan Fund, *Report of Activities During Calendar Year 1960* (Washington, 1961), p. 3 (table).

PE-14. Editorial Note

Public Law 532, Both Congress, approved July 18, 1958, authorized the transfer of naval vessels to friendly foreign countries (72 Stat. 376). In telegram 68 to Lima, August 13, the Department of State instructed

the Embassy to offer two destroyers to Peru for \$7 million rehabilitation costs. (723.5-MSP/8-1358) Documentation concerning the ensuing negotiations for transfer of naval vessels is in files 723.5-MSP, 723.56, 723.5621, and 723.5622. By an exchange of notes at Lima on February 12 and 26, 1960, the two Governments agreed to a five-year loan of three United States naval vessels (one destroyer and two frigates) to Peru. For the text of the agreement, see II UST (pt. 2) 2254. In an exchange of notes at Washington, December 27 and 28, 1960, the two Governments agreed to a five-year loan of a destroyer to Peru with the cost of rehabilitation and equipment charged to Peru. For the text of this agreement, see 12 UST 364.

PE-15. Letter from President Eisenhower to President Prado¹

Newport, September 21, 1958.

Dear Mr. President:

Once again I consider it advisable to communicate with you directly on a matter of mutual concern. Following months of painstaking effort to find a solution to the problem of the world oversupply of lead and zinc, I have felt obliged to take action now to relieve the genuinely distressed condition of this industry in the United States by establishing import quotas.²

Contrary to my hopes and expectations, the minerals stabilization plan, which had been proposed as an alternative to accepting the recommendations of the United States Tariff Commission,³ although approved by the Senate, was defeated in the House of Representatives

¹ Source: Eisenhower Library, Staff Secretary Records, "Peru." Drafted by Ernest V. Siracusa, September 20; approved by President Eisenhower by telephone, September 21; and transmitted by telegram 125 to Lima, September 21.

² By proclamation 3257 of September 22, President Eisenhower limited imports of lead and zinc to 80 percent of average annual imports during the five years, 1953-1957; for text, see 23 *Fed. Reg.* 7475.

³ On April 24, 1958, the U.S. Tariff Commission reported its unanimous finding of injury to the domestic lead and zinc industry from foreign imports. Three Commissioners proposed restoration of the tariffs in the Tariff Act of 1930, [illegible in the original] to remedy the injury. The other three Commissioners proposed a larger tariff increase and quantitative limits on imports. For further information, see the Department of State *Bulletin*, October 13, 1958, p. 579.

by a narrow margin.⁴ In this connection you will recall that the Commission, responding to appeals by United States producers who had been forced to curtail production by about 25%, recommended some months ago that I not only impose quotas but increase the duties on lead and zinc as well.

In an effort to find some other solution, the Department of State, in cooperation with your distinguished Ambassador in Washington, endeavored to obtain agreement of other major exporters to a temporary, voluntary reduction of exports. It was hoped that such an agreement would allow time to study the causes of imbalance between world supply and demand for lead and zinc and to consider the best means for dealing with this problem. While a majority of the interested nations were found willing to undertake a study of the longer range problem, these discussions, as well as those which followed in London under the auspices of the United Nations,⁵ revealed that a temporary arrangement to cope with the existing emergency would not immediately be feasible.

The action which I have thus taken will obviously have the effect of reducing Peruvian exports of lead and zinc to the United States market. It does not, however, alter the existing tariff structure and will, I am hopeful, prevent a further decline in the prices which Peruvian exporters obtain for these commodities in this market. Moreover, these import quotas, which are compatible with international discussions regarding export controls, are subject to review whenever circumstances may warrant, including possible resolution of the current problem of imbalance through multilateral action. The Department of State has therefore been instructed by me to maintain its efforts to this end in cooperation with other governments. I am confident that Peru will continue to take a most constructive part in this endeavor.

I wish again to affirm the high regard I have for your Excellency and for the Peruvian people.⁶

Sincerely,

Dwight D. Eisenhower

⁴ S. 4036, 85th Cong., a bill providing for subsidy of the import-stricken mining industry, passed the Senate, July 11, but was rejected by the House of Representatives on August 21.

⁵ Representatives of 32 countries and six observers met in London in September 1958 to consider the current and future condition of lead and zinc production and consumption. A Lead and Zinc Committee was established to consider the views of participating governments and report to a subsequent meeting. Relevant documentation is in Department of State files 340.54 and 411.006.

⁶ In telegram 176 from Lima, September 24, Ambassador Achilles quoted President Prado's reply, urging reconsideration or suspension of the import quotas (823.2545/9–2258).

**PE-16. Memorandum of Conversation, by the Officer in Charge
of Peruvian Affairs (Pringle)¹**

Washington, September 25, 1958.

SUBJECT

Peruvian Reaction to U.S. Imposition of Lead and Zinc Quotas.

PARTICIPANTS

Dr. Raúl Porras Barrenechea, Foreign Minister of Peru
Dr. Juan Bautista de Lavalle, Peruvian Ambassador to the OAS
Sr. Miguel Grau - Minister Counselor, Embassy of Peru
ARA - Mr. Rubottom
WST - Mr. Siracusa; Mr. Pringle

Foreign Minister Porras² said that resentment against the U.S. was very strong in Peru as a result of the imposition of quotas on lead and zinc. He said that newspapers and labor organizations were urging him to leave the U.S. immediately and return home. The resentment extended to the very top of the government. He emphasized that President Prado had cooperated closely with the U.S. since the beginning of his first term of office (1939-45) and that this cooperation had been outstanding during World War II. More recently, however, the President had felt disillusioned with the United States and had noted its coldness toward Peru. Dr. Porras said that other Latin American countries had received much more consideration and aid from the U.S. than Peru and that the time had come for the U.S. to demonstrate its friendliness by helping Peru to solve certain problems. He said Peru was suffering a political crisis, due largely to social discontent arising from the economic situation, fanned by Communist agitation, and that some military plotting was taking place. After speaking of the democratic nature of the Prado Administration, he said he assumed that the U.S. considered it in its best interest to have Peru governed by a democratic president rather than a military dictator, to which Mr. Rubottom indicated firm assent. Dr. Porras then said that he did not want to go back to Peru empty-handed, that, politically, he must take back some concrete demonstration of continued U.S. friendship and cooperation. (Here the Foreign Minister brought up the Peru-Ecuador

¹ Source: Department of State, Central Files, 411.236/9-2258. Confidential. Drafted September 26.

² Foreign Minister Porras was in Washington for the Informal Meeting of American Foreign Ministers, September 23-24; for further information, see Document PA-8, footnote 5.

boundary dispute and the Development Loan Fund, which are the subjects of separate memoranda.)³

Much later, Mr. Rubottom reverted to the subject of lead and zinc, saying he wished to talk frankly about the matter, as was his custom. Mr. Rubottom pointed out that the U.S. Tariff Commission had found four years ago that the U.S. lead and zinc industry was being injured by foreign imports and had ratified this finding only this year. During all of this period, the U.S. had refrained from increasing tariffs or imposing quotas. It had spent many millions to stockpile these minerals, as well as additional sums in bartering surplus agricultural commodities for them. It had presented a bill to Congress proposing subsidies as a means of assisting the domestic industry with a minimum of adverse effect on foreign producers, but the bill had failed. The Administration had engaged in discussions in Washington and London directed toward a multilateral solution, but such a solution had not been arrived at. Mr. Rubottom pointed out that, in a democracy, the Administration could not ignore the pressures of public and Congressional opinion. To do so would prejudice many other aspects of its international policies. The President had finally decided to take action very much along the lines of that which Peru and Mexico had favored at the London conference. The President had assured the Presidents of both countries that his decision was subject to review and that he hoped a multilateral solution could be arrived at.

Mr. Rubottom then expressed his regret that some of the foregoing explanations of the imposition of quotas by the U.S. had not been brought to the attention of the Peruvian people. He said he did not feel it fair for the press and public in Peru to talk as if this action by the U.S. marked the end of all U.S. efforts to cooperate with and assist Latin America. He added that he did not feel that the U.S. deserved to become the subject of threats because of its action on lead and zinc.⁴

Foreign Minister Porras said that he and the Peruvian Embassy in Washington were aware of the background and the political factors which Mr. Rubottom had outlined. He said that he personally would help to explain the U.S. action and to make it understood in Peru, but that he needed something to take home with him as a concrete demonstration of the fact that the U.S. was still cooperating with Peru.

³ The memorandum of conversation on the boundary dispute is in file 622.233/9-2558; the memorandum of conversation on the Development Loan Fund is printed as Document PE-17.

⁴ According to a memorandum of conversation in Washington on October 15, Foreign Minister Porras mentioned to Assistant Secretary Rubottom a tentative Czech offer to buy Peruvian lead and zinc. In commenting on this offer, Rubottom pointed out that "the Soviet Bloc was a net exporter of lead and zinc and that any purchases would be for political purposes." (411.236/10-1558)

Mr. Rubottom mentioned the recent \$40 million Eximbank loan as a very concrete demonstration. He said that the loan constituted one more example of the fact that the U.S. was always ready to consider appropriate and well-documented Peruvian requests for assistance.

(Subsequent to the above conversation, Minister Grau asked Mr. Pringle to assure Mr. Rubottom that all of the officers of the Peruvian Embassy in Washington fully understood the U.S. reasons for imposing the quota, that their position was an awkward one in view of the very strong reaction in Lima, but that the Embassy's very close working relationship with the Department would be in no way affected.)⁵

⁵ In telegram 138 to Lima, September 30, the Department of State reported that on September 29 Ambassador Berckemeyer described to Assistant Secretary Rubottom "his efforts to influence sober Peruvian reaction to lead-zinc quotas rather than emotional, unreasoned attitude adopted to date." The Department instructed the Embassy on explaining the quotas to President Prado and the Peruvian press. (411.006/9-3058)

PE-17. Memorandum of Conversation, by the Officer in Charge of Peruvian Affairs (Pringle)¹

Washington, September 25, 1958.

SUBJECT

Peruvian Desire for Development Loan Fund Assistance

PARTICIPANTS

Dr. Raúl Porras Barrenechea, Foreign Minister of Peru
Dr. Juan Bautista de Lavalle, Peruvian Ambassador to the OAS
Sr. Miguel Grau, Minister Counselor, Embassy of Peru
ARA – Mr. Rubottom
WST – Mr. Siracusa
WST – Mr. Pringle

The Foreign Minister, in discussing the reaction in Peru to the imposition of lead and zinc quotas by the U.S., said that he wished to bring about a greater understanding in his country of the reasons which had led the U.S. to take this action. However, in order to do this and in order to demonstrate that the U.S. was still cooperating with

¹ Source: Department of State, Central Files, 723.5-MSP/9-2558. Confidential. Drafted September 26.

Peru, he would have to take something back as concrete evidence of U.S. assistance.

Dr. Porras handed Mr. Rubottom a short memorandum requesting a loan to finance a National Health Plan.² Mr. Rubottom asked whether the plan had been worked out in detail, and the Foreign Minister gave him a copy of a three-page letter dated July 24, 1958, from Minister of Health Sánchez to Dr. Vintinner, Director of SCISP in Peru.³ The letter describes a national health plan envisaging the construction of numerous hospital and health centers in different parts of the country, the establishment of public health and nursing schools, and the implementation of many other plans for the improvement of public health. The letter requests that the U.S. loan an amount of money sufficient to permit the development of the plan during a three-year period. (Dr. Porras indicated that the sum involved might be in the neighborhood of \$30 million.)

Mr. Rubottom said that this matter would be studied but that he must say in all frankness that the DLF was very reluctant to make loans in the fields of public health and housing. He explained that the problems involved in those fields were so tremendous that the U.S. could not possibly afford to finance their solution. He said it had been estimated that a billion dollars could be spent annually on housing in Latin America for a generation without solving the housing problem. For that reason, he added, the U.S. tries to direct its economic assistance loans toward productive enterprises so that Latin American nations can increase their productivity and finance the solution of their social problems as their economies grow.

Dr. Porras then mentioned a Peruvian application for DLF assistance for roads which he said had been presented in Lima. Mr. Rubottom said that he had no information regarding this application but that the Department would query Embassy Lima about it.⁴

Dr. Porras said that he would be at the UN in New York for perhaps a week and that he hoped it would be possible for him to take back a favorable decision on a loan to finance the National Public Health Plan when he returned. Mr. Rubottom said that the request would be studied but that he could give the Foreign Minister no encouragement in his hope.

² The referenced memorandum by the Peruvian Ministry of Public Health and Social Assistance is attached to the source text, but not printed.

³ The referenced letter is attached to the source text, but not printed.

⁴ The Development Loan Fund authorized a \$3.5 million to be supplemented by P.L. 480 funds for highway construction, December 19, 1960. For further information, see Development Loan Fund, *Report of Activities During Calendar Year 1960* (Washington, 1961), p. 3 (table).

**PE-18. Memorandum of Conversation, by the Officer in Charge
of Peruvian Affairs (Pringle)¹**

Washington, October 15, 1958.

SUBJECT

Peruvian Desire for Economic Assistance

PARTICIPANTS

Dr. Raúl Porras Barrenechea, Foreign Minister of Peru
Sr. Miguel Grau, Chargé d'Affaires, a.i., Embassy of Peru
Sr. Guillermo Hoyos Osoreo, Counselor, Peruvian Foreign Office
Admiral Luis Llosa, Naval Attaché, Embassy of Peru
ARA – Mr. Rubottom
WST – Mr. Siracusa; Mr. Pringle

Dr. Porras referred to his September 25 conversation with Mr. Rubottom on the subject of economic assistance and spoke once more of his need to take back to Lima some new and specific evidence of U.S. willingness to assist Peru. He said that President Prado had instructed him by telephone to call on Mr. Rubottom for this purpose and particularly to seek immediate approval of a credit to the Banco Minero for small loans to Peruvian mining companies.

Mr. Rubottom said the Department had received a message from Embassy Lima outlining this proposal in broad terms² and that the Eximbank was prepared in principle to consider such an application. He added, however, that considerable detail, including information on the types of loans the Banco Minero proposed to make, would be required in order for the application to be properly evaluated. Mr. Siracusa observed that the assistance should probably not be sought for lead and zinc, already in overproduction, but for other minerals.

Dr. Hoyos then gave a long, rapid-fire description of Peru's exploding population, deep poverty, Indian problem, social unrest, communist agitation, and political instability, concluding with a plea for substantial U.S. assistance to help it overcome these problems. In the course of the description, he observed that Latin American dictators had happened to be in power during the good economic times of the post-Korean War period, while democratic regimes such as that of

¹ Source: Department of State, Central Files, 723.5-MSP/10-1558. Confidential.

² In telegram 217 from Lima, October 10, the Embassy reported favorably that the National Emergency Lead-Zinc Committee had proposed to Ambassador Achilles on October 10 that the Export-Import Bank of Washington extend credit to Banco Minero which would make loans for small mining companies to exploit mineral deposits other than lead or zinc. (411.006/10-1058)

President Prado had to face, in addition to the other problems confronting democracy in Latin America, the handicap of an economic recession. He observed that many of Peru's requirements for U.S. aid were shared by most Latin American countries but that Peru's needs were particularly urgent.

Mr. Rubottom said that the U.S. was sympathetically aware of the problems facing Peru and other Latin American nations and that we wished to cooperate closely with Latin America in striving to solve them. He said that the economic development needs of Latin America obviously could not be met merely from U.S. economic assistance resources, but he expressed confidence that substantial progress could be made through U.S.-Latin American cooperation. In reply to a remark by Dr. Hoyos concerning a reference in his Santa Barbara speech of October 10³ to the importance of private capital in economic development, Mr. Rubottom pointed out the role which foreign private capital had played in the development of the U.S. economy prior to World War I. He also spoke of the vital role which domestic private capital could play in the economic development of Latin America and of the importance of creating conditions which would induce capital to stay in the country.

After some further exchange on economic development and basic commodity problems, Dr. Porras again referred to his need to take some concrete offer back to Peru with him and asked whether he could be given a commitment for a specific sum of money as a credit to the Banco Minero.

Mr. Rubottom said that he could not give such a commitment and, furthermore, that he did not believe such a step would be in the best interests of either the U.S. or Peru. He referred to the press statement released by Embassy Lima on October 1⁴ and to the sentence expressing the readiness of the U.S. to give careful and sympathetic consideration to any applications made by the Peruvian Government for loans to finance sound and constructive projects, especially projects designed to alleviate distress in the mining areas. Mr. Rubottom said that the Department and other U.S. Agencies stood fully behind that statement and that he believes it constituted an important assurance to the Peruvian Government that any sound loan applications made by it would receive prompt and sympathetic attention in Washington.

Dr. Porras asked whether he could assure the Peruvian Government and public that the United States was prepared to give expeditious, careful and sympathetic attention to any Peruvian

³ For the text of Assistant Secretary Rubottom's speech, see the Department of State *Bulletin*, October 27, 1958, p. 654.

⁴ The statement under reference is quoted in telegram 196 from Lima, October 1. (411.006/10-158)

Government loan applications for sound projects, and Mr. Rubottom said that he wished to give the Foreign Minister his personal assurance: that this was the case.⁵

⁵ In telegram 188 to Lima, November 3, the Department of State informed the Embassy that the Export-Import Bank doubted the political value of a loan to Banco Minero if only an insignificant number of applicants could meet the Export-Import Bank's criteria for loan approval. (823.10/10-2158)

PE-19. Memorandum of Conversation, by the Ambassador in Peru (Achilles)¹

Lima, December 11, 1958.

SUBJECT

Petroleum Price Increases

PARTICIPANTS

President Prado
T. C. Achilles

During my call on the President this morning, he expressed hope of my support for U. S. financing for a number of development projects, which gave me an opportunity to say that the U.S. attitude toward both public and private investment in Peru could not but be greatly affected by a number of factors, including the strength and stability of the Government and its ability to secure legislation from Congress, a balanced budget, and the treatment of foreign investment as exemplified by the petroleum price problem.

I continued that I recognized the domestic political problems involved but that petroleum prices had long been held by the Government at an abnormally low level and that a level permitting continuation of a viable petroleum industry in Peru could not but be of great importance to the future U.S. attitude toward investment here.

He replied that he was fully aware of the importance and difficulties of the petroleum industry and of the need for petroleum price increases. He would see that they were granted. There was currently

¹ Source: Department of State, Central Files, 823.2553/12-1158. Official Use Only. The source text was transmitted to the Department of State under cover of despatch 566 from Lima, December 11.

a tremendous political uproar over the budget but the Government would nevertheless push through a balanced budget before the end of the month. Then it would take up the petroleum price increases. There would be a similar uproar, probably with strikes and demonstrations, but the price increases would nevertheless be granted.

I said I had been disturbed by Prime Minister Gallo Porras' statement to me yesterday that Congress would not approve the legislation and that the increases should be enacted by decree after Congress had adjourned, subject to approval next July.² The Company had repeatedly been promised some such action without results and believed that legislation was necessary. Without specifically stating that it would be done by legislation, although he said there would be another extraordinary session of Congress in January, the President reiterated that the price increases would be put through as soon as the budget had been passed, no matter what the uproar might be.

² The memorandum of conversation between Prime Minister Porras and Ambassador Achilles, December 10, was transmitted to the Department of State with this memorandum of conversation.

PE-20. Memorandum from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Deputy Under Secretary of State for Political Affairs (Murphy)¹

Washington, December 18, 1958.

SUBJECT

Deteriorating Situation in Peru

This is to call your attention to the deteriorating situation in Peru, where the vacillating government of President Prado faces growing unrest. It has exerted no real leadership and has lost all of the prestige which it originally enjoyed for giving Peru a democratic administration after eight years of military dictatorship.

¹ Source: Department of State, Central Files, 723.00/12-1858. Confidential. Drafted by Pringle. The source text bears the following note of December 19 from Murphy to Rubottom: "As Achilles is coming up for the holidays, let us have a discussion with him about this." No record of the projected discussion was found in Department of State files.

Lima despatches report Ambassador Achilles' serious concern over increasing disintegration of the political and social fabric. Signs of this disintegration include the seizure of property by landless persons, near-chaos in most universities, a bitter and prolonged doctors strike, and public demonstrations reflecting growing disrespect for law.

Similar situations in Peru's past have usually led to military coups, and the Ambassador believes the likelihood of such a development in the near future cannot be excluded. Although high military officials appear determined to maintain constitutional processes, Peruvian military coups usually come from the middle ranks rather than the high command. Looking further into the future, the Ambassador does not exclude the possibility of a bloody social uprising of the poverty-stricken highland Indians unless the ruling elite takes far more action to raise the masses' standard of living than it has shown any intention of doing.

While communist activity has so far played a relatively minor role in Peru, the field for its development is becoming increasingly fertile.

This potentially explosive situation comes at a time when our lead-zinc quotas have severely exacerbated U.S.-Peruvian relations. The Ambassador foresees no improvement in Peru until that nation begins to experience a greater measure of prosperity and of firm governmental leadership.

**PE-21. Memorandum of Conversation, by the Director of the
Office of West Coast Affairs (Siracusa)¹**

Washington, January 20, 1959.

SUBJECT

IPC Problem in Peru

PARTICIPANTS

Mr. Michael L. Haider, President of IPC and a Director of Standard Oil of
New Jersey

Mr. Milo Brisco, Vice President of IPC

Mr. Martin Jones, Director of Public Relations, Standard Oil of New Jersey

Mr. Siracusa, WST; Mr. Silberstein, WST

¹ Source: Department of State, Central Files, 823.2553/1-2059. Official Use Only.
Co-drafted by Joseph A. Silberstein.

Mr. Haider explained they had come to fill the Department in on IPC's problem in Peru. The company has been in contact with the American Embassy in Lima and Mr. Haider presumed the Department was generally familiar with the situation. At Mr. Haider's request, Mr. Brisco explained that according to the terms under which it operates in Peru, IPC is obliged to supply 80% of the domestic market's needs. The Lobitos Company, in which IPC recently purchased a 50% interest, must supply 15% of the domestic requirements and a few small companies make up the balance. Back in the early '40s when this requirement was established, it was not an onerous one as only about 40% of IPC's production had to be devoted to the internal market. Since then, as domestic consumption has risen, while production has been relatively stabilized, it has reached the point where some 80% of IPC's production must be devoted to the Peruvian market. Mr. Brisco went on to explain why this obligation to supply the domestic market places such a burden on the company. At the beginning of World War II, the Peruvian Government placed price controls on many necessities. These controls were lifted after the war on everything except bread and petroleum products. With the exception of some minor adjustments allowed in 1953–54, the Government has hesitated to permit further price adjustments because of its fear of the political and social repercussions which might ensue. In the meanwhile, the sol has depreciated in value and production costs have risen. Today the controlled prices net IPC a return of only 70¢ a barrel at the well-head. He emphasized that this calculation is reached by subtracting only the costs of the refining and distribution operations and without including a profit return on those operations. The comparative price in the United States for the equivalent grade of crude would be about \$3.25 a barrel. Today it costs IPC about a dollar a barrel to produce the crude which is netting only the 70¢/barrel return. Mr. Brisco pointed out that the Government-owned petroleum company which produces some 2600 barrels a day by itself and receives another 500–600 barrels in royalty crude is not obliged to supply the domestic market and in fact, has resisted efforts to make it supply that market on the grounds that it cannot do so profitably at the prices presently allowed. Most of the Government company's crude is exported. It supplies small quantities for the refinery at Iquitos area where the controlled price is well above the price permitted in the rest of the country.

In response to a question, it was brought out that IPC expects to just about break even this year on its Peruvian operations, since the profit on the foreign marketing of about 20% of its production will be just enough to cover the losses on its domestic processing and sales of the other 80%. This contrasts to an overall profit last year of about \$2-1/2 million and of some \$12 million as late as 1954. IPC's investment in Peru, however, is upwards of \$200 million.

The relationship of IPC's problem to the Peruvian balance of payments was also discussed. Under the present circumstances, IPC is not disposed to make additional investments needed to increase production and believes the day will soon arrive when Peru will be a net importer of petroleum. If, however, it can obtain satisfaction on the pricing problem, IPC would make investments in secondary recovery which it would hope would maintain output and possibly make a modest increase. This would maintain Peru's ability to export petroleum for a longer period and put off the day when Peru would become a net importer of petroleum products, which while probably inevitable, would still be perhaps eight or ten years in the future. IPC does not, however, expect any major discovery which would alter the long-range prospect that Peru would eventually become a net importer.

In addition to the affect it is having on Peru's balance of payments situation, Mr. Brisco pointed out that the unrealistic petroleum pricing policy is also serving to discourage development of Peru's hard fuel sources. Peru, he said, has ample coal resources, but there is no inducement to develop them. He pointed out that at the Chimbote steel plant, they find it cheaper to use kerosene in the coal drying operation than coal.

Mr. Brisco then went on to review the proposal which IPC has made to the Peruvian Government, which the Government has so far not acted upon. In return for an adequate pricing policy, IPC has offered to place its operations under the 1952 Petroleum Law and give up its present fee-simple status for a 40 year concession and to pay the GOP a 50 percent tax on all its profits in Peru. It has further offered to extend \$25 million in low interest loans to the Government for road building, housing and other projects.

When asked, based on their experience in the country and knowledge of its political problems, what might be the reaction to the kind of relief which IPC seeks, Mr. Brisco responded as follows: He said that the inefficiency and vacillation of the Prado administration has clearly cost it much of its support and in fact generated much opposition to it. He realizes that a sharp increase in petroleum costs would have a major public impact and said that he would not attempt to predict that this act might not be the straw that would break the camel's back and bring about the overthrow of the Prado regime. On the other hand, he pointed out that many of the features of IPC's offer to Peru are such that the Government could make a strong logical case to defend its actions and point out how it would serve the interests of the country.

In response to Hr. Haider's request for comment on the proposals made by IPC, Mr. Siracusa suggested that, while he could not evaluate them from an expert point of view, he did recognize, consistent with what Mr. Brisco had said, that the proposals contained many points

which should be appealing if evaluated logically. He said, however, that emotions are likely to prevail over logic and wondered whether, because of this, the inclusion of the 50–50 formula was sound. The feeling is fairly general, he said, that the 50–50 formula is on the way out and the Peruvian Government's acceptance of it, as something almost *passé* might cause it problems and might be one of the reasons for its holding back.

Messrs. Brisco and Haider thought the point was well taken and merited study even though they thought that the proposal was an eminently fair one in the Peruvian context. Mr. Brisco then said that he should like to make it clear that IPC's position is flexible and that it would be most happy to receive a counter-proposal from the Peruvian Government on which it could negotiate.

Mr. Siracusa said that he was certain the visitors were aware that Ambassador Achilles had been actively interested in their problem and had, in fact, discussed it on numerous occasions with the President and the Minister of Finance. Although both of these gentlemen assured the Ambassador of their intention to take necessary action, the Ambassador is not convinced that they will actually do so. In fact, he tends to believe that their actions will be much less courageous than their words.

Mr. Siracusa then said he felt it would be timely to support the Ambassador's efforts at Lima. He would propose that Mr. Rubottom call in Ambassador Berckemeyer specifically for the purpose of discussing this case with him, indicating the Department's strong interest, and urging him to recommend that his Government press for an acceptable solution.² He said that in discussions with the Ambassador he felt it would be appropriate to bring up the importance of solving the petroleum problem to Peru's balance of payments problem, and thus to its credit-worthiness for the kind of development loans which it will be seeking shortly from the U.S. and other financial institutions. He said while such a relationship would not be mentioned as a *quid pro quo*, the fact that Peru's ability to service loans will be affected by the petroleum situation made it logical and fair that the matter should be raised.

Mr. Brisco and Mr. Haider expressed their pleasure at the proposal to consult with the Ambassador. While they raised some questions about Peru's desire for development loans, they did not in any way challenge the expressed intent not to make an IPC solution a *quid pro quo* for the loans. They left with Mr. Siracusa copies of a study recently made by the company reviewing the history of the problem and

² A memorandum of conversation of February 2 stated that Assistant Secretary Rubottom told Ambassador Berckemeyer that the IPC's pricing problem in Peru was "an extremely serious one which was having an adverse effect" on the investment climate in Peru. (823.2553/2-259)

outlining the proposals made to the GOC, and also one made in 1954 by an independent consultant.³

³ The referenced study was not found in Department of State files. The Peruvian Government raised petroleum prices and granted compensatory increases in transportation tariffs and wages on July 26. When an ensuing protest strike by chauffeurs unions became violent, the Government suspended constitutional guarantees on July 30 and broke the strike by August 2. Documentation on these developments is in files 723.00(W), 823.00, and 823.062.

PE-22. Editorial Note

By an exchange of notes at Washington on June 15, 1959, Peru and the United States concluded an agreement for a five-year renewable loan of a dry dock to Peru. The agreement provided that Peru assume the costs of the transfer of the dry dock and make available the dry dock and its naval yard to naval vessels of the United States and of Latin American nations that had concluded military assistance agreements with the United States. For the text of the agreement, see 10 UST 1053. Documentation on its negotiation is in Department of State files 723.5-MSP and 723.5621.

PE-23. Memorandum from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Under Secretary of State (Dillon)¹

Washington, June 29, 1959.

SUBJECT

Peruvian DLF Loan Application

Background:

The Peruvian Government has applied for a \$4.1 million DLF loan to cover most of the local currency costs of the \$9 million

¹ Source: Department of State, Rubottom Files, Lot 61 D 279, "Peru 1959." Official Use Only. Drafted by Pringle; the source text is an unsigned carbon copy. Pringle had written a similar memorandum, June 26, which was addressed from Silberstein to Rubottom and is filed with the source text.

Aguaytía-Pucallpa road project. The IBRD gives the project its highest priority in Peru and is prepared to finance the \$4 million foreign currency costs. The Peruvian Government, which is suffering serious economic and financial difficulties, will provide the remaining \$900,000 in local currency. The project is considered an excellent one from the standpoint of economic development. It would improve a very inadequate existing road to the head-waters of navigation of the Amazon-Ucayali Rivers at Pucallpa, thus opening up promising areas for settlement and providing an all-weather route for transporting products from the trans-Andean area to Lima.

The Peruvian application has been discussed by the DLF Board, where it not a cold reception. There has been some opposition to the loan because it is for local currency costs, while Mr. Waugh is understood to oppose any DLF loan to Peru at the present time. Various alternative methods of financing were discussed by the Board, i.e. utilizing the "sterilized" local currency proceeds of the Eximbank's \$40 million line of credit to Peru or inducing the IBRD to finance the local as well as foreign currency costs. I understand that both of these ideas have been abandoned and that prospects are for further inconclusive consideration by the DLF.

I believe it is important that the DLF grant this loan promptly. It is a meritorious one from the standpoint of economic development, and there are certain political considerations which make its approval of great importance.

1. Our relations with Peru have been under a strain for some time, to a large degree as a result of commodity problems with that country. Our establishment last September of quotas on lead and zinc, Peru's second most important export, was the severest blow to U.S.-Peruvian relations in years, but cotton and sugar problems have also contributed their share to the strain. Cotton is Peru's most important export, and the Peruvian Government has repeatedly expressed grave concern over our upland cotton export program for the 1959–60 marketing year. This program, which will lower by five cents per pound the price of U.S. cotton after August 1, has been characterized by Peru as "dumping" and "economic aggression." Peru is similarly concerned over the current Tariff Commission investigation to determine whether our long staple cotton import quota should be reduced. I believe that the granting of a DLF loan for the Aguaytía-Pucallpa road would tend to ease some of the present strain and would have a beneficial effect on our overall relations with Peru.

2. The Prado Government is in such financial difficulties that it has been able to undertake almost no economic development projects

and desperately needs for internal political reasons to be able to point its finger at some worth-while project it has initiated. Despite some of its obvious weaknesses, the Prado Administration was democratically elected and is trying to give Peru democratic Government. I believe it would be in the United States' interest to strengthen it by granting the loan.

3. Having embarked upon a stabilization program, the Government has expected that as a consequence it would be eligible for loans from the U.S. for economic development. It has complained that such loans have not materialized; the Aguaytía-Pucallpa loan application offers the opportunity to grant a sound loan and to overcome those complaints.

4. Although the Peruvian Government did not formally present the application to the DLF until May 19, 1959, it was long under the mistaken impression that it had done so as of late January 1959. Peruvian officials have been extremely displeased over the delay resulting from this unfortunate misunderstanding, especially since they understand that the IBRD had been prepared for some time to finance the foreign currency costs of the road, providing that Peru could arrange the local currency financing.

*Request for Action:*²

In view of the urgent political considerations in favor of this loan and of the difficulties which have so far beset the Peruvian application, I would greatly appreciate anything which you may be able to do to assure favorable consideration of the Peruvian request by the DLF Board as soon as possible.

² There is no indication on the source text of Under Secretary Dillon's action on this request. The Development Loan Fund signed a \$4.5 million loan agreement with the Government of Peru on December 19, 1960, for improvement of the Aguaytía-Pucallpa road; and a \$1.8 million loan agreement on September 8, 1961, for penetration roads. For further information, see agency for International Developments, *Status of Loan Agreements as of March 31, 1964* (Washington, 1964), p. 26.

PE-24. Despatch from the Ambassador in Peru (Achilles) to the Department of State¹

Lima, August 3, 1959.

No. 60

SUBJECT

Beltrán's Program

There is enclosed a memorandum of long conversations with Sr. Beltrán over the week-end.²

His program, both with respect to a sound, free economy, based on private enterprise and stimulation of domestic and foreign investment and to the urgent need of social progress, is in broad terms substantially identical with what the Department, other agencies of the U. S. Government, and this Embassy have long advocated. After three years of weak and vacillating Peruvian Government we now have one headed by a man who deeply shares our views as to what is necessary and is determined to do it. He will work closely with us and seek our advice but he will not need much of it. What he needs most is our moral and some material support. I believe the latter will be both relatively small and soundly based but its psychological effect will be great.

On my return I find more support for him and more optimism that he can succeed than I expected. Despite the great difficulties he is having, he has a good fighting chance to succeed. If he fails, as was pointed out in Mr. Sayre's Despatch No. 41 of July 22,³ not only will Peru be in a grave situation economically, politically and socially, but the American philosophy of free economy and free enterprise will also be gravely discredited in Peru.

I am doing everything I can morally here by radiating confidence in the new Government to all and sundry and will be asking concrete assistance as soon as sound projects are developed. I know the Department will appreciate the importance of rapid, and wherever possible, favorable action.

Theodore C. Achilles

¹ Source: Department of State, Central Files, 823.00/8–359. Official Use Only.

² August 1–2.

³ Not printed; it reported the Embassy's views on the background selection, and prospects of the Beltrán Cabinet. (723.12/7–2259)

[Enclosure]

Memorandum of Conversation

August 3, 1959.

SUBJECT

Beltran's Program

PARTICIPANTS

Sr. Pedro Beltran, Prime Minister and Minister of Finance
T. C. Achilles

Over the week-end I was the only guest at Beltran's hacienda and he and I spent Saturday afternoon and evening and all day Sunday discussing what he hoped to achieve, how he hoped to do it, and what assistance from the U.S. might be practicable. His hopes from us are much more modest and much sounder than those of his recent predecessors.

Why He Accepted Office

Having participated in 48 hours of soul searching with him last year before he turned down the same two positions, I was surprised that he had accepted them this year. He said that a month ago he had been convinced that Prado was about to fall, that no successor to the President or Prime Minister was in sight who could hope to change the three-year drift into inflation and economic stagnation and the centuries-old resistance to social progress. He foresaw nothing but accelerated deterioration, with or without a military government, and probably an early Communist-fomented social revolution. He believed that the President would not have turned to him except from similar acute pessimism. The friends he had consulted had urged him to accept as a patriotic duty. He had debated waiting until after "one more government had fouled things up worse" but concluded that might be too late.

The President had promised him full support. He did not count on this except insofar and as long as the President considered their fortunes linked. He had been assured of full support by the military and believed them. (Top Army and Navy sources have confirmed this to me.) He had not sought APRA support but had been assured of it at least on a trial basis. (Prialé⁴ has confirmed this.) He could count on the support of the wealthy class in their own interest, except for the Miro Quesada group. (Presumably correct.) In Congress the MDP would have to support him in their own interest. They with APRA constituted

⁴ Ramiro Prialé, Secretary General of APRA.

a majority. The Christian Democrats generally shared his views and, while they had refused to join his government and might vote against him, probably would not cause him too much trouble. He expected all out opposition only from the Communists, Acción Popular and the Miro Quesadas, whose *El Comercio*⁵ has been following the Communist line increasingly strongly. He had accepted and would wage an offensive rather than defensive fight for his program.

Principles

A sound, free economy was fundamental to everything else. Next to that, economic and social progress were essential and urgent if a social revolution were to be avoided.

Financial Program

The first requisites were to stop inflation, restore confidence and stabilize the currency and prices. He was inheriting a billion-sol deficit for 1959 and the prospect of a larger one in 1960 unless drastic measures were taken. He could not perform miracles but he would do everything humanly possible and as quickly as possible. He felt that the private sector had been squeezed hard enough and that the public belt must be tightened.

The first essential step was to stop borrowing from the Central Bank. He had done so and would not resume. This in itself would do much to stop inflation and exchange depreciation. He could neither reduce this year's budget nor reduce salaries but he would cut expenditures all he could. He had already found some expendable personnel and would get rid of them; more could be done through attrition by non-filling of vacancies as they occurred. Military expenditures, particularly for new equipment, could and would be cut. The President and three military Ministers had promised to cooperate on this. He realized that difficulties would arise when it came to specific cuts but he was determined to make them and thought he could count on a reasonable measure of cooperation.

He did not believe further tax increases at this time feasible either politically or economically. He was trying to speed up tax collection. (IPC's new agreement with the Government provides paying the latter 50 per cent of its net profits. The Company already makes monthly estimates of its annual income and has agreed to make monthly anticipatory tax payments on the basis of such estimates. Beltran hopes to persuade other American and Peruvian companies to do the same.) He also expects to tighten tax enforcement. He had not been aware of the

⁵ Luis Miró Quesada Guerra was the Director of the conservative newspaper, *El Comercio* (Lima).

tax enforcement measures recommended by Costa⁶ and approved by Gallo Porras, many of which have not yet been given effect, and was delighted to hear about them.

Ending price controls on meat and raising the controlled price on bread and rice to a realistic level should ease the deficit by from 100 to 200 million soles.

Nevertheless he believed he would need an additional one billion soles (roughly \$40 million) for operating expenses until next June 30. He was determined not to resort to the Central Bank. IPC had agreed to lend \$20 million for this purpose. He wondered whether IPC could make it \$40 million. I said the Company's manager⁷ here had had difficulty persuading the head office to approve the \$20 million and felt that one company alone should not be called on for the whole amount. He thought small amounts might be raised from others such as Grace, Cerro de Pasco, Southern Peru Copper, and the Telephone Company (he volunteered that he hoped for an early solution of the telephone problem) but probably not much.⁸ Could the U.S. Government make a loan for operating expenses? I suggested that we first explore the possibility of using the existing EX-IM credit for this purpose. He readily agreed. He would agree to any reasonable conditions attached to any U. S. loan and could write some himself. He recalled his article in "Foreign Affairs" in 1956 in which he had written that the conditions attached to U. S. loans were of more value to the recipients' economy than the loan itself.

He realizes that the 1960 budget will be a major problem and battle. He does not think he can reduce it below this year's total and believes that, given this year's wage increases, it will be a major victory to hold it to that level. He is counting on increased business activity, some based on renewed confidence and some otherwise stimulated, and non-inflationary financing to provide the revenue. His social program, particularly in housing, should also stimulate business.

Social Program

Beltran feels strongly that unless the reactionary feudal attitude of the Government and ruling class is changed quickly, there will be a social explosion, sparked by the Communists but participated in by most of the underprivileged 95 per cent of the population. He hopes to follow the British pattern of "social progress by conservative

⁶ [illegible in the original] United States Operations Mission in Peru.

⁷ Jack Ashworth.

⁸ Compañía Peruana de Teléfonos (Peruvian Telephone Company), a subsidiary of International Telephone and Telegraph Corporation, sued the Government over a December 23, 1958 decree setting up a committee to establish new procedures for rate changes, as reported in despatch 1049 from Lima, May 22, 1959. (923.30/5-2259)

government” and believes that the time is ripe for far-reaching measures, that enough men in his Cabinet and in the ruling group in Peru share his view to make them practicable, and that they need not be of a nature to arouse excessive opposition from the wealthy. (I hope he is right and believe the outcome of his attempt will have profound consequences for Peru’s future.)

He believes that the slums of Lima, Arequipa and a few other cities and the over-populated Cuzco-Puno-Arequipa area in the South are the danger areas. (So do I.)

As stated in his radio broadcast on assuming office,⁹ he gives top priority to housing, roads and land reform.

Housing

He believes that housing has the greatest single appeal for the urban and many of the rural underprivileged. He opposes government financing and construction and is insistent on private enterprise and private financing through the building and loan association method. His recently established association in Lima has reached a capital of 5 million soles. He intends to push wealthy Peruvians to increase this to 15 million soles very shortly and then to apply to the DLF for a loan (amount as yet undetermined although \$4 million has been mentioned) to be invested in the association on a sol for sol basis. He then plans to establish similar associations in Arequipa, Puno, Cuzco and other cities. He believes that once these associations begin making loans, the inflow of savings from small depositors will be enormous. The building trades should also boom.

Roads and Land Reform

He considers these inter-related in that much of the land to be provided those seeking it must be in newly developed areas. Road improvement will also stimulate increased production and better land utilization. He believes the opening of new lands in the jungle more economic than further irrigation on the coast.

Assuming that the IBRD and DLF loans for the Aguaytía-Pucallpa road will shortly be approved, he gives top priority to penetration roads in the South. I urged that priority be given to the Bagua-Yurimaguas road in the North on the grounds that it would open up the best land, that engineering studies for it had been completed, and that the quality of the land would attract the Indians even from the far South. He granted the first two and thought the Yurimaguas area of great importance for the future but did not believe that the Southern Indians would

⁹ The Embassy informed the Department of State of Prime Minister Beltrán’s address of July 22 in telegram 67 from Lima, July 23. (823.10/7–2359)

go there or stay if they did. He stated that most of the Indians who had migrated to the upper Huallaga (between Tingo María and Tarapoto) had stayed less than a year. The South was urgent.

He gave first priority to a road from Sandía to the Tambopata. The Indians were already moving into the Tambopata area in large numbers even though they had to go and come and carry their produce by trail. The terrain was difficult but the distance short and the Indians had proved they wanted to settle there. He would like to see the road built as a dramatic example of U. S.-Peruvian cooperation, surveyed by U. S. Army engineers using helicopters, jointly financed and built by the Peruvian Army with the engineering equipment already furnished by the U. S.

(Beltran is keenly interested in using the Army, and other services where practicable, for constructive development of the country and also in popularizing it, within the Army and without, to bulwark the country's future internal order. He also shares our views on the value of using the conscription period for civic and technical training.)

I shared his interest in the dramatic but reminded him that no real engineering studies had been made of a Tambopata road, of the time it took to get from conception through studies, financing and construction to completion, and the slow progress being made on the nearby, similar purpose, Smathers-financed Macusani-San Gabán road. He agreed to expedite progress on the latter but insisted on the advantages of a dramatic approach to the Tambopata road and of constructing it "a la Yanqui" rather than "a la criollo". I agreed to look into the possibilities, primarily of ICA financing a study by U. S. and Peruvian engineers of the practicability of the road.

He is now pushing his Commission on Housing and Land Reform to complete its study on the latter subject by the end of this year and hopes to be able to take specific measures next year.

Livestock Development

I told him that former Minister of Agriculture¹⁰ had nearly completed studies of a program designed to make Peru self-sufficient in meat and that I had found Washington favorably disposed to consider a loan for this purpose, provided the price of meat was freed from control as had now been done. He had not known of this and was delighted.

He thought the first step should be studies of pasturage, on the coast, in the Sierra and in the jungle, and then the importation of improved breeds. Technical assistance would be needed. I asked about the financing of the local expenditure. He thought it should be done by the Banco

¹⁰ Reference presumably is to Emilio Foley, Peruvian Minister of Agriculture, March 20-July 19, 1959.

Agropecuário, which in turn should be financed to an increasing extent by the commercial banks rather than by the Central Bank. This raised a problem of interest rates but he believed it could be handled.

Identification of U. S. with Program

He said he knew his financial and social programs could succeed only with close U. S. cooperation and help and that it would be in the best interests of both Governments for the U. S. to be closely identified with progress on all fronts. I entirely agree. He stated that he wished to formulate the specific aspects of his programs, and carry them out, in close consultation with us and to give the U. S. maximum credit in the process. I am sure he will.

PE-25. Memorandum of Conversation, by the Officer in Charge of Peruvian Affairs (Poole)¹

Washington, August 7, 1959.

SUBJECT

Peruvian Request for Military Aircraft

PARTICIPANTS

Ambassador Berckemeyer, Embassy of Peru
Maj. Gen. Guillermo Van Oordt, Air Attaché, Embassy of Peru
ARA—Mr. Rubottom
WST/P—Mr. Poole

Ambassador Berckemeyer and General Van Oordt called at the Ambassador's request to discuss further the Peruvian Government's request to purchase military aircraft. The Ambassador apologized to Mr. Rubottom for disturbing him when the latter was about to leave for the Santiago Conference² but explained that he felt it was urgent to inform Mr. Rubottom of the replies he had received from Lima on the matter. In addition, he said General Van Oordt was being transferred to Lima to become Chief-of-Staff (i.e. Commander) of the Peruvian Air Force and he wanted the General to explain the Peruvian position to

¹ Source: Department of State, Central Files, 723.5622/8-759. Confidential. Drafted August 11.

² Assistant Secretary Rubottom served as principal adviser to Secretary Herter at the Fifth Meeting of Consultation of Ministers of Foreign Affairs at Santiago, Chile, August 12-18; for documentation, see CH-23; CR-24; DR-11; VE-34.

Mr. Rubottom and to convey the latter's reactions to Lima. General Van Oordt said he planned to leave for Lima on or about August 11. Mr. Rubottom congratulated the General on his important assignment.

Ambassador Berckemeyer said that some time ago, through his Air Attaché, he had asked his Government to review its request for aircraft. Immediately after his conversation with Mr. Rubottom of August 4,³ he had again asked for a review of the matter, and he and his Air Attaché had just received replies – the latter from the Air Ministry – asking them to press the existing request without any reduction. The Ambassador then asked General Van Oordt to explain the matter more fully.

General Van Oordt expressed the opinion that this request was not extravagant. He argued that the planes were necessary to keep the Peruvian Air Force in existence and that they were the minimum needed for defending Peru's frontiers, not to speak of hemispheric defense. He claimed that this request conformed to the views of the U.S. Air mission to Peru. He then went into the details of the request as follows:

12 T-37's—These jet trainers were needed to replace obsolete T-34's which were uneconomical to maintain, and to provide necessary jet training for Peruvian pilots. General Van Oordt estimated that the planes would cost about \$1.5 million. (While the General did not make this clear in his talk with Mr. Rubottom, he explained to Mr. Poole afterwards that the Peruvian Government's request for T-34's in its note of June 9⁴ was incorrect and that it should have read T-37's. He said that on his return to Lima he would see to it that Ambassador Berckemeyer received the necessary amending instructions. Thus, he said, the total cost of the Peruvian Government's request was actually considerable higher than originally estimated. He stated that the Peruvian Government wished to purchase these T-37's on three-years credit.)

Eight F-86-F's—These would be strictly replacements. The Peruvian Air Force originally had 14 F-86-F's, of which eight had been wrecked. General Van Oordt said that these were nearly obsolete in the U.S. and hence available. He estimated the total cost at \$200,000. When Mr. Rubottom asked for a clarification of the June 9 *Aide Memoire* which simply said "acquire" without specifying terms, General Van Oordt

³ In a memorandum of the August 4 conversation, Assistant Secretary Rubottom asked that the Peruvian Government reconsider its request for aircraft in view of Prime Minister Beltrán's plan to reduce military expenditures. (723.5622/8-549)

⁴ A copy of the Peruvian Embassy is aide-mémoire of June 9 is in file 723.5622/6-959.

said this should have read purchase for cash. (Afterwards, however, he told Mr. Poole that he should have said purchase on three-years credit.)⁵

18 B-26's—These would be used unarmed for training, thus releasing for active duty the Peruvian Air Force's present armed B-26's which were now being used for training. These too, General Van Oordt said, were nearly obsolete in the U.S. and available. He estimated the total cost at \$140,000. (He told Mr. Poole that these were to be purchased for cash as stated in the *Aide Memoire* of June 9.)

Six C-46's—(General Van Oordt did not mention the earlier request for six C-46's in his talk with Mr. Rubottom, but he confirmed to Mr. Poole afterwards that this request was postponed although not cancelled.⁶ He explained that there was considerable pressure from the commercial airlines for these transports to be taken off of commercial runs, although, on the other hand, the routes they were now running were not covered by commercial lines and some would not be economical to run on a commercial basis.)

General Van Oordt argued that, practically speaking, there were only seven planes flying on active duty in the Peruvian Air Force. In answer to Mr. Rubottom's query about the British planes in the Peruvian Air Force, the General said that these Hawker Hunters are to all intents and purposes grounded for lack of parts. It was not only a question of acquiring replacement parts but of making some 50-odd alterations which had been developed in this model subsequently, and for which the planes would have to be sent to England. He said that these planes had not fired a shot nor dropped a bomb.

General Van Oordt then explained that he was a great protagonist of the principle of hemispheric defense, of arms standardization in the hemisphere, and of purchases in the United States. He said that he opposed the purchase of the British planes. He would like to continue making purchases in the U.S., but said that the Air Ministry is nevertheless studying the possible purchase of British, French or Canadian planes in case they were unobtainable in the United States. He hoped that the Ministry would not have to do this.

General Van Oordt asked that all these factors be carefully considered in studying the Peruvian Government's aircraft request.

⁵ The Peruvian Embassy reduced this request from eight to six F-86-F's in an aide-mémoire of May 11, 1960 to the Department of State. (723.5622/5-1160)

⁶ Ambassador Berckmeyer requested the six C-46 aircraft in an aide-mémoire of March 30 to the Acting Secretary of State. (723.5622/3-3059) In a conversation with Berckmeyer on May 20, Assistant Secretary Rubottom asked that Peru consider this request "in the context of many other, more burdensome Peruvian military expenditures." (723.5622/5-2059) Berckmeyer told Rubottom on June 9 that Peru had decided to postpone the request for the C-46's and to ask for the aircraft listed above. (723.5622/6-959)

Mr. Rubottom said he appreciated General Van Oordt's speaking with such frankness and that he would like to reply with equal frankness. He agreed that the needs of hemispheric defense and the desirability of standardization made it far preferable to purchase military equipment in the U.S. rather than elsewhere. He explained, however, that the U.S. felt the need to hold down the level of military purchases to what appeared really necessary, although, naturally, we could not interfere with a country's sovereign right to decide for itself how it was to spend its money in accordance with its own judgment of its needs, capabilities and resources. He added that the Department of State is under constant pressure from certain sectors of the Congress to limit military equipment going to Latin American countries. Additionally, he continued, we are often accused by the Latin Americans themselves of unnecessarily arming the Latin American countries.

Mr. Rubottom then referred to Prime Minister Beltran's talk with Ambassador Achilles about his new program, some of which had appeared in the press, and he referred particularly to Beltran's desire to reduce military expenditures. Mr. Rubottom said we were particularly disappointed that the Peruvian Government should be pressing its request for aircraft without a downward revision as we had urged, and despite Peru's difficult economic and financial situation. However, we now had no recourse, he continued, but to process the request in its present form, although we were very doubtful of favorable action. He explained that there were other government agencies involved in the matter and that their decisions on possible Peruvian request for economic and financial assistance might well be prejudiced by any such commitment of funds or credit to military expenditures of this magnitude.⁷

⁷ In a note of April 12, 1960, to the Department of State, the Peruvian Embassy requested authorization to purchase 10 C-45 [illegible in the original] and 2 B-260 aircraft. (723.5622/4-1260) In telegram 8 of July 5, the Department of State informed the Embassy in Peru that it had approved these purchases, but it suggested that the U.S. Air Mission Chief should try to dissuade Peru from purchasing two B-578 aircraft because of their unit cost of \$126,500 and possible maintenance and spare parts problems. (723.5622/7-560)

In telegram 803 to Lima, May 24, the Department of Defense, with Department of State concurrence, offered Peru four or five T-37's from the fiscal year 1961 Military Assistance Program and eight F-86F's under a Military Assistance Program grant in fiscal year 1960 instead of the prospective purchase of F-86F's by Peru. (723.5622/4-2560) In telegram 1011 from Lima, June 1, the Embassy in Peru informed the Department of Peruvian agreement to this offer. (723.5622/6-160)

PE-26. Telegram from the Acting Secretary of State to the Assistant Secretary of State for Inter-American Affairs (Rubottom), Temporarily in Puerto Rico¹

Washington, August 10, 1959, 10 p.m.

Ambassador Achilles will meet plane at Talara with Prime Minister and Mrs. Beltran. Beltran intends explain his “program” to Secretary² and you, probably along following lines:

Immediate objective is restore sound economy based on balanced budget, exchange and price stability, private enterprise and stimulation of domestic and foreign investment. Longer range but concurrently will seek accelerated social evolution primarily through private housing, road construction into new areas and land reform.

Immediate financial program includes:

- (1) Complete stoppage of borrowing from Central Bank;
- (2) Expediting tax collection; and
- (3) Tightening tax enforcement.

Plans reduce expenditures by:

- (1) Some reduction in government employees;
- (2) Greater reduction through forced attrition; and
- (3) Cutting military expenditures particularly for equipment.

Has been promised cooperation of President and armed services on 3.

Anticipates achieving exchange and price stability by mid-1960. Despite expected saving from above measures and termination food subsidies and increased revenues he expects need one billion soles (\$40 million) to meet treasury operating expenses until then without recourse to Central Bank. Of this International Petroleum Co. is loaning \$10 million. To make up balance hopes Eximbank will agree amend stabilization loan agreement permit Peruvian Treasury use sol proceeds (presently sterilized) from sale dollars borrowed from Exim.

Following cabled tonight to Achilles.³

Beltran intentions as outlined Embassy⁴ appear to contemplate significant steps towards coping with GOP economic and financial

¹ Source: Department of State, Central Files, 823.00/8–359. Confidential; Niact. Drafted by Silberstein and signed by Siracusa. Assistant Secretary Rubottom stopped at Ramey Air Force Base in Puerto Rico en route to the Santiago Meeting of Consultation.

² After an overnight stop at Ramey Air Force Base, August 10–11, Secretary Herter’s plane made a refueling stop in Talara, Peru, August 11, en route to the Santiago meeting.

³ Telegram 100 to Lima, August 10, transmitted the quoted text. (823.00/8–359)

⁴ In telegram 89 from Lima, August 3, the Embassy outlined the program Prime Minister Beltrán discussed with Ambassador Achilles, August 1–2. (823.00/8–359) This outline appears in the first part of the present telegram.

problems. You may inform Beltran USG views his objectives with sympathy and desires to cooperate with him in his efforts restore financial stability, improve climate for private investment, and create conditions favorable to national economic growth. Beltran, of course, should understand that basic stabilization effort will have to be made by GOP itself within limits of current balance of payments availabilities including existing EximBank credit. As for loans for development assistance they will, of course, have to be considered on case by case basis.

"EximBank probably prepared amend loan agreement permit Treasury drawing soles provided Exim satisfies itself not inconsistent with stabilization program Peru is developing with IMF. Bank would, however, like have explanation rationale of this operation since using counterpart only different in form from any other recourse to Reserve Bank and since apparently necessary in any event obtain approval Peruvian Congress for changing loan agreement. We dubious about any attempt make the/use of counter-part appear to be method of avoiding inflationary impact direct borrowing from Bank.

We note Beltran expects one billion sol budgetary deficit to mid-1960. Would appreciate your explanation gap this magnitude, which equal that anticipated 1959, in view anticipated additional tax revenues and economies."⁵

⁵ By telegram 193 from Lima, August 29, the Embassy sent requested budget data to the Department of State. (823.00/8-2959)

PE-27. Telegram from the Ambassador in Peru (Achilles) to the Department of State¹

Lima, August 11, 1959, 7 p.m.

132.

Secretary, Prime Minister Beltran, Rubottom and I had long mutually satisfactory talk at Talara this morning. Beltran described his program along lines outlined in Embassy telegram 89² and Embassy despatch 60. He stated he hoped shortly to submit concrete requests for

¹ Source: Department of State, Central Files, 110.11-HE/8-1159. Official Use Only. Repeated to Santiago for information.

² Regarding telegram 89 from Lima, August 3, see Document PE-26, footnote 4.

Export-Import Bank loan for livestock development, DLF housing loan for Savings and Loan Association and for help in studying practicability of Tambopata penetration road in south. Secretary cited importance to whole program of early concrete action in these fields and urged Beltran to submit specific applications as quickly as possible. Beltran has issued orders that this be done.

Secretary issued statement to press stating Beltran had outlined his program to him and the Secretary had great confidence in ability of Peruvian Government and people to surmount their present problems and progress steadily toward bright future.³

I believe meeting and Secretary's statement will help Beltran considerably with Peruvian Congress.

Achilles

³ The text of the referenced statement is in Conference Files, Lot 64 D 560, CF 1431.

PE-28. Despatch from the Ambassador in Peru (Achilles) to the Department of State¹

[Extract]

Lima, August 26, 1959.

No. 97

SUBJECT

Communism in Peru

VIII. RECOMMENDATIONS

1. With the Beltran Cabinet² we have the best opportunity we have had in the last three years to help the Peruvian Government and to encourage measures that will improve the economic, social and political situation in Peru. The most effective weapon against communism in Peru is the adoption of such measures. We should therefore do

¹ Source: Department of State, Central Files, 723.00/8–2659. Confidential. Extract. Drafted by Robert M. Sayre, Second Secretary, Embassy in Peru. Omitted are 46 pages of this report.

² The Cabinet of Pedro G. Beltrán Espantoso, Prime Minister and Minister of Finance and Commerce, took the oath of office July 20.

everything possible to help the Beltran Cabinet succeed. This means primarily consistent encouragement of the Peruvian Government to develop an effective economic and social program and prompt favorable action on our part on soundly conceived development projects which require foreign financing.

2. Some way must be found to give the Indians and mestizos a stake in the free enterprise system. The Indians are more contented when they have their own land—the Vicar General of the Catholic Church in Puno asserts that the higher incidence of land ownership among the Indians in Puno as opposed to that in Arequipa and Cuzco is one of the primary reasons communism is not making as much headway in Puno. Such measures as agrarian reform, housing, and highway construction to open new areas as proposed by the Beltran Cabinet, will help considerably. These and other programs that will demonstrate that the free enterprise system will assure a higher standard of living and a better distribution of the wealth will do more than anything else to make communism less attractive as a solution. We should encourage such programs and identify ourselves with them. We should encourage not only Government officials to adopt such measures but also opinion leaders whenever the opportunity presents itself.

3. The cooperative agriculture program (SCIPA) should be strengthened, especially its program of supervised credit. The credit program of the Maryknoll Fathers in Puno and the SCIPA supervised agricultural credit program in general have been successful and opened up an avenue for improvement of the standard of living which as a practical matter has not existed for the lower classes. We should not make the mistake of expanding too rapidly and possibly discrediting the program, but we should broaden this program as rapidly as is consistent with sound management. Other ICA programs are making a sound and welcome contribution, but increased and better production is needed more than anything else in Peru not only to raise the standard of living but to combat communist activities.

4. Our information effort should be concentrated primarily on identifying the United States with the aspirations of Peru and creating a climate for economic measures and reforms that will achieve these aspirations. This can probably best be done by U.S. officials encouraging the Government to adopt such measures and, once proposed, helping through our information program to develop a favorable atmosphere for them. Some of the unpopularity of the Prado Government during its first three years has rubbed off on the United States because of our support of his administration. Our reputation is even more at stake with Pedro Beltran as Prime Minister because he and his announced policy and his actions are closely identified with the United States. This will be a distinct advantage to us if he succeeds and we should help build a climate to help him succeed. At the same time we do the constructive job

of demonstrating that the programs and policies we espouse will offer Peru a higher standard of living we must effectively refute the communists. In the Lima area we can probably do this best by assisting media to do the job for us. In southern Peru, however, the job is much harder but this is where the communist danger is greatest and this is where we should concentrate our effort. We can probably make a greater impact on public opinion if we concentrate our leader grant program on people who help form public opinion on a daily basis, i. e., Congressmen, newspapermen, labor leaders, etc.

5. [*text not declassified*]

6. We should intensify our efforts in the universities along the lines we are now proceeding. The close working relationship between USOM and the medical faculty at San Marcos University has paid off in considerable good will toward the United States. The financial support we have given to this Faculty including laboratory and technical equipment has helped to make it one of the most stable faculties in the University. The exchange of students between the University of Indiana and San Marcos has also paid off. We should encourage more such exchanges, and in addition encourage any interest arising on the path of mature, responsible American students and scholars to study at Peruvian universities. Such a program would involve risks in that all participants might not be effective representatives of the U.S. The advantages to be gained in such exchanges, however, would greatly outweigh the disadvantages. The relatively few students from the U.S. in Peru have handled themselves extremely well. The “hotbeds” of communism in the universities are usually the economics and law faculties. We should concentrate our exchange professor program in these two faculties in an effort to propagate our economic philosophy and our legal concept on the balance between duties and responsibilities of the citizens and the State. Our effort should be more in the constitutional law field than any other.

7. The real battleground in the student field is not, however, in the universities but in secondary education. It is only a small percentage of Peruvians who ever get to the universities. Our efforts in secondary education should be directed at the student body in teacher training schools in Peru. We cannot hope to influence directly the large mass of Peruvian secondary students but we can influence them through their teachers. The more secondary school students who can be assisted to spend at least a year at school in the U.S. the better.

8. The Church in Peru should be encouraged to take a more active role in improving social conditions in the country. The Church should support a more equitable distribution of wealth. It should help in a

housing program by sponsoring community action on this subject. In general we should seek to have the Church throughout Peru carry out a program along the lines now being pursued by the Maryknoll Fathers in Puno. At the same time we should encourage the Church to take a vigorous stand against communism.

9. We should encourage the military in Peru to support a positive program to improve the standard of living of Peruvians, including the necessary social and economic reforms. We should support the general desire of the Peruvian Government and the military to have the military take a more active role in the economic development of the country and agree to the use of MAP furnished equipment for this purpose provided this can be done in keeping with commitments under bilateral military arrangements. We should lend our support to the announced desire of the military to indoctrinate recruits in civism and against communism and to provide them agricultural, mechanical and trade training. Within available resources, we should provide material and technical resources toward that end. The military should be encouraged to carry out its anti-communist policy with more vigor.

10. We should keep in mind that anti-communist legislation is required in Peru and bring it to the attention of the Government at appropriate opportunities, but until the Beltran Cabinet has made an effective start on its program and has solidified its position better, we should not press on this point. When this subject is discussed with Government officials we should seek legislation in terms of strengthening the Penal Code, and not a separate anti-communist law which would be an open target for the communists and easily repealed.

11. We should encourage the Government to eliminate communists from the Government. Wherever possible we should identify such persons, but this should always be done on the basis that the Peruvian Government itself must investigate to determine the facts.

12. We should seek termination of Government support, in whatever form, to communist-led labor unions. (It is not sound practice in any case for the Government to be subsidizing labor unions, but it is especially wrong when this involves communist-led unions.)

For the Ambassador:

Robert M. Sayre
Second Secretary of Embassy

PE-29. National Intelligence Estimate¹

Washington, 13 October 1959.

NIE 97-59

THE OUTLOOK FOR PERU²

THE PROBLEM

To estimate the outlook for political and social change in Peru through mid-1962.³

CONCLUSIONS

1. Peru has long been ruled by an oligarchy which until recently has shown little regard for the welfare of the majority of the population. This political system is being increasingly subjected to pressures for change. APRA, a social revolutionary (but anti-Communist) mass party, has been the principal advocate of such change.⁴ APRA is feared and distrusted by the oligarchy in general; it has at times been driven underground and might be again if it were to seek direct control of the government. APRA, however, can deliver a decisive vote to that faction of the oligarchy which offers it the most favorable terms, and can thus exercise significant political influence. The incumbent president, Manuel Prado, was elected with APRA support in 1956. (*Paras. 7–12, 14–15*)

2. After Prado's accession and until mid-1959, the Peruvian economy encountered increasing difficulties attributable primarily to worsening terms of trade. Until recently, the Prado administration's attempts to cope with this adverse trend were vacillating and ineffective. Now, however, a new Prime Minister, Pedro Beltrán, has announced a vigorous program of fiscal reform and a long-range program of economic development. Barring a general worsening of Peru's terms of trade, which we consider unlikely, we believe this program will succeed over the short run, especially if Beltrán obtains foreign assistance. (*Paras. 24–32*)

¹ Source: Department of State, INR–NIE Files. Secret.

² The title of this estimate, when used separately from the text, should be classified "FOR OFFICIAL USE ONLY." [Footnote is in the source text].

³ According to a note on the cover sheet, the Central Intelligence Agency and the intelligence organizations of the Departments of State, the Army, the Navy, the Air Force, and the Joint Staff participated in the preparation of this estimate.

⁴ Alianza Popular Revolucionaria Americana. [Footnote is in the source text].

3. Under these circumstances it is likely that the Prado government will serve out its term and that there will be reasonably free elections and an orderly transfer of power in 1962. All the presidential candidates in such an election will be likely to be members of the oligarchy, but the candidate supported by APRA will almost certainly be elected. (*Paras.* 33–34)

4. If, on the other hand, Beltrán's program should fail, he would probably resign, and another serious effort to curb inflation and to deal with long-range problems would be unlikely prior to the elections. Under these circumstances, Prado would have to rely more heavily on military support to serve out his term. Should there be severe and persistent economic difficulties, the outcome would probably be a return to at least provisional military rule. (*Paras.* 35–36)

5. Even if the Beltrán program succeeds, it will only provide a basis for long run development measures. In the long run the dominant position of the politico-military elite will probably come under increasing attack from the lower classes. If basic measures for economic development and accommodation to popular pressures are delayed indefinitely, it is probable that violent social revolution will eventually take place. (*Para.* 38)

6. Since 1956 the Communist Party in Peru has grown in membership and in influence in student and labor organizations, especially in the south (Cuzco and Arequipa). During the next few years the Communists are likely to play an influential but not decisive role. However, the Communists are still far weaker than APRA in strength and influence, and the latter will remain the more effective competitor for mass support. (*Paras.* 17–18, 37)

DISCUSSION

I. Background

7. Peru is the fourth largest country in Latin America in area and the fifth largest in population. Its area is about twice that of Texas and its population of about 10.5 million is increasing at a rate of about two and one-half percent a year. Over half of that population is Indian, making Peru one of the three states of South America which is predominantly Indian. Over half of its people are illiterate—most of these being Indian.

8. Peru is characterized by sharp geographical, economic, and ethnic contrasts. Along the narrow coastal plain, and particularly in the Lima-Callao area, a relatively modern, predominantly Hispanic society of commercial agriculture, petroleum production, manufacturing and trade has developed. With about a quarter of the population, this area accounts for slightly over half Peru's GNP. In contrast, the two other major divisions of the country, with their predominantly Indian population, are largely outside the modern society. Although the Sierra

or Andean high-land lying parallel to the coast is an important producer of copper, lead, zinc, and other minerals and contributes some wheat, wool, and other products to the cash economy, most of its six million inhabitants carry on subsistence agriculture and herding, much in the manner of their pre-Hispanic ancestors. The sparsely populated Montaña, a region of tropical forest east of the Andes and including over 60 percent of the area of the country, is also for the most part economically and socially backward.

9. These social and economic disparities have helped perpetuate a traditional political society from which the Indians have been largely excluded and in which high political and military office has been a near-monopoly of the upper class of the coastal region (less than one percent of the population). Revolutions have been frequent during Peru's 138 years of independence, with only about a quarter of the governments resting on a constitutional basis. Such revolutions have almost always reflected struggles for power within the ruling politico-military elite. Political parties, often no more than working alliances among individual politicians, have generally been short-lived. Regional parties reflecting the middle class interests of the provinces have been consistently overshadowed by the powerful political interests of the coast and have not been able to overcome the latter's neglect of other sections.

10. However, traditional military-upper class dominance has been progressively challenged by the economic and social changes which have taken place over the past generation. Increasing numbers of Indians have migrated to the coastal cities and farms over the years, there to be assimilated into the modern economy or left on its fringes as a body of partially employed unskilled workers. As a result the traditional elite is being confronted with increasingly serious competition from liberal and radical elements which draw on middle class and provincial dissatisfaction but derive their strength primarily from labor support.

11. The most important and broadly representative manifestation of this popular pressure is APRA.⁵ APRA, Peru's largest and best organized party, is a moderately leftist and anti-Communist organization led by middle class intellectuals. Over the last decade or two, Peruvian politics have largely centered around the efforts of the elite (and particularly the military) to cope with APRA—with the Communists and other forces playing secondary though sometimes important roles.

12. After 12 years of official suppression, APRA was legalized as a political party in 1945, by outgoing President Prado. His successor,

⁵ For further details on the party, see Appendix A, "Major Political Parties in Peru." [Footnote is in the source text; Appendix A is not printed.]

President Bustamante,⁶ owed his election to APRA's organized political support. APRA also elected a congressional majority and gained representation in the cabinet. However, its alliance with the Bustamante faction of the elite soon broke down as a result of growing conservative fear that APRA was becoming too strong. In 1948 APRA was again outlawed and soon thereafter a military regime headed by General Manuel Odria seized power. However, Odria's authoritarian methods resulted in growing opposition, first at popular levels and eventually within the military and the upper class. Under pressure from these elements for a return to constitutional rule, elections were held in 1956, in which APRA and most of the upper class leaders supported the election of ex-President Prado. Upon his election, Prado again legalized APRA, which had before this been able to seat significant minorities in both chambers by running its candidates as independents.

II. Political Situation

13. The Prado government, essentially conservative in leadership, has proven until recently to be a weak administration, even though it has managed to preserve constitutional order. The 70-year old Prado has become increasingly unpopular because of his failure to assert firm leadership in the face of deteriorating economic conditions which have led to considerable labor discontent and subversive activity. To cope with unrest, the government has suspended constitutional guarantees on several occasions and made a series of cabinet changes. In the most recent of these—in mid-1959—Prado felt obliged to appoint Pedro Beltrán, one of his strongest critics and a forceful leader among less conservative elements in the oligarchy, as Prime Minister and Finance Minister. Beltrán's determined approach to Peru's economic difficulties has restored confidence, to some degree offsetting his lack of organized political support, and is a major stabilizing factor in the current situation.

14. The Prado government is basically dependent on the cooperation of the country's diverse political forces and on the acquiescence of the military. The political base of Prado's government is an uneasy working relationship of political opposites: APRA and the Movimiento Democrático Peruano (MDP), which is a loosely organized group of conservatives and other Prado supporters. The principal bond between them is the common desire to avoid a return to military rule. Fearing repression and seeking respectability, APRA has followed a policy of moderation and cooperation with Prado, even though this policy has placed increasingly heavy strains on party unity and has caused a drain on its popular support. At the same time, the government and the MDP

⁶José Luis Bustamante y Rivero, President of Peru, July 28, 1945-October 27, 1948.

have depended on APRA's support in Congress to give them a working majority and on APRA's strong influence in organized labor to give the administration an advantage in dealing with this force.

15. The military are more reluctant than formerly to intervene in political affairs but remain the ultimate arbiter of political power.⁷ As elsewhere in Latin America, they are increasingly inclined to concern themselves only with professional interests and with the maintenance of constitutional order. Military leaders have been generally critical of the Prado administration's vacillating policies, but they have themselves little desire to assume the responsibilities of government. They have pressed Prado to take a stronger stand against labor disorders and Communist agitation. Prado's political *modus vivendi* with APRA has restrained the military from taking a strongly antagonistic position toward that party. Some of them may appreciate its utility as a counterforce against communism and a check on labor unrest. Nevertheless, the military leaders probably remain fundamentally apprehensive about the government's dependence on APRA, which many still consider to be a greater threat than the Communists. Moreover, APRA's sympathy with Castro's Cuban revolution has disturbed military as well as civilian officials and has hampered APRA's efforts to convince the military of its new moderation. In circumstances of great political tension it is conceivable that military rule would be established to maintain order and to suppress radicalism.

16. [text not declassified]

17. In the climate of political toleration of recent years, the influence of the Communist Party (PCP), which was outlawed in 1948, has been growing. Its membership is now upwards of 6,000 and may be as high as 12,000, with a considerably greater number of sympathizers.⁸ Its strength is concentrated in the cities, principally in the Lima-Callao area and in southern Peru, where there is normally discontent with the central government. At the important San Marcos University in Lima, the Communists in combination with independents recently broke APRA's control of the student federation. Communists have been most successful with disaffected *mestizos* and migrant Indians in urban areas, particularly in Arequipa and Cuzco, where the party controls the departmental labor federations. In these two cities the Communists also control university student federations. With these assets the Communists are capable of taking over one or two southern urban areas for a day or

⁷ For a description of armed forces capabilities, see Appendix B. [Footnote is in the source text.]

⁸ The *Partido Obrero Revolucionario* (POR), a Trotskyite Communist Party, has about 2,500 members. While it adheres to a more radical line than the PCP, it and other small Communist splinter groups on occasion provide support for the PCP. [Footnote is in the source text.]

two until the government can bring in additional security forces. They demonstrated this capability in Cuzco in 1958.

18. Communists have been less successful elsewhere. They have had little direct influence on the government, although there are a few Communists in Congress and a number of Communists hold secondary or minor government positions. Most of Acción Popular's congressional representatives have or have had Communist ties. However, the PCP has publicly broken with Acción Popular's leader Belaunde. While they control a large minority in the labor movement, Communists have failed to break APRA's hold on the central labor confederation. They have demonstrated only limited capability for gaining influence among the rural Sierra Indians in central and southern Peru, largely because of the isolated and self-contained nature of the rural Indian society.

19. The major area of political agitation in Peru is organized labor. This force of roughly 400,000, mainly affiliated with the central labor organization (CTP), is overwhelmingly urban and is largely engaged in white collar and service activities, principally in the Lima-Callao area. APRA supporters control the executive committee of the CTP and the majority of its most vigorous member organizations. However, APRA's entente with the government has resulted in a weakening of its revolutionary coloration and a reduction of APRA's freedom to press labor demands. This has been of direct benefit to the Communists, who have been able to consolidate their position in Arequipa and Cuzco and have also made some progress, in competition with APRA, in organizing miners in central Peru. The Communists have also benefited from upper class disposition to encourage them as rivals to APRA.

20. Another, though less important, arena for political agitation is among university student groups, principally those in Arequipa, Cuzco, and Lima. Although Peruvian student groups, like their counterparts in other Latin American countries, are generally a breeding ground for radical ideas and action, they suffer from factionalism and generally have little voice in national politics. However, they have contributed substantially to political and social unrest, and with the decline in APRA's traditional popularity among student groups matched by a rise in Communist influence, the potential for Communist-inspired student agitation is on the increase. This potential was manifested in the riots attending Vice President Nixon's visit in May 1958.

III. Economic Situation

21. Despite the abundance and variety of its resources, Peru is a largely undeveloped country in which up to two-thirds of the population (including most inhabitants of the Sierra and Montaña) live at a bare subsistence level outside the money economy. Rail and road links between the coast and the interior are few and far between and even

these along the coast are limited. However, the modern sector of the economy centered in the Lima-Callao area is a vigorous one, including a growing small-scale consumer goods industry and one major industrial enterprise—the government-sponsored iron and steel plant at Chimbote—as well as extensive commercial agriculture, petroleum production, fish canning, and mining. About a quarter of Peru's total population is urban, and the proportion is growing.

22. Peru's economic growth and prosperity depend heavily on foreign (especially U.S.) trade and investment. Exports are equivalent to about a fifth of GNP, with imports providing for over a quarter of all goods absorbed into the economy. The production of U.S. and other foreign-controlled and operated firms accounts for about a quarter of GNP and for over half Peru's foreign exchange receipts. Foreign investment is concentrated principally in mining, petroleum production, and public utilities.

23. The initial postwar decade was one of notable prosperity and growth for the Peruvian economy. The general trend in world raw material prices was upward, and the relatively diversified nature of Peru's exports⁹ cushioned the economy against downward fluctuations in demand for individual items. Spurred on by a substantial government development program (contributing about a quarter of total investment for the period) and by a sustained high level of foreign investment (amounting to another 15 percent), the level of gross investment rose to an estimated 22 percent of GNP in the latter part of the decade. Along with advances in mining, manufacturing, and construction, over-all agricultural output increased by about 50 percent—though per capita output of foodstuffs for Peru's fast-growing population increased very little. Over the decade GNP grew at an average real rate of over five percent annually.

24. However, signs of trouble began to appear before the present Prado government took office in 1956. The previous Odria regime's ambitious efforts to spur development, to improve social welfare and education, and to support the military involved increasing dependence on deficit financing. This resulted in inflationary pressures which increased prices by about eight percent a year. In 1957, moreover, world prices for most Peruvian exports fell and the dollar value of exports declined by about 15 percent. At the same time the costs of imports increased.

25. Although the government was able to obtain substantial credits from the International Monetary Fund (IMF), the U.S., and private

⁹In order of importance: cotton, sugar, copper, lead, silver, iron and zinc. [Footnote is in the source text.]

U.S. banks.¹⁰ its efforts to maintain purchasing power and consumption in the face of this worsening of the terms of trade led to a progressive depletion of Peru's foreign exchange reserves—a downward trend accelerated by a weakening of the position of the Peruvian sol and a consequent flight of capital. By the end of 1958 official gold and foreign exchange reserves had fallen to less than half of the \$67 million on hand at the end of 1956, and by mid-1959, when Peru halted its borrowing from the IMF, reserves were reportedly down to \$20 million. Although Peru still had \$25 million in unused EXIMBANK credits, the availability of all but \$5 million was contingent upon restoration of Peru's credit with the IMF.

26 Meanwhile, the government and most private employers were forced to yield to labor demands for higher wages to counter increasing living costs. Inflationary pressures were further increased by the liberal credit extended by the banks in an effort to maintain business momentum and by the fact that the government, faced with increased costs and lowered revenues, increased its borrowings from the Central Bank. Although the government made some efforts to check these inflationary trends, it made little headway in the face of continuing heavy demands for private credit and the government's need to pay its own bills.

27. With the appointment of Beltrán as Prime Minister and Minister of Finance in mid-1959, Peru is now committed to a far more vigorous attack on these problems. Emphasizing the need to balance the government's budget, stabilize prices, and restore Peru's international credit and exchange position, Beltrán has called for the cessation of government borrowing from the Central Bank, more rigorous tax collection, the restoration of the 18 percent legal reserve requirements for commercial banks, and other measures to curb inflationary private lending. He has already embarked on some curtailment of government payrolls and military purchases abroad, has removed costly food subsidies, and has permitted increases in prices for petroleum. Previous low ceilings had contributed to a decline of oil production in recent years to a level little over that of domestic requirements. Longer range objectives

¹⁰ In 1954 Peru obtained an IMF and U.S. standby credit of \$25 million. In February 1958 the IMF agreed to increase Peru's borrowing capacity from \$12.5 million to \$25 million on the basis of the latter's acceptance of certain monetary and fiscal requirements laid down by the Fund. Peru also obtained a \$17.5 million U.S. Treasury commitment, and another \$17.5 million credit from three U.S. banks. With the subsequent agreement of the EXIMBANK to provide \$40 million for balance of payments support, Peru had \$100 million in stabilization assistance available. However, by September 1959, all but \$25 million of the EXIMBANK credit had been exhausted, and of this \$20 million cannot be touched until the IMF permits further borrowings. [Footnote is in the source text.]

include road construction, housing construction, and attention to land tenure problems.

28. In the short run, Beltrán enjoys certain advantages. Although collection of back taxes will irritate some propertied interests, the general objectives of Beltrán's program are clearly to the benefit of the elite group. An increase in exchange reserves (from \$20 million to \$33 million as of mid-September 1959) and a strengthening of the sol (from 31 to 28 per dollar) since Beltrán's appointment reflect the confidence of business groups in his program and some improvement in trade prospects. Furthermore, wage increases decreed in May and extended to government workers since Beltrán came into office have quieted labor demands. The inflationary pressure stimulated by these wage increases, the removal of subsidies, and petroleum price increases will probably be offset to some extent by better crop prospects and expected increases in food production. In general the outlook for export of Peru's minerals has improved.

29. Beltrán's program is, however, currently hampered by the need to find financing for budget deficits estimated to equal as much as \$40 million in 1959 and at least \$20 million in 1960. Various proposed budget management devices may reduce the 1959 deficit by \$5–10 million, but retrenchment efforts may be limited by the following political and economic factors: over half the government's budget represents wages and salaries and further cuts in the already reduced development program would mean abandonment of plans for expansion of production in the coastal areas, an important element in current as well as future employment. Moreover, gains derived from the drive on delinquent taxes and other one-time reforms available in 1959 will not be available in 1960. Committed to avoid further Central Bank borrowing in order to regain IMF and U.S. standby support, Beltrán is urgently looking for foreign assistance to achieve his objectives.

30. While no firm bill of financial needs has been formulated, Beltrán is seeking currently to renegotiate certain outstanding obligations as well as to secure new sources of funds. Among the measures mentioned are: (a) the use of frozen counterpart soles accruing from the sale of dollars drawn against the EXIMBANK credit to finance the government budget deficit; (b) the use of sol deposits voluntarily set aside by the Peruvian Government against the maturity (in 1961) of payments due on CCC rice purchases; and (c) the use of required sol deposits against the already postponed principal payments on purchases of submarines in the U.S. Beltrán has also proposed a customs and tax bond issue of 600 million soles in 1960 and has received a \$20 million loan offer in the form of advance tax payments from the International Petroleum Company—an offer Beltrán hopes to accept if he can avoid giving the impression that the loan is tied to recent petroleum price

increases. In addition, the Peruvian Government is negotiating: (a) a PL 480 Title I Agreement which would make available local currency for development purposes; (b) a DLF loan to provide initial capital for a savings and loan association, which will make loans to finance housing construction; and (c) IBRD and DLF loans for various road building and irrigation projects. This group of loans could total as much as \$20 million.

31. Foreign assistance for this program may enable Beltrán to appease most significant political and economic elements and to succeed in his monetary stabilization effort, thus preserving the country's free exchange system, which has been a model for similar efforts in other Latin American countries. Under these conditions he could move on to developmental measures and take some steps toward resolving the long-range problem of the social and economic integration of Peru. An important problem is that of increasing agricultural output of the country, which will require heavy investment in transportation and irrigation in order to open presently unsettled lands. Execution of such measures would create favorable conditions for a resumption of growth in the modern sector of the economy, thereby providing additional employment opportunities for Indians from the Sierra.

IV. The Domestic Outlook

32. Barring a general worsening of Peru's terms of trade, which we consider unlikely, we believe that Beltrán's program will succeed over the short run. The measure of Beltrán's success will in part be related to his ability to obtain the foreign financial assistance he seeks. There will probably be some rise in the production of Peru's food supplies and exports, and prospects are good for increased efficiency in fiscal management under Beltrán's guidance. Hence, the outlook for foreign and domestic investment will be favorable.

33. Under these circumstances, it is likely that the Prado government will serve out its term and that there will be reasonably free elections and an orderly transfer of power to a duly elected successor government in 1962. Although APRA may feel compelled to press its social and economic demands more vigorously in order to avoid loss of lower class support to Acción Popular and the Communists, it will probably seek to avoid going so far as to invite military repression. The military, for the most part, will probably be reluctant to return to authoritarian rule unless it believes this necessary to maintain the dominant position of the elite.

34. The result probably will be an electoral campaign in which class lines are blurred. All the presidential candidates will probably be members of the conservative elite. The real contest will be between the candidate supported by APRA and the one supported by Acción

Popular. The more reactionary elements of the elite, lacking strong support of their own and bitterly opposed to APRA, will probably continue to support Acción Popular and will give at least covert encouragement to the Communists in an effort to cut down APRA's strength. However, the presidential candidate favored by APRA will almost certainly win.

35. If, on the other hand, Beltrán's economic program failed, any progress toward solution of Peru's longer range economic problems would be seriously impaired. With the growth of inflation and unemployment, the chance of serious strikes and riots would greatly increase, probably leading to Beltrán's resignation. It is highly unlikely that another man of his stature and vigor could be found, and Prado would probably have to rely more heavily on military support to serve out his term.

36. In the event of a severe and prolonged economic relapse leading to widespread privation and discontent, the eventual outcome would probably be a return to at least provisional military rule. This would probably lead to the suppression of APRA and other popular political movements, thereby forcing them to turn to more violent and extremist tactics.

37. During the next few years the Communists are likely to play an influential but not decisive role. As long as constitutional order is maintained, APRA will continue to compete effectively with the Communists for mass support. On the other hand, if the economic situation deteriorates seriously and APRA is suppressed, Communist prospects would obviously improve.

38. Even if the Beltrán program succeeds, it will only provide a basis for long run development measures. In the long run the dominant position of the politico-military elite will probably come under increasing attack from the lower classes. If basic measures for economic development and accommodation to popular pressures are delayed indefinitely, it is probable that violent social revolution will eventually take place.

V. Foreign Policy

39. Peru has maintained a policy of close and friendly ties with the U.S. and has been firmly pro-West in orientation. Of the major Latin American countries, Peru has the least contact with the Soviet Bloc. The only bloc mission, a Czech legation, was expelled in 1957 for engaging in subversive activity. While Peru now has generally friendly relations with the other Latin American countries, its boundary dispute with Ecuador continues to cause sporadic periods of strained relations with that country.

40. Peru is generally dissatisfied with U.S. commercial policy, and the U.S. imposition of lead and zinc quotas in 1958 provoked widespread criticism of the U.S. In the National Congress there was demand for an increase in Peru's minimal trade with the Soviet Bloc.

A similar reaction against the U.S. would probably occur, especially in Congress, should Beltrán fail to obtain the U.S. and international financial assistance which he seeks. Should APRA or Acción Popular gain strong influence in a successor government, Peru probably would be more assertive in its dealings with the U.S. and more prone to take an independent position in international bodies. However, in neither case would there be likely to be a major change in Peru's relations with the U.S., with which Peru has its strongest trade and investment ties.¹¹

¹¹ A map of Peru in the source text is not printed.

**PE-30. Memorandum of Conversation, by the Officer in Charge
of Chilean Affairs (Phillips)¹**

Washington, October 26, 1959.

SUBJECT

Acquisition of Vessels by Peruvian Navy

PARTICIPANTS

Assistant Secretary Rubottom, ARA
Ambassador Fernando Berckemeyer of Peru
Mr. Miguel Grau, Minister-Counselor, Peruvian Embassy
Admiral Luis Llosa, Naval Attaché, Peruvian Embassy
Robert M. Phillips, WST

After the usual amenities, Ambassador Berckemeyer stated that he had come on orders of his Government to explain with complete frankness the attitude of the Peruvian Government (i.e., the President and his Cabinet) with regard to the purchase of a cruiser from the U.K. Many units of the Peruvian Navy were becoming obsolete and needed to be replaced, and the most convenient and economical way this could be done was to take advantage of the availability of a cruiser from the U.K. The price of the vessel was only £1 million sterling, payable in five annual installments of £200,000. Payments would be made from funds available only to the Navy on the basis of a special law, and the Navy's funds might be supplemented by a special public collection of voluntary donations which might total as much as 1 million *soles*

¹ Source: Department of State, Central Files, 723.5621/10-2659. Confidential.

annually. Therefore, the proposed purchase would have no effect on the Government's general budget and no particular effect on Peru's balance of payments position, especially since Peru has a favorable sterling balance of payments. The Peruvian Government was, of course, aware of the other implications of its acquisition of this cruiser and wished to assure us that these had all been carefully considered.

Mr. Rubottom said he was grateful to Ambassador Berckemeyer for coming in to explain the Peruvian position. Three years ago, he had talked with the Ambassador and with Admiral Llosa regarding the possibility of transferring a U.S. cruiser to Peru, and he regretted that it had not been possible to arrange for this. Nevertheless, speaking as a representative of a country which has enjoyed particularly close relations with Peru and which has wanted to give maximum assistance to Peru's economic development, Mr. Rubottom said we were very much surprised by the present proposal for the purchase of a cruiser, even if we accepted the logic of the agreements advanced by the Ambassador. What Peru should consider was the psychological impact in the U.S. and other countries of this transaction. As the Ambassador undoubtedly knew, a strong current was developing in the U.S. against our military aid programs. It would be extremely difficult for him (Mr. Rubottom), in testifying before Congress, to justify our military and economic assistance to Peru in the light of the proposed purchase of the cruiser. In view of Peru's difficult financial position, we had tried to do everything possible to accommodate the Peruvians on the question of releasing the *soles* frozen in the submarine purchase account, making funds available for the highway project, and arranging for grant assistance in rehabilitating the vessels offered under our ship loan bill. While we recognized Peru's sovereign right to take any measure it considered necessary for its own defense, we could not but feel that the cruiser purchase would make cooperation between our two countries more difficult.

Ambassador Berckemeyer agreed that there would be some unfortunate repercussions from this deal, but he pointed out that it would be very difficult for Prime Minister Beltrán, despite his austerity program, to oppose a national defense measure which had been approved many years previously, especially since the special laws like that setting up the Navy fund were "untouchable." Actually, the purchase of the cruiser was economically justifiable on the basis of the high cost of maintaining the obsolete units which it would replace. Also, we should take into account the important role of the Navy in educating the young men of the country, training them in modern techniques and teaching them to be good citizens. Further, we should consider the fact that the Peruvian Navy had had thirty years of cordial relations with the U.S. Naval Mission.

When Mr. Rubottom asked whether the Peruvian Government had already contracted for the cruiser, Ambassador Berckemeyer replied in the affirmative. Mr. Rubottom then asked whether there was any truth in rumors we had heard that Peru might acquire a second cruiser from the U.K. Admiral Llosa said that there appeared to be some substance to these rumors and that it was his understanding that if the U.K. were to offer a second cruiser on the same conditions as the first, the Peruvian Navy would probably make an effort to obtain the second ship. He indicated that a specific vessel—not named—now in service under the British flag was involved. Ambassador Berckemeyer, however, said he wished to make it clear that he had received no official notification regarding the second cruiser.²

Mr. Rubottom told his callers that he could only say that the news of the cruiser purchase contract had been very badly received by himself and all his colleagues in the Department, including Secretary Herter and Assistant Secretary Mann. He was also sure that Undersecretary Dillon, presently away from the Department, would not be pleased by this development. Even taking into account all the arguments advanced by the Ambassador, it would be impossible for the Department to attempt to reconcile the cruiser purchase with the policy of austerity proclaimed by Prime Minister Beltrán. It was paradoxical that Mr. Beltrán, who was well-known and well-liked in the U.S., had often criticized our Government before U.S. audiences for giving military assistance to Latin America. Mr. Rubottom himself had debated this issue in public with Mr. Beltrán.

Ambassador Berckemeyer said he agreed but pointed out that Sr. Beltrán was in a most difficult position. In any event, there was no escaping the fact that the obsolete vessels had to be replaced. When Mr. Rubottom asked whether we had been advised concerning just which ships would be replaced, Admiral Llosa said that this information had already been supplied to the Department.

Admiral Llosa then went on to say that one important factor remained to be considered. This was that as a consequence of the lack of support for the Peruvian Navy by our own Navy and the Department of State, particularly in relation to the aid extended to the navies of neighboring countries, the naval equilibrium in the area had been upset. In fact, the situation was continually becoming worse due to the unequal treatment received by Peru. National pride, and the Navy's pride, had been wounded by the favoritism shown to Chile, Ecuador and Colombia. Even the continental defense program was working

² In telegram 392 to Lima, December 1, the Department of State reported to the Embassy in Peru that Peruvian Minister Counselor Grau informed the Department on that day that Peru had purchased the second British cruiser. (723.5621/12-159)

against the interests of the Peruvian Navy. Since the Peruvian Navy had much of its strength in submarines, it resented the fact that we were training navies of neighboring countries in anti-submarine warfare. Peru had, in fact, bought the submarines on U.S. advice. Peru now considers itself menaced by an “adventure”—not a war but a surprise raid—on the part of the much more powerful Ecuadoran Navy. For this reason, the purchase of the cruiser was desired by the entire nation.

Admiral Llosa continued that Peru had not necessarily asked to be considered among those countries unable to pay rehabilitation costs of the vessels offered under the U.S. ship loan act. Peru had first offered to pay these costs in installments over a period of five years. When it appeared that it might be difficult for us to arrange five-year credit, the Embassy had sent a formal note asking for the two destroyers and offering to pay the rehabilitation costs within three years.³ Since then, Peru had been happy to learn that the U.S. would be able to rehabilitate at least one destroyer under grant military aid,⁴ but the Admiral wished to remind us that even in the ship loan program Peru was the subject of discrimination. Peru had originally asked for three destroyers but had been limited to two. Chile had first asked for two submarines and then for two destroyers and had received approval for all four vessels. Chile’s acquisition of the submarines in particular was very dangerous as far as Peru was concerned.

Admiral Llosa said he wished to make the further point that Peru’s economic progress would depend largely on the establishment and maintenance of a climate of political stability and that the restoration of the strength of the Peruvian Navy would make a very significant contribution in this direction. Thus the purchase of the cruiser should be considered as economically justified.

Mr. Grau said it was very important that any attitude which might be taken by the U.S. with regard to the cruiser purchase not be one that could be interpreted in Peru as a “reprisal” against the Peruvian Government. Mr. Rubottom assured Mr. Grau that the question of reprisals would never be considered.

³ The note under reference was not further identified. In telegram 138 from Lima, September 12, 1958, the Embassy informed the Department of State that Peruvian Navy Minister Tirado instructed Rear Admiral Llosa, the Peruvian Naval Attaché in Washington, to inform the Department that Peru would accept two destroyers on three years credit and that it would pay rehabilitation costs of \$2.8 million each. (723.5621/9–1258)

⁴ In a memorandum of conversation of October 19, Ambassador Achilles reported that he informed Minister Tirado that the Departments of State and Defense had approved rehabilitation of one destroyer plus the carryover of \$850,000 in fiscal year 1959 funds for rehabilitation of other vessels. (723.5621/10–2159)

PE-31. Editorial Note

A controversy arose in Peru over possession by the Texas Petroleum Company in Peru of aerial photographs of Peru received from the United States Government without clearance from the Peruvian Government. The problem was taken up by the Peruvian Chamber of Deputies and publicized in the Peruvian press. The Peruvian Government made representations to the American Embassy in Lima and fined the company. Documentation on these developments is in Department of State file 723.022.

PE-32. Telegram from the Ambassador in Peru (Achilles) to the Department of State¹

Lima, December 4, 1959, 1 p.m.

494. EMBTELS 485 and 487.²

In hour with President last night I told him U.S. like other governments much interested in his arms limitation proposal and had high hopes it could lead to concrete results.³ We therefore had difficulty in believing Berckemeyer's report Peru had purchased second cruiser. One reason was categorical assurances we had received from GOP it would not be bought and we had not thought of doubting Peru's word.⁴ Other was extremely adverse effect it would have on his arms limitation proposal and his international reputation which proposal had greatly enhanced.

¹ Source: Department of State, Central Files, 723.5621/12-459. Confidential; Priority. This telegram was repeated for information to Santiago, Quito, Rio de Janeiro, Buenos Aires, Bogotá, and Panama City for the Commander in Chief, Caribbean.

² Neither printed. In telegram 485 from Lima, December 2, Ambassador Achilles reported on his complaint to Prime Minister Beltrán, December 1-2, regarding Peruvian purchase of the second British cruiser. (723.5621/12-259) In telegram 487 from Lima, December 3, Achilles reported a similar complaint that he made to Foreign Minister Porras, December 2.

³ In despatch 315 from Lima, December 1, the Embassy reported that in a telegram of November 27 to President Alessandri of Chile, President Prado proposed inviting other Latin American countries to a conference on arms limitation and the release of defense funds for economic development. (723.00(W)/12-159)

⁴ In telegram 373 to Lima, November 25, the Department of State informed the Embassy in Peru that on November 24 Ambassador Berckemeyer had given the Department "Categorical assurance from Beltrán and Navy Minister Tirado that there would be no purchase second cruiser." (723.5621/11-2359)

He stated Peru had been negotiating off and on since January 1956 for two British cruisers to replace two old ones recently scrapped, that purchase of both had been consummated in October subject to inspection of second one when it returned to UK in December, that Peru had recently proposed cancellation of second purchase but had reaffirmed it when told by British that Ecuador wished to buy it and would if Peru did not. (Last point probably reported by Peruvian Embassy London but I doubt its truth).

He continued that effect of second purchase on his arms limitation proposal would indeed be bad. (He did show strong personal interest in possibilities of limitation). However, he was sure we well knew necessity to any LA government of military support. He had obtained their agreement to his proposal only with difficulty. Peru was more fortunate than most in having sound and responsible military leaders but he could not push them too far. EL COMERCIO was having considerable effect with its allegations that he was undermining country's safety with his proposal. Full facts surrounding cruiser deal, including possibility of Ecuadoran purchase, were well known to considerable number in military circles, Foreign Office and Parliament. If he cancelled it now his position would be untenable.

I recognized his problem with military but said he was still in dilemma, other horn of which was effect on his international reputation and loss of popularity among thinking people in Peru and elsewhere who realized futility of armament race. Could he not escape dilemma if he cancelled second purchase provided British undertook not sell it to Ecuador or Chile? He doubted it, stressing Chilean naval strength and effect in Peru when two Chilean cruisers, newly rehabilitated in U.S., steamed down coast. U.S. was primarily to blame for whole arms race in not, with other guarantors, forcing Ecuador to comply with Rio protocol.

After discussing Ecuador at length (next telegram)⁵ I urged him in leaving to give further thought to escaping from his dilemma.

While there is bare chance that, if British-Ecuadoran dealings were found non-existent and British would agree not sell cruiser to Ecuador or Chile, he might still cancel second purchase, I believe his preoccupation with military and nationalistic public opinion is too great to offer any real hope and that we must now re-evaluate situation accordingly. I continue to hope that eventual good can be obtained from arms limitation initiative and that U.S. sanctions will be limited to armaments rather than extended to economic development field.

Achilles

⁵ Telegram 495 from Lima, December 4; 362/12–459.

PE-33. Telegram from the Secretary of State to the Embassy in Peru¹

Washington, December 8, 1959, 7:17 p.m.

415. Embtels 501, 510.²

FYI In response to Defense Dept request for apportionment for ship loan program and prior to report of second cruiser purchase, Bureau of Budget informed Defense it deferring funds for rehabilitation destroyer for Peru pending re-evaluation need for destroyer in light of Peruvian cruiser purchase (i.e. first cruiser). Navy Dept alluded to this position of Budget Bureau in discussing with Admiral Llosa adverse effect here second cruiser purchase especially following various Peruvian assurances. In any case Budget message³ is internal administrative step and no final USG decision has been made re Peru destroyer loan. We are however, going ahead with processing loan and rehabilitation two MSFs. End FYJ

Ambassador Berckemeyer telephoned yesterday stating that, based on information re Budget Bureau position as relayed by Llosa to Peruvian Navy, he had received instructions from Foreign Minister to make representations highest level concerning this "reprisal", including prospective GOF difficulty "maintain relations" U.S. Naval Mission. Dept informed him no USG decision yet on destroyer although of course second cruiser purchase had adverse impact here and being analyzed as new factor in terms existing programs. Berckemeyer replied that since no USG decision yet he did not see need make representations. Peruvian Counselor⁴ said his Embassy hopes soften possible intemperate attitude Navy Minister (based on erroneous belief Budget position represents final USG decision) which could have unfortunate consequences December 9 Cabinet Meeting.

¹ Source: Department of State, Central Files, 723.5621/12-559. Confidential; Niact. Drafted by Poole and Coerr and signed by Mallor V.

² Neither printed. In telegram 501 from Lima, December 8, the Embassy reported that Peruvian Naval Minister Tirado told Deputy Chief of Mission Neal on December 4 that if reports from Washington of U.S. reprisals against Peru for purchase of second cruiser were confirmed, he would demand that the U.S. naval mission in Peru be closed down. (723.5621/12-559) In telegram 510 from Lima, December 7, the Embassy in Peru asked what representations the United States had made against the purchase of ships by other Latin American countries. (723.5621/12-759)

³ The referenced message was not further identified.

⁴ Miguel Grau.

Chile not acquiring two new destroyers from U.S.; Tirado information probably refers to two destroyers ordered from UK.

Above for use your discretion.⁵

⁵ In telegram 522 from Lima, December 9, Ambassador Achilles reported that he told Minister Tirado on the same day that no decision had been reached on the Peruvian ship loan program, that it was being reexamined in the light of Peruvian cruiser purchases, but that “any hasty action or threats such as he made to Deputy Chief of Mission Neal would certainly not help.” (723.5621/12–959)

**PE-34. Memorandum from the Assistant Secretary of State
for Inter-American Affairs (Rubottom) to the Deputy
Coordinator for Mutual Security (Bell)¹**

Washington, December 16, 1959.

SUBJECT

Ship Loan Program for Peru

I understand that—following the recent interagency correspondence described in Appendix A² and word of a second cruiser purchase by Peru—a draft proposed action under Circular 175,³ in implementation of the Ship Loan Program as a whole, has been sent to the Defense Department that for Peru includes two MSFs (converted minesweepers) but omits the originally programmed destroyer. (See Appendix, para 4, re MSFs) The omission of the destroyer was in reaction to Peru’s second cruiser purchase and was made pending further consideration of the matter.

You are, of course, aware of our recent unsuccessful efforts to induce Peru to forego the purchase of the British cruisers, which we consider militarily unnecessary, economically wasteful and likely to contribute to a Latin American arms race.

I have very carefully considered—in the light of Peru’s purchase of the two cruisers and the cynical attitude of certain Peruvian officials in going back on Peru’s assurances to us that they would not purchase the

¹ Source: Department of State, Rubottom Files, Lot 61 D 279, “Peru 1959.” Confidential. Drafted by Poole and Spencer. The source text is an unsigned carbon copy.

² Not printed.

³ Department Circular No. 175 of December 13, 1955 set forth the procedure for the proper exercise of the treaty-making power and the executive agreement-making power of the United States, and approval of texts and the making of arrangements for signature. It was transmitted under cover of Foreign Service Circular No. 164 of January 13, 1956. Circular 175 procedure is codified in 11 Foreign Affairs Manual 70 *et seq.*

second cruiser—whether it would serve our interests in Peru and the hemisphere as a whole now to deny Peru the loan and rehabilitation of the Ship Loan Act destroyer earmarked for Peru in the grant military assistance program. I have concluded, for the reasons specified below, that we can find no position that would adequately justify our denial of the destroyer to Peru while to do so would greatly prejudice our relations with Peru and our ability to carry out basic constructive programs in that country. I have therefore concluded that we must implement the program as originally planned.

Our Position re Naval Vessels for Other Latin American Countries

Neither Peru nor other Latin American countries have assumed bilateral or multilateral commitments which impose limits on the size or character of military forces they may maintain for hemispheric or national defense. In the absence of any such agreement, Peru obviously has the sovereign right to determine unilaterally its military requirements.

We have not withheld, nor made known any intention to withhold, U.S. naval vessels from other Latin American countries which have acquired or are in process of acquiring naval vessels considered by us to be militarily and economically unjustifiable. After U.S. representations to the Brazilian and British Governments had failed in 1957 to prevent Brazilian acquisition of a British aircraft carrier, we found it necessary (in connection with the maintenance of a USAF missiles tracking facility on Brazilian territory) to agree to provide Brazil with about \$87 million in military equipment, including four destroyers. One of these ships was delivered this year; the others are to be delivered during the next two years. Subsequent to Argentina's acquisition of a British carrier in 1958, we found it in our interest to comply with President Frondizi's personal request that we help him assure continued Argentine military support for his forward-looking economic policies, which serve U.S. interests, by extending Argentina a sizable credit for the procurement of U.S. military equipment, including two submarines scheduled for delivery this fiscal year. Now Argentina is reportedly planning to purchase three British destroyers as replacements for old vessels. We imposed no penalty when Chile purchased two British destroyers (to be delivered in the near future), Colombia two Swedish destroyers or Ecuador two British frigates, and we have earmarked one ship loan vessel, or its equivalent in the case of Ecuador, for each of these countries in the FY 1960 program. Although Venezuela has acquired eleven European destroyers since 1953, we have considered it necessary in view of our special defense and military credit arrangement which bears upon the security of the Venezuelan oil fields, to approve the sale to Venezuela of one submarine and two destroyers.

Probable Consequences in Peru if we Deny Destroyers

In the light of the instances described above, Peru would be certain to regard the withdrawal or deferral of a programmed naval vessel as discriminatory and retaliatory.

Our unsuccessful efforts at dissuading the Peruvians from purchasing the British cruisers have already aroused in certain Peruvian Government and military circles a resentment over alleged U.S. interference in a sovereign Peruvian decision. Although rational elements (including Prime Minister Beltran) agree with our position, the cruiser acquisition has been nationalistically applauded in the Peruvian Congress and press. Our hopes that the purchase of the second cruiser could be forestalled by advance assurance as the destroyer loan have likewise proved fruitless. (We hear from Peruvian and UK sources that both cruisers were purchased in one deal.)

To withdraw the destroyer would jeopardize our over-all foreign policy objectives by increasing existing resentment within the Peruvian Government and military, as well as in the Congress, press, public, etc. We already have reports that the Peruvian Navy might terminate our Naval Mission, withdraw Peruvian naval personnel in the U.S. and remove pro-American naval officers from positions of influence in the Peruvian Navy. (Our Navy Department is most anxious to avoid these possibilities and therefore is in wholehearted agreement with our position on the destroyers.) It is also possible that Prime Minister Beltran, whose pro-American views and whose opposition to excessive military expenditures are well known, might find his position untenable in the face of aroused nationalistic, anti-American feelings. The U.S. would then lose a good friend and Peru would lose a man who is providing positive leadership in developing a forward-looking economic-financial-social program. There is reason to believe that the downfall of Beltran would be a severe blow to Peruvian prospects of maintaining economic and political stability.

I believe that our unilateral attempts to discourage excessive arms purchases, as in the Peruvian case, are severely limited by present conditions and that we must try to develop an effective general Inter-American approach to the problem.

*Recommendations*⁴

I recommend that U/MSc take necessary action as soon as possible to:

(1) Advise the Budget Bureau (See Appendix, para. 1), either directly or through the Defense Department, that it will be necessary for foreign policy reasons to implement the Peruvian Ship Loan Program as originally planned.

⁴ There is no indication on the source text of Bell's action on the recommendation. In airgram A-135 to Lima, January 15, the Department of State asked the Embassy to offer Peru one destroyer and two converted minesweepers on a five-year renewable loan. (723.5621/1-1560) For further information, see the editorial note, Document PE-14.

(2) Include one destroyer for Peru (in addition to the two MSFs) in the Circular 175 memorandum which has been transmitted to the Defense Department. (In order that the final U.S. decision regarding the FY 1960 Ship Loan Program may be conveyed concurrently to Peru and all other participating countries, it is essential that Circular 175 approval for the complete Latin American Ship Loan Program be obtained in one single memorandum.)

PE-35. Memorandum of Conversation, by the Ambassador in Peru (Achilles)¹

Lima, December 26, 1959.

SUBJECT

Budget, Financial and Social Matters

PARTICIPANTS

Sr. Pedro Beltrán, Prime Minister & Minister of Finance
T. C. Achilles

Beltrán has for some time been working day and night with Congressional committees and party groups on the budget but came up for air for a family Christmas dinner and long talk afterwards.

He is distinctly encouraged by the extent to which he has met with cooperation rather than partisan politics. While the Christian Democrats will continue publicly to express opposition they are in fact working closely with him and being of considerable help with other groups. He expects to obtain approval of his financial measures without major changes or too much opposition.

Barring unexpected logrolling, he expects the budget to be passed with a paper deficit of only \$100 million. Since revenue is calculated strictly on actual 1959 returns and conditions are improving he confidentially anticipates ending 1960 with a slight surplus. (However, the budget apparently does not provide for inevitable wage increases during 1960 and substantially increased revenues will be necessary to cover these. They have been costing the Government roughly \$500 million annually in recent years.)

¹ Source: Department of State, Central Files, 823.10/12-2959. Limited Official Use. Sent to the Department of State under cover of despatch 380 from Lima, December 29.

I asked whether attrition had yet had much effect on the public payroll. He said it had not, although the prohibition on all new hiring was being strictly enforced, and that the rate of reduction was only about 5 percent per year. Retirement benefits for anyone who had worked for the Government for seven years were so great as to make firing unprofitable but he was contemplating a considerable number of firings of persons employed less than seven years. He was also continuing his hunt for Communists, had unearthed a considerable number particularly in the Bureau of Internal Revenue, and would get rid of them regardless of length of service.

He was delighted with the unfreezing of the submarine sinking fund,² which would help materially in meeting his still difficult problem of meeting current expenses. After January 1 IPC would resume its current tax payments and the Southern Peru Copper Corporation begin its export payments. The new tax bonds would be floated beginning in late January and he thought would bring in some \$500 million. This would be necessary not for the budget but to meet expenses during the lean first five months of the year.

The inflow of dollars was continuing, although the Central Bank had recently sold half a million. I told him we continued to spare Malcolm Bryan's³ worry that holding too rigid a rate would cause difficulty later and he reiterated his intention shortly to let the sol rise gradually to 27.50.

I asked whether he did not believe the improvement in the situation warranted a moderate increase in credit. He thought that a reduction of perhaps 5 percent in reserve requirements and equivalent rediscounting might shortly be warranted.

I hoped that as soon as the budget was passed he would find time for other matters, reminding him of our haunting preoccupation with the prospect of social revolution unless steps were taken reasonably quickly to bring about a rising standard of living for the lowest classes. He replied that a balanced budget was the fundamental requisite and that thereafter prosperity would follow naturally. I agreed but held that prosperity for the wealthy and the business community would not be enough unless unprecedented steps were taken to enable the Indians and Cholos to participate in it to some degree.

² In a memorandum of December 10 to Assistant Secretary Rubottom, Deputy Assistant Secretary Coerr recommended approval of a Peruvian request of November 24 that the Export-Import Bank authorize Peru to send soles set aside for payment of a Peruvian submarine loan. Rubottom noted his approval on condition that the money went to the Ministry of Finance and not the Ministry of the Navy. (723.5-MSP/12-1059) In telegram 449 to Lima, December 23, the Department of State informed the U.S. Embassy that the Export-Import Bank delivered to Ambassador Berckemeyer on that day a letter dated December 22, which upon the Ambassador's endorsement authorized the requested expenditure, provided that it was not for military purposes and that Peru continued to make quarterly deposits of soles in a special account with the Banco de Fomento Agropecuario as provided by the amended submarine loan agreement. (103.XMB/1-2359)

³ Malcom H. Bryan, Special Adviser to the Government of Peru, Central Bank of Peru.

He agreed. Housing and land reform were the two keys. He hoped that our early participation in the Savings & Loan Association, either through P. L. 480 or DLF funds, would begin to get housing off the ground.⁴ The Government had no funds yet for land reform and grandiose projects such as Tinajones must be avoided but the problem was clearly urgent. I suggested that the most important single step toward land reform might be simplification and decentralization of the process of acquiring title to land and that this should cost the Government little if anything. He said the housing legislation already covered this for urban areas and the land reform legislation next year would cover it for rural areas.

The above is a condensed summary of a leisurely two-hour talk. During it Beltrán referred at least 20 times to the fundamental necessity of balancing the budget. Each time I agreed fully but reverted to the importance of the social problem as well. Each time he agreed but reverted to the budget.

⁴ On December 13, 1960, the Development Loan Fund agreed to lend the Mutual Savings and Loan Association, Peru, 27.7 million soles (\$1 million). For further information, see U.S. Agency for International Development, *Status of Loan Agreements as of December 31, 1964*, p. 24; and Development Loan Fund, *Report of Activities During Calendar Year 1960*, p. 3.

PE-36. Memorandum of Conversation, by the Ambassador in Peru (Achilles)¹

Lima, January 21, 1960.

SUBJECT

Farewell Call on President.

PARTICIPANTS

President Manuel Prado
Theodore C. Achilles

During my farewell call on the President,² I expressed the pleasure I had had in serving in Peru and my optimism as to its future. I had had the satisfaction of seeing democracy fully restored under his

¹ Source: Department of State, Central Files, 823.49/1-1960. Confidential. This memorandum of conversation was sent to the Department of State under cover of despatch 435 from Lima, January 21.

² Ambassador Achilles left Peru and Jack D. Neal assumed charge of the Embassy on January 27.

leadership and had every confidence that he and Beltrán would succeed in restoring the economy to a sound basis. I had only one preoccupation for the future, that unless the Government and the wealthy classes would quickly take much more action than had ever been taken in the past to reduce the excessive difference between great wealth and great poverty there would be a social revolution.

The President said that this was the basis of his policy. (I have seen no signs of it.) He was satisfied that democracy was now on a firm basis in Peru. The armed forces were completely loyal and democratically inclined and would protect the constitutional government from any attempts to establish other forms. I agreed and congratulated him. He was confident that the economic battle would be won. Congress was proving very difficult but this was part of the democratic process. I agreed and said that neither he nor the country could afford to lose this battle. With respect to the social problem he maintained, as does Beltrán, that a sound economy must be established first and that thereafter housing and land reform were the two most important steps. I agreed but maintained that the problem had great urgency. Every time I traveled in Southern Peru I became more convinced of the acute danger unless action were taken quickly. I very much hoped that a great deal of such action would be taken during the remainder of his time in office.

He said that Communism was another problem. I said it was one aspect of the social problem and could be combated successfully only as the basic economic and social problems were solved. I remarked that it was highly unfortunate that the leading crypto Communist of Arequipa should be appointed President of the Relief and Rehabilitation Junta.³ President Prado denied at length that Humberto NUNEZ Borja was a Communist, but I expressed the conviction that he was working clandestinely and effectively against the President and the Government of Peru.

On leaving, the President thanked me for my efforts toward improving Peruvian-United States relations.

³ President Prado appointed Humberto Nuñez Borja to head relief efforts after an earthquake struck southern Peru, particularly the Department of Arequipa, on January 13. Documentation on disaster relief in is file 823.49.

PE-37. Memorandum of Conversation, by the Director of the Office of West Coast Affairs (Coerr)¹

Washington, January 23, 1960.

SUBJECT

Peruvian-U.S. Relations: U.S. Commercial Policy;
U.S. Role in Peru-Ecuador Boundary Dispute; President
Eisenhower's Visit to Latin America.

PARTICIPANTS

Ambassador Guillermo HOYOS Osoreo,
Adviser, Peruvian Ministry of Foreign Relations.
Ambassador Juan Bautista DE LAVALLE,
Peruvian Ambassador to the OAS and Delegate to the UN.
Miguel GRAU, Chargé d'Affaires, Peruvian Embassy.
Rear Admiral Luis Edgardo LLOSA, Naval Attaché, Peruvian Embassy
Mr. Rubottom, ARA
Mr. Coerr, ARA/WST

(*Ambassador Hoyos Osoreo is carried as third man on the Peruvian Foreign Office list, immediately after the Secretary General,² although the Peruvian Embassy has explained that he is, in effect, second in command to Foreign Minister Porras. The Embassy also explains he is traveling as "Ambassador-at-Large".)

Ambassador Hoyos Osoreo—I am not here to recite affronts ("agravios") but to explain certain realities of inter-American relationships. The responsible element in Peru believes the destinies of Peru and of the United States are conjoint. This element desires friendly Peruvian-U.S. relations not only in general terms but also as an essential to its own security within Peru. But, in Latin America there is widespread resentment and suspicion of the U.S., whether or not justified, that stems from many and complex causes of which the following are the most important in Peru:

(1) In recent years U.S. commercial policy has dealt Peru repeated blows, damaging Peru's major exports—lead and zinc, cotton and sugar—and aggravating Peru's economic problems so that Peruvians feel they can count on U.S. friendship only "relatively".

(2) As a guarantor of the Rio Protocol, the U.S. has not collaborated to produce a guarantors' statement that would disauthorize the absurd position Ecuador has taken (in its boundary dispute with Peru).

¹ Source: Department of State, Central Files, 611.23/1-2360. Confidential.

² Javier Delgado Yrigoyen.

(3) In President Eisenhower's visit to Latin America the President proposes to reach the very doors of Peru and then about-face and return home the way he came.³ In so doing he will unintentionally reinforce the old idea of the importance of the "ABC bloc"⁴ in Latin America, and appear to slight Peru. The President was able to visit Kabul;⁵ it is hard to understand that he cannot find time to visit Lima. Peru's disappointment is the keener for Peru's record as foremost among the United States' friends of World War II.

The Peruvian people's sense of injury in these matters poses the Peruvian Government with serious political problems which it hopes the United States Government will help dispel.

(At this point Ambassador Hoyos Osorio launched into a lengthy polemic on the Peru-Ecuador boundary dispute, terming it "the most serious of these matters" and accusing the United States of obstructing action which Peru justly desired—see separate memorandum of conversation.)⁶

Mr. Rubottom—Thank you for having spoken of these mutual problems with the same frankness that has always characterized my talks with Peru's representatives, Mr. Grau as Chargé d'Affaires, Ambassador de Lavalle, Admiral Llosa and—last December 15 Ambassador Belaunde in New York.⁷ I shall answer with the same frankness.

I, of course, regret, deeply the existence among Peruvians of any feeling of resentment against the United States. It is understandable that Peruvians might interpret some U.S. actions, particularly in the field of trade, as directed against Peru itself, but such an interpretation obviously is wrong and I hope the Peruvian Government would make the facts known. The extremes to which popular misconceptions can go are shown today in Cuba, which is becoming a problem for all the American states. I remember the pitch that popular opinion in Peru had reached—when Under Secretary Dillon and I passed through Lima in August of 1957⁸—in reaction to a bill pending in the U.S. Congress covering lead and zinc imports. The Peruvian people had not been told that this was merely a bill proposed by certain individual Congressmen representing their own constituents, as a national deputy from Arequipa

³ For documentation on President Eisenhower's trip to South America, February 23–March 7, 1960, see Documents CH–28–30, 32; PE–37; UR–12–14.

⁴ Reference is to Argentina, Brazil, and Chile.

⁵ President Eisenhower visited Kabul, December 9, during his eleven-nation world tour, December 3–22, 1959; for documentation on his visit to Afghanistan, see volume XI.

⁶ Not printed; 622.233/1–2360.

⁷ Not printed; 362/12–1559.

⁸ Messrs. Dillon and Rubottom passed through Lima en route to the OAS Economic Conference in Buenos Aires, August 15–September 4, 1957.

might do in Lima, and that the Congress as a whole had not spoken. I understand that the efforts of Peruvian leaders to improve Peru's standard of living through encouraging the investment of local and foreign capital may suffer in an atmosphere of popular resentment against the United States. Peruvian leaders might more effectively point out that the United States has long advocated a multi-lateral approach to the problem of excess lead and zinc production, as it has in the current coffee arrangement; that the United States Executive and many groups in the United States work constantly on behalf of free trade; and that the lead-zinc market has strengthened considerably. You can be certain that my Government is very conscious of Peru's interests in the products you have mentioned, and also in fishmeal exports that are becoming so important in Peru's economy.

President Eisenhower has been most disappointed at not being able to visit Peru, as he has told President Prado in a personal message.⁹ Your Ambassador has presented your attitude on this matter most effectively, and I can only emphasize that President Eisenhower's decision was based on the limitations of time available for his trip.

(Mr. Rubottom then discussed the inter-American Conference and arms limitation, and replied to Ambassador Hoyos Osorio on the border question—see separate memoranda of conversations.)¹⁰

⁹ The referenced message, dated January 11, was sent by telegram 485 to Lima, January 11, and delivered on January 13. (711.11-EI/1-1160)

¹⁰ Only the memorandum of conversation, cited in footnote 5, concerning the Peru-Ecuador boundary dispute was found in Department of State files.

PE-38. Editorial Note

Airgram 97 to Lima, November 10, 1959, authorized the Embassy in Peru to negotiate with the Peruvian Government for the sale of \$12 million (including one half the cost of transportation) worth of United States surplus agricultural commodities under Title I of Public Law 480, the Agricultural Trade development and Assistance Act of 1954. Enclosed was a draft sales agreement. (411.2341/11-1059) The proposed agreement was signed at Lima on February 12, 1960. Of the total value of approximately \$12 million, 45 percent was to be loaned to Peru for economic development; 25 percent to finance loans to private enterprises in Peru under Section 104(e), the Cooley Amendment to the Act; and 30 percent was to be retained for United States Government

use. For the text of the agreement, see 11 UST 186. For Section 104(e), which provided that up to 25 percent of local currency from Title I sales he made available for loans to U.S. and to private investors through the Export-Import Bank, see 71 Stat. 345.

PE-39. Despatch from the Chargé in Peru (Neal) to the Department of State¹

Lima, February 18, 1960.

No. 491

Ref: AmEmbassy Tel. No. 736²

SUBJECT

Conversation with President of Chamber of Deputies

Re La Brea y Pariñas Problem

I told Sr. Javier ORTIZ de ZEVALLOS that I was worried about the trend the La Brea y Pariñas Award matter³ had taken and that my concern was shared by the Department of State in Washington.

He shook his head and said, "This is a very complicated problem." I agreed with this and said I was disturbed about the feeling in Congress during the last days of the session and sensed a feeling of expropriation." He said, "No, you don't have to worry about that."⁴ He stated Peru had never broken an international obligation and was not going to do so in this instance.

I then asked him how the matter was to be resolved and didn't he think there could be a compromise solution such as "adapting" or

¹ Source: Department of State, Central Files, 823.2553/2-1860. Confidential.

² Telegram 736 from Lima, February 18, reported on the present conversation. (823.2553/2-1860)

³ Reference is to a controversy over the status of the International Petroleum Company's ownership of petroleum deposits in the La Brea y Pariñas property on the northern coast of Peru. A 1922 arbitral award granted the rights to the surface and subsoil of the area to IPC's predecessor in perpetuity. In the summer of 1959 opponents of the Peruvian Government sought to have the award canceled in the Peruvian Congress. In despatch 546 from Lima, March 11, 1960, the Embassy submitted a background study of the controversy with pertinent documents. (823.2553/3-1160)

⁴ At least two opposition deputies spoke in favor of expropriation during the recent debate. [Footnote is in the source text.]

bringing the International Petroleum Company's La Brea y Pariñas concessions under the Petroleum Code.⁵ I said I felt IPC would be willing to give up certain privileges in order to adapt its operations to the Code.⁶

He said this solution would never be acceptable to the opposition. He stated Pedro BELTRAN had suggested this but it was not acceptable and such a move had no chance at all for approval. I asked why he was so certain of this.

Sr. Ortiz de Zevallos said (IPC's) La Brea y Pariñas concession terminated in 1972.⁷ On that date, "Talara (the Company's refinery and installations) will belong to Peru." The opposition realizes this and if a bill is presented "adapting" IPC to the Petroleum Code it would call for an extension of IPC's concessions for an additional 20 or 30 years. He said "IPC does not have a friend in Congress, not one, therefore they are not going to be allowed to extend their concessions."

I then asked him whether Peru intended to operate its own oil industry. I said if IPC realized it was not going to obtain an extension of its concession rights then I could imagine the company would cease its investments, terminate its exploration and development operations, and that by 1972 the industry would be in such condition that it would be very difficult for the Government (if it failed to renew the concession before that date) to assume responsibility for operating the industry. I said if the Government did have to take over the industry one of the first necessary moves would be to increase the price of products—a step which would be most unpopular with the people.

Sr. Ortiz de Zevallos said, "The company will have to keep the industry going during this time—why shouldn't it, it has made so much money in the past and with its latest price increase, why shouldn't it?"

The President of the Chamber of Deputies spoke again and again about the unpopularity of IPC. He said the company had no friends anywhere in the country. He said not a Member of Congress or a Cabinet

⁵ In despatch 546 of March 11, the Embassy informed the Department that "since 1957, the company has sought, unsuccessfully, to bring its operations under the Petroleum Law [of 1952], which would permit it to renounce its title to the subsoil of the property and to carry on its exploration, development and production activities as a concessionaire."

⁶ In despatch 621 from Lima, April 21, the Embassy reported that Jack Ashworth, General Manager of the company, had made an offer in writing to Prime Minister Beltrán for 50 percent Peruvian Government participation in the company's net earnings. (823.2553/4-2160)

⁷ The concession presumably would end in accordance with a provision in the British-Peruvian Agreement of Settlement of March 2, 1922, providing that on January 1, 1972, at the end of a 50-year period, the property would become subject to payments under Peruvian laws then in effect or enacted thereafter. (Enclosure 8 to despatch 546 of March 11)

Minister could stand up and make a favorable remark in IPC's behalf. If anyone did so, he would be charged with taking a pay-off from IPC. He said IPC has always had poor public relations: "They don't know how to handle this situation." He said they expect that paying 40,000 soles for an advertisement in *El Comercio*, which is one of IPC's big critics, helps, but it does not. He criticized IPC officials, saying they are difficult to deal with. He said he sent one of his representatives to IPC only a few weeks ago but his man received a "brush-off." He stated IPC had sent him copies of its position on La Brea y Pariñas for distribution to each member of the Chamber of Deputies. He said, "I returned all of them to the company and then telephoned to see whether they had been received. This was not the way to handle the matter."

He said if I would think about it a minute I would realize that IPC is unique in the hate it has generated in Peru. He said companies producing lead and zinc, cotton, sugar, fish, and copper are popular with the people, and these companies can be defended, but not IPC and petroleum.

According to Ortiz de Zavallos, IPC has always been unpopular because it inherited a "dirty business." He said the original Award was brought about by graft to certain persons in France and to the Peruvians who put over the deal. He said he and his father (former Ambassador)⁸ were talking only this morning about the Award and that his father was in Paris when the Award was made and remembered the talk of the "pay-offs" at that time. He said his father warned him about the matter and had convinced him that it was an illegal thing from the start.

I told him I knew the stockholders of IPC would like to know just what could be done to place this in the proper light. He said he didn't know but that "building a few houses in Talara" (the IPC housing project in Talara was one of the first in Peru and was quite well done) and putting advertisements in *El Comercio* was not going to win friends. (Comment: Ortiz de Zavallos is quite right about Talara housing, it was never received as it should have been.)

I kept pressing the President for his idea of a solution. He said, "Pedro Beltrán is a good friend of the United States. I am certain he will have some formula." At the same time, he stated that when the President returns from Paris he is going to concentrate on La Brea y Pariñas matter.⁹

⁸ Reference is to Emilio Ortiz de Zavallos who was Second Secretary of the Peruvian Embassy in France at the time of the La Brea y Pariñas Award in 1922.

⁹ President Prado returned to Peru on March 11 after a 28-day official visit to France, the United Kingdom, Italy, Switzerland, the Federal Republic of Germany, and the Netherlands. In despatch 575 from Lima, March 29, the Embassy reported on a March 22 radio and television address by President Prado on his trip. (823.00/3-3960)

Several times, he told me “the opposition” was going to delay the problem as long as possible because it will make a great “banders” (issue) in the 1962 election. He said with all the opposition to IPC this is something which will appeal to the people.

I told the President that 1972 was going to roll around quicker than he thought and that no large concern was going to wait until the last minute to attempt to negotiate a contract on an oil concession or monopoly with a nation. I said I felt certain it would be necessary to start negotiation on a settlement before 1972 and this would not only be in the interest of the company, but also beneficial to the people of Peru. He admitted this.

I stated that if IPC is as unpopular as he feels it is (I personally believe he has the correct feel on this because it has become a real popular subject with no IPC backers), I was certain the shareholders would want to do something to correct the situation, therefore what was the answer? He said that expropriation was not the solution because Peru knew better than to try to buck the big international oil concerns. He realized that Peru would need foreign markets and that it could not compete with the big companies if Peru tried to take over alone. He said he saw a partnership deal as now exists in other countries.

I stated that as he already knew IPC was owned almost wholly by ESSO and that ESSO is acquiring sole ownership; and that maybe the solution would be to take the name of IPC entirely out of the picture and make it ESSO of Peru. He said, “something like that.”

I told the President that our concern over La Brea y Pariñas did not center altogether around IPC, but that we were worried about the adverse effects an unfavorable decision would have on the climate for foreign investment in Peru. Any discriminatory action here would make us start worrying about other United States investments such as Toquepala, Cerro de Pasco, Marcona, etc., etc.

Sr. Ortiz de Zevallos said I need not worry because IPC was a case within itself—“an isolated case.” He stated several times that this matter had nothing to do with anti-American sentiment. He said, “if you will think back on all the discussions and debates in Congress you will note that not once was the name of the United States mentioned—no U.S. imperialist talk—no anti-American sentiments.” He said he was afraid the Eisenhower visit to Chile was going to be mentioned and touch off remarks of ill feeling but this did not happen.

Jack D. Neal

PE-40. Telegram from the Chargé in Peru (Neal) to the Department of State¹

Lima, March 17, 1960, 5 p.m.

798. In conversation at airport with Prime Minister Beltran this a.m. re La Brea y Parinas found he unaware Department had called in Berckemeyer.² I stated we concerned about recommendation of Consultative Committee.³ He said our concern justified because it did not look good but this is IPC's problem and they will have to settle it. I told him they would need his help.

Beltran then went into a tirade saying he was not going to help them at all. Said he had his lesson with IPC and from here on out "they can go to hell" as far as he is concerned. Stated IPC failed to come to his assistance when he needed only the slightest help on his bond issue; they reluctantly agreed to take 25 million instead of 50. He said IPC has been playing a one-way street so he is through.

I told him an adverse La Brea decision would affect Peru's investment climate and jeopardize his own economic program. He said he could not help that but he was not going to assist IPC; they got themselves into this situation so they can get out of it themselves.

I told him IPC could not win it alone or without him but he said again he had his lesson, et cetera, et cetera.

I asked him what assistance could be expected from the President. He said he did not know.

Neal

¹ Source: Department of State, Central Files, 823.2553/3-1760. Confidential.

² In telegram 631 to Lima, March 9, the Department of State reported that it had expressed to Ambassador Berckemeyer its "deep concern . . . over demands for annulment La Brea y Pariñas award, stating such action would doubtless have very adverse effect climate for U.S. investment in Peru. Explained our position based on opposition to unilateral annulment international award and agreement and in no sense implied unwillingness to see change brought about by negotiation as we understood from conversations here and in Lima that company more than anxious negotiate conversion to concession operating under Petroleum Code." (823.2553/3-960)

³ In despatch 460 from Lima, February 2, the Embassy reported that on January 21, the Peruvian Chamber of Deputies approved a Government-sponsored resolution requesting the Consultative Commission of the Ministry of Foreign Affairs, an advisory body consisting of prominent Peruvians, to render its opinion on the validity of the La Brea y Pariñas arbitral award of 1922. (723.12/2-2160) In despatch 27 from Lima, July 8, the Embassy stated that the Commission's report, released on July 8, recommended that the Executive branch submit a bill to the Congress to establish new arrangements for the development of petroleum in the La Brea y Pariñas area. The Commission rejected nationalization as a solution to the problem on the ground that it was unnecessary and would impose an immense financial burden on the state. (823.2553/7-1860)

PE-41. Editorial Note

In a note of April 6, 1960, to Ambassador Berckemeyer, the Department of State replied to a Peruvian request for an increase of Peru's sugar import quota to 250,000 tons. The Department informed the Ambassador that it had received many requests for sugar import quota changes which would entail major revision of the Sugar Act of 1948, as amended. (61 Stat. 922; 65 Stat. 318; 70 Stat. 217) Stating that the time was not appropriate to request such a revision, the Department concluded regretfully that it could not recommend an increase in Peru's quota. (411.236/2-960)

Public law 86-592, approved July 6, 1960, authorized the President to reassign the Cuban sugar quota. (74 Stat. 330) The Department of Agriculture allocated 273,827 tons for Peru in 1960, of which 135,000 tons was from the Cuban quota. For further information, see *Congressional Quarterly Almanac, 1961* (Washington, 1961), page 126 (chart).

PE-42. Memorandum of Conversation, by the Officer in Charge of Peruvian Affairs (Poole)¹

Washington, May 3, 1960.

SUBJECT

Corro de Pasco Corporation vs.
American Smelting & Refining Company.

PARTICIPANTS

Fernando Berckemeyer, Ambassador of Peru
Mr. Rubottom, ARA
Mr. Coerr, WST
Mr. Poole, WST/P

Ambassador Berckemeyer stated that President Prado and Prime Minister Beltran were very concerned about the possible consequences of the suit brought by Cerro de Pasco Corporation against American Smelting & Refining Company (AS&R), and that Beltran had asked him to call on Mr. Rubottom to express this concern, as well as the hope that this matter might be settled quietly. The Ambassador said that the

¹ Source: Department of State, Central Files, 823.25/5-360. Secret; Limited Distribution.

suit concerned something that had happened some years ago and that publicity could result in the most terrible scandal, in addition to the fact that it would have grave consequences for both companies as well as American business in general, both in Peru and elsewhere in Latin America. Opposition elements would doubtless play on the theme that if these two American companies are capable of doing this to each other, what might they do to the Peruvians? Matters are made worse by the coincidence in timing with the present difficulties the International Petroleum Company is having over the La Brea y Pariñas Award. The Ambassador said that the danger of a publicity break was increasingly great. He referred to the recent articles in the *American Metal Market* and said that a good reporter could easily dig out the facts. Also, stockholders might demand information.

The Ambassador stated that he had talked both with the lawyer of AS&R and with Mr. Koenig, President of Cerro de Pasco, and that he had the impression that both companies were willing to negotiate, but that talks were stymied over AS&R's demand that Cerro drop the suit and Cerro's refusal to do so. He himself did not think dropping the suit was so vital since Cerro could simply continue to hold it in abeyance. He thought, perhaps that "outside" directors from each company (i.e. directors who are not company executives) might undertake the negotiation or preside over it.

Reverting to President Prado's and Prime Minister Beltran's concern, Ambassador Berckemeyer said he knew the Department had been talking to both parties, but asked whether the Department could again call them in to impress on them even more urgently the need for a settlement without publicity.

Mr. Rubottom replied that the Department was also very concerned about the potential consequences of this case and that it had by no means been idle in the matter. He mentioned that Mr. Dillon, Mr. Achilles, Mr. Hager, himself and certain others in the Department and Mr. Waugh had spoken to both parties on several occasions in order to point out the dangers and urge the avoidance of publicity.² He added that Ambassador Chapin was fully conversant with the matter. He said, however, that the Department had to be careful not to give the appearance of taking sides or prejudging the case. In the last talks he had had last week, he stated, he had been told that the parties were at least talking, which he thought represented some progress. Mr. Rubottom then asked whether the Ambassador had any confirmation that Henry Holland had been engaged as attorney for Cerro de Pasco.

² Memoranda of conversations on this subject are in Department of State files 211.2353-Cerro de Pasco and 823.75.

Ambassador Berckemeyer (who had earlier reported to the Department that he had heard this was the case) said he could confirm the report. He said his original report came from a director of the company and that he had confirmation from an executive of the company.

Mr. Rubottom felt that Mr. Holland would be especially aware of the potential serious consequences of this case. He mentioned Mr. Holland's present interests in promoting American investment in Latin America.

Ambassador Berckemeyer agreed.

Mr. Rubottom said he would explore the possibility of a renewed approach on the subject.³

³ Ambassador Berckemeyer had mentioned to a Department officer in a previous conversation that he had some shares in Cerro. On that occasion he said that, while he had not heard from his Government about the dispute, Robert Koenig, President of Cerro, had given him a full rundown. [Footnote is in the source text]

PE-43. Memorandum of Conversation, by the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Washington, June 9, 1960.

SUBJECT

Call of Prime Minister Beltran of Peru on the President

PARTICIPANTS

The President
Prime Minister Pedro Beltran²
Counselor Theodore Achilles
Assistant Secretary Rubottom

¹ Source: Department of State, Central Files, 723.13/6-960. Confidential. The source text bears the notation: "Approved by the White House 6/27/60."

² Prime Minister Beltrán departed from Lima on June 7 to visit the United States for the ostensible purpose of receiving an honorary degree from Yale University, June 13. While in the United States he met with President Eisenhower, Vice President Nixon, Secretary Herter, and numerous other U.S. officials, bankers, and businessman. He returned to Lima on July 6 after a two-day visit to Colombia, en route.

After an exchange of greetings, the President, saying that he had been disappointed with the turn of events in Paris,³ expressed hope that events since then, like the announcement of the Khrushchev visit to Cuba, would bring the American Republics closer together than ever—if so, this would be a constructive result.

Prime Minister Beltran said that he wanted to bring greetings from President Prado and to say how much the latter had regretted that President Eisenhower had been unable to visit Peru. He turned quickly from this point to comment on the deteriorating situation in Latin America, stressing the aggressiveness of the communists who were falling in line behind the Castro mystique. The latter's slogans calling for "economic freedom" and "non-intervention in their internal affairs" attracted wide public support. Whereas the communists might have once hoped to get a foothold in Bolivia, now they were well established in Cuba.

The President raised two questions: 1. Would Latin America tolerate a Moscow-dominated government in the region? and 2. What does Latin America expect the United States to do? Are we supposed "to sit and do nothing?" Mikoyan⁴ went to Cuba and signed a trade agreement; now Khrushchev⁵ is reported to be going.

The Prime Minister said that William Randolph Hearst, Jr.⁶ and Bob Considine⁷ had asked him similar questions a few weeks ago and he had honestly replied "I don't know". Now he is deeply concerned because the communists are acting aggressively everywhere, as in Peru where he recently had to deal with the crisis provoked by a mass demonstration in favor of a few students who were mistakenly placed with confirmed criminals in the prison.⁸ The demonstration was actually intended to bring down the government and the responsible

³ Documentation on the meeting of the Heads of Government (Summit Conference) of the United States, the United Kingdom, France, and the Soviet Union at Paris in May 1960 is presented in volume VIII.

⁴ Anastas Ivanovich Mikoyan, First Deputy Chairman, Soviet Council of Ministers, and Cuban Premier Castro signed an agreement in Habana on February 13 for Soviet purchase of Cuban sugar and extension of \$100 million credit to Cuba. For documentation, see volume V.

⁵ Nikita Sergeyevich Khrushchev, First Secretary of the Central Committee, Communist Party of the Soviet Union; and Chairman of the Soviet Council of Ministers.

⁶ Editor-in-Chief and Chairman, Editorial Policy Board of the Hearst Newspapers.

⁷ Syndicated columnist.

⁸ In despatch 705 from Lima, May 26, the Embassy reported that Minister of Government and Police Carlos Carrillo Smith resigned on May 25 after a mass demonstration protesting confinement of three students, arrested on May 19, in cells with hardened criminals and sexual perverts. Minister of Education José Rubio Rolando also resigned on May 25. (723.00(W)/5-2660)

cabinet minister did resign. In Ecuador an unpredictable man has just been elected President (Velasco Ibarra). The Prime Minister said that the communists complained about Berlin, but Cuba is much worse from the standpoint of the free world.

The President stated that the combination of government assistance and private investment in Latin America from the United States had been substantial, yet that message seems not to get across. The Prime Minister reflected for a moment, and said that perhaps we had concentrated too much on major capital investments and that we should now devote our assistance to projects going directly to the people so as to capture public opinion. The Prime Minister recalled the great western immigration in the United States. The Latin American people must now move to their unused land for the new opportunity they seek.

The President said that the communists seem to concentrate their efforts in the cities. He said that it was not an easy matter to settle new residents on land and that careful training was required. The Prime Minister referred to the great opportunity for Peru east of the Andes, a region which could offer a new life to their illiterate indigenous population.

The Prime Minister said that he understood from the press that the Bolivian President (Siles) had said, following the Khrushchev press conference in Paris, that Bolivia would be glad to have Khrushchev visit that country. He had been shocked by this.

The President stressed the need to get the best possible representatives assigned to the Council of the OAS, to give them additional work and opportunity, and to try to mold opinion throughout Latin America. He compared the OAS unfavorably with NATO, saying that perhaps we don't take the OAS as seriously as we should. Our effort is designed to save a continent. We are not Latins, perhaps we don't understand Latins as well as we should, but we are trying and we are willing to do more. Still there must be a joint determination to be free and to remain free.

The Prime Minister recalled his visit to Puerto Rico in 1958 at the time of Dr. Milton Eisenhower's visit there⁹ and the sharp contrast which he noted as compared to the earlier visits he had made to Puerto Rico. The improvement was due largely to Mufioz Marfn's having helped the lowest social levels. The Prime Minister returned to his line that "A showdown has to come with Cuba".

⁹ Dr. Milton Eisenhower visited Puerto Rico, July 24-27, during his trip to Central America, July 12-August 1, 1958; for documentation on the trip, see Document NI-4, footnote 4.

The President referred to his recent discussion with Prime Minister Diefenbaker of Canada regarding that country's joining the OAS.¹⁰ Diefenbaker is somewhat cooler to the idea than the Canadian Foreign Minister but said that Canada should have an observer at the OAS now. Prime Minister Beltran confirmed that the Canadian Foreign Minister had told him recently in Lima that he favored Canada's joining the OAS.¹¹ The Prime Minister said that "time is not on our side". "We must move faster in the OAS", he added.

The President agreed saying that each country's President should insist that the OAS take strong, imaginative and energetic action. It should be a "bastion of freedom".

The Prime Minister, averting to the need to help the lower classes, questioned the Brazilian investment in its new capital. The President said it was one of the great experiments of the time—it could be a fine thing or a dismal failure. The Prime Minister had doubts but the President said that if the "carrot" attracted enough people to the rich inner land of Brazil, then Brasilia would succeed.

The Prime Minister reiterated his belief that the lower classes have to be assisted—fast. Mr. Achilles said that the lower classes need to have a stake in private property. The President said that man must be given an opportunity for both spiritual and material development. The Prime Minister said that his newspapers preached that line constantly. The President declared that we are all together and that no country could remain an island of freedom surrounded by tyranny. He referred to the Christian attitude which motivates the Americas and the Prime Minister said that Cuba was giving the lie to freedom. He finished by saying that "Time is of the essence". The President urged him to state his views with the same frankness to the officials in the Department with whom he spoke, mentioning Mr. Dillon specifically because of his responsibilities in the economic field.

At the conclusion of the discussion the photographers came into the President's office.

¹⁰ Prime Minister John G. Diefenbaker of Canada made an official visit to Washington, June 3–4; for documentation on U.S. relations with Canada, see volume VI.

¹¹ In despatch 716 from Lima, June 2, the Embassy informed the Department that Howard Charles Green, Canadian Secretary of State for External Affairs, visited Lima, May 27–29. (723.00(W)/6–260)

**PE-44. Memorandum of Conversation, by the Officer in Charge
of Peruvian Affairs (Poole)¹**

Washington, June 21, 1960.

SUBJECT

Assistance for Prime Minister Beltran's Program

PARTICIPANTS

Pedro Beltran, Prime Minister and Minister of Finance of Peru
Douglas Dillon, Under Secretary of State
Theodore C. Achilles, Counselor of the Department of State
Edwin M. Martin, Deputy Assistant Secretary for Economic Affairs
Richard A. Poole, Officer-in-Charge of Peruvian Affairs, WST

Summary. Prime Minister Beltran explained that, having concentrated his first year in office on the re-establishment of financial stability, he was now turning to the urgent problem of developing programs which would bring direct benefit to the underprivileged people, especially in the fields of land and housing. In the former his principal emphasis was on the resettlement of new lands, which he described in some detail, although he was not opposed to breaking up unused or under-used large landholdings. He emphasized the urgency of the problem in the face of Castro and Communist agitation of discontent. He explained that his problem was to find financing for roads to resettlement areas, resettlement costs and housing, including the establishment of new savings and loan associations. Beltran said that the IBRD seemed very interested in studying ways of assisting, but that immediate financing was needed from U.S. sources, over the next six months—perhaps \$20 million—with more during the next two years. Mr. Dillon replied that the atmosphere in Washington was receptive to more assistance in Latin America, including the fields of agrarian reform and housing, and he indicated that roads and savings and loan associations would seem to be particularly susceptible of U.S. assistance. He said that extra priority would be given to countries such as Peru which had done a conscientious job of helping themselves. He stated that our current thinking is along the lines of projects in which the DLF would meet local currency costs in conjunction with the Eximbank (rather than the IBRD) to meet dollar costs, with the IBRD operating independently. He

¹Source: Department of State, Central Files, 823.16/6-2160. Confidential. The source text bears the notation: "Approved in U 7/9/60. OK. R[obert] C. B[rewster]" Briefing memoranda on this meeting for Under Secretary Dillon from Theodore C. Achilles, Counselor of the Department of State, June 17, and from Assistant Secretary Rubottom, June 20, are in Rubottom-Mann Files, Lot 62 D 418, "Peru 1960."

emphasized the need for adequate planning and suggested that ICA could provide technical assistance in this regard. *End Summary.*

Prime Minister Beltran stated that, since becoming Prime Minister nearly a year ago, he had proceeded to set Peru's financial house in order by attacking the problems of balancing the budget, foreign exchange, stabilization of the currency, and so forth. Now the question is, what next? The Government is expected to do something, as the people need help and want results. The principal sectors the Government must now attack are those of land and housing.

The land problem is one entailing the people's desire to work their own lands. It is, however, not simply a matter of dividing existing large holdings in settled areas, as much of the settled land is the poorest—that is, the land in the high Sierras, at an average altitude of 12,000 feet, which has extremely poor soil. Much of this land, moreover, has been subdivided by the Indians into uneconomical, small holdings. The result is the Indians have begun to migrate to urban areas, forming squatters slums around the cities. Around Lima, for example, there are from 200 to 500 thousand squatters.

There is, however, marvelous land to the East of the Andes, in the Amazon basin. There are two types of jungle here, the low swamps and the upper jungle. In the latter, at between 2,000 and 3,500 feet, one can grow practically everything. One can, for instance, grow several crops of corn and cocoa a year. The soil is good, there are no seasons, there is adequate rain, it is not hot, and the climate is healthy. Some Indians have already migrated to this region and established their own farms. Clearing is no problem, as they can grow crops among the fallen logs. They build simple houses of natural materials. They find they need additional labor, so bring down other Indians from the highlands who eventually establish their own farms. The Indians who have migrated thus far, however, live at a very low economic level since they cannot market their crops.

What is needed to settle this region properly are penetration roads and feeder roads, which would facilitate settlement and provide access to markets. Also needed are community centers and experiment stations. This would then attract new generations of settlers and would satisfy large scale demands for land.

Mr. Dillon asked whether the Indians were willing to settle these regions.

Sr. Beltran replied in the affirmative, stating that many have already migrated. For example, from 20 to 25 thousand Indians from the Lake Titicaca region have migrated to the neighboring lowlands, perhaps 10 thousand of whom are permanent settlers. These settlers are making profits from their produce even though they have to carry it out on their own backs. With new highways a great many more people would be attracted to these new regions from both the mountains and the coast. Such an approach to the land problem would be different from the

subdivision of large landholdings, since the land in these new regions does not belong to anyone.

Mr. Dillon asked whether it would not be quicker and easier to break up some of the large landholdings so as to settle people in that immediate vicinity, since the opening of new regions required new roads, new communities, new everything.

Sr. Beltran replied that, in his view, it would be easier to start on new lands since these are better and more productive lands. He said he is not opposed, however, to subdivision of large estates, particularly unworked or underworked landholdings. He recognized, additionally, the political and social need to deal with this aspect of the land problem.

Turning to urban problems, Sr. Beltran referred to the new Savings and Loan Association which would encourage both savings and low-cost, private housing on a long term loan basis. With the help of the DLF loan to the Association a start can now be made in housing in the Lima area, but new home loan banks are needed in other departments. Other approaches must also be developed.

With these programs, Sr. Beltran stated, he hoped to win over the vast majority of the common people from the appeal and influence of Communism. He emphasized the very real danger of Communist agitation amongst the masses, such as the recent riots in Tokyo² and the terrible riots ("Bogotazo") in Bogotá twelve years ago.³ He mentioned that Fidel Castro had been involved in those riots and alluded to the fact that, when an American plane evacuated wives and children of Cuban officials, Castro and another agitator made their escape as stowaways. Castro is now intensifying his agitation throughout Latin America. There is less and less outwardly Communist agitation and more and more Fidel, with his claims of being the standard-bearer of economic independence, non-intervention and the welfare of the masses. In fact, however, he is serving the purpose of Communism and it matters little whether or not he himself is an actual Communist. Che Guevara's recent speech is additional evidence that the Cuban Government's philosophy is Communist.⁴ The Communists are ready for new Bogotazos and we therefore must act fast.

² Documentation on anti-U.S. demonstrations and the decision to cancel the projected visit of President Eisenhower to Japan in June 1960 is presented in Volume XV.

³ Reference is to the uprising after the assassination of Liberal Party leader Jorge E. Gaitan in Bogotá on April 9, 1948. For documentation, see *Foreign Relations*, 1948, vol. IX, The Western Hemisphere.

⁴ Reference presumably is to a speech by Ernesto Che' Guevara Serna, Chief of the Industrial Department, National Institute of Agrarian Reform and President of the National Bank of Cuba, before an assembly of workers in Habana, June 18, 1960; for an English translation of the text, see John Gerassi, ed., *Venceremos! The Speeches and Writings of Ernesto Che Guevara* (New York, 1968), p. 92.

Sr. Beltran said he had talked to Mr. Black,⁵ (IBRD), who was very interested in his program—in fact, he had never seen him so sincere. Mr. Black said he would be prepared to send a delegation to Lima to study ways of helping, but that this could probably not be organized before January of next year. *Sr. Beltran* said he was delighted at the prospect, but that, because of the urgency of making a start on both resettlement and housing in order to rally the hopes of the under-privileged, something had to be done during the intervening six months. A great deal more financing would be needed for these programs. Addressing Mr. Dillon, *Sr. Beltran* asked “Can you help us tide over this period?”—adding that a further problem was IBRD’s restriction confining its loans to foreign exchange needs.

Mr. Dillon replied that the Bank could get over this restriction if it wished.

Sr. Beltran agreed that Mr. Black should find a way of getting around this restriction. He then said that during his stay in New York he had explored the possibility of obtaining loans from various private banks, mentioning in particular Morgan Stanley. The bankers he spoke to, however, had not been optimistic over floating a loan at this early stage in *Beltran’s* program. This avenue did not therefore appear very hopeful unless Peru had the good fortune of landing the counterpart of the \$100 million Prudential loan to Mexico! When *Mr. Achilles* asked whether there had been any talk of a mixed IBRD-private bank loan, *Sr. Beltran* replied that he had discussed this with Morgan Stanley, who had not been encouraging except for the possibility of small amounts from private banks.

Mr. Dillon asked what chances there were of more effort, particularly more taxes, on the Peruvian side, as there is an impression that the few very wealthy in Peru don’t contribute enough. *Mr. Achilles* mentioned that *Beltran* had done a good deal in the field of tax collection, which he asked *Beltran* to explain more fully.

Sr. Beltran then explained that through Mr. Black he had engaged a Dutch tax expert by the name of Lieftinck and two assistants to reorganize the tax collection system. Among other measures the banks are now required to report interest paid. All foreign banks and one Peruvian bank have so far complied, but *Beltran* is insisting under threat of fine, which he thinks will now make it easier for local banks to comply in the face of their clients’ displeasure. *Beltran* had also launched a local bond issue as a new experiment which, despite pessimistic forecasts by many, was a great success. The issue raised 250 million soles and was 63% oversubscribed. Additionally, taxes have been increased.

⁵ Eugene R. Black, President of the International Bank for Reconstruction and Development.

Mr. Dillon then emphasized the need for adequate planning. He asked what specific plans had been made for Beltran's program, whether goals had been set on resettlement, whether roads had been planned, and so forth.

Sr. Beltran replied that a start must be made gradually. He has engaged an Italian firm, *Italconsult*, to take charge of planning and directing the resettlement program and which would work closely with the World Bank. This firm can draw on its considerable experience in land reform in Italy as well as abroad. He was also making arrangements on other aspects of his program with the firm Arthur B. Little of New Haven and with a Canadian firm, which would start next week. Beltran explained that the planning of roads was not so difficult and that he already had two principal areas in mind where roads had been started but had stalled—that is, in the North and South where the best colonization areas were to be found. In answer to a further question from *Mr. Dillon*, *Sr. Beltran* said these roads were distinct from the Aguaytia-Pucallpa road for which a DLF loan had been approved and which his predecessors had promoted primarily as the only road connection to an Amazon port, although it did pass through some areas suitable for colonization.

Mr. Dillon then remarked that the discussion seemed to point to roads as the main field in which the United States might be of assistance in resettlement.

Sr. Beltran replied that although Peruvian companies could build the roads, Peru needs local currency for this purpose which is not available locally and hence must seek foreign currency for conversion. Funds are also needed for foreign exchange costs of road construction, particularly machinery. In addition to roads, the Government will need funds to finance actual resettlement, including payment for land. It is contemplated that the settlers will eventually repay the Government for the land, following a period of grace of from one to three years, at a rate set by the value of crops, e.g. 20%, which would thus gear payment to good and bad yields. Nevertheless, the Government does not really expect to get all its money back for resettlement costs.

Mr. Dillon remarked that the big problem seemed to be time. We had already approved loans for the Savings and Loan Association and for one road, and we could find other projects. We could possibly help in land reform, which is a necessary thing and which would seem to be easier in some ways than the opening of new lands. However, this is a complex problem which we have not gotten into before and which is largely for the country itself to handle. Hence, we don't know yet what we can do in this field.

However, *Mr. Dillon* continued, *Mr. Brand*⁶ and the DLF are ready to look into new ways of assisting. We plan to be more active in Latin

⁶ Managing Director, Development Loan Fund.

America next year and we must mobilize various different approaches. ICA can provide technical study. We are thinking of requesting additional funds for Latin America for this sort of thing, although it is too late for the coming fiscal year since requests must be made by November or December for the following fiscal year. Mr. Dillon thought Congress would be receptive if we could show ways the funds would be used. We must therefore show specific needs, e.g. land reform in Peru and Colombia and reconstruction in Chile. Mr. Dillon said the immediate problem in Peru seemed to be one of finding funds in the next three or four months, and that the DLF and the Export Import Bank to be the only sources for these funds. He referred again to the IBRD's interest, adding that study should be made of the possibility that it supply funds for both local currency as well as foreign exchange needs.

Mr. Dillon then said there was a general feeling in U.S. Government circles that we should use DLF funds for local currency needs in conjunction with the Export-Import Bank, rather than with the IBRD, for foreign exchange requirements, as we had our own foreign exchange problem and preferred to finance our own exports. Other foreign exporters should provide their own financing. Mr. Dillon suggested that Prime Minister Beltran bear in mind in his talks with Mr. Brand and others that our preference in financing given projects is thus for the DLF to do the whole thing or in conjunction with the Export-Import Bank.

Mr. Dillon felt that Sr. Beltran would find a receptive attitude in the DLF toward an increased flow of funds to Latin America for such fields as land reform and housing, and that this reflected not only the attitude of Mr. Brand and his staff but also of those agencies which make up its Board of Directors, including Treasury, State, ICA and the Export-Import Bank. Mr. Dillon also pointed up the problem of worldwide priorities, saying that we took great satisfaction in helping Governments which do a conscientious job of helping themselves. He pointed to Peru's record, which is hard to equal anywhere in the world, and stated that this gave Peru extra priority.

Reverting to the question of housing, Mr. Dillon said we wanted to help in this field, for example, through savings and loan associations. These seem to provide the right pattern, as we could of course provide only partial financing. We are giving study to further assistance through home loan agencies in different parts of the world, particularly in Latin America. For example, we are trying to work out some way of creating a joint agency to encourage and channel the investment of private capital in home loan agencies abroad. Mr. Dillon suggested that Sr. Beltran talk to Mr. Brand about this.

Sr. Beltran said he had seen Mr. Brand this morning and that the latter was planning to come to Lima. He had also seen Mr. Anderson of the Treasury, who called in Mr. Upton. He said Mr. Anderson and Mr.

Upton had been very helpful and had indicated DLF as the principal source of the needed funds for local costs. Mr. Brand had also been most receptive and helpful, saying it was possible to start right away in housing and resettlement if ways could be found to provide such assistance. He had earlier seen Mr. Waugh of the Export-Import Bank, who was very sympathetic, and would be seeing him again.

Mr. Dillon said he was delighted that these talks had gone so well. He reverted to the need to work out a pattern for Beltran's programs, since the law requires adequate plans in order for the DLF to make loans. He suggested that the ICA could provide technical assistance in working out such plans and in drawing up applications to the DLF. In addition to technical assistance, it is possible that ICA special funds could be used next year.

Sr. Beltran replied that this type of assistance would be most helpful and important. He mentioned, however, the livestock development program in which ICA had assisted in drawing up the program and the loan application, which had just been turned down by the DLF.

Sr. Beltran then reverted to his need for financing over the next six months. He said he had been mentioning \$25 million for this period, although he actually thought that about \$20 million would meet his needs. With this he could start on some projects right away, while others would take time to develop. He stressed again the need for speed in face of the threat of Castroism and Communism to aggravate an already unstable political and social situation.

PE-45. Editorial Note

A study mission, consisting of Vance Brand, Managing Director, Development Loan Fund; Hawthorne Arey, Director, Export-Import Bank of Washington; John W. Johnston, Jr., Deputy Regional Director for Latin America, International Cooperation Administration; and Theodore C. Achilles, Counselor of the Department of State, visited Peru in mid-July to consider Peruvian loan applications for jungle colonization and low-cost housing. They met with President Prado, Prime Minister Beltrán, Cabinet Ministers, and other Peruvian officials. In telegram 41 from Lima, July 16, they recommended \$50 million credit for Peru divided equally between the Development Loan Fund and the Export-Import Bank. (723.5-MSP/7-1660) On July 28, the White House announced approval of \$28.2 million credit by the Export-Import Bank of Washington and \$25 million credit by the Development Loan Fund to Peru for settlement of

the upper selva region east of the Andes. According to the White House statement, these credits along with the credit agreement of July 13 for \$2 million from the Development Loan Fund for the Peruvian Mutual Savings and Loan Association, brought the total recent United States credits for Peruvian Land settlement and housing to the equivalent of more than 1.5 billion Peruvian soles. For the text of a statement issued at Denver by President Eisenhower, July 28, on the development program for Peru, see *Public Papers of the Presidents of the United States: Dwight D. Eisenhower, 1960–61* (Washington, 1961), page 606.

PE-46. Memorandum of a Conversation¹

July 15, 1960

¹ Source: Department of State, Central Files. 3 pages not declassified.

PE-47. Telegram from the Ambassador in Peru (Chapin) to the Department of State¹

Lima, July 19, 1960, 6 p.m.

49. In no way desiring to detract from Beltran program and request for DLF and Export Import loan applications (EMBTel 41), it is consensus of Embassy, three service attaches with reference to EMBTEL 42² that following qualifying considerations should be made known to Department and at request other agencies passed to their Washington principals.

Since statement “Fidelismo has infected armed forces” does not agree with Embassy information or Army Attache’s reporting,³ latter requested make new survey. He conferred with Minister War,⁴

¹ Source: Department of State, Central Files, 723.5-MSP/7–1960. Secret; Priority.

² In telegram 42 from Lima, July 16, Counselor Achilles of the Department of State reported on conversation with Peruvians on the Castro influence in Peru. (723.00/7–1660)

³ Referenced reports by Colonel John J. Davis, Army Attaché, Embassy in Peru, were not found in Department of State files.

⁴ General Victor Tenorio Hurtado.

Commanding General Armed Forces and Chief of Staff.⁵ Was informed Army, aware Cubans attempting disaffect non-commissioned personnel, was therefore watching their activities and has Cuban Embassy under surveillance. There has been no known infiltration among the troops by Fidelistas. Army solid against Castro and has standing order there be no fraternization with Cuban dignitaries (EMBTLS 1031 and 1037).⁶

Naval and air attaches report these branches also strongly anti-Castro and no known infiltrations.⁷

Embassy aware and has reported attempts Cuban Ambassador foment trouble in student, sugar, mining and other labor matters but his effectiveness has been limited and recently rebounded in that National Committee for Defence of Democracy publicly denounced Ambassador July 14 for meddling in local politics and requested President and Foreign Minister to put him in his place". Frigid official reception President Dorticós received during visit here last month is also indication of GOP annoyance over Cuban policies and over Cuban Ambassador's activities. Particularly noted was absence Peruvian military officers at functions related to visit.

Local Communists and other Leftist, pro-Cuban extremists including APRA Rebelde⁸ have become more vigorous in fomenting trouble in last few months and in uniting with other opposition parties and groups to attempt bring about downfall of Beltran Cabinet. Funds disbursed by Cuban Ambassador to such groups have undoubtedly facilitated these activities. At same time, however, these activities have in recent weeks brought government and certain other influential public and private sectors to realization of extent of Communist influence, particularly in labor and student fields, and have contributed to feeling that something should be done to curb this influence. According to [text not declassified] (WEEKA 28 July 14), even APRA leadership now favors anti-Communist legislation.⁹

Without wishing unduly to minimize extent of Cuban role in assisting Communists and other extremists to foment trouble in Peru, Embassy does not believe their influence played any significant part in

⁵ General Alejandro Cuadra Rabines.

⁶ Telegram 1031 from Lima, June 6, reported that Lima news media, except APRA newspaper *Tribuna* contained unfriendly accounts of the visit by Cuban President Osvaldo Dorticós Torrado to Peru, June 4-6. (737.11/6-660) Telegram 1037 from Lima, June 6, reported that President Dorticós had received a "cool, correct official reception during his visit to Peru." (737.11/6-660)

⁷ The reports by Commander Jay W. Land, Naval Attaché and Naval Attaché for Air, and by Lieutenant Colonel Vernon J. Lyle, Air Attaché, Embassy in Peru, were not found in Department of State files.

⁸ Reference is to a splinter party which broke away from APRA and supported the revolutionary regime of Fidel Castro in Cuba.

⁹ Reference is to despatch 20 from Lima, July 14, which reported that APRA Secretary-General Ramiro Prialé had suggested that special legislation was required to curb communism. (723.00(W)7-1460)

lack of publicity given to Peru's initiative in OAS¹⁰ or in limited reception to President Eisenhower's declaration on Latin American aid program.¹¹

Embassy fully concurs that urgency of implementation of Beltran program is essential and trusts Department will assist in every possible way GOP's loan applications.

Chapin

¹⁰ In a note of July 13 to OAS Council Chairman Vicente Sánchez Gavito, Juan Bautista de Lavalley, the Peruvian Representative on the OAS Council, requested a Meeting of Consultation of Ministers of Foreign Affairs for the purpose of considering the exigencies of hemisphere solidarity, the defense of the regional system, and the defense of American democratic principles in the face of threats that might affect them. For text, see *American Efforts to Relieve International Tensions in the Western Hemisphere, 1959–1960*, p. 221. Documentation on the Seventh Meeting of Consultation of Ministers of Foreign Affairs of American States at San José, August 22–29, 1960, is presented in volume V.

¹¹ Reference is to a statement read by President Eisenhower at a news conference at Newport, Rhode Island, July 11; for text, see *Public Papers of the Presidents of the United States: Dwight D. Eisenhower, 1960–61*, p. 568.

PE-48. Memorandum of Conversation, by Donald F. Barnes of the Division of Language Services¹

San José, August 20, 1960.

US/MC/16²

PARTICIPANTS

United States
The Secretary
Mr. Rubottom
Mr. Mann
Ambassador Dreier
Mr. Barnes

Peru
Foreign Minister Porras

SUBJECT

Meetings of Consultation

¹ Source: Department of State, Secretary's Memoranda of Conversation, Lot 64 D 199. Confidential. Information on the source text indicates that this conversation took place in the Chancery building at 10:00 a.m.

² The designation US/MC/16 denotes the 16th memorandum of conversation by the U.S. Delegation to the Sixth and Seventh Meetings of Consultation of Minister of Foreign Affairs of American States at San José, August 16–29, 1960.

Mr. [illegible in the original]: [illegible in the original] must be [illegible in the original] of [illegible in the original] aspects of the United States proposal concerning [illegible in the original] the Dominican Republic [illegible in the original] be considered during the [illegible in the original].³

Minister Porras said that there was [illegible in the original] civil [illegible in the original] Latin America, and that all of the [illegible in the original] in the original].

Minister Porras said that the [illegible in the original] received by the masses in Latin America [illegible in the original] from the [illegible in the original] that even among [illegible in the original] circles, that is, the Catholics, there were firm supporters of Castro. He said that he had received a telegram from students of the Catholic University demanding that he not participate in any anti-Cuban actions.

Minister Porras said that, however, the upper hierarchy of the armed forces, financial circles, the government, and a majority in both houses of the Peruvian Congress were in favor of acts of repression of Communist influence in Cuba. He said that he would have to proceed with great caution in the Seventh Meeting, for fear of touching off a revolution in Peru similar to the ones that had taken place in Bolivia or Cuba.

Minister Porras said that he believed sincerely in a policy of cooperation with the United States and in the defence of Western principles, but that he would have to be careful not to support any measures that might incite the Cuban people to break Latin American unity. He said that Cuba had broken its ties with the United States by its violent attacks on the latter country, but that Cuba had no reason to break its ties with the other Latin American republics. He said that he hoped that Cuba would remain in the OAS for the sake of Latin American unity, and that Cuba would realize that the OAS represented the best safeguard of the Latin American countries.

Minister Porras said that the world was divided into regional system, and that Cuba belonged in the inter-American system for historical, geographic, and cultural reasons. He said that Cuba, although it had insulted a number of Latin American countries, including his own, would not, in his opinion, dare to abandon the OAS.

Minister Porras said that Peru had been accused by Cuba of accepting a large sum of money from the United States as a price for proposing the Seventh Meeting. He explained that Prime Minister [illegible in the original] been consulted by him about requesting the Meeting; he had decided to request the meeting after he had received United States Ambassador Chaplin and had [illegible in the original] not presented to him by the Ambassador.⁴

³ The referenced proposal was made by Secretary Herter in a statement at the Sixth Meeting of Consultation of Ministers of Foreign Affairs of American States at San José, August 18; for text, see the Department of State *Bulletin*, September 5, 1960, p. 355.

⁴ The referenced note was not found in Department of State files.

Minister Porras said that he had told Cuban Foreign Minister [illegible in the original] last year that [illegible in the original] were mention of [illegible in the original], Fidel Castro himself [illegible in the original] at the Buenos Aires economic conference⁵ that the United States offer a bribe amounting to 35 billion dollars to Latin America.

Minister Porras said that the United States, aside from economic matters, should pay attention to cultural relations with Latin America. He said that Latin American students were ignorant of the United States, and that the students were a factor of importance, due to the influence they exercised over the workers. In Peruvian universities, the students now were sons of carpenters, chauffeurs, and cooks, and that they felt a strong social resentment of the wealthy, the powerful, and the oligarchs.

In spite of this, the students were malleable, and could be influenced by scholarships for study in the United States and by the presence of American students in Peruvian universities. He said that American students in Peruvian universities had always been welcomed by the local students, and had never had to listen to anti-American attacks. A cultural policy of this kind would, in his opinion, bring good results. Minister Porras said that many students thought of the United States only in terms of American oil companies and other American concerns that they believed were exploiting Peru's resources, and that they were not aware of the technical and cultural progress achieved in the United States.

Minister Porras said that with regard to Cuba, he would like to use a metaphor dealing with bulls. There was a custom in the bullring that if a bull refused to cooperate by fighting, and was too difficult to herd out of the ring, a group of cows would be sent into the ring, and the bull would then docilely follow them into the pen. He said that Latin America was expected to play the part of these cows.

Minister Porras said that he believed that the best way to handle the problem was to have informal corridor meetings between four or five Latin American countries and Cuba. (He mentioned Mexico, Colombia and Venezuela, as countries which, presumably with Peru, should participate.) In these meetings the latter country would be asked if it really meant to break with the OAS and therefore with the other Latin American countries. Cuba should be asked to state what it would be willing to accept. He said that he was aware that Cuba was probably going to say some monstrous things during the Seventh Meeting, but that he felt that it was imperative to keep [illegible in the original] the OAS, or run the risk of serious social consequences in Latin America.

⁵ Reference is to the Meeting of the Special Committee of the Council of the Organization of American States To Study Formulation of New Measures of Economic Development (Committee of 21) at Buenos Aires, April 27-May 8, 1959.

Minister Porras said that Peru rejected the interference of extra-continental powers in the hemisphere, not to serve the interests of the United States but to defend itself. He said that although he believed that the Monroe Doctrine had failed on occasion, there was a permanent time of events in history that showed its efficacy.

[illegible in the original] almost all of the political parties in Latin America, and was warmly accepted by the masses. He said that therefore the measures taken by Castro should be viewed not as to their effect in Cuba but as a part of the international picture.

Minister Porras said that he was convinced that the impact of Fidel Castro on world and Latin American public opinion was the result of the work of American newsmen. He said that what would otherwise be a case of a cardillo of a small Caribbean island with a ridiculous beard had been made into an idol by American correspondents exploiting the Cuban revolution.

PE-49. Telegram from the Chargé in Peru (Neal) to the Department of State¹

Lima, September 2, 1960, 4 p.m.

163. Prime Minister Beltran called me in yesterday to discuss his possible resignation and the question of his attending Bogotá conference.²

He was at very low ebb mainly, I feel, because of overwork on interpellation and was hurt by coldness with which Senate personally treated him. Said he was reluctant to continue in Cabinet and wanted my opinion.

I told him our polls indicated assurance final vote favorable and that APRA leader had only last night predicted his victory after personal abuse. I said opposition playing politics with him and his friends were hesitant to publicly indicate their feeling but vote would tell.³

¹ Source: Department of State, Central Files, 723.13/9-260. Confidential; Priority.

² Reference is to the third meeting of the Committee of 21 at Bogotá, September 5-13. For documentation, see Documents ETA-32-34, 38, 42, 44, 47-49, 55; CT-31; HA-29; NI-11.

³ In telegram 171 from Lima, September 5, the Embassy reported that Prime Minister Beltrán received a confidence vote of 78 to 29 in the Chamber of Deputies on September 4 following in interpellation, (formal questioning of [illegible in the original] policy in the legislature) begun on September 2, during which he answered 41 questions by the opposition Partido Demócrata-Cristiano on his program. (723.13/9-560)

I gave him assurance which I expect he was looking for that if he and other members of his Cabinet (I had in mind Minister of Development Grieve and Minister of Agriculture Zarak) are forced out all good will and loans he generated for Peru on recent U.S. visit will be nullified.⁴ Informed him I had made this clear to other responsible leaders in government.

As for Bogotá, told him it essential he attend because this will be opportunity for him recoup Peruvian prestige lost by lack of leadership in Peruvian delegation at MFM San Jose.⁵

Am certain he feels better this morning after Senate victory reported following EMBTEL 164.⁶

⁴ In telegram 147 to Lima, September 7, the Department of State expressed sympathy with the Embassy's efforts to encourage Prime Minister Beltrán, but added that "were he to resign, there would be no question of nullifying credit authorizations to Peruvian Government except under extraordinary circumstances fundamentally altering U.S.-Peruvian relations." (723.13/9–260)

⁵ In despatch 161 from Lima, September 16, the Embassy reported that Foreign Minister Porras resigned effective September 16, stating in his letter of resignation published that day that his position of conciliation toward Cuba, which he assumed at the Seventh Meeting of Consultation of American Foreign Ministers at San José, diverged from instructions he received from his Government ordering the Peruvian delegation to support the Declaration of San José. (723.12/9–1660)

⁶ In telegram 164 from Lima, September 2, the Embassy reported that Prime Minister Beltrán won a 26 to 13 confidence vote in the Senate on September 2 after an interpellation, begun on August 31, during which he answered 39 opposition questions on his program by the Acción Popular and the Partido Demócrata-Cristiano. (723.13/9–260)

PE-50. Telegram from the Acting Secretary of State to the Embassy in Peru¹

Washington, October 3, 1960, 8:46 p.m.

225.

As result call by Jamieson² and Brisco³ of IPC and Martin Jones of Standard N.J., Department has agreed representations should be made

¹ Source: Department of State, Central Files, 823.2553/10–360. Confidential. Drafted by Poole and signed by Mann.

² Milo M. Brisco, Executive Vice President and Director, International Petroleum Company.

³ John K. Jamieson, President and Director, International Petroleum Company.

to President Prado concerning bills on La Brea y Pariñas oil fields. IPC gravely concerned over nationalist and leftist campaign against Government bill⁴ and worsened climate for passage as result introduction six expropriation bills; believes Beltran and Grieve will be effective in defending bills when called for interpellation October 11 but that only Prado has sufficient political influence to master congressional majority;⁵ also believes now best time make representations before opposition campaign makes further headway and since attitude successor Government unpredictable. This view seems coincide generally your reports.

In your discretion seek audience Prado, taking following general line: USG concerned over bitter campaign against Government bill seemingly directed as much against USG and U.S. investment in general as against IPS and bill itself. Expropriation would of course be very detrimental to climate for U.S. and other investments and credits in Peru. To substantial albeit lesser extent, continued irresolution and controversy over La Brea y pariñas, even without actual expropriation, harming investment climate. While not appropriate USG express opinion on details Government bill, it presumably meets GOP requirements, is acceptable to company and appears best hope for settlement this long standing issue. View uncertainty congressional support for bill in face heavy attacks by opposition, we hope Prado will make every effort muster support by pro-Government majority.⁶

Dillon

⁴ In despatch 148 from Lima, September 13, the Embassy enclosed an unofficial translation of the draft Peruvian Petroleum Law submitted to the Congress on August 30. It provided for immediate cession of the La Brea y Pariñas property to the Government and a 30-year concession to the company which would pay taxes in dollars assuring the Government receipt of 60 percent of its profits. After 30 years the Government would own all fixed installations on the property. (823.2553/9-1360)

⁵ In despatch 221 from Lima, October 13, the Embassy reported that Prime Minister Beltrán and Development Minister Grieve received a 74 to 33 vote of confidence in the Chamber of Deputies on October 12, after an interpellation on the La Brea y Pariñas petroleum issue. (723.00 (W)/10-1360)

⁶ In telegram 241 from Lima, October 7, Chargé Neal reported that President Prado was confident of congressional approval of the Government's bill and asked Neal on October 6 to assure the Department that the matter would end satisfactorily. (823.2553/10-760) At the conclusion of the period under review, the draft legislation remained under study by special committees appointed by each house of the Peruvian Congress.

PE-51. Memorandum of Telephone Conversation, by Robert M. Phillips of the Office of West Coast Affairs¹

Washington, December 23, 1960.

SUBJECT

Proposed Purchase of Military Aircraft by Peru

PARTICIPANTS

Mr. Jorge Nicholson, First Secretary, Peruvian Embassy
Col. Enrique Fuller, Assistant Air Attaché, Peruvian Embassy
Robert M. Phillips, WST

Following inquiries from the Peruvian Embassy to the Departments of Defense and State, and after consulting with Mr. Lane² of WST and Mr. McLean of RPA/S, I telephoned Mr. Nicholson and informed him that the United States Government had decided that it could not at this time authorize the sale of the B-26 and B-57 aircraft requested by the Peruvian Government.³ We were sure that the Peruvian Government was fully aware of the delicate circumstances which prompted us to withhold the requested authorization⁴ and we trusted that the Peruvian Government would agree as to the undesirability of taking any action which might upset the recent relative improvement in this situation. I said I would also call Col. Fuller, who had telephoned while I was out, in order to give him the same information.

Mr. Nicholson thanked me for this information and said he understood the Department's position. He gave no indication that the U.S. decision might be disagreeable to his Government.

I then telephoned Col. Fuller and gave him the same information. He betrayed no surprise at the news but merely requested that the Department send a written reply to the Peruvian Embassy's notes

¹ Source: Department of State, Central Files, 723.5622/12-2360. Confidential. Phillips, the Officer in Charge of Chilean Affairs, presumably acted for Richard A. Poole, the Officer in Charge of Peruvian Affairs, in this case.

² Samuel O. Lane, Deputy Director, Office of West Coast Affairs, Bureau of Inter-American Affairs.

³ Allan F. McLean, Jr., Assistant Officer in Charge of Inter-American Military Assistance, Office of Inter-American Regional Political Department of State.

⁴ According to telegram 9 to Lima, July 5, the Peruvian Air Force wanted two B-57s. (723.5622/7-560) In a note of October 3 to the Secretary of State, the Peruvian Ambassador specified the eight B-26s the Peruvian Air Force wanted. (723.5622/10-360)

requesting authorization to purchase these aircraft. I promised that we would send a written reply as requested.⁵

⁵In telegram 263 from Quito, November 14, the Embassy advised against sale of military aircraft, particularly bombers, because it would intensify Ecuadoran reaction against a guarantor statement regarding the Peru-Ecuador border dispute. (723.5622/11-1460)

In a note of January 23, 1961, to the Peruvian Ambassador, the Departmental of State expressed its regret that it could not approve sale of the eight B-26s and two P-57s. (723.5622/10-360)

PE-52. Telegram from the Acting Secretary of State to the Embassy in Peru¹

Washington, December 29, 1960, 11:48 a.m.

431. Exchange of notes completed December 28 (Dept's note of December 27 and Peruvian Embassy's note of December 28) agreeing to loan to Peru of 1 Lavalette (ex-Fletcher) class destroyer under same terms and conditions as agreement of February 12 and 26, 1960, to which this destroyer is added to annex, but with rehabilitation etc. as requested by GOP to be at latter's expense.²

Dept. has requested Peruvian Embassy urge GOP refrain from publicity in order avoid if possible further adverse Ecuadorean reaction at this time. Embassy Lima requested make similar informal representations appropriate officials Lima.

Dept planning inform Chiriboga³ of above agreement, with following further explanation: (1) above agreement represents fulfillment of long-standing commitment made under Ship Loan Act⁴ which U.S. obligated to honor; (2) timing of agreement necessitated by expiration Ship Loan Act December 31, 1960; (3) delivery will probably not be made for as much as 2 years as vessel will be turned over from active fleet; (4) we have urged Peru refrain from publicity as above in interest avoid public reaction in Ecuador. Dept will also ask Chiriboga avoid publicity to maximum extent possible.⁵

¹ Source: Department of State, Central Files, 723.5621/12-2960. Confidential; Priority. Drafted by Poole and signed by Lane. This message was repeated to Quito.

² For citations to the referenced notes, see Document PE-14.

³ José R. Chiriboga Villogómez, Ecuadorean Minister of Foreign Affairs.

⁴ Reference is to Public Law 532, approved July 18, 1960; for text, see 72 Stat. 376.

⁵ No record of whether this information was conveyed to Chiriboga was found in Department of State files.

Uruguay: U.S. Relations with Uruguay

**UR-1. Memorandum from the Assistant Secretary of State for
Inter-American Affairs (Rubottom) to the Deputy Under
Secretary of State for Economic Affairs (Dillon)¹**

Washington, March 12, 1958.

SUBJECT

Uruguay; Proposed Approach to Economic Cooperation.

It is paradoxical but true that with no country in the Hemisphere do we have more difficulty in our relations than with Uruguay – traditionally the most stable and democratically-oriented nation in Latin America. For a variety of reasons, detailed below, the adverse drift in our relations in the past few years has now reached a critical stage, and the time has come when Uruguay, politically in a state of near-paralysis (Tab A)², and economically in a state of increasing deterioration (Tab B)³, needs help from us. Help, which can most fruitfully be accorded in the economic sphere, will have a resultingly beneficent effort in the political sphere. If, on the other hand, no tangible form of assistance is forthcoming, we can look forward with assurance to worsened economic conditions and correspondingly more difficult political relations. Already the Uruguayan Government – tolerant of native Communism to the point where infiltration is a serious problem – is looking to the Soviet bloc for markets, and no one can say with certainty that, in the event of further economic deterioration, Uruguay could withstand more serious economic and financial penetration. The purpose of this paper is to set forth some of our salient problems in connection with Uruguay and to suggest certain steps which I believe must be taken.

¹ Source: Department of State, Rubottom Files, Lot 60 D 553, "Uruguay 1958." Confidential. Drafted by Livingston S. Watrous, Officer in Charge of River [illegible in the original] Affairs in the Office of South American Affairs, and concurred in by Alexander M. [illegible in the original], Officer in Charge of Economic Development in the Office of Inter-American Regional Economic Affairs. The source text is an unsigned carbon copy.

² Not printed.

³ Not printed.

Among these problems the following specific irritants have rendered our relations most difficult.

Our countervailing duty on Uruguayan wool tops, imposed in 1953, when it was determined that Uruguayan exchange afforded a subsidy to tops exporters, has still to be removed, not necessarily because the subsidy still exists, but because the Uruguayans have failed to maintain a relatively stationary set of rates under which they could establish statistically that the duty is no longer justified.

Another source of irritation to Uruguay has been our P.L. 480 Program, which, whether in actual practice it has harmed Uruguay's experts or not, has provided a convenient whipping boy. Uruguayan leaders have thus been reluctant to accept a program for their country, but in the past year somewhat hesitantly sought Congressional authority to enter an agreement. The bill remains in Congress, with prospects for immediate passage poor.

What the Uruguayan economy clearly needs is a series of domestic reforms coupled with a regime of austerity internationally, the whole to be accompanied by a stabilization program. Recognizing the economic need for these steps, but unwilling to face the political price, Uruguayan officials have several times expressed their guarded desire for a sizable United States loan, and have not hidden their pique that one has somehow not been forthcoming. They have never, however, defined their desires in terms of specific projects. The fact that Uruguay has been unable to complete its membership in the IMF, and that, even if it did, Congressional ratification of a Government-to-Government loan would be most difficult to obtain, seem insufficient to relieve us, in some Uruguayan eyes, of our imagined responsibility in this field.

Uruguayans have also been critical of our failure to implement three tariff concessions (canned meat, pickled meat, and meat extract) negotiated under GATT in 1949. While Uruguay delayed several years in ratifying these negotiations, and while Uruguay has subsequently violated some of its own commitments, the fact nevertheless remains that Uruguayans believe that we have legal and moral obligations either to proclaim the items or to proceed to re-negotiation.

To counteract this unhappy combination of circumstances, ARA has recently been holding discussions with Uruguayan Ambassador Lacarte with the object of exploring what could be done to increase economic cooperation between the two countries. The Ambassador has followed up these talks with full discussions of potential assistance at the Eximbank, the IBRD, the DLF, and ICA. He now has an excellent idea of just what, from the point of view not only of legal restrictions but also of policy, these institutions can and cannot do in relation to the present Uruguayan situation. This he is reporting to his Government. Equally important, perhaps, will be his report to the effect that not only

the Department but also the other organizations involved are desirous of helping Uruguay at this time in those fields in which help is possible. This impression I should hope to have reinforced in Montevideo upon the forthcoming arrival of newly-appointed Ambassador Woodward.

Having gone this far, then, and having for the first time in recent years arrived at a point where we can actually come to grips with the Uruguayans over their problems, I believe it to be of the utmost importance that we be in a position to move ahead on one or more specific projects, as noted below, upon receiving some evidence of receptivity from the Uruguayan Government.

Wool Tops.

When the Uruguayan Embassy presents its figures justifying statistically the removal of the countervailing duty, and when it appears that the Uruguayan exchange is reasonably stable, I would propose preliminary talks between officers of AFA and appropriate Treasury officials. These would pave the way for me to approach Treasury on a higher level to emphasize the utmost importance we attach to the duty's removal, not only on economic grounds, but as a major factor in the totality of our relations. I would hope for your approval and support in this approach.

P.L. 480 Program.

A P.L. 480 Program with Uruguay would have the doubly beneficial effect of bolstering the Uruguayan economy and dampening the ardor with which the Uruguayans are accustomed to attack our surplus disposal program. Given the slowness with which the Uruguayan Government moves, however, it may be necessary to do some actual encouraging to move the required legislation through the Uruguayan Congress. If such an effort is successful, I would hope that [illegible in the original] would support my request for a prompt and ample program in Uruguay.

Eximbank Credits.

In his conversations with Mr. Waugh, Ambassador Lacarte was given some reason to believe that the Bank would look sympathetically upon an arrangement whereby the Bank would announce a line of credit, to be used for exporter credits, with a specific ceiling and for specified purposes. The Ambassador has reported this to his Government, and ARA has alerted the Bank to this, with the request that it be prepared to consider a scheme of this nature. The Bank is disturbed at the present size of Uruguay's commercial debt, but it is probable that this can be cut sharply when the present Uruguayan wool clip moves to market. If, as seems likely, the Uruguayans follow up the line of credit idea, I should appreciate your support in a recommendation to the Bank that it look expeditiously and with favor on the plan.

GATT Meat Items.

Our failure to put into effect the concessions granted Uruguay during the 1949 GATT negotiations is clearly a breach of faith. Whether or not the Department will be able to overcome the opposition of the Department of Agriculture to honoring our commitment I do not know, but I believe we are morally obligated to try. I am, therefore, preparing a letter for your signature to the appropriate official of Agriculture which will set forth our case as forcefully as possible.

D.L.F.

Ambassador Lacarte has talked informally at the D.L.F. about two possible projects, one to expand the port of Montevideo and one to drain a section of coastal swamps. Technicians of the IBRD and the ICA, who are familiar with these projects, feel that these projects are not of first priority. The IBRD, however, is preparing to move ahead with a loan of \$8–10 million for livestock and pasture improvement, and Bank officers have indicated informally to ARA that, since the Bank loan would be largely for imported equipment, it might be possible for the D.L.F. to participate in the operation by making a loan to cover local currency costs. In the negotiations for this loan it was contemplated that the Government of Uruguay would meet the local currency costs of this project, and at the moment it is not established that the Government itself cannot do so. We are continuing to look into this, and if it appears to be a practical possibility I would appreciate your support of it in the D.L.F.

UR-2. Letter from the Chargé in Uruguay (Espy) to the Assistant Secretary of State for Inter-American Affairs (Rubottom)¹

Montevideo, April 1, 1958.

Dear Dick:

I wanted to write you earlier but I thought I had best wait until we received the memoranda of the follow up conversations on March 6 and 12 which Ambassador Lacarte held with you subsequent to your meeting of February 21 with him. As I wrote you in my letter of March 25, copies of them were inadvertently delayed in reaching us. Now

¹ Source: Department of State, Rubottom Files, Lot 60 D 553, "Uruguay 1958." Confidential; Official-Informal.

they have been received and I and other officers in the Embassy have studied them carefully and are very happy to note that progress apparently has been made in Washington with respect to the assistance, or at least offer of assistance, we might be able to grant Uruguay economically and financially. I think that the possibilities offered by the Ex-Im Bank, the DLF and possibly PL 480 are most constructive. May I say here that we also understand and in fact reported as our concurrent view that a stabilization loan to Uruguay would be imprudent if not harmful at the moment without this country at the same time definitely and precisely committing itself to certain actions on its part. The likelihood is that it won't do so, or at least not until after the national elections of November of this year. May I return to this subject a little later in this letter.

As you will see from our telegram 374 of April 1,² the Government here through the Foreign Minister, Oscar Secco Ellauri, has expressed its agreement to the visit of Vice President Nixon from April 28–30.³ We hope that both the President and the Foreign Minister will be here, at least long enough in the morning of April 28 to receive Mr. Nixon, but if not, the Acting President and the acting Foreign Minister will do so on their behalf.

In my telegram 373 of March 31 I set forth some ideas which I have been thinking over for some weeks time.⁴ I would like to take the liberty to explain them to you more fully, hoping in doing so I am adding something constructive and helpful. I mentioned Bob Woodward's mission here and I meant it personally for him but at the same time I think that the same criterion would apply to any other new and experienced ambassador arriving at this post.

You know the situation here very well and so what I may be saying might not, in its entirety, be necessary. Yet I do believe I should write it down as best I can. As you will have observed from our Despatch 683 of January 30,⁵ on the crisis in Uruguay and again from our conversations with officials of the First National City Bank of New York who visited Uruguay about 10 days ago and which were reported in our Despatch 844 of March 28,⁶ the situation here is rather perilous and there has been little or no improvement in the two months interval of time. If anything, indeed, it has worsened because Uruguay has only been able to move half of its wool crop. Where the money will come to pay for essential petroleum supplies and other necessary imports still remains to be seen. What

² Not printed.

³ See Document UR–3.

⁴ Not printed.

⁵ Not printed.

⁶ Not printed.

the economy of this country obviously needs as we here in the Embassy recognize, is the same as that which the Department also appreciates. In summary, it is a definite and possibly drastic program for Uruguay to come to grips itself with its economic plight for which it almost entirely is solely responsible. The adoption of a free exchange rate for exports, the sale of its products at realistic world prices, the improvement of its production, the devotion of more of its efforts to the land rather than merely trying to build up more industry and create more uneconomic urban occupations, the restriction of its imports and the balancing of its budget are obviously the ways it ought to take to cure its economic ills. It still looks as though none of these will be done, at least immediately. Now the Government wants one or both of two things: The United States purchase at a high price of the remainder of Uruguay's wool clip and/or a stabilization loan. We realize that our Government cannot in all probability do either and even if it did so, without drastic conditions attached we would only be postponing the inevitable day of reckoning.

However, the three possibilities that seem to have come out of the conversations in Washington are something concrete and seem to be along the lines of the suggestion made in our Despatch 683 that we at least express to Uruguay our willingness to help. We have heard that Ambassador Lacarte will be coming here next week or the week after and I certainly hope that he will be prepared to explain fully to his Government the whole situation.

By several communications, particularly our telegram 369 of March 31, we reported that Uruguay through its newly designated Ambassador to Venezuela, is going to attempt to persuade Venezuela to supply Uruguay with petroleum on a credit basis in the amount of approximately \$40 million. If that does work out of course it will help to tide this country over its immediate difficulties. Naturally, we have no idea here what the reaction of the Venezuelan authorities would be to any such approach.

Should all go well, with assistance from ourselves and from Venezuela to Uruguay, the picture here will certainly greatly brighten; but, of course, this is all still very "if".

Now may I refer back to Vice President Nixon's visit and my telegram 373 of March 31. I mentioned therein that Battle's newspaper "Acción" reported as a rumor that Battle would take a leave of absence immediately after Holy Week which would mean he would be away from the official scene here both over the Frondizi and Nixon visits. As I see his strategy, perhaps in the first instance he does not wish to play second fiddle to President Fischer when the president elect of Argentina comes here. In part there may be the same motive inducing him to be away when Vice President Nixon comes to Uruguay. On the other hand, however, I have a strong feeling that as regards to Vice President Nixon,

Batlle would be thinking of keeping himself free to jump either way as may suit his political purposes here. If the Nixon visit is a great success, particularly if it generates or is accompanied by economic and financial assistance from the United States, then he can jump on that band wagon. If, however, no assistance is forthcoming and it suits his political purposes to renew his attacks against the United States, he will be free to do so since he will not have been associated personally with the Nixon visit. You will recall your visit here last August and particularly the stand taken by Uruguayans at the Buenos Aires conference thereafter which put Secretary of the Treasury Anderson in a rather difficult spot.

It is too early to say what Batlle will do; except we should keep constantly in mind that in all likelihood he wants to be president of Uruguay beginning next year. Should Ambassador Lacarte's report here convince Batlle that he, Batlle, has something to gain out of the Nixon visit and that it would be to his advantage to be around when the Vice President arrives, he may not take his leave of absence or cut it short following Frondizi's visit. Interestingly enough, since I have been here he has twice threatened to take leave of absence saying he was going to Europe. Neither time did he do so. So we cannot tell which way he is going to jump on this occasion.

In view of the foregoing, I think what we would want particularly to try to do and to lay our plans for in the best long term interests of our relations with Uruguay is to set the stage as well as we can for a successful mission of our new Ambassador. In this light I should like to pose the following three alternatives: (a) that we make known to the Uruguayans in one way or another the straight news before Bob arrives here or through Vice President Nixon's visit that there are concrete proposals for assistance to Uruguay. I think we may rest assured that the Uruguayans are bound to expect something tangible from the Vice President's visit, their lack of reasonableness to the contrary notwithstanding. Perhaps even before he comes here the news can be gotten out so that Bob Woodward can get a large measure of the credit and the Vice President merely reaffirms such news. After all it will be Bob or any other Ambassador who will have to stay here to carry on the job and take the blame or the approval. (b) If there is nothing we can do for the Uruguayans the straight news be gotten out on this score before Bob Woodward arrives here so that none of the unpleasantness be attached to him for the same reasons as above; and (c) what may be a combination of the foregoing two alternatives, to avoid if at all possible to raise in the minds of the Uruguayans any false hopes which would later be dashed after Bob gets here and makes his already difficult task that much more so. In other words, if he comes here without any hopes or expectations on the part of the Uruguayans and if the Vice President merely generates a broader atmosphere of public good will but without pledging the

United States either by implication or outright commitments that may not be fulfilled, then our relations being pretty much at the bottom, Bob can weather them for this year without any stigma having fallen on him through no fault of his own and with the hope that later the skies will brighten so as to enable him to accomplish his mission eventually with success. In the meantime, we can quietly be working on the problems, trying to develop a sound basis for their eventual resolution.

Sincerely yours,

James Espy

P.S. Enclosed is a copy of a letter I wrote to Chuck Burrows on the subject of the mission of the newly designated Uruguayan Ambassador to Venezuela.⁷

⁷Not printed.

**UR-3. Memorandum of Conversation, by the Director of the
Office of South American Affairs (Bernbaum)¹**

Montevideo, April 28, 1958.

PARTICIPANTS

Luis Batlle Berres, Member of the National Council of Government
Richard Nixon, Vice President of the United States
Maurice M. Bernbaum (Interpreter)²

SUBJECT

Disposition of Swift and Armour Packing Plants.

Batlle Berres brought to the Vice President's attention during dinner the recent action of the Uruguayan Government in taking over the Swift and Armour Meat packing plants.³ He stated vehemently

¹Source: Department of State, ARA Files, Lot 62 D 359, "American Meatpackers." Confidential.

²Bernbaum accompanied Nixon on the Vice President's good-will tour to Latin America.

³The financially hard-pressed meatpackers, who had determined to close out in Uruguay, made an offer to sell their plants to the Government of Uruguay, but on April 24, 1958, the Government issued a decree temporarily expropriating the plants. Documentation concerning the matter is contained in Department of State decimal file 411.3352.

that this action had been required to avert a dangerous social situation and to prevent prolonged unemployment. He stated that he had received a visit last November from Edward G. Miller, ex-Assistant Secretary of State for Latin American Affairs, then representing the interests of the packing plants. Mr. Miller informed him confidentially of a decision taken by the Swift and Armour managements to close the plants the following month, December 14. Mr. Miller then stated that this decision had been taken without the knowledge of the Department of State—that the companies operated freely and made their own decisions without the need of consulting the Department of State. Dr. Batlle stated that he had inquired of Mr. Miller whether this was an irrevocable decision or whether it might be possible to work out a mutually satisfactory solution. Mr. Miller's response was that the decision was irrevocable. Dr. Batlle Berres felt very strongly that the decision had been taken without consultation with the local representatives of the companies concerned and without any awareness of its significance in Uruguay. He then told the Vice President that in his opinion it would be a grave error for the U.S. Government to become involved in this problem. He pointed out that the company itself had emphasized the lack of consultation with the Department of State and that it correspondingly had no reason to request the intervention of the Department of State.

The Vice President stated that the U.S. Government had no intention of becoming involved in this problem. What did concern him, however, was the unfavorable impression already created in the U.S. tending to jeopardize the confidence of American investors in Uruguay's traditional respect for private enterprise with equity and justice. He stated that he had a few hours earlier received a telephone call from Senator Dirksen of Illinois, protesting against the action taken by the Uruguayan Government. The Senator proposed to make a formal protest to the U.S. Government against this act of "expropriation". The Vice President was also aware of the great concern of the meat packing companies involved and of the discouraging effect of their experience in other financial and investing circles in the U.S.

Dr. Batlle responded that there were many Dirksens in Uruguay—that those were at least six Dirksens in the Chamber of Deputies and at least three of them in the Senate. These Dirksens spoke just as vehemently against the U.S. policies as did our Senator Dirksen against Uruguayan policies. He felt that we should not pay too much attention to them.

The Vice President smilingly remarked that the situation in the U.S. was somewhat more complicated than would appear. Senator's attitude did carry a considerable amount of weight in U.S. public opinion

as did the attitudes of responsible and important American firms. What concerned him was that their attitude was based on the apparent facts involved which did not permit as much stress on the political factors as was the case in Uruguay and which he, the Vice President, understood as a man in public life himself. He emphasized that it would be most unfortunate for the impression to become current in the U.S. that Uruguay had changed its policy and friendly attitude toward private enterprise. He hoped that this could be averted by a prompt and equitable solution to the problem.

Dr. Batlle Berres assured the Vice President repeatedly that there was no basis for such concern—that Uruguay's tradition and reputation for fair dealing themselves represented a guarantee against such unjustified fears. He stated that he personally guaranteed to the Vice President that the companies would be fairly treated and that he was always ready to speak to them. He just hoped that they would not convey a misleading impression in the U.S. since they themselves understood the necessity for the action taken and the certainty of fair treatment.

The conversation continued in this vein until terminated by the commencement of after-dinner toasts.

Dr. Batlle Berres and Ambassador Lacarte later continued the conversation with Mr. Bernbaum. Dr. Batlle asked for confirmation that the Vice President has assured him that the U.S. Government would not intervene in the matter. Mr. Bernbaum stated that this was his understanding. He added, however, that the Vice President's assurances had been accompanied by Dr. Batlle Berres' assurances of fair treatment for the companies. It was his impression that the Vice President considered that Dr. Batlle Berres' assurances represented a guarantee of fair treatment to the American firms. Dr. Batlle stated that this was a justified assumption. The companies were going to receive fair treatment, and he was ready to discuss the problem with them. He confirmed, when asked, that the Government's proposal in Congress for authorization to pay the companies for their properties, would remain in Congress with the expectation of passage and eventual payment. He was most categorical on this point. The conversation terminated with Mr. Bernbaum's request for Dr. Batlle's authorization to convey his assurances to the companies. Dr. Batlle gave that authorization with the statement that he had already conveyed such assurances directly and would continue to do so.

UR-4. Memorandum of Conversation, Department of State¹

Washington, May 27, 1958.

SUBJECT

U.S.-Uruguayun Relations

PARTICIPANTS

The Secretary
Ambassador Lacarte
ARA—Mr. Rubottom
OSA—Mr. Watrous

The Ambassador opened the conversation by referring to Vice President Nixon's recent visit to Uruguay, and noted that he, the Ambassador, had been there during the visit. He said that he was convinced that the visit had been a "smash success", and that he felt that it set the stage for increased U.S.-Uruguayan cooperation.

He explained that the visit coincided with a period of economic difficulty for Uruguay, about which he had been holding discussions in Washington with U.S. Government officials, and that Mr. Nixon and members of his party had been able to discuss the same problems in Montevideo. He pointed out that the basis of Uruguay's difficulties was its inability to sell to the U.S. as much as it bought from that country. For example, he said, in 1957 Uruguay bought from the U.S. over four and one half times as much as it was able to sell in the U.S. market. This condition, he added, had produced a balance of payments problem which had now become serious.

The Ambassador then outlined the manner in which he said the Russians were attempting to take advantage of this situation. He described the Russian procedure as that of purchasing Uruguayan goods and of increasing Russian demands in return for these purchases. He said that this trend was of course disturbing to Uruguay, which preferred to be oriented toward the U.S.

The Ambassador then said he would like to inform the Secretary about the various conversations concerning economic cooperation that, on instructions from his Government, he was undertaking in Washington. The most important item under consideration, he went on, was a forty million dollar balance of payments loan about which

¹ Source: Department of State, Rubottom Files, Lot 60 D 553, "Uruguay 105." Confidential. Drafted by Watrous on May [illegible in the original]. Information on the source text indicates that the conversation took place at 11:00 a.m. The source text is an unsigned carbon copy.

he was talking with Mr. Waugh of the Eximbank. He noted that this subject had been raised when Mr. Waugh was in Montevideo, at which time it had been discussed in terms of loan with full gold collateral. The Uruguayan Government now felt, however, that for political reasons it would be impossible to offer this collateral, and he was exploring the possibility of an unbacked loan such as he understood had been granted other, including Latin American, countries. He pointed out that Uruguay's financial affairs were in the hands of responsible people, and that Uruguay's reputation for the payment of obligations was excellent. Moreover, he said, he hoped that the present period of exchange stringency would be resolved toward the end of this year, at which time Uruguay would have for sale abroad a full year's wool clip plus one half of this year's currently unsold clip.

The Ambassador mentioned also that he was holding discussions on the possible financing of different proposals with the Development Loan Fund, and indicated that he thought some of those discussions might bear fruit. He added that Uruguay was also currently hoping for some U.S. actions which would permit increased U.S. imports of certain Uruguayan products, such as wool tops, canned meat, and woolen textiles. These items, he said, would in due course be the subject of communications to the Department.

In conclusion, the Ambassador again stressed the friendly atmosphere engendered by the Vice President's visit to Uruguay, and said that he believed that this atmosphere was an excellent one in which to proceed to greater U.S.-Uruguayan cooperation.

The Secretary commented that he could not, of course, give immediate answers to the questions raised by the Ambassador. If the answers could come from the heart, he said, it would be simple enough, but the questions raised had of course to be considered thoroughly from a financial viewpoint by various U.S. Government agencies. He said that, as he had mentioned in an OAS meeting recently, the U.S. Government was aware of the marketing problems faced by countries producing a few basic commodities, and that he was also aware of the evident Communist intention of making capital out of these difficulties. Moreover, he continued, this awareness ante-dated some of the less pleasant incidents which took place during Mr. Nixon's tour of South America. He mentioned that the free world had experienced cycles of prosperity and depression for a long time, and commented that some governmental attempts to counteract depression conditions, as in the case of agriculture in the U.S., had raised additional problems. Now, however, there was the added danger that the Communists, who could implement their policies without regard to factors such as costs and profits, were obviously endeavoring to take advantage of cycles of depression to destroy both the economic and political structures of free world countries. Finding a solution to this problem was not as easy as

diagnosing it, he said, but the U.S. Government is giving more thought to it now than ever before.

The Secretary concluded by thanking the Ambassador for giving him this personal account of the present situation, and assured him that the efforts he was making to increase economic cooperation between the two countries would have the sympathetic consideration of the Department.

UR-5. Memorandum of a Conversation¹

Washington, June 18, 1958.

SUBJECT

Export-Import Loans to Uruguay

PARTICIPANTS

Mr. Samuel C. Waugh, President, Export-Import Bank
Mr. Walter C. Sauer, Executive Vice President, Export-Import Bank
Mr. Hawthore Arey, Director, Export-Import Bank
Mr. Vance Brand, Director, Export-Import Bank
Mr. George A. Blowers, Director, Export-Import Bank
Mr. R. R. Rubottom, Jr., Assistant Secretary of State for Inter-American Affairs
Mr. Maurice M. Bernbaum, Director for South American Affairs

Mr. Rubottom described in some detail the difficulties in our relations with Uruguay arising from the belief in that Government and in that country that the United States is indifferent to its problems and is not ready to be helpful in their solution. He thought that an important breach had been made in this attitude by the conversations which had taken place in Montevideo during Vice President Nixon's visit and that it was important for us not to lose the momentum then created. He thought that this would depend largely on the outcome of current negotiations for a balance-of-payments loan. Mr. Rubottom said that he had discussed this problem frequently and at length with Tom Taylor of International Packers and that there was an important difference in their approaches to the problem. Whereas Taylor was indignant over the treatment accorded his firm by the Uruguayans and felt that a solution to his specific, as well as the overall problem, could be reached only

¹ Source: Department of State, Rubottom Files, Lot 60 D 553, "Uruguay 1958." Confidential. Drafted by Bernbaum. The source text is an unsigned carbon copy.

on a strong *quid pro quo* basis, Mr. Rubottom believed that the interests of Mr. Taylor's company and of the United States as a whole would best be served by a solution of the political problem.²

Having said this, Mr. Rubottom said he had heard from Mr. Dillon regarding the outcome of his conversations a few days earlier with Mr. Waugh. This indicated an agreement between the two that the Bank was ready to announce a \$25 million line of exporters credits contingent upon a settlement of the meatpackers problem. After a discussion of the matter, Mr. Dillon had authorized Mr. Rubottom to let Mr. Waugh know that he had misunderstood the primary importance of the balance-of-payments loan, the granting of which would, in accordance with conversations in the Vice President's office, be made contingent upon settlement of the meatpackers claim. Mr. Rubottom stressed that the line of exporters credits represented normal business and should be handled without any reference whatsoever to the meatpackers problem.

Mr. Rubottom then made the following specific proposed in response to Mr. Waugh's request:

1. That the Bank agree to announce a line of exporters credits.
2. That the Bank agree to consider a balance-of-payments loan on the basis of partial gold coverage and commitments by the Uruguayan Government to undertake necessary stabilization measures.

He added that the Department was, in the meanwhile, working strenuously on other aspects of the Uruguayan problem, including elimination of the countervailing duty on wool tops and compliance with our agreement in GATT to make concessions on three canned meat items.

Mr. Waugh stated that he agreed thoroughly with Mr. Rubottom's analysis of the political problem. The only area in which he differed was the amount of reliance to be placed on Uruguayan promises. He

² In a memorandum to Dillon dated June 4, 1958, prepared as a briefing paper for the Deputy Under Secretary's meeting with Thomas Taylor that afternoon, Assistant Secretary Rubottom stated the following: "The packers believe that there is no hope of coming to a fair settlement with the Uruguayan unless the U.S. Government intervenes energetically. As a first step, the packer propose that the U.S. freeze exiting Uruguayan assets in the United States, as was done with Egyptian assets during the Suez crises." Rubottom further stated, however, that he doubted the wisdom of these tactics, and noted that Uruguayan President battle Beres had already assured Vice President Nixon in Montevideo that the matter would be equitably settled, that the issue between the meatpackers and the Uruguayan Government was primarily a legal one, and that any attempt to "Bludgeon Battle into meeting the packers' terms would be the single most effective way of assuring the failure of our efforts for better relations." (Rubottom Files, Lot 60 D 553, "Uruguay 1958"). In a covering memorandum to Dillon, Rubottom added the following point: "The action proposed by the packers would also add fuel to the fires of 'review' of our Latin Americas policies now going on on the Hill. Badly as they have been treated, I doubt that the steps they want would get very much public or political support." (Rubottom Files, Lot 60 D 553, "Uruguay 1958")

stated categorically that he had no confidence whatsoever in promises made by the present Government. He felt that a loan at this time to that Government would serve only to strengthen and perpetuate it, thereby rendering less likely any of the remedial measures which must be taken to extricate Uruguay from its difficulties. He conceded, however, that this was a political problem and that he would, in deference to Mr. Rubottom's views, agree to the following, subject to the concurrence of his Directors:

1. Prompt announcement, if desired, of a line of exporter credit in the amount of \$25 million, of which \$15 million would be covered by the Export-Import Bank.

2. The prompt negotiation of \$20 million balance-of-payments loan backed by the Uruguayan gold now in the United States.

3. Agreement by the Bank to consider, although without commitment, further assistance to the Uruguayan Government on the basis of stabilization measures to be taken by it.

Mr. Waugh added that since the foregoing would be done in deference to the recommendations of the Department of State on the basis of political considerations, he felt that it would be only right for the Department to submit a letter requesting such action. He felt that such a letter would be required by the Bank to meet the undoubtedly strong pressure and criticism that would inevitably arise from the meatpackers and other American interests.

Mr. Rubottom responded that he thought a request for a letter was fair. He stated that he wanted to think about the whole matter, and that we would get in touch promptly with the Bank.

It was suggested that the stabilization measures to be undertaken by the Uruguayan Government might, if feasible, be worked out by that Government informally with the IMF, although the latter organization would not enter into a formal agreement.

Mr. Bernbaum then clarified various points raised about the Uruguayan attitude and the manner in which Ambassador Lacarte was reporting the problem. He stated that he had yesterday brought to Ambassador Lacarte's attention the statement in Mr. Burgess' letter to Mr. Waugh quoting Mr. Fullgraff as having stated that he could not understand why 100 percent gold backing was required by the Bank since that matter had never come up. Bernbaum stated that Ambassador Lacarte was amazed to hear this and stated that Fullgraff was a fool and that we should not pay any attention to him. As regards Mr. Waugh's fears that Lacarte was not reporting accurately to Washington, Bernbaum stated that Lacarte had let him know that he was refraining from recording any negative news on the Bank's attitude to Uruguay until clarification of the Bank's attitude toward the possibility of considering a loan on the basis of stabilization measures to be undertaken

by the Uruguayan Government. Mr. Rubottom interjected that Lacarte was one of the best Ambassadors Uruguay had ever sent to the United States, that he had a great deal of confidence in Lacarte, and that one of his fears regarding the present situation was that the failure of the negotiations might lead to Lacarte's recall. M. Waugh agreed with this estimate of Ambassador Lacarte. Mr. Bernbaum stated that Lacarte was to visit the Department on Friday June 20 and inquired whether Lacarte should then be asked to resume his conversations with the Bank. Mr. Waugh said that he certainly hoped that would be the case and that no commitments would be made by the Department.

**UR-6. Letter from the Ambassador in Uruguay (Woodward)
to the Deputy Under Secretary of State for Economic
Affairs (Dillon)¹**

Montevideo, July 22, 1958.

Dear Mr. Dillon:

The Matter discussed in the attached despatch² is of such importance in United States relations with Uruguay that I am taking the liberty of calling it to your attention.

Such I know how busy you are, I suggest that you read the first paragraph of the despatch which summarizes the reasons for which I believe prompt action should be taken.

With the hope that you will agree that action³ should be taken promptly in this matter, and with best wishes,

Sincerely yours,

Robert F. Woodward

¹ Source: Department of State, Central Files, 411.334/7-4458. Limited Official Use; Official-Informal. Robert F. Woodward presented his credentials on April 21, 1958.

² Copies of the referenced despatch (see Document UR-6, Enclosure) were also sent to Vice President Nixon; Robert B. Anderson, Secretary of the Treasury; Assistant Secretary Rubottom; and Thomas C. Mann, Assistant Secretary of State for Economic Affairs.

³ A handwritten note from Dillon to William P. Snow, Deputy Assistant Secretary of State for Inter-American Affairs, attached to the source text, reads as follows: "Unless you have strong objection of which I am not aware, would agree with Woodward. I am prepared to help with Treasury if needed. *Please keep me advised.*"

[Enclosure]

Despatch from the Ambassador in Uruguay (Woodward) to the Department of State⁴

Montevideo, July 21, 1958.

No. 49.

SUBJECT

Recommendation that Countervailing Duty on Uruguayan Tool Tops be removed⁵

It is respectfully recommended that steps be taken immediately to remove the existing 6% countervailing duty on Uruguayan wool tops without writing any longer for an official written request from the Uruguayan Government that this be done. This recommendation is made for the reasons which are summarized briefly in the following list and are then explained in subsequent paragraphs:

(1) The Uruguayan “subsidy” on wool tops no longer exists.

(2) The United States is suffering a serious and unnecessary disadvantage in its relations with Uruguay because of the countervailing duty and the United States can now gain disproportionate good-will by removal of the duty because the Uruguayan public has received an exaggerated impression of its importance.

(3) The removal of the duty will serve temporarily as a public relations substitute for more substantial economic assistance, and make it less costly in terms of United States public relations to await reciprocally-constructive economic actions by the Uruguayan Government which would warrant more substantial economic assistance from the United States.

(4) The removal of the countervailing duty will probably not significantly affect the United States wool-combing industry because Uruguayan prices will still be non-competitively high even with countervailing duty removed.

(5) There has evidently been reduction in the number and importance of the United States combing plants that could be affected if Uruguayan wool tops were eventually able to compete again in the United States market.

⁴ Limited Official Use.

⁵ On May 6, 1953, [illegible in the original] Treasury Department [illegible in the original] on [illegible in the original] tops imported from [illegible in the original] of [illegible in the original] 361, the [illegible in the original] Act of 1930. [illegible in the original] authorized the Secretary of the Treasury to impose additional [illegible in the original] to the [illegible in the original] of any [illegible in the original] or [illegible in the original] paid upon [illegible in the original] promotion, or export of the article [illegible in the original] under the provisions of the Act. For text of the Act, [illegible in the original] 45 Stat. 590.

(6) The original application of the countervailing duty appears, in any event, to have been not entirely consistent with the spirit of United States fundamental laws.

(7) The United States can now gain an additional good-will benefit by taking the initiative and not awaiting a formal Uruguayan request for the countervailing duty to be removed.

(1) Careful calculation reveals that the average weighted exchange rate for all Uruguayan imports and exports is at present and for some time has been substantially above the officially established exchange rate for exports of Uruguayan wool tops. Therefore it is clear that the basis no longer exists, under the provisions of United States law, for considering that the officially established export rate for Uruguayan wool tops constituted a "subsidy" against which a countervailing duty is applicable. It appears that no basis has existed for the countervailing duty at least since November 11, 1957 when the overall exchange rate structure was sharply depreciated; and, although no calculations have been made to prove it, any basis for the duty may have been eliminated even earlier. In other words, the U.S. Government appears at present to be in a dubious situation in applying this countervailing duty. Not only should our Government properly take initiative in complying with United States law but further delay in corrective action may create additional problems.

There is enclosed, as Enclosure 1, a calculation by this Embassy of the average weighed Uruguayan exchange rate for all Uruguayan exports and imports together with an indication of the comparison between this average rate and the existing officially established exchange rate for exports of Uruguayan wool tops. The calculation above that the current official tops rate is roughly below the weighted average rate for all Uruguayan exports and imports.

(2) It has become increasingly apparent that the U.S. Government has been permitting itself to suffer unnecessarily a serious disadvantage in its relations with Uruguay by awaiting an official request from the Uruguayan Government for removal of this countervailing duty. The Uruguayan Government has, for several years, apparently encouraged the widespread impression throughout Uruguay and in other countries that Uruguayan export trade and the Uruguayan economy have been suffering a more serious disadvantage than has really been the case, from the countervailing duty on wool tops applied by the U.S. Government. This impression has now gained such widespread currency within Uruguay that the removal of the countervailing duty would result commensurately in much more favorable publicity for the United States than the practical effect on Uruguayan trade would justify. The removal of the countervailing duty would, in fact, probably *not* work any appreciable benefit at this time to Uruguayan exports or the Uruguayan country. The Uruguayan Government and wool merchants know this but the Uruguayan public have an unclear understanding

of the situation. Therefore, it now appears that the Uruguayan authorities may recently have been deliberately dilatory in making a formal request, and in preparing statistical justification for the removal of the countervailing duty, realizing that removal of the duty would be of little immediate benefit to the Uruguayan economic situation and hoping that the criticism emerged by continuation of this propaganda factor may increase the possibility of Uruguay's obtaining other economic concessions from the United States, such as liberal credits, which would be of much greater practical use and greater political use to the Uruguayan Government at this time. While the Uruguayan Government would benefit from the favorable publicity resulting from removal of the countervailing duty, the Government appears astutely to wish at present to make even greater use of the deep concern in the United States about United States–Uruguayan relations in order to obtain concessions that will provide *both* favorable publicity and *important* economic assistance. I suspect that the Government now fears that the public reaction to removal of the countervailing duty would be so favorable (because of the Government's own past exaggeration) that the feeling in Washington that other economic assistance is needed would be substantially dissipated. This in turn, would make it more necessary for the Uruguayan Government to take constructive measures to put its economic house in order—sacrificing some of the current subsidy devices which are of short-term political value—in order to convince the United States Government that more liberal economic assistance would be put to good use. Officers of the Department may think that this ascribes exaggeratedly subtle motives to Uruguayan officials, but it should be remembered that we are dealing with an extremely able politician in the person of Councilor Luis BATLLE Berres who is “master-minding” the Uruguayan strategy.

(3) The United States Government may now find it very difficult to extend to Uruguay in the foreseeable future the kind of economic concessions which the Uruguayan Government more ardently desires, such as liberal credits, since it will be extremely difficult for the United States Government to make this kind of concession until the Uruguayan Government either releases or purchases the Swift packing [illegible in the original] which was “intervened temporarily” by a decree of April 25, 1958. There may be a substantial delay in the solution of this packing house problem, but in the meanwhile, it is becoming increasingly important that the United States Government give at least a substantial public impression of having extended friendly economic cooperation to Uruguay. This would accomplish the double purpose of giving a significant good-will gesture to the country and the Government of Uruguay, which, while no real concession on our part, would largely quiet Government-encouraged criticism of United States economic policies during a very vocal election-campaign period. In other words, while

we await the time when the Uruguayan Government may finally take constructive economic measures that are increasingly needed, including solution of the packing house problem, we can reduce the extent to which our relations suffer by taking advantage of the very fact that the Uruguayan Government has, for several years, been encouraging the public impression that the countervailing duty on wool tops has had a *more* deleterious effect than has been the case. The U.S. Government now has an opportunity to gain disproportionately from public opinion from removal of the countervailing duty.

(4) There appears to be very little possibility that any significant quantity of Uruguayan wool tops would be exported to the United States in the predictable future if the countervailing duty were now removed. In the absence of the duty, according to competent experts, the price of Uruguayan wool tops would still be above the world price. Furthermore, viewed in terms of relative importance, even in the peak year of 1958, when imports of Uruguayan tops into the United States amounted to home 14 million pounds (valued at slightly over 16 million dollars) quantitatively these imports amounted for only about 3 percent of total U.S. wool consumption. Since 1958, Uruguayan tops exports to the United States have dwindled to only a few hundred thousand pounds annually, and it is very unlikely that the relatively high 1952 volume could ever be repeated.

(5) The number of U.S. companies which are dependent to an important extent upon the combing of raw wool into wool tops as a large part of their manufacturing operations has evidently diminished since the countervailing duty went into effect in 1953. The number of U.S. plants in which this is now a large part of total operations is probably less than ten. The possibility of complaints or criticism from there plants is further reduced by the fact that there would probably be no increased imports of Uruguayan wool tops into the U.S. in the predictable future if the countervailing duty were removed. Moreover, the convincing indication that the officially established exchange rate for Uruguayan exports of wool tops can no longer be continued as a "subsidy" as compared with the average exchange rate for all other Uruguayan exports and imports, oil [illegible in the original] the basis for complaint from those factories that imports of Uruguayan wool tops should legally be subjected to a countervailing duty.

The large number of complaints received by the U.S. Government prior to the application of the countervailing duty against wool tops in 1958 suggests that a preponderant majority of those complaints came from wool manufacturers and wool producers in the United States who may not have been directly affected by the importation of Uruguayan wool tops, but whose organized associations were acting in sympathy with the small group of manufacturers who were dependent upon wool combing operations.

(4) The countervailing duty against Uruguayan wool tops, ever since its application in 1953, appears “in spirit” to have been discriminatory against Uruguay and against Uruguayan and United States companies and persons interested in the [illegible in the original] in Uruguayan wool tops. This discrimination “in spirit” arises from the fact that the U.S. is not applying a countervailing duty on any other product from any other country because of a subsidy resulting from the fixing of an exchange rate [illegible in the original] encourage and assist the exportation of a product. There are many governments and countries that maintain systems of multiple exchange rates which have the effect of encouraging or assisting in the exportation of certain products as commerce with other. In fact, it can be fairly stated that there are dozens or even hundreds of products being imported into the United States today which are [illegible in the original] in this way by officially established exchange rates of foreign countries. The singling out of Uruguayan wool tops for application of a countervailing duty [illegible in the original], in this sense, [illegible in the original] contrary to the spirit of the recognized principle in United States law that no person shall be denied “equal protection of the laws” as stated in the Fourteenth Amendment of the Constitution. This principle has been interpreted by the Supreme Court of the United States (Case of [illegible in the original] vs. Hoskins, see Enclosure [illegible in the original])⁶ to include “protection against unequal application of the [illegible in the original] practically to make unjust and illegal, discrimination between persons in similar circumstances.”

This is a superfluous consideration if the countervailing duty should be removed for the reason that the “subsidy” which prompted it no longer exists; but this is a factor of significance in considering the understandable if legally illogical mental hazard that has deterred action to remove the countervailing duty. This hazard has [illegible in the original] apprehension we have felt that the Uruguayans may make further unpredictable changes in exchange rates that would again create a situation in which the exchange rate for exports of wool tops could be construed to be a “subsidy”.

There is an ever-present possibility that the Uruguayans may make such changes in officially established exchange rates, and the Embassy frequently hears rumors that such changes will be made just as it heard rumors of many other possible economic measures. However, it is equally possible that—in the event of changes in officially established exchange rates—the *relative* situation of the exchange rate for exports of wool tops will not be sufficiently different from the average of other new rates to make the wool top rates a “subsidy” rate.

(7) The United States Government has heretofore given the distinct impression to the Uruguayan Government that the United States

⁶ The enclosed memorandum, which described the case, is not printed.

Government would require a formal request from the Uruguayan Government for removal of the countervailing duty, supported by a thorough Uruguayan official calculation of the average weighted exchange rates for Uruguayan exports and imports over a representative period, to enable the United States Government to give official consideration to the possibility of actually removing the countervailing duty. The fact that this [illegible in the original] has been given now provides the United States Government with the opportunity to gain additional good-will by taking the initiative without awaiting a formal request from the Uruguayan Government. Moreover, it would seem entirely logical and proper for the United States Government to take action under a United States law if the United States Government perceives on its own initiative, or received a convincing indication from any reliable sources, that such action should be taken in order to bring about [illegible in the original] with the law or eliminate positive action that the United States Government has not into effect and which is no longer required by the law. Also, since it is conceivable that the Uruguayan Government would actually present a formal request for the removal of the countervailing duty in the future, I believe we should now seize the opportunity to take action before it is requested.

In this respect, there is opportunity, in publicity or comments to the press concerning action removing the countervailing duty, to relate this action to the special determination of the United States Government at this time to demonstrate its intention to do everything possible to cooperate with the Latin American Government including the Government of Uruguay in the promotion of mutually advantageous international trade and economic development, with particular reference to the reappraisal of inter-American relations which has followed upon the visit to South America of Vice President Nixon.

For all the reasons set forth in this despatch, I earnestly hope that action will be taken as soon as possible to remove the countervailing duty on Uruguayan wool tops.

Robert F. Woodward

UR-7. Editorial Note

On October 20, 1958, two contracts of sale were signed transferring all of the assets and liabilities of the two U.S. meatpacking plants, Swift and Armour, to a workers' cooperative known as Establecimientos

Frigorificos del Cerro S.A., Uruguayan Army troops, who had been guarding the plants, were withdrawn on October 27, 1958.

[illegible in the original]

UR-8. Letter from the Director of the Office of South American Affairs (Bernbaum) to the Ambassador in Uruguay (Woodward)¹

Washington, November 21, 1958.

Dear Bob,

You will by the time this letter is received have heard from us by telephone and telegram regarding the latest developments on the Uruguayan front. I'll describe them now just to make certain that you have the flavor of what has been going on.

The Export-Import Bank's response to Lacarte's letter of September 25 regarding a balance of payments loan was delivered to Lacarte only a few days ago.² It had been held up by differences of opinion in the Bank as to how to respond to the unorthodox Uruguayan initiative and by our insistence that a positive attitude be reflected in the letter. We did get that positive attitude included in the sense of keeping the negotiations open but we did not succeed in getting the bank to define exactly what commitments it wanted from the Uruguayans. A copy of the letter is enclosed.³

Dick and I have spoken with Lacarte a few times during the last few days about this letter. He was of course gratified over confirmation of the Bank's continued interest in the negotiations. Lacarte was, however, unhappy over the failure of the Bank to define in just what respects his own letter was deficient. As you know, he had wanted the Bank to state exactly what it wanted so that he could then pressure his own government into committing itself to the necessary measures. As he sees it now the big problem is to get the Uruguayan Government to make the necessary commitments without confirmation that such

¹ Source: Department of State, Rubottom Files, Lot 60 D 553, "Uruguay 1958." Limited Official Use; Official-Informal. The source text is a carbon copy bearing Bernbaum's typed signature.

² Neither Ambassador Lacarte's letter of September 25 nor the Export-Import Bank's response of November 18, 1958, were found in Department of State files.

³ No enclosure was found with the source text.

commitments would do the job. We explained to Lacarte that the Bank was reluctant to define its requirements in the manner desired for two reasons, (1) it did not want to become involved in an essentially Uruguayan-IMF problems; (2) many of the Directors were fearful of the effect on the overall policy of close collaboration with the IMF of a deviation from that policy in the case of Uruguay. Given the general desire to do something for Uruguay, the consensus in the Bank was that they could not go beyond receiving commitments voluntarily entered into by the Uruguayans without in any way participating in the formulation of such commitments. For this reason they didn't even want to let Lacarte know informally what they would expect to find in a letter of commitment from the Uruguayan Government. While unhappy over this turn of events, Lacarte appeared to understand the Bank's position.

Our various efforts to obtain formal cancellation of the countervailing duty this much appear to have failed. After speaking with Secretary Anderson early this week, Dick wrote him a letter explaining why it would be important for the Department of the Treasury to waive some of its requirements and cancel the countervailing duty promptly. A copy of the letter is enclosed.⁴ This letter produced a meeting in the Treasury Department which I attended and at which time we made all of the points we could in favor of prompt action.⁵ We found the Treasury people sympathetic but not ready to take action without the complete elimination of the differential. The reasons given were legal and political. They felt that the law very specifically prohibited the Treasury Department from eliminating the countervailing duty as long as there was a differential between wool tops and the general average as defined in the Treasury Department's formula. They could not see their way clear to get around this provision of the law. They also felt that violation of the law, even if feasible, would entail unacceptable political risks. They felt that cancellation would inevitably be followed by the prompt demand of the wool industry for an explanation of the basis on which cancellation was made. Since the formula and the facts involved were already known to the wool industry it would be easy for them to verify the violation. The net result could easily be renewed pressure from protectionist groups to put teeth into the countervailing duty legislation and enforce it all across the board. As it is today, the Treasury Department has adopted a passive attitude toward reported violations and takes action only when forced to do so by the industries concerned. Until now the only action has been the one against Uruguay. They shudder to think of anything forcing them to take further action of this nature. We then went through the exercise of recalculating the formula on the basis of giving the Uruguayans the benefit of the doubt in all

⁴ Not printed.

⁵ No record of the meeting has been found.

cases. This resulted in reducing the differential from 5% to about 3-1/2%. An attempt to reduce it further by including the various import taxes in the calculation failed on the ground that the Treasury Department had already made its formula known and that this formula did not include any provisions for taxes as an element in exchange rates. Inclusion of this factor would have brought the differential down to 1%.

After having discussed with Lacarte the bad news of the Export-Import Bank's letter, I let him know about our unsuccessful attempts to get action this month on the countervailing duty. I inquired whether it would be possible for the Uruguayan Government to change the rates on a sufficient number of import items to eliminate the differential. Lacarte stated that it would not be possible since the government could not see its way clear to raise import rates until after the elections. He confirmed, in response to my inquiry, that his government would prefer to wait for the complete elimination of the countervailing duty than to go along with a reduction at this time to 3 or 1%. The net result of the conversation was to leave his feeling that we really wanted to do something but could not because of our laws and their inability to act. That was all to the good as I assume he will report this to his government.

We have been working overtime to get action this month on the three meat items. We have succeeded thus far to the extent that the Trade Agreements Committee voted last Friday to promulgate the concessions on the three items. Only Agriculture voted against such action. The atmosphere at the TAG meeting which I attended to present the political problem involved was most sympathetic. The matter is being considered today by the Trade Policy Committee. Our representative will be Tom Mann who is sympathetic to our position and who can be counted on to make a good fight to hold the line against Agriculture's opposition. Although formal promulgation may not be feasible because of red tape prior to the end of this month, we expect to get the information informally to the Uruguayans for the psychological effect.

We had hoped for completion of the PL-480 negotiations by this time. Unfortunately the dispute over the exchange rates has prevented that. We have discussed this matter with all of the other agencies concerned as well as with E and find that the issue is too fundamental in our over-all PL-480 program for us to yield. A yielding on this point would, according to our E advisers, result in the necessity to make similar concessions to other countries and perhaps even to renegotiate agreements already made. In this day of depreciating currencies that would just be too costly. I am hoping that the phone call which Clare Boonstra will make to you today will clarify this point sufficiently for a meeting of the minds with the Uruguayans.

I can only repeat that the general atmosphere in Washington toward Uruguay, thanks to Dick Rubottom's unremitting efforts, is most sympathetic. In these cases where it is not sympathetic there is

now an effective realization of the political importance of stabilizing and improving our relations with Uruguay. Given this situation, our failure to get positive action this month before the elections should not be taken as indicating failure in the future.⁶ I hope and expect that most of our problems will be settled during the next few months.

With best Regards,
Sincerely,

Maurice H. Bernbaum

⁶ Reference is to the Uruguayan general election, November 30, 1953, in which the Nationalist Party defeated its traditional opponents, the Colorado Party.

**UR-9. Despatch from the Ambassador in Uruguay (Woodward)
to the Department of State¹**

Montevideo, December 5, 1958.

No. 438.

SUBJECT

Comments Concerning Uruguayan Relations with the United States Under New
Herrerista Administration

There is still a slight possibility that the final count of votes may change the narrow margin of some 6,000 or 7,000 votes by which the Herreristas have the majority within the Nationalist Party. But it now appears that the Government will almost certainly be led during the four years after March 1, 1959, by the Herreristas.

We are not certain in our predictions of any attitudes of this political group (which has been essentially in opposition for approximately 93 years) except that it is strongly representative of rural interests and will undoubtedly do everything possible to promote agricultural prosperity. The outgoing Administration obviously harmed agricultural productivity by over-zealous efforts to industrialize and to increase the prosperity of city workers. Since agricultural productivity and exportation is the only way in which exchange can be created to permit normal

¹ Source: Department of State, Central Files, 733.00/12-558. Confidential.

Uruguayan imports, it can be hoped that Herrerista measures may help promote economic recovery.

The Herrerista segment of the Nationalist Party, which has been under the leadership of Luis Alberto HERRERA for over a generation, was essentially friendly toward the United States and very pro-British up until the Terra revolution² in Uruguay in 1933. At that time, the Herreristas supported this Uruguayan version of strong-man government and showed similar enthusiasm for the dictatorships which existed in Italy and Germany. This led to an orientation toward Germany during World War II, and subsequently led to some enthusiasm for Peron's type of demagogic dictatorship. Now that all of these dictatorships have been thoroughly discredited, there is no current indication of enthusiasm for totalitarian ideas in the Herrerista group.

Up until about ten months ago, the Herrerista newspaper, *El Debate*, had frequent editorial criticisms and sneering innuendos concerning U.S. policy in a large variety of matters. However, during the last six months of that period, from 18 months ago to 10 months ago, when the Colorado List 15³ newspaper *Acción* was notably critical of the United States and inclined to accuse the United States of much of the responsibility of Uruguay's economic ills, particularly the loss of Uruguayan markets for wool, this Colorado criticism was matched by a trend in *El Debate* toward gradually increasing tolerance of United States policies. In other words, it appears that a large factor in the critical Herrerista attitude toward United States' policies had been one of opposition to the attitude of the Colorado List 15 Government.

So far as the general orientation of the Herreristas is concerned, a large proportion of their support is probably found among the *smaller* ranchers and farmers than any other single group; a majority of the *largest* ranchers and farmers could fairly be said to be supporters of the UBD, and a majority of the industrialists were probably also UBD supporters. Since UBD collaboration will, in essence, be essential to the Herreristas, the combination of Nationalist factors in the new Administration will, therefore, be conservative. On the other hand, it should be remembered that the concentration of property in Uruguay is decidedly limited as compared with *most* other countries and that extreme conservatism in this country is a minor element. The new Administration may, therefore, *not* be notably reactionary.

² Reference is to Gabriel Terra, President of Uruguay, 1931–1938, who dissolved both the National Council of Administration and the legislature in 1933, and called for a constitutional convention. The new constitution concentrated executive power in the President.

³ Since the 1940s, the two major factions of the Colorado Party were List 14 and List 15, the former lead by the sons of José Battle, President of Uruguay, 1903–1907 and 1911–1915, and the latter by his nephew, Luis Battle Berres.

It is more likely, by its nature, to be anti-Communist than the List 15 Government, although several Nationalists, while in the opposition, have been notably friendly with the Soviet Legation. However, it is not likely that the Communists will be dealt with sufficiently drastically to give them a phoney "aura of persecution" which would actually help to strengthen them. In general, the broad middle-class element that has been revealed in this election will be a very important bulwark against drastic change in policies in Uruguay—and the unusual governmental system which gives the opposition unique opportunity to influence policies will help this.

Leaders of the Nationalist Party have shown, individually, a courteous and friendly personal attitude in conversations with officers of the U.S. Embassy and U.S. citizens. The 85-year old leader, Herrera, has been very cordial. He made a distinct effort to be friendly in greeting Vice President Nixon during the Vice President's visit to Uruguay from April 28–30, 1958, and he came to the Embassy residence to a reception for the Vice President. I made it a point to invite him to sit down on the sofa in the National Palace beside Vice President Nixon, as the Vice President was saying goodbye to the National Council, so that he and the Vice President could have their picture taken together, and this obviously greatly pleased the old gentleman. When I made a courtesy call on Herrera a few weeks later, he went out of his way to be exceptionally cordial even though it was obvious that he is almost totally deaf. He gave considerable publicity to this visit in his newspaper. (Amusingly, when I called on another Nationalist Councillor, Viña, the next day, he told me that the *Herreristas* didn't have a "ghost of a chance" in the coming elections under "the old man".)

The man who will be President of the Council during the first year is Dr. Martin R. ECHEGOYEN. He is quite widely respected in Montevideo as a decent, intelligent and honest lawyer. He is considered to be so loyal to Herrera as probably to be almost subservient to him. While he opposed ratification of the ICA Industrial Productivity Agreement during the discussion on this subject in the Senate, I expect this was more symptomatic of opposition to List 15 than any real indication of feeling with respect to the United States or with respect to the substance of the matter. If he had any motivation other than "politics", it may have been more a manifestation of nationalistic resistance against taking advice rather than any feeling with respect to the United States.

The man who would be President of the Council during the second year is Señor Benito NARDONE. [*text not declassified*] it was his demagogic appeal through radio programs over several years which apparently helped greatly to glean a large number of votes from small farmers whom he promised to help. It seems probable that he has no convictions on international matters and will continue to be an opportunist;

it can be hoped that he will see the greater “opportunity” of adopting a “statesmanlike attitude” when he is a National Councillor. (A glossary of his views on economic matters is contained in Emodes 436 of December 4, 1958.)⁴

The man who will be President of the Council during the third year, Señor Eduardo Victor HAEDO [*text not declassified*] has been venomous at times in his criticism of the United States, and it can only be hoped that his attitude will change when he is no longer in opposition and in a position of public responsibility as a Councillor.

The man who will be President during the fourth year is Señor Faustino HARRISON. He has always appeared to be friendly toward the United States, and has a fairly good reputation in Montevideo as a competent *escribano*.

One of the other two Herrerista members of the Council will be Dr. Justo M. ALONSO, a respected physician who is a member of the Rotary Club of Montevideo where I have talked with him occasionally and have found him very cordial.

Given the unpredictable nature of Herrerista policies and measures, the Council system of government has certain safeguards—in that the two Colorado List 15 Councillors and the one List 14 Councillor will have the same leavening effect that the Nationalist Councillors have had during the present Administration.

The Herrerista and UBD factions together will control a bare majority in both the Senate and the Chamber of Representation in the Legislative Branch of the Government. It is too early to surmise concerning the extent of formal cooperation that may be developed between the two factions, but it is obvious that the Herrerista faction will not be able to pass any legislation unless it has the cooperation of some other segment of the legislative bodies which is as large as the UBD segment or the Colorado List 15 segment. Obviously the possibilities of cooperation with the UBD are greater than with the List 15. Therefore, there may be considerable moderation of ideas and policies in the Herrerista leadership when they are in power, if for no other reason than because of the necessity of getting things done.

The only existing program of the United States Government in Uruguay (since we do not have a real ICA program in operation at present) concerning which the Herrerista Government might develop a negative attitude is the Air Force Mission. The principal interest of the Colorado Government in having the Air Force Mission in Uruguay was, first, to obtain the military assistance equipment which we have been giving to Uruguay for “Hemispheric defense”, and probably, second, to

⁴ Not printed; 833.00/12–458.

have both this equipment and the Mission for the purpose of giving the Governmental leaders a feeling of security with respect to unpredictable developments in Argentina. This latter feeling was, of course, particularly strong during the Peron era, but developments in Argentina continue to inspire a feeling of uncertainty, and it seems likely that the Herrerista Government will have similar motivations. This reassuring defense tie has no doubt been, tacitly, in the minds of leaders of the Uruguayan Government, as powerful a political factor as exists in Uruguayan relations with the United States. We can no doubt thank our defense relationship as well as our fundamental ideological relationship for the Uruguayan measures of cooperation with the United States in international matters, particularly at the United Nations. It can be hoped that this relationship will continue. While the Herreristas, in the opposition, have been unenthusiastic about this "defense cooperation", their attitude twenty years ago toward the militaristic regimes in Italy and Germany and their subsequent attitude toward the Peron regime in Argentina would not indicate any fundamental antipathy to "militarism" *per se*.

All indications we have received so far from the Herreristas are to the effect that they intend to adopt a clear policy of cooperation with the United States and the Western world and that they hope to have our friendly assistance.

There would seem to be no reason why we should adopt any change of attitude whatever in our relations with Uruguay, as we wait to see what concrete measures the new Administration will undertake and what general attitudes it will adopt. I believe that we should continue the efforts we have been making to resolve the old grievances and work toward new, modest measures of economic and financial cooperation. We should assume that the new Administration will have as much interest as (or more than) the present Administration in such measures as possible Eximbank assistance and possible DLF loans, both for the UTE telephone equipment and possibly to supplement the prospective IBRD loan for rehabilitation. The need is so great for the surplus tobacco and cotton which would be delivered under the PL 480⁵ agreement, that is being negotiated that there can be little question but that this negotiation would receive the unqualified approval of the new Administration.⁶ In any event, the sales transaction should be completed long before the new Administration comes in on March 1, 1959.

⁵ For the text of P.L. 480, the Agricultural Trade Development and Assistance Act of 1954, see 68 Stat. 454.

⁶ Reference is to the Surplus Agricultural Commodities Agreement effected by an exchange of notes, signed at Montevideo, February 20, 1959, and entered into force the same day. For the text of the agreement, see *United States Treaties and Other International Agreements* (UST), vol. 10, p. 161.

The general feeling among businessmen in Montevideo is that it was a great misfortune that the UBD did not quite obtain a majority within the Nationalist Party. At the same time, there is very general relief that the List 15 people are going to be out of the Government. The List 15 leaders, particularly Luis BATLLE Berres, have been widely disliked and feared by responsible citizens because their motivations had become so exclusively those of wardpoliticians who have decided any and every issue on the basis of how many votes the decision would bring in. This narrow, parochial attitude has now been proven to have been mistaken. It seems, in fact, that the Uruguayan people have had a greater and more responsible concern for their long-term interests than their governmental leaders have shown.

[text not declassified]

To my mind, there are a number of very reassuring conclusions to be drawn from the recent elections. First, it has been revealed that the rigidity of party affiliation in Uruguay was not as ossified as had been generally believed, and it has been proved that people will change parties (for the first time in 93 years, for any large majority) when sufficiently dissatisfied; this is reassuring for the future of Uruguayan democracy. Second, it has been revealed that the size of the vote that has been susceptible to the cheap, demagogic, short-term appeal of the present leaders of List 15—even with the help of thousands of Government employees—has not been as large as we had feared; this is a very wholesome indication of the strength of middle-class opinion which has some solid stake in the economy and social system of Uruguay. Third, the former Opposition won the elections by a sufficiently large majority so there is literally no chance of any attempt at a coup or “palace revolution” on the part of List 15 to retain power, even if there had been any such chance with a narrower majority; it is good for the permanency, growth and reputation of Uruguayan democracy that this temptation does not exist. Fourth, it is reassuring to note that, despite the powerful attitude of “protest” that motivated the voting during these elections, the Communist Party—which has had complete freedom of operation in this country and tried emphatically to round up every vote it could—was able to obtain only about 24,000 votes, not enough to increase its present Congressional representation of two Deputies out of 99; this, to my mind, is a very significant revelation of the strength of the democratic convictions of the some 940,000 Uruguayan voters who showed no interest in communism. Fifth, the very close division in the Nationalist vote between Herteristas and UBD—now within about 6,000 of each other—should promote a cooperative working relationship between these two wings with wholesome effects for the country, particularly when combined with the vivid example of the disastrous political results of Sr. Luis BATLLE Berres’ having harbored and nurtured personal animosity between List 15 and List 14 of the Colorado party; this situation offers real hope of further

constructive and interesting development of the unique Uruguayan system of elections and Government.

This Embassy, like most other political prognosticators and pundits in Uruguay, was resigned to a continuation of a List 15 Government by a small and unworkable margin, and the Embassy was as surprised as were the Herreristas themselves at their victory. After a few days or reorientation, however, the Embassy is inclined to be optimistic and to believe, for all the reasons outlined in the preceding paragraph, that the elections offer much more promising possibilities for Uruguay and for Uruguayan-United States relations than we had expected.

Robert F Woodward

UR-10. Memorandum from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Under Secretary of State for Economic Affairs (Dillon)¹

Washington, February 3, 1959.

SUBJECT

Removal of Countervailing Duty on Uruguayan Wool Tops

According to the latest Treasury calculation, recently imposed surcharges on certain categories of Uruguayan imports have raised the weighted average Uruguayan exchange rate to 4.25 pesos per dollar, as compared with a wool tops rate of 4.11 pesos per dollar. Applying the formula used in imposing the countervailing duty on Uruguayan wool tops in 1953, Treasury concluded that no subsidy of Uruguayan wool tops now exists and that the countervailing duty should be removed. Last week it informed interested members of Congress and key persons in the U.S. wool trade that an order to this effect would be issued in ten days, that is, on February 5.²

¹ Source: Department of State, Central Files, 411.334/2-359. Confidential. Drafted by Jackson W. Wilson, Officer in Charge of Uruguayan Affairs in the Bureau of Inter-American Affairs.

² A handwritten covering note from Rubottom to Dillon reads: "This is for your use in case Treasury gets faint-hearted. So far, they are standing firm."

A second handwritten covering note from John M. Leddy, Special Assistant to the Under Secretary of State for Economic Affairs, to Charles S. Whitehouse, Special Assistant to the Under Secretary of State for Economic Affairs, dated February 4, 1959, reads: "Treasury tells me they have no intention of backing down on this and will go ahead tomorrow with the action rescinding the duty. I am informing ARA."

It is my understanding that the head of the National Wool Manufacturers Association of this country has protested Treasury's proposed action, informing the Treasury that the protest would also be lodged with members of Congress and with the White House. It is the contention of those protesting that Treasury should use a different formula, comparing the wool tops rate, not with the general average rate, but with the greasy wool rate, now 3.46. Use of this formula, they maintain, would show wool tops still to enjoy a subsidy of 19 per cent.

At the time of imposition of the countervailing duty in 1953, the formula proposed now by the National Wool Manufacturers Association was considered by the Treasury. It was, however, not adopted for two main reasons: (1) That it was not believed economically justifiable. In the absence of an income tax, the exchange rate system in Uruguay (as in various other countries) had become an instrument of taxation. Consequently it could be logically argued that only the difference between the general weighted average exchange rate and the tops rate constituted a subsidy to the latter. The difference between the average rate and the lower greasy wool rate could be looked upon as an export tax. (The validity of this argument is supported by the fact the countervailing duty under Treasury's formula has been sufficient to halt shipments of Uruguayan tops to the U.S.). (2) That it was not administratively practical, since it would open up the possibility of countervailing duties for a vast array of products, for example, on exports from Brazil of finished timber which receives a substantially higher exchange rate than crude timber.

The formula selected by Treasury for imposition of the countervailing duty in 1953 was sanctioned by use again in 1954 when the duty was lowered from 18 percent to 6 percent, and it is the basis on which the possible removal of the duty has been discussed by the two governments in subsequent years.

You are well aware, I know, of the harmful effect which the countervailing duty has had in our relations with Uruguay in recent years. That its removal is a matter of great interest to the newly elected government of that country has already been indicated to us by one of the leading figures in the new group. Serious repercussions would inevitably ensue from our failure to proceed with removal of the countervailing duty on the basis of the Treasury formula.

I therefore believe it is of paramount importance that we do everything we can to encourage Treasury to issue the order removing the countervailing duty on the scheduled date.³

³ The countervailing duty was actually removed effective February 27 in order to allow the Senate Finance Committee time for further deliberation on the proposed measures. Documentation related to this subject is in decimal file 411.344/2–559. For text of a White House press release dated February 27 and Presidential Proclamation 3273 concerning the removal, see Department of State *Bulletin*, March 16, 1959, pp. 379–380.

**UR-11. Telegram From the Embassy in Uruguay to the
Department of State¹**

Montevideo, October 6, 1959.

¹Source: Department of State, Central Files. 5 pages not declassified.

UR-12. Editorial Note

On March 2 and 3, 1960, President Eisenhower, accompanied by Secretary Herter, Assistant Secretary Rubottom, and others, visited Uruguay as part a larger goodwill tour of Latin America. Documentation concerning the President's visit to Uruguay is in Conference Files, Lot 64 D 559, CF 1607, "Uruguay".

While in Uruguay, President Eisenhower met on March 2 with Senator Luis Batlle Bares and his two sons, and latter that day he met with Benito Nardene, President of the National Council of Government and the other Councillors. Secretary Herter met with Lietenant Hemora Martimes Montare, Uruguayan Minister of Foreign Affairs, on the event of March 2. Their conversation covered four different subjects, and separate manor were prepared for each subject. The memorandum of President Eisenhower's conversations were designated US/MC/32-33; they are printed herein. Secretary Herter's conversations were recorded in memoranda designated MS/MD/21-M; those not printed herein cover the following subjects; "Law of the San Mattars (US/MG/22), "General World Situation" (US/MG/23), and "Exchange of Gifts" (US/MS/24).

For documentation relating the President's trip to Latin America, see Documents CH-28-30, 32; PE-37; UR-12-14.

UR-13. Memorandum of a Conversation¹

Montevideo, March 2, 1960.

US/MC/32

PARTICIPANTS*United States*

The President

Ambassador Robert F. Woodward

Major John Eisenhower

Colonel Vernon Walters

Uruguay

Senator Luis BATLLE Berres

Deputy Jorge BATLLE Ibañez

Sr. Luis BATLLE Ibañez

SUBJECT

Conversation During Courtesy Call of Senator (former President) Luis BATLLE Berres

Senator Luis BATLLE Berres, accompanied by his two sons, Jorge Batlle Ibañez (who is now a Deputy in the Uruguayan Chamber of Deputies and the principal administrative manager of the Colorado List 15 newspaper ACCION) and Luis Batlle Ibañez (who is a concert pianist just beginning his career) called on President Eisenhower on March 2 at a few minutes past 9:00 p.m. and talked with the President for about 20 minutes, in the company of Ambassador Robert F. Woodward; Major John Eisenhower; and Colonel Vernon Walters, the President's interpreter. Senator Batlle inquired about the health of Mrs. Eisenhower and expressed regret that she had not been able to make the visit to Uruguay and the other countries of South America. President Eisenhower inquired about Sra. de Batlle and recalled the pleasant visit that he had received from former President Batlle and his wife and two sons at the White House in 1955. The President and Senator Batlle reminisced briefly about Senator Batlle's visit to the United States.² President Eisenhower remarked on the very warm reception that he had received from the Uruguayan people during the afternoon, and then Senator Batlle commented apologetically about the irresponsible actions of a very small number of university students. President Eisenhower replied that it was apparent that the great majority of the Uruguayans who greeted him were very friendly and that he was very appreciative of this warm welcome. He said that he did not consider the student demonstrations of any significance and that he was not worried about the kind of bombs (tar bombs) which the students were rumored to be preparing. He alluded, good-humoredly, to the fact that he had been exposed to more dangerous bombs than these without ill effects.

¹ Source: Department of State, Conference Files, Lot 64 D 559, OF 1607. Official Use Only. Drafted by Ambassador Woodward, and approved in the White House on March 22. Information on the source text indicates that the conversation took place in the U.S. Embassy residence at 9:00 a.m.

² Senator Batlle Berres, who had been President of Uruguay, March 1, 1955, to March 1, 1956, visited the United States, December 5–8, 1955. For documentation on his visit, see

President Eisenhower commented that those minor criticisms were nothing as compared with the ones that he has been receiving from Cuba, and he said that this situation poses a serious problem for the United States. Senator Batlle said that while Fidel CASTRO had great prestige throughout Latin America as a revolutionist, he had lost that prestige as a governor. He repeated this observation three times, wishing to emphasize it. In the course of emphasizing this point, he said that the countries of South America could not permit communism to gain control in Cuba. The President commented that this is really a problem for the Organization of American States, and the countries of the Western Hemisphere as a whole. After restarting his views in various ways, which appeared to be entirely critical of the Cuban Government, Senator Batlle departed.

UR-14. Memorandum of a Conversation¹

Montevideo, March 2, 1960.

US/MC/33

SUBJECT

Various

PARTICIPANTS

United States
The President
Mr. Hagerty
Secretary Herter
Major Eisenhower
Ambassador Woodward
Lt. Col. Walters (Interpreter)

Uruguayan
President of the National
Council of Government,
Sr. Benito Nardone
Councillor Victor Haedo
Councillor Faustino Harrison
Councillor Martin R. Echegoyen
Councillor Justo M. Alonso
Councillor Pedro Zabalza
Councillor Ledo Arroyo Torres
Councillor Hector A. Grauert
Councillor Cesar Batlle Pacheco
Secretary Manuel Sanchez Morales
Minister of Foreign Relations,
Homero Martinez Montero
Aide to President Eisenhower,
General Enrique Magnani

¹ Source: Department of State, Conference Files, Lot 64 D 559, OF 1607. Official Use Only. Drafted by Jackson W. Wilson, and approved in the White House on March 24. Information on the source text indicates that the conversation took place in the Session Room; Government House, at 4:30 p.m.

President Nardone opened the discussion with a short explanation of the nature of the National Council of Government, stating that this body, with the Minister of Foreign Relations present, constituted the Government, which welcomed the President of the United States as a representative of the cradle of democracy and as a defender of all the democratic institutions of the world.

He called attention to the function of the minority in cross-checking the acts of the Government, to Uruguayans' pride in their democratic processes, and to the democratic transfer of authority when the previous Government was defeated at the polls after a long tenure in office.

Uruguayans are devoted to peace, he said, as a matter of national conscience, believing that only in peace is it possible to make just solutions of the problems of the people. Uruguay has economic and financial matters to work out but wishes to do this within the pattern of continental collaboration and welcomes the discussions in the Americas which have resulted in creation of the Inter-American Bank and other institutions.

President Nardone, on behalf of the whole council, then invited President Eisenhower to express his views on international political problems.

President Eisenhower responded that he would be pleased to speak from his experience both in the armed forces and as a statesman. War is absurd and peace is imperative in the present circumstances, he said, when a great city such as Montevideo could be converted to dust in seconds. The Soviet Union on one side and the U.S., Great Britain and France on the other have such destructive power that even a surprise attacker would himself be destroyed. The President repeated that with nuclear weapons a general war would be absurd. He went on to say that there is reason for hope for the future but the cost of maintaining deterrent power to prevent aggression is tremendous. It necessarily involves difficulties for the maintenance of living standards, education and well-being of our people. While the smaller nations cannot participate in this military activity, all the Western countries must be firmly united spiritually. The President warned that the Soviets, recognizing this situation, are going to try to lull the West into a false sense of security and will resort to propaganda, subversion and infiltration to seduce other peoples to deliver up their sovereignty and freedom. He pointed out that the countries in the greatest danger are those on the Asian and European periphery, mentioning specifically Laos, Cambodia, India, Formosa, Viet-Nam, Korea and Iran. We must furnish a great deal of assistance to prevent the development of movements of disintegration in the western world and among free peoples.

The President said it is indispensable to give the peoples in Asia and Africa, living in misery unknown in the Americas, the hope and

the opportunity to improve their living conditions through the type of assistance which will enable them to attain this objective. At present the U.S. is spending 45 billion dollars a year, 60 per cent of its budget, for military purposes to assure our protection and maintain the shield behind which our people may work. This year, he said, we are requesting our Congress to provide \$4.2 billion for programs of technical assistance, economic aid, and defense support. The capacity to carry out this program depends upon the maintenance of fiscal stability and the value of our money, without resorting to inflation. The U.S. has many internal problems but the most important is to maintain a healthy economy and prove to the world that we are assuring financial responsibility. The U.S. will never refuse to aid, nor will abandon, a friend who is sincerely working, making an effort to secure his livelihood and to improve the living conditions of the people. In such cases, within the framework of its world responsibilities and within the limitations of its resources, the U.S. will do everything possible to assist that friend.

President Eisenhower reiterated his conviction that the free world will have the necessary strength to assure its own security, and concluded by saying he would be pleased to try to answer any specific questions which the Councillors might wish to ask.

After President Nardone thanked President Eisenhower for his remarks, the latter said it would be useful to him, on the eve of the new conferences in Europe², if he could know if the Councillors had any objection concerning what the United States was trying to do, if the U.S. is mistaken in its policies or should modify them. He said that one of his purposes in visiting Latin America before going to Paris was to obtain the opinions of these countries. He requested that such views be expressed to the U.S. Government through official channels.

President Nardone's statement that the Council shared and wished to strengthen the policies that are being carried out by the U.S. to defend democratic principles was seconded by Councillors Arroyo Torres and Batlle Pacheco of the Opposition. Councillor Haedo commented that, in this case, he agreed with the Opposition. He went on to say that the reception given to President Eisenhower would have been duplicated if he had come as a private citizen. Councillor Batlle Pacheco joined in this sentiment, saying that the President interprets exactly the North American nation and its glorious past.

President Nardone then expressed Uruguayan thanks for the collaboration of the United States which had restored optimism to their

²Reference is to the forthcoming meeting of Chiefs of State and Heads of Government, scheduled to be held in Paris during the week of May 16, 1960. Documentation on the subject is printed in *Foreign Relations*, 1958-1960, vol. IX, Berlin Crisis, 1959-1960; Germany; Austria, Chapter 2.

spirits in the difficult period of the floods,³ and concluded the meeting with the presentation to President Eisenhower, on behalf of the NCG, of a medal as a memento of the occasion.

³ Reference is to severe floods that Uruguay experienced in mid-April 1959. The Government of Uruguay declared a state of emergency on April 16, 1959, and the United States provided some medicines, emergency rations, and water purification tablets, and diverted the U.S., *Edisto*, an icebreaker carrying two helicopters, then returning from the Antarctic, to assist the Uruguayans in rescue operations. At the end of May, the United States sent a Bailey bridge to replace the vital railroad bridge over the Queguay River, which had been washed out by the flood. The temporary installation reopened the only rail line to the hardest hit northwestern area of Uruguay. Documentation concerning the subject is contained in decimal file 833.49.

UR-15. Memorandum of Conversation¹

Montevideo, March 2, 1960.

US/MC/21

Participants

United States
Christian A. Herter,
Secretary of State
Roy R. Rubottom,
Assistant Secretary of State
for Inter-American Affairs
Henry A. Hoyt,
Counselor of U.S. Embassy,
Montevideo

Uruguay
Lieut. Hanero Martínéz Montero,
Minister of Foreign Affairs
Juan F. Yriart,
Director General of
the Foreign Office
Carlos Clulow,
Uruguayans Ambassador
to Washington²
Diego de Arteaga,
Uruguay Rascher—civilian
aide to Secretary Herter

SUBJECT

Official Call on Minister of Foreign Affairs; Cuban Problems - (Separate Memorandum of Conversation have been prepared on "Law of the Sea Hatiters"; "General World Situation"; and "Exchange of Gifts,")

¹Source: Department of State, Conference Files, Lot 64 D 559, OF 1607. Confidential. Drafted by Henry A. Hoyt on March 3, and approved in the office of the Secretary of State on March 17, 1960. Information on the source text indicates that the conversation took place in the Uruguayan Foreign offices at 7:00 p.m.

²Carlos A. Chelw presented his credentials as Ambassador to President Eisenhower of February 16, 1960.

There was an exchange of amenities during which the Foreign Minister expressed the hope that the personal relationship which had been developed with the Secretary beginning with the Santiago FM Conference would be considered as evidence of the friendly and cooperative relationship which the Uruguayan Government wished to have with the United States.

The Secretary then brought up the question of Cuba which he had touched upon briefly with the Foreign Minister in the motorcade earlier in the day. The Secretary pointed out that the Cuban situation poses a very serious problem for the United States, but that it is not just a problem for the United States but one for all of the American Republics. The Secretary said he would appreciate having the Foreign Minister's views of the situation. The Secretary said that since the withdrawal of our Ambassador from Cuba there had been a lessening of attacks on the United States; on the Secretary; on Assistant Secretary Rubottom and on Ambassador Bonsal. Nevertheless, the Cuban Government had continued to place in important positions within the Government persons who were known to be of the extreme left, if not Communists. This is of concern to the United States because it may indicate that the Cuban Government is likely to follow on extremist course and take extremist actions which will further complicate our relations, despite a reduction in criticism of the United States. The Secretary said that it would be hard to predict just where such a course might end.

The Secretary made it very plain that we are not concerned with Cuba's Agrarian Reform Law. He said that this is a domestic matter for the Cubans to determine. All that we ask is that there be just, adequate and prompt payment to any Americans whose property is taken. In this connection, the Secretary pointed out that the Cubans have just announced that all further foreign capital investment will be prohibited. This might be a further indication of a trend which is developing within the Cuban Government. Such a law would, of course, be of concern not only to the United States but to all other foreign countries.

The Secretary also explained that the Cubans are desirous of negotiating with us on certain matters, and had recently proposed such negotiations but with conditions which were one-sided and completely unacceptable to the United States. We have replied to the Cubans that we would not be able to negotiate on this basis. The Secretary pointed out that the unrealistic and unilateral approach of the Cubans on the question of negotiations might be a further indication of the trend of events in Cuba, and certainly will have a bearing on our relations with that country.

The Foreign Minister at this point, after indicating surprise at the news of this new Cuban action of foreign investments, said he understood completely that the Cuban situation presented a very difficult

problem for the United States, particularly because of the geographic proximity of Cuba to the United States. He said he believed, however, that it was not just a problem of Cuba but of the whole Caribbean area. He referred particularly to the Dominican Republic (called it Santo Domingo) as another part of the Caribbean problem. The Minister said he believed that it would be necessary for the United States to try and determine the causes of the trouble in the area. He suspected that these causes were economic and that a settlement of the economic situation might have important repercussion in the political field in the Caribbean.

The Secretary then commented on the problems in our relations with Cuba which are of immediate concern and are important because of the effect they may have on our relations with that country. First, it will soon be necessary to determine whether or not to send Ambassador Bonsal back to Cuba. If the decision is made to send him back, and he is then subjected once again to insults or is hindered in carrying out his official mission, he would be withdrawn very very quickly. Obviously this problem and its solution could have an important hearing on normal relations with Cuba. Secondly, there is the question of the Sugar Act which expires this year. The Secretary emphasized that this is better for Congress to decide and that the Executive Branch, therefore, cannot predict the outcome. The Secretary outlined for the Foreign Minister the advantages which Cuba obtains through its special position in our market including the sale of three million tons of sugar at the United States domestic price which is about 2 cents above world price. This means about 150 million dollars to Cuba annually.

The Foreign Minister again expressed his understanding of the very difficult problem. He said that Uruguay also had been studying the problem very carefully as evidenced by the fact that Uruguay had not as yet replied to the approach made by the Cuban Ambassadors who were here last month and who had invited Cuba to attend the conference on under-developed countries. Martinez Montero did not state categorically that Uruguay's reply would be negative although he did give that implication.

The Foreign Minister pointed out that Cuba is very active in espousing its own cause, and that we can expect a continuance of Cuban activity in this respect. He mentioned that Cuba had, after considerable length of time, suddenly named diplomatic representatives to vacant posts, including Uruguay. He also said that the 150th anniversary of Argentina's independence might furnish another propaganda forum for the Cubans because Argentina is inviting the countries of the hemisphere to attend celebrations of this anniversary. The Minister concluded by expressing the hope that the United States, through its "very able diplomacy" would be able to solve the Caribbean problem.

SUMMARY:

Although the conversation offered a very good opportunity for the Secretary to explain fully our positions vis-à-vis Cuba, the Uruguayan Foreign Minister did not respond with any assurances that Uruguay understood it was a hemisphere problem nor did he give any indication of any official Uruguayan position on the Cuban case. He did make the point that, in the minds of the Uruguayans, the Cuban and Dominican problems are linked, and should be considered together. This, of course, was a reflection of the very strong anti-Dominican attitude in Uruguay. The Minister soon wandered off the Cuban question and started talking in generalities about the world of situation. Whether this was deliberate or merely represented his lack of coordinated thinking on the problem is conjectural.

**UR-16. Despatch from the Ambassador in Uruguay (Woodward)
to the Department of State¹**

Montevideo, August 26, 1960.

No. 155.

SUBJECT

Current Political and Economic Situation in Uruguay

Summary

Relations between the Uruguayan Government and the United States Government are at present very cooperative. This is important to the United States because Uruguay still possesses special international prestige. And Uruguayan governmental cooperation is well supported by Uruguayan public opinion. There is increasing awareness in Uruguay of the danger of international communism; Uruguayans consider Uruguay impregnable to communism; but communist and Cuban propaganda is persistent, and communist influence in Uruguay is strong among a minority of the labor movement and a minority of the teachers.

The present Uruguayan Administration is definitely more conservative than the preceding one. It is slowly stabilizing the economic and

¹ Source: Department of State, Central Files, 733.00/8-2660. Limited Official Use.

monetary situation of the country, slowly restoring agricultural productivity and slowly rectifying the imbalance in international trade. Whether it will succeed in doing this sufficiently to win again in the November 1962 elections is a moot point and may depend in part upon economic development projects in which foreign credit assistance may be an important factor. Also, economic progress in the next few years depends in large part upon greater agricultural productivity (and luck with world prices) and the agricultural potential in Uruguay appears rather limited.

Uruguay has had an interesting and unusual economic and social development in the past but has tended to stagnate somewhat because of inefficient use of manpower, lack of leadership, and lack of productivity to pay the bill for social services. Although “welfare-state” services and public ownership of utilities and industries have been conspicuous, the economy is surprisingly capitalistic and ownership fairly heavily concentrated. While economic stability will probably be achieved and economic activity in the country substantially improved, there is considerable question about the possibility of Uruguay’s being able to equal the future progress of the larger South American countries with more varied resources.

The domestic political prospects are largely conjectural, with no clear indication of outstanding prospective leaders and as yet no basis for predicting which parties may gain more public favor than others. In this state of flux, however, the probabilities of continued orientation of the Government toward the United States and the Western world are good.

Political Relations with the United States

Relations between the Uruguayan Government and the United States are very good to excellent. The present (Blanco) Administration which came into power on March 1, 1959 is thoroughly convinced that international cooperation with the United States and the Western world is advantageous to Uruguay, and the only natural and consistent line for Uruguay to take in view of its own long political and economic traditions. This is a notable improvement over the situation that existed during the preceding (Colorado) Administration. The main segments of both large Uruguayan political parties, as well as the Catholic (Union Civica) party all have extremist fringes that are inclined to be nationalistic and to temporize with communism—in the sense that they tend, in the Cuban style, to sympathize with efforts to improve the living standards of the masses, even at the cost of dictatorship for the proletariat, the subordination of civil liberties, and the ignoring of private (particularly foreign) property rights. But the two main segments of the Blanco party have far smaller such fringes than the List 15 Colorados, the larger of the two main Colorado segments.

The smaller of the two main segments of the Colorado party (List 14) is more moderate in its economic and social views and has been consistently friendly toward the United States for years, as exemplified by the utterances of its newspaper EL DIA. Even the List 15 segment of the Colorado party has been at least as cooperative in its attitude toward the United States since it left office on March 1, 1959 as it was during its own Administration. Evidently, the main body of List 15—except for the extremist fringe—appears as convinced as are the Blanco groups that cooperation with the United States and the Western World is the only natural and consistent line for Uruguay. And even the extremist fringe of List 15 is inclined to admire many aspects of the United States and its policies while likewise taking an interest in other methods of bettering the lot of the masses.

Therefore, the majority of Uruguayan citizens clearly support the attitude of the Uruguayan Administration toward the United States. (Perhaps the most important effect of the visit to Uruguay of President Eisenhower was to precipitate a display of attitudes which showed all Uruguayans vividly that the great majority of themselves approve of the United States and its policies. This, and the converse discovery that militant critics were a small minority, has tended to give many Uruguayans more courage and more conviction and more inclination to align themselves openly with the democratic ideology as symbolized by the United States.)

Successful United States efforts to clear away points of irritation in Uruguayan-U.S. relations, and to develop cooperative programs between the two countries have undoubtedly been a substantial factor in the improvement of relations, although the advent of the Blanco Administration on March 1, 1959 was undoubtedly the most important factor.

Importance to the United States of Good Relations with Uruguay

Although Uruguay does not stand out among other nations as conspicuously as three or four decades ago, it is still especially useful to have Uruguayan support for United States policies and actions. Uruguay's international reputation as a country of democratic, educated, and liberty-loving people has given Uruguayan attitudes and views more weight at international meetings or in international public discussions than the attitudes and views of any other small country of the Western Hemisphere. Uruguay continues to be the most outstanding small country in the Western Hemisphere in many respects: It has the most firmly-entrenched democratic traditions and institutions, including a permanent Electoral Court to supervise all national elections. It has the most democratic form of Government in the American Republics in that there is the least opportunity for any one man to attain conspicuous authority. It has a practically completely graft-free

Government. It has the most complete religious freedom and the most absolute separation of church and State. It has had professional armed services, divorced from participation in politics, for longer than any other Latin American country. It probably has a smaller percentage of illiterates and a larger percentage of newspaper readers than any other Latin American country—with a deeper devotion to all forms of civil liberties.

Uruguayan Attitudes toward Communism and the Soviet Bloc

Those Uruguayans who have been interested in the professed advances of communist States in guaranteeing at least minimum “social security” to their populations are now becoming aware of the ruthless dictatorial and police methods that have been required to do this and of the total immorality of communism whenever this serves communist purposes in relations with countries outside of the Bloc. These Uruguayans are confident that their country is basically impregnable to the dictatorial or police-state ideas of communism. But, since such ideas have begun to take hold in Cuba, their confidence is beginning to be shaken. Many Uruguayans, moreover, have seemed to have an attitude bordering on irresponsibility about the threat of communist infiltration and subversion in democratic and uncommitted countries in other parts of the world. For example, some Uruguayans have not seemed to realize that visits of curiosity to the Soviet Bloc have the effect of subtly enhancing Soviet prestige and lulling gullible peoples in other countries into less concern about the dangers of communist propaganda, infiltration and agitation. It is to be hoped—particularly in view of the developments in Cuba—that such Uruguayans are beginning to understand that any act of theirs which shows intellectual benevolence toward communist countries has the effect of raising communist prestige and endangering other more vulnerable democratic peoples not only on the periphery of the Bloc but even closer to Uruguay.

After completely free political activity since 1920, the Uruguayan Communist Party won 27,000 votes out of one million votes cast in the November 1958 national elections. The most the Communists have ever won was 34,000 in 1946. Uruguayans have not seemed to realize that other poorer and less-educated peoples in other countries would be far more susceptible to communist blandishments if this same degree of freedom of activity were to be permitted.

The steady cumulative effect of news stories and other sources of information has undoubtedly tended to make Uruguayans more realistic, but Communist is persistent and communist influence continues to be strong in Uruguay in a minority of the labor movement and among a minority of the teachers.

Uruguayan Economic Improvement

The present Uruguayan Administration has moved slowly to improve the country's economic situation. It has succeeded so far in stabilizing the international value of the Uruguayan peso, in taking a major step to eliminate the system of multiple exchange rates with many beneficial results, in coming closer to balancing the budget, in significantly restricting credit, in stopping the drain on the gold balances of the central bank, and in slowing down the increase in the cost of living. A major benefit from the elimination of the system of multiple exchange rates was to place international trade at the beginning of 1960 on a completely multilateral basis and eliminate bilateralism and discrimination. Another benefit was to increase the effective returns from important export products, creating new incentives for additional production. Another benefit to the economy was the elimination of costly subsidies of certain imports, both for consumption and for aid to industry.

The Blanco Administration has shown an admirable steadfastness of purpose in proceeding with steps toward economic stabilization, over the obstacle of much clamor from the Opposition and particularly the Communists and their Socialist allies. Moreover, slow governmental procedures had been made slower by many differences of opinion within the Blanco ranks and by the exceedingly slim Blanco majority in the Legislature—50 out of 99 members in the Chamber of Deputies. Much of the credit for the progress which has been made is due to the Minister of Finance, Contador Juan AZZINI, who has a clear conception of his course, and to the comparative political imperturbability of the two main characters in the nine-man Presidential Council (the National Council of Government), Chairman Benito NARDONE and next year's Chairman, Victor HAEDO.

The steady inflation that had come about from years of overspending and subsidizing favored urban and industrial elements in the population has had the natural effect of raising living costs in comparison with individual income. After having spent and subsidized for years to perpetuate itself in office, the List 15 Colorado Administration became discredited because the voters began to discover that they had to pay the bill through reduced individual real income. And then, ironically, the one period in which this trend was felt the most keenly was the part of 1959 after the Blanco Administration took over on March 1.

In recent months, wage increases in many industries have been greater than cost-of-living increases, tending partly to restore real income. The Government's four-year budget is about to be passed by the Legislature with substantial wage increases for Government employees, which anticipate to some extent the fact that increases cannot be

made again for four years. A law recently passed modestly increases a large proportion of existing pensions to make income catch up at least in part with increased prices. When these and various other pending adjustments in salaries and wages are made, it is the Government's intention to adopt a wage policy, that, henceforth, wage increases shall not be larger than increases in the cost-of-living index.

It will remain to be seen whether the Blanco Administration can promote sufficient improvement in the economy of Uruguay before the next national elections in November 1962 to be able to win. This will depend partly upon the success of the Administration in developing sound economic development projects and obtaining the financing for them.

The success of the Blanco Administration will also depend in part upon World demand and prices for wool and beef and upon the increased quantities of these and other products that can be produced in Uruguay. Uruguayan agriculture—particularly the wool industry—was heavily taxed through low exchange rates and therefore low receipts in the multiple exchange-rate system. Agriculture was forced to operate upon such a low-cost basis that large farms became larger with fewer workers, which brought about a decline in total agricultural production and even in the number of individual farm operators. The small farmers were badly squeezed and became the most neglected identifiable segment of the population.

The present Uruguayan Administration represents, in part, a reaction to this situation. The *Herrerista Blancos*, who now control the Executive branch of the Government, have a preponderance of their supporters in the rural areas and the small towns. And Sr. Benito Nardone, whose *Liga Federal* or "Ruralists" joined forces with the *Herreristas* in the last elections, is the spokesman and leader of the small farmers who vigorously protested their lot.

Undoubtedly, considerable improvement can be made in Uruguayan agricultural productivity without increasing costs more than increasing productivity, and this possibility will be enhanced by progress in the science. However, the additional effort and management required on the part of ranchers who have been accustomed to extensive rather than intensive techniques will retard such individuals who do not see much prospect of individual profit—even though the nation as a whole may badly need increased productivity and export trade. Moreover, Uruguay's natural advantages for beef production are not as great as those of Argentina, and the small size of the country and modest quality of the soil place a natural limitation on the expansion of Uruguay's agricultural exports.

Uruguay's Unusual Economic and Social Situation; Future Prospects

Despite a degree of inflation which has increased prices more than it has wages, Uruguay probably still possesses a larger percentage of population who are fed, clothed and sheltered reasonably well than any other Latin American country. An ECLA study showed that, in 1958, about 78% of the Uruguayan population had a productivity of over 400 US\$ per capita, which was the highest recorded in Latin America.

Uruguay has long had the international reputation of having the largest proportion of pensioners, the largest variety of other social security services, the largest proportion of Government employees, the most public ownership of utilities and industries, and the most "welfare state" institutions in general of any Latin American country. On a comparative basis, this is probably true. For example, there are about 200,000 pensioners and about 100,000 others who are eligible but who have not been able to obtain pensions as yet because of delays that are fundamentally due to depleted pension funds that have made loans to the Government. There is a system of small "family allowances" which are funded like pensions and supplement wages, and there are unemployment funds. For medical and hospital services, the population is about equally divided between those whose income is low enough to make them eligible for public health services and those who are members of one of the many "mutual" health insurance societies; it is estimated that only about 5% of Uruguayans now depend entirely upon the private direct purchase of medical and hospital services. All of the utilities in the country except the (British-owned) Montevideo gas company are now owned by the Government. And the Government monopolizes petroleum refining, most liquor distilling, a large part of gasoline distribution, a large part of cement manufacturing, fertilizer and chemical manufacturing, fishing and fish distribution, and insurance.

There is very little foreign ownership of industry in Uruguay and the funded foreign debt is well under \$100 million USCy.

Despite the reputation of Uruguay, however, the backbone of its economy is private capitalism, ownership is concentrated in a surprisingly small proportion of the population, and the economic and social attitudes of these capitalists are, on the whole, not conspicuously enlightened. About 35% of all the arable land in the country is concentrated in the hands of about 600 families, and the concentration of the ownership of industry is probably about the same. Farm workers average less than \$20 USCy, a month plus room and board, and ordinary industrial workers average from \$60 to \$80 USCy, a month, plus about 20% more from the employer for pension funds and other social security payments.

Also, some of the wealth that has built Montevideo into an impressive city for such a small country has come from persons who have

found Uruguay a convenient financial “safe-haven” and Uruguayan tax laws have encouraged the establishment of holding companies which have their investments elsewhere. There has also been a considerable tourist business, mostly from Argentina, and a considerable number of political refugees—Argentines and others—have invested in residential and business property in Uruguay.

Along with this situation, there has been an interesting but small-scale development of intellectual and artistic life in Uruguay—which has strangely seemed to parallel the “safe-haven” spirit in a degree of isolationism and an anachronistic clinging by small groups, to outmoded political ideas such as anarchism and early Marxian socialism.

Uruguayan economic and social (and intellectual) development seem largely to have stood still in the past 15 or 20 years, as neighboring countries have developed. This has been partly due to the inefficiency of government operations which have wasted manpower egregiously, with the natural result that the public has had to pay the bill one way or another. Stating this in another way, so much manpower has been wasted that productivity has not been sufficient to pay the bill for goods and services, with the result that they have been paid for by credit expansion and a slow drain on the gold reserves and the resulting inflation which made the public pay.

The present Uruguayan Administration is definitely determined to make the Government and the Government business operations more efficient, and considerable progress will undoubtedly be made in this direction. The amount of progress that will be made, however, is a moot point, since the lack of stimuli to and checks on the Government utility and industrial operations is much less than on private corporations. There is some sentiment among leaders of the present Administration actually favoring the sale to private owners of certain Government business operations, but it is very unlikely that this will be done, even with the least efficient such as the fishing industry. The most that can be expected is that some increase in private enterprise may be encouraged.

The prospects for significant economic progress in Uruguay, once Uruguayan agriculture is brought up to optimum productivity, do not appear to be outstanding. There may, however, be many ways in which Uruguay can profit from closer economic integration with Argentina, and this may offer the promising possibility for real future economic progress. Uruguay has suffered from a lack of products which the Argentines are interested in buying. And the most obvious way in which Uruguayans could profit from an increasingly prosperous Argentina would be to devise every feasible means of attracting larger numbers of Argentine tourists; Argentine tourists already spend a substantial amount every year in Uruguay, and it might be possible for Uruguay to attract large enough numbers in the future to create enough foreign

exchange to purchase Uruguayan petroleum needs from Argentina. This exchange of tourist services for petroleum would be greatly facilitated by the existence of a bridge or viaduct between Buenos Aires and Colonia in Uruguay (or a bridge somewhat farther upstream), and the financing of this construction project—a viaduct with a petroleum pipeline attached to it—might therefore be one of the most interesting objects of international financial cooperation to consider with a view to the encouraging and hastening of an inevitable long-term trend in Uruguay an economic development.

This Embassy has hoped that it might be possible for Uruguay to develop highly skilled industries, because there are many very capable Uruguayan craftsmen and mechanics. However, the Embassy is inclined now to estimate that the prospects of the development of truly outstanding industries are rather poor, and the principal hope in this respect is that there may be greater development of the local industries which process Uruguayan raw materials, such as the woolen textile industry.

Attempting to project Uruguayan economic development in line with a realistic estimate of the situation which will probably exist ten years from now, it can be predicted that Uruguayans will be, on the average, only moderately better off than they are at present, and that any difference in their average situation will correlate quite closely with a possibly improved wool market (which, in turn, may be dependent upon new marketing opportunities that may develop in the United States from the Australian-United States conversations which have been recently initiated.)

Here follows a discussion of domestic political trends.

Regardless of domestic political trends in Uruguay, the prospects of continuing cooperative attitudes in relations with the United States and the Western World are good. These prospects could be reduced (1) by our not giving reasonable economic cooperation to Uruguay (2) by our falling behind, as a nation, in the worldwide economic, sociological, ideological and defense contest, or (3) by our departing from the inter-American machinery to take unilateral action in some situation such as in the Cuban case. However, assuming that we will devise increasingly effective means of economic cooperation, that we will continue to make every effort to make inter-American machinery more effective, and that our country will steadily gain in the worldwide contest, I believe we can count on Uruguayan political and ideological support.

Robert F. Woodward

UR-17. Memorandum of the Conversation¹

Washington, September 20, 1960.

SUBJECT

Meeting Between Sr. Haedo, Member of the National Council of Uruguay and
Forthcoming President of that country² and President Eisenhower, September
20, 1960.

PARTICIPANTS

United States

President Dwight D. Eisenhower
Ambassador Robert F. Woodward
Mr. C. A. Boonstra, ARA
Mr. F. vanReigersburg, LS

Uruguay

National Councilor Haedo
Ambassador Carlos A. Clulow

The President at 11 a.m. welcomed Councilor Haedo and mentioned the painting, on a chair in the office, by Manuel Rosé entitled, “Sunset in the Sierra de Minas” which the Councilor had sent as a gift to the President.

After being seated, Councilor Haedo opened the conversation by remarking jocularly about Uruguay’s reputation as a country in which all sorts of radical movements flourished such as Castroism, Peronism, and Communism. In fact, he said, this is not the case. Uruguay is a small and stable country, but in common with other countries it has a need for improved internal security. To enhance this, he suggested that it may be a good idea to hold a meeting of police experts from all of the Latin American countries in Montevideo, “something like an Interpol meeting”. This could provide an opportunity for a discussion of police measures needed to improve internal security. To the extent possible such a meeting should be without publicity. At the same time it is becoming necessary to consider in Uruguay the provision of small arms for the police. In this connection he referred to the program of military assistance and suggested that present regulations both for military assistance and for the Uruguayan military forces should be interpreted more broadly so that the necessary small arms could be provided to the police. Even above these conditions, however, the Councilor said that he wished to emphasize the basic importance of financial security.

¹ Source: Department of State, Central Files, 733.00/9–2060. Confidential. Co-drafted by Clarence A. Boenstra, Director of the Office of East Coast Affairs, and Fernando A. Van [illegible in the original] of the Division of language Services. Information on the [illegible in the original] was approved in the White House on September 23.

² Councilor Haedo visited Washington before traveling to New York to head the Uruguayan delegation to the U.N. General Assembly, scheduled to begin its fifteenth regular session on September 29, 1960.

Means must be found to provide the type of financial and economic arrangements on which there could be established an internally secure situation.

The President asked about the existing Uruguayan situation in other respects. The Councilor replied that everything is fine and that "with Bogotá, the arrangements with the International Monetary Fund—that have been very helpful—and financial assistance from the United States" there will be no problems. He said that his reports from the Uruguayan delegation to the Bogotá Conference were that the conference was very successful. The President remarked that the success of the Bogotá Conference was most pleasing to him.

The President said that he would like to mention a situation which is giving him a great deal of worry. He recognizes the need for economic growth in Latin America and he is convinced that private investment for this purpose is more useful than public investment. During his trip earlier this year to South America, leaders in the various countries agreed that private investment is urgently needed. The excesses of Castro in Cuba, however, are now establishing a situation which deters investors from making investments in other countries of Latin America. This has been brought to the President's personal attention of late in conversations with individuals who would normally be making such investments.

The President said that there may be a lack of realization in Latin America of the extent to which Cuba now is an obstacle to private investment. He said that he would like to see the American governments undertake the kind of programs needed to support a greater flow of capital in spite of Castro. The ridiculous demand of Castro for \$30 billion dollars is illustrative of the wrong way to go about this. He then invited the Councilor to make known his views on the problem.

The Councilor responded with lengthy remarks respecting Castro and what he termed the United States problem with Castro. He said that obviously much violence and misunderstanding has taken place and that in his opinion it has become necessary to seek means for clarifying the situation. He does not think that this can be done by the United States or within the framework of the United Nations. Instead it is a problem which must be taken up by countries in Latin America which are less directly involved, particularly Uruguay which is a country above suspicion of domination by any foreign power. Direct or unilateral action by the United States would be misunderstood and would cause hostility among the American Republics.

The President responded by stating that violence would appear to be unilateral on the part of the Castro Government, and that the United States has been very patient. It is difficult to understand why Castro behaves the way he does. Cuba's prosperity depends on its

friendship with the United States and there is no quarrel at all between the Cuban and the United States peoples. Castro has behaved as a wild man, contrary to the interests of Cuba and of the hemisphere; and now has become linked to the Soviet bloc. The irresponsible seizure of property is having a direct impact upon investments in the other American Republics and the latter should be gravely concerned. The President recognized the appeal of the initial Castro revolutionary program then as agrarian reform, particularly the students and related groups throughout the hemisphere, but [illegible in the original] that [illegible in the original] groups should be [illegible in the original] equally at least with the need for private investment as a means for economic growth. Also the President said that the direct Cuban-United States problem can be considered a *small* one, and although small problems can be much more of a nuisance than big ones, his principal concern is with the broader implications which originate from it.

The Councilor interrupted frequently during the course of the President's [illegible in the original] in order to present his views. In essence, the Councilor [illegible in the original] must be found to push Castro against the wall and [illegible in the original] him to state his position, clearly once and for all, on his attitude toward the United States and toward the other American Republics [illegible in the original] what it is that he wants. This can be achieved, he said by [illegible in the original] a committee of four or five nations, including Uruguay, to discuss these matters directly with Castro. The Committee should express the concern of all of the American Republics regarding U.S.-Cuban relations and ask Castro where he stands, if he [illegible in the original] a solution, what can be done, and [illegible in the original] to solve the present crisis. A final objective would be to make him choose between the American Republics and the Soviet bloc. In response to the President's remarks to the effect that Castro may already [illegible in the original] quite clear where he stands, the Councilor insisted that Castro's [illegible in the original] may be clear to the United States and perhaps to some other [illegible in the original] groups but that it is not clear to the Latin American peoples. The Councilor continued to stress the need for a committee of nations which could force Castro into a final declaration, to be understood by everyone.

Toward the close of the conversation, the President referred to his faith and confidence in the United Nations but indicated that he had as much or more regard for the Organization of American States as a regional entity of fundamental importance to the United States and to all of the American Republics. The President said that he hoped, before leaving office, that he would be able to take actions demonstrating further the importance which he attaches to the OAS. He has made plans to visit the United Nations and, during his visit there, he hopes

to invite the Chiefs of Delegations of the other American Republics to a luncheon, taking advantage of this opportunity to express his high regard for the OAS countries. The Councilor applauded enthusiastically these remarks.

At this point, while photographers came in to take pictures, the conversation turned to the 9-man National Council of Government in Uruguay and Mr. Haedo jokingly suggested a similar system for the United States so that all of the candidates could become President for a year, as he himself would be doing next March 1.

Upon leaving at 11:30 a.m., the Councilor mentioned again his hopes that the President would enjoy the painting which he presented and he added that he would be most gratified if the President might find it possible to send him an autographed photograph and one of his own paintings. He reiterated his admiration for the President and his satisfaction at having been received by him. The President thanked him for making his friendly visit.

UR-18. Editorial Note

On October 10, 1960, the International Monetary Fund announced that an initial par value for the Uruguayan peso had been established at 7.40 pesos per United States dollar, by agreement between the Fund and the Government of Uruguay. The fund also announced that it had entered into a stand-by agreement enabling the Uruguayan Government to draw the equivalent of United States \$30,000,000 over a 12-month period. Documentation concerning IMF activities in Uruguay is contained in decimal file 833.10 and in ARA Files, Lot 62 D 359, "IMF."

Venezuela: U.S. Relations with Venezuela

VE-1. Memorandum from the Assistant Secretary of State for Inter- American Affairs (Rubottom) to the Acting Secretary of State¹

Washington, January 28, 1958

SUBJECT

Recognition of the new Venezuelan Government.²

Discussion:

Venezuela has undergone a revolutionary change of government. The former President, General Marcos Pérez Jiménez, was forced by the Armed Forces to resign on January 23. His downfall was preceded by an unsuccessful uprising on January 1 and 2, in which the Air Force and units of the Army sought to overthrow his government. After several days of civilian riots and student demonstrations, followed by a widely supported general strike on January 21 and 22, he was ousted by

¹ Source: Department of State, Central Files, 731.02/1-2858. Confidential. Drafted by Carl E. Bartch of the Office of South American Affairs; concurred in by Robert Murphy, Deputy Under Secretary of State for Political Affairs; E. Allan Lightner, Deputy Assistant Secretary of State for International Information and Cultural Affairs; John S. Hoghland, Deputy Assistant Secretary of State for Congressional Relations; Marjorie M. Whiteman, Assistant Legal Adviser for Inter-American Affairs; and Clement E. Conger, Assistant Chief of Protocol.

² At the Secretary of State's staff meeting on January 23, 1958, at 9.15 a.m., Assistant Secretary Rubottom stated the following with respect to the overthrow of Pérez Jiménez:

"14. Mr. Rubottom gave a full report on recent developments in Venezuela leading to the overthrow of Perez Jimenez and the establishment of a military junta. He pointed out that no Americans were involved in these events and that the wells and refineries of the Standard Oil Company are in full production. He noted that a representative of the junta called at the Embassy this morning and assured our Charge that the new regime is friendly to the U.S. and seeks quick recognition.

"Mr. Murphy asked Mr. Rubottom to stay in close contact with the Navy Department to furnish guidance with respect to the U.S. carrier and destroyers which are approximately 150 miles from the Venezuelan coast. The Acting Secretary asked Mr. Rubottom to furnish General Goodpaster at the White House with a summary of the situation in Venezuela for the information of the President."

(Notes of the Secretary's Staff Meeting, January 23, 1958, designated SM N-604; Secretary's Staff Meetings, Lot 63 D 75)

the Armed Forces. General Pérez Jiménez was a member of the original three-man Junta of Government that assumed power in 1948, following a military coup d'état that overthrew the legally constituted government of President Gallegos, who had gained a majority of the popular vote in the free elections conducted in Venezuela the preceding year. Installed by the Armed Forces as Provisional President in 1952, following the dissolution of the Junta, General Pérez Jiménez was named Constitutional President the following year by the Constituent Assembly. He was "reelected" for another five-year term of office as a result of a plebiscite held on December 15, 1957, in which he was the only presidential candidate. Resentment among the younger military officers and the civilian population over the plebiscite is believed to have contributed to a great extent to his downfall.

In a note dated January 25, 1958,³ the new Venezuelan Government informed our Embassy at Caracas that, in accordance with the universal desires of the nation, in defense of the supreme interests of the Republic, and in order to move toward a legally constituted democratic form of government, the National Armed Forces had assumed power and had formed a five-man Junta of Government headed by Admiral Wolfgang Larrazábal, as President of the Junta, and comprised of two other military officers and two civilians. The note stated that the new government would comply strictly with its international obligations and expressed its desire to resume cordial relations with the U.S.

The Junta is in control of the machinery of government. It appears to enjoy wide popular as well as united military support and there is no substantial resistance to it. It has pledged by public announcement to conduct free elections as soon as possible in order to constitute a democratic form of government. A member of the Junta has assured our Embassy of the new government's receptivity to foreign investment and of its willingness and ability to protect it. He has also given assurances that the new government will be anti-communist.

In the belief that early recognition on our part would contribute materially to the stability of the new regime, we propose that the U.S. recognize, at 6.00 p.m. today, the Junta as the Provisional Government of Venezuela.

Recommendation:

That you sign the attached memorandum to the President⁴ recommending recognition of the Junta as the Provisional Government of the Republic of Venezuela.

³ Reference is to Venezuelan Foreign Office note 69, transmitted to the Department of State in telegram 510 from Caracas, January 25, 1958. (731.00/1-2558)

Acting Secretary of State Herter's memorandum, which is not printed, bears a typewritten notation which reads: "President authorized Acting Secretary to do so. per Gen. Goodpaster in telephone conversation which Mr. Calhoun 1/28/58. ARA ultimately called Caracas."

⁴ The Department's note to the Venezuelan Foreign Office, dated January 28, 1958, extended recognition. (731.02/1-2858)

VE-2. Memorandum from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Acting Secretary of State.¹

Washington, January 28, 1958.

SUBJECT

Visa Applications for 'General Marcos Pérez Jiménez, Former President of Venezuela, and his Family.²

Background:

The Embassy in Ciudad Trujillo, in telegram No. 326 of January 27, (Tab B)³ reports that it is reliably informed that General Marcos Pérez Jiménez, former President of Venezuela, plans to apply for United States visas for himself, his wife and mother-in-law, four children, and a servant.

It has been our practice in the absence of extraordinary circumstances to grant visas to those exiled political leaders from Latin America who meet the general requirements of our visa laws and regulations. Many of the important Venezuelan political figures now re-emerging in the Venezuelan political scene enjoyed the hospitality of the United States during the ten year period of General Pérez Jiménez' Government. Ex-President Romulo Betancourt was actually admitted in 1954 over the vehement protests of the Pérez Jiménez Government on the basis of our established practice.

Although the authoritarian character and the antagonism of the U.S. press toward the Government of General Pérez Jiménez make it likely that his admission into the United States would produce considerable press criticism, it is not believed that the circumstances surrounding this case are such as to justify denial of a visa. He is the bearer of the Legion of Merit, Degree of Chief Commander, which was bestowed upon him on November 12, 1954 by President Eisenhower. This decoration was bestowed upon him in recognition of his collaboration with the United States both internationally and in the development of Venezuela's important and strategic petroleum resources through

¹ Source: Department of State, Central Files, 731.00/1-2858. Confidential. Drafted by Andrew B. Wardlaw, Officer in Charge of North Coast Affairs in the Office of South American Affairs, and initialled by Deputy Under Secretary Murphy.

² Documentation concerning the admission of Pérez Jiménez in the United States, and his eventual expulsion and extradition, is contained in Department of State decimal files 211.3115 and 611.318, and the following lot files: ARA/EST Files, Lot 60 D 249, "U.S.": ARA/EST Files, Lot 62 D 8, "Pérez Jiménez"; and ARA/EST Files, Lot 61 D 319, "Pérez-Estrada Cases."

³ Not printed; 731.00/12758.

private United States and British enterprise. His policies of complete support for private enterprise were frequently cited as an example in countries addicted to Socialistic practices.

To lessen the possibility that General Pérez Jiménez may wish to engage in subversive activity against the Venezuelan Government while in the United States, the consular officer handling his visa application will be instructed to require of General Pérez Jiménez verbal assurances that he will not undertake such activities during his stay in our country. A similar course of action was followed with ex-President Betancourt of Venezuela and is being followed in connection with the issuance of visas to other prominent Venezuela exiles who seek to enter the United States at this time.

Recommendation:

That you approve the attached telegram authorizing the issuance of visas General Pérez Jiménez and his family. (Tab A)⁴

⁴ Reference is to Department telegram 445 to Caracas, January 29, 1959, not printed. (731.00/12758).

VE-3. Telegram from the Charge in Venezuela (Burrows) to the Department of State¹

Caracas, February 12, 1958, 5 p.m.

On very confidential basis I was visited this morning (meeting arranged through intermediary) [*text not declassified*] who said he has been named by Larrazábal personally organize new secret political investigative bureau. Emphasized interest in Communism and not, as SN, in mere anti-government sentiments.

Expressed hope Embassy would be able collaborate with advice on organizational, other phases of work. Asked personal opinion re U.S. reaction if Venezuela were to approve legal status Communist Party and said Larrazábal would speak to me near future about this. He explained further such action would be in response pressure recognize all parties and might be, as far as Communists concerned, for temporary period.

¹ Source: Department of State, Central Files, 731.5/2-1258. Confidential; Limit Distribution 575.

I avoided [*text not declassified*] commitment any kind pending formal clarification [*text not declassified*] status. Meanwhile I would appreciate any guidance Department may be able furnish² for reply Larrazábal if he should approach me along lines suggested. After conversation³ [*text not declassified*] advised by other source Congressional elections when held will probably be on basis 20 percent seats for each of three major parties, 5 percent for Communists, 35 percent for junta.

Burrows

² Telegram 483, to Caracas, February 13, 1958, in part stated, "Department believes immediate categoric answer should be given other government official that U.S. believes GOV would be making very serious mistake in granting legal status to Communists Manner in which Communists already have begun participate local political and labor activities is indicative efforts they will make to infiltrate all sectors government and gain participation Venezuelan political scene. The rapidity with which Communist leaders returned Venezuela and their intensive activities point up danger inherent granting legality Communist Party." With respect to assistance for a new secret investigative bureau, the telegram instructed the Embassy to indicate willingness to discuss the matter with Larrazábal and stated that while the Department would have interest in helping to establish technical police methods along the lines of U.S. investigative agencies, "It would be necessary emphasize Larrazábal that U.S. of course could not be associated in any way with police or investigative organizations which might assume character former SN." (731.5/2–1258)

³ Larrazábal requested that Burrows speak with him on February 25, 1958, and the Chargé discussed the subject with him along the lines suggested in telegram 483. (731.5/2–2658)

VE-4. Letter from the Attorney General (Rogers) to the Deputy Under Secretary of State for Political Affairs (Murphy)¹

Washington, February 13, 1958.

Dear Mr. Murphy:

This will confirm my telephone conversation with you in which I expressed my concern regarding the issuance of a visa by the Department of State to the ex-Dictator of Venezuela, Marcos Perez Jimenez. As I told you, I learned of the issuance of this visa for the first time in a newspaper account.

In view of the commitment made by the Department of State, the Immigration and Naturalization Service, of course, will admit Perez Jimenez if he applies for admission to the United States. However,

¹ Source: Department of State, ARA/EST Files, Lot 61 D 319, "Visas—Perez Jimenez—Estrada." Confidential.

the problems we have encountered in a similar case where a visa was granted to a foreign political leader prompt me to express the reservations I mentioned to you in our telephone conversation. In the event Perez Jimenez, as in the Prio case,² should seek to use this country for future power plotting and the Department of State should protest to this Department, as was done in the Prio case, I want to make it clear that it may be difficult to effect his deportation or even to prevent him from engaging in activities detrimental to our foreign relations while here.

Furthermore, since we talked about this matter, I noticed a United Press dispatch in this morning's newspapers reporting that the Assistant Attorney General of Venezuela has filed a formal petition for the extradition to Venezuela of Pedro Estrada, former chief of the Security Police under the Perez Jimenez regime. I am advised that Estrada is currently in the United States on a diplomatic visitor's visa.

Sincerely yours,

William P. Rogers

² Reference is to Carlos Prío Socorrás, President of Cuba, 1948–1952, who took refuge in the United States during the period 1952–1958, and was allegedly involved in plotting against the government of Fulgencio Batista.

VE-5. Memorandum from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Secretary of State.¹

Washington, February 17, 1958.

SUBJECT

Consultation with Venezuela on Petroleum Imports Problem

Problem:

To obtain Venezuelan cooperation, or at least minimize Venezuelan opposition to whatever steps are required by the U.S. Government to solve the petroleum imports problem in view of mounting industry and congressional pressure for restrictions which perhaps will have to go beyond the present voluntary program.

¹ Source: Department of State, Rubottom Files, Lot 60 D 553, "Petroleum 1958." Confidential. The source text is an initialed carbon copy.

Discussion:

While the voluntary restrictions of petroleum imports begun several months ago has worked reasonably well, there are increasing signs that the Congress may be inclined to give favorable consideration to more severe restrictions in the form of tariffs and/or quotas which would seriously damage our relations with Venezuela, Canada, and other oil producing countries, possibly as the price for extending the Trade Agreements Act. The Venezuelan problem has been intensified by the coming into production of new wells in concessions held by companies which have just entered the Venezuelan picture. The pressure on the market of this additional production at a time when demand for oil is slackening may break the price structure at any time, according to informed observers.

Of the four alternatives ahead: (1) continued voluntary restrictions; (2) mandatory curbs imposed by Executive Act under Article 7 of the Reciprocal Trade Agreements Act; (3) import restrictions imposed by the Congress; and (4) export controls by Venezuela, No. 1 would obviously be the best from our viewpoint as well as that of Venezuela. No. 2 would be preferable to either 3 or 4 and may be required by the developing situation. Although No. 3 would be ruled out as distasteful to the U.S. oil industry, the application of Venezuelan good offices to facilitate the partition of the U.S. import market from Venezuela among the major and new producers might save the voluntary program. Venezuela can be expected to be especially interested in the price factor.

It is very much in the U.S. interest to obtain Venezuelan understanding and support, if possible, of whatever program we embark upon. The Perez Jimenez Government was restive under the voluntary plan and the Embassy has reported that the present Junta Government may react strongly to making the import controls mandatory. However, every effort should be made to explain to the Venezuelans the nature of the U.S. problem and to make this consultation meaningful rather than simply informative. The Venezuelan Chargé Dr. Carlos Pérez de la Cova has responded favorably to frank talks by Mr. Mann and myself. We all agreed that it is essential that someone from this Government go to Caracas to discuss the problem frankly with the Junta, the Cabinet, and key political leaders. Subject to your approval, I will undertake such a trip since I have not yet visited Caracas in my tenure as Assistant Secretary. My having been the head of the U.S. negotiating team for the revised trade agreement with Venezuela in 1952² could be expected to facilitate the task considerably. This agreement, under which we are now exporting nearly \$1 billion annually to Venezuela, would probably not survive unless Venezuelan cooperation is obtained.

² For documentation on this subject, see *Foreign Relations, 1952–1954*, vol. IV, The American Republics.

*Recommendation:*³

That you approve my holding as soon as possible discussions with the Venezuelan Government and key political leaders in Caracas to obtain their views with respect to the problem caused by the over production of oil.⁴

³ The source text bears the following unidentified handwritten notation: "2/18 Approved by Secy." Another notation on the source text indicates that Thomas C. Mann, Assistant Secretary of State for Economic Affairs, Loftus E. Becker, Legal Adviser of the Department, and Maurice M. Bernbaum, Director of the Office of South American Affairs, were notified on February 19, that the memorandum had been approved.

⁴ Assistant Secretary Rubottom visited Caracas on February 27 and 28, 1958. In reporting on his visit at the Secretary's staff meeting, March 4, Rubottom stated in part the following:

"In Venezuela the principal subjects which Mr. Rubottom discussed were the oil imports question and the future of the oil industry. He said the new Venezuelan Minister of Fuel is friendly to the U.S. and wishes to work out some arrangements, possibly within a Western hemisphere mutual effort, to prevent a disastrous drop in fuel prices. Mr. Rubottom pointed out that in 1957 the U.S. sold \$1.1 billion of goods to Venezuela."

(Notes of the Secretary's Staff Meeting, March 4, 1958, designated SM N-615; Secretary's Staff Meetings, Lot 63 D 75).

VE-6. Telegram from the Chargé in Venezuela (Burrows) to the Department of State¹

Caracas, March 19, 1958, 8 p.m.

636. Foreign Office delivered today note² concerning petroleum restrictions,³ both present voluntary and possible future "obligatory administrative or legislative measures". Summary 6 points raised:

¹ Source: Department of State, Central Files, 411.316/3-1058. Confidential; Priority.

² The reference Venezuela Foreign Office note, numbered 790 (D) and dated March 10, 1958, was transmitted to the Department of State under cover of despatch 689 from Caracas, March 20, not printed. (411.316/3-2058)

³ The mild winter of 1957-1958, and a recession in the United States, caused a decline in U.S. petroleum consumption. During January and February, the President's Special Committee to Investigate Crude Oil Imports met to consider reassessing the voluntary oil import program of 1957, under which crude oil importers were asked to restrict their imports into the United States on a voluntary basis. Documentation concerning the program is printed in *Foreign Relations, 1955-1957*, vol. VII, American Republics: Central and South America, and *Foreign Relations, 1955-1957*, vol. X, Foreign Aid and Economic Defense Policy.

(1) Although convinced present or future situation created by restrictions can affect normal development trade under 1952 agreement,⁴ Venezuela considers time inopportune raise this aspect problem.

(2) Venezuela considers indispensable any steps adopted be within spirit complete understanding, harmony.

(3) Government believes measures taken will affect internal economy and fundamental aspects Venezuela life, petroleum being essential factor. Without doubt measures will affect bilateral trade.

(4) From broader viewpoint observe that tendency towards restrictionist policy can unfavorably influence traditional principles cooperation underlying hemispheric relations.

(5) Transcendence problem has caused impact on Venezuela public opinion which showing concern over consequences that (restrictions) have on “La Vida Nacional” notwithstanding confidence mutually satisfactory solutions can be found.

(6) Government considers existing ties two countries require maintenance close permanent contact order achieve understanding between parties respecting common problems and measures adopted solve same. Therefore government views with special pleasure “idea suggested by Rubottom that consultation between Venezuela and U.S. be held” to study any measures affecting imports Venezuelan oil in U.S.

Comment: Note was written last week prior our approach tripartite technical review.⁵ Although point 6 reference to idea suggested Rubottom more specific than warranted by February 27–28 talks⁶ believe aim is provide record considering we did not give Venezuelans note or memorandum (as they suggested) of those conversations. Believe tripartite talks may constitute sufficient consultation for the present.

Burrows

⁴ Reference is to the Supplementary Trade Agreement of 1952, which entered into force October 11, 1952. For the text, see *United States Treaties and Other International Agreements* (UST), vol. 3 (pt. 3), p. 4195.

⁵ Reference is to proposed informal discussions between U.S., Canadian, and Venezuelan technical representatives aimed at establishing a hemispheric approach to oil policy.

⁶ When Rubottom visited Caracas in late February, he held consultations with Venezuelan Government officials and corporation lenders concerning the hemispheric petroleum situation. A summary of the talks and the recommendations Rubottom subsequently submitted to the Department is contained in a memorandum by Terry B. Sanders, Jr., of the Office of South American Affairs, March 3, 1958. According to the memorandum, Rubottom recommended: 1) that the Department should begin to study the necessary steps to comply with Article 13 of the United States-Venezuelan Trade Agreement as revised in 1952, 2) encourage a responsible U.S. medium to publish an account of the oil problem, “giving figures to show that the entire cut-back in Venezuela’s oil production since the height of the Suez crisis has not been due to the voluntary import restrictions in the U.S., as is commonly believed in Venezuela”, and 3) consider an international conservation agreement which would “provide a means for cutting back production in all affected countries during periods of falling consumption.” (ARA Files, Lot 60 D 262, “Oil-U.S. Legislation”)

VE-7. Editorial Note

On March 24, 1958, in a *Supplementary Report to the Report of the President's Special Committee to Investigate Crude Oil Imports*, dated July 29, 1957, the Special Committee recommended additional restrictions on crude oil imports quotas for Districts I-IV, the area east of the Rocky Mountains. The President approved the Special Committee's report in a memorandum dated March 25, 1958, and in similar memoranda released on June 4, July 1, and December 23, 1958, the President approved the Special Committee's recommendations relating to 1) importation of petroleum products other than crude, 2) allocations for District V, the Pacific West Coast, and 3) continuance of existing crude oil allocations through February 28, 1959. See *Public Papers of the Presidents of the United States: Dwight D. Eisenhower, 1958* (Washington: 1958), p. 230. Documentation concerning U.S. oil policy is printed in *Foreign Relations, 1958-1960*, vol. IV, Foreign Economic Policy. Further documentation is located in Department of State decimal files 411.006, 411.316, and 831.2553, and in ARA/EST Files, Lot 61 D 319, "Petroleum Policy" and "Oil U.S. Legislation", and ARA/EST Files, Lot 62 D 8, "Petroleum Policy" and "Oil Import Program."

VE-8. Letter from the Chargé in Venezuela (Burrows) to the Director of the Office of South American Affairs (Bernbaum)¹

Caracas, April 18, 1958.

Dear Maurie:

With reference to your Telegram 628² and our 742,³ I don't believe I can emphasize too much the strength of the feeling here on this particular issue.

¹ Source: Department of State, ARA/EST Files, Lot 61 D 319, "Visas—Perez Jimenez—Estrada." Confidential; Official-Informal.

² The reference telegram, April 17, 1958, reported that the Treasurer of the Junta Patriótica, Vincente Lecuna, told Department officials that he feared demonstrations during the Nixon visit if Pérez Jimenez and Pedro Estrada were still in the U.S. (033.1100-NI/4-1758)

³ The referenced telegram from Caracas, April 18, 1958, reported difficulties in relations with Venezuela caused by the presence in the United States of Pérez and Estrada and stated, "Far from quieting down strength of feeling this issue being maintained and probably will continue as aggravating factor long as they remain in U.S." (033.1100-NI/4-858)

Unless something should happen prior to the Vice President's arrival in Caracas (and by "something" I mean the departure of Pérez Jiménez and Pedro Estrada from the United States, temporarily if nothing else), I am sure there will be demonstrations and perhaps other unpleasant events. I don't know quite how the Department would go about this, but if there is some way to encourage these two to be out of the United States while the Vice President is on this trip, I think it might be one of the smartest things the Department could possibly do. We read in the paper here yesterday that PJ was preparing to travel to Switzerland and, as a matter of fact, that Mrs. Pérez Jiménez had already undertaken negotiations to buy a house there. The Foreign Minister in commenting on this yesterday said what a wonderful thing it would be if the report were true. He, incidentally, expressed the hope that there would not be any demonstrations while the Vice President is here.⁴

Best regards,

Sincerely,

Charles R. Burrows

⁴ A handwritten marginal notation, dated May 1, 1958, by William P. Snow, Deputy Assistant Secretary of State for Inter-American Affairs, reads: "I believe we are stuck with the presence of P.J. & Estrada. I say this after speaking with OSA officers & giving it thought myself. If either of them should leave the U.S., the INS would probably deny them readmission, and even if not, their return shortly after the Nixon party has visited Caracas would look like a shabby device on our part."

VE-9. Editorial Note

Vice President Richard M. Nixon visited Venezuela May 13–15, 1958, as part of a tour of several South American countries which he made between April 27 and May 15, 1958. Nixon's visit was marred by severe violence which forced cancellation of all public events.

**VE-10. Memorandum of a Conversation, Department of State,
Washington, May 20, 1958.¹**

Washington, May 20, 1958.

SUBJECT

Political and Economic Factors in U.S. Relations with Venezuela

PARTICIPANTS

Dr. Hector Santaella, Venezuelan Ambassador
Mr. R. R. Rubottom, Jr. Assistant Secretary of State for Inter-American Affairs
Mr. C. E. Bartoh, Venezuelan Desk Officer

Dr. Santaella made a farewell call this afternoon on Mr. Rubottom, who congratulated him on his important new position as Secretary of the Junta of Government, but expressed regret that he was leaving Washington. The Ambassador said he was sorry to leave, especially on such short notice, but found comfort in the knowledge that he would have an opportunity in his new position to continue to work for even closer relations with the United States, which he said he understands and admires very much. Although Dr. Santaella thought perhaps he should call on President Eisenhower before leaving, he said he would be guided by Mr. Rubottom's advice. Mr. Rubottom told him he didn't think a call on the President would be necessary, especially since the Ambassador was calling on the Vice President later today and on the Secretary tomorrow. Moreover, on such short notice it would probably not be possible to arrange an appointment with the President. The Ambassador said in that case he thought he might simply write a letter to the President, and Mr. Rubottom agreed that that would be satisfactory.

Dr. Santaella said he had talked by telephone with President Larrazábal and other members of the Junta of Government, as well as with representatives of the Armed Forces and political leaders. He had been assured of their confidence and support in his new position; he would not have agreed to accept the appointment if such support had not been forthcoming. He said he is not a member of any organized political party. Commenting briefly on the political situation, the Ambassador expressed confidence that, despite temporary setbacks, Venezuela would attain an orderly, democratic form of government. He pointed out that an electoral law, drafted by the multi-partisan Electoral Law Commission, is to be promulgated on May 23, at which time several cabinet changes will be announced. It looked to him as though

¹ Source: Department of State, Rubottom Files, Lot 60 D 553, "Venezuela 1958." Confidential. Drafted by Bartch on May 29. The source text is an unsigned carbon copy.

elections would be convened in November or December of this year, or in January or February of 1959. He thought it likely that if elections were held in 1958, the elected government might be installed in office on January 23, 1959, the one-year anniversary of the revolution which ousted the Perez Jimenez Government, instead of on April 19, the traditional date in Venezuela for presidential inaugurations. He considered it important, as a means of insuring stability and continuity, that the new government take office as soon as possible after the elections. In reply to a question from Mr. Bartch, he stated that he had forgotten to inquire last week in Caracas whether the date for the elections would be announced on May 23.

Mentioning the incidents that had occurred during the Vice President's visit to Venezuela on May 13 and 14, Dr. Santaella emphasized that they had taken place in a politically effervescent atmosphere resulting from ten years of repressive dictatorship. He recognized that freedom implies responsibility if complete chaos is to be avoided, and thought it imperative that such responsibility be developed. At the same time, however, the Ambassador and the leaders of the political parties were opposed to outlawing the Communist Party; he felt Communist activities would be best held in check by other means. The Government had made a number of arrests as a result of the violence that occurred during the Vice President's visit, and had launched an investigation of the activities of supporters of Perez Jimenez. Ambassador Santaella expressed great admiration for the Vice President and Mrs. Nixon and the manner in which they had conducted themselves in Caracas. Not only had the Vice President exhibited real courage, he had demonstrated inner qualities of greatness; he had calmly and objectively appraised the situation, revealing a wisdom of judgment and a depth of understanding found only in great men.

Ambassador Santaella characterized the anti-American demonstrations that took place during the Vice President's visit as the work of a very small minority, not at all representative of the sentiments of the Venezuelan people, whom he described as being unusually friendly to the United States. He said relations between our two countries remained very good, despite the incidents.

Dr. Santaella asked Mr. Rubottom's opinion on the developments that might be expected in Washington as a result of the Vice President's visit to South America. Mr. Rubottom told him that he was an eternal optimist; he was gratified by indications that Congressional inquiries into our policies might be constructive rather than in the nature of a post mortem. Mr. Rubottom stated that it is only natural that temporary problems in our relations with Latin America will arise from time to time, just as we as individuals have disagreements with our families and neighbors. But as long as our mutual relations are based upon

sound policies, he said, and as long as there is the will on both sides to understand the other's problems and to work together toward their solution, there is no reason for pessimism.

Having expressed the opinion that nothing basically was wrong with relations between Venezuela and the United States, Ambassador Santaella turned to several outstanding problems that had arisen. He repeated his statement that Venezuela was in a difficult period of transition, and would need the firm moral and political support of the United States. He mentioned the problem that had resulted from the admission into the United States of Perez Jimenez and Estrada. Stating that he did not want to get involved in a discussion of the legal aspects of the case, which he understood, he reiterated the depth of feeling in Venezuela against the two men. He said that not even Beria nor the Gestapo had committed greater atrocities than those perpetrated on the people of Venezuela by Perez Jimenez and Estrada. Although the Ambassador had been arrested three times during the Perez Jimenez regime, he did not consider himself a particular victim of it. He recalled that his law partner had been arrested and forced to witness the slow torture and finally the murder of another prisoner by "Bachiller" Castro and other notorious SN inquisitors. In view of these and other equally serious crimes and atrocities, Dr. Santaella said, the Venezuelan people find it hard to understand why the United States, with its democratic traditions, permits Perez Jimenez to live in luxury in Miami and openly flaunt his wealth. He said it would not have been so bad if the two men had gone quietly to live on ranches in North Dakota, but being in Florida, so close to Central and South America, not only made their residence in the United States more conspicuous but had caused many rumors to circulate about their plotting to regain power, with the acquiescence or even the assistance of the United States. He said stories continued to circulate of their connections in high places in the United States Government, and it was known in Venezuela that Perez Jimenez and Estrada had met with their supporters in New York during the Vice President's visit to Venezuela, ostensibly to engineer a revolt against the Provisional Government.

Mr. Rubottom briefly outlined the reasons why visas were issued to the two men, reiterating that they had both been required to execute statements that while in the United States they would not engage in activities directed against the Venezuelan Government. He emphasized they had no entrée here at all; he said he had no personal sympathy whatsoever for either man; as a matter of fact, he had not even met them. He told the Ambassador that he and others who understood the situation could perform a real service by explaining the facts of the case to those who did not understand. Just as we are attempting to play down in the United States the incidents that occurred during the Vice

President's visit to Venezuela, so should responsible Venezuelans make every effort to play down the fact that we had admitted Perez Jimenez and Estrada. Dr. Santaella agreed that it might be worthwhile to do so, but said it would be political suicide for him or any other prominent person to attempt to explain publicly why Perez Jimenez and Estrada had been admitted to the United States, since everything concerning the two men had political dynamite. Mr. Rubottom recalled the statements made by the Vice President at his press conference in Caracas, pointing out that no request had been received from Venezuela for the extradition of the two men, and that it was up to Venezuela to make the next move. Dr. Santaella replied that he would do all he could to expedite the legal process necessary to transmit a request for extradition.

Although he characterized political problems as being paramount, Dr. Santaella also described the oil import problem as most serious. He had discussed the problem at some length in Venezuela last week; some thought the restrictions the United States had imposed were good for Venezuela, since it enabled her to conserve her oil resources. Mr. Rubottom agreed that there was much validity to that point of view, since oil did not deteriorate if left in the ground, moreover, the program also protected the price Venezuela received for her oil. It would not benefit Venezuela if the flood of oil in the United States market increased to such an extent that a higher level of Venezuelan exports of oil failed, through a decline in price, to produce a comparable increase in the total revenue received by Venezuela.

Although the Ambassador could see the logic of this argument, he did not agree with it. He had talked last week to several leading industrialists in Venezuela, all of whom felt that the Venezuelan Government should provide them with greater protection against imports from the United States to compensate for the protectionist policy implemented by the United States against imports of Venezuelan oil. Mr. Rubottom expressed the hope that nothing would be done to negate the Supplementary Trade Agreement, which benefitted Venezuela no less than the United States. As the head of the United States team which had negotiated the agreement in 1952, Mr. Rubottom said he recalled vividly the difficulties that had to be overcome to obtain permission to go below the peril point to reduce the duty from 10.5 to 5.25 per cent on high gravity oil. With the surge of protectionism in the United States at the present time, he felt that if the agreement were reopened for negotiation it would not be possible to provide an equivalent concession on imports of petroleum. Dr. Santaella seemed to appreciate this, but thought some formula could be evolved under the agreement to provide Venezuela with compensation for the action taken by the United States in restricting oil imports. He admitted that he did not know of any formula that would accomplish this.

In departing, Ambassador Santaella thanked Mr. Rubottom and his associates for their courtesy and assistance during the brief time he was in Washington. Mr. Rubottom told him he would look forward to seeing him again, either in Washington or Caracas; in the meantime, he said, he would be pleased to do anything he could for the Ambassador. Dr. Santaella said he was departing from Washington early Thursday morning, May 22, since President Larrazábal was anxious for him to arrive as soon as possible.

**VE-11. Memorandum of a Conversation, Department of State,
Washington, June 5, 1958¹**

Washington, June 5, 1958.

SUBJECT

VENEZUELA—Petroleum Matters.

PARTICIPANTS

The Secretary

Dr. Carlos Perez de la Cova, Minister of Mines and Hydrocarbons of Venezuela

Dr. Eduardo Acosta, Venezuelan Chargé d'Affaires

Dr. Morales Crespo, Director of Political Economy, Ministry of Foreign Affairs of
Venezuela

Sr. Alirio Parra, Petroleum Counselor, Embassy of Venezuela

ARA - Assistant Secretary Rubottom

The Minister conveyed to the Secretary greetings and best wishes on behalf of himself and the provisional governing Junta of Venezuela. He expressed appreciation for the consultations undertaken by the United States with his Government in respect of the voluntary oil import restriction program resulting from the current slack in demand for petroleum and petroleum products, referring first to a visit of Mr. Rubottom to Caracas last February and then to the technical talks carried out by Messrs. Mann, Carson and Thompson ten days later. He said that his Government was aware of the world-wide problem faced by the oil industry and had felt that the consultations had been mutually beneficial. He recalled that the Government of Venezuela was confronted by many serious problems of both an economic and

¹ Source: Department of State, Central Files, 831.2553/6-558. Secret. Drafted by Assistant Secretary Rubottom; approved in the Executive Secretariat.

political nature as it undertook to lead the Venezuelan people back to democratic constitutional government. While his Government had not entirely agreed with the U.S. position, the talks had made it easier to explain to the Venezuelan people the reasons for the U.S. program.

The Minister then alluded to the steps taken by the United States Government since the March consultations, (1) additional restrictions on crude oil imports and extension of the Buy American Act² to the purchase of petroleum products by U.S. Government agencies, both announced on March 25, 1958; and (2) the announcement of yesterday of the inclusion of certain refined products on the list of items to be restricted for import into the United States.

The Minister said that he had been instructed to propose to the Secretary that the United States Government issue a statement of intent to take no further restrictive measures affecting the importation of petroleum products. He said that he had also been asked to raise the question of revising the list No.1 of the U.S.-Venezuelan Trade Agreement, i.e., the items on which Venezuela has granted concessions to the United States, as compensation for the reduced oil exports to the United States due to the U.S. voluntary restrictions.

The Secretary then carefully analyzed the approach which the United States has taken to the subject of trade with Venezuela and the other nations with which it maintains friendly relations, making the following principal points: (1) his own philosophy was perhaps best expressed in a statement in which he collaborated when he was a member of the Commission for the Establishment of a Durable and Just Peace on Sept. 18, 1941 in which the principle was clearly set forth that the U.S. should consult with its trading partners prior to taking any important steps affecting their joint trade in order to avoid as far as possible damaging the economy of its friends; (2) governments, by their very nature, are expected to defend the interests of their own citizens and, unless this is done, they will be unable to govern; (3) at the same time that the domestic interests are being considered, governments should take into account the economic and political effects of important decisions on their trading partners who must also look after the interest of their own people, and this the United States has undertaken to do; (4) one of the best examples of our dedication to the principle of free and unrestricted trade is the reciprocal trade legislation, extension of which is now being debated in the Congress; (5) no nation in the world has taken as enlightened an attitude toward trade as the United States, nor has any other nation ever shown as much concern

² Reference is to Title III of the Appropriation Act of 1933 (Public Law 428), enacted March 3, 1933. For text of the Act, see 47 Stat. 1439.

for the well being and the interests of its trading partners as has the United States; (6) the United States, in its dealings with Venezuela, has shown just as much consideration for the Venezuelan oil industry as it has shown for its own; (7) he hoped that the Government of Venezuela would recognize the extent to which the United States has defended the Venezuelan oil industry, in the face of very strong efforts to restrict imports to a far greater degree than they are presently being restricted under the voluntary plan, and that it would interpret and explain this action on our part to the Venezuelan people; (8) only 25 years ago the world saw the United States enact the Smoot-Hawley Tariff, and later withdraw from the London Economic Conference, to its own detriment and that of the rest of the world; (9) this government is now scrupulously avoiding that kind of action and is, in fact, doing everything possible to consider the economic interests of its allies, although obviously, in a time of economic recession, all nations must share a part of the burden. The Secretary told the Minister that the actions taken by this Government on March 25 were designed simply to equalize the burden between the foreign producers of oil and that imposed on United States producers.

The Secretary declared that he simply could not approve any statement that would suggest that the United States would take no further steps to restrict petroleum imports. He underlined his hope that this would be the case, and stressed that all of the American people were working hard to bring an end to the economic recession and that we now hoped that the upturn was about here. Nevertheless, he was in no position to make the kind of commitment for the future requested by Dr. Perez de la Cova.

The Secretary said that he was not acquainted with the technical question raised by the Minister in regard to the U.S.-Venezuelan Trade Agreement, but was sure that there were officials in the Department who could take up this matter with him. Dr. Perez de la Cova recalled that Mr. Rubottom had been head of the U.S. negotiating team in 1952 when the Treaty had been consummated. It was agreed that the Minister would discuss this question with Mr. Rubottom and those officers in the Department responsible for economic affairs.³

³The points made here by Dr. Perez de la Cova regarding the petroleum issue were reported in a conversation he had with Douglas Dillon, the Deputy Under Secretary of State for Economic Affairs, on June 6. That conversation was recorded in a memorandum drafted by Bernbaum on June 9, not printed. (411.316/6-658)

VE-12. Memorandum from the Under Secretary of State for Economic Affairs (Dillon) to the Assistant Secretary of Defense for International Security Affairs (Sprague)¹

Washington, August 4, 1958.

SUBJECT

Defense Request for Eximbank to Administer Venezuelan Military Credit

Mr. Waugh has called my attention to Mr. Shuff's letter to him of May 29, 1958, (I-3910/8),² in which the Department of Defense requested the Eximbank to service a military credit being extended to Venezuela under section 103(c) of the Mutual Security Act.

For your information, I am enclosing a copy of a memorandum to Mr. Waugh, dated today, in which I state the view that it appears to be desirable for the Department of Defense to administer this type of transaction.³ You will recall that on a previous occasion the Eximbank handled a similar case, that of servicing an MAP loan to Peru in 1955 to cover the construction of two submarines in the U.S. under the terms of Section 505 of the Act. Section 505 at that time specifically required the involvement of the Eximbank, but its use to cover the Peruvian transaction actually led to the request for the authority the Executive branch now has by the terms of Section 103(c), under which MAP credits are almost exclusively extended and which does not require Eximbank participation.

The very nature of military credits is such that they immediately conflict with the Bank's central purpose of encouraging and assisting in the development of national economies. For the Bank to engage, even to the limited extent of acting as agent for the Department of Defense, in the administration of military credits would tend to compromise its essential character and serve to make more difficult the Bank's policy of not rendering loans for other than purely economic purposes. Moreover, to a greater or lesser degree, military transactions inherently carry political overtones and may even be caught up in international crises and incidents. It would be unwise to involve the Eximbank unnecessarily in a field of considerable political sensitivity.

In view of these considerations, as I have also set forth in the attached memorandum, I am inclined to conclude that it would be

¹Source: Department of State, Central Files, 103-XMB/6-1658. Confidential. Drafted by Athol H. Ellis of the Office of the Special Assistant for Mutual Security Coordination on July 7, and rewritten by Malcolm R. Barnebey on July 29 and 31.

²Not found in Department of State files.

³The referenced memorandum was not found with the source text.

more desirable for the Department of Defense to administer all military credits, including the type represented by the Venezuelan transaction.

Douglas Dillon

VE-13. National Intelligence Estimate¹

Washington, September 9, 1958.

NIE 89-58

THE VENEZUELAN SITUATION AND PROSPECTS² THE PROBLEM

To analyze the political situation in Venezuela and to estimate the prospects for the establishment of a constitutional regime and the probable political character of such a regime.

CONCLUSIONS

1. Venezuela's present political situation reflects the strains inherent in a transition, in one generation, from an oligarchic social order toward a democratic welfare state. Long-term dictatorships have been the rule in that country, except for a brief interval of democracy, 1941-1948. (*Paras. 12-14*)

2. In 1948 the elected *Acción Democrática* government was overthrown by a military coup because it attempted to subordinate the military to the civil power. The Pérez Jiménez dictatorship which followed it was overthrown in January 1958 when the armed forces withdrew their support in the face of a universal civilian demand enforced by a general strike. (*Paras. 14-17*)

3. The stated mission of the present ruling Junta is to bring about the establishment of a democratic constitutional government through

¹ Source: Department of State, INR-NIE Files. Secret. According to a note on the cover sheet, this estimate was submitted by the Director of Central Intelligence. The Central Intelligence Agency and the intelligence organizations of the Department of State, the Army, the Navy, the Air Force, and the Joint Chiefs of Staff participated in its preparation. The members of the Intelligence Advisory Committee concurred in the estimate on September 9, 1958, with the exception of the Atomic Energy Commission representative and the Assistant Director of the Federal Bureau of Investigation, who abstained because the subject was outside their jurisdiction.

² The title of this estimate, when used separately from the text, is classified. For Official Use Only. [Footnote is in the source text.]

elections now scheduled for November. The chief threat to the accomplishment of its mission is that of a military coup to prevent the return of *Acción Democrática* to power. (*Paras.18, 34–35, 39–41*)

4. All political parties in Venezuela are supporting the Junta, opposing military intervention in political affairs, and demanding effective democratic government with full civil rights. Their solidarity and the threat of a new general strike have hitherto deterred any effective coup attempt, although one nearly occurred in July. (*Paras. 19, 27, 35*)

5. “National unity” will be the watch-word of the Venezuelan political parties as long as there remains any real or supposed threat of a military coup. The major parties regard the possible restoration of military dictatorship as a more serious danger than that of Communist penetration and are unwilling to forego the contribution which the Communists can make to a united civilian resistance. In these circumstances, the Communists are ensured the opportunity to function freely as a legitimate party and are shielded from political attack. (*Paras. 27, 40, 47*)

6. The Communists probably represent no more than five percent of the Venezuelan electorate. They exert a disproportionate influence through their infiltration of key positions in organized labor, the press, the teaching profession, and student organizations. They have also achieved some success in their efforts to infiltrate the government and the major leftist parties. In national politics, however, their influence is not comparable to that of the major leftist, but non-communist, parties—*Acción Democrática*, COPEI, and URD—which together represent about 90 percent of the electorate. (*Paras. 20–25, 30, 43*)

7. Since the July crisis, the likelihood of a concerted effort on the part of the military to seize power appears to have receded, although there was an uncoordinated and abortive coup attempt on 7 September and the situation between military and civilian elements is now tense. The military are still apprehensive regarding the political trend, but are manifestly reluctant to take on a united and determined civilian resistance. On their part, the Junta and the parties fear a coup and will probably take care not to provoke one, although they will also continue their efforts to improve their position vis-a-vis the military. (*Paras. 36–41*)

8. The maintenance of “national unity” is precarious. It will require the nomination of a single presidential candidate agreed upon by the three major parties and also acceptable to the military. The selection of such a candidate will be a very difficult and delicate matter. (*Paras. 42–45*)

9. Any representative Venezuelan government will conform in general to the nationalistic programs of the three major parties (AD, COPEI, and URD). In particular, such a government will seek a greater share in the profits of the petroleum industry. (*Paras. 19–24, 51*)

10. In Venezuela strong popular feeling holds the United States accountable for undue intimacy with the detested Pérez Jiménez dictatorship and for a supposed general preference for dictatorships in the Caribbean area. Any foreseeable government, however, will desire to maintain friendly relations with the United States, though remaining highly sensitive to any apparent U.S. lack of regard for Venezuelan democracy and sovereignty. (*Para. 54*)

11. A democratic Venezuela will continue to side generally with the West against the Soviet Bloc, in the UN and elsewhere, but this support will not be dependable in situations in which Western imperialism in underdeveloped countries is alleged. (*Para. 53*)

DISCUSSION

ESSENTIAL BACKGROUND

12. Venezuela's present political situation reflects the strains inherent in a transition, in one generation, from a tradition of dictatorship and an oligarchic social order toward a democratic welfare state. Until as recently as 1935 the country was ruled by a succession of long-term dictators. When the 27-year dictatorship of Juan Vicente Gómez ended with his natural death in 1935, the Army was the only organized body available to assume the direction of public affairs. Gómez' immediate successors, Generals Lopez Contreras (1935–1941) and Medina Angarita (1941–1945), were not radical reformers, but they did desire to liberalize political and social institutions. This liberalization released forces demanding more radical political and social change.

13. In 1945 the Medina government was overthrown by a group of younger officers impatient to succeed their elders, acting in combination with *Acción Democrática* (AD), a civilian group advocating more rapid and extensive social and political reforms. Under the leadership of Rómulo Betancourt (AD), the ensuing provisional government initiated sweeping constitutional and electoral changes. In the subsequent presidential election (in 1947), the AD candidate, Rómulo Gallegos, was credited with 75 percent of the apparently free popular vote.

14. The social democratic program of *Acción Democrática* was generally comparable to that of the British Labor Party—but, against the Venezuelan background, that seemed radical indeed to conservative business and landholding interests which denounced AD as communistic. On the other hand, the Communists, tolerated by AD as a matter of democratic principle and as allies against conservative reaction, regarded AD as their principal rival for popular support and for the control of mass organizations. *Acción Democrática* withstood these antagonisms, but was undone when, emboldened by its popular mandate, it undertook to subordinate the military to the civil power. Foreseeing the loss of its special privileges, concerned by the radical tendencies of AD,

and supported by the civilian elements which shared this concern, the same military group which had brought *Acción Democrática* to power proceeded to overthrow the Gallegos government, in November 1948.

15. The military junta which took power in 1948 had no program other than to destroy *Acción Democrática* and to ensure its own continuing control of the country. Although initially welcomed by the social elements and political parties opposed to *Acción Democrática*, it was unable to secure any substantial and enduring civilian political support. Seeking to legitimize its rule, the Junta, in 1952, held an election for a constituent assembly, expecting that pro government candidates would be returned by a people grateful for its beneficent administration. When it became apparent that, instead, the assembly would be controlled by parties demanding a return to democratic government, a news blackout was imposed, the election returns were falsified, and Col. Marcos Pérez Jiménez assumed the presidency "by decision of the armed forces." Although Pérez Jiménez subsequently went through the form of a "constitutional" election by his hand-picked assembly, his regime was a scarcely veiled military dictatorship under which all political parties were eventually suppressed or stultified.

16. Constantly increasing petroleum income enabled the Pérez Jiménez regime to undertake spectacular programs of public works and of industrial and agricultural development, but these resulted in no substantial improvement in the living conditions of the masses of the people. All elements of society were antagonized by the ostentatious benefits conferred upon the favored few, and by the ruthless police state methods of the regime. In 1957 the approaching expiration of Pérez Jiménez' "constitutional" term stimulated opposition activity. On May Day the Archbishop of Caracas ventured to denounce the pretense that Venezuela was a workers' paradise. The suppressed political parties began to concert their activities through a clandestine *Junta Patriótica*. Even within the military establishment conspiracy against the regime began to develop. In December Pérez Jiménez re-elected himself to a second five year term by means of a yes or no plebiscite, but this totalitarian proceeding made his opponents only the more determined to be rid of him before inauguration day.

17. The regime itself precipitated the revolution by arresting the commander of the Army, Brigadier General Hugo Fuentes, the second-ranking Air Force officer, Colonel Jesús Maria Castro León, and other officers for conspiring against the government. A disorganized coup-attempt by their supporters was easily suppressed. Despite this victory of the regime, respectable civilian professional groups were stimulated to demand a restoration of democratic liberties. In consequence, there were recurring crises between the regime and its military supporters. The climactic manifestation of popular hostility was a general strike

organized by the *Junta Patriótica*. On the night of 22 January, the second day of the strike, the military told the dictator that he must go.

MAJOR ELEMENTS IN THE EXISTING POLITICAL SITUATION

18. *The Junta del Gobierno*. Venezuela is now ruled by a Junta composed of three military and two civilian members and dominated by its president, Rear Admiral Wolfgang Larrazábal.³ The Junta exercises the functions of the presidency; there is, in addition, a cabinet composed of men selected primarily for their technical competence, rather than as party representatives. The stated mission of the Junta is to bring about the re-establishment of democratic constitutional government through elections now scheduled for November.⁴ The chief threat to the accomplishment of its mission is that of a military coup to prevent the return of *Acción Democrática* to power. In military and some civilian circles, Larrazábal is strongly suspected of unduly favoring that party, as well as of unwise leniency toward the Communists.

19. *The Political Parties: General*. All Venezuelan parties are of recent origin: the Communist party was organized clandestinely in 1931; the oldest non-Communist parties date only from the election of 1941. The programs of the three major parties (AD, COPEI, and URD)⁵ are strikingly similar, being distinguishable only by minor differences of emphasis. They are socialistic and nationalistic, favoring social welfare measures, varying degrees of government direction of the economy, and greater Venezuelan control of basic industries. The minor parties of the right-center show strong traits of mid-19th century liberalism. All parties are supporting the Junta, opposing military intervention in political affairs, and demanding effective democratic government with full civil rights.

20. Inasmuch as there has been no free election in Venezuela since 1948, the relative strength of the various parties is difficult to estimate. Some 40 percent of the electorate has come of age since that date. Chiefly on the basis of the consensus among their political rivals, we estimate that AD represents at least half of the electorate and COPEI about a

³ Larrazábal, 47, is of an outstanding naval family. In 1945, when the Medina government was overthrown by the Army and *Acción Democrática*, he was arrested, but he was Commandant of the Naval Forces by the end of the AD regime. The succeeding military Junta thought it expedient to send him away, to be naval attaché in Washington. In the last months of the Pérez Jiménez regime he was president of the *Círculo Militar* (Armed Forces Club), an assignment which antagonized him by disappointing his naval ambitions, but which he used to establish contacts with officers of all the services. He assumed the presidency of the Junta on the basis of military seniority. [Footnote is in the source text.]

⁴ These elections may be postponed, for administrative or political reasons. [Footnote is in the source text.]

⁵ *Acción Democrática*, *Partido Social Cristiano Copel*, and *Unión Republicana Democrática*. [Footnote is in the source text.]

quarter. The remaining popular support is divided among URD, the Communists, the relatively conservative *Integración Republicana*, and six minute political groups, probably in that order, with URD far in the lead of the others.

21. *Acción Democrática*, headed by Rómulo Betancourt, is conceded to be the largest party in Venezuela and claims to be the majority party. It probably is the majority party in the chief urban centers, but not in the smaller towns and the countryside. It seeks membership at all levels of society, but relies on its strong labor support for the bulk of its votes. The party is roughly comparable to the social democratic parties of Western Europe. It advocates industrialization and agrarian reform, a broadening of the economic base to lessen the nation's dependence on petroleum revenues, and a larger share for Venezuela in the profits of the petroleum industry. While recognizing the importance of foreign private capital in Venezuela's economic development, it proposes to regulate such investment more closely in the national interest and favors gradual Venezuelan private or governmental acquisition of majority control or ownership of Venezuela's natural resources and basic industries.⁶ In world affairs, *Acción Democrática* sides with the West as against the Soviet Bloc. At the same time, it bitterly resents the supposed role of the United States in support of the Pérez Jiménez dictatorship and other dictatorships in the area, is strongly anti-imperialist in sentiment, and advocates greater Latin American unity in dealing with the United States.

22. There is in *Acción Democrática* a younger element impatient of the older (Betancourt) leadership and disposed to proceed more impetuously toward the realization of party objectives. The difference is one of tactics rather than of purpose. The younger element, conscious of the party's popular strength, would forego efforts to reach agreement with other parties regarding a joint presidential candidate and would present a party candidate, at the risk of provoking a military coup. Indeed, they would welcome a showdown with the military rather than avoid it. Past experience has taught Betancourt and his generation greater discretion. At the recent party convention, the Betancourt group demonstrated its continued control of the party machinery. Therefore the party, as such, will probably continue to maneuver with circumspection. In frustration and impatience, the younger element may tend increasingly to take its lead from the more aggressive Communists.

23. *Partido Social Cristiano Copei*. COPEI, led by Rafael Caldera, resembles the Christian social democratic parties of Western Europe. It appeals to practicing Catholics in all walks of life. Originally the

⁶ U.S. private investment in Venezuela is estimated at more than three billion dollars, of which two-thirds is in the petroleum industry. [Footnote is in the source text.]

predominant influence in the party was that of rural conservatives in western Venezuela, but since 1949 the reformist segment in the Caracas area has gained control. The Church's increasing emphasis on social action to improve the status of the workers may enable Caldera to hold COPEI's rural Catholic support while increasing the party's attraction for urban elements. COPEI's program is much the same as *Acción Democrática's*, the essential difference being that between COPEI's Catholic approach and AD's secularism.

24. *Unión Republicana Democrática* (URD), led by Jovito Villalba, represents primarily urban middle class elements: intellectuals, professional men, and industrialists. Its main area of popular support is in eastern Venezuela. The party program is similar to that of *Acción Democrática*, but, like COPEI, it favors less government ownership of basic industries. In the abortive election of 1952, from which *Acción Democrática* was excluded, URD apparently attracted a heavy proportion of the AD vote, but it probably could not hold that support in competition with *Acción Democrática* itself.

25. *Partido Comunista Venezolano* (PCV). The Venezuelan Communist Party was organized clandestinely in 1931, emerged as a legitimate political party in 1945, was driven underground by Pérez Jiménez, and has now reemerged under the leadership of Gustavo Machado Morales. The party is numerically weak in comparison with the three major parties of the left (AD, COPEI, and URD), but it exerts considerable influence through its infiltration of key positions in organized labor, the press, the teaching profession, and student organizations. It has also achieved some success in its efforts to infiltrate the government and the major leftist parties. Its most immediate and pressing objectives are to preserve its present freedom of action and to prepare a firm base from which to influence future governments. The PCV's public efforts are directed primarily toward achieving respectability and acceptance as the most patriotic and democratic of Venezuelan parties. Its stated program is a composite of those of *Acción Democrática*, COPEI, and URD, but more stridently nationalistic and anti-imperialist. It is most vociferous in its support of the concept of "national unity"—which is, in effect, the concept of a popular front against military reaction. However, the party remains fundamentally hostile toward *Acción Democrática*, which it recognizes as its most effective rival for popular and labor leadership.

26. *Integración Republicana* (IR), formed in 1958, appeals to those independent liberals who are repelled by the radicalism of AD and URD and the supposed clericalism of COPEI. Its own program is a slightly moderated version of the programs of those parties, but its leaders are of a more conservative type. It has attracted some men of national stature, chiefly businessmen, lawyers, and intellectuals.

27. *The Junta Patriótica*. Having functioned successfully as the clandestine coordinating committee of the four parties conspiring to overthrow the Pérez Jiménez dictatorship (AD, COPEI, URD, and PCV), the *Junta Patriótica* has come into the open and has enlarged its membership to include representatives of all social groups, including labor, students, the Church, and the business community. The Junta's concern is to preserve that spirit of "national unity" among civilian elements which is deemed essential to prevent a recurrence of military dictatorship.⁷ Its sanction is its capability to renew the general strike which brought down Pérez Jiménez, a capability which it demonstrated anew during the Castro León crisis in July and again in September.

28. *Organized Labor*. Labor unions are an important political force in Venezuela, although less than ten percent of the labor force is organized. The principal unions are concentrated in the chief urban areas and the oilfields. AD, COPEI, URD, and the Communists have all been active in labor leadership; most unions are affiliated with one or another of those parties. Conversely, the parties are highly sensitive to labor sentiment.

29. The Pérez Jiménez regime took severe repressive action against most AD, COPEI, and URD labor unions. In contrast, its attitude toward certain Communist unions was relatively lenient: they were even allowed to maintain open contact with the CTAL and WFTU, Communist international labor federations, throughout the period of the dictatorship. The Pérez Jiménez regime also employed "former" Communist leaders in the government-sponsored unions with which it sought to replace those which had been suppressed. The explanation given was that these Communists were useful informants. It is also notable that the regime feared *Acción Democrática* more than it did Communism and was willing to use Communist hostility toward AD for its own ends. Many AD labor leaders in exile gained further experience working against Communism for ORIT.⁸

30. The favor of the Pérez Jiménez dictatorship temporarily improved the Communists' relative position in Venezuelan labor leadership. Since the fall of the dictatorship, they have been able to exploit this advantage. However, it was the surviving AD-sympathetic unions which took the lead in organizing labor resistance to the dictatorship, and, with the return of AD and COPEI labor leaders from exile and prison, these unions have regained the leading position in the labor

⁷ In this the Junta has before it the example of the Liberal and Conservative parties of neighboring Colombia which, despite a long history of often bloody mutual antagonism were able to combine to put an end to military dictatorship and to re-establish democratic constitutional processes. [Footnote is in the source text.]

⁸ *Organisacion Regional Interamericana de Trabajadores*, the anti-Communist competitor of the Communist CTAL in Latin America. [Footnote is in the source text.]

movement. At the recent national convention of the reorganized Federation of Petroleum Workers relative party strength is estimated to have been as follows: AD, 60 percent; PCV, 27 percent; URD, 7 percent; COPEI, 6 percent.

31. *Student and Youth Groups.* Through active participation in the overthrow of Pérez Jiménez, youth and student groups have gained a significant voice in national politics and have thereby been greatly stimulated and emboldened. The four leftist parties have long-established youth movements, but the more effective organizations are those of university and high school students, which cut across party lines. *Acción Democrática* has apparently developed the strongest influence among the 7,000 students at the Central University in Caracas, with the PCV second and COPEI third. However, the executive council of the University's student federation is composed of five Communists, three AD adherents, and one COPEI member. Outside of Caracas, the COPEI youth are the most active. In general, youth groups tend to be more extreme than the parties to which they adhere and little subject to party control.

32. *The Catholic Church.* The Church has risen in popular esteem through its recent emphasis on social action to improve the lot of the working people and through the role of the Archbishop in events, preceding the overthrow of Pérez Jiménez. In general, however, Venezuelans are indifferent to religion and highly sensitive to clericalism in politics, a charge which COPEI seeks to avoid. The Church's direct influence is therefore limited, but it is at present the most outspoken anti-Communist voice in Venezuela.

THE ARMED FORCES

33. The Venezuelan armed forces consist of the Army (14,500 men, mostly conscripts); the National Guard, a professional constabulary (6,000 men); the Navy (4,100) and the Air Force (2,000). The Navy has three destroyers and six coastal destroyers operational; the Air Force, 125 aircraft in operational units.

34. Leading military officers have shown increasing concern regarding the upsurge of Communist activity following the fall of Pérez Jiménez and the soft attitude of the Junta toward Communism (in consonance with the principle of "national unity"). Although this Communist activity is serious enough, it is likely that the military are actually more concerned about the resurgence of *Acción Democrática*. Despite the fundamental antagonism between AD and the PCV, the distinction is probably dim in the eyes of the military, who are most immediately concerned to avoid the subordination which *Acción Democrática* attempted to impose on them in 1948.

35. This issue came to a crisis on 9 July, when Brigadier General Castro León,⁹ then Minister of Defense, privately demanded of the Junta that it expel both *Acción Democrática* and Communist party members from the administration. After eleven days filled with rumors and excitement, he repeated this demand to the cabinet. He was thereupon dismissed by the Junta, but refused to vacate his office. Instead, he solicited the support of COPEI and URD for a military coup. They reported this approach to the *Junta Patriótica*, which immediately invoked a general strike. In the face of this situation, an all-night meeting of representative officers refused to support Castro León in a coup and he was forced to submit to the *Junta del Gobierno*, which sent him out of the country. At the same time the Junta refused popular demands for a wholesale purge of the armed forces which probably would have provoked a military coup.

36. With the departure of Castro León, Col. Jesús Manuel Pérez Morales (Army), Chairman of the Joint Chiefs of Staff, became the putative leader of the armed forces. He is esteemed an abler man than Castro León, and therefore potentially more dangerous to the regime. At the same time, he apparently headed a “wait and see” school among the military and was at least contingently loyal to the government. On 24 August Pérez Morales was summarily removed from office. This move by the Junta to gain control of the armed forces might have precipitated a coup, but had no such effect. Pérez Morales himself has publicly adopted a cooperative attitude, describing his relief as routine.

37. Castro León and Pérez Morales have been replaced, respectively, by Brigadier General Josue Lopez Henriquez and Colonel Régulo Pacheco Vivas. Neither of them appears to be a threat to the government. However, many officers remaining in service may well feel disgruntled and insecure. In addition, an impressive number of outstanding officers are now in exile with strong motivations against the Junta. A potential leader of the latter group is Lt. Col. Martin Parada, former Chief of Staff of the Air Force.

38. Because, from 1935 to 1958, every Venezuelan government existed only at the sufferance of the military, it is commonly supposed that the armed forces still have the power to make and break governments at will. This supposition, however, is doubtful in present circumstances. The rank-and-file of the Army are ill-trained and unreliable conscripts who might well refuse to impose the will of their officers on

⁹ Castro León, 5C, comes of a family of poor farmers and has been described as “rank happy.” He conspired against the Betancourt (AD) regime in 1946 and was a stalwart supporter of Pérez Jiménez in the internal politics of the military Junta of 1948–1952. Nevertheless, he was a leader of the abortive military conspiracy against Pérez Jiménez in late 1957. [Footnote is in the source text.]

a civil population united in its resistance. In any case, an allout battle between the armed forces and the *Junta Patriótica* would be a sanguinary affair, not to be lightly undertaken. It is notable that the armed forces declined to fight to save Pérez Jiménez in January or to support Castro León in July, though the Army and Air Force officers were probably preponderantly sympathetic with the latter, and that nothing happened when Pérez Morales was relieved.

39. On 7 September there was an abortive coup attempt led by officers exiled in July and supported by elements of the Military Police. The attempt was broken up by the Army; the armed forces in general remained loyal to the government. Subsequently, however, there was a mob attack on the Military Police barracks which resulted in civilian casualties. The ominous aspect of this affair is that Betancourt and Villalba were proved unable to control the mob, once it had been aroused. The general strike provoked by this coup attempt was maintained until the government undertook to take drastic action (such as it did not take in July) to prevent the recurrence of such attempts. Implementation of this undertaking in the existing tense situation could lead to an allout conflict between military and civilian elements, although the Junta will certainly seek to avoid that result.

POLITICAL PROBLEMS AND PROSPECTS

40. *The Communist Problem.* Since the July crisis, Admiral Larrazábal and the leaders of the major parties have all taken occasion to declare their lack of sympathy with Communism, but they have also supported the right of the Communists to participate in Venezuelan politics as a legitimate political party. It is unlikely that they regard Communist activities as a serious danger in comparison with the possible restoration of a military dictatorship. Admiral Larrazábal, in particular, has expressed a remarkable confidence in the patriotism of Venezuelan Communists, though perhaps only for domestic political effect. It is unlikely that the leaders of the major parties have any such illusions, but they regard the threat of a military coup as the real and immediate danger and, so long as that threat remains, they will be unwilling to forego the potential contribution of the effective Communist organization to a united civilian resistance. Consequently, there is no early prospect of effective action to limit Communist activity in Venezuela, at least not until a democratic constitutional government has been securely installed in office. On the other hand, the major parties will continue to compete with the Communists for influence in labor and student organizations and for popular political support.

41. *The Possibility of an Early Military Coup.* Since the Castro León crisis, the likelihood of a concerted effort on the part of the military to seize power has apparently receded, although the situation between military and civilian elements is now especially tense as a result of the abortive coup attempt

on 7 September. The present situation is a stand-off. A substantial number of military officers remain disgusted with the Junta and apprehensive regarding the political trend, but are manifestly reluctant to take on a united and determined civilian resistance. The Junta and the parties, on their part, fear a coup and will probably take care not to provoke one, although they will continue their efforts to improve their position vis-a-vis the military.

If there should be a break in “national unity”, perhaps in consequence of the forthcoming election—specifically, if the military could obtain the political support of COPEI or URD—the disaffected officers would probably attempt to seize power and establish a more acceptable regime. Even without such political support, they might act in desperation if they were to conclude that a civil government dominated by *Acción Democrática* was otherwise inevitable.

42. *The November Election.* Great uncertainty still surrounds the manner in which the forthcoming presidential election will be conducted. The maintenance of “national unity” will require the nomination of a single candidate agreed upon by the three major parties (as was done in Colombia). Discretion would require that this candidate also be acceptable to the military. Manifestly, the selection of such a candidate will be a matter of great difficulty and delicacy.

43. It is probable that no candidate could win a free election without the acceptance and support of *Acción Democrática*. However, AD is also aware that no AD leader would be acceptable to the military or even to the other political parties. AD’s objective, then, is probably to employ its electoral strength to secure the nomination of a sympathetic candidate not so obviously identified with it as to provoke a military coup or to antagonize the other parties. AD’s preference for this role is Admiral Larrazábal, who is receptive to being drafted as a unity candidate, but he too is strongly distrusted by the military elements most likely to attempt a coup, as well as by some civilians.

44. The principal parties are now engaged in complex negotiations regarding the selection of a joint candidate for the presidency. COPEI, URD, and IR have combined to propose Dr. Martin Vegas, a distinguished physician and IR militant. COPEI has publicly threatened that, if AD refuses to support Vegas, it will nominate Caldera as a party candidate, which would mark the end of “national unity” AD has countered by offering three alternative proposals: (1) the joint selection of one of three persons¹⁰ as a single candidate; (2) the joint selection one of the three to run against Vegas, so that the electorate may make the choice; (3) that the executive power be vested in a council composed Larrazábal, Betancourt, Caldera, Villalba, and a representative of the business

¹⁰ Rafael Pizani, Minister of Education; José Antonio Mayobre, Minister of Finance; and Carlos Morales, a former Minister of Foreign Affairs. [Footnote is in the source text.]

community, the presidency to rotate among them annually. If the other parties will not accept any of these alternatives, AD threatens to nominate its own party candidate. The other parties have rejected AD's alternatives and called on it to reconsider Vegas as a unity candidate. It is likely that AD will continue to maneuver to secure the eventual joint nomination of Larrazábal as the only available "compromise" candidate. The outcome cannot be predicted. "National unity" could well break down.

45. Even if a coalition presidential candidate can be agreed upon, the conduct of a competitive congressional campaign and the subsequent selection of a coalition cabinet will subject "national unity" to great strain.

46. *The Longer Term.* Assuming that the electoral problem is resolved and that a civil government composed of a generally accepted president and a coalition cabinet is duly installed in early 1959, that government will continue to be under the constant threat of a military coup. That danger will exist as long as the military establishment remains independent of the civil government. It will be most acute in the event of a breakdown of "national unity" or of a government attempt to gain firm control of the military establishment.

47. A securely established constitutional government might take action to control Communist activities, although it would be unlikely to outlaw the party without serious provocation. As long as the threat of a coup remains, however, no effective anti-Communist action by the government is likely. The Communists will make the most of the opportunity afforded them to increase their political influence through the penetration of organized labor, youth groups, political parties, and the government. The eventual development of a situation like that in Guatemala in 1954 is possible. However, we believe it unlikely in Venezuela on account of the greater political experience of the leftist party leaders and their view of the Communists as rivals.

THE ECONOMIC SITUATION AND PROSPECTS

48. Venezuelan national production, the highest per capita in Latin America, has increased steadily and rapidly in the postwar period. This growth reflects a continuous high rate of investment: over 20 percent of GNP in 1957. Over the years, the petroleum industry has contributed about one-third of this investment and government resources (derived largely from the petroleum industry) another third. The world demand for Venezuelan petroleum has ensured the country against the foreign exchange shortages, unmanageable budget deficits, and problems of inflation which have beset other Latin American countries.

49. Despite these favorable circumstances, the Venezuelan government faces serious financial problems inherited from the improvident Pérez Jiménez regime. Although that regime expanded over half its budget on spectacular public works, notably highways, it also squandered

public funds on unproductive projects, ostentatious high living, and the enrichment of favored personages. Its favorite industrial projects, a steel mill and a petrochemicals industry were unsuited to the present stage of Venezuelan economic development.¹¹ Pérez Jiménez' rate of expenditure exceeded even Venezuela's handsome income. He left unpaid accounts amounting to over a billion dollars and unfinished projects that will require further large expenditures before they can go into operation.

50. The present administration is paying off the arrears of its predecessor in part from current revenue, in part from treasury reserves (which have been drawn down to an unprecedentedly low level), in part from internal and foreign private loans. It cannot radically curtail expenditures to fear of increasing the unemployment which has already become a problem. Its plans call for further retrenchment in some areas, but increased expenditures on more worthy projects, such as education.

51. The financial predicament of the present government will intensify political demands for a greater share of petroleum profits. No party proposes nationalization of the oil industry—the dependence of Venezuelan exports on the distributive facilities of the existing companies is a strong deterrent—but both *Acción Democrática* and COPEI have declared that they will seek a larger share of the profits for Venezuela. No representative Venezuelan government could follow any other course.

INTERNATIONAL RELATIONS

52. With the fall of Pérez Jiménez, Venezuela moved from the camp of the dictatorships into that of the democracies. In consequence, friendly relations have been reestablished with Argentina, Uruguay, Chile, and Costa Rica, while relations with the Dominican Republic, Nicaragua, and Cuba have cooled. Within the Latin American community, a democratic Venezuela can be expected to work against dictatorships in the Caribbean area, to seek common market agreements, and to advocate united action in dealing with the United States.

53. In world affairs, Venezuela will continue to side generally with the West against the Soviet Bloc, in the UN and elsewhere, but this support will not be dependable in situations in which Western imperialism in underdeveloped countries is alleged. Venezuela is unlikely to resume diplomatic relations with the Soviet Bloc in the near future, nor is there likely to be any significant increase in Venezuelan trade with the Bloc. Venezuelan exports compete with those of the Bloc.

54. In Venezuela, strong popular feeling, manifested in the Nixon incident, holds the U.S. accountable for undue intimacy with the detested Pérez Jiménez dictatorship and for a supposed general preference for

¹¹ Because of limited internal demand for their products, these industries would have to export to prosper, because of a lack of skilled manpower and high costs of production, they could not compete in external markets without the support of substantial government subsidies. [Footnote is in the source text.]

dictatorships in the Caribbean area. There is also a general resentment of U.S. restrictions on the importation of Venezuelan oil, which have a direct effect upon Venezuela's oil-based economy. The government, however, and any likely successor government, will desire to maintain friendly relations with the United States, because of the close economic ties between the two countries and in order to facilitate readjustment of the division of petroleum profits. Even so, Venezuelans will remain highly sensitive to any apparent U.S. lack of regard for Venezuelan democracy and sovereignty.

55. If the present regime in Venezuela or an elected successor should be overthrown by a military coup, the event would be widely interpreted, in Venezuela and throughout Latin America, as the result of U.S. connivance and as confirmation of the supposed U.S. preference for dictatorships in the area.¹²

¹² An accompanying map of Venezuela is not printed.

**VE-14. Memorandum of a Conversation, Department of State,
Washington, September 24, 1958¹**

Washington, September 4, 1958.

SUBJECT

Venezuelan Foreign Minister's Call on Secretary

PARTICIPANTS

The Secretary
Dr. Rene de Sola, Foreign Minister of Venezuela
Mr. Rubottom

The Secretary met with the Venezuelan Foreign Minister in an office outside the Conference Room prior to this morning's meeting of the Foreign Ministers of the American Republics.² The Foreign Minister said that he wished simply to call to the Secretary's attention the following:

1. The Venezuelan Government is under great pressure to revise the list of items in which the United States obtained concessions of the 1952 revised trade agreement, such as milk and cigarettes. He feels that the volume of trade in these items is relatively small and that they would

¹ Source: Department of State, Central Files, 731.13/9-2458. Confidential. Drafted by Rubottom.

² The ministers held an informal meeting on September 23-24 to discuss improved measures for hemispheric economic cooperation.

be willing to offer substitutes for them in private negotiations. Most of their milk imports, he said, come from Europe anyway and they are suffering real hardship in the cigarette industry and need relief.

2. Venezuela would like to arrange for permanent consultation with the United States on problems relating to oil imports. They are greatly concerned about the proposed pipeline construction in Canada recommended by the Borden Commission there and would be prepared to offer concessions to Canada if this would cause that country to desist in its plan. They are sure that Venezuelan oil would be cheaper than oil brought from West Canada via pipeline to the eastern area of the country. They would like to have three-way consultations on the oil problem with the United States and Canada.

3. Venezuela is concerned about the continued presence of Perez Jimenez in the United States. This gives certain elements in his country a chance to criticize the United States unduly and it would help in our relations if he were to move on or if we were to deny him residence here. The Attorney General of Venezuela, the Comptroller General and the Minister of Justice³ are all engaged in investigations of his nefarious activities while chief of state. A report is expected soon.

³Dr. Andres Aguilar Mawdsley.

VE-15. Memorandum of a Conversation¹

Caracas, December 14, 1958.

PARTICIPANTS

Sr. Rómulo Betancourt, President-Elect²
Ambassador Edward J. Sparks
Mr. Charles R. Burrows, Minister-Counselor

Following the delayed receipt of the Department's telegram #350 of December 13 (later reencrypted and received here as #352)³ an appoint-

¹ Source: Department of State, Central Files, 611.31/12-1658. Confidential. Drafted by Burrows, and transmitted to the Department of State under cover of despatch 490 from Caracas, December 16, 1958.

² Betancourt was the victor in the presidential elections held December 7, 1958.

³ The referenced telegram instructed the Ambassador to express the Department's congratulations on Betancourt's election and to explain that an informal visit to the United States by Betancourt was not feasible in the pre-inaugural period due to time limitations. (731.00/12-1158)

ment was arranged through President-elect Betancourt's Secretary to meet with Betancourt Sunday evening at the mountain retreat of a friend of the President-elect. Mr. Betancourt had been relaxing at this country home over the weekend. Ambassador Sparks and Mr. Burrows arrived at 9:20 p.m. and the conversation with Mr. Betancourt continued from then until 12:45 a.m. over a wide range of subjects. Betancourt, who was relaxed and easy, spoke with obvious frankness on everything that occurred to him.

Ambassador Sparks opened the conversation by speaking of the possibility of a visit to Caracas by Assistant Secretary Thomas C. Mann for the purpose of discussing the petroleum situation and the problem created by the present excess of supply over demand. The Ambassador spoke of Mr. Mann's close knowledge of this situation and of the value of conversations between him and President-elect Betancourt as well as appropriate officials of the present Venezuelan Government. Betancourt acknowledged with agreement the Ambassador's references to Mr. Mann, as well as to Mr. Mann's long-standing friendship with Mr. Betancourt, but he did not openly express an opinion on the proposed visit. Ambassador Sparks finally asked President-elect Betancourt directly if he thought it was a good idea,⁴ at which point Betancourt assented but without particular enthusiasm.⁵ It was obvious that Mr. Betancourt did not know exactly what the conversations would encompass but it was also obvious that he agreed that conversations would be of value.

Ambassador Sparks then offered his own personal congratulations as well as the congratulations of the Department on Betancourt's election and also expressed on behalf of the Department its satisfaction over the important contribution of the election to Latin America's democratic institutions in general. Betancourt was obviously pleased at these statements and in response spoke of his own recognition of the great responsibilities he now has and his serious intentions to carry out those responsibilities to the best of his ability. The Ambassador asked him when the inauguration would be scheduled. Betancourt replied that the inauguration probably would be either late in January or early in February. Ambassador Sparks explained that sometimes the period between the election of a President and his inauguration offers an opportunity for an informal visit to be made to the United States but in view of the shortness of the Venezuelan pre-inaugural period

⁴ A typewritten marginal notation reads: "On Monday and again on Tuesday, however, Betancourt himself and then his Secretary called to inquire as to the exact date of Mr. Mann's arrival. Betancourt on the occasion of the first call said that he wanted to call his 'petroleum expert' back from Mexico to participate in the conversations (Perez Alfonso?)." Jan Pablo Perez Alfonso had been Minister of Production, 1945-1948.

⁵ A handwritten marginal notation reads: "Probably knew impending tax 'coup'!"

he assumed it would be impractical to attempt to arrange such an informal visit. Ambassador Sparks continued by explaining the procedure for invitations to pay official visits to the United States and that normally two Chiefs of State of Latin America are invited each year for state visits. He said that President Frondizi from Argentina will be paying a state visit to Washington in January of 1959, and President Lemus of Salvador in March. With this background of explanation the Ambassador asked Betancourt what his thoughts on the matter were. President-elect Betancourt replied by making it quite clear that aside from the fact that he could not possibly plan a trip outside Venezuela before his inauguration, he did not feel an informal visit to the United States would be appropriate. He said that he believed the most appropriate procedure to follow would be for an invitation to be issued to him to visit the United States after his inauguration but without specifying any particular date. Betancourt remarked that he felt the United States erred in not having invited Figueres of Costa Rica⁶ to visit the United States during the five-year period of Figueres' Presidency. He said that Figueres is a good friend of the United States and that he had demonstrated this in La Paz, Bolivia, when he answered an unfriendly speech made by the Mayor of La Paz during the official visit of Figueres to that country prior to his inauguration. Betancourt then turned the conversation more directly to the election and the present political situation.

In discussing the defeat of Larrazábal, Betancourt demonstrated very little respect for him as a politician although he said that he likes Larrazábal personally. He said that with the elections over, Larrazábal has no further stomach for politics. Betancourt said that he intends to appoint Larrazábal as Ambassador to Chile, although Betancourt said he had not exerted any pressure on Larrazábal to accept the assignment. Betancourt, almost negating his denial that any pressure had been exerted on Larrazábal, said that although Larrazábal has no further interest in politics, as a military man in the recent election and as a popular figure in Venezuela, he might even against his will become a symbol in the country for those who might want to use him. To demonstrate the naïveté of Larrazábal, Betancourt said that Larrazábal in conversation with him, had asked why he had been so badly defeated and why he had not even carried the town where he was born. Betancourt's reply to Larrazábal had been that AD had been actively organized in Larrazábal's home town for the past 20 years.

⁶ Jose Figueres, President of Costa Rica, 1953-1958.

Betancourt expressed respect for Caldera⁷ and said that he would expect him to take an important part in the future political affairs of Venezuela. He said he is honest, sincere and intelligent. He attributed Caldera's small vote to the facts that the Venezuelan people are non-clerical and that the vote in the recent election was polarized between Betancourt and Larrazábal. In other words, many people who might otherwise have voted for Caldera voted for Betancourt or for Larrazábal simply because they felt Caldera had no chance of winning.

With reference to Villalba⁸ it was obvious that Betancourt has little respect for him and his party. He said that if URD had not had Larrazábal as a candidate the party would have received very few votes. With the elections over, Betancourt obviously expects URD to sink into an insignificant position.

Betancourt spoke of his heavy responsibilities in assuming the Presidency of Venezuela and made clear that he intends to give everything he can of himself to those responsibilities. As far as his own political situation and that of his party is concerned, he demonstrated complete confidence. He said with reference to the Armed Forces that some of the younger officers represent a problem in that for 10 years now they have been indoctrinated with the idea that Accion Democratica did everything possible before to disrupt the Army and that if AD should return to power it would follow the same course again. He said that after his inauguration he will give immediate attention to this situation and that he feels he can correct it without difficulty. Speaking to the situation in Caracas, the large vote against him here, and the demonstrations which had already occurred, Betancourt said that he did not feel at all hopeless about it, he said that the great majority Larrazábal had received in Caracas represented a pro-Larrazábal vote but not necessarily an anti-AD vote. He is very cognizant of the problems in Caracas, particularly of unemployment and poverty, as well as the popular devotion to Larrazábal as a democratic symbol, but he said that within the first four or five months of his administration he felt that he could correct many of the unemployment problems and swing much of the popular sentiment toward him and his party.

Ambassador Sparks asked Dr. Betancourt if the young and more leftist wing of his party were a cause of concern to him. Betancourt replied that with the demonstration of AD organization and support for him throughout the country outside the capital, there was no question in his mind as to who controlled the party and commanded its respect.

⁷ Raphael Caldera, presidential candidate of Venezuela's Christian Socialist party, Comité de Organización Política Electoral Independiente (COPEI).

⁸ Jovito Villalba, presidential candidate of Unión Republicana Democrática (URO).

He said that it had been assumed from the beginning that Larrazábal would win in Caracas but that the younger wing of AD had been permitted to assume the primary responsibility for keeping Larrazábal's plurality in Caracas as low as possible. These younger members of AD had obviously failed in their responsibility and as a result had lost standing in the party. He said that they spent too much of their time talking and writing and not enough in direct contact with the people.

Speaking again of the problems which his administration will face, he said that he considers unemployment perhaps the greatest one. He spoke also of the educational problem and of the necessity for agrarian reform. He by no means seemed overwhelmed by the problems which he will face however, saying that the wealth of the country should make it easy to face and handle these problems. Venezuela is not like Bolivia, Betancourt said. With reference to increasing the income of the government Betancourt made specific reference to the income from the petroleum industry; he mentioned also in passing Venezuela's iron ore but his emphasis was primarily on petroleum. He made it clear that there will be a revision of the arrangement for the sharing of income between the petroleum industry and the Venezuelan Government, but he said that this revision will be on the basis of bi-lateral negotiations and not by government fiat. Likewise, he said the Government would not enter into negotiations on the basis of a prior commitment to any fixed ratio (such as 65–35 or anything like that) but would, rather, begin the discussions with a completely open mind as to what the final outcome might be.

At various points during the conversation Betancourt made clear his position with reference to the Communists and to Communism in general. He recognized the danger and the threat which the Communists represent in Venezuela but he showed full confidence that he could meet and defeat that threat. He said emphatically the Communists will have no part in his Government and he said also that when he says no he means no, and when he says yes he means yes - as any of his American friends know. With reference to the recognition of the Soviet Government he said this is a matter which will receive very careful study. He said it is not an easy matter to resolve, particularly when one remembers that a number of American nations have relations with the Soviet, such as the United States, Mexico, Argentina, Uruguay, etc., but that no urgent decision is necessary, and that in any event it will be given very careful study before action is taken.

Betancourt emphasized that he is a friend of the United States and that he has always been treated well by the Department of State. He said he has not always agreed with Department of State policies but he has no complaint as to his treatment by the Department. He said that one of the decisions with which he disagreed was the decision by the

United States to support Caracas as the site for the 1954 Inter-American Conference. By insisting so strongly that this Conference be held in Caracas, he said that the United States had estranged several of its best democratic friends in Latin America.

With reference to Trujillo and the Dominican Republic, he said that if Trujillo does not throw his weight around too much as a dictator and against democratic elements outside his own country, Betancourt will continue normal but cool relations. If Trujillo continues his exaggerated actions however, Betancourt will not hesitate to break relations and to impose economic sanctions. When asked about his attitude toward the situation in Cuba, it was evident that Betancourt had not given the matter any particular thought. However, he did say that he felt the OAS should go into this Cuban situation or if not the OAS as a body, at least a number of the more important countries of the Hemisphere, such as United States, Argentina, Mexico, should demonstrate multi-lateral interest.

With reference to the Presidential inauguration Betancourt indicated that there would be no attempt to build the ceremony into a tremendous occasion, but he did mention names of various Latin American personalities who would be coming to his inauguration as members of the delegations of their respective countries.

In answer to a question about his Cabinet, Betancourt said that he had mentally pretty well formed his Cabinet but he had not discussed it with anyone as yet. He said that probably two or three of the more technical present Cabinet members would be kept on in the new Cabinet.

At one point in the conversation Betancourt made a disparaging reference to Robert Brinsmade as the kind of American who gets involved in political matters in Venezuela which are no concern of his. This was only a passing remark and there was no indication what Betancourt might have in mind doing, if anything, but it was obvious that he has very little respect for Brinsmade.

Betancourt said that the Petroquímica, the steel mill and the Caroni project would be continued under his administration. He also said there will be no more 40-year concessions nor as a matter of fact will there be any concessions immediately since the companies already have 6,000,000 hectares and are actually utilizing only 600,000 for exploration and exploitation; he spoke of the nation taking a more direct part in the development of the industry as well as in a tanker fleet. He said that nationalism is a very strong motivating force in any country of the world today and that due regard must be taken of it in Venezuela.

VE-16. Memorandum from the Officer in Charge of Venezuelan Affairs (Bartch) to the Director of the Office of East Coast Affairs, Bureau of Inter-American Affairs (Bernbaum)¹

Washington, December 24, 1958.

SUBJECT

Venezuelan Decree Increasing Income Tax Rates

On December 20, the Venezuelan Junta of Government announced the promulgation of a decree effective immediately and applicable to 1958 income, raising the graduated income tax rates on all classes of income. The previous tax scale ranged from 1 1/2 per cent on the lowest income bracket to 26 per cent on income of Bs. 28 million (\$ 8.4 million) and over. The new rates begin at 2 per cent and rise to 45 per cent on the top bracket of income. The change in the tax rates was a part of a general tax reform which also: abolished a Bs. 5 per Bs. 1,000 transactions tax, increased the normal income tax on foreign residents from 4 to 6 per cent, increased gambling taxes from 10 to 20. per cent, and provided for a partial exemption for investment in industry, agriculture, transportation and energy production. Although the increase in the general tax does not alter the basic 1948 legislation providing for a 50–50 additional tax applicable to oil and mining companies, it does in effect break the 50–50 concept. In a televised speech, Finance Minister Mayobre estimated that under the new tax scale the oil companies would have paid to the Government 66 per cent of their 1957 income, instead of the 51 per cent they actually paid. He forecasted that the companies would pay about 60 per cent of their 1958 income to the Government.

The action taken was certainly not unexpected, since all of the political parties' campaign platforms contained statements to the effect that Venezuela should derive a greater share of the profits of the oil industry. The three presidential candidates and other party leaders have made frequent references to the need for a change in the profit formula. After the elections, Betancourt at a press conference stated that the 50–50 concept was antiquated but that it was too early to talk of 75–25. As on previous occasions, he stated that any adjustment necessary would be made only after very careful study. Neither is it surprising that the general income tax rates were increased, since they have long been considered antiquated; and the current unbalanced budget and the economic problems inherited from the previous government made

¹ Source: Department of State, Central Files, 831.112/12–2458. Confidential.

such a revision imperative. An American professor was in Venezuela for several months earlier this year to study the tax structure and report on it to the Government.

What was surprising was the fact that, in contrast to previous actions affecting the petroleum industry, the income tax reform was kept secret until promulgated, and neither the oil industry nor other affected interests were given an opportunity to present their views to the Government. Moreover, despite our overriding interest in matters affecting Venezuela's oil industry, we were neither consulted nor given any advance notification. This was all the more surprising in view of the fact that Assistant Secretary Mann was in Caracas when the decree was promulgated, having gone there for the second time this year to consult on U.S. oil imports policy.² Moreover, Mines Minister Julio Diez left a three-hour meeting with Mann to go directly to the television studio to participate in the announcement that the income tax decree had been formulated, without mentioning to Mr. Mann the reason for his departure from the Meeting. Mr. Mann stated that when he had expressed surprise that the Venezuelan Government had acted as it did, the Ministers of Finance and Mines had adopted an aggressive position, maintaining that the action taken by their Government was an act of national sovereignty. However, they became almost apologetic and defensive after Mr. Mann had expressed himself strongly, stating that Venezuela's unexpected and unilateral action on an issue as sensitive as this, which not only affected directly U.S. investments but which could set off a chain reaction in other parts of the world and which is not unrelated to Western Hemisphere security, is inconsistent with Venezuela's insistence on consultation before U.S. unilateral action affecting Venezuelan interests. Consultation, Mr. Mann informed the Venezuelans, is a two-way street. The Foreign Minister took the position that this was a general tax measure affecting all Venezuelans and therefore within the sovereign power of the Venezuelan Government. Mr. Mann and Ambassador Sparks replied that we did not question the sovereign right of the Government to take action; they emphasized the long established practice of American States and particularly Venezuela and the U.S. to consult in matters affecting important interests of the other. They pointed out that while the U.S. has the sovereign right to impose import restrictions on Venezuelan oil we nevertheless seek

² Assistant Secretary Mann was in Caracas, December 18–21, 1958. The purpose of his visit was to explain and discuss the current oil imports situation and to explore informally future means to deal with problems, including possible tripartite arrangements. (731.11/12–1858) A summary of his conversations with Venezuelan officials is contained in ARA/EST Files, Lot 61 D 319, "U.S. Oil Legislation."

through consultation to act in such a way as to accommodate the interests of both countries.

Although everyone knew that Venezuela was moving in the direction of a modification of the 50–50 formula, it was not expected that any action would be taken until after the installation of the new Government, and then only after negotiations with the companies. Creole has stated that Betancourt had promised the company that no action would be taken with such negotiations. The consensus seems to be that Betancourt and his advisers were probably not consulted in advance concerning the new tax law, and that at best Betancourt was informed by the Government in very general terms several days in advance. This is Mr. Mann's impression, and Betancourt informed our Embassy that he had known nothing of the tax change when he had promised Mr. Haight of Creole earlier in the week that closed door discussions with the industry would be held in advance of any changes in oil income distribution.

Preliminary estimates reported by our Embassy of the effect of the tax revision on the oil industry are that it will vary according to the different companies' incomes. Creole's initial estimate is that it may result in a 65–35 per cent of the company's profit, and that others in high income brackets will be effected to a lesser degree. New companies not yet out of the red would be effected in the future if and they move into higher income brackets.

Reaction to the promulgation of the tax decree was not long in forthcoming. Duke Haight, President of Creole, issued a strong statement on December 22 at Marquetia airport on his departure for San José³ on a Christmas vacation. He said the Government's action was a "hard blow" at the industry and that it "drastically altered the climate for foreign investment". He said that by this action Venezuela became the first country in the world to break the 50–50 principle, "completely disregarding acquired rights and ignoring moral, if not legal, obligations to negotiate" with interested parties. He warned that an agreement reached by free negotiation "cannot be unilaterally terminated without destruction of confidence and understanding". The present "unilateral, retroactive action provides no quid pro quo and reduces the incentive to further investment", he said. He added that the new taxes were additional costs for the industry.

The other oil companies agreed generally with Mr. Haight's strong statement, with Shell sending a letter to the Minister of Mines on December 23 warning that abandonment of the 50–50 formula without prior discussions would have "grave consequences". *El Mundo*

³ The source text reads "Jamaica" but was hand-corrected to read "San José."

characterized Haight's statement as a crude and unjustified reaction against an act of full sovereignty. Venezuelan students and government economists generally praised the Government's action although some of the latter were dubious of the way it was carried out. Many local businessmen were angry or dismayed over the lack of public discussion, Venezuelan businessmen avoided commenting on the effect of the decree on the oil companies but instead concentrated on the repeal of the 5 per thousand tax and other features of interest to local business. Dr. Angel Carvini, generally regarded as business spokesman, deplored the lack of consultation with commerce and industry. *El Nacional* mentioned the "sense of justice which inspired reform and which the whole nation shares."

In reply to Mr. Haight, Mines Minister Diez issued a statement on December 23 saying that the tax reform "does not impair any acquired rights of petroleum companies nor modify any existing agreement with them". He emphasized that it only altered internal tax rates which apply to all Venezuelans and is the sovereign right of the Government. Since the tax applies only to net income it does not increase the cost of the companies and does not alter their competitive position, he said. Most Venezuelan opinion thought Haight's statement was too strong and inadvisable, and the press supported the government as having only exercised its sovereign right. However, many Venezuelan business and professional men reportedly were not in accord with the secrecy involved and were cynical about the purposes of the act. COPEI reserved its position until it had further time to study the decree; AD did the same. However, Villalba of URD issued a strong statement supporting the decree and attacking Creole. He called Haight's statement absurd and referred to the billion dollars⁴ Eugene Holman of the Standard Oil Company (New Jersey) on December 23 was as strong, if not stronger, than Haight's, warning that the Venezuelan Government action would "call for re-examination of international investments". On the following day, Venezuelan Ambassador Falcon Briceno released a statement emphasizing that the decree was an act of national sovereignty, and that the Government had no obligation to obtain Creole's permission to act.

The net result of the position taken by Creole and Jersey Standard is that the issue has now become one involving national sovereignty, with the Venezuelans standing on their national pride. Just as the threatened U.S. troop movement overshadowed the anti-U.S. incidents that occurred during Vice President Nixon's visit to Venezuela last May, the national sovereignty issue overshadows the issue over lack of advance consultation with the companies and the U.S. Government.

⁴ A handwritten marginal notation reads: "something missing here."

The Venezuelan Government was dissuaded from issuing a decree expelling Haight only by a promise from Creole that Haight would not return to Venezuela.

Recommendations:

That, in your conversation today with the Venezuelan Ambassador,⁵ you emphasize the following points:

1. We are very seriously concerned over the action taken by the Venezuelan Government.

2. We recognize the fact that the Government has a perfect right to take such action, but there are many things that we have the power to do but have refrained from doing out of consideration of the interests of other countries.

3. We have consulted with our friends before taking unilateral action on matters affecting their interests, and we have made a very special effort to consult with Venezuela.

4. We would have expected that the Venezuelans would have consulted with us in advance before taking a step which effected the operation of important U.S. interests in Venezuela, and which may have repercussions elsewhere in the world.

5. An additional factor was that Assistant Secretary Mann was in Venezuela at the time the decree was promulgated, on his second visit to Venezuela in a year, solely to consult with the Venezuelan Government concerning oil import policies. Nothing was said to him about the decree until it was announced to the public.

6. In the spirit of cooperation which characterizes our relations with Latin America, consultation plays an important part. The Latin American nations never hesitate to tell us what our policies should be, and we are very pleased to receive their views and to consult with them in advance in order to mitigate the possible adverse effects of any action we contemplate taking.

7. In summary, we consider the action the Venezuelan Government has taken as very serious, especially since it was taken without consultation with us, and since it may have repercussions in other areas of the world. We would hope that the Ambassador will report our concern to his Government.

⁵ A summary of the conversation is contained in the Department's telegram 382 to Caracas December 24, 1958. (831.112/12-2458)

**VE-17. Memorandum of a Conversation, Department of State,
Washington, December 24, 1958¹**

Washington, December 24, 1958.

SUBJECT

Venezuelan Income Tax Revision

PARTICIPANTS

Dr. Marcos Falcón-Briceño, Ambassador of Venezuela
Mr. R. R. Rubottom, Jr., Assistant Secretary for Inter-American Affairs
Mr. Maurice M. Bernbaum, Director, East Coast Affairs, ARA
Mr. C. E. Bartch, Officer-in-Charge, Venezuelan Affairs

Ambassador Falcón-Briceño called at the Department this afternoon at Mr. Rubottom's request. Mr. Rubottom expressed the serious concern of the highest levels of the U. S. Government over the action taken by the Venezuelan Government on December 19 to increase the general income tax rates, particularly since Venezuela failed to consult with the United States.

Mr. Rubottom pointed out that in view of the substantial U. S. interests in Venezuela, especially in the petroleum industry, we would have expected that the Venezuelan Government would have consulted with us in advance of taking action which so clearly affects those interests. Mr. Rubottom said that there was no question whatsoever of the Venezuelan Government's right to adjust its income tax rates, as a matter of national sovereignty. He reminded the Ambassador, however, that the United States has scrupulously followed a policy of consulting with other governments before taking any action which might affect their interests. He pointed out that special efforts along these lines had been made to consult regularly with Venezuela, as the Ambassador well knew. Mr. Rubottom alluded to the importance we attach to friendly consultation and cooperation on matters of common interest among the nations of the hemisphere. He said the United States considers this friendly consultation a cornerstone of our Latin American relations. He pointed out that Venezuela's failure to consult in advance with the United States had been even more astonishing in view of the fact that Assistant Secretary Mann was in Venezuela on the very day the decree was promulgated and made public, having gone there for the second time this year to consult with Venezuelan officials concerning the oil import situation. As a matter of fact, Minister of Mines Julio Diez had

¹ Source: Department of State, Central Files, 831.112/12-2458. Confidential. Drafted by Bartch, and initialed by Rubottom.

gone directly from a three-hour meeting with Mr. Mann to the White Palace to participate in a ceremony announcing the income tax reform, without having even mentioned to Mr. Mann the reason for his departure from the meeting.

An additional reason why consultation would have been expected is the fact that the action of the Venezuelan Government could have far-reaching repercussions in other areas of the world, Mr. Rubottom stated. He asked that the Ambassador report to his Government the serious concern of the United States over the action it had taken.

The Venezuelan Ambassador declared that he had no explanation of the lack of advance discussion with the United States of the action taken by his Government. He said he was certain that his Government's action, and its failure to consult with us, did not imply that his Government did not value highly the friendship and good will of the United States. He assured Mr. Rubottom that the Government's action did not mean that his Government did not appreciate the importance of consultation. He thought that the reason the tax reform was announced without consultation or other advance notification was that it was considered a matter of extreme urgency. He referred to the economic problems and unpaid debts inherited from the Pérez Jiménez Government and the unbalanced budget for the current fiscal year. He said Venezuela's need for additional funds was imperative and that action before the end of this calendar year was considered necessary in order to obtain the benefits of the higher tax rates on 1958 income. He mentioned also the fact that the foreign loan of \$225 million approved by the Provisional Government had been delayed until Congress convened in January.

The Ambassador called attention to the statements by the Ministers of Mines and Treasury concerning the income tax reform, and repeated the most significant points made in the statements. He reiterated his Government's position that the tax revision was an internal matter and entirely within the sovereign power of Venezuela. He characterized the statement issued on December 22 by Mr. H. W. Haight, President of the Creole Petroleum Corporation, as somewhat violent ("una poca violenta") and as unfortunate. He attempted to refute the claim made by Mr. Haight that the new tax rates would affect the costs of the oil companies or impair Venezuela's competitive position in the world petroleum market.

The Ambassador repeated Mr. Rubottom's expression of serious concern several times in order to make certain that he would interpret to his Government precisely the attitude of the United States. In response to Mr. Rubottom's request, he promised to ask his Government for additional information on the background and meaning of the action it had taken.

**VE-18. Memorandum of a Conversation, Department of State,
Washington, January 5, 1959.¹**

Washington, January 5, 1959.

SUBJECT

Effect of Venezuelan Tax Law

PARTICIPANTS

Mr. Thomas C. Mann—E
Mr. Maurice Bernbaum—OSA
Mr. Carl Barch—OSA
Mr. Hollis Kannenberg—FSD

Mr. Craig Stark—E
Members of the Petroleum Industry

At the request of the Department of State, 38 leaders of the petroleum industry met to discuss the probable effects of the Venezuelan tax decree announced December 19. Mr. Mann opened the meeting with a review of the events leading up to the Venezuelan move and outlined steps taken since then by the Department of State. He described at some length the attitude of the Venezuelan people and government toward the tax decree and cautioned against any overt retaliation on the part of industry. Mr. Mann pointed out that one of the major problems in Venezuela is in attempting to get the Government to speak frankly to its people. Mr. B. C. Schmidt (San Jacinto Petroleum) said that the Junta was under no pressure and that the move was evidently motivated by fiscal goals. It will not be possible to arrive at an exact figure, he said, because the effect will vary with the size of the company. Mr. Mann asked that the companies determine, within a range, what the effect of the cut will be. The newcomers should calculate what the effects in 1958 will be, how long it will take them to recover their initial investment and how the flow of oil in 1959 will be effected. These facts would be complementary to those provided by the established firms. Both groups should understand their case and present it to the Venezuelans in relation to their own company interest. He cautioned against making public and written protests. Private conversations with prominent Venezuelans, as well as with the Government, would be more advantageous and would provide the Department of State with support.

Mr. T.S. Petersen (Standard of California) indicated that the tax decree must increase the Venezuelan tax revenue since his company's tax bill was due within a few weeks. Any company working for

¹ Source: Department of State, Central Files, 831.112/1-559. Confidential. Drafted by Stark.

stockholders, however, will buy where the oil is cheapest. Mr. Mann suggested that we should admit the temporary advantages to Venezuela, but also point out that there will be disadvantages, particularly in the long run, since some Venezuelan oil is high cost and will be gradually displaced. Mr. Petersen stated that his company has been in Venezuela for 30 years and has spent 125 million without finding light oil with the exception of a single recent strike at great depth. The new tax law, he said, may make exploration costs in less desirable areas in Venezuela prohibitive.

This is the sort of experience we should point out to the Venezuelans, Mr. Mann said. He commented that President-elect Betancourt is not anxious to increase production, but on the contrary, feels that too many concessions have already been let. Mr. T. L. Lenzen (Standard of California) suggested that U.S. Ambassadors to other oil countries be informed. Mr. Mann commented that there seems to be close contact between the Venezuelans and the Arabs. Mr. R. C. Sauer (Sohio Petroleum) suggested that we ought to talk about other things; the issue of the contract price and the world price, for example. A depreciation allowance would also be desirable.

Mr. Eugene Rolman (Standard of New Jersey) said that the industry ought to get the door open for talks. There are many knowledgeable Venezuelans, particularly in the Bureau of Mines, he said, and it is to these people that we ought to make our points. The Venezuelans made this decision on political, not economic grounds, he said. Mr. Mann pointed out that we can talk to the Government along technical lines; what the decision means for the long and short run. The industry can help the Department of State in that the Department cannot know how it will affect companies without cooperation. He cautioned against over stating the case. Mr. Holman indicated that many other industries are largely dependent on the oil industry. Mr. Peterson said that he believed that a drop in tax revenue would be taken more easily if we begin now to educate people to the real effect of economic laws. The most dangerous thing to do is to give the impression of retaliation by design, he said. The meeting closed with several companies promising to send in their estimates of the effect of the tax decree within a short time.

VE-19. Instruction from the Secretary of State to Certain Diplomatic Missions¹

Washington, January 19, 1959.

CA-6027.

SUBJECT

Recent Change in Venezuelan Income Tax Law

On December 19, 1958, effective December 20, 1958, and retroactive to 1958 income, the Government Junta of Venezuela decreed an amendment to the Venezuelan income tax law providing for increased surtax rates. The decree has the effect of breaking the 50-50 principle which had its origin in Venezuela as pertains to the petroleum and mining industries.

1. Venezuelan Concession System

The Venezuelan concession system, during its entire history, including under the 1943 Petroleum Law, has fixed and defined the terms and conditions of the respective concessions in the Petroleum Laws themselves. Until enactment of the 1943 Petroleum Law, such terms and conditions referred not only to technical and operating matters but, moreover, froze the tax regime for the full life of the concessions in that the concessionaire was guaranteed against taxes directly burdening his enterprise or in amounts larger than those in existence at the time of concession issuance. The foregoing rights were considered to be acquired and inherent in the concession.

During the discussion of the 1943 Petroleum Law, the principle of equal sharing of profits between the Venezuelan Government and the petroleum concessionaire was developed. Although the petroleum industry full well realized that by converting petroleum concessions issued under prior laws to the Petroleum Law of 1943, it was exposing itself to the legal possibility of unlimited income taxes, industry had, from the outset, the moral assurance from the government that the purpose of the new arrangement was only to share equally with the concessionaire the profits arising from his Venezuelan operations. While, as stated above, the Venezuelan Government has always had the power since 1943 to raise income taxes so as to impair the 50-50

¹ Source: Department of State, Central Files, 831.112/1-1959. Secret. Drafted by M. Hollis Kannenberg of the Fuels Division, Bureau of Economic Affairs, and John Shaw of the Office of Near Eastern Affairs; approved by William M. Rountree, Assistant Secretary of State for Near Eastern and South Asian Affairs. This despatch was also sent to the Embassies in Baghdad, Beirut, Cairo, Damascus, Dhahran, Jidda, Kuwait, and Tehran.

principle, it never did so. On the contrary, until December 19, 1958, the Government repeatedly reaffirmed the 50–50 principle. Relying on such assurances, the petroleum industry has invested in Venezuela vast sums of money.

Therefore, under the “equal sharing principle”, government and industry have shared profits from the industry on the basis that royalties plus income and other incidental taxes would give the Venezuelan Government 50 percent of the concessionaire’s profits. In other words, if a petroleum concessionaire, after paying royalty and taxes, as afore-said, had a profit which exceeded government “take”, the excess profit was to be divided on a 50–50 basis between government and the respective concessionaires.

2. Pre-December 1958 Tax System

In Venezuela the oil industry has been subject to three different taxes on income. The first two are general provisions applicable to all personal and corporate incomes, and the third is a special provision covering the extractive industries. Until the December 20, 1958, tax decree, the oil companies tax bills were made up in the following manner.

(a) The Basic or Normal Tax

This is a 2½ percent assessment on net income derived from normal industry operations such as production, transportation or refining. Net taxable income is calculated by deducting from gross income the usual charges of doing business, similar to those in the U.S. Depreciation and depletion are allowed, but depletion is limited to a return of cost rather than as a percentage of total production income as in the U.S. Losses are deductible much on the same basis as in the U.S. and a carry-forward of losses for the purpose of this tax is permitted for two years.

(b) The Supplementary Tax (Surtax)

This was levied at progressive rates commencing with 1.5 percent on net taxable income up to Bolívars 10,000 (\$3,236) reaching a maximum of 26.0 percent on amounts in excess of Bs. 28,000,000 (\$9.06 million). In some cases a reduction in the supplementary tax rate was granted for new investment in increased production facilities.

(c) The Additional Tax (50–50 Provision)

Under this provision of law, a levy of 50 percent was assessed on the amount by which a company’s net income after deduction of taxes (royalties - a minimum 16-2/3 percent under the Petroleum Law - are included as taxes paid) exceeds total taxes paid. This classical example of the 50–50 principle applied only to companies whose net income for the tax year was 15 percent or more of the capital invested in the production of that income. For companies whose net income was more than 10 percent but less than 15 percent of capital invested, the

additional tax applied to only $\frac{1}{2}$ of the excess income over the aggregate of the taxes. Companies whose net income after the normal and surtax did not exceed 10 percent of the capital invested were exempt from the additional tax.

In practice the 50-50 principle has resulted in a somewhat greater share of revenues for the government than profits for the companies. It has been characteristic of the Venezuelan petroleum industry that a high volume of operations has been required before a profit could be realized. Therefore, until a level of production and profits has been reached allowing the 50-50 profit sharing tax to become effective, the division has resulted in favor of the government by reason of a relatively high royalty and heavy exploration and development costs. An unofficial, although reliable comparison of the direct income of the Venezuelan Government from petroleum companies (other than from bonuses for new concessions) with the net profits of those companies over a period of ten years (through 1957) shows a ratio of 53-47 favorable to the government.

3. Decree Law of December 20, 1958

The decree law of December 20, 1958, increases the supplementary tax (No. 2 (b) above) to provide for a minimum of 2 percent on taxable income up to Bs. 10,000 and a maximum of 45 percent on net taxable income in excess of Bs. 28,000,000. As under the prior law, certain reductions may be granted for new investment in increased production facilities. Neither the "basic tax" (No. 2 (a) above) nor the "additional tax" (No. 2 (c) above) is altered. Although the additional tax remains unchanged in the new law, it is rendered ineffective so far as the oil companies are concerned since the operation of the new surtax schedule in combination with the basic tax and royalty payments will, in all cases that can be envisioned, result in total revenue to the Government of considerably more than 50 percent.

In view of public statements made by the Venezuelan government that the level of the Venezuelan income tax is still favorable when compared to other countries such as the U.S.A. where the corporate rate is 52 percent, it must be pointed out that this is not accurate in the case of a U.S. corporation producing oil in the United States. With the application of the 27.5 percent depletion allowance, the level of U.S. income taxation is substantially below that of the Venezuelan law, i.e., about 38 percent in the United States versus 47.5 percent in Venezuela.

While much study is needed to make a precise calculation as to the effect of the December 20 decree, preliminary estimates indicate that most oil companies will find their payments to government for 1958, and succeeding years, increased from a 50 percent to a 60 percent basis.

The action of the Government Junta was not preceded by public discussion of the measure and it came as a complete surprise. In February 1958, Admiral Larrazábal, then President of the Government Junta, had given explicit assurances to the oil industry that the provisional government intended to maintain, without modification, the then prevailing laws affecting the petroleum industry. On various occasions since the provisional government gave the foregoing assurances, government spokesmen, both publicly and privately, have acknowledged the moral undertaking of the Venezuelan Government to respect the 50–50 principle and reaffirmed the intention, in any event, to leave fundamental decisions for the elected government which was to take office early in 1959.

4. Action Taken to Date

The U.S. has expressed no opinion on the substantive provisions of the tax law amendment. However, our Embassy in Caracas, on first learning of the measure, expressed to the Venezuelan Ministry of Foreign Affairs surprise that action on an issue as sensitive as this, which not only directly affected U.S. investments in Venezuela, but which could have an adverse effect on U.S. interests in other parts of the world had been taken without consultation. Further, the Embassy pointed out that failure to consult was inconsistent with Venezuela's insistence on consultation before U.S. action on matters affecting Venezuela's interests. Similar representations were made to the Venezuelan Ambassador by the Department. The Venezuelan Government has taken the position that the decree was a general tax reform affecting all Venezuelan tax-payers, including oil companies, and, therefore, within its sovereign power. In reply, we have said that we do not question Venezuela's sovereign right to take the action, but are seriously concerned over the failure to consult in advance and the manner in which the decree was promulgated.

On January 5, Assistant Secretary Mann met with representatives of U.S. oil companies having operations in Venezuela in order to exchange views on the effect of the recent tax decree on the Venezuelan oil industry and on world trade. The consensus of the meeting was that, although the tax amendment would obviously result in immediate and short term fiscal benefits for Venezuela, the long term effect would be adverse in view of the harmful effect it would have on Venezuela's competitive position in the world oil market, and the lessened attractiveness of Venezuela in the future to investors. It was considered unlikely that the elected government, which is to take office early in 1959, would find it politically possible to undo the decree itself, even if the new government were so inclined. It was agreed that the main objective of the

companies, and of the Department, should be to reduce the possibility of further harmful action by the new government, and to modify or to ameliorate the effect of the decree itself. It was recognized that Venezuela's government would be sensitive to any action which could be interpreted as retaliation by the companies against the tax decree. It was agreed that the companies should attempt to inform influential Venezuelans of the probable economic consequences of the tax decree and should avoid public statements that might further exacerbate the issue. It was agreed that the Department would undertake to induce the Venezuelan Government to educate the Venezuelan public on the economic issues involved so as to remove the matter as far as possible from a political and emotional plane. The Department suggested that each company evaluate the effect of the decree on its own operation and on Venezuela's competitive position in the world oil market both in the short term and as far in the future years as can be projected. Although industry is still assessing the financial impact of the new tax regime, there is little doubt of the detrimental effects of this action on investment climate, on Venezuelan oil in world markets, on Industry operations in Venezuela, and, in general, the impairment of confidence which, up to now, has caused foreign capital to invest vast sums of money in Venezuela.

In summary, although the petroleum industry realized from the beginning that by converting their concessions to the Petroleum Law of 1943 the legal possibility existed that unlimited income taxes could be imposed, industry had the assurance from the outset that the Venezuelan Government's intent was to share equally with the concessionaires the profits arising from their operations.

While the Venezuelan Government has had the legal right since 1943 to rupture the 50-50 principle, it never did so. On the contrary, until December 19, 1958, the 50-50 principle was repeatedly reaffirmed by the government. The sovereign right of the Venezuelan Government to do this is not challenged; however, the wisdom of handling the matter as it did is questioned, particularly due to the adverse effect on investment climate and the ultimate detriment to the economic well-being of the country.

Neither the Department nor American petroleum companies regard the situation created by the Venezuelan tax decree as having that finality which would preclude discussion between Venezuela and industry of the issues involving mutual interests. Protests have been registered with the Venezuelan Government stressing the lack of prior notice and opportunity to be heard both on the part of the U.S. Government and the oil industry. It is hoped that as a result, the Venezuelan Government

will grant the opportunity for friendly consultation aimed at reducing the adverse impact of the decree.

When considering the possible Impact of Venezuela's action on Middle Eastern arrangements, it is the Department's firm view that the concession relationships in the Middle Eastern countries are contracts which may be modified only by mutual agreement of the interested parties. The United States attaches utmost importance in international relations to the maintenance of confidence that contractual obligations will be honored, and would be deeply concerned if contracts with its citizens should be breached. This is in contrast to the situation in Venezuela where the concessionaire was not legally assured of any limitation on the government's power to tax, but relied on the moral assurance of the government's stated intention to adhere to the 50–50 principle.

5. Recommended Action

The foregoing is forwarded to provide U.S. representatives with an accurate picture of the Venezuelan situation as it stands today and to enable U.S. Missions to answer questions which may be put to them on the subject by host governments. It may also be used, at the discretion of the Missions, as the basis for discussions with senior representatives of American oil companies. In the Department's judgment, it would be unwise for U.S. representatives to *initiate* conversations with the respective governments. However, if approached, U.S. representatives should indicate that the U.S. disapproves of the failure of Venezuela to consult with interested parties prior to the promulgation of the decree law, and is deeply concerned over the probable economic consequences to Venezuela. The total effect of this law on Venezuela's revenue and investments remain to be seen. If appropriate in the circumstances, representatives should emphasize the difference between the Middle East arrangements and those in Venezuela, stressing the requirement, in the case of the former, for prior consultation in any effort to change contractual relations, since commitments in the Middle East are subject to international contracts which may only be modified by mutual agreement between the interested parties.

In the event the government indicates intention to revise existing arrangements, the Department should be promptly notified.

The Department would appreciate receiving information on press comments and other views being expressed in Middle Eastern countries on Venezuela's tax decree.

Dulles

**VE-20. Memorandum of a Conversation, Caracas, Venezuela,
February 14, 1959¹**

Caracas, February 14, 1959.

SUBJECT

President Betancourt of Venezuela

PARTICIPANTS

President Betancourt; Mrs. Betancourt
Governor Dewey, Head of United States Delegation to Inauguration of President
Betancourt
Ambassador Sparks
ARA—Mr. Rubottom
Ambassador Falcón Briceño

Governor Dewey, Ambassador Sparks, and I called on President Betancourt by appointment at 8 a.m., February 14. We waited 5 or 10 minutes on the porch of the residence, along with Venezuelan Ambassador to the United States, Sr. Marcos Falcón Briceño, and then were greeted by the President and Mrs. Betancourt, who escorted the group² into the dining room for breakfast.

The President wasted no time in getting down to business. Addressing himself to me in Spanish, he said that Venezuela intended to raise in the OAS the question of expelling the dictatorship countries. He declared that communism profited by the continuation of the dictatorships and that their fall would deal the communists a mortal blow. He began to refer by name to Trujillo, with noticeable feeling, and aimed most of his thrusts directly at him.

I stated our policy of supporting the basic principles of the OAS, including non intervention, and my conviction that this was fully compatible with the encouragement and growth of democracy. I questioned whether a majority of countries in America would support his position of expelling members which had not yet arrived at democratic systems. I reminded him of the risk, in tolerating any kind of intervention, that "bad" governments would feel justified in intervening just as much as "good" governments. Governor Dewey, who followed the discussion

¹ Source: Department of State, Central Files, 731.11/2-1659. Confidential. Drafted and initialed by Rubottom on February 16.

² President-elect Betancourt was inaugurated on February 13, 1959. The U.S. delegation to attend the inauguration included the following: former N.Y. Governor Thomas E. Dewey; Rubottom; John M. Budinger, Vice President of the Rankers Trust Company; Harry Darby, Chairman of the Board of Darby Corp. and former U.S. Senator from Kansas; General Lyman L. Lemnitzer, Vice Chief of Staff, U.S. Army; and Serafino Romualdi, AFL-CIO Representative for Latin America (who replaced AFL-CIO President George Meany, who was ill).

through Ambassador Sparks' running translation, asked who would judge when direct intervention was called for.

The President reasserted his position. He would consult with Colombia and Argentina. He acknowledged that Mexico was strongly against any kind of intervention. If the OAS would not join Venezuela in expelling the Trujillo Government, then Venezuela would withdraw from the OAS. They would continue to adhere to the Río Treaty³ and the Caracas Resolution.⁴ He had favored our stand against Arbenz.⁵

The President said he had learned much in 10 years. Things were now different in Venezuela. He would no longer tolerate the constant insults against him personally and his country. Venezuela would take economic sanctions such as not allowing Pan American Airways to stop in Venezuela if it continued stopping in Ciudad Trujillo; the same with the Grace Line. He recalled Mr. Mann's call on him 10 years ago to warn him of possible air attacks on Venezuela by Trujillo backed planes.⁶ He reminded me of the recent reports of possible bombing of Venezuelan oil fields by Dominican planes. He kept referring to the "aggressive" tone of the Dominican Republic reply to Venezuela's invitation to his inauguration, sending Mrs. Betancourt upstairs to try to find a newspaper with the text of the "offensive" document. (Her mission was unsuccessful but he promised to send me a copy to the Embassy.) The President said that he would tolerate no Dominican attempt against Venezuela, and would reply with force if attacked. On the other hand, he was categoric in stating that he would *not* permit any revolt against the Trujillo Government or any other to be staged from Venezuela. (Later I was informed that he had made a similar declaration to OAS Secretary General Mora.)

I reentered the discussion on a different tack. I told the President of Haiti's problem which was really a hemisphere one but for which the United States was paying the cost. I asked him what he thought of the Haitian exiles' open call from Habana for the overthrow of Duvalier

³ Reference is to the Inter-American Treaty of Reciprocal Assistance, opened for signature at Rio de Janeiro, Brazil, on September 2, 1947, and entered into force on December 3, 1948. For text of the Treaty, see 62 Stat. 1681.

⁴ A reference to Resolution XCIII, titled "Declaration of Solidarity for the Preservation of the Political Integrity of the American States Against the Intervention of International Communism," approved on March 28, 1954, at the Tenth Inter-American Conference which met at Caracas, March 1–28, 1954. For the text of the resolution, see *Tenth Inter-American Conference: Report of the Delegation of the United States of America with Related Documents* (Department of State Publication 5692, Washington, 1955), pp. 156–158. For pertinent documentation regarding the resolution, see *Foreign Relations, 1952–1954*, vol. IV, The American Republics.

⁵ For documentation on U.S. policy toward Guatemala during the presidency of Jacobo Arbenz Guzmán (1951–1954) see *Foreign Relations, 1952–1954*, vol. IV, The American Republics.

⁶ Documentation on the subject of Dominican revolutionary activity on Venezuela is printed on *Foreign Relations, 1947*, vol. VIII, The American Republics, Chapter 77.

who, whether or not a “good” President, had been freely elected by the Haitian people after a year of chaos. Here was Cuba, in the first flush of victory over a tyrant, permitting attacks on a nearby government. Did he approve?

The President didn’t know about this situation but would look into it.

Then I said that he could count on the OAS for absolute protection of Venezuela against any outside attack. He was reminded of the Río Treaty which had proved its effectiveness. With reliance on the OAS, Venezuela need have no concern about aggression; it could concentrate on its internal affairs without fear. The United States would join with others to defend Venezuela before any serious ill could fall on his country. The President seemed to listen carefully, but he did not respond in any detail to my statement. Our host mentioned the reference to revision of the trade agreement in his inaugural speech. He described it as an “escape valve” to ease pressure on him from affected Venezuelan interests. I said we would discuss the subject through regular channels if he wished, but added that the agreement was carefully balanced and would have to continue to offer advantages to both parties. With the slack in demand for petroleum, and with the new crisis in the coal industry in the United States as result of reduced market in Germany, the time was not the most propitious. He did not press his point.

Finally, he turned to the subject of military equipment. The country had been left deeply in debt by Perez Jimenez. The military would be loyal to him. They need new equipment, especially for the armored forces. They hope to buy it from the United States at “token” prices. This would be one tangible way of helping and supporting his government.

I asked whether he was talking about additional equipment, or that included in the purchase agreement of 1957.⁷ His reply was not clear, but he seemed to mean a revision of the terms of the 1957 purchase agreement, and he again referred to the need to buy it for token prices.

As we left the table, I told the President of the United States’ effort to meet the Junta Government’s request for an early date to inaugurate the Boliver Statue in Washington.⁸ We wanted President Eisenhower to participate because of the event’s importance, and we were cognizant of the plan of Venezuela to send Admiral Larrazábal for the

⁷ In note no. 179 of February 5, 1957, the Government of Venezuela accepted the credit facilities offered by the United States in its note of December 6, 1956, for the purchase of U.S. military equipment to implement the defense objectives assigned to Venezuela by the Military Planning Talks concluded at Caracas, March 13, 1956. (731.5/2-557) Documentation concerning the extension of credit for military equipment is printed in *Foreign Relations, 1955-1957*, vol. VII, American Republics: Central and South America, Chapter 17.

⁸ President Eisenhower accepted the statue on behalf of the U.S. Government on February 27, 1959. Documentation concerning the matter is contained in decimal file 831.442.

ceremonies. I had received his messages via Ambassador Falcón, Assistant Secretary Mann, and Mr. Proudfit. The problem of setting the date had been difficult, all the more so because of the uncertainty of the Venezuelan inaugural date which had been changed twice. He laughed and said that this had been hard on him, too, and that it was the fault of the Venezuelan Congress.

The President said that the date of February 27 was all right. They would send a fitting delegation, possibly headed by the Foreign Minister, or maybe the President of the Congress, Dr. Leoni. He reassured me that our problem was understood. He made no reference whatever to Admiral Larrazábal.

Ambassador Sparks asked the President to tell us how he felt about the presence of Perez Jimenez in the United States. The President said he understood the technical and legal points involved – that the man had a Venezuelan diplomatic passport, and that the Junta Government had requested a visa. Nevertheless, he said, United States relations with the people of Venezuela would remain “below zero” as long as he stays in our country. The man has no future anywhere; he is no problem in Venezuela to the President, but he is an impediment to good relations. I asked whether, at this time, he would prefer to see Perez Jimenez in the Dominican Republic. The President replied affirmatively. I said I would look into the matter. He didn’t mention extradition and I didn’t suggest it.

After expressing our appreciation to the President and Mrs. Betancourt and Ambassador Falcón, we departed at 9:40.

VE-21. Editorial Note

On March 10, 1959, President Eisenhower signed Proclamation 3279, “Adjusting imports of petroleum and petroleum products into the United States.” This proclamation made the voluntary import system mandatory. The new program, like the voluntary program, was based on national security requirements and was intended to insure a stable, healthy industry in the United States capable of exploring for and developing new hemisphere reserves. Proclamation 3290 of April 30, 1958, amended Proclamation 3279 by exempting Canadian and Mexican crude oil from mandatory restriction. For the text of Proclamation 3279, see 24 Foreign Relations 1781; and for Proclamation 3290, see 24 Foreign Relations 3527.

**VE-22. Memorandum of a Conversation, Caracas, Venezuela,
March 10, 1959¹**

Caracas, March 10, 1959.

PARTICIPANTS

President Rómulo Betancourt
Ambassador Edward J. Sparks
Minister-Counselor Charles R. Burrows
Economic Counselor Harlan P. Bramble

The conversation with the President began with the usual kind of light chit-chat. The President remarked, in response to the Ambassador's comments concerning redecoration in his office, that he wanted to change some of the portraits on the walls. He said he would prefer to have portraits of some civilians, in addition to the military portraits which are there now, but he can't forget that the only civilian President Venezuela has had was overthrown.² The President proceeded from here to a brief mention of how, since his days of exile, he always sits in a public place with his back to the wall and facing the door. He mentioned in this connection an assassination attempt against him in Havana in 1952.

Ambassador Sparks introduced the subject of the Bolívar statue dedication and commented that he thought the ceremony had gone off very well indeed. He then handed President Betancourt a letter from President Eisenhower expressing the President's appreciation for the medal which Betancourt had sent to him by Dr. Uslar Pietri. President Betancourt referred to President Eisenhower's speech and expressed great satisfaction with its content.³ He asked if we had received the text of this speech here and said that he would like to have a copy of it. He asked that it be sent to him through the Foreign Office. Ambassador Sparks said that this would be done and said that as a matter of fact the full text of the speech had been given to all of the Caracas newspapers but that it was carried only in excerpt t by those papers. President Betancourt suggested that the Embassy develop closer relations with

¹Source: Department of State, Central Files, 731.11/3-1159. Confidential. Drafted by Burrows. Information on the source text indicates that this conversation took place at a luncheon. The memorandum was transmitted to the Department of State under cover of despatch 775 from Caracas, March 11, 1950, which noted that the enclosed memorandum was "somewhat in the nature of a basic document to which reference will be made by the Embassy on various occasions in the future."

²Reference is to Romulo Gallegos, President of Venezuela, 1948.

³For text of the dedicatory speech, see Department of State *Bulletin*, March 16, 1959, p. 373.

the publishers of the various papers and expressed his opinion that if material of this kind were handed personally to the publishers, he felt sure that the newspapers would carry it. He mentioned specifically Miguel Angel Capriles⁴ in this connection. He also mentioned EL UNIVERSAL as being a newspaper which he believed would be receptive to this kind of approach.

Speaking of the newspapers apparently reminded him of the front page story carried by LA RELIGION today concerning the imminent arrival in Venezuela of ex-President Arévalo of Guatemala. He went to his desk to get this newspaper and indicated his surprise that LA RELIGION, of all papers, would carry such a complete story on Arévalo's visit. Proceeding from this, President Betancourt opened up the entire field, of discussion concerning Arévalo's trip to Venezuela. The President said that Arévalo will not be here in any kind of official capacity, but that he has rather been invited to Venezuela by the Central University to deliver "some lectures". Betancourt will see Arévalo privately he said, and perhaps entertain him in his home but he will extend no official honors to Arévalo and will not receive him at the Palace. The President expressed an opinion to the effect that he sees no reason why Arévalo should not come to Venezuela—that he is not a Communist although he is used by the Communists. President Betancourt expects there will be increasing activity on the part of Venezuelan Communists but he feels that this situation can be handled and that he will soon be able to bring it under control. In later conversation on the same subject, during lunch, Ambassador Sparks observed again that Arévalo is bitterly anti-American and that he is a disturbing element for the Americas in general, but particularly in the Caribbean area. Ambassador Sparks in this connection referred to Arévalo's visit to Bolivia in 1953 and to a three-hour speech which he delivered in La Paz in which he included innumerable false statements about the United States designed to spread sharply anti-American feeling. Betancourt said that he intends to talk to Arévalo when he arrives, to explain clearly the situation in Venezuela, to warn him that the ambiente here is not conducive to anti-American propaganda, that the Venezuelan Government position is definitely anti-Communist, and so on. Betancourt will make clear to Arévalo that he should restrain his activities in Venezuela or that he will not be able to remain here. President Betancourt in this connection said that Arévalo only has a three-month visa. He admitted that he is a friend of Arévalo but not an intimate one; it was clear from the conversation that they are on first name terms. Betancourt explained Arévalo's anti-Americanism by saying that Arévalo "discovered" anti-imperialism very late in life,

⁴ Proprietor and editor of the Caracas newspapers, *La Esfera*, *El Mundo*, and *Ultimas Noticias*.

just a few years ago. As Betancourt said, others like himself “discover” anti-imperialism at an early age and then grow away from it. In reply to Ambassador Sparks’ observation that Arévalo had a great deal to do with Arbenz’ accession to the Presidency of Guatemala, Betancourt expressed his doubt that this was true. He referred to a conversation he had with Arévalo in 1953 in Chile at which time Arévalo made clear his lack of admiration for Arbenz.

As a further development of the early conversation on United States Embassy relations with the Venezuelan press, President Betancourt devoted considerable attention to the importance of United States and Venezuela pursuing vigorously a closer cultural and exchange program. He spoke specifically of the contribution which could be made to United States-Venezuelan relations by increased travel on the part of students, professors, labor leaders, etc. He suggested that groups of U.S. students and labor leaders visit Venezuela, with their Venezuelan counterparts visiting the United States. He said that if the United States would sponsor the visits of such groups to the extent of paying their transportation, Venezuela would cooperate by declaring them guests of the nation and handling their maintenance expenses while they are in Venezuela. He suggested that perhaps the same thing could be done with reference to Venezuelan students and labor leaders who might visit the United States. Turning to his suggestion that American professors come to Venezuela to visit the University, Betancourt said he has many professor-friends in California, Arizona, New Mexico, Texas and Columbia University who speak Spanish and who know Latin America and who could perform a fine service during brief visits to Venezuela. In this connection he mentioned specifically Ronald Hilton in Stanford University.⁵ He said “don’t be afraid” with reference to both students’ visits and workers’ visits to Venezuela—making clear that he had in mind the experience of Vice President Nixon last year. He said that U.S. students could visit the University here with no trouble and could have a very good effect on the situation here. He said he would see that any workers who came were taken to the Casa Sindical and that here again any contact they had with Venezuelans could be very productive.

President Betancourt suggested that the Embassy explore the possibility of organizing some kind of a cultural exchange committee of younger pro-American professional people, with the emphasis on middle class rather than wealthy good families, to be composed in large part of doctors, lawyers and businessmen who may have studied in the United States and who are friendly to the United States. He said there are many of these people, and he mentioned Dr. Marcel Roche⁶

⁵ Professor of Romance Languages and Director of Hispanic-American Studies.

⁶ An atomic scientist.

as an example, who with some organization would be able to make a real contribution to United States-Venezuelan relations. He suggested that this group for example might be able to help select and find professors in the United States or other public figures who might come to Venezuela on visits for study or speaking purposes. The President said that he would speak to the Minister of Education⁷ about this and suggest that he work with the Embassy on the idea. Betancourt said that it would be more productive to develop a program of this kind with the Minister of Education rather than attempt to do it with the University authorities.

With reference to petroleum restrictions the President made it clear that he was informed but not excited about the obligatory program. He recognized the cutbacks in production which have taken place in the United States and he recognized also the importance of explaining correctly to the Venezuelan people what the true situation of the petroleum market is. He spoke of the extreme importance to Venezuela of having a stable market for petroleum and of not having to experience a sharp drop in price. At the same time he said of course it is essential for Venezuela that its overall income from petroleum not be sharply reduced. There was at no time a suggestion that Venezuela would protest the mandatory program but the President obviously trusts that the United States will administer the program in such a way as to avoid any unnecessary hardship on Venezuela. He said that he will work with the Minister of Mines to accomplish a good understanding by the Venezuelan people of this situation and he also said that he will tell the Minister to draft a note for delivery to the United States containing Venezuelan reaction and ideas concerning the restriction program.⁸ President Betancourt said that his Government has no intention of confusing the trade agreement negotiations with the oil restrictions; he said that in his opinion these are two entirely different things.

President Betancourt spoke of the problem of military expenditures and said that he is anxious to accomplish a number of things for the Armed Forces that will represent an expenditure additional to the regular budget. He made clear that what he has in mind is not an expenditure to improve the lot of the officers, and he made reference to the *Circulo Militar* when he said that the Venezuelan people already think that the military fare very well, but that he would like to improve some of the barracks for the soldiers, to move a transport unit now located

⁷ Rafael Pizani.

⁸ The Venezuelan Government did not vigorously protest the mandatory restrictions program. However, in a memorandum dated April 24, 1959, the Government of Venezuela did protest to the U.S. Government about the proposed modifications of the mandatory imports program which would exempt Canadian and Mexican petroleum imports. (ARA Files, Lot 61 D 318, "Oil-U.S. Legislation")

in Caracas outside the city and so on. He estimates that the things he has in mind might cost 10 million dollars. In order to accomplish these expenditures without increasing the budget he hopes that it may be possible to acquire some of the normal materiel by means other than by direct purchase at full price, as under the Credit Arrangement with the United States for example, If he can arrange this normal acquisition at a lesser price he perhaps will be able to use the money thus saved for these other improvements which he has in mind. The President said that his military officers have told him that other Latin American countries, specifically Colombia and Brazil, are able to make purchases of materiel in the United States on the basis of more or less token payments. He is not familiar with the arrangements these countries may have with the United States but he made clear that he is interested in learning more about those arrangements. He explained that he is not complaining at all and that he realizes the Perez Jimenez Government made much of its alleged ability to pay cash for all of its extravagant purchases. The situation is quite different now and his Government is prepared to admit its problems; he hopes that the United States may be able to help him in some of the solutions.

With reference to other governmental programs, he spoke of his plans for public beaches on the Litoral, of a public park in the east of the city and another on the site of the old hipodromo (with baseball fields, basketball courts and other facilities), of moving people from the ranchitos in Caracas back to the countryside and helping them to set up in small scale agricultural endeavors. With specific reference to this last point, President Betancourt said that 3,000 families have already indicated their willingness to move from Caracas back to the country.

The Foreign Minister had spoken to President Betancourt about the Jerusalem vs. Tel Aviv conflict for the location of diplomatic missions in Israel. The President showed knowledge of this situation and of the United Nations resolutions on the subject and indicated that Venezuela's decision will probably be in favor of Tel Aviv. He suggested that the previous decision to locate the Venezuelan Legation in Jerusalem had been made by the former Foreign Minister who had perhaps been influenced in that decision by the fact that he is Jewish.

President Betancourt made a strong statement in support of locating the new Inter-American Bank in Caracas. He said that this would be an opportunity to lessen the North Americanization of inter-American institutions and said that he thought it would be an excellent idea from the point of view of the United States as well as Latin America for this bank not to be located in Washington or New York. He said he felt that

Caracas was a reasonable compromise as a location for the bank and he hopes very much that this will be the final decision.

President Betancourt referred briefly to the Dominican Republic and Venezuela's problems with Trujillo, stating very definitely that Venezuela will present the problem of the Dominican Republic for consideration in the OAS within the next few weeks.

With reference to Puerto Rico and his friend, Mufioz-Marin, President Betancourt said that the Governor will be coming to Caracas for a visit in about six weeks. Betancourt said that he intends to meet the Governor on his arrival in Maiquetia and that Muñoz-Marin will be his personal guest in his home during his visit to Caracas.⁹

⁹ At the request of Assistant Secretary Rubottom, the Deputy Assistant Secretary of State for Inter-American Affairs, William P. Snow, excerpted some of the statements recorded in this memorandum and sent them to the Acting Secretary of State. (Memorandum from Snow to Herter, March 18, 1959, ARA Files, Lot 61 D 319, Oil Imports Program.)

**VE-23. Memorandum from the Assistant Secretary of State
for Inter-American Affairs (Rubottom) to the Acting
Secretary of State¹**

Washington, March 27, 1958.

SUBJECT

Expulsion from U.S. of Pérez Jiménez and Family

The action of the Immigration and Naturalization Service in ordering Venezuelan ex-President Pérez Jiménez and family to leave the United States by April 15 already having been taken and publicly announced, this Department should acquiesce in that decision. In my opinion, however, it is unfortunate that we were not consulted in advance in order to bring into the purview of discussion certain political and other considerations which I will briefly allude to below. We should recognize that much pressure has been exerted on the Department of Justice to expel Pérez Jiménez by (1) liberal organizations and the press, (2) members of Congress, and (3) in all likelihood Vice President Nixon.

¹ Source: Department of State, Central Files, 731.00/3-2759. Confidential.

From the standpoint of our relations with Latin America, including Venezuela itself, the Pérez Jiménez problem was no longer serious. We had stood on our long time principle, plus the added factor of his having entered the U.S. on a Venezuelan passport issued by the Junta Government and with a visa requested by that Government, and this seemed to have been widely recognized. In Venezuela itself, everybody knew that President Betancourt had resided in the United States and Puerto Rico for many years *in spite of* repeated demands by Pérez Jiménez that he be expelled.

It is particularly unfortunate to have the Pérez Jiménez issue headlined again on the eve of Castro's probable visit to the U.S., and while we are considering cases of many former Cuban officials in the Batista administration, some of which are real hardship cases. Decision regarding these cases will now be more difficult.

There remains the basic problem of the failure of the Department of Justice (Immigration and Naturalization Service) to consult with us on a highly charged case which directly involves our relations with all of Latin America and especially Venezuela where U.S. Investment is the highest in the world except for Canada.

I recommend that you call Attorney General Rogers at once to advise him of our concern over the way this case was handled and that Messrs. Murphy, Hanes and I be authorized to take immediate steps in concert with the Justice Department to prevent a recurrence.²

² Herter's handwritten notation at the bottom of the page reads: "Done—6:30 p.m. 3/27/59 C.A.H."

VE-24. Telegram from the Ambassador in Venezuela (Sparks) to the Department of State¹

Washington, March 30, 1959, 7 p.m.

566. Saturday papers front paged INS stories order that Perez Jimenez and family leave U.S. by April 15, possibility appeal noted but general impression is Perez Jimenez will depart. UP and 'AP reported State Department supports INS order and that his expulsion is in U.S. interests.

¹ Source: Department of State, Central Files, 731.00/3-3059. Official Use Only.

Editorial and cartoon comment hall move EL NACIONAL comments “if they really expel Perez Jimenez, welcome Mr. Nixon” EL INDEPENDIENTE editorial welcomes change of policy of support toward Perez Jimenez and other dictators although considering it overdue follow up stories report Perez Jimenez planning go Spain or Dominican Republic.

Sparks

**VE-25. Memorandum of a Conversation, Caracas, Venezuela,
March 31, 1959¹**

Caracas, March 31, 1959.

PARTICIPANTS

President Rómulo Betancourt
Minister of Mines Juan Pablo Pérez Alfonso

Mr. Thomas C. Mann, Asst. Secretary of State for Economic Affairs
Ambassador Edward J. Sparks
Minister-Counselor Charles R. Burrows
Economic Counselor Harlan P. Bramble

The conversation took place at a luncheon at Miraflores which President Betancourt offered for Mr. Mann.²

Mr. Mann spoke to the President of the reports which have reached Washington concerning the auspicious beginning of the President's term of office. President Betancourt expressed his appreciation to Mr. Mann for these thoughts, indicating his obvious satisfaction and belief that his five-year term will be a constructive one. The President spoke of the problems which Venezuela faces and of the demanding work which is required of him. He gave particular emphasis here to the problem of unemployment and said that the total number of unemployed in the country is some 250,000. He spoke of his plans to attack the unemployment problem and to improve the basic economic position of the country. Mr. Mann spoke of the importance of small industry to a country like Venezuela and the President agreed, saying that this

¹ Source: Department of State, Central Files, 731.11/4–359. Confidential. Drafted by Burrows, and sent to the Department of State under cover of despatch 867 from Caracas, April 3, 1959.

² Mann arrived in Caracas the evening of March 30, 1959, for consultations regarding the U.S. oil imports system.

was an integral part of his plans. President Betancourt, expanding on this idea of small industry, gave particular attention to the resuscitation in Venezuela of handicraft industries and spoke of the desirability of decentralizing industries of this or any other and throughout the country and away from Caracas. The President spoke also of his plans for agrarian reform, irrigation, and low-cost housing. He referred again as he had in an earlier conversation (on March 10) to the Government's program directed toward facilitating and encouraging the return of many of the ranchito dwellers in the various centers of population to agricultural areas. The President spoke of the necessity for local financing, particularly in the field of housing, and of his desire to broaden the base of this financing by instituting a system of popular investment in government housing bonds. In terms of a basic source for such investments, the President spoke particularly of the higher paid workers of the country, specifically in the oil industry but also in certain other fields, and of the necessity of encouraging these workers to save their money and to make it available through investments of this kind for the development of the country. He said he is thinking seriously of a plan under which up to 50% of year-end utilidades in the petroleum and other industries would be invested by the workers in Government bond issues for low-cost housing.

The President throughout the conversation demonstrated full confidence and conviction that he would be able to carry through his program with complete success. He recognized the activities of the Communists but expressed his opinion that by 1964, the next election, the Communists will be able to account for no more than 60,000 votes. The President, and Minister Pérez Alfonso (who arrived some five minutes late) spoke with obvious preoccupation of the various labor disputes and strikes with which they have had to deal in the last two or three weeks. The President said that it has taken a great deal of his time since he has had to deal personally with all of them. He spoke particularly of the illegal LAV pilots' strike and the hunger strike of the imprisoned military officers. Pérez Alfonso mentioned and then the President discussed a bit further the Orinoco Mining Comp any strike. The reaction of the President and Pérez Alfonso seemed to be that the company has been inclined to be overly legalistic in its dealings with the workers. There was no protracted discussion of this subject however, except that the President's preoccupation was obvious, as was his apparent determination to endeavor to contribute to a solution of the strike.

The President made a very quick reference to the news from the United States concerning the decision of the Immigration and Naturalization Service respecting the continued stay in the United States of Pérez Jiménez; in this connection he referred smilingly to LA ESFERA's editorial of this morning (this editorial suggested that now

was the time for the Venezuelan Foreign Office to press, as it should have done before this, for the extradition of Pérez Jiménez). There was no further discussion of this.

The President then turned to Mr. Mann to ask him what “good news” he brought from Washington. Mr. Mann described his detailed conversation that morning with the Minister of Mines³ and said that he felt there had been a thorough discussion of the petroleum situation. Mr. Mann emphasized to President Betancourt his belief that it is extremely important for the President and the Minister to have immediate conversations with representatives of the petroleum industry in order to dissipate what Mr. Mann fears is a growing misunderstanding and fear on the part of the industry of the Government’s plans. President Betancourt seemed obviously taken aback at the suggestion of industry fears and agreed that such conversations would be undertaken forth-with. Mr. Mann suggested perhaps such conversations might begin with a person like Mr. Proudfit of Creole, in whom he believed the President and the Minister had full confidence, and who Mr. Mann considers to be a fair representative of the industry as a whole. In agreement with the President’s expressed position on this, Pérez Alfonso said that he would begin tomorrow conversations with Mr. Proudfit which would later be expanded to include the entire industry. With reference to U.S. restrictions on petroleum imports, the President suggested that the petroleum companies seem to have followed the position of the Communists more than they have that of the United States or Venezuelan Governments. He said that the U.S. Government feels that restrictions are necessary and that the Venezuelan Government has not protested this decision. On the other hand the Communists have protested as have also the petroleum companies.

At this point the President made reference to nationalistic pressures in Venezuela and suggested that the Government would be organizing soon a national governmental petroleum company. Mr. Mann expressed the hope that this operation would not be a cause of further misunderstanding on the part of the industry in Venezuela and that the company would not engage in competitive activities. The President said that was not all his idea and explained that at a time like this when nationalistic pressures have to be answered, it is better for the government to take a small step to deflect the pressure rather than to hesitate and be forced into a much bigger step later on. He said that one of the main purposes of the company would be to provide opportunity for the training of Venezuelan technicians, who Pérez Alfonso said are in extremely short supply. The Minister said for example that

³ A memorandum of their conversations dated March 31, 1959, is contained in ARA Files, Lot 61 D 319, “Oil Imports Program.”

it is very difficult for his Ministry to find qualified people to fill necessary positions.

Ambassador Sparks opened the subject of recent developments in the Caribbean and the President's reaction to them. Mr. Mann described how the initial favorable and enthusiastic public reaction in the United States toward the successful outcome of the Cuban revolution is now being tempered by second thoughts as developments in Cuba and continuing unfriendly and extreme statements by Castro are being observed. Pérez Alfonso expressed his understanding of the immediate reaction in Cuba to the sudden release from the Batista dictatorship but he showed concern at the continuing lack of discipline there and the failure to return to normalcy. President Betancourt made clear that he retains his basic sympathy for the new Government in Cuba, although being disturbed by present developments, and that he intends to do everything he can to advise Castro and to help in bringing some reason back into the situation. Betancourt said that Castro is a very young man, that he has a great deal to learn, and that he is very naive. The President spoke of Castro's attempt to obtain from Venezuela, when he spoke to Betancourt here in January, a loan of \$300,000,000. He said also that Castro had suggested that Venezuela might sell petroleum to Cuba at a reduced price, in answer to which Betancourt said that he had suggested to Castro that presumably, Cuba would likewise be prepared to sell its sugar to Venezuela at a discount. The President said that a Cuban commercial mission is expected to arrive soon in Caracas and he indicated his intention to receive it sympathetically although he expects the mission will have far too much optimism in regard to Venezuela's capabilities in this field. Betancourt's attitude was more one of sadness and sympathy than anything else. In answer to Ambassador Sparks' reference to the experience of Figueres in Habana, President Betancourt said he believed that any monetary misunderstanding with Castro had been cleared up before Figueres left. In connection with Betancourt's references to Figueres, he took the opportunity to recall (as he has done previously) the fact that Figueres did not receive an invitation for a State Visit to the United States while he was President of Costa Rica.

With regard to the Dominican situation, President Betancourt described Venezuela's attitude as one of forbearance and resistance to a break in relations. This has been true despite continued needling by Trujillo, such as declaring the Venezuelan Charge "*persona non grata*," unbridled newspaper and radio attacks on Venezuela and on Betancourt, the departure from Caracas and return to Ciudad Trujillo of the Dominican Ambassador and so on. Betancourt does not plan to break relations nor to take any other direct action but he definitely expects to

introduce at the Quito Conference in 1960⁴ a resolution under which membership in the OAS would be made dependent upon the presence in each country of a democratically elected government - perhaps even with the election having been supervised by the OAS. There followed some general discussion as to the United States' position concerning intervention and Betancourt expounded his ideas on multilateral vs. unilateral action. He feels that if the United States were to take part in a multilateral action or position with reference to dictatorships, this would be generally accepted and applauded by the great majority of Latin American nations. The only ones which would criticize would be those very few countries which do not now enjoy democratic regimes. Mr. Mann indirectly questioned this by a reference to the long-standing position of Mexico, for example, on the subject of intervention, but President Betancourt expressed the belief that Mexico would go along with a multilateral approach. President Betancourt said that as far as he himself is concerned he definitely plans to have an OAS team present in Venezuela for the 1964 election. He said that the one real imminent danger for Trujillo is that the barbados from Cuba will take things into their own hands and mount an invasion of the Dominican Republic.

President Betancourt then entered into a discussion of the great desirability of doing everything possible to strengthen the OAS, particularly by decentralization of some of its functions outside of Washington. He mentioned the Inter-American Juridical Council in Rio de Janeiro as being the only OAS Agency not located in Washington and then repeated the Venezuelan arguments for the establishment of the new Inter-American Bank in Caracas. Mr. Mann reviewed the entire background of this question from the U.S. point of view and described the basis on which the U.S. position has been adopted favoring the location of the Bank in Washington or New York. President Betancourt was obviously not impressed by these arguments and Mr. Mann asked him if this were a highly important issue to him. The President responded by saying that it is a highly important question to the future welfare of the OAS more than it is of importance to him personally or to Venezuela. Mr. Mann said that he would discuss the matter again in Washington, presenting the President's points of views, although he said he feared that he could offer little hope of success.

Ambassador Sparks raised the question of Pan American Airways' problem of jet flights to and through Venezuela and the company's hope that the air base at Palo Negro might be used for its Asunción run until the runway at Maiquetia may be lengthened. The Ambassador

⁴ Reference is to the Eleventh Inter-American Conference which was scheduled to meet in Quito in February 1960, but which was delayed at the request of the Ecuadorean government until early 1961 and then postponed indefinitely.

explained that a total of some 12 or 13 landings (one a week south-bound) is probably all that would be necessary since the strip at Maiquetia should be finished within the next three or four months, Betancourt was fully briefed on this matter and as we were leaving his office he read an order to the effect that the work on the runway at Maiquetia be undertaken and completed as quickly as possible.

In reply to Ambassador Sparks' question concerning the recently expressed position of the AD youth concerning Figueres, Mufioz-Marin, Romauldi, and so on, the President said this small wing of the party is completely a dissident one, of very small consequence, and that its members will be expelled from the party. He said that his invitation to Mufioz-Marin to visit Venezuela still stands, and he expects there will be no trouble when he comes, but the President also made clear that there is at the moment no definite date for the visit. The inference was that the President would await developments before issuing a definite invitation.

The President in an aside to Ambassador Sparks at the luncheon table referred to the previous conversation on March 10 and recalled to the Ambassador how he had said Venezuela would establish its Legation in Tel Aviv rather than Jerusalem which had been done.

VE-26. Telegram from the Acting Secretary of State to the Embassy in Venezuela¹

Washington, April 3, 1959, 8:27 p.m.

645. Re recent discussions oil problem with Perez Alfonso, we have questioned Canadian Emb in detail regarding time factor. After consulting with Ottawa Emb has informed us:

1) Canadian Prime Minister² has already publicly announced that Govt will move quickly to establish national energy board.

2) Govt will propose resolution which will give Govt authority to control imports and exports of oil and gas.

3) This proposed resolution will be debated approximately April 20.

¹ Source: Department of State, Central Files, 831.112/4-359. Confidential. Drafted by Mann.

² John G. Diefenbaker.

4) Debate will increase pressure on Govt to take positive action including action on Montreal pipeline.

Inform Perez Alfonso as promptly as possible of foregoing and state that Dept has no repeat no doubt that Canadian Govt rapidly approaching position where it must commit itself to a course of action which could be very prejudicial to Venezuela.³

Dept giving this matter further attention. Separate telegram to Emb will be sent early next week.⁴

“Department seeking authority inform Canadian Government in confidence within next few days that crude oil, unfinished oils and finished products imported by pipeline will be exempted from restrictions imposed by mandatory oil import program effective May 1. Purpose proposed exemption to forestall or minimize adoption by Canada of more nationalistic oil policies lessen Canadian criticism of our oil policies and reduce friction between Canada and U.S. over this issue which threatens impair our joint defense arrangements.” It added, “Exemption for oil imported by pipeline not expected lead to important increase imports and therefore it is not believed either domestic or other foreign suppliers will suffer any substantial injury.” (831.112/4–1759)

³ The Ambassador did so on April 7, 1959. (831.112/4–759)

⁴ The Department’s telegram 688, April 17, 1959, stated, in part:

VE-27. Despatch from the Ambassador in Lebanon (McClintock) to the Department of State¹

Beirut, April 3, 1959.

No. 576.

SUBJECT

Publication in Arabic of the Recently Enacted Income Tax Law in Venezuela

In an effort to win friends and influence people, Mr. Bernardo FLORES, Venezuelan Minister to Lebanon, has announced the publication in Arabic of the new “Income Tax Law”, which has had such a serious effect on the foreign oil companies doing business in Venezuela.

¹ Source: Department of State, Central Files, 831.112/4–359. Unclassified.

There follows a translation from the original French of the article which appeared in the afternoon daily "*Le Soir*" of March 17, 1959, announcing that an Arabic text was now available.

LAW AN INCOME TAX IN VENEZUELA JUST
PUBLISHED IN ARABIC LANGUAGE

In its Arabic publication series of economic laws in Venezuela, the Legation of this country in Beirut, headed by H.E. Mr. Bernardo Flores, Minister Plenipotentiary, has just published the new "Income Tax Law" promulgated lately by the President of the Republic of Venezuela, Mr. Romulo Betancourt, who was the first precursor of the economic rule of "fifty-fifty" (50%-50%) on the Venezuela oil revenues.

In his preface, written especially for the Arabic edition, Mr. Flores writes: "Venezuela, which considers the Arab Nation as a sister country to which many bonds attach it socially and humanely, hopes that the present translation will be of use to the Arab states, and that it will lead to an understanding of the juridical-economic measures adopted in Venezuela, as well as to their excellent results."

**VE-28. Memorandum of a Conversation, Caracas, Venezuela,
April 27, 1959¹**

Caracas, April 27, 1959.

PARTICIPANTS

President Rómulo Betancourt
Ambassador Edward J. Sparks
Minister-Counselor Charles R. Burrows

Ambassador Sparks told the President that he had brought Mr. Burrows along as he was going to be absent next week in Chile to attend the Chiefs of Mission Conference and he felt Mr. Burrows should be completely informed on the subjects of today's conversation. President Betancourt expressed his understanding.

The President was 15 minutes late for the appointment, which had been arranged at Ambassador Sparks' request, and it became obvious immediately that the reason for his delay had been a telephone call

¹ Source: Department of State, Central Files, 731.11/4-2859. Confidential. Drafted by Burrows and transmitted to the Department under cover of despatch 957 from Caracas, April 28, 1959.

from Ambassador Falcon Briceño in Washington. Before Ambassador Sparks had an opportunity to indicate the purpose of his visit, the President said that he was concerned and worried by a report which he had received with reference to a decision by the United States to exempt Canada from the petroleum import control restrictions. He said that Falcon Briceño had told him that a draft letter has been prepared in Washington for President Eisenhower to send Betancourt simultaneously with the announcement of the exemption, explaining the reasons for the action and making clear that conversations would continue in an effort to find a satisfactory hemispheric solution to the general problem.² Ambassador Sparks said that this had been one of the reasons he had asked for an audience, and then explained the detailed reasoning behind the exemption for Canada. The Ambassador placed primary stress on the integrated defense position of the United States and Canada, and on the impossibility of satisfying Canada that she should be subject to petroleum import restrictions at the same time that our security plans are so completely and indistinguishably intertwined. Ambassador Sparks also gave particular attention to the thesis that in taking this step the United States is actually protecting Venezuela's market for petroleum in Canada, since we will hope that as a result pressure will be lessened in the Canadian Parliament to authorize the construction of a pipeline from Alberta to Montreal thus excluding imports of Venezuelan petroleum. President Betancourt accepted the logic of these explanations and also said he appreciated the fact that Venezuela's sales of petroleum in the United States will probably not suffer much because of the exemption for Canada, but he said that this action puts him in a very difficult position public opinion-wise. As long as the dictatorship was in power, Venezuela had protested the imposition of import controls by the United States, had encouraged delegations like that of the American Chamber of Commerce to go to the United States in protest, and had even threatened retaliation in the form of iron ore export controls. In contrast, Betancourt has not protested the obligatory import control system but on the other hand has adopted a very

² There were two drafts of the letter. One prepared by Carl Bartch, dated April 24, 1959, which was not sent, and the draft, dated April 27, 1959, prepared by Craig M. Stark of the Bureau of Economic Affairs, which ultimately was used. (ARA Files, Lot 61 D 319, "Petroleum Policy.")

The version which was finally sent, dated April 28, 1958 for delivery April 29, was transmitted to the Embassy in telegram 724. It stated that the forthcoming amendment to the mandatory program would, "improve the operation of the program and serve the interests of the Western Hemisphere. While the relatively small amount of Canadian oil sold in the North Central and Northwestern part of the United States does not compete with Venezuelan oil, this amendment will, we hope, reduce the serious risk of a permanent loss to Venezuela of its Montreal market. (831.2553/4-2959)

understanding position. At the same time Canada made public its protestations and now Canada is being granted an exemption from the controls. This, says the President, will make him look to his people as being entirely too weak or even cowardly to protect his country's best interests. Ambassador Sparks expressed understanding of the President's problem and asked him if he had any suggestions as to how the matter might best be presented to the Venezuelan public. The President said that he has a radio-television address scheduled for the night of April 30 and he hopes he may be able at that time to tell the Venezuelan people of the Canadian exemption and that he has received assurances from the United States Government that there will be no untoward effect on importations into the United States of Venezuelan petroleum. The Ambassador said he would report immediately to the Department the President's thoughts on this matter. The President was not bitter in his conversation but he was obviously very concerned.

The President then discussed somewhat the Venezuelan economic situation and said that he feels confident about it. He said that a group of Venezuelan banks have assured the Government that they can handle an internal credit of 500,000,000 Bolivares. He recognized also that there will have to be some foreign loans but the President said that he is thinking of this in terms of an Export-Import Bank loan for electrification development, and also an overall IBRD loan based on fundamental economic studies of what the country needs in the way of really basic development. He said that the Government's employment program is going along quite well and that the excitement over unemployment is very much reduced. He pointed out, for example, that the threatened unemployment demonstration a few days ago was never held.

President Betancourt said that in the Government's budget planning he is thinking in terms of an operating Budget and a Public Works Budget. He is anxious also to do a few things for the Armed Forces and he repeated what he had said on a previous occasion about the deplorable conditions in many of the barracks. He wants to take corrective action but this work will not fit into his budget unless he can somehow economize on other expenditures. The President said that expenditures for military materiel will total Bs. 45,000, 000 next year unless arrangements can be made to make token payments" to the United States as he understands Uruguay and Brazil do. The Ambassador recalled that the President had spoken of this before but had not set forth his ideas in any detail. The President said he would send the Ambassador a memorandum on this subject and he hoped something could be done about it.

The President talked also about Communism in Venezuela and although he recognized quite readily that the Communists are active, and that they infiltrated very successfully during the Provisional Government regime, he said that steps have been taken and will be continued to keep them under control. He pointed out that there are no Communists at high levels in the Government, that the Communist Party has not been included in any political conferences sponsored by the Government and that they themselves have been protesting their exclusion. He recognized that in the University the Communists are active and dangerous but said (very confidentially) that plans are being made now to have another person elected Rector in July of this year who will take a much stronger stand against the Communists than has the present Rector. The President expressed satisfaction with the change in the newspaper field and pointed out that the *Capriles* publications are now carrying anti-Communist articles. He said that the Communist Youth Conference which has been discussed will not be held in Caracas; he has issued instructions that no visas be given to any prospective delegates. He said also however that he has issued instructions that the so-called Anti-Communist Conference under the leadership of Prieto Laurens not be permitted to be held. Betancourt has known Prieto Laurens for many years and he considers him an adventurer who has seized upon the anti-Communism banner for his own self-serving purposes. He recalled that on one occasion when he was passing through Mexico, while he was in exile, Prieto Laurens said that he would bring Lombardo Toledano³ to the airport to see Betancourt. Toledano did not come to the airport. Betancourt's inference seemed to be that at the time Prieto Laurens was trying, unsuccessfully, to build himself up in Toledano's eyes.

Ambassador Sparks mentioned that he had heard rumors of a possible meeting here on May 1 of Latin American labor leaders interested in organizing a labor federation from which the United States and Canada would be excluded. The President indicated that he also had heard these reports, but he said nothing of this kind was going to happen here. He said the AD labor leaders have no intention of leaving CRIT.

Ambassador Sparks reviewed for President Betancourt the contents of Embtel 625 concerning the Venezuelan position on Trujillo

³ Vicente Lombardo Toledano, Mexican labor leader and unsuccessful popular party presidential candidate in 1952.

as described by the Foreign Minister,⁴ and Deptel 698 outlining the Department's reaction to the conversation with the Foreign Minister.⁵ President Betancourt made clear in no uncertain terms that the Foreign Minister had stated accurately the Venezuelan position with reference to Trujillo. The President also confirmed that if he did not react immediately to an attack on Venezuela by attacking Trujillo he would be overthrown by the Armed Forces. In reply to a question the President confirmed that Gonzalo Barrios is going to Washington within the very near future and that his mission will be not that of Permanent Representative to the OAS but the very special one of introducing into the OAS a suggestion for action against Trujillo. He also made it clear that what Venezuela has in mind is not just a general anti-dictatorship resolution but a very definitely pin-pointed anti-Trujillo position. The President said that Trujillo is the one threat to hemispheric peace and every country in the Hemisphere should realize this. The President said that he is being subjected to great pressure to break relations with the Dominican Republic but he has opposed this action. He hopes to handle Trujillo through the OAS. He also said he is not concerned over Somoza or Stroessner; Trujillo is the enemy. With Batista, Peron and many Perezjiministas in the Dominican Republic certainly Cuba, Venezuela and Colombia can never feel secure and he feels that even Argentina should be concerned. He confirmed that one of the missions of the Foreign Minister on his trip to Buenos Aires for the Meeting of the 21 will be to discuss this anti-Trujillo move in the OAS with the Argentine, Uruguayan and Brazilian Governments. The President said that Castro will certainly not restrain himself long from an all-out attack on Trujillo. Betancourt is convinced that unless Trujillo is made to leave by what he called "diplomatic means", there will be an international war in the Caribbean - between Cuba, and the Dominican Republic - within two months.

The President said that he would prepare and give Ambassador Sparks a copy of a memorandum outlining the basis for his accusations against Trujillo and for the Venezuelan position toward the

⁴ The referenced telegram, April 19, 1959, reported that the Foreign Minister stated that the Venezuelan Cabinet had reached the conclusion that the U.S. was supporting Trujillo and the Foreign Minister implied that if Trujillo attacked Venezuela, Venezuela would reciprocate. The telegram also reported that the Embassy denied emphatically the Cabinet's conclusion about the U.S. position, and stressed that the U.S. position was to support OAS and Inter-American treaty commitments on non-intervention and the rights and duties of American states. (713.00/4-1959)

⁵ The referenced telegram, April 20, 1959, reported that the Department was convinced there would be strong, unfavorable reaction throughout the American states if Venezuela launched an attack against another American republic without adequate evidence that the latter attacked Venezuela, and without at the same time taking the matter to the OAS. (738.00/4-1959)

Trujillo Government; the President suggested that Ambassador Sparks might take this memorandum along with him to Santiago to discuss it with Mr. Rubottom. One of the main complaints the President will include in this memorandum, it seemed apparent from the conversation, will be a detailed reference to the daily radio broadcasts from the Dominican Republic attacking Betancourt. Every morning at 6:30 a.m. the official Dominican Station carries a vitriolic diatribe, in insulting terms, against the Venezuelan Government and Betancourt personally. This program is monitored by the Venezuelan Armed Forces, the President says, and transcripts are furnished him immediately. The President said the Venezuelan Government radio never broadcasts propaganda of this nature. The President also said that he would suggest to Gonzalo Barrios that he talk to Mr. Burrows before he goes to Washington and explain to Mr. Burrows what he intends to do in the OAS.

The President then turned to the matter of anti-Betancourt and anti Venezuelan propaganda which has been “flooding” the country from the Dominican Republic. He referred specifically to the American ship SS NANCY LYKES which is being held in Puerto La Cruz and said that he is going to issue definite instructions that any ship or airplane coming to Venezuela from the Dominican Republic be subjected to a thorough inspection before any cargo or passengers can be discharged. The land of inspection he envisaged will result in costly delays, but he is satisfied that the only answer for the shipping lines or the airlines will be not to have any ships or planes attempt to enter Venezuela after having stopped in the Dominican Republic. Ambassador Sparks observed that this was a very strong measure to take and the President agreed that it was but he made quite clear that as far as he is concerned there is no alternative.

President Betancourt at this point also referred to the numerous bombs that are being found around the city. So far they have been found before explosion and he trusts the police will continue to be successful in this. He is satisfied they are being placed by Dominican agents; certainly he thinks no Venezuelan would be capable of manufacturing one. Venezuelans, he said, have had no experience as terrorists.

The President said that his military people advise him that members of the American military missions have been expressing to Venezuelan military officers their concern about the inroads of the Communists in Venezuela. The President made it very clear that he did not think these matters fell within the purview of the American military missions and that he did not consider that remarks of this kind made his job any easier. He said that he is not ingenuous about the position of the Communists and he repeated that appropriate attention is being paid them; he said further that the Armed Forces are solidly with and

behind him. Ambassador Sparks agreed that our military mission people should not engage in conversations of this kind and said that he would look into it.

The President, in speaking of his position with regard to the Communists and the Armed Forces, also said that reports concerning division among the three major parties are very much exaggerated. He said that, as a matter of fact, he was having lunch that day with leaders of the three parties in order to discuss important current problems.

At the end of the conversation Ambassador Sparks asked President Betancourt if the matter of PAA jet landings at Palo Negro pending the completion of the Maiquetia airstrip is a closed issue. The President said that the one experimental landing presents no problem, but the Armed Forces are very much opposed to continuing landings on a commercial basis until the airstrip at Maiquetia is finished and the President did not see how he could properly override this objection. The President said that in any case the work on the Maiquetia airstrip will be completed in October.

VE-29. Telegram from the Acting Secretary of State to the Embassy in Great Britain¹

Washington, April 28, 1959—9:13 pm.

Prior to his departure for Arab Petroleum Conference Venezuelan Minister of Mines Pérez Alfonso was requested by Department to stop in Washington for consultation on proposed exemption from U.S. import restrictions of crude oil and derivative products transported into this country by pipeline. Latest information indicates he is returning from conference via Athens, Belgrade, London and Washington, not arriving here until May 4. View his change of plans and imminence Canadian debate on national energy resources bill it not possible delay public announcement of exemption until Department has had opportunity consult with him as originally planned.

Embassy is therefore requested contact Pérez Alfonso as soon as he arrives in London later this week to inform him before April 30

¹ Source: Department of State, Central Files, 411.316/4-2859. Confidential. Drafted by Barth and approved by Snow; repeated for information to the U.S. Embassies in Canada and Venezuela.

if possible of action being taken and reasons such action essential in advance of agreement with Venezuela on possible broader hemisphere approach to oil import problem. Probable timing this action which amends President's Proclamation of March 10 to provide exemption for crude oil, unfinished oils and finished products imported by pipeline, motor carrier or rail is that it will be approved by President April 29 and announced April 30 to become effective on or after June 1, 1959. The proclamation President proposes to issue in effect provides for exemption from U.S. restrictions of Canadian crude oil and derivative products imported by overland transportation.

In discussing amended oil import program with Pérez Alfonso following major considerations should be emphasized:

1. Possibility that U.S. might have to take action along these lines has been subject informal conversations between U.S. and Venezuela for several months.

2. Although we had hoped through informal discussions with Canada and Venezuela to reach agreement on some form of hemisphere approach to oil import problem action concerning Canadian oil was necessary soonest because Canadian Parliament begins debate April 30 on national energy resources bill with broad policy-making and regulatory authority including control of imports and exports of oil and gas. Ultimately adoption of such policy probably would involve building uneconomic pipeline across Canada and imposing restrictions against foreign oil which now supplies Montreal refining area.

3. Since market for Venezuelan oil in eastern Canada is second in importance only to U.S. market we believe any action we can take that would tend preserve this market is in Venezuela's long-term interest as well as our own.

4. We do not expect exemption will result in important increase in imports of Canadian oil nor that it will cause any significant reduction in amount of oil imported from other supplying countries including Venezuela. Levels of imports established for allocation purposes shall not apply to crude oil and derivative products exempted from program and therefore no significant reduction is expected in allocations as result amendment. Allocations can be reduced under amended program only if President finds such action necessary to prevent total imports from attaining levels which seriously impair accomplishment purpose of program.

5. Canadian oil is high cost relative to that of other major producing countries and competes successfully only in Districts II and V neither of which is important market for Venezuelan oil. Present program announced March 10 already provides for what in effect is preferred

treatment for Canadian oil imported into District II. It is not expected that increase in Canadian oil imported into District V as result proposed exemption will substantially exceed present level. Nevertheless if contrary to our expectations any substantial displacement of Venezuelan oil should occur as result exemption U.S. is prepared consult with Venezuela and Canada to adjust situation.

6. We regard amended program as consistent with our joint interest in common with Canada and the other American Republics in defense and security of hemisphere. We therefore hope that Venezuela will not/repeat not consider our action as discriminatory but as necessary initial step toward possible broader hemisphere approach to problem.

7. We have Venezuela's interests very much in mind and will in future give full and sympathetic consideration to views of GOV. We are mindful of understanding and cooperation displayed by present GOV on oil imports problem in the past and hope that bilateral talks seeking broader solution may be resumed near future. FYI Perez Alfonso is close adviser to Venezuelan President on petroleum matters and is understood have President's complete confidence and support. In past he has shown sympathetic and cooperative attitude toward restrictions U.S. has imposed on oil imports. Present Venezuelan Government took the initiative in preparing Venezuelan public opinion for imposition March 10 of mandatory oil import program and President Betancourt apparently hopes do so in regard Canadian exemption from program. President and Minister of Mines have particularly emphasized interest in maintaining Venezuela's share of U.S. market and stabilizing oil prices at high level. They recognize that U.S. restrictions have contributed to market stability. Since action we are about to take applies only to Canadian oil it introduces new feature in U.S. oil import program to which GOV objects in principle on grounds it discriminates against Venezuela in favor Canada.

END FYI

Cable Department and repeat Caracas report conversation with Perez Alfonso.²

Dillon

² Pérez did not arrive in Great Britain until May 1, 1959, and because of his limited stay in London, the general purport of the message, as given in telegram 9575, was reported to him by Venezuelan Embassy officials. (033.3141/5-259)

**VE-30. Memorandum of a Conversation, Santiago, Chile,
August 18, 1959¹**

Santiago, August 18, 1959.

US/MC/11

SUBJECT

- 1) Former President Perez Jimenez;
- 2) Fidel Castro

PARTICIPANTS

United States
The Secretary
Mr. Rubottom

Venezuela
Foreign Minister ARGAYA Bivero
Ambassador FAIGON Bricano, Amb. To the U.S.
and the OAS

The Venezuela Foreign Minister, Dr. Arcaya, called on the Secretary by appointment today accompanied by the Ambassador to the United States Marcos Palcon-Briceno. The Foreign Minister expressed great appreciation for the Secretary's role at the Conference then said that he had an important message to deliver at the request of President Betancourt.

The President had either yesterday or today ordered the Venezuelan chargé in Washington to deliver a note to the Department of State requesting the extradition of former President Perez Jimenez and especially calling for his detention under the terms of Article 11 of the Extradition Treaty.² He said that Venezuela had been working towards this end for more than a year and that it was now empowered under its laws to make the request as a result of a decision by the Supreme Court. He stressed the "spectacular" effect which the detention of Perez Jimenez would have, although recognizing that he would be able to get a *habeas corpus* action releasing him on bond within a day or two. (The Foreign Minister explained that he had lived in the United States for five years and was a qualified attorney there.)

The Secretary said that the documents furnished by Venezuela in support of its request would have to be taken up through judicial channels in the United States, assuming that Perez Jimenez would invoke legal defense. The Foreign Minister recalled that the Vice President,

¹ Source: Department of State, PPS Files, Lot 67 D 548, "American Republics, 1957–1959." Confidential. Drafted by Rubottom. Information on the source text indicates that this conversation took place in the Hotel Carrere at 1.00 p.m. The Secretary was in Santiago to attend the Fifth Meeting of Consultation of Ministers of Foreign Affairs of American States, held August 12–18, 1959. For documentation on the meeting, see CH-23; CR-24; DR-11; VE-34.

² The referenced note is not printed. (731.00/8-2359)

while in Caracas last year, had, in response to a press question, indicated that the United States would grant a request for extradition if made by the Venezuelan Government. Mr. Rubottom recalled that the Vice President had actually said that the United States would give full consideration to any such request in accordance with the terms of the Extradition Treaty. The people of Venezuela would be unable to draw that fine a distinction, retorted the Foreign Minister.

The Secretary said that he wanted to direct the discussion toward Cuba, which probably looked on Venezuela as its closest friend among her Latin American neighbors. Castro seemed to be slipping rather badly and leading Cuba into difficulties, and he hoped that the Venezuelans would be able to have some influence on Castro whom he hoped to see sometime next month, possibly stopping off in Cuba en route to the meeting of the General Assembly. Mr. Rubottom described the deterioration of United States-Cuban relations and the futile efforts in which Castro seemed to be engaged in trying to separate the U.S. people from U.S. Government, an impossible task in the name of a democracy like the United States. Repeated attacks on the U.S. Government, with nothing substantial to back them up, had gradually alienated most United States public opinion and would redound to Cuba's great detriment in the long run. Castro had gained widespread public support in the United States, especially after his trip last spring, but this had been frittered away.

**VE-31. Memorandum of a Conversation, Department of State,
Washington, August 23, 1959¹**

Washington, August 23, 1959.

SUBJECT

Extradition of Pérez Jiménez

PARTICIPANTS

Minister Counselor Armando Rojas, Chargé d' Affaires of the Venezuelan Embassy
Mr. José Gil-Borges, Counselor, Venezuelan Embassy
Assistant Secretary R. R. Rubottom, Jr.
Mr. William T. Briggs, EST

Messrs. Rojas and Gil-Borges called on Sunday, August 23, at 3:30 p.m. at Mr. Rubottom's office to present a note requesting the

¹ Source: Department of State, Central Files, 731.00/8-2359. Confidential. Drafted by Briggs.

provisional arrest of General (retired) Marcos Pérez Jiménez,² in view of the formal request for extradition of General Pérez Jiménez which the Venezuelan Government was preparing and planned to present on August 24 or 25. Minister Rojas said that his Government had asked him to present this note immediately and that he had desired to make the presentation to Mr. Rubottom personally in order to ensure that his Government's request would receive prompt consideration with a view to eliminating the possibility that Pérez Jiménez might leave the United States before extradition proceedings could get under way.

Mr. Rubottom replied that the Department had been informed by Embassy Caracas that a request for extradition by the Venezuelan Government was imminent and that Embassy Caracas had already authenticated the documents connected with this request. Consequently, and also in view of Minister Rojas' earlier telephone call requesting the appointment, the Department's Legal Advisers had already been looking into the matter and if Messrs. Rojas and Gil-Borges could wait, an answer to their note could be drafted and given them within the hour. Minister Rojas said that he and his colleague would wait.

Mr. Rubottom then instructed Mr. Neidle of L/ARA to proceed with the preparation of the reply, and he gave the original of the Venezuelan Embassy note to Mr. Neidle. Mr. Rubottom also instructed Mr. Briggs to remain and to give whatever assistance might be necessary to Mr. Neidle and to Messrs. Rojas and Gil-Borges, inasmuch as his presence was required elsewhere because of a previous engagement. Mr. Rubottom departed after an exchange of pleasantries and the Venezuelan representatives accompanied Mr. Briggs to his office.

There was some general discussion of the case by the Venezuelan Embassy representatives and Mr. Briggs, the gist of which was as follows:

1. The Venezuelan Government would proceed rapidly with the formal request for extradition of General Pérez Jiménez, and it was estimated that the documents necessary to sustain this formal request would arrive in Washington the following day.

2. Meanwhile, the Venezuelan Government, in view of the possibility that General Pérez Jiménez, learning of the Venezuelan Government's plans, might attempt to escape, desired that he be arrested and detained pending initiation of the extradition process.

3. The U.S. attorneys for the GOV were prepared, immediately upon receiving the Department's note, to initiate proceedings toward this end in the appropriate court in Miami, Florida, where General Pérez Jiménez is at present.

²Not printed, 731.00/ 8-2359.

4. Although the Embassy had not received the pertinent documents, Messrs. Rojas and Gil-Borges understood that the charge of murder contemplated in the extradition request may well have referred to the assassination of Colonel Delgado Chalbaud, who at the time of his assassination was head of the Venezuelan junta of government and therefore the Chief of the Venezuelan State. The two Venezuelan representatives gave an account of the circumstances surrounding this assassination. They commented that as far as they knew the "Intellectual authorship" of the crime had not been proved up to now. They said, however, that should this be the murder charge which is being lodged against Pérez Jiménez, he would not be able to avoid extradition proceedings on political grounds, inasmuch as the treaty exempts the assassination of heads of state from the list of political crimes. They added that at the time of his assassination Colonel Delgado Chalbaud was head of the military junta which governed Venezuela and was therefore the Chief of the Venezuelan State.

After some further desultory conversation Mr. Neidle came in and presented the Department's note to Minister Rojas,³ whereupon he and Mr. Gil-Borges took their leave.

³ The note, which was attached to the source text, is not printed.

VE-32. Telegram from the Ambassador in the Dominican Republic (Farland) to the Department of State¹

Ciudad Trujillo, August 25, 1959, 4 p.m.

124. Reputable confidential source has advised that Luis Chafardet Urbina, former Perez Jimenez Ambassador to Dominican Republic and who for last 18 months has resided Spain, has returned Ciudad Trujillo. Presence Chafardet here possibly presages (1) return Perez Jimenez to Dominican Republic to avoid extradition or following deportation by INS; or, (2) Chafardet may be offering his services for propaganda or other type campaign against Venezuela or Betancourt personally. If aforementioned assumption (1) correct Embassy suggests efforts be

¹ Source: Department of State, Central Files, 731.00/8-2559. Confidential. Repeated for information to the Embassy in Venezuela.

made prevent Perez Jimenez from returning Dominican Republic as his presence here would undoubtedly contribute unresolved Caribbean tensions. While it would obviously be preferable if Perez Jimenez were away from western hemisphere, this choice may not be available. Choice may be U.S. or Dominican Republic and of these alternative evils Embassy submits that peace in Caribbean somewhat more favored by his remaining in U.S.

Farland

VE-33. Telegram from the Chargé in Venezuela (Burrows) to the Department of State¹

Caracas, August 26, 1959, 6 p.m.

135. Foreign Ministry director international policy and other Foreign Ministry officials at reception last night demonstrated open pleasure at news Perez Jimenez preventive arrest² indicating awareness legal procedures could be protracted but assumption eventual extradition.

Federal district governor Carrillo Batalla telephoned yesterday afternoon to express concern Perez Jimenez's deportation or flight from U.S., now with legal procedures underway would cause serious reaction here and throughout LA. Creole President Proudfit also telephoned yesterday to express apprehension about adverse Venezuelan reaction which he felt would follow if Perez Jimenez jumps bail and escapes. Proudfit had made personal call Monday to voice opinion based on conversation with Creole Venezuelan and U.S. executives that failure of U.S. to extradite Perez Jimenez would result in serious deterioration U.S.-Venezuelan relations with adverse repercussions on U.S. business here.

Other reactions to Perez Jimenez arrest as reported in press: Presidential Secretary General Velasquez "It is great news but I will have to see him here before I believe it."

¹ Source: Department of State, Central Files, 731.00/8-2659. Confidential.

² Pérez Jiménez was arrested on August 24, 1959, at his Miami Beach, Florida, estate, and later released on \$25,000 bail. On September 7, 1960, the Government of Venezuela entered an extradition petition in Miami's Federal District Court, charging Pérez with embezzlement and murder. Extradition procedures were completed on August 16, 1963.

Presidential press secretary Stredel "it is great to see the old dictator on opposite side of fence for a change but we still see his extradition a little far off. Let us hope justice is done."

Presidential private secretary Yabrudy "too great to be true, time will tell if they are really going to send him to U.S."

All local papers featured headline news of arrest and released on bail. Press, favorably impressed by arrest, increasingly insistent Perez Jimenez be returned LA. ESFERA frontpage editorial typifies attitude: first favorable impression caused by reported arrest was set back by news that Perez Jimenez had been released on bond which, while adequate for others, is insignificant in case of Perez Jimenez who has robbed millions from public treasury; Venezuelan and continental democratic opinion expects State Department to honor extradition request based on Venezuela's faith in U.S. fulfillment of international commitments "we look on preventive arrest of Perez Jimenez as best evidence for confidence in rectitude of U.S. justice and we expect extradition to make just amends for blood, sweat and tears shed by Venezuelans for ten years in cause of liberty."

Burrows

**VE-34. Memorandum of a Conversation, Caracas, Venezuela,
August 27, 1959¹**

Caracas, August 27, 1959.

I called on the President at his home, where he is working while he is on a 2-week "vacation". The interview was arranged at my request for the purpose of conveying a message from Assistant Secretary Mann and Ambassador Sparks as instructed by Department telegram 153.²

I first read to the President the message from Mr. Mann and Ambassador Sparks, translating it as I read. The President nodded

¹ Source: Department of State, Central Files, 731.5-MSP/8-2859. Confidential. Drafted by Burrows, and transmitted to the Department of State, under cover of despatch 15 from Caracas, August 28, 1959.

² The referenced telegram, August 26, 1959, requested to the Chargé to deliver orally a message to Betancourt which read, in part: "Due to circumstances beyond its control it will not be possible to reach a definitive decision on question of possible relaxation of import controls or residual fuel oil for burning until week commencing September 7. U.S. general position is that country quotas for petroleum imports or exports would be counterproductive. . . ." (411.006/8-2659)

and expressed understanding at various points but did not indicate any substantive reaction to the content of the message. He said he wanted to discuss this with his advisers, particularly Minister of Mines, and Hydrocarbons, PEREZ Alfonso, and that he would be able to see them tomorrow night for this purpose. I mentioned that the telegram had been sent NIACT and that I felt Ambassador Sparks would await in Washington³ a reply from the President. President Betancourt responded by saying in that case he would see Perez Alfonso tonight and would convey to me tomorrow his decision as to whether he would prefer that Mr. Mann visit Caracas.⁴ It became obvious during the conversation that the President was turning over in his mind the relative desirability of having the United States' position become known in Venezuela following a visit of Mr. Mann as compared with having it become known through a formal note to the Foreign Office. He also expressed tentative approval for his own part of a visit by Mr. Mann to Caracas.

I asked the President how he felt about the outcome of the Santiago Conference⁵ and the President said he was very satisfied. He said that he had been somewhat disturbed by the editorial reaction of most of the newspapers in Caracas and indicated he felt most of the editorialists had exhibited a lack of intelligence or of understanding of the Conference.

From the Santiago Conference the conversation turned to the Dominican Republic and the situation in the Caribbean. The President referred to the continued propaganda being issued by Trujillo against him and spoke also of the libelous statements that are being distributed through the mails concerning MUÑOZ Marin. I spoke of our interest in international free trade and asked the President if in his opinion Venezuela will endeavor to exercise a complete boycott against the Dominican Republic. The President understood that my remarks had specific reference to the matter of ships proceeding here from the Dominican Republic and said that although the Government had

³ Sparks was in Washington for an appearance before the Senate Permanent Investigating Committee on Government Operations regarding the Bolivian aid program. (724.5 MSP/8-1259)

⁴ The Venezuelan Government responded that Mann should not come to Caracas since his visit would not help to explain the U.S. position. Perez Alfonso also handed the Chargé a memo analyzing and rejecting the U.S. position. (411.0016-2859)

⁵ Reference is to the Fifth Meeting of consultation of Ministers of Foreign Affairs of American States, held in Santiago, Chile, August 12–18, 1959, which resulted in the so-called Declaration of Santiago de Chile that restated the general inter-American commitment to democracy and human rights, and another that directed the Inter-American Peace Committee to study the whole question of political conflicts such as had recently been occurring and to report to the Eleventh Inter-American Conference, scheduled to meet in Quito in 1960.

issued the orders for close inspection of such ships, the refusal of the longshoremen to unload the vessels was a spontaneous one. He said that of course the Government could do nothing about this but also inferred quite clearly that even if the Government were in a position to order the longshoremen to work the ships, he would not be inclined to do so. The President referred to the years of persecution and attack he has suffered at the hands of Trujillo and said that as far as freedom of international trade is concerned, one has to be "realistic" about these matters. I mentioned Haiti in this same part of the conversation and the President said that after talking to Mr. James of the *Saturday Evening Post* yesterday, he was satisfied that DUVALIER is a "zombie". The President added further that he knows that Duvalier's Chief of Police is in the pay of Trujillo.

The President then mentioned the arrest of PEREZ Jiménez and I explained to him somewhat the procedure for handling extradition requests in the United States. The President demonstrated understanding of all of this including the probability that the extradition hearings will be a protracted affair. He referred to PJ's description of Betancourt as being a Communist in derisive terms.

The President then brought up the subject of delays in arms shipments which Venezuela has ordered under the Defense Assistance Agreement. I said General LOPEZ HENRIQUEZ had spoken to the Ambassador about this the evening of August 20 and that I knew the Ambassador was following the matter up in Washington. Although speaking in pleasant terms, the President made it very clear that the Venezuelan Government is a serious one, that it has funds to purchase the arms which it needs and which it would not buy if it did not need, and that if it cannot get those arms under the contract with the United States, it will have to look elsewhere, specifically France or Italy. I explained the basis and the reason for our giving careful consideration to arms shipments at the present time in the Caribbean and said that although some shipments of arms to Venezuela have been delayed I was not aware that any had been definitively rejected. The President was obviously unimpressed and said that as long as Trujillo is in the area threatening Venezuela militarily, Venezuela has to be prepared to defend itself. He made it clear that General Lopez Henriquez had been speaking for him on August 20 and although the President did not say so, I gathered from the conversation that he supposed that Lopez Henriquez had made just as strong a representation for the prompt shipment of arms ordered by Venezuela as he, the President, had just done. I did not remark to the President that the Minister's approach had been much less positive.

**VE-35. Memorandum from the Acting Secretary of State
(Murphy) to the President¹**

Washington, September 10, 1959

SUBJECT

Venezuela: Imports of Residual Fuel Oil

For the reasons set out below, the Department of State proposes that the importation of residual fuel oil be liberalized.

Because of large United States private investments in the Venezuelan oil industry and the strategic importance to us of the large Venezuelan oil reserves, demonstrated by the Second World War, the Korean conflict and the Suez crisis, the Venezuelan people have come to expect privileged treatment from us.

The Venezuelan Government accordingly protested when the imposition of our import controls restricted their access to their largest market. It also protested the exemption from our controls of oil imported by overland means on the ground that this was discrimination in favor of Canada even though this action probably will prevent, for an indefinite period, Canadian restrictions on the importation of Venezuelan oil and even though the limited increase in Canadian exports resulting from the exemption have not yet displaced Venezuelan oil.

At the same time, there exists in Venezuela a growing nationalism directed principally against the foreign oil companies, which are accused of depleting Venezuela's irreplaceable oil reserves while making unconscionable profits.

The present Venezuela Minister of Mines, who thus far has enjoyed the complete confidence and support of President Betancourt, seeks to exploit this situation. On the one hand, he has proposed that Western Hemisphere oil be exempted from our import controls and, on the other, he has publicly announced his intention of

a) progressively increasing the Government's share of industry profits;

b) invading management prerogatives in the production, exportation and marketing of oil; and

c) encouraging Near Eastern oil producing states to increase their share of profits and to cooperate with Venezuela in the control of prices.

¹ Source: Department of State, Central Files, 411.316/9-1059. Confidential. Drafted by Thomas C. Mann, Assistant Secretary of State for Economic Affairs, on September 8.

The implementation of nationalistic policies outlined above would not be limited to the possible unsettling effect on American investment and interests in Venezuela and Latin America. The position of our oil companies throughout the world would be weakened, as would the assured access of consuming nations to adequate supplies of oil at reasonable prices. The importance to Western Europe of an assured access to oil was demonstrated in the recent Suez crisis.

Moreover, these nationalistic policies will not serve Venezuela's own economic self-interest. Venezuela is already in a weak competitive posture, attributable in part to its action, taken without consultation, to upset the "50-50" division of profits through large income tax increases. Given the present situation of world oversupply of all and the threat that cheaper Near and Far Eastern oil will displace Venezuelan exports in its traditional markets, our task is to get Venezuela to understand that it can best maintain a satisfactory level of oil income by improving its competitive posture rather than by seeking an international commodity agreement for government control of production, prices and marketing.

Against this background, the Department of State considered the possibility of offering Venezuela a country import quota in exchange for abandonment by Venezuela of its nationalistic oil policies. This course of action is believed to be impracticable because it would discriminate against Far and Near Eastern producing countries; because Venezuela is in any case unwilling to change its policy at this time; and because such action would, by appearing to reward nationalism, encourage nationalistic oil policies in Venezuela and in the Near and Far East. Those companies which have the largest investments in Venezuela concur in this estimate.

The Department of State has also considered the possibility of completely rejecting Venezuela's desire for special treatment and has concluded that this would create a situation of maximum risk of nationalistic reaction.

In an effort to find a middle ground – one which, on the one hand, could be regarded as a gesture of equal importance to the one which we have made toward Canada, and, on the other, which would not facilitate the carrying out of nationalistic oil program—the Department of State has recommended that the importation of residual fuel oil to be used for burning be freely licensed to historic importers who have used storage capacity. This course of action would be tantamount to an effective decontrol of residual imports but it would not remove residual from the import control program. It would favor Venezuela because more than 40 percent of its oil exports to the United States are in the form of residual.

This action would not satisfy Venezuela's aspirations. The serious risk that Venezuela will implement nationalistic oil policies will

remain. But a concession of this kind will weaken the position of those Venezuelans who assert that our oil policy disregards Venezuela's needs and it involves less risk than either of the other alternatives open to us.

Liberalization would be strongly opposed by the coal industry, both capital and labor, which hopes that import quotas, will ultimately raise residual fuel oil prices to the point where coal will become more competitive. The "independent" sector of our oil industry has expressed concern, but not opposition, on the ground that liberalization of imports may result in lower prices for domestic residual fuel oil.

On the other hand, liberalization would be strongly supported by the major oil companies who are faced with a very difficult situation in Venezuela. Consumers along our Atlantic coast, who are increasingly dependent on residual imports and who fear that the present import quotas will result in scarcities and high prices during the winter months of peak demand, will also welcome the assurance of adequate supply at reasonable cost.

The Department of State believes that, on balance, the national interest will best be served by liberalizing imports of residual fuel oil and recommends that this now be done.

Robert Murphy

VE-36. Memorandum from the Assistant Secretary of State for Inter-American Affairs (Rubottom) to the Deputy Director for Operations of the International Cooperation Administration (Fitzgerald)¹

Washington, September 25, 1959

SUBJECT

Mutual Security Program for Venezuela.

In your memorandum of August 26, 1959 on this same subject,² you noted this desire of ICA to terminate its present activities in Venezuela.

¹ Source: Department of State, Central Files, 731.5-MSP/9-2559. Confidential. Drafted by Briggs.

² Not printed. Documentation concerning the subject is located in ARA Files, Lot 61 D 319, "ICA."

Without commenting specifically on the projects which comprise the ICA program in that country at this time, the Bureau of Inter-American Affairs considers that to terminate the program in Venezuela would be contrary to the best interest of the United States.

Although, as your memorandum pointed out, the per capita income of Venezuela is in excess of that of most other countries in Latin America, this figure is misleading when viewed either as a measure of the economic and social development of the country or as a measure of its ability to carry forward in economic development without outside technical assistance. In spite of the country's high per capita income, the majorities of Venezuelan people, and especially those in rural areas, have a standard of living which is roughly equivalent to that prevailing in the rest of Latin America. The economic development of the country as a whole, excluding two or perhaps three urban centers, is in a rudimentary stage. Moreover, standards in health, education, agriculture, public administration and other technical fields vital to economic progress are still low.

Venezuela, like most of Latin America, has a one-product economy, and is dependent on this commodity, petroleum, far from 60 to 70 percent of the Government's annual revenue. Although marketing conditions for petroleum have been reasonably favorable in recent years, so that the country has been outwardly prosperous, relatively little progress has been made either in diversifying the basic economic pattern or in moving ahead in the technical fields enumerated above. We believe that this situation is due in large part to the developmental emphasis which the dictatorial regime, which until recently governed Venezuela, placed on the largest urban areas, with little attention to basic nationwide problems. The present government, which was installed subsequent to the overthrow of the dictatorship by revolution, is a constitutional regime brought into power through free elections. It has wide popular support and is pledged to a broad program of general economic improvement and diversification.

The foregoing indicates that Venezuela's need for outside technical assistance is likely to be greater in the immediate future than has been the case in the past. The opportunity for the United States to participate in a sound and meaningful program is correspondingly greater. Although the Venezuela Government has not progressed to the stage of consulting this Government with respect to possible technical cooperation in its economic development effort, the fact that there have been several approaches in the field of health and sanitation indicate that other and more significant approaches in broader fields may well be forthcoming. Consequently, this does not seem to be the appropriate time to adopt a policy which would make it more difficult to take advantage of the opportunity when it is offered.

On the political side, one of our major problems in Venezuela is the prevalent belief there that the United States is partial to dictatorships in Latin America and, more specifically, in Venezuela. Inability or unwillingness on our part to respond affirmatively to requests of the present constitutional government for technical assistance would tend to strengthen this belief. Moreover, it is in the best interests of the United States to support the present Venezuelan Government insofar as possible and to maintain and improve our relations with it, as a bulwark against a recurrence of military dictatorship on the one hand or the establishment of a far left-wing regime on the other. So far, most of the matters which the Venezuelan Government has taken up with us have been such as to preclude U.S. acceptance of Venezuelan proposals, and therefore the U.S. attitude toward Venezuelan requests has had to be largely negative since the inauguration of the present Venezuelan Government. We are consequently most anxious to find ways in which the Venezuelan Government can be accommodated and the negative impression which the Venezuelan Government has can be dispelled. I therefore believe that we should keep the door open for technical cooperation with Venezuela and should examine each request from the Government of Venezuela on its merits, in the hope that we may be able to accede to some of them and in so doing take advantage of opportunities for increased U.S. influence in Venezuelan economic development and planning. I agree with your view that the GOV can probably afford to pay for much of the cost of these programs and I regard this fact as a positive aspect of the possible future expansion of technical cooperation activities there. However, in the interest of maintaining and extending U.S. influence in Venezuelan economic development, I believe that cases may well arise which would justify the expenditure of U.S. funds. No action should be taken at this time which would tend to preclude freedom of action in such cases.

Recognizing, however, that the rise of the program in Venezuela at this time may not justify the administrative and supervisory overload presently devoted thereto, I concur in the suggestion contained in your last paragraph that for the present, at least, the program be limited to responding affirmatively to Venezuelan requests for short-term services of experienced U.S. technicians.

R.R. Rubottom, Jr.

VE-37. Despatch from the Chargé in Venezuela (Burrows) to the Department of State¹

Caracas, October 16, 1959.

No. 317.

REF: CIRCULAR 149²

SUBJECT

MUTUAL SECURITY AND RELATED PROGRAMS

1. Objectives

As seen from the Embassy point of view, the principal U.S. objectives in Venezuela would seem to be:

1. To strengthen and support the present freely-elected democratic government as an ally of the Free World.

2. To cooperate in the maintenance of a well trained military force capable of, and devoted to, defending the interests of the Free World in this Hemisphere.

3. To strengthen Venezuelan economic stability and assist in the development of economically feasible industrialization so as to achieve independence from the almost sole reliance on its petroleum and mineral industries.

4. To assure strong Venezuelan petroleum and iron ore industries whose resources would be available to the United States in times of national emergency.

5. To maintain in Venezuela a political and economic climate favorable to the investment of foreign capital, to foreign commerce, and to the use of foreign technical know-how in order to foster free enterprise, free trade, and the development of the country and its resources.

6. To promote recognition by Venezuela of the dangers of Communism.

II. Role of MSP

The MSP offers an opportunity to demonstrate to Venezuela our interest in her well-being and her development. It supplements the work of the technical missions of the UN and such of its specialized agencies as the FAO, the World Bank, etc. Most important, the MSP is concrete evidence of our continued interest in and support for, Venezuela in these critical years of her democratic development

¹ Source: Department of State, Central Files, 731.5-MSP/10-1659. Limited Official Use.

² The referenced circular telegram, August 19, 1959, requested a succinct, overall analysis of U.S. objectives and The U.S. role in achieving them. (120.171/8-1959)

following the overthrow of the dictatorship. Venezuela is a target of the communists who are quick to point out failures and difficulties of the present Government as indicative of the weaknesses of capitalism and who are as quick to allege American disinterest in the needs of the people and our intent to maintain Venezuela in a position of economic independence. The importance of Venezuela in the Caribbean and the South American political and economic picture, as well as its importance as a field of U.S. private investment points up the necessity of the United States making every reasonable effort to keep Venezuela friendly, politically stable, and economically prosperous.

III. Technical AID

A. MSP Present Program

Mutual Security Program projects in Venezuela at present are limited to a small Technical Cooperation Program administered by USOM Caracas in fields related to public health. A modest TCA program operating since 1942 was substantially reduced as of June 30, 1959, as a result of a request by the Government of Venezuela to transfer rural water supply program of the Cooperative Health Service to Ministry of Health. This leaves only consultants in occupational health and vital statistics as the total program at present with several other consultants requested. While the costs of the Inter-American Geodetic Survey activities in Venezuela are partially reimbursed from MSP funds, this essentially military program is not commented upon in this airgram. With exception of changes in the rural water program noted above the basic need with respect to aid, including loans, has not changed substantially since Embtel 109 of August 29, 1958. This does not mean that the Government has not been making progress but the Constitutional Government has confined itself to basic planning for the next four to five years and as yet has not executed any extensive implementation of this planning.

B. Non-U.S. Programs

Since the revolution, the Venezuelan Government has stepped up the program of requesting and obtaining through the UN an additional number of technicians, about 30 of whom fall into the technical assistance class. Specialties of these experts are: steel, coal, forestry, veterinary medicine, soils, cattle fences, fisheries, general industrial development, telephones, governmental organization, budget, personnel, tariffs, education, sociology, industrial health and safety (OIT), labor training and legislation, nurses training, and econometrics. It is expected that about 30 more technicians in different fields complementing the present group will be requested from the UN.

A ten-man mission from the IBRD is now engaged in a study of the Venezuelan economic situation with a view to recommending any needed revisions of government economic and fiscal policy.

There have been and are private technical groups here on government contract to study various phases of the economy including transportation, public administration, etc., to assist in the more orderly development of governmental processes and policies.

IV. Loans

The Government of Venezuela continues to reiterate its reluctance to borrow from foreign sources. The proposed extraordinary budget will require about Bs. 1.1 billion if passed in full by the Congress. The Government hopes to raise this amount from local sources.

Some capital requirements for specific projects might lead to borrowing from such organizations as the IBRD, the International Finance Corporation, the Export Import Bank, and the Development Loan Fund.

V. Coordination of Programs

The coordination of technical and economic assistance programs is by government order the responsibility of the *Oficina Central de Coordinación y Planificación* in the President's office. In the past there has been no particular problem for Embassy in field of coordination because of very special nature of USOM and IAGS activities here. There has been no duplication of U.S.-UN aid efforts in the past.

VI. Future AID and Loan Programs

Although it is easy to comment on future policy when there are existing programs or studied projects in being, we are troubled here with the fact that the needs, probable utilization of aid and loan programs, and the possible desires of the Venezuelan Government cannot be based upon either any historical concept or known present planning. As noted, the demands in the past have been small, with the exception of the UN technical and program; there has been no history of foreign loans from international organizations and only a minor amount of loans from private banking. Thus we must comment upon possibilities which are still in the minds of the Venezuelan Government officials and we will not know how the program can develop until it is revealed to us through requests. We do know that on the technical aid front, in addition to the expected request for more UN technicians, the President himself in an exchange of letters with Assistant Secretary Rubottom expressed deep interest in the present health program and in its expansion. It is expected that further technical assistance in other fields will very probably be the subject of future requests. Also, apart from strict technical aid, we know the Government is interested in acquiring arms at token cost. Another field in which some interest has been shown is that which is covered in other countries by the ICA Labor program.

With respect to loans it is felt that it may not be possible to meet the financial needs from private local sources and therefore the facilities of

the Export-Import Bank, the Development Loan Fund, the International Finance Corporation and the IBRD may well be utilized.

VII. Recommendation

I feel that the United States aid program and those in which it cooperates, through the United Nations, can make a very definite contribution to the economic development of this country and thus to its political stability; nothing should be done at the present time to make more difficult the request for or the granting of such aid or for loans where needed.

Technical assistance and/or financing given to Venezuela during this formative period of its first democracy in many years will be well repaid in both political and economic results.

I believe that the Government is desirous of taking advantage of technical aid and certain types of financing that it can profitably use and is appreciative of our interest in cooperating.

I believe that the present MSP program should be continued as our minimum contribution to the orderly development of Venezuela and as a demonstration of our continued interest and good will, and that we should hold ourselves receptive to new proposals for technical aid and financing.

Charles R. Burrows

**VE-38. Memorandum of Conversation, Department of State,
Washington, November 16, 1959¹**

Washington, November 16, 1959.

SUBJECT

VENEZUELA: Financial Situation and Proposed Import Restrictions

PARTICIPANTS

Dr. Marcos Falcon-Briceño, Ambassador of Venezuela
Mr. Manuel Perez Guerrero, Director, Commission of Coordination and Planning
Mr. Thomas C. Mann, Assistant Secretary of State for Economic Affairs
Mr. John J. Ingersoll, Officer in Charge of Venezuelan Affairs
Mr. William Pryce, Staff Assistant, Economic Affairs

Mr. Perez Guerrero was introduced by the Ambassador, who had requested this appointment on his behalf.

¹ Source: Department of State, Central Files, 831.10/11-1659. Secret. Drafted by Ingersoll.

Perez Guerrero said that, as is widely known, Venezuela is faced with serious balance of payments difficulties, with her reserves being eroded at a rate of about \$100 million per month. Foreign exchange reserves had dropped from over one billion dollars to about \$600 million. The Venezuelan Government feels it must act quickly to stem this flow while it can still do so coolly and deliberately, and not wait until reserves are exhausted and be forced into measures of haste and desperation.

Mr. Mann said that he had been aware of this situation and was pleased to hear that the Venezuelan Government intended to face-up to the problem.

Perez Guerrero said that his Government intended to cut imports of items which are considered to be draining off Venezuela's foreign exchange. As a temporary step it is proposed to immediately (within a few days) require licensing of all imports of a list of items which are considered to be of a non-essential or luxury nature. He exhibited a typewritten list which included, among other things:

- caviar
- wines
- liquors
- perfumes
- cigars, cigarettes
- leaf tobacco
- automobiles
- cameras
- film (except motion picture film)
- radio receivers
- television receivers
- marble
- building ornaments

He said that with the introduction of the licensing system, imports of these items will be severely restricted, possibly being limited to only those items already en route or on contract order. This is to be, however, only temporary until action can be taken by the Congress to impose a new, heavy excise tax on all goods in this list, whether they be imported or of domestic manufacture. When the tax becomes effective, which he estimated to be in "a matter of weeks", the licensing requirements would be abolished. The tax would curtail effectively the importation and domestic production of these items and, at the same time, provide a new source of revenue to help balance the national budget.

Mr. Mann said this sounded like a step in the right direction but he doubted that import controls alone would be enough to cope with the problem. He also emphasized the importance of consulting with the IMF before taking any step such as this and the need to insure that such action is not discriminatory against U.S. products.

Perez Guerrero said that he had come up from Caracas only last night and that he would return this evening. He had already talked with the IMF staff technicians and there seemed to be a possibility, he said, that a small IMF mission might go to Venezuela to discuss these matters. He made note of Mr. Mann's remarks about avoiding discrimination and pointed out that the tax would apply to domestic goods as well as to imports. Perez Guerrero noted that this was not a matter calling for U.S. approval and that this meeting was designed merely to continue our customary policy of confiding in one another with respect to our problems and the actions proposed to meet them.

Mr. Ingersoll raised the question of the consistency of this proposed action with our bi-lateral Trade Agreement. Perez Guerrero said that, of course, a lot of the items to be licensed are included in the bi-lateral but that neither the temporary, emergency licensing system nor the non-discriminatory excise tax would contravene that agreement.

Mr. Mann said that while this might help, he felt that other actions were imperative, especially the restoration of confidence in relations between the foreign oil companies and the Venezuelan Government. He said that the increasing oversupply of oil on the world markets coupled with the increasing efforts of such areas as the European Common Market to reserve their markets for preferred suppliers in their own political orbit, all augured ill for the competitive position of Venezuelan oil unless there is a high degree of cooperation between the Government and the private producers.

Perez Guerrero said that President Betancourt, Perez Alfonso, and others in his Government were trying to deal with these problems. He said that he, himself, was much more optimistic than Mr. Mann with respect to future markets for Venezuelan oil.

Perez Guerrero spoke of various, recurring rumors that the Bolivar will shortly be devalued and said, in a most emphatic tone, that there will be no devaluation. Such will be avoided at all costs.

Both Perez Guerrero and Mr. Mann agreed on the extremely sensitive nature of the information which had been discussed concerning proposed import restrictions. It was recognized by all present that a serious and embarrassing scandal could result if there were any leak of this information before the official announcement by the Venezuelan Government.

VE-39. Memorandum from the Deputy Assistant Secretary of State for Inter-American Affairs (Mallory) to the Under Secretary of State (Dillon)¹

Undated.

SUBJECT

Briefing Memo: Venezuela's Current Financial Situation

Venezuela has recently developed serious financial difficulties and is, for the first time in recent history, actively seeking assistance from the U.S. and international financial agencies. An IMF Mission is now in Caracas to consult with the Government of Venezuela on a possible standby credit agreement. At the same time, the Government of Venezuela is negotiating with a group of U.S. private banks for a possible \$200 million credit and may seek an interim, gold-backed loan of \$150 million from the Federal Reserve Bank of New York.

In the event that any discussion of these matters should be initiated by the Venezuelan representatives at San Salvador, you may find the following information helpful.

Background

Between 1951 and 1955 Venezuela's official gold and dollar reserves increased by about \$150 million. In 1956 they jumped by over \$400 million and in 1957 by \$500 million more—the results of Suez and the large-scale leasing of new oil concessions. At the end of 1957 (which roughly coincided with the end of the Perez Jimenez regime) official reserves stood at \$1,446 million, an amount exceeded by only six other countries in the world.

This favorable trend changed early in 1958, since when there has been a steady decline in reserves continuing up to the present time. The loss amounted to \$400 million in 1958, \$342 million in 1959, and reserves stood at \$682 million on January 28, 1960. Practically all of this was in the gold stock, which the government was extremely reluctant to deplete for reasons of public confidence.

Though many details are lacking, the main outlines of the factors responsible for this deterioration in Venezuela's balance of payments position are clear enough. The volume of imports, which increased very sharply in 1957 in response to the stimulus afforded by the record exports and massive investments of 1956–57, has continued at a heavy

¹ Source: Department of State, Conference Files, Lot 64 D 559, CF 1590. Confidential. Drafted by Ingersoll on February 2, 1960, and concurred in by John Parke Young, Chief of the International Finance Division, Bureau of Economic Affairs.

rate, even though new oil investments have been sharply contracted, outward earnings remittances have reached very high levels, and exports have receded. Concurrently, the previous capital inflow has apparently turned into a net outflow, principally for two reasons: payments on the short- and medium-term foreign debt incurred under Perez Jimenez, and capital flight. Finally, and perhaps most important, imports have been maintained and capital flight has been stimulated by expansionary fiscal and credit policies.

Along with the cumulative drain on the central bank's foreign exchange reserves, a series of grossly imbalanced federal budgets, largely attributable to efforts to carry on extensive public works and development programs, have depleted treasury holdings and created a serious fiscal problem. Treasury holdings are currently less than \$100 million. Although purportedly determined to balance the federal budget next year, the Government of Venezuela requires some \$300 million over and above anticipated revenues to meet the current, FY 60 budget with its politically essential works programs. The Venezuelan constitution prohibits treasury borrowing from the central bank and the tight domestic credit situation precludes heavy borrowing from domestic commercial banks, so that recourse must be had to foreign sources for the needed funds.

Current Status

The balance of payments problem is being dealt with in part by various measures to curtail imports of less essential goods through quantitative restrictions and prohibitive duties, and discourage the outflow of nervous, flight capital, while at the same time seeking to encourage new capital inflow for investment purposes. It is as yet too early to appraise the adequacy of these measures, but they are already ameliorating the drain of reserves to some extent. It was necessary, however, for the central bank to sell some \$65 million worth of gold in the fall of 1959. Remaining gold reserves are probably an adequate bulwark against any immediate payment crisis but large scale gold sales are considered undesirable by Venezuela because of the anticipated psychological reaction.

Rather than accentuate her unemployment problems by further curtailment of public works programs to permit a balanced budget, the Government of Venezuela hopes to obtain foreign credits of about \$300 million. The first \$100 million of this was obtained in November, 1959 by sale of tax anticipation certificates to the foreign oil companies operating in Venezuela. An informal IMF consultation in December served to advise the Government of Venezuela on certain measures recommended to remedy the financial problems. On February 1 an IMF Mission arrived in Caracas to begin two weeks of talks looking to a stand-by agreement. Without awaiting the outcome of these

talks, a group of U.S. private banks have informally agreed to extend \$200 million in credits to the Government of Venezuela, although the terms are not yet known to the Department. To cover the interim before these credits can be formally arranged, it is expected that the Federal Reserve Bank of New York will respond favorably to a Venezuelan request for a \$150 million, 90-day, gold collateral loan.

A factor which bears on the future stability of Venezuela, both political and economic, is the still unsettled petroleum industry-labor contract negotiations.

Recommended Position

Bearing in mind Venezuela's hitherto aloof attitude toward the International Monetary Fund, you might wish to express satisfaction with the manner in which Venezuela is now seeking the advice and guidance of the Fund and the serious efforts the Government is making to remedy its financial problems before they attain crisis proportions and while there is still room for maneuver.

VE-40. Telegram from the Secretary of State to the Embassy in Venezuela¹

Washington, April 25, 1960, 9:13 p.m.

914. Recent Castro-Leon rebellion attempt,² particularly with implication GODR advance knowledge if not direct involvement, regarded by Dept as additional manifestation international tensions Caribbean area which Inter-American Peace Committee directed to study by Santiago Fonmin Mtg Res IV. Request you inform Fomin or President as appropriate U.S. Chairman IAPC considering suggesting that Committee, noting apparent increase in Caribbean tensions, renew its request of September 18, 1959 to all OAS Govts that they provide any information they may have regarding such tensions in order to aid Committee in preparation general report required under Res IV. In this connection would be desirable for Venezuela and Colombia submit any evidence re international aspects recent Castro-Leon rebellion and we would appreciate knowing whether they would do this.

¹ Source: Department of State, Central Files, 731.00/4-2560. Confidential. Drafted by Jamison and initialled by the Deputy Assistant Secretary Mallory. Repeated to the Embassies in Colombia, Cuba, and the Dominican Republic.

² Reference is to Jesús María Castro-León. Documentation concerning his activities is contained in decimal files 731.00/1-1160 and 731.00/4-2560.

FYI We believe Castro-Leon attempt and other recent incidents Caribbean area emphasize desirability information be provided IAPC and studied by it in relation broader problem Caribbean tensions. Above would offer opportunity for Colombia provide data re GODR official requests for visas for those subsequently involved in rebellion attempt and for GOV furnish any information.

GODR complicity it may have, as well as occasion for U.S. to produce relevant information its possession.

Herter

VE-41. Telegram from the Acting Secretary of State to the Embassy in Venezuela¹

Washington, April 28, 1960, 8:12 p.m.

926. Department has noted with interest three separate occasions your conversation reported Embtel 819² on which Betancourt indicated his view satisfactory Inter-American resolution Castro problem depends on prior action re Trujillo and that he prepared take lead on Cuba, which he certain most other Latin Americans would quickly join, if Trujillo problem resolved with U.S. cooperation. We believe this frank statement made by Betancourt offers good opportunity which, in your discretion and if you believe it can be done without becoming known to Fonmin, you should pursue to endeavor ascertain from Betancourt what he and others of like view have in mind as to leadership which might take over in Dominican Republic if Trujillo resigns or is ousted. Should be clear to Betancourt that Castro or elements associated him only too ready move into Dominican Republic to establish Castro-type regime and that in resultant situation Castro would be strengthened with consequent immediate threat to Haiti as well as to Betancourt's own position in Venezuela. We would appreciate his thinking on manner such development might be avoided, since it obviously one to which he must have given serious thought. This is of course a major preoccupation for us.

¹ Source: Department of State, Central Files, 731.00/4-2760. Secret; Limit Distribution. Drafted by Jamison and John C. Hill, Special Assistant to the Assistant Secretary of State for Inter-American Affairs. The telegram was repeated for information to the Embassy in the Dominican Republic.

² Not printed; 731.00/4-2760.

In this connection, would be particularly interesting to know Betancourt's evaluation of potential and orientation of various anti-Trujillo groups within Dominican Republic and abroad, including those in Venezuela.³

³ When queried on the substance of telegram 926, Betancourt responded that the United States should speak to José Figueres and "trust in his judgment," since Figueres had been very active in working with non-Communist Dominican exiles.

He stated that there were very few Communists in the Dominican Republic or among the exile groups and that the United States should not worry about another Fidel Castro in the Dominican Republic. He reasserted that the United States must face up to the Trujillo problem before the United States faced the Cuban problem, and warned, "do not attack Cuban problem and expect handle it way Guatemala under Arbenz was handled." He advised that the program which should be followed vis-à-vis Cuba was to press for elections. (731.00/5-560)

VE-42. Telegram from the Secretary of State to the Embassy in Venezuela¹

Caracas, May 11, 1960, 8:10 p.m.

970. Ambassador Falcon Briceño returning Caracas Pan American Jet Thursday May 12 expecting return Washington after about ten days. Department informed Romulo Gallegos travelling Caracas same flight.

Falcon Briceño called on Rubottom and Mann May 10 take his leave.

Rubottom expressed U.S. concern continued existence Trujillo dictatorship and its disturbing contributions Caribbean tensions. Stated U.S. objectives same as those of GOV but pointed out fact Trujillo has indicated he will eliminate all potential successors of any stature if and when he falls from power. This poses delicate problem. Falcon Briceño said he had heard similar views from Dominican exiles. Rubottom said most reports indicate Trujillo's days numbered. Rubottom mentioned recent conversations Betancourt with Ambassador Sparks and said that while he fully understands bitter hatred of Trujillo he is concerned over Betancourt's impatience. Said we wish work through Peace Committee and expect that GOV may have evidence which we do not have and

¹ Source: Department of State, Central Files, 731.00/5-1160. Secret; Limit Distribution. Drafted by Ingersoll and initialled by Rubottom.

that we may have evidence GOV does not have. Requested Falcon Briceño convey to Betancourt information U.S. attitudes and actions aiming toward common objective.

Falcon Briceño said that in telephone conversation Betancourt spoke of a letter from Trujillo to Perez Jimenez. Said he was not sure whether Betancourt meant he had such letter or wanted know if U.S. Government had it. Rubottom said he had no knowledge such letter.

Conversation with Mann confined general subjects, though did include mention of recent pressure by group of independent oil producers associations for reduction import quotas. Mann indicated unlikely any action this nature imminent.

Memoranda conversations by pouch.

Herter

VE-43. Editorial Note

On June 3, 1960, the Inter-American Peace Committee of the Organization of American States issued a report, in which the United States concurred, which concluded that the Dominican Republic had contributed to political tensions in the Caribbean area by its flagrant violation of human rights, including the use of intimidation and terror as a political weapon. Seven Latin American nations, including Venezuela, had already broken diplomatic relations with the Dominican Republic before the Sixth Meeting of Consultation of the American Foreign Ministers convened on August 16, 1960, in San José to discuss the problem which the Trujillo regime presented to the hemisphere. At this meeting, the Government of Venezuela charged the Dominican Government with aggression and intervention, and on August 20, 1960, the Foreign Ministers voted unanimously to condemn the Dominican acts and resolved to break diplomatic relations with the Dominican Republic and to interrupt, partially, economic relations with that country. For documentation concerning the matter, see ETA-44; CO-32; DR-26-28, 30; ES-18.

**VE-44. Memorandum from the Assistant Secretary of State,
for Inter-American Affairs (Rubottom) to the Acting
Secretary of State¹**

Washington, July 7, 1960.

SUBJECT

Venezuelan Request for American Foreign Ministers Meeting regarding Dominican Republic.

Discussion:

The Venezuelan Government has requested the Council of the Organization of American States to convoke urgently the Organ of Consultation (Meeting of Consultation of American Foreign Ministers) under Article 6 of the Rio Treaty to consider acts of intervention and aggression of the Dominican Government against the Venezuelan Government, culminating in the assassination attempt against President Betancourt on June 24,² and to take measures in defense of Venezuela's sovereignty and for the maintenance of hemispheric peace and security.

The OAS Council received the Venezuelan request at a meeting on July 6, and decided to meet on July 8 in order to vote on it. While the Dominican representative rejected Venezuela's charges and opposed the convocation of the Organ of Consultation, the sentiment expressed in the Council was favorable to Venezuela. Also, the Venezuelan representative presented what seemed to be impressive evidence linking the plotters in the assassination attempt with Generalissimo Trujillo and Dominican officials.

It is therefore recommended that the United States at the July 8 meeting of the OAS Council support the Venezuelan request for the convocation of the Organ of Consultation in this case. It is anticipated that the Council will decide on July 8 to act provisionally as Organ of Consultation and will appoint an investigating committee to examine the available evidence, fixing at a later meeting the place

¹ Source: Department of State, Central Files, 731.00/7-760. Confidential. Drafted by Robert J. Redington, Officer in Charge of U.S. – O.A.S. Delegation Matters in the Bureau of Inter-American Affairs.

² That morning, Betancourt and his wife left their residence, entered their limousine, and proceeded down Avenida Los Proceres, passing a parked car in which a bomb exploded. The limousine was thrown across the street, killing a military officer sitting next to Betancourt, who suffered severe cuts and burns. The Venezuelan police determined that the assassination attempt was carried out from the Dominican Republic and with the active support of Trujillo.

and date of the Foreign Ministers Meeting. ARA considers that the first week of August would be the most acceptable date for the latter Meeting. Present indications are that Mexico City or Washington will be proposed for the site of the Meeting, either of which would seem to be acceptable.

The Department is consulting with the other American governments regarding the desirability of convoking another Meeting of Foreign Ministers, to be held at the same place and immediately after the first Meeting, in order to consider the Cuban problem. This matter will be treated in a separate memorandum.

Recommendations:

1. That you authorize the United States Representative on the OAS Council to vote in favor of the convocation of the Organ of Consultation as requested by Venezuela.

2. That you authorize the United States Representative to support the first week in August as the date for the Foreign Ministers Meeting on the Venezuelan case, and to consult further regarding the place of the Meeting, with preference for Mexico City and, if necessary, Washington.

VE-45. Telegram from the Ambassador in Venezuela (Sparks) to the Secretary of State¹

Caracas, July 8, 1960, 1 p.m.

25. In requesting appointment with President Betancourt I told his private secretary I would require at least an hours time (to permit his perusal of Chafardet documents authorized Departments' A-2, July 1).² Secretary replied President under doctor's orders had had no conversations that long but he later gave me appointment yesterday 5 p.m. without condition. I talked with President for over one hour.

I was shocked at President's appearance. His hands are still heavily bandaged while his face is discolored and with large burn scabs. However, he was completely composed and relaxed. He assured me

¹ Source: Department of State, Central Files, 731.00/7-860. Secret; Niact; Limit Distribution.

² Not printed; 731.00/7-160.

his ear and eye injuries had completely cleared up. Doctors have subjected him to rigorous diet and rest and he happily reported his blood pressure was down to 130 (I had been reliably informed it had been as high as 220). President told me details of his horrifying experience following explosion and then related details of Dominican involvement in attempt against his life.

Since it was impossible for President to read three Chafardet documents due to condition of his hands, he requested me to do so. However, I first read him carefully prepared statements in Spanish giving substance Department's A-2 stating in effect we considered it undesirable release actual documents at this time. President made no comment on this and asked me read documents. I read about ten pages of Chafardet's letter July 24 to Perez Jimenez when President became utterly bored and requested me to read Trujillo's letter of September 20. I did so and showed him document with signature. He made no direct comment on this document. He immediately launched into virtual harangue on Trujillo's nefarious operations over years. He asserted Trujillo is completely ruthless and capable of anything. He said his immediate concern and apprehension is Trujillo may attempt drop bombs on Caracas and oil fields or mount new attempt against his life. He told me precautions had been taken to defend against air raid and showed me anti-aircraft battery set up just outside Palacio Miraflores. He said were Trujillo to be so foolhardy Venezuela must retaliate immediately. He admitted Venezuelan air capabilities are very limited and he actually inquired if U.S. would permit Venezuelan planes refuel in Puerto Rico.

I then referred to Allan Stewart's conversation with Oropeza Castillo.³ After assuring President we welcome his constructive efforts, I gave him substance DEPTTEL 1114.⁴ President expressed deep and serious concern over recent developments in U.S.-Cuban relations and was acutely apprehensive U.S. might deem it necessary engage in some military operation against Cuba. He virtually pleaded that under no circumstances should U.S. be drawn into such move. He made it clear U.S. position vis-a-vis Cuba is good, that it has been provoked to an extreme, that Castro is menace to Western Hemisphere, that his actions are those bordering on a mad man, but that U.S. must restrain itself. He said were U.S. to engage in military action, directly or indirectly, it would

³ Reference is to Presidential adviser, Alejandro Oropeza Castillo, who had been asked to propose a plan, which Betancourt was interested in sponsoring, that would allow Latin American countries to offer guaranteed payment of property expropriated by Cuba in order to relax Cuban-U.S. tensions. (737.00/6-2060)

⁴ The referenced telegram, June 27, 1960, authorized the Ambassador to indicate that the United States welcomed Betancourt's constructive efforts as suggested by Oropeza in his conversation with Stewart. (737.00/6-2060)

immediately lose understanding and support of majority of American Republics. In such case, he said, his first act would have to be to send battalion of Venezuelan troops to protect American Ambassador.

President again said Venezuela and many American Republics are not prepared to take action required against Castro until problem of Trujillo is definitively resolved. This is an oft-repeated Betancourt position but Department will wish consider Betancourt has contemplated this situation for days and recognize that his conviction was not hastily reached. Betancourt wants and is prepared to do those things vis-a-vis Castro in line with U.S. objectives—difference between his and U.S. position is one of timing and method.

I informed President of measures being taken re Cuban sugar quota pursuant to the new sugar legislation and I stressed unanimity opinion in U.S. Congress. President recognized this U.S. action as inevitable and even appropriate in circumstances. Again he repeated his plea that U.S. not take direct or indirect military action which would alienate from U.S. support of American Republics.

As President was obviously wearying, I broke off conversation and said I would return at later date.

Sparks

VE-46. Telegram from the Ambassador in Venezuela (Sparks) to the Department of State¹

Caracas, August 10, 1960, 3 p.m.

146. Monday night President Betancourt met with sixteen Chiefs of Mission American Republics. Also present was First Secretary Cuban Embassy. Costa Rica, El Salvador and Uruguay have no representation. Also present were Foreign Minister and high Foreign Office officials. Significant were presences Senator Prieto representing AD, Jovito Villalba URD, and Miguel Angel Landaez COPEI.

President Betancourt addressed group extemporaneously for about 45 minutes. He first expressed appreciation of sympathy extended by American Governments following attempt on his life as well as their support Venezuela request convoke organ of consultation.

¹Source: Department of State, Central Files, 731.00/8–1060. Confidential; Priority.

President reviewed Venezuelans unsatisfactory relations with Trujillo government beginning 1939 with various interruptions and culminating with full break 1959.

President outlined briefly Venezuela's investigations of attempt against his life and asserted GODR and Trujillo himself were involved.

President referred to recent political developments in Dominican Republic and affirmed this was simply mockery to confuse MFM.

At close of meeting memorandum of GOV position was made available (see EMBTEL 144).²

President expressed strong hope MFM would condemn GODR and apply sanctions provided Article 8 Rio Treaty. He stated if effective action is not taken by MFM against GODR then GOV will have to study and evaluate situation and consider what action might be incumbent upon it to take unilaterally. (President offered to provide transcript his remarks but I now learn tape recorder did not function).

President then summarized his views on communism, explaining while Venezuelan Communist Party has status of legally recognized political party it has no participation in Venezuelan coalition government. Re international communist intervention in Cuba, he ratified his statements to NEW YORK TIMES correspondent Juan de Onis published July 23 and declared GOV stands firmly "hands off America".

Sparks

²Telegram 144 transmitted the verbatim text of the referenced memorandum given to the Chiefs of Mission at the meeting. (739.00/8-1060)

VE-47. Telegram from the Chargé in Venezuela (Stewart) to the Department of State¹

Caracas, November 12, 1960, 7 a.m.

418. In view current generally precarious situation in Venezuela, it is vital that country's economic, political, and social problems be placed in proper perspective in Department's and Embassy's thinking

¹Source: Department of State, Central Files, 731.00/11-1260. Confidential. This telegram was transmitted in two parts.

in order that sound approach can be adopted re Venezuela's need for external assistance.

It would be easy to dismiss Venezuela as a country too rich to need external assistance for economic and social development projects. Indeed Venezuela still enjoys a high level of foreign exchange income and government revenues relative to other Latin-American countries. Moreover, if Venezuela were able to utilize these resources effectively, without waste, for sound economic and social development projects, it is possible that Venezuela would in fact not need outside assistance.

But U.S. must face reality that Venezuela not likely to achieve stable, well administered, democratic government for some years to come. While rich in resources, Venezuela is young and inexperienced in democracy, short of capable public administrators, lacking in technicians, and as a result, weak and ineffective in implementing government's good intentions. Venezuela's background in dictatorship governments over the years was characterized by rapidly increasing expenditures on expanding bureaucracy and on ill-planned projects of questionable economic usefulness. Waste and corruption were widespread. To expect Venezuela to shake off heritage of dictatorships and evils of dictatorships and to establish responsible, effective, democratic government in one or two years would be expecting too much under very favorable conditions. It is unrealistic under conditions prevailing in Venezuela today. It may not even be possible during President Betancourt's five year term of office.

Coalition government has increased difficulties in achieving goals in economic and social spheres but is considered by President Betancourt essential for achieving political stability and maintaining democracy in Venezuela. Withdrawal of URD from existing coalition, which now appears imminent, will increase Betancourt's political problems and opposition parties.

Ineffectiveness of coalition government and effect of unstable political situation on Venezuelan economy have been adverse and serious. They have undermined confidence, both business and public, which in turn has resulted in the withdrawal of deposits from banks and flight of capital. President Betancourt faced up to this problem this week. On advice of his closest economic advisers, and apparently also, IMF, he proposed to devalue the bolivar. This engendered such overwhelming and unanimous opposition, not only among industry, commerce, banking and labor, but also from COPEI and URD, coalition partners with Betancourt's AD Party, that he was forced instead to adopt exchange controls. Country has not yet recovered from shock and confusion. Budget for current fiscal year is out of balance by over 600 million

bolivars, and to reduce expenditures further not only is difficult but could be politically and socially explosive.

President Betancourt is our best bet to achieve kind of government in Venezuela that would best promote and protect U.S. national interests. He stands for what we stand for. He recognizes the dangers of Castroism and can be counted upon to assist in blocking its spread. He has come long way in being able to be openly critical in his November 1 speech what is happening in Cuba. This would not have been possible six months ago.

Venezuela is thus beset with serious political, social and economic difficulties. President Betancourt needs help and Embassy considers it vital that U.S. give him all possible assistance along following lines:

1) Expanded technical assistance for remainder this fiscal year. Request for technicians are still pending, even those for which GOV willing cover costs. If necessary, contingency funds should be provided. President commented bitterly to me about inability obtain technicians.

2) Urgent reconsideration of policy limiting Venezuela to very restricted ICA program. President Betancourt informed me his government is definitely interested in expanded ICA program coming fiscal year and would welcome discussions about such program. However, Embassy is reluctant approach GOV unless USG policy is such that we can follow through on any reasonable program.

3) Prompt action on loans. President made strong plea for urgent action on GOV money needs. He said he did not want grant aid; that his country would be able to repay loans. What is needed, he said, is financial assistance at this time since government is in trouble.

4) Embassy has been pushing GOV for some indication what PL-480² assistance will be wanted from U.S. President said country still interested and experts working on program. Embassy is aware U.S. agencies concerned are interested in a PL-480 program for Venezuela and only asks that when request are made they be given sympathetic prompt action.

In conclusion, Embassy again emphasizes that special conditions exist in Venezuela at this time; that our stake in Venezuela amounts to some four billion dollars and that our best bet is President Betancourt. If Venezuela's inexperience in applying for assistance makes it impossible to meet normal economic criteria of our government then assistance must be provided on political grounds. With the imminent breakup of

² For the text of P.L. 480, the Agricultural Trade Development and Assistance Act of 1954, enacted July 10, 1954, see 68 Stat. 454.

tri-party coalition, with battle lines formed between anti-democratic extremism and constitutional democracy we must in our own national interest, support Betancourt to limit.

Stewart

VE-48. Memorandum of a Conversation, British Foreign Office, London¹

November 25, 1960

PARTICIPANTS

United States

Under Secretary Douglas Dillon
John N. Irwin II, Assistant Secretary
of Defense for International
Security Affairs
W.T M. Beale, Minister for
Economic Affairs,
Embassy London
William C. Trueheart, First
Secretary, Embassy London
Charles A. Sullivan, Special
Assistant to the Under
Secretary

United Kingdom

Lord Home, Foreign Secretary
Edward Heath, Lord Privy Seal
Sir Evelyn Shuckburgh, Deputy
Under-Secretary of State,
Foreign Office
Peter Ramsbotham, Foreign Office

SUBJECT

Oil, the OEPC and Venezuela

Lord Home raised the subject of oil, the OEPC, and Venezuela. Mr. Dillon said that several U.S. oil companies had got the same idea at the same time, and it was apparent that thinking among the oil companies was much the same, except for the French oil companies. He said that in his opinion the situation is bad from the viewpoint of over-all security. He pointed out that the OEPC put control of prices in the hands of Middle East companies and Venezuela. He said that the basic concept of controlling prices had been accepted in agreements

¹ Source: Department of State, ARA/EST Files, Lot 62 D 8, "Petroleum Policy". Confidential. Drafted by Beale. Information on the source text indicates that the conversation took place at 3:00 p.m. Dillon was in London following a trip to Bonn for financial discussions with German officials, which he undertook with Robert B. Anderson, Secretary of the Treasury, November 19–26, 1960. For documentation covering the Dillon-Anderson trip, see *Foreign Relations, 1958–1960*, vol. IX, Berlin Crisis, 1959–1960; Germany; Austria.

relating to coffee and tin, but that he did not like the people who are exercising the control in the case of oil. He expressed the view that the trouble stems from the Soviets, and asked whether the British side had any ideas about what could be done substantively to slow things up. Lord Home, in response, inquired whether Mr. Dillon felt that the Soviets are likely to upset the situation. Mr. Dillon replied that he thought they could cause trouble, but nothing insuperable. Lord Home asked whether there was any influence that could be brought to bear on Venezuela. Mr. Dillon replied that he did not know what could be done since power rested with one man. He expressed the opinion that the oil companies had done as much as they can to influence the Venezuelan situation.

VE-49. Telegram from the Acting Secretary of State to the Embassy in Caracas¹

Washington, December 1, 1960, 8:00 p.m.

496. Yesterday Venezuelan Representative COAS informed Council of Dominican Government's alleged complicity and intervention Venezuelan affairs, and immediately thereafter requested IAPC initiate investigation, thereof. Presentation consisted of review past Dominican sins and was not effective principally because he had no specific details to support general assertions of new conspiracy. Peace Committee adjourned to allow Venezuelan representative time to obtain and present charges in more specific form. Presumably it will not be reconvened until Venezuela indicates it is ready.

In light Embassy's 463² which was not decoded until after meeting it to appears there may be grounds for Venezuelan concern. However, neither U.S. nor other delegations had this information during yesterday's sessions and statements so far have been made only by Venezuela and Dominican Republic.

¹ Source: Department of State, Central Files, 731.00/11-3060. Confidential; Niact. Drafted by Mann and by Edward A. Jamison, Deputy Director of the Office of Inter-American Regional Political Affairs.

² The referenced telegram from Caracas, November 30, 1960, reported that the Foreign Minister had made available to the Embassy that day a series of diplomatic reports indicating another civilian-military movement to overthrow Betancourt, which had the support of Trujillo.

Department desires cooperate within limits U.S. law in attempting control revolutionary activity anti-Betancourt elements in U.S. Can GOV give us any leads which would facilitate our investigations here?

You may in your discretion promptly inform Betancourt or Falcon Briceño of foregoing and include following additional points:

(1) As indicated to Perez de la Cova yesterday Department thinks GOV should give urgent consideration to broadening terms of requested investigation so as to permit inclusion of subversive activities Communist elements directed from outside Venezuela. From Venezuelan point of view there seems to be little doubt that Communist and Castro elements were prime movers in recent disturbances in Venezuela. Betancourt himself has publicly described these disturbances as Communist attempt to overthrow constitutional government, and has privately informed Embassy of Cuban involvement (EMBTTEL 460).³ It would therefore appear strange and illogical for any OAS investigation to be limited to only one aspect of recent difficulties. From U.S. standpoint GOV will understand that while we feel as strongly as anyone concerning Dominican Government aggressions and conspiracies we would find it difficult to understand or explain to our public a second time why Communist and Castro aggressions should not be included in investigation and remedial action, particularly if specific OAS action should subsequently be decided upon.

(2) Although U.S. not member IAPC we will of course cooperate to extent feasible and appropriate with any investigation which that Committee may undertake. However, we suggest that in view of threat which conspiracy and disorders inspired from abroad pose to constitutional processes, Venezuela give consideration to invoking Rio Treaty and requesting convocation COAS as Organ Consultation in order obtain investigation under Rio Treaty procedures. As described DEPCIRTEL 767⁴ this could be done without fixing date for 8th Fonmin Meeting or indeed without finally committing governments that such meeting necessary. Purpose would be to obtain full and complete investigation of the facts after which governments could decide whether further action called for. Department doubts IAPC procedure would be as efficacious as Rio Treaty investigation.

³ The referenced telegram from Caracas, November 30, 1960, reported: "Wide agreement among responsible AD COPEI and independent political sectors from President down, that Communists and MIR are initiating incidents." (731.00/11-3060).

⁴ Not printed (731.00/11-2360)

In conveying above you should of course emphasize deep preoccupation with which we observe that Venezuelan Government chosen by popular vote in orderly constitutional elections is victim of disorder inspired from abroad.

Dillon

VE-50. Telegram from the Ambassador in Venezuela (Sparks) to the Department of State¹

Caracas, December 3, 1960, 5 p.m.

479. Conveyed DEPTTEL 496 in detail yesterday morning to Foreign Minister who left Cabinet meeting to receive me. I stressed points one and two particularly need broaden terms requested investigation since Communists and Castro elements have been prime movers in recent disturbances in Venezuela. Foreign Minister made copious notes and said he would confer at once with President Betancourt. He observed however Venezuela can actively proceed against Castro. Foreign officer telephoned me yesterday evening President Betancourt will receive me Monday 11:00 a.m.

Sparks

¹Source: Department of State, Central Files, 731.00/12-360. Confidential; Priority.

VE-51. Telegram from the Ambassador in Venezuela (Sparks) to the Department of State¹

Caracas, December 5, 1960, 7 p.m.

483. Reference: Department telegram 496

Stewart and I met at noon today for three hours with President Betancourt and Foreign Minister Falcon. Among other matters we

¹Source: Department of State, Central Files, 731.00/12-560. Confidential; Priority.

discussed at length Department suggestion GOV request investigation under Rio treaty of attempts outside forces overthrow his regime. I stressed U.S. internal political factors which make difficult again probe into Dominican Republic's actions against GOV without including Cuba in same investigation.

President appreciated these facts but repeated what he has told me many times, namely insofar as Venezuela is concerned no action can be taken on Cuba until Trujillo problem is resolved. President is convinced Venezuelan people are on his side in this matter and from standpoint his own personal honor he cannot enter into any action against Cuba until Trujillo regime is forced out of power. As President has stated before he does not want link any OAS action against Trujillo with that of Cuba. President is fully aware of dangers of Castroism and he repeated he gladly would head movement of Latin American countries to dispose of Castro problem once effective action were taken against Trujillo. He said Colombia, Chile, Argentina and Peru were in full accord with GOV in this line. He added he had discussed Cuba with President-elect Janos Quadros of Brazil when latter made brief visit to Venezuela after his trip to Habana and he had received recent assurances Quadros Brazilian executive agreed with Venezuelan position vis-a-vis Castro and Trujillo. Betancourt believes present Brazilian Government is playing ball with Trujillo.

At one point in conversation President said he was willing move against Cuba as soon as effective sanctions contemplated in sixth MFM in San Jose were put into effect. Plan he envisaged would call for representatives of Latin American nations meet privately with Castro and inform him that there must be reassignment of Cuban foreign policy failing which full weight of sanctions then would be imposed on Cuba by membership of OAS. Mere fact Cuban Government has violated terms of OAS agreements would be sufficient, but fact also it has placed itself within Soviet orbit would result in hemisphere-wide support of action against Castro. He belittled any efforts of countries such as Guatemala or Nicaragua to initiate action against Castro.

Reiterated offer Venezuela and Colombia send armed forces prevent Castro penetration Dominican Republic if requested by OAS or provisional GODR.

I presented our case in strongest possible terms and Betancourt's reply was equally firm. I do not think it is at all likely Betancourt will change his mind.

Sparks

VE-52. Letter from the Deputy Assistant Secretary of State for Inter-American Affairs (Coerr) to the Deputy Assistant Secretary of Defense for International Security Affairs (Knight)¹

Washington, December 7, 1960.

Dear Mr. Knight:

As you aware the United States Government agreed by an exchange of notes signed December 8, 1956 and February 5, 1957 to furnish the Government of Venezuela credit totaling approximately \$180 million dollars over a period of ten years for the purchase of military equipment and material. The terms specified in this agreement are: "A suitable down payment followed by semi-annual installments over a three-year period at three percent per annum interest on the unpaid balances".

In view of a difficult budget situation which arose and the need to reduce military expenditures, a representative of the Venezuelan Ministry of Defense visited Washington on November 25, 1959 to inquire about the possibility of modifying the credit agreement to provide more favorable credit terms. This representative was advised at a joint State-Defense meeting that a reconsideration of the interest rate in light of the prevailing rates would most likely result in a higher, not a lower interest rate, and that it was virtually impossible to extend the repayment terms beyond three years because of the accounting limitations and the inflexibility of the three year limit on revolving fund financing.

Nevertheless, it was indicated that some adjustment of repayment terms might be worked out, without exceeding the three-year limit, in order to afford some relief to the Venezuelan Government. It was suggested that a formal request for adjustment be submitted through diplomatic channels and the representative was informed that the United States [illegible in the original] concerned would expeditiously consider the request.

By a letter dated December [illegible in the original], 1959 to the Chief of the United States Army Training Mission in Venezuela, the Venezuelan Ministry of Defense requested extension of the credit repayment terms from three to ten years.² Since the extension of credit beyond three years meant that repayments revert to the United States Treasury and no longer become available for credit financing, there were logical objections at the time to accommodating the Venezuelan

¹ Source: Department of State, ARA/IAS Files, Lot 65 D 285, "Defense Affairs: Mansfield Amendment." Secret. Co-drafted by John J. Intersoll and Allan F. McLean of the Office of Inter-American Regional Political Affairs on November 29. The source text is a carbon copy bearing Coerr's typed signature.

² The reference letter was not found Department of State files.

request in full. The Defense Department, therefore, proposed that the two Governments modify the credit arrangement in order to provide the Venezuelan Government relief by permitting annual payments in lieu of semi-annual installments for all transactions not consummated in FY 1960, and by implementing the FY 1961 and 1962 Venezuelan credit program on the basis of ten percent down and payment of the balance at the end of the three year period.³

This modification was offered to the Venezuelan Government in the Department's note of June 17, 1960.⁴ However, due to an increasingly grave political and economic situation which has arisen since the Department's proposal, the Venezuelan Government responded to the note by sending another special representative to Washington this month to plead on its behalf that the United States Government reconsider its request for longer credit terms, and, as a measure of immediate relief, to request the United States Government to grant a moratorium on payments now due and which will become due on most purchases. This request was confirmed by the Venezuelan Embassy note no. 1180 dated November 14, 1960, a copy of which is enclosed for your information and reference.⁵

Since the original request of the Venezuelan Government for modification of the credit terms was received, the economic situation of Venezuela has deteriorated rapidly. The Venezuelan Treasury is seriously depleted and the Government faces a deficit of about 220 million dollars this fiscal year. The present Government has already pared its budget down about as far as is politically prudent. In fact, the political disturbances that have taken place recently even in part from that Government's rigid [illegible in the original] and such disturbances and riots are likely to recur, at least sporadically in the foreseeable future. [illegible in the original], the present Venezuelan Government feels that it is in no economic position to make payments on past purchases and will require an extension of repayment terms.

The Department of State considers it to be in the interests of United States Government to support on an urgent basis this request from the Venezuelan Government for relief upon its present overburdened budget.

The Department of State strongly recommends that both our Departments give immediate consideration to granting relief to the Venezuelan Government by providing a moratorium on payments

³ Secretary Herter approved the new credit arrangements on June 11, 1960. (Memorandum from Rubottom to Herter, June 3, 1960; ARA/IAS Files, Lot 65 D 280. "Defense Affairs: Mansfield Amendment")

⁴ Not printed;

⁵ Not found with source text; a copy is separately filed under

due and that will come due on past purchases, and to extend the credit terms to a ten-year period in lieu of three.

Sincerely yours,

Wymberley D.R. Coerr

VE-53. Memorandum from the Under Secretary of State for Political Affairs (Merchant) to the Secretary of State and the Under Secretary of State (Dillon)¹

Washington, December 9, 1960.

SUBJECT

Meeting on Proposed Oil Proclamation

In accordance with instructions I attended a meeting at 8:30 this morning in the White House under Gerry Morgan's² chairmanship on the proclamation proposed by Secretary Seaton of Interior relative to oil imports. Essentially the draft would modify the President's proclamation 3279 of March 10, 1959 and introduce substantial administrative flexibility into the procedures established thereunder.³

The meeting was also-attended by Judge Walsh,⁴ General Persons,⁵ Secretary Seaton, Under Secretary Bennett,⁶ Secretary Anderson, Don Pasriberg⁷ and Phil Areeda.⁸ Mr. Bramble⁹ accompanied me.

I argued strongly for delay in a decision on this matter on the grounds that there had not been adequate inter-Departmental consideration of the matter and, further, that there, had been a substantial

¹ Source: Department of State, ARA/EST Files, Lot 62 D 8, "Oil Imports Program." Confidential.

² Deputy Assistant to the President.

³ The proposed amendment would require the Secretary of the Interior to make corrective adjustments in the mandatory oil import program in order to prevent over-estimates and under-estimates of total demand from having an unintended impact on levels of importation of oil into the United States.

⁴ Lawrence E. Walsh, Deputy Attorney General.

⁵ Wilton B. Persons, Assistant to the President.

⁶ Elmer F. Bennett, Under Secretary of the Department of the Interior.

⁷ Special Assistant to the President.

⁸ Assistant Special Council to the President.

⁹ Harlan P. Bramble, Deputy Director of the Office of International Resources of the Department of State.

neglect of the element of national security on which the 1959 proclamation substantially rested. I emphasized the damaging effects that the proposed modification would have on many sensitive areas of the world but particularly on Venezuela. I expanded on the difficult internal situation in Venezuela and the key position which Betancourt occupies in relation to our policy towards Castro. During the latter part of the discussion I said that the State Department would accept the responsibility for securing a delay in the issuance of a new proclamation on this subject (since we would be blamed for it anyway) and that it was our strong desire that no change be made in the procedures for the first quarter of 1961.

Messrs. Seaton and Bennett argued vigorously on behalf of their proposition. I received support from Paarlberg, Areeda, and to considerable degree from Gerry Morgan. The upshot was that Secretary Seaton's proposal was not approved by the group.

Fred Seaton thereupon said that he was impelled to appeal this decision to the President, and an appointment was made for this purpose for 8:30 a.m., December 21, with a Defense representative and Tom Mann added to the group of representatives assembled this morning.¹⁰

¹⁰ The proposed amendment was approved and issued on December 24, 1960, as Proclamation 3386. For text of the proclamation, see 25 Foreign Relations 13945.

Index

Editor's Note: The references in this index are to document numbers. Each document is numbered within each compilation with particular prefixes. These prefixes are as follows: ETA: U.S. regional economic and technical assistance policy; BL: Bolivia; CI: Chile; CO: Colombia; CR: Costa Rica; DR: Dominican Republic; EC: Ecuador; ES: El Salvador; GT: Guatemala; HA: Haiti; HO: Honduras; NI: Nicaragua; PM: Panama; PA: Paraguay; PE: Peru; UR: Uruguay; and VE: Venezuela.

Abbes Garcia, John, DR-1
Achilles, Theodore C., ETA-34, 36-37, 39-41, 43
 Peru, PE-4, 6, 8-11, 15, 19, 24-25, 27-28, 32-33, 35-36, 43-45
Acly, R. Austin, PM-13
Acosta, Eduardo, VE-11
Act of Bogotá. *See* Bogotá meeting *under* Organization of American States: Committee of 21.
Adair, Charles W., Jr., ETA-17-18
Adams, Sherman, BL-10
Africa, ETA-5; CH-5, 7; GT-8; HA-10, 13
Agriculture, U.S. Department of, ETA-49; CO-12
Aguilar Mawdsley, Andrés, VE-14
Aguiluz Orellana, Marcial, CR-28
Agurcia, Juan, HO-18
Aiken, George, CO-25
Alegria, Julio Cesar, NI-22
Alejos, Carlos, GT-29-30, 32, 41-42
Alejos, Roberto, GT-3, 15-16, 18
Alessandri Rodriguez, Jorge, CH-6, 8-16, 18, 23, 25-37
Algrant, Victor, CH-27
Allen, George V., CR-21; GT-4; PM-17
Allen, John, PM-39, 43
Allen, Ward P., EC-16
Allende, Salvador, CH-4, 6, 8
Alonso, Justo M., UR-9, 14
Alvarado Puerto, Andrés, HO-1, 8, 12, 18; NI-2, 3, 5, 22
Alvarez Calderon, Alfredo, PE-11
Alvarez Plata, Federico, BL-1, 5, 24
Alvarez Restrepo, Antonio, CO-8, 12
Anderson, Robert H., ETA-52; CR-15-16; PM-17, 43; UR-6; VE-53
 Latin America, U.S. economic aid to, ETA-8-10, 19, 21, 30-32, 39, 44-46; BL-16; PE-44; UR-8

- Andrade, Victor, BL-8, 11-12, 25-20, 30, 37, 43
Antarctica, CH-34
Antillón Hernández, Col. Carlos S., GT-6, 12, 14, 16-18
Aragon, Doris T., CR-21
Aramburu, Maj. Gen. Pedro Eugenio, DR-16
Arana, Col. Francisco, GT-24
Araujo, Manuel, EC-23
Arcaya Rivero, Ignacio Luis, HA-17; VE-30
Ardón Fernandez, Col. José Enrique, GT-1
Areeda, Phil, VE-53
Arenas, José Luis, GT-21, 25
Arévalo, Juan José, GT-18, 22, 24; VE-22
Arey, Hawthorne, PE-45; UR-5
Argentina (*see also* Latin America), ETA-15, 17, 28; BL-32; CH-29, 31;
CO-12; ES-42; UR-9; VE-13
Peru, EC-10, 20-23
United States, relations with, ETA-2, 13, 27, 29; BL-17; CH-15
Arguello, Fernando, NI-22
Arias, Ricardo M., PM-8, 24-25, 58
Armfelt, Carl, DR-1
Army, U.S. Department of the, CR-10; PM-39
Arnold, Elting, ETA-8, 12
Arosemena, José, EC-23
Arosemena Monroy, Carlos Julio, EC-15
Arroyo Torres, Ledo, UR-14
Asensio-Wunderlich, Julio, GT-3-4
Ashworth, Jack, PE-39
Atomic Energy Commission (AEC), PM-41, 43
Atterberry, Phil R., ETA-12
Atwood, Rollin S., ETA-7; GT-10, 16, 20; HA-8, 10, 25, 27
Aurand, Capt., PM-17
Austria, ETA-27, ES-34
Ayulo, Enrique, PE-11
- Baggett, Samuel G., CR-6, 15, 18
Baguidy, Joseph, HA-28
Bailey, Frederick J., Jr., CR-29
Baird, Julian B., ETA-8, 12; PE-1
Baker, Jasper, HO-17
Balaguer, Joaquin, DR-6, 12, 26
Barall, Milton, ETA-53; BL-35, 37, 40; CO-37; GT-34, 37; HA-27, 29;
HO-20; PA-11
Barbot, Clement, HA-4, 14, 17
Barfield, John D, DR-7

- Barnes, Donald F., PE-48
Barnes, Robert G., EC-1
Baron, Sydney, DR-1
Barrau Pelaez, Manuel, BL-5
Barrios, Gonzalo, VE-28
Bartsch, Carl E., VE-1, 10, 16-18, 28-29
Baruch, Bernard, EC-18
Battle, José, UR-9
Batlle Berres, Luis, UR-2-3, 9, 12-13
Battle Ibáñez, Jorge, UR-13
Battle Pacheco, Cesar, UR-14
Beale, Wilson T.M., Jr., ETA-22; VE-48
Becker, Loftus E., ETA-5; VE-5
Belgium, ETA-27
Belize. *See*, British Honduras.
Bell, John O., ETA-35, 40; BL-41; CO-25, 30-34; HA-10;
PM-15; PE-34
Belton, William, CH-1, 5
Beltrán Espantoso, Pedro, PE-7, 11, 13, 24-27, 29-30, 32, 34-35, 39-40,
42-45, 49-50
Bendfeldt Jauregui, Manuel, ETA-53; GT-30, 34
Bennett, Elmer F., VE-53
Benson, Ezra Taft, PM-43
Berckemeyer, Fernando, PE-1, 4, 7, 12, 16, 21, 25, 30, 32-33, 35, 40-42
Bernardo Flores, H.E., VE-27
Bernau, Phyllis D., DR-2
Bernbaum, Maurice M., CO-4-5; EC-7, 23-24; PA-3, 7; UR-3, 5, 8;
VE-5, 8, 16-18
Bertens, Eugenio, CH-15
Betancourt, Rómulo, ETA-41; GT-22; HA-11, 17; NI-11; VE-13, 16
Cuba, VE-25, 45, 51
Dominican Republic, DR-19, 21, 25-26; VE-15, 20, 25, 41, 44-46; 51
Political situation, VE-15, 25, 28, 47, 49
U.S. economic aid, ETA-23, 24; VE-28
U.S. import restrictions, VE-22, 25, 28, 32
Bittermann, Henry J., ETA-8, 12
Black, Eugene R., ETA-30, 31; PE-44
Blanchard, Louis F., HO-6; NI-11
Blanchet, Jules, HA-26
Blanchet, Paul, HA-26
Blau, Clarence I., ETA-12
Blowers, George A., UR-5
Boggs, Hale, HO-20
Boggs, Marion W., DR-10, 19, 25

Bogley, Samuel, GT-10

Bogran, Luis, HO-3

Bolivia (*see also* Latin America), BL-32; CH-29

Economic situation, ETA-28; BL-1, 3, 25, 30-31, 33, 36

Foreign private investment in, BL-1, 6, 8, 15-16, 34

Inter-American Development Bank, ETA-15, 41

Political situation, BL-1-3, 14, 24-25, 31-32, 36, 43

Soviet bloc, relations with, BL-1, 26, 28, 33, 35, 37, 42-43; PA-7

Stabilization program, ETA-27; BL-1-3, 5, 9, 11-15, 17, 20, 22-23, 43

United States, relations with, BL-1, 5-9, 18-19, 25, 30-32

U.S. economic aid to, ETA-2, 4, 13, 28; BL-1, 2, 4, 9-10, 32, 36;
PA-1, 6-7

Development Loan Fund, ETA-13; BL-5, 7, 12, 15

Grace & Co tax issue, BL-25

Political situation and, BL-1, 24

Stabilization program and, BL-9, 11-13, 15, 17, 20, 22-23, 26, 43

State-owned enterprises, BL-6-7, 12, 16, 26, 28-29, 33-35, 37,
40-41, 43

U.S. military aid to, BL-2, 15; PA-7

Bonhomme, Ernest, HA-15, 17-18, 23

Bonsal, Philip W., BL-2, 5, 7, 9, 11-13, 16, 17; DR-30

Boonstra, Clarence A., PA-10, 12; UR-8, 17

Borbón Castro, Jorge, ETA-50; CR-2, 5, 26-27

Bowles, Chester, PM-55

Boyd, Aquilino, PM-25

Boyer, Hervé, HA-26

Braden, Spruille, CO-10

Bragdon, Gen., PM-43

Bramble, Harlan P., VE-22, 25, 53

Brand, Vance, ETA-8, 31; EC-18; PM-19-20; PA-10; PE-44-45; UR-5

Brazil (*see also* Latin America), ETA-2, 5, 28; CO-17; DR-25, 27; EC-10,
20-23; ES-34, 42

Inter-American Development Bank, ETA-10, 15, 17-18, 20

Operation Pan America proposal, ETA-48; CH-30; PA-7

United States, relations with, ETA-27, 41; BL-17; CH-31

Breaux, Clarence, BL-6

Brewster, Robert C., PE-44

Briggs, William T., BL-2; CH-31-32; VE-31, 36

Brinsmade, Robert, VE-15

Brisco, Milo M., PE-21, 50

British Honduras, GT-4-8

Brucker, Wilber M., PM-19-20, 26, 28, 35-40, 43, 50, 52, 56

Bryan, Malcom H., PE-35

Buchanan, Wiley T., Jr., GT-3

- Budinger, John M., VE-20
 Bueso Arias, Jorge, ETA-50-51, 53
 Buitrago, Capt., ES-13, 26
 Burgess, UR-5
 Burke, Adm. Arleigh A., GT-39
 Burns, Robert L., PM-15
 Burr, Jorge, CH-24
 Burroughs, Robert, PM-8
 Burrows, Charles R., HO-16, 18-19, 21; UR-2
 Venezuela, VE-3, 6, 8, 15, 22, 25, 28, 33-34, 37
 Butler, G., CH-5
- Cabell, Gen. Charles P., DR-10; ES-32; GT-1
 Cabot, John M., ETA-12; CO-1, 3-4, 10-13, 16-17, 20
 Cake, Ralph, PM-8
 Caldera, Raphael, VE-15
 Calderon Guardia, Rafael Angel, CR-9-10
 Calderon Moreno, Alfonso, EC-9
 Calhoun, John A., ETA-29; GT-13, 24; NI-10; PM-18, 44, 45, 51
 Callander, C.L., ETA-8, 12
 Calle, Gen., EC-24
 Campos, Manuel, CR-29
 Canada, ETA-3-4, 26; CH-21; DR-25; EC-7; PE-43; VE-14, 26, 28-29
 Canessa, Roberto E., ES-22
 Capriles, Miguel Angel, VE-22
 Carballo, Rafael Antonio, ES-22
 Cardoñas, Gen. Lazaro, CR-21; NI-11
 Cardona, Francisco, NI-22
 CARE, CR-10; HO-10
 Caribbean situation (*see also* Central America, Cuba, and
 Dominican, Republic *subheadings under other subjects*;
 Dominican Republic, Haiti, Honduras, *individual countries*),
 CR-29; DR-1; ES-8; UR-15; VE-20, 40
 Colombia, CO-18, 28, 33
 Dominican Republic overthrow attempts, DR-7-9, 19
 El Salvador, ES-14, 16, 19, 20, 31
 Guatemalan intervention accusations, GT-22, 24, 35-37, 39-40, 42
 Haitian intervention accusations, HA-6, 11, 15-17, 21
 Nicaraguan intervention accusations, GT-37, 39; HO-7; NI-5,
 11-12, 14, 21, 23, 25
 Panama invasion, PM-14
 Regional economic integration proposals and ETA-25
 U.S. arms embargo, GT-26-27
 Carrillo Batalla, VE-32

- Carrillo Smith, Carlos, PE-43
Carson, HO-10; VE-11
Carson, Charles C., PA-7, 12
Carter, Albert E., PA-6
Carter, Maj. Gen William A., PM-50, 59
Carwell, Joseph, ETA-53-54; CR-26; GT-43
Castillero, Ernesto, PM-25
Castillo, Fabio, ES-27, 30
Castillo, Lt. Col. Miguel Angel, ES-27
Castillo Armas, Col. Carlos, DR-1; GT-5, 18
Castillo Arreola, GT-24
Castro, Alvaro, CR-25
Castro, Hector David, ES-5-7
Castro León, Col Jesús Maria, VE-13, 40
Castro Moran, Maj., ES-30
Castro Ruz, Fidel (*see also* Cuba), CO-28; NI-11; PE-48
Central America (*see also* Latin America; *individual countries*)
 Central American Bank for Economic Integration (CABEI),
 ETA-51, 53-54; ES-21, 30
 Cuba, relations with, CR-23-24, 28
 Inter-American Development Bank, ETA-18
 Milton Eisenhower trip, ETA-7; CO-1; CR-6-9; ES-2, 5-6; GT-8,
 24; HO-3; NI-4, 7-9; PM-3; PA-7
 Regional economic integration proposals, ETA-7, 25-26, 51, 53-54;
 ES-2, 5-6, 21, 30; GT-16; NI-8
 U.S. economic aid to, ETA-7, 25, 50-51, 53, 54; ES-21, 30
Central American Bank for Economic Integration (CABEI), ETA-51,
 53-54; ES-21, 30
Central Intelligence Agency (CIA), DR-8
Chafardet Urbina, Luis, VE-32
Chaplin, Maxwell, ES-14; HO-15, 17, 19-21; PE-47
Chaufournier, Roger, PE-7, 12
Chaves, Nuflo, BL-1
Chiari, Roberto F., PM-47, 59, 61, 63
Chile (*see also* Latin America), ETA-17; CH-7; EC-10, 20-23; ES-42;
 VE-13
 Economic situation, ETA-28, 41; CH-9-10, 12-13, 15, 25
 United States, relations with, ETA-3; CH-1-6, 8, 20-21, 27-28, 30,
 33, 35; ES-1
 U.S. economic aid to, ETA-2-4, 41; CH-10, 26-27, 34
 Development Loan Fund, ETA-13; CH-5, 13, 17, 22
 Disaster relief, ETA-35, 37, 41, 44, 47; CH-37-41
 Stabilization program and, ETA-27; CH-10, 17, 19, 23, 36
 U.S. military aid to, CH-27, 29, 31, 34; PE-4

- China, People's Republic of, ETA-3-4; CH-6, 24, 36; EC-23; ES-1, 34
- Chiriboga Villagómez, Jose R., EC-10-11, 14, 17-18, 22-23, 25; PE-52
- Clark, Gen Edwin N., DR-16-17, 20, 24, 28
- Clark, George John, BL-17, 30, 32
- Clulow, Carlos A., UR-15, 17
- Coerr, Wymberley DeR., BL-34; CH-25; CO-25, 30, 32; ES-40; GT-42; PE-33, 42
- Latin America
- United States, relations with, BL-19; EC-23; PE-36
 - U.S. economic and military aid to, ETA-41; BL-3, 12, 22; CH-38; CO-31, 33-34; PE-35; VE-52
- Cohen, Alexander A., CR-21
- Colmenares, Adolfo, GT-20
- Colombia (*see also* Latin America), ETA-5; CO-30; DR-22
- Economic situation, ETA-28, 41; CO-3, 5, 7-8
 - Political situation, CO-8, 10, 12, 15-19, 26, 39
 - United States, relations with, CO-9, 13-14, 23, 27-34; EC-7; PM-48
- Church closings, CO-1, 4, 7, 11-12, 16-17
- U.S. economic aid to, ETA-17, 27; CO-6, 12, 20-22, 25, 31, 35
 - U.S. military aid to, CO-3, 7, 24, 26, 33, 36, 38-39
- Conger, Clement E., VE-1
- Congress, U.S., CH-2, 26, 31-32, 35; CO-33; HA-14; PM-52
- Acts of:
- Agricultural Trade Development and Assistance Act of 1954 (P.L. 83-480), ETA-4, 27; CH-5; CO-6; CR-10; EC-2, 6, 8; PA-3; PE-3, 35, 38; UR-1, 2, 9
 - American Republics Cooperation Act (P.L. 86-175), ETA-48, 55
 - Appropriation Act of 1933 (P.L. 428), VE-11
 - Battle Act, CH-6-7
 - Buy American Act, ETA-40; VE-11
 - Cooley Amendment, *See* Agricultural Trade Development and Assistance Act of 1954 *above*.
 - Defense Production Act of 1950 (P.L. 774), CH-20-21; CO-37
 - Export-Import Bank Act (P.L. 173), ETA-46
 - Federal Employees Salary Increase Act of 1958 (P.L. 85-462), PM-13
 - Inter-American Development Bank Act (P.L. 86-147), ETA-24
 - Mutual Defense Assistance Control Act, 1951. *See* Battle Act *above*.

- Mutual Security Act of 1954 (P.L. 665), BL-2; CO-39; EC-11; HA-10, 21; PM-15
- Mutual Security Act of 1956 (P.L. 726), HO-2; PM-3
- Mutual Security Act of 1958 (P.L. 85-477), EC-11; PM-15
- Mutual Security Act of 1960 (P.L. 86-472), ETA-54
- P.L. 86-76, EC-11
- P.L. 86-118, EC-11
- P.L. 86-593, GT-25
- P.L. 86-735, GT-31
- Reciprocal Trade Agreement Act, PM-8, VE-5
- Ship Loan Act, P.L. 85-532, CO-24; PE-14
- Sugar Act of 1948 (P.L. 86-592), CO-37; CR-23, 25; GT-25; PE-41
- Tariff Act of 1930 (P.L. 361), UR-6
- Trade Agreements Extension Act of 1955 (P.L. 84-36), ETA-4
- Trade Agreements Extension Act of 1958 (P.L. 85-686), PM-8
- McClellan Committee *see* Permanent Subcommittee on Investigations of the Senate Committee on Government Operations *below*.
- Permanent Subcommittee on Investigations of the Senate Committee on Government Operations, BL-25
- U.S. economic aid to Latin America, ETA-20-21, 24, 31, 33-35, 37, 39-41, 44-48, 50, 55; CO-25
- Connally, Tom, HO-22
- Conover, Harry, ETA-13; BL 9; GT-10, 11; HA-8
- Considine, Robert, PE-43
- Constant, Victor Nevers, HA-2
- Convention of Mexico City, CR-3
- Cooley, Harold D., CR-26; DR-25
- Copete Lizarralde, Ignacio, CO-8, 22; ETA-17
- Corcoran, Thomas G., GT-29
- Cordero Crespo, Gonzalo, EC-15
- Cordova, Gen., ES-29
- Cordovez, EC-7
- Costa Rica (*see also*, Latin America), CR-3, 5; HA-15; VE-13
 - Cuba, CR-23-24, 29; GT-37, 39
 - Economic situation, ETA-28; CR-3, 5, 9; ES-5
 - Nicaragua, relations with, CR-3, 19, 28-29; NI-1-3, 5-6, 14-16
 - Political situation, CR-1, 3, 5, 20-21; NI-1, 21
 - United States, relations with, CR-3-13, 15-19, 21, 23, 25-26; ES-1; GT-37, 39
 - U.S. economic aid to, ETA-13; CR-3, 5, 9-10, 14, 21, 23, 25-27
- Costanzo, C.A., BL-17
- Costanzo, Gesualdo, PA-11
- Coughran, Thomas B., ETA-12; CR-9; ES-2; GT-8; PE-1

- Council on Foreign Economic Policy, ETA-5
 Crespo, Morales, VE-11
 Croizat, Col. Victor, HA-9
 Cruz Salazar, Col. Jose Luis, ES-1; GT-1, 3, 5, 28
 Cuba (*see also* Caribbean situation; Cuba and Cuban subheadings, under other subject; Latin America), ETA-10, 28, 33, 49, 55; DR-25; PE-47-48
 Central America, relations with, CR-23-24, 28
 U.S. policy toward, CH-32; PE-43
 U.S. sugar quota cut, CO-37; CR-23, 25-26; DR-25; EC-14; GT-25; PE-41; UR-15; VE-45
 Culley, Perry H., EC-1
 Cumming, Hugh S., Jr., DR-18, 29; EC-23; ES-36-37, 40; GT-37
 Cutler, Robert, ETA-30, 41, 49; EC-17-18
 Czechoslovakia, BL-1, 33, 36
- D'Antoni, Thomas S., HO-20
 Dalponte, Mario, ETA-50, 53
 Darby, Harry, VE-20
 Dasso, Andres, PE-7
 Dávila, Céleo, HO-1, 6
 De Arteaga, Diego, UR-15
 De Galíndez, Jesus, DR-1
 De la Guardia, Ernesto, Jr., PM-1, 3-4, 6, 11-12, 22, 47, 59-60
 De Lavalle, Juan Bautista, PE-16-17
 De Moya, Manuel A., DR-5-6, 12
 De Sola, René, VE-14
 Dearborn, Henry, DR-12-13, 26-28
 Declaration of Solidarity for the Preservation of the Political Integrity of the American States Against the Intervention of International Communism. *See* Caracas Resolution under Organization of American States.
 Defense, U.S. Department of, CO-3; CR-3; EC-1; ES-41-42; GT-26-27; VE-12
 Haiti, HA-2, 4, 18
 Panama, PM-19, 29-32, 39
 Peru, PE-25, 33
 Déjoie, Louis, HA-4-5, 11-12
 Delgado, Enrique, NI-18
 Delgado, Pedro Abelardo, ETA-50-51, 53
 Delgado Barreucche, Rafael, CO-8
 Delgado Chalbaud, Col., VE-31
 Delgado Yrigoyen, Javier, PE-37
 Dénéke, Rolando, ES-25, 43

- Denmark, ETA-27
- Dennison, Adm., GT-36
- Dennison, W. Ellery, HA-8, 27
- Desinor, Clovis, HA-26
- Development Loan Fund (DLF), ETA-2-4, 6, 25, 31-32
- Bolivia, ETA-13; BL-5, 7, 12, 15
 - Central America, ETA-7, 53-54
 - Chile, ETA-13, CH-5, 13, 17, 22
 - Colombia, CO-7, 21, 35, 36, 37
 - Costa Rica, CR-3, 9, 23, 26-27
 - Ecuador, EC-6, 8, 18
 - El Salvador, ES-1-2
 - Guatemala, GT-10-12, 15, 18-20, 29
 - Haiti, HA-1, 3, 8, 17, 20, 23, 25
 - Honduras, HO-3, 21
 - Inter-American Development Bank and, ETA-8, 11-12, 15, 29
 - Inter-American Program for Social Development and, ETA-34, 36-37, 39-40, 44-45, 49
 - Nicaragua, NI-22
 - Panama, ETA-13; PM-20, 35, 63
 - Paraguay, PA-1, 3, 7, 8, 10
 - Peru, PE-17, 23-24, 27, 35, 44, 45, 47
 - Uruguay, UR-1-2, 4, 9
 - Venezuela, VE-37
- Devine, Frank J., CO-36, 37; DR-28
- Dewey, Thomas E., VE-20
- Diefenbaker, John G., PE-43; VE-26
- Diez de Medina, Fernando, BL-32
- Diez Delgado, Gustavo, EC-13
- Diez, Julio, VE-16
- Dihigo, Ernesto, HA-17
- Dillon, C. Douglas, ETA-5-6; BL-25, 35, 37; CH-6; CO-25; VE-39, 44, 49
- Central America, ETA-7, 25, 51, 54; ES-8, 13; HO-7
 - Inter-American Development Bank, ETA-8-12, 14-16, 19, 22, 30, 32, 41
 - Political situation, DR-9-10, 19, 22-23; ES-8, 13, 21, 31; NI-15
 - United States, relations with, ES-31, 42, 43; HA-18; HO-13
 - Trade relations with, ETA-1-3; CH-35; UR-6, 10; VE-29. 48, 53
 - U.S. economic aid to, ETA-2, 7, 13, 31; CO-21-22; EC-18;
 - GT-11, 29; HO-10; PM-63; PE-13, 23
 - Agrarian reform and, CO-25
 - Disaster relief, CH-37
 - Inter-American Program for Social Development,
 - ETA-33-37, 40, 42-46, 48-50, 55

- Political situation and, GT-34, 40
- Regional economic integration proposals, ETA-51
- Stabilization programs and, BL-13, 20, 23; CH-11, 17; HA-10; PE-26, 44; UR-1, 5
- State-owned enterprises, BL-16, 26, 34-35, 37
- U.S. military aid to, CO-38-39; EC-1, 11; GT-14, 26; HA-21; PE-30; VE-12
- U.S. private investment in, ETA-52; CR-15-16; HO-20; PE-50
- Panama, PM-17-18, 35-36, 44-46, 48, 57-58, 60, 63
- Peru-Ecuador border guarantee, EC-17, 20
- Regional economic integration proposals, ETA-7, 25, 51, 54
- Doering, William F., ETA-8, 12
- Dominican Republic (*see also* Caribbean situation; Latin America; *Dominican Republic subheadings under other subjects*):
 - Economic situation, ETA-28; DR-21-22, 29
 - Foreign intervention, DR-1, 7-8; HA-15
 - Haiti, relations with, DR-1; HA-11, 21, 25-26
 - OAS discussion of, CO-32; DR-11, 14-15, 20, 23, 25-30; HA-15; VE-20, 28, 40, 42-44, 49
 - Political situation, CO-32; DR-7, 9-13, 15-16, 18-21, 26-29; HA-25
 - Trujillo trust proposal, DR-16-17
 - United States, relations with, CR-9; DR-1-6, 10, 21, 25, 30
 - U.S. policy toward, DR-9-10, 14-16, 20, 22, 24, 27-28
 - Venezuela, relations with, VE-13, 15, 25
- Donahue, ETA-26
- Donalson, John, HO-21
- Donhauser, Robert, HA-12, 16
- Donnelly, Dixon, ETA-40-41
- Dory, Robert J., CH-5
- Dorticós Torrado, Osvaldo, PE-47
- Douglas, James H., Jr., PM-32
- Downs, Donald P., ES-16, 17, 23, 30, 35, 39
- Drake, K, CH-5
- Dreier, John C., ETA-17-18; CR-21; DR-14-15, 23; HA-16; HO-4, 7; PM-14; PE-48
- Drew, Gerald A, HA-1, 4-5, 9, 11, 13, 14, 15, 17
- Dreyfuss, John T., EC-22, 25
- Dulles, Allen, DR-16-17, 19; ES-36-37, 40; GT-1, 30; HA-24; PM-33
- Dulles, John Foster, ETA-5, 48; CO-10; DR-10; CT-6; PM-3, 8, 26; VE-19
- Latin America
 - United States, relations with, ETA-1; CH-3; CO-14; CR-2; DR-2, 5; GT-2, 4; HA-2; VE-5, 11, 14
 - U.S. economic aid to, ETA-11; BL-3; CH-12; GT-13; HO-1; PM-2; PE-1

- Duran, EC-7
Duran, Luis M., BL-6
Duruz, Willis F., BL-10
Duvalier, François, HA-2, 4-7, 11, 13-14, 17-18, 20, 23-27
Duvall, BL-25
Duvigneaud, HA-5
- Eakens, Robert, CH-5, 15
Eaton, Samuel D., CH-12, 17, 19
Echandi Jiménez, Mario, CR-1-10, 12, 15-17, 19, 23-29; ES-1; NI-1-2, 21
Echegoyen, Martin R., UR-9, 14
Ecuador (*see also* Latin America), ETA-15, 28; ES-34
 Cuba, EC-16, 23
 Peru, relations with, EC-10, 17, 19-23; PE-8, 37, 52
 Political situation, EC-15, 23-24; PE-43
 United States, relations with, EC-3-7, 12, 14
 U.S. economic and military aid to, EC-1-2, 6, 8-9, 11-13, 16, 18, 24-25
- Edwards, Lt. Col. Spencer P., Jr., CR-21, 29
Eisenhower, Dwight D., ETA-8; CH-29, 36; CR-17; ES-6; UR-17
 Cuba, CO-29; DR-25; PE-43; UR-17
 Inter-American Development Bank, ETA-19-20, 23-24, 31; CH-30
 Latin America
 Political situation, CO-29; DR-16-17, 19-20, 22-23, 25;
 ES-13, 32; GT-36, 42, 46; HA-6
 United States, relations with, CH-4; CR-2; EC-3; ES-28, 33-34, 40, 42; HA-25; HO-22; PE-5
 Military missions, HA-2, 18
 State visits, ES-4, 6; GT-2, 4; HO-13
 Trade relations, CH-3, 30, 33, 35; DR-25, 30; PE-15
 U.S. economic aid to, BL-10; CH-16, 18, 37-38, 40; GT-31-32
 Inter-American Program for Social Development,
 ETA-33-34, 38-39, 45, 47-48; GT-13
 U.S. military aid to, BL-2; CH-29; CO-39; EC-11; HA-21;
 PA-9
 Latin America trip, CH-28-30, 32; PE-37; UR-12-14
 Panama, PM-4, 11-12, 17-20, 22, 26, 30, 35-36, 40, 43-45, 48-49, 52, 54-58
- Eisenhower, Lt. Col. John S. D., CH-40; DR-8, 11; ES-13; PM-17, 26, 52-53; UR-13-14
Eisenhower, Dr. Milton S., ETA-8-10, 19, 25, 42; CO-7; CR-6; ES-5-6; GT-4; PM-19
 Latin America trips, ETA-7; CO-1; CR-6-9; ES-2, 5-6; GT-8, 24; HO-3; NI-4, 7-9; PM-3; PA-7

- El Salvador (*see also* Latin America), ETA-17, 28; ES-9, 12
 Political situation, CR-5; ES-7, 13-15, 18-23, 25-32, 37, 39; NI-21
 Regional economic integration proposals, ETA-6, 25, ES-2, 5-6, 21, 30
 United States, relations with, ETA-25, ES-1-6, 11, 28-29, 31-37, 39-44
 U.S. economic aid to, ES-1-2, 23
 U.S. military aid to, ES-1, 7, 10, 16-18, 23
- Eleta, Fernando, ETA-50
- Eliécer Caitán, Jorge, CO-39
- Eliot, Theodore I., Jr., ETA-40; HO-20
- Ellis, Athol H., HA-9
- Ernst, Morris, DR-1
- Erráuriz, Juan, CH-36
- Escalante Duran, Manuel G., CR-25-27
- Escamilla, Col. Alberto, ES-29-30, 39
- Escapini, ES-23
- Españolat, Arturo, DR-1, 6
- Espinosa, EC-7
- Espy, James, UR-2
- Esquivel, ES-19, 23
- Estep, Hunter L., CR-21
- Estrada, Pedro, VE-3, 8, 10
- Eximbank *see* Export-Import Bank
- Export-Import Bank, ETA-3-4, 6-7, 21, 25, 27, 29, 31-32; CO-36
 Bolivia, BL-8
 Chile, CH-10-13, 19, 24
 Colombia, ETA-27; CO-7-8, 21-22, 35, 36
 Costa Rica, CR-3, 10, 14, 26-27
 Ecuador, EC-2, 6, 8
 Guatemala, GT-8, 18-20, 29, 31
 Haiti, HA-1, 3, 8, 27-29
 Honduras, HO-20
 Inter-American Development Bank and, ETA-8-9, 12, 15, 20-21; CH-30
 Inter-American Program for Social Development and, ETA-34, 44, 46, 49
 Nicaragua, NI-12, 17, 18
 Paraguay, PA-3, 4
 Peru, PE-1, 7, 12, 13, 16, 18, 23, 26, 27, 29, 35, 44, 45, 47
 Uruguay, UR-1-2, 4, 5, 8, 9
 Venezuela, VE-12, 28, 37
- Falcón-Briceño, Marcos, DR-8; VF-17, 20, 28, 30, 38, 42, 50-51
- Falla Caceres, Ricardo, ES-27, 30
- Farfans, Lacayo, NI-17

- Farland, Joseph S., DR-1-3, 6, 8, 11, 15, 22; PM-49, 53, 55, 58-59, 62;
VE-32
- Farley, Philip J., PM-17
- Fausto Fernandez, Julio, ES-20, 23
- Favell, Thomas R., CR-15-16; HA-8
- Feldman, Arthur W., CR-26, 29
- Fernandes, Francisco, GT-30
- Ferrero, Romulo, PE-12
- Fig nolé, Daniel, HA-11, 13
- Figueres Ferrer, José, CR-9-10; NI-2, 12; VE-15, 25
- Figueroa, Eduardo, CH-15, 17, 19
- Fimbres, Rudy V., ETA-41
- Finch, David, BL-17
- Finkel, Jay, ETA-12
- Fischer, Carlo L., UR-2
- Fishburne, John I., ETA-26; EC-7
- Fisher, Allan J., ETA-8
- Fitch, Maj. Gen. Alva R., ES-41
- FitzGerald, Dennis A., ETA-15; BL-41; CO-25; VE-36
- Flemming, Arthur S., PM-17, 43
- Floete, Franklin, PM-17
- Flood, PM-49
- Flores, Oscar, NI-2, 5
- Foley, Emilio, PE-24
- Folsom, Victor, HO-17
- Foreign Operations Adminstration (FOA), ETA-54
- Forero, Col. Hernando, CO-10
- Fortin Magana, Rene, ES-27, 30
- France, ETA-27
- Franco Holguin, Jorge, CO-22
- Frank, Isaiah, ETA-25; ES-5-6
- Frank, John Joseph, DR-1
- Franklin, Albert B., III, HO-14
- Frondizi, Arturo, CH-31; EC-20
- Fuentes, Gen. Hugo, VF-13
- Fuentes Mohr, Alberto, ETA-50-51, 53
- Fuller, Col. Enrique, PE-51
- Fullgraff, UR-5
- Furth, J. Herbert, ETA-12
- Gaither, Gen. Ridgeley, PM-49
- Galich, GT-24
- Gallegos, Romulo, VE-42
- Gallo Porras, Luis, PE-12, 19

- Garcia Bauer, Carlos, GT-3-4
Garcia Granados, Jorge, GT-6, 18
Garcia Salas, Julio Prado, GT-20
Gates, Thomas S., Jr., DR-19; EC-13; ES-32, 36, 41; GT-4, 36, 39
Panama, PM-17, 32, 43, 56
Gawf, John L., ETA-25; HO-2, 4, 13
General Agreement on Tariffs and Trade (GATT), ETA-25-26; PM-21;
UR-1
Gerber, Anthony, HO-21
Gerberich, Albert H., CO-3-5, 15, 17, 19, 23, 37
Germany, Federal Republic of, ETA-27; BL-34, 40, 43; CH-25; EC-7
Giardino, Alfred, HO-17
Gil-Borges, José, VE-31
Glennan, PM-17
Glower, Rafael, ETA-17-18
Godfrey, Richard A., CR-10, 15, 19, 25; GT-30; NI-21-22
Golby, Ralph, HO-21
Gómez, Laureano, CO-10, 19
Gómez Arenas, Gen., CO-12
Gómez Flores, Manuel, NI-6
Gómez Millas, Juan, CH-36
Gonzalez, GT-10
Gonzalez, Alberto, CO-26
Gonzalez Segui, Carlos, GT-15, 18
Gonzalez Segui, Col. José Rubén, GT-18
Goodpaster, Brig. Gen. Andrew J., ETA-32, 45; CH-29-30, 32;
ES-34, 42; GT-13
Dominican Republic, DR-17, 22-23
Panama, PM-4, 17-18, 20-21, 32, 36, 43, 51, 55, 63
Goodwin, Walter P., CH-27
Gordon, Nathan, CR-4, 6, 11
Gorman, Kenneth H., HO-20
Gorrell, Juan L., ETA-48; GT-18, 22, 27-29
Grau, Miguel, PE-4, 16-18, 30, 33, 37
Gruert, Hector A., UR-14
Gray, Gordon, ETA-3; DR-10; ES-36; PM-17
Gray, Robert K., PM-17, 41, 44
Gray, William F., BL-29
Green, PM-51
Green, Howard Charles, PE-43
Grieve, PE-50
Guardia Herrero, Tomas Federico, CR-5
Guatemala (*see also* Latin America), ETA-25; CO-18; DR-1; ES-5, 34;
GT-6-7

- Cuba, GT-22, 24, 31
- Economic situation, ETA-28; ES-5; GT-5, 8, 12, 16
- Political situation, GT-1, 3, 5, 8, 15, 18, 33; NI-21
 - Foreign intervention claims, GT-22, 24, 35-37, 39-40, 42
 - U.S. aid request, CR-28; GT-35-37, 39, 42, 46-47
- United States, relations with, CH-5; ES-1; CT-2-4, 8, 12, 21-22, 24-25
- U.S. economic aid to, ETA-4, 13, 31, 46; GT-4-5, 8-13, 16, 18-20, 24, 28, 30-31, 43
 - Political situation and, GT-29, 34, 40
- U.S. military aid to, ES-1; GT-4, 12, 14, 17-18, 26-27
- U.S. private investment in, CR-6; GT-9, 29
- Guevara Arze, Walter, BL-12, 25, 28
- Guevara Serna, Ernesto ("Che"), PF-44
- Gurney, C., CO-14
- Gutiérrez Gómez, José, CO-3, 23
- Gwynn, ES-22, 27, 31

- Haahr, ETA-52
- Hadraba, ETA-26
- Haedo, Eduardo Victor, UR-9, 14, 17
- Hagerty, James C., CH-28-30; GT-42; PM-17; UR-14
- Haider, Michael L., PE-21
- Haight, H.W., VE-16-17
- Haiti (*see also* Caribbean situation; Latin America)
 - Dominican Republic, relations with, DR-1; HA-11, 21, 25-26
 - Economic situation, ETA-28; HA-9, 11, 26
 - Foreign intervention in, HA-6, 11, 15-16, 21, 26; VE-20
 - Political situation, DR-9-10, 19; HA-4-5, 10, 14, 24, 26
 - United States, relations with, HA-1-2, 4, 7, 15-16, 18, 21
 - U.S. economic aid to, ETA-4, 13, 27; HA-1, 3, 8-9, 12-14, 17, 19-20, 22-23, 25-29
 - U.S. military aid to, HA-8-9, 12, 14, 21-22
- Hammond, Henry S., HO-15, 17
- Hanes, John W., Jr., VE-23
- Hardy, Royce, PM-43
- Harley, Charles R., CH-12; CO-25; HA-8
- Harlow, PM-43
- Harr, Karl G., PM-17, 43
- Harrington, Julian F., PM-4-6, 8, 10, 12-13, 16, 18, 21-22, 34, 43, 49
- Harrison, Faustino, UR-9, 14
- Harrison, Harlan A., HA-25, 29
- Hart, ETA-40
- Harvey, Bartlett, ETA-8, 12

- Havlik, Herbert, PE-7, 12
 Hazelett, John C., ES-23
 Hazera, Jorge, CR-5
 Hearst, William Randolph, Jr., PE-43
 Heath, Edward, VE-48
 Heinl, Col., HA-17
 Hemba, Alton, ETA-41
 Henderson, Horace, CO-25
 Henderson, Loy, PM-43; VE-41
 Herbert, Rafor, CH-15
 Herman, Stewart, CO-17
 Hernandez, Alfredo, ETA-53
 Hernández Volio, Alfredo, CR-2, 5
 Herndon, Richard M., NI-23
 Herrera, Felipe, ETA-17-18, 30, 41, 51
 Herrera, Luis Alberto, UR-9
 Herrera Báez, Porfirio, DR-4-6
 Herron, Francies W., ETA-48
 Herter, Christian A., ETA-26; CO-8; CR-18; EC-10, 21-22; ES-4-6, 29; PM-57, 58
 Caribbean situation, CO-28; GT-36-37, 39, 42; HA-6, 16; PM-14; VE-40
 Cuba, CH-32; CO-29; GT-31; UR-15; VE-30
 Dominican Republic, CO-32; DR-16-18, 20, 25, 29-30; VE-42, 45
 Inter-American Development Bank, ETA-14, 21, 23
 Latin America
 Political situation, DR-16-18, 20; EC-23; ES-8, 27; HA-24; PE-48; VE-1
 United States, relations with, ETA-1; ES-28, 33-35, 37, 40-41; GT-2; HA-25; HO-18, 22; VE-2, 23, 30
 Eisenhower trip, CH-28-30, 32; UR-12, 14
 Trade relations, CH-21; EC-14; VE-26
 U.S. economic aid to, ETA-29; BL-22, 23, 40-41; CO-31; GT-28, 43; HA-12, 20, 27, 29; PA-5; UR-4
 Inter-American Program for Social Development, ETA-33, 39, 42, 45, 55
 U.S. military aid to, CH-31, CO-33-34, PA-9, PE-30, 33, VE-52
 Panama, PM-4, 6, 11-12, 14, 19-22, 24, 30, 32-40, 45, 49-50, 52-56
 Hickenlooper, Bourke, ETA-49
 Hidalgo, Carlos F., HO-1
 Higdon, Charles E., ETA-53; CR-26; ES-27, 31, 39-40, 43; GT-30, 41, 43; HO-17, 19; NI-23
 Higgins, ETA-53
 Higgins, Herbert N., HA-27

- Hilbek, Federico, PE-7
Hill, John C., Jr., DR-9, 14-15, 24; ES-8; HA-12; VE-41
Hilton, Ralph, PA-1
Hinojosa, Eduardo, BL-6, 8, 13
Hirschtritt, Ralph, ETA-8
Hoegh, Leo A., CH-21; PM-17, 43
Hogland, John S., II, ETA-27; VE-1
Holcombe, John L., EC-1
Holland, Henry F., BL-1; PE-42
Holman, Eugene, VE-16, 18
Holt, Pat, CH-26
Home, Lord, VE-48
Honduras (*see also* Latin America), ETA-28, 41; ES-5, 34
 Nicaragua, relations with, HO-6-8, 18-19; NI-1-2, 5-6, 11-12, 16, 21-22
 Political situation, CR-5; HO-1, 4-6, 9, 15
 Regional economic integration proposals, ETA-6, 25; ES-5
 United States, relations with, HO-3, 11, 13, 18, 22
 U.S. economic aid to, ETA-27; HO-1-3, 4, 10
 U.S. military aid to, ES-1; HO-10, 14, 16
 U.S. private investment in, CR-6; HO-15-17, 20-21
Honorat, Michel Lamartiniere, HA-26
Hooker, John S, ETA-12
Hoover, Herbert, DR-16
Howe, Fisher, ETA-1, 3; PM-4
 Chile, CH-7, 10, 12-15, 20, 23, 26-27, 29-30, 36
Howe, Walter, CH-1
Hoyas Osores, Guillermo, PE-18, 37
Hoyt, Henry A., ETA-7; GT-8; UR-15
Hudson, William P., NI-1, 3
Hummel, J.I., EC-17-18
Hutchinson, Edmund C., ETA-8; HA-20

Ibáñez del Campo, Gen. Carlos, CH-2-4, 10-11, 17, 21, 25; ES-1; ETA-46
Ingersoll, John J., VE-38-39, 42, 52
Institute of Inter-American Affairs (IIAA), ETA-40; EC-18
Inter-American Defense Board, CH-5; EC-9
Inter-American Development Bank (IADB) ETA-2, 4, 6, 8-12, 14-24, 29-30, 32-33, 41, 51; BL-12; GT-9, 16
 Bolivia, BL-40, 43
 Inter-American Program for Social Development and, ETA-34-37, 40-41, 44-45, 48, 50; EC-18
 Location of, ETA-23-24; VE-25
 Operation Pan America proposal and, CH-30
 Paraguay, PA-12

- Inter-American Geodetic Survey, CR-10, 29
- Inter-American Highway, CR-3, 5, 9-10, 14, 21; GT-8, 18, 20; HO-1
- Inter-American Peace Committee. *See under* Organisation of American States.
- Inter-American Program for Social Development, ETA-33-40, 42, 50, 55; CH-40; CO-36; HA-29
- Inter-American Treaty of Reciprocal Assistance (Rio Treaty), 1947, CO-28-29; CR-24; ES-7; GT-37; NI-11, 16; PM-14; VE-20, 51
- Interior, U.S. Department of the, CH-2-3, 5
- International Bank for Reconstruction and Development (IBRD),
ETA-3-4, 6, 7, 9, 21, 31, 44, 51, 53; CO-36
Bolivia, BL-5, 30
Chile, CH-17, 26
Costa Rica, CR-3, 9-10, 14, 25
Ecuador, EC-8
Guatemala, GT-5
Haiti, HA-1
Honduras, HO-3
Inter-American Development Bank and, ETA-8-9, 12, 15, 30;
CH-30
Nicaragua, NI-12, 18
Paraguay, PA-8, 10
Peru, PE-2, 7, 23-24, 44
Uruguay, UR-1, 9
Venezuela, VE-28, 37
- International Coffee Convention, ETA-4; CO-5, 7, 30; GT-8, 16
- International commodity agreements, ETA-3-5; BL-12; CH-5; CO-5, 7, 17, 30, 37; CT-3; GT-8
- International Cooperation Administration (ICA), ETA-7-8, 52, 54;
CH-27; CO-36; DR-1; PA-12; UR-1
Bolivia, ETA-27; BL-10, 13, 15, 22-23, 26, 29, 32, 41
Chile, CH-10, 27
Colombia, CO-36, 37
Costa Rica, CR-9, 11, 19
Ecuador, EC-8, 18
El Salvador, ES-16-17, 23
Guatemala, GT-8-10, 16, 18, 20, 29
Haiti, HA-3, 8, 10, 22, 27
Honduras, HO-1, 10, 21
Inter-American Program for Social Development, ETA-37, 40-41, 49-50, 55
Nicaragua, NI-8, 12
Panama, PM-3, 36, 39
Peru, PE-13, 44
Venezuela, VE-36, 47

- International Court of Justice (ICJ), CH-29; HO-18-19, 22
International Development Association, ETA-46
International Finance Corporation, ETA-6; VE-37
International Labor Organization (ILO), CR-10
International Monetary Fund (IMF), ETA-4, 9, 21, 27, 41; CO-36; CR-3;
 ES-9; GT-29; HO-4; NI-18
 Bolivia, BL-1, 11-15, 17, 20, 22-23, 43
 Chile, CH-9-15, 17, 19, 23, 36
 Colombia, ETA-27; CO-22, 36
 Haiti, HA-1, 10, 19, 26, 27
 Paraguay, ETA-27; PA-1, 8, 11
 Peru, PE-1, 26, 29
 Uruguay, ETA-41; UE-1, 5, 8, 18
 Venezuela, VE-39, 47
International Tin Council (ITC), BL-12
Intriago Arrata, Federico, EC-4, 6-7
Investment Guarantee Agreements, ETA-52
Irwin, John N., II, CO-39; ES-42; GT-26-27; HA-7; PM-7, 15, 28;
 VE-48
Israel, ES-34
Italy, ETA-27
Ivovich, Esteban, ETA-26

Jacobsson, Per, PE-1
Jamieson, John K., PE-50
Jamison, Edward A., VE-40-41, 49
Japan, ETA-27
Jiménez de la Guardia, Adolfo, CR-9
Johnson, Gerald, PM-43
Johnson, Lyndon B., CO-18
Johnson, Robert H., ES-32
Johnston, James R., CR-21
Johnston, John W., Jr., GT-34, 40; PE-45
Joint Chiefs of Staff (JCS), DR-2; ES-36
Jones, Edgar, CH-15
Jones, Martin, PE-21
Jumelle, Clement, HA-4, 13
Jurgens, Carlos, PE-7
Justice, U.S. Department of, DR-1

Kalijarvi, Thorsten V.
 El Salvador
 Political situation, ES-8, 13, 15, 18-20, 23, 26
 United States, relations with, ES-1, 5-6, 10, 17, 31, 35, 43
Kannenbergh, Hollis, VE-18-19

- Katsainos, Charles, CH-27
 Kearns, Henry, ETA-12
 Kebreau, Gen., DR-1; HA-4
 Keefe, Roger, HO-21
 Kefauver, Capt. R., HA-16
 Kendall, David W., PM-17, 43
 Kennedy, John F., ETA-40
 Kenworthy, E.W., ETA-29
 Kerr, Peyton A., ETA-52
 Kevorkian, Arthur G., ETA-8
 Keyes, Cmdr. Thomas E., DR-1
 Khrushchev, Nikita S., GT-24
 Kimball, HA-8
 Kimmel, Roy I., CR-21, 28
 Kincaid, Grover, GT-10
 King, Bayard, ETA-7; GT-10, 12, 13, 14, 16-17, 18, 19
 Kirchhoff, D.J., HO-20
 Kirlin, ETA-52
 Knight, Robert H., ES-36; PM-28-29, 31-32, 39; VE-52
 Koenig, PE-42
 Korp, Ralph V., ETA-8, 12; CH-19
 Kramer, Villagran, GT-24
 Krebs, Max V., GT-42; PM-19
 Krieg, William L., CH-15, 27, 29-32
 Kubitschek de Oliveira, Juscelino, ETA-48; CH-30; DR-16; PA-7
 Kuchel, Thomas H., ETA-27
 Kurdas, Kemal, PA-8, 11
 Kybal, Milic, ETA-26
 Kyle, Joseph B., ETA-53; BL-41; CO-39
- Labor, U.S. Department of, CH-21
 Lacarte, Julio A., UR-1-2, 4-5, 8
 Lacayo, Chester, NI-22
 Láfer, Horácio, EC-20-21
 Lainez, Francisco, NI-18
 Land, Jay W., PE-37
 Lane, Samuel O., BL-35; EC-23, 25; PE-5
 Larrabure, Hipolito, PE-7, 12
 Larrazábal, Adm. Wolfgang, VE-3, 13, 15, 20
 Larsen, Roy E., CR-21
 Lary, Hal, ETA-8, 12
 Latin America (*see also* Caribbean situation; Central America;
individual countries)
 Agrarian reform, ETA-34, 41; CO-25, 31

- Arms control, CH-29, 34; CR-3
- Chinese People's Republic, relations with, ETA-3-4; CH-6
- Political situation, ETA-33; CO-12
- Regional economic integration proposals, ETA-4, 6, 7, 25-26, 51, 53-54; CH-5; ES-2, 5-6, 21, 30; GT-16
- Soviet bloc, relations with, ETA-1-4, 6; BL-24; CH-5; CR-21; EC-23; GT-5; UR-1
- United States, relations with
 - Anti-Americanism, BL-12; CH-5; CO-9; EC-19, 23; PE-8; VE-9-10, 13, 16, 22
 - Eisenhower trip, CH-28-30, 32; PE-37; UR-12-14
 - Nixon trip, BL-5-9, 12; CH-5; CO-9; EC-3-7; NI-4, 7; PA-1; PE-5-6, 8-11; UR-2-3
 - Venezuela demonstrations, VE-9-10, 13, 16, 22
 - Trade relations, ETA-1-4; BL-37; CH-20-21, 30, 33; PM-8
- U.S. economic aid to (*see also* Inter-American Development Bank), ETA-6-7, 27, 31, 42; BL-10, 12; CR-10
- Inter-American Program for Social Development, ETA-33-40, 42-50, 55; CH-40; EC-18
- Latin American positions, ETA-4, 29, 42, 48; BL-12, 24
- Loan policy, ETA-2-4, 13, 29, 31
- Operation Pan America proposal, ETA-48; CH-30; PA-7
- U.S. military aid to, CR-21; PE-22
- U.S. private investment in, ETA-2, 52; EC-5
- Law of the Sea Conference, DR-1; ES-1; GT-4
- Lechin Oquendo, Juan, BL-1, 14, 43; PA-7
- Leddy, John M., ETA-12, 14, 18, 43; BL-23; CR-16; EC-17-18; UR-10
- Leggett, Herbert B., CR-5; GT-10, 17; PM-2, 8, 18
- Lemnitzer, Gen. Lyman L., GT-42; VE-20
- Lemus, Lt. Col. José Maria
 - Milton Eisenhower visit, ETA-25; ES-1, 2, 4-6, 10, 17
 - Political situation, ES-8, 13-14, 16, 19-20, 23, 25, 39
- Lennartson, Nils A., ETA-12
- Lenzen, T.L., VE-18
- León Valencia, Guillermo, CO-19
- Lightner, E. Allan, VE-1
- Lindsay, David, CR-4, 11
- Linville, Francis A., PE-7, 12
- Litsey, Weldon, CO-3
- Little, Edward S., DR-5; EC-17-18, 24; HA-1, 16
- Lleras Camargo, Alberto, CO-10-12, 15-20, 25-35, 36, 38
- Lleras Restrepo, Carlos, CO-19
- Llosa, Adm. Luis Edgardo, PE-18, 30, 37
- Lodge, Henry Cabot, CR-21

-
- Lodge, John Davis, GT-3; PM-17, 43
 Lofton, Harry M., DR-7
 Lombardo Toledano, Vicente, VE-28
 Long, Lt. Col. Luther F., ES-41; PM-39, 46, 53-54, 57-58
 López, Alfonsito, CO-19
 López, Col. Oswaldo, HO-4
 López Ayala, Gen., ES-17, 22, 26
 López Contreras, Gen., VE-13
 López Henriquez, Gen. Josue, VE-13, 34
 López Herrarte, Marianao, GT-3-4, 15
 López Mateos, Adolfo, GT-14
 López Pumarejo, Alfonso, CO-8, 19
 Lugo Marengo, Juan Jose, ETA-50, 53; NI-18
 Luongo, N., CH-5
 Lyle, Vernon J., PE-37
 Lynn, James A., ETA-18, 21; PA-10
 Lyon, Cecil B., CH-1
- Machado, Pino, NI-22
 Mack, Victor A., ETA-8, 12
 MacKenna, CH-12
 Magloire, Paul E., HA-5, 10, 26
 Magnani, Gen. Enrique, UR-14
 Mallory, Lester D., ETA-14; CR-19; ES-14; HA-25; NI-22; PE-33;
 VE-39-40
 Guatemala, GT-7-9, 11, 15, 18-20, 24, 29
 Panama, PM-28, 34, 60
 Mann, Thomas C., ETA-5; BL-35, 41; CR-15; EC-20-21; ES-21, 28-29,
 39, 43; GT-37; HA-10; PA-10; PE-50; VE-26, 35, 49
 Cuba, CO-35; GT-39; NI-23; VE-25
 Dominican Republic, CO-32; DR-27-28; VE-42
 Inter-American Development Bank, ETA-10, 12, 16, 18, 22, 25, 41;
 VE-25
 International commodity agreements, CO-18, 23
 Latin America
 Economic situation, CO-8; VE-25
 Political situation, ES-14, 22, 27, 31-32; GT-34, 40, 42; HA-25;
 PE-48; VE-25
 United States, relations with, EC-23; ES-32, 37, 44; UR-6;
 VE-20, 25
 Trade relations, ETA-1, 3-4, 6; CH-21; GT-21, 25; VE-5, 11,
 15, 34, 38
 U.S. economic aid to, ETA-6; BL-43; CH-17; CO-31; CR-26-27;
 GT-32, 34, 40; HA-25; PA-12; UR-8

- Inter-American Program for Social Development, ETA-34,
36-37, 39-40, 49-50
- State-owned enterprises, BL-16, 26, 40
- U.S. military aid to, CO-33-34; PE-30
- U.S. private investment in, HO-15, 17, 20-21; VE-16, 18-19
- Panama, PM-56
- Regional economic integration proposals, ETA-25-26, 51, 53-54
- Mansfield, Mike, ETA-26; CH-21
- Marget, Arthur, ETA-8, 11
- Mariaca, Enrique, BL-6
- Markski, HA-29
- Marroquin Rojas, Clemente, GT-18, 20
- Mars, Louis, HA-6, 15, 17
- Martin, Edwin M., ETA-52; PE-44
- Martin, William McC., Jr., ETA-8, 12
- Martínez, Roberto, HO-4
- Martínez Laenz, Alejandro, NI-22
- Martínez Montero, Lt. Homero, UR-I2, 14-15
- Mason, Norman, PM-17
- Matthews, Col., ES-30
- Matthews, Herbert L., CR-21; PA-7
- Mau, Frank A., ETA-48; CO-30-34
- Maverick, Albert, HO-17
- Mayne, Alvin, PM-3
- McBride, Felix, GT-18
- McCabe, Edward, PM-43, 51
- McClellan, Andrew, HO-15, 17
- McClellan, Chad, PM-17
- McClintock, Robert M., VE-27
- McCone, John A., PM-17, 43
- McConkey, Dale, HO-17
- McIntosh, Dempster, ETA-7, 12; CO-26, 28-35, 36; CR-9; ES-2;
GT-8, 10
- McKibbin, John, PM-43
- McLain, W. Douglas, Jr., ES-2
- McLean, Allan F., Jr., PE-51; VE-52
- McPhee, PM-17
- Medina Angarita, Gen., VE-13
- Mejia Salazar, Jorge, CO-12
- Menapace, Robert B., ETA-30; PA-4
- Mendez Montenegro, Mario, GT-1, 5, 24, 35
- Mendivil, Mario, ETA-17

- Merchant, Livingston T., DR-9-10; ES-32-33, 36, 44; PM-53, 57; VE-53
- Latin America
- U.S. economic aid to, ETA-33; BL-43; EC-25; HA-22
- U.S. military aid to, CO-39; GT-27; HA-22; HO-14
- Panama, PM-26, 29, 31-32, 35-37, 39-40, 50, 52, 56
- Merida Sáenz, Marco Aurelio, GT-12
- Merriam, Robert, CH-38; PM-17, 43
- Mexico (*see also* Latin America), ETA-10, 18, 28; DR-25; ES-34; GT-4, 14; VE-25
- United States, relations with, ETA-2-4, 27; BL-17; CH-21; PM-48
- Migdail, Carl, CR-21
- Milla Bermudes, NI-2, 5
- Miller, BL-34
- Miller, Edward G., UR-3
- Mills, Edward K., Jr., PM-17
- Minnich, L. Arthur, Jr., PM-17, 43
- Miro, Rodrigo, PM-58
- Mirón Porras, Gustavo, GT-19-20, 28
- Mitchell, PM-43
- Molina, Gen., ES-29
- Montcalegro, ETA-18
- Montenegro, Mario, BL-25
- Montgomery, Joseph W., HO-17
- Mora, José A., GT-35
- Mora Valverde, CR-9
- Morales Gomez, Luis, GT-18
- Morató, Rafael, BL-6
- Moreno, Miguel J., Jr., PM-4-5, 8, 10, 13, 16, 18, 25, 58
- Moreno Cordova, Hugo, BL-5, 28
- Moreno Diaz, Samuel, CO-12
- Morgan, Gerald D., PM-17, 43; VE-53
- Morrison, Wilbur, DR-27
- Morse, True D., PM-17
- Morse, Wayne, ETA-49; CH-26; CO-25
- Morton, PM-43
- Muccio, John J., GT-28, 34-35, 37, 39-41, 43
- Mueller, Frederick, PM-17
- Müller Hess, Walter, CH-15, 18, 24, 29, 38, 40; EC-20
- Mulliken, Jean H., ETA-5
- Munn, Ian, GT-15
- Muñoz Marin, Luis, DR-1; VE-22, 25, 34
- Munson, William H., DR-1
- Murphy, Gerald L., DR-1

- Murphy, Robert D., BL-14, 22; CO-15; DR-3; HA-2, 9, 14; PM-25;
PE-20; VE-1-2, 35
Venezuela, VE-4, 23
- Murray, James E., BL-21
- Murray, PM-35
- Myers, Max, ETA-12
- Nardone, Benito, UR-9, 12, 14, 16
- National Advisory Committee on Inter-American Affairs
(NA-COIAA), ETA-31-33
- National Advisory Council on International Monetary and Financial
Problems (NAC), ETA-7-9, 11-12, 14, 44
- National Intelligence Estimates
NIE 82-55, "The Outlook for Guatemala," GT-5
NIE 89-58, "The Venezuelan Situation and Prospects," VE-13
NIE 92-58, "The Outlook for Bolivia," BL-1
NIE 97-59, "The Outlook for Peru," PE-29
- National Security Council
Actions
No. 1550, ETA-54
No. 2178, DR-10, 19
No. 2212, DR-19
No. 2218, DR-19
No. 2219-b-(3), PM-42
No. 2273, DR-25
No. 2330, ES-32
Dominican Republic, DR-10, 19, 25
El Salvador, ES-32, 36
Guatemala, GT-1
Haiti, HA-24
Panama, PM-33, 42
- Navas Pardo, Gen. Rafael, CO-4
- Navy, U.S. Department of the, CO-3
- Neal, Jack D., PE-12, 33, 39-40, 49-50
- Neale, John R., PE-11
- Nebot Velasco, Jaime, EC-17-18
- Negrao de Lima, Francisco, ETA-48
- Neidle, Alan, VE-31
- Netherlands, ETA-27
- Newbegin, Robert, CR-5; HA-25, 27-28; HO-3, 7-8, 10, 12
- Nicaragua (*see also* Central America; Latin America), CO-18; ES-5, 34;
NI-8, 11, 21; VE-13
Costa Rica, relations with, CR-3, 19, 28-29; NI-1-3, 5-6, 14-16
Economic situation, ETA-28; ES-5; NI-8, 12

- Foreign intervention, GT-37, 39; HO-7
 Honduras, relations with, HO-6-8, 18-19; NI-1-3, 5-6, 11-12, 16, 21-22
 Political situation, CR-5, 28; ES-2; NI-1, 8, 11-12, 14-15, 17, 20, 22-24
 United States, relations with, CR-9; NI-4, 7-10, 12-13, 22; PM-48
 U.S. economic aid to, ETA-13; NI-8, 12, 17-19, 22
 U.S. military aid to, ES-1; NI-12, 19, 23
 U.S. military patrol request, GT-37, 39; NI-25-26
 Nicholson, Jorge, PE-51
 Nixon, Richard M., ETA-8, 33, 40, 44; BL-5, 8; CR-2; DR-10, 19; GT-2-3; UR-6
 Latin America trip, BL-5-9, 12; CH-5; CO-9; EC-3-7; NI-4, 7; PA-1; PE-5-6, 8-11; UR-2-3
 Venezuela demonstrations, VE-9-10, 13, 16, 22
 Panama, PM-17, 43
 North Atlantic Treaty Organization (NATO), HO-1
 Norway, ETA-27
 Nuñez Aguilar, Juan, ETA-50

 O'Connell, James P., PM-17
 O'Connor, Jeremiah J., BL-17
 Odria y Amoretti, Manuel A., CH-31; PE-11
 Oeschli, L. Paul, CH-27
 Office of Civilian and Defense Mobilization (OCDM), CH-20-21, 33
 Operations Coordinating Board (OCB), BL-2, 6, 17; CR-21
Organización de Estados, Centroamericanos (ODECA), ETA-7; GT-5; HO-1
Organización Regional Interamericana de Trabajadores (ORIT), CR-21; VE-28
 Organization for Economic and Commercial Development, ETA-42
 Organization of American States (OAS), ETA-7; ES-7; GT-5; HO-1; PE-43
 Buenos Aires Economic Conference, 1957, Inter-American Development Bank, ETA 4, 6, 8
 Caracas Resolution, CO-28; DR-5; VE-20
 Committee of 21, ETA-14, 21, 25, 32, 48
 Bogotá meeting, ETA-32-34, 38, 42-44, 47-49, 55; GT-31; HA-29; NI-11
 Cuba, DR-25; ES-14, 16; GT-31, 35, 37, 39; NI-14, 16; PM-14; UR-13; VE-15, 51
 Dominican Republic (*see also* San José Foreign Ministers meeting *below*), CO-32; DR-11, 14-15, 20, 23, 25-30; HA-15; VE-20, 28, 40, 42-44, 49, 51
 Inter-American Development Bank, ETA-8-12, 24
 Inter-American Economic and Social Council (IA-ECOSOC), ETA-8-12, 48, 50

- Inter-American Juridical Council, VE-25
- Inter-American Peace Committee, CO-32; DR-11, 14, 23; ES-16; GT-31, 35; NI-22; VE-40, 42-43, 49
- Quito Conference, ETA-8, 48; CO-18; EC-3, 6, 11, 17, 23; VE-25
- Rio Treaty, CO-28-29; CR-24; ES-7; GT-37; NI-11, 16; PM-14; VE-20, 51
- San José Foreign Ministers meeting (*see also* Dominican Republic *above*), ETA-44; CO-32; DR-26-28, 30; ES-18
- Santiago Foreign Ministers meeting, CH-23; CR-24; DR-11; VE-34
- Special Committee To Study the Formation of New Measures for Economic Cooperation *See* Committee of 21 *above*.
- Washington Foreign Ministers meeting, 1958, ETA-14, 48
- Orpeza Castillo, Alejandro, VE-45
- Ortega-Urbina, Alfonso, NI-2
- Ortíz, Nestor C., ETA-4
- Ortíz de Zevallos, Emilio, PE-39
- Ortíz de Zevallos, Ortiz, PE-39
- Ortíz Mancía, Alfredo, ES-4-6, 8, 17-20, 23
- Ortúzar Escobar, Enrique, CH-36
- Osorio, Lt. Col. Oscar, ES-1, 7, 19, 23, 26-32, 35, 37, 39-40, 44
- Ospina Pérez, Mariano, CO-8, 19
- Otto, Carlos, GT-18
- Overseas Internal Security Program (OISP), BL-2, 15; CO-33, 36
- Owen, Richard B., GT-26-27; HA-29

- Paarleberg, Don, ETA-19; PM-17, 43; VE-53
- Pacheco Vivas, Régulo, VE-13
- Pádula, Eduardo, BL-6
- Pamperrien, Rudolf, EC-7
- Pan American Union, CH-5
- Panama (*see also* Latin America; Panama Canal Zone), ETA-28; CO-12; CR-6; DR-9; ES-34; PM-14, 16, 47
 - United States, relations with, PM-7, 9-10
 - Imports, PM-3, 8, 13, 18-22, 25, 30-32
 - Language issue, PM-3
 - Sea-level canal proposals, PM-17, 37, 39-45, 47-48
 - U.S. economic aid to, ETA-13; PM-2-3, 35, 63
- Panama Canal Zone (*see also* Panama), PM-5, 37, 46, 54, 56, 61-62
 - Employment issues, PM-3, 6, 8, 11-13, 18-22, 35-36, 51
 - Flag issue, PM-1, 3, 23-29, 31, 33-37, 39-40, 49-50, 52-53, 55, 57-60
 - Sea-level canal proposals, PM-17, 37, 39-45, 47-48
- Parada, Gen. Alan, ES-1, 26
- Parada, Martin, VE-13

- Paraguay (*see also* Latin America), ETA-15, 28, 41; ES-34
 Soviet bloc, relations with, PA-1, 7
 United States, relations with, ETA-13, 27; PA-1, 3-9, 11-12
- Paris Club, ETA-27
- Parker, Roberto A., ES-5-6, 19, 30
- Parra, Alirio, VE-11
- Parra Velasco, Antonio, EC-15
- Parrales, Ricardo, NI-18
- Patterson, PM-17, 43
- Pawley, William D., DR-12-13, 17, 22, 28
- Paz Estenssoro, Victor, BL-1, 24-25, 28, 32, 34
- Pearson, Norman M., CH-27
- Peña Prado, Max PE-11
- Peñaloza, Luis, BL-13
- Peralta, Col. Enrique, GT-20
- Peralta Esquivel, José Joaquín, CR-29
- Pérez, Pablo, CH-36
- Pérez Alfonso, Juan Pablo, VE-15, 25, 29, 34
- Pérez Chiriboga, EC-7
- Pérez de la Cova, Carlos, VE-5, 11
- Pérez Galeano, GT-16
- Pérez Guerrero, Manuel, VE-38
- Pérez Jimenez, Gen Marcos, VE-1-2, 4, 8, 13-14, 20, 23-25, 30-34
- Pérez Morales, Jesús Manuel, VE-13
- Perkins, Milo R., ETA-34
- Perón, Juan, CO-12
- Perry, Hart, GT-10, 12; HA-25
- Perry, John M., EC-1
- Persons, Maj. Gen. Wilton B., CH-32; DR-22; PM-17, 36, 52; VE-53
- Peru (*see also* Latin America), CH-29, 31; DR-22; PE-32
 Cuba, PE-43, 47-48
 Economic situation, ETA-28, 41; PE-6-7, 12-13, 23-24, 29, 35
 Ecuador, relations with, EC-10, 17, 19-23; PE-8, 37, 52
 Political situation, CH-31; PE-6-7, 10-11, 20, 24, 28-29, 35, 43, 47-50
 Soviet bloc, relations with, PE-16
 United States, relations with, PE-5, 8-11, 43
 Trade relations, ETA-3; CH-21; PE-15-16, 20, 29, 37, 41
 U.S. economic aid to, ETA-2, 4, 31; PE-1-2, 12-13, 17-18, 35
 Agricultural surpluses, EC-6; PE-3, 38
 Stabilization program, ETA-27; PE-23-27, 29, 44
 U.S. military aid to, CH-31; PE-3, 14, 22, 25, 30, 33-34, 51-52
 U.S. private investment in, PE-7, 12, 19, 21, 24, 31, 39-40, 50
- Petersen, T.S., VE-18

- Philippeaux, Gerard, HA-23, 26
Phillips, Robert M., CH-9, 12, 19-20, 24-25, 34-35, 40; PE-30, 51
Pichiotta, Edgar, PA-11
Pietri, Uslar, VE-22
Pitts, Henry L., BL-13, 14, 25, 26, 30
Plate, Juan, PA-4, 7
Plaza Lasso, Galo, DR-16; EC-15
Ploeser, Walter C., PA-1, 8
Pollock, Seymour, CH-12, 17
Ponce Enriquez, Camillo, EC-3-5
Ponce Enriquez, Luis, EC-7
Ponce Luque, Alejandro T., EC-16
Poole, Richard A., CO-22; EC-22; PE-25, 33-34, 42, 44, 50, 52
Porrás Barrenechea, Raúl, PE-4, 6, 8, 16-18, 48-49
Porter, Charles O., DR-1
Post, Albert, ETA-27-28, 30; CH-19; HA-1, 8, 10, 19; PA-10
Potter, Maj. Gen. William E., PM-8, 20, 25-26, 34, 36
Powell, Oscar M., GT-10, 18
Prado Montano, Julio, ETA-50; BL-2
Prado y Ugarteche, Manuel, PE-5-6, 11-12, 15-16, 19, 24, 29, 36, 42, 45, 50
Prebisch, Raúl, ETA-26
Priále, Ramiro, PE-24
Price, J. Roy, CH-21
Price, William E., PM-2, 11, 14
Prieto Laurens, VE-28
Pringle, Sandy M., PE-4, 16-18, 20, 23
Prio Soccorás, Carlos, VE-3
Proudfit, VE-20, 25
Pryce, William T., ES-22, 28; HO-15; PA-12; VE-38
Puerto Rico, DR-1, VE-22, 25, 34
Puga, Mariano, CH-2, 4

Quadros, Janio da Silva, VE-51
Quesada, Gen. E.R., PM-17
Quesada Guerra, Luis Miro, PE-24
Quinonez, ES-30
Quintana, Julio C., NI-20
Quintanilla, Gen., ES-13, 26

Radford, Richard A., PA-11
Ramírez, Roberto, ETA-53
Ramírez Amaya, Guillermo, CO-16
Ramírez Pinto, Col. Arturo, GT-19, 21-22

- Ramsbotham, Peter, VE-48
 Ramsey, Henry C., ETA-34, 39-41
 Randall, PM-17
 Randall, Clarence 13, ETA-5, 9, 17-18
 Ravndal, Christian, EC-1, 6-7, 12, 16
 Raymond, Col. John M., ETA-52
 Redington, Robert J., VE-44
 Reid, Ralph, ETA-9, 45
 Rengifo, Brig. Gen. Pioquinto, CO-1
 Richardson, DR-6
 Richardson, Adm., DR-1
 Richardson, Ralph, CH-27
 Riddleherger, James W., CO-25
 Rio Treaty *See* Inter-American Treaty of Reciprocal Assistance
 Roa y García, Raúl, CO-35; GT-22; HA-16; PE-48
 Robinson, H., CH-5; CR-11
 Robinson, Col. James C., Jr., EC-1
 Rochac, Alfonso, ETA-50-51, 53; ES-4-6, 14, 22
 Roche, Marcel, VE-22
 Rockefeller, Nelson, ETA-40
 Rodas Alvarado, Modesto, HO-8; NI-5
 Roderick, George H., PM-8, 17, 20, 22, 28, 35-39, 52
 Rodríguez de la Vega, Adolfo, CO-35
 Rodríguez Echazábal, Antonio, GT-24
 Rogers, J.T., EC-17-18
 Rogers, William P., PM-17; VE-3, 23
 Rojas, Armando, VE-31
 Rojas Guevara, José, BL-32
 Rojas Pinilla, Gustavo, ETA-27; CO-1, 10, 12, 15, 17-19, 39
 Romualdi, Serafino, VE-20, 25
 Rosales, Maj. Ruben Alonso, ES-27, 29-30
 Rose, Victor, BL-3
 Rosenson, Alexander M., ETA-12, 17-18, 31, 41, 48, 53; BL-34; CH-12;
 CO-12; HO-21; PA-10; UR-1
 Ross, Emerson A., ETA-8
 Ross, Robert W., ETA-48; ES-7
 Russell y Arellano, Marcel, GT-3
 Rossi Chavarría, Jorge, CR-1, 5
 Rountree, William M., VE-18
 Rowntree, R. Henry, ETA-8, 12; CH-19
 Rubio Melhado, Maj., ES-18, 23, 27
 Rubio Rolando, José, PE-43
 Rubottom, Roy R., Jr., ETA-5; BL-26; CH-35; GT-14, 28; HA-12, 14,
 16; HO-7; PM-22; PA-8

- Caribbean situation, CO-18, 28; DR-8; HA-17; NI-5, 11-12, 21
- Central America, ETA-7, 25; ES-2, 4-6, 14-15; GT-2; NI-2
- Colombia church closings, CO-4, 7, 11, 17
- Cuba, CH-32; PE-43; UR-15; VE-30
- Dominican Republic, CO-32; DR-9-10, 16, 22; VE-20, 42, 44
- Inter-American Development Bank, ETA-10-11, 17, 21, 41
- Inter-American Program for Social Development, ETA-34, 37, 39
- International commodity agreements, CO-18, 23
- Latin America
 - Chinese People's Republic, relations with, CH-24
 - Economic situation, ETA-28; BL-25, 30; CH-25; CO-3, 7-8; PE-6
 - Political situation, BL-14, 25; CH-9; CO-29; DR-9-10, 16, 22; EC-15; ES-8, 14-15; GT-18, 22, 24; NI-20; PA-1; PE-6, 20, 48; VE-1
 - U.S. economic aid and, ETA-33; CR-23; GT-29
- Soviet bloc, relations with, CH-6; CO-3
- United States, relations with, CO-23; CR-2-3, 5; DR-2, 5; ES-4-6; GT-2-4; PE-8; VE-22
 - Eisenhower trip, CH-28-30; UR-12
 - Military missions, HA-4, 7, 18; PM-7
 - Milton Eisenhower trips, CR-9; ES-2; GT-8
 - Perez Jiménez asylum, VE-2, 10, 23, 30-31
 - State visits, NI-4, 10, 12-13
 - Trade relations, ETA-1-4, 6; CH-2; EC-7, 14; PE-16, 37; UR-10; VE-5-6, 10, 11, 14
- U.S. economic aid to, ETA-2-3, 6, 7, 13, 29, 31; BL-7; CO-5, 7; CR-25; GT-10-12, 16, 18-20; HA-1, 19-20; NI-12, 18; PA-7, 10; PE-13, 17-18, 23, 35; UR-4
 - Agrarian reform and, CO-25, 31
 - Political situation and, ETA-33; CR-23; GT-29; NI-17; PA-1
 - Stabilization programs and, BL-5, 13, 20; CH-11, 17, 19, 23; HA-8, 10; PE-26-27, 44; UR-1-2, 5, 8
 - State-owned enterprises, BL-6, 16-17
- U.S. military aid to, CH-31, CO-3, 33-34; DR-1; EC-1, 11; ES-7; GT-12, 17, 27; PE-4, 25-26, 30, 34; VE-36, 52
- U.S. private investment in, BL-8; CR-6-8, 11, 15; PE-21, 42; VE-17
- Panama, PM-8, 11, 17, 20-21, 24-25, 28, 35-39, 44
- Peru-Ecuador border guarantee, EC-10
- Regional economic integration proposals, ETA-7, 25; ES-5-6
- Rueda Teran, Brig. Gen. Alberto, CO-36
- Ruíz Cortines, Adolfo, DR-16; GT-7
- Ryan, Hewson A., CH-5, 27
- Ryan, William, GT-10-11; HA-8

- Saccio, Leonard J., ETA-40; BL-26; HA-10, 22
Sáenz, GT-28
Salazar Rodezno, ES-26, 30
Sammons, Robert S., ETA-8
Sánchez, Francisco, PE-17
Sánchez Arango, Aureliano, NI-21
Sánchez Gavito, Vicente, PE-37
Sánchez Morales, Manuel, UR-14
Sanders, Terry B., Jr., VE-6
Sanjines, Juan, BL-1
Santaella, Hector, VE-10
Santiago Munoz, Col., GT-7
Santos, Eduardo, CO-19; DR-16
Sanz de Santamaría, Carlos, CO-4, 7-9, 12, 16, 28-34
Sapena Pastor, Raúl, PA-7
Saravia, ES-23
Sauer, Walter C., ETA-8; UR-5
Saulnier, Raymond J., PM-17, 43
Sause, Oliver L., Jr., CH-5
Savage, Capt. Arthur M., CH-27
Sayre, Robert M., PE-24, 28
Schaedel, Richard P., PE-7
Schaefer, Walter, ETA-8-9, 12
Schaffner, Philip, ETA-8, 12
Schmall, Horace William, DR-1
Schmidt, B.C., VE-18
Schneider, Jorge, CH-38
Scribner, Fred C., BL-17; CR-16
Seaton, Fred A., CH-2-3; PM-17; VE-53
Secco Ellauri, Oscar, UR-2
Seignious, Col. George M., II, PM-39
Selden, Armistead I., Jr., PM-52
Sepulveda Contreras, Alberto, CH-7
Serrano Langlois, Antonio, ES-2
Sessions, Edson O., PM-17
Sevilla-Sacasa, Guillermo, HO-6-7; NI-2, 4-5, 10, 12, 14, 18, 20, 23
Sharp, Frederick D. III, PM-21-22, 24-25, 28, 32, 37, 48, 50-51, 60
Shaw, John, VE-19
Shenefield, Hale T., ETA-8, 12
Shepherd, Gen. Lemuel C., Jr., EC-9
Shields, BL-34
Shillock, John C., PM-18
Shohan, Charles J., CO-22
Shuckburgh, Evelyn, VE-48

- Sicilianu, Rocco, PM-17, 20
Silberstein, Joseph A., BL-25-26; CH-6, 17, 19, 21; CO-19, 22-23;
PE-13, 21, 23, 26
Siles Zuarzo, Hernán, BL-1-2, 3, 7, 9, 11-12, 14, 24, 28
Simo, Maj. Rodriguez, ES-30
Sinn, Melvin E., HA-25
Siracusa, Ernest V., BL-14, 16, 20, 22; CH-9, 12, 14, 17, 19; CO-17;
CR-11, 21; PE-15-18, 26
Smathers, George A., CH-32; DR-12-13, 21; HO-2; PM-3
Smith, Dan Throop, CR-2, 4, 6-8, 11
Smith, Douglas, HO-21
Smith, Gerard C., ETA-4, 33-34, 37, 39; PM-35, 39
Smith, James H., Jr., ETA-7, 15; BL-10, 17; DR-1
Smith, Marshall M., ETA-8-9, 12
Smith, Robert, HO-20
Snow, William P., ETA-17-18; GT-4, 10; HA-7-8; HO-1; PM-14; UR-6;
VE-8, 22, 29
Latin American political situation, CO-15, 19; ES-8; HO-2
Snowdon, Henry T., CO-23
Sol Castellanos, Jorge, ES-5-6, 23
Solís, Galileo, PM-62
Somerford, Fred A., EC-16
Somota, Tacho, NI-4, 11
Somoza Debayle, Gen. Anastasio Debayle, NI-1, 4, 8, 12-13, 16, 23
Somoza Debayle, Luis, CR-3, 9; ES-2; HO-19; NI-1-5, 8, 10-12, 15, 18, 21
Soto, George B., GT-12
Southard, Frank A., Jr., ETA-8-9; CH-12
Soviet bloc (*See also* Soviet bloc *subheadings under other subjects*),
ETA-33; GT-24
Spain, ES-34
Sparks, Edward J., GT-1-4; VE-15-16, 20, 22, 24-25, 28, 34, 45-46, 50-51
Special National Intelligence Estimates:
SNIE 80/1-59, "The Situation in the Caribbean Through 1960,"
DR-18, 21
SNIE 86.1-60, "The Situation and Prospects in Haiti," HA-26
SNIE 86.2-60, "The Outlook for the Dominican Republic," DR-21
SNIE 92-59, "Contingent Prospects in Bolivia," BL-24
Spencer, George O., HA-7, 9; HO-14; PE-4, 34
Sprague, Mansfield D., HA-4, 7, 9; VE-12
Spruks, Charles, HO-1
Staats, Elmer, PM-17, 43
Stambaugh, Lynn U., ETA-8
Stans, Maurice H., ETA-8, 19, 45, 54; CO-39; DR-10; PM-43
Stark, Craig M., VE-18, 28

- Stewart, C. Allan, CR-7, 18; HO-7; NI-10, 15, 22; PM-34, 35, 38
Costa Rica, CR-2, 5-6, 11, 15, 19, 24-25; NI-5
Dominican Republic, DR-2-3; VE-45, 47
El Salvador, ES-14-17, 39, 44
Guatemala, GT-10, 18, 28-29
Honduras, HO-4, 6, 13
Panama, PM-22, 39
- Stimpson, Harry F., Jr., PM-17; PA-8, 12
- Stoessel, Walter J., Jr., PM-51, 63
- Storm, Gustavo, PA-8, 10
- Strategic trade controls, CH-1, 6, 24
- Strauss, Adm. Lewis L., ETA-12
- Stredel, VE-32
- Stroessner, Alfredo, PA-1, 6, 8-9
- Strom, Carl W., BL-25, 26, 28-29, 30-33, 36, 40, 42
- Stutesman, John H., Jr., PM-44
- Sullivan, Charles A., VE-48
- Sunderland, HO-15
- Swan Islands, HO-18, 22
- Sweden, ETA-27
- Swett, Jorge, CH-24
- Switzerland, ETA-27
- Szymczak, M.S., ETA-9, 12
- Taboada, Diógenes, EC-20
- Talamas, Shibley Jean, HA-1
- Tannenbaum, Frank, CR-21
- Tariff Commission, ETA-3-4
- Taylor, Henry L., CR-3-5, 7, 15, 28; NI-1-2, 5, 12, 18, 20
- Taylor, Gen. Maxwell D., DR-3
- Taylor, Tom, UR-5
- Teller, Edward, PM-43
- Terra, Gabriel, UR-9
- Thebaud, Fritz, HA-1, 3, 5, 10, 17
- Thomasson, Larry F., ETA-12
- Thomen, Luis F., NI-21
- Thompson, Herbert B., BL-32; VE-11
- Thorndike, Augusto, PE-1, 4, 7-8
- Thornley, Colin Hardwick, GT-7
- Tirado Lamb, Adm. Guillermo, PE-30, 33
- Tobar Zaldumbide, Carlos, EC-7, 10, 12, 14
- Treasury, U.S. Department of the, ETA-10-11, 14, 21, 25, 49, 52; CH-13;
CO-21; PE-44
Bolivia, BL-1, 13, 15, 26

- Costa Rica, CR-3, 6-9, 11, 15-16, 18
- Haiti, HA-3, 8
- Uruguay, UR-6, 8, 10
- Trueheart, William C., VE-48
- Trujillo y Molina, Hector, DR-1, 3, 6, 12, 26; HA-11
- Trujillo y Molina, Generalissimo Rafael L. (*See also* Dominican Republic), CO-12, 32; CR-9
- Trujillo y Molina, Rafael L., Jr. (Ramfis), DR-1, 3
- Truman, Harry S, DR-16
- Turbay Ayala, Julio César, CO-16, 18, 23, 35
- Turkel, Harry R., ETA-4, 6, 12, 17, 28, 41; CO-8; CR-11; HA-19; NI-12
 - Regional economic integration proposals, ETA-25, 51; ES-5-6
 - U.S. economic aid to Latin America, ETA-29, 50-51; GT-30; HA-20
- Turnage, William V., ETA-12-13, 53; CO-25; ES-22; GT-11

- U.N. Educational, Scientific and Cultural Organization (UNESCO), CR-10
- U.N. Food and Agriculture Organization, CR-10
- U.N. International Children's Emergency Fund (UNICEF), CR-10; HO-10
- U.N. Technical Assistance Administration (UNTAA), HO-10
- U.N. Technical Assistance Board, CR-10
- Unda Murillo, Jesus V., GT-18, 22, 31, 35
- United Kingdom, ETA-27; EC-7; GT-4-5; PE-32, 34; VE-48
- United Nations, CH-7; GT-5, 9, 35; PE-15; VE-37
- Upton, T. Graydon, ETA-14, 17-19, 22, 31, 49; PE-1, 44
- Urrutia de Leon, Col. Luis, GT-14
- Uruguay, ETA-28; UR-2-3, 7; VE-13
 - Cuba, UR-13, 17
 - United States, relations with, UR-2, 9, 12-14, 16-17
 - Trade relations, UR-1-2, 2, 4, 6, 8, 10
 - U.S. economic aid to, ETA-13, 27, 41; UR-1-2, 4-5, 8-9, 18
- U.S. Information Agency (USIA), ETA-48, 55; CH-27; CR-10, 21; ES-31, 36; HO-10; PM-2

- Valeriano, Col. Napoleon, CO-26
- Vallon, Edwin E., ES-1; HA-25, 29
- Van Oordt, Gen. Guillermo, PE-25
- Van Reigersburg, Fernando A., UR-17
- Vargas Gené, Joaquín, CR-5, 29
- Vatican, CO-1
- Veizaga, Miguel, BL-32
- Velasco Ibarra, José María, EC-15-17, 20, 23-24; PE-43
- Velásquez Cerrato, Armando Col., HO-5-6, 8-9; NI-11
- Velázquez, Juan O., DR-5

- Velenzuela, Onessimo, DR-1
 Venezuela, NI-11; UR-2; VE-40
 Cuba, VE-13, 30, 41, 49-51
 Dominican Republic, DR-14, 19, 22-23, 25-26, 30; VE-13, 15, 25, 28, 34, 41-46, 49, 51
 Economic situation, ETA-28, 41; VE-38-39, 47
 Inter-American Development Bank, ETA-10, 15, 18, 23
 Political situation, CO-12; DR-19; VE-1, 3, 13, 15, 22, 28, 47, 49, 50
 United States, relations with, CH-5; VE-9-10, 13, 16, 22
 Pérez Jiménez asylum, VE-2, 4, 8, 10, 13-14, 20, 23-25, 30-34
 Trade relations, VE-20, 38, 48
 U.S. import restrictions, ETA-4; VE-5-7, 10-11, 13-15, 21-22, 26, 28, 34-35, 53
 U.S. economic aid to, VE-28, 39, 47
 U.S. military aid to, VE-12, 20, 22, 34, 36-37, 52
 U.S. private investment in, VE-15-19, 27, 35
 Vergara, Roberto, CH-11-13, 15, 36
 Vergara Donoso, Germán, CH-23, 28-29, 31-32
 Vial Espantoso, Carlos, CH-14
 Vial Infante, Carlos, CH-31-32
 Vicente Gomez, Juan, VE-13
 Villalba, Jóvito, VE-15-16
 Villar, Fernando, HO-4
 Villareal, CO-1
 Villeda Morales, José Ramón, CR-5; ES-6, 16; HO-1-4, 6, 8, 13, 18; NI-2-3, 5, 11-12, 21-22
 Vintinner, PE-17
 Virgilio Vivas, Brig. Gen. Rafael, GT-24
 Vivas, Pedro, NI-2
 Voluntary Oil Import Program, FTA-4

 Walker Linares, Francis, CH-36
 Wallich, Henry C., CR-15
 Walsh, Lawrence E., PM-43; VE-53
 Walters, Lt. Col. Vernon A., CH-29-30; ES-6; PE-8; UR-13-14
 Warden, Charles, ETA-12
 Wardlaw, Andrew B., CO-4-5, 10; VE-2
 Warner, Norman E., HA-2, 7, 8, 9, 12, 17, 20, 23, 25, 27
 Washburn, Abbott M., PM-17
 Watrous, Livingston D., UR-1, 4
 Waugh, Samuel C., ETA-8-9, 12, 46; BL-5-9; HO-20; PM-19-20
 Latin America
 United States, relations with, CR-9; EC-7; ES-2; GT-4, 8
 U.S. economic aid to, BL-5, 7, 9; CH-19; GT-8, 29; PE-7, 12-13, 23; UR-1, 4

- Stabilization programs and, HA-8; UR-5
State-owned enterprises, BL-6
Weise, Robert W., Jr., BL-34, 35, 37, 43
Wells, Milton K., CO-26, 37
Wheaton, Anne W., PM-17, 43
Whelan, Thomas E., HO-19; NI-1, 3-4, 7, 9, 11, 16-17, 19, 25
White, Dudley, NI-18
White, Paul Lincoln, EC-23
White, Gen. Thomas D., DR-3
Whiteford, W.K., BL-8, 16
Whitehouse, Charles S., ETA-1; UR-10
Whiteman, Marjorie M., ES-43; VE-1
Whitman, Ann C., ETA-19
Whitman, Merrill, PM-17, 43
Whitt, John S., ES-21
Wieland, William A., Jr., CR-5, 11; DR-1; HA-6-9, 12, 19, 23, 25; HO-2
Wikeley, Thomas, GT-15
Wiley, Katherine, ETA-12
Willauer, Whiting, CR-5, 10, 12, 17, 19-21, 23-25; HO-1-2
Williams, John, BL-16
Williams, William L.S., BL-32
Willis, George H., ETA-8, 12, 17, 19
Wilson, Jackson W., PA-3; UR-10, 14
Wilson, Simon N., ETA-48
Woodward, Robert F., CR-3, 5; UR-2, 6, 8-9, 13-14, 16-17
World Bank. *See* International Bank for Reconstruction and Development.
World Health Organization (WHO), CR-10; HO-10
Wright, Adm. Jerauld, GT-39
Wright, Kenneth, HA-1

Yabrudy, VE-32
Yanes Urías, Col. César, ES-27, 30
Ydígoras Fuentes, Gen. Miguel, ES-1; GT-1-7, 15, 21, 24-25, 27, 36, 46
 U.S. economic aid, GT-8, 13, 17, 20, 29, 31, 40, 43
Yoe, HA-17, 23
Young, John Parke, ETA-8, 12; CH-17; VE-39
Yriart, Juan F., UR-15

Zabalza, Pedro, UR-14
Zassenhaus, Herbert K., BL-12
Zayas, E., BL-17
Zook, Donovan Q., CH-5, 27
Zounini, Lino, DR-11